

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[29 NE3d 215, 6 NYS3d 206]

JULIE CONASON et al., Respondents, v MEGAN HOLDING, LLC, et al., Appellants.

Argued January 13, 2015; decided February 24, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 24, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Joan M. Kenney, J.; op 2012 NY Slip Op 32625[U] [2012]), which had, upon consolidating plaintiffs' and defendants' motions for disposition, (1) granted plaintiffs' motion to the extent of granting plaintiffs summary judgment against both defendants on the issue of liability; (2) directed an assessment of damages; (3) held the issue of reasonable attorney's fees in abeyance pending the resolution of the assessment of damages; and (4) denied defendants' motion for summary judgment dismissing the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which unanimously affirmed the order of Supreme Court, properly made?"

Conason v Megan Holding, LLC, 109 AD3d 724, modified.

HEADNOTES

Limitation of Actions — Four-Year Statute of Limitations — Rent Overcharge Claim — Significant Evidence of Fraud

1. Supreme Court properly considered plaintiff tenants' rent overcharge claim in an action commenced after their overcharge counterclaim in a sum-

mary proceeding, initially asserted more than 5½ years after they occupied a rent-stabilized apartment under a vacancy lease, was dismissed without prejudice, notwithstanding the expiration of the four-year statute of limitations to which such claims are generally subject, inasmuch as there was unrefuted proof of fraud in the record. The four-year statute of limitations set forth in CPLR 213-a will not be read in a way that would allow a landlord whose fraud remains undetected for four years to, simply by virtue of having filed a registration statement, transform an illegal rent into a lawful assessment that would form the basis for all future rent increases. Where the overcharge complaint alleges fraud, the Division of Housing and Community Renewal (DHCR) has an obligation to ascertain whether the rent on the base date is a lawful rent. Here, plaintiffs advanced a colorable claim of fraud by presenting significant evidence that defendants had created and registered with DHCR a fictitious tenant and created a fictitious apartment renovation to boost the regulated rent. Consequently, the rent on the base date was affected by defendants' fraud. As a result, section 213-a merely limited plaintiffs' recovery to those overcharges occurring during the four-year period immediately preceding the rent challenge, and the lawful rent on the base date must be determined by using the default formula devised by DHCR.

Estoppel — Collateral Estoppel — Rent Overcharge Action in Supreme Court — Findings of Fraud in Civil Court Summary Proceeding

2. In a rent overcharge action commenced in Supreme Court after plaintiff tenants' overcharge counterclaim in a summary proceeding in Civil Court was dismissed without prejudice based on plaintiffs' failure to establish the lawful rent on the base date, Civil Court's findings of fraud on the part of defendant landlords to support the conclusion that plaintiffs had shown an actionable overcharge were not entitled to preclusive effect under the doctrine of collateral estoppel. The issue determined in Civil Court was whether there was a breach of the warranty of habitability, while the issue in Supreme Court was whether there was evidence of fraud sufficient to render the rent on the base date unreliable. Thus, the issues were not identical. Nor were findings of fraud necessary to support Civil Court's subsequent judgment awarding plaintiffs rent abatement on account of defendants' breach of the warranty of habitability and directing defendants to remedy building code violations. However, the trial record in Civil Court was replete with unrefuted evidence of the illegality of the rent charged by defendants for plaintiffs' apartment on the base date. Defendants enjoyed ample opportunity to contest plaintiffs' proof at trial. Thus, the minimum scope of inquiry that must be made by the courts or the Division of Housing and Community Renewal to resolve an overcharge claim where fraud has been alleged and there exist substantial indicia of fraud on the record, and the minimum quantum of evidence required for a tenant to establish fraud sufficient to taint the reliability of the rent on the base date had been met.

Corporations — Disregarding Corporate Entity — Piercing Corporate Veil

3. In a rent overcharge action in which plaintiff rent-stabilized tenants established that defendant limited liability company landlord had set an illegal rent in connection with a stratagem devised to remove plaintiffs' apartment from the protections of rent stabilization, Supreme Court improperly found that plaintiffs had met their burden to pierce the corporate veil to make defendant 99% company owner personally liable for their damages. Questions of fact existed as to whether defendant 99% owner, through his

undoubted domination of the company, abused the corporate form to commit a wrong or fraud causing injury to plaintiffs.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Landlord and Tenant § 157; AM JUR 2d, Landlord and Tenant §§ 910–914, 642.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:129, 13:143, 13:260–13:264, 13:509; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:926–145:928, 145:943, 145:953–145:955.
DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (4th ed) 2:11, 2:39–2:41, 6:13, 11:9, 29:15, 41:33.
MCKINNEY'S, CPLR 213-a.
NY JUR 2d, Landlord and Tenant §§ 395, 434, 506–508, 512, 572; NY JUR 2d, Limitations and Laches §§ 77, 99, 142, 155.
SIEGEL, NY PRAC §§ 35–37, 367, 571–575.

ANNOTATION REFERENCE

Effect of fraud to toll the period for bringing action prescribed in statute creating the right of action. 15 ALR2d 500.

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POINTS OF COUNSEL

Marino Partners LLP, White Plains (*Umar A. Sheikh* and *Misha M. Wright* of counsel), for appellants. I. CPLR 213-a's clear and unambiguous four-year statute of limitations precludes respondents' action for residential rent overcharge because it is time-barred. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *La Guardia v Cavanaugh*, 53 NY2d 67; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Association of Contr. Plumbers of City of N.Y. v Contracting Plumbers Assn. of Brooklyn & Queens, Inc.*, 302 NY 495; *Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Straus & Co. v Canadian Pac. Ry. Co.*, 254 NY 407; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Matter*

of *Cintron v Calogero*, 15 NY3d 347.) II. The Appellate Division's judge-made law retroactively applied to appellants Megan Holding, LLC and Emmanuel Ku exacts an ex post facto law proscribed by article I, § 10 of the US Constitution. (*Rogers v Tennessee*, 532 US 451; *United States v Farris*, 448 F3d 965; *Weaver v Graham*, 450 US 24; *Ciafone v Kenyatta*, 27 AD3d 143; *Smith v Doe*, 538 US 84; *Landgraf v USI Film Products*, 511 US 244; *Calder v Bull*, 3 US 386; *Stogner v California*, 539 US 607; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478.) III. The Appellate Division erred in affirming that statutes of limitations are calculated backwards. (*Enrico & Sons Contr. v Bridge-market Assoc.*, 252 AD2d 429.) IV. The Appellate Division erred in affirming the motion court's misapplication of collateral estoppel to the Civil Court's underlying findings of fraud on the dismissed rent overcharge counterclaim. (*Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481; *Kaufman v Eli Lilly & Co.*, 65 NY2d 449; *Petersen v Lysaght, Lysaght & Kramer*, 250 AD2d 581; *Alamo v McDaniel*, 44 AD3d 149; *Ryan v New York Tel. Co.*, 62 NY2d 494; *Comi v Breslin & Breslin*, 257 AD2d 754; *Pollicino v Roemer & Featherstonhaugh*, 277 AD2d 666; *Sahn v AFCO Indus.*, 192 AD2d 480; *Jackson v Board of Educ. of City of N.Y.*, 30 AD3d 57.) V. The Appellate Division erred in affirming respondents' failure to carry their heavy burden of a particularized showing that (1) Emmanuel Ku is Megan Holding, LLC's alter ego, who (2) used the LLC to commit a wrong against respondents, warranting the motion court's piercing of the corporate veil. (*First Bank of Ams. v Motor Car Funding*, 257 AD2d 287; *Sheridan Broadcasting Corp. v Small*, 19 AD3d 331; *Matter of Glenn [Redford]*, 233 AD2d 248; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Matter of Island Seafood Co. v Golub Corp.*, 303 AD2d 892; *Retropolis, Inc. v 14th St. Dev. LLC*, 17 AD3d 209; *TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335; *Anderson St. Realty Corp. v RHMB New Rochelle Leasing Corp.*, 243 AD2d 595.) VI. The Appellate Division erred in affirming and finding that any of Emmanuel Ku's related corporations have any connection to respondents or the alleged transactions for rent overcharge, sufficient to pierce Megan Holding, LLC's corporate veil. (*Etex Apparel, Inc. v Tractor Intl. Corp.*, 83 AD3d 587; *John John, LLC v Exit 63 Dev., LLC*, 35 AD3d 540; *Matter of Glenn [Redford]*, 233 AD2d 248.)

Fishman & Mallon, LLP, New York City (*James B. Fishman* and *Susan K. Crumiller* of counsel), for respondents. I. Respondents' rent overcharge claim was timely interposed.

(*Thornton v Baron*, 5 NY3d 175; *Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Matter of Cintron v Calogero*, 15 NY3d 347; *Kirke La Shelle Co. v Armstrong Co.*, 263 NY 79.) II. The Appellate Division and the motion court correctly held that Megan Holding, LLC is collaterally estopped from challenging the Housing Court's findings of fraud. (*Feinberg v Boros*, 99 AD3d 219; *Schwartz v Public Adm'r of County of Bronx*, 24 NY2d 65; *Matter of Abady*, 22 AD3d 71; *Brown v Suggs*, 39 AD3d 395; *Pollicino v Roemer & Featherstonhaugh*, 277 AD2d 666; *Sahn v AFCO Indus.*, 192 AD2d 480; *Jackson v Board of Educ. of City of N.Y.*, 30 AD3d 57.) III. The unrefuted evidence establishes a rent overcharge, even without the Housing Court's findings of fact. (*Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859; *72A Realty Assoc. v Lucas*, 101 AD3d 401.) IV. The Court correctly upheld summary judgment on respondents' claim to pierce the corporate veil. (*James v Loran Realty v Corp.*, 20 NY3d 918; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Morpheus Capital Advisors LLC v UBS AG*, 105 AD3d 145; *Padilla v Edison Transp., Inc.*, 104 AD3d 518; *Brito v DILP Corp.*, 282 AD2d 320; *East Hampton Union Free School Dist. v Sandpebble Bldrs., Inc.*, 16 NY3d 775; *Cobalt Partners, L.P. v GSC Capital Corp.*, 97 AD3d 35; *Stewart Tit. Ins. Co. v Liberty Tit. Agency, LLC*, 83 AD3d 532; *Sound Communications, Inc. v Rack & Roll, Inc.*, 88 AD3d 523; *Fantazia Intl. Corp. v CPL Furs N.Y., Inc.*, 67 AD3d 511.) V. The Court correctly upheld the award of treble damages and attorney's fees. (*Matter of Miller v Division of Hous. & Community Renewal*, 289 AD2d 20.)

Legal Services NYC, Brooklyn (*Edward Josephson* of counsel), and *The Legal Aid Society*, New York City (*Adriene Holder* and *Ellen Davidson* of counsel), for Association for Neighborhood and Housing Development and others, amici curiae. I. The Appellate Division correctly applied this Court's holding in *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.* (15 NY3d 358 [2010]) when it remanded the proceeding below to the Division of Housing and Community Renewal to investigate the legality of the base date rent. (*Thornton v Baron*, 5 NY3d 175.) II. Reversal of the holding below would encourage evasion of the rent laws and contribute to loss of affordable housing in low and moderate income communities in New York City.

OPINION OF THE COURT

READ, J.

Julie Conason and Geoffrey Bryant (collectively, tenants) are the rent-stabilized tenants of an apartment in a residential building in Manhattan. Megan Holding, LLC is the building's owner and tenants' landlord. As described in this opinion, Conason asserted an overcharge claim against Megan in April 2009, almost 5½ years after she occupied the apartment under a vacancy lease. The principal issue on this appeal is whether CPLR 213-a's four-year statute of limitations completely bars this claim. Because of the unrefuted proof of fraud in the record, we conclude that section 213-a merely limits tenants' recovery to those overcharges occurring during the four-year period immediately preceding Conason's rent challenge, and that the lawful rent on the base date must be determined by using the default formula devised by the New York State Division of Housing and Community Renewal (DHCR or the agency) (*Thornton v Baron*, 5 NY3d 175 [2005, Smith and Read, JJ., dissenting]; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358 [2010, Smith, Graffeo and Read, JJ., dissenting]).

I.

In October 2003, Conason signed a two-year lease, beginning on November 1, 2003, at a monthly rent of \$1,800. The lease indicated that the legal regulated rent for the apartment was \$2,000 per month, reduced to \$1,800, "subject to any lawful adjustments," by virtue of a temporary rent concession rider. The lease did not include a rent stabilization rider as an attachment. This rider, required for vacancy leases subject to the Rent Stabilization Code, does not modify or become part of the lease. Instead, it notifies the rent-stabilized tenant of the prior legal regulated rent and explains how the vacancy lease's rent was computed (*see* 9 NYCRR 2522.5 [c] [1] [i]). Conason renewed the lease for two years, beginning November 1, 2005, at a monthly rent of \$1,899; she signed another renewal lease for one year, beginning on November 1, 2007, at a monthly rent of \$1,955.97. Conason paid rent in accordance with this lease for each month from November 2007 through May 2009.

The Summary Proceeding

On April 9, 2009, Megan commenced a summary proceeding against Conason in Civil Court, Housing Part, for nonpayment

of rent; by answer dated April 24, 2009, Conason counterclaimed, as relevant here, for breach of the warranty of habitability and rent overcharge. In a decision and order dated June 24, 2009, Civil Court dismissed the proceeding without prejudice,¹ retained the counterclaim for breach of the warranty of habitability and declined to entertain the counterclaim for rent overcharge; by decision and order dated October 30, 2009, however, the Judge granted tenants'² motion to reargue and concluded that the rent overcharge counterclaim was, in fact, properly before him. Additionally, he allowed tenants, now represented by counsel, to amend their answer to add a counterclaim for attorneys' fees, and scheduled a trial date of December 9, 2009.

When the parties appeared on December 9th before another judge, Megan sought an adjournment for its new attorney to prepare for trial. This attorney was at least the third lawyer to represent Megan in the summary proceeding. Over tenants' attorney's objection, the Judge granted the adjournment on condition that Megan pay tenants \$1,125 to ameliorate the legal expenses they had incurred on account of the eve-of-trial substitution. She also ordered Megan to correct multiple housing violations in tenants' apartment before the new trial date, January 20, 2010. The Judge heard testimony on that date, and on March 3, April 19 and 29, and June 10 and 11, 2010. She then adjourned the trial until July 27, 2010.

After the last trial day in June, Megan's attorney moved to withdraw. He apparently had informed Megan of his intention to do so several months earlier. By order dated July 26, 2010, the Judge granted the motion, expressing confidence that "retiring counsel believes in good faith that he cannot ethically continue as [Megan's] counsel"; however, she denied his request to adjourn the trial for replacement counsel to be brought on board and up to speed. At the time, Emmanuel Ku, the 99% shareholder in Megan, was on the witness stand pursuant to tenants' subpoena.

Ku appeared on July 27th to resume his testimony, but Megan had not substituted counsel. Civil Court, at the request

1. Megan's petition did not include a demand for rent after April 2009, and Megan conceded at trial that all rent had been paid through May 2009, thus satisfying the demand in its petition.

2. At some point during the course of this litigation, Megan added Bryant, Conason's husband, as a party. Conason and Bryant apparently were not married until after Conason's tenancy began.

of tenants' attorney, who wanted to avoid creating an appellate issue, then ordered a continuation of the trial for seven weeks, until September 15, 2010, to permit Megan time to engage a new lawyer. When Megan failed to do so, the Judge closed the record and set a date for posttrial briefs. An attorney described as Megan's "outside general counsel" submitted Megan's brief; this attorney had also appeared on July 26th to oppose Megan's then trial attorney's motion to withdraw.

In a decision and order dated April 8, 2011, Civil Court dismissed the overcharge claim, without prejudice, for failure of proof, commenting that "[a]lthough [tenants] established that an actionable overcharge occurred, they failed to prove the amount of the legal regulated rent and the amount of the overcharge." The Judge then explained why she had concluded that "an actionable overcharge" was shown; specifically, although Megan registered someone named Suzuki Oki with DHCR as the apartment's occupant under a two-year lease running from April 1, 2003 through March 31, 2005 at a monthly rent of \$1,000, tenants had presented "persuasive evidence" that no one named Suzuki Oki had ever lived in the apartment.

First, a witness from the utility company testified that an electricity and gas account in the name of Candida Vasquez was closed by the tenant on May 30, 2003, and there was no active account for the apartment until Conason opened one on November 1, 2003. Second, the building's superintendent in 2003 testified that the apartment's last occupants before Conason were Vasquez and Jacobo Rivera; that no one lived in the apartment between their departure and Conason's arrival; and that he did not know of any person named Suzuki Oki. A neighbor similarly testified that the apartment was vacant in the summer and fall of 2003. Additionally, DHCR records disclosed that Rivera was the registered tenant in 2002 under a lease expiring on September 30, 2003. As noted by the Judge later in her opinion, DHCR's rent registration records identify the legal regulated rent for tenants' apartment in 2002 as \$475.24 a month. As for Ku, Civil Court summarized his testimony as follows:

"[Ku] . . . testified that he had no records at all for Suzuki Oki. He had no lease, no rental application, and no evidence of payment by Suzuki Oki. He did not establish a security deposit account for Suzuki Oki and he claimed she paid him only in cash. He

also claimed she remained in the apartment for only two months . . . Finally, [Ku] testified that although Oki was in the apartment for only two months, he completely renovated the apartment and claimed a rent increase for individual apartment improvements both before her tenancy and after it.”

The Judge called Ku’s testimony “entirely incredible.”

The Judge next commented that “[o]rdinarily” a rent overcharge claim is governed by a four-year statute of limitations. Further, “[t]he legal regulated rent is defined as the rent actually charged and paid on the base date, four years prior to the interposition of the overcharge claim, plus any legal increases taken thereafter.” Here, she opined, the claim was interposed on April 9, 2009, when the summary nonpayment proceeding commenced,³ which made April 9, 2005 the base date, and the evidence failed to show any impermissible rent increases after that date.

The Judge then cited *Grimm* for the proposition that “where the rent on the base date is affected by fraud, the DHCR (and, by implication, [Civil Court], which has concurrent jurisdiction with the DHCR over rent overcharge claims) has an obligation to investigate the legality of the base date rent.” She opined that *Grimm* “clearly . . . appli[ed]” because Megan “created an entirely fictitious tenant [i.e., Suzuki Oki] and at least one entirely fictitious apartment renovation in 2003 in order to boost the regulated rent from \$475.24 per month . . . to \$1[,]800.00.” Consequently, the “rent on the base date was obviously affected by [Megan’s] fraud.”

Referring to *Thornton*, the Judge reiterated that she was required to dismiss tenants’ overcharge claim without prejudice because they had not submitted proof of the lowest rent charged for a comparable apartment on the base date (*Thornton*, 5 NY3d at 179-180, 180 n 1 [where no reliable rent history is available, the courts must apply DHCR’s default formula and set the rent on the base date as the lowest rent charged

3. As noted previously, Conason first alleged an overcharge in a counterclaim in her answer, dated April 24, 2009. CPLR 203 (d) provides that “[a] defense or counterclaim is interposed when a pleading containing it is served.” Here, the record on appeal does not disclose when the answer was served, although presumably this happened shortly after April 24th. Whether the base date falls early or late in the month of April 2005 would seem to make no practical difference.

for a rent-stabilized apartment with the same number of rooms in the same building as the subject apartment]). The Judge did, however, find “ample evidence” that Megan had breached the warranty of habitability from January 2004 through the time of trial. Accordingly, Civil Court awarded tenants damages in the principal sum of \$23,249.76 in rent abatement, and ordered Megan to correct any remaining outstanding code violations on or before May 15, 2011. And after a hearing, on July 6, 2011, Civil Court also awarded attorneys’ fees to tenants in the principal sum of \$53,193.75.

Megan appealed both the April 8th and July 6th orders and the judgments entered thereon. By decision dated November 15, 2012, the Appellate Term dismissed the appeal from the April 8th order and judgment, observing that no appeal lies from a default, which is what occurred, “as essentially conceded by [Megan], a limited liability company [that] failed to appear at trial by replacement counsel, despite ample opportunity to do so” (37 Misc 3d 135[A], 2012 NY Slip Op 52117[U], *1 [App Term, 1st Dept 2012]). The court modified the July 6th judgment to reduce the award of attorneys’ fees from \$53,193.75 to \$44,200.19 to correct a mathematical error.

This Lawsuit

On June 13, 2011, tenants commenced this action against Megan and Ku (collectively, defendants), seeking a money judgment for rent overcharge, including treble damages “for the period April 2007 to April 2009” for willful rent overcharge, and attorneys’ fees. By motions dated June 15, 2012, the parties separately sought summary judgment. Tenants requested summary judgment on their overcharge cause of action and attorneys’ fees. They also asked Supreme Court for a declaration piercing the corporate veil of Megan to reach Ku’s personal assets. Defendants sought dismissal of the complaint and an award of costs, disbursements and attorneys’ fees.

In a decision and order dated October 10, 2012, Supreme Court granted tenants summary judgment against defendants on the issue of liability with respect to their overcharge claim and directed an assessment of damages; ordered the issue of reasonable attorneys’ fees held in abeyance until damages were determined; and denied defendants’ motion for summary judgment (2012 NY Slip Op 32625[U] [Sup Ct, NY County 2012]). Citing *Matter of Cintron v Calogero* (15 NY3d 347 [2010]), the Judge first held that tenants’ claim was not time-barred

because “rather than calculating the statutory period from the commencement of the overcharge, such claims are determined backwards, from the date of the first claim of an overcharge” (2012 NY Slip Op 32625[U], *8). Like Civil Court, Supreme Court identified April 9, 2005—four years prior to the date when Megan commenced the summary proceeding—as the base date. The Judge concluded that although the rent charged for the comparable apartment proposed by tenants (and not disputed by defendants) was the lawful rent on the base date,⁴ tenants did not make clear whether they had actually received any portion of the rent abatement awarded by Civil Court, or had considered any lawful rent increases over the relevant four-year period. She therefore decided to conduct a hearing to decide the amount of tenants’ overcharge damages.

Next, Supreme Court concluded that Megan had a full and fair opportunity to be heard in the Civil Court proceeding and was therefore “collaterally estopped from challenging the Civil Court’s determination that the base date . . . is April 9, 2005 and that the rent charged to [tenants] was fraudulently established” (*id.* at *11-12). Further, in light of the fraud, tenants were entitled to both treble damages and attorneys’ fees. Finally, the Judge held that tenants had met their burden to pierce the corporate veil and therefore Ku was personally liable for their damages. She emphasized that Ku owned 99% of Megan, which fraudulently set a rent for tenants’ apartment to their detriment.

Upon defendants’ appeal, the Appellate Division unanimously affirmed (109 AD3d 724 [1st Dept 2013]). Citing its decision in *Grimm* (68 AD3d 29 [1st Dept 2009]) and our decision in *Thornton*, the Court held that “the four-year statute of limitations is not a bar in a rent overcharge claim *where there is significant evidence of fraud on the record*”; and that Supreme Court “correctly found that defendants were collaterally estopped from arguing that no fraud existed[,] . . . [and] properly determined the base rent based on the default formula, and deferred the determination of the amount of the overcharge for a hearing” (109 AD3d at 726 [emphasis added and citation omitted]). The Court further concluded that Supreme Court had “properly pierced the corporate veil,” noting that there was “evidence that, through Megan, Ku fraudulently set a rent for [tenants’]

4. The record discloses that the monthly rent for this apartment in April 2005 was \$180.92.

apartment and that [tenants] were financially injured thereby”; and “properly awarded treble damages and attorneys’ fees” (*id.* [citation omitted]). On December 12, 2013, the Appellate Division denied defendants’ motion to reargue and certified the following question to us: “Was the order of [the Appellate Division], which unanimously affirmed the order of Supreme Court, properly made?”

II.

The Four-Year Statute of Limitations

CPLR 213-a fixes a four-year statute of limitations for claims of residential rent overcharge; specifically, this provision states that

“[a]n action on a residential rent overcharge shall be commenced within four years of *the first overcharge alleged* and no determination of an overcharge and no award or calculation of an award of the amount of any overcharge may be based upon an overcharge having occurred more than four years before the action is commenced. This section shall preclude examination of the rental history of the housing accommodation prior to the four-year period immediately preceding the commencement of the action” (emphasis added; *see also* Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a] [2]; Rent Stabilization Code [9 NYCRR] §§ 2520.6 [f]; 2526.1 [a] [2]).

Defendants interpret section 213-a to mean that “after four years of having *first* paid an allegedly unlawful rent, recovery for rent overcharge is time[-]barred” (emphasis added). Stated slightly differently, they take the position that an overcharge claim invariably accrues when a tenant first pays allegedly unlawful rent. Consequently, they reason, because Conason’s tenancy began on November 1, 2003, the statute of limitations on tenants’ overcharge claim expired on October 31, 2007, about a year and a half before Megan commenced the summary nonpayment proceeding.⁵ Conversely, tenants contend that they may recover any overcharges that they paid during the four-

5. Defendants similarly contend that the Appellate Division improperly allowed treble damages to be recovered on overcharge claims interposed more than two years after the first overcharge alleged. But that Court did not discuss treble damages other than to state that Supreme Court properly

(n. cont’d)

year period immediately preceding Conason’s rent challenge. Our decisions in *Thornton* and *Grimm* dictate the resolution of the parties’ dispute about how the four-year statute of limitations in CPLR 213-a works in this case.

The building owner in *Thornton* entered into a nonstabilized lease with Baron in 1992, ostensibly permitted as a temporary exemption from rent stabilization for nonprimary residences. Baron, whose initial monthly rent was \$2,400, almost immediately sublet the apartment to the Thorntons at the still higher initial rent of \$3,250 per month. Baron never lived in the apartment and the Thorntons always lived there as full-time residents. Although the Thorntons were willing participants in this scheme to skirt rent stabilization, they sued Baron in 1996, claiming rent overcharges, and amended their complaint in November 2000 to add the owner as a named defendant. We were required to decide the proper way to determine the apartment’s legal regulated rent.

The Thorntons contended that their rent should be \$507.85 per month, the legal regulated rent in 1992, immediately preceding Baron’s illusive nonprimary tenancy. The owner contended that the courts were obligated to use \$2,496 per month, the rent charged to Baron in 1996 and reflected in the annual registration statement filed with DHCR on July 31, 1996, i.e., four years before the Thorntons sued the owner. In making this argument, the owner relied on the Rent Regulation Reform Act of 1997 (RRRA) (L 1997, ch 116), which “clarified and reinforced the four-year statute of limitations applicable to rent overcharge claims by limiting examination of the rental history of housing accommodations prior to the four-year period preceding the filing of an overcharge complaint” (*Thornton*, 5 NY3d at 180 [citation omitted]). A base date in 1996 would have eliminated any possibility for the Thorntons to recover overcharges from the owner because increases and adjustments of the rent from 1996 to 2000 appear to have been lawful.

awarded them (and attorneys’ fees) because defendants failed to prove by a preponderance of the evidence that the rent overcharge was not willful (109 AD3d at 726-727). Tenants’ complaint sought treble damages “for the period April 2007 to April 2009” (i.e., roughly, the two years before Conason counterclaimed to recover overcharges) (see Rent Stabilization Law of 1969 [Administrative Code of City of NY] § 26-516 [a] [2] [i]). In any event, Supreme Court has not yet fixed tenants’ overcharge damages, treble or otherwise; the Judge has only determined the lawful rent on the base date, to be used to compute these damages.

We disagreed with both approaches, and held that DHCR should use its default formula to determine the lawful rent in 1996 (*id.* at 179-181). The illusory nature of Baron's tenancy was the decision's *raison d'être*. We commented that "[r]eflecting an attempt to circumvent the Rent Stabilization Law in violation of the public policy of New York, the Baron lease was void at its inception"; and "because the rent it purported to establish was therefore illegal, the 1996 rent registration statement listing this illegal rent was also a nullity" (*id.* at 181).

Significantly, the Thorntons did not sue the owner within "four years of having first paid an allegedly unlawful rent," as defendants and the dissent insist CPLR 213-a mandates. Indeed, they waited more than seven years. Defendants point out that the Thorntons sued Baron, the tenant, within four years after they commenced their tenancy. We specifically "reject[ed]," however, "[the Thorntons'] contention that their amended complaint against [the owner] should relate back to the original complaint filed against [Baron] in October 1996" (*id.* at 180 n 2). And we at least implicitly rejected the owner's protest that because the Thorntons' overcharge claim arose in 1992, we were flouting the legislature's intent, when it enacted the RRRA, to make sure that owners were not left forever potentially liable for overcharge claims; specifically, we declined to read the four-year limitations period in a way that would allow "a landlord whose fraud remains undetected for four years--however willful or egregious the violation--[to], simply by virtue of having filed a registration statement, transform an illegal rent into a lawful assessment that would form the basis for all future rent increases" (*id.* at 181).

The dissent criticized the majority for "uphold[ing] a challenge to the amount of rent set forth in a registration statement, although the challenge was brought more than four years after the registration statement was filed"; and for taking an approach that "destroy[ed] the effectiveness of the four-year time limitation, which has no point unless it protects illegal rents against challenge" (*id.* at 182). Additionally, the dissent observed that "[i]f a rent is not illegal, a challenge will fail anyway and the four-year limit is unnecessary" (*id.*). Further, "the [Thorntons'] remedy was *to challenge the rent established by the 1992 lease within four years*, and nothing prevented them from doing so" (*id.* at 183 [emphasis added]). This, of course, is the same position espoused by defendants and the dissent in this case.

Next, we were asked in *Grimm* “whether the rationale employed in [*Thornton*], which allowed the parties to look back farther than four years, applies in a situation where it is alleged that the standard base date rent is tainted by fraudulent conduct on the part of a landlord” (*Grimm*, 15 NY3d at 362). We answered in the affirmative, concluding that “such base date rent may not be used as a basis for calculating subsequent regulated rent *if fraud is indeed present*” (*id.* [emphasis added]).

The apartment in *Grimm* was registered as rent-stabilized in 1999 at a legal regulated rent of \$578.86. In 2000, the landlord increased the rent to \$2,000 per month, but informed the incoming tenants that if they agreed to make certain repairs and improvements, the monthly rent would be reduced to \$1,450; they agreed to this arrangement. When Grimm moved into the apartment in 2004, she also paid rent of \$1,450 per month. In April 2005, she entered into a renewal lease at a monthly rent of \$1,500.75. Grimm subsequently filed a rent overcharge complaint with DHCR in July 2005; she complained that the “owner is fraudulently renting [the] apartment as a non-rent stabilized unit and raised [the] rent illegally in 2005. [The] [i]nitial 2004 rent is also illegal.” When DHCR denied Grimm’s complaint because the rent adjustments after the base date (July 2001) were lawful, she brought a CPLR article 78 proceeding to challenge the agency’s determination.

DHCR argued that *Thornton* should be limited to “the narrow set of circumstances described in that case . . . involving illusory tenancies” (*id.* at 366). We disagreed, and held that “where the overcharge complaint alleges fraud . . . DHCR has an obligation to ascertain whether the rent on the base date is a lawful rent,” and that DHCR had not met this obligation because “there existed substantial indicia of fraud on the record,” yet DHCR “blindly us[ed] the rent charged on the date four years prior to the filing of the rent overcharge claim” (*id.*).

We cautioned that

“[o]ur holding should not be construed as concluding that fraud exists, or that the default formula should be used in this case. Rather, we merely conclude that DHCR acted arbitrarily in disregarding the nature of [Grimm’s] allegations and in using a base date without, at a minimum, examining its own records to ascertain the reliability and the

legality of the rent charged on that date” (*id.* at 366-367).

Further, “[g]enerally, an increase in the rent alone will not be sufficient to establish a colorable claim of fraud, and a mere allegation of fraud alone, without more, will not be sufficient to require DHCR to inquire further” (*id.* at 367 [internal quotation marks omitted]).

The dissent accused the majority of going “far beyond” *Thornton* and *Cintron*, a case where two rent reduction orders issued within four years of the start of the rent-stabilized tenancy remained in effect when the tenant filed an overcharge complaint more than a decade later.⁶ In the dissent’s view, the majority had improperly equated “fraud” with a willful overcharge, and if it had not essentially repealed the four-year limitations period—a charge the majority took pains to reject—it had created a situation where, if fraud is alleged and substantial indicia of fraud exist on the record, DHCR would be compelled to conduct a “mini-litigation . . . to figure out whether the overcharge was ‘fraudulent’ enough to escape the time limit” (*id.* at 369).

[1] Here, tenants do not just make a generalized claim of fraud. They instead advance a colorable claim of fraud within the meaning of *Grimm*—i.e., tenants alleged substantial evidence pointing to the setting of an illegal rent in connection with a stratagem devised by Megan to remove tenants’ apartment from the protections of rent stabilization (*compare Matter of Partnership 92 LP v State of N.Y. Div. of Hous. & Community Renewal*, 11 NY3d 859, 860 [2008] [where there was “ample basis” in the record for DHCR to “conclude that, in arguing for a higher base rent, the owner had relied on an illusory tenancy,” the agency properly set the base rent using its default formula], *with Matter of Boyd v New York State Div. of Hous. & Community Renewal*, 23 NY3d 999 [2014] [DHCR properly declined to examine the apartment’s rental history for fraud where a tenant merely alleged that the registered monthly rent increased from \$572 in July 2004 to \$1,750 in October 2004]). In light of *Thornton* and *Grimm*, Supreme Court in this case properly considered tenants’ counterclaim alleging rent overcharges notwithstanding expiration of the four-year statute of limitations to which such claims are generally subject

6. Thus, *Cintron* involves the interplay of rent reduction orders—not fraud—and the four-year statute of limitations, although both Supreme Court and tenants relied on it.

(see *Mozes v Shanaman*, 21 AD3d 854 [1st Dept 2005], *lv denied* 6 NY3d 715 [2006] [CPLR 213-a barred the plaintiff sublessees' overcharge complaints brought more than four years after each of their separate tenancies commenced]).

The dissent protests that neither *Thornton* nor *Grimm* carved out a fraud exception from CPLR 213-a's bar of overcharge claims interposed more than four years after the first overcharge alleged, and that in *Thornton* we "avoided" this question (dissenting op at 20). We hardly avoided the question, however, as we allowed the Thorntons to pursue a lawsuit against the owner for overcharges more than seven years after the first overcharge alleged, over the owner's strong objections. The dissent in *Thornton* certainly recognized this when remonstrating that the Thorntons should have "challenge[d] the rent established by the 1992 lease within four years" (*Thornton*, 5 NY3d at 183). Similarly, although the dissent frets that our decision today "will have several serious and troublesome ramifications" (dissenting op at 21), the potential untoward consequences mentioned are the same as those identified in the *Thornton* and *Grimm* dissents. In short, the arguments advanced and policy concerns expressed by the dissent here were considered and rejected by the majorities in *Thornton* and *Grimm*, as the dissenting opinions in those cases make abundantly clear.

Collateral Estoppel

Defendants argue that the lower courts incorrectly applied the doctrine of collateral estoppel to foreclose them from contesting Civil Court's findings of fraud, which underpin the Judge's determination of liability and the awards of treble damages and attorneys' fees. Collateral estoppel comes into play when four conditions are fulfilled:

"(1) the issues in both proceedings are identical, (2) the issue in the prior proceeding was actually litigated and decided, (3) there was a full and fair opportunity to litigate in the prior proceeding, and (4) the issue previously litigated was necessary to support a valid and final judgment on the merits" (*Alamo v McDaniel*, 44 AD3d 149, 153 [1st Dept 2007], citing *Ryan v New York Tel. Co.*, 62 NY2d 494 [1984], and *Gramatan Home Invs. Corp. v Lopez*, 46 NY2d 481 [1979]).

[2] Civil Court seems to have made findings of fraud to support the conclusion that tenants had shown “an actionable overcharge.” The Judge nonetheless dismissed tenants’ overcharge claim, without prejudice, because they had not submitted proof of the lawful rent on the base date, as is necessary to compute overcharge damages. Consequently, Civil Court’s findings of fraud are not entitled to preclusive effect because two of the four prerequisites for collateral estoppel are unmet: the issues in Civil Court (breach of the warranty of habitability) and Supreme Court (evidence of fraud sufficient to render the rent on the base date unreliable) are not identical (the first condition), and findings of fraud were not necessary to support the judgment entered on the April 8th order, which awarded tenants rent abatement on account of Megan’s breach of the warranty of habitability and directed Megan to remedy code violations (the fourth condition).

As tenants urge, however, the trial record in Civil Court is replete with evidence of the illegality of the rent charged by Megan for tenants’ apartment on the base date. This evidence is unrefuted. And Megan enjoyed ample opportunity to contest tenants’ proof at trial, despite defendants’ protestations to the contrary. As a result, whatever the minimum scope of the inquiry that must be made by the courts or DHCR to resolve an overcharge claim where fraud has been alleged and there exist substantial indicia of fraud on the record, and whatever minimum quantum of evidence is required for a tenant to establish fraud sufficient to taint the reliability of the rent on the base date (*see Grimm*, discussed earlier), these thresholds have been crossed here: Civil Court made extensive findings of fraud based on a record developed at a trial, which afforded both sides the opportunity (even though shunned by defendants) to submit evidence and present and cross-examine witnesses regarding the apartment’s rental history.

Piercing the Corporate Veil

[3] Generally, a plaintiff seeking to pierce the corporate veil must show that “(1) the owners exercised complete domination of the corporation in respect to the transaction attacked; and (2) that such domination was used to commit a fraud or wrong against the plaintiff which resulted in plaintiff’s injury” (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 141 [1993]). Here, questions of fact remain about whether Ku, through his undoubted domination of Megan,

abused the corporate form to commit a wrong or fraud causing injury to tenants.

We have reviewed defendants' remaining arguments and consider them to be meritless.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed, and the certified question answered in the negative.

PIGOTT, J. (dissenting). The majority holds, apparently on the basis of *Thornton v Baron* (5 NY3d 175 [2005]) and *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.* (15 NY3d 358 [2010]), that because the tenants "advance a colorable claim of fraud within the meaning of *Grimm* . . . Supreme Court in this case properly considered tenants' counterclaim alleging rent overcharges notwithstanding expiration of the four-year statute of limitations to which such claims are generally subject" (majority op at 16). *Thornton* and *Grimm* do not support that conclusion, and there are strong policy considerations why.

In *Thornton*, this Court held that a lease provision circumventing rent stabilization was void as against public policy, and that the rent registration statement in effect on the base date listing the illegal rent was "a nullity" (*Thornton*, 5 NY3d at 181). We instructed DHCR to use a default formula to calculate the rent on the base date, which "uses the lowest rent charged for a rent-stabilized apartment with the same number of rooms in the same building on the relevant base date" (*id.* at 180 n 1). The Court expressly noted that "[o]nly one question is before us: How is the legal regulated rent of the apartment to be established?" (*Id.* at 180.) The majority opinion did not decide the statute of limitations issue—the lawsuit was brought more than seven years after the first alleged overcharge—and indeed the dissent pointed out that the majority "ignore[d] the four-year limitation" (*id.* at 183 [Smith and Read, JJ., dissenting]).

In *Grimm*, we held that where "substantial indicia of fraud [exist] on the record" and "the overcharge complaint alleges fraud, . . . DHCR has an obligation to ascertain whether the rent on the base date is a lawful rent" (*Grimm*, 15 NY3d at 366). In that case, however, petitioner's action was not barred by the statute of limitations, since it was brought well within four years following the first alleged rent overcharge. The ques-

tion was whether DHCR could examine the rental history of the housing accommodation prior to the four-year period preceding the filing of a complaint, so as to determine whether the rent on the base date was itself an overcharge. We said it could and should, but, necessarily, we did not address the statute of limitations. The Court “merely conclude[d] that DHCR acted arbitrarily in disregarding the nature of petitioner’s allegations and in using a base date without, at a minimum, examining its own records to ascertain the reliability and the legality of the rent charged on that date” (*id.* at 367).

The appeal before us now raises the question the Court avoided in *Thornton* and had no need to address in *Grimm*, namely whether CPLR 213-a precludes an action on a residential rent overcharge commenced more than four years after the first alleged overcharge. Yet, the majority gives no justification for its holding other than the two abovementioned Court of Appeals cases that do not support it.

The statute is abundantly clear. Under CPLR 213-a, as amended in 1997:

“[a]n action on a residential rent overcharge *shall be commenced within four years of the first overcharge alleged* and no determination of an overcharge and no award or calculation of an award of the amount of any overcharge may be based upon an overcharge having occurred more than four years before the action is commenced. This section shall preclude examination of the rental history of the housing accommodation prior to the four-year period immediately preceding the commencement of the action” (emphasis added).

Regardless of whether the action is brought as an administrative or judicial claim, “a rent overcharge claim is subject to a four-year statute of limitations” (*Matter of Cintron v Calogero*, 15 NY3d 347, 353 [2010]; see also e.g. *Matter of Brinckerhoff v New York State Div. of Hous. & Community Renewal*, 275 AD2d 622 [1st Dept 2000], *lv denied* 96 NY2d 712 [2001]; *Mozes v Shanaman*, 21 AD3d 854 [1st Dept 2005], *lv denied* 6 NY3d 715 [2006]; *Direnna v Christensen*, 57 AD3d 408 [1st Dept 2008]).

The majority now rewrites the statute, so as to delete the first clause (“[a]n action on a residential rent overcharge shall be commenced within four years of the first overcharge alleged”), with the result that “section 213-a merely limits ten-

ants' recovery to those overcharges occurring during the four-year period immediately preceding Conason's rent challenge" (majority op at 6). In effect, the Court has simply removed the statute of limitations from the statute. In doing so, it overlooks the well-established principle that, irrespective of whether the misconduct alleged is minor or heinous, "actions are subject to the time limits created by the Legislature" and "[a]ny exception to be made to allow these types of claims to proceed outside of the applicable statutes of limitations would be for the Legislature" to enact (*Zumpano v Quinn*, 6 NY3d 666, 677 [2006]).

The majority's decision will have several serious and troublesome ramifications. Rent records will be subject to challenge indefinitely. Property owners and buyers will have no certainty as to the value of residential rental property. Landlords will have to keep evidence of rent charges indefinitely, in order to preserve their ability to defend against fraudulent rent overcharge claims. And endless litigation will ensue concerning whether tenants are making "a colorable claim of fraud within the meaning of *Grimm*," before any complaint challenging years-old rents can be dismissed.

I would reverse the order of the Appellate Division and hold that Conason's complaint should have been dismissed as barred by the statute of limitations. Accordingly, I would not reach the collateral estoppel and piercing the corporate veil issues and I do not join the Court's opinion as to the merits of those claims.

Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur; Judge PIGOTT dissents and votes to reverse and dismiss the complaint in an opinion; Judges STEIN and FAHEY taking no part.

Order modified, without costs, by remitting to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed, and certified question answered in the negative.

[29 NE3d 230, 6 NYS3d 221]

EKATERINA SCHOENEFELD, Respondent, v STATE OF NEW YORK
et al., Defendants, and ERIC T. SCHNEIDERMAN, as Attorney
General for the State of New York, et al., Appellants.

Argued February 17, 2015; decided March 31, 2015

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Under New York Judiciary Law § 470, which mandates that a nonresident attorney maintain an ‘office for the transaction of law business’ within the state of New York, what are the minimum requirements necessary to satisfy that mandate?”

HEADNOTE

**Attorney and Client — Unauthorized Practice of Law — New York
Office Required for Practice of Law by Nonresidents**

Judiciary Law § 470, which provides that an attorney admitted to practice in New York “whose office for the transaction of law business is within the state” may practice law within the state “although he [or she] resides in an adjoining state,” requires nonresident attorneys to maintain a physical law office in New York. The statute appears to presuppose a residency requirement for the practice of law in New York State. It then makes an exception, by allowing nonresident attorneys to practice law if they keep an “office for the transaction of law business” in New York. By its plain terms, then, the statute requires nonresident attorneys practicing in New York to maintain a physical law office here. Even if one wanted to interpret the term “office” loosely to mean someplace that an attorney can receive service, the additional phrase “for the transaction of law business” makes that interpretation less plausible.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 17.
CARMODY-WAIT 2d, Officers of Court § 3:210.
MCKINNEY'S, Judiciary Law § 470.
NY JUR 2d, Attorneys at Law § 34.

ANNOTATION REFERENCE

What constitutes “unauthorized practice of law” by out-of-state counsel. 83 ALR5th 497.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Laura Ettlinger, Barbara D. Underwood and Andrea Oser of counsel), for appellants. The rule of constitutional avoidance calls for a narrow reading of Judiciary Law § 470. (Overstock.com, Inc. v New York State Dept. of Taxation & Fin., 20 NY3d 586; Matthews v Matthews, 240 NY 28; People ex rel. Simpson v Wells, 181 NY 252; People v Correa, 15 NY3d 213; People v Finkelshtein, 9 NY2d 342; Barnard v Thorstenn, 489 US 546; Supreme Court of N. H. v Piper, 470 US 274; Supreme Court of Va. v Friedman, 487 US 59; Frazier v Heebe, 482 US 641; Lichtenstein v Emerson, 251 AD2d 64.)

Ekaterina Schoenefeld, Princeton, New Jersey, respondent pro se. I. The rule of constitutional avoidance cannot save Judiciary Law § 470 because the term “office for the transaction of law business” cannot be reasonably construed as meaning merely “an address” or “designating an agent” for service of legal papers. (Matthews v Matthews, 240 NY 28; People v Correa, 15 NY3d 213; People ex rel. Simpson v Wells, 181 NY 252; New Lamp Chimney Co. v Ansonia Brass & Copper Co., 91 US 656; Bull v New York City Ry. Co., 192 NY 361; Matter of Gordon, 48 NY2d 266; Matter of Wood v Irving, 85 NY2d 238; Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y., 86 NY2d 198; Doctors Council v New York City Employees’ Retirement Sys., 71 NY2d 669; Matter of Carpenter v Chapman, 276 App Div 634.) II. The rule of constitutional avoidance cannot save Judiciary Law § 470 because it is an obsolete relic of the residency requirement that had been long held unconstitutional. (Matter of Gordon, 48 NY2d 266; Matter of Tang, 39 AD2d 357; Park Lane Commercial Corp. v Travelers Indem. Co., 50 Misc 2d 231; Matter of Fordan, 5 Misc 2d 372; United States v Raines, 362 US 17.) III. The New York courts have thus far construed the term “office for the transaction of law business” of Judiciary Law § 470 to require nothing less than an actual, physical space maintained for the purpose of practicing law in the State. (Matter of Haas, 237 AD2d 729; Empire HealthChoice Assur., Inc. v Lester, 81 AD3d 570; Kinder Morgan Energy Partners, LP v Ace Am. Ins. Co., 51 AD3d 580;

Neal v Energy Transp. Group, 296 AD2d 339; *Cheshire Academy v Lee*, 112 Misc 2d 1076; *Matter of Tang*, 39 AD2d 357; *Matter of Larsen*, 182 AD2d 149; *Marte v Graber*, 17 Misc 3d 1139[A], 2007 NY Slip Op 52348[U]; *Austria v Shaw*, 143 Misc 2d 970; *Matter of Scarsella*, 195 AD2d 513.) IV. The Committee on Professional Standards, Third Department, has thus far interpreted Judiciary Law § 470 as requiring nonresident attorneys to maintain an actual law office in the State. (*Matthews v Matthews*, 240 NY 28; *Matter of Wood v Irving*, 85 NY2d 238.) V. Rewriting the statute, as defendants propose, will not preserve its constitutionality under the Privileges and Immunities Clause. (*Supreme Court of Va. v Friedman*, 487 US 59; *White Riv. Paper Co. v Ashmont Tissue*, 110 Misc 2d 373; *Supreme Court of N. H. v Piper*, 470 US 274; *Bach v Pataki*, 408 F3d 75; *Walkes v Benoit*, 257 AD2d 508; *City of New York v Miller*, 72 AD3d 726; *Matter of Gordon*, 48 NY2d 266; *Matter of Wood v Irving*, 85 NY2d 238; *Matter of Haas*, 237 AD2d 729.) VI. In the alternative, should the Court decide that it can read Judiciary Law § 470 in such a way as it can be saved, the Court could reasonably interpret it as requiring nonresident attorneys to provide an “email address” and to accept service of papers by electronic means. (*Matter of Tang*, 39 AD2d 357.)

Meghan Boone, Institute for Public Representation, Georgetown University Law Center, Washington, D.C., for Michael H. Ansell and others, amici curiae. I. Judiciary Law § 470 should be interpreted according to its plain meaning, which contemplates a physical office location. (*People v Finnegan*, 85 NY2d 53; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Caminetti v United States*, 242 US 470.) II. The State’s interpretation of Judiciary Law § 470 creates surplusage and should be disregarded. (*Astoria Fed. Sav. & Loan Assn. v Solimino*, 501 US 104; *Corley v United States*, 556 US 303.) III. The State’s interpretation of Judiciary Law § 470 contradicts New York case law. (*Marte v Graber*, 17 Misc 3d 1139[A], 2007 NY Slip Op 52348[U].) IV. Other states have interpreted the term “office” to mean an operational physical location. (*Frazier v Heebe*, 482 US 641; *Matter of Frazier*, 594 F Supp 1173; *Tolchin v Supreme Ct. of the State of N.J.*, 111 F3d 1099.)

Ronald B. McGuire, New York City, amicus curiae. I. Judiciary Law § 470 became facially unconstitutional when this Court decided *Matter of Gordon* (48 NY2d 266 [1979]). (*White Riv. Paper Co. v Ashmont Tissue*, 110 Misc 2d 373.) II. The ad hoc approach taken by most New York courts interpreting the

law office requirement of Judiciary Law § 470 failed to produce consistent or coherent results. (*Lichtenstein v Emerson*, 171 Misc 2d 933, 251 AD2d 64; *Austria v Shaw*, 143 Misc 2d 970; *Rosenshein v Ernstoff*, 176 AD2d 686; *Matter of Scarsella*, 195 AD2d 513; *Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235; *Foss v City of Rochester*, 65 NY2d 247.) III. Revolutionary developments in communications and transportation technology are redefining the meaning of a “law office” in ways that cannot be addressed by any construction of the language of Judiciary Law § 470. (*International Shoe Co. v Washington*, 326 US 310.) IV. The Court should not rely on an outmoded statute to fashion a modern practice requirement for nonresident attorneys. (*Matter of Wood v Irving*, 85 NY2d 238; *Matter of Scarsella*, 195 AD2d 513; *Rosenshein v Ernstoff*, 176 AD2d 686; *Austria v Shaw*, 143 Misc 2d 970.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

In this case, the United States Court of Appeals for the Second Circuit has asked us to set forth the minimum requirements necessary to satisfy the statutory directive that nonresident attorneys maintain an office within the State “for the transaction of law business” under Judiciary Law § 470. We hold that the statute requires nonresident attorneys to maintain a physical office in New York.

Plaintiff Ekaterina Schoenefeld is a New Jersey resident who was admitted to the practice of law in New York in 2006. Schoenefeld is also admitted to practice in New Jersey and maintains her only law office in Princeton. According to the complaint, in 2007, Schoenefeld attended a continuing legal education class entitled *Starting Your Own Practice*, which was offered by the New York State Bar Association in New York City. There, she learned of the statutory requirement that nonresident attorneys must maintain an office within New York in order to practice in this State. Specifically, under Judiciary Law § 470, “[a] person, regularly admitted to practice as an attorney and counsellor, in the courts of record of this state, whose office for the transaction of law business is within the state, may practice as such attorney or counsellor, although he resides in an adjoining state.”

Schoenefeld commenced this action in federal district court in July 2008, alleging that Judiciary Law § 470 was unconstitutional on its face and as applied to nonresident attorneys in

violation of the Privileges and Immunities Clause of the United States Constitution (US Const, art IV, § 2).¹ She alleged that she was unable to practice in the State, despite her compliance with all admission requirements, because she does not maintain an office in New York. She further maintained that there was no substantial state interest served by the office requirement, which was not applicable to New York resident attorneys.

The district court granted plaintiff's motion for summary judgment and held that section 470 violated the Privileges and Immunities Clause (*see Schoenefeld v New York*, 907 F Supp 2d 252, 266 [ND NY 2011]). The court determined that the office requirement implicated nonresident attorneys' fundamental right to practice law. The court then rejected the state interests proffered by defendants as insubstantial and found that, in any event, the statute did not bear a substantial relationship to the interests asserted as there were less restrictive means of accomplishing those interests.

The Second Circuit determined that the constitutionality of the statute was dependent upon the interpretation of the law office requirement (*see Schoenefeld v New York*, 748 F3d 464, 467 [2d Cir 2014]). The court observed that the requirements that must be met by nonresident attorneys in order to practice law in New York reflect an important state interest and implicate significant policy issues. The court therefore certified the following question for our review: "Under New York Judiciary Law § 470, which mandates that a nonresident attorney maintain an 'office for the transaction of law business' within the state of New York, what are the minimum requirements necessary to satisfy that mandate?" (*Schoenefeld*, 748 F3d at 471). We accepted certification (23 NY3d 941 [2014]) and, as noted above, we interpret the statute as requiring nonresident attorneys to maintain a physical law office within the State.

It is well settled that, where the language of a statute is clear, it should be construed according to its plain terms (*see Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 107 [1997]). We have also held that "no rule of construction gives the court

1. This action was initially commenced in the Southern District of New York. That court granted defendants' motion to transfer venue to the Northern District. The Northern District then granted, in part, defendants' motion to dismiss the amended complaint by dismissing the action as against certain named defendants and by dismissing plaintiff's Commerce Clause and equal protection claims.

discretion to declare the intent of the law when the words are unequivocal” (*Raritan*, 91 NY2d at 107 [internal quotation marks, citation and emphasis omitted]).

Here, the statute appears to presuppose a residency requirement for the practice of law in New York State. It then makes an exception, by allowing nonresident attorneys to practice law if they keep an “office for the transaction of law business” in this State.² By its plain terms, then, the statute requires nonresident attorneys practicing in New York to maintain a physical law office here.

However, recognizing that there may be a constitutional flaw if the statute is interpreted as written, defendants urge us to construe the statute narrowly in accordance with the doctrine of constitutional avoidance (*see Overstock.com, Inc. v New York State Dept. of Taxation & Fin.*, 20 NY3d 586, 593 [2013] [“courts must avoid, if possible, interpreting a presumptively valid statute in a way that will needlessly render it unconstitutional”]). In particular, they suggest that the provision can be read merely to require nonresident attorneys to have some type of physical presence for the receipt of service—either an address or the appointment of an agent within the State. They maintain that interpreting the statute in this way would generally fulfill the legislative purpose and would ultimately withstand constitutional scrutiny.

The statute itself is silent regarding the issue of service. When the statute was initially enacted in 1862, however, it did contain a service provision. At that time, it essentially required that an attorney who maintained an office in New York, but lived in an adjoining state, could practice in this State’s courts and that service, which could ordinarily be made upon a New York attorney at his residence, could be made upon the nonresident attorney through mail addressed to his office (*see* L 1862, ch 43). Upon the enactment of the Code of Civil Procedure in 1877, the provision was codified at section 60 of the Code. In 1909, the provision was divided into two parts—a service provision, which remained at section 60 of the Code, and a law office requirement, which became section 470 of the Judiciary

2. The Appellate Division departments have not limited the application of the statute to residents of adjoining states, but have applied it to nonresident attorneys in general (*see e.g. Lichtenstein v Emerson*, 251 AD2d 64 [1st Dept 1998]; *Matter of Haas*, 237 AD2d 729 [3d Dept 1997]). We accept that interpretation, which is not contested by the parties, for the purposes of this certified question.

Law. Notably, after we invalidated a New York residency requirement for attorneys in *Matter of Gordon* (48 NY2d 266 [1979]) the legislature amended several provisions of the Judiciary Law and the CPLR to conform to that holding (L 1985, ch 226). Section 470, however, was not one of the provisions amended and has remained virtually unchanged since 1909.

Even assuming the service requirement had not been expressly severed from the statute, it would be difficult to interpret the office requirement as defendants suggest. As the Second Circuit pointed out, even if one wanted to interpret the term “office” loosely to mean someplace that an attorney can receive service, the additional phrase “for the transaction of law business” makes this interpretation much less plausible. Indeed, the Appellate Division departments have generally interpreted the statute as requiring a nonresident attorney to maintain a physical office space (*see Lichtenstein*, 251 AD2d 64; *Haas*, 237 AD2d 729; *Matter of Larsen*, 182 AD2d 149 [2d Dept 1992]). Defendants’ proffered interpretation, on the other hand, finds no support in the wording of the provision and would require us to take the impermissible step of rewriting the statute (*see Matter of Wood v Irving*, 85 NY2d 238, 245 [1995]).

The State does have an interest in ensuring that personal service can be accomplished on nonresident attorneys admitted to practice here. However, it is clear that service on an out-of-state individual presented many more logistical difficulties in 1862, when the provision was originally enacted. The CPLR currently authorizes several means of service upon a nonresident attorney, including mail, overnight delivery, fax and (where permitted) email (*see* CPLR 2103 [b]). Under our own Court rules, the admission of attorneys who neither reside nor have full-time employment in the State is conditioned upon designating the clerk of the Appellate Division in their department of admission as their agent for the service of process for actions or proceedings brought against them relating to legal services offered or rendered (*see* Rules of Ct of Appeals [22 NYCRR] § 520.13 [a]). Therefore, there would appear to be adequate measures in place relating to service upon nonresident attorneys and, of course, the legislature always remains free to take any additional action deemed necessary.

Accordingly, the certified question should be answered in accordance with this opinion.

Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur; Judge STEIN taking no part.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question answered in accordance with the opinion herein.

[29 NE3d 227, 6 NYS3d 218]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BORIS
SHAULOV, Appellant.

Argued February 17, 2015; decided March 31, 2015

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 12, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Raymond Guzman, J.), which had convicted defendant, upon a jury verdict, of rape in the third degree (two counts), criminal sexual act in the third degree, endangering the welfare of a child and sexual abuse in the third degree.

People v Shaulov, 107 AD3d 829, reversed.

HEADNOTE

Crimes — Evidence — Hearsay — Prompt Outcry — Unfair and Prejudicial Surprise

In a prosecution for statutory and non-consensual rape and other sex crimes, the trial court abused its discretion when it denied defense counsel's motion for a mistrial or to strike complainant's prompt outcry testimony—elicited by the People in disregard of their pretrial representation to the court and defense counsel that no such testimony would be offered because complainant had not disclosed the alleged assaults to anyone until months after they occurred—that she called and partially disclosed “what happened” to a friend on the night of the assaults. Defendant was denied a remedy for the unfair and prejudicial surprise of such testimony under the circumstances, where the People failed to correct their prior representation, where defense counsel was deprived of the opportunity to timely and meaningfully revise his trial strategy premised upon complainant's delayed disclosure and emphasized the absence of any prompt outcry evidence during his opening statement, and where the error occurred early in the proceedings. Complainant's testimony that she disclosed her accusations against defendant—even partially—the same night as the assaults took defendant by surprise because it was inconsistent with the People's earlier position and with complainant's grand jury testimony. Moreover, the resulting prejudice was substantial. Complainant's cell phone records and expert testimony corroborated and explained the nature and timing of complainant's disclosure, and, although complainant failed to tell her friend that the assaults were non-consensual, the jury convicted defendant of the age-based charges but acquitted him of the charges based on lack of consent for reasons other than age.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Continuance § 73; AM JUR 2d, Criminal Law

§ 930; AM JUR 2d, Rape §§ 59, 62, 66, 72; AM JUR 2d, Witnesses § 757.

CARMODY-WAIT 2d, Particular Types of Evidence § 194:115; CARMODY-WAIT 2d, Motion for Mistrial § 197:24.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.11.

NY JUR 2d, Criminal Law: Procedure §§ 2260, 2305, 2308, 2329.

ANNOTATION REFERENCE

See ALR Index under Impeachment of Witnesses; Mistrial; Rape.

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Database: NY-ORCS

Query: prejudic! /p surprise & prompt /3 outcry

POINTS OF COUNSEL

Stuart D. Rubin, Brooklyn, for appellant. I. Appellant was denied his right to effective assistance of counsel. (*People v Jones*, 55 NY2d 771; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *People v Hobot*, 84 NY2d 1021; *People v Flores*, 84 NY2d 184; *Espinal v Bennett*, 588 F Supp 2d 388; *People v Pelchat*, 62 NY2d 97; *People v Butler*, 185 AD2d 141; *Strickland v Washington*, 466 US 668.) II. The trial court abused its discretion by denying appellant's motion for a mistrial and motion to strike surprise evidence of prompt outcry. (*People v Petty*, 7 NY3d 277; *People v Davis*, 43 NY2d 17.)

Kenneth P. Thompson, District Attorney, Brooklyn (*Amy Appelbaum*, *Leonard Joblove* and *Anthea H. Bruffee* of counsel), for respondent. I. Defendant was not deprived of the effective assistance of counsel by counsel's presentation of evidence through a custodian of records of the Department of Probation or by counsel's not objecting to the testimony of the expert on child sexual abuse. (*People v Henry*, 95 NY2d 563; *People v Benevento*, 91 NY2d 708; *People v Ford*, 86 NY2d 397; *People v Stultz*, 2 NY3d 277; *Strickland v Washington*, 466 US 668; *People v Kennedy*, 68 NY2d 569; *People v Taylor*, 75 NY2d 277; *De Long v County of Erie*, 60 NY2d 296; *People v Abney*, 13 NY3d 251; *People v Lee*, 96 NY2d 157.) II. The trial court properly exercised its discretion in denying defendant's motion for a mistrial based on the complainant's testimony about her

conversation with her friend after the crime and in denying defendant's alternative motion to strike that testimony, because defendant was not prejudiced by that testimony. (*People v Rosario*, 17 NY3d 501; *People v McDaniel*, 81 NY2d 10; *People v Rice*, 75 NY2d 929; *People v Ortiz*, 54 NY2d 288; *People v Michael*, 48 NY2d 1; *People v Montes*, 16 NY3d 250.)

OPINION OF THE COURT

STEIN, J.

On this appeal, defendant Boris Shaulov argues that he was deprived of the effective assistance of counsel at trial and that the trial court abused its discretion by refusing to declare a mistrial or to strike the surprise prompt outcry testimony elicited by the People in disregard of the prosecutor's pretrial representation that no such testimony would be offered. We agree with defendant's latter contention, and hold that Supreme Court erred by failing to order a mistrial or to strike the testimony. Accordingly, we reverse the Appellate Division order.

Defendant was charged with multiple counts of statutory and non-consensual rape and other sex crimes, for allegedly engaging in sexual activity with the 16-year-old complainant when he was 23 years old. Complainant testified that, on the day of the alleged sexual assault, she and defendant—who she knew through her ex-boyfriend—went to an apartment in Brooklyn sometime between 8:00 p.m. and 9:00 p.m. While they were watching a movie, defendant began to kiss and grope her and, despite her protests and attempts to resist, allegedly raped her twice. Based on complainant's testimony and cell phone records, the People claimed the alleged rapes occurred between 9:21 p.m. and 10:57 p.m.

At a pretrial hearing, the People explicitly represented to the court and defense counsel that there would be no prompt outcry testimony, as complainant had not disclosed the sexual assault to anyone until at least six months after it allegedly happened. In response to the court's inquiry, defense counsel stated that “the People have said that there's no prompt outcry, so I think that takes care of that issue.” The court ruled that the People could present expert testimony about rape trauma syndrome if defendant attempted to impeach complainant based on her delayed disclosure.

In his opening statement to the jury, defense counsel—relying on the People's earlier representation—stated that

“[t]he complaining witness is going to tell you that she was on the phone that night more than once—her mother, her friends, different people. She was on the phone, had access to her phone, but she didn’t call 911, she didn’t tell any of the people she was on the phone with . . . You’re going to hear about a long delay in her telling anybody about these accusations.”

However, shortly thereafter, complainant testified on direct examination that she called a friend on her way home from the apartment that night, and “told her [friend] what happened . . . [but] didn’t tell her the whole story” and “didn’t tell her [friend] that [she] didn’t want [it] to happen.” The People purposefully elicited this testimony and “expected” the complainant to testify that she told her friend she had “engaged in sexual intercourse” with defendant.

Defense counsel objected and sought a mistrial or, alternatively, a ruling striking that portion of complainant’s testimony regarding the alleged conversation with her friend on the night of the alleged sexual assault. Defense counsel argued that such testimony was prompt outcry evidence, which the People had represented would not be introduced at trial. According to defense counsel, complainant’s testimony “totally change[d] [his] trial strategy” as “it would have changed voir dire, it would have changed [his] opening [statement].” The People characterized the testimony as a partial disclosure, claimed that it “c[a]me to light at the last minute,” and argued that it did not prejudice defendant.

The court concluded that the testimony described a prompt outcry,* but denied defendant’s request for a mistrial and let the testimony stand, concluding that it was not “an unfair surprise that unduly prejudice[d] . . . defendant.” The court reasoned that the testimony was not overly prejudicial because the jury could find that complainant was incredible.

When the trial resumed, complainant testified that she fully disclosed the sexual assault to her brother-in-law and two administrators from her school some six months after it allegedly occurred. The People then presented an expert witness, who explained the characteristics of rape trauma syndrome to the jury. More specifically, the expert testified that delayed

* On appeal, neither party disputes that the testimony did, in fact, amount to prompt outcry evidence.

disclosure was a common response to sexual assault, as was disclosure to a trusted adult outside the nuclear family. The expert further explained that sex crime victims often make “partial disclosure[s]” by minimizing or omitting the details of a sexual assault to “test[] the waters” before fully disclosing the events. The People also introduced cell phone records, which confirmed that complainant spoke with her friend shortly after 11:00 p.m. on the evening of the alleged assault, consistent with complainant’s testimony that she called the friend on her way home from the apartment.

Defense counsel attempted to discredit complainant, suggesting that she fabricated the allegations of rape after a dispute with defendant regarding her relationship with his cousin. Defense counsel focused on complainant’s delayed disclosure, and impeached complainant with her grand jury testimony that she did not tell anyone about the alleged rapes that night. In addition, counsel introduced into evidence probation records tending to establish that probation officers conducted a home visit at defendant’s apartment during the time the People alleged that the rapes had occurred.

After the close of proof and summations, the jury found defendant guilty of two counts of rape in the third degree (*see* Penal Law § 130.25 [2]), criminal sexual act in the third degree (*see* Penal Law § 130.40 [2]), sexual abuse in the third degree (*see* Penal Law § 130.55), and endangering the welfare of a child (*see* Penal Law § 260.10 [1]). However, the jury acquitted defendant of the remaining crimes charged, which were based on a theory of lack of consent by reason other than age.

The Appellate Division affirmed, holding, in relevant part, that the trial court did not abuse its discretion by denying defendant’s motion for a mistrial based on complainant’s prompt outcry testimony (107 AD3d 829 [2d Dept 2013]). A Judge of this Court granted defendant leave to appeal (22 NY3d 1141 [2014]), and we now reverse.

Based on this record, the trial court abused its discretion when it denied defense counsel’s motion for a mistrial or to strike a portion of complainant’s testimony. Undisputedly, complainant’s testimony that she told her friend “what happened” conveyed to the jury that she had engaged in sexual intercourse with defendant that evening. Although this testimony was relevant, we have observed that relevancy, alone, does not render evidence admissible because “it may be rejected if its

probative value is outweighed by the danger that its admission would . . . unfairly surprise a party . . . or create substantial danger of undue prejudice to one of the parties’ ” (*People v Davis*, 43 NY2d 17, 27 [1977], *cert denied* 435 US 998 [1978], quoting Jerome Prince, *Richardson on Evidence* § 147 at 117 [10th ed 1973]; see *People v Cortez*, 22 NY3d 1061, 1079 [2014, Abdus-Salaam, J., concurring], *cert denied* 574 US —, 135 S Ct 146 [2014]).

Relying on the People’s pretrial representation, defense counsel shaped his trial strategy—from voir dire to his opening statement—based on his founded belief that complainant did not disclose the alleged rapes until months after they occurred. Complainant’s testimony that she disclosed her accusations against defendant—even partially—the same night as the alleged assaults, took defendant by surprise because it was inconsistent with the People’s earlier position and with complainant’s grand jury testimony. Despite the People’s admission that they “expected” complainant to testify in such a manner, the prosecutor inexplicably failed to convey this information to defense counsel. As a result, the surprise testimony eviscerated counsel’s credibility with the jury and irreparably undermined his trial strategy.

We are not persuaded that the resulting prejudice was insubstantial. Notably, complainant’s cell phone records and the expert’s testimony corroborated and explained the nature and timing of complainant’s disclosure, thereby exacerbating the prejudice to defendant. The People claim that complainant’s disclosure was not prejudicial because she failed to tell her friend that the alleged rapes were non-consensual. This claim is unavailing. To the contrary, although unknown to the trial judge at the time of his ruling, complainant’s testimony later proved especially prejudicial to defendant because the jury convicted him of the age-based charges but acquitted him of the charges based on lack of consent for reasons other than age.

Under these circumstances—where the People failed to correct a prior representation to the court and defense counsel, where counsel was deprived of the opportunity to timely and meaningfully revise his trial strategy and emphasized the absence of any prompt outcry evidence during his opening statement, and where the error occurred early in the proceedings—the trial court abused its discretion by denying defendant a remedy for the unfair and prejudicial surprise (see *Davis*,

43 NY2d at 27; *see also People v Walker*, 83 NY2d 455, 458 [1994]). In light of our conclusion, we need not reach defendant's ineffective assistance of counsel claim.

Accordingly, the Appellate Division order should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur.

Order reversed and a new trial ordered.

[29 NE3d 877, 6 NYS3d 530]

BDC FINANCE L.L.C., Respondent/Counterclaim Defendant-
Respondent, v BARCLAYS BANK PLC, Appellant/
Counterclaim Plaintiff-Appellant.

Argued January 6, 2015; decided February 19, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 24, 2013. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Eileen Bransten, J.; op 2012 NY Slip Op 33758[U] [2012]), which, to the extent appealed from as limited by the briefs, had (1) denied plaintiff's motion for summary judgment on liability on its breach of contract claim; (2) granted defendant's motion for summary judgment to the extent of dismissing that portion of plaintiff's cause of action for breach of contract claiming that defendant was required to pay the full amount of plaintiff's collateral call of October 6, 2008; and (3) otherwise denied defendant's motion for summary judgment as to its breach of contract counterclaims. The modification consisted of (1) granting plaintiff's motion for summary judgment on its breach of contract claim, and (2) denying defendant's motion on that claim. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of Supreme Court, properly made?"

BDC Fin. L.L.C. v Barclays Bank PLC, 110 AD3d 582, modified.

HEADNOTE

Contracts — Breach or Performance of Contract — Total Return Swaps Transactions — Compliance with Provision for Dispute of Collateral Calls

In a breach of contract action arising from a series of transactions known as total return swaps memorialized in agreements under which both plaintiff hedge fund and defendant bank had the right to demand collateral from the other party based on changes in the underlying debt instruments, neither party was entitled to summary judgment where material issues of fact existed as to whether defendant defaulted under the contracts when it made a transfer on a collateral call request a day later than required by the contract and in an amount less than an undisputed amount. The "Delivery of Collateral" provision of the parties' master confirmation agreement provided that, notwithstanding anything in the credit support annex (CSA) to the contrary, defendant "shall Transfer any Return Amounts in respect of Transactions not

later than the Business Day following the Business Day on which [plaintiff] requests the Transfer of such Return Amount.” An informal dispute resolution procedure found in the CSA required the disputing party to first notify the other party of the dispute, then transfer the “undisputed amount,” if any, to the other party. Here, within hours of receiving the collateral call from plaintiff, defendant emailed plaintiff stating that it did not agree with the call, and queried whether plaintiff wanted to invoke the dispute mechanism. The parties spoke with one another about the dispute, including at least two telephone conversations on the day of the collateral call and the next day. Defendant then made a transfer to plaintiff two days after the collateral call that was \$80,000 less than the undisputed amount. A question of fact existed as to whether defendant complied with the undisputed amount provision, i.e., whether plaintiff received the full benefit of the amount it was owed when defendant made the transfer and reduced the amount of its collateral call to plaintiff by the additional \$80,000.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Contracts §§ 430, 611, 659, 701, 717; AM JUR 2d, Securities Regulation—Federal §§ 339.60, 872, 1154; AM JUR 2d, Stock and Commodity Exchanges §§ 4–7.
CARMODY-WAIT 2d, Complaints in Particular Actions §§ 29:69, 29:236.
NEW YORK CONTRACT LAW §§ 4:5, 12:6, 13:11, 14:6, 14:11, 16:2–16:3, 16:13, 17:3, 17:10, 17:13, 21:8, 22:2–22:3, 22:26, 23:5, 23:35.
NY JUR 2d, Brokers § 109; NY JUR 2d, Contracts §§ 193, 262, 323, 329, 355, 375, 541.
WILLISTON ON CONTRACTS (4th ed) §§ 12:1, 12:4, 42:4, 43:5–43:7, 43:32, 44:52, 47:1, 63:1, 63:2–63:4, 63:18, 63:29, 63:46, 77:95.

ANNOTATION REFERENCE

See ALR Index under Banks; Contracts; Secured Transactions.

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Database: NY-ORCS

Query: breach! perform! & swap! /p collateral

POINTS OF COUNSEL

Sullivan & Cromwell LLP, New York City (*Jeffrey T. Scott*, *Robinson B. Lacy* and *Marc De Leeuw* of counsel), for appellant/counterclaim plaintiff-appellant. *I. Barclays Bank PLC* was entitled to summary judgment that *BDC Finance L.L.C.* was not entitled to terminate the transactions. (*Union Carbide*

Corp. v Affiliated FM Ins. Co., 16 NY3d 419; *Hudson-Port Ewen Assoc. v Chien Kuo*, 78 NY2d 944; *Kass v Kass*, 91 NY2d 554; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Matter of Riconda*, 90 NY2d 733; *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352; *Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582; *Gessin Elec. Contrs., Inc. v 95 Wall Assoc., LLC*, 74 AD3d 516; *Ruttenberg v Davidge Data Sys. Corp.*, 215 AD2d 191; *Tibbetts Contr. Corp. v O & E Contr. Co.*, 15 NY2d 324.) II. Barclays Bank PLC was entitled to summary judgment that it properly terminated the transactions. (*Filmline [Cross-Country] Prods., Inc. v United Artists Corp.*, 865 F2d 513; *AG Props. of Kingston, LLC v Besicorp-Empire Dev. Co., LLC*, 14 AD3d 971.) III. In the alternative, factual disputes preclude summary judgment in BDC Finance L.L.C.'s favor. (*Greenfield v Philles Records*, 98 NY2d 562; *Chimart Assoc. v Paul*, 66 NY2d 570; *Bailey v Fish & Neave*, 8 NY3d 523; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Triax Capital Advisors, LLC v Rutter*, 83 AD3d 490; *St. Paul Fire & Mar. Ins. Co. v Capri Constr. Corp.*, 78 NY2d 1016; *Capra v Lumbermens Mut. Cas. Co.*, 31 NY2d 760.)

Richards Kibbe & Orbe LLP, New York City (Craig A. Newman, Daniel L. Stein, Matthew M. Riccardi and Alex M. Solomon of counsel), and *Richards Kibbe & Orbe LLP*, Washington, D.C. (David W.T. Daniels of counsel), for respondent/counterclaim defendant-respondent. I. The Appellate Division correctly determined that Barclays Bank PLC breached the agreement by refusing to return all of BDC Finance L.L.C.'s cash collateral following termination for default. (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Moran v Erk*, 11 NY3d 452; *MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *Reddy v Ratnam*, 95 AD3d 982; *Cooper-Rutter Assoc. v Anchor Natl. Life Ins. Co.*, 193 AD2d 944; *Towers Charter & Mar. Corp. v Cadillac Ins. Co.*, 894 F2d 516; *White v Knickerbocker Ice Co.*, 254 NY 152; *Knapp v Hughes*, 19 NY3d 672; *Bailey v Fish & Neave*, 8 NY3d 523.) II. Barclays Bank PLC, in any event, is not entitled to partial summary judgment that it had the right to terminate. (*Brualdi v IBERIA, Lineas Aereas de Espana, S.A.*, 79 AD3d 959; *Kooleraire Serv. & Installation Corp. v Board of Educ. of City of N.Y.*, 28 NY2d 101.)

OPINION OF THE COURT

PIGOTT, J.

This appeal arises out of a contract dispute between Barclays Bank PLC, a major global bank based in the United

Kingdom, and BDC Finance L.L.C., a Connecticut-based hedge fund. We hold that material issues of fact exist as to whether Barclays defaulted under the parties' contract, and thus conclude that neither party is entitled to summary judgment.

I.

In May 2005, the parties entered into a series of transactions known as "total return swaps," whereby BDC agreed to make payments to Barclays based on a financing rate, while Barclays agreed to make payments based on the return of certain underlying referenced assets. The transactions were memorialized in several standard forms issued by the International Swaps and Derivatives Association, including a master agreement, a schedule and a credit support annex (CSA). The parties also negotiated and drafted a master confirmation agreement.

Under the agreements, each party had the right to demand collateral from the other party based on changes in the value of the underlying debt instruments. Thus, Barclays was entitled to ask BDC to transfer a "Delivery Amount" of additional collateral to Barclays if Barclays was under-collateralized and BDC was entitled to ask Barclays to transfer a "Return Amount" of collateral if Barclays was over-collateralized.

As relevant to this appeal, the master confirmation agreement contained a "Delivery of Collateral" clause that provided that Barclays was to transfer any Return Amount "no[] later than the Business Day following the Business Day on which [BDC] requests the Transfer of such Return Amount."

The CSA set forth a two-tiered mechanism for resolving disputes between the parties on the calculation of collateral calls. In the event of a dispute, the parties were to first use an informal dispute resolution mechanism. The informal mechanism required the disputing party to notify the other party of the dispute and transfer any undisputed amount, and the parties were then to attempt to resolve what remained of the dispute. If the dispute could not be resolved in this informal fashion, a formal mechanism was in place that required the party making the collateral call to recalculate the call by "seeking four actual quotations at mid-market from Reference Market-makers for purposes of calculating Market Quotation, and taking the arithmetic average" to determine the referenced assets' value.

On October 6, 2008, the parties exchanged competing collateral call requests. Barclays demanded a Delivery Amount of \$11,750,000 in collateral from BDC and BDC responded by demanding that Barclays transfer a Return Amount of approximately \$40 million. Barclays did not make a transfer, but instead responded by email stating that it did not agree with BDC's collateral call, asking whether BDC "want[ed] to invoke the dispute mechanism," and reiterating that Barclays was due collateral from BDC. BDC and Barclays eventually agreed after discussion that day that BDC owed Barclays \$13.52 million. BDC sent Barclays a payment.

On the next day, October 7, BDC and Barclays discussed BDC's \$40 million collateral call and, after taking into account the transfer made by BDC, Barclays agreed that it owed BDC \$5,080,000. No transfer was made that day. Rather, Barclays transferred \$5 million to BDC on October 8, claiming that the delay of the transfer was due to processing issues. Barclays also issued a new demand for \$20.5 million in additional collateral to BDC.

On October 8, BDC sent Barclays a document entitled "Notice of Failure to Transfer Return Amount." The notice stated that Barclays had failed to "either (i) pay the relevant Return Amount or (ii) notify BDC that Barclays disputes the calculation of the Return Amount and make a payment with respect to the undisputed amount." The notice further informed Barclays that "if this failure continues for two business days, an Event of Default will have occurred."

BDC paid collateral calls made by Barclays on October 8 and October 9, "under protest and without prejudice" to any claims of BDC.

Barclays sent BDC further collateral calls on October 10 and October 14. BDC refused to pay those collateral calls, responding that Barclays had defaulted on the \$40 million collateral call and any outstanding transactions had been terminated.

On October 14, BDC emailed Barclays a document entitled "Notice of Designation of Early Termination Date" (the termination notice). The termination notice stated that an "Event of Default ha[d] occurred under the Master Agreement by virtue of Barclays' failure to transfer the Return Amount reflected in the Return Demand on or prior to the second business day after the date of the Notice of Failure." Barclays responded, contesting the claim of default and contending that it had

complied with the dispute resolution procedure under the CSA and had promptly disputed BDC's \$40 million collateral call. On October 23, Barclays sent BDC a letter terminating the master agreement due to BDC's alleged default.

II.

On October 17, 2008, BDC filed this action for breach of contract and declaratory judgment. Barclays answered and counterclaimed alleging corresponding causes of action.

Both BDC and Barclays moved for summary judgment. Supreme Court denied BDC's motion, and granted Barclays' cross motion to the extent of dismissing that portion of BDC's cause of action for breach of contract alleging that Barclays was required to pay the full amount of BDC's collateral call of October 6, 2008 (2012 NY Slip Op 33758[U] [Sup Ct, NY County 2012]). The court otherwise denied the cross motion and ordered that the parties appear for a status conference to discuss the remaining issues (*id.*).

The Appellate Division, with two Justices dissenting in part, modified by granting BDC's motion and denying Barclays' cross motion, and otherwise affirmed (110 AD3d 582 [1st Dept 2013]). The Court held that the evidence in the record established "as a matter of law" that Barclays did not properly dispute the October 6 collateral call because Barclays neither notified BDC of the dispute nor transferred the undisputed amount of \$5,080,000 by October 7, 2008 (*id.* at 585). It also noted that Barclays' payment of \$5 million on October 8 was a day late, and although BDC had notified Barclays that it then had two days to pay the Return Amount, Barclays did not remit the \$40 million, placing it in default (*id.*). Barclays' default, in turn, entitled BDC to terminate the transactions and demand return of its collateral (*id.*). "Because Barclays did not return BDC's collateral, it breached the agreements, and summary judgment on liability should have been granted to BDC" (*id.*).

The Court rejected Barclays' argument that its \$5 million payment within the two-day period cured any default (*id.*). The Court held that because Barclays did not pay the undisputed amount by the deadline, it lost any right it may have had to suspend the payment of the full \$40 million (*id.*).

Finally, the Court held that Barclays was not entitled to summary judgment on its counterclaims alleging that BDC failed to meet Barclays' collateral calls on October 10 and 14,

2008 (*id.* at 588). It held that “BDC was not required to meet those calls because at the time they were due, Barclays was already in default and BDC had terminated the transactions” (*id.*).

The dissent would have found that questions of fact exist as to whether Barclays gave BDC notice of the dispute and whether there was any undisputed amount owed by Barclays to BDC when Barclays refused to pay the \$40 million Return Amount on October 6, 2008 and whether Barclays’ responses that day, considered in the light of the past practice of the parties, were sufficient to invoke the informal dispute resolution mechanism agreed to by the parties (*id.* at 590-591).

The Appellate Division granted Barclays leave to appeal, certifying the question whether its order was properly made.

III.

The dispute in this case centers around the \$40 million collateral call made by BDC to Barclays on October 6, 2008. BDC claims that under the terms of the master confirmation agreement and CSA, that Return Amount was due by the close of business on October 7. BDC separately argues that Barclays could have suspended the due date of that Return Amount by complying with the dispute mechanism contained in the CSA, but that Barclays failed to do so.

BDC’s first claim is that the “Delivery of Collateral” clause of the master confirmation unconditionally required Barclays to transfer the Return Amount by the next business day, or October 7. The provision provides, in relevant part, that “[n]otwithstanding anything in the Credit Support Annex to the contrary: . . . [Barclays] shall Transfer any Return Amounts in respect of Transactions not later than the Business Day following the Business Day on which [BDC] requests the Transfer of such Return Amount.”

“Unless statutory language or public policy dictates otherwise, the terms of a written agreement define the rights and obligations of the parties” (*Abiele Contr. v New York City School Constr. Auth.*, 91 NY2d 1, 9 [1997]). We have held that “where the parties have agreed to conduct themselves in accordance with the rights and duties expressed in a contract, a court should strive to give a fair and reasonable meaning to the language used” (*id.* at 9-10).

The clause at issue, by its very language, discusses the time for transferring the Return Amount. This provision also

negates the dispute resolution procedure found in the CSA. As the Appellate Division dissent recognized, BDC's own course of conduct during the dispute refutes its interpretation of the provision.

With regard to the dispute resolution mechanism under the CSA, the first step requires that the disputing party must notify the other party of the dispute. BDC does not deny that Barclays gave notice that it disputed the collateral call. Indeed, within hours of receiving the collateral call, Barclays emailed BDC stating that it did not agree with the call, and queried whether BDC wanted to invoke the dispute mechanism.

Next, the disputing party must transfer the "undisputed amount," if any, to the other party. BDC claims that Barclays was required to transfer the undisputed amount of \$5,080,000 by the close of the business day on October 7. Barclays' failure to make the full transfer of that amount on that day, BDC maintains, resulted in the remaining obligation to pay the \$40 million.

Barclays maintains that it paid \$5,000,000, which represented over 98% of an amount due to BDC. Further, it explains that the \$80,000 shortfall was credited to BDC on October 8 as part of the collateral transfers between the parties. It also claims that the failure to transfer the full undisputed amount does not then result in the total collateral call being due and owing, particularly when BDC failed to give notice of any issue with the undisputed amount payment or an opportunity to cure.

We conclude that questions of fact exist as to whether Barclays complied with the undisputed amount provision. The record reflects that Barclays and BDC spoke with one another about the dispute, including at least two telephone conversations on October 6 and 7, 2008. The undisputed amount, Barclays maintains, reflected an agreement about the outstanding collateral calls made by both parties. Barclays then undisputedly transferred \$5 million to BDC on October 8. A question of fact exists as to whether BDC received the full benefit of the amount it was owed when Barclays paid the \$5 million and reduced the amount of its collateral call to BDC by the additional \$80,000.

Finally, because questions of fact exist as to whether Barclays defaulted, Barclays was not entitled to summary judgment on its counterclaims alleging that BDC failed to meet the October 10 and 14 collateral calls.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges READ, RIVERA and ABDUS-SALAAM concur; Judges STEIN and FAHEY taking no part.

Order modified, without costs, by remitting to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed and certified question answered in the negative.

[29 NE3d 881, 6 NYS3d 534]

In the Matter of MEHRAN MANOUEL et al., Appellants, v BOARD
OF ASSESSORS et al., Respondents.

Argued January 15, 2015; decided February 24, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 13, 2013. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Nassau County (Antonio I. Brandveen, J.; op 2011 NY Slip Op 34171[U] [2011]), entered in a proceeding pursuant to CPLR article 78 to review a determination disqualifying petitioners' application for small claims assessment review pursuant to RPTL article 7, which had granted respondents' motion to dismiss the proceeding, confirmed the determination, denied the petition and dismissed the proceeding.

Matter of Manouel v Board of Assessors, 111 AD3d 735, affirmed.

HEADNOTE

Taxation — Assessment — Small Claims Assessment Review — Property Occupied by Owner's Relative Not "Owner-Occupied"

When property that is the subject of a small claims assessment review (SCAR) application is occupied during the relevant tax period by an owner's relative but not by the owner, the property is not "owner-occupied" within the meaning of RPTL 730 (1) (b) (i). Thus, where petitioner homeowner's mother—but not petitioner homeowners themselves—lived in petitioners' residence rent-free during the relevant tax period, petitioners could not challenge the property's tax assessment in a SCAR proceeding because they were non-occupant owners. The "owner-occupied" language of RPTL 730 (1) (b) (i) is unambiguous, and the import of its ordinary meaning is that the person with ownership rights must be in occupancy of the property in order to petition for SCAR. Examination of the legislative history revealed that there was no question that the legislature passed the statute fully intending to distinguish between owner-occupied and non-owner-occupied properties. Likewise, administrative constructions of the "owner-occupied" requirement made clear that lack of occupancy by the owner renders the property ineligible for SCAR. Finally, assuming, without deciding, that an owner may proceed with a SCAR petition where his or her relative's occupancy is temporary, there was no record evidence to suggest that petitioners' relative occupied the premises temporarily.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Declaratory Judgments § 105; AM JUR 2d,

Special or Local Assessments § 125; AM JUR 2d, State and Local Taxation §§ 110–111, 127, 229, 356, 634, 680.

CARMODY-WAIT 2d, Judicial Review of Assessments of Taxes §§ 146:1, 146:3, 146:20, 146:28, 146:33, 146:41, 146:103, 146:112, 146:141–146:145, 146:149, 146:154, 146:163–146:164, 146:174.

McKINNEY'S, RPTL 730 (1) (b) (i).

NY JUR 2d, Taxation and Assessment §§ 221, 416, 418, 427, 446, 472–473, 476–480, 484–485, 489–490.

ANNOTATION REFERENCE

See ALR Index under Small Claims Court; Statutes; Taxes; Title and Ownership.

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Database: NY-ORCS

Query: assess! & “small claim!” /s “owner-occupied”

POINTS OF COUNSEL

Schroder & Strom, LLP, Mineola (Christopher P. Byrnes of counsel), for appellants. The hearing officer's decision lacked a rational basis because the subject property qualifies for small claims assessment review. (*Matter of Town of New Castle v Kaufmann*, 72 NY2d 684; *Matter of McNamara v Board of Assessors of Town of Smithtown*, 272 AD2d 617; *Matter of Meola v Assessor of Town of Colonie*, 207 AD2d 593; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Matter of Troy Props. v Dimitriadis*, 56 AD3d 1086; *Matter of Delaware & Hudson Ry. Co. v McDonald*, 126 AD2d 29; *Town of Tonawanda v Ayler*, 68 NY2d 836; *Matter of Masters v Board of Assessors*, 188 AD2d 471; *Matter of Regenstreif v Board of Assessors*, 20 Misc 3d 787; *Matter of Aerotech World Trade v Excalibur Sys.*, 236 AD2d 609.)

Carnell T. Foskey, County Attorney, Mineola (Martin Valk and Brian M. Libert of counsel), for respondents. I. The owner-occupied requirement under RPTL 730 must be afforded a plain reading because the statutory language is clear and unambiguous. (*Matter of Lauer v Board of Assessors*, 51 AD3d 926; *Matter of Gershon v Nassau County Assessment Review Commn.*, 29 AD3d 909; *Matter of Barbera v Assessor of Town of Pelham*, 278 AD2d 412; *Matter of McNamara v Board of Assessors of Town of Smithtown*, 272 AD2d 617; *Matter of Masters v Board*

of Assessors, 188 AD2d 471; *Matter of Regenstreif v Board of Assessors*, 20 Misc 3d 787; *Matter of Town of New Castle v Kaufmann*, 72 NY2d 684; *Matter of Kline v City of Rye*, 150 AD2d 576.) II. Pursuant to the canons of statutory construction the language of RPTL 730 specifically indicates that the legislature intended to exclude homes that are not “owner-occupied.” (*Matter of Regenstreif v Board of Assessors*, 20 Misc 3d 787; *Matter of Pierse v Zimmerman*, 255 App Div 708; *Novak & Co. v Travelers Indem. Co.*, 56 AD2d 418.)

OPINION OF THE COURT

RIVERA, J.

In this appeal concerning the denial of petitioners’ application for small claims assessment review of their property taxes under Real Property Tax Law § 730, we conclude that when, as in this case, the property is occupied during the relevant tax period by an owner’s relative but not by the owner, the property is not “owner-occupied” within the meaning of RPTL 730 (1) (b) (i). Therefore, petitioners’ property does not qualify for small claims assessment review and we affirm the denial of their petition.

Petitioners Mehran and Sepideh Manouel are the owners of a single-family residence located in Nassau County. In 2010, they filed a small claims assessment review (SCAR) petition pursuant to RPTL 730, which provides low-cost, expeditious tax assessment review of certain residential properties. The petition challenged the assessed value of their real property for the 2010/2011 tax year. The Manouels, however, did not occupy the property during the relevant tax period. Instead, petitioner Mehran Manouel’s mother lived in the residence, rent-free. Respondent County of Nassau requested disqualification of the petition for lack of jurisdiction, arguing that the property did not qualify for the SCAR program because it was not owner-occupied by the Manouels during the tax year in question, as required by RPTL 730 (1) (b) (i). The SCAR hearing officer agreed and ordered the petition disqualified.

Thereafter the Manouels commenced a CPLR article 78 proceeding challenging the hearing officer’s decision as arbitrary and capricious, and without rational basis. They argued their property came within the statute’s coverage because the owner-occupancy requirement was designed to exclude income-producing properties from SCAR, and the statute should therefore be read to encompass properties, like

theirs, which are occupied rent-free by the owner's relative. The County moved to dismiss again arguing the petition lacked a jurisdictional basis. Supreme Court concluded the hearing officer's determination was proper, granted the County's motion, and denied the petition and dismissed the article 78 proceeding (*Matter of Manouel v Board of Assessors*, 2011 NY Slip Op 34171[U] [2011]).

The Appellate Division affirmed, finding the Manouels did not reside on the property and no evidence established the mother's residence was merely temporary. Therefore, the Manouels failed to comply with the clear and unambiguous statutory requirement of RPTL 730 (1) (b) (i) that the owner occupy the premises (*Matter of Manouel v Board of Assessors*, 111 AD3d 735 [2d Dept 2013]). We granted the Manouels leave to appeal (22 NY3d 862 [2014]).

The Manouels argue that they should be able to avail themselves of the SCAR program because the statutory language should be interpreted to include noncommercial property occupied rent-free by their close relative. The County responds that by its plain language, and as confirmed by the statute's legislative history, RPTL 730 (1) (b) (i) is limited to properties that are owner-occupied. Therefore, because the Manouels concede that they did not occupy the premises during the relevant tax period, the property is beyond the scope of the statute. We agree with the County.

In determining the meaning of the statutory language at issue we adhere to the well established principle that "where the statutory language is clear and unambiguous, the court should construe it so as to give effect to the plain meaning of the words used" (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013] [brackets and citations omitted]; see also McKinney's Cons Laws of NY, Book 1, Statutes § 94, Comment ["The Legislature is presumed to mean what it says, and if there is no ambiguity in the act, it is generally construed according to its plain terms"]). According to the RPTL, an owner may petition for property tax review under the SCAR program provided that "the property is . . . improved by a one, two or three family owner-occupied structure used exclusively for residential purposes" (RPTL 730 [1] [b] [i]). The "owner-occupied" language in this section is unambiguous, and the import of its ordinary meaning is that the person with ownership rights must be in occupancy of the subject property in order to petition under the SCAR program.

The choice of the word “owner,” which is legally understood to mean the holder of certain superior interests in property (*see* Black’s Law Dictionary [9th ed 2009] [defining owner as “(o)ne who has the right to possess, use, and convey something; a person in whom one or more interests are vested”]; *see generally* 1 Rasch, New York Law and Practice of Real Property §§ 2:1, 2:2, 2:4), when used in section 730 (1) (b) (i) to modify the type of occupancy required by the statute means that section 730 excludes property occupied solely by persons with rights inferior to those of the owner. Moreover, because the statute lacks any reference to occupancy by persons other than owners, we presume the legislature intentionally omitted non-owner occupants from coverage (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 74 [“the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended”]) and accordingly, we decline to “read into the statute that which was specifically omitted by the legislature” (*Commonwealth of the N. Mariana Is.*, 21 NY3d at 62). The statute’s unambiguous language thus leads to the conclusion that the Manouels cannot challenge the property’s tax assessment in a SCAR proceeding because during the tax year at issue they were non-occupant owners of the property.

Nevertheless, in support of their argument that we should attach a more expansive meaning to “owner-occupied” than the words may suggest, the Manouels rely on *Matter of Town of New Castle v Kaufmann* where this Court stated that “literal and narrow interpretations [of statutes] should be avoided” where “such a construction would thwart the settled purposes of the statute” (72 NY2d 684, 686 [1988] [citations omitted]). The Manouels contend that in order to effectuate the purpose of the SCAR petition process, the statutory term “owner-occupied” should be liberally construed to include property, like theirs, occupied by the owner’s non-rent-paying relative. They argue that such construction is faithful to the legislative intent to deny owners of income-generating properties access to the SCAR program, presumably because such owners could afford a traditional tax certiorari appeal. The underlying premise of the Manouels’ argument is obvious: owners of non-income-producing properties who allow their relatives to occupy the property rent-free are the types of beleaguered taxpayers the legislature sought to assist when it created the SCAR program. It may be true that the owners described by the Manouels

would be well served by participation in the SCAR program, but that is a far cry from a legally sufficient basis to conclude that they are the intended beneficiaries of RPTL 730.

The Manouels argue that in *Town of New Castle* this Court interpreted RPTL 730 broadly, eschewing narrow interpretations that undermine the statute's primary remedial purposes, and that we should do so again in this case. While the Manouels are correct that *Town of New Castle* took a somewhat broad view of a different section 730 requirement, they are incorrect that the decision mandates we do the same here with respect to the "owner-occupied" requirement.

In *Town of New Castle*, this Court interpreted the residential use requirement of RPTL 730 (1), which limits the SCAR program to property "used exclusively for residential purposes," to also include properties used occasionally or incidentally for nonresidential purposes (72 NY2d at 687). The Manouels argue that we should apply a similarly expansive reading to the statute's "owner-occupied" requirement so as to include properties occupied solely by the owners' non-paying relatives. However, the Court's interpretation of RPTL 730 in *Town of New Castle*, in a manner apparently in contradiction to the explicit statutory text, relied on legislative history and administrative guidance to support the conclusion that a narrow construction of the residency provision would contravene the primary purposes of RPTL 730. Those factors are lacking in the Manouels' case.

As this Court stated in *Town of New Castle*, the legislature enacted RPTL 730 in order to provide a speedy, inexpensive, and simplified real property tax assessment review process for certain residential taxpayers, as an alternative to the complex and expensive formal proceedings provided for under RPTL article 7, which the legislature found to be cost-prohibitive for many homeowners (*see* 72 NY2d at 686 ["The Legislature enacted section 730 to cure this inequity and protect the wrongfully assessed homeowner by affording speedy and inexpensive relief to such persons through a simplified review procedure"]). The legislative history revealed that less than a year following enactment of section 730, the legislature amended the statute to add the residential use requirement in order to clarify that mixed-use structures were excluded from the SCAR program (*see* L 1982, ch 531). Furthermore, the administrative entity then responsible for the State's assessment policies, the former State Division of Equalization and Assessment—now the Office of Real Property Tax Services—had concluded that while regu-

lar nonresidential use disqualified a homeowner, occasional or incidental use for nonresidential purposes did not foreclose access to the SCAR program (*Town of New Castle*, 72 NY2d at 687, citing Opinion letter to Senator Skelos, Feb. 13, 1986).

In light of this legislative history and the attendant administrative construction, the Court concluded that adoption of the occasional use interpretation furthered the legislative interest in reducing burdens for certain classes of homeowners. As this Court explained, owners who occasionally used the residential property for business purposes were similarly situated to owners who used the property exclusively as a residence (*Town of New Castle*, 72 NY2d at 687). As applied to the owners in *Town of New Castle*, the Court had little difficulty concluding that the owners' mere 10 hours of business-related use in the seven months prior to the SCAR proceeding established that their nonresidential use was occasional and incidental, permitting them to seek relief under RPTL 730.

Here, there is no similar legislative history or administrative interpretation to support the Manouels' argument that the "owner-occupied" language should be construed broadly to include the petitioner's non-rent-paying relative. First, the legislature was well aware when it enacted section 730 over 30 years ago in 1981, that the statute, as written, limited its application to owner-occupied residential properties. Indeed, the Association of Towns of the State of New York specifically objected to the proposed bill's distinction between owner-occupied residential properties and non-owner-occupied residential properties (see Opinion letter of Association of Towns of St of NY, Oct. 29, 1981, Bill Jacket, L 1981, ch 1022). Moreover, the Governor's Approval Memorandum states that the SCAR "program will be available to owners of one, two or three family owner-occupied residential real property" (see Bill Jacket, L 1981, ch 1022, 1981 NY Legis Ann at 528). In light of this legislative history, there is no question that the legislature passed the statute fully intending to distinguish between owner-occupied properties and those not owner-occupied. Second, RPTL 730 has been amended several times since its enactment, and the owner-occupied language has survived each change to the statute.* The resilience of this requirement is further indication that the legislature continues to adhere to

* Real Property Tax Law § 730 has been amended multiple times following its enactment in 1981, including within the first two years of its passage (see

(n. cont'd)

its initial decision to limit the SCAR program to owner-occupied properties. Third, the most recent amendment in 2012 expanded the definition of owner to persons who occupy the property as a primary residence while a separate entity holds legal title solely for purposes of estate planning and asset protection (*see* L 2012, ch 114). These occupants retain core ownership characteristics essential to the statutory scheme. One class includes beneficiaries “whose real property is held in trust solely for the benefit of such person or persons” (*see* RPTL 730 [1] [i]). The second class consists of partners in noncommercial limited liability partnerships which exist “to hold title solely for estate planning and asset protection purposes and the partner or partners who primarily reside [on the property] personally pay all of the real property taxes and other costs associated with the property’s ownership” (RPTL 730 [1] [ii]).

The amendment thus extends coverage to residents who for purposes of the statute are in effect beneficial owners. This careful and limited expansion of the meaning of “owner,” which takes into consideration the realities of property ownership in furtherance of estate planning concerns, only further demonstrates the legislature’s cautious approach to expansion of the SCAR program, and cannot support the broad interpretation of “owner-occupied” advocated by the Manouels.

Further, unlike the administrative guidance relied on by this Court in *Town of New Castle*, the administrative constructions of the owner-occupied requirement, to the extent they are liberal in nature, demand occupancy by an owner. For example, seasonal use does not disqualify property from SCAR consideration, so long as the owner occupies the property in season (*see* 7 Op Counsel SBEA No. 80 [1982] [“A seasonal residence may qualify for small claims assessment review, provided that during the period it is in use it is occupied by its owner”]; *see also* 9 Op Counsel SBEA No. 94 [1992] [property that was owner-occupied on taxable status date but vacant thereafter “analogous to a seasonal residence” and thus qualifies for SCAR]). The administrative guidance makes clear that lack of occupancy by the owner renders the property ineligible for the SCAR program (*see* 9 Op Counsel SBEA No. 122 [1983] [vacant

L 1982, ch 531, §§ 1-5; L 1982, ch 714, § 21; L 1983, ch 357, § 1; L 1983, ch 735, § 23; *see also* L 1984, ch 473, § 18; L 1985, ch 687, § 2; L 1986, ch 858, § 1; L 1987, ch 221, § 1; L 1991, ch 552, § 1; L 1993, ch 154, § 1; L 1997, ch 517, § 1; L 2003, ch 62, § 1, part J, § 26; L 2003, ch 363, § 1; L 2005, ch 215, § 1; L 2006, ch 556, § 1; L 2010, ch 56, § 1, part W, § 1 [b]; L 2012, ch 114, §§ 1, 2).

property under construction does not qualify for SCAR as “the (owner) has never actually lived in the structure”]).

The history of the SCAR program establishes that its purpose is to address the plight of small homeowners. Limiting access to the SCAR program to owners who occupy their property reasonably restricts the program to those most likely to have limited resources and who are most economically in need of the SCAR program’s expeditious and inexpensive procedures. Hence, interpreting “owner-occupied” to mean what it says, namely a property occupied by its owner, is not such a “literal and narrow interpretation[]” as to thwart the statutory purpose (*see Town of New Castle*, 72 NY2d at 686).

The Manouels next argue that even if section 730 (1) (b) cannot be interpreted as broadly as they contend, they should be able to avail themselves of the SCAR program because their facts come within the interpretation espoused by the Appellate Division in *Matter of Masters v Board of Assessors* (188 AD2d 471 [2d Dept 1992]). As is the case with the Manouels, the property owner in *Masters* did not occupy the property and permitted a relative to reside in the premises. The Appellate Division concluded that the owner could proceed with a SCAR petition because the relative’s occupancy was temporary, while the owner attempted to sell the property (188 AD2d at 471). Assuming, without deciding, that *Masters* propounds an appropriate interpretation of RPTL 730, here the Appellate Division properly determined that there is no evidence in the record to suggest that the Manouels’ relative occupied the premises temporarily. Thus, even this suggested construction of the statute is inapplicable to the Manouels’ case.

While it is certainly a reasonable and perhaps quite convincing argument that owners of residential noncommercial property occupied solely by the owners’ relatives, rent-free, are just as much burdened by formal tax certiorari proceedings and in need of the financial and bureaucratic relief offered by the SCAR program as owners who occupy their property, that argument must be made to the legislature (*see Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669, 674 [1988] [“Where the statute is clear and unambiguous on its face, the legislation must be interpreted as it exists. Absent ambiguity the courts may not resort to rules of construction to broaden the scope and application of a statute” (citation omitted)]; McKinney’s Cons Laws of NY, Book 1, Statutes § 94).

Were we to adopt the Manouels' interpretation, and ignore the literal language of the statute and its legislative history, we would invite further unsupportable expansions of the statutory text, and risk judicial encroachment on the legislature's lawmaking role.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). Small claims assessment review (SCAR) is an economical and expeditious vehicle that permits owners of real property to challenge an allegedly "unequal or excessive" assessment so long as "the property is . . . improved by a one, two or three family owner-occupied structure used exclusively for residential purposes" (RPTL 730 [1] [b] [i]). When it was enacted over 30 years ago, SCAR was greeted warmly by real property taxpayers and assessing units alike, and, through the years, our Court has acknowledged that SCAR's statutory provisions should not be afforded a "literal and narrow interpretation[]" which would frustrate SCAR's statutory objectives, namely, "expedited and inexpensive review to homeowners" (*Matter of Town of New Castle v Kaufmann*, 72 NY2d 684, 686 [1988]; see *Town of Tonawanda v Ayler*, 68 NY2d 836, 838 [1986]).

In *Town of New Castle*, we rejected a narrow construction of the phrase "used *exclusively* for residential purposes" in a situation where one of the owners had utilized the residence for business purposes, albeit limited (72 NY2d at 687 [emphasis supplied]). We held that the owners should not be denied access to the "simplified assessment procedure based on such incidental use" (*id.*). Given the plain meaning of the statute, we could have easily afforded a strict construction to the word "exclusively" such that SCAR would not have been available to those owners. But we didn't. We acknowledged in *Town of New Castle* that section 730 should not be construed so as to "frustrate [its] statutory objectives" (*id.* at 686).

The majority's narrow interpretation of section 730 (1) (b) (i)'s owner-occupancy requirement constitutes a significant shift from how we have historically interpreted the SCAR statute, and, in my view, requires SCAR hearing officers and the courts to give the SCAR statutes a literal and narrow interpretation in future assessment challenges. Had *Town of New Castle* been decided today utilizing the same narrow construction that the majority has applied to "owner-occupancy," then plainly a different result would have been reached: the homeowner in

Town of New Castle would have been denied the benefit of the SCAR procedure.

In a similar vein, the majority's decision calls into question the holding in *Matter of Masters v Board of Assessors* (188 AD2d 471 [2d Dept 1992]). In that case, the petitioner, who was selling his property but did not want to leave the house vacant, allowed his father-in-law to stay in the residence rent-free while it was on the market (*id.* at 471-472). The homeowner in *Masters* did not reside in the house when he challenged the assessment, but the Court, interpreting the statute liberally, held that "petitioner undoubtedly [fell] within the class of those intended to be benefitted by the procedure" (*id.* at 472). In light of the majority's holding, it is doubtful that the petitioner in *Masters*—an owner of the property but certainly not an "occupier" of it—would have been as successful had a similar challenge been brought today.

The majority's decision is clearly a retreat from our prior decisions, and those of the Appellate Division, liberally interpreting the SCAR statute. It makes little sense to force these petitioners to commence a "complex and expensive" formal tax proceeding (*see Ayler*, 68 NY2d at 838) under RPTL article 7 to simply challenge an assessment on a single family home from which petitioners derive no income and which they do not utilize for a business purpose. Because these petitioners are precisely the type of homeowners who are entitled to avail themselves of the SCAR procedure, I respectfully dissent and would reverse the order of the Appellate Division.

Chief Judge LIPPMAN and Judges READ and ABDUS-SALAAM concur; Judge PIGOTT dissents in an opinion; Judges STEIN and FAHEY taking no part.

Order affirmed, with costs.

[29 NE3d 890, 6 NYS3d 543]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CLEMON
JONES, Appellant.

Argued February 18, 2015; decided March 26, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 27, 2013. The Appellate Division affirmed an order of the Monroe County Court (Richard A. Keenan, J.), which had denied defendant's motion pursuant to CPL 440.20 to set aside the sentence imposed upon his conviction of criminal possession of a forged instrument in the second degree (two counts).

People v Jones, 109 AD3d 1108, affirmed.

HEADNOTE

Crimes — Sentence — Persistent Felony Offender — Underlying Out-of-State Conviction

Defendant's 1991 convictions for two federal felonies that did not have New York counterparts were properly relied on in adjudicating him a persistent felony offender for purposes of sentencing on his 2007 felony conviction. A persistent felony offender is a person who stands convicted of a felony after having previously been convicted of two or more felonies (Penal Law § 70.10 [1] [a]). Under Penal Law § 70.10 (1) (b), a previous felony conviction includes "a conviction of a felony in this state, or of a crime in any other jurisdiction." Unlike New York's second felony offender statute (Penal Law § 70.06), the persistent felony offender statute, by its plain terms, does not require that, in order to classify someone as a persistent felony offender, an out-of-state predicate felony must have a New York counterpart. Section 70.10's silence with regard to New York equivalency is dispositive. Further, section 70.10's legislative history shows that the New York equivalency test was explicitly considered and rejected at the time of the statute's enactment.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Habitual Criminals and Subsequent Offenders
§§ 25, 42.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:126,
203:127, 203:133.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.

McKINNEY'S, Penal Law § 70.10 (1).

NY JUR 2d, Criminal Law: Procedure §§ 3252, 3268.

ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Sentence and Punishment.

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Query: persistent /2 felony /2 offender /p out-of-state /4 predicate

POINTS OF COUNSEL

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem and Elizabeth deV. Moeller* of counsel), for appellant. Appellant was improperly sentenced as a persistent felony offender. (*Griffin v Mann*, 156 F3d 288; *People v Parker*, 41 NY2d 21; *People v Drayton*, 39 NY2d 580; *People v Ortiz*, 283 AD2d 256; *People v Blanchard*, 288 NY 145; *People v Breckner*, 179 AD2d 410; *People v Sasso*, 176 AD2d 410; *People v Trudo*, 153 AD2d 993; *People v Gill*, 109 AD2d 419; *People v Lawrence*, 17 AD3d 697.)

Sandra Doorley, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent. Defendant was eligible to be sentenced as a persistent felony offender based upon his prior New York and federal convictions. (*People v Olah*, 300 NY 96; *People v Parker*, 41 NY2d 21; *People v Pacheco*, 53 NY2d 663; *People v Meckwood*, 20 NY3d 69; *People v Quinones*, 12 NY3d 116; *People v Scarbrough*, 66 NY2d 673; *Griffin v Mann*, 156 F3d 288; *People v Shannon*, 89 NY2d 1000.)

OPINION OF THE COURT

READ, J.

On March 16, 2007, defendant Clemon Jones was convicted, following a jury trial, of criminal possession of a forged instrument in the second degree (Penal Law § 170.25 [two counts]). On April 6, 2007, the People applied to County Court to have defendant adjudicated a persistent felony offender, pursuant to Penal Law § 70.10. Subdivision (1) of this provision defines a “persistent felony offender” as

“(a) . . . a person, other than a persistent violent felony offender . . . , who stands convicted of a felony after having previously been convicted of two or more felonies, as provided in paragraphs (b) and (c) of this subdivision.

“(b) A previous felony conviction within the meaning of paragraph (a) of this subdivision is a conviction of a felony in this state, or of a *crime in any other jurisdiction*, provided:

“(i) that a sentence to a term of imprisonment in excess of one year . . . was imposed therefor; and

“(ii) that the defendant was imprisoned under sentence for such conviction prior to the commission of the present felony; . . .

“(c) For the purpose of determining whether a person has two or more previous felony convictions, two or more convictions of crimes that were committed prior to the time the defendant was imprisoned under sentence for any of such convictions shall be deemed to be only one conviction” (emphasis added).

In support of their application to County Court, the People relied on three sets of defendant’s prior felony convictions. First, on March 14, 1991, defendant was convicted in the Federal District Court for the Middle District of Florida of two federal felonies—making a false statement on a Bureau of Alcohol, Tobacco and Firearms form (18 USC § 924 [a]), and being a convicted felon possessing a firearm (*id.* § 922 [g]). Neither federal crime has a New York counterpart. Second, on January 3, 1994, defendant was convicted in New York of the felony of attempted criminal possession of a controlled substance in the fifth degree (Penal Law §§ 110.00, 220.06). And third, on March 17, 1995, defendant was convicted in New York of three more felonies: second-degree criminal sale of a controlled substance (*id.* § 220.41) and third-degree criminal possession of a controlled substance (*id.* § 220.16 [two counts]).

After two days of hearings in July 2007, County Court issued a decision and order on September 4, 2007, finding that defendant was a persistent felony offender and concluding that a recidivist sentence was warranted by virtue of his “history and character . . . and the nature and circumstances of his criminal conduct” (*see id.* § 70.10 [2]; *see also* CPL 400.20 [9]). As relevant to his finding that defendant had previously been convicted of the “two or more” felonies required to qualify as a persistent felony offender (Penal Law § 70.10 [1] [a]), the Judge observed that although defendant correctly contended that

“the [1994 and 1995] state court convictions at issue may only be counted as one pursuant to Penal Law § 70.10(1)(c) (since defendant was not imprisoned for the first crime[s] until after he had committed the second), the earlier federal convictions stand separate and apart from the state convictions and are unaffected by this statutory provision.”

County Court sentenced defendant to two concurrent indeterminate terms of incarceration of 15 years to life for his forgery crimes. On February 14, 2014, the Appellate Division unanimously affirmed the judgment of conviction and sentence (114 AD3d 1239 [4th Dept 2014], *lv denied* 23 NY3d 1038 [2014]).

Meanwhile, prior to the disposition of his direct appeal, defendant moved pro se in July 2009 for an order pursuant to CPL 440.20 to set aside his sentence as “unconstitutional, unauthorized, illegally imposed and invalid as a matter of law since the two federal felony convictions . . . relied upon . . . do not have equivalent elements to crimes under New York State Law.” Defendant contended that County Court impermissibly “determine[d] that [he] was a persistent felony offender instead of a second felony offender and sentenced him accordingly in violation of his due process rights.”

County Court denied defendant’s CPL 440.20 motion by order dated August 26, 2009; on November 30, 2009, a Justice of the Appellate Division granted defendant permission to appeal to that Court; and in September 2013, the Appellate Division unanimously affirmed County Court’s order (109 AD3d 1108 [4th Dept 2013]). The Court noted that defendant “primarily relie[d] upon cases interpreting the second felony offender statute [Penal Law § 70.06],” which—unlike Penal Law § 70.10—specifies that a predicate conviction “‘must have been in [New York] of a felony, or in any other jurisdiction of an offense for which a sentence to a term of imprisonment in excess of one year . . . was authorized and is authorized in [New York] irrespective of whether such sentence was imposed’ ” (*id.* at 1110 [some emphasis added and some emphasis omitted], quoting Penal Law § 70.06 [1] [b] [i]). By contrast, the persistent felony offender statute “contains no language requiring that the underlying out-of-state conviction be for a crime that would constitute a felony in New York” (*id.*).

The Appellate Division also pointed out that “the legislative history of the persistent felony offender statute reflects that the drafters specifically considered and rejected the contention

advanced by defendant” (*id.* at 1111, citing *Griffin v Mann*, 156 F3d 288, 291 [2d Cir 1998]). Additionally, the Court declined to follow Third Department cases relied upon by defendant, noting that they “trace[d] back” to *People v Morton* (48 AD2d 58 [3d Dept 1975]), which was “effectively overruled” by us in *People v Parker* (41 NY2d 21 [1976]) (109 AD3d at 1111, 1112). A Judge of this Court granted defendant leave to appeal (22 NY3d 1157 [2014]), and we now affirm.

New York’s persistent felony offender statute, by its plain terms, does not require that, in order to classify someone as a persistent felony offender, an out-of-state predicate felony must have a New York counterpart. Section 70.10’s silence with regard to New York equivalency is dispositive. As the Second Circuit explained in *Griffin*, when holding that section 70.10 was rational as applied to the defendant in that case,

“[s]ection 70.10(1)(b) does not distinguish among felony convictions that arise under federal, New York State, or out-of-state law. *Thus, if the acts constitute a felony under federal or another state’s law, they will be deemed a felony for purposes of persistent offender status under [s]ection 70.10 even if there is no counterpart felony in New York law*” (156 F3d at 290 [emphasis added]; *see also People v Ortiz*, 283 AD2d 256, 256 [1st Dept 2001], *lv denied* 96 NY2d 922 [2001]).

Further, section 70.10’s legislative history shows that the New York equivalency test, as construed in *People v Olah* (300 NY 96 [1949]), was “explicitly considered and rejected at the time of [section 70.10’s] enactment” (*Griffin*, 156 F3d at 291; *see also* 109 AD3d at 1111, quoting Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law [Study Bill, 1964 Senate Intro 3918, Assembly Intro 5376] § 30.10 at 285). Accordingly, like the Appellate Division, we refuse to adopt defendant’s proposed construction of Penal Law § 70.10.

Finally, defendant’s facial constitutional challenge to Penal Law § 70.10 is unpreserved, and his as-applied constitutional challenge lacks merit. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges PIGOTT, RIVERA, ABDUS-SALAAM and STEIN concur; Judge FAHEY taking no part.

Order affirmed.

[30 NE3d 145, 7 NYS3d 254]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BENNY GARAY, Appellant.

Argued February 10, 2015; decided March 31, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 20, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Gregory Carro, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the fifth degree.

People v Garay, 107 AD3d 580, affirmed.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Right to Counsel Violation

1. In a criminal prosecution, defendant failed to preserve his claim that his right to counsel was violated when the trial court, while defendant's counsel was not present, made a determination on the record that he was going to replace a sick juror with an alternate juror, but actually replaced the juror when counsel was present and made no objection. As required by CPL 470.05 (2), if defense counsel is present to bring an error to the trial court's attention, counsel must register a protest where the error, if called to the court's attention, would afford the trial court opportunity to promptly rescind any directive violative of the defendant's right of access to counsel or otherwise to cure the error. Here, although defense counsel was not present in court while the judge was stating on the record that he intended to replace the sick juror and counsel for codefendant was objecting to that replacement, the record showed that prior to arriving in the courtroom, counsel was aware from his discussion with the court that there was a sick juror and that the court had previously excused another alternate juror, and defense counsel was in the courtroom when the judge told the alternate to take the seat of the sick juror. If counsel had any objection to the replacement of the juror, including a desire to be heard further on the issue, he had the time and opportunity to make his position known before the trial proceeded.

Crimes — Right to Public Trial — Closure of Courtroom — Consideration of Reasonable Alternatives

2. In the prosecution of defendant for offenses arising from his alleged role in a cocaine drug ring, wherein the trial court determined, after a hearing, that the People had met their burden for closure of the courtroom to the public during the testimony of two active undercover officers, but had not met their burden with respect to exclusion of defendant's family members, defendant's right to a public trial was not violated based on the court's failure to articulate any specific findings reflecting its consideration of reasonable alternatives to closure. As one of four prongs comprising the standard for

closing the courtroom, a court must consider reasonable alternatives to closure and must make findings specific enough that a reviewing court can determine whether the closure order was properly entered. However, where the record establishes the need to close a portion of the proceedings, it can be implied that the trial court, in ordering closure, determined that no lesser alternative would protect the articulated interest. Here, the need to close the proceedings was established where the court made findings that both officers were clearly active undercover officers, that they both had open undercover cases and had been threatened during the course of their undercover work, and that they both took precautions to protect their identities when they came to court.

Crimes — Suppression Hearing — Sufficiency of Factual Allegations in Support of Suppression Motion

3. In the prosecution of defendant for offenses arising from his alleged role in a cocaine drug ring, the trial court properly denied defendant's request for a hearing based on his motion to suppress cocaine found on his person when he was arrested. A motion to suppress made before trial must state the ground or grounds of the motion and contain sworn allegations of fact supporting such grounds. The court may summarily deny the motion if the papers do not allege a ground constituting a legal basis for the motion or if the sworn allegations of fact do not as a matter of law support the ground alleged. (CPL 710.60 [1], [3] [a], [b].) Here, the criminal complaint alleged that on the night he was arrested, defendant drove the drug ring leader, that when his car was stopped after he had returned with the leader to her apartment, he displayed a police identification card, and that the police had recovered a quantity of cocaine from his pants pocket. The prosecutor at arraignment further alleged that defendant had a number of cars registered to his name which had been associated with the ring leader and that when arrested he had cocaine that appeared to have been cut from a kilogram found in the leader's apartment. Defendant's motion was supported by an affirmation stating that he did not consent to a search of his vehicle or person, that he was not committing a crime at the time he was detained, that he was not engaged in any criminal conduct, that no contraband was in plain view, and that he was stopped pursuant to dropping off a family member. Defendant's simple denial that he was not engaged in any criminal conduct at the time he was stopped did not raise any issue of fact requiring a hearing. It was his role in the conspiracy as the leader's driver and his conduct in transporting her at the time of the purchase of the kilogram of cocaine that provided probable cause to arrest him. It was incumbent upon defendant to refute those allegations in order to obtain a hearing.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618, 651–653, 722, 800; AM JUR 2d, Criminal Law §§ 981, 1135, 1139; AM JUR 2d, Habeas Corpus and Postconviction Remedies §§ 47–48; AM JUR 2d, Trial § 1464.
CARMODY-WAIT 2d, Verdict and Postverdict Proceedings § 202:33; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:16–207:19, 207:21–207:22, 207:27, 207:34, 207:36, 207:50, 207:115, 207:120.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.2, 11.9, 27.2, 27.5.

McKINNEY'S, CPL 470.05 (2); 710.60.

NY JUR 2d, Appellate Review § 633; NY JUR 2d, Criminal Law: Procedure §§ 2582, 2589, 2674, 2808, 3454–3456, 3459, 3465–3469, 3481, 3549, 3589, 3597.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Jury Trials; Preservation.

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POINTS OF COUNSEL

Paul, Weiss, Rifkind, Wharton & Garrison LLP, New York City (*Adam J. Bernstein* and *James H. Borod* of counsel), and *Steven Banks, The Legal Aid Society*, New York City (*Andrew C. Fine* and *Scott A. Rosenberg* of counsel), for appellant. I. The trial court violated appellant's constitutional right to counsel by holding a hearing and discharging a sworn and seated juror while appellant's trial counsel was absent. (*People v Lopez*, 16 NY3d 375; *People v Hodge*, 53 NY2d 313; *People v Bing*, 76 NY2d 331; *People v Harris*, 77 NY2d 434; *People v Ramos*, 99 NY2d 27; *People v Chapman*, 69 NY2d 497; *People v Johnson*, 189 AD2d 318; *People v Ivery*, 96 AD2d 712; *People v Felder*, 47 NY2d 287; *People v Wardlaw*, 6 NY3d 556.) II. The trial court violated appellant's Sixth Amendment right to a public trial by failing to sua sponte consider reasonable alternatives to courtroom closure. (*People v Echevarria*, 21 NY3d 1; *Presley v Georgia*, 558 US 209; *In re Oliver*, 333 US 257; *Waller v Georgia*, 467 US 39; *Press-Enterprise Co. v Superior Court of Cal., County of Riverside*, 478 US 1; *United States v Lucas*, 932 F2d 1210; *People v Vilsaint*, 293 AD2d 555; *People v Sanabria*, 301 AD2d 307; *People v Peque*, 22 NY3d 168; *People v Martin*, 16 NY3d 607.) III. The trial court erred by summarily denying appellant a suppression hearing. (*People v Bailey*, 218 AD2d 569; *People v Mendoza*, 82 NY2d 415; *People v Jones*, 95 NY2d 721; *People v Burton*, 6 NY3d 584; *People v Rivera*, 42 AD3d 160; *People v Lopez*, 263 AD2d 434; *People v Sobotker*, 43 NY2d 559; *People v Hightower*, 85 NY2d 988; *People v Bryant*, 8 NY3d 530.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Patricia Curran* and *Hilary Hassler* of counsel), for respondent. I.

Defendant was not deprived of his right to counsel when the court replaced an ill juror with an alternate juror. (*People v Page*, 72 NY2d 69; *People v Jeanty*, 94 NY2d 507; *People v Arrington*, 14 AD3d 442; *People v Davis*, 6 AD3d 1168; *People v Medina*, 18 NY3d 98; *People v Gray*, 86 NY2d 10; *People v Cantave*, 21 NY3d 374; *People v Narayan*, 54 NY2d 106; *People v Strothers*, 87 AD3d 431; *People v Margan*, 157 AD2d 64.) II. The court properly ordered a partial closure of the courtroom based on the evidence adduced at the *Hinton* hearing. (*People v Echevarria*, 21 NY3d 1; *Presley v Georgia*, 558 US 209; *Waller v Georgia*, 467 US 39; *People v Ramos*, 90 NY2d 490; *People v Martinez*, 82 NY2d 436; *People v Cummings*, 271 AD2d 305; *People v Hinton*, 31 NY2d 71; *People v Jones*, 47 NY2d 409; *People v Jones*, 96 NY2d 213; *Ayala v Speckard*, 131 F3d 62.) III. The trial court properly denied defendant's request for a hearing based on his motion to suppress physical evidence. (*People v Mendoza*, 82 NY2d 415; *Mapp v Ohio*, 367 US 643; *Dunaway v New York*, 442 US 200; *People v Bryant*, 8 NY3d 530; *People v Gruden*, 42 NY2d 214; *People v Burton*, 6 NY3d 584; *People v Lopez*, 5 NY3d 753; *People v Ramirez-Portoreal*, 88 NY2d 99; *People v Rodriguez*, 69 NY2d 159; *People v France*, 12 NY3d 790.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

On this appeal, defendant asserts three main arguments: (1) that his right to counsel under the New York Constitution (art I, § 6) was violated in connection with the trial court's replacement of a sick juror with an alternate juror; (2) that the court violated his right to a public trial under the Sixth Amendment of the United States Constitution by failing to consider reasonable alternatives to closure before ordering the courtroom closed during the testimony of two undercover officers; and (3) that the court erred in summarily denying his request for a suppression hearing under CPL 710.60 (3). We conclude that defendant's right to counsel claim was not preserved for appellate review, and that the remaining claims lack merit.

Defendant Benny Garay was tried for his alleged role in a cocaine drug ring led by his codefendant Lillian Rivera. They were jointly tried. Garay was charged with conspiracy in the second degree (Penal Law § 105.15); criminal possession of a controlled substance in the first degree (Penal Law § 220.21 [1]); criminal possession of a controlled substance in the third

degree (Penal Law § 220.16 [1]); and criminal possession of a controlled substance in the fifth degree (Penal Law § 220.06 [5]).

Several weeks after the trial had begun, the trial court began the session by acknowledging that defendant Garay's trial counsel, Mr. Conway, was not present. The court then referenced an off the record discussion that was held that morning with both counsel, as well as an off the record ex parte communication the court had with a sick juror. The court stated that it had spoken with all the lawyers, including defendant's counsel, and had advised them that one of the jurors had called in sick, and that the juror had stated that "in no way" could he make it to court that day, even if the trial were adjourned until the afternoon. The Judge stated that he was going to replace the sick juror with the next alternate juror. Codefendant Rivera's lawyer objected to replacing the sick juror with an alternate and stated that he had conferred with defendant's lawyer and that he "believe[d]" defendant's counsel "is agreeing" to the objection as well. Rivera's counsel suggested that the court postpone the trial for one day in the hope that the sick juror might return, and he also complained that discharging the sick juror would leave only one remaining alternate juror. He noted that the court had previously excused an alternate juror for psychological reasons and he had not objected, but that he was objecting to excusing this second juror. He argued that there were not many minorities on the jury, and that one of two black jurors would now be replaced by a white juror.

The Judge explained that the trial was already going beyond the time that he had estimated for the jury, and that he was concerned about losing more jurors, and concluded that the sick juror would be replaced. The court then directed that the jurors be brought in, to which codefendant's counsel inquired, "Judge, are we waiting for [Garay's counsel]?" The record shows that right after this inquiry, counsel entered the courtroom, and thereafter the jury entered. After the jurors were seated, the court told an alternate juror: "[Y]ou're going to take that seat right over there, number ten. That will be your seat for the rest of the trial." Defense counsel made no comment or objection. The People then called their next witness and the trial proceeded.

Garay was acquitted of every charge except for criminal possession in the fifth degree. He was sentenced to time served,

having been incarcerated for 26 months.¹ The Appellate Division affirmed (107 AD3d 580 [2013]), and a Judge of this Court granted him leave to appeal (22 NY3d 1040 [2013]).

[1] We agree with the Appellate Division that defendant failed to preserve his claim that he was deprived of his right to counsel when the court replaced the sick juror with an alternate juror.

“For purposes of appeal, a question of law with respect to a ruling or instruction of a criminal court during a trial or proceeding is presented when a protest thereto was registered, by the party claiming error, at the time of such ruling or instruction or at any subsequent time when the court had an opportunity of effectively changing the same” (CPL 470.05 [2]).

The court’s replacement of the sick juror in the presence of defense counsel was not a mode of proceedings error which “provides an exception to traditional preservation rules” (*People v Gray*, 86 NY2d 10, 21 [1995]).

This Court has applied the commonsense principle that if defense counsel is present to bring an error to the trial court’s attention, counsel must register a protest where the error, if called to the court’s attention, “would afford the trial court opportunity promptly to rescind any directive violative of the defendant’s right of access to counsel or otherwise to cure the error” (*People v Narayan*, 54 NY2d 106, 112 [1981]). We reaffirmed that principle in *People v Umali* (10 NY3d 417 [2008]). Both *Narayan* and *Umali* concerned a court’s restriction on defendant’s right to confer with defense counsel in the course of the trial. In *Narayan*, the court had imposed a ban on defense counsel speaking with defendant concerning defendant’s testimony in the course of cross-examination. *Umali* involved a ban on discussing testimony during a four-day recess. We held that in order to preserve a claim involving a right to counsel for appellate review, counsel was required to timely protest the ruling.

Here, although defense counsel was not present in court while the Judge was stating on the record that he intended to

1. His codefendant Rivera was convicted of conspiracy in the second degree, five counts of criminal sale of a controlled substance in the third degree, criminal possession of a controlled substance in the first degree and criminal possession of a controlled substance in the third degree. She was sentenced to an aggregate prison term of 20 years with five years of post-release supervision.

replace the sick juror and counsel for codefendant was objecting to that replacement, the record shows that prior to arriving in the courtroom, counsel was aware from his discussion with the court that there was a sick juror and that the court had previously excused an alternate juror for psychological reasons. Most importantly, defense counsel was in the courtroom when the Judge told the alternate to take the seat of the sick juror. If counsel had any objection to the replacement of the juror, including a desire to be heard further on the issue, he had the time and the opportunity to make his position known. It was incumbent upon him to raise an objection at that time, before the trial proceeded. Certainly, the better practice would have been for the trial judge to await counsel's arrival before placing his decision regarding the juror on the record. While, as the dissent notes, defense counsel was absent during the on the record discussion about dismissing the juror, nonetheless, counsel was present at the critical time when the sick juror was being replaced by the alternate, and counsel did not raise any objection concerning the right to counsel or otherwise, at a time when the trial court had the opportunity to change course. Thus, the preservation rule that we applied in *Narayan* and *Umali* applies in this instance.

The Appellate Division correctly distinguished this situation from the facts of *People v Strothers* (87 AD3d 431 [1st Dept 2011]), where the court commenced a suppression hearing in the absence of defense counsel, who arrived halfway through the testimony of a witness. In *Strothers*, because counsel was not present when the deprivation occurred and thus could not lodge an objection, the Court rejected the People's argument that counsel had been required to preserve his claim that defendant had been deprived of the right to counsel (*id.* at 433; see also *People v Margan*, 157 AD2d 64 [2d Dept 1990] [where trial judge directed the prosecutor to begin direct examination of witness in the absence of defense counsel, the error did not occur in the presence of counsel, and thus the holding of *Narayan* is not controlling]).

In sum, defense counsel's failure to object when the court replaced the sick juror renders defendant's claim of deprivation of the right to counsel unpreserved and thus beyond our review (see *People v Medina*, 18 NY3d 98, 104 [2011]; *People v Gray*, 86 NY2d 10, 19 [1995]).

Regarding the closing of the courtroom, the court conducted a *Hinton*² hearing prior to trial at which two undercover officers testified in detail as to their activities working undercover, their safety concerns about testifying in an open courtroom and their belief that testifying in an open courtroom would compromise their effectiveness as active undercover officers. After the testimony, the prosecutor requested that the courtroom be closed for the testimony of the officers. Defendant opposed the closing of the courtroom, and asked that his family be allowed to attend in any event. At the close of the hearing, the court found that both officers were “clearly active undercover officers,” that they both had open undercover cases and had been threatened during the course of their undercover work, and that they both took precautions to protect their identities when they came to court, such as using a side entrance to the courthouse.

The court concluded that the People had met their burden on closing the courtroom for the testimony of the officers, but had not met their burden on the exclusion of family members or significant others. It ordered a partial courtroom closure, allowing defendants’ family members to attend all aspects of the trial, including the testimony of the undercover officers, provided defendants gave a list of the names of family members who were expected to attend, and their relationship to defendants. At trial, immediately preceding the testimony of one of the undercover officers and the sealing of the courtroom, the Judge said that he “gather[ed]” by defendants’ “silence” that there was nobody there from their families attending that day, and stated that if a family member were to arrive, “[j]ust let [the court] know. We’ll let them in.”

On appeal, defendant does not challenge the adequacy of the People’s showing in support of the closure. Rather, he argues that his Sixth Amendment right to a public trial was violated because, he asserts, the trial court did not consider “reasonable alternatives” to closing the courtroom, which is one of the four prongs comprising the standard for courtroom closure set out by the United States Supreme Court in *Waller v Georgia* (467 US 39, 48 [1984]). The *Waller* Court held:

“[T]he party seeking to close the hearing must advance an overriding interest that is likely to be

2. *People v Hinton*, 31 NY2d 71, 75-76 (1972) (while trial court has inherent discretionary power to close the courtroom, that discretion is to “be sparingly exercised and then, only when unusual circumstances necessitate it”).

prejudiced, the closure must be no broader than necessary to protect that interest, the trial court must consider reasonable alternatives to closing the proceeding, and it must make findings adequate to support the closure” (467 US at 48).

Defendant points out that the trial court did not articulate any specific findings reflecting its consideration of alternatives. He relies on *Presley v Georgia* (558 US 209 [2010]), which held that “trial courts are required to consider alternatives to closure even when they are not offered by the parties” (*id.* at 214) and that trial courts must make findings “specific enough that a reviewing court can determine whether the closure order was properly entered” (*id.* at 214-215, quoting *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.*, 464 US 501, 510 [1984]).

[2] However, as defendant recognizes, this Court has rejected the argument that United States Supreme Court precedent requires a trial court to explain, on the record, the alternatives to closure that it considered (*People v Echevarria*, 21 NY3d 1, 18 [2013]; *People v Ramos*, 90 NY2d 490, 504 [1997]). Rather, we have concluded that where the record establishes, as it does here, the need to close a portion of the proceedings, “it can be implied that the trial court, in ordering closure, determined that no lesser alternative would protect the articulated interest” (*Echevarria*, 21 NY3d at 18-19, quoting *Ramos*, 90 NY2d at 504). We reject defendant’s argument that *Echevarria* is irreconcilable with Supreme Court precedent and that it sets forth an unworkable standard, and we decline defendant’s suggestion that we overrule our precedent.

[3] Finally, we agree with the Appellate Division that the trial court properly denied defendant’s request for a hearing based on his motion to suppress physical evidence. The police, who were conducting an investigation of a large-scale cocaine selling operation, had identified Rivera as the head of the organization and defendant as her driver. On March 7, 2008, the police heard, through a wiretap on Rivera’s phone, a conversation she had with Garay where she asked Garay to pick her up at her house. Garay drove Rivera from the Bronx to Manhattan, where she allegedly purchased a kilogram of cocaine. After they returned to Rivera’s house, he went inside her apartment and then returned to the car and drove off. The police stopped Garay’s car, arrested him and searched him. After he was

placed in a police van, Garay was searched again and cocaine was found in his pants pocket.

Garay was initially charged in a criminal complaint alleging that he engaged in a drug selling conspiracy involving Rivera and others. The complaint alleged that Garay drove Rivera on March 7, 2008, that when he was stopped by police he displayed a New York City Police Department identification card and that the police recovered a “quantity of cocaine” from his pants pocket. At the arraignment, the prosecutor further alleged that Garay was Rivera’s driver and had a number of cars registered to his name which had been associated with Rivera. She also alleged that when Garay was arrested, he had cocaine that appeared to have been cut from a kilogram that was found in Rivera’s apartment. The indictment charged defendant, along with Rivera and others, with overt acts in furtherance of a conspiracy to sell cocaine. The indictment was consistent with the allegations of the criminal complaint and the allegations made at arraignment.

Defendant’s motion for suppression was supported by an affirmation by defense counsel which stated that defendant did not consent to a search of his vehicle or his person, that he was not committing a crime at the time he was detained, that he was not engaged in any criminal conduct, and that no contraband was in plain view. Counsel also stated that defendant was stopped “pursuant to dropping off a family member,” and that the police did not have probable cause to search defendant. The People, citing CPL 710.60 (1), opposed the motion on the ground that it did not contain sworn allegations of fact necessary to warrant a hearing. On appeal, Garay argues that the People’s allegations against him were sparse and unspecific, and that given these deficiencies, defendant sufficiently challenged the allegations of probable cause to arrest him by asserting that he was stopped after dropping off a family member, was not engaged in any criminal conduct and had no contraband in plain view.

Defendant’s allegations failed to raise a legal basis for suppression. CPL 710.60 (1) provides that a motion to suppress made before trial must state the ground or grounds of the motion and contain sworn allegations of fact supporting such grounds. The court may summarily deny the motion if “[t]he motion papers do not allege a ground constituting legal basis for the motion,” or, with two exceptions not relevant here, “[t]he sworn allegations of fact do not as a matter of law support the ground alleged” (CPL 710.60 [3] [a], [b]).

As we held in *People v Mendoza* (82 NY2d 415 [1993]), the factual sufficiency of a suppression motion “should be determined with reference to the face of the pleadings, the context of the motion and defendant’s access to information” (*id.* at 422). We agree with the People that in this context, defendant’s simple denial that he was not engaged in any criminal conduct at the time he was stopped did not raise any issue of fact requiring a hearing. It was defendant’s role in the conspiracy as Rivera’s driver and his conduct in transporting her at the time of the purchase of the kilogram of cocaine that provided probable cause to arrest him. Under those circumstances, it was incumbent upon defendant to refute the allegations in order to obtain a hearing.

Here, as in the context of a buy and bust situation, factual allegations of innocent conduct at the time of the arrest do not mandate a hearing because in the typical buy and bust situation, probable cause is “generated by the drug transaction,” and therefore, “an allegation that defendant was merely standing on the street at the time of arrest does not frame a factual issue for the court’s determination” (*People v Jones*, 95 NY2d 721, 726 [2001], quoting *Mendoza*, 82 NY2d at 428). Thus, defendant’s claim of innocent conduct at the time of the arrest, in the face of allegations that he was part of a drug dealing conspiracy, was insufficient to establish entitlement to a hearing.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). Because this Court does not require preservation for violations of the right to counsel where counsel is absent during crucial parts of proceedings, I would reach the merits of defendant’s constitutional claim. Thereupon, I would hold that defendant’s right to counsel was violated when the court decided to dismiss a juror in defense counsel’s absence.

As this Court has repeatedly held, “a claimed deprivation of the State constitutional right to counsel may be raised on appeal, notwithstanding that the issue was not preserved” (*People v Kinchen*, 60 NY2d 772, 773 [1983]; see *People v McLean*, 15 NY3d 117, 120 [2010] [“right to counsel claims are excepted from the general rule that unpreserved issues cannot be reviewed on appeal”]; see *People v Ahmed*, 66 NY2d 307, 310 [1985] [violation of right to counsel constitutes “mode of proceedings error” and does not require preservation]). In

People v Grant (91 NY2d 989 [1998]), this Court permitted a defendant to raise a right to counsel claim that had not been raised in the lower courts, “follow[ing] the settled rule that a claim of deprivation of the fundamental right of counsel may be raised on appeal though not specifically preserved below” (Arthur Karger, Powers of the New York Court of Appeals § 21:11 at 779 n 19 [3d ed rev 2005]).

As is made clear from the record, the court had twice decided to excuse the sick juror outside the presence of defense counsel, hearing arguments against dismissal, and supplying reasoning justifying the dismissal. After making its decision to replace the sick juror, the court stated: “I wish we [could] replace [Garay’s counsel]. Unfortunately we can’t.” Garay’s counsel entered moments later, after all but the finishing touches had been completed in his absence. The majority assumes defense counsel was aware of everything taking place in his absence, but that is unwarranted on this record. While acknowledging that “[c]ertainly, the better practice would have been for the trial judge to await counsel’s arrival before placing his decision regarding the juror on the record,” the majority maintains that defense “counsel was present at the critical time when the sick juror was being replaced by the alternate, and counsel did not raise any objection concerning the right to counsel or otherwise, at a time when the trial court had the opportunity to change course” (majority op at 68).

Despite the cases to the contrary, the majority points to two cases in which this Court held that a right to counsel claim must be preserved (*see People v Narayan*, 54 NY2d 106, 112 [1981]; *People v Umali*, 10 NY3d 417, 423 [2008]). In both *Narayan* and *Umali*, the court denied defendant the right to confer with defense counsel during trial, and we held that the defendants’ right to counsel claims were unpreserved to the extent that counsel did not object. However, those cases are distinguishable because, there, trial counsel was “presen[t] . . . at the time of the trespass on defendant’s right to his assistance” (*Narayan*, 54 NY2d at 112; *see Umali*, 10 NY3d at 423). The majority overlooks this crucial distinction and apparently assumes that the court’s decision to dismiss the juror—made in defense counsel’s absence—was a revocable decision and thus unreviewable, a determination that cannot be drawn from these cases (*see* majority op at 68). Significantly, the relevant “critical time” at which defendant was deprived of his right to counsel was not, as the majority posits, when the sick

juror was actually replaced by the alternate, but, at the very least, when the court made its decision to dismiss the juror. This is reflected in CPL 270.35 (2) (b), which provides that “[t]he court shall afford the parties an opportunity to be heard before discharging a juror.”

The majority also concludes that the Appellate Division correctly distinguished the circumstances here from the facts of *People v Strothers* (87 AD3d 431 [1st Dept 2011]). In *Strothers*, defense counsel arrived halfway through the proceeding, but the Court held that counsel could not lodge an objection while absent, and thus preservation was not required (*see* 87 AD3d at 433). The deprivation of counsel in *Strothers* occurred at the commencement of the proceeding, with defense counsel arriving halfway through, and here, it occurred when the court made its decision to dismiss the juror (majority op at 68, citing 87 AD3d at 433). Here, the arguments against dismissal of the juror had been heard and rejected, and the issue decided with the only task remaining being the seating of the alternate juror. Defense counsel was absent during the entire period and very possibly was unaware of the proceedings taking place without him.

In *People v Margan*, where the trial judge ordered the prosecutor to begin direct examination of a witness in the absence of defense counsel, the Appellate Division correctly followed “the general rule that a violation of the right to counsel may be raised, as a question of law, for [the] first time on appeal” (157 AD2d 64, 70 [2d Dept 1990]). The important distinction is that in *Strothers*, *Margan*, and here, defense counsel was absent from the courtroom during the proceeding, but was present in *Narayan* and *Umali*.

Affirming the judgment “on preservation grounds will only encourage prosecutors in their already well-established tendency to pounce on every arguable imperfection in a defense lawyer’s argument as a barrier to deciding a case on the merits” (*People v Beasley*, 16 NY3d 289, 293 [2011, Smith, J., concurring]).

I would hold that preservation is not required here, and upon reaching the merits, I would conclude that defendant’s right to counsel was violated.

“This [C]ourt has consistently exercised the highest degree of vigilance in safeguarding the right of an accused to have the assistance of an attorney at every stage of the legal proceed-

ings against him” (*People v Cunningham*, 49 NY2d 203, 207 [1980]). “[S]ince most constitutional rights are not self-executing, the right to counsel may be the most basic of all” (*People v Hodge*, 53 NY2d 313, 317 [1981]). Criminal Procedure Law § 270.35 (2) (b) states that “[t]he court shall afford the parties an opportunity to be heard before discharging a juror.” A court has discretion to replace an absent juror “if the court determines that there is no reasonable likelihood such juror will be appearing . . . in court within two hours of the time set by the court for the trial to resume” (CPL 270.35 [2] [a]), but it cannot do so absent defense counsel.

In *Hodge*, the trial court insisted that the defendant proceed with a preindictment preliminary hearing despite defense counsel’s absence (*see* 53 NY2d at 316-317). The People asserted that because the defendant was subsequently indicted, there was no harm and “any infirmities that occurred at the flawed hearing may be excused” (*id.* at 319). We held there that “the test must be not what the hearing did not produce, but what it might have produced if the defendant’s right to counsel had not been ignored” (*id.* at 321). “[T]he result of such inquiry would have to be pure speculation” (*id.*).

In *People v Johnson* (189 AD2d 318 [4th Dept 1993]), reversal was “mandated” where a trial court discharged a sworn juror prior to the impanelment of the entire jury “in the absence of defense counsel” (*id.* at 320). Because “[j]ury selection is a critical stage of a criminal proceeding,” “the unique, indispensable presence of at least the single-minded counsel for the accused is minimally necessary to safeguard” the defendant’s “constitutional right to a particular jury chosen according to law, in whose selection he has had a voice” (*id.* [internal quotation marks and citations omitted]).

The denial of the right to counsel at trial “is of constitutional dimension” and is not subject to harmless error analysis (*Hodge*, 53 NY2d at 320; *People v Hilliard*, 73 NY2d 584, 587 [1989]). As this Court recognized, “[t]he right to have the assistance of counsel is too fundamental and absolute to allow courts to indulge in nice calculations as to the amount of prejudice arising from its denial” (*see People v Felder*, 47 NY2d 287, 296 [1979]; *see also Perry v Leeke*, 488 US 272 [1989]).

Here, the court’s decision to replace the ill juror must be made while defense counsel is present. Indeed, the statute directs that counsel “shall” be afforded an opportunity to object

(see CPL 270.35 [2] [b]). Further, trial courts should not disregard this Court's long history of safeguarding the right to counsel (*Hodge*, 53 NY2d at 317-318). As it was in *Hodge*, it is inappropriately speculative here to assert that the juror would have been discharged even if counsel had been present (see 53 NY2d at 320-321; *Felder*, 47 NY2d at 296).

For these reasons, I would reverse the Appellate Division and remit for a new trial.

Judges READ, PIGOTT and RIVERA concur; Chief Judge LIPPMAN dissents in an opinion in which Judges STEIN and FAHEY concur.

Order affirmed.

[30 NE3d 137, 7 NYS3d 246]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICHARD GARCIA, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSHUE DEJESUS, Appellant.

Argued February 17, 2015; decided March 31, 2015

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 28, 2014. The Appellate Division modified, on the law, and otherwise affirmed a judgment of the Supreme Court, Bronx County (Dominic R. Mas-saro, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree and imposed sentence, a mandatory surcharge and crime victim assistance fee. The modification consisted of reducing the amounts of the mandatory surcharge and crime victim assistance fee to \$250 and \$20, respectively.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 9, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Bruce Allen, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Garcia, 113 AD3d 553, reversed.

People v DeJesus, 105 AD3d 476, affirmed.

HEADNOTES

Crimes — Evidence — Background and Narrative Evidence as to Police Pursuit of Defendant — Testimonial Nature of Out-of-Court Statement

1. The trial court violated defendant's right to confrontation in his murder prosecution by admitting, as purported "background and narrative" evidence, a detective's hearsay testimony that the victim's sister had told him that the victim "was having a problem with" defendant prior to the murder. The Federal Confrontation Clause does not bar the use of testimonial statements for purposes other than establishing the truth of the matter asserted. Further, subject to the exercise of a court's discretion, otherwise inadmissible evidence that provides background information as to how and why the police pursued and confronted a defendant may be admitted to help a jury

understand a case in context. Here, the detective's remark was a testimonial statement inasmuch as it was procured for the primary purpose of creating an out-of-court substitute for the testimony of the victim's sister. It arguably gave a motive for the shooting and exceeded that which was necessary to explain the police pursuit of defendant. Further, inasmuch as the prosecution turned on the identification of defendant by a single eyewitness, who was not well-acquainted with defendant and who did not identify him until two years after the crime, the error in admitting that testimony was not harmless.

Crimes — Right of Confrontation — Background and Narrative Evidence as to Police Pursuit of Defendant — Nontestimonial Nature of Out-of-Court Statement

2. In a murder prosecution in which police identified defendant as a suspect through an anonymous tip prior to interviewing the single eyewitness, defendant's right to confrontation was not violated where the trial court admitted into evidence a detective's testimony that the police "began specifically looking for defendant" without having "spoken to the eyewitness." The Federal Confrontation Clause bars admission of testimonial statements of a witness who did not appear at trial, unless that witness was unavailable to testify and the defendant had a prior opportunity to cross-examine him or her. A statement will be treated as testimonial only if it was procured with a primary purpose of creating an out-of-court substitute for trial testimony. Here, there was no basis to characterize the detective's statement as testimonial; it was not an out-of-court substitute for trial testimony. Further, the way the prosecutor solicited the testimony did not amount to an inferential breach of defendant's confrontation rights by making clear the source and content of the conversation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 696, 703–707; AM JUR 2d, Criminal Law §§ 1072–1073, 1081–1085, 1088–1090; AM JUR 2d, Evidence §§ 669, 674, 693, 805, 846.
- CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:72, 194:74, 194:77–194:81, 194:88, 194:108, 194:123, 194:133, 194:152, 194:232.
- LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 14.4, 24.2–24.4, 27.6.
- NY JUR 2d, Criminal Law: Procedure §§ 2023, 2037, 2088–2090, 2093–2096, 2105, 2119, 2126, 2130, 2230, 2298, 2375, 3573.

ANNOTATION REFERENCE

See ALR Index under Confrontation of Witnesses; Evidence; Eyewitnesses; Hearsay.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Amanda Rolat of counsel), for appellant in the first above-entitled action. I. The evidence was insufficient to establish appellant's guilt where the sole testifying witness's account was substantially contradicted by her previous statements to police, the medical evidence, and other testimony given by the responding officer. (*Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620; *Matter of Gregory J.*, 204 AD2d 68; *Matter of Anthony W.*, 51 AD3d 808; *People v Taylor*, 98 AD2d 269; *People v Daniels*, 88 AD2d 392; *United States v Wade*, 388 US 218; *People v Beckford*, 141 Misc 2d 71; *People v Jones*, 73 NY2d 427; *Matter of Persing v Coughlin*, 214 AD2d 145.) II. In this single witness identification case, appellant was denied his right to confront witnesses and his due process right to a fair trial where the trial court admitted, over specific defense objection, a highly prejudicial out-of-court statement that the decedent had been involved in a dispute with appellant at the time of the shooting. (*Crawford v Washington*, 541 US 36; *People v Huertas*, 75 NY2d 487; *People v Nieves*, 67 NY2d 125; *People v Brensic*, 70 NY2d 9; *People v Maher*, 89 NY2d 456; *People v McCullough*, 73 AD2d 310; *People v Morris*, 21 NY3d 588; *People v Resek*, 3 NY3d 385; *People v Tosca*, 98 NY2d 660; *People v Rivera*, 96 NY2d 749.) III. The Appellate Division erred in finding the trial court's refusal to issue a limiting instruction with respect to the hearsay testimony, despite repeated requests by both the prosecution and defense, to be harmless error in a single-witness identification case. (*People v Crimmins*, 36 NY2d 230; *United States v Reyes*, 18 F3d 65; *People v Morris*, 21 NY3d 588; *People v Resek*, 3 NY3d 385; *People v Rivera*, 96 NY2d 749; *People v Till*, 87 NY2d 835; *People v Sallitto*, 125 AD2d 345; *People v Ahmed*, 66 NY2d 307; *Carter v Kentucky*, 450 US 288; *Taylor v Kentucky*, 436 US 478.)

Robert T. Johnson, District Attorney, Bronx (David P. Johnson, Joseph N. Ferdenzi and Peter D. Coddington of counsel), for respondent in the first above-entitled action. I. Defendant's guilt of manslaughter in the first degree was proved beyond a reasonable doubt. (*People v Gray*, 86 NY2d 10; *People v Hawkins*, 11 NY3d 484; *People v Finch*, 23 NY3d 408; *People v Contes*, 60 NY2d 620; *People v Malizia*, 62 NY2d 755; *People v Scarborough*, 49 NY2d 364; *People v Bleakley*, 69 NY2d 490; *People v Jones*, 73 NY2d 427.) II. The trial court properly

allowed Detective Bart Snyder to testify about an out-of-court statement to explain his pre-arrest investigation; in any event, any possible error was harmless. (*People v Hawkins*, 11 NY3d 484; *People v Kello*, 96 NY2d 740; *People v Winkler*, 71 NY2d 592; *People v Belge*, 41 NY2d 60; *People v Nieves*, 67 NY2d 125; *People v Edwards*, 47 NY2d 493; *People v Tosca*, 98 NY2d 660; *People v Till*, 87 NY2d 835; *Pointer v Texas*, 380 US 400; *Crawford v Washington*, 541 US 36.) III. Defense counsel never requested that the trial court issue a limiting instruction with respect to an out-of-court statement; in any event, the lack of an instruction was harmless. (*People v Hawkins*, 11 NY3d 484; *People v Kello*, 96 NY2d 740; *People v Robinson*, 36 NY2d 224; *People v Resek*, 3 NY3d 385; *People v Tosca*, 98 NY2d 660; *People v Crimmins*, 36 NY2d 230; *People v Ahmed*, 66 NY2d 307; *People v Baker*, 14 NY3d 266.)

Robert S. Dean, *Center for Appellate Litigation*, New York City (*Abigail Everett* of counsel), for appellant in the second above-entitled action. Evidence that the police had identified appellant as a “specific suspect” hours before he was identified by prosecution witness Lennon Carrasco was inadmissible, even as “background” evidence, because it clearly signaled that a non-testifying declarant had implicated appellant, in violation of his right to confront this accuser, and was particularly prejudicial in this one-witness identification case. (*Crawford v Washington*, 541 US 36; *Ohio v Roberts*, 448 US 56; *Jones v Basinger*, 635 F3d 1030; *California v Green*, 399 US 149; *People v Duhs*, 16 NY3d 405; *Ryan v Miller*, 303 F3d 231; *Ocampo v Vail*, 649 F3d 1098; *Mason v Scully*, 16 F3d 38; *Tennessee v Street*, 471 US 409; *People v Reynoso*, 2 NY3d 820.)

Cyrus R. Vance, Jr., *District Attorney*, New York City (*Alice Wiseman* and *Eleanor J. Ostrow* of counsel), for respondent in the second above-entitled action. Defendant’s confrontation rights were not violated. (*Crawford v Washington*, 541 US 36; *People v Kello*, 96 NY2d 740; *People v Gray*, 86 NY2d 10; *People v Goode*, 87 NY2d 1045; *People v Martin*, 50 NY2d 1029; *People v Hawkins*, 11 NY3d 484; *People v Belge*, 41 NY2d 60; *People v Clarke*, 81 NY2d 777; *People v Boyd*, 58 NY2d 1016; *People v Love*, 57 NY2d 1023.)

OPINION OF THE COURT

FAHEY, J.

From these otherwise unrelated criminal appeals arises the

question whether the introduction of purported “background and narrative” evidence through the testimony of police detectives violated defendants’ right to confrontation.

People v Garcia

At approximately 8:30 p.m. on August 20, 2005, Michael Colon was shot to death following a streetside argument. With respect to that incident defendant was charged by indictment with, inter alia, one count each of murder in the second degree (Penal Law § 125.25 [1]) and manslaughter in the first degree (§ 125.20 [1]).

Although there were approximately 15 people in the area of the argument, only one eyewitness testified at the ensuing jury trial. On direct examination the eyewitness recalled that, during an argument he was having with Colon, defendant pointed a gun at Colon and fired three to four shots at him. The eyewitness ran to her automobile after the first shot was fired but, in the meantime, she observed that Colon had grabbed his chest and fallen to the “floor.” The eyewitness acknowledged that she was contacted by the police nearly two years after the shooting, on June 19, 2007. On that date the eyewitness identified defendant as the shooter in a lineup.

The lineup was the second police attempt to have the eyewitness identify the shooter. Cross-examination revealed that, a few days after the shooting, the eyewitness went to a precinct house, whereupon police showed her a photo array. The eyewitness did not identify defendant’s photograph in that array, and she explained that “in the pictures” defendant “looked different” from how he appeared in person. The eyewitness stated that she declined to identify the shooter because she was “more comfortable seeing . . . the person in person because in the picture they looked different,” and she was fearful of identifying the wrong person.

The People’s case turned to the police investigation of the shooting and the testimony of the lead detective. The detective initially noted that the police did not make an arrest in 2005 or 2006. He then described an August 21, 2005 meeting he had with Colon’s sister. Over defendant’s general objection, the prosecutor engaged the detective in this exchange:

“Q. And without telling us specifically what you talked about, . . . did [Colon’s sister] assist you in your investigation of this case?

“A. Yes, she did.

“Q. And did she tell you whether [Colon] was having a problem with anyone in particular?

“A. Yes, she did.

“Q. Who was that? . . .

“A. [Defendant].”

The detective further testified that Colon’s sister had also told him that defendant and Colon had known each other for “quite a while.” Defendant objected that “[w]e don’t have that witness here.” The court overruled the objection. That testimony preceded the detective’s explanation of the police investigation of the shooting, which culminated in the arrest of defendant on June 19, 2007.

The People’s case established that Colon was killed by a single gunshot. The People, however, had neither the gun at issue nor any physical evidence linking defendant to the shooting. Consequently, their case hinged on the eyewitness’s identification of the shooter and the hearsay testimony of the detective as to the reported strife between Colon and defendant. At a charge conference the court denied defendant’s motion seeking either the striking of the detective’s testimony as to conflict between defendant and Colon or, in the alternative, the delivery of an instruction directing the jury to disregard that testimony on the ground that it was “pure hearsay.” The jury convicted defendant of manslaughter in the first degree (Penal Law § 125.20 [1]).

On appeal, the Appellate Division declined to disturb the conviction, concluding, in relevant part, that defendant’s objection to the disputed parts of the detective’s testimony “did not preserve [defendant’s] Confrontation Clause claim” and, in the alternative, that there was “no Confrontation Clause violation . . . because the evidence was admissible for a legitimate purpose other than its truth” (113 AD3d 553, 554 [2014]). After acknowledging that the trial court should have given a limiting instruction with respect to the disputed testimony, the Appellate Division also concluded that “any error in receiving the evidence or in failing to deliver [such an] instruction was harmless, because neither the evidence nor the absence of an instruction could have affected the verdict” (*id.*). A Judge of this Court granted leave to appeal (22 NY3d 1198 [2014]). We now reverse and order a new trial.

People v DeJesus

During the early morning hours of June 9, 2006, Julio Montez was shot to death following a dispute outside a neighborhood bar. Defendant was charged by indictment with one count of murder in the second degree (Penal Law § 125.25 [1]).

At a pretrial motion in limine the People sought to introduce evidence that Montez's family had called the police 12 hours after the shooting to report their receipt of an anonymous phone call identifying the shooter as a person named "Joshua" who lived with his grandparents at a certain Manhattan address. According to the prosecutor, that information was relevant not for the truth of the matter asserted, but to show "why the police focused in on . . . defendant and how they came to put his photo in a photo array, how they came to show it to witnesses, [and how] defendant was a suspect from the day the actual homicide took place." Following defendant's point that such evidence would be purely prejudicial, the court ruled that the prosecutor could ask, "based on your investigation on that day, did you have a suspect in mind," without mention of the subject phone call.

The matter subsequently proceeded to a jury trial where, similar to *Garcia*, the identification of defendant as the shooter was premised upon the testimony of a single eyewitness. In this case, that eyewitness, a longtime friend of Montez, testified as to having frequently seen defendant "hanging out" in the neighborhood in which Montez, the eyewitness, and defendant lived. He also saw defendant shoot Montez following the tavern quarrel. The shooting occurred at approximately 3:45 a.m. on June 9, 2006. The eyewitness called 911 for medical and police assistance. Montez died at a hospital approximately two hours later.

A police detective obtained a list of the telephone numbers that were used to call 911 concerning the shooting. Using the list, that detective contacted the eyewitness at about 4:50 a.m. on the morning of the shooting. At that point, the frightened eyewitness did not want to be "involved" in the matter. He told the detective that he did not see the shooting and made no mention of defendant's presence at the scene of that incident.

At least two more detectives became involved in the investigation of the shooting later that morning, and one of those detectives eventually interviewed the eyewitness at approximately 7:00 p.m. on the evening of that incident. At that

juncture the eyewitness gave a physical description of the shooter and indicated that he could identify the shooter, whom he recognized from the neighborhood. Then, at approximately 10:00 p.m. that evening, the eyewitness was shown a photo array from which he identified defendant as the shooter.

The means by which the police identified defendant as a suspect are at the core of our inquiry here. Over defendant's objection, the detective who conducted the 7:00 p.m. interview testified in this colloquy that he began to look for defendant at 4:00 p.m. on the afternoon of the shooting as a result of that detective's investigatory work and without having spoken to the eyewitness:

"Q. Did there come a time . . . on June 9th of 2006 that you were looking for a specific suspect relating to the shooting death of [Montez]? . . .

"A. Yes

"Q. And what was the name of the person you were looking for? . . .

"A. [Defendant]. . . .

"Q. And I may have asked you this: What time on June 9th did you begin specifically looking for a person by the name of [defendant]? . . .

"A. 4:00 P.M.

"Q. And without telling us specifically, was that as a result of your investigation that you began looking for . . . defendant . . . ?

"A. Yes

"Q. And at the point that you had a specific suspect that you were looking for in connection with the shooting [death] of [Montez], had you spoken to [the eyewitness]?

"A. No"

Defendant later moved for a mistrial based on the foregoing testimony, contending that it violated his right to confrontation insofar as it amounted to an unsworn statement from an anonymous source identifying defendant as the shooter. The court ultimately denied the motion, and by then the jury had returned a verdict convicting defendant of murder in the second degree (Penal Law § 125.25 [1]).

The Appellate Division affirmed, concluding, inter alia, that the “brief, limited testimony that defendant was already a suspect at the time the [eye]witness was interviewed did not violate the Confrontation Clause” inasmuch as that “evidence was not offered for its truth, but for the legitimate nonhearsay purposes of[, inter alia,] completing the narrative, explaining police actions, providing the context of the [police] interview [of the eyewitness], . . . and preventing jury speculation” (105 AD3d 476, 476 [2013] [citation omitted]). A Judge of this Court granted leave to appeal (22 NY3d 1198 [2014]). We now affirm.

Analysis

I.

“Under the Sixth Amendment of the Federal Constitution and article I, § 6 of the State Constitution, a criminal defendant has the right to be confronted with the witnesses against him or her (*see* US Const Amend VI; NY Const, art I, § 6; *Delaware v Van Arsdall*, 475 US 673, 678 [1986]; *People v Rawlins*, 10 NY3d 136, 146 [2008])” (*People v Smart*, 23 NY3d 213, 219 [2014]).

Indeed, the Federal Confrontation Clause bars “admission of testimonial statements of a witness who did not appear at trial,” unless that witness was unavailable to testify and the defendant had a prior opportunity to cross-examine him or her (*Crawford v Washington*, 541 US 36, 53-54 [2004]; *see People v Pealer*, 20 NY3d 447, 453 [2013], *cert denied* 571 US —, 134 S Ct 105 [2013]). “[A] statement will be treated as testimonial only if it was ‘procured with a primary purpose of creating an out-of-court substitute for trial testimony’” (*Pealer*, 20 NY3d at 453, quoting *Michigan v Bryant*, 562 US 344, 358 [2011]) and, “[i]f a different purpose underlies its creation, the issue of admissibility of the statement is subject to federal or state rules of evidence” (*Pealer*, 20 NY3d at 453). Our precedent teaches that “two factors . . . are ‘especially important’ in resolving whether to designate a statement as testimonial—‘first, whether the statement was prepared in a manner resembling ex parte examination and second, whether the statement accuses defendant of criminal wrongdoing’” (*id.*, quoting *People v Rawlins*, 10 NY3d 136, 156 [2008], *cert denied sub nom. Meekins v New York*, 557 US 934 [2009]). “[T]he ‘purpose of making or generating the statement, and the

declarant's motive for doing so,' also 'inform [those] two inter-related touchstones' " (*Pealer*, 20 NY3d at 453, quoting *Rawlins*, 10 NY3d at 156).

But this is not to say that testimonial statements are invariably intolerable at trial. The Federal Confrontation Clause "does not bar the use of testimonial statements for purposes other than establishing the truth of the matter asserted" (*Crawford*, 541 US at 59-60 n 9, citing *Tennessee v Street*, 471 US 409, 414 [1985]).¹ Moreover, subject to the exercise of a court's discretion, otherwise inadmissible evidence that "provide[s] background information as to how and why the police pursued and confronted [a] defendant" (*People v Tosca*, 98 NY2d 660, 661 [2002]) may be admitted to help a jury understand a case in context "if the evidence's probative value in explaining the [pursuit] outweighs any undue prejudice to the defendant," and if the evidence is accompanied by a "'proper limiting instruction[]'" (*People v Morris*, 21 NY3d 588, 596 [2013], quoting *People v Resek*, 3 NY3d 385, 389 [2004]). We now apply those principles to the facts before us.

II.

[1] Garcia's contention with respect to the alleged violation of his confrontation rights is preserved for our review (*see* CPL 470.05 [2]), and it has merit.² In *Garcia*, the detective's testimony as to his conversation with Colon's sister went beyond the permissible bounds of "provid[ing] background information as to how and why the police pursued . . . defendant" (*Tosca*, 98 NY2d at 661). The detective's remark that Colon's sister had said that there was friction between defendant and Colon indisputably was a testimonial statement inasmuch as it was procured for the primary purpose of creating an out-of-court substitute for the testimony of Colon's sister regarding that discord (*see generally Pealer*, 20 NY3d at 453). The

1. *Crawford* interpreted the Federal Confrontation Clause, but the Federal and State Confrontation Clauses are "virtually identical" (*People v Bradley*, 8 NY3d 124, 126 [2006]). The federal clause states that "[i]n all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against him" (US Const Amend VI), while the state clause provides that "[i]n any trial in any court whatever the party accused shall . . . be confronted with the witnesses against him or her" (NY Const, art I, § 6).

2. We note that, even if defendant's constitutional contention is unpreserved, as the People suggest, we would reach the same result with respect to the merits based on our state evidentiary hearsay rules.

testimony as to that friction, which arguably gave a motive for the shooting, exceeded that which was necessary to explain the police pursuit of defendant. It should not have been countenanced by the trial court. Inasmuch as *Garcia* turned on the identification of defendant by a single eyewitness, who was not well-acquainted with defendant and who did not identify him until two years after the crime, we cannot conclude that the error in admitting that testimony in evidence is harmless (*see generally People v Eastman*, 85 NY2d 265, 277-278 [1995]; *cf. People v Kello*, 96 NY2d 740, 744 [2001]).

Even assuming, arguendo, the detective's statements as to the discord between defendant and Colon merely provided background as to the police pursuit of defendant and were properly admitted in evidence for that purpose, reversal would still be required. It is obvious, if not uncontested, that the subject testimony should have been tempered by a "proper limiting instruction[]" (*Morris*, 21 NY3d at 596, quoting *Resek*, 3 NY3d at 389). In the absence of a curative instruction the prosecutor offered what we characterize here as a curative argument on summation. Specifically, the prosecutor contended that the detective's testimony as to what Colon's sister had said that Colon had told her was not "introduced for the truth of the matter asserted." That argument, however, is no substitute for a proper curative or limiting charge inasmuch as "[a]rguments of counsel cannot substitute for instructions by the court" (*Carter v Kentucky*, 450 US 288, 304 [1981], quoting *Taylor v Kentucky*, 436 US 478, 488-489 [1978]).

In any event, under the circumstances of this case, the failure to temper that testimonial evidence with a proper curative instruction is not harmless even under the standard applicable to non-constitutional harmless error (*see generally People v Crimmins*, 36 NY2d 230, 241-242 [1975]).³

III.

[2] *People v DeJesus* presents different circumstances. There, when asked whether there came a time on June 9, 2006 when the police began to look for a specific suspect in relation to the death of Montez, the subject detective merely agreed that the police "beg[a]n specifically looking for [defendant]" at 4:00 p.m.

3. Garcia also contends that the evidence is legally insufficient to support his conviction, but that contention is not preserved for our review (*see People v Gray*, 86 NY2d 10, 19 [1995]).

that afternoon without having “spoken to [the eyewitness].” There is no basis to characterize that statement as testimonial—it simply is not an out-of-court substitute for trial testimony (see *Pealer*, 20 NY3d at 453). We thus conclude that there is no merit to defendant’s contention that his confrontation rights were violated.⁴

Further, we conclude that *DeJesus* is not a case in which there was an inferential breach of defendant’s confrontation rights. The United States Court of Appeals for the Second Circuit has ruled that “[t]he relevant question [in determining whether testimony contains an implicit accusation and thus is testimonial] is whether the way the prosecutor solicited the testimony made the source and content of the conversation clear” (*Ryan v Miller*, 303 F3d 231, 250 [2d Cir 2002]; see *United States v Dukagjini*, 326 F3d 45, 56-57 [2d Cir 2003]). Even assuming, arguendo, that the *Ryan* litmus test applies here, we conclude that there was no violation of defendant’s confrontation rights. Defense counsel’s point at trial that the disputed testimony gave the “clear implication” that “some unknown anonymous caller said [defendant] must have been the suspect” is mere supposition. Moreover, defendant’s reiteration on appeal of his point at trial that the subject evidence “clearly stands for the proposition [that] somebody told [the detective] to look for [defendant] because [defendant] was the shooter before someone spoke to [the eyewitness]” is similarly misplaced.

Accordingly, the order of the Appellate Division in *People v Garcia* should be reversed and a new trial ordered, and the order of the Appellate Division in *People v DeJesus* should be affirmed.

PIGOTT, J. (concurring). I disagree with my colleagues in *People v Garcia* to the extent that they hold that the trial court erred, as a matter of law, in admitting the detective’s testimony regarding his conversation with Colon’s sister.

The detective’s testimony, which did not go into any of the specific details of his conversation with Ms. Colon, was necessary to explain to the jury how the detective came to focus on

4. In so concluding, we note that, as we read the record and his main brief, defendant articulated on appeal contentions with respect to both the Federal and State Confrontation Clauses that are preserved for our review (see CPL 470.05 [2]).

defendant during his nearly two-year investigation (*see People v Till*, 87 NY2d 835, 837 [1995]). Under certain circumstances, and when coupled with proper limiting instructions, testimony of this kind may fill in gaps of “interwoven events” (*id.*) and thus, help the jury understand the case in context.

Without the detective’s very brief testimony of Ms. Colon’s account that there was a “problem” between defendant and Mr. Colon, there would have been no explanation for why the detective included defendant in the initial photo array or spent two years looking for him. The jury would have been left to speculate over an obvious gap in the narrative.

I agree, as both defense counsel and the prosecutor requested, that a limiting instruction should have been given to explain the testimony’s limited purpose. As my colleagues recognize, the testimony arguably suggested to the jury a motive for the shooting and the court’s failure to give that limiting instruction was not harmless.

In *People v Garcia*: Order reversed and a new trial ordered.

Opinion by Judge FAHEY. Chief Judge LIPPMAN and Judges RIVERA, ABDUS-SALAAM and STEIN concur; Judge PIGOTT concurs in result in a separate opinion in which Judge READ concurs.

In *People v DeJesus*: Order affirmed.

Opinion by Judge FAHEY. Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and STEIN concur.

[30 NE3d 154, 7 NYS3d 263]

MARC A. NICOMETI, Appellant-Respondent, v THE VINEYARDS OF FREDONIA, LLC, et al., Respondents-Appellants, et al., Defendants.

SCOTT PFOHL, Third-Party Plaintiff, and WINTER-PFOHL, INC., Third-Party Plaintiff-Respondent-Appellant, v WESTERN NEW YORK PLUMBING-ELLCOTT PLUMBING AND REMODELING CO., INC., Third-Party Defendant-Respondent-Appellant.

Argued February 11, 2015; decided April 2, 2015

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered June 14, 2013. The Appellate Division modified, on the law, so much of an order of the Supreme Court, Erie County (Timothy J. Drury, J.), as had (1) granted plaintiff's motion for partial summary judgment as to the issue of liability in his favor on his Labor Law § 240 (1) claim against defendants The Vineyards of Fredonia, LLC and Winter-Pfohl, Inc., and (2) denied the cross motion of defendant Winter-Pfohl, Inc. for summary judgment dismissing plaintiff's Labor Law § 240 (1) claim as against it. The modification consisted of denying plaintiff's motion for partial summary judgment on liability against defendants The Vineyards of Fredonia, LLC and Winter-Pfohl, Inc. The Appellate Division affirmed the judgment as modified. The following question was certified by the Appellate Division: "Was the order of this Court entered June 14, 2013, properly made?"

Nicometi v Vineyards of Fredonia, LLC, 107 AD3d 1537, modified.

HEADNOTE

Labor — Safe Place to Work — Elevation-Related Risk — Worker Slipping on Ice while Using Stilts

The injuries plaintiff sustained when he slipped on a patch of ice and fell to the floor while using stilts to install insulation in a ceiling were not the direct consequence of an elevation-related risk within the scope of Labor Law § 240 (1). Liability may be imposed under section 240 (1) only where the plaintiff's injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential. Therefore, the relevant and proper inquiry was whether the hazard plaintiff encountered on the stilts was a separate hazard wholly unre-

lated to the hazard which brought about the need for a safety device in the first instance. This is because, regardless of the type of safety device involved, liability arises under section 240 (1) only where the plaintiff's injuries are the direct consequence of an elevation-related risk, not a separate and ordinary tripping or slipping hazard. Plaintiff's accident was plainly caused by a separate hazard—ice—unrelated to any elevation risk. Plaintiff testified that stilts were the appropriate device for the type of work he was undertaking, and that the ice, not a deficiency or inadequacy of the stilts, caused his fall.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 250–253.

McKINNEY'S, Labor Law § 240 (1).

NY JUR 2d, Employment Relations §§ 285–289.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health; Scaffolds.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: fell /s stilt & elevation-related

POINTS OF COUNSEL

Michael J. Hutter, Jr., Albany, and *The Ballow Law Firm, P.C.*, Buffalo (*John E. Ballow* and *Jason A. Richman* of counsel), for appellant-respondent. I. A prima facie case of entitlement to summary judgment on liability pursuant to Labor Law § 240 (1) has been established by the appellant-respondent. (*Joblon v Solow*, 91 NY2d 457; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Klein v City of New York*, 89 NY2d 833; *Panek v County of Albany*, 99 NY2d 452; *Thompson v St. Charles Condominiums*, 303 AD2d 152; *Aragon v 233 W. 21st St.*, 201 AD2d 353; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280.) II. Respondents-appellants, in response to appellant-respondent's prima facie demonstration of entitlement to judgment, have failed to raise any question of fact material to the determination of liability under Labor Law § 240 (1). (*Striegel v Hillcrest Hgts. Dev. Corp.*, 100 NY2d 974; *Klein v City of New York*, 89 NY2d 833; *Ferra v County of Wayne*, 147

AD2d 964; *Jiminez v Nidus Corp.*, 288 AD2d 123; *Melber v 6333 Main St.*, 91 NY2d 759; *Salazar v Novalex Contr. Corp.*, 18 NY3d 134; *Matos v Garden State Brick Face of Middle Vil.*, 272 AD2d 70; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Stolt v General Foods Corp.*, 81 NY2d 918.)

Kennedy Shelton Liptak Nowak LLP, Buffalo (Robert D. Leary of counsel), for Winter-Pfohl, Inc., respondent-appellant. I. Plaintiff's accident falls outside the scope of Labor Law § 240 (1) because the accident was not the result of an elevation-related risk but, rather, it was the result of a separate and unrelated hazard, namely, ice on the floor. (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Melber v 6333 Main St.*, 91 NY2d 759; *Matos v Garden State Brick Face of Middle Vil.*, 272 AD2d 70; *McNabb v Oot Bros., Inc.*, 64 AD3d 1237; *Russell v Widewaters S. Bay Rd. Assoc.*, 289 AD2d 1025; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Cohen v Memorial Sloan-Kettering Cancer Ctr.*, 11 NY3d 823; *Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914.) II. If the lower courts properly concluded that plaintiff's fall was the result of an elevation-related risk for which Labor Law § 240 (1) provides protection, then there is still a triable issue of fact whether plaintiff was a recalcitrant worker, or whether his actions were the sole proximate cause of his injuries. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Weinberg v Alpine Improvements, LLC*, 48 AD3d 915; *Arigo v Spencer*, 39 AD3d 1143; *Taglioni v Harbor Cove Assoc.*, 308 AD2d 441; *Miller v C.O. Falter Constr. Corp.*, 226 AD2d 1110; *Duda v Rouse Constr. Corp.*, 32 NY2d 405; *Hajderlli v Wiljohn 59 LLC*, 71 AD3d 416; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Andrews v Ryan Homes, Inc.*, 27 AD3d 1197; *Thome v Benchmark Main Tr. Assoc., LLC*, 86 AD3d 938.)

Barth Sullivan Behr, Buffalo (Laurence D. Behr of counsel), for The Vineyards of Fredonia, LLC, respondent-appellant. I. This Court should reverse the holding that Labor Law § 240 (1) applies to this accident, which resulted from a slip on ice while wearing stilts. (*Melber v 6333 Main St.*, 91 NY2d 759; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Klein v City of New York*, 89 NY2d 833; *Gatto v Clifton Park Senior Living, LLC*, 90 AD3d 1387; *Russell v Widewaters S. Bay Rd. Assoc.*, 289

AD2d 1025; *McNabb v Oot Bros., Inc.*, 64 AD3d 1237; *Garcia v Mt. Airy Estates, Inc.*, 35 Misc 3d 1208[A], 2012 NY Slip Op 50615[U]; *Gonzalez v Majestic Fine Custom Home*, 2012 NY Slip Op 31466[U]; *Matos v Garden State Brick Face of Middle Vil.*, 272 AD2d 70.) II. The lower court correctly held there is a factual issue as to whether the plaintiff's own conduct was the sole proximate cause of his accident, applying *Blake v Neighborhood Hous. Servs. of N.Y. City* (1 NY3d 280 [2003]). (*Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Andrews v Ryan Homes, Inc.*, 27 AD3d 1197; *Quattrocchi v F.J. Sciamie Constr. Corp.*, 11 NY3d 757; *Wonderling v CSX Transp., Inc.*, 34 AD3d 1244; *Thome v Benchmark Main Tr. Assoc., LLC*, 86 AD3d 938.)

Baxter Smith & Shapiro, P.C., West Seneca (Arthur J. Smith, Sim R. Shapiro and Michael V. McLaughlin of counsel), for Western New York Plumbing-Ellicott Plumbing and Remodeling Co., Inc., third-party respondent-appellant. I. Labor Law § 240 (1) does not apply to this matter as it does not extend to protecting a worker against the hazard of slipping on ice, as that is not an elevation-related risk. (*Narducci v Manhasset Bay Assoc.*, 96 NY2d 259; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Cohen v Memorial Sloan-Kettering Cancer Ctr.*, 11 NY3d 823; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Melber v 6333 Main St.*, 91 NY2d 759; *Russell v Widewaters S. Bay Rd. Assoc.*, 289 AD2d 1025; *McNabb v Oot Bros., Inc.*, 64 AD3d 1237; *Matos v Garden State Brick Face of Middle Vil.*, 272 AD2d 70.) II. If it is determined that Labor Law § 240 (1) applies, there is still a triable issue of fact as to whether plaintiff was the sole proximate cause of his injuries. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Duda v Rouse Constr. Corp.*, 32 NY2d 405; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Andrews v Ryan Homes, Inc.*, 27 AD3d 1197; *Thome v Benchmark Main Tr. Assoc., LLC*, 86 AD3d 938; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Buckley v J.A. Jones/GMO*, 38 AD3d 461; *Danielewicz v Klewin Bldg. Co., Inc.*, 39 AD3d 1194; *Hamill v Mutual of Am. Inv. Corp.*, 79 AD3d 478; *Petrocelli v Tishman Constr. Co.*, 19 AD3d 145.)

OPINION OF THE COURT

STEIN, J.

In this personal injury action, we are called upon to determine whether Labor Law § 240 (1) applies where plaintiff sustained injuries after he slipped on ice and fell to the floor while using stilts to install insulation in a ceiling. Because we

conclude that plaintiff's accident does not fit within the ambit of Labor Law § 240 (1), we modify the Appellate Division order on that ground.

I.

One morning in January 2006, plaintiff Marc Nicometi, a construction worker, was installing insulation in the ceilings of a newly constructed apartment building development in the Village of Fredonia. Defendant The Vineyards of Fredonia, LLC owned the premises upon which plaintiff was working. The Vineyards was, in turn, co-owned by defendant Thomas Whitney and certain nonparties. The Vineyards hired defendant Winter-Pfohl, Inc., partially owned by defendant Scott Pfohl, as the general contractor for the construction project. Winter-Pfohl subcontracted the insulation work to plaintiff's employer, 84 Lumber.

To complete his installation task, plaintiff wore stilts that elevated his feet above the concrete floor in order for him to reach the 9- to 10-foot-high ceiling.¹ According to plaintiff, the accident occurred when he stepped forward with one foot, while swinging a hammer tacker above his head to affix insulation between the ceiling rafters, and slipped on a thin patch of ice. Plaintiff testified at his deposition that, prior to falling, he was aware that ice and water had accumulated on parts of the floor, and he claimed to have so informed his supervisor, Raymond Hilliker. Plaintiff asserted that Hilliker instructed him to complete the installation despite the presence of ice. Hilliker, by contrast, testified that he—not plaintiff—first noticed the ice, and that he directed plaintiff not to insulate the ceiling above the icy area.

Plaintiff subsequently commenced this action, asserting common-law negligence and Labor Law §§ 200, 240 (1) and 241 (6) claims against each aforementioned defendant. Winter-Pfohl and Scott Pfohl later commenced a third-party action seeking indemnification or contribution from Western New York Plumbing-Ellicott Plumbing and Remodeling Co., Inc., the

1. The testimony in the record varies with respect to how high the stilts elevated plaintiff off the floor. Plaintiff claimed that the stilts raised him somewhere between three and five feet off the ground, while Raymond Hilliker, plaintiff's supervisor, testified that the stilts elevated plaintiff by only about 18 inches. Plaintiff's coworker, who was performing the same task on stilts in the room with plaintiff, asserted that both he and plaintiff had their stilts set at the lowest available setting, which he stated was approximately three feet.

plumbing subcontractor that worked on the premises. Following discovery, plaintiff moved for partial summary judgment on liability with respect to his Labor Law § 240 (1) cause of action. Winter-Pfohl and Scott Pfohl cross-moved for summary judgment dismissing plaintiff's section 240 (1) claim against Winter-Pfohl and the action in its entirety as asserted against Scott Pfohl, individually. In support of its cross motion, Winter-Pfohl argued that plaintiff was not entitled to the protections of section 240 (1) because his injuries were caused by ice, not an elevation-related hazard. Although The Vineyards and Whitney opposed plaintiff's motion and supported Winter-Pfohl's cross motion, they did not cross-move for summary judgment. Western New York Plumbing opposed all pending motions as premature.

Supreme Court granted plaintiff summary judgment with regard to liability on the Labor Law § 240 (1) claim as against The Vineyards and Winter-Pfohl, denied Winter-Pfohl's cross motion seeking dismissal of same, and granted Scott Pfohl's cross motion, thereby dismissing him from the action completely.² In so holding, Supreme Court determined that section 240 (1) applied because plaintiff's accident resulted from an elevation-related risk as contemplated by the statute. The court further concluded that no questions of fact existed regarding whether plaintiff's actions were the sole proximate cause of his injuries, despite Hilliker's alleged instruction that plaintiff refrain from insulating the ceiling above the ice. The Vineyards, Winter-Pfohl, and Western New York Plumbing (collectively, defendants) appealed, each contending that Labor Law § 240 (1) did not apply.

The Appellate Division, with two Justices dissenting, modified Supreme Court's order by denying plaintiff's motion for partial summary judgment and, as so modified, affirmed (107 AD3d 1537, 1538 [4th Dept 2013]). The Appellate Division majority and dissent agreed that Labor Law § 240 (1) covered plaintiff's accident (*see id.* at 1538-1539). The Court reasoned that the accident implicated section 240 (1) because the stilts elevating plaintiff "failed" as he performed the insulation work, and it therefore concluded that Winter-Pfohl's cross motion for partial summary judgment was properly denied (*id.* at

2. Although Whitney had not moved for summary judgment, because plaintiff did not oppose his dismissal from the action, the court also dismissed the complaint as asserted against him.

1538, quoting *Melber v 6333 Main St.*, 91 NY2d 759, 763-764 [1998]). The Court split, however, on the issue of proximate cause, with the majority holding that questions of fact existed regarding whether plaintiff's actions were the sole proximate cause of his injuries (*see* 107 AD3d at 1539), and the dissent positing that plaintiff was entitled to summary judgment in his favor (*see id.* at 1539-1541).

The Appellate Division granted defendants and plaintiff leave to appeal and cross-appeal, certifying the question whether its order was properly made (109 AD3d 1220 [4th Dept 2013]). For the reasons that follow, we answer the certified question in the negative, and modify the Appellate Division order accordingly.

II.

Defendants argue that the courts below erred in holding that Labor Law § 240 (1) applies here. According to defendants, plaintiff's accident was not the result of an elevation-related risk but, rather, was the result of an ordinary construction site danger—the presence of ice—which is not the type of injury covered by the statute. Defendants contend that our resolution of this appeal is controlled by our rejection of section 240 (1) liability in *Melber v 6333 Main St.* (91 NY2d 759 [1998]), which they claim is virtually indistinguishable. We agree.

Pursuant to Labor Law § 240 (1), owners and contractors engaged “in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure,” except certain owners of one- and two-family dwellings, must “furnish or erect . . . scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person” employed in the performance of such labor. Section 240 (1) aims to “protect workers and to impose the responsibility for safety practices on those best situated to bear that responsibility” (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 500 [1993]; *see Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520 [1985]). To achieve that goal, the statute “imposes absolute liability where the failure to provide [proper] protection is a proximate cause of a worker's injury” (*Fabrizi v 1095 Ave. of the Ams., L.L.C.*, 22 NY3d 658, 662 [2014]; *see Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 18 NY3d 1, 7 [2011]).

Nevertheless, it is settled that “the extraordinary protections of the statute in the first instance apply only to a narrow class

of dangers” (*Melber*, 91 NY2d at 762; see *Cohen v Memorial Sloan-Kettering Cancer Ctr.*, 11 NY3d 823, 825 [2008]; *Toefer v Long Is. R.R.*, 4 NY3d 399, 407-408 [2005]). More specifically, Labor Law § 240 (1) relates only to “special hazards” presenting “elevation-related risk[s]” (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 514 [1991]; see *Wilinski*, 18 NY3d at 7; *Ross*, 81 NY2d at 500-501). Liability may, therefore, be imposed under the statute only where the “plaintiff’s injuries were the direct consequence of a failure to provide adequate protection against a risk arising from a physically significant elevation differential” (*Runner v New York Stock Exch., Inc.*, 13 NY3d 599, 603 [2009]; see *Wilinski*, 18 NY3d at 10).

Consequently, the protections of Labor Law § 240 (1) “do not encompass *any and all* perils that may be connected in some tangential way with the effects of gravity” (*Ross*, 81 NY2d at 501; see *Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]; *Berg v Albany Ladder Co., Inc.*, 10 NY3d 902, 904 [2008]; *Narducci v Manhasset Bay Assoc.*, 96 NY2d 259, 267 [2001]). “Rather, liability [remains] contingent upon the existence of a hazard contemplated in section 240 (1) and the failure to use, or the inadequacy of, a safety device of the kind enumerated therein” (*Narducci*, 96 NY2d at 267; see *Berg*, 10 NY3d at 904). Moreover, section 240 (1) is not applicable unless the plaintiff’s injuries result from the elevation-related risk and the inadequacy of the safety device (see *Fabrizi*, 22 NY3d at 663; *Runner*, 13 NY3d at 603; *Cohen*, 11 NY3d at 825; *Narducci*, 96 NY2d at 268; *Melber*, 91 NY2d at 764).

We apply the foregoing principles to determine whether plaintiff’s accident invokes the protections of Labor Law § 240 (1); to that end, the parties rightfully focus on our decision in *Melber* (91 NY2d 759), although they disagree as to its effect here. In *Melber*, the plaintiff was standing on 42-inch stilts while installing metal studs in the top of a drywall (see *id.* at 761). The plaintiff walked away from the drywall, without removing his stilts, in order to retrieve a tool (see *id.*). While walking, the plaintiff “tripped over electrical conduit protruding from the unfinished floor and fell to the ground” (*id.*). As in this case, we were asked to determine whether the plaintiff’s accident fell within the purview of Labor Law § 240 (1) (see *id.* at 762). We held that it did not, reasoning that

“the conduit is a risk that can[not] be avoided by proper placement or utilization of one of the de-

vices listed in Labor Law § 240 (1). The protective equipment envisioned by the statute is simply not designed to avert the hazard plaintiff encountered here. . . .

“The stilts, moreover, performed the function Labor Law § 240 (1) required of them: allowing plaintiff to safely complete his work at a height. Had they failed while plaintiff was installing the metal studs in the top of the drywall—work requiring the statute’s special protections—a different case would be presented. But here, . . . injury resulted from a separate hazard—electrical conduit protruding from the floor. Even if the stilts failed to avoid that pitfall, plaintiff’s injuries allegedly flowed from a deficiency in the device that was wholly unrelated to the hazard which brought about its need in the first instance” (*id.* at 763-764 [internal quotation marks and citation omitted]).

Thus, while the electrical conduit was certainly a “hazard in the workplace against which employees should be protected,” it was not a “special” elevation-related hazard as contemplated by section 240 (1) (*Melber*, 91 NY2d at 763).

The dispositive question under *Melber* is not, as plaintiff contends, whether plaintiff was actively performing a construction task—as compared to retrieving a tool in furtherance of that objective—at the exact moment of his accident (*see id.* at 763-764; *see also Saint v Syracuse Supply Co.*, 25 NY3d 117, 124-125 [2015] [decided today]; *Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878, 881-882 [2003]). Indeed, while not favorable to plaintiff under the particular facts here, were we to hold that *Melber* draws a distinction between whether plaintiff was swinging a hammer tacker when he slipped or taking a step forward to retrieve a tool, such a holding would generally be illogical and inconsistent with the purpose and liberal interpretation of section 240 (1) to protect workers (*see Prats*, 100 NY2d at 881-882). Rather, the relevant and proper inquiry is whether the hazard plaintiff encountered on the stilts was a separate hazard “ ‘wholly unrelated to the hazard which brought about [the] need [for a safety device] in the first instance’ ” (*Melber*, 91 NY2d at 764, quoting *Ross*, 81 NY2d at 501). This is because, regardless of the type of safety device involved, liability arises under Labor Law § 240 (1) only where the plaintiff’s injuries are the “direct consequence” of an

elevation-related risk (*Runner*, 13 NY3d at 603; see *Fabrizi*, 22 NY3d at 662-663), not a separate and ordinary tripping or slipping hazard.

By so holding, we do not “expand[]” or “extend” *Melber* (dissenting op at 102, 103). Indeed, our view of *Melber* is consistent with, and reinforced by, an examination of our application of this principle in subsequent cases. In *Nieves v Five Boro A.C. & Refrig. Corp.*, where the plaintiff stepped off a ladder with one foot and tripped over a portable light, we held that Labor Law § 240 (1) did not apply because the injury was caused by a “usual and ordinary danger[] at [the] construction site,” which was distinct and unrelated to the elevation-related risk that called for the ladder in the first instance (93 NY2d 914, 916 [1999]). More recently, we held that “the presence of two unconnected pipes protruding from a wall” was a “‘usual and ordinary danger[]’” (*Cohen*, 11 NY3d at 825, quoting *Nieves*, 93 NY2d at 916). Thus, the plaintiff who tripped over the pipes and fell while descending a ladder was not entitled to “the ‘extraordinary protections of Labor Law § 240 (1)’” (*Cohen*, 11 NY3d at 825, quoting *Nieves*, 93 NY2d at 915; see *McNabb v Oot Bros., Inc.*, 64 AD3d 1237, 1239 [4th Dept 2009] [section 240 (1) did not apply where the plaintiff tripped over an electrical cord while working on stilts because injury was not caused by an elevation-related risk]; *Russell v Widewaters S. Bay Rd. Assoc.*, 289 AD2d 1025, 1025 [4th Dept 2001] [same]; *Garcia v Mt. Airy Estates, Inc.*, 35 Misc 3d 1208[A], 2012 NY Slip Op 50615[U], *3 [Sup Ct, Richmond County 2012] [section 240 (1) inapplicable where the plaintiff tripped over “debris” on stilts]).

Here, plaintiff’s accident was plainly caused by a separate hazard—ice—unrelated to any elevation risk. Plaintiff testified that stilts were the appropriate device for the type of work that he was undertaking, given the height of this particular ceiling. Plaintiff’s testimony further established that it was the ice—not a deficiency or inadequacy of the stilts—that caused his fall. The ice that caused plaintiff to slip is indistinguishable from electrical conduit, a portable light, or protruding pipes, none of which are hazards that call for elevation-related protective devices. As in *Melber*, “[t]he protective equipment envisioned by the statute is simply not designed to avert the hazard plaintiff encountered” (91 NY2d at 763). Plaintiff’s accident was, therefore, not “attributable to” a “risk[] arising from construction work site elevation differentials” (*Runner*, 13 NY3d at 603). Nor did the stilts “fail[]” plaintiff by, for example,

collapsing or breaking while he performed his task (*Melber*, 91 NY2d at 763; compare *Gatto v Clifton Park Senior Living, LLC*, 90 AD3d 1387, 1387 [3d Dept 2011]). Accordingly, *Melber* is controlling and, inasmuch as the type of injury envisioned by section 240 (1) did not occur here, plaintiff cannot recover under the protections afforded by that statutory provision.³

Contrary to plaintiff's contention, our holding in *Striegel v Hillcrest Hgts. Dev. Corp.* (100 NY2d 974 [2003]) does not mandate a different conclusion. There, the plaintiff slipped on frost and slid down a sloped roof, but was fortuitously stopped from falling to the ground when his pants snagged on protruding nails (*see id.* at 976). We held that liability could be imposed pursuant to Labor Law § 240 (1) because no safety device had been provided and such a device "could have protected [the plaintiff] from falling as he did" (*id.* at 978).

Unlike here, the plaintiff's fall in *Striegel* was caused by an elevation-related risk because his foot slid down an elevation differential, and the pitch of the roof presented a special elevation-related hazard that resulted in the plaintiff ultimately impacting the ridge of the roof and sliding 15 to 20 feet down to the eaves (*see id.* at 976). This hazard could have been avoided by the use of "toe boards" to provide a flat path for the plaintiff to traverse (*id.* at 977). The facts of *Striegel* would be more analogous to those presented here if the plaintiff in that case had been walking on a flat roof, and had slipped and fallen to the surface of that roof (*see e.g. Auchampaugh v Syracuse Univ.*, 57 AD3d 1291, 1293 [3d Dept 2008]; *Scharff v Sachem Cent. School Dist. at Holbrook*, 53 AD3d 538, 538 [2d Dept 2008]; *Favreau v Barnett & Barnett, LLC*, 47 AD3d 996, 997 [3d Dept 2008]; *Milligan v Allied Bldrs., Inc.*, 34 AD3d 1268, 1268 [4th Dept 2006]). Likewise, a different case would be presented where a plaintiff slipped on ice while working on

3. The dissent attempts to distinguish plaintiff's case from the "trip and fall" cases, in which we have held that Labor Law § 240 (1) does not apply, by asserting that "the combination" of ice and stilts "presents and exacerbates elevation-related risks" (dissenting op at 103). However, the presence of debris or objects on the floor in *Melber v 6333 Main St.* (91 NY2d 759, 763 [1998]) and *Nieves v Five Boro A.C. & Refrig. Corp.* (93 NY2d 914, 915 [1999]), like the ice here, amplified the danger inherent in working at an elevated height, but we did not find section 240 (1) to be applicable. That is, it remains the law that the plaintiff's injuries must be caused by an elevation-related risk, "the type of extraordinary peril section 240 (1) was designed to prevent" and not a "usual and ordinary danger[] at a construction site," in order to permit recovery under that section (*Nieves*, 93 NY2d at 916).

elevated scaffolding and fell off the scaffolding due to insufficient guardrail protection.

Plaintiff's reliance on *Klein v City of New York* (89 NY2d 833 [1996]) and case law concerning the placement of ladders is also unpersuasive. In *Klein*, the plaintiff sustained injuries when he fell from a ladder that slipped out from underneath him because the floor had recently been flooded with a slick and greasy water, and a "film" or "gunk" residue remained (*id.* at 834). There, we noted that Labor Law § 240 (1) "requires that safety devices such as ladders be so 'constructed, placed and operated as to give proper protection' to a worker" (*id.* at 834-835, quoting Labor Law § 240 [1]). Because the defendant had "fail[ed] to ensure the proper *placement* of the ladder due to the condition of the floor," plaintiff established a *prima facie* case of liability under the statute (*see id.* at 835 [emphasis added]).

However, as we have previously stated, Labor Law § 240 (1) "should be construed with a commonsense approach to the realities of the workplace at issue" (*Salazar v Novalex Contr. Corp.*, 18 NY3d 134, 140 [2011]). Thus, although we are mindful that the statute is to " 'be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed' " (*Melber*, 91 NY2d at 762, quoting *Zimmer*, 65 NY2d at 521), we are careful not to interpret the statute in an "illogical" manner that "would be impractical and contrary to the very work at hand" (*Salazar*, 18 NY3d at 140). Unlike ladders, stilts are not "placed" in a stationary position and expected to remain still to ensure their proper and safe use. Rather, stilts are intended to function as extensions of, and move with, the worker during performance of the designated task. Thus, the imposition of liability under section 240 (1) where a ladder slips due to an unsafe condition on the floor in the area where it is placed is distinguishable from the circumstances of plaintiff's accident here (*see generally Melber*, 91 NY2d at 762).

In sum, plaintiff cannot recover under Labor Law § 240 (1) because his injuries resulted from a slip on ice, which—under these facts—is a separate hazard unrelated to the elevation risk that necessitated the provision of a safety device in the first instance. Moreover, as plaintiff concedes, any alleged violations of the Industrial Code do not establish a violation of Labor Law § 240 (1) (*see generally Long v Forest-Fehlhaber*, 55 NY2d 154, 160 [1982]; *Perri v Gilbert Johnson Enters., Ltd.*, 14 AD3d 681, 684 [2d Dept 2005]; *Blair v Rosen-Michaels, Inc.*, 146

AD2d 863, 865 [3d Dept 1989]). In light of our determination, we need not address whether the Appellate Division majority properly concluded that questions of fact existed regarding whether plaintiff's actions constituted the sole proximate cause of his injuries.

Accordingly, the order of the Appellate Division should be modified, without costs, by granting defendant Winter-Pfohl's motion for partial summary judgment dismissing the Labor Law § 240 (1) claim against it and, as so modified, affirmed, and the certified question answered in the negative.

Chief Judge LIPPMAN (dissenting). The majority would have us believe that while ladders placed on slippery substances present an elevation-related risk, stilts under the same circumstances do not. Because I believe stilts placed on ice create the same "elevation-related risk" as do ladders, I would hold that Labor Law § 240 (1) applies here.

The majority expands *Melber v 6333 Main St.* (91 NY2d 759 [1998]) by asserting that "were we to hold that *Melber* draws a distinction between whether plaintiff was swinging a hammer tacker when he slipped or taking a step forward to retrieve a tool, such a holding would generally be illogical and inconsistent with the purpose and liberal interpretation of section 240 (1) to protect workers." If the majority were true to *Melber*, plaintiff would prevail because he was installing insulation at a height at the time of his fall.

If there is an inconsistency in *Melber*, it should be resolved in favor of plaintiff given the statute's intent. As the *Melber* Court and the majority here aptly remind us, this Court has "repeatedly recognized" that Labor Law § 240 (1) is to be "construed as liberally as may be for the accomplishment of the purpose for which it was thus framed," which is "the protection of work[ers] from injury" (*Melber*, 91 NY2d at 762, quoting *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520-521 [1985]; *Quigley v Thatcher*, 207 NY 66, 68 [1912]). The legislature intended to "protect[] workers by placing ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor, instead of on workers, who are scarcely in a position to protect themselves from accident" (*Zimmer*, 65 NY2d at 520 [internal quotation marks and citations omitted]).

Because we are required to interpret the statute liberally to protect workers (*Zimmer*, 65 NY2d at 520-521), I disagree with

the majority's decision to extend *Melber* to this case. *Melber* involved a worker tripping and falling over an electrical conduit in the floor while wearing stilts, which is analogous to other "trip and fall" cases in which this Court has said Labor Law § 240 (1) does not apply, such as where workers descending from ladders trip and fall over an obstruction on the ground, such as a portable light (*Nieves v Five Boro A.C. & Refrig. Corp.*, 93 NY2d 914, 916 [1999]) or "two unconnected pipes protruding from a wall" (*Cohen v Memorial Sloan-Kettering Cancer Ctr.*, 11 NY3d 823, 825 [2008]). In *Nieves*, we held that the portable light was a "usual and ordinary danger[] at [the] construction site" (93 NY2d at 916).

The majority finds that ice "is indistinguishable from electrical conduit, a portable light, or protruding pipes." However, when stilts or ladders are placed on top of ice, the combination of the two presents and exacerbates elevation-related risks.

We said as much in *Klein v City of New York* (89 NY2d 833 [1996]), where this Court reasoned that an owner violated Labor Law § 240 (1) "by failing to ensure the proper placement of the ladder due to the condition of the floor" (*id.* at 835). The plaintiff fell when a ladder that he had placed in a puddle of "gunk" on the floor slipped underneath him (*id.* at 834). In a similar case, *Bland v Manocherian* (66 NY2d 452 [1985]), this Court held that Labor Law § 240 (1) applied where a worker fell through a window when a ladder, which was placed on a "highly polished and shiny" floor, slipped out from under him (*id.* at 460). Ladders, like stilts, must be moved as the worker moves, and thus placement is equally important for stilts. To the extent the majority indicates that the stilts themselves have to break in order for a plaintiff to make out a Labor Law § 240 (1) claim, that view is contradicted by the language of the statute and by our case law. As *Klein* and *Bland* make plain, Labor Law § 240 (1) requires that equipment be so "constructed, placed and operated" as to give proper protection to a worker, and where employers order workers to use stilts or ladders in unsafe places (ordering them essentially to work around a hazard, as occurred here), Labor Law § 240 (1) should apply.

For these reasons, I would not dismiss plaintiff's Labor Law § 240 (1) cause of action.

Judges READ, PIGOTT, RIVERA and ABDUS-SALAAM concur; Chief Judge LIPPMAN dissents in an opinion; Judge FAHEY taking no part.

Order modified, without costs, by granting defendant Winter-Pfohl, Inc.'s motion for partial summary judgment dismissing the Labor Law § 240 (1) claim against it and, as so modified, affirmed, and certified question answered in the negative.

[30 NE3d 865, 8 NYS3d 222]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LEE
CARR, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WALTER
CATES, SR., Appellant.

Argued February 10, 2015; decided April 2, 2015

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 14, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John W. Carter, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 21, 2012. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (John W. Carter, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Carr, 111 AD3d 472, reversed.

People v Cates, 92 AD3d 553, reversed.

HEADNOTE

Crimes — Right to Counsel — In Camera Conversation with People’s Main Witness Outside Presence of Defense Counsel

Defendants’ right to counsel was violated where the trial court denied defense counsel access to an in camera, off-the-record proceeding to discuss with the People’s main witness, a regular user of crack cocaine and methadone who initially appeared at trial two hours late looking “tired,” “disheveled,” and “hyper,” his mental and physical ability to testify after he failed to appear for the second time. Absent a substantial justification, courts must not examine witnesses about nonministerial matters in camera without counsel present or ex parte. An in camera examination of a witness, that is ex parte or without the parties represented, would arguably trifle with the constitutional right to confrontation and the right to counsel. Here, the in camera proceeding clearly involved substantive issues as opposed to ministerial matters and there was no justification for excluding defense counsel. Because the discussion involved important issues for trial that might have affected a substantial right of a party, defense counsels’ presence was required (see Rules Governing Judicial Conduct [22 NYCRR] § 100.3 [B] [6] [a]). Counsel had good reason to suspect that the witness’s absences were caused

by his drug use, which could potentially constitute impeachment material critical to defendants' ability to defend. As the in camera discussion concerned the witness's mental and physical health and credibility, issues the court knew defense counsel would address during cross-examination of the witness at trial, it was much more than a scheduling matter.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1076, 1078, 1096, 1126.
CARMODY-WAIT 2d, Right to Counsel § 184:128; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:95, 195:225.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.8, 24.4.
NY JUR 2d, Criminal Law: Procedure §§ 813, 2230, 2298.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Confrontation of Witnesses; Criminal Procedure Rules.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: right /3 counsel /s "in camera" /s witness

POINTS OF COUNSEL

Seymour W. James, Jr., The Legal Aid Society, New York City (*Andrew C. Fine, Amy Donner and Scott A. Rosenberg* of counsel), for appellant in the first above-entitled action. Appellant was denied his right to counsel at material stages of trial where the court, over defense objection, excluded defense counsel from two off-the-record in camera examinations of the main prosecution witness addressing the witness's mental and medical capacity to testify. (*People v Contreras*, 12 NY3d 268; *People v Frost*, 100 NY2d 129; *People v Darby*, 75 NY2d 449; *People v Ortega*, 78 NY2d 1101; *People v Goggins*, 34 NY2d 163; *People v Rosario*, 9 NY2d 286; *People v Combest*, 4 NY3d 341; *Kentucky v Stincer*, 482 US 730; *People v Morales*, 80 NY2d 450; *People v Sprowal*, 84 NY2d 113.)

Robert S. Dean, Center for Appellate Litigation, New York City (*Bruce D. Austern* of counsel), for appellant in the second above-entitled action. Appellant was denied his right to counsel at material stages of trial where the court, over defense objection, excluded defense counsel from two off-the-record in camera examinations of the main prosecution witness address-

ing the witness's mental and medical capacity to testify. (*People v Contreras*, 12 NY3d 268; *People v Frost*, 100 NY2d 129; *People v Darby*, 75 NY2d 449; *People v Ortega*, 78 NY2d 1101; *People v Goggins*, 34 NY2d 163; *People v Rosario*, 9 NY2d 286; *People v Combest*, 4 NY3d 341; *Kentucky v Stincer*, 482 US 730; *People v Morales*, 80 NY2d 450; *People v Sprowal*, 84 NY2d 113.)

Robert T. Johnson, District Attorney, Bronx (Melanie A. Sarver, Joseph N. Ferdenzi and Peter D. Coddington of counsel), for respondent in the first and second above-entitled actions. The trial court's in camera examination of prosecution witness Gary Rose was not a material part of trial that required the presence of defendants or their attorneys. (*People v Velasco*, 77 NY2d 469; *People v Aguilera*, 82 NY2d 23; *People v Antommarachi*, 80 NY2d 247; *People v Fabricio*, 3 NY3d 402; *People v Smith*, 82 NY2d 254; *People v Spotford*, 85 NY2d 593; *People v Darby*, 75 NY2d 449; *People v Frost*, 100 NY2d 129; *People v Contreras*, 12 NY3d 268; *People v Brown*, 195 AD2d 967.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The primary issue presented by these appeals is whether the court violated defendants' right to counsel by holding an in camera proceeding without counsel present to discuss with the People's main witness the witness's mental and physical ability to testify. Because, under these facts, the witness's mental and physical health were inextricably tied to his credibility, a nonministerial issue for trial, we hold that the court violated defendants' right to counsel by denying defense counsel access to the proceeding.

Codefendants Lee Carr and Walter Cates, Sr., were convicted of second-degree murder for acting in concert with three others to kill Matharr Cham, who was beaten and strangled. It was Gary Rose who was the People's main witness. For 30 years, Rose had been a regular user of crack cocaine and methadone, and he leased the apartment where the murder took place. At trial, Rose testified that he was in the apartment when Carr and Cates, Sr., beat Cham, strangled him, and placed his body in the bathtub; that defendant Carr told him to stay in his room; that he dozed off before hearing muffled sounds in the other room where Cham had been sitting, and later saw Cham's body in the bathtub with an extension cord tied around his

neck.* Carr and Cates, Sr., contended that the others had killed Cham.

During trial, Rose failed to appear twice, first on April 22, 2009, and again on April 27, 2009. The first time, Rose appeared after trial was adjourned and the People sent investigators to look for him. The court questioned him in camera to determine why he was late. The substance of that first discussion is mostly unknown. Defense attorneys requested that they be present during any potential, future proceeding with the witness to discuss the reasons for Mr. Rose's failure to appear, that any records of medical attention given to the witness be disclosed because of the witness's history of abusing drugs, and that the proceedings be transcribed. Instead, after Gary Rose failed to appear the second time, the court held an in camera, off-the-record discussion with the witness to ascertain the extent of the witness's illness and when he would be able to testify. Supreme Court relayed the discussion to defense counsel, stating that the witness was "in bad shape," that he was suffering from a migraine and needed a half day to recover, and that he denied he was suffering from alcohol abuse or affected by crack cocaine, stating:

"THE COURT: . . . For the record, on Wednesday shortly after I dismissed the juries, we got word that Mr. Gary Rose, who was supposed to be here first thing Wednesday, arrived . . . I asked the People to have him brought over here to find out why he was late . . . He seemed to be in bad shape . . . This morning, I've received a phone call from [the prosecutor] stating that although Mr. Rose was here, he was in no condition to testify. We had a discussion amongst the DA and the defense lawyers at the bench. I've instructed everyone that I was going to speak to him in camera which I did off the record . . . this morning. He informed me that he suffers from migraines [and] that he needed a half a day to recover. And I asked him if he was on drugs. He said, no. I asked him if he was suffering from any alcohol problem. He said, no. I asked him if he's on crack. He said, no. And he said he would be ready to go tomorrow . . .

"[WALTER CATES' COUNSEL]: . . . I think the

* Surveillance video shows Cates, Sr., helping to dispose of the body.

Court agrees that there was an [sic] unanimous decision of the three defense lawyers that we wish[ed] to be present with our clients when the Court did the inquiry of Mr. Rose. When that was denied, we wish[ed] that the inquiry by the Court go on the record which was also denied. This was a request before the Court conducted the independent inquiry . . . We were made aware today of the Court's inquiry from Wednesday. If that was on the record, as well, we would like copies of that transcript . . . We would like to know what excuses he gave for not showing up on that day . . . Mr. Rose indicated he was a regular user of Methadone and a regular user of crack cocaine."

Carr's counsel joined in the objection, after which Supreme Court responded:

"THE COURT: . . . I don't think there is any legal requirement for my discussions with him on . . . Wednesday or today to be on the record. Obviously, defense counsel will . . . have a full range of cross examination. They can cross why he wasn't here . . . the jury is going to find out that we've been sitting around waiting for him. . . .

"[WALTER CATES'S COUNSEL]: The District Attorney argues . . . that the fact that he's not present is irrelevant to us . . . the People want to say that he was just late. . . . I dispute their characterization of that. . . .

"THE COURT: Again, you can cross.

"[WALTER CATES'S COUNSEL]: I don't know anything about it . . . The District Attorney's office interviewed him. The Court spoke to him. I have no records of either of this. If he gets on the stand and says something different from either what he told them or told you . . . Only the Court would know and only the DA's Office will know . . .

"THE COURT: Yeah. But I told you that he . . . [had] a . . . migraine. And he needed 12 hours to recover . . . He also said he was not on any drugs or alcohol today.

"[WALTER CATES'S COUNSEL]: Did he say last Wednesday he had a migraine?

“THE COURT: . . . I didn’t ask him about his physical condition last Wednesday.

“[WALTER CATES’S COUNSEL]: In the Court’s opinion, this morning, you thought last Wednesday he looked worse[?] . . . Did he look tired?

“THE COURT: He looked tired, disheveled and much more hyper than he is today.

“[WALTER CATES’S COUNSEL]: Like someone who might be withdrawing from Methadone?

“THE COURT: I can’t say . . . It’s not fair for me to say.”

The Appellate Division affirmed defendant Carr’s conviction, discounting the significance of the in camera proceeding involving Gary Rose. It concluded that it “was not a hearing, nor part of the trial, and it did not involve the determination of any issue requiring input from defendant or his counsel” (*People v Carr*, 111 AD3d 472, 472 [1st Dept 2013]). The Court found that defendant Carr was not prejudiced by the conference being unrecorded nor was he impaired in his “ability to cross-examine this witness about all matters relating to his credibility, including drug abuse” (*id.*). Therefore defendant’s right to counsel was not violated (*id.*). The Appellate Division separately affirmed Cates’s conviction (*People v Cates*, 92 AD3d 553 [1st Dept 2012]).

A Judge of this Court granted leave to appeal (23 NY3d 1019 [2014]; 22 NY3d 1155 [2014]) and we now reverse the orders in each case and remit for new trials.

Absent a substantial justification, courts must not examine witnesses about nonministerial matters in camera without counsel present or ex parte (*see People v Contreras*, 12 NY3d 268, 273 [2009]; *People v Goggins*, 34 NY2d 163, 173 [1974]). “[A]n in-camera examination of the witnesses, that is ex parte or without the parties represented would, in our view, arguably trifle with the constitutional right to confrontation and the right to counsel” (*Goggins*, 34 NY2d at 169). A “defendant’s right to the full benefit of the adversary system should not be denied, nor qualified by impairing his right by interposing the ‘neutral’ Judge to assess whether the disclosure is relevant or material” (*id.*). *Goggins* concerned a defendant’s right to disclosure of an informant’s identity, and this Court held that where the information “relates to a substantive issue in the

case, the disclosure should not be ex parte or without either party present even if *in camera*” (*id.* at 173).

“[E]x parte proceedings are undesirable, and they should be rare” (*Contreras*, 12 NY3d at 273). In *Contreras*, an ex parte proceeding was substantially justified during the court’s review of a rape victim’s notes that described an erotic relationship the victim was having with someone other than the defendant, the victim’s husband (*see id.* at 271). Because of the inflammatory and private nature of the notes, and the fact that they would likely fall under the protection of the Rape Shield Law, the court held an ex parte proceeding to determine first if they were *Rosario* or *Brady* material, during which the court confirmed the notes were irrelevant (*see id.*). After finding that the victim “might have been warranted in fearing worse than embarrassment if the contents of the document had been communicated to defendant” because the notes revealed a romantic relationship with another man, the “initial consideration of the question must be ex parte, almost by its nature” as “the court can hardly disclose the document before deciding whether to order it disclosed” (*id.* at 273). There, the “hearing was not only noncritical, but, as a matter of law, unnecessary,” and thus the ex parte nature of the proceeding was both justified by the irrelevant information discussed and by the safety concerns of the victim (*id.*).

In *People v Frost*, the court excluded defense counsel from a pretrial hearing to decide the People’s motion to mask the identities of witnesses and also from four proceedings to determine whether the courtroom should be closed to protect witnesses’ identities (100 NY2d 129, 132-133 [2003]). Where substantive issues for trial are being discussed, the Court stressed that “ex parte hearings are not to be granted lightly and are unwarranted and impermissible in the vast majority of cases” (*id.* at 134).

In *People v Vargas*, this Court upheld the exclusion of defense counsel from a conference to discuss a potential juror’s fear of the defendant prior to voir dire (88 NY2d 363 [1996]). There, the trial court evaluated the juror’s fear for his safety outside the presence of defense counsel and found it to be genuine (*see id.* at 379). In *People v Castillo*, an informant’s fear justified the court’s ex parte proceeding to determine whether to disclose the informer’s identity or statements (80 NY2d 578, 586 [1992], *cert denied* 507 US 1033 [1993]).

In *People v Ortega*, the trial court held a conference properly described as an in camera proceeding by the Appellate Division to request that a prosecution witness identify a confidential informant (78 NY2d 1101, 1102 [1991]). The proceeding was closed to defense counsel and all parties, and no record was taken “to show what was said in chambers or whether it contributed to the court’s decision that disclosure was not required” (78 NY2d at 1102-1103). Because the witness may have “stated an un rebutted view of the facts which influenced the trial court in reaching its subsequent decision,” the Court found the inquiry violated defendant’s rights (*id.*). In *Kentucky v Stincer*, the United States Supreme Court permitted the exclusion of the defendant from a proceeding testing the competency of two child witnesses in a sexual abuse case, holding that the exclusion did not violate the Confrontation Clause (482 US 730, 739-744 [1987]). Critically, defense counsel was present at the proceeding, asked questions, and the proceeding was transcribed, which allowed defense counsel to repeat the same questions during cross-examination at trial (*id.* at 739-740).

“[S]ince most constitutional rights are not self-executing, the right to counsel may be the most basic of all” (*People v Hodge*, 53 NY2d 313, 317 [1981]). “[I]n criminal cases in particular we have called for the highest degree of vigilance in safeguarding the right of an accused to have the assistance of an attorney at every stage of the legal proceedings against him” (*id.* at 317-318 [internal quotation marks and citation omitted]). In *Hodge*, the trial court insisted that the defendant proceed without retained counsel where defense counsel had not arrived “after adequate time” to a preindictment preliminary hearing (*id.* at 316-317). The People asserted there that because the defendant was subsequently indicted, there was no harm and “any infirmities that occurred at the flawed hearing may be excused” (*id.* at 319). This Court responded that “the test must be not what the hearing did not produce, but what it might have produced if the defendant’s right to counsel had not been ignored” (*id.* at 321). “[T]he result of such inquiry would have to be pure speculation” (*id.*).

The denial of the right to counsel at trial “is of constitutional dimension” and is not subject to harmless error analysis (*Hodge*, 53 NY2d at 320; *People v Hilliard*, 73 NY2d 584, 587 [1989]). Courts should not delve into questions of prejudice when assistance of counsel is involved (*see People v Felder*, 47 NY2d 287,

291 [1979]; *Perry v Leeke*, 488 US 272, 280 [1989]). As this Court recognized, “[t]he right to have the assistance of counsel is too fundamental and absolute to allow courts to indulge in nice calculations as to the amount of prejudice arising from its denial” (*Felder*, 47 NY2d at 296 [internal quotation marks and citation omitted]). And as this Court held in *Hodge*, a quantification of what impeachment material defense counsel might have obtained at the proceeding cannot be dispositive (*see* 53 NY2d at 321), as harmless error does not apply in right-to-counsel cases (*see Perry*, 488 US at 280).

Here, the in camera proceeding clearly involved substantive issues as opposed to ministerial matters and there was no justification for excluding defense counsel. Because the discussion involved important issues for trial that might have affected a “substantial right” of a party, defense counsels’ presence was required (*see* Rules Governing Judicial Conduct [22 NYCRR] § 100.3 [B] [6] [a]; *Contreras*, 12 NY3d at 273; *Goggins*, 34 NY2d at 173). Mr. Rose was the People’s star witness. When he failed to appear the first time, the People dispatched investigators to look for him. He then appeared, two hours late, after which the trial judge interviewed him in camera without counsel present, describing his appearance later as “tired,” “disheveled,” and “hyper.” When the trial judge conveyed the content of his conversation to the defense attorneys, they all requested to be present if and when the court interviewed the witness again regarding his potential future absences. Indeed, they had a very good reason to suspect that the witness’s absences were caused by his use of crack cocaine and methadone, which could potentially constitute impeachment material critical to defendants’ ability to defend. That request was denied. When the witness failed to appear on the next court date, the judge again interviewed him in camera and observed that he was in no condition to testify. The record belies the People’s contention that the second proceeding was a simple meeting to discuss scheduling. By the second interview, it was no longer a mere scheduling matter. The proceeding involved what caused Mr. Rose to be in such “bad shape” that he failed to testify twice. Unlike a “purely administrative, ministerial question” (*see* dissenting op at 116), the court’s discussion with Mr. Rose concerned potentially significant evidence that defense counsel may have found useful during cross-examination at trial. The trial court should have been alerted to this possibility based on Mr. Rose’s suspicious and question-

able appearance and demeanor, of which the court took note, when he arrived several hours late on the first day that he was scheduled to testify. Indeed, the court knew that there was serious reason to doubt the veracity of Mr. Rose's migraine explanation because the court asked him whether he was "on drugs," "suffering from any alcohol problem," or was "on crack."

As this Court held in *Contreras* and *Goggins*, courts should rarely exclude defense counsel from a proceeding with a witness where the court has reason to believe that the matter falls outside of the permissible ex parte communications for scheduling and administrative purposes, as it did here (see 12 NY3d at 273; 34 NY2d at 173). If the dissent's characterization of the in camera discussion were correct—had the discussion been merely about scheduling—the Rules Governing Judicial Conduct authorizing ex parte communications for scheduling or administrative matters would apply, and the trial court would have been acting within its discretion to manage its docket. As the in camera discussion concerned a witness's health (both mental and physical) and credibility, issues the court knew defense counsel would address during cross-examination of the witness at trial, it was much more than a scheduling matter, and it violated defendants' right to counsel for Supreme Court to deny defense counsel physical access to the proceeding and to refuse to create a record of the proceeding for use in cross-examination (see *Contreras*, 12 NY3d at 273; *Goggins*, 34 NY2d at 173; *Frost*, 100 NY2d at 134; *Ortega*, 78 NY2d at 1102; *Stincer*, 482 US at 745).

Accordingly, in each case, the order of the Appellate Division should be reversed and a new trial ordered.

FAHEY, J. (dissenting). The trial court conducted an in camera interview with a prosecution witness to ascertain whether his migraine was too debilitating for him to testify that day. The court granted an adjournment, for a second time, and the witness testified the next day. Now, the majority, holding that this was reversible error, grants defendants a new trial, because the interview "concerned potentially significant evidence that defense counsel may have found useful during cross-examination at trial" (majority op at 113). In my view, the in camera inquiry here was permissible because it was merely ministerial. Accordingly, I dissent.

Initially, I agree that it is appropriate for the Court to consider precedents concerning ex parte hearings here, because

the in camera questioning of the witness occurred after the prosecutor called the trial judge to inform him that the witness was in her office but in no condition to testify, and it took place in the absence of defense counsel. However, the majority strays far from those precedents. In *People v Frost* (100 NY2d 129 [2003]), in which we upheld the closure of a courtroom following an ex parte proceeding, we simply observed that “ex parte hearings are not to be granted lightly and are unwarranted and impermissible in the vast majority of cases” (*id.* at 134). We noted that avoidance of ex parte hearings, while not always required, is “the better practice” (*id.*). More recently, we have stated that “ex parte proceedings are undesirable, and they should be rare” (*People v Contreras*, 12 NY3d 268, 273 [2009]). Until today, we simply recommended that ex parte hearings remain rare; now, for the first time, a showing of “substantial justification” (majority op at 110) is required.

This Court has never held that conducting an in camera inquiry on a scheduling matter violates a defendant’s right to counsel. In fact, it tries to avoid that conclusion today, by limiting its holding to in camera or ex parte inquiries “about non-ministerial matters” (majority op at 110). No party has the right to control the scheduling of litigation. That is the court’s prerogative. Preventing trial courts from controlling the scheduling of witnesses in camera will interfere with a court’s exercise of its discretion to oversee the management of a trial and ensure its fair and orderly conduct. Indeed, the Rules Governing Judicial Conduct expressly state that

“[e]x parte communications that are made for scheduling or administrative purposes and that do not affect a substantial right of any party are authorized, provided the judge reasonably believes that no party will gain a procedural or tactical advantage as a result of the *ex parte* communication, and the judge, insofar as practical and appropriate, makes provision for prompt notification of other parties or their lawyers of the substance of the *ex parte* communication and allows an opportunity to respond” (22 NYCRR 100.3 [B] [6] [a]).

Here, notably, the trial court complied with 22 NYCRR 100.3, promptly placing detailed information on the record about what had occurred at the ex parte inquiry, and ensuring that defense counsel was subsequently able to cross-examine the witness extensively on matters relating to his credibility.

No guidance is offered to trial courts as to when a matter qualifies as ministerial. The in camera inquiry in the present case involved questioning on a purely administrative, ministerial question: whether a witness was so ill, from a migraine, that he would be unable to testify on a particular day. As the Appellate Division noted, the trial court's "inquiry was not a hearing, nor part of the trial, and it did not involve the determination of any issue requiring input from defendant or his counsel" (*People v Carr*, 111 AD3d 472, 472 [1st Dept 2013]). The inquiry simply resulted in a witness's appearance being delayed from one day to the next. If this interview was not ministerial, then nothing is.

The attempt to defend classification of the trial court's interview as non-ministerial by postulating that it "concerned potentially significant evidence that defense counsel may have found useful during cross-examination at trial" (majority op at 113) fails because this may be said of any request for adjournment. Whenever one party seeks rescheduling of a witness's testimony, there is a *potential* that an inquiry into the reasons will reveal information that the other party "may" find "useful." This test is so weak that it is no test at all.

Competent counsel will now invariably argue that a scheduling matter is not ministerial and that his or her client has a right to know why the witness claims to be unable to testify. This will occur even when the witness's indisposition relates to a trivial, personal and private condition. This decision creates a standard that will be impossible to administer. Commonly, the trial court will be forced to hold a full-blown hearing to decide a matter that demands quick resolution. All parties to criminal litigation—not just the prosecution but defendants as well—will suffer from this cumbersome new process.

I would affirm the order of the Appellate Division in each case.

Judges READ, RIVERA, ABDUS-SALAAM and STEIN concur; Judge FAHEY dissents in an opinion in which Judge PIGOTT concurs.

In each case: Order reversed and a new trial ordered.

[30 NE3d 872, 8 NYS3d 229]

JOSEPH SAINT et al., Appellants, v SYRACUSE SUPPLY COMPANY,
Respondent.

Argued February 12, 2015; decided April 2, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 4, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (Frederick J. Marshall, J.), which, insofar as appealed from, had denied defendant's motion for summary judgment dismissing the amended complaint, (2) granted the motion, and (3) dismissed the amended complaint.

Saint v Syracuse Supply Co., 110 AD3d 1470, reversed.

HEADNOTES

Labor — Safe Place to Work — What Constitutes Alteration of Building or Structure — Attachment of Extensions on Billboard

1. In an action for damages arising from work-related injuries plaintiff suffered when he fell from a catwalk while removing and installing advertisements on a billboard, plaintiff was engaged in alteration of the structure within the meaning of Labor Law § 240 (1) because his work required the attachment, at an elevated height, of custom-made wooden extensions that changed the dimensions of the billboard's frame to accommodate the unique shape of a new advertisement. Although plaintiff was injured during removal of an old vinyl advertisement from the billboard's frame, the analysis was not limited to plaintiff's activity at the moment of his injury, and the vinyl removal was a prerequisite to the attachment of the extensions and therefore an integral part of the extensions' installation. Moreover, plaintiff's work entailed a significant change to the billboard structure because, once the vinyl was removed, the billboard would be enlarged by the attachment of the extensions, work accomplished by the use of an angle iron on the back of each extension and the application of nuts, bolts and nails. The job was not a simple task, involving minimal work, so as to constitute routine maintenance, nor was it a decorative modification as it entailed far more than a mere change to the outward appearance of the billboard. Finally, notwithstanding that the extensions would stay up only as long as the new advertisement did, the statute does not impose a requirement that an alteration be of a permanent nature.

Labor — Safe Place to Work — Elevation-Related Safety Equipment — Absence of Safety Rail on Billboard Catwalk

2. In an action for damages arising from work-related injuries plaintiff suffered when he fell from a catwalk while removing and installing advertisements on a billboard, plaintiff alleged a viable claim under Labor Law § 240 (2), which provides that scaffolding or staging more than 20 feet above the ground must be equipped with a safety rail. It was undisputed that the

billboard was 59 feet above the ground and that there was no safety rail surrounding the catwalk from which plaintiff fell.

Labor — Safe Place to Work — What Constitutes Construction Work — Attachment of Extensions on Billboard

3. In an action for damages arising from work-related injuries plaintiff suffered when he fell from a catwalk while removing and installing advertisements on a billboard, plaintiff was engaged in “construction work” at the time of his injury such that his claim came within Labor Law § 241 (6). The Industrial Code defines “construction work” to include the alteration of a structure (12 NYCRR 23-1.4 [b] [13]), and plaintiff, at the time of his injury, was altering the billboard by installing custom-made wooden extensions that changed the dimensions of the billboard’s frame to accommodate the unique shape of a new advertisement.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Employment Relationship §§ 233–235, 250–253.

McKINNEY’S, Labor Law §§ 240 (1), (2); 241 (6).

12 NYCRR 23-1.4 (b) (13).

NY JUR 2d, Employment Relations §§ 285–290, 293, 295, 306–311.

NEW YORK LAW OF TORTS §§ 5:16, 12:85, 12:86.

ANNOTATION REFERENCE

See ALR Index under Billboards and Outdoor Advertising; Labor and Employment; Occupational Safety and Health; Scaffolds.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: f*ll /p alteration & billboard & elevation

POINTS OF COUNSEL

Paul William Beltz, P.C., Buffalo (*Timothy M. Hudson* and *Debra A. Norton* of counsel), for appellants. I. The *Munoz v DJZ Realty, LLC* (5 NY3d 747 [2005]) wallpaper analogy has no relevance to the superflex vinyl on a massive, freestanding billboard. (*LaFontaine v Albany Mgt.*, 257 AD2d 319; *Samuel v Simone Dev. Co.*, 13 AD3d 112; *Vasquez v Skyline Constr. & Restoration Corp.*, 8 AD3d 473, 3 NY3d 611; *Steves v Campus Indus.*, 288 AD2d 914; *Lawyer v Rotterdam Ventures*, 204 AD2d 878; *Quinn v Fisher Dev.*, 272 AD2d 106; *Kadoic v 1154 First Ave. Tenants Corp.*, 277 AD2d 66; *LaGiudice v Sleepy’s Inc.*, 67 AD3d 969; *Zgoba v Easy Shopping Corp.*, 246 AD2d 539; *Da-*

har v Holland Ladder & Mfg. Co., 18 NY3d 521.) II. The addition being built on the existing structure was an alteration as defined by this Court. (*Munoz v DJZ Realty, LLC*, 5 NY3d 747; *Joblon v Solow*, 91 NY2d 457; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Sanatass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Morales v D & A Food Serv.*, 10 NY3d 911; *Belding v Verizon N.Y., Inc.*, 14 NY3d 751; *Vasquez v C2 Dev. Corp.*, 105 AD3d 729; *Lucas v Fulton Realty Partners, LLC*, 60 AD3d 1004; *Santiago v Rusciano & Son, Inc.*, 92 AD3d 585; *Rico-Castro v Do & Co N.Y. Catering, Inc.*, 60 AD3d 749.) III. Neither Labor Law § 241 (6) nor § 240 (2) limit themselves to “altering” and those claims were improperly dismissed. (*Joblon v Solow*, 91 NY2d 457; *Jock v Fien*, 80 NY2d 965; *Hotaling v Corning Inc.*, 12 AD3d 1064.)

Gibson, McAskill & Crosby, LLP, Buffalo (*Brian P. Crosby* and *Timothy J. Graber* of counsel), for respondent. I. The Appellate Division correctly determined based on well settled jurisprudence that plaintiff was not altering a building or structure and that he was not engaged in construction work. (*Joblon v Solow*, 91 NY2d 457; *Munoz v DJZ Realty, LLC*, 15 AD3d 363, 5 NY3d 747; *Maes v 408 W. 39 LLC*, 24 AD3d 298; *Kretzschmar v New York State Urban Dev. Corp.*, 13 AD3d 270, 5 NY3d 703; *Bodtman v Living Manor Love, Inc.*, 105 AD3d 434; *Della Croce v City of New York*, 297 AD2d 257; *Zolfaghari v Hughes Network Sys., LLC*, 99 AD3d 1234; *Hatfield v Bridge-dale, LLC*, 28 AD3d 608; *Nagel v D & R Realty Corp.*, 99 NY2d 98; *Bryant v General Elec. Co.*, 221 AD2d 687.) II. The memorandum and order appealed from is based on sound public policy. (*Joblon v Solow*, 91 NY2d 457.) III. Affirming the Fourth Department would not expand *Munoz v DJZ Realty, LLC* (5 NY3d 747 [2005]).

McGaw, Alventosa & Zajac, Jericho (*Andrew Zajac* and *Dawn C. DeSimone* of counsel), and *Gary A. Rome*, New York City, *Rona L. Platt*, Oakland Gardens, *David B. Hamm*, New York City and *Jonathan T. Uejio*, New York City, for Defense Association of New York, Inc., amicus curiae. I. This Court should reject plaintiffs’ attempt to restrict the application of *Munoz v DJZ Realty, LLC* (5 NY3d 747 [2005]). (*Joblon v Solow*, 91 NY2d 457; *Schapp v Bloomer*, 181 NY 125; *Jock v Fien*, 80 NY2d 965; *Soto v J. Crew Inc.*, 21 NY3d 562; *Dahar v Holland Ladder & Mfg. Co.*, 18 NY3d 521; *Brown v Christopher St. Owners Corp.*, 87 NY2d 938; *Connors v Boorstein*, 4 NY2d 172; *Esposito v New York City Indus. Dev. Agency*, 1 NY3d 526; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Martinez v City*

of New York, 93 NY2d 322.) II. Where plaintiff was injured while replacing advertisement copy on a billboard in such a manner as to not significantly alter the physical configuration of the structure, this Court's precedent mandates rejection of plaintiff's effort to expand the scope of Labor Law § 240 (1) to include any activity that results in a change to a building or structure. (*Munoz v DJZ Realty, LLC*, 5 NY3d 747; *Panek v County of Albany*, 99 NY2d 452; *Chizh v Hillside Campus Meadows Assoc., LLC*, 3 NY3d 664; *Gibson v Worthington Div. of McGraw-Edison Co.*, 78 NY2d 1108; *Martinez v City of New York*, 93 NY2d 322; *Prats v Port Auth. of N.Y. & N.J.*, 100 NY2d 878; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Joblon v Solow*, 91 NY2d 457; *Cox v International Paper Co.*, 234 AD2d 757; *Amendola v Rheedlen 125th St., LLC*, 105 AD3d 426.)

Michael S. Levine, New York City, for New York State Trial Lawyers Association, amicus curiae. I. Constructing an addition onto the existing billboard significantly changed the structure and was not decorative modification. (*Misseritti v Mark IV Constr. Co.*, 86 NY2d 487; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Bland v Manocherian*, 66 NY2d 452; *Izrailev v Ficarra Furniture of Long Is.*, 70 NY2d 813; *Joblon v Solow*, 91 NY2d 457; *Weininger v Hagedorn & Co.*, 91 NY2d 958; *Sana-tass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Belding v Verizon N.Y., Inc.*, 14 NY3d 751; *Custer v Jordan*, 107 AD3d 1555.) II. The scope of the work was not "temporary," and this Court already has rejected similar temporal arguments as a basis to deny application of the Labor Law. (*Smith v Shell Oil Co.*, 85 NY2d 1000; *Izrailev v Ficarra Furniture of Long Is.*, 70 NY2d 813; *Panek v County of Albany*, 286 AD2d 86, 99 NY2d 452.) III. Joseph Saint was engaged in "construction work" and is entitled to the protections of Labor Law § 241 (6). (*Munoz v DJZ Realty, LLC*, 5 NY3d 747; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *Joblon v Solow*, 91 NY2d 457; *Jock v Fien*, 80 NY2d 965; *Hotaling v Corning Inc.*, 12 AD3d 1064; *Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Nagel v D & R Realty Corp.*, 99 NY2d 98.)

OPINION OF THE COURT

RIVERA, J.

Plaintiffs Joseph Saint and his wife Sheila Saint challenge the dismissal of their claims arising from work-related injuries

Joseph Saint suffered while he was engaged in the installation and removal of a billboard advertisement. We conclude that because plaintiff's work required the attachment, at an elevated height, of custom-made wooden extensions that changed the dimensions of the billboard frame, plaintiff was engaged in alteration of the structure within the meaning of Labor Law § 240 (1). Moreover, he properly asserted claims for unprotected construction work under Labor Law §§ 240 (2) and 241 (6) based on the lack of a guardrail on the billboard platform. Therefore, we reverse the dismissal of his complaint.

According to the undisputed facts, on the day of his injury plaintiff Joseph Saint was part of a three-person construction crew working to replace an advertisement on a billboard located in Erie County. The billboard is elevated approximately 59 feet from the ground, and composed of a two-sided metal frame constructed in an inverted "V" shape, facing east and west, and set on a metal tube embedded in the ground. Each side of the metal frame is approximately 14 by 48 feet in size, and covered by a series of panels which are secured to the frame by iron clips called "stringers." Each side accommodates an advertisement made of vinyl material which is attached to the panels with ratchet straps.

The billboard has six catwalks used by workers when removing and installing advertisements. Two catwalks are located on the exterior, one on each side of the metal frame. The other four catwalks are located on the interior of the V frame, with a lower and upper catwalk on each side, set 10 feet apart vertically. Workers access the upper and lower catwalks by a ladder elevated several feet from the ground and attached externally to the metal tube. All the catwalks have safety cables, but only the platform connecting the two exterior catwalks has a guardrail.

Plaintiff and the other members of the construction crew were working on the installation of a new advertisement which necessitated the attachment of additions to the existing frame. These additions are referred to as "extensions," and are plywood cutouts shaped to accommodate the advertisement's artwork in cases where text or a picture exceeds the boundaries of the billboard's frame. For example, if the advertisement included a person with a raised arm and the arm extends past the edge of the top or the sides of the billboard, an extension shaped like an arm would be crafted from plywood and the

advertisement vinyl would be glued to the extension to support the picture of the arm. Once the artwork is attached an angle iron is bolted to the back of the extension, and the extension is attached directly to the billboard frame with nails, nuts and bolts.

Plaintiff was working with the other crew members on an advertisement which required the attachment of four extensions. The extensions had been constructed in advance and transported to the billboard structure the day plaintiff was injured. During the course of their work, plaintiff and the construction crew used a crane operated by the plaintiff to raise the extensions along the outer side of the structure and onto the billboard's lower outer catwalk. The billboard frame did not contain existing extensions that required removal, so once the new advertisement's extensions were hoisted onto the catwalk the crew proceeded directly to the removal of the old advertisement vinyl. The job required that the crew move the old advertisement from one side of the frame to the other. Thus, the crew detached the advertisement vinyl from the panels facing the west side, and threw it down to the ground. They then began the process of moving the vinyl from the east-side facing panels in order to pull it up, around, and over the metal frame so that it fell onto the panels facing towards the west, where the vinyl would then be attached to the frame. The crew members were at different locations on the upper and lower catwalks as they worked on removing the old vinyl.

Had the job gone without disruption, after the crew removed the old vinyl they would slide metal rods into pockets around the perimeter of the new vinyl advertisement and then use ratchet straps to secure the new advertisement to the panels. The crew would then bolt the extensions' angle irons to the stringers, to hold the extensions in place on the billboard frame. However, plaintiff fell and was injured while the crew was attempting to move the vinyl from the east side panels over the top of the frame and onto the west side panels.

Plaintiff was on the front catwalk when he heard the other crew members call for assistance because they were having difficulty due to the day's wind conditions. Plaintiff went to the upper rear catwalk to assist them, and in order to get around one of the crew members, plaintiff detached his lanyard from the catwalk's safety cable. Before he was able to reattach the lanyard, a strong wind gust caused the vinyl to strike plaintiff in the chest, knocking him 10 feet below onto the lower rear

catwalk, where he landed with his back on an I-beam, and his shoulder on the metal catwalk. As a result, plaintiff suffered a dislocated right shoulder and several herniated discs in his back, precluding him from engaging in work on billboards. Plaintiff was subsequently terminated from his employment.

Plaintiffs sued defendant Syracuse Supply Company, owner of the property where the billboard is located, alleging violations of Labor Law §§ 240 (1), (2) and 241 (6), and derivative claims for plaintiff Sheila Saint's loss of support, consortium, and expenses related to Joseph Saint's medical bills.¹ Defendant moved for summary judgment to dismiss plaintiffs' amended complaint in its entirety, asserting that plaintiff Joseph Saint was not engaged in a covered activity under the Labor Law. Plaintiffs cross-moved for partial summary judgment on their Labor Law §§ 240 (1), (2) and 241 (6) claims. Supreme Court denied both motions, concluding that Labor Law §§ 240 and 241 applied to plaintiffs' claims and that an issue of fact existed as to whether plaintiff was the sole proximate cause of his injuries for failure to reconnect his lanyard. Only defendant appealed the order.

The Appellate Division reversed and granted summary judgment for defendant and dismissed the amended complaint (*Saint v Syracuse Supply Co.*, 110 AD3d 1470 [4th Dept 2013]). Relying in part on this Court's decisions in *Joblon v Solow* (91 NY2d 457 [1998]) and *Munoz v DJZ Realty, LLC* (5 NY3d 747 [2005]), the Appellate Division concluded that plaintiff's work on the billboard did not constitute altering the building or structure for purposes of Labor Law § 240, and instead was "more akin to cosmetic maintenance or decorative modification" (*Saint*, 110 AD3d at 1471). The Court also concluded plaintiff was not engaged in construction work within the meaning of section 241 (6) (*id.*). We granted plaintiffs leave to appeal (22 NY3d 866 [2014]), and now reverse.

Labor Law § 240 (1) provides,

"All contractors and owners and their agents, except owners of one and two-family dwellings who contract for but do not direct or control the work, in the erection, demolition, repairing, altering,

1. Plaintiffs also asserted claims under Labor Law § 200 and common-law negligence, but during the course of the proceedings conceded these claims were not viable. Plaintiffs also filed an amended complaint naming several additional defendants, but later withdrew those claims.

painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

The “purpose of the statute is to protect workers by placing ultimate responsibility for safety practices on owners and contractors instead of on workers themselves” (*Panek v County of Albany*, 99 NY2d 452, 457 [2003], citing *Martinez v City of New York*, 93 NY2d 322, 325-326 [1999], and *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 520 [1985]). To that end, section 240 (1) “is to be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed” (*Panek*, 99 NY2d at 457, citing *Gordon v Eastern Ry. Supply*, 82 NY2d 555, 559 [1993]). Therefore, the Court has made clear that section 240 (1) imposes on owners or general contractors and their agents a nondelegable duty, and absolute liability for injuries proximately caused by the failure to provide appropriate safety devices to workers who are subject to elevation-related risks (see *Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]).

Plaintiff claims that he comes within the coverage of section 240 (1) because he physically altered the billboard by installing extensions that changed the physical shape of the structure. Defendant responds that plaintiff’s injuries are outside the scope of the Labor Law because at the time of plaintiff’s fall he was not engaged in the installation or removal of extensions. In any event, according to defendant, plaintiff’s work was not an alteration because changing the vinyl advertisement is a routine maintenance activity, and any alleged change to the structure was not permanent in nature.

In determining whether plaintiff Joseph Saint was engaged in the type of work covered by section 240 (1), we first consider defendant’s contention that we should limit our analysis of plaintiff’s activity to the moment of his injury. The Court previously rejected this narrow construction of the statute’s application in *Prats v Port Auth. of N.Y. & N.J.*, because “it is neither pragmatic nor consistent with the spirit of the statute to isolate the moment of injury and ignore the general context of the work” (100 NY2d 878, 882 [2003]). Thus, in *Prats* the Court

considered the totality of the plaintiff's actions, noting that he was part of the team working on an enumerated activity and on previous days he had done heavier alteration work for the same project at the same work site where he was injured (*id.* at 881-882). Based on the context of that work and because the "intent of the statute [is] to protect workers employed in the enumerated acts, even while performing duties ancillary to those acts" (*id.* at 882), the Court concluded that the plaintiff was engaged in alteration and thus covered under section 240 (1).

[1] Defendant's interpretation would compartmentalize a plaintiff's activity and exclude from the statute's coverage preparatory work essential to the enumerated act. This construction of the Labor Law is exactly what the Court sought to avoid by *Prats's* contextualized analysis, and would strip workers of the "exceptional protection that section 240 (1) provides" (*Rocovich*, 78 NY2d at 514). We therefore reject an interpretation unsupported by the case law and which does no more than undermine the statutory purpose of protecting workers from dangers inherent to tasks involving elevation differentials (*see e.g. Robinson v City of New York*, 22 AD3d 293, 293-294 [1st Dept 2005]; *Fitzpatrick v State of New York*, 25 AD3d 755, 757 [2d Dept 2006]; *Randall v Time Warner Cable, Inc.*, 81 AD3d 1149, 1151 [3d Dept 2011]).

Applying this standard, we conclude that plaintiff was engaged in work that constitutes an alteration within the meaning of the statute. In reaching this determination we apply the definition the Court adopted in *Joblon*, that the term "altering" in section 240 (1) "requires making a *significant* physical change to the configuration or composition of the building or structure" (*Joblon*, 91 NY2d at 465). This definition excludes "routine maintenance" and "decorative modifications" (*id.*). Whether a physical change is significant depends on its effect on the physical structure. Thus, the Court held that the plaintiff in *Joblon* who was injured when he fell off a ladder while in the process of chiseling a hole through a concrete block wall so that he could run electrical wires from one room to another to install a wall clock was engaged in "altering" under section 240 (1). As the Court held, extending the wiring and chiseling a hole through the concrete constituted a significant change and entailed "more than a simple, routine activity" (*id.* at 465-466).

Here, plaintiff's job was to install a new advertisement. In order to do so he and the other members of the construction

crew had to attach extensions that changed the dimensions of the billboard's frame and transformed the shape of the billboard to accommodate the advertisement's artwork. Plaintiff was injured when in furtherance of this task he fell while assisting the other crew members with the removal of the old vinyl advertisement from the billboard's side panels. The vinyl removal was a prerequisite to the attachment of the extensions and therefore an integral part of the installation of the extensions. We have little difficulty concluding that the plaintiff's work entails a significant change to the billboard structure because once the vinyl is removed, the billboard is enlarged by the attachment of the extensions, work accomplished by the use of the angle iron on the back of each extension, and application of nuts, bolts and nails.

Moreover, plaintiff's facts differ from those of prior cases where the Court found the injured worker's activity constituted routine maintenance, and thus was outside the coverage of the statute. Those cases involved simple tasks, involving minimal work. In comparison, the removal of an old advertisement and the installation of vinyl-covered plywood extensions for the purpose of enlarging the shape of the billboard to accommodate the new advertisement's artwork involves the type of physical change significant enough to constitute a section 240 (1) alteration, and to distinguish plaintiff's work from routine maintenance illustrated by the changing of a lightbulb, as in the case of *Smith v Shell Oil Co.* (85 NY2d 1000, 1002 [1995]), the replacement of air conditioning components damaged in the course of normal wear and tear, as in *Esposito v New York City Indus. Dev. Agency* (1 NY3d 526, 528 [2003]), household window cleaning, like that involved in *Brown v Christopher St. Owners Corp.* (87 NY2d 938, 939 [1996]), or the routine, annual inspection of an elevator in *Nagel v D & R Realty Corp.* (99 NY2d 98, 99 [2002]).

Nor, on the facts of this case, is the installation of the new advertisement a "decorative modification" because the work here entails far more than a mere "change[] [to] the outward appearance of the billboard" (*Munoz*, 5 NY3d at 748). Instead, the job requires a change to the billboard's size and an adjustment of the frame to accommodate the unique shape of the advertisement. Moreover, any change to the billboard frame ensures that a future installation of a new advertisement would require a subsequent alteration of the billboard's structure. That is to say, if the new advertisement did not require exten-

sions then the existing extensions would be removed and the frame left as is, or if the new advertisement required different extensions the old ones would be removed and the new ones installed. In either case, the billboard frame would be different from the one plaintiff would have altered.

Although plaintiff's job title is irrelevant to our analysis because we must focus on the actual work in which he was engaged (*Joblon*, 91 NY2d at 465-466), we note that plaintiff's activities bear out his designation as a construction crew member, and further support our conclusion that he was employed in the type of work covered by section 240 (1). Plaintiff operated the crane used to hoist the extensions. The installation of the new advertisement involved heavy lifting, and the attachment of wood and vinyl to a metal frame several feet above the ground.

We are unpersuaded by defendant's argument that *Munoz v DJZ Realty*, where the Court concluded that an employee injured while working on a billboard was not involved in "alteration" for purposes of section 240 (1), is dispositive of plaintiff's case. In *Munoz*, the plaintiff was applying pre-pasted sheets to a billboard which the Court concluded merely "changed the outward appearance of the billboard, but did not change the billboard's structure" (*Munoz*, 5 NY3d at 748). Notably, the *Munoz* plaintiff denied any assertion that the plastering constituted a change in the shape of the billboard (*see* brief for plaintiffs at 16 n 9 in *Munoz v DJZ Realty, LLC*, 5 NY3d 747 [2005]).² Unlike the plaintiff in *Munoz*, plaintiff and his fellow crew members could not attach the new advertisement—the step that involved changing the outward appearance of the billboard—without first changing the size of the billboard to accommodate the vinyl for the new, larger advertisement. Far from the "cosmetic maintenance or decorative modification" that doomed the *Munoz* plaintiff's claim (5 NY3d at 748), plaintiff's activity required attachment of metal bolts, and the eventual attachment of the extension to the billboard frame itself.

Similarly unpersuasive is defendant's argument that plaintiff's work is not an alteration within the meaning of section 240 (1) because the statute applies only to permanent changes.

2. The plaintiff in *Munoz* claimed instead that by placing an advertisement on the face of the billboard, the plaintiff "altered" the composition of the billboard structure in a manner consistent with our holding in *Joblon* (brief for plaintiffs at 16 in *Munoz v DJZ Realty, LLC*, 5 NY3d 747 [2005]).

There is no support in the text or the case law for this limit on the statute's reach. Nowhere does section 240 (1) impose or even mention a requirement that an alteration be of a permanent and fixed nature (*see* Labor Law § 240 [1]). Such a reading is at odds with the Court's prior decisions. For example, in *Panek*, the alteration was to a building scheduled for demolition, a fact the Court said "does not change the nature of the work project at the time of [the plaintiff's] accident" (*Panek*, 99 NY2d at 458, citing *Joblon*, 91 NY2d at 465). In *Joblon*, the wall clock could have been removed, the wiring pulled out, and the chiseled hole refilled. Nevertheless, the Court concluded that "the work performed by Joblon was a significant physical change to the configuration or composition of the building" (*Joblon*, 91 NY2d at 465). In *Weininger v Hagedorn & Co.*, the Court held that installing computer and telephone cables was an alteration within the meaning of section 240 (1) (91 NY2d 958 [1998], citing *Joblon*, 91 NY2d at 465). Yet, the computer and telephone cables could have been removed and the ceiling repaired. Similarly, in this case the fact that the advertisement extensions stay up as long as the sign does makes the work no less an alteration within the meaning of section 240 (1). The change to the physical attributes of the structure is what matters.

A requirement that the alteration be permanent would also undermine the worker protection purpose of the statute (*see Rocovich*, 78 NY2d at 513). Regardless of the duration of the completed work, the worker's task remains the same, and the permanency of the alteration in no way diminishes the risk attendant to that task.

Given the nature of the plaintiff's work on the day of his injury and that the attachment of extensions to the billboard effects a significant change to the structure, plaintiff was engaged in work that constitutes "altering" within the meaning of Labor Law § 240 (1). Dismissal of his claim pursuant to this section was therefore error.

[2] We also find that it was error to dismiss plaintiff's other Labor Law claims. Turning to his section 240 (2) claim, this provision requires, in relevant part, that "[s]caffolding or staging more than twenty feet from the ground or floor . . . shall have a safety rail of suitable material properly attached, bolted, braced or otherwise secured" It is undisputed that the billboard platform was 59 feet above the ground and that there was no safety railing surrounding the upper rear catwalk from

which plaintiff fell. Therefore, plaintiff alleged a viable claim under section 240 (2), and its dismissal was error.

[3] With respect to plaintiff's section 241 (6) claim, we agree with plaintiff that he was engaged in "construction work" and thus within the ambit of the statute. Pursuant to section 241 (6), "All areas in which construction, excavation or demolition work is being performed shall be so constructed, shored, equipped, guarded, arranged, operated and conducted as to provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places." In determining what constitutes "construction" for purposes of the statute we look to the Industrial Code which, as relevant here, defines construction to include alteration of a structure (12 NYCRR 23-1.4 [b] [13]). Since plaintiff was altering the billboard by installing the extension at the time of his injury, his claim comes within section 241 (6).

The defendant and Appellate Division's reliance on *Hatfield v Bridgedale, LLC* (28 AD3d 608 [2d Dept 2006]) in support of the opposite conclusion is misplaced. In *Hatfield*, the Appellate Division affirmed the dismissal of plaintiff's section 241 (6) claim holding that the section "do[es] not apply to claims arising out of maintenance of a building or structure outside of the construction context" (*id.* at 610). However, unlike the plaintiff in *Hatfield*, for the reasons we have already discussed, plaintiff here was altering the billboard's dimensions in order to apply the advertisement, and thus was not engaged in maintenance work.

Accordingly, the Appellate Division order should be reversed, with costs, and defendant's motion for summary judgment denied.

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM, STEIN and FAHEY concur.

Order reversed, with costs, and defendant's motion for summary judgment denied.

[30 NE3d 880, 8 NYS3d 237]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v REBECCA
GUTHRIE, Respondent.

Argued February 19, 2015; decided April 7, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Wayne County Court (John B. Nesbitt, J.), dated July 22, 2013. The County Court affirmed an order of the Justice Court of the Village of Newark, Wayne County (Daniel G. Barrett, J.), which had (1) granted, on probable cause grounds, defendant's motion to suppress, and (2) dismissed simplified traffic informations charging defendant with failure to stop at a stop sign and driving while intoxicated (two counts).

HEADNOTES**Crimes — Unlawful Search and Seizure — Probable Cause for Traffic Stop — Mistake of Law**

1. A traffic stop based upon a police officer's mistaken view of the law is constitutional under the Fourth Amendment of the United States Constitution and article I, § 12 of the New York State Constitution where the mistake is objectively reasonable. A traffic stop is a seizure and is permissible when a police officer has probable cause to believe that the driver of the automobile has committed a traffic violation. Probable cause requires information sufficient to support a reasonable belief that an offense has been or is being committed or that evidence of a crime may be found in a certain place. The Fourth Amendment tolerates objectively reasonable mistakes supporting a belief that a traffic violation had occurred, whether they are mistakes of fact or mistakes of law. The requirement that the mistake be objectively reasonable prevents officers from gaining any Fourth Amendment advantage through a sloppy study of the laws they are duty-bound to enforce. A court should look to the reasonableness of the officer's belief that a defendant violated the Vehicle and Traffic Law, without drawing any distinction between mistakes of fact and mistakes of law.

Crimes — Unlawful Search and Seizure — Probable Cause for Traffic Stop — Failure to Stop at Unregistered Stop Sign

2. The traffic stop of defendant after a police officer observed her vehicle drive past a stop sign without stopping was constitutionally justified based on the police officer's reasonable belief that defendant failed to stop at a valid stop sign, notwithstanding that the stop sign was located at the edge of a supermarket parking lot and was not properly registered as required by Vehicle and Traffic Law § 1100 (b). A traffic stop based upon a police officer's mistaken view of the law is constitutional under the Fourth Amendment of the United States Constitution and article I, § 12 of the New York State Constitution where the mistake is objectively reasonable. Under Vehicle and Traffic Law § 1110 (c), there is a presumption that official traffic-control devices that are

placed in position approximately conforming to the requirements of the Vehicle and Traffic Law are valid, absent proof to the contrary. Here, the stop sign was of regulation color, height and dimension and was located at the edge of the parking lot at the point where vehicles would exit the parking lot onto a public street. The police officer was not chargeable with knowledge that the particular stop sign was not registered under the municipal code, nor was he required to verify that the sign was valid before making the stop. The stop was based on probable cause because the officer reasonably believed that he had observed defendant violate the Vehicle and Traffic Law. Thus, while defendant could not be prosecuted for the stop sign violation, the evidence of defendant's intoxication while driving did not need to be suppressed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 220–222, 239; AM JUR 2d, Searches and Seizures §§ 12–14, 60.
CARMODY-WAIT 2d, Search and Seizure §§ 173:3, 173:4, 173:17, 173:20, 173:21, 173:26, 173:356.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 3.7.
MCKINNEY'S, Vehicle and Traffic Law §§ 1100 (b); 1110; NY Const, art I, § 12.
NY JUR 2d, Automobiles and Other Vehicles §§ 708, 737; NY JUR 2d, Criminal Law: Procedure §§ 220–225, 512, 523.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Other Vehicles; Probable Cause; Search and Seizure; Traffic Signals or Signs.

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POINTS OF COUNSEL

Richard M. Healy, District Attorney, Lyons (Bruce A. Rosekrans of counsel), for appellant. The court erred in determining that there was no probable cause or reasonable cause to stop defendant's vehicle for a traffic infraction. (*Whren v United States*, 517 US 806; *People v Robinson*, 97 NY2d 341; *United States v Stewart*, 551 F3d 187; *People v Estrella*, 48 AD3d 1283, 10 NY3d 945; *People v Davis*, 32 AD3d 445; *People v Scott*, 191 AD2d 200, 82 NY2d 729.)

James S. Kernan, Public Defender, Lyons (Andrew D. Cor-

reia and *Richard W. Youngman* of counsel), for respondent. The trial court finding that there was no legal basis for the stop of the defendant was correct. (*Whren v United States*, 517 US 806; *People v Robinson*, 97 NY2d 341; *United States v Leon*, 468 US 897; *People v Bigelow*, 66 NY2d 417; *People v Spencer*, 84 NY2d 749; *People v Estrella*, 48 AD3d 1283, 10 NY3d 945; *People v Weaver*, 16 NY3d 123; *United States v Twilley*, 222 F3d 1092; *People v Gonzalez*, 88 NY2d 289; *People v Rose*, 67 AD3d 1447.)

OPINION OF THE COURT

STEIN, J.

In this appeal, we are asked to decide whether there is probable cause to make a traffic stop for a suspected violation of law in accordance with article I, § 12 of the New York State Constitution and the Fourth Amendment of the United States Constitution if the justification for the stop is based upon a police officer's objectively reasonable, but mistaken, view of the law. We conclude that where, as here, the officer's mistake about the law is reasonable, the stop is constitutional.

I

At approximately 12:15 a.m. on September 27, 2009, a police officer stopped defendant's vehicle after observing the vehicle drive past a stop sign without stopping. The stop sign was located at the edge of a supermarket parking lot in the Village of Newark, Wayne County, and defendant was exiting the lot onto a public street. Upon stopping defendant, the officer smelled a strong odor of alcohol. After defendant failed field sobriety tests and a breath analysis revealed that her blood alcohol level was over the legal limit, the officer arrested defendant and charged her with failing to stop at a stop sign in violation of Vehicle and Traffic Law § 1172 (a) and driving while intoxicated under Vehicle and Traffic Law § 1192 (2) and (3).

Asserting lack of probable cause for the initial stop, defendant moved to suppress the evidence resulting therefrom. The Newark Village Court took judicial notice of the location of the stop sign and that it was not registered in the Village Code (*see* Code of Village of Newark § 140-46). The court granted the suppression motion and dismissed the charges on the ground that the stop was not justified because the stop sign was not properly registered, as required by Vehicle and Traffic Law

§ 1100 (b).¹ County Court of Wayne County affirmed, concluding that because the stop sign was not legally authorized, the traffic stop was improper because the officer's good faith was insufficient to "blink away any irregularities in the laws he [was] attempting to enforce." A Judge of this Court granted the People leave to appeal (22 NY3d 1156 [2014]), and we now reverse.

II

As this Court has previously explained, "any exercise of police power under the Fourth Amendment of the United States Constitution and our State constitutional corollary must be reasonable—a seizure by the police may not be arbitrary" (*People v Robinson*, 97 NY2d 341, 353 [2001]; see *Heien v North Carolina*, 574 US —, —, 135 S Ct 530, 536 [2014]). A traffic stop is a seizure and is permissible under the Fourth Amendment and article I, § 12 of the State Constitution when "a police officer has probable cause to believe that the driver of an automobile has committed a traffic violation" (*Robinson*, 97 NY2d at 349; see *Whren v United States*, 517 US 806, 809-810 [1996]). Probable cause, in turn, "does not require proof sufficient to warrant a conviction beyond a reasonable doubt but merely information sufficient to support a *reasonable belief* that an offense has been or is being committed or that evidence of a crime may be found in a certain place" (*People v Bigelow*, 66 NY2d 417, 423 [1985] [emphasis added]; see *Ornelas v United States*, 517 US 690, 696 [1996]). Thus, "[a] police officer who can articulate credible facts establishing reasonable cause to believe that someone has violated a law has established a reasonable basis to effectuate a [traffic] stop" (*Robinson*, 97 NY2d at 353-354).

Generally, a traffic stop is justified when an officer observes a vehicle fail to stop at a stop sign (see Vehicle and Traffic Law § 1172 [a]; *People v Davis*, 32 AD3d 445, 445 [2d Dept 2006], *lv denied* 7 NY3d 924 [2006]). However, the parties here are in agreement that the stop sign at issue was not legally valid because it was not properly registered as required by Vehicle and Traffic Law § 1100 (b). Thus, the People concede that defendant could not be prosecuted for a stop sign violation. Nev-

1. As relevant here, Vehicle and Traffic Law § 1100 (b) provides that the rules of the road "relating to obedience to stop signs . . . shall apply to a parking lot only when the legislative body of any city, village or town has adopted a local law, ordinance, rule or regulation ordering such signs."

ertheless, the People argue that the traffic stop was constitutionally justified because the officer observed what he reasonably believed to be a violation of the Vehicle and Traffic Law. Defendant counters that the officer made a mistake of law and that such a mistake, even if reasonable, can never provide justification for a traffic stop.

[1] Although defendant and the dissent correctly note that the officer's good faith belief that she violated the Vehicle and Traffic Law was not sufficient to justify the traffic stop (*see Bigelow*, 66 NY2d at 426-427), the relevant question before us is not whether the officer acted in good faith, but whether his belief that a traffic violation had occurred was objectively reasonable (*see People v Estrella*, 10 NY3d 945, 946 [2008], *cert denied* 555 US 1032 [2008]; *see also Robinson*, 97 NY2d at 349-350, 353-354).² Recently, in *Heien v North Carolina*, the Supreme Court of the United States clarified that the Fourth Amendment tolerates objectively reasonable mistakes supporting such a belief, whether they are mistakes of fact or mistakes of law (574 US at —, 135 S Ct at 539). *Heien* involved a traffic stop of a vehicle that had only one working brake light, which the officer mistakenly believed to be a violation of North Carolina law (*see* 574 US at —, 135 S Ct at 534-535). The Court noted that, in its more recent precedent, it had “recognized that searches and seizures based on mistakes of fact can be reasonable,” and concluded that “[t]here is no reason, under the text of the Fourth Amendment or our precedents,” why the same result should not be acceptable “when reached by way of a similarly reasonable mistake of law” (574 US at —, 135 S Ct at 536). Citing a number of its nineteenth century decisions “explaining the concept of probable cause” (574 US at —, 135 S Ct at 537), the Court stated that its “cases dating back two centuries support treating legal and factual errors alike in this context” (574 US at —, 135 S Ct at 536-537). In light of “the reality that an officer may suddenly confront a situation in the field as to which the application of a statute is unclear—however clear it may later become” (574 US at —, 135 S Ct at

2. This distinction is significant in that a mistake of law that is merely made in “good faith” will not validate a traffic stop; rather, unless the mistake is objectively reasonable, any evidence gained from the stop—whether based on a mistake of law or a mistake of fact—must be suppressed. Thus, contrary to the dissent's suggestion, our holding in this case does not represent a limitation on the rule set forth in *People v Bigelow* (66 NY2d 417 [1985]) that there is no good faith exception to the exclusionary rule (*see id.* at 427).

539 [internal quotation marks omitted])—the Court concluded that the officer’s misreading of the statute at issue, which was susceptible of multiple interpretations and had not been definitively construed by the North Carolina appellate courts, amounted to a reasonable mistake of law justifying the traffic stop (*see* 574 US at —, 135 S Ct at 540). Thus, while the defendant could not be prosecuted under North Carolina law for having only one brake light, his cocaine-trafficking conviction—which flowed from a search incident to the traffic stop—was upheld (*see* 574 US at —, 135 S Ct at 540).

Similarly, in *People v Estrella*, this Court affirmed an Appellate Division order upholding the denial of a motion to suppress cocaine recovered after a traffic stop based upon car windows that were over-tinted under Vehicle and Traffic Law § 375 (12-a) (b) but permissible in Georgia, the state in which the vehicle was registered (10 NY3d at 946, *affg* 48 AD3d 1283, 1284-1285 [2008]).³ The Fourth Department concluded that suppression of the drugs found as a result of the traffic stop was not warranted because, among other things, “it is unreasonable to require that police officers be familiar with the equipment requirement laws of every state, and presumably other countries, in order to effectuate a proper stop for a violation of New York State law” (*Estrella*, 48 AD3d at 1285). Two dissenting Justices would have reversed on the ground that the officer who stopped the vehicle made a mistake of law and, therefore, lacked probable cause to believe that defendant had committed a traffic infraction. The dissenters reasoned that a “mistake of law, as opposed to a mistake of fact, cannot justify the stop of a vehicle and the ensuing search and subsequent seizure of evidence therefrom,” and that “police officers must be charged with the objective standard of knowing whether [a traffic] infraction occurred” (*id.* at 1287).

On appeal, we affirmed, rejecting the rationale of the dissenting Justices. Without drawing any distinction between mistakes of fact and mistakes of law in the context of traffic stops, we determined that “[t]he record supports the finding that the officer who stopped the car *reasonably believed* the windows to be over-tinted in violation of [the] Vehicle and Traf-

3. Vehicle and Traffic Law § 250 (1) provides an exemption from its requirements for nonresident vehicle owners whose vehicles are in compliance with the registration and equipment requirements of the nonresident’s home state, so long as the state grants “like exemptions” to New York residents.

fic Law” (*Estrella*, 10 NY3d at 946 [emphasis added]). We concluded that the officer was not chargeable with knowledge that the window tinting was legal in Georgia (*see id.*).

III

So too here, we look to the reasonableness of the officer’s belief that defendant violated the Vehicle and Traffic Law, without drawing any distinction between mistakes of fact and mistakes of law. In *Estrella*, the arresting officer would have been expected to know that Vehicle and Traffic Law § 250 (1) provides an exemption from this state’s registration and equipment requirements for out-of-state vehicles that comply with the requirements of the state in which they are registered. We concluded, however, that because the officer was not chargeable with knowledge of the legal registration and equipment requirements of Georgia, the stop was justified based upon the officer’s reasonable belief that the defendant had violated the Vehicle and Traffic Law (*Estrella*, 10 NY3d at 946). Similarly here, we are not saying that it would have been objectively reasonable for the arresting officer to have claimed ignorance of the requirement in Vehicle and Traffic Law § 1100 (b) that a stop sign in a parking lot be registered to be valid. We are saying that the stop was nonetheless constitutionally justified because the officer was not chargeable with knowing each and every stop sign that was registered under the Newark Village Code.

We note that defendant and the dissent rely upon a string of Appellate Division cases holding that, “[w]here the officer’s belief is based on an erroneous interpretation of law, the stop is illegal at the outset and any further actions by the police as a direct result of the [traffic] stop are illegal” (*Matter of Byer v Jackson*, 241 AD2d 943, 944-945 [4th Dept 1997]; *see People v Rose*, 67 AD3d 1447, 1449 [4th Dept 2009]; *People v Smith*, 67 AD3d 1392, 1392 [4th Dept 2009]; *see also People v Allen*, 90 AD3d 1082, 1084 [3d Dept 2011]; *People v MacKenzie*, 61 AD3d 703, 703 [2d Dept 2009], *lv denied* 13 NY3d 798 [2009]; *People v Jean-Pierre*, 47 AD3d 445, 445 [1st Dept 2008], *lv denied* 10 NY3d 865 [2008]). The dissent maintains that, given these Appellate Division cases, *Estrella* could not have been intended to “eliminate[]” the mistake of law/mistake of fact distinction (dissenting op at 147). That distinction, however, was never as well-established as the dissent would have it. Despite the evident consensus among the Appellate Division Departments

that a mistake of law cannot justify a traffic stop, this Court has never distinguished between mistakes of law and mistakes of fact in considering the reasonableness of a traffic stop and the decision in *Estrella* is consistent with that fact.

Our decision in *People v Gonzalez* is not to the contrary. The holding in that case—that a “mistaken belief as to the law, no matter how reasonable, is not sufficient” to establish a constitutionally valid search and seizure (*People v Gonzalez*, 88 NY2d 289, 295 [1996] [internal quotation marks and citations omitted])—was limited to the context of the apparent authority doctrine. We held that “the apparent authority of a third party to consent to a search of a suspect’s personal effects must rest upon the police officer’s reasonably held *factual* interpretation of the circumstances; it cannot be based on a mistaken view of the law” (*id.*). Our conclusion was based almost entirely upon the then “consistent reading of [*Illinois v Rodriguez* (497 US 177, 179 [1990])] by the [f]ederal courts” applying the apparent authority doctrine (*Gonzalez*, 88 NY2d at 295); we did not hold that our State Constitution provides greater protection than the Federal Constitution in the apparent authority context, or indicate in any way that article I, § 12 of the State Constitution does not tolerate reasonable mistakes of law.

We, therefore, reject defendant’s argument and the contention of the dissent that the distinction between mistakes of fact and mistakes of law set forth in *Gonzalez* should be expanded to the context of determining whether probable cause exists for a traffic stop. Such an expansion would constitute a departure from *Heien* and, in our view, “[n]one of the reasons for extending [the] protections of our Constitution beyond those given by the Federal Constitution exist here” (*Robinson*, 97 NY2d at 351). This Court has adopted separate state constitutional standards “when doing so best promotes predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens” (*People v P.J. Video*, 68 NY2d 296, 304 [1986], *cert denied* 479 US 1091 [1987] [internal quotation marks and citations omitted]; see *People v Weaver*, 12 NY3d 433, 445 [2009]). We have also deviated, based on our state constitutional standards, from Supreme Court decisions that undermine our ability to “provide and maintain ‘bright line’ rules to guide the decisions of law enforcement and judicial personnel who must understand and implement our decisions in their day-to-day operations in the field” (*P.J. Video*, 68 NY2d at 305). More fundamentally, while we have declined

to adopt an “ironclad [methodology] to be rigidly applied” in determining whether separate standards are warranted, we have recognized “that we act [] properly in discharging our responsibility to support the State Constitution when we examine whether we should follow . . . as a matter of State law” any recent decision of the Supreme Court that marks a “change[] [in] course and dilut[ion] [of] constitutional principles” or protections previously enjoyed by the citizens of this state (*People v Scott*, 79 NY2d 474, 504 [1992, Kaye, J., concurring]).

In *Heien*, the Supreme Court did not change course; rather, the Court relied on its “cases dating back two centuries [that] support treating legal and factual errors alike in this context” (574 US at —, 135 S Ct at 536-537). Nor does *Heien* represent a dilution of our “State . . . common law defining the scope of the individual right in question” (*P.J. Video*, 68 NY2d at 303) or “an enormous unsupervised intrusion by the police . . . upon personal privacy” (*Weaver*, 12 NY3d at 445). As explained above, this Court has never held that a reasonable mistake of law cannot provide justification for a traffic stop and, even in the context of cases involving the apparent authority of a third party to consent to a search, our conclusion that a mistake of law could not establish a constitutionally valid search or seizure was based upon federal law, not state constitutional or common law (see *Gonzalez*, 88 NY2d at 295-296). What we have held is that an officer’s objectively “reasonabl[e] belie[f]” that he or she has witnessed a violation of the Vehicle and Traffic Law justifies a traffic stop, even when the officer made a mistake of law (*Estrella*, 10 NY3d at 946).⁴

Moreover, the purportedly “bright-line rule” adopted by the Appellate Division Departments that mistakes of law can never provide the basis for a traffic stop has not promoted precision and predictability. To the contrary, the rule has proved difficult to apply as evidenced by the discussion in *People v Abdul-Akim* (27 Misc 3d 1220[A], 2010 NY Slip Op 50814[U], *9 [Sup Ct, Kings County 2010]), in which the trial court discussed cases

4. The dissent implicitly concedes that the mistake in *People v Estrella* (10 NY3d 945 [2008]) was one of law—stating that *Estrella* is “more properly understood to limit the laws for which an officer is responsible” (dissenting op at 148), i.e., by positing that mistakes as to the law of other states are reasonable, the dissent essentially argues that *Estrella* should be understood as limiting *which* mistakes of law this Court is willing to recognize as objectively reasonable.

either ignoring or attempting to employ the distinction and observed, “it [is] not always . . . easy to classify a particular mistake as one of law or fact.”⁵ While the dissent posits that we should apply a rule that a stop based upon a mistake of law is constitutionally invalid “because [then] there would be no need to determine the objective reasonableness of the officer’s mistake of the law” (dissenting op at 144), this Court has already demonstrated that we have no trouble making that determination when called upon to do so (*see Estrella*, 10 NY3d at 946). Contrary to the dissent’s concerns that our refusal to expand the mistake of fact/mistake of law distinction to the context of traffic stops provides a disincentive for police officers to know the law (dissenting op at 144-145), a rule that even objectively reasonable mistakes of law cannot provide a basis for a traffic stop would do little to protect the rights of the accused or encourage officers to better learn the law (*see generally Robinson*, 97 NY2d at 351). As the Supreme Court explained, the requirement that the mistake be objectively reasonable prevents officers from “gain[ing] [any] Fourth Amendment advantage through a sloppy study of the laws [they are] duty-bound to enforce” (*Heien*, 574 US at —, 135 S Ct at 539-540).

Finally, there is no unfairness in forgiving a police officer’s objectively reasonable mistake of law while refusing to allow an individual to “escape criminal liability based on a mistaken understanding of the law” (*Heien*, 574 US at —, 135 S Ct at 540). Neither the Supreme Court nor this Court have held that “the government can[] impose criminal liability based on a mistaken understanding of the law”; rather, “just because mistakes of law cannot justify either the imposition or the avoidance of criminal liability, it does not follow that they can-

5. Indeed, in the case before us, the mistake of the officer as to whether the stop sign was justified under the Vehicle and Traffic Law could be characterized as a mistake of fact or of law—even if the officer knew of the legal requirement that stop signs in a parking lot must be formally registered to be valid, but was mistaken about whether this particular stop sign was on the list of registered signs. That said, while we do not know what the officer actually believed because the parties’ stipulation did not contain that information, we are ultimately concerned, not with the officer’s subjective belief, but with whether there is an “objective safeguard[] circumscribing the exercise of police discretion” (*People v Robinson*, 97 NY2d 341, 351 [2001] [internal quotation marks and citation omitted]). Here, the requirement that a mistake be objectively reasonable provides that safeguard (*see Heien v North Carolina*, 574 US —, —, 135 S Ct 530, 539-540 [2014]).

not justify an investigatory stop” (574 US at —, 135 S Ct at 540).

IV

[2] Applying *Heien* and our decision in *Estrella* here, we conclude that the traffic stop was justified under both the Fourth Amendment and article I, § 12 based on the officer’s reasonable belief that defendant failed to stop at a valid stop sign. It is undisputed that the stop sign was of regulation color, height and dimension; its only defect was that it was not properly registered. Under Vehicle and Traffic Law § 1110 (c), there is a presumption that “official traffic-control devices [that] are placed in position approximately conforming to the requirements of this chapter . . . have been so placed by the official act or direction of lawful authority, unless the contrary shall be established by competent evidence.” Although the stop sign here was ultimately established to be unregistered, the presumption is indicative of the legislature’s intent that traffic control devices appearing to be proper be assumed valid, absent proof to the contrary. In our view, “[t]he officer was not chargeable with knowledge that the” stop sign at issue was not registered under Newark Village Code § 140-46, which lists 130 registered stop signs in the village (*Estrella*, 10 NY3d at 946). Nor was he required to verify that the stop sign was valid before making the traffic stop—rather, the stop was based on probable cause because the officer reasonably believed that he had observed defendant violate the Vehicle and Traffic Law. Although the stop sign was not registered and, therefore, defendant did not violate Vehicle and Traffic Law § 1172 (a), the evidence recovered as a result of the traffic stop need not be suppressed.

Accordingly, the order of County Court should be reversed, defendant’s motion to suppress denied, and the case remitted to Village Court for further proceedings in accordance with this opinion.

RIVERA, J. (dissenting). The courts of this state have consistently held that a police officer’s mistake of law cannot provide the requisite probable cause for a valid search and seizure. It is also well-established that evidence obtained as a result of a seizure lacking probable cause must be suppressed. Given this legal landscape, I disagree with the majority’s conclusion that under our State Constitution an officer’s erroneous belief that

a driver violated the law may provide probable cause for a vehicular stop, and, regardless of the driver's innocence, a court may admit evidence obtained as a consequence of the officer's mistake. Therefore, I dissent.

I.

A vehicular stop is valid under New York State's Constitution when "a police officer has probable cause to believe that the driver of an automobile has committed a traffic violation" (*People v Robinson*, 97 NY2d 341, 349 [2001]; see NY Const, art I, § 12). As the majority correctly states, the legal validity of the stop depends on whether the officer's belief that the defendant violated the Vehicle and Traffic Law is objectively reasonable (majority op at 134). However, what is objectively reasonable depends on what the officer knew at the time of the stop (see *People v William II*, 98 NY2d 93, 98 [2002]; *People v Banks*, 85 NY2d 558, 562 [1995]; *People v Cantor*, 36 NY2d 106, 112 [1975]).

In order to make a determination as to the lawfulness of a driver's actions under the Vehicle and Traffic Law, it is axiomatic that an officer must know the mandates and prescriptions set forth in that law (*People v Robinson*, 97 NY2d at 351, 355 ["the Vehicle and Traffic Law provides an objective grid upon which to measure probable cause" for making a traffic stop]). While an officer must know the rules of the road in order to properly enforce the law, it is also the reality of police work that an officer acts based on facts which cannot be known in advance, and which unfold in the moments leading up to the stop. Thus, while an officer's appreciation of the facts depends on what develops in the field, an officer's knowledge of the law's requirements is set without reference to those facts. Although an officer must determine if the facts as observed constitute a violation of the law, the law remains as written.

Given the legal mandates of the Vehicle and Traffic Law and the dynamics of police work in this area, where an officer acts on a mistaken perception of the circumstances leading to a vehicular stop, courts must determine whether such mistake is excusable, and whether the error may supply the requisite probable cause to justify police action. As a general matter, courts in New York have distinguished between mistakes of fact and law, and applied that distinction to traffic stops (see *People v Rose*, 67 AD3d 1447, 1449 [4th Dept 2009] [stop of defendant's vehicle could not be justified by officer's mistaken

belief that defendant violated the Vehicle and Traffic Law by flashing high beams]; *Matter of McDonell v New York State Dept. of Motor Vehicles*, 77 AD3d 1379, 1380 [4th Dept 2010] [state trooper's mistaken belief that fishtailing violated Vehicle and Traffic Law § 1162, which prohibits unsafely moving a stopped, standing, or parked vehicle unless doing so can be done with reasonable safety, could not justify stop of defendant's vehicle]; *People v MacKenzie*, 61 AD3d 703, 703 [2d Dept 2009], *lv denied* 13 NY3d 798 [2009] [police officer's observation that defendant was driving without headlights on, 15 minutes after sunset, could not provide the officer with probable cause to make a traffic stop where statute provided that headlights are not generally required until 30 minutes after sunset]; *People v Jean-Pierre*, 47 AD3d 445, 445 [1st Dept 2008], *lv denied* 10 NY3d 865 [2008] [stating in dictum that “(a) mistake of fact, but not a mistake of law, may be used to justify a search and seizure”]; *People v Smith*, 1 AD3d 965, 965-966 [4th Dept 2003] [officer's stop of defendant's vehicle was unlawful because it was premised on the mistaken belief that the vehicle required a front license plate]; *Matter of Byer v Jackson*, 241 AD2d 943, 944-945 [4th Dept 1997] [officer's stop of defendant was illegal because it was predicated on the erroneous belief that defendant's failure to use a turn signal when turning out of a parking lot violated the Vehicle and Traffic Law]; *see also People v Allen*, 90 AD3d 1082, 1084 [3d Dept 2011] [stating in dicta that “reasonable suspicion cannot be based on a mistake of law”]; *People v Baez*, 131 Misc 2d 689 [Crim Ct, Bronx County 1986] [stop invalid where police officer mistakenly believed that it was illegal for defendant to have affixed defendant's license plate by wiring and not bolts]).

In these cases the courts have concluded that the officer's reasonable mistake of fact, measured by the circumstances faced by the officer at the time of the stop, may support a finding of probable cause, meaning that a stop will be treated as lawful, so long as the officer objectively, reasonably believes that the facts justify the stop, even though the actual facts fail to establish the driver's violation of the Vehicle and Traffic Law. The courts have not been so forgiving of a mistake of law, and have concluded that such mistake can never justify a stop. (See *Allen*, 90 AD3d at 1084; *Rose*, 67 AD3d at 1449; *McDonell*, 77 AD3d at 1380; *MacKenzie*, 61 AD3d at 703; *Jean-Pierre*, 47 AD3d at 445; *Smith*, 1 AD3d at 965-966; *Byer*, 241 AD2d at 944-945; *Baez*, 131 Misc 2d at 693-694.)

The distinction is wholly logical and serves the state's interests in protecting individual rights and ensuring uniform application of the law. Society relies on police officers to enforce laws based on what the laws say, not on an officer's mistaken belief. Excusing an officer's mistake of law removes an incentive to learning the law. While the realities of police work rightly justify tolerance of an officer's mistake of fact, there is no similar basis to accept or excuse an officer's error regarding what the law permits and forbids.

II.

This Court is now presented directly with the question whether, as a state constitutional matter, an officer's mistake of law may provide a basis for probable cause to justify a vehicular stop. The majority concludes that our State Constitution provides no greater protection in this area than the Federal Constitution, as articulated in *Heien v North Carolina* (574 US —, —, 135 S Ct 530, 534 [2014]), which held that a mistake of law may provide reasonable suspicion to justify a seizure under the Fourth Amendment. However, *Heien* is not dispositive of our state constitutional analysis.

In the area of search and seizure law, this Court has not hesitated in diverging from the federal approach where a narrow construction of constitutional guarantees would ill-serve our state interests (*see* Stewart F. Hancock, Jr., *New York State Constitutional Law—Today Unquestionably Accepted and Applied as a Vital and Essential Part of New York Jurisprudence*, 77 Alb L Rev 1331, 1346 [2014] [according to former New York Court of Appeals Judge Hancock, Jr., “state constitutionalism . . . (is) routinely applied . . . to resolv(e) issues of fundamental rights in New York. State constitutional law—and especially its reestablished legitimacy and unhesitating use by judges at all levels of (the) New York judiciary—have helped make the New York judicial system the leading and, in my opinion, the best in the nation”]). For example, we have interpreted our State Constitution more expansively than the Federal Constitution in a way that “best promotes ‘predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens’” (*People v P.J. Video*, 68 NY2d 296, 304 [1986]; *see also People v Scott*, 79 NY2d 474, 478 [1992] [declining to adopt Supreme Court's holding that areas outside a home's curtilage enjoy no Fourth Amendment protection]; *People v Harris*, 77

NY2d 434, 438-439 [1991] [State Constitution requires suppression of statements obtained after *Payton* violation in absence of attenuation, even where statements would not have been suppressed under Federal Constitution]; *People v Bigelow*, 66 NY2d 417, 426-427 [1985] [rejecting good faith exception to the exclusionary rule]; Hancock, Jr., 77 Alb L Rev at 1332 [“when a New York court concludes that an individual has rights that are not protected under the (F)ederal Constitution, but should be under the New York Constitution, the court will afford that person the greater protection as a matter of state constitutional law. It is simply a matter of fairness and common sense”]; NY Const, art I, § 12). The Court has also sought to adopt “‘bright line’ rules [in this area] to guide the decisions of law enforcement and judicial personnel who must understand and implement our decisions in their day-to-day operations” (*P.J. Video*, 68 NY2d at 305). Even where the United States Supreme Court has not spoken, this Court has read our State Constitution to prevent “enormous unsupervised intrusion by the police . . . upon personal privacy,” notwithstanding a possible future federal determination to the contrary (*People v Weaver*, 12 NY3d 433, 445 [2009]).

In light of our prior broad interpretation of our State Constitution, and the uniformity of New York case law that has rejected consideration of a mistake of law as part of the probable cause analysis, and because a “violation of a statute . . . triggers the officer’s authority to make the stop and limits the officer’s discretion” (*Robinson*, 97 NY2d at 355), I would find that a stop based on a police officer’s mistake of law violates our State’s Constitution under article I, § 12. The rule has the benefit of promoting precision and predictability in judicial review because there would be no need to determine the objective reasonableness of the officer’s mistake of the law. All that would need to be considered is what the law says, thus providing a bright-line rule easily followed by the courts and law enforcement, and ensuring the protection of individual rights.

Such a defined rule would incentivize police to know the law; for why would an officer risk a mistake that would result in a judicial determination that the stop was unlawful at its inception?¹ Moreover, if civilians are required to know the law, I see no reason for expecting less from those charged with enforcing

1. The majority posits that excluding mistakes of law from the probable cause analysis “[will] do little to protect the rights of the accused or encour-

(n. cont’d)

it. There is a “fundamental unfairness of holding citizens to ‘the traditional rule that ignorance of the law is no excuse,’ while allowing those ‘entrusted to enforce’ the law to be ignorant of it” (*United States v Chanthasouxat*, 342 F3d 1271, 1280 [11th Cir 2003] [citation omitted], citing *Bryan v United States*, 524 US 184, 196 [1998]). Certainly the police have labored under this approach without significant damage to public security and safety (*see Heien*, 574 US at —, 135 S Ct at 544 [Sotomayor, J., dissenting] [noting there was “no indication that excluding an officer’s mistake of law from the reasonableness inquiry has created a problem for law enforcement in the overwhelming number of Circuits which have adopted that approach”]). Since police are entrusted with authority to safeguard all members of our society, we should not adopt a rule that rewards an error concerning the legitimacy of the officer’s exercise of such power.

I also find no basis for the majority’s conclusion that the rule against mistakes of law fails to promote precision and predictability simply on the majority’s assumption that “it [is] not always . . . easy to classify a particular mistake as one of law or fact” (majority op at 139, citing *People v Abdul-Akim*, 27 Misc 3d 1220[A], 2010 NY Slip Op 50814[U], *9 [Sup Ct, Kings County 2010]). Nothing suggests that courts have had difficulty, as a general matter, in categorizing an officer’s mistake as one that turns on a misunderstanding of the law, or on incorrect facts. Courts are regularly called upon to determine legal matters and there is no reason to think that courts will be any less able to do so in an area that had been well-settled until today.

While the majority asserts, by way of example, that the mistake at issue in this appeal could be of fact or law (majority op at 139 n 5), this case actually illustrates why there is no problem, of a constitutional dimension, in distinguishing between the two. First, both lower courts easily concluded that defendant’s case involves a question of law, undermining any suggestion that this was a particularly challenging decision. Second, if there is any lack of clarity here it is not due to the

age officers to better learn the law” (majority op at 139). This argument relies on the majority’s underlying flawed premise that objectively reasonable mistakes of law involve only complex matters which officers simply should not be expected to learn. Of course those are exactly the types of mistakes that we should incentivize officers to avoid by excluding evidence obtained as a result of such errors. Moreover, if a law is simply too difficult for an officer to understand or learn, why should we expect those without legal training to fare any better?

inherent difficulty of distinguishing a mistake of law from fact, but to the parties' stipulation, which in this case failed to address what the officer believed. In other words, if we do not know whether he knew the legal requirements of the Vehicle and Traffic Law that is only because we lack information readily available from the officer, not because there is a problem with the rule.

If the decision today were limited to the validity of the stop alone, it might not be so troubling, but that is not the case. The majority concludes that the evidence obtained as a direct consequence of the stop is admissible against the defendant (majority op at 140). In so doing the majority has limited the reach of this Court's prior holding in *People v Bigelow*, which rejected, on state constitutional grounds, a good faith exception to the exclusionary rule which the United States Supreme Court had previously adopted (*Bigelow*, 66 NY2d at 426-427, citing *United States v Leon*, 468 US 897 [1984]). The *Bigelow* Court reasoned that "if the People are permitted to use the seized evidence, the exclusionary rule's purpose is completely frustrated, a premium is placed on the illegal police action and a positive incentive is provided to others to engage in similar lawless acts in the future" (*id.* at 427). This analysis applies with equal force to an officer's mistake of law, and provides an additional reason to reject such mistake as a viable consideration in determining the existence of probable cause in support of the admission of unlawfully obtained evidence (*see United States v Lopez-Soto*, 205 F3d 1101, 1106 [2000] [excusing an officer's reasonable mistake of the law would "defeat the purpose of the exclusionary rule, for it would remove the incentive for police to make certain that they properly understand the law that they are entrusted to enforce and obey"]²).

2. The majority contends that the admission of evidence resulting from a mistake of law does not limit *Bigelow* because if the mistake fails the objectively reasonable test, the evidence will be suppressed (majority op at 134 n 2). However, that reading of *Bigelow* ignores the overarching concern that underlies the decision, namely that we should adopt rules that deter police misconduct. Moreover, the majority ignores the intersection of good faith and objectively reasonable mistakes of law. Under *Bigelow*, evidence obtained by an officer who acts mistakenly, but in good faith, is inadmissible, regardless of the objectively reasonable character of the officer's mistake. In contrast, under the majority's approach, evidence is admissible if the officer acts in good faith and the mistake is deemed objectively reasonable.

III.

The majority relies on *People v Estrella* (10 NY3d 945 [2008], *cert denied* 555 US 1032 [2008]) for its argument that we have previously rejected the distinction between mistakes of law and fact, seemingly suggesting it does not break new ground in defendant's case. In my opinion, the majority attaches an overly generous significance to *Estrella*, and ignores the main distinction between that case and this appeal.

In *Estrella*, police stopped a vehicle with Georgia license plates believing that its windows were excessively tinted in violation of Vehicle and Traffic Law § 375 (12-a) (b) (4) (*People v Estrella*, 48 AD3d 1283, 1284-1285 [4th Dept 2008]). As it turned out the police were incorrect because the tinting was subject to Vehicle and Traffic Law § 250 (1). That section excludes from New York's registration and equipment requirements certain nonresident owners of out-of-state vehicles that are in compliance with corresponding requirements of the state in which the owner resides (*id.* at 1285). The Appellate Division concluded that the officer had probable cause to stop the driver, and County Court properly denied the defendant's request to suppress the evidence seized from the vehicle as a result of the stop (*id.* at 1284-1285).

This Court affirmed in a cursory, five sentence memorandum opinion. The majority here contends that the Court in *Estrella* based its decision on the officer's reasonable belief, without distinguishing between mistakes of law and fact (majority op at 135-136). The majority reaches this conclusion based on the *Estrella* Court's statement that "[t]he officer was not chargeable with knowledge that the tinting was legal in Georgia, where the car was registered" (*Estrella*, 10 NY3d at 946). Such a sweeping interpretation of *Estrella*, however, cannot be read into this one sentence.

Certainly, no Appellate Division interpreted this Court's memorandum decision in *Estrella* to have eliminated the well-established distinction between mistakes of law and fact. Post-*Estrella*, all the Appellate Division Departments, including the Fourth Department, continued to apply this distinction (*see e.g. Rose*, 67 AD3d at 1449; *McDonell*, 77 AD3d at 1380; *MacKenzie*, 61 AD3d at 703).

Moreover, because at the time this Court affirmed the Fourth Department in *Estrella*, the lower courts consistently applied the mistake of law/mistake of fact distinction, if this Court had

intended to upset the approach in this state, it most certainly would have done so in an opinion that fully articulated the grounding for its decision (*see People v Jones*, 24 NY3d 623 [2014] [noting that the Court was departing with its previous case law and explaining the grounds for that departure]; *People v Damiano*, 87 NY2d 477, 489 [1996] [long-settled rules open to reexamination where “some evidence that the policy concerns underlying them are outdated or if they have proved unworkable”]; *People v Bing*, 76 NY2d 331, 338 [1990] [recognizing Court’s obligation to justify a significant departure from its prior case law]). Instead, the Court issued an opinion devoid of citations to any law, in support of what most certainly would have been considered a deviation from New York’s long-standing approach.

In my opinion, *Estrella* is more properly understood to limit the laws for which an officer is responsible—“chargeable with knowledge” in the words of the *Estrella* Court—to those of the State of New York. That is a suitable place to draw the line regarding the legal knowledge expected of an officer.³ Otherwise, it would place undue demands on a police officer to have to be familiar with the laws of every other jurisdiction, when those laws relate to the minutia of technical requirements imposed on an automobile. Automobile window tinting in *Estrella* is but one example.

The same cannot be said for a New York officer’s understanding of New York law. We expect an officer to know the law of this state with precision because that law is the source of the officer’s authority. We should not excuse an error about the basic foundation of an officer’s power, or discourage better comprehension of it. Moreover, if, as the majority concludes, we cannot depend on an officer charged with enforcement powers to know the law, we place in question the integrity of our criminal justice system. That strikes me as an unacceptable outcome of the majority’s approach.

IV.

Here, defendant did not violate the Vehicle and Traffic Law. Therefore, I dissent because under the State Constitution, the

3. The majority incorrectly characterizes my argument about *Estrella* as concerning “which mistakes of law” are objectively reasonable (majority op at 138 n 4). Unlike the majority, I believe *Estrella* focused on the more general and rational point that New York officers should be expected to know New York law. Whether a mistake concerning a foreign jurisdiction’s law is objectively reasonable is beside the point.

officer had no probable cause to stop her vehicle, and the courts below properly suppressed evidence obtained pursuant to the stop.

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM and FAHEY concur; Judge RIVERA dissents in an opinion.

Order reversed, defendant's motion to suppress denied and case remitted to Village Court, Village of Newark, for further proceedings in accordance with the opinion herein.

[31 NE3d 80, 8 NYS3d 618]

WALTER R. BEARDSLEE, Individually and as Co-Trustee of the
DRUSILLA W. BEARDSLEE FAMILY TRUST, et al., Respondents,
v INFLECTION ENERGY, LLC, et al., Appellants.

Argued February 18, 2015; decided March 31, 2015

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Under New York law, and in the context of an oil and gas lease, did the State’s Moratorium amount to a *force majeure* event? 2. If so, does the *force majeure* clause modify the habendum clause and extend the primary terms of the leases?”

HEADNOTE**Gas and Oil — Gas and Oil Lease — Primary Term of Lease — Effect of Force Majeure Clause**

An express force majeure clause found in oil and gas leases between plaintiffs, various landowners, and defendant energy companies did not modify the primary term of the habendum clause of the leases for purposes of extending the leases during that term based on a State-imposed moratorium on the combined use of high-volume hydraulic fracturing and horizontal drilling. An agreement for the production of oil and gas is guided by basic principles of contract law and must be construed with reference to both the intention of the parties and the known practices within the industry. Here, each lease contained an identical term, or habendum, clause under which the interests conveyed by the leases existed for a five-year primary term, followed by an open secondary term so long as the land was operated by the lessee in the production of oil and gas. The force majeure clause stated that if and when drilling or other operations were delayed or interrupted as a result of some order, rule or necessity of the government, “the time of such delay or interruption shall not be counted against Lessee, anything in this lease to the contrary notwithstanding.” Inasmuch as the habendum clause did not incorporate the force majeure clause by reference or contain any language expressly subjecting it to other lease terms, and the language in the force majeure clause regarding the effect of the delay did not refer to the habendum clause with specificity, the habendum clause was not expressly modified or enlarged by the force majeure clause. Moreover, because the force majeure clause was not in conflict with the provisions of the primary term of the habendum clause, the words “anything in this lease to the contrary notwithstanding” alone were insufficient to compel the conclusion that the force majeure clause modified the primary term. The force majeure clause

expressly referred to a delay or interruption in drilling or production and therefore only conflicted with and modified the secondary term of the habendum clause. Accordingly, the leases terminated at the conclusion of their primary terms.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Acts of God § 13; AM JUR 2d, Deeds §§ 16, 206, 239–241; AM JUR 2d, Gas and Oil §§ 83, 97, 211.
NY JUR 2d, Contracts §§ 394, 408, 409; NY JUR 2d, Deeds § 12; NY JUR 2d, Mines and Minerals §§ 26, 32, 81.
WILLISTON ON CONTRACTS (4th ed) §§ 50:57, 50:58.

ANNOTATION REFERENCE

Gas and oil lease force majeure provisions: construction and effect. 46 ALR4th 976.

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POINTS OF COUNSEL

The West Firm, PLLC, Albany (Thomas S. West and Cindy Monaco of counsel), for appellants. I. The moratorium is a “force majeure” event. (*Nickerson v Te Winkle*, 161 AD2d 1123; *Envirogas, Inc. v Consolidated Gas Supply Corp.*, 98 AD2d 119; *Matter of Wallach v Town of Dryden*, 23 NY3d 728; *Harriscom Svenska, AB v Harris Corp.*, 3 F3d 576; *Cifarelli v Village of Babylon*, 93 F3d 47; *LaBarte v Seneca Resources Corp.*, 285 AD2d 974; *Babcock & Wilcox Co. v Allied-General Nuclear Servs.*, 161 AD2d 350.) II. The oil and gas leases are extended due to the moratorium. (*Bank of N.Y. v First Millennium, Inc.*, 607 F3d 905; *Wiser v Enervest Operating, L.L.C.*, 803 F Supp 2d 109; *JFK Holding Co. LLC v City of New York*, 21 NY3d 722; *Dolman v United States Trust Co. of N.Y.*, 2 NY2d 110; *Croxton Collaborative Architects, P.C. v T-C 475 Fifth Ave., LLC*, 113 AD3d 479; *H. Fox & Co., Inc. v Blumenfeld*, 24 AD3d 722.)

Coughlin & Gerhart, LLP, Binghamton (Peter H. Bouman and Robert R. Jones of counsel), for respondents. I. Site-specific environmental review was required pursuant to New York’s environmental laws and regulations before the energy companies could use high-volume hydraulic fracturing under the

leases. (*Wiser v Enervest Operating, L.L.C.*, 803 F Supp 2d 109; *Conkling v Krandusky*, 127 App Div 761; *Phibro Energy, Inc. v Empresa De Polimeros De Sines Sarl*, 720 F Supp 312.) II. New York's environmental laws and regulations cannot form the basis of a force majeure event in this case. (*Macalloy Corp. v Metallurg, Inc.*, 284 AD2d 227.) III. Drilling for natural gas and oil has not been stopped in New York, so there is no force majeure event. IV. Force majeure cannot be used to give the energy companies greater rights under the leases. (*United Equities Co. v First Natl. City Bank*, 52 AD2d 154; *Commonwealth Edison Co. v Allied-General Nuclear Servs.*, 731 F Supp 850; *Team Mktg. USA Corp. v Power Pact, LLC*, 41 AD3d 939; *In re Cablevision Consumer Litig.*, 864 F Supp 2d 258; *Eaton v Allegany Gas Co. [Ltd.]*, 122 NY 416; *Conkling v Krandusky*, 127 App Div 761.) V. The energy companies' claim that high-volume hydraulic fracturing is the only "commercially viable" method to produce gas is not relevant. (*Howard v Hoffeld*, 221 NY 546; *Wiser v Enervest Operating, L.L.C.*, 803 F Supp 2d 109; *Envirogas, Inc. v Consolidated Gas Supply Corp.*, 98 AD2d 119; *Aukema v Chesapeake Appalachia, LLC*, 904 F Supp 2d 199; *Kel Kim Corp. v Central Mkts.*, 131 AD2d 947, 70 NY2d 900; *Raner v Goldberg*, 244 NY 438; *Perlman v Pioneer Ltd. Partnership*, 918 F2d 1244; *Madeirense do Brasil S/A v Stulman-Emrick Lbr. Co.*, 147 F2d 399.) VI. The force majeure clause does not alter the special limitation of the habendum clause. (*Wiser v Enervest Operating, L.L.C.*, 803 F Supp 2d 109; *Eaton v Allegany Gas Co. [Ltd.]*, 122 NY 416; *Natural Gas Pipeline Co. of Am. v Zimmer*, 447 F Supp 66, 576 F2d 106; *City of Rome v Vescio*, 58 AD2d 990, 45 NY2d 980; *Witter v Taggart*, 78 NY2d 234; *Mott v Richtmyer*, 57 NY 49; *Buckmaster v Thompson*, 36 NY 558; *Genesee Conservation Found. v Oatka Fish & Game Club*, 63 AD2d 1115; *Bannin v Peck*, 266 App Div 209.)

OPINION OF THE COURT

PIGOTT, J.

The United States Court of Appeals for the Second Circuit certified to this Court questions relating to oil and gas leases entered into between various New York landowners and energy companies. The questions arise in the context of the energy companies' claim that an express force majeure clause in the subject leases was triggered by events beginning in July 2008, when then-Governor Paterson mandated formal public environmental review to address the impact of the combined use of

high-volume hydraulic fracturing and horizontal drilling. We hold that the force majeure clause does not modify the habendum clause and, therefore, the leases terminated at the conclusion of their primary terms.

I.

The relevant statutory framework and background are explained in detail in the decisions of the Federal District Court (*Beardslee v Inflection Energy, LLC*, 904 F Supp 2d 213 [ND NY 2012]) and the Second Circuit (761 F3d 221 [2d Cir 2014]).

Plaintiffs, various landowners in Tioga County, entered into separate oil and gas leases with Victory Energy Corporation, whereby plaintiffs leased to Victory “the rights of drilling, producing, and otherwise operating for oil and gas and their constituents, including the right to conduct geophysical, seismic and other exploratory tests,” from under their properties for a nominal annual fee or, if drilling commenced, the right to receive a royalty on gross proceeds. The majority of the leases were executed in 2001, although leases were also signed in 2002, 2004, 2005, 2006, and 2009.¹ Victory shared its leasehold interests with MegaEnergy, Inc. In July 2010, defendant Inflection Energy, LLC assumed from MegaEnergy, Inc. the operational rights and responsibilities under most of the leases.

Each of the leases contains an identical term clause, also known as a habendum clause,² which establishes the primary and definite period during which the energy companies may exercise the drilling rights granted by the leases. Specifically, the leases’ habendum clause provides: “It is agreed that this lease shall remain in force for a primary term of FIVE (5) years from the date hereof and as long thereafter as the said land is operated by Lessee in the production of oil or gas.” Under this provision, the interests conveyed by the leases exist for a five-

1. Most of the leases at issue were renewed for additional five-year terms. However, any extension/renewal does not alter the analysis here. At oral argument before this Court, the parties did not dispute that the leases were still in their primary terms in 2008, when the alleged force majeure event occurred.

2. Habendum clauses are typically found in standard oil and gas leases to “establish a definite (or primary) term in which the lessee [is] permitted to develop . . . property, with an option for an indefinite secondary term permitting the lessee to reap the long-term value and return on the money spent developing the property during the primary term” (*Wiser v Enervest Operating, L.L.C.*, 803 F Supp 2d 109, 118 [ND NY 2011] [internal quotation marks omitted]).

year “primary term,” followed by an open secondary term so long as the land is operated by the lessee in the production of oil or gas.

Each lease also contains what the parties refer to as a “force majeure clause.” Generally, a force majeure event is an event beyond the control of the parties that prevents performance under a contract and may excuse nonperformance (*see Kel Kim Corp. v Central Mkts.*, 70 NY2d 900, 902 [1987]). The force majeure clause here provides:

“If and when drilling or other operations hereunder are delayed or interrupted by lack of water, labor or material, or by fire, storm, flood, war, rebellion, riot, strike, differences with workmen, or failure of carriers to transport or furnish facilities for transportation, or as a result of some order, rule, regulation, requisition or necessity of the government, or as the result of any other cause whatsoever beyond the control of Lessee, the time of such delay or interruption shall not be counted against Lessee, anything in this lease to the contrary notwithstanding. All express or implied covenants of this lease shall be subject to all Federal and State Laws, Executive Orders, Rules or Regulations, and this lease shall not be terminated, in whole or in part, nor Lessee held liable in damages for failure to comply therewith, if compliance is prevented by, or if such failure is the result of any such Law, Order, Rule or Regulation.”

On July 23, 2008, then-Governor David Paterson ordered formal public environmental review to address the impact of combined use of high-volume hydraulic fracturing (HVHF)³ (commonly known as “fracking”) and horizontal drilling (2008 Directive). In particular, he directed the New York State Department of Environmental Conservation (DEC) to update and supplement its 1992 generic environmental impact statement (GEIS) on conventional oil and gas exploration (*see*

3. HVHF is “an unconventional drilling technology which involves the injection of more than a million gallons of water, sand, and chemicals at high pressure down and across into horizontally drilled wells as far as 10,000 feet below the surface” (*Beardslee*, 904 F Supp 2d at 216 n 4). “The pressurized mixture causes the rock layer . . . to crack . . . [and the] gas to flow into the well” (*id.*; *see generally Matter of Wallach v Town of Dryden*, 23 NY3d 728, 739 [2014], *rearg denied* 24 NY3d 981 [2014]).

Governor’s Approval Mem, Bill Jacket, L 2008, ch 376 at 5, 2008 NY Legis Ann at 252-253). On December 13, 2010, following the DEC’s issuance of a draft supplemental GEIS (SGEIS), Governor Paterson issued Executive Order No. 41 in which he instructed the DEC to revise the draft SGEIS and address “comprehensively the environmental impacts associated with [HVHF] combined with horizontal drilling” in a final SGEIS (see Executive Order [Paterson] No. 41 [9 NYCRR 7.41]). The Governor also indicated that pursuant to the State Environmental Quality Review Act, “no [HVHF] permits [could] be issued” by the State before “the completion of a Final SGEIS” (*id.*).⁴ In response to these developments, Inflection sent notices of extension to the landowners, asserting that New York’s governmental action constituted a force majeure event under the leases, which purportedly extended the leases’ terms.

On September 7, 2011, the DEC released a revised draft SGEIS, and issued a press release informing the public that “[n]o permits for [HVHF] will be issued until the SGEIS is finalized and [the] DEC issues the required Findings Statement.”

It is undisputed that no operations have been conducted upon the leaseholds, that the energy companies have not produced oil and gas from the properties within the leases’ primary terms, and that no royalties have been paid to the landowners.

II.

In February 2012, after the primary term of the leases had expired, the landowners commenced this declaratory judgment action against Inflection, Victory, and MegaEnergy (collectively, energy companies) in the United States District Court for the Northern District of New York, seeking a declaration that the leases had expired by their own terms. The energy companies answered and counterclaimed for a declaration to the contrary, arguing that each lease was extended by operation of the force majeure clause. In particular, the energy companies referenced the portion of the force majeure clause that states:

“[i]f and when drilling . . . [is] delayed or interrupted . . . as a result of some order, rule, regula-

4. This Court recently acknowledged the existence of a moratorium on “[HVHF] combined with horizontal drilling” (*Wallach*, 23 NY3d at 740 n 1, citing Executive Order [Paterson] No. 41 [9 NYCRR 7.41]).

tion, requisition or necessity of the government, or as the result of any other cause whatsoever beyond the control of Lessee, the time of such delay or interruption shall not be counted against Lessee, anything in this lease to the contrary notwithstanding.”

The energy companies averred that New York’s moratorium on the use of horizontal drilling and HVHF triggered the force majeure clause. The landowners, insisting that no force majeure event had occurred, moved for summary judgment declaring that the leases had expired. The energy companies opposed the motion and cross-moved for summary judgment declaring that the leases’ primary terms were extended by a force majeure event so that the leases were still in full force and effect.

On November 15, 2012, the District Court granted summary judgment to the landowners, declaring that all of the leases had expired by their own terms, and entered judgment accordingly (*see* 904 F Supp 2d 213). The District Court denied the energy companies’ cross motion for summary judgment and dismissed their counterclaims holding that the force majeure clause did not extend the leases.⁵ It declined to rule on whether a force majeure event occurred, stating that even if it did, the force majeure clause would have no effect on the habendum clause and the lease terms because the energy companies did not have an obligation to drill. The District Court also concluded that Governor Paterson’s 2008 Directive did not frustrate the purpose of the leases, because the energy companies could drill using conventional methods, and that the 2008 Directive was foreseeable. The energy companies appealed.

The Second Circuit observed “that this case turns on significant and novel issues of New York law concerning the interpretation of oil and gas leases, a legal field that is both relatively undeveloped in the State and of potentially great commercial and environmental significance to State residents and businesses” (761 F3d 221, 224 [2d Cir 2014]). Accordingly, it certified to this Court, and we accepted, the following questions:

“1. Under New York law, and in the context of an oil and gas lease, did the State’s Moratorium amount to a *force majeure* event?

5. On the same day, the same court and Judge reached the same result with regard to other New York State oil and gas leaseholds in a case presenting similar facts (*see Aukema v Chesapeake Appalachia, LLC*, 904 F Supp 2d 199 [ND NY 2012]).

“2. If so, does the *force majeure* clause modify the habendum clause and extend the primary terms of the leases?” (*Id.* at 232; 23 NY3d 1047 [2014].)

We answer the second certified question, which the Second Circuit characterized as “in some respects more fundamental” (761 F3d at 230), in the negative. The first certified question is therefore academic and need not be addressed.

III.

The construction and interpretation of oil and gas leases is guided by basic principles of contract law (*see Estate of Hatch v NYCO Mins.*, 245 AD2d 746, 747 [3d Dept 1997]), and the parties agree that New York law governs the leases in dispute.

Under New York contract jurisprudence, the intent of the parties controls and if an agreement is “complete, clear and unambiguous on its face[,] [it] must be enforced according to the plain meaning of its terms” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). As this Court has indicated on numerous occasions, “[c]ourts may not ‘by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing’ ” (*Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398, 404 [2009], quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]). Moreover, the analysis should take into account that oil and gas leases “stand on an entirely different basis from any other leasehold agreements” (*Conkling v Krandusky*, 127 App Div 761, 766 [4th Dept 1908], citing *Eaton v Allegany Gas Co. [Ltd.]*, 122 NY 416 [1890]). Such leases are “made in the context of a highly technical industry, which employs distinct terminology used by those in the business” (*Wiser*, 803 F Supp 2d at 117). For these reasons, an agreement for the production of oil and gas must be construed with reference to both the intention of the parties and the known practices within the industry (*see generally* 3 Howard R. Williams & Charles J. Meyers, *Oil and Gas Law* §§ 601, 603, 605 [2003 ed]; 1, 2 W.L. Summers, *The Law of Oil and Gas*, chs 7, 10, 11 [Perm ed 1959]).

In light of these principles, we hold that the *force majeure* clause does not modify the primary term of the habendum clause and, therefore, does not extend the leases. The habendum

dum clause in the leases does not incorporate the force majeure clause by reference or contain any language expressly subjecting it to other lease terms (*see Wiser*, 803 F Supp 2d at 121 [“where . . . the language of the habendum clause clearly makes that provision ‘subject to’ other provisions in the agreement . . . the life of the lease may be subject to modification”]; *see also Sun Operating Ltd. Partnership v Holt*, 984 SW2d 277, 286 [Tex App 1998]). Moreover, the language in the force majeure clause stating that “the time of such delay or interruption shall not be counted against Lessee” does not refer to the habendum clause with specificity. Thus, the habendum clause is not expressly modified or enlarged by the force majeure clause.

The energy companies, however, broadly assert that under New York law the phrase “anything in this lease to the contrary notwithstanding” has consistently been held to mean that, regardless of other contract terms, that clause controls. Accordingly, they insist that the force majeure clause necessarily has the effect of modifying the habendum clause.

As an initial matter, “under New York law, clauses similar to the phrase ‘[n]otwithstanding any other provision’ trump *conflicting* contract terms” (*Bank of N.Y. v First Millennium, Inc.*, 607 F3d 905, 917 [2d Cir 2010] [emphasis added]; *see generally BDC Fin. L.L.C. v Barclays Bank PLC*, 25 NY3d 37 [2015]). Accordingly, the language in the force majeure provision does not supersede all other clauses in the leases, only those with which it is in conflict. Based upon our analysis, because the force majeure clause is not in conflict with the provisions of the primary term of the habendum clause, the words “anything in this lease to the contrary notwithstanding” alone are insufficient to compel the conclusion that the force majeure clause modifies the primary term, as compared to the secondary term, of the habendum clause.

Because the force majeure clause expressly refers to a delay or interruption in drilling or production for any enumerated reason, it follows that the clause only conflicts with and, therefore, modifies the secondary term of the habendum clause, in which the lessee has the obligation to operate in the production of oil or gas, or the lease terminates. Moreover, the second sentence in the force majeure clause, which deals exclusively with governmental regulations, pertains only to the energy companies’ express or implied covenants—the lessee’s obligations. As the energy companies made no express or implied

covenants applicable to the primary term (other than to pay delay rentals, which are not at issue here), the force majeure clause must relate to only continuous drilling/production operations during the secondary term of the leases (*see Aukema*, 904 F Supp 2d at 210; *see generally Eaton v Allegany Gas Co. [Ltd.]*, 122 NY 416, 423 [1890]). Furthermore, this latter sentence in the force majeure clause expressly indicates that the subject clause deals with lease termination, not lease expiration. The corresponding habendum clause provision is its secondary term, which also addresses the conditions under which the leases would terminate, whereas the primary term deals with lease expiration.

Thus, we interpret the “notwithstanding” language of the force majeure clause as excusing the energy companies’ performance only during the secondary term of the habendum clause, during which operations in the production of oil and gas would be necessary for leases to remain viable. To read the force majeure clause as applying to the primary term would be to interpret the leases in a manner contrary to the plain intent of the parties.

Our holding is consistent with out-of-state “oil” jurisdictions, in which courts, applying similar contract principles, have held that language identical or similar to the force majeure clause at issue here cannot extend the primary term set forth in the habendum clause (*see Gulf Oil Corp. v Southland Royalty Co.*, 496 SW2d 547, 552 [Tex 1973]; *see also San Mateo Community Coll. Dist. v Half Moon Bay Ltd. Partnership*, 65 Cal App 4th 401, 412, 76 Cal Rptr 2d 287, 293 [1998]; *Natural Gas Pipeline Co. of Am. v Zimmer*, 447 F Supp 66, 70 [ND Tex 1977], *affd* 576 F2d 106 [5th Cir 1978]; *cf. Sun Operating Ltd. Partnership v Holt*, 984 SW2d 277, 282-283 [Tex App 1998]). And, as observed by our sister courts, had the energy companies intended for the habendum clause to be subject to other provisions of the contract, they could have expressly so indicated (*see Kirker v Shell Oil Co.*, 104 Cal App 2d 497, 503, 231 P2d 905, 909 [1951]).

Accordingly, the first certified question need not be answered as academic, and the second certified question should be answered in the negative.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the

questions by this Court pursuant to section 500.27 of this Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, second certified question answered in the negative and first certified question not answered as academic.

[31 NE3d 86, 8 NYS3d 624]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DARIUS
DUBARRY, Appellant.

Argued February 11, 2015; decided April 7, 2015

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 12, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Neil Jon Firetog, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree (two counts), attempted murder in the second degree, and criminal possession of a weapon in the second degree.

People v Dubarry, 107 AD3d 822, modified.

HEADNOTES

Crimes — Appeal — Preservation of Issue for Review — Challenge to Jury Instructions

1. In the prosecution of defendant for fatally shooting a bystander during a gunfight between defendant and his codefendant, defendant's challenge to the jury instructions directing the jury to consider depraved indifference murder and, irrespective of its verdict on that count, to then consider intentional murder was preserved for appellate review. The record established that the trial court considered depraved indifference and intentional murder as separate crimes that the jury must independently consider. During the charge conference the trial court stated that there was a "distinct difference in the crimes." Later, in response to defendant's concerns as to whether the verdict sheet should direct the jury to consider depraved indifference murder if it found defendant guilty of intentional murder, the court responded, "I think they have to. It's a totally different separate element." Those statements, and the court's eventual submission of the counts in the conjunctive established the court's rejection of alternative charges.

Crimes — Murder — Depraved Indifference Murder Charged in Conjunction with Intentional Murder on Transferred Intent Theory

2. A defendant cannot be convicted of both depraved indifference murder and intentional murder on a transferred intent theory when the defendant kills one person in the course of attempting to kill another. Accordingly, the trial court in defendant's murder prosecution erroneously submitted to the jury both charges in the conjunctive with respect to the same victim rather than in the alternative, where defendant fatally shot a bystander during a gunfight between defendant and his codefendant. The transferred intent theory permits a jury to find a defendant guilty of intentional murder, even though technically lacking an intentional state of mind with respect to the actual victim. Whether based on the defendant's conscious objective towards

the intended victim, or on a transferred intent theory directed at a different, and actual, victim, defendant's conviction depends on a jury finding that defendant harbored the requisite intentional mental state. Defendant cannot then also be guilty of the same murder premised on a depraved state of mind. Moreover, defendant's state of mind is a matter for the jury, and depraved indifference is a culpable mens rea, distinct from the mens rea required for intentional murder. Permitting conjunctive charges of depraved indifference and intentional murder based on transferred intent absolves the jury of rendering a verdict based on a proper determination of the defendant's state of mind.

Crimes — Witnesses — Unavailability of Witness — Defendant's Misconduct

3. In a murder prosecution arising out of a gunfight in which defendant asserted a justification defense, the trial court erred in admitting into evidence the grand jury testimony of an unavailable witness that he saw defendant fire the first shot, where the witness refused to testify at trial because of threats against his family and the court improperly found that defendant's own conduct procured the witness's unavailability. Generally, the grand jury testimony of an unavailable witness is inadmissible as evidence-in-chief. However, where the People establish that a witness is unwilling to testify due to the defendant's own conduct, or by the actions of others with the defendant's knowing acquiescence, defendant forfeits the right to confrontation, and such out-of-court statements are admissible. Here, the witness identified members of defendant's religious congregation as the source of the threats to his family, but provided no evidence linking defendant to the threats. The People also failed to submit evidence that defendant communicated with anyone about the witness and his possible testimony, or that defendant had the opportunity to arrange and orchestrate any threats against the witness's family. As the witness's testimony directly contradicted defendant's testimony, it had an irrefutable damaging effect on defendant's justification defense.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1081, 1085, 1096; AM JUR 2d, Evidence §§ 906, 944; AM JUR 2d, Homicide §§ 11, 41, 44, 45, 64, 88.

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:118, 194:136, 194:150.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 24.8.

NY JUR 2d, Criminal Law: Procedure §§ 2091, 2092, 2094, 2108, 2109, 2111, 2230, 2782, 2783, 2787, 2788; Criminal Law: Substantive Principles and Offenses §§ 504, 510, 512, 592.

ANNOTATION REFERENCE

Admissibility or use in criminal trial of testimony given at preliminary proceeding by witness not available at trial. 38 ALR4th 378.

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POINTS OF COUNSEL

Appellate Advocates, New York City (*Denise A. Corsi* and *Lynn W.L. Fahey* of counsel), and *Darius Dubarry*, pro se, for Darius Dubarry, appellant. I. Appellant was deprived of due process when the court submitted intentional and depraved indifference murder with respect to the same victim in the conjunctive rather than in the alternative, resulting in his conviction of both crimes. (*People v Suarez*, 6 NY3d 202; *People v Wall*, 29 NY2d 863; *People v Gallagher*, 69 NY2d 525; *People v Molina*, 79 AD3d 1371; *People v Fernandez*, 88 NY2d 777; *People v Perez*, 45 NY2d 204; *People v Haney*, 30 NY2d 328; *People v Trappier*, 87 NY2d 55; *People v Robinson*, 75 NY2d 879; *Matter of Ward v New York State Div. of Parole*, 26 AD3d 712.) II. The prosecution presented legally insufficient evidence to convict appellant of depraved indifference murder, as charged to the jury, because it failed to establish that he and his codefendant agreed to engage in mutual combat. (*People v Prindle*, 16 NY3d 768; *Jackson v Virginia*, 443 US 307; *People v Malagon*, 50 NY2d 954; *People v Bell*, 48 NY2d 913; *People v Russell*, 91 NY2d 280; *People v Ficarrota*, 91 NY2d 244; *People v La Belle*, 18 NY2d 405; *People v Cabey*, 85 NY2d 417; *People v Rosario*, 292 AD2d 324; *People v Cintron*, 95 NY2d 329.) III. The admission of an eyewitness's grand jury testimony violated appellant's Sixth Amendment right to confrontation because there was no clear and convincing evidence that appellant facilitated or knowingly acquiesced in purported threats made by an unidentified person under unknown circumstances. (*People v Sirois*, 92 AD2d 618; *Matter of Holtzman v Hellenbrand*, 92 AD2d 405; *Crawford v Washington*, 541 US 36; *People v Green*, 78 NY2d 1029; *People v Gonzalez*, 54 NY2d 729; *People v Geraci*, 85 NY2d 359; *People v Cotto*, 92 NY2d 68; *People v Maher*, 89 NY2d 456; *People v Hamilton*, 127 AD2d 691; *People v Johnson*, 250 AD2d 922.) IV. The prosecution's misrepresentation of material testimony during closing arguments, to wit, that the defendant admitted through his own trial testimony "that he intended to kill his codefendant," coupled with the court's refusal to grant a mistrial, or even give a curative instruction, in light of defense counsel's strenu-

ous objection and repeated requests for a mistrial, deprived appellant of his state and federal right to a fair trial. (*People v Miller*, 149 AD2d 439; *People v Lovello*, 1 NY2d 436; *People v Levandowski*, 8 AD3d 898.) V. The prosecution exceeded the bounds of legitimate advocacy by resorting, during summation, to repeatedly characterizing the appellant's trial testimony as fraught with lies and appellant's witnesses' trial testimony as unworthy of belief. (*People v Smith*, 97 NY2d 324; *People v White*, 57 NY2d 129; *People v Fisher*, 18 NY3d 964.)

Kenneth P. Thompson, District Attorney, Brooklyn (*Thomas M. Ross* and *Leonard Joblove* of counsel), for respondent. I. Defendant failed to preserve for appellate review his claim that the counts of depraved indifference murder and intentional murder should not have been submitted in the conjunctive. In any event, the submission of those counts in the conjunctive was proper because those counts involved different culpable mental states with respect to different results. (*People v Carter*, 7 NY3d 875; *People v Page*, 63 AD3d 506; *People v Mills*, 214 AD2d 423; *People v Johnson*, 176 AD2d 818, 80 NY2d 798; *People v Russell*, 91 NY2d 280; *People v McManus*, 67 NY2d 541; *People v Suarez*, 6 NY3d 202; *People v Trappier*, 87 NY2d 55; *People v Ramos*, 19 NY3d 133; *Matter of Suarez v Byrne*, 10 NY3d 523.) II. Defendant failed to preserve for appellate review his claim that the evidence was legally insufficient to support his conviction of depraved indifference murder. In any event, the evidence was legally sufficient to support the conviction. (*People v Hawkins*, 11 NY3d 484; *People v Gray*, 86 NY2d 10; *People v Becoats*, 17 NY3d 643; *People v Carncross*, 14 NY3d 319; *People v Russell*, 91 NY2d 280; *People v Hampton*, 21 NY3d 277; *People v Bailey*, 13 NY3d 67; *People v Contes*, 60 NY2d 620; *People v Ford*, 66 NY2d 428; *People v Malizia*, 62 NY2d 755.) III. The witness's grand jury testimony was properly admitted at trial because clear and convincing evidence established that defendant caused the witness's unavailability as a witness. In any event, any error in the admission of the grand jury testimony was harmless. (*People v Geraci*, 85 NY2d 359; *People v Cotto*, 92 NY2d 68; *Matter of Holtzman v Hellenbrand*, 92 AD2d 405; *People v Prochilo*, 41 NY2d 759; *People v Henderson*, 13 NY3d 844; *People v Pagan*, 88 AD3d 37; *People v Edwards*, 261 AD2d 260; *People v C.M.*, 161 Misc 2d 574; *People v Joy*, 133 Misc 2d 779; *People v Crimmins*, 36 NY2d 230.) IV. Defendant's summation claim is unpreserved for appellate review. In any event, the challenged comments were proper, and any impropriety was harmless. (*People v Ro-*

mero, 7 NY3d 911; *People v Harris*, 98 NY2d 452; *People v Tardbania*, 72 NY2d 852; *People v LaValle*, 3 NY3d 88; *People v Adams*, 93 AD3d 734; *People v Santiago*, 22 NY3d 740; *People v Brown*, 17 NY3d 742; *People v Ashwal*, 39 NY2d 105; *People v Bailey*, 58 NY2d 272; *People v Melendez*, 11 AD3d 983.)

OPINION OF THE COURT

RIVERA, J.

This appeal presents the novel question of whether defendant may be subject to multiple liability for a single homicide under a “transferred intent” theory, where defendant kills one victim in the course of attempting to kill someone else. We conclude that defendant cannot be convicted of depraved indifference murder and intentional murder on a transferred intent theory in a case involving the death of the same person. Therefore, the trial court erroneously submitted to the jury both charges in the conjunctive rather than in the alternative. We also hold that admission into evidence of certain grand jury statements of a non-testifying witness violated defendant’s Sixth Amendment right to confrontation. The Appellate Division order should be modified, and a new trial ordered on the intentional murder, depraved indifference murder, and attempted murder counts.

I.

The underlying criminal prosecution of defendant Darius Dubarry stems from the fatal shooting of a bystander during a gunfight between defendant and codefendant Herburtho Benjamin. At trial, defendant admitted shooting at Benjamin, but claimed Benjamin was the aggressor and that defendant acted in self-defense.

According to the testimony presented by the People, Benjamin and approximately 10 men went to a residential building in Brooklyn, New York, looking for someone who had previously assaulted one of the men. While they were standing inside the lobby they saw defendant walk down the staircase. Defendant, a member of the Lek Lekah Israelites, had just left Sabbath services when he, in turn, saw the men. After defendant walked by, someone in the group said, “That’s him.” Benjamin and the others then followed defendant outside, and dispersed on the street.

Several of the men in the group testified that once outside they saw defendant in front of the building, and observed de-

defendant and Benjamin pull out guns and shoot at one another. The People also submitted videotape footage from the building depicting the shootout and defendant extending his arm to fire a gun before he reentered the building. The forensic evidence established that one of the bullets fired by defendant fatally struck the victim, who was uninvolved in the events and innocently standing a few buildings away from the shooting.

Soon after the shooting, defendant left the scene, and approximately a week later the investigating detectives located him listed under an assumed name in a hotel in Georgia. Defendant was taken to a local sheriff's office where he waived his *Miranda* rights and provided oral and written statements to the New York detectives. In these statements defendant explained that on the day of the shooting he was leaving services when he saw several men in the lobby. The men then followed him outside where he was confronted by Benjamin who pointed a gun at him. Defendant claimed he heard a click, and then a shot. Defendant then shot back at Benjamin and ran into the building.

In addition to this evidence, the People sought to present eyewitness testimony of one of the building's residents who had previously testified before the grand jury that he saw defendant fire the initial shot at Benjamin. However, during the course of the trial the witness refused to testify because of threats against his family. Outside of the jury's presence the court held a *Sirois* hearing to determine whether defendant procured the witness's refusal by threats or violence.¹

At the hearing, the witness recounted how just the day before, his brother and sister visited him and told him that they were "getting hostility around the neighborhood" because he "was making a statement against the defendants." Specifically, his brother told him that the Israelites thought the witness was a "snitch." His sister similarly informed him that someone had told her that the Israelites suspected the witness of snitching and that the Israelites were "serious." The witness stated that his siblings' demeanor during the visit indicated to him that these were indeed threats.

1. At a *Sirois* hearing, named after the defendant in the criminal case considered in *Matter of Holtzman v Hellenbrand* (92 AD2d 405 [2d Dept 1983]), *People v Sirois*, the court determines whether the People have established that defendant's misconduct induced a witness's unlawful refusal to testify. Where the People meet their burden, the defendant is "deemed to have waived any objection to the admissibility of the witness' prior Grand Jury testimony" (*Matter of Holtzman*, 92 AD2d at 415).

The witness further informed the court that he was fearful because his family still lived in the neighborhood where the shooting occurred, and he thought his brother and sister would be hurt if he testified. He also said that he had not told anyone that he had cooperated and he did not even know until that day that the People intended to call him at trial. In response to the court's question, the witness, who was incarcerated in a federal detention center on an unrelated matter, claimed that even if held in contempt, and additional time was added to his sentence, he would not testify against defendant.

Based on this testimony the court concluded that "these threats have been made, that the witness believes that if he does testify concerning the events . . . his family is in harm's way and that his refusal to testify is based upon these threats and these threats solely." The court also determined that it could not compel the witness to testify because he was serving a federal sentence. The court then recalled the jurors, and over defendant's objection, allowed the prosecutor to read the witness's grand jury testimony into evidence.

According to that testimony, on the day of the shooting the witness looked out the window of his fifth floor apartment and saw defendant and a group of people walk out of the building. He saw defendant start smoking a cigarette, walk down two steps and then start shooting. The witness stepped back from the window. A few minutes later he again looked out, and this time observed defendant exit the building with one of the Israelites, and then enter a car and drive away. The witness stated that he had seen defendant every week in the building and recognized him as someone who attended the Israelites' services.

Defendant testified on his own behalf, and claimed that Benjamin shot first and for no apparent reason. He explained that he had come into possession of the gun that he used to shoot at Benjamin from a male member of the Israelites' congregation. He stated that on the day of the shooting he was escorting several female members from the services when this member told defendant he was going to handle a problem and showed defendant the gun. Defendant told him to "chill out," took the gun, and said that they would dispose of it when defendant returned from escorting the women out of the building.

Once downstairs defendant saw the men in the lobby and recognized one of them as a resident from the building. He

claimed that he was in front of the building smoking a cigarette when the men followed him outside, and as he turned to reenter the building he heard someone say "Move. Move. Move." When he turned around again he saw Benjamin pointing a gun at him. He claimed he did not know Benjamin and that he froze when he saw the gun. According to defendant, Benjamin pulled the trigger twice, but the gun failed to fire. When Benjamin fired again defendant fired several shots back.

Defendant further testified that he had never handled a gun before the shooting, and did not know what he did with it afterwards. Defendant described how after the gunfight he returned to the apartment where services had been held, and stayed there until he subsequently drove away. Two days later he went to Georgia, out of fear of Benjamin and others in the group who defendant believed were gang members, and so his family would have time to retain counsel. He further claimed that the statements made to the detective in Georgia were coerced.

As relevant to this appeal, at the pre-charge conference and later during discussion of the verdict sheet, the trial court stated that the intentional murder and depraved indifference murder were separate crimes and that the jury had to consider both. Defense counsel also argued during the pre-charge conference that the evidence was insufficient to establish depraved indifference murder based on defendant engaging in mutual combat with Benjamin.

The court thereafter submitted to the jury in the conjunctive depraved indifference murder and intentional murder on a transferred intent theory. In other words, the court instructed the jury to consider depraved indifference murder and, irrespective of its verdict on that count, to then consider intentional murder. Also, the court's instructions on depraved indifference murder required the jury to find, beyond a reasonable doubt, that defendant and Benjamin engaged in mutual combat. The court charged as lesser included offenses to the murder counts first- and second-degree manslaughter. The court also charged the jury on attempted murder in the second degree, attempted assault in the first degree, and criminal possession of a weapon in the second degree. The court charged the defense of justification with respect to intentional murder in the second degree, manslaughter in the first degree, attempted murder in the second degree, and attempted assault in the first degree.

The jury returned guilty verdicts on depraved indifference murder (Penal Law § 125.25 [2]), intentional murder on a transferred intent theory (Penal Law § 125.25 [1]), attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), and criminal possession of a weapon in the second degree (Penal Law § 265.03 [1] [b]). Defendant appealed.

The Appellate Division affirmed (*People v Dubarry*, 107 AD3d 822 [2d Dept 2013]). The Court found the case involved more than one potential victim, thus permitting defendant's convictions on the murder counts based on defendant's different states of mind as regards to each victim. The Appellate Division further concluded the trial court properly admitted the unavailable witness's grand jury testimony because the People established by clear and convincing evidence that the witness's unavailability was procured by defendant's misconduct. The Court rejected the remainder of defendant's claims. A Judge of this Court granted leave to appeal (22 NY3d 1040 [2013]).

II.

Defendant claims the trial court violated his due process rights when it submitted to the jury depraved indifference murder and intentional murder on a transferred intent theory in the conjunctive with respect to the same victim. He contends that where the actual and intended victims are different, conviction on both murder counts unlawfully subjects him to multiple criminal liability for a single homicide. The People respond that the convictions should be affirmed because each murder count requires its own particular culpable mental state and outcome.

[1] As a threshold matter, we reject the People's argument that defendant's challenge to the jury instructions is unpreserved. The record establishes that the trial court considered depraved indifference and intentional murder as separate crimes that the jury must independently consider. During the charge conference the trial court stated that there is a "distinct difference in the crimes." Later, in response to defendant's concerns as to whether the verdict sheet should direct the jury to consider depraved indifference murder if it found defendant guilty of intentional murder, the court responded, "I think they have to. It's a totally different separate element." These statements, and the court's eventual submission of the counts in the conjunctive establish the court's rejection of alternative charges. Thus, defendant's claim is properly before us on this

appeal (CPL 470.05; see *People v Prado*, 4 NY3d 725, 726 [2004]).

On the merits, we agree with defendant that, on the facts of this case, the transferred intent theory cannot be employed to convict him twice for the murder of the same victim. We reach this conclusion based on our reading of the Criminal Procedure Law and the Penal Law, our case law, and the stated purpose of the transferred intent theory.

[2] We begin our analysis with *People v Gallagher*, wherein the Court held that in single homicide cases, intentional and depraved murder counts must be submitted to the jury in the alternative (*People v Gallagher*, 69 NY2d 525 [1987]). In *Gallagher*, the trial court denied defense counsel's request to charge intentional murder and depraved mind murder in the alternative² (*id.* at 528-529). The Court concluded that was error, holding these counts inconsistent within the meaning of CPL 300.30 (5), "because guilt of one necessarily negates guilt of the other" (*id.* at 529). As the Court recognized, a finding of intentional murder is inconsistent with a finding that the defendant "unintentionally kill[ed] [the] same victim under circumstances evincing a depraved indifference to human life" (*id.* at 530). Logically, "[t]he act is either intended or not intended; it cannot simultaneously be both" (*id.* at 529; see also *People v Robinson*, 75 NY2d 879 [1990]).

This appeal presents the question whether a defendant may be convicted for both depraved indifference murder and intentional murder based on the theory of transferred intent, as charged in the conjunctive, when the defendant kills one person while intending to kill another. The Appellate Division is divided on this issue. On the one hand the Third Department in *People v Molina* (79 AD3d 1371 [3d Dept 2010]) held that a defendant may be found guilty of *either* intentional murder under the doctrine of "transferred intent," or depraved indifference murder for shooting at an intended victim and killing a bystander. Otherwise, a charge in the conjunctive "impermissibly takes the issue of determining mens rea out of the hands of the jury" and multiplies liability (*Molina*, 79 AD3d at 1374).

2. Prior to 1998, we referred to murder under Penal Law § 125.25 (2) as depraved mind murder. We have since generally referred to murder under this section as depraved indifference murder, without any legal significance attached to the different nomenclature adopted by the Court.

In contrast the Fourth Department concluded in *People v Henderson* (78 AD3d 1506 [4th Dept 2010]) that “defendant may be convicted of both [intentional and depraved indifference crimes] because [defendant] may have possessed different states of mind with regard to different potential victims” (*id.* at 1507). Similarly, the Second Department in *People v Douglas* (73 AD3d 30 [2d Dept 2010]) concluded the rule that a defendant cannot be guilty of intentional and reckless assault for the same individual does not apply where the defendant lacks an intent to injure the victim, but the crime is deemed intentional by operation of law under a theory of transferred intent. The First Department in *People v Monserate* (256 AD2d 15 [1st Dept 1998]) upheld the submission of intentional murder and depraved indifference murder in the conjunctive for the death of a bystander, shot in a gun battle, because by acting intentionally as to his intended victim, defendant caused the death of the bystander with transferred intent, and with depraved indifference. As these decisions show, resolution of this issue depends on the proper interpretation of what constitutes the defendant’s act and state of mind. That, of course, requires an understanding of the terms and purpose of the transferred intent theory.

The transferred intent theory, codified under Penal Law § 125.25 (1), provides that “where the resulting death is of a third person who was not the defendant’s intended victim, the defendant may nonetheless be held to the same level of criminal liability as if the intended victim were killed” (*People v Fernandez*, 88 NY2d 777, 781 [1996]). This theory of intent is founded on a legal fiction, whereby once the state of mind is established the identity of the victim is irrelevant (*Fernandez*, 88 NY2d at 781). The theory is deployed in order to permit a jury to find defendant guilty of intentional murder, even though technically lacking an intentional state of mind with respect to the actual victim (*Fernandez*, 88 NY2d at 781).

The purpose of the transferred intent theory is “to ensure that a person will be prosecuted for the crime [that person] intended to commit even when, because of bad aim or some other ‘lucky mistake,’ the intended target was not the actual victim” (*Fernandez*, 88 NY2d at 781, citing *People v Birreuta*, 162 Cal App 3d 454, 459, 208 Cal Rptr 635, 639 [1984]). Given this stated goal, the Court has cautioned that transferred intent “should not be employed to ‘multiply criminal liability, but to prevent a defendant who has committed all the elements

of a crime (albeit not upon the same victim) from escaping responsibility for that crime' ” (*Fernandez*, 88 NY2d at 782, citing *Ford v State*, 330 Md 682, 714, 625 A2d 984, 999 [1993]). Hence, it should be applied where a defendant “could not be convicted of the crime at issue because the mental and physical elements do not concur as to either the intended or the actual victim” (*Fernandez*, 88 NY2d at 782, citing *Ford*, 330 Md at 711, 625 A2d at 998).

With this understanding, we conclude that this Court’s prior analysis in *Gallagher* applies with equal force when the People proceed on a transferred intent theory. Whether based on the defendant’s conscious objective towards the intended victim, or on a transferred intent theory directed at a different, and actual, victim, defendant’s conviction depends on a jury finding that defendant harbored the requisite intentional mental state. Defendant cannot then also be guilty of the same murder premised on a depraved state of mind.

That the People had at their disposal two bases by which to establish the requisite state of mind—transferred intent and depraved indifference—does not permit the People to seek multiple convictions for the one murder for which the defendant was charged, prosecuted and tried. To hold otherwise is contrary to “the basic principle that a defendant should not be convicted and punished more than once for conduct which, although constituting only one prohibited act, may, because of statutory definition, be theorized as constituting separate criminal acts” (*People v Perez*, 45 NY2d 204, 209 [1978]). Under New York law, defendant is held accountable for the murder he committed, even if it was not the one he set out to complete (Penal Law § 125.25 [1]).

Moreover, defendant’s state of mind is a matter for the jury (see *Gallagher*, 69 NY2d at 530), and we have held depraved indifference is a culpable mens rea, distinct from the mens rea required for intentional murder (*People v Feingold*, 7 NY3d 288, 294 [2006]). Permitting conjunctive charges of depraved indifference and intentional murder based on transferred intent absolves the jury of rendering a verdict based on a proper determination of the defendant’s state of mind.

The People’s main argument in support of the jury charge and defendant’s conviction is that the counts are based on different states of minds and outcomes. According to the People, there is no multiple liability on the facts of this case because

the conviction for intentional murder required establishing beyond a reasonable doubt defendant's intent to cause the death of Benjamin. Whereas, the conviction for depraved indifference murder required establishing beyond a reasonable doubt defendant's recklessness with respect to the creation of a grave risk of death of the victim under circumstances evincing a depraved indifference to human life, resulting in the victim's death.

The People contend that the existence of two outcomes, related to two different individuals, distinguishes this case from *Gallagher*, and instead, places it squarely within the line of analysis adopted in *People v Trappier* (87 NY2d 55 [1995]). In *Trappier*, the Court affirmed a defendant's conviction of attempted first-degree assault and first-degree reckless endangerment for firing three shots in the direction of his intended victim, reasoning that the defendant could have "intend[ed] one result—serious physical injury—while recklessly creating a grave risk that a different, more serious result—death—would [have] ensue[d] from his actions" (*People v Trappier*, 87 NY2d at 59). The *Trappier* Court affirmed the principle that the separate mens rea of intent and recklessness "are not mutually exclusive when applied to different outcomes" (*People v Trappier*, 87 NY2d at 57).

The fundamental error of the People's argument, as illustrated by their misplaced reliance on *Trappier*, is that while there are two distinct states of mind attendant to the murder counts, there is but one outcome in defendant's case: the death of the victim. The People seek to escape this conclusion by avoiding the analytic components of the transferred intent theory. The first step is to establish an intentional conscious objective to cause the death of another. The second step is to establish that the act of shooting resulted in a death. Thus, the legally significant question is whether the People have established the intent to kill, because "the identity of the victim is irrelevant" (*Fernandez*, 88 NY2d at 781). By focusing on the intended victim rather than on the outcome that a murder was committed, the People ignore the essence of intentional murder based on transferred intent. Here, unlike in *Trappier*, we address the application of the separate mens rea of intent and depraved indifference to the same outcome, a bystander's death, and hold that the two are mutually exclusive, even where the former is premised on the doctrine of transferred intent.

We conclude, therefore, that defendant could not be convicted of both intentional and depraved indifference murder, and that a new trial should be ordered on these counts.

III.

Defendant argues that the trial court violated his Federal Sixth Amendment right to confrontation by admitting the unavailable witness's grand jury testimony because the People failed to present evidence that linked defendant to the alleged threats against the witness's family members. Defendant further argues that the error is not harmless because it bolstered evidence that defendant was the aggressor, thus undermining defendant's justification defense. In response, the People contend that admission of the witness's grand jury testimony was proper because the evidence showed that the threats came from defendant's group, the Israelites, and that only the defense had knowledge the witness was scheduled to testify. Therefore, the evidence sufficiently linked defendant to the threats. In any event, the People contend the error was harmless because other evidence established defendant as the person who fired the first shot.

We are unpersuaded by the People's arguments and conclude that this evidence was insufficient to establish defendant's misconduct. Moreover, admission of the grand jury testimony was constitutional error that, on the facts of this case, cannot be construed as harmless.

Defendant has a federal constitutional right to confront the witnesses against him (US Const Amend VI; *Crawford v Washington*, 541 US 36 [2004]). "As a general rule, the Grand Jury testimony of an unavailable witness is inadmissible as evidence-in-chief" (*People v Geraci*, 85 NY2d 359, 365 [1995]; see also CPL 670.20). However, a limited exception to this prohibition, and to the prohibition against the admission of hearsay, applies where the People establish by clear and convincing evidence that "the witness's unavailability was procured by misconduct on the part of the defendant" (*id.* at 366). Where the People establish that a witness is unwilling to testify due to the defendant's own conduct, or by the actions of others "with the defendant's knowing acquiescence," defendant forfeits the right to confrontation, and such out-of-court statements are admissible (*People v Maher*, 89 NY2d 456, 461 [1997]; *Geraci*, 85 NY2d at 366). This exception is based on "the public policy of reducing the incentive to tamper with witnesses" (*id.* at 367-368).

[3] Here, the court determined that the witness's unwillingness to testify was due solely to the defendant, but the witness's testimony and the People's representations at the *Sirois* hearing provide no basis for this conclusion. As the record shows, the witness identified "the Israelites" as the source of the threats to his family, but provided no evidence linking defendant to the threats or anyone who approached his siblings. On the contrary, the witness was unable to say when or where the threats were made. He could not describe who spoke to his brother, or how often and under what circumstances his brother was approached. With respect to his sister, the witness never testified that she was personally approached and threatened. Rather, he testified that she heard from someone that the Israelites believed the witness was snitching. Furthermore, the siblings never told the witness that they feared defendant, or that defendant encouraged the Israelites' suspicions about the witness. Thus, the witness provided no information about any misconduct by defendant, nor did he provide any facts which support an inference that defendant planned or engineered the threats.

Notably, the People failed to submit evidence that defendant communicated with anyone about the witness and his possible testimony, or that defendant "had the opportunity to arrange and orchestrate" any threats against the witness's family (*People v Cotto*, 92 NY2d 68, 77 [1998]). Instead, the People promoted the inference that because they informed the defendants that the witness was going to testify, and the witness himself did not tell anyone that he was cooperating in the case, defendant must have been the source of the Israelites' suspicions about the witness. Even if the inference of a communication were appropriate on this record, the additional inference that the communication was necessarily intended and structured to procure the witness's unavailability is based on nothing more than pure speculation.

We disagree with our dissenting colleagues that in this case a bare, alleged communication revealing the identity of a witness, without some evidence of misconduct, provides a causal link between defendant and the witness's unwillingness to testify (dissenting op at 182). Assuming defendant told someone that the witness was going to testify for the People, that alone does not constitute witness tampering or coercive behavior. In order to infer the misconduct required by our case law, there must be some analytic basis to trace the threats

back to defendant (*see People v Smart*, 23 NY3d 213, 220 [2014] [the “People must demonstrate by clear and convincing evidence that the defendant engaged in misconduct aimed at least in part at preventing the witness from testifying and that (defendant’s) misdeeds were a significant cause of the witness’s decision not to testify”], citing *Geraci*, 85 NY2d at 366-368, and *People v Maher*, 89 NY2d 456, 462 [1997]).

Here, the only possible connection between defendant and the source of the threats is defendant’s association with the Israelite congregation. Yet, more than membership is necessary to establish clear and convincing evidence of misconduct, and in this case the record lacks any facts from which to infer defendant is behind the Israelites’ threats. For example, there is no evidence that defendant controlled the group’s actions, influenced members of the group to act, or that he persuaded any individual Israelite to threaten the witness’s family (*see People v Smart*, 23 NY3d 213, 220 n 3 [2014]; *Maher*, 89 NY2d at 461; *Geraci*, 85 NY2d at 366).

Unlike other cases where the defendant personally seeks to threaten a witness or directs others to do so at the defendant’s behest, or where a defendant knowingly acquiesces, here there is no similar evidence linking defendant to the threats (*see e.g. Smart*, 23 NY3d at 221 [evidence sufficient where recorded telephone conversations revealed that defendant threatened the witness “with violence in response to (the witness’s) avowed willingness to testify and encourag(ed) (the witness) to disappear,” and further enlisted his mother to aid in preventing the witness from testifying, all in furtherance of ensuring the witness’s unavailability]).

While it is possible for the People to satisfy their burden without direct evidence of the defendant’s attempts to dissuade the witness from testifying, there must be more than the conjecture relied upon by the People in defendant’s case. Notwithstanding our dissenting colleagues’ argument to the contrary, we do not adopt a new standard. Indeed, we still adhere to a “flexible approach” to the admission of a witness’s grand jury testimony that accounts for the reality that the People can rarely discover direct evidence of a defendant’s role in making a witness unavailable, and we follow a “pragmatic framework” of inferential reasoning that “rel[ies] heavily on circumstantial evidence and the sequence of events” (*Smart*, 23 NY3d at 224, citing *People v Encarnacion*, 87 AD3d 81, 85-89 [1st Dept 2011], and *People v Clarke*, 55 AD3d 1447, 1448 [4th

Dept 2008], *lv denied* 11 NY3d 923 [2009]). We thus adhere to our long-standing requirement that the People present legally sufficient evidence of circumstances and events from which a court may properly infer that the defendant, or those at defendant's direction or acting with defendant's knowing acquiescence, threatened the witness (*see Smart*, 23 NY3d at 220 n 3; *Maher*, 89 NY2d at 461; *Geraci*, 85 NY2d at 366).

As the Court said in *Geraci*, the standard of proof imposed on the People in these cases is intended to be "high enough to assure a great degree of accuracy in the determination of whether the defendant was, in fact, involved in procuring the witness's unavailability for live testimony" (*Geraci*, 85 NY2d at 368). Here, the People relied on a speculative inference that defendant's association with the Israelites established his involvement in the threats to the witness's family, and in so doing failed to meet their heavy burden.

The constitutional error in admitting the unavailable witness's grand jury testimony requires reversal unless that error was harmless beyond a reasonable doubt, or in other words, " 'there is no reasonable possibility that the error might have contributed to defendant's conviction' " (*People v Smith*, 97 NY2d 324, 330 [2002], citing *People v Crimmins*, 36 NY2d 230, 237 [1975]; *see also Maher*, 89 NY2d at 462). Here, the witness's testimony that defendant fired the first shot directly contradicted defendant's testimony that he shot at Benjamin only after Benjamin shot at him. Thus, the witness's testimony had an irrefutable damaging effect on defendant's justification defense.

The People contend that others provided testimony establishing defendant as the initial shooter. The People rely on the testimony of A.M. and D.S., two of the men who went with Benjamin looking for defendant, and H.G., a resident in a building nearby who viewed the events from his window. However, their testimony failed to establish defendant as the first to shoot.

Only A.M. testified that he saw defendant point a gun and heard defendant fire it, while observing Benjamin with his hands in his pockets. Yet, this testimony pales in comparison to the witness's assertion that he saw defendant fire first. Moreover, A.M.'s credibility was suspect because he initially lied to police about his presence at the shootout. A.M. also has a history of criminal convictions, including for burglary, petit

larceny, attempted assault, and possession of marijuana. Further, unlike the witness who appeared to be an unconnected and unbiased eyewitness, A.M. was part of the group who went to the building looking for defendant. Recognizing these weaknesses, the prosecutor relied on the witness to bolster A.M.'s testimony and argued in summation that the witness's testimony corroborated A.M.'s statements.

The other group member, D.S., testified that he saw Benjamin pull out a gun and heard shots going back and forth, from two separate weapons. His testimony that the first shot he heard came from the direction of the building is a weak basis to conclude defendant was the initial shooter. Even less helpful to the People is H.G.'s testimony, because he looked out of his window only after several shots were fired.

On the basis of the record, we conclude that there is a reasonable possibility that the witness's testimony influenced the jury's verdict on the intentional murder and attempted murder counts, because his testimony was material to the crucial issue of whether defendant was the initial aggressor. Therefore, a new trial should also be ordered on the attempted murder count.

IV.

Defendant's remaining claims are easily disposed of. The claim that the evidence was legally insufficient is without merit because the evidence permitted the inference of a tacit agreement between defendant and Benjamin to engage in mutual combat (*see People v Hines*, 97 NY2d 56, 62 [2001] [evidence legally sufficient where "any valid line of reasoning and permissible inferences could lead a rational person to the conclusion reached by the fact finder on the basis of the evidence at trial, viewed in the light most favorable to the People"], citing *People v Williams*, 84 NY2d 925, 926 [1994]).

Defendant's challenge to the prosecutor's summation is unpreserved and his claim that trial counsel's failure to object to the prosecutor's summation deprived him of effective assistance of counsel is without merit (*see People v Benevento*, 91 NY2d 708, 713-714 [1998] [ineffective assistance of counsel claim requires defendant to show counsel's performance was deficient and that this deficiency prejudiced defendant such that defendant did not receive a fair trial]; *People v Baldi*, 54 NY2d 137, 147 [1981] [test for ineffective assistance whether defendant received meaningful representation]; *People v Gallo-*

way, 54 NY2d 396, 399 [1981] [prosecutor permitted wide latitude in rhetorical comment in closing]). Last, to the extent defendant's pro se brief can be interpreted to challenge the criminal possession conviction, we also hold that claim to be without merit.

V.

The order of the Appellate Division should be modified by remitting to Supreme Court for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

PIGOTT, J. (dissenting in part). The majority chooses to set aside defendant's conviction of attempted murder despite the fact that defendant admitted to firing at his intended target, Herburtho Benjamin. The majority is dissatisfied that the trial court admitted the grand jury testimony of an innocent bystander who, fearing for his family's safety, refused to testify truthfully notwithstanding the fact that the court learned from the witness's *Sirois* hearing testimony that his refusal was induced by defendant. Because the majority's rationale departs from our long-held jurisprudence concerning the admission of grand jury testimony where the People have established to the trial court's satisfaction that the defendant's actions were behind a witness's unavailability, I dissent. Defendant was not deprived of his Sixth Amendment right to confrontation and there is therefore no need for a retrial on the attempted murder count.

The following testimony was given by the eyewitness at the *Sirois* hearing: The day before the witness was set to testify against defendant, two of his siblings, who resided across the street from where the shooting occurred, visited him at a federal penitentiary. At that time, neither the witness nor his siblings knew that he was slated to be a witness for the prosecution. Significantly, just one week earlier the People had disclosed to the defense the witness's identity and the substance of his statements implicating defendant in the shooting.

With no knowledge of his impending testimony, the witness's 23-year-old brother told the witness that he had been approached by the Israelites and that they had accused the witness of "snitching." The witness's sister reported that one Kendrick, who was not an Israelite, told her that Israelite members suspected the witness of snitching, and the brother confirmed her account. Each sibling told the witness that they felt "like they were getting hostility in the neighborhood," and the wit-

ness explained to the court that this caused him concern for the safety of his family, given their proximity to where the shooting occurred and the fact that, because of his incarceration, he was unable to protect them from harm. He also explained that, but for the threats made to his siblings, “it would be a different story” and he’d “be willing to testify.”

These threats apparently worked because, when the witness arrived at court the following day, he refused to testify, telling the court that he “didn’t see anything.” Of course, this particular witness had seen plenty, as evidenced by his grand jury testimony that was eventually read into the record during the People’s case-in-chief. That testimony established that he saw defendant step out of the building, light a cigarette and start shooting. His eyewitness testimony established that defendant started shooting first and corroborated the testimony of other eyewitnesses. Thus, he was not an insignificant witness and, in fact, may have been one of the People’s strongest, which explains why defendant would not have wanted him to testify.

Following appropriate procedure, in light the witness’s refusal to testify, the trial court conducted a *Sirois* hearing, where the witness expressed the reasons for his fear of testifying against defendant as summarized above. The court asked him if he could be compelled to testify if the court held him in contempt and sentenced him to an additional 30 days in jail, but the witness stated that would not change his mind. He was subjected to cross-examination by defense counsel, and remained steadfast in his assertions that threats were made against his family and that he did not want to testify for that reason.

At the conclusion of the hearing, the People argued they had not released the witness’s statements to the defense until the previous week, and it was only reasonable for the court to infer that it was defendant who disclosed to Israelite members that the witness’s anticipated testimony would be damaging to defendant. The trial court agreed, and the Appellate Division affirmed that determination.

Grand jury testimony of an unavailable witness is not admissible as direct evidence against the defendant unless the defendant caused the witness’s unavailability through “violence, threats or chicanery,” thereby precluding the defendant from asserting a violation of his right of confrontation (*People v Cotto*, 92 NY2d 68, 75-76 [1998], citing *People v Geraci*, 85

NY2d 359, 366 [1995]). The reasons for allowing such testimony are twofold: a defendant should not benefit from his own wrong, and the integrity of the adversary process mandates deterring defendants from attempting to squelch the damaging testimony of an adverse witness (*see Geraci*, 85 NY2d at 366, 368). We have deemed such policies “important” enough to allow “circumstantial proof” in light of “the inherently surreptitious nature of witness tampering,” acknowledging that “it would be unrealistic and unnecessarily rigid to adopt a formula that would make it impossible to establish the necessary foundation [for the admission of grand jury testimony] in so many cases” (*id.* at 369). In my view, the majority’s opinion does just that.

The majority emphasizes that the witness could not “describe who spoke to his brother” and that “the witness never testified that [his sister] was personally approached and threatened,” only that she “heard from someone [named Kendrick] that the Israelites believed the witness was snitching” (majority op at 175). The identity of who exactly made the threats, although undoubtedly helpful, is not required to establish defendant’s link to them because “[r]equiring specific identification in situations invariably involving surreptitious conduct permits easy evasion of the principle, and sound public policy, that defendants should neither interfere with witnesses nor benefit from such wrongful conduct” (*Cotto*, 92 NY2d at 77 n 1). A resourceful defendant need not be a card-carrying member of Mensa to realize that it is in his best interest that the identity of the person making the threats remain a secret, lest the People be able to link the defendant to the individual and, by implication, the threats themselves. Thus, merely because the witness and his siblings were unable to identify who actually made the threats does not factor into the equation.

The majority asserts that “the only possible connection between defendant and the source of the threats is defendant’s association with the Israelite congregation” and that “more than membership” is required, such as evidence that defendant “controlled the group’s actions, influenced members of the group to act, or that he persuaded any individual Israelite to threaten the witness’s family” (majority op at 176). But not every instance of witness tampering involves a taped jailhouse telephone conversation where the defendant threatens a specific witness (*see People v Smart*, 23 NY3d 213, 216 [2014]), or a defendant who is out on bail and therefore has “the op-

portunity to orchestrate [the] intimidation” (*Geraci*, 85 NY2d at 369; see *Cotto*, 92 NY2d at 77-78 [defendant out on bail when threats were made and had the opportunity to arrange and orchestrate the threats]). Unlike the defendants in *Geraci* and *Cotto*, who knew the witness’s identity months before trial and, in fact, knew that the witness had witnessed the crime, *defendant in this case had no idea that this particular witness observed the offense and did not know that he was going to testify until the week before trial.*

We have made clear that the absence of direct evidence is not fatal to the People’s proof because “witness tampering is a surreptitious activity rarely admitted by the defendant or the witness” and “few cases will involve direct evidence of this causal link between the defendant’s misconduct and the witness’s refusal to testify or failure to appear in court” (*Smart*, 23 NY3d at 220, citing *Geraci*, 85 NY2d at 369; *Cotto*, 92 NY2d at 76-77). As such, the trial court, after listening to and evaluating the witness’s testimony, is permitted to “infer the requisite causation from the evidence of the defendant’s coercive behavior and the actions taken by the witness in direct response to or within a close temporal proximity to that misconduct” (*Smart*, 23 NY3d at 220-221, citing *Matter of Holtzman v Hellenbrand*, 92 AD2d 405, 415 [2d Dept 1983]).

Here, the People proffered sufficient evidence for the trial court to draw a permissible inference that defendant’s misconduct caused the witness to become unavailable. He explained that he was not aware that he would be testifying until that very morning, and that he had been visited by his siblings the day before, which is when he learned of the threats and feared for his family’s safety. It is irrelevant that the witness’s siblings did not tell him that they feared defendant (majority op at 175). The intended effect is to have the prospective witness refuse to testify or suffer an unexpected memory loss, and, here, the witness’s candid statements to the court, tested by the defense on cross-examination, created the obvious inference that defendant played a role in his refusal to testify.

When the witness’s siblings conveyed their concerns to him, neither he nor they knew that he was scheduled to testify the following day, nor did his brother know that he had previously provided information regarding defendant’s case.

But defendant knew both of these things.

The witness did not discuss his potential testimony with any of his family members or any of the inmates with whom he

was serving time. When the siblings disclosed the threats to him, the defense had been in possession of his statements for a week. Given this testimony, the court reasonably inferred that defendant was behind the threats, and those inferences should not be disturbed by this Court.

The majority states that “[e]ven if the inference of a communication were appropriate on this record”—(and it clearly is)—“the additional inference that the communication was necessarily intended and structured to procure the witness’s unavailability is based on nothing more than pure speculation” (majority op at 175). Given all of the facts, and in light of the witness’s decision to not testify and his stated reasons, the trial court drew the inference that threats made to his family days before trial, after the defense learned of his damaging statements, were caused at the direction of defendant. That is the factfinder’s job, not ours.

The majority insists that it is not adopting a new standard (majority op at 176), but given its interpretation of our jurisprudence in this area, it clearly is. We are turning an evidentiary determination into a trial within a trial. Simply put, the majority’s holding rewards surreptitious conduct by defendants, allowing them to tamper with and intimidate witnesses so long as they do it quietly without leaving a trail that leads to the defendant. The trial court here made a permissible, logical inference, and the Appellate Division agreed. Those determinations should be affirmed.

This witness was an unconnected and unbiased eyewitness. The jury, apparently crediting his grand jury testimony that he was in an apartment across the street from the shooting and witnessed defendant fire the first shot, convicted defendant not only of two counts of second-degree murder, but also of attempted murder in relation to his shooting at Benjamin.

Defendant will receive a new trial on the intentional and depraved indifference murder counts because the trial court erred in charging those counts in the conjunctive. But there is no reason to tamper with the attempted murder count as it relates to defendant’s criminal conduct toward Benjamin. The jury found that defendant, without justification and with the intent to cause Benjamin’s death, attempted to cause his death. The witness’s testimony that defendant shot first supports that conclusion. Now, upon a retrial, that testimony will be withheld from the jury. The grand jury testimony will not be admis-

sible and a new jury will be asked to make a determination without that eyewitness testimony.

Chief Judge LIPPMAN and Judges ABDUS-SALAAM and STEIN concur; Judge PIGOTT dissents in part in an opinion in which Judges READ and FAHEY concur.

Order modified by remitting to Supreme Court, Kings County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[31 NE3d 103, 8 NYS3d 641]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v PAUL
WILLIAMS, Appellant.

Argued February 19, 2015; decided April 7, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 7, 2013. The Appellate Division modified, on the law, and, as modified, affirmed a judgment of the Onondaga County Court (William D. Walsh, J.), which had convicted defendant, upon a jury verdict, of sexual abuse in the first degree, rape in the third degree and criminal impersonation in the first degree. The modification consisted of (1) vacating that part of the judgment convicting defendant of first-degree criminal impersonation and dismissing that count of the superseding indictment, and (2) vacating the sentence imposed on the third-degree rape conviction. The Appellate Division remitted the matter to County Court for resentencing on the third-degree rape conviction.

People v Williams, 107 AD3d 1391, reversed.

HEADNOTES

Crimes — Right to Remain Silent — Evidence of Defendant's Selective Silence during Custodial Interrogation — Impermissible Use by Prosecutor during Case-in-Chief

1. As a matter of state evidentiary law, evidence of a defendant's selective silence generally may not be used by the People as part of their case-in-chief, either to allow the jury to infer the defendant's admission of guilt or to impeach the credibility of the defendant's version of events when the defendant has not testified. Thus, in a prosecution for rape, burglary and related crimes arising after defendant allegedly gained entry to his ex-girlfriend's apartment by means of a ruse and then raped her, the prosecutor improperly referenced evidence in her opening statement and elicited testimony during her direct examination of the interrogating detective that defendant, during custodial interrogation, not only did not answer when asked whether he had sex with the victim, but also did not deny it, and failed to tell the detective that the sex was consensual. To the extent the People used evidence of defendant's selective silence to impeach his grand jury testimony, during which he had insisted that the sex was consensual, the People were not permitted to introduce evidence they deemed favorable to defendant on their direct case and impeach that evidence, also on their direct case, with evidence of his silence, particularly where they introduced evidence of defendant's silence before they introduced his grand jury testimony. Moreover, the People erroneously invited the jury to infer an admission of guilt from defendant's fail-

ure to deny the accusations against him, and there was a substantial risk that the jury made such an impermissible inference as defendant selectively answered some of the detective's questions but not others and the trial court refused to provide any curative instruction.

Crimes — Harmless and Prejudicial Error — Evidence of Defendant's Selective Silence during Custodial Interrogation — Impermissible Use by Prosecutor during Case-in-Chief

2. In a prosecution for rape, burglary and related crimes arising after defendant allegedly gained entry to his ex-girlfriend's apartment by means of a ruse and then raped her, the erroneous use by the prosecutor during her opening statement and case-in-chief of evidence of defendant's selective silence during custodial interrogation was not harmless as a matter of law. The erroneously used evidence was that defendant, during custodial interrogation, not only did not answer when asked whether he had sex with the victim, but also did not deny it, and failed to tell the detective that the sex was consensual, as defendant subsequently testified before the grand jury. Even assuming that the evidence of defendant's guilt was overwhelming, there was a significant probability that the jurors would have acquitted defendant if the errors did not occur. The evidence of defendant's selective silence was highly prejudicial, and there was a significant risk that the jurors deemed defendant's failure to answer the interrogating detective's question as to whether he had sex with the victim to be an admission of guilt. Moreover, the trial court refused to provide a curative instruction to the jury after the prosecutor referred to defendant's selective silence during her opening statement.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 659, 715; AM JUR 2d, Criminal Law §§ 915, 1044, 1045; AM JUR 2d, Trial §§ 222, 465, 483–485; AM JUR 2d, Witnesses §§ 867, 868.
CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:39, 190:44, 190:45; CARMODY-WAIT 2d, Nature and Content of Summation §§ 199:21, 199:22; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:30, 207:117.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.5, 24.7, 27.6.
NY JUR 2d, Criminal Law: Procedure §§ 641, 646, 2370, 2371, 2373, 2614–2616, 2642, 2661, 3473, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

Impeachment of defendant in criminal case by showing defendant's prearrest silence—state cases. 35 ALR4th 781.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

Hiscock Legal Aid Society, Syracuse (*Piotr Banasiak* of counsel), for appellant. I. The trial court committed reversible error by allowing the prosecutor to comment on and question a police witness about the fact that Paul Williams remained silent, and by refusing to provide a limiting instruction. (*People v Adessa*, 89 NY2d 677; *People v Christman*, 23 NY2d 429; *People v Bianculli*, 9 NY2d 468; *People v Rutigliano*, 261 NY 103; *People v De George*, 73 NY2d 614; *Doyle v Ohio*, 426 US 610; *People v Basora*, 75 NY2d 992; *People v Savage*, 50 NY2d 673; *People v Hunt*, 18 AD3d 891; *People v Moxley*, 138 AD2d 951.) II. The trial court committed reversible error during jury selection by refusing to permit Paul Williams to exercise a peremptory challenge. (*People v McQuade*, 110 NY 284; *People v Roberts*, 215 AD2d 148; *People v Alston*, 88 NY2d 519; *People v Jabot*, 93 AD3d 1079; *People v Harris*, 57 NY2d 335; *People v Leakes*, 284 AD2d 484; *People v Smith*, 278 AD2d 75; *People v Luciano*, 10 NY3d 499; *People v Quinones*, 222 AD2d 208; *People v Rincon*, 40 AD3d 538.) III. The conviction of first-degree sexual abuse must be reversed because the trial court improperly charged the jury with respect to a theory that was not reflected in the indictment and bill of particulars. (*People v Grega*, 72 NY2d 489; *People v Kaminski*, 58 NY2d 886; *People v Miles*, 289 NY 360; *People v Martinez*, 83 NY2d 26; *People v Iannone*, 45 NY2d 589; *Russell v United States*, 369 US 749; *Matter of Corbin v Hillery*, 74 NY2d 279; *People v Hemingway*, 85 AD3d 1299; *People v Fulwood*, 86 AD3d 809; *People v Con-tes*, 60 NY2d 620.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* and *Misha A. Coulson* of counsel), for respondent. I. Defendant was not denied a fair trial by the evidence that allowed the jury to compare defendant's grand jury testimony to his initial interview by the police. (*People v Gray*, 86 NY2d 10; *People v Belge*, 41 NY2d 60; *People v Tonge*, 93 NY2d 838; *People v Bowen*, 50 NY2d 915; *Berghuis v Thompkins*, 560 US 370; *United States v Goldman*, 563 F2d 501; *Vitali v United States*, 383 F2d 121; *People v Savage*, 50 NY2d 673, 449 US 1016; *People v Harris*, 25 NY2d 175, 401 US 222; *Jenkins v Anderson*, 447 US 231.) II. The trial court did not improperly prevent defendant from exercising a peremptory challenge. (*People v Gray*, 86 NY2d 10; *People v Chestnut*, 19 NY3d 606; *People v Patterson*, 39 NY2d 288; *People v Becoats*, 17 NY3d 643; *People v Alston*, 88 NY2d 519; *People v Colville*, 20 NY3d

20; *People v Ferguson*, 67 NY2d 383; *People v McGrew*, 103 AD3d 1170; *People v Rosario-Boria*, 110 AD3d 1486; *People v Jabot*, 93 AD3d 1079.) III. The record does not support a finding that defendant was convicted of sexual abuse in the first degree on a theory not alleged in the indictment. (*People v Grega*, 72 NY2d 489; *People v Smalls*, 55 NY2d 407; *People v Turner*, 5 NY3d 476.)

OPINION OF THE COURT

FAHEY, J.

This appeal concerns the People's references in their case-in-chief to defendant's selective silence during custodial interrogation, after defendant had waived his *Miranda* rights and agreed to speak to the police. We hold, as a matter of state evidentiary law, that evidence of a defendant's selective silence generally may not be used by the People as part of their case-in-chief, either to allow the jury to infer the defendant's admission of guilt or to impeach the credibility of the defendant's version of events when the defendant has not testified.

I

On August 30, 2008, defendant, the victim's former boyfriend, arrived at the victim's apartment unannounced. According to the victim's trial testimony, defendant gained entry to the apartment by means of a ruse and then raped her in the bathroom of the apartment; she testified that the bathroom sink crashed to the floor as she struggled with defendant. After defendant left the apartment, the victim called the police, and defendant was taken into custody. The detective who interviewed defendant advised him of his *Miranda* rights. Defendant stated that he understood those rights and that he was willing to speak with the detective, but he refused to sign the *Miranda* form.

Defendant was evasive during the ensuing interview. Defendant admitted that he knew the victim, but when the detective asked him specific questions about the incident, defendant either did not respond or repeated the detective's questions back to him. When asked whether he had sex with the victim, defendant did not answer. While the police were transporting defendant to his arraignment, defendant admitted that he had been in the victim's kitchen earlier that day.

Saliva taken from the victim's shoulder and left breast matched defendant's DNA. In addition, the victim had a bruise

and scratches on her body, and the sink in her bathroom was broken off from the wall.

Defendant was charged with rape in the first degree, burglary in the second degree, sexual abuse in the first degree, rape in the third degree, and criminal impersonation in the first degree. After a *Huntley* hearing, County Court denied defendant's motion to suppress his statements to the police.

At trial, the prosecutor told the jurors during opening statements that they would hear defendant's grand jury testimony, during which defendant asserted that he and the victim had consensual sex in the bathroom of her apartment on the day in question. The prosecutor further stated that the jury would be able to compare defendant's grand jury testimony with defendant's statements to the detective during the custodial interview, which the prosecutor characterized as "not outright denying what ha[d] happened, but not admitting to it either."

During her opening statement, defense counsel told the jury that defendant had a right to refuse to speak to the police and that his silence should not be used against him. Defense counsel later objected to the part of the prosecutor's opening referring to defendant's postarrest silence. County Court refused to issue a curative instruction. The court reasoned that defense counsel had adequately responded to the prosecutor's opening statement in her own opening statement.

The court permitted the detective who had interviewed defendant to testify, over defense counsel's objection, as follows:

"[THE PROSECUTOR]: Did you ever specifically ask [defendant] if he had sex with [the victim]?"

"[THE DETECTIVE]: Yes.

"Q. And what was his response?"

"A. He didn't answer.

"Q. He didn't answer?"

"A. No.

"Q. Did he deny it? . . .

"A. No."

Later during the People's direct case, the court admitted defendant's grand jury testimony in evidence. Defendant did not testify at trial and did not present any evidence.

During closing arguments, the People again noted defendant's failure to respond when the detective asked defendant

whether he had sex with the victim. Defense counsel made no specific objection to this portion of the prosecutor's closing argument. The People argued that in light of defendant's failure to respond to that question, defendant's grand jury testimony that the sex was consensual should be deemed to be incredible and a fabrication concocted by defendant after he learned that the saliva on the victim's body matched his DNA. The jury subsequently convicted defendant of sexual abuse in the first degree, rape in the third degree, and criminal impersonation in the first degree.

The Appellate Division modified County Court's judgment in respects that are not pertinent here and, as modified, affirmed (107 AD3d 1391 [4th Dept 2013]). The Court determined that defendant's contention regarding the People's use of his selective silence was preserved with respect to the prosecutor's opening statement and the detective's testimony (*see id.* at 1393). The Court further determined that defendant's contention with respect to the prosecutor's closing argument was unpreserved, but it addressed that part of defendant's contention as a matter of discretion in the interest of justice (*see id.*). On the merits, the Appellate Division held that the comments by the prosecutor concerning defendant's postarrest silence during opening and closing statements were improper and that County Court erred in admitting into evidence that portion of the detective's testimony concerning defendant's selective silence (*see id.* at 1394). The Appellate Division further concluded, however, that "any such errors were harmless beyond a reasonable doubt" (*id.* [internal quotation marks omitted]).

A Judge of this Court granted defendant leave to appeal (22 NY3d 1160 [2014]). We now reverse.

II

As a preliminary matter, we agree with the Appellate Division that defendant's contention regarding the People's use of his selective silence was preserved as to the prosecutor's opening statement and the detective's testimony, but not as to the prosecutor's closing statement. Consequently, we do not consider defendant's challenge to the prosecutor's closing argument.

It is a well-established principle of state evidentiary law that evidence of a defendant's pretrial silence is generally inadmissible (*see People v Rutigliano*, 261 NY 103, 106-107 [1933]). In

People v Conyers (52 NY2d 454 [1981]), we extended that principle and held that, absent circumstances not present in that case, “our State rules of evidence preclude the use of a defendant’s pretrial silence to impeach his trial testimony” (*id.* at 457). This was so because a defendant’s silence is generally ambiguous and “of extremely limited probative worth” (*id.* at 458). We noted that there are many reasons why an individual may choose not to speak to police that are wholly unrelated to the veracity of his or her trial testimony, but that there is a substantial risk that jurors might “construe such silence as an admission and . . . draw an unwarranted inference of guilt” (*id.* at 458-459).

We subsequently held in *People v De George* (73 NY2d 614 [1989]) that our decision in *Conyers* applied to a defendant’s “pretrial” silence and was not limited to “postarrest” silence (*id.* at 619-620). We reiterated that, as a matter of state evidentiary law, the People generally may not use evidence of defendant’s pretrial silence either on their direct case or to impeach the defendant’s trial testimony (*see id.* at 617-618).

There may be a rare set of circumstances in which it is permissible for the People to refer to a defendant’s silence during their case-in-chief. However, the general evidentiary principles established in *Conyers* and *De George* remain in place today: the People generally may not refer to a defendant’s silence during their direct case, and, absent unusual circumstances, the People may not use a defendant’s silence to impeach his or her trial testimony.

We have twice held that such unusual circumstances existed. In *People v Rothschild* (35 NY2d 355 [1974]), the defendant, a police officer, was accused of larceny by extortion for his conduct in threatening members of the victim’s family in order to obtain money from the victim. At trial, the defendant testified that he had agreed to accept money from the victim in order to arrest the victim for bribery. On cross-examination, the prosecutor elicited from defendant that he had not told any of his superior officers after his arrest about the victim’s supposed bribe offer. We held that such inquiry on cross-examination was permissible because the defendant had a duty to inform his superior officers of any bribe and, in light of that duty, his failure to speak was “patently inconsistent with the defense asserted” (*id.* at 360).

In *People v Savage* (50 NY2d 673 [1980], *cert denied* 449 US 1016 [1980]), the defendant was arrested on charges of

intentionally shooting the victim during an altercation. The defendant confessed to the arresting officer that he had shot the victim. During trial, the defendant testified that the victim had attempted to rob him and that the discharge of the gun was inadvertent. On cross-examination, the prosecutor asked the defendant whether he had told the arresting officer that the victim had attempted to rob him. We held, as a matter of state evidentiary law, that such questioning was permissible impeachment because defendant's conspicuous omission of these exculpatory facts in his voluntary statement to police tended to show that his trial testimony was a recent fabrication. We recognized in *Savage*, however, that "reference to the omission, because of its negative nature, could not serve substantively as evidence in chief to prove the commission of the crime" (*id.* at 679-680).

[1] The People contend that the circumstances present in this case are analogous to those present in *Savage* and *Rothschild*, and that the general principles articulated in *Conyers* and *De George* do not control. We disagree.

This case is fundamentally different from *Savage* and *Rothschild*. In those cases, the People used conspicuous omissions from the defendants' statements to police during cross-examination of the defendants, in order to impeach the credibility of the exculpatory testimony provided by the defendants at trial. Here, by contrast, the People introduced, as part of their case-in-chief, evidence regarding defendant's failure to tell the detective during custodial interrogation that he and the victim had consensual sex. Later during their case-in-chief, the People also introduced defendant's grand jury testimony, during which defendant insisted that he and the victim had consensual sex. The People's use of defendant's silence during their case-in-chief therefore violated our common-law rules of evidence (*see De George*, 73 NY2d at 618). Inasmuch as defendant did not testify at trial, there is no need for us to consider whether unusual circumstances such as those present in *Savage* and *Rothschild* would have allowed the People to use defendant's selective silence to impeach him if he had testified (*see Conyers*, 52 NY2d at 459).

The People claim that they were essentially impeaching the defendant's grand jury testimony because evidence of defendant's omission was necessary to demonstrate that the version of events he told the grand jury was false. The People also contend that the admission of defendant's grand jury testimony

was helpful to defendant, because had the People not presented that testimony to the jury, defendant “would have had to testify in order to put his claim of consensual sex before the jury.” These arguments are without merit. The People may not introduce evidence that they deem favorable to defendant on their direct case and impeach that evidence, also on their direct case, with evidence of defendant’s silence.

Furthermore, although evidence of defendant’s silence was inadmissible during any part of the People’s direct case, the People’s claim that their purpose was to impeach defendant’s grand jury testimony is weakened by the fact that they introduced evidence of defendant’s silence *before* they introduced his grand jury testimony. Thus, at the time that the detective testified that defendant neither admitted nor denied having sex with the victim, there was no contrary version of events to impeach. The risk that the jurors drew an improper inference of guilt was therefore even greater.

There is no need to depart from the principles articulated in *De George* and *Conyers* merely because defendant’s silence here was only partial. If silence could constitute an answer, then the People could meet their burden simply by asking a question. Moreover, evidence of a defendant’s selective silence “is of extremely limited probative worth” (*Conyers*, 52 NY2d at 458). A defendant who agrees to speak to the police but refuses to answer certain questions may have the same legitimate or innocent reasons for refusing to answer as a defendant who refuses to speak to the police at all (*see id.*). Furthermore, the potential risk of prejudice from evidence of a defendant’s selective silence is even greater than the risk to a defendant who chooses to remain totally silent. Jurors are more likely to construe a defendant’s refusal to answer certain questions as an admission of guilt if the defendant has otherwise willingly answered other police inquiries. The ambiguous nature and limited probative worth of a defendant’s selective silence is outweighed by the substantial risk of prejudice to the defendant from admission of such evidence (*see id.* at 459). Evidence of a defendant’s selective silence therefore generally may not be used by the People during their case-in-chief and may be used only as “a device for impeachment” of a defendant’s trial testimony in limited and unusual circumstances (*Savage*, 50 NY2d at 680; *see Conyers*, 52 NY2d at 459).

The People’s use of defendant’s selective silence in this case was improper for another reason. In her opening statement,

the prosecutor told the jury that defendant did not admit or deny the accusations when he spoke to the detective. Furthermore, during direct examination of the detective, the prosecutor elicited testimony establishing not only that defendant did not answer when asked whether he had sex with the victim, but also that he did not deny it either. In addition to using defendant's selective silence as a purported impeachment device during their direct case, the People also invited the jury to infer an admission of guilt from defendant's failure to deny the accusations. The risk that the jury made such an impermissible inference is substantial where, as here, defendant selectively answered some police questions but not others, and the court refused to provide any curative instruction. The prosecutor's comments regarding defendant's selective silence during opening statements were improper, and the court erred in allowing testimony concerning defendant's selective silence at trial, inasmuch as the comments and testimony allowed the jury to "draw an unwarranted inference of guilt" (*Conyers*, 52 NY2d at 459).

In light of our holding that the People's use of defendant's selective silence violated our common-law evidentiary principles, we need not address defendant's contention that the People's use of his selective silence also violated the State and Federal Constitutions (*see De George*, 73 NY2d at 618; *Conyers*, 52 NY2d at 457).

III

The People contend, in the alternative, that any error was harmless. Under the standard applicable to nonconstitutional errors, an error is harmless if the proof of defendant's guilt is overwhelming and there is no significant probability that the jury would have acquitted defendant had the error not occurred (*see People v Crimmins*, 36 NY2d 230, 242 [1975]).

[2] We conclude that the errors are not harmless as a matter of law. Even assuming that the evidence of defendant's guilt is overwhelming, there is a significant probability that the jurors would have acquitted defendant if the errors did not occur. For the reasons discussed above, evidence of defendant's selective silence is highly prejudicial, and there is a significant risk that the jurors deemed defendant's failure to answer the detective's question as to whether he had sex with the victim to be an admission of guilt. Moreover, the court refused to provide a curative instruction to the jury after the prosecutor referred to defendant's selective silence during her opening statement.

We do not place as much significance as our dissenting colleagues on defendant's response to the detective during custodial interrogation (*see* dissenting op at 196). Although it is true that the detective had not said anything to defendant "about breaking down a door," the detective told defendant that "the reason why you're here today is that it's being alleged that you forced your way into [the victim's] apartment and had sex with her." Defendant responded, "Honestly, do you think I just broke down the door?" Inasmuch as the detective had just told defendant that he was accused of forcing his way into the victim's apartment, defendant's response was consistent with a denial of that accusation and with his later admission that he was in the victim's apartment that day. Furthermore, defendant's response was in agreement with the version of events that he later told the grand jury: that he and the victim had consensual sex after she ultimately allowed him into her apartment. We therefore respectfully disagree with our dissenting colleagues that defendant's response to the detective "revealed his knowledge of the breaking and entering aspect of the crime at a time when such knowledge could only have flowed from his participation in the offense" and that his response was evidence of his consciousness of guilt (*dissenting op at 196*). Rather, defendant's response to the detective was just as compatible with a denial of the accusation that he had forced his way into the victim's apartment. We therefore hold that the error was not harmless and that reversal is required.

In light of our decision that there must be a new trial, we have no need to address defendant's remaining contentions.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

ABDUS-SALAAM, J. (*dissenting*). I agree with the majority that the trial court erred in permitting the People to adduce evidence of, and comment upon, defendant's partial postarrest silence on their case-in-chief, for state evidentiary law barred the admission of that evidence (*see* majority op at 188, 190-194; *see also People v De George*, 73 NY2d 614, 617-620 [1989]; *People v Conyers*, 52 NY2d 454, 457-459 [1981]). As the majority's excellent and learned discussion of our case law in this area reveals (*see* majority op at 190-192), only the most unusual circumstances will justify the admission of a defendant's post-arrest silence on the People's direct case, and no such circumstances exist here. However, unlike the majority (*see* majority

op at 194-195), I find that the error was harmless on account of the overwhelming quality of the proof against defendant and the limited prejudice occasioned by the evidence of his silence. While I acknowledge that reasonable minds may differ on the harmless error issue presented by this case, my disagreement with the majority on this subject nonetheless prompts me to respectfully dissent.

As the majority rightly points out (*see* majority op at 190-191, 193-194), evidence of postarrest silence has limited probative value and risks improperly prejudicing a defendant by causing the jurors to speculate that the defendant remained silent in an effort to hide his or her guilt (*see Conyers*, 52 NY2d at 459). But, here, defendant's silence in the face of police questioning, which should have been excluded from evidence, was scarcely any more harmful than the properly admitted evidence that he had revealed his knowledge of the breaking and entering aspect of the crime at a time when such knowledge could only have flowed from his participation in the offense.

In that regard, defendant's girlfriend told the police and, later, the jury, that on the day of the crime, defendant had pretended to be a police officer in order to convince her to open the door to her apartment. When she opened the door and saw defendant, she tried to close it again, but he pushed it open to force his way into the apartment, at which point she succumbed to a combination of his physical effort and oral entreaties. During their interview with defendant, the police did not disclose this information to him. Nonetheless, defendant told the police, "Honestly, do you think that I just broke the door down?" At the *Huntley* hearing, the court ruled this statement admissible, and therefore the jury properly received it regardless of whether they should have learned of defendant's postarrest silence. Having heard that statement, the jury surely would have inferred that defendant was conscious of his own guilt insofar as he knew that he had used a ruse and then physical force to effectively break into the apartment to commit the crime. Consequently, the forbidden evidence of defendant's postarrest silence did not significantly impact the outcome of the trial because, absent that evidence, the jury still would have drawn an adverse inference from defendant's interactions with the police based on the admissible evidence (*see People v Crimmins*, 36 NY2d 230, 242 [1975]).

Furthermore, the evidence of defendant's guilt was overwhelming (*see id.*; *see also People v Boop*, 118 AD3d 1273, 1273 [4th Dept 2014], *lv denied* 24 NY3d 1082 [2014]; *see generally*

Conyers, 49 NY2d at 183). After all, even without the contested proof of defendant's silence, the jury still would have received the following fully admissible testimonial evidence: (1) defendant's girlfriend's consistent testimony, which in essential substance matched her statement to the police, that defendant had used a ruse to convince her to open the door to the apartment, that he had pushed the door open when she tried to close it on him, that he had brutally raped her, that she had called a friend to come to her aid and that she had reported the rape to the friend, who called the police; (2) the testimony of the friend, Nicole Veaudry, that the girlfriend had summoned her to the apartment immediately after the incident, had reported that something had occurred, had been shaking and crying, and had prompted Veaudry to call the police; (3) the testimony of police officers that the girlfriend was still upset when they responded to the 911 call and that the bathroom sink in her apartment had been dislodged; (4) the testimony that, in response to police questioning, defendant said, "Honestly, do you think that I just broke the door down?"; and (5) defendant's grand jury testimony, in which he delivered an account of events that seemed to be tailored to match the medical and other evidence, which he admitted having reviewed prior to his testimony.

Additionally, without knowledge of defendant's postarrest silence, the jurors still would have learned of the following physical evidence and explanatory testimony: (1) DNA evidence showing that defendant left his saliva on several of his girlfriend's body parts during the incident; (2) physical evidence of numerous cuts and a hand-shaped mark on the girlfriend's body; (3) physical evidence of a laceration between the girlfriend's vagina and anus; and (4) the sexual assault nurse examiner's testimony that this injury had been caused by blunt force trauma, that it was consistent with forcible sexual assault and that, while it could have theoretically occurred during consensual sex, the nature and location of the injury rendered a consent scenario unlikely. Given that the physical evidence corroborated defendant's girlfriend's account of a forcible rape and the testimonial proof thoroughly reinforced her credibility while undermining defendant's, the evidence overwhelmingly established defendant's guilt of the crimes of which he was convicted.

In sum, while I certainly do not condone the People's use of defendant's postarrest silence against him, I conclude that the

error was harmless, for the introduction of that evidence was not the likely source of his conviction. Rather, it was the highly persuasive and admissible proof of defendant's guilt that ultimately led to the verdict here. Furthermore, I find defendant's remaining contentions to be either unpreserved or lacking in merit. Accordingly, I respectfully dissent and vote to affirm the Appellate Division's order.

Chief Judge LIPPMAN and Judges READ, RIVERA and STEIN concur; Judge ABDUS-SALAAM dissents in an opinion in which Judge PIGOTT concurs.

Order reversed and a new trial ordered.

[31 NE3d 1197, 9 NYS3d 601]

In the Matter of EDWIN LOPEZ, Respondent, v ANDREA EVANS,
Chairwoman, New York State Division of Parole, Appel-
lant.

Argued February 12, 2015; decided April 7, 2015

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 27, 2012. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, Bronx County (Mark Friedlander, J.; op 2011 NY Slip Op 34179[U] [2011]), entered in a proceeding pursuant to CPLR article 78, which had (a) denied a petition to annul respondent's determination finding that petitioner violated a condition of his parole, revoking petitioner's parole, and imposing an assessment of additional imprisonment; and (b) granted respondent's cross motion to dismiss the petition; (2) granted the petition; (3) annulled respondent's determination; (4) reinstated petitioner to parole; and (5) denied respondent's cross motion to deny the petition and dismiss the proceeding.

Matter of Lopez v Evans, 104 AD3d 105, affirmed.

HEADNOTES

Parole — Revocation — Incompetency of Parolee

1. Where a parolee lacks mental competency to stand trial, it is a violation of his or her due process rights to conduct a parole revocation hearing. Accordingly, respondent's determination finding that petitioner, who had twice been found incompetent to stand trial, violated a condition of his parole and assessing additional imprisonment was annulled and petitioner's parole reinstated. The constitutional question implicates the balance between the government's interest in efficient administration of parole and the parolee's right to defend himself or herself. Several of the reasons underlying the bar against prosecuting a mentally incompetent defendant apply also to parole revocation hearings, including the constitutional concerns about the fundamental fairness of a proceeding in which a parolee who is unable to make decisions about his or her defense may be returned to prison. Most importantly, an incompetent parolee is not in a position to exercise rights, such as the right to testify and the opportunity to confront adverse witnesses, that are directly related to ensuring the accuracy of fact-finding. That a parolee is guaranteed a right to representation by counsel at the revocation hearing is not enough. A parolee must be able to provide the factual underpinnings of the presentation.

Parole — Revocation — Incompetency of Parolee

2. Holding a parole revocation hearing after a court has deemed the parolee to be mentally incompetent violates the due process provision in the State

Constitution. Therefore, *People ex rel. Newcomb v Metz* (64 AD2d 219 [3d Dept 1978]) and *Matter of Newcomb v New York State Bd. of Parole* (88 AD2d 1098 [3d Dept 1982], *lv denied* 57 NY2d 605 [1982], *cert denied* 459 US 1176 [1983]), which held that a determination as to a parolee's mental competency is not a condition precedent to the parole revocation proceeding, should no longer be followed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Pardon and Parole §§ 135, 136, 150.

CARMODY-WAIT 2d, Revocation of Probation or Parole
§§ 204:55, 204:60.

NY JUR 2d, Penal and Correctional Institutions §§ 372,
386.

ANNOTATION REFERENCE

See ALR Index under Due Process; Incompetent or Insane Persons; Parole, Probation, and Pardon; Revocation or Suspension.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Steven C. Wu, Won S. Shin, Barbara D. Underwood and Richard P. Dearing of counsel), for appellant. I. Due process does not bar revocation proceedings for an incompetent parolee where assistance of counsel is provided. (*Gagnon v Scarpelli*, 411 US 778; *Vitek v Jones*, 445 US 480; *Pennsylvania Bd. of Probation & Parole v Scott*, 524 US 357; *Morrissey v Brewer*, 408 US 471; *People ex rel. Maiello v New York State Bd. of Parole*, 65 NY2d 145; *People ex rel. Newcomb v Metz*, 64 AD2d 219; *People ex rel. Porter v Smith*, 71 AD2d 1056; *United States v McCarty*, 747 F Supp 311; *United States v Avery*, 328 F Supp 2d 1269; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376.) II. The First Department's bar would undermine the effectiveness of the parole system. (*Gagnon v Scarpelli*, 411 US 778; *Black v Romano*, 471 US 606; *Spavone v New York State Dept. of Corr. Servs.*, 719 F3d 127; *Matter of Westchester Rockland Newspapers v Leggett*, 48 NY2d 430; *Jones v United States*, 463 US 354; *People ex rel. Newcomb v Metz*, 64 AD2d

219; *State of N.Y. ex rel. Harkavy v Consilvio*, 7 NY3d 607; *Pennsylvania Bd. of Probation & Parole v Scott*, 524 US 357; *People v Recor*, 87 NY2d 933; *Medina v California*, 505 US 437.)

The Legal Aid Society, New York City (*Elon Harpaz* and *Scott A. Rosenberg* of counsel), for respondent. The First Department correctly held that fundamental fairness precludes the State from revoking the parole of an individual who lacks the capacity to assist in his own defense. (US Const Amend XIV; NY Const, art I, § 6.) (*Morrissey v Brewer*, 408 US 471; *Drope v Missouri*, 420 US 162; *Pate v Robinson*, 383 US 375; *Dusky v United States*, 362 US 402; *Cooper v Oklahoma*, 517 US 348; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376; *Gagnon v Scarpelli*, 411 US 778; *People ex rel. Calloway v Skinner*, 33 NY2d 23; *People ex rel. Piccarillo v New York State Bd. of Parole*, 48 NY2d 76; *Pennsylvania Bd. of Probation & Parole v Scott*, 524 US 357.)

Stroock & Stroock & Lavan LLP, New York City (*Curtis C. Mechling*, *Patrick N. Petrocelli* and *Benjamin C. Woodruff* of counsel), for The Fortune Society, amicus curiae. I. Incarcerating mentally incompetent parolees violates due process. (*Morrissey v Brewer*, 408 US 471; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376; *Drope v Missouri*, 420 US 162; *United States v McCarty*, 747 F Supp 311.) II. Appellant's public safety argument is misguided and unsubstantiated. (*Matter of Welkes v Brennan*, 79 AD2d 644.) III. Alternatives to incarceration would benefit parolees, pose no threat to public safety, and enhance the Department of Corrections and Community Supervision's ability to rehabilitate parolees.

The Association of the Bar of the City of New York, New York City (*Allegra Glashauser*, *Katherine Bromberg*, *Matthew Main* and *Elizabeth Sisul* of counsel), for The Association of the Bar of the City of New York, amicus curiae. I. Because a person found mentally incompetent to stand trial cannot meaningfully participate in the fact-finding process to determine whether he has violated parole, conducting a parole revocation proceeding against that person violates due process. (*Morrissey v Brewer*, 408 US 471; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376; *Gagnon v Scarpelli*, 411 US 778; *People ex rel. Donohoe v Montanye*, 35 NY2d 221; *People ex rel. McGee v Walters*, 62 NY2d 317; *Riggins v Nevada*, 504 US 127; *Youtsey v United States*, 97 F 937; *Dusky v United States*, 362

US 402; *People v Phillips*, 16 NY3d 510; *People v Mendez*, 1 NY3d 15.) II. Revoking parole and reincarcerating people found incompetent to stand trial is counter to public policy, public safety, and rehabilitation. (*Rivers v Katz*, 67 NY2d 485; *People v Notey*, 72 AD2d 279; *Matter of State of New York v Daniel OO.*, 88 AD3d 212; *Tison v Arizona*, 481 US 137; *United States v Blake*, 89 F Supp 2d 328; *People v Andrea FF.*, 185 AD2d 557; *Morrissey v Brewer*, 408 US 471.)

Cleary Gottlieb Steen & Hamilton LLP, New York City (Thomas J. Moloney, Mark S. Grube, Armine Sanamyan and Elizabeth Danielle Byam of counsel), for Mental Hygiene Legal Service, amicus curiae. I. Due process prohibits a parole revocation hearing against an alleged parole violator lacking capacity to assist in his or her own defense. (*Morrissey v Brewer*, 408 US 471; *Matter of Mayfield v Evans*, 93 AD3d 98; *People ex rel. Knowles v Smith*, 54 NY2d 259; *Gagnon v Scarpelli*, 411 US 778; *People ex rel. Matthews v New York State Div. of Parole*, 58 NY2d 196; *People ex rel. Menechino v Warden, Green Haven State Prison*, 27 NY2d 376; *People ex rel. Combs v La Vallee*, 29 AD2d 128; *Mathews v Eldridge*, 424 US 319; *Armstrong v Manzo*, 380 US 545; *Drope v Missouri*, 420 US 162.) II. Until the legislature establishes procedures for competency determinations in parole revocation proceedings, this Court should provide guidance. (*People v Finkelstein*, 9 NY2d 342; *Matter of Buttonow*, 23 NY2d 385; *Ring v Arizona*, 536 US 584; *Rivers v Katz*, 67 NY2d 485; *People v Gensler*, 72 NY2d 239; *People v Armlin*, 37 NY2d 167; *People v Gelikkaya*, 84 NY2d 456; *Ritter v Surles*, 144 Misc 2d 945; *Matter of Hines v State Bd. of Parole*, 293 NY 254; *Matter of Ahlers v New York State Div. of Parole*, 1 AD3d 849.) III. The proposed remedies are not unduly burdensome under *Mathews v Eldridge* (424 US 319 [1976]).

OPINION OF THE COURT

PIGOTT, J.

We hold that when a parolee lacks mental competency to stand trial, it is a violation of his or her due process rights to conduct a parole revocation hearing. In light of our concerns about the application of the pertinent statutes to such individuals, we urge the legislature to address the issues raised by the parties to this litigation.

I.

In 1999, petitioner Edwin Lopez, who had been convicted of murder and was serving a sentence of 15 years to life in prison,

was released on lifetime parole supervision. Four years later, he was charged with misdemeanor assault. He was found to be unfit to stand trial under CPL 730.40 (1), which governs proceedings related to a criminal defendant's fitness to proceed to trial. Lopez was committed to the custody of the Office of Mental Health (OMH), under CPL 730.40 (2). The assault charge was dismissed pursuant to the same subdivision, which provides that when a defendant who has been charged with a misdemeanor is found to be unfit to stand trial and committed to OMH's custody, the criminal court is required to dismiss the accusatory instrument. Lopez was admitted to a psychiatric center and, subsequently, OMH retained custody by a series of retention orders and voluntary admissions under Mental Hygiene Law article 9 (Hospitalization of the Mentally Ill).

On August 11, 2008, while still committed, Lopez attacked a fellow patient, resulting in assault and harassment charges. Criminal Court ordered a psychiatric examination pursuant to CPL article 730 to determine his fitness to stand trial. The two psychologists who examined him opined that Lopez was not competent to stand trial. They found that Lopez likely suffered from dementia, which "would prevent [him] from constructing a rational defense and collaboratively working with his attorney." He was "unable to talk about his case in any intelligent fashion." Criminal Court adopted the psychologists' findings and the charges were dismissed. Lopez was again committed to the custody of OMH pursuant to CPL 730.40 (2).

Meanwhile, the New York State Department of Corrections and Community Supervision (DOCCS) commenced parole revocation proceedings against Lopez, based on the August 11 incident, charging him with violating a condition of his parole, 9 NYCRR 8003.2 (h) ("A releasee will not behave in such manner as to violate the provisions of any law to which he is subject which provides for penalty of imprisonment, nor will his behavior threaten the safety or well-being of himself or others").

As a result, Lopez was transferred from the custody of OMH to that of DOCCS. At the start of the final revocation hearings, Lopez's appointed counsel requested an adjournment stating that she needed time to assess Lopez's mental condition. Counsel contended that the revocation hearing was being held in violation of her client's due process rights. The Administrative Law Judge (ALJ) denied counsel's request. Testimony was heard regarding the alleged assault, and the ALJ found that Lopez had violated 9 NYCRR 8003.2 (h).

During the dispositional phase of the parole revocation hearings, Lopez's counsel offered the testimony of a social worker who opined that "the best thing" for Lopez would be for him to be restored to parole and returned to OMH's custody.¹ The ALJ, however, recommended parole revocation, determining that reincarceration was appropriate, with a 24-month time assessment. Lopez was "a violent offender," the ALJ wrote. "He assaulted another patient at the hospital. Given his past criminal history this action . . . is especially serious. He is not currently amenable to parole supervision. Alternatives to incarceration were considered but are not appropriate."

The Division of Parole adopted the ALJ's recommendation on December 12, 2008, and Lopez was incarcerated.² His administrative appeal was denied.³

II.

In August 2010, while incarcerated, Lopez, represented by counsel, commenced this CPLR article 78 proceeding, seeking to annul the determination of the Division of Parole, vacate the parole revocation, and obtain release from custody. Counsel contended that due process prohibits the Division of Parole from proceeding with a revocation hearing against a person who has been deemed mentally unfit to proceed to trial. The Division of Parole moved to deny Lopez's petition.

Supreme Court granted the motion and dismissed the proceeding, holding that an assertion of incompetency does not bar parole revocation proceedings. The court cited *People ex rel. Newcomb v Metz* (64 AD2d 219 [3d Dept 1978]) and *Matter of Newcomb v New York State Bd. of Parole* (88 AD2d 1098 [3d Dept 1982], *lv denied* 57 NY2d 605 [1982], *cert denied* 459 US 1176 [1983]). Those decisions held that the Parole Board must

1. At the time, an OMH detainer, requiring that Lopez be returned to OMH's custody if released from the custody of DOCCS, was in effect. Counsel and the social worker interpreted this to mean that Lopez would return to OMH's custody if restored to parole and would only remain in the custody of DOCCS if parole were revoked. However, a parolee remains in the custody of the Division of Parole of DOCCS in both scenarios (*see* 9 NYCRR 8003.1 [a]).

2. The OMH detainer, which provided that it "EXPIRES SHOULD THE NAMED PARTY BECOME INCARCERATED," duly expired.

3. In October 2012, the Parole Board granted an application by Lopez for discretionary release. Lopez was discharged from prison and restored to parole supervision on January 9, 2013. We agree with the Appellate Division, however, that "this appeal comes within the exception to the mootness doctrine for orders raising novel and substantial issues that are likely to recur but to evade appellate review" (104 AD3d 105, 108 n 2 [1st Dept 2012]).

consider a parolee's lack of mental competency as a mitigating factor when considering alleged parole violations, but "a determination of this question is not a condition precedent to the parole revocation proceeding" (*Metz*, 64 AD2d at 223; see *New York State Bd. of Parole*, 88 AD2d at 1098-1099; accord *People ex rel. Porter v Smith*, 71 AD2d 1056 [4th Dept 1979]).

The Appellate Division reversed, granted Lopez's petition, and reinstated Lopez to parole, holding that "the basic requirements of due process applicable to a parole revocation proceeding should now be construed to preclude going forward with such a proceeding in the event it is determined that the parolee is not mentally competent to participate in the hearing or to assist his counsel in doing so" (104 AD3d 105, 108 [1st Dept 2012] [citation omitted]). In dicta, the Appellate Division took the position, over a single-Justice concurrence, that "the statute authorizing the Parole Board to determine whether a parolee has violated parole necessarily confers upon the Board authority to determine whether the parolee possesses the mental competence required for such a determination to be rendered in accordance with due process" (104 AD3d at 110-111).

The Division of Parole appeals as of right under CPLR 5601 (b) (1). We now affirm.

III.

In *People ex rel. Menechino v Warden, Green Haven State Prison* (27 NY2d 376 [1971]), this Court held that the demands of due process require that a parolee be represented by a lawyer and entitled to introduce testimony, in a parole revocation hearing, if he or she so chooses. We observed that "a proceeding to revoke parole involves the right of an individual to continue at liberty or to be imprisoned. It involves a deprivation of liberty . . . and falls within the due process provision of section 6 of article I of our State Constitution" (*id.* at 382 [internal quotation marks and ellipsis omitted]). We concluded that this constitutional guarantee demands representation by counsel "if the search for truth is not to be sacrificed to administrative speed and convenience" (*id.* at 383).

[1] Here, once again, the constitutional question implicates the balance between the government's interest in efficient administration of parole and the parolee's right to defend himself or herself (see *id.* at 382-384; see generally *Mathews v Eldridge*, 424 US 319, 335 [1976]). In this calculus, truth can-

not give way to efficiency. In the present case, as in most others, it is only the parolee himself or herself who is in a position to know the facts and assist in his or her defense. When the parolee, by reason of mental incapacity, is unable to understand, recall, or express such vital information, it is inconsistent with due process for a parole board to proceed with a revocation hearing.

It is, of course, well established—as a matter of common law and also of due process—that “a person whose mental condition is such that he lacks the capacity to understand the nature and object of the proceedings against him, to consult with counsel, and to assist in preparing his defense may not be subjected to a trial” (*Drope v Missouri*, 420 US 162, 171 [1975]). The State contends that parole revocation proceedings do not raise the same concerns because parole revocation is not part of a criminal prosecution.

It is true that parole revocation deprives an individual only of “a restricted form of liberty” and thus implicates “some form of due process [but] not the full panoply of rights due a defendant in a criminal proceeding” (*People ex rel. Matthews v New York State Div. of Parole*, 58 NY2d 196, 204 [1983], citing *Morrissey v Brewer*, 408 US 471, 480-484 [1972]). Just as due process requires us to safeguard the liberty of parolees, we must also recognize the State’s strong interest in effectively managing parolees without unduly burdensome procedural restraints (see *Morrissey*, 408 US at 483). However, in balancing these competing interests, we conclude that several of the reasons underlying the bar against prosecuting a mentally incompetent defendant apply also to parole revocation hearings. Clearly salient are constitutional concerns about the fundamental fairness of a proceeding in which a parolee who is unable to make decisions about his defense may be returned to prison. But foremost is the concern already mentioned, about the accuracy of the proceedings. An incompetent parolee is not in a position to exercise rights, such as the right to testify and the opportunity to confront adverse witnesses (see 9 NYCRR 8005.18 [b] [2], [4]), that are directly related to ensuring the accuracy of fact-finding. It is true, as the State emphasizes, that the parolee is guaranteed a right to representation by counsel at the revocation hearing. But representation is not enough. A parolee must be able to provide the factual underpinnings of the presentation.

[2] We conclude, therefore, that holding a parole revocation hearing after a court has deemed the parolee to be mentally

incompetent violates the due process provision in our State Constitution. We agree with the Appellate Division that the *Newcomb* decisions, relied upon by Supreme Court, should no longer be followed.

However, the State raises certain practical objections to an affirmance, which give us pause. In particular, the State points out that the Division of Parole is not authorized to commit a mentally incompetent parolee to the custody of OMH under CPL article 730, which governs the process whereby a person who has been charged with a criminal offense and found to be incompetent to stand trial is committed (*see* CPL 730.30; *see also* 1.20 [16]). A parolee, by contrast, has already been convicted of a criminal offense and sentenced. Nor does the Board of Parole or the ALJs have authority to seek commitment under Mental Hygiene Law article 9. In any case, a person who is incapacitated under CPL 730.40 (1) is not necessarily mentally ill within the meaning of article 9.

The result is that, as matters stand, a parolee who has been found mentally incompetent, and therefore unfit to proceed to a parole revocation hearing under our holding today, will likely be released into the community.⁴ As the State points out in its brief,

“the Parole Board’s only option would seemingly be to restore the mentally incompetent person to parole, even if in its judgment the person could not successfully comply with his parole conditions and would pose a risk to public safety. While the Parole Board could theoretically impose additional special parole conditions to address the parolee’s mental condition, such conditions would serve no meaningful purpose if the Board would likely be unable to revoke parole for any subsequent violation.”

In circumstances such as those presented here, the parolee falls between the cracks. He will remain in the custody of DOCCS, and therefore will not receive mental health treatment in a psychiatric facility as he would if in the custody of OMH. And, because he is no longer incarcerated, he will obviously not receive treatment in a controlled correctional setting either. Lopez himself may be receiving outpatient mental

4. It seems probable, however, that parole boards, mindful of our holding, will become reluctant to grant parole to otherwise eligible prisoners with any history of mental illness or mental disability in the first place.

health treatment, as a special condition of parole (*see* 9 NYCRR 8003.3 [“A special condition may be imposed upon a releasee either prior or subsequent to release. The releasee shall be provided with a written copy of each special condition imposed”]). But the State is justified in pointing out the concern that other parolees who violate parole must be released, under the law, when they are deemed mentally incompetent, with no guarantee that they will receive treatment. It is up to the legislature to address this disparity whereby a mentally incompetent defendant who has been charged with, but not convicted of, a crime may be committed to a psychiatric facility in the custody of OMH, but a parole violator who developed mental incapacity after conviction and release may not be confined at all.

A related question is whether the Division of Parole may make determinations regarding mental competency, when it reasonably appears that the parolee may be incompetent. Federal regulations assume that a federal hearing examiner may determine whether or not a parolee is mentally incompetent (*see* 28 CFR 2.8 [c], [e] [2]).⁵ These rulings occur in the context of a regulatory framework in which the examiner still conducts the revocation hearing, irrespective of the mental competence determination, but “shall take into full account the parolee’s mental condition in determining the facts and recommending a decision as to revocation and reparole” (28 CFR 2.8 [e] [2]). The process whereby the Division of Parole decides whether or not a parolee is mentally incompetent necessarily carries more significance when it may mean that he or she is released into the community despite a history of crime combined with mental incapacity.

The Appellate Division suggested, in dicta, that the Parole Board can assess a parolee’s competency in order to determine whether it has jurisdiction to proceed with the parole revocation proceeding. Amicus Mental Hygiene Legal Service proposes that the Parole Board apply an analog to the procedures set forth under CPL article 730 for an incapacitated defendant charged with a felony to an incapacitated parolee charged with a parole violation amounting to felonious conduct, and that the Parole Board apply something similar to the procedures set forth under CPL article 730 for an incapacitated defendant

5. For reasons not pertinent to this case, there are still offenders on federal parole, notwithstanding the abolition of parole in the federal system.

charged with a misdemeanor to an incapacitated parolee charged with a parole violation equivalent to a misdemeanor. In the present case, this issue was not directly raised because the determination that Lopez was incapacitated had already been made in the recent criminal action arising out of the same conduct. Because the issue is not presented in this case, we express no view on the Parole Board's authority to make competency determinations in cases unlike this one where there has not been a recent judicial determination of incompetency. We note only that it seems clear that there are statutory concerns that the legislature should address.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed, without costs.

[32 NE3d 371, 10 NYS3d 156]

In the Matter of DAVID POWERS, Appellant, v ST. JOHN'S UNIVERSITY SCHOOL OF LAW, Respondent.

Argued February 10, 2015; decided April 2, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 16, 2013. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Diccia T. Pineda-Kirwan, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied a petition to review respondent's determination (a) rescinding petitioner's law school admission, and (b) in effect, denying his application for admission nunc pro tunc, and (2) dismissed the proceeding. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated October 16, 2013, properly made?"

Matter of Powers v St. John's Univ. Sch. of Law, 110 AD3d 888, affirmed.

HEADNOTE

Colleges and Universities — Admission — Rescission of Admission — Misrepresentations on Application Regarding Criminal History

Respondent law school's determination to rescind petitioner's admission was not arbitrary and capricious, where petitioner misrepresented in his admission application that he had been arrested for and pleaded guilty to drug possession, when he had in fact been arrested after selling drugs to an undercover police officer and pleaded guilty to drug possession with intent to distribute. Respondent had an unwritten policy of not admitting people who sold drugs and averred that if petitioner had disclosed on his application that his arrest was for the sale of drugs and possession with intent to distribute, his application would have been denied during the initial screening process. That was not an irrational policy and was within the exercise of respondent's honest discretion. Nor was it necessary that the policy be in writing for respondent to apply it. Respondent did not fail to follow its own rules and procedures, as its grievance procedure did not apply to conduct of students unrelated to academic and related matters, or unrelated to conduct of students when they are enrolled. Moreover, the penalty was not so disproportionate to the misconduct as to be shocking to one's sense of fairness. The application made it clear that dire consequences could result if there was a failure to provide truthful answers. Thus, petitioner was on notice of the potential repercussions should he fail to truthfully and fully disclose his record.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Colleges and Universities § 19.
NY JUR 2d, Schools, Universities, and Colleges § 810.

ANNOTATION REFERENCE

See ALR Index under Colleges and Universities; Law Schools and Students.

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POINTS OF COUNSEL

Scoppetta Seiff Kretz & Abercrombie, New York City (Roland R. Acevedo of counsel), for appellant. I. The Appellate Division erred when it held that St. John's University School of Law's rescission of appellant's admission after he successfully completed three semesters based on an alleged failure to disclose uncharged criminal conduct and an unwritten and undisclosed admissions policy that ostensibly barred the admission of any applicant with a criminal history of distributing drugs was not arbitrary and capricious. (*Gertler v Goodgold*, 107 AD2d 481, 66 NY2d 946; *Maas v Cornell Univ.*, 94 NY2d 87; *Tedeschi v Wagner Coll.*, 49 NY2d 652; *Matter of Carr v St. John's Univ.*, N.Y., 17 AD2d 632, 12 NY2d 802; *Matter of Olsson v Board of Higher Educ. of City of N.Y.*, 49 NY2d 408; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Rizvi v New York Coll. of Osteopathic Medicine of N.Y. Inst. of Tech.*, 98 AD3d 1049; *Matter of Claudia E. v Ryan*, 61 AD3d 865; *Matter of D'Alessandro v West Hempstead Fire Dist.*, 53 AD3d 576; *Matter of Gray v Canisius Coll. of Buffalo*, 76 AD2d 30.) II. The Appellate Division erred when it held that St. John's University School of Law's imposition of an undisclosed penalty, rescission of appellant's admission, that was not set forth in the application for admission was not so disproportionate to the offense as to be shocking to one's sense of fairness. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Harwood v Ad-*

dison, 118 AD3d 1484; *Matter of Grady v New York State Off. of Children & Family Servs.*, 39 AD3d 1157; *Matter of Kickert v New York Univ.*, 99 AD3d 502; *Haddock v City of New York*, 75 NY2d 478.)

Garfunkel Wild, P.C., Great Neck (*Michael J. Keane* and *Lauren M. Levine* of counsel), for respondent. I. The Appellate Division correctly upheld St. John's University School of Law's decision because it was based on appellant's failure to provide complete and truthful answers on his law school application. (*Maas v Cornell Univ.*, 94 NY2d 87; *Gertler v Goodgold*, 107 AD2d 481; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Hutcheson v Grace Lutheran School*, 132 AD2d 599; *Matter of Harris v Trustees of Columbia Univ.*, 98 AD2d 58, 62 NY2d 956; *Matter of Galiani v Hofstra Univ.*, 118 AD2d 572; *Neuman Distribs. v Jacobi Med. Ctr.*, 298 AD2d 568; *Matter of Rizvi v New York Coll. of Osteopathic Medicine of N.Y. Inst. of Tech.*, 98 AD3d 1049; *Matter of Claudia E. v Ryan*, 61 AD3d 865; *Matter of D'Alessandro v West Hempstead Fire Dist.*, 53 AD3d 576.) II. St. John's University School of Law's decision was not so disproportionate as to be shocking to one's sense of fairness. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Quercia v New York Univ.*, 41 AD3d 295; *Matter of Coleman v Hackley School*, 251 AD2d 328; *Matter of Harris v Trustees of Columbia Univ.*, 98 AD2d 58, 62 NY2d 956; *Martin v Helstad*, 699 F2d 387; *Matter of Harwood v Addison*, 118 AD3d 1484; *Matter of Grady v New York State Off. of Children & Family Servs.*, 39 AD3d 1157; *Yelder v Walters*, 64 AD3d 762; *Misicki v Caradonna*, 12 NY3d 511; *Matter of Shah v Union Coll.*, 97 AD3d 949.) III. Appellant's challenge to St. John's University School of Law's decision is now moot.

Judith M. Whiting, General Counsel, Community Service Society of New York, New York City (*Kimberly D. Westcott, Paul Keefe* and *Alexandria Pulido* of counsel), for Community Service Society of New York and others, amici curiae. I. A truthful answer to an ambiguous question is not misrepresentation. (*Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309; *Matter of Exum v New York City Health & Hosps. Corp.*, 37 Misc 3d 1218[A], 2012 NY Slip Op 52078[U]; *Eiseman v State of New York*, 70 NY2d 175; *Moore v Board of Regents of Univ. of State of N. Y.*, 44 NY2d 593; *Matter of Patti Ann H. v New York*

Med. Coll., 88 AD2d 296; *Matter of Rizvi v New York Coll. of Osteopathic Medicine of N.Y. Inst. of Tech.*, 98 AD3d 1049; *Matter of Olsson v Board of Higher Educ. of City of N.Y.*, 49 NY2d 408; *Tedeschi v Wagner Coll.*, 49 NY2d 652; *Jacobson v Sasser*, 66 NY2d 991; *Guardian Life Ins. Co. of Am. v Schaefer*, 70 NY2d 888.) II. Screening out applicants with criminal convictions does not increase safety and perpetuates racial disparities. III. Higher education opens economic opportunities and reduces recidivism among people with criminal records. (*Tedeschi v Wagner Coll.*, 49 NY2d 652; *Klinge v Ithaca Coll.*, 244 AD2d 611.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

This proceeding pursuant to CPLR article 78 challenges a determination of St. John's University School of Law to rescind petitioner David Powers's admission, after he had completed three semesters of law school as a part-time student, based on material misrepresentations and omissions in his application regarding his criminal history. We agree with the Appellate Division that this determination "was not arbitrary and capricious, and does not warrant judicial intervention" (110 AD3d 888, 889 [2013]).

I.

In November 2005, Powers submitted an application to St. John's University School of Law to become a part-time law student. The application included the following question:

"Have you ever been charged with, pleaded guilty to, or been found guilty of any crime, offense, or violation (other than a minor traffic violation), or is any such action pending or expected to be brought against you? . . .

"If yes, please explain in a supplementary statement or electronic attachment the relevant facts, including the nature of the offense, the dates and courts involved, and the penalty imposed, if any. *Note: Although a conviction may have been sealed or expunged from the record by an order of the court, it nevertheless should be disclosed in answer to this question.*"

Powers answered the question “Yes” and submitted a three-page “Background Disclosure” in which he stated, among other things, that he was “not proud to admit that [he had] used drugs,” that in July of 1999 “[he] remembered being pulled over by the police shortly after a drug deal,” and that “[a]fter about a year, the case proceeded and [he] accepted a plea bargain to attend an inpatient rehabilitation program and complete probation.” He stated that he was convicted of “third degree possession of a controlled dangerous substance.” Powers did not, as required by the application, explain all of the relevant facts or the “nature of the offenses” for which he was charged. He had in fact been charged in the State of New Jersey with distribution of LSD, second degree; possession of LSD with intent to distribute, second degree; possession of drug paraphernalia; possession of MDMA (colloquially known as Ecstasy), third degree; possession of MDMA with intent to distribute; possession of LSD, third degree, and possession of a controlled dangerous substance in a motor vehicle.

Further, Powers did not accurately represent his convictions. He stated that he had been convicted of third-degree possession of a controlled dangerous substance, while in fact, he had pleaded guilty to second-degree distribution of LSD, and second-degree possession of LSD with intent to distribute. The plea included an agreement that if defendant entered and successfully completed an inpatient program of at least nine months including any aftercare treatment, the State would consent to the defendant withdrawing his plea and entering a guilty plea to possession with intent to distribute in the third degree, as amended, where the recommended sentence would be probation and credit for time served in the inpatient program. The record shows that defendant did in fact withdraw his plea and enter a guilty plea to possession with intent to distribute in the third degree. That is not a guilty plea to third-degree possession of a controlled dangerous substance, as Powers had reported in his application.*

The omissions and misrepresentations first came to the attention of the law school after Powers had completed three semesters as a part-time student, and while he was on a leave of absence and working in Hong Kong. In September 2008, he wrote to the Senior Assistant Dean for Students, Katherine Sullivan, stating that he intended to petition the Committee on Character and Fitness for an advance ruling with respect to

* The records of Powers’s arrest and convictions were expunged by order of the Superior Court of New Jersey, Morris County, dated October 27, 2005.

his past conduct and his fitness to be admitted to the New York bar, and he requested a letter of support from the law school. Powers subsequently sent Dean Sullivan a draft of his letter to the Committee on Character and Fitness, which stated, among other things, that he had used drugs habitually from age 16 to 21, that he “sometimes would sell drugs to others” and that in July 2001, he had been arrested for “distribution of LSD to an undercover officer and possession of Ecstasy.” The Dean responded to Powers that the information he had provided to the Committee on Character and Fitness was not included in his application to the law school, and that accordingly, the law school would not be providing him with a letter of support.

In November 2009, Powers applied for an extension of his leave of absence to spring 2011, which was granted. In July 2010, Powers requested from the law school a letter of good standing so that he could apply for a semester abroad in Tokyo. At that point, Dean Sullivan sought guidance from other senior administrators, including then Assistant Dean for Students-Designate Larry Cunningham. It was decided that the law school would not provide the letter, and that, because it was apparent that Powers intended to pursue his legal career, the law school would start the process that it uses with respect to misrepresentations and omissions on applications.

The school advised Powers that in order to continue at the school, he must seek to amend his application, including a full accounting of the criminal activity at issue and an explanation of why he had not disclosed it in his initial application. Powers was informed that upon receipt of the materials, the law school would determine whether the nondisclosure and underlying criminal activity warranted disciplinary action, which could include rescission of his admission to the school.

Powers responded in June 2010 by providing, among other things, a copy of his presentence report which showed the charges against him and his convictions pursuant to his plea. He had not included that report with his original application. He stated that he had consulted counsel about what he should disclose on his law school application, and that he did not see any need to amend the application because he considered the statement in his application to be adequate. He wrote that he would be in New York in July and available for a meeting.

In July 2010, Powers met with Dean Sullivan, Associate Academic Dean and Professor of Law Valentine Turano, Vice Dean

Emeritus Andrew Simons and Dean Cunningham. He was given an opportunity to explain his actions and was told he could submit a written request to amend his law school application. Powers wrote to Dean Cunningham and stated, among other things, that he had looked over the statement that accompanied his application “and would like to reaffirm that there is nothing in the statement which is factually incorrect or needs to be amended. The statement addresses relevant facts, the nature of the offense, dates and the penalty imposed.” He also wrote that the presentence report clearly showed the original charges as well as the final charges and the charges that the State consented to upon his completion of a rehabilitation program. He noted that he had completed the program as required and that the State had consented to a new guilty plea of possession with intent to distribute in the third degree. He explained that although he was arrested for distribution, that was not something he did with regularity.

In September 2010, the law school notified Powers that his application contained material omissions and misrepresentations involving criminal charges brought against him, that he had subsequently advised the school that he had been charged with distribution of LSD and Ecstasy, and that the law school was rescinding his admission.

II.

Courts have a “restricted role” in reviewing determinations of colleges and universities (*Maas v Cornell Univ.*, 94 NY2d 87, 92 [1999] [internal quotation marks omitted]). A determination will not be disturbed unless a school acts arbitrarily and not in the exercise of its honest discretion, it fails to abide by its own rules (*Matter of Harris v Trustees of Columbia Univ. in City of N.Y.*, 62 NY2d 956, 959 [1984], *rev’d for reasons stated in dissenting op of Kassal, J.*, 98 AD2d 58, 67-73 [1983]) or imposes a penalty so excessive that it shocks one’s sense of fairness (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 234 [1974]). None of those factors is present here.

The law school’s treatment of Powers was rational insofar as it was not wholly inconsistent with the school’s approach to rescission of admission in general. The law school states that while it routinely receives, and often grants, requests from enrolled students to amend the criminal history sections of their applications, such amendments usually involve minor of-

fenses such as open container or traffic violations, or small quantity marijuana possession. Amendments are by no means guaranteed—the law school states that on at least two occasions, when the information contained in the subsequent disclosure would have prevented the individual from being considered for admission, the students' admission was rescinded.

The law school avers that it has an unwritten policy of not admitting people who sell drugs and that if Powers had disclosed on his application that his arrest was for the distribution of LSD to an undercover officer and possession with intent to distribute, his application would have been denied during the initial screening process. The school explains that it generally distinguishes between applicants with a history of personal drug use, and those with a history of drug dealing—the former can be accepted under certain circumstances, but the latter are not. That is not an irrational policy and certainly within the exercise of the law school's honest discretion. While Powers questions whether there is such a policy because it is not memorialized in writing, it is not necessary that the policy be in writing for the school to apply the policy. It would be untenable for courts to require that every factor that is taken into consideration during the admission process be reduced to writing. Further, the law school's response to Powers's belated disclosure was not arbitrary or capricious, given that Powers was on notice, based on the electronic certification that he submitted with his application, that the failure to provide truthful answers to the questions could result in denial of admission, dismissal, or rescission of an awarded degree from the school.

Additionally, the law school did not fail to follow its own rules and procedures. Powers was not, as he contends, entitled to the grievance procedure set forth in the student handbook. The handbook states that it "is concerned specifically with the conduct of students with respect to academic and related matters." The handbook has sections that deal with schoolwork, attendance, and examinations. Thus, it is clear that the grievance procedure does not apply to conduct of students that is unrelated to academic and related matters, or unrelated to conduct of students when they are enrolled (i.e., conduct connected to the application process) (see *Matter of Mitchell v New York Med. Coll.*, 208 AD2d 929, 930 [2d Dept 1994] [medical student not entitled to a formal hearing pursuant to a student

handbook before being dismissed for a misrepresentation he made in the admission process because the section of the handbook upon which he relied was clearly aimed at misconduct committed by an individual while a student at the school, not fraudulent acts committed prior to admission]). Notably, while the law school did not apply the formal grievance procedure, it did give Powers a chance to amend his application and explain the misrepresentations and omissions in writing, in addition to affording him an opportunity to meet with school administrators to explain his actions.

Finally, the penalty was not so “disproportionate to the misconduct” (*Pell*, 34 NY2d at 234) as to be shocking to one’s sense of fairness. The law school application made it clear that dire consequences could result if there was a failure to provide truthful answers. Thus, Powers was on notice of the potential repercussions should he fail to truthfully and fully disclose his record. Given this notice and the school’s unquestionable interest in ensuring the integrity of the future attorneys under its tutelage, the penalty of rescission was not excessive.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question should not be answered as unnecessary.

PIGOTT, J. (dissenting). David Powers has accomplished a significant amount since his (now expunged) conviction. After successfully completing an in-house drug treatment program, he graduated summa cum laude with a Bachelor of Science degree in accounting and obtained a Master of Science degree in taxation. He is currently a certified public accountant at a well-recognized accounting firm, which hired Powers notwithstanding his prior conviction. St. John’s University School of Law is apparently not as forgiving.

I respectfully dissent because, in my view, St. John’s failed to demonstrate with admissible proof that, had it known in 2005 that Powers had been convicted of a “distribution” offense as opposed to a personal use offense (which is what Powers led the school to infer on his application), it would have denied his admission. The only indication that this was St. John’s “policy” back in 2005 was a hearsay statement contained in the only affidavit submitted by a St. John’s representative, Assistant Dean for Students, Larry Cunningham, who was apprised of that “policy” by one Robert Harrison, Assistant Dean for Admissions and Student Financial Services. Although Dean Harrison may

have conveyed to Dean Cunningham that had St. John's known that Powers had been convicted of a distribution offense it would have rejected Powers's application "out of hand and would not have been submitted to the Committee on Admissions for review and consideration," there is no affidavit from a St. John's representative who had personal knowledge that that was, in fact, St. John's policy when Powers applied in 2005. Whether that was, in fact, St. John's policy is crucial to the determination of this proceeding.

I also disagree with the imposition of this particular penalty—rescission of Powers's three semesters worth of credit. Ironically, the only reason the nature of Powers's conviction was disclosed was because Powers requested a letter from St. John's in support of his application for an advanced ruling from the Appellate Division concerning whether he would be admitted to the New York bar in light of his prior conviction, thereby demonstrating his clear goal of becoming an attorney. Given that Powers had obtained three semesters worth of credit and presumably paid tuition to attend, rescission of Powers's application is, in my view, too harsh a penalty for the alleged infraction.

Chief Judge LIPPMAN and Judges READ, STEIN and FAHEY concur; Judge PIGOTT dissents in an opinion; Judge RIVERA taking no part.

Order affirmed, with costs, and certified question not answered as unnecessary.

[32 NE3d 400, 10 NYS3d 185]

DOROTHY M. FAISON, as Administratrix of the Estate of PERCY LEE GOGINS, JR., Deceased, Appellant, v TONYA LEWIS, Also Known as TONYA TAYLOR and Another, et al., Defendants, and BANK OF AMERICA, N.A., Respondent.

Argued February 18, 2015; decided May 12, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 29, 2013. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Kings County (David I. Schmidt, J.), as had (1) granted that branch of the motion of defendant Bank of America, N.A., that was to dismiss the complaint insofar as asserted against it as time-barred, and (2) denied, as academic, that branch of plaintiff's cross motion that was to dismiss the statute of limitations affirmative defense insofar as asserted by defendant Bank of America, N.A.

Faison v Lewis, 106 AD3d 1047, reversed.

HEADNOTE

Limitation of Actions — Fraud — Claim against Forged Deed Not Subject to Statute of Limitations

A claim against a forged deed is not subject to a statute of limitations defense. Accordingly, the six-year statute of limitations for fraud claims set forth in CPLR 213 (8) did not foreclose plaintiff from seeking to set aside and cancel, as null and void, defendant bank's mortgage interest in real property conveyed on the authority of an allegedly forged deed. A forged deed is void ab initio, and a statute of limitations cannot validate what is void at its inception by the mere passage of time. Unlike a deed where the signature and authority for conveyance are acquired by fraudulent means, which is voidable but has the effect of transferring title until set aside, a forged deed containing a fraudulent signature is void initially and cannot convey good title, and it is legally impossible for anyone to become a bona fide purchaser—or a purchaser at all—of real property conveyed thereby. Likewise, no property can be encumbered in reliance on a forged deed, and the recording of a forged deed does not transform it into a document with legal authority to establish a valid property interest. Here, if the deed upon which defendant's mortgage interest was based was a forgery, as alleged by plaintiff, then it was never valid and thus not subject to a statute of limitations, thereby necessitating denial of defendant's motion to dismiss plaintiff's challenge thereto as time-barred.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Deeds § 165; AM JUR 2d, Fraud and Deceit §§ 329–333, 337, 342; AM JUR 2d, Limitation of Actions §§ 164, 375; AM JUR 2d, Quieting Title and Determination of Adverse Claims § 21.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:169–13:170, 13:216, 13:264–13:267, 13:271, 13:503–13:504, 13:522; CARMODY-WAIT 2d, Action to Recover Real Property § 89:33.

McKINNEY'S, CPLR 213 (8).

NY JUR 2d, Deeds §§ 20, 212, 218; NY JUR 2d, Fraud and Deceit § 211; NY JUR 2d, Limitations and Laches §§ 102–106; NY JUR 2d, Real Property—Possessory and Related Actions §§ 366, 519.

SIEGEL, NY PRAC § 43.

ANNOTATION REFERENCE

See ALR Index under Deeds and Conveyances; Forgery; Fraudulent Conveyances; Limitation of Actions.

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POINTS OF COUNSEL

Gordon & Haffner, LLP, Harrison (David Gordon and Steven R. Haffner of counsel), for appellant. I. Plaintiff's cause of action to declare the nullity of the forged deed is not subject to the statute of limitations. (*Symbol Tech., Inc. v Deloitte & Touche, LLP*, 69 AD3d 191; *Riverside Syndicate, Inc. v Munroe*, 10 NY3d 18; *Marden v Dorthy*, 160 NY 39; *Yin Wu v Wu*, 288 AD2d 104; *Karan v Hoskins*, 22 AD3d 638; *Kraker v Roll*, 100 AD2d 424; *Rosen v Rosen*, 243 AD2d 618; *Matter of Rothko*, 43 NY2d 305; *Diocese of Buffalo v McCarthy*, 91 AD2d 213; 3636 *Greystone Owners, Inc. v Greystone Bldg. Co.*, 51 AD3d 461.) II. Respondent lacked standing to assert the statute of limitations in defense of appellant's claim to declare the nullity of the forged deed. (*Perry v Williams*, 40 Misc 57; *Nash v Duroseau*, 39 AD3d 719; 527-9 *Lenox Ave. Realty Corp. v Ninth St. Assoc.*, 200 AD2d 531; *County of Tioga v Solid Waste Indus.*, 178 AD2d 873.)

Liezl Irene Pangilinan, Fidelity National Law Group, New York City, for respondent. I. The six-year statute of limitations contained in CPLR 213 (8) applies to all actions for fraud, including actions for forged deeds. (*Piedra v Vanover*, 174 AD2d 191; *JP Morgan Chase Bank, N.A. v Kalpakis*, 91 AD3d 722; *Shalik v Hewlett Assoc., L.P.*, 93 AD3d 777; *Vilsack v Meyer*, 96 AD3d 827; *Coombs v Jervier*, 74 AD3d 724; *Parrish v Unidisc Music, Inc.*, 68 AD3d 566; *Georgiou v Panayia of Mtns. Greek Orthodox Monastery, Inc.*, 16 AD3d 998; *Fitzgerald v Fitzgerald*, 301 AD2d 851; *Shannon v Gordon*, 249 AD2d 291; *Matter of Lupoli*, 237 AD2d 440.) II. The holding in *Riverside Syndicate, Inc. v Munroe* (10 NY3d 18 [2008]) was limited to agreements that are illegal and void as against public policy and is therefore inapposite to actions for fraud. (*Piedra v Vanover*, 174 AD2d 191; *Shalik v Hewlett Assoc., L.P.*, 93 AD3d 777.) III. A statute of limitations bar to forged deed claims is necessary to preserve the sanctity of title and protect property rights in New York State. (*Matter of Rothko*, 43 NY2d 305; *Piedra v Vanover*, 174 AD2d 191; *Diocese of Buffalo v McCarthy*, 91 AD2d 213; *3636 Greystone Owners, Inc. v Greystone Bldg. Co.*, 51 AD3d 461; *Witter v Taggart*, 78 NY2d 234.) IV. A mortgagee has standing to assert the statute of limitations as a defense to an action that would affect its interest in the mortgaged property. (*Matter of Rosevele Frocks, Inc. v Sommers*, 191 Misc 614; *Matter of McFarland*, 7 Misc 3d 1003[A], 2005 NY Slip Op 50418[U]; *Perry v Fries*, 90 App Div 484; *Perry v Williams*, 40 Misc 57; *Nash v Duroseau*, 39 AD3d 719; 527-9 *Lenox Ave. Realty Corp. v Ninth St. Assoc.*, 200 AD2d 531; *County of Tioga v Solid Waste Indus.*, 178 AD2d 873.)

OPINION OF THE COURT

RIVERA, J.

The legal question raised in this appeal is whether plaintiff Dorothy Faison is time-barred under CPLR 213 (8) from seeking to set aside and cancel, as null and void, defendant Bank of America's mortgage interest in real property conveyed on the authority of a forged deed. Under our prior case law it is well-settled that a forged deed is void ab initio, meaning a legal nullity at its inception. As such, any encumbrance upon real property based on a forged deed is null and void. Therefore, the statute of limitations set forth in CPLR 213 (8) does not foreclose plaintiff's claim against defendant. As the Appellate Division affirmed the dismissal of plaintiff's claims as time-barred, we now reverse.

I.

Plaintiff is the daughter and administrator of the estate of her father, Percy Lee Gogins, Jr. Gogins and his sister, defendant Dorothy Lewis (Lewis), inherited from their mother, as tenants in common, a three-family house in Brooklyn. A few years after the mother's death, in May 2000, Lewis conveyed by quitclaim deed her half-interest in the property to her daughter Tonya Lewis (Tonya). In February 2001, Tonya recorded a deed claiming to correct the prior deed from Lewis. This corrected deed, dated December 14, 2000, allegedly conveyed Gogins's half-interest in the real property to Tonya. Thus, if the corrected deed were valid, it would convey to Tonya a fee interest in the property. Gogins passed away in March 2001.

In September 2002, plaintiff filed an action on behalf of Gogins's estate against Lewis and Tonya, claiming the corrected deed was void because her father's signature was a forgery. In April 2003, Supreme Court dismissed the complaint on the ground that plaintiff lacked capacity to sue because she was not the estate's administrator. At the time, Gogins's widow was the administrator.

In December 2009, Tonya borrowed \$269,332 from defendant Bank of America (BOA), which she secured with the mortgage, granted in favor of defendant Mortgage Electronic Registration Systems, Inc. (MERS). Several months later, in July 2010, Surrogate's Court appointed plaintiff administrator of Gogins's estate. In her supporting affidavit explaining her delay in seeking appointment, plaintiff asserted that her mother's lawyer led her to believe that he had secured a judgment in favor of the estate, when in fact the lawyer, now disbarred, had failed to take action on her mother's behalf.

The month following her appointment, in August 2010, plaintiff filed the underlying action against Lewis, Tonya, BOA and MERS to declare the deed and mortgage null and void based on the alleged forgery. Thereafter, BOA moved to dismiss the complaint under CPLR 3211 (a) (5) as untimely under CPLR 213 (8), and plaintiff cross-moved to dismiss the statute of limitations affirmative defense asserted in the BOA and MERS joint answer. Supreme Court granted the motion to dismiss the complaint in its entirety as time-barred, and denied plaintiff's cross motion as moot.

The Appellate Division modified the order, denying the motion to dismiss as against the individual defendants and MERS,

on procedural grounds, leaving the action pending against those defendants (*Faison v Lewis*, 106 AD3d 1047 [2d Dept 2013]). On the merits, the Appellate Division concluded, in reliance on Second Department precedent, that plaintiff's forgery-based claim against defendant BOA was subject to the six-year statute of limitations for fraud claims set forth in CPLR 213 (8) (*id.* at 1048). We granted plaintiff leave to appeal against defendant BOA (22 NY3d 1193 [2014]).¹

II.

As a preliminary matter, because this is an appeal from a dismissal under CPLR 3211 (a) (5), “[w]e accept the facts as alleged in the complaint as true, accord plaintiff[] the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994] [citations omitted]). Accordingly, for purposes of this appeal, we must assume that the deed is forged.²

Plaintiff contends that a forged deed has long been treated as void ab initio, entirely without effect from inception. Therefore, the CPLR 213 (8) statute of limitations does not apply to her claims to vacate and declare the deed and defendant BOA's mortgage-based interest in the property a legal nullity. We agree.

In *Marden v Dorthy*, this Court held that a forged deed was void at its inception, finding it to be a “spurious or fabricated paper” (160 NY 39, 53 [1899]), a forgery characterized by “the fraudulent making of a writing to the prejudice of another's rights” (*id.*). As *Marden* noted, a forged deed lacks the voluntariness of conveyance (*see id.* at 54). Therefore, it holds a unique position in the law; a legal nullity at its creation is never entitled to legal effect because “[v]oid things are as no things” (*id.* at 56).

A forged deed that contains a fraudulent signature is distinguished from a deed where the signature and authority for conveyance are acquired by fraudulent means. In such latter cases, the deed is voidable. The difference in the nature of the two justifies this different legal status. A deed containing

1. We note that the Appellate Division order is final only as to defendant BOA.

2. In their answer, Lewis and Tonya assert that the deed is valid because “Percy Lee Gogins . . . authorize[d] and consented to the transfer and conveyance of his ownership interest in the Premises to Tonya Lewis.”

the title holder's actual signature reflects "the assent of the will to the use of the paper or the transfer," although it is assent "induced by fraud, mistake or misplaced confidence" (*Marden*, 160 NY at 50; *see also Rosen v Rosen*, 243 AD2d 618, 619 [2d Dept 1997]; 26A CJS, Deeds § 153 ["where the grantor knowingly executes the very instrument intended, but is induced to do so by some fraud in the treaty or by some fraudulent representation or pretense, the deed is merely voidable"]). Unlike a forged deed, which is void initially, a voidable deed, "until set aside, . . . has the effect of transferring the title to the fraudulent grantee, and . . . being thus clothed with all the evidences of good title, may incumber the property to a party who becomes a purchaser in good faith" (*Marden*, 160 NY at 50).

A forged deed, however, cannot convey good title, and "[i]t is legally impossible for any one [sic] to become a bona fide purchaser of real estate, or a purchaser at all, from one who never had any title, and that is this case" (*id.* at 56 [emphasis omitted]; *see also Yin Wu v Wu*, 288 AD2d 104, 105 [1st Dept 2001] ["A forged deed is void and conveys no title"]; 2-15 Warren's Weed, New York Real Property § 15.01 ["A purchaser who takes title through a forged deed cannot be a bona fide purchaser, even if the purchaser did not have knowledge of the forgery"]). New York's rule reflects a general well-established principle of real property law (*see e.g. Harding v Ja Laur Corp.*, 20 Md App 209, 214, 315 A2d 132, 135 [1974] ["A forged deed . . . is void ab initio"]; *Scott D. Erler, D.D.S. Profit Sharing Plan v Creative Fin. & Invs., L.L.C.*, 349 Mont 207, 214, 203 P3d 744, 750 [2009] ["forged conveyances are void ab initio and do not transfer title" (emphasis omitted)]; *Brock v Yale Mtge. Corp.*, 287 Ga 849, 852, 700 SE2d 583, 586 [2010] ["we have also long recognized that a forged deed is a nullity and vests no title in a grantee"]; *Akins v Vermast*, 150 Or App 236, 241 n 7, 945 P2d 640, 643 n 7 [1997] ["If fraud is 'in factum,' such as a forged deed or a situation analogous to forgery, the deed is void ab initio and will not support subsequent title in any person" (emphasis omitted)]; *First Natl. Bank in Albuquerque v Enriquez*, 96 NM 714, 716, 634 P2d 1266, 1268 [1981] ["a forged deed is a void deed and transfers no interest"]; *Williams v Warren*, 214 Ark 506, 511, 216 SW2d 879, 881 [1949] ["No one can claim that an estate in land should be divested by forgery"]).

It is similarly true that no property shall be encumbered, including by a mortgagee, in reliance on a forged deed (*see*

Marden, 160 NY at 51; see also *Cruz v Cruz*, 37 AD3d 754, 754 [2d Dept 2007] [“A deed based on forgery or obtained by false pretenses is void ab initio, and a mortgage based on such a deed is likewise invalid”]; *Jiles v Archer*, 116 AD3d 664, 666 [2d Dept 2014] [“If a document purportedly conveying a property interest is void, it conveys nothing, and a subsequent bona fide purchaser or bona fide encumbrancer for value receives nothing”]; 2-15 Warren’s Weed, New York Real Property § 15.09 [“If the conveyance is void, the purchaser or encumbrancer will not enjoy any of the rights of a bona fide purchaser”]; 43A NY Jur 2d, Deeds § 218 [“a forged deed is null and void, and conveys nothing, and a purchaser or mortgagee from the grantee, even for value and without notice of the forgery, will not be protected”]).

Moreover, New York’s recording statute (Real Property Law § 291) does not apply to a forged deed (see *Albany County Sav. Bank v McCarty*, 149 NY 71, 74 [1896]; *Grosch v Kessler*, 231 App Div 870, 870 [2d Dept 1930]). Neither can recording a forged deed transform it into a document with legal authority to establish a valid property interest, for it “does not change the legal rights of any one [sic]” (*Marden*, 160 NY at 56). “The fact that a false and fabricated writing of this character is deposited in a public office for record, and is actually recorded, can add nothing to its legal efficacy” (*id.*). The recording statute applies to “genuine instruments and not to forged ones” (*id.*, citing *Albany County Sav. Bank*, 149 NY 71).

Given the clarity of our law that a forged deed is void ab initio, and that it is a document without legal capacity to have any effect on ownership rights, the question remains whether a claim challenging a conveyance or encumbrance of real property based on such deed is subject to a time bar. Our case law permits only one answer: a claim against a forged deed is not subject to a statute of limitations defense.

As this Court held in *Marden*, a forged deed is void, not merely voidable. That legal status cannot be changed, regardless of how long it may take for the forgery to be uncovered. As this Court made clear in *Riverside Syndicate, Inc v Munroe*, a statute of limitations “does not make an agreement that was void at its inception valid by the mere passage of time” (10 NY3d 18, 24 [2008], citing *Pacchiana v Pacchiana*, 94 AD2d 721 [2d Dept 1983]). Consequently, plaintiff may seek to vacate the deed and defendant’s encumbrance upon the property. If, as plaintiff claims, the deed is a forgery, then it was never

valid and Tonya lacks title to Gogins's half-interest in the property based on the "corrected" deed.

Indeed, this is the prevailing approach in other jurisdictions (see e.g. *Moore v Smith-Snagg*, 793 So 2d 1000, 1001 [Fla Dist Ct App, 5th Dist 2001] [(o)f course, there is no statute of limitations in respect to the challenge of a forged deed, which is void ab initio" (emphasis omitted)]; see also *Wright v Blocker*, 144 Fla 428, 432-436, 198 So 88, 90-91 [1940]). The high court of West Virginia, for example, has observed that "there is no statute of limitations regarding void deeds" (*MZRP, LLC v Huntington Realty Corp.*, 2011 WL 12455342, *4, 2011 W Va LEXIS 240, *13 [Mar. 10, 2011, No. 35692] [void tax deed]), while the high court of Idaho held that "[b]ecause [a] lease agreement was void ab initio, it could be challenged at any time" (*Thompson v Ebbert*, 144 Idaho 315, 318, 160 P3d 754, 757 [2007] [attempted lease void based on a lack of authority to lease only a portion of the property]).

III.

Defendant BOA contends that plaintiff's claim is time-barred because forgery is a category of fraud, and, like any other claim based on fraud, an action challenging a forged deed is subject to the limitations period of CPLR 213 (8). That conclusion cannot be squared with our decisions in *Marden* and *Riverside Syndicate*, nor with general principles of real property law. Nor is it supported by compelling policy reasons. On the contrary, our long-standing commitment to the protection of ownership interests and the integrity of our real property system favors the continued treatment of challenges to forged deeds as distinct from other claims, and exempt from a statute of limitations defense.³

Most notably, defendant wholly fails to address *Marden* and the well-established authority distinguishing forged deeds as void ab initio from instruments that are merely voidable. Instead, defendant, and our dissenting colleagues, seek to

3. Our dissenting colleagues contend that innocent purchasers who rely on the chain of title will be adversely affected if no statute of limitations applies to forged deed claims (see dissenting op at 236). However, many individuals rely on the validity of the recording system. The dissenters fail to recognize the great harm done if forged deeds may be permitted to obtain legal effect simply through the passage of time. Moreover, even under the dissenters' approach, a forged deed claim may still be timely after six years, if filed pursuant to the discovery rule of CPLR 213 (8).

distinguish *Riverside* as a case about illegal contracts, not deeds, and thus should be limited to its subject matter, namely instruments void at inception due to illegality. We are unpersuaded. The fact that *Riverside* involved an illegal agreement is no basis to limit its analysis as regards the statute of limitations. Instead, the language and analysis employed in *Riverside* make clear that the holding was based on a rule that is generally applicable to claims involving void documents, including, obviously, forged deeds.

First, *Riverside* relied on “the nature of a statute of limitations” (10 NY3d at 24). That, of course, refers to the statute’s function as barring stale claims. In contrast, a statute of limitations cannot grant legal significance to a document expressly rejected under the law; it cannot be deployed to validate what the law has never recognized.

Second, *Riverside* cited *Pacchiana*, a case that exempted a void document from the application of the statute of limitations, and in doing so distinguished between void and voidable documents, highlighting the significance of that legal distinction. In *Pacchiana*, the Appellate Division held that where a prenuptial agreement fails to comply with real property rules regarding the proper recording of a conveyance, the agreement is void at its inception and cannot be subject to the statute of limitations (*Pacchiana*, 94 AD2d at 722). Although the case involved a contract and not a forged deed, the Court nevertheless relied on statutory rules of real property conveyance, not general public policy against illegal contracts, in finding the prenuptial agreement to be void (*id.* at 721). Given this Court’s reliance on *Pacchiana*, the *Riverside* decision clearly applied a rule of general applicability regarding void documents to the specific facts of that case. There is, then, no reason to limit *Riverside*’s reach, or forgo application of the same general rule—a document void at its inception has no effect and cannot be subject to a statute of limitations—to cases involving a forged deed.

The defendant notes that the agreement in *Riverside* violated the Rent Stabilization Code, and because of its illegal nature violated public policy. However, defendant ignores the significant public policies underlying our real property system, which have animated the previously discussed real property rules that treat forged deeds as a legal nullity. The public policy concerns that underlie prohibitions on enforcement of illegal contracts are surely no more consequential than those appli-

cable to forged deeds, and a forged deed is no less offensive to our legal system than an illegal contract. As the Court stated in *Marden*, a forged deed is essentially “[a] false making, with an evil design” (160 NY at 55). Indeed, New York has determined that forgery is sufficiently morally unacceptable and dangerous to society that our State has criminalized forgery, subjecting wrongdoers to potential criminal prosecution with the attendant risk of incarceration (*see* Penal Law §§ 170.05, 170.10, 170.15). Therefore, we will not impose statutes of limitations on forged deeds because the resulting prejudice to the “rights of the true owner of real estate” only “open[s] the door for the destruction of all titles, and make[s] it much easier for the criminal to purloin real than personal property” (*see Marden*, 160 NY at 57-58).

Having failed to persuade based on our case law, the defendant argues that a statute of limitations is necessary to protect the sanctity of real property titles. However, section 213 (8) contains a two-year discovery rule, which potentially extends the life of a claim years beyond the six-year statutory term. As a consequence, land titles already are subject to challenge, based on a forged deed, far into the future.⁴

Moreover, in a line of cases including *Ford v Clendenin* (215 NY 10 [1915]) and the more recent *Orange & Rockland Util. v Philwold Estates* (52 NY2d 253 [1981]), we recognized that certain property interests are exempt from any time limit. This Court observed in *Ford* that

“an owner in possession has a right to invoke the aid of a court of equity at any time while he is so the owner and in possession, to have an apparent, though in fact not a real incumbrance discharged from the record and such a right is never barred by the Statute of Limitations. It is a continuing right which exists as long as there is an occasion for its exercise” (215 NY at 16; *see also Orange & Rockland Util.*, 52 NY2d at 261, citing *Ford*).

Similarly, this Court held in *Cameron Estates, Inc. v Deering* that the statute of limitations did not bar plaintiff’s action

4. Our dissenting colleagues find the discovery rule advantageous because it allows a victim of fraud to pursue a claim beyond the six-year statute of limitations prescribed by the CPLR (*see* dissenting op at 234). That possibility of filing a claim years, if not decades, after the deed is forged is the very reason why the defendant and dissenters’ arguments for a statute of limitations are underwhelming.

challenging the forced sale of property where plaintiff paid all required taxes, rendering the underlying tax deed void ab initio (308 NY 24, 31 [1954]). Thus, contrary to defendant's argument, there are property claims that cannot be extinguished by the passage of time.

Our dissenting colleagues argue that a statute of limitations is necessary in order to avoid litigation over claims which are difficult to defend because of the mere passage of time (*see* dissenting op at 234). As we have stated, the discovery provision in the statute allows for this possibility (*see* CPLR 213 [8]). In any case, the stale claims alluded to are just as likely to be difficult to prove, reducing the number of claims that will be filed when evidence has been destroyed and memories have faded.⁵ Moreover, the argument for bringing finality to potentially stale claims fails to make the case for why the desire for repose is any more significant than the need to ferret out forged deeds and purge them from our real property system. As the law makes clear, a forged deed has no legal significance and cannot convey title, therefore there is no reason to impose barriers to those who seek to vacate such deed as null and void.⁶

IV.

For over a century, since this Court's decision in *Marden*, a forged deed has been treated in New York as void ab initio. As the Court recognized in *Riverside*, a statute of limitations cannot validate what is void at its inception. Therefore, a void deed is not subject to a statutory time bar. The defendant's arguments are in contravention of *Marden* and *Riverside*, and would subject a claim of deed forgery to a six-year statute of

5. In her reply brief, plaintiff concedes, and indeed affirmatively asserts, that forged deed claims are subject to a laches defense. This is generally the case in states that consider forged deeds void and thus apply no statute of limitations to bar actions to invalidate such deeds (*see e.g. Robinson v Estate of Harris*, 391 SC 114, 131, 705 SE2d 41, 50 [2011]). On this appeal, however, we need not consider laches because we must accept as true plaintiff's claims that she diligently sought to vacate the deed on forgery grounds (*see Martinez*, 84 NY2d at 87-88).

6. Our dissenting colleagues argue that the loss of property suffered by a plaintiff whose forged deed claim is time-barred is no more offensive than the loss experienced by any other plaintiff whose claim is foreclosed as untimely (*see* dissenting op at 236). This is no point at all because it ignores the fact that forged deeds not only harm the true owner, but also undermine the integrity of our real property system. It is a harm so substantial that we have determined to avoid the effects of a forged deed by denying it any legal significance. It is, in the words of *Marden*, "no thing[]" (*Marden*, 160 NY at 56).

limitations under CPLR 213 (8), with the result that a forged deed may be relied upon to convey title and for purposes of encumbering real property. However, under well-established real property principles, because only a holder of legal title may convey an interest in real property, no property interest can be conveyed by a forged deed, and no person may be a bona fide purchaser of real estate on the force of such deed. Moreover, our recording statute does not apply to a forged deed, with the consequence that recording a forged deed cannot transfer title. We, thus, decline the defendant's invitation to unsettle this established doctrine to the detriment of our State's real property recording system.

To adopt defendant's position is to permit a forged deed to accomplish, by the mere passage of time, what has always been forbidden—the encumbrance and transfer of title. Neither law nor public policy nor common sense dictates such outcome. Defendant fails to present a compelling reason to overturn or ignore our prior case law in the area of real property because as we have recognized, “parties in business transactions depend on the certainty of settled rules, ‘in real property more than any other area of the law, where established precedents are not lightly to be set aside’ ” (172 *Van Duzer Realty Corp. v Globe Alumni Student Assistance Assn., Inc.*, 24 NY3d 528, 535 [2014], citing *Holy Props. v Cole Prods.*, 87 NY2d 130, 134 [1995]). No less so with respect to forged deeds, because landowners, banks, mortgagees, insurers, and a myriad of others depend on the simple rule that a forged deed is a legal nullity that cannot divest ownership or serve to encumber real property.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed and defendant Bank of America, N.A.'s motion to dismiss the complaint against it pursuant to CPLR 3211 (a) (5) denied.

Chief Judge LIPPMAN (dissenting). I believe that plaintiff's action against defendant Bank of America, seeking to invalidate the Bank's mortgage interest in real property conveyed by an allegedly forged deed, is subject to the six-year statute of limitations under CPLR 213 (8). Because plaintiff did not commence this action within either the applicable six-year limitation period, or two-year discovery window provided by the statute, I would find that the claim is time-barred. In 1996, defendant Dorothy Lewis and her brother, Percy Lee Gogins, Jr.,

inherited property located at 1900 Bergen Street in Brooklyn. They took title to the property as tenants in common, each with an undivided one-half interest. Dorothy Lewis subsequently conveyed her interest in the property to her daughter, defendant Tonya Lewis, by quitclaim deed dated May 21, 2000. On February 14, 2001, Tonya Lewis recorded a “correction deed” dated December 14, 2000. That document, which plaintiff alleges is a forgery, purported to correct the earlier quitclaim deed by adding Percy Gogins as an additional grantor, thereby conveying the entire property to Tonya Lewis. Percy Gogins died in March 2001.

Plaintiff Dorothy Faison, Percy Gogins’ daughter, commenced a pro se action in Supreme Court in September 2002, alleging that the Lewis defendants had engaged in a scheme to defraud by forging and filing a false deed. The complaint was dismissed under CPLR 3211 (a) because plaintiff lacked capacity to maintain it, as she had not been appointed the administrator of her father’s estate, and for failure to state a cause of action upon which relief could be granted.

Years passed, during which plaintiff took no further action. In December 2009, defendant Tonya Lewis obtained a mortgage on the property from defendant Bank of America in the amount of \$269,332. Soon thereafter, plaintiff petitioned Surrogate’s Court for a decree appointing her the administrator of Percy Gogins’ estate. In connection with that proceeding, plaintiff submitted an affidavit of delay, in which she represented that she had discovered the existence of the forged deed “[a]t some time in or around 2003.” Plaintiff was appointed the administrator of her father’s estate in July 2010.

The following month, plaintiff commenced this action, in her capacity as administrator of Gogins’ estate, against the Lewis defendants, Bank of America and defendant Mortgage Electronic Registration Systems, Inc. (as nominee for Bank of America). According to the complaint, plaintiff is a resident of the State of Georgia. Plaintiff alleged that Gogins had never authorized the transfer of his ownership interest in the property and that the December 2000 correction deed was a forgery. She sought a judgment declaring the deed null and void, directing defendant Tonya Lewis to disgorge half of all rents and profits generated by the premises, and setting aside and canceling the mortgage. The courts below granted Bank of America’s motion to dismiss the action under CPLR 3211 (a) (5) on statute of limitations grounds.

The majority finds that plaintiff's action should not have been dismissed as untimely—indeed, that it is not subject to any statute of limitations whatsoever—because the allegedly forged deed was void and therefore incapable of conveying any property interest. Since the void deed is a nullity, the majority finds that a property owner has no obligation to take prompt legal action to enforce her rights. The majority correctly relies on *Marden v Dorthy* (160 NY 39 [1899]) for the proposition that a forged deed is void at its inception (*see* majority *op* at 224). We agree with this long-held position. However, *Marden* is not a statute of limitations case and, therefore, reliance on its authority is inappropriate at this procedural juncture.

While a deed *proved* to have been a forgery cannot operate to affect ownership rights, this does not compel the result that the opportunity to challenge such conveyance is without limit. “Statutes of Limitation are essentially arbitrary time limitations barring the commencement of an action, and they reflect the legislative judgment that individuals should be protected from stale claims” (*McCarthy v Volkswagen of Am.*, 55 NY2d 543, 548 [1982]). While statutes of limitations foreclose a party's claim, they do not extinguish a party's underlying right (*see Hulbert v Clark*, 128 NY 295, 298 [1891]; *see also* Siegel, NY Prac § 34 at 44 [5th ed 2011] [“The theory of the statute of limitations generally followed in New York is that the passing of the applicable period does not wipe out the substantive right; it merely suspends the remedy”]).

“In examining the policies underlying Statutes of Limitation, this Court has emphasized both a defendant's interest in repose and ‘in defending a claim before [the] ability to do so has deteriorated through passage of time.’ We have also taken note of considerations of judicial economy and possible plaintiff fraud where excessive factual inquiries would be necessary. Balanced against these considerations is the injured person's interest in having a reasonable opportunity to assert a claim” (*Blanco v American Tel. & Tel. Co.*, 90 NY2d 757, 773-774 [1997] [citations omitted]).

I would conclude that an action to invalidate a forged deed is subject to a statute of limitations defense. Forgery is closely related to and essentially a type of fraud. We have previously observed that forgery was “defined by the common law to be the fraudulent making of a writing to the prejudice of

another's rights, or the making *mallo animo* of any written instrument for the purpose of fraud and deceit" (*Marden*, 160 NY at 53 [citations omitted]). It is therefore logical and reasonable to apply the statute of limitations for fraud to forgery claims (*see e.g. Piedra v Vanover*, 174 AD2d 191, 194 [2d Dept 1992]). Under CPLR 213 (8), such a cause of action must be commenced within "the greater of six years from the date the cause of action accrued or two years from the time the plaintiff . . . discover[s] the fraud, or could with reasonable diligence have discovered it." The application of the statute of limitations here has the benefit of imposing some limit on the time in which claims can be brought, while also leaving a discovery window for forgery claims which, like fraud, can be concealed from the plaintiff.

A contrary rule under which plaintiff would prevail entails no statute of limitations applicable to an action alleging forgery. We have never so held. To the contrary, the CPLR imposes a six-year limitations period for "action[s] for which no limitation is specifically prescribed by law" (CPLR 213 [1]). And, despite the majority's repeated invocation of the well-settled principle that a forged deed is a void instrument, not one of the cases it cites addresses the timeliness of this type of action. Rather, New York courts that have considered the issue have consistently applied a six-year statute of limitations to situations like this one (*see Vilsack v Meyer*, 96 AD3d 827 [2d Dept 2012]; *Shalik v Hewlett Assoc., L.P.*, 93 AD3d 777 [2d Dept 2012]; *JP Morgan Chase Bank, N.A. v Kalpakis*, 91 AD3d 722 [2d Dept 2012]; *Coombs v Jervier*, 74 AD3d 724 [2d Dept 2010]; *Georgiou v Panayia of Mtns. Greek Orthodox Monastery, Inc.*, 16 AD3d 998 [3d Dept 2005]; *Piedra*, 174 AD2d 191; *see also Endervelt v Slade*, 194 AD2d 305 [1st Dept 1993]).

Indeed, the absence of any limitations period could result in the commencement of actions that the passage of time makes exceedingly difficult, or impossible, to defend; a plaintiff could, for instance, bring the claim long after the relevant events, but just after the death of the crucial defense witness. Notably, although the majority observes that Florida technically imposes no statute of limitations in this context, that state has the "Marketable Record Title Act," which, with certain exceptions, essentially deems properly recorded deeds to be valid after a 30-year period (*see Fla Stat § 712.02; H & F Land, Inc. v Panama City-Bay County Airport & Indus. Dist.*, 736 So 2d 1167, 1172 [Fla 1999] ["a root of title based upon a forged deed would

prevail even over an otherwise entirely valid deed recorded earlier in the chain of title”]; *Marshall v Hollywood, Inc.*, 236 So 2d 114, 120 [Fla 1970]).

In analogous circumstances to those presented here, we have required individuals to abide by applicable limitations periods (see e.g. *Ford v Clendenin*, 215 NY 10, 17 [1915] [applying a 10-year statute of limitations to an action in equity to quiet title by one who was out of possession]; 8-87 Warren’s Weed, New York Real Property § 87.45; *Hechter v New York Life Ins. Co.*, 46 NY2d 34, 39 [1978] [applying a six-year statute of limitations to a UCC claim “against a bank for collecting an instrument over a forged indorsement”]). And, while forgery is subject to criminal liability, there is also a statute of limitations applicable to those crimes (see CPL 30.10 [2] [b], [c]; Penal Law §§ 170.05, 170.10, 170.15 [five years for the felony offenses of first- and second-degree forgery and two years for the misdemeanor offense of third-degree forgery]).

Plaintiff asserts that the decision below conflicts with our holding in *Riverside Syndicate, Inc. v Munroe* (10 NY3d 18 [2008]), wherein we determined that an agreement to pay illegal rent for a rent-stabilized apartment was void and unenforceable by either party. The agreement, under which the tenants agreed to waive the benefit of rent stabilization in exchange for the ability to use the apartment as a second home, was deemed to be violative of public policy and contrary to the express terms of the Rent Stabilization Code (see *Riverside Syndicate*, 10 NY3d at 22). We rejected the argument that the landlord’s action, seeking a declaration that the agreement was void, was barred by the six-year statute of limitations pertaining to contractual obligations or liability (see *Riverside Syndicate*, 10 NY3d at 24; CPLR 213 [2]). We noted that “[t]his action [was] not one ‘upon a contractual obligation or liability’ ” for which the six-year limitations period was set forth in CPLR 213 (2), but was “to declare that no valid contractual obligations ever existed” (*Riverside Syndicate*, 10 NY3d at 24).

Riverside is unlike the situation presented here. It is well settled that “illegal contracts, or those contrary to public policy, are unenforceable and that the courts will not recognize rights arising from them” (*Szerdahelyi v Harris*, 67 NY2d 42, 48 [1986]). “[T]he law ‘will not extend its aid to either of the parties [to an illegal contract]’ or ‘listen to their complaints against each other, but will leave them where their own acts have placed them’ ” (*Stone v Freeman*, 298 NY 268, 271 [1948], quot-

ing *Schermerhorn v Talman*, 14 NY 93, 141 [1856]). Plaintiff's claim, seeking to invalidate an allegedly forged deed, does not involve the same public policy concerns. In contrast with the situation presented by parties attempting to enforce an illegal contract—which only involves those parties—in a dispute over real property ownership rights, the rights of an unlimited number of innocent purchasers who rely on the transfer documents in a chain of title can be affected by a forged deed.*

Plaintiff also relies upon *Cameron Estates, Inc. v Deering* (308 NY 24 [1954]), in which we held that the statute of limitations could not be invoked to prevent a taxpayer from challenging a void tax deed. That case, however, is also inapt. The plaintiff in *Cameron Estates* had paid the taxes on the property and brought the action to remove a cloud on his title.

“When void tax deeds are attempted to be made prima facie evidence of the regularity of the proceedings, equity will interfere to permit removal as a cloud on title which right may be invoked by the owner in possession at any time as ‘such a right is never barred by the Statute of Limitations’ ” (*Cameron Estates*, 308 NY at 31 [citations omitted]).

Plaintiff does not claim to be in possession of the property and it is therefore unnecessary to address the consequences of what would flow from such fact.

The stability of the State's real property system is plainly important and the idea of losing one's property because of a forged deed is, of course, offensive. But it is no more so than the plight of any innocent plaintiff being barred from attempting to obtain relief from an injury by failing to commence an action within the time limits set by the legislature. Indeed, it is the prospect of no repose, particularly where the property may have changed hands since the allegedly forged deed, that would appear to endanger the stability of real property transactions. The majority's rule permits a person who discovers a

* The majority's reliance on *Riverside's* reference to *Pacchiana v Pacchiana* (94 AD2d 721 [2d Dept 1983]) appears to be misplaced. That case did not rely on statutory rules of real property conveyance to find the prenuptial agreement void. Rather, the opinion merely referenced real property rules in addressing the plaintiff's claim that the agreement had not been executed in conformity with the acknowledgment requirements for such agreements contained in Domestic Relations Law § 236 (B) (3) (see *Pacchiana*, 94 AD2d at 721-722; see also EPTL 5-1.1 [f] [2]; Domestic Relations Law § 236 [B] [3]).

forged deed to sit on his or her rights and commence an action at any time. Thus, a plaintiff could do nothing until it became impossible to defend a claim of forgery, thereby making title to real property subject to reversal indefinitely. Contrary to the majority's position that its rule will foster security, in fact, the absence of a statute of limitations will result in just the opposite because, under the majority's holding, every deed is subject to attack at any time. Limitation periods can sometimes work a hardship, but they are set for a reason and particularly where, as here, a discovery window applies, there is no compelling reason to exempt an entire cause of action from any time limit at all.

Here, the deed was allegedly forged in December 2000. In addition, according to her Surrogate's Court submission, plaintiff had been aware of the deed no later than 2003 (indeed, a prior action was commenced in Sept. 2002). Since, in this circumstance, the two years afforded by the discovery rule would not have extended the six-year statute of limitations, I would find that this action as against the Bank, which was not commenced until August 2010, was untimely and was properly dismissed by the courts below.

Judges READ, PIGOTT and FAHEY concur; Chief Judge LIPPMAN dissents in an opinion in which Judges ABDUS-SALAAM and STEIN concur.

Order, insofar as appealed from, reversed, with costs, and defendant Bank of America, N.A.'s motion to dismiss the complaint against it pursuant to CPLR 3211 (a) (5) denied.

[32 NE3d 930, 10 NYS3d 495]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SERGIO RODRIGUEZ, Appellant.

Argued March 23, 2015; decided May 7, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 12, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Edward J. McLaughlin, J.), which had resentenced defendant, as a second violent felony offender, to consecutive determinate terms of 25 years on his conviction of robbery in the first degree and 15 years on his conviction of assault in the first degree and concurrent determinate terms on the remaining counts, to be followed by five years of postrelease supervision.

People v Rodriguez, 112 AD3d 488, affirmed.

HEADNOTES

Crimes — Sentence — Concurrent and Consecutive Terms — Realignment of Legally Imposed Sentences on Remittal

1. Where the Appellate Division, on a prior appeal from defendant's conviction of attempted murder, assault and various robbery counts arising out of a theft and related shooting, was authorized by CPL 470.20 to remit the matter to the sentencing court for consideration of whether one of defendant's robbery sentences should be modified to run consecutively in light of the appellate court's correction of the unlawful imposition of consecutive sentences with respect to his assault and attempted murder convictions, the sentencing court's realignment of defendant's sentences in accordance with the Appellate Division's directive did not violate CPL 430.10's prohibition against modifying a lawful sentence once it has commenced. The clear import of a holding that CPL 470.20 provided the Appellate Division with the discretion to direct realignment of defendant's legally imposed sentences was that, by extension, the sentencing court was authorized to take such corrective action—imposing consecutive sentences with respect to defendant's assault conviction and one of his robbery convictions—because it was specifically empowered to do so by the Appellate Division.

Crimes — Sentence — Concurrent and Consecutive Terms — Imposition of Consecutive Sentences on Assault and Robbery Convictions

2. Upon defendant's conviction of attempted murder, assault and various robbery counts arising out of a theft and related shooting, the sentencing court lawfully imposed consecutive sentences for defendant's convictions of first-degree assault under Penal Law § 120.10 (1), based on causing serious physical injury with a deadly weapon, and first-degree robbery under Penal

Law § 160.15 (4), involving the display of a firearm. Even if the statutory elements of defendant's assault and robbery convictions overlapped, the People demonstrated that the assault count and the robbery count were committed by separate and distinct acts. Penal Law § 70.25 (2) mandates that concurrent sentences be imposed for "two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other." Here, according to the victim's trial testimony, defendant gestured with a firearm and demanded that the victim relinquish his gold chain. The victim was acquiescing when, in an action completely unrelated to any use of force necessary to overcome resistance or compel compliance in order to effectuate the robbery, defendant repeatedly shot the victim. On this record, the mere fact that the shooting interrupted, rather than succeeded, the theft did not render indivisible these separable acts. Moreover, since the jury need not have concluded under the instructions given that the assault occurred in furtherance of the robbery, as compared to merely during the course thereof, the robbery and assault were not necessarily a single act because defendant was also charged with and convicted of first-degree robbery under Penal Law § 160.15 (1).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 833, 835, 858, 860–862.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:6, 203:9,
203:209, 203:210, 203:220; CARMODY-WAIT 2d, Appeals
in Criminal Cases § 207:208.
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.3,
26.6.
MCKINNEY'S, CPL 430.10, 470.20; Penal Law § 70.25 (2).
NY JUR 2d, Criminal Law: Procedure §§ 2927, 2928, 3158,
3172, 3624–3626.

ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Sentence and Punishment.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Susan H. Salomon of counsel), for appellant. I. Notwithstanding a sentencing remand order from the Appellate Division, which this Court affirmed, CPL 430.10 barred the resentencing court from changing from concurrent to consecutive, thus to appellant's detriment, two of his then extant and

lawful sentences, which he had begun to serve. (*People v Stuart*, 123 AD2d 46; *Matter of Brusco v Braun*, 84 NY2d 674; *Matter of Bernstein Family Ltd. Partnership v Sovereign Partners, L.P.*, 66 AD3d 1; *People v Junco*, 43 AD2d 266, 35 NY2d 419; *People v Romain*, 288 AD2d 242; *People v Kadry*, 63 AD3d 856; *Courtesy Sandwich Shop v Port of N.Y. Auth.*, 12 NY2d 379; *People v Richardson*, 100 NY2d 847; *People v Adkinson*, 88 NY2d 561; *People v Allende*, 78 AD3d 553.) II. The court's imposition of consecutive sentences violated Penal Law § 70.25 (2) and federal and state double jeopardy and due process. (*People v Wright*, 19 NY3d 359; *People v Laureano*, 87 NY2d 640; *People v Ramirez*, 89 NY2d 444; *People v Frazier*, 16 NY3d 36; *People v Yong Yun Lee*, 92 NY2d 987; *People v Tanner*, 30 NY2d 102; *People v Battles*, 16 NY3d 54; *People v Parks*, 95 NY2d 811; *People v LaSalle*, 95 NY2d 827.) III. The court's cynical remarks concerning appellant's uncontested rehabilitative achievements infected the resentencing proceeding, and the 40-year aggregate sentence imposed, with error. (*People v Kuey*, 83 NY2d 278; *People v Williams*, 239 AD2d 269; *People v Chen*, 176 AD2d 628; *People v Chambers*, 123 AD2d 270; *People v Hiemel*, 49 AD2d 769; *People v Brown*, 26 Misc 3d 1204[A], 2010 NY Slip Op 50000[U], 84 AD3d 586; *People v Naranjo*, 89 NY2d 1047; *People v Cronin*, 60 NY2d 430; *People v LaSalle*, 95 NY2d 827; *People v Schrader*, 23 AD3d 585.)

Cyrus R. Vance, Jr., District Attorney, New York City (Eleanor J. Ostrow and Hilary Hassler of counsel), for respondent. I. The remedial action that the Appellate Division authorized the resentencing court to take was not barred by CPL 430.10, as this Court previously determined. (*People v Yannicelli*, 40 NY2d 598; *People v Richardson*, 100 NY2d 847; *People v Adkinson*, 88 NY2d 561; *People v Young*, 94 NY2d 171.) II. The imposition of consecutive sentences on the first-degree assault and first-degree robbery-by-display convictions complied with Penal Law § 70.25 (2). (*People v Arroyo*, 93 NY2d 990; *People v Laureano*, 87 NY2d 640; *People v Day*, 73 NY2d 208; *People v Rosas*, 8 NY3d 493; *People v Taveras*, 12 NY3d 21; *People v Brown*, 80 NY2d 361; *People v Truesdell*, 70 NY2d 809; *People v Frederick*, 14 NY3d 913; *People v Tanner*, 30 NY2d 102; *People v McKnight*, 16 NY3d 43.) III. Defendant's claim that the court's remarks about defendant's prison conduct "infected" the resentencing proceeding with error is unpreserved and utterly meritless. (*People v Nieves*, 2 NY3d 310; *People v Oliver*, 63 NY2d 973; *People v Kuey*, 83 NY2d 278; *People v Hemmings*, 2 NY3d 1; *People v Young*, 94 NY2d 171; *People v Farrar*, 52

NY2d 302; *People v Naranjo*, 89 NY2d 1047; *People v Outley*, 80 NY2d 702; *People v Day*, 73 NY2d 208.)

OPINION OF THE COURT

STEIN, J.

On defendant Sergio Rodriguez’s prior appeal, we held that CPL 470.20 authorized the Appellate Division to remit the matter to the sentencing court for consideration of whether one of defendant’s robbery sentences should be modified to run consecutively in light of the appellate court’s correction of the unlawful imposition of consecutive sentences with respect to his assault and attempted murder convictions (*see People v Rodriguez*, 18 NY3d 667, 669-671 [2012]). Therefore, on this appeal, we are constrained to hold that the sentencing court acted within its discretion—derived from that remittal—when it modified defendant’s sentence in accordance with the Appellate Division’s directive. We further conclude that the sentencing court’s imposition of consecutive sentences for defendant’s convictions of first-degree assault and first-degree robbery comports with Penal Law § 70.25 (2). We, therefore, affirm.

I.

One evening in May 2007, defendant and two other men stopped the victim on a street in Manhattan. Defendant gestured with a gun and demanded that the victim hand over a gold chain that he was wearing around his neck. As the victim attempted to comply by lifting the chain, defendant shot him in the knee. Despite the victim’s continued efforts to remove his chain, defendant shot him twice more—once in the torso and, as the victim fell, again in his back. One of defendant’s accomplices then removed the necklace and the victim’s cell phone from his person. The victim survived, but sustained life-threatening injuries requiring extensive rehabilitation and causing lasting disability.

Following a jury trial, defendant was convicted of attempted murder in the second degree (Penal Law §§ 110.00, 125.25 [1]), assault in the first degree (Penal Law § 120.10 [1]), two counts of robbery in the first degree (Penal Law § 160.15 [1], [4]), and robbery in the second degree (Penal Law § 160.10 [1]). Commenting on the gratuitously violent nature of the crime and defendant’s prior criminal history, the court sentenced him, as a second violent felony offender, to determinate terms of: 25 years on the attempted murder count; 15 years on the first-

degree assault count; 25 years for each count of first-degree robbery; and 15 years for the sole count of robbery in the second degree. The sentencing court directed that the assault sentence run consecutively to the attempted murder sentence, and that the remaining sentences run concurrently, resulting in an aggregate term of 40 years' imprisonment, followed by five years of postrelease supervision.

Upon defendant's appeal, the People conceded that the imposition of consecutive sentences for defendant's assault and attempted murder convictions violated Penal Law § 70.25 (2) (see *People v Laureano*, 87 NY2d 640, 643 [1996]). The Appellate Division therefore modified the judgment by directing that those sentences be served concurrently, resulting in an aggregate term of 25 years in prison (*People v Rodriguez*, 79 AD3d 644, 644 [1st Dept 2010], *affd* 18 NY3d 667 [2012]). Additionally, the Appellate Division remanded the matter for resentencing to allow the court to "restructure the sentences to arrive lawfully at the aggregate sentence which it clearly intended to impose upon defendant" (79 AD3d at 645).

Defendant appealed to this Court, arguing that the Appellate Division's remittal violated CPL 430.10, which prohibits a sentencing court from modifying a lawful sentence once it has commenced. Defendant also contended that the remaining counts must run concurrently pursuant to Penal Law § 70.25 (2). Although we determined that it would be premature, at that juncture, to address the propriety of running the individual counts consecutively, this Court held that the Appellate Division's remittal did not violate CPL 430.10 because the corrective action taken by the Appellate Division fell within that Court's authority as embodied in CPL 470.20 (see *Rodriguez*, 18 NY3d at 669-671). Thus, we affirmed the Appellate Division order.

At resentencing, defendant maintained that CPL 430.10 prohibited the court from realigning his sentences and that Penal Law § 70.25 (2) required the imposition of concurrent sentences for each count. Defendant also proffered evidence of his good behavior and progress while incarcerated in support of his argument that, even if consecutive sentencing was permissible, mitigation of his previously-imposed 40-year aggregate term of imprisonment was appropriate.

The sentencing court rejected defendant's argument that CPL 430.10 was a legal impediment to the modification of his

sentences. Further, although the court acknowledged defendant's positive efforts while incarcerated, it concluded that consecutive sentences were warranted due to the severity of the victim's injuries and the heinous nature of defendant's crimes. Thus, the court modified defendant's sentences by running his sentence for first-degree assault (based on causing serious physical injury with a deadly weapon) consecutively to his sentence for first-degree robbery involving the display of a firearm. Consequently, after resentencing, the aggregate term of defendant's sentences was, again, 40 years, plus five years of postrelease supervision.

The Appellate Division affirmed (112 AD3d 488 [1st Dept 2013]), and a Judge of this Court granted defendant leave to appeal (22 NY3d 1202 [2014]).

II.

[1] Defendant erroneously claims that we limited our prior decision in this case to the narrow issue of whether the Appellate Division's remittal was barred by CPL 430.10, thereby leaving open the question of whether, upon that remittal, CPL 430.10 prohibited the sentencing court from modifying defendant's sentences. To the contrary, the clear import of our holding that CPL 470.20 provided the Appellate Division with the discretion to direct realignment of defendant's legally imposed sentences was that, by extension, the sentencing court was authorized to take such corrective action because it was specifically empowered to do so by the Appellate Division (*see Rodriguez*, 18 NY3d at 670).^{*} We are bound by that holding (*see generally People v Peque*, 22 NY3d 168, 194 [2013], *cert denied sub nom. Thomas v New York*, 574 US —, 135 S Ct 90 [2014]; *People v Taylor*, 9 NY3d 129, 148 [2007]). Accordingly, the sentencing court's realignment of defendant's sentences did not violate CPL 430.10.

Defendant also argues that the imposition of consecutive sentences on his assault and robbery convictions was unlawful

^{*} Indeed, the dissenters to our prior decision also interpreted our holding as deciding this issue, contending that the majority opinion erroneously held that CPL 470.20 "supplies . . . authorization" to trial and sentencing courts for modification of a sentence that CPL 430.10 does not otherwise provide (18 NY3d 667, 673 [2012], Lippman, Ch. J., dissenting). Contrary to the dissent's assertion herein, our previous statement that it was "premature" for us to determine whether any of the sentences could be run consecutively referred only to whether the imposition of such sentences would violate Penal Law § 70.25 (2), as we expressly stated later in that opinion (18 NY3d at 671-672).

because the crimes were comprised of a single act. Penal Law § 70.25 (2) mandates that concurrent sentences be imposed for “two or more offenses committed through a single act or omission, or through an act or omission which in itself constituted one of the offenses and also was a material element of the other.” We have held that, “[t]o determine whether consecutive sentences are permitted, a court must first look to the statutory definitions of the crimes at issue” to discern whether the actus reus elements overlap (*People v Battles*, 16 NY3d 54, 58 [2010], *cert denied* 565 US —, 132 S Ct 123 [2011]; see *People v Frazier*, 16 NY3d 36, 40 [2010]; *Laureano*, 87 NY2d at 643). Even where the crimes have an actus reus element in common, “the People may yet establish the legality of consecutive sentencing by showing that the ‘acts or omissions’ committed by defendant were separate and distinct acts” (*Laureano*, 87 NY2d at 643; see *People v McKnight*, 16 NY3d 43, 48 [2010]; *People v Ramirez*, 89 NY2d 444, 451 [1996]). Conversely, where “the actus reus is a single inseparable act that violates more than one statute, [a] single punishment must be imposed” (*Frazier*, 16 NY3d at 41 [internal quotation marks, citations and emphasis omitted]). The People bear the burden of establishing the legality of consecutive sentencing by “identifying the facts which support their view” that the crimes were committed by separate acts (*Laureano*, 87 NY2d at 644; see *McKnight*, 16 NY3d at 51).

[2] Even if, as defendant contends, the statutory elements of his robbery and assault convictions overlap, the People have demonstrated in this case that the assault count and the robbery count at issue were committed by separate and distinct acts. According to the victim’s trial testimony, defendant gestured with the firearm and demanded that the victim relinquish his chain. The victim was acquiescing when, in an action completely unrelated to any use of force necessary to overcome resistance or compel compliance in order to effectuate the robbery, defendant repeatedly shot the victim.

Although defendant is indeed correct that the assault occurred before the robbery was completed, courts retain discretion to impose consecutive sentences “‘when separate offenses are committed through separate acts, though they are part of a single transaction’” (*People v Azaz*, 10 NY3d 873, 875 [2008], quoting *People v Brown*, 80 NY2d 361, 364 [1992]). The robbery was comprised of defendant’s acts of motioning with the firearm and demanding the chain, together with his accom-

police's taking of the victim's property (*see* Penal Law §§ 160.00, 160.15 [4]). In contrast, the act of assault occurred when defendant shot the victim with the requisite intent (*see* Penal Law § 120.10 [1]). On this record, the mere fact that the shooting interrupted, rather than succeeded, the theft does not render indivisible these separable acts (*see Ramirez*, 89 NY2d at 454). That is, because the “entire tenor of the robbery . . . was distinct from the life-threatening assault[,] . . . the violent and repeated shooting of [the victim] was a separate and distinct act” from the forcible theft of his property (*id.*; *see also People v Tanner*, 30 NY2d 102, 108 [1972]). Moreover, since the jury need not have concluded under the instructions given that the assault occurred in furtherance of the robbery, as compared to merely during the course thereof, we reject defendant's claim that the robbery and assault were necessarily a single act because he was also charged with and convicted of robbery under Penal Law § 160.15 (1) (*compare People v Parks*, 95 NY2d 811, 815 [2000]).

Defendant's remaining contention is unpreserved.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). When this case was previously before us, the Court characterized its own holding as being limited to “the narrow issue” of whether the Appellate Division was precluded by CPL 430.10 from remitting a matter to Supreme Court for resentencing in the circumstances presented (*see* 18 NY3d 667, 671 [2012]). The Court stated that it would be premature to address whether Supreme Court, upon remittal, could impose anything other than concurrent sentences (*see* 18 NY3d at 670). What the opinion did not rule upon explicitly is whether Supreme Court had the authority to reconfigure defendant's sentence.

Perhaps because that authorization was not granted, the majority determines that the “clear import” of the prior holding was that Supreme Court had such authority by virtue of the Appellate Division's remittal under CPL 470.20. But the Court left for another day—today, after Supreme Court actually exercised that power—the legality of the sentence imposed by Supreme Court.

I believe that Supreme Court lacked the authority to restructure defendant's sentence under CPL 430.10. The flaw in defendant's initial sentence was that he was subject to con-

secutive terms of imprisonment for two offenses that had been committed through the same act (79 AD3d 644, 644-645 [1st Dept 2010]). When the Appellate Division corrected the illegality by ordering that those terms be served concurrently, defendant was subject to a lawful sentence. At that point, CPL 430.10 precluded Supreme Court—on remittal or otherwise—from further altering the length of any sentence that defendant had been serving since 2008 (*see People v LaSalle*, 95 NY2d 827, 829 [2000]; *People v Yannicelli*, 40 NY2d 598, 602 [1976]).

Because Supreme Court lacked the authority to restructure defendant's sentence by running any of these sentences consecutively to one another, I do not consider whether consecutive sentences could be lawfully imposed for the particular sentences at issue here.

Judges READ, PIGOTT, RIVERA and ABDUS-SALAAM concur; Chief Judge LIPPMAN dissents in an opinion in which Judge FAHEY concurs.

Order affirmed.

[32 NE3d 935, 10 NYS3d 500]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JARROD
BROWN, Respondent.

Argued March 24, 2015; decided May 14, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 29, 2014. The Appellate Division affirmed a sentence of the Supreme Court, Queens County (Barry Kron, J.), which had, pursuant to CPL 440.46, resentedenced defendant to a determinate term of seven years plus three years of postrelease supervision.

People v Brown, 115 AD3d 155, affirmed.

HEADNOTE

Crimes — Sentence — Resentencing under Drug Law Reform Act — Eligibility — Parolees

The 2011 amendments to CPL 440.46 (L 2011, ch 62, § 1, part C, § 1, subpart B, § 79), which reflected the merged New York State Department of Correctional Services and New York State Division of Parole under the New York State Department of Corrections and Community Supervision (DOCCS), expanded the class of defendants eligible for resentencing under the Drug Law Reform Act (DLRA) to include those who are on parole at the time resentencing is sought. Because the language of CPL 440.46 (1) encompasses “[a]ny person in the custody of [DOCCS],” and a non-incarcerated parolee is within the “legal custody” of DOCCS (Executive Law § 259-i [2] [b]), the plain meaning of CPL 440.46 (1) leads to the conclusion that a non-incarcerated parolee is eligible to apply for resentencing under the statute. The language of multiple Executive Law provisions also contradicts an interpretation that the term “custody” refers only to incarcerated persons. The purpose of the DLRA, a remedial statute that should be interpreted broadly, was to grant relief from the perceived inordinately harsh punishment for low level non-violent drug offenders. Any ambiguity in the eligibility provision should be read in favor of the applicant because a finding of eligibility is simply the first step in the process. Nor were the amendments purely budgetary or technical changes as the 2011 law emphasized the evolution of the sentencing structure toward a focus on reentry into the community. Moreover, the interpretation that includes parolees as eligible for resentencing corrects the anomaly under the pre-merger law of permitting resentencing for parole violators who had been returned to prison, but not for those who had complied with the terms of their parole. Thus, defendant here, who was on parole after serving more than the minimum term of an indeterminate sentence for his conviction of third-degree criminal sale of a controlled substance, was properly resentedenced under CPL 440.46 (1).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 858, 860.
CARMODY-WAIT 2d, Sentencing Procedures §§ 203:215,
203:216.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.7.
MCKINNEY'S, CPL 440.46 (1); Executive Law § 259-i (2)
(b).
NY JUR 2d, Criminal Law: Procedure § 3008.

ANNOTATION REFERENCE

See ALR Index under Sentence and Punishment.

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POINTS OF COUNSEL

Richard A. Brown, District Attorney, Kew Gardens (Danielle S. Fenn and John M. Castellano of counsel), for appellant. The 2011 conforming amendment to CPL 440.46 to reflect the new name of the Department of Corrections and Community Supervision did not expand the eligibility requirements of that section to include non-incarcerated, paroled defendants. (*People v Paulin*, 17 NY3d 238; *People v Santiago*, 17 NY3d 246; *People v Williams*, 19 NY3d 100; *People v Kisina*, 14 NY3d 153; *Matter of Hawkins v Coughlin*, 72 NY2d 158; *People v Hale*, 93 NY2d 454; *People v Garson*, 6 NY3d 604; *People ex rel. Westchester Fire Ins. Co. v Davenport Trustees*, 91 NY 574; *People v Watson*, 20 NY3d 182; *People v Acevedo*, 14 NY3d 828.)

Seymour W. James, Jr., The Legal Aid Society, New York City (David Crow of counsel), for respondent. Parolees are eligible for resentencing under CPL 440.46 as amended in 2011 because they are “persons in the custody of the department of corrections and community supervision.” (*People v Paulin*, 17 NY3d 238; *People v Sosa*, 18 NY3d 436; *Matter of Hawkins v Coughlin*, 72 NY2d 158; *People v Santiago*, 17 NY3d 246; *People ex rel. Korn v New York State Div. of Parole*, 274 AD2d 439; *Matter of Bellamy v New York State Div. of Parole*, 274 AD2d 871; *People v Santana*, 117 AD3d 758; *People v Pomales*, 35 Misc 3d 444; *People v Danton*, 36 Misc 3d 898; *People v Johnson*, 36 Misc 3d 1239[A], 2012 NY Slip Op 51742[U].)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether the 2011 amendments to CPL 440.46 expanded the class of defendants eligible for resentencing under the Drug Law Reform Act (DLRA) to include those who are on parole at the time resentencing is sought. We left this question open in *People v Paulin* (17 NY3d 238, 243 [2011]) and *People v Santiago* (17 NY3d 246, 247 [2011]), and now hold that the amendments did expand eligibility to parolees, and affirm the Appellate Division order (*People v Brown*, 115 AD3d 155 [2014]) upholding the resentencing of the paroled defendant under that provision.

In the summer of 2001, defendant sold cocaine to an undercover police officer in Queens. On May 30, 2002, defendant pleaded guilty to one count of third-degree criminal sale of a controlled substance, a class B felony, and was sentenced to an indeterminate prison term of 6 to 12 years. He was conditionally released on April 15, 2011, with a maximum expiration date of July 16, 2017.

While on parole for the instant offense, defendant moved for resentencing pursuant to CPL 440.46. The People opposed on grounds that he was ineligible for resentencing under that provision because he was not currently incarcerated. Defendant contended that he was eligible for relief due to the 2011 amendments to section 440.46, which now reflected the merged New York State Department of Correctional Services and New York State Division of Parole under a single agency—the New York State Department of Corrections and Community Supervision (DOCCS) (*see* L 2011, ch 62, § 1, part C, § 1, subpart B, § 79).*

On July 31, 2012, Supreme Court granted defendant's motion for resentencing. The court concluded that the revised section 440.46 did "not distinguish between defendants who are incarcerated and those who are on parole but are not incarcerated." The court resentenced defendant to a seven-year determinate prison term to be followed by three years of post-

* As originally enacted, to be eligible for resentencing under CPL 440.46 an individual had to be convicted of a class B drug felony and "[a] person in the custody of the department of correctional services" (L 2009, ch 56, § 1, part AAA, § 9 [enacting CPL 440.46 (1)]). Accordingly, only incarcerated individuals were eligible to apply for resentencing under CPL 440.46 (*see People v Paulin*, 17 NY3d 238, 243 [2011]; *People v Santiago*, 17 NY3d 246, 247 [2011]).

release supervision, making the maximum expiration date of his sentence July 16, 2012.

The Appellate Division unanimously affirmed holding that the plain language of section 440.46, when read together with Executive Law § 259-i (2) (b), meant that non-incarcerated defendants on parole were in the “custody” of DOCCS and, thus, were eligible for resentencing (*People v Brown*, 115 AD3d at 158). The Court further held that because CPL 440.46 was a remedial statute, it should be liberally construed (*id.* at 161). A Judge of this Court granted the People leave to appeal (*People v Brown*, 23 NY3d 961 [2014]), and we now affirm.

“[T]he governing rule of statutory construction is that courts are obliged to interpret a statute to effectuate the intent of the Legislature, and when the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used” (*People v Williams*, 19 NY3d 100, 103 [2012], quoting *People v Finnegan*, 85 NY2d 53, 58 [1995]). The language of CPL 440.46 (1) encompasses “[a]ny person in the custody of [DOCCS]” (emphasis added). A non-incarcerated parolee is within the “legal custody” (Executive Law § 259-i [2] [b]) of DOCCS. Thus, the plain meaning of CPL 440.46 (1) leads to the conclusion that a non-incarcerated parolee is eligible to apply for resentencing under the statute.

Even if the plain language of CPL 440.46 were ambiguous, further analysis would lead us to the same conclusion. First, the People’s contention that the legislature limits use of the term “custody” to defendants who are incarcerated is contradicted by the language of several statutes. Executive Law § 259-i (2) (b), for example, states that a parolee shall be in the “legal custody” of DOCCS until, among other possibilities, “return to imprisonment in the custody of the department” (see also Correction Law § 275 [using both “legal custody” and “custody” in reference to a person who has been granted conditional release]; CPL 410.50 [1] [“Custody. A person who is under a sentence of probation is in the legal custody of the court that imposed it pending expiration or termination of the period of the sentence”]). In fact, multiple provisions of Executive Law § 259-i use the phrase “imprisonment in the custody of the department” or “inmate [in] the custody of the department” to clarify that they refer only to incarcerated persons (see Executive Law § 259-i [2] [c] [A] [iv]; [d] [i], [ii]; [3] [a] [i]).

Furthermore, in *Matter of Hawkins v Coughlin* (72 NY2d 158 [1988]), this Court rejected an argument that “custody”

inherently refers only to incarcerated persons. There, in determining that the defendant was not entitled to a credit pursuant to Penal Law § 70.30 (3), we said that the term “custody,” as used in that statute, meant “‘confinement’ or ‘detention’ under guard and not ‘constructive custody’ such as release on parole or bail” (72 NY2d at 162). The Court referred to the legislative history of the statute and determined that “the Legislature intended the provision to apply only to time spent in some type of ‘actual’ custody” (*id.* at 163). The legislative history of CPL 440.46, however, differs greatly from that attributed to Penal Law § 70.30 (3). In fact, the intent of the DLRA “was to grant relief from what the Legislature perceived as the ‘inordinately harsh punishment for low level non-violent drug offenders’ that the Rockefeller Drug Laws required” (*Paulin*, 17 NY3d at 244, quoting Assembly Sponsor’s Mem, Bill Jacket, L 2004, ch 738 at 6).

Contrary to the People’s contention, the 2011 amendments were not purely budgetary or technical changes. The 2011 law emphasized “the evolution of the sentencing structure” toward a “focus on reentry,” and the “commonality of purpose governing the fundamental missions of both agencies” to “provide for a seamless network for the care, custody, treatment and supervision of a person, from the day a sentence of state imprisonment commences, until the day such person is discharged from supervision in the community” (L 2011, ch 62, § 1, part C, § 1, subpart A, § 1).

Finally, remedial statutes such as the DLRA should be interpreted broadly to accomplish their goals—in this case the reform of unduly harsh sentencing imposed under pre-2005 law (*see McKinney’s Cons Laws of NY, Book 1, Statutes* § 321 [“Generally, remedial statutes are liberally construed to carry out the reforms intended and to promote justice”]). In *People v Sosa* (18 NY3d 436 [2012]), we acknowledged that the language of CPL 440.46 (5) was potentially ambiguous and noted that the DLRA is a remedial statute that should be read broadly unless the limitation proposed is “clearly expressed” (18 NY3d at 440-441). We also noted that any ambiguity in CPL 440.46’s eligibility section should be read in favor of the applicant because a finding of eligibility is simply the first step in the resentencing process—the ultimate decision lies in the exercise of discretion of the reviewing judge as part of the court’s “substantial justice” determination (*id.* at 443, citing CPL

440.46 [3]). Furthermore, this interpretation of CPL 440.46 corrects the anomaly under the pre-merger law of permitting resentencing for parole violators who have been returned to prison, but not for those who had complied with the terms of their parole (*see Paulin*, 17 NY3d at 244), and is consistent with *Santiago*, which permitted resentencing where a defendant was incarcerated when he or she applied but was released before a determination was rendered on the application.

Accordingly, the order of the Appellate Division should be affirmed.

READ, J. (dissenting). When we decided *People v Paulin* (17 NY3d 238 [2011]) four years ago, there was no dispute that CPL 440.46 limited its resentencing relief to incarcerated persons; parolees were ineligible. This was so because the statute applied to “[a]ny person in the custody of the *department of correctional services*” (former CPL 440.46 [1] [emphasis added]), the agency that ran the state prison system when this provision was enacted as part of the 2009 Drug Law Reform Act (2009 DLRA). We observed that “in making this distinction” between prisoners and parolees, “the Legislature recognized that the burden of inordinately harsh punishment [imposed by the Rockefeller Drug Laws] falls most heavily on *those who are in prison*” (17 NY3d at 244 [internal quotation marks omitted and emphasis added]).

After their convictions for class B drug felonies, Paulin and Pratts, the defendant in a companion case, were sentenced and incarcerated, eventually were released on parole, violated their parole and so were reincarcerated. When the 2009 DLRA took effect, they applied for resentencing. The wrinkle in *Paulin* and *Pratts*, then, was that the defendants were in prison for violating their parole, and the question presented was whether this made them ineligible for resentencing under CPL 440.46.

After the appeals had been briefed but before they were argued, the Governor signed chapter 62 of the Laws of 2011. As part of the State’s enacted budget for fiscal year 2011-2012, various State agencies and entities were restructured, principally to save money by streamlining operations and rationalizing missions. Chapter 62, an article VII budget bill, made those changes to permanent law necessary to effectuate or reflect several of these restructurings, including the merger of the Department of Correctional Services and the Division of Parole to form a combined Department of Corrections and Com-

munity Supervision (*see generally Pataki v New York State Assembly*, 4 NY3d 75, 83 [2004] [(“T)he Governor submits a budget to the Legislature accompanied by ‘a bill or bills containing all the proposed appropriations and reappropriations included in the budget *and the proposed legislation, if any, recommended therein*’ ” (quoting NY Const, art VII, §§ 2, 3 [emphasis added]))).

Defense counsel for Paulin and Pratts wrote to inform us of this development. He recognized that chapter 62 did not govern his clients’ appeals because the orders denying them resentencing relief predated the legislation’s effective date. He nonetheless contended that “the amendments, together with the new law’s integrated statement of legislative intent, confirm what we argued in our previously filed briefs, i.e., that a plain-language interpretation of CPL § 440.46 advances the legislative intent that motivated the 2009 DLRA.”

We subsequently held in *Paulin* that “prisoners who have been paroled, and then reincarcerated for violating their parole, are not for that reason barred from seeking relief under [CPL 440.46]” (17 NY3d at 242). This was so, we opined, because “Paulin and Pratts fit squarely within the text of the 2009 DLRA” (*id.* at 243); that is, they were *in prison* when they filed their applications for resentencing under the 2009 DLRA (*see also People v Santiago*, 17 NY3d 246 [2011] [a prisoner who applied for resentencing under the 2009 DLRA while incarcerated remains eligible for relief even if paroled before the application is ruled on]). We declined to consider chapter 62, observing in a footnote that “[a] recent amendment changed the words ‘department of correctional services’ to ‘department of corrections and community supervision’. The change is of no consequence in these cases. We need not decide its effect, if any, on other situations” (*Paulin*, 17 NY3d at 243 n [citation omitted]).

The Court now holds that this name change expanded resentencing eligibility under the 2009 DLRA “to include those who are on parole at the time resentencing is sought” (*see majority op* at 249). The majority principally relies on the text of section 440.46, as amended by chapter 62, and the principle that “remedial statutes such as the DLRA should be interpreted broadly to accomplish their goals—in this case the reform of

unduly harsh sentencing imposed under pre-2005 law” (*id.* at 251).¹

While we depend first and foremost on the text of a statute to determine what the legislature intended, we have always recognized that text may not properly be read in isolation and that statutes must be construed as a whole, i.e., text derives meaning within a context (*see Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105, 115 [2007]). Here, the relevant statute is chapter 62 of the Laws of 2011, § 1, part C, § 1, subparts A and B. Subpart A includes the statement of legislative intent to support merger of the Department of Correctional Services and the Division of Parole to form the Department of Corrections and Community Supervision, and amends substantive law as necessary to create the new agency, e.g., by adding a new article 8, entitled “Community Supervision,” to the Correction Law.

Subpart B, by contrast, merely enacts amendments as necessary to *reflect* the merger. In furtherance of this purpose, sections 1 through 48 of subpart B make name change and other minor technical amendments to the Correction Law, and sections 49 through 173 march through 35 other titles of New York’s Consolidated Laws, substituting “Department of Corrections and Community Supervision” for “Department of Correctional Services” or “Division of Parole.”² No changes in substantive law accompany these name change amendments; only additional technical corrections were effected, such as

1. The majority also states that its interpretation “corrects the anomaly under the pre-merger law of permitting resentencing for parole violators who have been returned to prison, but not for those who had complied with the terms of their parole,” citing *Paulin* (majority op at 252). In *Paulin*, however, we expressly rejected the idea, advanced by the People in that case, that any such purported “anomaly” created an absurd result that the legislature never would have intended.

2. The titles amended were the Abandoned Property Law, the Alcoholic Beverage Control Law, the Civil Practice Law and Rules, the Civil Rights Law, the Civil Service Law, the County Law, the Court of Claims Act, the Criminal Procedure Law, the Education Law, the Election Law, the Environmental Conservation Law, the Executive Law, the Facilities Development Corporation Act, the Family Court Act, the General Business Law, the General Municipal Law, the Labor Law, the Legislative Law, the Mental Hygiene Law, the Municipal Home Rule Law, the Penal Law, the Public Buildings Law, the Public Health Law, the Public Officers Law, the Railroad Law, the Retirement and Social Security Law, the Social Services Law, the State Administrative Procedure Act, the State Finance Law, the State Technology Law, the Surrogate’s Court Procedure Act, the Tax Law, the Town Law, the Vehicle and Traffic Law and the Workers’ Compensation Law.

emendations to replace agency names made obsolete by previous government restructurings (e.g., “Office of Children and Family Services” for “Division for Youth”), to render the language gender-neutral (e.g., “him or her” for “him”) or to correct typographical errors. The amendment of section 440.46 to replace “Department of Correctional Services” with “Department of Corrections and Community Supervision” appears in one of the 18 sections in subpart B where these minor changes were made to provisions in the Criminal Procedure Law.

Thus, while the merger *itself* may be said to carry out the legislature’s judgment that a unitary agency responsible for all offenders makes sense for purposes of sentencing and rehabilitative as well as budgetary policy, the same cannot be said for the 2011 amendment of section 440.46. The majority gives substantive law meaning to a mere name change amendment, which is belied by the context in which it was adopted as part of an article VII budget bill. And since this name change amendment was not intended to have any remedial effect, its enactment presents no occasion for us to interpret section 440.46 differently and more broadly now than we did in *Paulin*.

The majority highlights, and obviously agrees with, policy considerations that favor allowing nonincarcerated parolees to apply for the sentencing relief made available by section 440.46. But it is up to the legislature, not the courts, to decide whether to expand this provision’s ameliorative sweep, and I cannot agree that the legislature has done so. At most, the 2011 amendment of section 440.46 created an ambiguity easily resolved by considering its place within chapter 62, § 1, part C as a whole. Finally, the restructuring of State agencies and entities through the budget process is routine. I therefore worry about the potential consequences of today’s decision to alter substantive law on the authority of a run-of-the-mill name change amendment appearing in an article VII budget bill. Accordingly, I respectfully dissent.

Judges PIGOTT, RIVERA, STEIN and FAHEY concur; Judge READ dissents in an opinion in which Judge ABDUS-SALAAM concurs.

Order affirmed.

[33 NE3d 465, 11 NYS3d 509]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DAVID RIVERA, Respondent.

Argued March 24, 2015; decided May 5, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 11, 2012. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Robert M. Stolz, J.), which had convicted defendant, upon a jury verdict, of predatory sexual assault against a child; and (2) remanded the matter to Supreme Court for a new trial.

People v Rivera, 99 AD3d 535, affirmed.

HEADNOTES

Crimes — Witnesses — Physician-Patient Privilege — Psychiatrist's Testimony About Defendant's Admissions of Sexual Abuse

1. The trial court in defendant's prosecution for sexually abusing an 11-year-old relative violated the physician-patient privilege by allowing defendant's psychiatrist to testify concerning defendant's admission, made for the purpose of treatment, that he abused the child. Regardless of whether a physician is required or permitted by law to report instances of abuse or threatened future harm to authorities, which may involve the disclosure of confidential information, it does not follow that such disclosure necessarily constitutes an abrogation of the evidentiary privilege a criminal defendant enjoys under CPLR 4504 (a). Whereas confidentiality is an ethical requirement of physicians, the physician-patient privilege is a rule of evidence that protects communications and medical records. Whenever the legislature has decided to limit the privilege's scope, it has done so through the enactment of specific legislation to address the particular subject matter. If the legislature had, in fact, decided to create an exception permitting a criminal defendant's mental health professional to testify against the defendant in a criminal proceeding, it would have done so. Even if a patient is cognizant of his or her psychiatrist's reporting obligations under child protective statutes, that does not mean he or she should have any expectation that statements made during treatment will be used against him or her in a criminal matter.

Crimes — Harmless and Prejudicial Error — Psychiatrist's Testimony About Defendant's Admissions of Sexual Abuse

2. In a prosecution in which defendant was convicted of predatory sexual assault against a child, the trial court's error in allowing testimony by defendant's psychiatrist that defendant admitted to the abuse was not harmless. Apart from the victim's testimony, there was no eyewitness evidence to the abuse, and there was little, if any, physical evidence establishing it. Moreover, the prosecutor relied on the psychiatrist's testimony in arguing for defendant's guilt and, during deliberations, the jury's only request was for

the psychiatrist's response when she was asked if defendant admitted to her that he sexually molested the child.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 703; AM JUR 2d, Evidence § 473; AM JUR 2d, Expert and Opinion Evidence § 127; AM JUR 2d, Witnesses §§ 403–404, 409, 411, 415, 418, 420, 423, 425–428, 432, 436, 441–445, 455, 461–465.
CARMODY-WAIT 2d, Disclosure §§ 42:121, 42:284, 42:465; CARMODY-WAIT 2d, Presentation of the Case §§ 56:217–56:218, 56:221; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:96, 194:175, 194:253; CARMODY-WAIT 2d, Testimony of Witnesses §§ 195:210–195:212, 195:215–195:216, 195:221, 195:228, 195:230; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:117.
MCKINNEY'S, CPLR 4504 (a).
NY JUR 2d, Criminal Law: Procedure §§ 1193, 2059; NY JUR 2d, Disclosure §§ 114, 119–120; NY JUR 2d, Evidence and Witnesses §§ 892–903.

ANNOTATION REFERENCE

Privilege in judicial or quasi-judicial proceedings, arising from relationship between psychiatrist or psychologist and patient. 44 ALR3d 24.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (David P. Stromes and Vincent Rivellese of counsel), for appellant. Defendant's admission to Dr. Gross regarding his ongoing chronic sexual abuse of the victim was not privileged. (*People v Osorio*, 75 NY2d 80; *Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525; *Matter of People v Doe*, 107 Misc 2d 605; *Matter of Doe v Hynes*, 104 Misc 2d 398; *United States v Auster*, 517 F3d 312; *Tesser v Board of Educ.*, 154 F Supp 2d 388; *People v Bierenbaum*, 301 AD2d 119; *MacDonald v Clinger*, 84 AD2d 482; *People v Sergio*, 21 Misc 3d 451; *Juric v Bergstraesser*, 44 AD3d 1186.)

Epstein & Weil, LLC, New York City (Lloyd Epstein of counsel), for respondent. I. The Appellate Division correctly

found that the trial court committed reversible error by directing Dr. Gross to testify in violation of the physician-patient privilege. (*Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525; *People v Bierenbaum*, 301 AD2d 119; *People v Sinski*, 88 NY2d 487; *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *Jaffee v Redmond*, 518 US 1; *Arons v Jutkowitz*, 9 NY3d 393; *Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239; *Matter of Camperlengo v Blum*, 56 NY2d 251; *People v Fuller*, 24 NY2d 292; *Prink v Rockefeller Ctr.*, 48 NY2d 309.) II. The Appellate Division's order should be affirmed because it is based on a mixed question of law and fact that is beyond the review of this Court. (*People v Howard*, 22 NY3d 388; *People v Wheeler*, 2 NY3d 370; *People v Williams*, 17 NY3d 834.)

Moritt Hock & Hamroff LLP, Garden City (*Robert L. Schonfeld* and *Seth P. Stein* of counsel), for New York State Psychiatric Association, Inc. and another, amici curiae. The physician's disclosures to a third party did not operate to abrogate the defendant's physician-patient evidentiary privilege. (*People v Sinski*, 88 NY2d 487; *Williams v Roosevelt Hosp.*, 66 NY2d 391; *Cynthia B. v New Rochelle Hosp. Med. Ctr.*, 60 NY2d 452; *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130; *Matter of Farrow v Allen*, 194 AD2d 40; *Prink v Rockefeller Ctr.*, 48 NY2d 309; *Steinberg v New York Life Ins. Co.*, 263 NY 45; *Doe v Roe*, 93 Misc 2d 201; *Taylor v United States*, 222 F2d 398; *Jaffee v Redmond*, 518 US 1.)

OPINION OF THE COURT

FIGOTT, J.

Defendant, while seeking treatment from a psychiatrist, admitted to sexually abusing an 11-year-old relative. The psychiatrist notified the Administration for Children's Services (ACS) of defendant's admission. Subsequently, at defendant's criminal trial, over defendant's objection, the trial court permitted the psychiatrist to testify that defendant had made the admission. The issue on this appeal is whether the trial court's ruling ran afoul of the physician-patient privilege (*see* CPLR 4504 [a]). We hold that it did.

I

On November 1, 2007, the child revealed to her pediatrician, in her mother's presence, that she had been sexually abused by defendant. The pediatrician reported the abuse to ACS. The

child's mother relayed the accusation to defendant's mother, who told defendant of the child's accusation. Shortly after receiving word of the child's allegation, defendant was taken by ambulance to the psychiatric emergency room at Columbia Presbyterian Hospital (CPH), complaining of depression and suicidal ideation. While being treated, defendant told his psychiatrist that he had sexually abused the child.

The following day, the child was medically examined at a child advocacy center. While there, she spoke with a detective, who, during a subsequent investigation, learned that defendant had been admitted to CPH. The detective obtained a court order requiring CPH to notify the police upon defendant's release. Four weeks later, following his discharge, defendant was arrested and charged with, among other things, predatory sexual assault against a child (Penal Law § 130.96).

Prior to trial, the People moved for the issuance of a subpoena duces tecum seeking defendant's psychological records from CPH for in camera review by the trial court. Specifically, the People sought records that included any admission defendant may have made concerning the crimes charged in the indictment, which, they argued, could be released as either an exception to or waiver of the physician-patient privilege. Defendant countered that the disclosure of the medical records and any testimony by the psychiatrist concerning defendant's treatment was barred by the physician-patient privilege pursuant to CPLR 4504 (a), and that defendant had not waived that privilege.

Following the in camera review of the records, Supreme Court held that the admissions defendant made to his psychiatrist were privileged because they were made in the course of diagnosis and treatment of his condition. However, the court, while refusing to allow "the full extent of defendant's admissions" to be used, held that, because the psychiatrist had disclosed the reported abuse to ACS, the fact that defendant had admitted to the abuse was admissible at trial.

At trial, the child testified concerning the abuse she sustained at the hands of defendant. The People then called defendant's psychiatrist, who testified that defendant admitted to having sexually abused the child. Defendant, testifying on his own behalf, denied committing any sexual abuse. During summation, the People referred to the psychiatrist's testimony and, during deliberations, the jury requested a read-back of that

testimony. Defendant was convicted as charged and sentenced to a term of 13 years to life in prison.

The Appellate Division unanimously reversed the judgment of Supreme Court and remanded for a new trial, holding that Supreme Court erred in permitting the psychiatrist to testify concerning defendant's admissions of sexual abuse and that the error was not harmless (99 AD3d 535, 535 [1st Dept 2012]). A Judge of this Court granted the People leave to appeal (21 NY3d 1008 [2013]) and we now affirm.

II

The narrow issue on this appeal is whether the trial court erred in allowing defendant's psychiatrist to testify concerning defendant's admission that he abused the child.* We hold that the trial court's ruling violated the physician-patient privilege.

CPLR 4504 (a) provides, as relevant to this appeal, that "[u]nless the patient waives the privilege, a person authorized to practice medicine . . . shall not be allowed to disclose any information which he [or she] acquired in attending a patient in a professional capacity, and which was necessary to enable him [or her] to act in that capacity." The People do not argue that defendant waived the privilege, nor do they dispute that there was a "professional relationship" between defendant and his psychiatrist (*see e.g. People v Sliney*, 137 NY 570, 580 [1893]). Nor do the People contend that the information conveyed by defendant to his psychiatrist was not necessary for his treatment (*see People v Decina*, 2 NY2d 133, 143 [1956]). Rather, the People claim that, because defendant's admission related to the sexual abuse of a child, it was not privileged since defendant had no reason to believe that it would remain confidential (*see generally id.* at 145).

[1] Regardless of whether a physician is required or permitted by law to report instances of abuse or threatened future harm to authorities, which may involve the disclosure of confidential information, it does not follow that such disclosure

* We do not address the propriety of the Appellate Division's determination that "the psychiatrist made a proper disclosure of the abuse" (99 AD3d at 535), nor is it necessary for us to address whether this Court should adopt the so-called "*Tarasoff* doctrine" (*see Tarasoff v Regents of Univ. of Cal.*, 17 Cal 3d 425, 551 P2d 334 [1976]), which requires mental health professionals to disclose a patient's confidential information to third parties when the professional determines that the patient poses a "serious danger of violence to another" (17 Cal 3d at 431, 551 P2d at 340).

necessarily constitutes an abrogation of the evidentiary privilege a criminal defendant enjoys under CPLR 4504 (a). Whereas confidentiality is an ethical requirement of physicians that “is essential to psychiatric treatment . . . [and] is based in part on the special nature of psychiatric therapy as well as on the traditional ethical relationship between physician and patient” (American Psychiatric Association, *The Principles of Medical Ethics with Annotations Especially Applicable to Psychiatry* § 4, annotation 1 at 6 [2013 ed]), the physician-patient privilege is a rule of evidence that protects communications and medical records (see *Williams v Roosevelt Hosp.*, 66 NY2d 391, 396 [1985]). The privilege serves several objectives: it encourages unrestrained communication between a patient and his or her medical provider so that the patient may obtain diagnosis and treatment without fear of embarrassment over potential disclosure; it encourages physicians to be forthright in recording their patients’ confidential information; and it protects “patients’ reasonable privacy expectations against disclosure of sensitive personal information” (*Matter of Grand Jury Investigation in N.Y. County*, 98 NY2d 525, 529-530 [2002] [citations omitted]).

The People argue that because the legislature has carved out several exceptions to the physician-patient privilege, defendant could not reasonably have expected his statements to remain confidential in the context of a criminal proceeding. Those exceptions, however, underscore that whenever the legislature has decided to limit the privilege’s scope, it has done so through the enactment of specific legislation to address the particular subject matter (see *Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d 130, 136 [1983]). If the legislature had, in fact, decided to create an additional exception permitting a criminal defendant’s mental health professional to testify against the defendant in a criminal proceeding, it would have done so. Indeed, we have noted that, given the number of statutory exceptions to the privilege, “the legislative concept [is clear] that exceptions to the statutorily enacted physician-patient privilege are for the Legislature to declare” (*Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d at 136), and we need look no further than CPLR 4504 itself which contains those exceptions (see CPLR 4504 [b] [requiring certain physicians and other health professionals “to disclose information indicating that a patient who is under the age of sixteen years has been the victim of a crime”], [c] [requiring physicians

and nurses “to disclose any information as to the mental or physical condition of a deceased patient privileged under subdivision (a)” in certain designated circumstances]).

When the legislature has sought to either limit or abrogate the privilege beyond the confines of section 4504, it has been clear in its intent (*see* Social Services Law § 384-b [3] [h] [privilege not available in a proceeding seeking an order committing the guardianship and custody of a destitute or dependent child]; Social Services Law § 413 [identifying class of mandatory reporters of suspected child abuse and maltreatment]; Social Services Law § 415 [providing that reports of suspected child abuse or maltreatment must be made in writing and “shall be admissible in evidence in any proceedings relating to child abuse or maltreatment”]; Family Ct Act § 1046 [a] [vii] [stating that the privilege “shall (not) be a ground for excluding evidence which otherwise would be admissible” in abuse and neglect proceedings]; Mental Hygiene Law § 81.09 [d] [permitting a court evaluator in guardianship proceedings to apply for permission to inspect medical and psychiatric records of the alleged incapacitated persons, and allowing the court to order such disclosure notwithstanding the physician-patient privilege]; Public Health Law § 3373 [stating that “(f)or the purposes of duties arising out of” article 33, relating to controlled substances, “no communication made to a practitioner shall be deemed confidential within the meaning of the civil practice law and rules relating to confidential communications between such practitioner and patient”]).

Although the legislature may not always explicitly set forth its intention to limit or abrogate the privilege by expressly cross-referencing CPLR 4504, its intent is evident from the directives of the particular statute (*see* Penal Law § 265.25 [requiring attending physicians to report to police every case of “any . . . injury arising from or caused by the discharge of a gun or firearm” and “a wound which is likely to or may result in death and is actually or apparently inflicted by a knife, ice-pick or other sharp or pointed instrument”]; Penal Law § 265.26 [requiring physicians to report certain burn injuries to the office of fire prevention and control]; Public Health Law § 2101 [1] [requiring physicians to “immediately give notice of every case of communicable disease” to the proper authorities]).

We have acknowledged that although the physician-patient privilege is in derogation of the common law, it should be af-

for a “broad and liberal construction to carry out its policy” of encouraging full disclosure by patients so that they may secure treatment (*Matter of Grand Jury Investigation of Onondaga County*, 59 NY2d at 134 [citation and internal quotation marks omitted]). Conversely, exceptions that limit the privilege are afforded a narrow construction (see *People v Sinski*, 88 NY2d 487, 492 [1996]). From these statutorily-enacted exceptions, it is evident that the legislature has made considered judgments in deciding when the physician-patient privilege should give way to what it deems to be greater interests, namely, proceedings involving allegations of child abuse, maltreatment and neglect, and guardianship of allegedly incapacitated persons. The legislature has determined that the protection of children is of paramount importance, so much so that it has either limited or abrogated the privilege through statutory enactments.

The People erroneously assert that these exceptions place offenders on notice that the physician-patient privilege does not apply to statements or admissions triggering a duty to disclose. But it is one thing to allow the introduction of statements or admissions in child protective proceedings, whose aim is the protection of children, and quite another to allow the introduction of those same statements, through a defendant’s psychiatrist, at a *criminal* proceeding, where the People seek to punish the defendant and potentially deprive him of his liberty. Evidentiary standards are necessarily lower in the former proceedings than in the latter because the interests involved are different. Thus, the relaxed evidentiary standards in child protective proceedings lend no credence to the People’s argument that defendant should have known that any admission of abuse he made to his psychiatrist would not be kept confidential.

The legislature has not created an express exception permitting a psychiatrist to testify concerning an admission made by a criminal defendant during the course of a professional relationship where the admission was made for purposes of diagnosis and treatment. Even if a patient is cognizant of his psychiatrist’s reporting obligations under child protective statutes, that does not mean that he should have any expectation that statements made during treatment will be used against him in a criminal matter.

Defendant, who was admitted to CPH based upon the diagnoses of depression and suicidal ideation, allegedly made

admissions to his psychiatrist for the purpose of treatment. Thus, defendant's admission was subject to the physician-patient privilege and, absent any waiver or exception (neither of which is present here), its admission in evidence through the testimony of defendant's psychiatrist violated section 4504 (a).

III

The People next claim that, even if defendant's admission was privileged, we may nonetheless decline to enforce the privilege if its invocation would undermine section 4504's policy objectives. According to the People, enforcement of the physician-patient privilege after a disclosure has been made does not promote the purposes of encouraging communication or protecting privacy but, rather, runs counter to the legislature's policies and practices that are aimed at preventing child abuse and bringing abusers to justice.

We reject the People's suggestion that we curtail the privilege in this regard. As stated above, the legislature has crafted exceptions to the privilege in child protective proceedings in order to advance the important interest in protecting the welfare of children. Moreover, the cases cited by the People in support of their contention that we may imply from those enactments that the physician-patient privilege was not meant to apply to instances where a disclosure is made are inapposite. In each of those cases, the legislature had created a statutory scheme that charged a governmental body with enforcing certain health care laws, and we held that the need for the disclosure of confidential records was implied from the powers that the legislature conferred on the governmental body (*see Matter of New York City Health & Hosps. Corp. v New York State Commn. of Correction*, 19 NY3d 239 [2012] [finding an implied exception to the physician-patient privilege from the legislature's express provisions that granted a commission the power to investigate inmate deaths]; *Matter of Camperlengo v Blum*, 56 NY2d 251 [1982] [finding an implied exception to the physician-patient privilege where the State Department of Social Services sought medical records as part of a Medicaid fraud investigation]; *People v Fuller*, 24 NY2d 292 [1969] [finding an implied exception to the physician-patient privilege under the Narcotics Control Act of 1966 that allowed an arrestee's medical records and statements to physicians in evidence at the addiction hearing to determine if the arrestee qualified for the

program, but did *not* permit the use of such material at the arrestee's criminal case]).

IV

[2] Finally, contrary to the People's contention, the testimony by defendant's psychiatrist that defendant admitted to the abuse was not harmless. Apart from the victim's testimony, there was no eyewitness evidence to the abuse, and there was little, if any, physical evidence establishing it. Moreover, the prosecutor relied on the psychiatrist's testimony in arguing for defendant's guilt and, during deliberations, the jury made one request, namely, it asked for the psychiatrist's response when she was asked if defendant admitted to her that he sexually molested the child.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, RIVERA, STEIN and FAHEY concur; Judge ABDUS-SALAAM taking no part.

Order affirmed.

[33 NE3d 471, 11 NYS3d 515]

In the Matter of TAYINHA BANOS, Respondent, v JOHN RHEA, as Chairperson of the New York City Housing Authority, et al., Appellants, et al., Respondent.

In the Matter of VIOLA DIAL, Respondent, v JOHN RHEA, as Chairman of the New York City Housing Authority, Appellant, and 690 GATES, LP, Respondent.

Argued March 24, 2015; decided May 12, 2015

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 13, 2013. The Appellate Division affirmed an order of the Supreme Court, Kings County (Genine D. Edwards, J.), entered in a proceeding pursuant to CPLR article 78, which, insofar as appealed from, had denied the cross motion of respondents New York City Housing Authority and John Rhea, as Chairman of the New York City Housing Authority, to dismiss the proceeding as barred by the statute of limitations. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated November 13, 2013, properly made?”

APPEAL, in the second above-entitled proceeding, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered November 13, 2013. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, Kings County (Genine D. Edwards, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition; (2) reversed the determination of the New York City Housing Authority which had terminated petitioner’s Section 8 benefits; (3) ordered respondent to reinstate petitioner’s benefits retroactive to September 1, 2007; (4) directed respondent to pay any rent subsidy amount that was not issued due to the unlawful termination; and (5) denied respondent’s cross motion to dismiss the proceeding as barred by the statute of limitations. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated November 13, 2013, properly made?”

Matter of Banos v Rhea, 111 AD3d 707, reversed.

Matter of Dial v Rhea, 111 AD3d 720, reversed.

HEADNOTES

Limitation of Actions — Four-Month Statute of Limitations — Challenge to Termination of Section 8 Subsidy — When Limitations Period Begins to Run

1. The timeliness of a proceeding against the New York City Housing Authority (NYCHA) challenging a termination of Section 8 rent subsidy benefits is measured from the tenant's receipt of the T-3 notice of default letter, regardless of whether NYCHA proved that it mailed the warning letter and T-1 notice of termination letter required by the consent judgment that sets forth the procedure that NYCHA must follow when terminating benefits. The applicable four-month statute of limitations begins to run when the agency determination "becomes final and binding upon the petitioner" (CPLR 217 [1]). The consent judgment, which must be construed according to rules of contract interpretation, provides, in paragraph 22 (f), that the determination to terminate benefits becomes final and binding upon receipt of the notice of determination or the notice of default, i.e., the T-3 letter, "pursuant to paragraph '3(e)' " of the consent judgment. While paragraph 3 contains a three-step notice procedure, the purpose of the reference to paragraph 3 (e) in paragraph 22 (f) was to clearly identify the T-3 letter as the relevant notice as distinguished from another type of default mentioned in the consent judgment. Paragraph 3 does not lose its meaning if it is interpreted alone without being fully incorporated into paragraph 22. Nor is there any indication that the reference to paragraph 3 (e) was intended to incorporate all of the procedural requirements contained in paragraph 3 as conditions precedent to commencement of the limitations period. While the consent judgment provides the added protection of two additional notices—without which a termination of benefits will not be upheld on the merits if timely challenged—the T-3 letter contains sufficient information to put tenants on notice of the termination of their rights with respect thereto, and to advise them as to how to proceed, such that it is not a deprivation of due process to designate that document as the trigger for commencement of the statute of limitations.

Limitation of Actions — Four-Month Statute of Limitations — Challenge to Termination of Section 8 Subsidy — Receipt of Letter Commencing Limitations Period

2. The proceedings by petitioners challenging the termination of their Section 8 rent subsidy benefits by the New York City Housing Authority (NYCHA) were time-barred where they were commenced more than four months after receipt of the T-3 notice of default letter (*see* CPLR 217 [1]). The timeliness of a proceeding against NYCHA challenging a termination of Section 8 benefits is measured from the tenant's receipt of the T-3 notice of default letter, regardless of whether NYCHA proved that it mailed the warning letter and T-1 notice of termination letter required by the consent judgment that sets forth the procedure that NYCHA must follow when terminating benefits. The consent judgment contains a rebuttable presumption that the T-3 letter is received "on the fifth day following the date of mailing." In each of petitioners' cases, NYCHA provided employee affidavits, copies of the T-3 letters and mail logs and the Appellate Division found, either explicitly or implicitly, that NYCHA established proper mailing of the T-3 letters. Each petitioner's bare denial of receipt was insufficient to rebut the presumption.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Administrative Law § 269; AM JUR 2d, Hous-

ing Laws and Urban Redevelopment § 15; AM JUR 2d, Limitation of Actions §§ 127, 131.
CARMODY-WAIT 2d, Limitation of Actions § 13:349;
CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:181, 145:187, 145:189, 145:191, 145:192.
McKINNEY'S, CPLR 217 (1).
NY JUR 2d, Article 78 and Related Proceedings §§ 186–191; NY JUR 2d, Public Housing and Urban Renewal § 48.
SIEGEL, NY PRAC §§ 35, 566.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Limitation of Actions; Rent.

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POINTS OF COUNSEL

David I. Farber, General Counsel, New York City Housing Authority, New York City (Melissa R. Renwick, Kelly D. MacNeal, Nancy M. Harnett, Corina L. Leske, Maria Termini and Andrew M. Lupin of counsel), for appellants in the first above-entitled proceeding. I. The majority erred in failing to dismiss this proceeding as barred by the statute of limitations. (Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y., 5 NY3d 30; New York City Health & Hosps. Corp. v McBarnette, 84 NY2d 194; Solnick v Whalen, 49 NY2d 224; United States v International Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am., AFL-CIO, 998 F2d 1101; Equal Empl. Opportunity Commn. v New York Times Co., 196 F3d 72; United States v Local 359, United Seafood Workers, 55 F3d 64; Consedine v Portville Cent. School Dist., 12 NY3d 286; Matter of Parks v New York City Hous. Auth., 100 AD3d 407; Matter of Lopez v New York City Hous. Auth., 30 Misc 3d 1237[A], 2011 NY Slip Op 50390[U], 93 AD3d 448; Matter of Fernández v NYCHA Law Dept., 284 AD2d 202.) II. The majority erred in considering the merits of a time-barred claim. (Zumpano v Quinn, 6 NY3d 666; Matter of Thorton v New York City Hous. Auth., 100 AD3d 556; Matter of Saunders v Rhea, 92 AD3d 602; Matter of M & D Contrs. v New York City Dept. of Health, 233 AD2d 230; Matter of Fair v Finkel, 284 AD2d 126; Matter of Robinson v Martinez, 308 AD2d 355.)

Seymour W. James, Jr., The Legal Aid Society, Brooklyn (Kathleen Brennan, Ferdinand Ubozoh and Stephen Myers of counsel), for Tayinha Banos, respondent in the first above-entitled proceeding. I. Service of the warning notice and the notice of termination (T-1) are mandatory conditions precedent to service of the notice of default (T-3) and the statute of limitations cannot begin to run unless the New York City Housing Authority has made proper service of all three notices. (*Doe v Pataki*, 481 F3d 69; *United States ex rel. Anti-Discrimination Ctr. of Metro N.Y., Inc. v Westchester County, N.Y.*, 712 F3d 761; *Aivaliotis v Continental Broker-Dealer Corp.*, 30 AD3d 446; *Alshawhati v Zandani*, 82 AD3d 805; *Sutton v East Riv. Sav. Bank*, 55 NY2d 550; *Indovision Enterprizes v Cardinal Export Corp.*, 44 AD2d 228, 36 NY2d 811; *Tougher Heating & Plumbing Co. v State of New York*, 73 AD2d 732; *Matter of Fox Ridge Motor Inn, Inc. v Town of Southeast, N.Y.*, 85 AD3d 785; *Williams v New York City Hous. Auth.*, 975 F Supp 317; *Matter of Fair v Finkel*, 284 AD2d 126.) II. The Appellate Division could have affirmed the denial of the motion to dismiss on the ground that the New York City Housing Authority failed to establish that it made proper service of the T-3 even if the Court had not held that the statute of limitations was not triggered due to the Authority's failure to satisfy the condition precedent. (*Swift v New York Med. Coll.*, 25 AD3d 686; *Fleetwood Agency, Inc. v Verde Elec. Corp.*, 85 AD3d 850; *Cimino v Dembeck*, 61 AD3d 802; *Sabadie v Burke*, 47 AD3d 913; *Cron v Hargro Fabrics*, 91 NY2d 362; *Benn v Benn*, 82 AD3d 548; *Engel v Lichterman*, 95 AD2d 536, 62 NY2d 943; *Azriliant v Eagle Chase Assoc.*, 213 AD2d 573; *Matter of Colyar [New York Tel. Co.—Roberts]*, 129 AD2d 946; *Nassau Ins. Co. v Murray*, 46 NY2d 828.) III. The Appellate Division, Second Department, correctly refused to follow the holding of the Appellate Division, First Department, in *Matter of Lopez v New York City Hous. Auth.* (93 AD3d 448 [2012]), as well as those cases that hold that the statute of limitations begins to run when a party knew or should have known of the administrative determination. (*Matter of ISCA Enters. v City of New York*, 77 NY2d 688, 78 NY2d 952, 503 US 906; *90-92 Wadsworth Ave. Tenants Assn. v City of N.Y. Dept. of Hous. Preserv. & Dev.*, 227 AD2d 331; *McComb v Town of Greenville*, 163 AD2d 369; *Matter of Riverkeeper, Inc. v Crotty*, 28 AD3d 957; *Matter of Shamblee v Rhea*, 110 AD3d 443; *Matter of Kaufman v Anker*, 66 AD2d 851; *Matter of Munice v Board of Examiners of Bd. of Educ. of City of N.Y.*, 31 NY2d 683; *Matter of Goldstein v Niagara Falls Mem. Med. Ctr.*, 143

AD2d 515; *Matter of Castaways Motel v Schuyler*, 24 NY2d 120; *Matter of Reynolds v Dustman*, 1 NY3d 559.) IV. Contrary to appellant's assertion, the court below denied appellant's motion to dismiss on the ground that the proceeding is time-barred and did not make a determination on the merits. (*Matter of Dial v Rhea*, 111 AD3d 720; *Azriliant v Eagle Chase Assoc.*, 213 AD2d 573; *People v Ortega*, 15 NY3d 610.)

David I. Farber, General Counsel, New York City Housing Authority, New York City (Melissa R. Renwick, Kelly D. MacNeal, Nancy M. Harnett and Corina L. Leske of counsel), for appellant in the second above-entitled proceeding. I. The Second Department erred in failing to dismiss this proceeding as barred by the statute of limitations. (*Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30; *New York City Health & Hosps. Corp. v McBarnette*, 84 NY2d 194; *Solnick v Whalen*, 49 NY2d 224; *United States v International Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am., AFL-CIO*, 998 F2d 1101; *Equal Empl. Opportunity Commn. v New York Times Co.*, 196 F3d 72; *United States v Local 359, United Seafood Workers*, 55 F3d 64; *Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *Nassau Ins. Co. v Murray*, 46 NY2d 828; *Northern v Hernandez*, 17 AD3d 285; *Matter of Rodriguez v Wing*, 251 AD2d 335.) II. The Second Department erred in considering the merits of a time-barred claim. (*Zumpano v Quinn*, 6 NY3d 666; *Matter of Thorton v New York City Hous. Auth.*, 100 AD3d 556; *Matter of Saunders v Rhea*, 92 AD3d 602; *Matter of M & D Contrs. v New York City Dept. of Health*, 233 AD2d 230; *Matter of Quesada v Hernandez*, 5 Misc 3d 1028[A], 2004 NY Slip Op 51597[U]; *Matter of Parks v New York City Hous. Auth.*, 100 AD3d 407; *Matter of Lopez v New York City Hous. Auth.*, 93 AD3d 448; *Matter of Fernández v NYCHA Law Dept.*, 284 AD2d 202.) III. The Second Department erred in not affording the New York City Housing Authority an opportunity to answer. (*Matter of Nassau BOCES Cent. Council of Teachers v Board of Coop. Educ. Servs. of Nassau County*, 63 NY2d 100; *Matter of Wood v Glass*, 226 AD2d 387; *Matter of Charter Private Line v Board of Educ. of City of N.Y.*, 182 AD2d 758; *Matter of Parks v New York City Hous. Auth.*, 100 AD3d 407; *Matter of Lopez v New York City Hous. Auth.*, 93 AD3d 448; *Matter of Fernández v NYCHA Law Dept.*, 284 AD2d 202.) IV. The Second Department erred in ordering the New York City Housing Authority to make retroactive subsidy payments.

South Brooklyn Legal Services, Inc., Brooklyn (Michael Weisberg of counsel), for Viola Dial, respondent in the second above-entitled proceeding. I. The statute of limitations to challenge termination of the Section 8 subsidy does not begin to run until New York City Housing Authority complies with each of the conditions precedent required by the *Williams* consent judgment. (*Matter of Fox Ridge Motor Inn, Inc. v Town of Southeast, N.Y.*, 85 AD3d 785; *Indovision Enterprizes v Cardinal Export Corp.*, 44 AD2d 228, 36 NY2d 811; *Williams v New York City Hous. Auth.*, 975 F Supp 317; *Matter of Fair v Finkel*, 284 AD2d 126; *Anderson v Yungkau*, 329 US 482; *Matter of Quesada v Hernandez*, 5 Misc 3d 1028[A], 2004 NY Slip Op 51597[U]; *Matter of Reynolds v Dustman*, 1 NY3d 559; *Funk v Barry*, 89 NY2d 364; *Redeemed Christian Church of God Tabernacle of Restoration v Green*, 62 AD3d 601; *Citibank v Velazquez*, 284 AD2d 364.) II. The Appellate Division correctly refused to follow the line of cases holding that the statute of limitations begins to run when a party knew or should have known of the decision being appealed; those cases are distinguishable. (*Matter of ISCA Enters. v City of New York*, 77 NY2d 688, 78 NY2d 952, 503 US 906; *90-92 Wadsworth Ave. Tenants Assn. v City of N.Y. Dept. of Hous. Preserv. & Dev.*, 227 AD2d 331; *McComb v Town of Greenville*, 163 AD2d 369; *Matter of Riverkeeper, Inc. v Crotty*, 28 AD3d 957; *Matter of Shamblee v Rhea*, 110 AD3d 443; *Matter of Kaufman v Anker*, 66 AD2d 851; *Matter of Munice v Board of Examiners of Bd. of Educ. of City of N.Y.*, 31 NY2d 683; *Matter of Goldstein v Niagara Falls Mem. Med. Ctr.*, 143 AD2d 515; *Matter of Castaways Motel v Schuyler*, 24 NY2d 120.) III. The Appellate Division did not improperly deny New York City Housing Authority an opportunity to answer because the procedural aspects of this matter are inextricably intertwined with the issue to be decided. (*Matter of Crooms v Corriero*, 206 AD2d 275; *Rivers v Rhea*, 2010 NY Slip Op 31894[U]; *Matter of Nassau BOCES Cent. Council of Teachers v Board of Coop. Educ. Servs. of Nassau County*, 63 NY2d 100; *Matter of Banos v Rhea*, 111 AD3d 707.)

Robert H. Gordon, New York City, for 690 Gates, LP, respondent in the second above-entitled proceeding. I. The statute of limitations did not run because New York City Housing Authority failed to prove it served the T-3 notice. (*Williams v New York City Hous. Auth.*, 975 F Supp 317; *City of New York v State of New York*, 40 NY2d 659; *Gardam & Son v Batterson*, 198 NY 175; *L.Z.R. Raphaely Galleries v Lumbermens Mut. Cas. Co.*, 191 AD2d 680; *Nassau Ins. Co. v Murray*, 46 NY2d 828; *Matter of Lumbermens Mut. Cas. Co. [Collins]*, 135 AD2d

373; *Matter of Government Empls. Ins. Co. [Hartford Ins. Co.]*, 112 AD2d 226; *Sea Ins. Co. v Kopsky*, 137 AD2d 804; *Matter of Colyar [New York Tel. Co.—Roberts]*, 129 AD2d 946; *Matter of Szaro v New York State Div. of Hous. & Community Renewal*, 13 AD3d 93.) II. The courts below correctly found that the statute of limitations runs when New York City Housing Authority satisfies the conditions precedent for a final and binding determination. (*Consedine v Portville Cent. School Dist.*, 12 NY3d 286; *South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272; *Two Guys from Harrison-N.Y. v S.F.R. Realty Assoc.*, 63 NY2d 396; *Matter of Green v Hernandez*, 6 Misc 3d 1041[A], 2005 NY Slip Op 50388[U]; *Matter of Matos v Hernandez*, 10 Misc 3d 1068[A], 2005 NY Slip Op 52188[U]; *Matter of Lopez v New York City Hous. Auth.*, 93 AD3d 448; *Matter of Parks v New York City Hous. Auth.*, 100 AD3d 407; *Matter of Cole v New York City Hous. Auth.*, 2013 NY Slip Op 33284[U].) III. New York City Housing Authority's argument that the statute of limitations runs when a tenant knows of a determination is a direct violation of the *Williams* first partial consent judgment. (*Matter of Village of Westbury v Department of Transp. of State of N.Y.*, 75 NY2d 62; *Matter of Bianca v Frank*, 43 NY2d 168; *Raschel v Rish*, 69 NY2d 694.) IV. New York City Housing Authority's other arguments are without merit. V. The courts properly exercised their discretion to not allow New York City Housing Authority to file an answer under the facts of this case. (*Matter of Adamag Realty Corp. v Diamante*, 254 AD2d 413; *Matter of Crooms v Corriero*, 206 AD2d 275.)

OPINION OF THE COURT

STEIN, J.

The principal issue raised in these cases is when the statute of limitations begins to run with respect to a tenant's legal challenge to a termination of Section 8 benefits by respondent New York City Housing Authority (NYCHA). We hold that, pursuant to a federal consent judgment, the statute begins to run upon the tenant's receipt of a "T-3 letter," regardless of whether NYCHA has proved that it mailed other notices required by the consent judgment to be sent to the tenant before the T-3 letter. Because petitioners did not commence these proceedings within four months of their receipt of the respective T-3 letters, we reverse and dismiss the petitions in both cases.

I.

Pursuant to Section 8 of the US Housing Act of 1937 (42 USC § 1437f [hereinafter Section 8]), the federal government provides rent subsidies to low-income individuals and families to enable them to rent privately-owned housing. NYCHA has a contract with the federal government to administer the Section 8 program in New York City (*see* 42 USC § 1437f [b] [1]). To partially resolve a federal class action brought by a group of tenants alleging due process violations committed by NYCHA in the termination of their Section 8 benefits, the parties to that action entered into what is called the *Williams* first partial consent judgment (*see Williams v New York City Hous. Auth.*, US Dist Ct, SD NY, 81 Civ 1801, Ward, J., 1984). It is undisputed that the consent judgment sets forth a specific procedure that NYCHA must follow when terminating benefits.

“First, after a preliminary determination that there exists a basis for termination, NYCHA must send the participant a warning letter specifically stating the basis for the termination and, if appropriate, seeking the participant’s compliance. Thereafter, if the conditions which led to the preliminary determination have not been remedied within a reasonable time, NYCHA must send a second written notice, the Notice of Termination [called a T-1 letter], by certified and regular mail, stating the specific grounds for termination and informing the participant that he or she may request a hearing (and an optional pre-hearing conference). If the participant does not respond to the Notice of Termination or T-1 letter, NYCHA is required to mail a Notice of Default [called a T-3 letter] advising the participant that the rent subsidy will be terminated and the grounds therefor and affording the participant another opportunity to request a hearing. If the participant takes no action after the Notice of Default or T-3 letter, the rent subsidy will be terminated on the 45th calendar day following the date of mailing of the Notice of Default. If, however, a participant requests a hearing after the 45-day period, the participant’s default may be reopened ‘upon a showing of good cause’” (*Matter of Fair v Finkel*, 284 AD2d 126, 127-128 [1st Dept 2001] [footnotes omitted]).

Both of the cases before us involve the interpretation of the parameters of the *Williams* consent judgment.

Matter of Banos v Rhea

NYCHA terminated the Section 8 benefits of petitioner Tayinha Banos effective June 30, 2010. Banos alleged that she never received a warning letter, T-1 letter or T-3 letter. However, she acknowledged receiving something from her landlord in June 2010 that caused her to send an inquiry to NYCHA, and further acknowledged that she received a responsive letter from NYCHA in early July 2010, informing her that her benefits had been terminated. In February 2012, Banos commenced this CPLR article 78 proceeding against NYCHA and its then-Chair, John Rhea¹ (hereinafter collectively referred to as NYCHA), seeking to annul NYCHA's determination as arbitrary, capricious, in violation of due process and contrary to law, and to reinstate her benefits.

NYCHA moved to dismiss the proceeding as time-barred. In its motion papers, NYCHA provided affidavits from two employees setting forth the agency's mailing procedures for the T-3 letter. The affidavits were supported by a copy of the T-3 letter sent to Banos, a mail log, and a United States Postal Service (USPS) Track and Confirm report. Although NYCHA's motion papers addressed the mailing of the T-3 letter to Banos, they did not mention anything about having sent her a warning letter or a T-1 letter.

Supreme Court denied NYCHA's motion, finding that, because NYCHA failed to show that it strictly complied with the consent judgment's requirement to send all three notices, the statute of limitations did not begin to run. The court then provided NYCHA time to submit an answer to the petition. The Appellate Division affirmed (111 AD3d 707 [2d Dept 2013]). Agreeing that the record failed to show that NYCHA mailed the warning letter and the T-1 letter, the majority concluded that "NYCHA's termination of the petitioner's Section 8 benefits was in violation of lawful procedure" and, therefore, the statute of limitations did not begin to run (*id.* at 708). The dissent would have dismissed the petition on the basis that the *Williams* consent judgment specifically provided that the time to commence a proceeding to challenge a termination of benefits began to run from receipt of the T-3 letter (*see id.* at 708-714

1. Rhea is NYCHA's former Chair; Shola Olatoye is the current Chair.

[Miller, J., dissenting]). According to the dissent, Banos' bare assertion that she did not receive the T-3 letter was insufficient to rebut the presumption of delivery created by NYCHA's proof, and she failed to commence this proceeding within four months of receipt. The Appellate Division granted NYCHA leave to appeal, certifying the question as to whether its decision was correct (2014 NY Slip Op 67900[U] [2d Dept 2014]).

Matter of Dial v Rhea

NYCHA contends that it mailed a T-3 letter to petitioner Viola Dial in August 2007 by regular and certified mail. In contrast, Dial denies receiving any warning letter, T-1 letter or T-3 letter. However, Dial's landlord, respondent 690 Gates, LP, made her aware in December 2008 that NYCHA had terminated her Section 8 benefits. Dial sent letters to NYCHA in December 2008 and September 2010, seeking an explanation and reinstatement of her benefits. NYCHA promptly responded to each letter, declining Dial's requests for reinstatement and informing her that her benefits were terminated effective October 31, 2007.

In May 2011, Dial commenced this CPLR article 78 proceeding against Rhea, as Chair of NYCHA (who we generally refer to as NYCHA, which is the real party in interest), and 690 Gates. NYCHA moved to dismiss the petition as time-barred. To demonstrate that it mailed the T-3 letter to Dial, NYCHA submitted affidavits from two of its employees, as well as a reply affidavit, a copy of the T-3 letter mailed to Dial and mail logs. To explain the absence of records specifically pertaining to the mailing of the T-3 letter to Dial, NYCHA also proffered information indicating that the USPS Track and Confirm system maintains records for certified mailings for only two years.

Supreme Court denied NYCHA's motion to dismiss and granted the petition on the merits, annulling NYCHA's determination and ordering reinstatement of Dial's benefits retroactive to September 1, 2007. The court found that NYCHA did not comply with the notice requirements, as it failed to serve a warning letter and submitted insufficient proof that T-1 and T-3 letters were properly mailed to Dial. The Appellate Division affirmed, concluding that NYCHA bore the burden of showing that it served all three notices before its determination could be considered final and binding on a tenant (111 AD3d 720 [2d Dept 2013]). Finding that NYCHA failed to show that it mailed two of the three notices (the warning letter and T-1

letter), the Appellate Division determined that the statute of limitations did not begin to run. The Court implicitly found that NYCHA demonstrated that it mailed the T-3 letter to Dial (*see id.* at 722-723). The Appellate Division granted NYCHA leave to appeal, certifying the question as to whether its decision was correct (2014 NY Slip Op 70575[U] [2d Dept 2014]).

II.

All of the parties agree that a four-month statute of limitations applies to proceedings challenging NYCHA's termination of Section 8 benefits (*see* CPLR 217 [1]). There is also no question that the time to commence such a proceeding begins to run when the agency determination "becomes final and binding upon the petitioner" (CPLR 217 [1]; *see Matter of Best Payphones, Inc. v Department of Info. Tech. & Telecom. of City of N.Y.*, 5 NY3d 30, 34 [2005]). The *Williams* consent judgment specifically addresses when a NYCHA determination to terminate Section 8 benefits becomes final and binding. The question before us revolves around the proper interpretation of the applicable provision of that consent judgment.

In general, a stipulation or consent judgment is a contract between parties and must be construed according to the rules of contract interpretation. Stipulations embody a compromise between competing parties that, if not ambiguous, must be construed according to their plain language, without relying on what a party may have been able to prove in litigation (*see United States v ITT Continental Baking Co.*, 420 US 223, 236-237 [1975]; *Matter of Fox Ridge Motor Inn, Inc. v Town of Southeast, N.Y.*, 85 AD3d 785, 786 [2d Dept 2011]). Whether a contract is ambiguous is a question of law, and courts may not resort to extrinsic evidence to aid in interpretation unless the document is ambiguous (*see Consedine v Portville Cent. School Dist.*, 12 NY3d 286, 293 [2009]).

The plain language of the *Williams* consent judgment draws a distinction between what is required to commence the limitations period for a challenge to a termination of Section 8 benefits, on the one hand, and what is required for NYCHA to establish the merit of such a termination—including NYCHA's full compliance with the notice requirements—on the other hand. The consent judgment addresses the statute of limitations in paragraph 22 (f) as follows: "[F]or the purposes of Section 217 and Article 78 of the [CPLR], the determination to terminate a [Section 8] subsidy shall, in all cases, become final

and binding upon receipt of the Notice of Determination pursuant to paragraph ‘22(a)’ hereinabove, or the Notice of Default, pursuant to paragraph ‘3(e)’ above”—i.e., the T-3 letter—with an exception that is not relevant here.²

NYCHA contends that the plain language of paragraph 22 (f) states that a determination is final and binding upon the tenant’s receipt of the T-3 letter, without any mention of the warning letter or T-1 letter. According to NYCHA, the purpose of the reference to paragraph 3 (e) is simply to specify or clarify the particular notice of default (the T-3 letter) that will be final and binding, as the consent judgment also refers to another type of default (*see* para 22 [d] [referencing a tenant’s default in appearing at a scheduled hearing]). Hence, NYCHA argues that, to succeed on its statute of limitations defense, it need prove only that a tenant received the T-3 letter and failed to commence a proceeding to challenge the termination of Section 8 benefits within four months of the date of such receipt.

In contrast, Banos and Dial contend that the phrase in paragraph 22 (f) “pursuant to paragraph ‘3(e)’ above” should be interpreted to mean that the notice of default must have been properly issued after strict compliance with all of the requirements of paragraph 3 (e). That paragraph begins, “[i]n the event that the participant does not respond to the notice as provided for in Section 3(b) above, a Notice of Default, in Spanish and English, shall be mailed to the participant.” According to Banos and Dial, one must then go to paragraph 3 (b), referenced in paragraph 3 (e), which provides that “if the conditions which led to the preliminary determination have not been remedied within a reasonable period of time after the mailing of the warning letter, a notice in Spanish and English [i.e., the T-1 letter] shall be sent to the participant by certified mail with a copy by regular mail.” Paragraph 3 (b) also sets forth the information that must be included in the T-1 letter. The warning letter mentioned in paragraph 3 (b) is described in paragraph 3 (a). The introductory language to paragraph 3 provides that these steps involving the three letters must be taken after the preliminary determination to terminate benefits that is described in paragraph 2. Thus, under the reasoning urged by Banos and Dial, in order to interpret the meaning of paragraph 22 (f), we would also be required to construe

2. The notice of determination mentioned in paragraph 22 (a) concerns a determination made after a hearing, which is also not relevant here.

paragraphs 2 and 3 (a), (b) and (e)—that is, to understand paragraph 22 (f), we must incorporate all of paragraph 3 (e), which, in turn, refers to paragraph 3 (b), which indirectly refers to paragraph 3 (a), which indirectly refers to paragraph 2.

Although all portions of a contract should be read together to determine its meaning (*see Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124, 127 [2003]), courts may not distort the meaning of words, under the guise of interpretation, so as to create a new contract (*see Consedine*, 12 NY3d at 293). In the *Williams* consent judgment, paragraph 3 contains the notice requirements, while paragraph 22 (f) addresses the statute of limitations. Paragraph 3 does not lose its meaning if it is interpreted alone, as establishing the procedure for notices, without being fully incorporated into paragraph 22. Similarly, the language of paragraph 22 (f) makes sense on its own, without circuitously winding through paragraph 2 and three subdivisions of paragraph 3 for its interpretation. Under the plain language of paragraph 22 (f), a determination to terminate benefits becomes final and binding on a tenant for statute of limitations purposes upon receipt of the T-3 notice. Moreover, the purpose of the reference in paragraph 22 (f) to paragraph 3 (e) is to clearly identify the T-3 letter as the relevant notice; there is no indication that the reference was intended to incorporate all of the procedural requirements contained in paragraph 3 as conditions precedent to the commencement of the limitations period. Stated simply, receipt of the T-3 letter, alone, starts the clock.

Contrary to the arguments advanced by Banos and Dial, our interpretation does not defeat the purpose of the *Williams* consent judgment, which is to prevent the unnecessary termination of Section 8 benefits. The T-3 letter informs the tenants that Section 8 benefits will be terminated in 45 days, provides a reason for the termination, and informs the tenants that they may still request a hearing within 45 days (in which case benefits will continue until a final determination is made), that a challenge received after 45 days will be considered if “good cause” is shown, and that, if they wish to challenge the determination in court, they must do so within four months of the date of the notice. While the consent judgment provides the added protection of two additional notices—without which a termination of benefits will not be upheld on the merits if timely challenged—the T-3 letter contains sufficient information to put tenants on notice of the termination and their rights

with respect thereto, and to advise them as to how to proceed, such that it is not a deprivation of due process to designate that document as the trigger for commencement of the statute of limitations.

Nor will our interpretation allow or encourage NYCHA to disregard its obligation to provide all notices required by the *Williams* consent judgment. Inasmuch as the limitations period does not begin to run until the tenant's receipt of the T-3 letter, at least that notice must be given before NYCHA can validly raise timeliness as a defense to any challenge by a tenant. Further, NYCHA has no incentive to fail to provide the other two required notices, as such failure will result in NYCHA losing any timely challenge on the merits and, consequently, annulment of its determination to terminate benefits and potential reinstatement of such benefits (see *Matter of Fair*, 284 AD2d at 128-129; see also *Matter of Robinson v Martinez*, 308 AD2d 355, 355 [1st Dept 2003]). In any event, the issue of the merits of NYCHA's determination is entirely separate and distinct from the question of timeliness. In other words, the question of whether NYCHA followed proper procedure in reaching its determination relates to the merits of the underlying petition, but does not affect the finality of its determination for statute of limitations purposes.³ To hold otherwise would allow a review of the merits—i.e., finding that NYCHA's determination was in “violation of lawful procedure” pursuant to CPLR 7803 (3)—either before deciding the dispositive statute of limitations issue or despite the petition being untimely.⁴

[1] For these reasons, we hold that the timeliness of a proceeding against NYCHA challenging a termination of Section 8 benefits is measured from the tenant's receipt of the T-3 letter, regardless of whether NYCHA proves that it mailed the

3. Notably, even arguments concerning violations of due process may be precluded if a legal challenge is untimely (see *Solnick v Whalen*, 49 NY2d 224, 227 [1980]; *Matter of Saunders v Rhea*, 92 AD3d 602, 603 [1st Dept 2012]).

4. The dissent begins by stating that the *Williams* consent judgment established a three-step procedure for terminating Section 8 benefits and that “[t]he majority opinion effectively creates a one-step procedure for terminating Section 8 benefits” (dissenting op at 281). That statement reflects a misinterpretation of our decision, and conflates a merits determination with a conclusion concerning the timeliness of a challenge to a termination of benefits. We, like the dissent, recognize the consent judgment's three-step procedure for terminating benefits; however, unlike the dissent, we also recognize the consent judgment's reliance on just the final one of those steps for determining when the statute of limitations begins to run.

other two notices (see *Matter of Parks v New York City Hous. Auth.*, 100 AD3d 407, 408 [1st Dept 2012]; *Matter of Lopez v New York City Hous. Auth.*, 93 AD3d 448, 448-449 [1st Dept 2012]; *Matter of Fernández v NYCHA Law Dept.*, 284 AD2d 202, 202 [1st Dept 2001]). While this rule may result in the dismissal of petitions for some tenants with otherwise meritorious claims, such a result is inherent in any limitations period. However, statutes of limitations embody an important public policy of providing finality for agency determinations and reflect a legislative judgment to shield parties from having to defend against stale claims (see *Zumpano v Quinn*, 6 NY3d 666, 673 [2006]; *Matter of Best Payphones, Inc.*, 5 NY3d at 34 [recognizing a policy reason for abbreviated time frames applicable to CPLR article 78 proceedings that “the operation of government agencies should not be unnecessarily clouded by potential litigation”]). In arriving at the terms of the *Williams* consent judgment, this policy—set forth in paragraph 22 (f)—was evidently balanced against the policy underlying the procedural requirements of paragraphs 2 and 3 for a valid termination of benefits.⁵

[2] Turning to the contentions of Banos, Dial and 690 Gates that NYCHA failed to establish that it properly mailed the T-3 letters, paragraph 22 (g) of the *Williams* consent judgment contains a rebuttable presumption that the T-3 letter is received “on the fifth day following the date of mailing.” In each case before us, the Appellate Division found, either explicitly or implicitly, that NYCHA established proper mailing of the T-3 letter (see 111 AD3d at 708; *id.* at 711 [Miller, J., dissenting]; 111 AD3d at 722-723). Those factual determinations are supported by the record in each case, and each petitioner’s bare denial of receipt is insufficient to rebut the presumption contained in paragraph 22 (g) of the consent judgment (see *Kihl v Pfeffer*, 94 NY2d 118, 122 [1999]; *Nassau Ins. Co. v Murray*, 46 NY2d 828, 829-830 [1978]; *Matter of Hudson House, LLC v New York State Div. of Hous. & Community Renewal*, 89 AD3d 1084, 1084-1085 [2d Dept 2011]). Thus, the statute of limitations began to run five days after mailing of the T-3 letters, notwithstanding the absence of proof regarding mailing of

5. In fact, NYCHA asserts that, while the tenants in *Williams* gained a three-step notice procedure to terminate Section 8 benefits that is much broader than the notice required by federal law (see 24 CFR 982.555 [c] [2]), NYCHA’s only real gain in the consent judgment was the delineation of the T-3 notice as the definitive starting point for limitations purposes.

the warning letters or T-1 letters. The parties do not dispute that, under this interpretation of the consent judgment, each of these proceedings was untimely if measured from the applicable date.⁶

Accordingly, in each case, the order of the Appellate Division should be reversed, without costs, and NYCHA's motion to dismiss the petition as time-barred granted. In *Matter of Banos*, we answer the certified question in the negative and, in *Matter of Dial*, it is unnecessary for us to answer the certified question.

FAHEY, J. (dissenting). I respectfully dissent. A consent judgment is a contract between parties. A three-step termination procedure for Section 8 benefits was established to resolve *Williams v New York City Hous. Auth.* (US Dist Ct, SD NY, 81 Civ 1801, Ward, J., 1984). The majority opinion effectively creates a one-step procedure for terminating Section 8 benefits. The result is that the protections agreed to in *Williams* are meaningless.

Indeed, in my view, the consent judgment by which *Williams* was resolved must be read such that a determination to terminate Section 8 benefits is made only upon the proper mailing of all three of the notices demanded by that judgment. Consequently, in *Matter of Banos v Rhea* I would conclude that the statute of limitations was not triggered, and I would thus affirm the order of the Appellate Division and answer the certified question in the affirmative. In *Matter of Dial v Rhea*, I would reach the same conclusion with respect to the statute of limitations but, because respondent John Rhea¹ should have been permitted to answer the petition, I would modify the Appellate Division's order by vacating the part of the judgment of Supreme Court granting the petition and remitting to that court for further proceedings, and otherwise affirm.

I.

"Under the Section 8 program, 42 U.S.C. § 1437f, [NYCHA] provides rental subsidies to landlords on behalf of indigent ten-

6. Based on our analysis, we need not reach NYCHA's alternative arguments that the statute of limitations starts running when a tenant knew or should have known of the termination of benefits, or that laches bars either of these proceedings.

1. Rhea was sued in both proceedings in his capacity as Chairman of NYCHA. Similar to the tack taken by the majority, and for ease of review, from this point forward both Rhea and NYCHA will be referred to as NYCHA.

ants” (*Williams v New York City Hous. Auth.*, 975 F Supp 317, 319 [SD NY 1997]). In March 1981, plaintiff Diedre Williams commenced an action seeking

“injunctive relief to challenge on procedural due process grounds NYCHA’s methods of terminating Section 8 assistance. Williams contested NYCHA’s termination of Section 8 payments to landlords without prior notice to tenants or a pre-termination hearing. In addition, she contested the fact that, because NYCHA was not a party to eviction proceedings brought against tenants in Housing Court for non-payment of NYCHA’s share of rent, tenants were unable to litigate the validity of NYCHA’s termination of assistance. Over a period of two years, several other plaintiffs intervened in the proceedings, and on August 10, 1983, the [United States District Court for the Southern District of New York] granted [the] plaintiffs’ motion for class certification” (*id.*).

Williams was eventually resolved through two partial consent judgments, the first of which (generally, consent judgment) is germane to both of the appeals now before us.² The circumstances of these cases require the full recitation of the relevant parts of the consent judgment:

“1. Termination of the subsidy or eligibility of any participant in the Section 8 Housing Assistance Program . . . administered by [NYCHA] . . . shall be made only after a determination in accordance with the procedures and provisions herein. . . .

“3. After [a] preliminary determination [to terminate a Section 8 subsidy or eligibility therefor] is made, [NYCHA] shall take the following steps:

“(a) a warning letter in Spanish and English will be sent to the participant, by regular mail, specifically stating the basis for the proposed adverse action; and, where appropriate, seeking the participant’s compliance;

2. Thus far, the background facts have been taken from an opinion of the District Court awarding the plaintiffs in *Williams* attorney’s fees pursuant to 42 USC § 1988 following the resolution of that action through, inter alia, the consent judgment (*see Williams*, 975 F Supp at 319).

“(b) thereafter, if the conditions which led to the preliminary determination have not been remedied within a reasonable period of time after the mailing of the warning letter, a notice in Spanish and English shall be sent to the participant by certified mail with a copy by regular mail; the notice shall state the proposed adverse action and specific grounds for [NYCHA’s] complaint with enough specificity for the participant to prepare a defense. It shall inform the participant that he or she may request a hearing [with NYCHA] by responding to the notice, in writing, within [20] days after mailing; the notice shall include information about the optional pre-hearing conference . . . that is available to the participant; said notice shall include a copy of the procedure herein, shall be sent in duplicate, and will contain a section where the participant may fill in his or her response; with instructions that the participant return one copy with his or her written response. . . .

“(e) In the event that the participant does not respond to the notice as provided for in [paragraph] 3(b) . . . , a Notice of Default, in Spanish and English, shall be mailed to the participant. . . . Said Notice of Default shall have the same force and effect as a determination after a hearing to terminate the subsidy, and procedures for vacating such default shall be those set forth in paragraph ‘22’ of this procedure. . . .

“22. A determination to terminate a participant’s subsidy or eligibility shall be implemented, as follows:

“(a) a Notice in Spanish and English, shall be sent to the participant by regular and certified mail setting forth [NYCHA’s] determination and including . . . an explanation of the right to seek judicial review and of the procedure for reopening a default . . .

“(f) for the purposes of Section 217 and Article 78 of the [CPLR], the determination to terminate a subsidy shall, in all cases, become final and binding upon receipt of the . . . Notice of Default, pursuant to paragraph ‘3(e)’ . . .

“(g) For the purposes of this paragraph, there is a rebuttable presumption of receipt of the . . . notices referred to herein on the fifth day following the date of mailing.”

The warning letter referred to in paragraph 3 (a) of the consent judgment has no pseudonym. The notice of termination letter referred to in paragraph 3 (b) of that judgment, however, is known as a T-1 letter, while the notice of default letter referred to in paragraph 3 (e) therein is known as a T-3 letter (*see Matter of Fair v Finkel*, 284 AD2d 126, 127-128 [1st Dept 2001]).

II.

Matter of Banos v Rhea

In February 2012, Banos commenced a proceeding pursuant to CPLR article 78 against NYCHA and her landlord, respondent Coney Island Towers, LLC, challenging NYCHA’s termination of her Section 8 benefits. There Banos alleged that NYCHA failed to comply with the consent judgment before terminating the subsidy inasmuch as she did not receive from NYCHA any of the three letters demanded by paragraph 3 of that judgment, i.e., she was not provided with a warning letter, a T-1 letter, or a T-3 letter. In lieu of answering, NYCHA “cross-moved” for an order dismissing the petition as time-barred (*see* CPLR 3211 [a] [5]), contending that Banos failed to commence the proceeding within four months of NYCHA’s final and binding determination to terminate her Section 8 benefits (*see* CPLR 217 [1]). NYCHA specifically alleged that, pursuant to paragraph 22 (f) of the consent judgment, the determination to terminate Section 8 benefits became final and binding upon Banos’s receipt of a T-3 letter, and that it had established Banos’s presumptive receipt of that letter in May 2010.

Supreme Court denied the cross motion and granted NYCHA 60 days in which to answer the petition, reasoning that NYCHA breached the consent judgment inasmuch as it failed to send Banos a warning letter and a T-1 letter and thus did not trigger the applicable statute of limitations. On appeal, with one Justice dissenting, the Appellate Division affirmed, ruling that because “NYCHA did not comply with the notice provisions set forth in the . . . consent judgment,” i.e., because NYCHA did not send to Banos all three of the notices demanded by that judgment, “the statute of limitations was not properly

triggered and did not begin to run” (111 AD3d 707, 708 [2d Dept 2013]). The Appellate Division subsequently granted NYCHA leave to appeal and certified the question whether its order was properly made (2014 NY Slip Op 67900[U] [2d Dept 2014]).

Matter of Dial v Rhea

In May 2011, Dial commenced a proceeding pursuant to CPLR article 78 against NYCHA and her landlord, respondent 690 Gates, LP. Similar to Banos, Dial alleged that NYCHA failed to comply with the consent judgment inasmuch as she did not receive from NYCHA any of the three letters prescribed in that judgment before her Section 8 benefits were terminated in October 2007. Again in lieu of answering, NYCHA “cross-moved” for an order dismissing the petition as time-barred (*see* CPLR 217 [1]; 3211 [a] [5]). NYCHA specifically contended that, pursuant to paragraph 22 (f) of the consent judgment, the determination to terminate Section 8 benefits became final and binding upon Dial’s receipt of a T-3 letter. In the same vein, NYCHA maintained that it had established Dial’s presumptive receipt of that letter in August 2007.

For its part, 690 Gates opposed the cross motion, contending that NYCHA failed to establish that the T-3 letter had been properly mailed to Dial. More importantly to our analysis, 690 Gates also contended that, to the extent the cross motion was denied, NYCHA should not be afforded additional time to answer the petition. According to 690 Gates, in the absence of evidence that NYCHA had complied with the notice requirements of the consent judgment, the court would be constrained to grant the petition, and an answer would be futile. Supreme Court agreed with Dial and 690 Gates inasmuch as it, *inter alia*, granted the petition without affording NYCHA the opportunity to answer and directed the payment of any rent subsidy for Dial that was not issued because of the cessation of her Section 8 benefits.

On appeal, the Appellate Division affirmed, this time unanimously. In this order, the Appellate Division more fully probed the background common to this appeal and *Banos* before concluding that, “[a]s a result of [NYCHA’s] failure to abide by the notice provisions set forth in the . . . consent judgment, the statute of limitations was not properly triggered and did not begin to run” (111 AD3d 720, 723 [2d Dept 2013]). The Appellate Division subsequently granted NYCHA leave to

appeal and certified the question whether its order was properly made (2014 NY Slip Op 70575[U] [2d Dept 2014]).

III.

CPLR “[a]rticle 78 proceedings are subject to a four-month statute of limitations, running from the time when ‘the determination to be reviewed becomes final and binding’” (*People v Liden*, 19 NY3d 271, 275-276 [2012], quoting CPLR 217 [1]; see *Walton v New York State Dept. of Correctional Servs.*, 8 NY3d 186, 194 [2007]). In *Banos*, there can be no dispute that, to the extent the T-3 letter presumptively received in May 2010 is deemed a final determination for the purpose of triggering the statute of limitations, the petition, which was filed in February 2012, would be time-barred. The same is true in *Dial*; there, the T-3 letter was presumptively received in August 2007, and the petition was filed in May 2011. Consequently, our review distills to the question whether the consent judgment renders final a determination to terminate based on the mailing of only a T-3 letter or whether, under the terms of that judgment, a determination to terminate is final only when all three of the warning, T-1, and T-3 letters have been mailed. Cast another way, the primary issue herein is whether mailing of only the T-3 letter, rather than each of the three notices NYCHA previously agreed to provide in the consent judgment, triggered the statute of limitations in each of these CPLR article 78 proceedings.

Turning now to the rules that guide our analysis, it is settled that “[c]onsent decrees, while . . . judicial decrees subject to enforcement by the court, nonetheless are agreements between parties to litigation that ‘should be construed basically as contracts’” (*United States v International Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am., AFL-CIO*, 998 F2d 1101, 1106 [2d Cir 1993], quoting *United States v ITT Continental Baking Co.*, 420 US 223, 236-237 [1975]). Put differently, “[a] consent decree is in the nature of a contract, which we must interpret in light of its plain language” (*Callahan v Carey*, 12 NY3d 496, 502 [2009] [internal quotation marks and citation omitted]). “Under New York law, written agreements are construed in accordance with the parties’ intent and ‘[t]he best evidence of what parties to a written agreement intend is what they say in their writing’” (*Schron v Troutman Sanders LLP*, 20 NY3d 430, 436 [2013], quoting *Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]).

Indeed,

“ ‘[w]hen parties set down their [agreement] in a clear, complete document, their writing should . . . be enforced according to its terms’ (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). A contract should be read as a whole to ensure that undue emphasis is not placed upon particular words and phrases (*see South Rd. Assoc., LLC v International Bus. Machs. Corp.*, 4 NY3d 272, 277 [2005], citing *Matter of Westmoreland Coal Co. v Entech, Inc.*, 100 NY2d 352, 358 [2003]). Courts ‘may not by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing’ (*Vermont Teddy Bear*, 1 NY3d at 475, quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001])” (*Consedine v Portville Cent. School Dist.*, 12 NY3d 286, 293 [2009]).

Importantly, too, courts should “aim [for] a practical interpretation of the expressions of the parties to the end that there be a realization of [their] reasonable expectations” (*Sutton v East Riv. Sav. Bank*, 55 NY2d 550, 555 [1982] [internal quotation marks omitted]).

Based on those principles, I conclude that the statute of limitations was not triggered in either of the instant proceedings. As noted, the consent judgment arose from *Williams* (US Dist Ct, SD NY, 81 Civ 1801, Ward, J., 1984), which, in turn, arose from a challenge to NYCHA’s methods of terminating Section 8 assistance (*see Williams*, 975 F Supp at 319). As also noted, the consent judgment, inter alia, sets forth an agreed-upon series of steps NYCHA must take after making a preliminary determination to discontinue benefits under the Section 8 program. Pursuant to paragraph 3 (a), NYCHA must send a warning letter to the participant by regular mail. If the conditions that led to the preliminary determination are not remedied following the warning letter, paragraph 3 (b) provides that NYCHA must then mail a second letter containing a more specific notice of termination, i.e., a T-1 letter. Assuming those letters are mailed, and assuming there is no response to such correspondence, pursuant to paragraph 3 (e), NYCHA then must send a third letter, i.e., a T-3 letter, therein notifying the participant

of the default. In such cases, paragraph 22 (f) provides that “the determination to terminate a subsidy shall . . . become final and binding upon receipt of the [T-3 letter].”

The majority and NYCHA seize upon paragraph 22 (f) in concluding that the mailing of the T-3 letter, even in the absence of the mailing of warning and T-1 letters, triggers the statute of limitations in proceedings such as these. I disagree. To read paragraph 22 (f) in such isolation unduly emphasizes a single part of the consent judgment (*cf. Consedine*, 12 NY3d at 293) and results in an impractical interpretation of that agreement (*cf. Sutton*, 55 NY2d at 555) that eviscerates its obvious ameliorative purpose of standardizing the termination of Section 8 benefits through a trinity of notices. In my view, taking the position that the mailing of a T-3 letter alone is sufficient to trigger the statute of limitations does not simply limit the combined condition precedent to termination created by the consent judgment’s unified mailing requirement, but destroys it. Indeed, the consent judgment, although far from precisely worded, more than once refers to the process by which the written warning and explication of the termination of Section 8 benefits is to be accomplished as a single “procedure” (*see* consent judgment para 3 [b], [e]; *cf.* para 1). The nature of that reference strongly suggests that the three notices now at issue are part of one unit and are effective only when given in combination with one another. NYCHA’s failure to provide the series of notices required by the consent judgment to form a termination of Section 8 benefits made the determinations to terminate petitioners’ benefits neither effective nor final. The statute of limitations was not triggered in either of these proceedings.

Implicit in this analysis is the rejection of NYCHA’s alternative contention that the statute of limitations began to run when each petitioner knew or should have known of its decision to terminate her Section 8 subsidy, irrespective of whether petitioners were properly notified of the cessation of those benefits. In my view that contention is merely a backdoor way of arguing that, because petitioners received or presumably received the respective T-3 notices approximately 1½ years (Banos) and approximately 3½ years (Dial) before these proceedings were commenced, each such proceeding is time-barred. To adopt that approach would burden frequently elderly and unsophisticated Section 8 beneficiaries with interpreting the T-3 notice—a tack that is simply contrary to the notice and mailing procedure of the consent judgment.

NYCHA's additional alternative contention in *Dial* with respect to laches is likewise meritless. "The essential element of [that] equitable defense is delay prejudicial to the opposing party" (*Capruso v Village of Kings Point*, 23 NY3d 631, 641 [2014], quoting *Matter of Schulz v State of New York*, 81 NY2d 336, 348 [1993]), but here NYCHA should have immediately known of the threat of litigation flowing from its breach of the protocol for terminating Section 8 benefits to which it agreed in the consent judgment.

IV.

Finally, with respect to *Dial*, I agree with NYCHA that it should have been permitted to answer the petition following the denial of its cross motion to dismiss. CPLR 7804 (f) provides, in relevant part, that "[i]f [a] motion [to dismiss] is denied, the court shall permit the respondent to answer, upon such terms as may be just." This Court has recognized an exception to that mandate where "the facts are so fully presented in the papers of the respective parties that it is clear that no dispute as to the facts exists and no prejudice will result from the failure to require an answer" (*Matter of Nassau BOCES Cent. Council of Teachers v Board of Coop. Educ. Servs. of Nassau County*, 63 NY2d 100, 102 [1984]), but that exemption does not apply in this case. Here the record reflects that NYCHA sought dismissal of the petition on the grounds that it is barred by the statute of limitations and by the doctrine of laches, while at the same time reserving its right to answer to the extent the court denied the cross motion. Inasmuch as NYCHA contended that the statute of limitations with respect to this proceeding was triggered by the mailing of the T-3 letter to petitioner, the evidence submitted in support of the cross motion naturally was focused on the T-3 notice. Moreover, although NYCHA could conceivably have addressed the issue of the mailing of the warning and T-1 letters on reply, there was no reason for it to do so given its core contention that the T-3 letter alone is an independent trigger for the statute of limitations. Consequently, NYCHA should have been permitted to answer the petition in *Dial* and to contest, inter alia, the question whether it owes retroactive rent subsidies to *Dial*.

Accordingly, in *Matter of Banos v Rhea* I would affirm the order of the Appellate Division and answer the certified question in the affirmative. In *Matter of Dial v Rhea*, I would modify the order of the Appellate Division by vacating the part of Supreme

Court's judgment granting the petition and remitting to that court for further proceedings.

In *Matter of Banos v Rhea*: Order reversed, without costs, motion to dismiss petition as time-barred granted, and certified question answered in the negative.

Opinion by Judge STEIN. Judges READ, PIGOTT and ABDUS-SALAAM concur; Judge FAHEY dissents in an opinion in which Chief Judge LIPPMAN and Judge RIVERA concur.

In *Matter of Dial v Rhea*: Order reversed, without costs, motion to dismiss petition as time-barred granted, and certified question not answered as unnecessary.

Opinion by Judge STEIN. Judges READ, PIGOTT and ABDUS-SALAAM concur; Judge FAHEY dissents in an opinion in which Chief Judge LIPPMAN and Judge RIVERA concur.

[33 NE3d 485, 11 NYS3d 529]

In the Matter of LUTHER DEMPSEY, Appellant, v NEW YORK
CITY DEPARTMENT OF EDUCATION et al., Respondents.

Argued March 24, 2015; decided May 12, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered July 16, 2013. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, New York County (Robert E. Torres, J.; op 2012 NY Slip Op 30552[U] [2012]), entered in a proceeding pursuant to CPLR article 78, which had (a) granted the petition to the extent of annulling respondent New York City Department of Education's (DOE) determination denying petitioner's request for certification as a school bus driver, (b) ordered that respondent approve petitioner's application to be a certified DOE school bus driver, and (c) remanded the remaining issues to respondent; (2) denied the petition; and (3) dismissed the proceeding. The following question was certified by the Appellate Division: "Was the order of . . . this Court, which reversed the judgment of the Supreme Court, properly made?"

Matter of Dempsey v New York City Dept. of Educ., 108 AD3d 454, affirmed.

HEADNOTE

Civil Rights — Discrimination Based on Previous Criminal Prosecution — Prior Drug-Related Felony Convictions — School Bus Driver Certification Denied

Respondent New York City Department of Education's denial of petitioner's application for certification as a school bus driver was not arbitrary and capricious, where petitioner had been convicted of two drug-related felonies and three theft-related misdemeanors, even though petitioner had been issued a certificate of relief from disabilities with respect to his felony convictions. It is impermissible for an employer to deny a license or employment application "by reason of the individual's having been previously convicted of one or more criminal offenses," unless there is a "direct relationship" between the previous criminal offense and the license or employment sought, or where the licensing or employment would involve an "unreasonable risk to . . . the safety or welfare of specific individuals or the general public" (Correction Law § 752 [1], [2]). Correction Law § 753 (1) sets out eight factors that must be considered when deciding whether an exception applies, and failure to take into consideration each of these factors results in a failure to comply with the mandatory directive. Petitioner adduced no evidence demonstrating

that respondent failed to consider the information he provided concerning his relevant employment history. Respondent was not obliged to point to any contemporaneously created record demonstrating that it considered each of the factors in reviewing petitioner's application. Moreover, while Correction Law § 753 (2) requires an employer to "give consideration to a certificate of relief from disabilities," it does not establish a prima facie entitlement to the license or employment. At the time of his more recent offenses, petitioner was of mature age, rather than an age at which an individual's moral values are typically still developing. In addition, respondent was required by its regulations to take into account the particular concern with offenses involving possessing, distributing or selling controlled substances.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Licenses and Permits §§ 48, 54; AM JUR 2d, Schools § 153.

McKINNEY'S, Correction Law §§ 752 (1), (2); 753 (1), (2).

NY JUR 2d, Businesses and Occupations §§ 40–44; NY JUR 2d, Schools, Universities, and Colleges §§ 270, 422.

ANNOTATION REFERENCE

See ALR Index under Conviction; Licenses and Permits; School Buses.

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POINTS OF COUNSEL

South Brooklyn Legal Services, Brooklyn (Nicole Salk of counsel), for appellant. I. The Appellate Division majority opinion misinterprets *Matter of Acosta v New York City Dept. of Educ.* (16 NY3d 309 [2011]) and conflicts with its other recent decisions interpreting Correction Law § 753. (*Matter of Della-porte v New York City Dept. of Bldgs.*, 106 AD3d 446; *Matter of Marra v City of White Plains*, 96 AD2d 17; *Matter of Donovan v LiMandri*, 107 AD3d 590; *Matter of Robles v LiMandri*, 107 AD3d 592; *Matter of Nuziale v LiMandri*, 107 AD3d 593; *Matter of Gil v New York City Dept. of Bldgs.*, 107 AD3d 632.) II. The New York City Department of Education's denial of petitioner's certification was arbitrary and capricious because it considered only petitioner's criminal record. (*Matter of Acosta v New York City Dept. of Educ.*, 62 AD3d 455, 16 NY3d 309; *Matter of Marra v City of White Plains*, 96 AD2d 17; *Peluso v*

Smith, 142 Misc 2d 642; *Matter of Bonacorsa v Van Lindt*, 71 NY2d 605; *Matter of Soto v New York State Off. of Mental Retardation & Dev. Disabilities*, 26 Misc 3d 1215[A], 2010 NY Slip Op 50103[U]; *Matter of City of New York v New York City Civ. Serv. Commn.*, 30 AD3d 227; *Matter of City of New York v City Civ. Serv. Commn.*, 141 Misc 2d 276; *Matter of Greenberg v Wrynn*, 86 AD3d 437; *Matter of AAA Carting & Rubbish Removal, Inc. v Town of Southeast*, 17 NY3d 136; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588.) III. Respondent New York City Department of Education's decision to reject petitioner Luther Dempsey's application was arbitrary and capricious and violated Executive Law § 296 (15) and Administrative Code of the City of New York § 8-107 (10).

Zachary W. Carter, Corporation Counsel, New York City (*Karen M. Griffin, Richard Dearing and Francis F. Caputo* of counsel), for respondents. I. The New York City Department of Education (DOE) reasonably denied Luther Dempsey's application for certification to drive a DOE school bus based on his long history of drug-related criminal activity. (*Matter of Bonacorsa v Van Lindt*, 71 NY2d 605; *Matter of Arrocha v Board of Educ. of City of N.Y.*, 93 NY2d 361; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309; *Matter of Soto v New York State Off. of Mental Retardation & Dev. Disabilities*, 26 Misc 3d 1215[A], 2010 NY Slip Op 50103[U]; *Matter of Dellaporte v New York City Dept. of Bldgs.*, 106 AD3d 446, 22 NY3d 1121; *Matter of Donovan v LiMandri*, 107 AD3d 590.) II. Luther Dempsey's Human Rights Law claims fail because they are not properly preserved and, in any event, the New York City Department of Education did not violate the State or City Human Rights Laws. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Mixon v TBV, Inc.*, 76 AD3d 144; *Hecht v City of New York*, 60 NY2d 57; *Sega v State of New York*, 60 NY2d 183.)

Judith M. Whiting, General Counsel, Community Service Society of New York, New York City (*Paul Keefe* of counsel), for Community Service Society of New York and others, amici curiae. I. Agencies bear the burden of demonstrating that an adverse employment action based on a criminal conviction meets an exception to Correction Law article 23-A. (*Matter of Bonacorsa v Van Lindt*, 71 NY2d 605; *Matter of Soto v New York State Off. of Mental Retardation & Dev. Disabilities*, 26

Misc 3d 1215[A], 2010 NY Slip Op 50103[U]; *Matter of Marra v City of White Plains*, 96 AD2d 17; *Matter of Exum v New York City Health & Hosps. Corp.*, 37 Misc 3d 1218[A], 2012 NY Slip Op 52078[U]; *Matter of Al Turi Landfill v New York State Dept. of Envtl. Conservation*, 98 NY2d 758; *Matter of Malverty v Waterfront Commn. of N.Y. Harbor*, 71 NY2d 977; *Matter of El v New York City Dept. of Educ.*, 23 Misc 3d 1121[A], 2009 NY Slip Op 50883[U]; *Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309; *Matter of AAA Carting & Rubbish Removal, Inc. v Town of Southeast*, 17 NY3d 136; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 57 NY2d 588.) II. Criminology research provides a way to judge the rationality of an agency's decision and shows that Luther Dempsey poses a low risk of recidivism.

OPINION OF THE COURT

FAHEY, J.

In this CPLR article 78 proceeding, we hold that the respondent agency's denial of petitioner's application for certification as a school bus driver was not arbitrary and capricious. We conclude that *Matter of Acosta v New York City Dept. of Educ.* (16 NY3d 309 [2011]), on which petitioner relies, is distinguishable.

I.

Petitioner Luther Dempsey applied to the New York City Department of Education (DOE) in 2006 for certification as a school bus driver. He indicated that he had been employed for about two years by a private bus company, transporting preschool children. On his application, petitioner disclosed that he had been convicted of crimes. In all, he had been convicted of two drug-related felonies (criminal possession of a controlled substance in the fifth degree and attempted criminal sale of a controlled substance in the third degree) in 1990, as well as three theft-related misdemeanors, the most recent in 1993, when petitioner was 41 years old. Petitioner explained that his criminal history was related to a past drug addiction, which he had overcome in the mid-1990s through a drug treatment program.

In July 2006, the DOE denied petitioner's application. In a letter to the bus company employing petitioner, a DOE executive stated that the reason for the denial was that petitioner had been "convicted of an offense that render[ed] [him] unsuit-

able to perform duties associated with the transportation of school age children.” As a result of petitioner’s failure to receive certification, the bus company terminated petitioner’s employment.

Petitioner and other individuals who had been denied certification by the DOE based on criminal convictions commenced a proceeding pursuant to CPLR article 78 challenging the denials. Supreme Court dismissed the proceeding. However, the Appellate Division modified Supreme Court’s judgment, granted the petition to the extent of annulling the DOE’s determinations, and remitted to the DOE, “to give petitioners an opportunity to review the information upon which DOE’s determinations were based and to submit statements and documents pursuant to Chancellor’s Regulation C-105” (*Matter of Hasberry v New York City Dept. of Educ.*, 78 AD3d 609, 609 [1st Dept 2010]). That DOE regulation provides, in pertinent part, that

“[i]f, prior to the conclusion of any background investigation, information of a derogatory nature is obtained which may result in denying the application for license, certification or employment, an applicant will be given an opportunity to review such information with [DOE’s Office of Personnel Investigation] and to include in the investigatory file, any written statements or documents which refute or explain such information” (New York City Department of Education, Regulation of the Chancellor C-105 § 2 at 4).

Petitioner then submitted various documents to the DOE. He sent several letters from representatives of bus companies for which he had worked, including his most recent employer, as well as a letter from a manager at a facility where he had worked as a security officer; all of the letters described him as a reliable and responsible employee. He also submitted a certificate of relief from disabilities with respect to his felonies, which had been issued by Supreme Court in 2002.

In March 2011, after interviewing petitioner, the DOE again denied his application. Petitioner sought a “[w]ritten statement upon denial of license or employment,” pursuant to Correction Law § 754. The Executive Director of the DOE’s Office of Pupil Transportation (OPT), in a May 4, 2011 letter setting forth the reasons for the denial, explained that petitioner was “unsuit-

able for [DOE] certification of approval for school bus service and the resultant close supervision of school children in the relative [sic] unsupervised environment of a school bus,” in light of certain factors, including “the bearing that the particular criminal offense (s) for which the person was previously convicted will have on his/her fitness and/or ability to perform school bus duties and responsibilities safe[l]ly and reliably,” “the mature age of the person at the time of some of the offenses,” “the seriousness of the particular offense(s),” and “the interests and direct role of the [DOE] to protect the safety and welfare of school children, parents and school employees.”

II.

Petitioner commenced this CPLR article 78 proceeding against the DOE and its Chancellor in July 2011, contending that the DOE’s determination denying his application for certification was arbitrary and capricious. Petitioner alleged that DOE had violated Correction Law §§ 752 and 753, Executive Law § 296 (15), and Administrative Code of the City of New York § 8-107 (10). He sought annulment of the determination, declaratory judgment, and an order directing the DOE to approve his application, as well as damages.

In its answer, the DOE denied petitioner’s allegations, and explained its denial of petitioner’s application with reference to his “very long record of criminal behavior.” In an affidavit, the OPT’s Executive Director detailed the reasons for the decision to deny petitioner’s renewed application, including petitioner’s criminal convictions, a gap in his employment history, and his age at the time of his last conviction. The Executive Director stated that he had concluded that “[p]etitioner would pose an unreasonable risk to the safety and welfare of the young children with whom he would come into contact.” For his part, the DOE executive who had denied petitioner’s original application stated in an affidavit that it had been “of great concern” to him that petitioner had committed the drug-related felonies and the 1993 misdemeanor “as a mature adult,” explaining that while “[s]uch a serious error in judgment could possibly be excused were it the result of a youthful indiscretion,” it was of

greater significance that petitioner had shown “such poor judgment and control at the age of 41.”¹

Supreme Court granted the petition to the extent of annulling DOE’s determination, ordered the DOE to approve petitioner’s application, and remanded. Supreme Court concluded that the DOE had

“failed to consider all eight factors as set forth in section 753 of the Correction Law. . . . Respondent only considered petitioner’s criminal history when reviewing his application and failed to consider his extensive evidence of rehabilitation. Petitioner’s last conviction was eighteen years ago and he obtained a certificate of relief from disabilities” (2012 NY Slip Op 30552[U], *4 [Sup Ct, NY County 2012]).

The Appellate Division reversed Supreme Court’s judgment, denied the petition, and dismissed the proceeding (108 AD3d 454 [1st Dept 2013]). The Appellate Division held that

“[t]he DOE’s May 4, 2011 determination that petitioner’s prior drug-related convictions as an adult bore on his fitness and/or ability to perform his school bus duties was rationally based, and it shows DOE gave due consideration to the relevant factors under Correction Law § 753 before denying his application. Although petitioner avers he has been drug free since 1994, and his crimes were directly related to his drug addiction at the time, the offenses were not youthful indiscretions (he was 41 years old), but were of a serious nature since each involved narcotics” (*id.* at 456).

The Appellate Division concluded that Supreme Court had “improperly reweighed the factors set forth in the Correction Law and substituted its own judgment. The nature of the criminal conduct for which petitioner was convicted has a direct bearing on his fitness or ability to perform one or more of the duties or responsibilities” of a school bus driver (*id.* [citations omitted]).

1. The DOE also submitted various exhibits, including notes from three DOE investigators who reviewed petitioner’s application after he sought the reasons for its denial, in which the investigators indicated concern about a lack of community recommendations on behalf of petitioner, his arrest history, and a gap in his employment profile.

One Justice dissented, noting that the DOE's May 4, 2011 letter

“made no reference to the time that had elapsed since the last conviction (now 20 years), petitioner's lengthy experience successfully driving school buses with the very same children or type of children he would be driving and supervising were the license granted, or the extensive evidence of complete rehabilitation that petitioner furnished” (108 AD3d at 460 [Freedman, J., dissenting]).

The dissenting Justice would have held that DOE's determination was arbitrary and capricious.

The Appellate Division granted petitioner leave to appeal to this Court, certifying the question whether its order was properly made. We now affirm.

III.

Article 23-A of the Correction Law protects persons who seek employment, after having been convicted of one or more criminal offenses, from unfair discrimination. It is impermissible for a public agency or private employer to deny a license or employment application “by reason of the individual's having been previously convicted of one or more criminal offenses” (Correction Law § 752), unless one of two exceptions applies. An application for a license or employment may be denied on the ground of past criminal history if

“(1) there is a direct relationship between one or more of the previous criminal offenses and the specific license or employment sought or held by the individual; or

“(2) the issuance or continuation of the license or the granting or continuation of the employment would involve an unreasonable risk to property or to the safety or welfare of specific individuals or the general public” (Correction Law § 752).²

The Correction Law sets out eight factors that a public agency or private employer must consider when deciding whether one of the section 752 exceptions applies:

2. It is not clear which exception was the basis for the DOE's denial in this case. In his affidavit in support of DOE's answer, OPT's Executive Director stated his conclusion that “[p]etitioner would pose an unreasonable risk to the safety and welfare of the young children with whom he would come into contact,” suggesting that the DOE invoked the second exception. The

“(a) The public policy of this state, as expressed in this act, to encourage the licensure and employment of persons previously convicted of one or more criminal offenses.

“(b) The specific duties and responsibilities necessarily related to the license or employment sought or held by the person.

“(c) The bearing, if any, the criminal offense or offenses for which the person was previously convicted will have on his [or her] fitness or ability to perform one or more such duties or responsibilities.

“(d) The time which has elapsed since the occurrence of the criminal offense or offenses.

“(e) The age of the person at the time of occurrence of the criminal offense or offenses.

“(f) The seriousness of the offense or offenses.

“(g) Any information produced by the person, or produced on his [or her] behalf, in regard to his [or her] rehabilitation and good conduct.

“(h) The legitimate interest of the public agency or private employer in protecting property, and the safety and welfare of specific individuals or the general public.” (Correction Law § 753 [1].)

We have held that “[a] failure to take into consideration each of these factors results in a failure to comply with the Correction Law’s mandatory directive” (*Matter of Acosta v New York City Dept. of Educ.*, 16 NY3d 309, 316 [2011]).

In *Acosta*, we reviewed the DOE’s denial of an application for a security clearance, filed by an individual who had been convicted of first-degree robbery when she was 17 years old. The DOE contended that issuance of the security clearance would pose “an unreasonable risk to property or to the safety or welfare of specific individuals or the general public” (Correction Law § 752 [2]). We held that the DOE acted arbitrarily because the agency failed to consider each of the factors specified in Correction Law § 753. In particular, we concluded that the DOE did not take into consideration all of the documentation that Acosta submitted in support of her application, and

better practice is to articulate which Correction Law § 752 exception justifies an adverse employment action at the time the adverse action occurs.

therefore violated Correction Law § 753 (1) (g). The DOE had failed to consider a letter of reference from Acosta's employer, indicating that she had been hired, in part, on the basis of her "‘model references from past employers’" (*Acosta*, 16 NY3d at 319). DOE's review, we concluded, amounted to no "more than a pro forma denial of petitioner's application on the basis of her prior criminal conviction" (*id.* at 320).

Petitioner relies on *Acosta*, contending that the DOE has, once again, failed to review anything other than an applicant's criminal record. We disagree.

Petitioner principally argues that the DOE "ignored the overwhelming and undisputed evidence that [he] had safely and successfully driven young children on school buses for 15 years without incident." A failure to review evidence provided by an applicant tending to show that he or she had reliably carried out duties similar to those contemplated in the license or employment in question would constitute a violation of section 753 (1) (b) and (g). However, in this case, petitioner adduces no evidence demonstrating that the DOE failed to consider the information he provided concerning his relevant employment history.

In *Acosta*, it was "plain that, other than her personal statement, the DOE did not consider the documentation that petitioner submitted in support of her application" (*Acosta*, 16 NY3d at 319), but the same cannot be said here. Rather, the record indicates that the DOE may simply have given "greater weight to . . . the fact and circumstances of [petitioner's] conviction[s] than to . . . his subsequent accomplishments," and in these circumstances the DOE's determination cannot be overturned without "engaging in essentially a re-weighting of the factors, which is beyond the power of judicial review" (*Matter of Arrocha v Board of Educ. of City of N.Y.*, 93 NY2d 361, 366-367 [1999]). Moreover, the DOE is not obliged "to point to any contemporaneously created record that demonstrates that it considered each of the eight factors in reviewing petitioner's application" (*Acosta*, 16 NY3d at 319). Contrary to the dissent's theory, the burden remains on petitioner to show that the denial of his application was arbitrary and capricious.

Petitioner also relies on Correction Law § 753 (2), which provides that, in reaching a determination under section 752, "the public agency or private employer shall also give consideration to a certificate of relief from disabilities or a certificate of

good conduct issued to the applicant, which certificate shall create a presumption of rehabilitation in regard to the offense or offenses specified therein.” Here, petitioner received a certificate of relief from disabilities, issued in 2002.

However, Correction Law § 753 (2) does not

“establish a prima facie entitlement to the license or employment. It creates only a presumption of rehabilitation, and although rehabilitation is an important factor to be considered by the agency or employer in determining whether the license or employment should be granted (*see*, Correction Law 753 [1] [g]), it is only 1 of 8 factors to be considered” (*Matter of Bonacorsa v Van Lindt*, 71 NY2d 605, 614 [1988]).

Other Correction Law § 753 (1) factors, including criteria applicable here, “such as severity of the criminal offenses, the age of the offender at the time of the offenses, . . . and the nature of the license or employment sought,” may justify denial of petitioner’s application, “notwithstanding the absence of new evidence specifically addressed at overcoming the presumption of rehabilitation” (*id.*).

Notably, petitioner, who sought a certification that would authorize him to drive a school bus and have supervisory responsibility over school children in an otherwise unmonitored environment, had two felony convictions, as well as multiple misdemeanor convictions. Moreover, as the DOE noted, at the time of his more recent offenses, he was of “mature age,” rather than an age at which an individual’s moral values are typically still developing. In addition, his felony convictions were for possession and attempted sale of a controlled substance, a salient factor to the DOE, which is required by its regulations to take into account the particular concern of the New York City Public School System with offenses involving “possessing, distributing or selling controlled substances” (New York City Department of Education, Regulation of the Chancellor C-105 § 4 at 5). In these circumstances, we cannot conclude that the DOE’s determination, declining to grant the certification despite the certificate of relief from disabilities, was arbitrary and capricious.

Petitioner’s remaining contentions do not afford a basis for relief.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

Chief Judge LIPPMAN (dissenting). The majority overlooks the policy animating Correction Law article 23-A—that people who have been convicted of crimes can be rehabilitated and that employment is critical in that effort. The entire purpose of the eight factors under Correction Law § 753 (1) is to ensure that employers act in furtherance of this policy and assist the reintegration of rehabilitated individuals into society. Because I believe the record makes it evident that the DOE failed to consider all eight factors, I would hold that its determination was arbitrary and capricious.

In enacting article 23-A, the legislature intended to recognize job-seeking individuals exactly like petitioner who, having engaged in past criminal activity, decide to lead a law-abiding life. It is clear that petitioner, now 62 years old, has presented overwhelming evidence of his rehabilitation and his move beyond criminal activity. He has been drug-free for 20 years, and continues to serve as an active member of the Bowery Mission Transitional Center. At the time that his application was reviewed, 18 years had passed since his last conviction and he had been working as a school bus driver for 15 years. He submitted to the DOE numerous references from friends, a minister, and employers who described his excellent relationships with the children, parents and schools he encountered as a bus driver. His employer described him as “upstanding,” “very dependable” and “a great asset to the company.” Despite all of this, and the Appellate Division’s remand for reconsideration due to the DOE’s initial error (*Matter of Hasberry v New York City Dept. of Educ.*, 78 AD3d 609 [1st Dept 2010]), the DOE denied petitioner’s application by terse letter dated March 17, 2011 (“The New York City Department of Education’s Office of Pupil Transportation [OPT] has reevaluated your application for the position of school bus driver/escort. It is the opinion of the OPT that its original findings are correct and your application has been denied”). Then upon petitioner’s request under section 754 of the Correction Law, the DOE sent him another letter which found that his application must be denied because of the “direct relationship” between his criminal past and the job for which he seeks certification.

In fact, the DOE’s May 4, 2011 letter ignores the extensive evidence of rehabilitation submitted and the fact that petitioner

had been doing essentially the same job as that for which the license was sought. In it, the Executive Director of the OPT states:

“The nature of the criminal offenses committed by the applicant lead me to have grave doubt about his moral character and reliability. Moreover, it appears to OPT that the applicant failed to be completely truthful in his application for NYCDOE certification of approval. As a consequence of the for[e]going certification of approval for NYCDOE school bus service is hereby denied.”

As Justice Freedman stated:

“The letter’s reference to [petitioner’s] ‘untruthfulness’ is totally unsupported by any evidence . . . [and] [t]he conclusion reached by the executive director of OPT that he had ‘grave doubt about his [petitioner’s] moral character and reliability’ is belied by petitioner’s impeccable record of steady employment since 1994, and his employment as a school bus driver for public and private school pupils for 12 years without incident, his certificate of relief from disabilities, and his significant record of community service” (*Matter of Dempsey v New York City Dept. of Educ.*, 108 AD3d 454, 460 [1st Dept 2013, Freedman, J., dissenting]).

Also very significant is the content of petitioner’s 15-minute interview by OPT personnel in February 2011, which shows what the DOE actually considered. During the interview, OPT investigators asked petitioner questions about where he used to sell drugs, the quantity of the drugs sold and how much he spent on his daily “habit.” Yet, they failed to ask questions about petitioner’s life in the 18 years since his last conviction in 1993. In fact, OPT asked no questions about petitioner’s recovery from addiction or about the documents he presented regarding his rehabilitation.

In *Matter of Acosta v New York City Dept. of Educ.* (16 NY3d 309, 315-316 [2011]), we specified that “‘[i]n making a determination’ as to whether either the ‘direct relationship’ exception or the ‘unreasonable risk’ exception applies,” “[a] failure to take into consideration each of these factors results in a failure to comply with the Correction Law’s mandatory directive” (citing *Matter of Arrocha v Board of Educ. of City of N.Y.*, 93 NY2d

361, 364 [1999]). While the majority is correct that it is improper for courts to “engag[e] in essentially a re-weighing” of the section 753 (1) factors (*Arrocha*, 93 NY2d at 367), it is clear that the DOE simply failed to consider petitioner’s rehabilitation and work experience in making its determination.

The majority cites *Acosta* (16 NY3d at 319) for the proposition that “the DOE is not obliged ‘to point to any contemporaneously created record that demonstrates that it considered each of the eight factors in reviewing petitioner’s application.’” However, the majority fails to note that unlike here, the petitioner in *Acosta* did not make a section 754 request for an explanation of the DOE’s denial of her application. In fact, in that same paragraph in *Acosta*, we cited Correction Law § 754, distinguishing letters notifying the applicant of the decision from agency responses explaining such denials upon a petitioner’s request (16 NY3d at 319 [“*but see* Correction Law § 754 (providing that, if requested, a public agency or private employer that denies a person’s application for a license or employment on the basis of that person’s prior criminal conviction ‘shall provide, within thirty days of a request, a written statement setting forth the reasons for such denial’ ”)]). This is the second time in less than five years that a DOE hiring case like this has come before us and this is the second time the DOE considered this petitioner’s application. Yet, in each of these circumstances, the DOE’s response has been to completely avoid any mention of the petitioner’s rehabilitation after the petitioner’s section 754 request for an explanation as to why the application was denied. This is unacceptable.

“Although the Court cannot substitute its judgment for that of the agency, it has a duty to insure that the law is properly applied and that the decision is not based upon ‘speculative inferences unsupported by the record’ ” (*Matter of El v New York City Dept. of Educ.*, 23 Misc 3d 1121[A], 2009 NY Slip Op 50883[U], *6 [Sup Ct, NY County 2009], quoting *Matter of Sled Hill Cafe v Hostetter*, 22 NY2d 607, 612-613 [1968]).

“[The] denial letter is particularly problematic here in that petitioner’s criminal history is the only evidence detailed in any meaningful respect. Thus, the decision on the whole, as drafted, suggests that it was based primarily, if not entirely, on petitioner’s criminal history, with little consideration of the other evidence and statutory factors” (*id.*).

Additionally, the majority states that “petitioner adduces no evidence demonstrating that the DOE failed to consider the information he provided concerning his relevant employment history” (majority op at 300). While I do not suggest that we can order the DOE to grant petitioner’s application, the majority wrongly places the burden on petitioner to show that the DOE failed to consider each of the eight factors. Rather, the burden is on the DOE to show that petitioner’s conviction warrants a denial in this case.

The majority continues: “the record indicates that the DOE may simply have given ‘greater weight to . . . the fact and circumstances of [petitioner’s] conviction[s] than to . . . his subsequent accomplishments” (*id.* at 300). Contrary to the majority’s suggestion, I do not propose a re-weighing of the factors here—the problem is not that the DOE did not give *enough* weight to petitioner’s rehabilitation, but that it did not consider it *at all*.

Furthermore, implicit in its determination is that the DOE has created a bright-line rule that *anyone* with an adult drug felony conviction, no matter the circumstances, is unfit to be a school bus driver. However, the legislature has already addressed the issue of prior convictions, and decided exactly which criminal convictions bar one from becoming a school bus driver in New York (*see* Vehicle and Traffic Law § 509-cc [4] [a], [b]). Those convicted of violent and sexual offenses are prohibited from being school bus drivers, but not those convicted of drug offenses. The DOE has essentially created a permanent disqualification to employment where none exists under New York law. This analysis is particularly troubling where, as here, the convictions occurred more than 20 years before petitioner was granted a certificate of relief from disabilities—which specifically removes any barriers to driving a school bus—and has in fact driven a school bus in an exemplary manner for over 15 years. While the age of the individual at the time the crime was committed is a factor that may be considered, 20 years of rehabilitation would seem dispositive by any standard. “Petitioner’s age [at the time of the crime] ‘will never change—and if determinative, would bar Petitioner forever,’ and undermine the purpose of Article 23-A of the Correction Law” (*Matter of Soto v New York State Off. of Mental Retardation & Dev. Disabilities*, 26 Misc 3d 1215[A], 2010 NY Slip Op 50103[U], *7 [Sup Ct, Kings County 2010], quoting *Matter of Camulaire v New York City Bd. of Educ.*, NYLJ, Sept. 9, 1998 at 22, col 1 [Sup Ct, NY County]).

Among criminologists, the main factors that predict whether a previous offender will cease criminal activity and reintegrate into society are the passage of time and employment. These factors are consistent across types of crime and the individual's age when the crime occurred. "At all ages and potential turning points, those who fail to secure satisfying employment or create bonds with conventional others often return to their former lifestyles and the risk of criminal involvement that brings" (Neal Shover, *Great Pretenders: Pursuits and Careers of Persistent Thieves* 129 [1996]). Accordingly, in passing article 23-A, the legislature realized that unemployment is the greatest barrier to rehabilitation.

"Observers of our criminal justice system agree that the key to reducing crime is a reduction in recidivism (i.e. repeated criminal conduct by the same individuals). The great expense and time involved in successfully prosecuting and incarcerating the criminal offender is largely wasted if upon the individual's return to society his willingness to assume a law-abiding and productive role is frustrated by senseless discrimination.

"Providing a former offender a fair opportunity for a job is a matter of basic human fairness, as well as one of the surest ways to reduce crime" (Governor's Approval Mem, Bill Jacket, L 1976, ch 931, 1976 NY Legis Ann at 418).

"This bill represents a major advance in public policy; its vigorous enforcement can remove the second class status to which former offenders have been relegated regardless of their efforts to be lawabiding citizens" (Letter from Community Service Society, July 6, 1976, Bill Jacket, L 1976, ch 931). The actions of the DOE here represent the type of senseless discrimination article 23-A was enacted to prevent, and petitioner is one of the class of intended beneficiaries of this statute.

For these reasons, I would reverse the order of the Appellate Division and remand to the agency for further proceedings.

Judges READ, PIGOTT, ABDUS-SALAAM and STEIN concur; Chief Judge LIPPMAN dissents in an opinion in which Judge RIVERA concurs.

Order affirmed, with costs, and certified question not answered as unnecessary.

[33 NE3d 1282, 12 NYS3d 12]

FLUSHING SAVINGS BANK, FSB, Appellant, v PIERRE BITAR, Also
Known as PIERRE M. BITAR, Respondent, et al., Defendants.

Argued April 30, 2015; decided June 4, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 1, 2013. The Appellate Division affirmed, insofar as appealed from, so much of an order of the Supreme Court, Kings County (Sylvia O. Hinds-Radix, J.), as had denied that branch of plaintiff's motion that was pursuant to RPAPL 1371 (2) for leave to enter a deficiency judgment against defendant Pierre Bitar, also known as Pierre M. Bitar.

Flushing Sav. Bank, FSB v Bitar, 106 AD3d 690, modified.

HEADNOTES

Mortgages — Deficiency Judgments — Sufficient Proof of Fair Market Value — Lender's Burden

1. In an action to foreclose a mortgage on commercial property, Supreme Court properly denied plaintiff lender's motion for a deficiency judgment pursuant to RPAPL 1371 (2) as plaintiff failed to meet its initial burden of establishing, prima facie, the fair market value of the property. In support of the motion, plaintiff proffered a four-paragraph affidavit from its licensed appraiser, which consisted of little more than conclusory assertions of fair market value. While the affidavit contained conclusory references to "comparable sales" and an examination of "the neighborhood, market and general economic trends, comparable rentals [and] expense data," the appraiser's opinion as to the property's fair market value was unsupported by any detailed analysis of the data and valuation criteria he utilized in reaching his valuation. Nor did the appraiser affix to his affidavit any evidence substantiating his opinion. Moreover, the appraiser claimed to have examined the interior and exterior of the building, but he made no attempt to describe the building's condition or what his inspection of the property revealed. Finally, absent sufficient proof submitted by plaintiff to permit the court to render a fair market value determination, the court had no basis to award plaintiff a deficiency judgment, notwithstanding that plaintiff's submission was un rebutted.

Mortgages — Deficiency Judgments — Sufficient Proof of Fair Market Value — Opportunity to Submit Additional Proof

2. When, in a mortgage foreclosure action, a court deems the lender's proof in support of a motion for a deficiency judgment pursuant to RPAPL 1371 (2) insufficient in the first instance, the court must give the lender an additional opportunity to submit sufficient proof, so as to enable the court to make a proper fair market value determination. Thus, in an action to foreclose a mortgage on commercial property, where plaintiff lender failed to meet its burden of establishing, prima facie, the fair market value of the property in

the initial application for a deficiency judgment, Supreme Court should have permitted plaintiff to submit additional proof establishing fair market value, rather than denying the deficiency judgment motion outright. RPAPL 1371 (2) directs that, when a lender makes a motion for a deficiency judgment, “the court, whether or not the respondent appears, shall determine, upon affidavit or otherwise as it shall direct, the fair and reasonable market value of the mortgaged premises as of the date such premises were bid in at auction or such nearest earlier date as there shall have been any market value thereof and shall make an order directing the entry of a deficiency judgment.” The provision is a directive that the court must determine the mortgaged property’s “fair and reasonable market value” when a motion for a deficiency judgment is made, and the court has the discretion to elucidate the type of proof it requires or to order a hearing as it is in the best position to determine the type of proof that will allow it to comply with the provision.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Conflict of Laws § 38; AM JUR 2d, Executions and Enforcement of Judgments § 263; AM JUR 2d, Mortgages §§ 449, 573, 575, 583, 600–604, 688, 693, 700–704, 842, 1174; AM JUR 2d, Vendor and Purchaser § 474.

CARMODY-WAIT 2d, Foreclosure of Mortgages on Real Estate §§ 92:15, 92:89, 92:412–416, 92:429, 92:432–92:441.

McKINNEY’S, RPAPL 1371 (2).

MORTGAGE LIENS IN NEW YORK (2013-2014 ed) §§ 17:3–17:4, 23:3–23:5.

NY JUR 2d, Mortgages and Deeds of Trust §§ 454, 788–795.

SIEGEL, NY PRAC §§ 205, 479, 500, 571, 579.

ANNOTATION REFERENCE

See ALR Index under Appraisals; Deficiency Judgments; Foreclosure; Market Value.

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POINTS OF COUNSEL

Jaspan Schlesinger LLP, Garden City (*Laurel R. Kretzing*, *Antonia M. Donohue* and *Christopher E. Vatter* of counsel), for appellant. I. The denial of the deficiency judgment without a finding of fair market value was made in violation of RPAPL 1371 (2). (*Central Hanover Bank & Trust Co. v Eisner*, 276 NY

121; *Marine Midland Bank v Harrigan Enters.*, 118 AD2d 1035; *Sanders v Palmer*, 68 NY2d 180; *Frank v Davis*, 135 NY 275; *New York Life Ins. Co. v Gutttag Corp.*, 265 NY 292; *Sarasota, Inc. v Homestead Acres at Greenport*, 249 AD2d 290; *Columbus Realty Inv. Corp. v Gray*, 240 AD2d 529; *Ogdensburg Sav. & Loan Assn. v Moore*, 100 AD2d 679; *BTC Mtge. Invs. Trust 1997-SI v Altamont Farms*, 284 AD2d 849; *Diaz v New York Downtown Hosp.*, 99 NY2d 542.) II. The un rebutted affidavit of the appraiser was sufficient to establish the fair market value of the property. (*Golden City Commercial Bank v Hawk Props. Corp.*, 240 AD2d 218; *Aaron v Kent*, 182 AD2d 960; *Turner v Meierdiercks*, 106 AD2d 445; *Broward Natl. Bank of Fort Lauderdale v Starzec*, 30 AD2d 603; *Union Chelsea Natl. Bank v Rumican 190 Corp.*, 257 AD2d 463; *Central Hanover Bank & Trust Co. v Eisner*, 276 NY 121; *East Coast Props. v Galang*, 308 AD2d 431; *Union Natl. Bank v Johnson*, 209 AD2d 775.) III. Assuming the affidavit was insufficient, the court should have directed a hearing. (*BTC Mtge. Invs. Trust 1997-SI v Altamont Farms*, 284 AD2d 849; *Trustco Bank v Gardner*, 274 AD2d 873; *Hudson City Sav. Inst. v Drazen*, 153 AD2d 91; *Eastern Sav. Bank, FSB v Brown*, 112 AD3d 668; *New York Life Ins. Co. v Gutttag Corp.*, 265 NY 292; *City Bank Farmers Trust Co. v Ardlea Incorporation*, 267 NY 224.) IV. Reversal by this Court is warranted.

Respondent pro se precluded.

Eric T. Schneiderman, Attorney General, New York City (*Mark H. Shawhan, Barbara D. Underwood* and *Steve C. Wu* of counsel), for Attorney General of the State of New York, amicus curiae. I. A conclusory appraiser's affidavit does not satisfy the foreclosing plaintiff's prima facie burden of proving fair market value. (*National Bank of N. Am. v Systems Home Improvement*, 69 AD2d 557, 50 NY2d 814; *BTC Mtge. Invs. Trust 1997-SI v Altamont Farms*, 284 AD2d 849; *Marine Midland Bank v Harrigan Enters.*, 118 AD2d 1035; *Matter of County Dollar Corp. v City of Yonkers*, 97 AD2d 469; *Diaz v New York Downtown Hosp.*, 99 NY2d 542; *Amatulli v Delhi Constr. Corp.*, 77 NY2d 525; *Matter of New York City Tr. Auth. [Superior Reed & Rattan Furniture Co.]*, 160 AD2d 705; *Virillo v State of New York*, 24 AD2d 534; *Shore Haven Apts. No. 6 v Commissioner of Fin. of City of N.Y.*, 93 AD2d 233.) II. A foreclosing plaintiff is not entitled to submit additional evidence of fair market value if its initial papers failed to provide any support for its valuation. (*Farmers' Loan & Trust Co. v Siefke*, 144 NY 354; *Silberstein v*

Presbyterian Hosp. in City of N.Y., 96 AD2d 1096; *Crady v Newcomb*, 142 AD2d 940; *Shore Haven Apts. No. 6 v Commissioner of Fin. of City of N.Y.*, 93 AD2d 233; *Fredenburgh v State of New York*, 26 AD2d 966; *Matter of Schaich*, 55 AD2d 914; *Lucent Tech., Inc. v Gateway, Inc.*, 580 F3d 1301.)

OPINION OF THE COURT

PIGOTT, J.

Real Property Actions and Proceedings Law § 1371 delineates the steps a lender must take in a mortgage foreclosure action before securing a deficiency judgment against a borrower (RPAPL 1371 [1]-[4]). On this appeal, we examine not only the sufficiency of the proof that a lender must submit in order to establish its entitlement to a deficiency judgment, but also what actions a court must take in the event the lender fails to meet its burden in the first instance.

I.

Plaintiff Flushing Savings Bank, FSB (FSB) was the owner and holder of a note secured by a mortgage on commercial property in Brooklyn. Defendant Pierre Bitar, the mortgagor and obligor on the note, defaulted under the terms of the note. FSB commenced a mortgage foreclosure action against Bitar (and others) in March 2010. Neither Bitar nor any of the other named defendants answered the complaint.¹

Supreme Court appointed a referee to compute the amount due FSB and conduct a sale of the property. The referee stated in his December 13, 2010 report that FSB was owed \$690,642.23. In March 2011, Supreme Court confirmed the referee's report, granted FSB a judgment of foreclosure, awarded FSB \$690,642.23 plus interest and fees, advances, costs and disbursements, and directed that the property be sold at a public auction. Supreme Court further ordered that should the proceeds of the sale be insufficient to pay the amount due and owing to FSB, FSB could recover the deficiency from Bitar in accordance with RPAPL 1371.

On August 11, 2011, the property was sold at auction to FSB (the highest bidder) for \$125,000. The referee delivered the deed to FSB on September 13, 2011. According to the referee's report of sale issued on that date, FSB was owed \$793,724.75

1. The New York State Attorney General has submitted an amicus curiae brief in opposition to FSB's arguments on the appeal to this Court.

at the time of sale less FSB's \$125,000 bid, leaving a deficiency of \$668,724.75. FSB retained a New York State licensed appraiser to inspect the interior and exterior of the premises. The appraiser concluded that the fair market value of the property as of the date of sale was \$475,000.

On November 23, 2011, FSB moved for an order confirming the referee's report of sale and for a deficiency judgment against Bitar in the amount of \$318,724.75, representing the outstanding amount of \$793,724.75 less the alleged fair market value of \$475,000. In addition to its submission of the referee's report, FSB proffered a four-paragraph affidavit from its licensed appraiser, who stated that he was "well acquainted with real estate values in [Kings] County" and that he had "made a personal exterior and interior inspection of the premises." As to the property's fair market value, the appraiser opined that

"[b]ased on said inspection and after reviewing comparable sales, examination of the neighborhood, market and general economic trends, comparable rentals, expense data and subject to the reasonable assumption that there have not been substantial changes in occupancy and condition, deponent is of the opinion that the market value of the premises as of August 11, 2011, was \$475,000, which valuation is consistent with the valuation of the premises as of October 5, 2011, the date of inspection."

Bitar, although personally served with the motion papers, did not oppose FSB's motion.

In March 2012, Supreme Court granted FSB's motion to confirm the referee's report, but denied its motion for a deficiency judgment, holding that the four-paragraph affidavit from the appraiser was "conclusory" and lacked "any specific information regarding how he reached his fair market value determination." Supreme Court held that FSB failed to meet its burden of establishing the fair market value of the premises. FSB unsuccessfully moved for renewal and reargument, with the court holding that FSB failed to identify new facts that would have changed the court's prior determination and also failed to identify any facts or law that the court had overlooked.

The Appellate Division affirmed, holding that "Supreme Court was entitled to reject the opinion of [FSB's] appraiser as without probative value in light of the lack of evidentiary

foundation set forth in his affidavit” (106 AD3d 690, 691 [2d Dept 2013] [citations omitted]). We granted FSB leave to appeal.

II.

[1] FSB asserts that its appraiser’s affidavit was sufficient to establish the property’s fair market value because there was no conflicting evidence of market value presented to Supreme Court and that, absent any opposition to FSB’s submission, Supreme Court should have accepted its appraiser’s valuation. We disagree.

Under RPAPL 1371, a lender is entitled to move for a deficiency judgment against the borrower so long as the motion is brought on notice to the borrower “within ninety days after the date of the consummation of the sale by the delivery of the proper deed of conveyance to the purchaser” (RPAPL 1371 [2]). The deficiency judgment represents “the difference between the amount of indebtedness on the mortgage and either the auction price at the foreclosure sale or the fair market value of the property, whichever is higher” (*BTC Mtge. Invs. Trust 1997-SI v Altamont Farms*, 284 AD2d 849, 849-850 [3d Dept 2001] [citations omitted]). It is the lender who bears the initial burden of demonstrating, prima facie, the property’s fair market value as of the date of the auction sale (see *National Bank of N. Am. v Systems Home Improvement*, 69 AD2d 557, 562 [2d Dept 1979], *affd for reasons stated below* 50 NY2d 814 [1980]; see also *Eastern Sav. Bank, FSB v Brown*, 112 AD3d 668, 670 [2d Dept 2013]; *BTC Mtge. Invs. Trust 1997-SI*, 284 AD2d at 850; *Marine Midland Bank v Harrigan Enters.*, 118 AD2d 1035, 1037 [3d Dept 1986]).

We agree with Supreme Court that FSB failed to meet its initial burden of establishing the fair market value of the property. The appraiser’s four-paragraph affidavit consisted of two paragraphs that briefly covered the appraiser’s experience and qualifications. The remaining paragraphs set forth the address of the property and the date the appraiser conducted the inspection, and contained conclusory references to “comparable sales” and an examination of “the neighborhood, market and general economic trends, comparable rentals [and] expense data.” Although the appraiser opined that the property had a fair market value of \$475,000, that opinion was unsupported by any detailed analysis of the data and valuation criteria he utilized in reaching his valuation. Nor did the appraiser affix

to his affidavit any evidence substantiating his opinion, which would have assisted the court in reaching a determination as to the property's fair market value. Moreover, although the appraiser claimed to have examined the interior and exterior of the building, he made no attempt to describe the building's condition or what his inspection of the property revealed. Simply put, the appraiser's affidavit consisted of little more than conclusory assertions of fair market value, and, therefore, Supreme Court properly refused to accept the appraiser's valuation.

Contrary to FSB's contention, it is of no moment that Bitar failed to submit any evidence in opposition to the motion. FSB had the initial burden of establishing fair market value through the submission of sufficient proof that would have permitted the court to render a determination as to the property's fair market value. Absent such proof, Supreme Court had no basis to award FSB a deficiency judgment, notwithstanding the fact that FSB's submission was un rebutted.

III.

[2] FSB next contends that, once Supreme Court determined that the appraiser's affidavit was insufficient to meet FSB's burden, it should not have denied the motion, but rather, should have directed FSB to submit additional proof or taken additional steps in order to make a fair market value determination. We agree.

RPAPL 1371 (2) directs that, when a lender makes a motion for a deficiency judgment,

“the court, whether or not the respondent appears, *shall* determine, upon affidavit or otherwise as it *shall* direct, the fair and reasonable market value of the mortgaged premises as of the date such premises were bid in at auction or such nearest earlier date as there shall have been any market value thereof and *shall* make an order directing the entry of a deficiency judgment” (emphases supplied).

This provision is a directive that a court must determine the mortgaged property's “fair and reasonable market value” when a motion for a deficiency judgment is made. As such, when the court deems the lender's proof insufficient in the first instance, it must give the lender an additional opportunity to submit

sufficient proof, so as to enable the court to make a proper fair market value determination.²

Here, FSB failed to meet its burden in the initial application. However, rather than denying the deficiency judgment motion outright, Supreme Court should have permitted FSB to submit additional proof establishing fair market value (*see e.g. Eastern Sav. Bank, FSB*, 112 AD3d at 671 [remitting the matter to Supreme Court for further proceedings, with said proceedings including the lender's submission "of proof in admissible form describing the subject premises and comparable sales and market data"]; *see also UFP Atl. Div., LLC v Route 299 Retail Ctr., LLC*, 2014 WL 2986864, *3-4, 2014 US Dist LEXIS 89927, *10-11 [ND NY, July 2, 2014, No. 1:12-CV-00053 (MAD/ATB)] [staying motion for deficiency judgment and directing holder of mortgage note to submit evidence establishing fair market value of the property within 30 days of the order, and ordering dismissal of the motion for deficiency judgment if note holder failed to submit such evidence]).

It is, of course, within the court's discretion to elucidate the type of proof it requires so it can render a proper determination as to fair market value. The court may also order a hearing if it deems one necessary. In proceedings that are governed by section 1371, the court is in the best position to determine the type of proof that will allow it to comply with the directives of that section. Lenders seeking deficiency judgments, however, must always strive to provide the court with all the necessary information in their first application.

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order modified, without costs, by remitting to Supreme Court, Kings County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

2. We express no opinion as to what steps a court may take in the event the lender, having been given an additional opportunity to submit the necessary and relevant proof, nonetheless submits inadequate proof in the second instance.

[33 NE3d 1275, 12 NYS3d 6]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JAFARI
LAMONT, Appellant.

Argued March 26, 2015; decided May 14, 2015

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered January 3, 2014. The Appellate Division affirmed a judgment of the Monroe County Court (Patricia D. Marks, J.), which had convicted defendant, after a nonjury trial, of attempted robbery in the second degree (two counts).

People v Lamont, 113 AD3d 1069, affirmed.

HEADNOTE

Crimes — Robbery — Attempt — Intent — Sufficiency of Evidence

In a prosecution for attempted second-degree robbery (Penal Law §§ 110.00, 160.10 [1], [2] [b]) arising after defendant and an accomplice appeared armed and masked at the rear door of a fast-food establishment before the morning business hours but fled when police arrived, there was sufficient circumstantial evidence based on his appearance and conduct, and the surrounding events, to support an inference that defendant had the requisite intent to forcibly steal property from a restaurant employee by threat or use of physical force (Penal Law § 160.00 [2]). With respect to appearance, defendant and his accomplice wore masks and gloves to enhance their criminal persona and avoid identification by facial recognition or fingerprint verification; they carried what appeared to be handguns; and defendant was apprehended with a backpack, which provided a convenient means to carry stolen property and contained additional gloves. As for their conduct, defendant and his accomplice, who were unknown to any of the restaurant employees present that morning, knocked loudly on the rear door, an entry point not generally used by the public; they appeared early in the morning with no apparent lawful purpose and while two employees were alone; and defendant planned his escape in advance by parking his car in a nearby lot. On this record, the trier of fact had ample evidence to conclude that defendant's dress and conduct and the surrounding circumstances were commonly associated with the crime of robbery, and that it was not a reasonable possibility under the circumstances to find that he intended some other criminal act.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 118, 119, 154, 155; AM JUR
2d, Robbery §§ 6, 8, 21, 64, 84.
CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:172.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4,
27.5.

McKINNEY'S, Penal Law §§ 110.00, 160.00 (2); 160.10 (1), (2) (b).

NY JUR 2d, Criminal Law: Procedure § 3602; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 298, 322, 980, 983, 987, 994, 1003, 1009.

ANNOTATION REFERENCE

See ALR Index under Attempt to Commit Crime; Intent or Motive; Robbery.

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Database: NY-ORCS

Query: attempted /2 robbery & infer /5 intent

POINTS OF COUNSEL

Timothy P. Donaher, Public Defender, Rochester (Janet C. Somes of counsel), for appellant. The People failed to present legally sufficient evidence to establish that Jafari Lamont possessed a larcenous intent. (*People v Miller*, 87 NY2d 211; *People v Kennedy*, 47 NY2d 196; *People v Dupree*, 91 AD2d 1071; *People v Bracey*, 41 NY2d 296; *People v Smith*, 79 NY2d 309; *People v Mateo*, 13 AD3d 987; *People v Miller*, 87 NY2d 211; *People v Lewie*, 17 NY3d 348; *Jackson v Virginia*, 443 US 307; *People v Contes*, 60 NY2d 620.)

Sandra Doorley, District Attorney, Rochester (Leah Mervine and Erin Tubbs of counsel), for respondent. Defendant's attempted robbery conviction is based on legally sufficient evidence. (*People v Bleakley*, 69 NY2d 490; *People v Mateo*, 2 NY3d 383; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Reed*, 22 NY3d 530; *People v Bracey*, 41 NY2d 296; *People v Miller*, 87 NY2d 211; *People v Calabria*, 3 NY3d 80; *People v Grassi*, 92 NY2d 695; *People v Rodriguez*, 17 NY3d 486.)

OPINION OF THE COURT

RIVERA, J.

Defendant Jafari Lamont challenges his conviction for two counts of attempted robbery in the second degree on the basis that the evidence was legally insufficient to establish he had the specific intent to steal. We conclude that defendant's conduct and the surrounding circumstances provided legally sufficient evidence of the requisite intent to support defendant's conviction.

According to the undisputed evidence at defendant's nonjury trial, at approximately 6:30 a.m., before the morning business hours, defendant and an accomplice appeared armed and masked at the rear door of a Wendy's fast-food establishment. The two lone employees who were preparing to open heard loud knocking, and one of them checked the security camera and saw defendant and his accomplice outside the back, knocking on the door. The employee did not let the two men in, but instead called his supervisor and 911.

A police officer responded in a marked patrol car, and as he pulled up with his car lights shining on the back of the Wendy's he saw two men hiding behind some stacked up crates. Upon seeing the car lights, defendant and his accomplice ran in different directions, with defendant running towards the officer.

The officer saw defendant dressed in dark blue clothing, wearing a black knit hat, black gloves and a black mask over his face, and observed defendant carrying what appeared to be a black handgun. When the officer drew his weapon, defendant ran towards the nearby highway. The officer followed in his car and later tracked defendant on foot, at which point a K-9 officer responded to the first officer's call for assistance. During the chase, the officers recovered a black knit hat and a black glove. When the officers eventually caught up with defendant they found him hiding between two buildings, and in possession of a backpack which contained a pair of green, black and yellow gloves.

A subsequent search in the vicinity of the Wendy's led police to discover two BB guns.* The police found one about 10 feet from the establishment's rear door, near where the first officer initially spotted defendant. The police recovered the other from defendant's car, which the police found parked in a lot about 50 yards away from the Wendy's.

The People charged defendant with two counts of attempted robbery in the second degree (Penal Law §§ 110.00, 160.10 [1], [2] [b]) and one count of attempted burglary in the second degree (Penal Law §§ 110.00, 140.25 [1] [d]). At trial, defendant stipulated to the introduction into evidence of footage from the security camera, which showed the two masked men looking in

* Although the police officer testified that the gun found in the defendant's car was a pellet gun, the parties' stipulation referred to the two guns "found at or near the scene" as BB guns. Therefore, we refer to the two guns accordingly.

and knocking on the Wendy's rear door, while holding what appeared to be guns. He further stipulated that he was one of the masked men and that he was the person who ran towards the officer and who was later apprehended by the police.

In addition to the police testimony, the People relied on statements from the two coworkers and the supervisor who were on the morning shift the day of the incident. These individuals testified that they did not recognize defendant's name, and that the Wendy's was closed when defendant attempted to enter. They also confirmed what was obvious from the security footage, that defendant and his accomplice were carrying what appeared to be firearms, and wore masks and gloves.

County Court convicted defendant of both the attempted robbery counts and acquitted him of attempted burglary. A majority of the Appellate Division affirmed, concluding, as relevant to this appeal, that there was legally sufficient evidence to support defendant's conviction on the robbery counts (*People v Lamont*, 113 AD3d 1069 [4th Dept 2014]). Two Justices dissented, arguing that the evidence was insufficient to establish beyond a reasonable doubt that defendant had the specific intent to steal, as required for attempted robbery. A Justice of the Appellate Division granted defendant leave to appeal (22 NY3d 1160 [2014]). We now affirm.

On appeal to us, the entirety of defendant's challenge to his attempted robbery conviction is his allegation that the evidence was legally insufficient to establish the requisite intent to steal. He contends that while the evidence may establish what appears to be some type of attempted criminal behavior, it does not support a valid inference that defendant intended to steal. The People respond that defendant's intent to commit robbery is established by defendant's conduct and the surrounding circumstances.

The law is well-established that "[a] verdict is legally sufficient if there is any valid line of reasoning and permissible inferences that could lead a rational person to conclude that every element of the charged crime has been proven beyond a reasonable doubt" (*People v Delamota*, 18 NY3d 107, 113 [2011]). Where the defendant has been convicted, "[t]he proof must be viewed in the light most favorable to the prosecution," recognizing that "the People are entitled to all reasonable evidentiary inferences" (*Delamota*, 18 NY3d at 113). As this Court has recognized in the past, "[t]he element of intent is rarely

proved 'by an explicit expression of culpability by the perpetrator'; and '[c]ompeting inferences to be drawn [regarding the defendant's intent], if not unreasonable, are within the exclusive domain of the finders of fact, not to be disturbed' by us" (*People v Bueno*, 18 NY3d 160, 169 [2011] [citation omitted], citing *People v Barnes*, 50 NY2d 375, 381 [1980]).

On the record before us, we agree that the evidence was sufficient for a rational finder of fact to find defendant guilty of two counts of attempted second-degree robbery. "A person is guilty of an attempt to commit a crime when, with [the] intent to commit a crime, [the person] engages in conduct which tends to effect the commission of such crime" (Penal Law § 110.00). "Essentially then, an attempt is an act done with an intent to commit some other crime" (*People v Bracey*, 41 NY2d 296, 299 [1977], citing *People v Moran*, 123 NY 254, 257 [1890]). Here, the attempted crime is second-degree robbery, which is established when a person "forcibly steals property" and "is aided by another person actually present" or "[d]isplays what appears to be a . . . firearm" (Penal Law § 160.10 [1], [2] [b]). A person "forcibly steals" when the person "uses or threatens the immediate use of physical force upon another person for the purpose of . . . [c]ompelling the owner of such property or another person to deliver up the property" (Penal Law § 160.00 [2]). The requisite mental state for robbery is the "intent to permanently deprive the owner of that property" (*People v Miller*, 87 NY2d 211, 217 [1995]). Thus, the People had to prove beyond a reasonable doubt that defendant intended to forcibly steal property from an employee at the Wendy's by threat or use of physical force.

Even absent direct evidence of intent, a conviction may be sustained where sufficient evidence exists to infer the requisite intent from the defendant's conduct and the surrounding circumstances (*People v Rodriguez*, 17 NY3d 486, 489 [2011], citing *Bracey*, 41 NY2d at 301). As a practical matter, circumstantial evidence of intent is often essential to prosecution for an attempted crime because, as this Court is acutely aware, such evidence " 'may be the only way of proving intent in the typical case' of criminal attempt" (*Bracey*, 41 NY2d at 301).

Turning to the specific facts of defendant's case, we conclude that there is sufficient circumstantial evidence based on defendant's appearance and conduct, and the surrounding events to support an inference that defendant intended to commit second-degree robbery. With respect to his appearance, defend-

ant and his accomplice were dressed and equipped for criminal acts involving force and threatening behavior in furtherance of a robbery. They wore masks and gloves to enhance their criminal persona and avoid identification by facial recognition or fingerprint verification, and they carried what appeared to be handguns. In addition, defendant was apprehended carrying a backpack, which provided a convenient means to carry stolen property and which contained some additional gloves.

The conduct of defendant and his accomplice further evinced an intent to rob the Wendy's. The men were knocking loudly on the commercial establishment's rear door, an entry point not generally used by the public. They appeared early in the morning, before regular hours, with no apparent lawful purpose, and while two employees were alone and busy preparing to open for business. Moreover, defendant planned his escape in advance by parking his car in the nearby lot. This apparent familiarity with the area and the employees' arrival time, and the attempted entry through a locked back door and the availability of a getaway vehicle suggests that defendant and his accomplice had previously assessed the establishment's vulnerability to robbery. Therefore, on this record, the finder of fact had ample evidence to conclude that defendant's dress, conduct and the surrounding circumstances are commonly associated with the crime of robbery.

Defendant contends that the evidence was equivocal because it is just as likely to suggest some other criminal act, such as assault, rape, and murder. The People respond that the evidence belies defendant's argument that the facts support reasonable inferences of some alternative criminal intent. Defendant and the People both cite to *People v Bracey* in support of their respective arguments. We find the People's argument persuasive and agree that, in accordance with *Bracey*, the evidence supports the inference that defendant intended to commit robbery, rather than some other crime.

In *Bracey*, two defendants entered a store carrying a gun concealed in a bag, looked around, made a token purchase, and left. One defendant then drove the car—which had its license plates removed—around the block and parked it down the street. The other defendant reentered the store with his gun drawn. At that moment, the police arrived in response to an earlier call from the store clerk who had found defendants' previous behavior suspicious, and both defendants were eventually arrested. This Court upheld defendants' convictions

for robbery in the second degree, noting that “intent [may] . . . be inferred from the defendant’s conduct and the surrounding circumstances” (see *Bracey*, 41 NY2d at 301 [internal quotation marks omitted]). Although the Court noted that the act of walking into a store with a gun in hand “does not unequivocally establish that [defendants] intended to commit a robbery,” the Court ultimately concluded that defendants’ “conduct obviously fit[] a . . . pattern common to robberies” (*id.* at 301-302).

Here, the actions of the defendant and his accomplice, and the circumstances of the incident do not comport easily with a crime other than robbery. Notably, the coworkers and the supervisor testified they did not know defendant’s name, thus discounting the possibility that defendant’s aim was to commit some other crime more commonly associated with a specific target. Further, defendant’s use of a BB gun supports an inference of intent to forcibly steal rather than an intent to commit murder. In light of this record, it would require speculation to interpret the evidence as defendant suggests (see *Bracey*, 41 NY2d 296). Therefore, the trier of fact was entitled to conclude that it was not a reasonable possibility under the circumstances to find that defendant intended some criminal act other than robbery.

That the underlying facts reveal a somewhat different pattern of criminal conduct from the one this Court identified as common to the robbery pursued by defendants in *Bracey* means only that the pattern followed by defendant and his accomplice here reflects the characteristics and features of the robbery they attempted to commit. In other words, the conduct in each case reveals a pattern designed for the circumstances attendant to the specific crime, and provides a factual basis to infer the intent to commit robbery, albeit robbery of a particular nature.

In *Bracey*, the acts of entering and exiting the premises, initially concealing the weapon while inside the store and before the actual robbery, and riding around the immediate area, evinced the defendants’ efforts to assess the scene and any potential problems before conducting the crime. Those facts were sufficient to draw an inference of defendants’ intent to rob the store in the middle of the day, in open view to the general public.

In contrast, here there was evidence that defendant, who was unknown to any of the employees present that morning,

and had no apparent business at Wendy's, nevertheless showed up masked and armed, carrying a backpack, seeking entry at 6:30 a.m. through a locked rear door not used by the public, with an escape vehicle conveniently parked nearby. This fit the pattern common to an early morning robbery of a commercial establishment and was sufficient to support the inference that defendant intended to steal.

Accordingly, the Appellate Division order should be affirmed.

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM and STEIN concur; Judge FAHEY taking no part.

Order affirmed.

[33 NE3d 1270, 12 NYS3d 1]

EILEEN MALAY, Appellant, v CITY OF SYRACUSE et al., Respondents.

Argued March 25, 2015; decided May 14, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 3, 2014. The Appellate Division affirmed an order of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), which had (1) granted defendants' motion pursuant to CPLR 3211 (a) (5) to dismiss the complaint, and (2) dismissed the complaint.

Malay v City of Syracuse, 113 AD3d 1141, reversed.

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action — When Prior Action Terminated

For purposes of CPLR 205 (a), which provides that where "an action is timely commenced and is terminated" the plaintiff "may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination," a prior action terminates, where an appeal is taken as of right, when the nondiscretionary appeal is truly "exhausted," either by a determination on the merits or by dismissal of the appeal, even if the appeal is dismissed as abandoned. Accordingly, defendants were not entitled to dismissal of plaintiff's state action filed nine months after dismissal of her federal action based upon the same incident, but before her federal appeal as of right was dismissed for failure to perfect. The commencement of the six-month tolling period is not forestalled by a plaintiff's efforts to seek discretionary appellate review, as it is not the purpose of CPLR 205 (a) to permit a party to continually extend the statutory period by seeking additional discretionary appellate review. By contrast, where an appeal is taken as a matter of right, the six-month period does not commence since termination of the prior action has not yet occurred. This interpretation of CPLR 205 is in keeping with the statute's remedial purpose of allowing plaintiffs to avoid the harsh consequences of the statute of limitations and have their claims determined on the merits where, as here, a prior action was commenced within the limitations period, thus putting defendants on notice of the claims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 251–256, 275.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:434, 13:437, 13:438, 13:440, 13:443.

McKINNEY'S, CPLR 205 (a).

NY JUR 2d, Limitations and Laches §§ 310–312, 314–318.
SIEGEL, NY PRAC § 52.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Relation
Back.

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POINTS OF COUNSEL

O'Hara, O'Connell & Ciotoli, Fayetteville (*Frank S. Gattuso* of counsel), for appellant. I. CPLR 205 (a) is to be liberally construed. (*Wooster v Forty-Second St. & Grand St. Ferry R.R. Co.*, 71 NY 471; *People ex rel. Nolan v Prendergast*, 88 Misc 307, 169 App Div 959; *People ex rel. Lehigh Val. Rail Way Co. v Clover*, 174 Misc 888; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Matter of Winston v Freshwater Wetlands Appeals Bd.*, 224 AD2d 160.) II. CPLR 205 (a) has long been interpreted as preserving legitimate causes of action while promoting judicial economy. (*Wooster v Forty-Second St. & Grand St. Ferry R.R. Co.*, 71 NY 471; *People ex rel. Nolan v Prendergast*, 88 Misc 307, 169 App Div 959; *Lehman Bros. v Hughes Hubbard & Reed*, 92 NY2d 1014.) III. The decisions of the courts below contradict the Court of Appeals' holding that termination pursuant to CPLR 205 (a) occurs when a plaintiff has exhausted her rights to the litigation. (*People v Bing*, 76 NY2d 331; *People v Taylor*, 9 NY3d 129; *Payne v Tennessee*, 501 US 808; *Hanover Ins. Co. v U.W. Marx, Inc.*, 238 AD2d 772; *Lehman Bros. v Hughes Hubbard & Reed*, 92 NY2d 1014; *Maki v Grenda*, 224 AD2d 996; *Cenven, Inc. v Bethlehem Steel Corp.*, 41 NY2d 842; *People v Taylor*, 9 NY3d 129; *Matter of Eckart*, 39 NY2d 493; *Dinerman v Sutton*, 45 Misc 2d 791.) IV. Decisions of the courts below would compel plaintiffs to litigate identical claims in different forums and subject them to dismissal. (*American Express Travel Related Servs. Co., Inc. v Zalmen Reiss & Assoc., Inc.*, 31 Misc 3d 1226[A], 2011 NY Slip Op 50862[U].) V. The Appellate Division did not follow its own reasoning in its previous *Maki v Grenda* (224 AD2d 996 [1996]) decision.

Robert P. Stamey, Corporation Counsel, Syracuse (*Ann M. Alexander* of counsel), for respondents. Plaintiff's complaint is

time-barred; plaintiff's federal claims were summarily dismissed and plaintiff failed to commence the instant state action within six months of the date of judgment as required by CPLR 205 (a). (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Trinidad v New York City Dept. of Corr.*, 423 F Supp 2d 151; *Lehman Bros. v Hughes Hubbard & Reed*, 92 NY2d 1014; *Cohoes Hous. Auth. v Ippolito-Lutz, Inc.*, 65 AD2d 666, 49 NY2d 961; *Gesegnet v Hyman*, 285 AD2d 719; *Dinerman v Sutton*, 45 Misc 2d 791; *Cook v Deloitte & Touche USA*, 13 Misc 3d 1203[A], 2006 NY Slip Op 51675[U]; *Maki v Grenda*, 224 AD2d 996; *Bender v Peerless Ins. Co.*, 36 AD3d 1120; *Matter of Sean W. [Brittany W.]*, 87 AD3d 1318.)

OPINION OF THE COURT

FAHEY, J.

In *Lehman Bros. v Hughes Hubbard & Reed* (92 NY2d 1014, 1016-1017 [1998]), this Court held that a prior action terminates for purposes of CPLR 205 (a) when an appeal taken as of right is exhausted. We are now asked to decide when a prior action terminates where an appeal is taken as of right but is dismissed by the intermediate appellate court due to the plaintiff's failure to perfect the appeal. We hold that in such a situation, the prior action terminates for the purposes of CPLR 205 (a) when the intermediate appellate court dismisses the appeal, not when the underlying order appealed from is entered.

I.

In March 2007, the owner of the building at 303 Gere Avenue in Syracuse shot his wife and took his relatives hostage. Plaintiff lived in an apartment in the building and was home at the time, but she was initially unaware of the hostage situation. During the ensuing standoff, police officers fired CS gas canisters into the building, including into plaintiff's apartment. Plaintiff called 911, and she was able to leave her apartment safely. She later alleged that she suffered lasting injuries due to the gas exposure and loss of her personal property due to the contamination of her apartment. She was never allowed to return to the property.

In June 2008, plaintiff commenced an action in the United States District Court for the Northern District of New York, alleging violations of her federal and state constitutional rights and asserting common-law negligence claims. The District

Court initially dismissed plaintiff's claims under the Fifth Amendment of the United States Constitution, her claims under the New York Constitution, and her claims against one named defendant (*see* 638 F Supp 2d 303 [ND NY 2009]). After discovery, defendants moved for summary judgment. On September 30, 2011, the District Court granted defendants' motion and dismissed plaintiff's remaining federal claims (*see* 2011 WL 4595201, 2011 US Dist LEXIS 112520 [ND NY, Sept. 30, 2011, No. 5:08-CV-0599 (GHL)]). The court declined to exercise jurisdiction over plaintiff's remaining state law claims. Plaintiff's motion for reconsideration was denied.

Plaintiff then took an appeal as of right to the United States Court of Appeals for the Second Circuit and, in May 2012, appeared at a conference in that court. However, on June 26, 2012, the Second Circuit issued an order stating that plaintiff's appeal was in default because plaintiff had failed to file her brief and appendix within the deadline. The Second Circuit ordered that plaintiff's appeal would be dismissed effective July 10, 2012 if her brief and appendix were not filed by that date. Plaintiff failed to file her brief and appendix by the extended deadline and, by mandate issued on August 28, 2012, the Second Circuit dismissed plaintiff's appeal, effective July 10, 2012.

On June 25, 2012, however, before the Second Circuit dismissed her appeal, plaintiff commenced the present action in Supreme Court, Onondaga County. In a pre-answer motion, defendants moved to dismiss plaintiff's state action as untimely. Defendants contended that because plaintiff commenced her state action nearly nine months after the District Court's September 30, 2011 order, the six-month tolling period provided by CPLR 205 (a) had already expired.

Plaintiff responded that her federal action did not terminate until July 10, 2012, when the Second Circuit dismissed her appeal, and therefore her state action was filed before her federal action terminated. Plaintiff's attorney asserted that after participating in the pre-briefing conference, plaintiff determined that pursuit of her Second Circuit appeal was strategically unwise, based on her small chance of success on that appeal and a comparison of the "time it would take for the appeal to be decided versus the time it would take to have the state negligence claims placed on a trial calendar with discovery already complete."

Supreme Court granted defendants' motion to dismiss, holding that plaintiff's federal action terminated on September 30, 2011, upon the District Court's order granting summary judgment to defendants. The court rejected plaintiff's contention that her federal action terminated with the Second Circuit's dismissal of her appeal, reasoning that when an appeal is dismissed due to default, the six-month grace period of CPLR 205 (a) begins to run on the date that the order appealed from was entered. The Appellate Division affirmed without writing (113 AD3d 1141 [4th Dept 2014]). This Court granted plaintiff leave to appeal (23 NY3d 902 [2014]). We now reverse.

II.

"Tracing its roots to seventeenth century England, the remedial concept embodied in CPLR 205 (a) has existed in New York law since at least 1788" (*Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52, 56 [2007]). The statute and its predecessors were "designed to insure to the diligent suitor the right to a hearing in court till he reaches a judgment on the merits" (*Gaines v City of New York*, 215 NY 533, 539 [1915]), by "remedying what might otherwise be the harsh consequence of applying a limitations period where the defending party has had timely notice of the action" (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511, 521 [2009], *rearg denied* 14 NY3d 756 [2010]). The statute's "broad and liberal purpose is not to be frittered away by any narrow construction" (*Gaines*, 215 NY at 539).

In its current form, CPLR 205 (a) provides:

"If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff . . . may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period."

In *Lehman Bros.*, this Court addressed the point of termination of a prior action where the plaintiff's appeal to a Texas in-

intermediate appellate court was decided on the merits and the plaintiff thereafter unsuccessfully sought discretionary appellate review. We held that the plaintiff's prior action terminated for the purposes of CPLR 205 (a) on the date that the plaintiff's "sole nondiscretionary Texas appeal was exhausted," that is, the date that the Texas intermediate appellate court affirmed the dismissal of the Texas action (*see* 92 NY2d at 1016-1017). We rejected the view that the commencement of the six-month tolling period was forestalled by the plaintiff's request for a rehearing from the intermediate appellate court, or by the plaintiff's efforts to seek discretionary appellate review from the Texas Supreme Court and the United States Supreme Court, noting that "[i]t is not the purpose of CPLR 205 (a) to permit a party to continually extend the statutory period by seeking additional discretionary appellate review" (*id.* at 1016). We held however, that "[b]y contrast, where an appeal is taken as a matter of right, or where discretionary appellate review is granted on the merits, the six-month period does not commence since termination of the prior action has not yet occurred" (*id.*).

The *Lehman Bros.* decision followed previous decisions of this Court holding that a prior action terminates for purposes of CPLR 205 (a) upon the order of the intermediate appellate court when an appeal is taken as of right, or, when discretionary appellate review is granted on the merits, upon the order of the appellate court that granted discretionary review (*see* 423 S. *Salina St. v City of Syracuse*, 68 NY2d 474, 486 [1986], *cert denied* 481 US 1008 [1987]; *Cohoes Hous. Auth. v Ippolito-Lutz, Inc.*, 49 NY2d 961, 962 [1980], *affg on op below* 65 AD2d 666 [3d Dept 1978]; *Wooster v Forty-Second St. & Grand St. Ferry R.R. Co.*, 71 NY 471, 473 [1877]). Since *Lehman Bros.* was decided, we have reiterated that "'termination' of the prior action occurs when appeals as of right are exhausted" (*Andrea v Arnone, Hedin, Casker, Kennedy & Drake, Architects & Landscape Architects, P.C. [Habiteria Assoc.]*, 5 NY3d 514, 519 [2005]), or, when discretionary appellate review is granted, upon "final determination" of the discretionary appeal (*Joseph Francese, Inc. v Enlarged City School Dist. of Troy*, 95 NY2d 59, 64 [2000]).

Those cases involved appellate court decisions on the merits, however, and this Court has not addressed the issue of when a prior action terminates for purposes of CPLR 205 (a) where, as here, an appeal is taken as of right but is dismissed by the intermediate appellate court due to the plaintiff's failure to

perfect. We resolve that question now by adhering to the *Lehman Bros.* decision and holding that, where an appeal is taken as of right, the prior action terminates for purposes of CPLR 205 (a) when the nondiscretionary appeal is truly “exhausted,” either by a determination on the merits or by dismissal of the appeal, even if the appeal is dismissed as abandoned.*

III.

This interpretation of CPLR 205 is in keeping with the statute’s remedial purpose of allowing plaintiffs to avoid the harsh consequences of the statute of limitations and have their claims determined on the merits where, as here, a prior action was commenced within the limitations period, thus putting defendants on notice of the claims (*see Goldstein*, 13 NY3d at 521; *Gaines*, 215 NY at 539). In interpreting the statute, we are also mindful of judicial economy. Defendants acknowledge that attorneys routinely file notices of appeal from adverse determinations as a matter of course, and defendants posit no reasonable basis for their concern that plaintiffs will be motivated to unduly delay making a determination regarding whether to pursue their appeal or commence a new action. To the contrary, plaintiffs are generally motivated to obtain a determination on the merits in their favor as quickly as possible. Indeed, plaintiff here did not even wait until the Second Circuit’s order of dismissal was rendered before commencing her action in state court. Rather, after the pre-briefing conference, plaintiff decided to commence a state court action due, in part, to her realization that the state negligence claims would be resolved much more quickly if she commenced the new action.

Defendants’ concern that this interpretation of the statute will encourage plaintiffs to take frivolous appeals as of right that they have no intention of perfecting, while not unreasonable, is similarly overblown. A plaintiff who engages in such behavior would not be able to do so for long, inasmuch as the dismissal of the nondiscretionary appeal due to failure to perfect generally would foreclose any subsequent appeal of the same issues (*see Rubeo v National Grange Mut. Ins. Co.*, 93 NY2d 750, 755-756 [1999]). Furthermore, the intermediate appellate court presumably would not vacate the dismissal of the appeal without a compelling reason to do so.

* Whether the Second Circuit’s dismissal of plaintiff’s appeal constituted a “voluntary discontinuance” or a “neglect to prosecute” within the meaning of CPLR 205 (a) is an issue not preserved for our review. We therefore express no opinion with respect to the correct resolution of that issue.

Defendants contend that plaintiff was not required to choose between commencing her state action within six months of the District Court's order or pursuing her appeal in the Second Circuit to a decision on the merits. Rather, defendants claim, plaintiff could have pursued her Second Circuit appeal and simultaneously commenced a state action, in order to protect her rights if she later decided to forgo her appeal. Defendants assert that, according to plaintiff's interpretation of CPLR 205 (a), she did, in fact, commence her state action while her federal action was still pending, because the Second Circuit had not yet dismissed her appeal.

We reject defendants' contention that plaintiffs should commence new actions while appeals on their prior actions are pending if there is any chance they might decide to forgo pursuit of their appeals. In such a situation, the new action would be subject to dismissal pursuant to CPLR 3211 (a) (4), which allows for dismissal in the court's discretion when "there is another action pending between the same parties for the same cause of action in a court of any state or the United States." Moreover, requiring a plaintiff to commence a new action while an appeal on the prior action is pending would be wasteful of the limited time and resources of courts and litigants, inasmuch as the appeal "might, and in many cases would, determine the right of the parties in the controversy, and prevent further costs and litigation" (*Wooster*, 71 NY at 473). Defendants' contention that there was not another action pending on the same cause of action in this case because plaintiff appealed to the Second Circuit only the dismissal of her federal claims and expressly abandoned her state law claims is unsupported by the record.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants' motion to dismiss the complaint denied.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and STEIN concur.

Order reversed, with costs, and defendants' motion to dismiss complaint denied.

[34 NE3d 341, 12 NYS3d 590]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RICKY
A. LYNCH, Appellant.

Argued April 28, 2015; decided June 9, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 23, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Suffolk County (William J. Condon, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the second degree, identity theft in the first degree, and offering a false instrument for filing in the first degree.

People v Lynch, 116 AD3d 979, affirmed.

HEADNOTE

Crimes — Double Jeopardy — Different Criminal Transactions

Defendant's prosecution for using false information when filling out and submitting an application for a non-driver identification card, which followed his prosecution in another county for possessing the forged non-driver ID he had obtained as a result, did not violate the statutory bar against double jeopardy. Under CPL 40.20 (2), a subsequent prosecution for offenses involving the "same . . . criminal transaction" violates the statutory bar against double jeopardy unless an exception applies. CPL 40.10 (2) defines "criminal transaction" as conduct "comprised of two or more or a group of acts either (a) so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or (b) so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture." The offense of submitting the forged application and the offense of presenting the forged non-driver ID to the police were many months apart and involved different forged instruments, making them different criminal transactions. The prosecution here was based on defendant's completion and filing of the application form and was complete once defendant submitted the forged application. The prior prosecution was based on defendant's presentation of the forged non-driver ID to a police officer almost five months later. Moreover, this case did not involve integrated, interdependent acts, and as such did not constitute a single criminal venture.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 276, 301, 319.

CARMODY-WAIT 2d, Exemption from Prosecution by Reason of Previous Prosecution §§ 185:3, 185:5, 185:13.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 25.1.

McKINNEY'S, CPL 40.10 (2); 40.20 (2).

NY JUR 2d, Criminal Law: Procedure §§ 1933–1935.

ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Forgery.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: double /2 jeopardy /p different /4 transaction &
forged

POINTS OF COUNSEL

Robert C. Mitchell, Legal Aid Society, Riverhead (Edward Smith and Louis E. Mazzola of counsel), for appellant. The charges of forgery in the second degree and criminal personation for which the appellant was convicted in Westchester County were based on the same act or criminal transaction as were the charges for which he was later tried and convicted in Suffolk County and for that reason the Suffolk charges should have been dismissed under CPL 40.20. (*Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560.)

Thomas J. Spota, District Attorney, Riverhead (Ronnie Jane Lamm of counsel), for respondent. The Suffolk County charges did not violate double jeopardy because appellant's previous conviction resulted from a separate and distinct offense within the Penal Law, and each crime was designed to prevent different kinds of harm or evil. (*Garrett v United States*, 471 US 773; *Blockburger v United States*, 284 US 299; *People v Mabry*, 101 AD2d 961; *People v Artis*, 74 AD2d 644; *Matter of Auer v Smith*, 77 AD2d 172; *People v Arnold*, 174 Misc 2d 585; *People v Davis*, 277 AD2d 248; *People v Prescott*, 66 NY2d 216; *Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560; *Matter of Steingut v Gold*, 42 NY2d 311.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

In this appeal, we determine whether defendant's second prosecution in New York was based on the same criminal transaction as a previous prosecution, and thus barred by New York's statutory double jeopardy protections. We hold that these prosecutions involved different criminal transactions.

On June 15, 2009, defendant used false information when filling out an application (an MV-44 form) for a non-driver identification card, a form he submitted to the New York State Department of Motor Vehicles (DMV) in Suffolk County. On the application, defendant represented himself to be Ricky Lynch, Jr., defendant's son, using his son's name, date of birth, and Social Security number.

In November 2009, while driving in Westchester County, defendant made an illegal U-turn for which he was stopped by the police. When asked for identification, defendant produced the non-driver ID card he had obtained in June 2009. During an inventory of the car after defendant was arrested for driving with a suspended license, the officer found two other fake or forged identification cards on the floor behind the passenger's seat. Defendant was charged with criminal possession of a forged instrument in the second degree, aggravated unlicensed operation of a motor vehicle in the second degree, and false personation. He pleaded guilty to a reduced charge of criminal possession of a forged instrument in the third degree in satisfaction of the indictment.

Defendant's son, Ricky Lynch, Jr., returned to New York in November 2008 after living with his mother in Arizona for four years. When he attempted to obtain a new driver's license at the DMV in February 2010, he was told he had unpaid tickets and that his license was suspended. After reviewing its records, the DMV found that defendant had used his son's identifying information to apply for an ID card. Defendant's son identified his father's photograph on licenses ostensibly issued to Ricky Lynch, Jr.

In August 2010, a Suffolk County grand jury charged defendant with criminal possession of a forged instrument in the second degree, alleging that on June 15, 2009, he possessed a forged instrument (the MV-44 form); forgery in the second degree, alleging that on June 15, 2009, with intent to defraud his son, he falsely made and completed the form; identity theft in the first degree, alleging that on the same date, he assumed the identity of his son; and offering a false instrument for filing in the first degree, alleging that on the same date, he presented the said form.*

Defendant moved to dismiss the Suffolk County charges on statutory double jeopardy grounds under Criminal Procedure

* Following a jury trial, defendant was convicted of all charges in the indictment. At sentencing, the court dismissed the conviction of forgery in

(n. cont'd)

Law § 40.20. The court denied the motion, reasoning that “defendant is not charged in Suffolk County with possession of the identity card and thus the ‘res’ of the crime is a completely different instrument” and “[a]lthough related, the alleged crimes in Suffolk were complete with the defendant filing his application.” “That the defendant possessed the fruits of that crime is a separate and distinct act which is not subject to a defense of double jeopardy.”

The Appellate Division affirmed, holding that there was no statutory double jeopardy violation because the “crimes for which the defendant was prosecuted in Suffolk County were not based upon the same criminal transaction as the crime for which he was prosecuted in Westchester County” (116 AD3d 979, 979 [2d Dept 2014]). “The Westchester County prosecution involved a separate offense, which arose out of the defendant’s possession of a different forged instrument than the one at issue in the Suffolk County prosecution” (*id.* at 980).

Under CPL 40.20 (2), a subsequent prosecution for offenses involving the “same . . . criminal transaction,” as defined by CPL 40.10 (2), violates the statutory bar against double jeopardy unless an exception applies.

“ ‘Criminal transaction’ means conduct which establishes at least one offense, and which is comprised of two or more or a group of acts either (a) so closely related and connected in point of time and circumstance of commission as to constitute a single criminal incident, or (b) so closely related in criminal purpose or objective as to constitute elements or integral parts of a single criminal venture” (CPL 40.10 [2]).

The definition contains two alternative tests to determine whether two offenses are part of the same criminal transaction. Paragraph (a) “involves consideration of the nature, timing and circumstances of the offenses” so that, for example, where a seller of pornographic materials sold two pornographic items at the same time to a single purchaser, the acts constituted the same criminal transaction (New York Pretrial Criminal Procedure § 2:6 [2d ed 7 West’s NY Prac Series], citing *People v North St. Book Shoppe*, 139 AD2d 118 [3d Dept 1988]).

the second degree on the ground that one cannot be convicted of both criminal possession of a forged instrument and forgery of the same written instrument.

In contrast, a court identified two separate criminal transactions where defendants used stolen credit cards to purchase merchandise, for which they were convicted of criminal possession of stolen property and forged instruments in New York State, and *three months later* bought *different* stolen credit cards, for which they were convicted in federal court of conspiracy to purchase stolen credit cards (*see People v Vesprey*, 183 AD2d 212 [1st Dept 1992], *lv denied* 81 NY2d 894 [1993]). Different criminal transactions have also been recognized for separate sales of drugs to the same person at the same place, separated by 48 hours (*see People v Robinson*, 65 AD2d 896 [3d Dept 1978]).

In *People v Dallas* (46 AD3d 489 [1st Dept 2007]), defendant's prosecution in New York County for possession of 12 counterfeit documents and prior prosecution in Kings County for the sale of different false identification documents "of the same nature," did not violate the statutory protections against double jeopardy because the offenses "were not so closely related as to constitute a single criminal transaction" (*id.* at 490 [internal quotation marks omitted]). "The fact that defendant was in the business of selling counterfeit identifications, and that his conduct in both counties may have been admissible in both prosecutions . . . did not make his possession of different documents at different times a single criminal transaction" (*id.*).

Paragraph (b) of the CPL 40.10 (2) definition "tends to be more applicable to crimes that involve planned, ongoing organized criminal activity, such as conspiracies, complex frauds or larcenies, or narcotics rings" (New York Pretrial Criminal Procedure § 2:6 [2d ed 7 West's NY Prac Series]). This Court has recognized violations of statutory double jeopardy protections in drug trafficking cases where the "embrative nature of the crime of conspiracy" presents unique circumstances (*People v Abbamonte*, 43 NY2d 74, 85 [1977]; *see Matter of Abraham v Justices of N.Y. Supreme Ct. of Bronx County*, 37 NY2d 560 [1975] [concluding that successive prosecutions in state and federal court for drug trafficking of the same drugs constituted the same criminal transaction and violated statutory double jeopardy protections]). In *Abraham*, this Court observed that each defendant in the drug trafficking conspiracy "played a well defined role in a highly structured, disciplined and vertically integrated criminal enterprise," and "the part with which each was immediately concerned . . . was de-

pendent upon the success of the whole” (*id.* at 566-567 [citation, brackets and internal quotation marks omitted]). The Court concluded that the “acts and conduct constituted ‘integral parts of a single criminal venture’ and, thus, a single ‘criminal transaction’ within the meaning of CPL 40.20” (*id.* at 567).

Here, under the test presented by CPL 40.10 (2) (a), the offense of submitting a forged MV-44 form and the offense of presenting a forged non-driver ID to the police were many months apart and, as in *People v Dallas*, involved different forged instruments—the non-driver’s license and the MV-44 application form—making them different criminal transactions. The Suffolk County charge was based on defendant’s completion and filing of the application form. The offense was complete once defendant submitted the forged application to the DMV in June 2009. The Westchester offense occurred almost five months later and was based on defendant’s presentation of the forged non-driver’s license to the officer. With the non-driver ID card in hand, defendant could give the appearance of a clean record, which would enable him to evade his criminal history and obtain a loan or employment under a false identity. Applying the alternative test defined by CPL 40.10 (2) (b), this case does not involve the integrated, interdependent acts as seen in conspiracy cases or complex frauds, and as such does not constitute a “single criminal venture” (*see* 37 NY2d at 567).

A closer case might be presented had defendant applied for a *driver’s* license in Suffolk County with his son’s papers and showed the temporary driver’s license later that *same day* when his car was stopped by police. In such circumstances, the timing and criminal purpose of the two acts would be more interrelated than the circumstances presented here.

As the successive prosecutions here involved two different criminal transactions, we need not reach defendant’s remaining contentions.

Accordingly, the Appellate Division order should be affirmed.

Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed.

[34 NE3d 344, 12 NYS3d 593]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RASAUN
SANDERS, Also Known as BOO CRACKS, Appellant.

Argued April 29, 2015; decided June 9, 2015

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 11, 2013. The Appellate Division affirmed a judgment of the Westchester County Court (James W. Hubert, J.), which had convicted defendant, upon his plea of guilty, of manslaughter in the first degree and gang assault in the first degree.

People v Sanders, 112 AD3d 748, affirmed.

HEADNOTE

Crimes — Appeal — Waiver of Right to Appeal

Defendant voluntarily, knowingly and intelligently waived his right to appeal, where the right to appeal was adequately described without lumping it into the panoply of rights normally forfeited upon a guilty plea and asked defendant whether he understood that as a condition of his plea he was “waiving the right to appeal [his] conviction and sentence to the Appellate Division.” The prosecutor also obtained defendant’s confirmation that he had discussed the waiver of the right to appeal with his attorney and that he was waiving such right in consideration of his negotiated plea, as well as counsel’s confirmation that all motions pending or decided were being withdrawn. No further elaboration was necessary on the phrase “right to appeal your conviction and sentence to the Appellate Division” in view of the whole colloquy, particularly given defendant’s background, including his extensive experience with the criminal justice system and multiple prior guilty pleas that resulted in terms of imprisonment.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Criminal Law §§ 624, 672.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:12,
182:27, 182:28, 182:46.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.4,
21.6.

NY JUR 2d, Criminal Law: Procedure §§ 1485, 1486, 1513.

ANNOTATION REFERENCE

Validity and effect of criminal defendant’s express waiver of right to appeal as part of negotiated plea agreeemt. 89 ALR3d 864.

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Database: NY-ORCS

Query: waive* /4 right /3 appeal /s colloquy /s sufficien!

POINTS OF COUNSEL

Mark Diamond, New York City, for appellant. I. Mr. Sanders' statements to police should have been suppressed because they were coerced by the threat of death. (*Colorado v Connelly*, 479 US 157; *Mincey v Arizona*, 437 US 385; *Miranda v Arizona*, 384 US 436; *People v Guilford*, 21 NY3d 205; *People v Mateo*, 2 NY3d 383; *People v Tarsia*, 50 NY2d 1; *People v Huntley*, 15 NY2d 72; *Culombe v Connecticut*, 367 US 568; *People v Thomas*, 22 NY3d 629; *Blackburn v Alabama*, 361 US 199.) II. Mr. Sanders' objection to the denial of his suppression motion survived his guilty plea. (*Brady v United States*, 397 US 742; *People v DeSimone*, 80 NY2d 273; *People v Moissett*, 76 NY2d 909; *Martinez v Court of Appeal of Cal., Fourth Appellate Dist.*, 528 US 152; *People v Melton*, 35 NY2d 327; *People v Ford*, 86 NY2d 397; *People v Harris*, 61 NY2d 9.) III. Mr. Sanders' guilty plea is unenforceable because he did not admit to guilty facts. (*Matter of Silmon v Travis*, 95 NY2d 470; *People v Billingsley*, 54 NY2d 960; *People v Seaberg*, 74 NY2d 1; *People v Mead*, 27 AD3d 767; *People v Peralta*, 1 AD3d 115; *People v Kaszubinski*, 55 AD3d 1133; *People v Lopez*, 71 NY2d 662; *People v Deyes*, 3 AD3d 575; *People v Moore*, 71 NY2d 1002; *People v Chowdhury*, 22 AD3d 596.)

Janet DiFiore, District Attorney, White Plains (*Jennifer Spencer*, *Laurie Sapakoff* and *Steven A. Bender* of counsel), for respondent. Defendant's waiver of his right to appeal is enforceable. (*People v Lopez*, 6 NY3d 248; *People v Seaberg*, 74 NY2d 1; *People v Moissett*, 76 NY2d 909; *People v Callahan*, 80 NY2d 273; *People v Bradshaw*, 18 NY3d 257; *People v Kemp*, 94 NY2d 831; *People v Hidalgo*, 91 NY2d 733; *People v Muniz*, 91 NY2d 570; *People v Maracle*, 19 NY3d 925; *People v Mower*, 97 NY2d 239.)

OPINION OF THE COURT

STEIN, J.

In this appeal, we are asked to consider whether a plea colloquy was adequate to effect a valid waiver of the right to appeal by a criminal defendant. The record here, including the plea colloquy and the other relevant facts, such as proof of de-

fendant's experience and background, is sufficient to uphold defendant's waiver of his right to appeal as voluntary, knowing and intelligent.

I.

In the course of a May 2009 gang assault of the 16-year-old victim, defendant stabbed the victim in the chest with a knife, killing him. Upon his arrest, defendant received his *Miranda* warnings and, after approximately two hours of questioning, admitted to the stabbing. He was charged in an indictment with murder in the second degree, gang assault in the first degree and criminal possession of a weapon in the third degree. After defendant's motion to suppress his statements was denied in part, he pleaded guilty on the eve of trial to manslaughter in the first degree and gang assault in the first degree.

During the plea colloquy, County Court set forth the terms of the plea, and the prosecutor conducted the voir dire examination.¹ The prosecutor discussed the rights normally forfeited upon a plea of guilty, inquired as to whether defendant was pleading voluntarily because he was guilty, and reviewed potential collateral consequences of the plea with him. The prosecutor also advised defendant of the consequences he could face if he failed to voluntarily appear for sentencing or committed another crime prior thereto. Regarding the waiver of the right to appeal, the following exchange then took place between the prosecutor and defendant:

“Q. Do you understand that as a condition of this plea you are waiving the right to appeal your conviction and sentence to the Appellate Division Second Department?”

“A. Yes.”

“Q. Have you discussed this waiver of the right to appeal with your attorney?”

“A. Yes.”

1. The parties have not addressed—either in this Court or in the courts below—the fact that the prosecutor, as opposed to the trial court, conducted most of the plea allocution. Although the Appellate Division Departments are divided on the propriety of the delegation of this important function, it has been “long criticized” (*People v Robbins*, 33 AD3d 1127, 1129 [2006]) and we are troubled by it, as well. As we noted in *People v Nixon* (21 NY2d 338, 353 [1967], *cert denied sub nom. Robinson v New York*, 393 US 1067 [1969]), the conduct of the plea allocution is “best left to the discretion of the court.”

“Q. In consideration of this negotiated plea[,] do you now voluntarily waive your right to appeal your conviction and sentence under this indictment?

“A. Yes.”

Immediately thereafter, the prosecutor asked defense counsel whether he was “withdraw[ing] all motions made by you whether pending or decided?” Counsel responded, “Yes, withdrawn.” The prosecutor conducted the factual allocution and the court accepted the plea. Defendant was thereafter sentenced, as a predicate violent felony offender, to an aggregate term of 20 years in prison, to be followed by five years of postrelease supervision.

Defendant filed a pro se notice of appeal. The Appellate Division, Second Department affirmed, concluding that defendant’s valid waiver of the right to appeal barred his challenge to County Court’s suppression ruling (112 AD3d 748, 748-750 [2013]). A dissenting Justice of the Appellate Division granted defendant leave to appeal (22 NY3d 1160 [2014]), and we now affirm.

II.

In *People v Seaberg*, this Court recognized for the first time that a defendant may waive his or her statutory right to an initial appeal, provided that the waiver is “not only . . . voluntary but also knowing and intelligent” (74 NY2d 1, 11 [1989]). We explained that a trial court must review the waiver and “determine[] [whether] it meets those requirements by considering all the relevant facts and circumstances surrounding the waiver, including the nature and terms of the agreement and the age, experience and background of the accused” (*id.*; see *People v Calvi*, 89 NY2d 868, 871 [1996]; *People v Callahan*, 80 NY2d 273, 280, 283 [1992]). The trial court must also ensure that defendant’s “full appreciation of the consequences” and understanding of the terms and conditions of the plea, including a waiver of the right to appeal, are apparent on the face of the record (*Seaberg*, 74 NY2d at 11; *Callahan*, 80 NY2d at 280). In that regard, we emphasized in *Seaberg* that the trial “court should have required [the defendant] to state his understanding and acceptance” of the details of the plea bargain on the record (74 NY2d at 11); nevertheless, we upheld the waiver in that case despite the fact that the defendant did not personally participate in the court’s colloquy with his

counsel, given the other relevant facts on the record that demonstrated the defendant's understanding of the waiver (*see id.* at 11-12; *see also People v Moissett*, 76 NY2d 909, 911 [1990]).

Although we have since “underscore[d] the critical nature of a court’s colloquy with a defendant explaining the right relinquished by an appeal waiver” (*People v Lopez*, 6 NY3d 248, 253 [2006]), we have continued to require assessment of all of the relevant factors surrounding the waiver, including the experience and background of the accused (*see People v Bradshaw*, 18 NY3d 257, 264-265 [2011]). Moreover, we have never abandoned our oft-stated instruction that “a trial court need not engage in any particular litany when apprising a defendant pleading guilty of the individual rights abandoned” (*Lopez*, 6 NY3d at 256; *see Bradshaw*, 18 NY3d at 265; *People v Kemp*, 94 NY2d 831, 833 [1999]; *Callahan*, 80 NY2d at 283). Contrary to defendant’s argument, this Court has not—in *People v Nicholson*, a companion case decided with *Lopez*, or in any other case—set forth the absolute minimum that must be conveyed to a pleading defendant in the plea colloquy in order for the right to appeal to be validly waived. We have long rejected that approach on the ground that “a sound discretion exercised in cases on an individual basis is best rather than to mandate a uniform procedure which, like as not, would become a purely ritualistic device . . . [that] eliminate[s] thinking” (*People v Nixon*, 21 NY2d 338, 355 [1967]).

III.

With those principles in mind, we conclude that the record before us sufficiently demonstrates that defendant knowingly and intelligently waived his right to appeal. There is no meaningful distinction between the plea colloquy here and the colloquy upheld in *Nicholson*, in which defendant acknowledged his understanding that he was “giving up [his] right to appeal, that is, to take to a higher court than this one any of the legal issues connected with this case” (*Nicholson*, 6 NY3d at 254). As in *Nicholson*, the plea colloquy here was sufficient because the right to appeal was adequately described without lumping it into the panoply of rights normally forfeited upon a guilty plea. In fact, the People went even further in this case and obtained defendant’s confirmation that he had discussed the waiver of the right to appeal with his attorney and that he was waiving such right in consideration of his negotiated plea, as well as counsel’s confirmation that all motions pending or decided were

being withdrawn. Thus, while the better practice would have been to define the nature of the right to appeal more fully—as the court did in *Nicholson*—the Appellate Division correctly determined that no further elaboration was necessary on the phrase “right to appeal your conviction and sentence to the Appellate Division Second Department” in view of the whole colloquy, particularly given this defendant’s background, including his extensive experience with the criminal justice system and multiple prior guilty pleas that resulted in terms of imprisonment.²

Under these circumstances, defendant’s valid, general waiver of the right to appeal precludes his challenge to County Court’s adverse suppression ruling (*see Kemp*, 94 NY2d at 833). Accordingly, the order appealed from should be affirmed.

RIVERA, J. (dissenting). For the reasons set forth in the dissent below, I would find defendant’s waiver invalid under our prior precedent and, accordingly, I would remit the matter to the Appellate Division for consideration of the merits of his suppression claim. I write separately to briefly address the majority’s treatment of two significant issues.

First, the majority concludes “[t]here is no meaningful distinction” between the plea colloquy challenged on this appeal and the colloquy this Court found sufficient in *People v Nicholson* (*see* majority op at 341). However, the majority acknowledges the trial court here could have “define[d] the nature of the right to appeal more fully—as the court did in *Nicholson*” (*id.* at 342). Nevertheless, the majority concludes that defendant’s plea colloquy, with its reference to waiver of an appeal from his “conviction and sentence to the Appellate Division Second Department,” is legally sufficient because of

2. While the factors raised by the dissent—whether a defendant has previously entered a guilty plea waiving rights to appeal, signed a written appeal waiver or taken a prior appeal—certainly would be relevant to determining defendant’s understanding of the terms of a waiver, this Court’s review of a defendant’s background, as it impacts upon the validity of an appeal waiver, has not been so confined (*see People v Bradshaw*, 18 NY3d 257, 265-266 [2011]; *People v Seaberg*, 74 NY2d 1, 11-12 [1989]). Here, as reflected in the transcript of the *Sandoval* hearing and the violent predicate felony conviction statement submitted to the court, defendant was 27 years old at the time of the plea and had a criminal history that stretched back 10 years. His prior convictions obtained upon guilty pleas include a 2003 violent felony in New York, as well as federal, New Jersey and Pennsylvania convictions. Defendant was also convicted of a federal felony while on parole and was on supervised release at the time of the stabbing in this case.

defendant's "background [and] extensive experience with the criminal justice system" (*id.* at 342).

I disagree with the majority's suggestion that a defendant's prior criminal record alone can cure a deficient plea allocution. While defendant's age, experience and background are factors to be considered in determining whether defendant's waiver is knowing and intelligent (*see People v Seaberg*, 74 NY2d 1, 11 [1989]), we have never before held that a defendant's criminal history, regardless of its length, is dispositive of the defendant's understanding of the plea. A defendant's criminal background history is but one factor and cannot fill in the gaps when the colloquy fails to properly apprise a defendant of the rights abandoned by entering a plea agreement (*see id.* [the court must determine "all the relevant facts and circumstances surrounding the waiver"])). Nor can the defendant's record absolve a court from its responsibility to ascertain that defendant understands the nature of the rights waived (*see People v Lopez*, 6 NY3d 248, 256 [2006]). Otherwise, taken to its logical conclusion, in cases involving a defendant with a prior record, the majority's approach would negate the need for the type of "fuller colloquy" this Court sanctioned in *Nicholson*, indeed the need for any colloquy. Certainly our precedent neither permits nor intends such outcome.

This is not to say a defendant's prior background is irrelevant; we have expressly stated otherwise (*see Seaberg*, 74 NY2d at 11). However, the extent to which the defendant's criminal history is a relevant factor regarding the defendant's understanding of the specifics of the plea and the rights waived depends, for example, on whether a defendant has previously entered a plea waiving rights to appeal, signed a written waiver of such rights, and actually gone through an appellate process. That information is simply lacking in the record before us. As observed by the dissent below, the record fails to establish what defendant understands of his right to appeal based on his prior experiences (*see People v Sanders*, 112 AD3d 748, 753 [2d Dept 2013, Hall, J., dissenting] ["Indeed, whatever information the defendant was, or was not, provided with regard to his right to appeal in those prior criminal proceedings is not in this record. As a result, this Court is forced to speculate that the defendant gained an understanding of the nature of his right to appeal from his prior contacts with the criminal justice system"])).

Second, as a point of clarification, and like the majority, I too find "troubl[ing]" a trial court's delegation of the plea allocution

to the prosecutor (*see* majority op at 339 n 1). As the majority correctly states, under this Court's precedent "the plea allocution is 'best left to the discretion of the court' " (*see id.*, citing *People v Nixon*, 21 NY2d 338, 353 [1967], *cert denied sub nom. Robinson v New York*, 393 US 1067 [1969]; *see also Lopez*, 6 NY3d at 256 [stating a trial court "must make certain that a defendant's understanding of the terms and conditions of a plea agreement is evident on the face of the record"], citing *People v Callahan*, 80 NY2d 273, 280 [1992])).

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM and FAHEY concur; Judge RIVERA dissents in an opinion.

Order affirmed.

[34 NE3d 351, 12 NYS3d 600]

In the Matter of EDNA SHANNON, Deceased.

FAMILY SERVICE SOCIETY OF YONKERS, Petitioner, v WESTCHESTER COUNTY DEPARTMENT OF SOCIAL SERVICES, Appellant, and EASTCHESTER REHABILITATION & HEALTH CARE CENTER, Respondent.

Argued April 29, 2015; decided June 10, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 17, 2014. The Appellate Division order, insofar as appealed from, (1) reversed so much of an order of the Supreme Court, Bronx County (Howard H. Sherman, J.), as had directed petitioner to turn over to respondent Westchester County Department of Social Services (DSS) the balance of the funds remaining in the guardianship estate of Edna Shannon, an incapacitated person now deceased; and (2) directed petitioner to turn over DSS's share of the balance of the guardianship account to respondent Eastchester Rehabilitation & Health Care Center.

Matter of Shannon, 120 AD3d 128, reversed.

HEADNOTE

Incapacitated and Mentally Disabled Persons — Guardian for Personal Needs or Property Management — Death of Incapacitated Person — Retention of Funds in Guardianship Account to Pay Debts

Mental Hygiene Law § 81.44 does not permit a guardian to retain property of an incapacitated person after the incapacitated person has died for the purpose of paying a claim against the incapacitated person that arose before his or her death. Accordingly, in a proceeding to settle competing claims of respondent skilled nursing facility and respondent Department of Social Services to the funds in an incapacitated decedent's guardianship account, petitioner guardian could not withhold from decedent's estate funds to pay decedent's debt to respondent skilled nursing facility, as its claim for medical services rendered to decedent was unrelated to the administration of her guardianship. Although subdivision (d) of Mental Hygiene Law § 81.44, in reciting the purposes for which a guardian may retain the property of an incapacitated person following such person's death, lists the security of "claim[s]" and "lien[s]" before reaching "administrative costs," it must be read in conjunction with subdivision (e) of that section, which allows a guardian to retain from the estate "property equal in value to the claim for administrative costs, liens and debts." The discord between the subdivisions requires an analysis of the legislative history of section 81.44, which indicates that the

statute was designed to facilitate the transition between a guardianship for an incapacitated person and an estate after the death of such incapacitated person, and codified the right of the guardian to retain a reserve to cover reasonably anticipated administrative expenses of the guardianship. Thus, the legislature did not intend for section 81.44 to permit a guardian to retain funds following the death of an incapacitated person for purpose of paying a claim, other than a claim related to the administration of the guardianship, against the incapacitated person that arose before that person's death.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Guardian and Ward §§ 77, 99.
CARMODY-WAIT 2d, Proceedings for Appointment of
Guardian for Personal Needs and Property Management
§§ 109:104, 109:107, 109:108, 109:114.
MCKINNEY'S, Mental Hygiene Law § 81.44.
NY JUR 2d, Decedents' Estates § 2084; NY JUR 2d, Infants
and Other Persons Under Legal Disability §§ 457, 459,
467.

ANNOTATION REFERENCE

See ALR Index under Decedents' Estates; Guardian and
Ward.

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Database: NY-ORCS

Query: guardian /5 retain! /s died /p claim debt

POINTS OF COUNSEL

Robert F. Meehan, County Attorney, White Plains (Eileen Campbell O'Brien and James Castro-Blanco of counsel), for appellant. The Appellate Division erred by reducing the Westchester County Department of Social Services' statutory status as preferred creditor to that of a subordinate creditor. (Matter of Costello v Geiser, 85 NY2d 103; Cricchio v Pennisi, 90 NY2d 296; Calvanese v Calvanese, 93 NY2d 111; Matter of Steuben County Dept. of Social Servs. v Deats, 76 NY2d 451; New York State Dept. of Social Servs. v Bowen, 846 F2d 129; Matter of Andrus, 85 Misc 2d 1062; Matter of Swingearn, 59 AD3d 556; Matter of Ramirez, 14 Misc 3d 480; Matter of Baron, 180 Misc 2d 766; Matter of Linden-Rath, 188 Misc 2d 537.)

Abrams, Fensterman, Fensterman, Eisman, Formato, Ferrara & Wolf, LLP, Lake Success (Sarah C. Lichtenstein of counsel), for respondent. I. Eastchester Rehabilitation &

Health Care Center was entitled to payment of its claim from Edna Shannon's property. II. Edna Shannon's death did not deprive Family Service Society of Yonkers of authority to pay Eastchester Rehabilitation & Health Care Center's claim. (*Matter of Baron*, 180 Misc 2d 766; *Barclay Knitwear Co. v King'swear Enters.*, 141 AD2d 241; *Buffalo City Cemetery v City of Buffalo*, 46 NY 506; *Connors v Hartford Fire Ins. Co.*, 138 AD2d 877; *Cahen v Boyland*, 1 NY2d 8; *Wright v Sokoloff*, 110 AD3d 989; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *Matter of Pierce*, 106 AD2d 892; *Matter of Snell*, 194 Misc 2d 695; *Matter of Swingearn*, 59 AD3d 556.) III. Westchester County Department of Social Services was not entitled to payment from the guardianship property. (*Matter of Craig*, 82 NY2d 388; *Baker v Sterling*, 39 NY2d 397.) IV. The specters which Westchester County Department of Social Services suggests will result from the First Department decision will not occur and have no basis in reality. (*Grant v Humbert*, 114 App Div 462; *Matter of Linden-Rath*, 188 Misc 2d 537.)

OPINION OF THE COURT

FAHEY, J.

On this appeal we are called upon to determine whether Mental Hygiene Law § 81.44 permits a guardian to retain property of an incapacitated person after the incapacitated person has died for the purpose of paying a claim against the incapacitated person that arose before such person's death. We conclude that it does not.

I.

Respondent Eastchester Rehabilitation & Health Care Center, a skilled nursing facility, began to care for Edna Shannon in December 2005. Approximately three years later, respondent Westchester County Department of Social Services (DSS) determined that Shannon was eligible for Medicaid benefits as of September 1, 2008. In April 2009, and pursuant to Eastchester's request, Supreme Court appointed petitioner, Family Service Society of Yonkers (FSS Yonkers), as guardian of Shannon's person and property. Shannon was discharged from Eastchester to another skilled nursing facility in November 2009.

In June 2010, Eastchester made a claim with FSS Yonkers seeking compensation for approximately \$164,000 in services it rendered to Shannon that were not covered by Medicaid. Some

three months later, DSS advised FSS Yonkers that Shannon was indebted to DSS in the approximate amount of \$166,000 for medical assistance paid on her behalf. Supreme Court approved the sale of Shannon's real property for \$308,000 in January 2011, and Shannon died at age 87 in December 2011. In the meantime, Shannon's debts to Eastchester and DSS had grown such that by summer 2012 more than \$200,000 was owed to each of those entities. By then, slightly less than \$190,000 of Shannon's property remained. The question whether that property, which consisted of cash and securities, remained in Shannon's guardianship account or became the property of her estate lies at the core of this appeal.

In August 2012 FSS Yonkers commenced this proceeding to settle its final account as to the guardianship seeking a determination whether it was required to pay Shannon's remaining property in equal amounts to DSS and Eastchester in satisfaction of their claims, or whether it should disburse the property in some other manner. By order entered in February 2013, Supreme Court held that the balance of Shannon's remaining property (save for \$9,000 that the court instructed FSS Yonkers to pay to its attorneys and to the Court Examiner for services rendered in connection with the guardianship estate) should be paid to DSS in satisfaction of DSS's claim (*see* Social Services Law § 369 [2] [b] [i] [B] [permitting recovery for medical assistance correctly paid "from the estate of an individual who was (55) years of age or older when he or she received such assistance," subject to certain qualifications immaterial here]). On appeal, the Appellate Division reversed insofar as appealed from, with the majority holding "that since Eastchester's claim arose before Shannon's death, and [Mental Hygiene Law §] 81.44 (d) allows [FSS Yonkers] to retain assets to secure known claims, Eastchester's claim has priority over that of DSS, which arose after Shannon's death" (120 AD3d 128, 129 [1st Dept 2014]).

The dissenter, however, "would [have] affirm[ed] Supreme Court's determination that the Medicaid lien imposed by Social Services Law § 104 (1) takes precedence over a claim by the general creditor, . . . Eastchester" (*id.* at 133-134 [Freedman, J., dissenting]). The dissenter concluded that "[o]nce . . . Shannon died, all funds other than those reserved for the administration of her guardianship in accordance with Mental Hygiene Law § 81.44 passed to her estate" (*id.* at 134), and that DSS thus had a claim superior to that of Eastchester against Shan-

non's property (*see id.* at 136, citing Social Services Law § 104 [1]). We subsequently granted DSS leave to appeal (24 NY3d 904, 905 [2014]) and, for the reasons that follow, we now reverse the order of the Appellate Division insofar as appealed from.¹

II.

The Medicaid program is designed “to pay for necessary medical care for those eligible individuals whose income and resources do not allow them to meet the costs of their medical needs” (*Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656, 659 [1998]). Ultimately, the “goal of Medicaid [is] that the program be the payer of last resort” (*Matter of Costello v Geiser*, 85 NY2d 103, 106 [1995] [internal quotation marks omitted]). Apparently with that in mind, the legislature enacted what is now Social Services Law § 104 (1), which provides, in relevant part, that “[i]n all claims of the public welfare official made under [such] section the public welfare official shall be deemed a preferred creditor.”

Given the pertinent language of Social Services Law § 104 (1), to the extent that both DSS and Eastchester seek to recover from Shannon's estate, DSS's claim against property that passed to the estate would have priority over a competing claim brought by Eastchester because Eastchester did not take a judgment against Shannon before she died. Indeed, absent a judgment, Eastchester would be a general creditor, that is, “[a] creditor [that], upon giving credit, takes no rights against specific property of the debtor” (Black's Law Dictionary 449, 450 [10th ed 2014]), and, in theory, a claim it made against property in Shannon's estate would be subservient to any claim of DSS against such property. However, this appeal does not present a question of competing claims against property in

1. The aforementioned order of Supreme Court was not the only order of that court at issue in this appellate practice. Indeed, Eastchester moved before Supreme Court for leave to reargue the order of that court entered in February 2013. The court denied that motion, and Eastchester also appealed to the Appellate Division from the order denying reargument (*see* 120 AD3d at 133). The Appellate Division subsequently dismissed that appeal (*see* 120 AD3d at 133), and we eventually treated DSS's motion for leave to appeal to this Court as one seeking leave to appeal from only that part of the Appellate Division order that reversed the order of Supreme Court entered in February 2013. As such, neither the order of Supreme Court denying reargument nor the Appellate Division's dismissal of the appeal therefrom is of consequence here.

Shannon's estate. Rather, the issue is whether property held by FSS Yonkers as Shannon's guardian at the time of Shannon's death automatically became the property of her estate or could be withheld by FSS Yonkers for the purpose of paying the claim, out of the guardianship account, that Eastchester had noticed before Shannon died.

As the dissenter at the Appellate Division noted, FSS Yonkers's authority as Shannon's guardian expired with Shannon's death (*see* 120 AD3d at 136 [Freedman, J., dissenting], citing Mental Hygiene Law § 81.36 [a] [3] [providing that "(t)he court appointing the guardian shall discharge such guardian, or modify the powers of the guardian where appropriate, if it appears to the satisfaction of the court that . . . the incapacitated person has died"]), and the property in the guardianship account that remained after the fees of the guardianship were paid would normally have passed to her estate (*see* SCPA 103 [19] [defining "estate" as "(a)ll of the property of a decedent . . . or person for whom a guardian has been appointed"]). The question becomes whether, as the Appellate Division majority concluded, Mental Hygiene Law § 81.44 (d) provides for what amounts to a holdback authorizing "Eastchester . . . to be paid out of the guardianship account [maintained by FSS Yonkers for Shannon] before any funds passed to [Shannon's] estate" (120 AD3d at 131), i.e., whether FSS Yonkers may withhold from Shannon's estate funds in the guardianship account for the purpose of paying Eastchester. The text of section 81.44 (d) provides that

"[w]ithin [150] days of the death of the incapacitated person, the guardian shall serve upon the personal representative of the decedent's estate or where there is no personal representative, upon the public administrator or chief fiscal officer, a statement of assets and notice of claim, and, *except for property retained to secure any known claim, lien or administrative costs of the guardianship pursuant to subdivision (e) of this section*, shall deliver all guardianship property to:

"1. the duly appointed personal representative of the deceased incapacitated person's estate, or

"2. the public administrator or chief fiscal officer given notice of the filing of the statement of death, where there is no personal representative" (emphasis added).

Subdivision (e) of section 81.44, in turn, states that, “[u]nless otherwise ordered by the court . . . , *the guardian may retain, pending the settlement of the guardian’s final account, guardianship property equal in value to the claim for administrative costs, liens and debts*” (emphasis added).

III.

“It is fundamental that a court, in interpreting a statute, should attempt to effectuate the intent of the Legislature” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998] [internal quotation marks omitted]; see *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). Inasmuch “[a]s the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*Majewski*, 91 NY2d at 583; see *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013]). “We are also guided in our analysis by the familiar principle ‘that a statute . . . must be construed as a whole and that its various sections must be considered together and with reference to each other’ ” (*Matter of New York County Lawyers’ Assn. v Bloomberg*, 19 NY3d 712, 721 [2012], *reargued denied* 20 NY3d 983 [2012], quoting *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]; see *Albany Law School*, 19 NY3d at 120). Of course, “where ‘the language is ambiguous, we may examine the statute’s legislative history’ ” (*People v Ballman*, 15 NY3d 68, 72 [2010], quoting *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009]).

This is one of those instances in which the statutory language is unclear. In reciting in Mental Hygiene Law § 81.44 (d) the purposes for which a guardian may retain the property of an incapacitated person following such person’s death, the legislature listed the security of “claim[s]” and “lien[s]” before reaching “administrative costs.” If our analysis was limited to the examination of subdivision (d), a reasonable mind could conceivably side with Eastchester. Indeed, had the legislature meant in that subdivision to permit the retention of property needed to secure only *administrative* claims and *administrative* liens, it would have said as much. Stated differently, the legislature could have placed the modifier “administrative” next to the nouns “lien” and “claim,” that is, it could have explicitly provided for the retention of property for the narrow

purpose of satisfying *administrative* liens and *administrative* claims (see *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48, 56 [2011] [(w)here a statute describes the particular situations in which it is to apply and no qualifying exception is added, an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded” (internal quotation marks omitted)]; cf. Mental Hygiene Law § 81.21 [a] [19] [empowering a guardian to “pay bills after the death of the incapacitated person provided the authority existed to pay such bills prior to death until a temporary administrator or executor is appointed”]). Viewed in isolation, the fact that the legislature did not insert such a limitation into subdivision (d) could suggest that it meant to allow the retention of guardianship funds to secure *administrative* costs, as well as *any* claim or *any* lien.

Our review, however, is not that constrained. The plain language of subdivision (d) of Mental Hygiene Law § 81.44 requires that it is to be read in conjunction with subdivision (e) of the same section, which considers the property a guardian may retain following the death of an incapacitated person. Further, our precedent requires such a review (see *New York County Lawyers’ Assn.*, 19 NY3d at 721). In subdivision (e) of section 81.44, the legislature allowed a guardian to retain from the estate of a deceased incapacitated person “property equal in value to the claim for *administrative* costs, liens and debts” (emphasis added). That construct suggests that the legislature meant to permit the retention only of property equal in value to the expenses incurred with respect to the administration of the guardianship, i.e., property needed to satisfy *administrative* costs, *administrative* liens, and *administrative* claims.

Given the discord between subdivisions (d) and (e) of Mental Hygiene Law § 81.44, our analysis turns to the legislative history of that section (see *Ballman*, 15 NY3d at 72; *Roberts*, 13 NY3d at 286).² On this point the Sponsor’s Memorandum is decisive. The Appellate Division majority correctly noted that

2. *New York County Lawyers’ Assn.* also requires that we consider subdivision (a) (4) of Mental Hygiene Law § 81.44 in conjunction with subdivisions (d) and (e) of that section. In section 81.44 (a) (4) the legislature defined the phrase “[s]tatement of assets and notice of claim” as “a written statement under oath containing,” among other things,

“a description of the nature and approximate value of guardianship property at the time of the incapacitated person’s death; with the approximate amount of any claims, debts or liens against the guardianship property, including but not limited to

(n. cont’d)

the Sponsor's Memorandum reflects that section 81.44 was "designed to facilitate the transition between a guardianship for an incapacitated person and an estate after the death of such incapacitated person" (Sponsor's Mem, Bill Jacket, L 2008, ch 175 at 10, 2008 NY Legis Ann at 127; *see* 120 AD3d at 132). But that memorandum further explains that section 81.44 clarified "the rights of the personal representative of the estate to marshal guardianship funds and codifie[d] the right of the guardian to retain a reserve to cover reasonably anticipated *administrative* expenses of the guardianship" (Sponsor's Mem, Bill Jacket, L 2008, ch 175 at 10, 2008 NY Legis Ann at 127 [emphasis added]). The reference to the retention of a reserve to cover reasonably anticipated *administrative* expenses is dispositive of the question before us. Put simply, it compels the conclusion that the legislature did not intend for section 81.44 to permit a guardian to retain funds following the death of an incapacitated person for the purpose of paying a claim (other than a claim related to the administration of the guardianship) against the incapacitated person that arose before that person's death. Inasmuch as Eastchester's claim for medical services rendered to Shannon is unrelated to the administration of her guardianship, we conclude that Mental Hygiene Law § 81.44 does not allow FSS Yonkers to withhold from Shannon's estate funds to pay Shannon's debt to Eastchester.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the order of Supreme Court reinstated.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and STEIN concur.

medicaid liens, tax liens and administrative costs, with an itemization and approximate amount of such costs and claims or liens."

As the Appellate Division majority noted, subdivision (a) (4) can be read to provide that an administrative cost is but one type of claim or lien. Inasmuch as the phrase "statement of assets and notice of claim" is used in subdivision (d), the majority found in subdivision (a) (4) support for its interpretation of subdivision (d) as providing that an administrative cost is a type of claim or lien (*see* 120 AD3d at 133). However, while the language of subdivision (a) (4) supports the Appellate Division majority's interpretation of section 81.44 (d), it does not ultimately speak to the question addressed in subdivisions (d) and (e) of section 81.44, i.e., the purposes for which a guardian may withhold property from the estate of a deceased incapacitated person and the nature of the property that may be withheld. In our view, subdivision (a) (4) further highlights the discord among the subdivisions of section 81.44 and the need for our consideration of the statute's legislative history.

Order, insofar as appealed from, reversed, with costs, and order of Supreme Court, Bronx County, reinstated.

[34 NE3d 363, 12 NYS3d 612]

AURORA LOAN SERVICES, LLC, Respondent, v MONIQUE TAYLOR,
Also Known as MONIQUE PUJOL TAYLOR, et al., Appellants,
et al., Defendants.

Argued April 30, 2015; decided June 11, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered February 5, 2014. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, Westchester County (Sam D. Walker, J.), upon which a judgment of foreclosure had been entered, which had (1) denied the motion by defendants Monique Taylor and Leonard Taylor for summary judgment dismissing the complaint insofar as asserted against them, (2) granted that branch of plaintiff's cross motion for summary judgment on the complaint insofar as asserted against those defendants, and (3) appointed a referee. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated February 5, 2014, properly made?"

Aurora Loan Servs., LLC v Taylor, 114 AD3d 627, affirmed.

HEADNOTES

Parties — Standing — Action to Foreclose Mortgage — Possession of Note Prior to Commencement

1. Plaintiff loan servicer had standing to commence the mortgage foreclosure action against defendants, where it came into possession of the note prior to commencement of the action. The physical delivery of the note to the plaintiff from its owner prior to commencement of a foreclosure action may, in certain circumstances, be sufficient to transfer the mortgage obligation and create standing to foreclose. To have standing, it is not necessary to have possession of the mortgage at the time the action is commenced, as the note, and not the mortgage, is the dispositive instrument that conveys standing to foreclose. Therefore, any disparity between the holder of the note and the mortgagee of record does not stand as a bar to a foreclosure action; the holder of the note is deemed the owner of the underlying mortgage loan with standing to foreclose. Accordingly, the validity of the assignment of the mortgage was irrelevant to plaintiff's standing.

Appeal — Matters Reviewable — Court of Appeals — Permission to Appeal

2. In a mortgage foreclosure action, plaintiff loan servicer's argument that the Appellate Division erred in reversing the judgment of foreclosure was not properly before the Court of Appeals, as plaintiff never obtained permission from the Appellate Division to appeal to the Court of Appeals from the Appellate Division order.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 75; AM JUR 2d, Mortgages §§ 575, 584.
 CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:49–71:51, 71:55; CARMODY-WAIT 2d, Foreclosure of Mortgages on Real Estate §§ 92:104, 92:106.
 MORTGAGE LIENS IN NEW YORK (2014-2015 ed) ch 19, The Action to Foreclose the Mortgage.
 NY JUR 2d, Appellate Review §§ 98–100, 102; NY JUR 2d, Mortgages and Deeds of Trust §§ 535, 537, 560.
 SIEGEL, NY PRAC § 528.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Foreclosure; Mortgages.

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Query: loan /2 servic! /s standing /s foreclos! /4 mortgage

POINTS OF COUNSEL

Zinker & Herzberg, LLP, Hauppauge (*Jeffrey Herzberg* of counsel), for appellants. I. Aurora Loan Services, LLC did not possess a valid and enforceable mortgage as of the commencement of the mortgage foreclosure action. (*Homecomings Fin., LLC v Guldi*, 108 AD3d 506; *Merritt v Bartholick*, 36 NY 44; *Kluge v Fugazy*, 145 AD2d 537; *Beak v Walts*, 266 App Div 900; *Flyer v Sullivan*, 284 App Div 697; *Corey v Collins*, 10 AD3d 341; *Bank of N.Y. Mellon v Gales*, 116 AD3d 723; *Barbarito v Zahavi*, 107 AD3d 416; *Deutsche Bank Natl. Trust Co. v Spanos*, 102 AD3d 909, 21 NY3d 1068; *MLCFC 2007-9 Mixed Astoria, LLC v 36-02 35th Ave. Dev., LLC*, 116 AD3d 745.) II. Mortgage Electronic Registration Systems, Inc. never possessed a valid and enforceable mortgage lien. (*Matter of MERSCORP, Inc. v Romaine*, 8 NY3d 90; *Bank of N.Y. v Silverberg*, 86 AD3d 274; *HSH Nordbank AG v Barclays Bank PLC*, 42 Misc 3d 1231[A], 2014 NY Slip Op 50290[U]; *Deutsche Bank Natl. Trust Co. v Pietranico*, 33 Misc 3d 528, 102 AD3d 724.) III. An affidavit cannot substitute for the production and inspection of the original mortgage note or the assignment of the original mortgage note. (*Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *Kliamovich v Kliamovich*, 85 AD3d 867; *Posson v*

Przestrzelski, 111 AD3d 1235; *US Bank N.A. v Eaddy*, 109 AD3d 908; *Wilson v Toussie*, 260 F Supp 2d 530; *Mortgage Elec. Registration Sys., Inc. v Coakley*, 41 AD3d 674; *Wells Fargo Bank, N.A. v Eisler*, 118 AD3d 982.)

Ballard Spahr LLP (Martin C. Bryce, Jr., of the Pennsylvania bar, admitted pro hac vice, of counsel), and *Knuckles, Komosinski & Elliott, LLP*, Elmsford (Michael Lee of counsel), for respondent. I. The Second Judicial Department correctly held that, as a matter of New York law, Aurora Loan Services, LLC possessed standing to commence this foreclosure action. (*Baron Assoc., LLC v Garcia Group Enters., Inc.*, 96 AD3d 793; *Barclay's Bank of N.Y. v Smitty's Ranch*, 122 AD2d 323; *Deutsche Bank Natl. Trust Co. v Pietranico*, 33 Misc 3d 528; *Mortgage Elec. Registration Sys., Inc. v Coakley*, 41 AD3d 674; *Slutsky v Blooming Grove Inn*, 147 AD2d 208; *Bank of N.Y. Mellon v Deane*, 41 Misc 3d 494; *State Bank v Central Mercantile Bank*, 248 NY 428; *Carlin v Jemal*, 68 AD3d 655; *Bank of N.Y. v Silverberg*, 86 AD3d 274; *Bank of N.Y. Mellon Trust Co. NA v Sachar*, 95 AD3d 695.) II. Under New York law, Aurora Loan Services, LLC was not required to produce the original note to establish standing; rather, uncontroverted affidavit testimony demonstrating Aurora's possession of the note prior to commencement of the foreclosure proceedings was sufficient to establish standing. (*Barclay's Bank of N.Y. v Smitty's Ranch*, 122 AD2d 323; *Sam v Town of Rotterdam*, 248 AD2d 850.) III. Although assignment of the mortgage was not required to confer standing to foreclose under New York law, Mortgage Electronic Registration Systems, Inc. had authority to, and did, effect a valid assignment of the mortgage to Aurora Loan Services, LLC. (*Bank of N.Y. Mellon Trust Co. NA v Sachar*, 95 AD3d 695; *Bank of N.Y. v Silverberg*, 86 AD3d 274; *Shultis v Woodstock Land Dev. Assoc.*, 195 AD2d 677; *Federal Deposit Ins. Corp. v 65 Lenox Rd. Owners Corp.*, 270 AD2d 303; *Adelman v Fremd*, 234 AD2d 488; *Stein v American Mtge. Banking*, 216 AD2d 458.)

Hiscock & Barclay, LLP, Buffalo (Charles C. Martorana and Kimberly A. Colaiacovo of counsel), for MERSCORP Holdings, Inc. and another, amici curiae. I. Appellants lack standing to challenge Mortgage Electronic Registration Systems, Inc.'s assignment of their mortgage. (*Matter of Holden*, 271 NY 212; *Jennings v Foremost Dairies*, 37 Misc 2d 328; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Strauss v Belle Realty Co.*, 98 AD2d 424.) II. The Mortgage Electronic Registration

Systems, Inc.® system. (*Horvath v Bank of N.Y., N.A.*, 641 F3d 617; *In re Security Capital Assur. Ltd. Sec. Litig.*, 729 F Supp 2d 569; *Matter of MERSCORP, Inc. v Romaine*, 8 NY3d 90; *Deerman v Federal Home Loan Mtge. Corp.*, 955 F Supp 1393.) III. Aurora Loan Services, LLC possessed standing to commence the foreclosure action. (*Mortgage Elec. Registration Sys., Inc. v Coakley*, 41 AD3d 674; *Slutsky v Blooming Grove Inn*, 147 AD2d 208; *GRP Loan, LLC v Taylor*, 95 AD3d 1172; *Kondaur Capital Corp. v McCary*, 115 AD3d 649; *First Trust Natl. Assn. v Meisels*, 234 AD2d 414; *Weaver Hardware Co. v Solomovitz*, 235 NY 321; *Fryer v Rockefeller*, 63 NY 268; *Matter of Falls*, 31 Misc 658, 66 App Div 616; *Becker v Wells*, 297 NY 275; *Flyer v Sullivan*, 284 App Div 697.) IV. Mortgage Electronic Registration Systems, Inc., as nominee, has authority to assign the mortgage. (*Matter of Doniger v Rye Psychiatric Hosp. Ctr.*, 122 AD2d 873; *Red Hook Cold Stor. Co. v Department of Labor of State of N.Y.*, 295 NY 1; *Matter of Johnsen v ACP Distrib., Inc.*, 31 AD3d 172; *Matter of El-Roh Realty Corp.*, 48 AD3d 1190; *Zurich Am. Ins. Co. v ABM Indus., Inc.*, 397 F3d 158; *Standard Bldrs. Supplies v Gush*, 206 AD2d 720; *Matter of Stralem*, 303 AD2d 120; *Allhusen v Caristo Constr. Corp.*, 303 NY 446; *Sullivan v International Fid. Ins. Co.*, 96 AD2d 555; *US Bank N.A. v Flynn*, 27 Misc 3d 802.) V. The Taylor mortgage is valid. (*Gibson v Thomas*, 180 NY 483; *Finn v Wells*, 135 Misc 53; *W.L. Dev. Corp. v Trifort Realty*, 44 NY2d 489; *People v Prince*, 110 Misc 2d 55; *Williams v Wisner Bldg. Co., Inc.*, 121 Misc 32, 208 App Div 783; *Munoz v Wilson*, 111 NY 295; *Wood v Travis*, 231 App Div 331; *In re Cushman Bakery*, 526 F2d 23; *Deutsche Bank Natl. Trust Co. v Pietranico*, 33 Misc 3d 528; *Wechsler v Hunt Health Sys., Ltd.*, 216 F Supp 2d 347.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether plaintiff Aurora Loan Services, LLC had standing to commence this mortgage foreclosure action. We now affirm that part of the Appellate Division order (114 AD3d 627 [2d Dept 2014]) upholding Supreme Court's grant of summary judgment in favor of plaintiff, and hold that Aurora did have standing.

Defendant Monique Taylor executed and delivered an adjustable rate note dated July 5, 2006 to First National Bank of Arizona, wherein she agreed to repay the bank \$600,000, with interest. To secure the payment, Monique and Leonard Taylor

(the Taylors) executed a mortgage with the bank, granting Mortgage Electronic Registration Systems, Inc. (MERS), as nominee, a mortgage lien on the property located in Fleetwood, New York. The note, however, was not transferred to MERS with the mortgage.

Subsequent to the note's execution, pursuant to a March 2006 pooling and servicing agreement (PSA), the loan was made part of a residential mortgage-backed securitization trust. Deutsche Bank Trust Company Americas, as trustee, became the owner of the note through an allonge indorsing the note to Deutsche, as required under the PSA. The allonge shows the chain of ownership of the note through indorsements from First National Bank of Arizona, to First National Bank of Nevada, to Residential Funding Company, LLC, to Deutsche.

On April 1, 2008, Aurora assumed servicer obligations under the PSA pursuant to a March 10, 2008 master servicing assignment and assumption agreement (MSAAA). The mortgage was subsequently assigned by MERS to Aurora on August 13, 2009, and recorded with the County Clerk on October 29, 2009.

Thereafter, the Taylors defaulted under the note and mortgage by failing to make the payment due on January 1, 2010, and each month thereafter. The Taylors have never disputed their obligation to make the payments or their default. Multiple notices of default were mailed to the Taylors through May of 2010.

On May 14, 2010, Deutsche, by limited power of attorney, granted Aurora the right to perform certain acts in the trustee's name, including the execution of documents related to loan modification and foreclosure. Aurora, through its agents, asserts it took physical custody of the original note on May 20, 2010. Aurora commenced this foreclosure action by filing a summons and complaint with the Westchester County Clerk on May 24, 2010. These were personally served upon the Taylors on May 29, 2010. The Taylors filed an answer on June 29, 2010.

The Taylors filed a motion for summary judgment, asserting that Aurora did not have standing to bring this foreclosure action. Aurora cross-moved for summary judgment. In support of its cross motion, Aurora submitted the affidavit of Sara Holland (Holland affidavit), Aurora's legal liaison, who stated that based on her "personal knowledge" of the facts as well as her "review of the note, mortgage and other loan documents" and "related business records . . . kept in the ordinary course of

the regularly conducted business activity,” the “original Note has been in the custody of Plaintiff Aurora Loan Services, LLC and in its present condition since May 20, 2010.” Holland also stated that, “prior to the commencement of the action, Aurora Loan Services, LLC, has been in exclusive possession of the original note and allonge affixed thereto, indorsed to Deutsche Bank Trust Company Americas as Trustee, and has not transferred same to any other person or entity.” A copy of the note and allonge were attached to the affidavit.

Supreme Court denied the Taylors’ motion for summary judgment, granted Aurora’s cross motion for summary judgment, and appointed a referee to determine the amount due under the note. Aurora then filed a motion for summary judgment of foreclosure and sale, which the Taylors opposed. The court granted that motion on April 29, 2013, adopting the referee’s recommendation without a hearing. The Taylors appealed both orders.

The Appellate Division affirmed the first order, concluding that Aurora had proven its standing as a matter of law. The Court concluded that, under New York law, the Holland affidavit demonstrated that Aurora had obtained physical possession of the original note prior to commencement of this foreclosure action, and that such was legally sufficient to establish standing. The Court specifically noted that the Taylors “offered no evidence to contradict those factual averments and, therefore, failed to raise a triable issue of fact with respect to [Aurora’s] standing” (114 AD3d at 629). However, the Court reversed the judgment of foreclosure and sale and remitted the matter to Supreme Court for further proceedings, concluding that Supreme Court erred in confirming the referee’s report because the referee had computed the amount due to Aurora without holding a hearing on notice to the Taylors (*see id.* at 629-630). One Justice dissented, arguing that the Holland affidavit was insufficient to confer standing on Aurora because it did not give sufficient “factual details” regarding the physical delivery of the note to Aurora (*id.* at 631, citing *HSBC Bank USA v Hernandez*, 92 AD3d 843, 844 [2d Dept 2012]). Thereafter, the Appellate Division granted the Taylors’ motion for leave to appeal, certifying the following question: “Was the decision and order of this Court . . . properly made?” (2014 NY Slip Op 70548[U] [2d Dept 2014].)

The critical issue we must resolve is whether the record demonstrates a basis for finding that Aurora had standing to

commence this mortgage foreclosure action. The physical delivery of the note to the plaintiff from its owner prior to commencement of a foreclosure action may, in certain circumstances, be sufficient to transfer the mortgage obligation and create standing to foreclose (*see e.g. Bank of N.Y. Mellon Trust Co. NA v Sachar*, 95 AD3d 695 [1st Dept 2012]; *Deutsche Bank Natl. Trust Co. v Pietranico*, 33 Misc 3d 528, 535 [Sup Ct, Suffolk County 2011]; *In re Escobar*, 457 BR 229, 240 [ED NY 2011]).

[1] Applying these principles of New York law, Aurora was vested with standing to foreclose. The evidence established that, as of 2006, Deutsche, as trustee under the PSA, became the lawful owner of the note. The Holland affidavit establishes that Aurora came into possession of the note on May 20, 2010, prior to the May 24, 2010 commencement of the foreclosure action. From these specific statements, together with proof of Aurora's authority pursuant to the MSAAA and the limited power of attorney, the Appellate Division held, "[i]t can reasonably be inferred . . . that physical delivery of the note was made to the plaintiff" before the action was commenced (114 AD3d at 629).

Contrary to the Taylors' assertions, to have standing, it is not necessary to have possession of the mortgage at the time the action is commenced. This conclusion follows from the fact that the note, and not the mortgage, is the dispositive instrument that conveys standing to foreclose under New York law. In the current case, the note was transferred to Aurora before the commencement of the foreclosure action—that is what matters.

A transfer in full of the obligation automatically transfers the mortgage as well unless the parties agree that the transferor is to retain the mortgage (Restatement [Third] of Property [Mortgages] § 5.4, Reporter's Note, Comment *b*). The Taylors misconstrue the legal principle that "an entity with a mortgage but no note lack[s] standing to foreclose" (*Knox v Countrywide Bank*, 4 F Supp 3d 499, 508 [ED NY 2014]) to also mean the opposite—that an entity with a note but no mortgage lacks standing. Once a note is transferred, however, "the mortgage passes as an incident to the note" (*Bank of N.Y. v Silverberg*, 86 AD3d 274, 280 [2d Dept 2011]).

"[A]ny disparity between the holder of the note and the mortgagee of record does not stand as a bar to

a foreclosure action because the mortgage is not the dispositive document of title as to the mortgage loan; the holder of the note is deemed the owner of the underlying mortgage loan with standing to foreclose” (14A Carmody-Wait 2d § 92:79 [2012] [citation omitted]).

Accordingly, the Taylors’ argument that Aurora lacked standing because it did not possess a valid and enforceable mortgage as of the commencement of this action is simply incorrect. The validity of the August 2009 assignment of the mortgage is irrelevant to Aurora’s standing.

The question that follows this analysis is whether Aurora adequately proved that it did, indeed, have possession of the note prior to commencement of this action. The Taylors argue that to demonstrate possession of the note Aurora had to produce the original mortgage note for examination, and that the Holland affidavit does not suffice. Additionally, the dissent at the Appellate Division concluded that the affidavit was lacking details regarding Aurora’s possession of the note.

As to production of the original note, there is no indication in the record that the Taylors ever requested such production in discovery or moved Supreme Court to compel such production. Although the Taylors assert that the best evidence rule should require production of the original, they fail to cite any authority holding that such is required in this context. Second, Ms. Holland asserts in her affidavit that she examined the original note herself, and the adjustable rate note attachments submitted with the moving papers clearly show the note’s chain of ownership through Deutsche.

Although the better practice would have been for Aurora to state how it came into possession of the note in its affidavit in order to clarify the situation completely, we conclude that, under the circumstances of this case, the court did not err in granting summary judgment to Aurora.

[2] Insofar as Aurora argues that the Appellate Division erred in reversing the judgment of foreclosure, the issue is not properly before us because Aurora never obtained permission from the Appellate Division to appeal to this Court from the Appellate Division order (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144, 151 n 3 [2002]).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[34 NE3d 357, 12 NYS3d 606]

BROWN & BROWN, INC., et al., Appellants, v THERESA A. JOHNSON et al., Respondents.

Argued May 6, 2015; decided June 11, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 7, 2014. The Appellate Division order, insofar as appealed from, modified an order of the Supreme Court, Erie County (John A. Michalek, J.), to the extent it had denied in part defendants' motion for summary judgment dismissing the first cause of action in the complaint. The modification consisted of granting that portion of defendants' motion seeking dismissal of plaintiffs' claim in the first cause of action for breach of the non-solicitation covenant in the parties' employment agreement. The following question was certified by the Appellate Division: "Were the orders of this Court entered February 7, 2014, properly made?"

Brown & Brown, Inc. v Johnson, 115 AD3d 162, reversed.

HEADNOTES

Conflict of Laws — Law Governing Contract Actions — Enforceability of Florida Choice-of-Law Provision in Employment Agreement

1. Applying Florida law on restrictive covenants related to the non-solicitation of customers by a former employee violates the public policy of this state. Accordingly, in an action arising out of defendant's alleged violation of the non-solicitation provision of the parties' employment agreement, the choice-of-law provision in the agreement purporting to apply Florida law was unenforceable as to the non-solicitation provision. While parties are generally free to reach agreements on whatever terms they prefer, courts will not enforce agreements where the chosen law violates some fundamental principle of justice. Considering Florida's nearly-exclusive focus on the employer's interests, prohibition against narrowly construing restrictive covenants, and refusal to consider the harm to the employee, in contrast with New York's requirements that courts strictly construe restrictive covenants and balance the interests of the employer, employee and general public, defendants met their heavy burden of proving that application of Florida law would be offensive to a fundamental policy of this state.

Contracts — Employment Contracts — Non-Solicitation Covenant — Partial Enforcement

2. In an action arising out of defendant's alleged violation of the non-solicitation covenant of the parties' employment agreement, which was overbroad to the extent it prohibited defendant from working with any of plaintiffs' New York customers, plaintiffs were not entitled to summary judgment.

ment granting partial enforcement of the provision to prohibit defendant only from soliciting plaintiff's customers with whom defendant had interacted or whose files she had encountered while in plaintiffs' employ. The judicial power to sever and grant partial enforcement for an overbroad employee restrictive covenant has been recognized and applied where the employer demonstrates an absence of overreaching, coercive use of dominant bargaining power, or other anti-competitive misconduct, and has in good faith sought to protect a legitimate business interest, consistent with reasonable standards of fair dealing. Although the non-solicitation covenant was imposed as a requirement of defendant's initial employment and was not presented to her until her first day of work, the parties disputed whether she understood the agreement, whether plaintiffs' employee discussed or explained it to her, what such a discussion entailed, whether she was required to sign it that day, or if she could have sought advice from counsel and negotiated the terms of the agreement. Moreover, the parties' submissions, together with the fact that defendant had already left her prior employment, raised questions about whether plaintiffs engaged in overreaching or used coercive dominant bargaining power to obtain the restrictive covenant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conflict of Laws §§ 18, 19; AM JUR 2d, Monopolies and Restraints of Trade §§ 880, 881, 890, 901, 918, 919, 962, 968–971.

NY JUR 2d, Conflict of Laws §§ 32–35; NY JUR 2d, Employment Relations §§ 239–245.

ANNOTATION REFERENCE

See ALR Index under Conflict of Laws; Covenants Not to Compete; Labor and Employment.

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POINTS OF COUNSEL

Satterlee Stephens Burke & Burke LLP, New York City (*Alun W. Griffiths*, *Thomas J. Cahill* and *Glenn C. Edwards* of counsel), *Ward Greenberg Heller & Reidy LLP*, Rochester (*Eric J. Ward* and *Tony R. Sears* of counsel), and *Littler Mendelson P.C.*, New York City (*David S. Warner* and *James M. Witz* of counsel), for appellants. I. The availability of partial enforcement should be determined under Florida law. (*Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *Dym v Gordon*, 16 NY2d 120; *Cooney v Osgood Mach.*, 81 NY2d 66; *Scheiber v St.*

John's Univ., 84 NY2d 120; *Sanders v Winship*, 57 NY2d 391; *Boss v American Express Fin. Advisors, Inc.*, 15 AD3d 306, 6 NY3d 242; *Koob v IDS Fin. Servs.*, 213 AD2d 26; *Hugh O'Kane Elec. Co., LLC v MasTec N. Am., Inc.*, 19 AD3d 126; *Schultz v Boy Scouts of Am.*, 65 NY2d 189; *Kilberg v Northeast Airlines*, 9 NY2d 34.) II. The Fourth Department's ruling precluding partial enforcement as a matter of law is reversible error under New York law. (*Karpinski v Ingrassi*, 28 NY2d 45; *BDO Seidman v Hirshberg*, 93 NY2d 382; *Ashland Mgt. Inc. v Altair Invs. NA, LLC*, 59 AD3d 97; *Weiser LLP v Coopersmith*, 74 AD3d 465; *Malcolm Pirnie, Inc. v Werthman*, 280 AD2d 934; *Scott, Stackrow & Co., C.P.A.'s, P.C. v Skavina*, 9 AD3d 805; *Trans-Continental Credit & Collection Corp. v Foti*, 270 AD2d 250; *State of New York v Welch-Richards*, 209 AD2d 847; *Vega v Restani Constr. Corp.*, 18 NY3d 499; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310.)

Phillips Lytle LLP, Buffalo (Preston L. Zarlock and William J. Simon of counsel), for respondents. I. The Appellate Division correctly rejected the agreement's Florida choice-of-law clause. (*Purchasing Assoc. v Weitz*, 13 NY2d 267; *Reed, Roberts Assoc. v Strauman*, 40 NY2d 303; *Post v Merrill Lynch, Pierce, Fenner & Smith*, 48 NY2d 84; *BDO Seidman v Hirshberg*, 93 NY2d 382; *Gramercy Park Animal Ctr. v Novick*, 41 NY2d 874; *Del Monte Fresh Produce, N.A., Inc. v Chiquita Brands Intl. Inc.*, 616 F Supp 2d 805; *Unisource Worldwide, Inc. v South Cent. Ala. Supply, LLC*, 199 F Supp 2d 1194; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Haynes v Haynes*, 83 NY2d 954; *Cooper v City of New York*, 81 NY2d 584.) II. The Appellate Division did not abuse its discretion in refusing to partially enforce plaintiffs' restrictive covenant. (*Matter of De Zimm v Connelie*, 64 NY2d 860; *Pavlou v City of New York*, 8 NY3d 961; *Holterman v Holterman*, 3 NY3d 1; *Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Matter of Von Bulow*, 63 NY2d 221; *AM Medica Communications Group v Kilgallen*, 261 F Supp 2d 258; *Levo v Greenwald*, 66 NY2d 962; *Scott, Stackrow & Co., C.P.A.'s, P.C. v Skavina*, 9 AD3d 805; *Fullman v R & G Brenner Income Tax Consultants*, 24 Misc 3d 1214[A], 2009 NY Slip Op 51451[U]; *Pure Power Boot Camp, Inc. v Warrior Fitness Boot Camp, LLC*, 813 F Supp 2d 489.) III. The Appellate Division did not abuse its discretion in denying plaintiffs' belated and baseless claim that they required discovery. (*Nadeau v Connell*, 243 AD2d 1009; *Arakelian v Omnicare, Inc.*, 735 F Supp 2d 22; *Matter of Fishman [Commissioner of Labor]*, 268 AD2d 651; *Mazzaferro v Barterama Corp.*,

218 AD2d 643; *Bradley v Benchmark Mgt. Corp.*, 294 AD2d 879; *Arrow Communication Labs. v Pico Prods.*, 206 AD2d 922; *Progressive Cas. Ins. Co. v Baker*, 290 AD2d 676; *Meath v Mishrick*, 68 NY2d 992; *Elmont Open MRI & Diagnostic Radiology, P.C. v Travelers Indem. Co.*, 30 Misc 3d 126[A], 2010 NY Slip Op 52223[U]; *M&T Bank v HR Staffing Solutions, Inc.*, 106 AD3d 1498.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we hold that applying Florida law on restrictive covenants related to the non-solicitation of customers by a former employee would violate the public policy of this state. Therefore, the choice-of-law provision in the parties' employment agreement purporting to apply Florida law is unenforceable as to the non-solicitation provision of that agreement. Applying New York law, we also conclude that factual issues exist which prevent us from determining whether partial enforcement of the agreement's non-solicitation provision is appropriate. Hence, we remit for further proceedings.

I.

Plaintiffs are insurance intermediaries. Plaintiff Brown & Brown, Inc. (BBI) is a Florida corporation. Its New York subsidiary, plaintiff Brown & Brown of New York, Inc. (BBNY), is licensed to handle insurance in New York. BBNY recruited defendant Theresa A. Johnson to leave her former job at Blue Cross/Blue Shield—where she was employed as an underwriter and actuary for over 20 years—to work for BBNY.

On Johnson's first day, BBNY's employee gave her documents that included an employment agreement with a restrictive covenant. As relevant here, the agreement contained a Florida choice-of-law provision and a non-solicitation provision. The non-solicitation provision precluded Johnson, for two years following her termination of employment, from directly or indirectly soliciting, accepting or servicing any person or entity "that is a customer or account of the New York offices of [BBI and BBNY] during the term of this Agreement," as well as certain prospective customers. In the discussions that took place before Johnson was hired, this agreement was never mentioned. While it is undisputed that Johnson and a representative of BBNY signed the agreement that first day, the parties dispute what occurred at the time of the signing.

After working solely in New York for several years, Johnson was terminated. Less than one month later, Johnson began working for defendant Lawley Benefits Group, LLC, a competitor of BBNY; her work with Lawley involved providing services to some of plaintiffs' former customers. Plaintiffs commenced this action to enjoin alleged violations of the agreement by Johnson and to recover damages against both Johnson and Lawley. The complaint alleged, among other things, that Johnson breached the employment agreement by soliciting plaintiffs' customers. Defendants answered the complaint and, within 10 weeks of commencement of the action and after only limited discovery, moved for summary judgment dismissing the complaint.

Supreme Court partially granted defendants' motion for summary judgment, but did not dismiss the portion of the breach of contract cause of action against Johnson alleging that she violated the non-solicitation provision by using client relationships that she initially developed while working for plaintiffs. In doing so, the court found the choice-of-law provision in Johnson's employment agreement to be unenforceable.

On the parties' cross appeals, the Appellate Division modified Supreme Court's order by, among other things, dismissing in its entirety the portion of the breach of contract cause of action based on the non-solicitation provision (115 AD3d 162 [4th Dept 2014]). The Court held that the Florida choice-of-law provision was unenforceable as against public policy, and that the non-solicitation provision was overbroad and unenforceable. The Appellate Division granted plaintiffs' motion for leave to appeal, certified a question, and denied defendants' cross motion for leave (2014 NY Slip Op 72307[U] [4th Dept 2014]).

II.

The employment agreement's choice-of-law provision states that any disputes will be governed by Florida law. While parties are generally free to reach agreements on whatever terms they prefer, courts will not "enforce agreements . . . where the chosen law violates 'some fundamental principle of justice, some prevalent conception of good morals, some deep-rooted tradition of the common weal' " (*Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624, 629 [2006] [footnote omitted], quoting *Cooney v Osgood Mach.*, 81 NY2d 66, 78 [1993]). This public policy exception is reserved "for those foreign laws that are truly obnoxious" (*Cooney*, 81 NY2d at 79; see *Welsbach Elec.*

Corp., 7 NY3d at 629). The party seeking to invoke the exception bears a “‘heavy burden’ of proving that application of [the chosen] law would be offensive to a fundamental public policy of this State” (*Welsbach Elec. Corp.*, 7 NY3d at 632; *see Cooney*, 81 NY2d at 80; *Matter of Frankel v Citicorp Ins. Servs., Inc.*, 80 AD3d 280, 286 [2d Dept 2010]).

[1] Here, to determine whether the public policy exception renders unenforceable the employment agreement’s choice of Florida law, we must compare the Florida statute concerning restrictive covenants in employment agreements to New York law on that subject. The law of the two states is similar to the extent that they both require restrictive covenants to be reasonably limited in time, scope and geographical area, and to be grounded in a legitimate business purpose (*see Fla Stat* § 542.335 [1]; *Reed, Roberts Assoc. v Strauman*, 40 NY2d 303, 307 [1976]). However, several aspects of the Florida statute differ significantly from New York law.

Specifically, Florida law requires a party seeking to enforce a restrictive covenant only to make a *prima facie* showing that the restraint is necessary to protect a legitimate business interest, at which point the burden shifts to the other party to show that the restraint is overbroad or unnecessary (*see Fla Stat* § 542.335 [1] [c]). If the latter showing is made, the court is required to “modify the restraint and grant only the relief reasonably necessary to protect” the employer’s legitimate business interests (*Fla Stat* § 542.335 [1] [c]). In contrast to this focus solely on the employer’s business interests, under New York’s three-prong test,

“[a] restraint is reasonable only if it: (1) is *no greater* than is required for the protection of the *legitimate interest* of the employer, (2) does not impose undue hardship on the employee, and (3) is not injurious to the public. A violation of any prong renders the covenant invalid” (*BDO Seidman v Hirshberg*, 93 NY2d 382, 388-389 [1999] [citations omitted]; *see Natural Organics, Inc. v Kirkendall*, 52 AD3d 488, 489 [2d Dept 2008], *lv denied* 11 NY3d 707 [2008]; *D&W Diesel v McIntosh*, 307 AD2d 750, 750-751 [4th Dept 2003]).

Whereas Florida shifts the burden of proof after the employer demonstrates its business interests (*see Fla Stat* § 542.335 [1] [c]), New York requires the employer to prove all three prongs

of its test before the burden shifts (*see BDO Seidman*, 93 NY2d at 388-389; *see also Natural Organics, Inc.*, 52 AD3d at 489). Further, Florida law explicitly prohibits courts from considering the harm or hardship to the former employee (*see Fla Stat* § 542.335 [1] [g] [1]). This directly conflicts with New York's requirement that courts consider, as one of three mandatory factors, whether the restraint "impose[s] undue hardship on the employee" (*BDO Seidman*, 93 NY2d at 388-389).

Additionally, under Florida law, courts are required to construe restrictive covenants in favor of protecting the employer's interests, and may not use any rules of contract interpretation that would require the construction of a restrictive covenant narrowly or against the restraint or drafter (*see Fla Stat* § 542.335 [1] [h]). In contrast, New York law provides that "[c]ovenants not to compete should be strictly construed because of the 'powerful considerations of public policy which militate against sanctioning the loss of a [person's] livelihood'" (*Gramercy Park Animal Ctr. v Novick*, 41 NY2d 874, 874 [1977] [citations omitted], quoting *Purchasing Assoc. v Weitz*, 13 NY2d 267, 272 [1963]; *see BDO Seidman*, 93 NY2d at 389; *Reed, Roberts Assoc.*, 40 NY2d at 307 [noting "stricter standard of reasonableness" in this area, and "judicial disfavor of these covenants"]; *Goodman v New York Oncology Hematology, P.C.*, 101 AD3d 1524, 1526 [3d Dept 2012]).

Considering Florida's nearly-exclusive focus on the employer's interests, prohibition against narrowly construing restrictive covenants, and refusal to consider the harm to the employee—in contrast with New York's requirements that courts strictly construe restrictive covenants and balance the interests of the employer, employee and general public—defendants met their "heavy burden" of proving that application of Florida law [to the non-solicitation provision of the parties' agreement] would be offensive to a fundamental public policy of this State" (*Welsbach Elec. Corp.*, 7 NY3d at 632; *see Cooney*, 81 NY2d at 80). Accordingly, the employment agreement's choice-of-law provision is unenforceable in relation to the non-solicitation provision, and New York law governs plaintiffs' claim based on Johnson's alleged breach thereof.

III.

[2] We turn next to the question of whether the non-solicitation provision should be partially enforced. Under New York law, the restrictive covenant was overbroad to the extent

that it prohibited Johnson from working with *any* of plaintiffs' New York customers, even those Johnson had never met, did not know about and for whom she had done no work (see *BDO Seidman*, 93 NY2d at 392-393; *Vital Crane Servs., Inc. v Micucci*, 118 AD3d 1404, 1405 [4th Dept 2014]; *Weiser LLP v Coopersmith*, 74 AD3d 465, 467-468 [1st Dept 2010]; *Scott, Stackrow & Co., C.P.A.'s, P.C. v Skavina*, 9 AD3d 805, 806-807 [3d Dept 2004], *lv denied* 3 NY3d 612 [2004]). In light of this overbreadth, plaintiffs argue that the Appellate Division should have partially enforced the covenant, limiting the non-solicitation provision to prohibit Johnson only from soliciting any of plaintiffs' customers with whom she interacted or whose files she had encountered while in plaintiffs' employ. This Court has "expressly recognized and applied the judicial power to sever and grant partial enforcement for an overbroad employee restrictive covenant" (*BDO Seidman*, 93 NY2d at 394, citing *Karpinski v Ingrassi*, 28 NY2d 45, 51-52 [1971]; see *Trans-Continental Credit & Collection Corp. v Foti*, 270 AD2d 250, 251 [2d Dept 2000]). Where

"the unenforceable portion is not an essential part of the agreed exchange, a court should conduct a case specific analysis, focusing on the conduct of the employer in imposing the terms of the agreement. Under this approach, if the employer demonstrates an absence of overreaching, coercive use of dominant bargaining power, or other anti-competitive misconduct, but has in good faith sought to protect a legitimate business interest, consistent with reasonable standards of fair dealing, partial enforcement may be justified" (*BDO Seidman*, 93 NY2d at 394 [citation omitted]).

Here, although the covenant was imposed as a requirement of Johnson's initial employment and was not presented to her until her first day of work, the parties dispute whether she understood the agreement, whether plaintiffs' employee discussed or explained it to her, what such a discussion entailed, whether she was required to sign it that day, or if she could have sought advice from counsel and negotiated the terms of the agreement (see *Vital Crane Servs., Inc.*, 118 AD3d at 1405; *Scott, Stackrow & Co., C.P.A.'s, P.C.*, 9 AD3d at 807-808; compare *BDO Seidman*, 93 NY2d at 395). The parties' conflicting affidavits and limited disclosure responses, together with the fact that Johnson had already left her prior employ-

ment—which could have caused her to feel pressure to sign the agreement rather than risk being unemployed—raise questions about whether plaintiffs engaged in overreaching or used coercive dominant bargaining power to obtain the restrictive covenant. Thus, on this record and at this early stage of the action when little discovery has taken place, dismissal of the portion of the breach of contract claim based on the non-solicitation provision in the employment agreement is inappropriate. Therefore, the Appellate Division order, insofar as appealed from, should be reversed, with costs, defendants' motion for summary judgment, insofar as it sought to dismiss that portion of the first cause of action for breach of the non-solicitation provision of the employment agreement, denied and certified question answered in the negative.

Chief Judge LIPPMAN and Judges READ, PIGOTT and ABDUS-SALAAM concur; Judges RIVERA and FAHEY taking no part.

Order, insofar as appealed from, reversed, with costs, defendants' motion for summary judgment, insofar as it sought to dismiss that portion of the first cause of action in the complaint for breach of the non-solicitation provision in the parties' employment agreement, denied and certified question answered in the negative.

[34 NE3d 782, 13 NYS3d 272]

In the Matter of NATURAL RESOURCES DEFENSE COUNCIL, INC.,
et al., Appellants, v NEW YORK STATE DEPARTMENT OF
ENVIRONMENTAL CONSERVATION, Respondent.

Argued March 24, 2015; decided May 5, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 10, 2014. The Appellate Division order, insofar as appealed from, upon reargument, reversed, on the law, insofar as appealed from by respondent/defendant as limited by its brief, so much of an order and judgment (denominated decision and order) (one paper) of the Supreme Court, Westchester County (Joan B. Lefkowitz, J.; op 35 Misc 3d 652 [2012]), as amended by a subsequent order and judgment (one paper) of that court entered upon the parties' consent, entered in a hybrid proceeding pursuant to CPLR article 78 to review respondent/defendant's determination approving the issuance of a state pollutant discharge elimination system general permit for stormwater discharges from municipal separate storm sewer systems of small municipalities and action for a judgment declaring that the general permit was contrary to state and federal law. The Supreme Court order and judgment, as amended, was reversed to the extent that it (1) was in favor of petitioners/plaintiffs and against respondent/defendant declaring that the general permit created an impermissible self-regulatory system that failed to ensure that small municipalities reduced their pollutant discharges to the "maximum extent practicable," as required by 33 USC § 1342 (p) (3) (B) (iii) and ECL 17-0808 (3) (c), and unlawfully failed to provide an opportunity for public hearings on proposed notices of intent before their submission, in violation of 33 USC § 1342 (a) (1) and ECL 17-0805 (1) (a) (ix); (2) had granted those branches of the petition which were to annul respondent/defendant's determination on the grounds that it was affected by error of law and was arbitrary and capricious to the extent it was inconsistent with the court's declarations; and (3) had, in effect, directed respondent/defendant to issue revisions to the general permit consistent with the court's declarations. The Appellate Division denied those branches of the petition and remitted the matter to Supreme Court for entry of an amended judgment (1) dismissing those portions of

the proceeding; and (2) declaring, among other things, that the general permit did not create an impermissible self-regulatory system that failed to ensure that small municipalities reduced their pollutant discharges to the “maximum extent practicable,” as required by 33 USC § 1342 (p) (3) (B) (iii) and ECL 17-0808 (3) (c), and did not unlawfully fail to provide an opportunity for public hearings on proposed notices of intent before their submission, as required by 33 USC § 1342 (a) (1) and ECL 17-0805 (1) (a) (ix).

Additionally, the Appellate Division order, insofar as appealed from, upon reargument, affirmed, insofar as cross-appealed from by petitioners/plaintiffs as limited by their notices of appeal and brief, so much of the Supreme Court order and judgment, as amended, as was in favor of respondent/defendant and against petitioners/plaintiffs, in effect, declaring that the general permit (1) did not fail to ensure that small municipalities complied with state water quality standards and, thus, was not in violation of ECL 17-0811 (5); (2) did not unlawfully fail to ensure that small municipalities monitored their stormwater discharges and, thus, was not in violation of 33 USC § 1318 (a); and (3) did not fail to provide for public hearings on proposed stormwater management plans and proposed watershed improvement strategies and, thus, was not in violation of 33 USC § 1251 (e).

Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation, 120 AD3d 1235, affirmed.

HEADNOTES

Environmental Conservation — State Pollutant Discharge Elimination System Permit — General Permit for Small Municipalities’ Stormwater Discharges from Municipal Separate Storm Sewer Systems — Compliance with Federal Law

1. In a hybrid proceeding/action commenced by petitioner/plaintiff environmental advocacy groups challenging certain aspects of a state pollutant discharge elimination system (SPDES) general permit issued by respondent/defendant New York State Department of Environmental Conservation (DEC) authorizing stormwater discharges from the municipal separate storm sewer systems of small municipalities, petitioners/plaintiffs’ federal law challenges were rejected. It was for the federal courts to resolve the issue—on which the federal circuit courts were split—whether the United States Environmental Protection Agency (EPA) permissibly interpreted the Federal Clean Water Act in adopting regulations that allow permitting authorities to authorize a small municipality to discharge stormwater under a national pollutant discharge elimination system (NPDES) general permit upon receipt of the municipality’s notice of intent to obtain coverage under

the general permit and without any regulatory review, public notice and comment or opportunity for a public hearing. Unless and until EPA revised its regulations implementing the NPDES general permitting program for stormwater discharges by small municipalities, DEC's corresponding but not identical SPDES general permitting program was required to comply with EPA's regulations, which it concededly did, and DEC was not required to go beyond the specifications of EPA's regulations unless New York law required it to do so.

Environmental Conservation — State Pollutant Discharge Elimination System Permit — General Permit for Small Municipalities' Stormwater Discharges from Municipal Separate Storm Sewer Systems — Compliance with State Law

2. In a hybrid proceeding/action commenced by petitioner/plaintiff environmental advocacy groups challenging certain aspects of a state pollutant discharge elimination system (SPDES) general permit issued by respondent/defendant New York State Department of Environmental Conservation (DEC) authorizing stormwater discharges from the municipal separate storm sewer systems of small municipalities, petitioners/plaintiffs' state law challenges were rejected. In implementing the SPDES general permitting authorized by the ECL, DEC determined that examining for completeness a municipality's notice of intent (NOI) to obtain coverage under the general permit constituted a sufficient level of technical regulatory review to qualify the municipality for initial coverage and that the general permit's public participation requirements for NOIs were adequate. Those were reasonable judgments that DEC possessed the discretion and expertise to make in furtherance of its responsibilities under the ECL to regulate small municipalities' stormwater discharges. SPDES general permitting allows DEC to avoid detailed review where it is not warranted and thereby frees up finite regulatory resources for the individual SPDES permitting of entities with greater impact on the environment. Unlike an application for issuance of a SPDES individual permit, an NOI is a request for coverage under a SPDES general permit that has already been issued pursuant to the full panoply of procedures set forth under ECL article 70. If DEC was forced to apply the same or similar procedures for SPDES general and individual permits—alternative ways for small municipalities to obtain authorization for their stormwater discharges—the resource-conserving benefits sought by the legislature in authorizing DEC's issuance of SPDES general permits would be compromised, if not altogether lost.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

- AM JUR 2d, Drains and Drainage Districts §§ 29, 33; AM JUR 2d, Pollution Control §§ 76, 192, 675–676, 683, 726, 736–740, 749–752, 756–757, 764, 782, 802, 807, 847, 865.
 CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1347, 145:1349, 145:1352.
 NY JUR 2d, Environmental Rights and Remedies §§ 91, 130, 184–188, 193, 196–201, 210, 214–219, 225, 373, 376;
 NY JUR 2d, Water §§ 742, 894–895.
 NEW YORK LAW OF TORTS §§ 17:47, 17:62.

ANNOTATION REFERENCE

Validity and construction of anti-water pollution statutes or ordinances. 32 ALR3d 215.

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POINTS OF COUNSEL

Lawrence M. Levine and Rebecca J. Hammer, Natural Resources Defense Council, Inc., New York City, and Super Law Group, LLC, New York City (Reed W. Super of counsel), for appellants. I. The general permit for small municipal separate storm sewer systems unlawfully fails to ensure compliance with state water quality standards. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Catskill Mtns. Ch. of Trout Unlimited, Inc. v Sheehan*, 71 AD3d 235; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Matter of Garzilli v Mills*, 250 AD2d 131.) II. The general permit for small municipal separate storm sewer systems fails to establish the necessary compliance schedules, and the New York State Department of Environmental Conservation abandoned its appeal of this issue. (*Nassau Point Prop. Owners Assn., Inc. v Tirado*, 29 AD3d 754; *Poughkeepsie-Highland R.R. Bridge Co. v Central Hudson Gas & Elec. Corp.*, 278 AD2d 468.) III. The general permit for small municipal separate storm sewer systems creates an impermissible self-regulatory system and violates public participation requirements. (*Citizens Coal Council v United States Environmental Protection Agency*, 447 F3d 879; *EPA v California ex rel. State Water Resources Control Bd.*, 426 US 200; *Costle v Pacific Legal Foundation*, 445 US 198; *Orange Envt., Inc. v County of Orange*, 811 F Supp 926; *Myer v Shields & Co.*, 25 AD2d 126; *Pierre v Providence Washington Ins. Co.*, 99 NY2d 222; *Waterkeeper Alliance, Inc. v United States Envtl. Protection Agency*, 399 F3d 486.) IV. The general permit for small municipal separate storm sewer systems arbitrarily fails to require any monitoring of pollution discharges or effects on receiving water bodies. (*Chesapeake Bay Found. v Bethlehem Steel Corp.*, 608 F Supp 440; *Sierra Club v Union Oil Co. of*

Cal., 813 F2d 1480; *Piney Run Pres. Assn. v County Commrs. of Carroll County, Maryland*, 268 F3d 255, *Champion Intl. Corp. v United States Evtl. Protection Agency*, 648 F Supp 1390; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

Eric T. Schneiderman, Attorney General, New York City (Barbara D. Underwood, Steven C. Wu and Bethany A. Davis Noll of counsel), for respondent. I. The New York State Department of Environmental Conservation's general permit controlling small municipal separate storm sewer systems complies with federal and state law. (*Flacke v Onondaga Landfill Sys.*, 69 NY2d 355; *Matter of Davis v Mills*, 98 NY2d 120; *Matter of Altamore v Barrios-Paoli*, 90 NY2d 378; *Waterkeeper Alliance, Inc. v United States Evtl. Protection Agency*, 399 F3d 486; *Texas Ind. Producers & Royalty Owners Assn. v Environmental Protection Agency*, 410 F3d 964; *Matter of Trump on the Ocean, LLC v Cortes-Vasquez*, 76 AD3d 1080; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Upper Blackstone Water Pollution Abatement Dist. v United States Evtl. Protection Agency*, 690 F3d 9; *Natural Resources Defense Council, Inc. v Fox*, 93 F Supp 2d 531; *Defenders of Wildlife v Browner*, 191 F3d 1159.)

Daniel E. Estrin, Pace Environmental Litigation Clinic, Inc., White Plains, for Nadia B. Ahmad and others, amici curiae. I. The municipal separate storm sewer systems general permit fails to ensure compliance with state water quality standards, and thus violates a fundamental requirement of federal and state law. (*Arkansas v Oklahoma*, 503 US 91; *Friends of Pinto Cr. v United States Evtl. Protection Agency*, 504 F3d 1007; *Matter of Catskill Mtns. Ch. of Trout Unlimited, Inc. v Sheehan*, 71 AD3d 235, 14 NY3d 713; *People v M&H Used Auto Parts & Cars, Inc.*, 22 AD3d 135; *Ohio Val. Evtl. Coalition v Horinko*, 279 F Supp 2d 732; *Environmental Defense Ctr., Inc. v United States Evtl. Protection Agency*, 344 F3d 832.) II. The municipal separate storm sewer systems general permit violates public participation requirements of federal and state law. (*Waterkeeper Alliance, Inc. v United States Evtl. Protection Agency*, 399 F3d 486; *Adams v United States Evtl. Protection Agency*, 38 F3d 43; *Natural Resources Defense Council, Inc. v U.S. Evtl. Protection Agency*, 859 F2d 156; *Riverkeeper, Inc. v Mirant Lovett, LLC*, 675 F Supp 2d 337; *Environmental Defense Ctr., Inc. v United States Evtl. Protection Agency*, 344 F3d 832.)

Susan J. Kraham, Columbia Environmental Law Clinic, Morningside Heights Legal Services, Inc., New York City, for Citizens Campaign for the Environment, amicus curiae. I. Stormwater is the principal contributor to water quality impairment. II. The Environmental Protection Agency has regulated stormwater since 1987. III. Stormwater is not merely rainwater but it includes many pollutants that it sweeps along with it as it makes its way into the waters of the United States. IV. Other states are implementing more protective requirements in their municipal separate storm sewer systems permit program, proving that those requirements are practicable.

Rodenhausen Chale LLP, Rhinebeck (George A. Rodenhausen of counsel), for East of Hudson Coalition, amicus curiae. I. In the portion of the watershed serving the New York City reservoir system that lies east of the Hudson River, the municipal separate storm sewer systems permit, in effect, requires reduction of phosphorus in stormwater discharges to the maximum extent practicable. II. Requiring public participation on each regional plan or change thereof would exceed the requirements of the Clean Water Act. III. The ambient monitoring provided for in the municipal separate storm sewer systems permit satisfies the Clean Water Act.

Zachary W. Carter, Corporation Counsel, New York City (*Amy McCamphill, Richard Dearing, Hilary Meltzer and Carrie Noteboom* of counsel), for City of New York and others, amici curiae. The Appellate Division, Second Department, correctly recognized that the “maximum extent practicable” standard governs Clean Water Act compliance for municipal separate storm sewer systems. (*Natural Resources Defense Council, Inc. v Costle*, 568 F2d 1369; *Natural Resources Defense Council v United States Env'tl. Protection Agency*, 673 F2d 392; *Natural Resources Defense Council, Inc. v United States Env'tl. Protection Agency*, 966 F2d 1292; *Defenders of Wildlife v Browner*, 191 F3d 1159.)

OPINION OF THE COURT

READ, J.

Runoff from rain and snow melt courses over roofs, roads, driveways and other surfaces, picking up pollutants along the way. It then passes through municipal storm sewer systems into rivers and lakes, adding the pollutants accumulated during its journey to those bodies of water. These municipal storm

sewer systems thus differ from other entities that discharge effluents into our state's surface waters (for example, industrial or commercial facilities and sewage treatment plants) in three major ways: precipitation is naturally occurring, intermittent and variable and cannot be stopped; although municipalities operate sewer systems, stormwater contamination results from the often unforeseen or unpredictable choices of individual residents and businesses (for example, to let litter pile up or to use certain lawn fertilizers), as well as decisions made long ago about the design of roads, parking lots and buildings; and because stormwater runoff flows into surface waters through tens of thousands of individual outfalls, each locality's contribution to the pollution of a particular river or lake is difficult to ascertain or allocate through numeric limitations.

Federal and state law prohibit discharges of stormwater from New York's municipal separate storm sewer systems in urbanized areas (referred to as MS4s) without authorization under a State Pollutant Discharge Elimination System (SPDES) permit. As an alternative to an individual SPDES permit, municipal separate storm sewer systems that serve a population under 100,000 (or small MS4s) may seek to discharge stormwater under a SPDES general permit. The 2010 General Permit—the subject of this lawsuit—requires these municipal systems to develop, document and implement a Stormwater Management Program (SWMP) in compliance with detailed specifications developed by the New York State Department of Environmental Conservation (DEC or the Department) to limit the introduction of pollutants into stormwater to the maximum extent practicable. To obtain initial coverage (i.e., authorization to discharge) under the terms of the 2010 General Permit, small MS4s must first submit a complete and accurate notice of intent (NOI) to DEC.

After the 2010 General Permit took effect on May 1st of that year,¹ the Natural Resources Defense Council, Inc. (NRDC) and seven other environmental advocacy groups (collectively,

1. DEC issued the first General Permit in 2003 for a five-year period, and in 2008 issued a revised two-year General Permit, which expired on April 30, 2010. The five-year 2010 General Permit expired on April 30, 2015. A substantively identical new two-year General Permit took effect on May 1, 2015 and expires on April 30, 2017. Almost all the 500 plus small MS4s authorized to discharge stormwater under the challenged 2010 General Permit were initially covered by the 2008 (or, before that, the 2003) General Permit. The 2010 General Permit authorized them to discharge stormwater on an interim basis for up to 180 days after May 1, 2010. These small MS4s gained

(n. cont'd)

NRDC) brought this hybrid CPLR article 78 proceeding/declaratory judgment action against DEC to challenge certain aspects of the 2010 General Permit. NRDC claims generally that by allowing small MS4s to gain coverage under the 2010 General Permit based upon an NOI reviewed only for completeness and not subject to an opportunity for a public hearing, DEC has created an “impermissible self-regulatory system” that fails to force local governments to reduce the discharge of pollutants to the maximum extent practicable—the statutory standard—and violates federal and state law.² Equating NOIs with applications for individual SPDES permits, Supreme Court granted partial relief to NRDC (35 Misc 3d 652 [Sup Ct, Westchester County 2012]). The Appellate Division, as relevant here, rejected NRDC’s federal and state law challenges to the 2010 General Permit (120 AD3d 1235 [2d Dept 2014]). We granted NRDC leave to appeal (23 NY3d 901 [2014]), and now affirm.

I.

Background

The NPDES and SPDES Programs

The Federal Water Pollution Control Act Amendments of 1972 (Pub L 92-500, 86 US Stat 816-904, codified as amended at 33 USC §§ 1251-1388), popularly known as the Clean Water Act, ushered in the modern era of water pollution control whereby discharges of pollutants from “point sources” (i.e., “any discernible, confined and discrete conveyance” [33 USC § 1362 (14)]) into the waters of the United States are prohibited except as authorized by a National Pollutant Discharge Elimination System (NPDES) permit issued by the Administrator of the United States Environmental Protection Agency (EPA or the Agency). “Generally speaking,” the statute envisaged

coverage under the 2010 General Permit by submission of their annual reports (discussed later in more detail) due in June 2010; they were not required to and did not submit NOIs.

2. As previously observed (*see* n 1, *supra*), virtually all the small MS4s in the state achieved coverage under the 2010 General Permit by virtue of NOIs that they submitted to DEC for initial coverage under the 2003 or 2008 General Permits, and their 2009 annual reports. As a result, the practical effect of a ruling in favor of NRDC is not self-evident, and threatens to create considerable confusion; i.e., would these small MS4s be required to resubmit an NOI, or would they be grandfathered? (*See* 6 NYCRR 750-1.21 [d] [3].)

site-specific individual NPDES permits that “place[d] limits on the type and quantity of pollutants that can be released into the Nation’s waters” (*South Fla. Water Management Dist. v Miccosukee Tribe*, 541 US 95, 102 [2004]).

Although the federal government plays the dominant role in water pollution control under the Clean Water Act, states may continue their own water pollution control regulations as long as they are at least as stringent as federal law demands (33 USC § 1370). And importantly, states are allowed to administer the NPDES permit program for discharges into navigable waters within their borders, subject to the Administrator’s approval (33 USC § 1342 [b]). To attain this approval, a state must demonstrate that its permit program meets the requirements of the Clean Water Act and that the state possesses adequate legal authority to implement it (*id.*). In 1973, the legislature amended the Environmental Conservation Law to create SPDES, New York’s version of NPDES (*see* L 1973, ch 801 [adding a new title 8 to article 17 of the ECL and amending other provisions of article 17 to bring them into conformity with new title 8]). EPA approved New York’s SPDES program, which is administered by DEC, in 1975.

EPA’s Stormwater Exemption

In its 1973 regulations implementing the NPDES program, EPA excluded discharges from a number of classes of point sources from the permit requirement, including separate storm sewers containing only storm runoff uncontaminated by any industrial or commercial activity (*see* 38 Fed Reg 18000 [July 5, 1973] [40 CFR former 124.11 (f)]). EPA justified the exclusion as necessary to conserve its regulatory resources for more significant polluters. The United States Court of Appeals for the District of Columbia Circuit ruled that the Clean Water Act did not give EPA this option, but interpreted the statute to grant the Agency considerable leeway in setting permit terms (*see Natural Resources Defense Council, Inc. v Costle*, 568 F2d 1369, 1377 [DC Cir 1977]). Noting its “sensitiv[ity] to EPA’s concerns of an intolerable permit load,” the D.C. Circuit suggested that area or general permits would be a permissible and “well-established” device for coping with the avalanche of NPDES permit applications anticipated in the wake of its decision (*id.* at 1380-1381; *see also Natural Resources Defense Council, Inc. v Train*, 396 F Supp 1393, 1402 [D DC 1975] [EPA has “substantial discretion to use administrative devices, such

as area permits,” to make its burden of permit issuance “manageable”]).

The Water Quality Act

In the Water Quality Act of 1987 (Pub L 100-4, 101 US Stat 7, codified as amended in scattered sections of 33 USC) (the Water Quality Act), Congress endorsed permits for municipal stormwater discharges “issued on a system- or jurisdiction-wide basis” (33 USC § 1342 [p] [3] [B] [i]). These permits were mandated to “include a requirement to effectively prohibit non-stormwater discharges into the storm sewers,” and “controls to reduce the discharge of pollutants *to the maximum extent practicable, including management practices, control techniques and system, design and engineering methods, and such other provisions as the Administrator or the State determines appropriate for the control of such pollutants*” (*id.* § 1342 [p] [3] [B] [ii], [iii] [emphasis added]). The Water Quality Act did not define “maximum extent practicable,” but section 1342 (p)’s text and legislative history indicate that Congress had in mind something other than conventional end-of-pipe control techniques and numeric effluent limits (*see* 132 Cong Rec S32381 [Oct. 16, 1986] [remarks of Senator Stafford, then Chairman of the Senate Environment and Public Works Committee] [“These permits will not necessarily be like industrial discharge permits. Often, an end-of-the-pipe treatment technology is not appropriate for this type of discharge”]; *see also* *Defenders of Wildlife v Browner*, 191 F3d 1159, 1164-1165 [1999] [recognizing that Congress “chose *not* to include” provisions (like effluent limitations under 33 USC § 1311) for municipal storm sewer discharges (emphasis added)], *amended on denial of reh* 197 F3d 1035 [9th Cir 1999]).

The Water Quality Act established a timetable for EPA to issue NPDES permitting regulations and for EPA and states to issue permits for certain categories of stormwater discharges, principally discharges associated with industrial activity and discharges from large municipal separate stormwater sewer systems (those systems serving a population of 100,000 or more) (*see* 33 USC § 1342 [p] [2], [4]). But for the many small municipal systems (those serving a population under 100,000), the Water Quality Act embraced a different approach.

The statute directed the Administrator, in consultation with the states, to conduct studies and report the results to Congress before developing a program to regulate stormwater discharges

from these systems (*see* 33 USC § 1342 [p] [5]). The study was meant to identify sources or classes of stormwater discharges for which NPDES permits were not required by the Clean Water Act; determine, to the maximum extent practicable, the extent and nature of their pollution; and develop procedures and methods to mitigate the effect of these discharges on water quality (*id.*). Congress then directed EPA to “issue regulations (based on the results of the studies . . .) which designate stormwater discharges . . . to be regulated to protect water quality and [to] establish a comprehensive program to regulate such designated sources” (*id.* § 1342 [p] [6]). This program was to be designed, “at a minimum,” to “(A) establish priorities, (B) establish requirements for State stormwater management programs, and (C) establish expeditious deadlines. The program [might] include *performance standards, guidelines, guidance, and management practices and treatment requirements*, as appropriate” (*id.* [emphasis added]).

New York’s 1988 Legislation

By chapter 360 of the Laws of 1988, the legislature amended the Environmental Conservation Law to authorize DEC to issue general SPDES permits, as allowed by the Water Quality Act. To this end, new section 17-0808 specified at subdivision (3) that

“[p]ermits for discharges from municipal storm sewers:

“a. May be issued on a system or jurisdiction-wide basis, pursuant to paragraph (a) of subdivision seven of section 70-0117 of this chapter;

“b. Shall include a requirement which regulates non-stormwater discharges into the storm sewers; and

“c. Shall require controls to reduce the discharge of pollutants *to the maximum extent practicable, including management practices, control techniques and system design and engineering methods, and such other provisions as the commissioner determines appropriate for the control of such pollutants*” (emphasis added; compare 33 USC § 1342 [p] [3] [B] [iii] [the cognate federal provision]).

Additionally, the legislature amended existing section 70-0117 of the Environmental Conservation Law to include a new subdivision (7) to provide as follows:

“(a) Under the [SPDES] program . . . , the department may issue a general permit, upon application or on its own initiative, to cover a category of point sources of one or more discharges within a stated geographical area which (i) involve the same or substantially similar types of operations, (ii) discharge the same types of pollutants, (iii) require the same effluent limitations or operating conditions, (iv) require the same or similar monitoring, and (v) which will result in minimal adverse cumulative impacts.

“(b) General permits can only be issued for the following categories of discharges, if, by virtue of their nature and location, the department determines such discharges are more appropriately controlled under a general permit than under individual permits:

“(i) separate storm sewers or stormwater conveyance systems; . . .

“(c) Any general permit under this subdivision shall set forth the conditions which shall apply to any discharge authorized by such general permit.

“(d) The department may require any person authorized by a general permit to apply for and obtain an individual permit and the department shall adopt rules and regulations specifying circumstances under which an individual permit may be required.

“(e) General permits shall be governed by the procedures set forth in this article [70] for the issuance of major permits” (former ECL 70-0117 [7], renumbered ECL 70-0117 [6] [L 1994, ch 170, § 202]).

The bill that became chapter 360 was drafted by and introduced at the request of DEC, which sought general permitting authority in order to avoid “issuance of thousands of individual SPDES permits covering discharges of heat, stormwater and non-industrial waste as well as . . . discharges of a minor nature[, which] *do not require the individual attention the statute currently mandates*” (Bill Jacket, L 1988, ch 360 at 14 [emphasis added]). Similarly, DEC explained that general permitting would

“reduce the amount of paperwork and resources dedicated to permitted discharges which *do not warrant technical case review*. Past regulation of such discharges has created *substantial administrative burdens without corresponding increases in environmental protection*. Staff time spent on processing these types of permits detracts from time that could be spent on major and toxic discharges” (*id.* [emphases added]).

The bill’s Senate and Assembly sponsors repeated these rationales (*id.* at 18, 23, 29).

EPA’s Final Rule

EPA promulgated its final rule regulating stormwater discharges from small municipalities’ separate stormwater sewer systems on December 8, 1999, effective February 7, 2000 (64 Fed Reg 68722 [Dec. 8, 1999], codified at 40 CFR parts 9, 122, 123, 124). These so-called Phase II regulations expanded the existing NPDES Phase I stormwater program.³ The record to support the regulation of small MS4s included the studies and reports to Congress mandated by the Water Quality Act, as well as EPA’s evaluation of comments and considerable additional research and studies. Based on this record, EPA determined that surface water contamination from wet-weather discharges from these systems was best controlled by means of measures designed to reduce the quantity of pollutants introduced into stormwater and the volume of stormwater flow rather than end-of-pipe numeric limits (*id.* at 68753). Accordingly, the regulations required small MS4s to develop and implement a SWMP that identified best management practices to attain “minimum control measures” in six key areas: public education and outreach; public involvement; illicit discharge detection and elimination; construction site runoff control; stormwater management in new development and redevelopment; and pollution prevention and good housekeeping of municipal operations (*id.* at 68736, 68754-68762).

3. As the first step in carrying out the requirements of the Water Quality Act, the Phase I program covered NPDES permitting of stormwater discharges from MS4s serving a population of 100,000 or more and stormwater discharges associated with industrial activity, including construction activities involving five or more acres (33 USC § 1342 [p] [2], [4]; *see also* 55 Fed Reg 47990 [Nov. 16, 1990]). In addition to small MS4s, the Phase II regulations also addressed construction sites that disturb one to five acres and additional sources that might be designated on a case-by-case basis (64 Fed Reg 68722).

EPA determined that if small MS4s carried out best management practices in accordance with their SWMPs, they would comply with the statutory standard to reduce pollutants to the maximum extent practicable (*id.* at 68754; *see also id.* at 68843 [40 CFR 122.34 (a)]); and “[a]bsent evidence to the contrary, . . . presume[d] that a small MS4 program that implements the six minimum measures . . . does not require more stringent limitations to meet water quality standards” (64 Fed Reg 68753). EPA recommended that small MS4s include the public in developing, implementing and reviewing the SWMP (*id.* at 68844 [40 CFR 122.34 (b) (2) (ii)]);⁴ and required that all records, including a description of the SWMP, must be made available to the public for review and copying at reasonable times during regular business hours (64 Fed Reg 68846 [40 CFR 122.34 (g) (2)]).⁵

EPA interpreted the Water Quality Act as authorizing it to develop a stormwater program for small municipalities either as part of the NPDES permit program or as a stand-alone non-NPDES program, such as a self-implementing rule. EPA settled on the use of NPDES permits instead of a rule for several reasons, including a desire to maintain consistency with its Phase I program for stormwater control; to capitalize upon the existing government infrastructure for administration of the NPDES program and the regulated community’s understanding of how the NPDES program works; and to provide flexibility in order to facilitate watershed planning and sensitivity to local conditions (*id.* at 68739). EPA did note, however, that “[k]ey provisions” of the rule “promot[ed] a streamlined approach to permit issuance by, for example, using general

4. The 2010 General Permit requires small MS4s to provide the public with the opportunity to participate in the development, implementation, review and revision of the SWMP. In this context, “development” means the “period after initial authorization under [the 2010 General Permit] when the [small MS4] creates, designs or develops activities, BMPs [best management practices], tasks or other measures to include in [its] SWMP”; and “implementation” means the “period after development of [the] SWMP, where the [small MS4] puts into effect the practices, tasks and other activities in [its] SWMP.” (New York State Department of Environmental Conservation, SPDES General Permit for Stormwater Discharges from Municipal Separate Storm Sewer Systems [MS4s], Permit No. GP-0-10-002 at 30-31, 88, 90, available at http://www.dec.ny.gov/docs/water_pdf/ms4gp2011.pdf, cached at <http://www.nycourts.gov/reporter/webdocs/ms4gp2011.pdf> [hereinafter 2010 General Permit].)

5. The 2010 General Permit directs small MS4s to ensure that copies of SWMPs and annual reports are available for public inspection.

permits” (*id.* at 68740; *see also id.* at 68762 [although the permit to authorize a small MS4’s discharges might take the form of either an individual NPDES permit issued to one or more facilities as co-permittees or a general NPDES permit that applied to a group of small MS4s, EPA “expect(ed)” that most discharges would be authorized or “covered” under general permits for reasons of administrative efficiency and reduced paperwork burdens]). In fact, EPA recommended using general permits, rather than individual permits, for all stormwater sources newly regulated under its rule (*id.* at 68737).

A small MS4 that seeks coverage under a general NPDES permit for its stormwater discharges is required to submit an NOI to the permitting authority. The NOI must specify the best management practices to be implemented for each of the six required minimum control measures along with measurable goals for the development and implementation of each best management practice (*id.* at 68762-68764). Although “[s]everal commenters suggested that EPA require permitting authorities to approve or disapprove the submitted BMPs and measurable goals[,] EPA disagree[d] that formal approval or disapproval by the permitting authority [was] needed” (*id.* at 68764).⁶

EPA afforded small MS4s up to five years to fully develop and implement their SWMPs,⁷ with annual reports required to document progress (*id.* at 68770, 68846 [40 CFR 122.34 (g) (3)]). The Agency stated that “[t]he permitting authority will use the reports in evaluating compliance with permit conditions and, where necessary, will modify the permit conditions to address changed conditions” (64 Fed Reg 68770).

6. EPA allows a small MS4 that submits a complete and timely NOI to discharge upon receipt of the NOI by the state permitting authority, after a waiting period specified in the general permit, on a date specified in the general permit or upon receiving notice of inclusion from the state permitting authority (*see* 40 CFR 122.28 [b] [2] [iv]). By contrast, the 2010 General Permit requires DEC to publish a notice in the Environmental Notice Bulletin when an NOI is received from a small MS4. These notices provide a web link to the actual NOI, and inform the public of the physical location of the NOI and SWMP, which are available for public inspection. The NOI is subject to a 28-day public comment period prior to DEC’s authorization of the small MS4’s discharges.

7. DEC reduced the time period from five to three years for the New York program.

The 2010 General Permit

The 2010 General Permit is a 97-page document, with appendices, which requires small MS4s to develop, document and implement a SWMP that includes 44 mandatory best management practices grouped into the six program components, or minimum control measures. Many of the mandatory best management practices afford small MS4s little or no choice about what they must do to comply with the 2010 General Permit; others afford more freedom in implementation. As an example of the latter, under the minimum control measure addressing public outreach, small MS4s must develop and implement an ongoing public education and outreach program, but enjoy flexibility to decide how best to accomplish this in light of local conditions or considerations (e.g., a media campaign, presentations to community groups, outreach to commercial entities, a webpage, printed materials, posters and/or 13 other suggested ways or management practices to raise the public's awareness and engage its participation in reducing pollution of stormwater runoff).

At the other end of the spectrum, the 2010 General Permit imposes highly prescriptive requirements for small MS4s to develop, implement and enforce a program to detect and eliminate non-stormwater (i.e., illicit) discharges. The small MS4s must develop and maintain maps showing the location of all outfalls, verify each of them in the field and conduct an outfall inventory in accordance with detailed guidance published on EPA's website. Further, each small MS4's program must include procedures to identify areas that are of greatest concern and describe those areas, available equipment, staff and funding; identify and locate illicit discharges; eliminate illicit discharges; and document the steps the small MS4 has taken to implement its program.

The NOI and Annual Reports Provided for by the 2010
General Permit

The NOI is currently a 19-page document that sets out the six minimum control measures, listing the mandatory and optional best management practices for each. The small MS4 must commit to each mandated and any optional best manage-

ment practice initially identified in the SWMP;⁸ describe initially identified measurable goals for each of the required or chosen best management practices, with start and end dates, including work to be done by partners. And finally, either a principal executive or ranking elected official must sign the NOI, certifying that the information submitted is, to the best of the signer's knowledge and belief, true, accurate and complete, and acknowledging awareness of the significant penalties for submitting false information, including the possibility of fines and imprisonment for knowing violations. As noted previously (*see* n 6, *supra*), the NOI is made available to the public for comment for a 28-day period. Small MS4s that submit an NOI are authorized to discharge stormwater upon written notification from DEC that a complete NOI has been received. DEC, however, may also choose to require the small MS4 to submit an application for an individual SPDES permit or an alternative SPDES general permit. DEC annually audits up to 10% of all municipal storm sewers, makes site inspections, reviews citizen complaints and, where necessary, takes enforcement action.

The vast majority of New York's 500 plus small MS4s achieved initial authorization to discharge stormwater prior to the effective date of the 2010 General Permit; they were able to maintain coverage under the 2010 General Permit by submitting their 2009 annual reports (*see* nn 1, 2, *supra*). The 2010 General Permit directs small MS4s to make annual reports and SWMPs available for public review; provides for notice of receipt of 2009 annual reports to be published in the Environmental Notice Bulletin;⁹ and requires small MS4s to present draft annual reports to the public and to include its responses to any public comments (including, as appropriate, any modifications of the SWMP) when they submit these reports to DEC. The annual report summarizes the activities performed by the small MS4 during the reporting period and those planned for the next year, and includes, among other things, an assessment of compliance with permit conditions; the appropriateness of the identified best management practices; and

8. Small MS4s in specified watershed improvement strategy areas must identify the additional best management practices that they will implement in order to reach specified pollutant load reductions.

9. The 2010 General Permit states that "[f]or public participation purposes, the [2009] Annual Report will be considered equivalent to submission of an NOI." (2010 General Permit at 8.)

progress toward meeting the measurable goals for each minimum control measure and achieving the statutory goal of reducing the discharge of pollutants to the maximum extent practicable. DEC's review of annual reports allows the Department to keep tabs on small MS4s and to require any necessary refinement of best management practices. DEC refers to these contemplated successive rounds of reviewing and, as necessary, fine-tuning and refocusing best management practices as the "iterative process" that is the hallmark of the flexible "maximum extent practicable" standard, which Congress deliberately chose as best suited for regulating small municipalities' stormwater discharges.

II.

Discussion

The Clean Water Act

There is no doubt that the 2010 General Permit complies with EPA's 1999 regulations, which allow permitting authorities to authorize small MS4s to discharge stormwater under a general NPDES permit upon receipt of an NOI—i.e., without *any* regulatory review, public notice and comment or opportunity for a public hearing. There is likewise no doubt that the 2010 General Permit affords more generous regulatory review and public participation than EPA's 1999 regulations require. But NRDC contends, and the dissent agrees, that the federal courts have held that the regulatory review and public participation features of EPA's 1999 regulations, on which the 2010 General Permit is necessarily modeled, constitute an "impermissible self-regulatory system" in contravention of the Clean Water Act, and that New York courts are bound to follow suit with respect to the New York program. Stated slightly differently, NRDC and the dissent assert that federal court decisions make clear that the Clean Water Act does not allow DEC to authorize a small MS4's stormwater discharges under the 2010 General Permit without first engaging in an undefined more detailed review of the NOI (and, apparently, the SWMP) and providing the public an opportunity to request a hearing.

After EPA promulgated its 1999 regulations, various environmental, municipal and industry groups brought petitions for review, which were consolidated in the United States Court of Appeals for the Ninth Circuit (*see Environmental Defense Ctr.*,

Inc. v United States Env'tl. Protection Agency, 344 F3d 832 [9th Cir 2003] [*EDC*]). The environmental petitioners argued that, by allowing permitting authorities to authorize small MS4s to discharge stormwater on the basis of “unreviewed NOIs,” the regulations created an “impermissible self-regulatory system,” and additionally “fail[ed] to provide for public participation as required by the Clean Water Act, because the public receive[d] neither notice nor opportunity for hearing regarding an NOI” (*id.* at 854, 856). A divided panel agreed.

Applying *Chevron* analysis,¹⁰ the *EDC* majority first determined that the Clean Water Act unambiguously expressed Congress’s intent that “EPA issue no permits to discharge from municipal storm sewers unless those permits require[d] controls to reduce the discharge of pollutants to the maximum extent practicable” (*id.* at 854 [internal quotation marks omitted]), and that EPA’s 1999 regulations did not fulfill this plain command. This was the case, the majority reasoned, because absent a permitting agency’s “meaningful review” of the minimum control measures selected by a small MS4,¹¹ the municipal operator might “misunderstand[] or misrepresent[] its own stormwater situation and propos[e] a set of minimum measures for itself that would reduce discharges by far less than the maximum extent practicable” (*id.* at 854-856). The *EDC* majority also concluded that NOIs (unlike NRDC and the dissent, the court did not mention SWMPs) are “functionally equivalent” to NPDES permit applications, and therefore are subject to the same public availability and public hearing requirements (*id.* at 857).

The dissenting judge considered the “central issues” in the case to be whether the Clean Water Act allowed EPA to use a general permit system to administer the NPDES program and

10. The United States Supreme Court held in the seminal case of *Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.* (467 US 837 [1984]) that federal courts will accept a federal agency’s reasonable interpretation of the ambiguous statutory language of statutes that the agency administers.

11. As pointed out earlier, EPA’s 1999 regulations did not require *any* review of NOIs. DEC takes the position that its review of NOIs for completeness is “meaningful review”; specifically, DEC does not authorize a small MS4’s stormwater discharges until after examining the NOI to make sure that the system operator has committed to carrying out a SWMP that comprehends, at a minimum, 44 *mandatory* best management practices (clearly identified in the NOI as “required”), and has established measurable goals by which to assess how successfully these best management practices, as implemented, control stormwater discharges to the maximum extent practicable.

whether NOIs should properly be regarded as “permits.” Citing *Chevron*, he noted that “resolution of these issues require[d] a complicated weighing of policies (e.g., administrative streamlining vs. robust inquiry) that is precisely what agencies are designed to do and courts are without the resources or experience to do” (*id.* at 881 [Tallman, J., dissenting]).

In the dissenting judge’s view, although the majority correctly recognized that EPA was allowed to use a general permit system, it

“ignore[d] the effects of the general permit. By filing an NOI, a discharger obligates itself to comply with the limitations and controls imposed by the general permit under which it intends to operate. EPA mandates that all permits (including general permits) condition their issuance on satisfaction of pollution limitations imposed by the Clean Water Act[;] . . . [t]herefore, the *general permit* imposes the obligations with which the discharger must comply (including applicable Clean Water Act standards), and EPA’s decision not to review every NOI is not a failure to insure compliance with the [statute]” (*id.* at 882).

As for the majority’s objection that EPA’s general permit system did not allow for sufficient public participation, the dissenting judge chided his colleagues for “fail[ing] to give deference to EPA and impos[ing] the majority’s own wishes instead” (*id.*). He added that where “an agency promulgates rules after a deliberative process, it is incumbent upon [the federal courts] to respect the agency’s decisions or else risk trivializing the function of that agency”; and that “[i]n this case, EPA made a permissible decision to create a general permit program supported by NOIs” (*id.*).¹²

In *Texas Ind. Producers & Royalty Owners Assn. v Environmental Protection Agency* (410 F3d 964 [7th Cir 2005]), the United States Court of Appeals for the Seventh Circuit agreed with the dissenting judge in *EDC* that NOIs are not subject to the Clean Water Act’s public participation requirements for NPDES permit applications. As mentioned earlier (*see* n 3,

12. The dissent comments that the Supreme Court “has chosen not to take up [*EDC*],” citing *Texas Cities Coalition on Stormwater v EPA* (541 US 1085 [2004]) (dissenting op at 418). The Texas Cities Coalition sought Supreme Court review of its challenge to EPA’s 1999 regulations, primarily on Tenth Amendment grounds.

supra), EPA's Phase I stormwater regulations addressed construction activities involving five or more acres, and its Phase II stormwater regulations addressed construction sites that disturb one to five acres (as well as small MS4s). EPA eventually promulgated a general permit for stormwater discharges from both large and small construction sites in those jurisdictions where it had not authorized the state or an Indian tribe to administer the NPDES program. This general permit required operators to submit an NOI to acquire coverage; a responsible corporate officer to certify the basis for eligibility for coverage; creation, maintenance and implementation of a site-specific Storm Water Pollution Prevention Plan (SWPPP), also to be certified by a corporate official; and implementation of best management practices necessary to comply with water quality standards, assure weekly site inspections and document those inspections, including detailing weather conditions.

In its petition for review, NRDC attacked the general permit's failure to make NOIs and SWPPPs available to the public and afford the opportunity for a public hearing, citing 33 USC § 1342 (j) and (a) (1).¹³ EPA responded that these provisions did not apply to NOIs and SWPPPs because NOIs and SWPPPs were not permits or permit applications. The Seventh Circuit concluded that because the Clean Water Act spoke only of permits and permit applications, not NOIs or SWPPPs, the statute was silent or ambiguous for purposes of *Chevron* analysis. Accordingly, the court was called upon to decide whether EPA had reasonably construed the relevant provisions of the Clean Water Act.

In support of its interpretation, EPA "stresse[d]" that general NPDES permitting did not "make use of a permit application"; rather, general permits were proposed through a notice in the Federal Register to solicit public comment, and "[i]t [was] at that time that the public [had] the opportunity to request a public hearing" (*id.* at 978). Once EPA issued the general permit as a final rule, a discharger intending to operate under the general permit's authority was required to comply with

13. Section 1342 (j) of the Clean Water Act provides that "[a] copy of each permit application and each permit issued under this section shall be available to the public. Such permit application or permit, or portion thereof, shall further be available on request for the purpose of reproduction"; section 1342 (a) (1) authorizes the EPA, "after opportunity for public hearing, [to] issue a permit for the discharge of any pollutant, or combination of pollutants" (see ECL 17-0805 [1] for the cognate provisions in state law).

that permit's already established terms; therefore, "there [was] no need for additional public comment or a notice period," and potentially requiring a public hearing for individual NOIs and SWPPPs risked "eviscerat[ing] the administrative efficiency inherent in the general permitting concept, in effect making the general permit scheme no different from the process for obtaining individual permits[, which] would be inconsistent with Congress' intent to allow for the use of general permits" (*id.* [citation omitted]).

Calling these rationales "eminently reasonable," the Seventh Circuit concluded that "EPA's interpretation of the terms 'permit application' and 'permit' as not including NOIs and SWPPPs is a permissible construction" (*id.*). In so holding, the court acknowledged that it disagreed with the *EDC* majority and agreed with the dissenting judge in that case, thus creating a split between the circuits (*id.* n 13).¹⁴

[1] In sum, then, the federal circuit courts are split on the question of whether EPA has permissibly interpreted the Clean Water Act to mean that an NOI is not a "permit application."¹⁵ And we obviously may not engage in *Chevron* analysis to review EPA's interpretation, which underlies the corresponding, although not identical, parts of the 2010 General Permit to

14. The parties disagree about the relevance of a third federal case, *Waterkeeper Alliance, Inc. v United States Envtl. Protection Agency* (399 F3d 486 [2d Cir 2005]), which the United States Court of Appeals for the Second Circuit handed down after *EDC* and before *Texas Ind. Producers*. This decision invalidated portions of EPA's 2003 regulations governing NPDES permitting for concentrated animal feeding operations, which are variously-sized but large-scale enterprises that raise animals like cows and pigs in confined quarters. *Waterkeeper Alliance*, however interpreted, does not eliminate the circuit split.

15. We recognize that at least one statement in EPA's 1999 regulations does not appear facially consistent with its position in the *EDC* and *Texas Ind. Producers* lawsuits. The *EDC* majority remarked that "[t]he text of [EPA's] Rule itself acknowledges that a Phase II NOI is a permit application that is, *at least in some regards*, functionally equivalent to a detailed application for an individualized permit" (*EDC*, 344 F3d at 853 [emphasis added]). In support of this proposition, the *EDC* majority (and the dissent [see dissenting op at 423 n 10]) cite 40 CFR 122.34 (d) (1), which starts out by stating "[i]n your permit application (either a notice of intent for coverage under a general permit or an individual permit application)." Section 122.34 is written in a "readable regulation" format as an answer to the question "As an operator of a regulated small MS4, what will my NPDES storm water permit require?" It is the task of the federal courts, not this Court, to figure out whether section 122.34 (d) (1) or anything else in EPA's 1999 regulations is inconsistent with the Agency's litigation posture in *EDC* and *Texas Ind. Producers* and, if so, the significance of the inconsistency.

which NRDC objects. The federal courts and EPA will have to sort this out.¹⁶ In that regard, NRDC has recently filed a petition for a writ of mandamus in the Ninth Circuit in the *EDC* case, asking that court to order EPA to amend its 1999 regulations within six months to provide individualized review of NOIs with notice and opportunity for public hearings. This is all the more reason, DEC argues, to reject “NRDC’s attempt to litigate an underlying dispute with EPA by ordering relief against DEC for *complying* with EPA’s regulations.” We agree. Unless and until EPA revises its 1999 regulations, DEC’s SPDES general permitting program for small MS4s must comply with them (as it concededly does), and DEC need not go beyond the specifications of those regulations unless New York law requires it to do so.

The Environmental Conservation Law

A SPDES general permit covers multiple entities with similar characteristics and minimal impacts (*see* ECL 70-0117 [6] [a]). SPDES general permitting allows DEC to avoid detailed review where it is not warranted and thereby frees up finite regulatory resources for the individual SPDES permitting of entities with greater impact on the environment. These were the reasons that DEC gave the legislature when it sought SPDES general permitting authority in 1988, after Congress endorsed NPDES general permitting in the Water Quality Act, and the explanations that the legislation’s sponsors gave when

16. The dissent protests that our “hands-off” approach would leave this Court with no authority to consider the legality of state agency conduct[,] [which] is most certainly not the law, as made plain by [our] administrative law jurisprudence” (dissenting op at 423). The dissent then cites four cases, only one of which—*Seittelman v Sabol* (91 NY2d 618 [1998])—involves federal law, and in *Seittelman*, the issue was whether we owed deference to a state agency’s interpretation of a federal statute. Here, NRDC is asking us to decide that a federal agency—EPA—has improperly interpreted the statute it is tasked with administering. This is quite different from *Seittelman*. DEC operates the SPDES program as EPA’s NPDES delegee, and is bound to follow EPA’s interpretation of the Clean Water Act, here expressed, as challenged, in EPA’s 1999 regulations. Federal law vests exclusive jurisdiction to review those regulations in the federal circuit courts (*see* 33 USC § 1369; *see also American Frozen Food Inst. v Train*, 539 F2d 107, 124 [DC Cir 1976]). Under the dissent’s view and notwithstanding section 1369 of title 33, the highest court in every state that administers the NPDES permit program would be empowered to second-guess EPA’s governing regulations, creating an obvious impediment to implementation of a coherent nationwide NPDES permitting scheme.

the Environmental Conservation Law was amended to empower DEC to issue SPDES general permits.

The legislature has exhibited a continuing willingness to simplify and streamline the SPDES permitting process to reduce or eliminate administrative complexities that burden DEC and the regulated community alike in ways that do not benefit the environment. For example, in 1994 the legislature amended the Environmental Conservation Law to expand general permitting and require DEC to develop a priority ranking system for individual SPDES permits in order to carry out an “environmental benefit permit strategy” (EBPS) (*see* L 1994, ch 701). Broadly described, the EBPS prioritizes SPDES permits for full technical review and, when necessary, modification, in order to insure that those point source discharges presenting the greatest risk to the environment receive the most expedient and detailed regulatory attention (*see generally* New York State Department of Environmental Conservation, Technical and Operational Guidance Series 1.2.2 [“Administrative Procedures and the Environmental Benefit Permit Strategy for Individual SPDES Permits” (issued June 2003, rev Jan. 2012)]; *see also* ECL 17-0805 [1] [b] [making a SPDES permit’s priority ranking subject to an opportunity for a public hearing]).

[2] NRDC and the dissent blur the distinction between SPDES general and individual permits by seeking to require DEC to undertake an undefined more comprehensive review of NOIs (and, apparently, to review SWMPs), and to provide an opportunity for a public hearing on NOIs/SWMPs. Thus, NRDC would like DEC to treat an NOI as though it were, or at least more like, an application for an individual SPDES permit *to be issued* rather than what it really is—a request for coverage under a general SPDES permit that has *already been issued* pursuant to the full panoply of article 70 procedures (*see* ECL 70-0117 [6] [e]; 6 NYCRR part 621).¹⁷ But the Environmental Conservation Law does not obligate DEC to conduct SPDES

17. In fact, the public enjoyed opportunities to participate in the development of the 2010 General Permit which exceed article 70’s requirements. In the fact sheet issued with the 2010 General Permit, DEC explained that, in response to “significant public interest” in the 2008 General Permit, it limited that permit’s term to two years and embarked on an 18-month post-issuance review process. All commenters on the 2008 General Permit were invited to participate, and DEC conducted nine monthly topic meetings to address green infrastructure, intermunicipal cooperation, stormwater retrofits, public participation, numeric effluent limits, MS4 funding, steep slopes, riparian buffers, total maximum daily loads and impaired waters. Following these

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general permitting for small MS4s in accordance with NRDC's and the dissent's policy preferences. SPDES general and individual permits represent *alternative* ways for small MS4s to obtain authorization for their stormwater discharges. To the extent the courts force DEC to apply the same or similar procedures for both alternatives, the resource-conserving benefits sought by the legislature when it enacted the 1988 legislation are compromised, if not altogether lost.

Here, DEC has determined that examining NOIs for completeness constitutes a sufficient level of technical regulatory review to qualify a small MS4 for initial coverage under the 2010 General Permit; and that the 2010 General Permit's public participation requirements for NOIs (i.e., notices in the Environmental Notice Bulletin to let the public know when a small MS4's NOI has been submitted to DEC and where the NOI and SWMP are physically located and may be inspected; making the NOI, which DEC posts on its website, subject to a pre-authorization 28-day public comment period) are adequate. These are reasonable judgments that DEC possesses the discretion and expertise to make in furtherance of its responsibilities under the Environmental Conservation Law to regulate stormwater discharges from small MS4s (*see Matter of Howard v Wyman*, 28 NY2d 434, 438 [1971] ["It is well settled that the construction given statutes and regulations by the agency responsible for their administration, if not irrational or unreasonable, should be upheld"]; *Matter of Davis v Mills*, 98 NY2d 120, 125 [2002] ["(T)his Court treads gently in second-guessing the experience and expertise of state agencies charged with administering statutes and regulations"]).

We have reviewed NRDC's other challenges to the lawfulness of the 2010 General Permit and consider them likewise to be without merit. Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

RIVERA, J. (dissenting in part). Petitioners are eight organizations or corporations, including lead petitioner, the not-for-profit Natural Resources Defense Council, Inc., whose several members use and enjoy New York State water bodies. Petitioners challenge New York's statewide general permit which al-

meetings, working drafts of a revised general permit and revised chapters of DEC's Stormwater Management Design Manual were reviewed with the participants. Meetings were held to discuss proposed changes to the design manual and the general permit; participants were invited to submit comments on the working drafts. DEC incorporated beneficial provisions identified during this 18-month review in the 2010 General Permit.

lows storm water pollutant discharges from small municipal storm sewer systems. I concur with the majority to the extent it affirms dismissal of petitioners' claims as related to the "no net increase" provision and monitoring. However, because I conclude that the State's general permit as currently implemented fails to comply in several respects with federal and state statutory and regulatory mandates, I dissent.

I.

A. Water Pollution Control and the Clean Water Act

Long-standing concerns over contamination of New York's and the nation's waters have led to over a century of governmental controls and prohibitions on water pollution. As far back as 1903, New York State prohibited sewage and waste discharge into public waters (*see* L 1903, ch 468). There was also early federal concern with contamination of New York's water, as reflected by congressional passage of laws in 1886 and 1888 prohibiting discharges of certain pollutants and refuse into New York Harbor (*see* 49th Cong, ch 929, § 3, 24 US Stat 310, 329 [Aug. 5, 1886]).

The Rivers and Harbors Appropriation Act of 1899 was the first statute to consolidate these and other prior federal prevention efforts, in order to establish nationwide water pollution controls. The act prohibited discharge of "any refuse matter of any kind or description whatsoever," into any navigable water of the United States without approval or a permit from the United States Army Corps of Engineers (*see* William L. Andreen, *The Evolution of Water Pollution Control in the United States—State, Local, and Federal Efforts, 1789-1972: Part II*, 22 Stan Env'tl LJ 215, 220-221 [2003]; American Bar Association, Section of Natural Resources, Energy, and Environmental Law, *The Clean Water Act Handbook* at 1 [3d ed 2011]).

Water pollution, however, remained unabated and continued to present serious public health issues (*see* Andreen at 222; Philip H. Dixon, *Environmental Law and Regulation in New York* § 6:2 [2d ed 9 West's NY Prac Series]). Congress eventually passed the Federal Water Pollution Control Act in 1948 (FWPCA) to address stream pollution which, as a result of World War II, had intensified due to "increased industrial activity and dramatically lower expenditures on wastewater treatment" (Andreen at 235). Under the FWPCA, the states bore primary responsibility for water pollution within their jurisdictions, and federal enforcement was limited (*see* Andreen at 237-238; *see also* 80th Cong, ch 758, 62 US Stat 1155 [June 30,

1948)). Over time, Congress amended the FWPCA to provide financial assistance to municipalities in the form of grants to construct sewage treatment plants and to shore up federal enforcement (*see* Andreen at 240; 62 US Stat 1158).

As national concern increased over environmental degradation and the adverse impacts of water pollution on society and the economy, Congress established the Federal Water Pollution Control Administration (*see* Water Quality Act of 1965, Pub L 89-234, 79 US Stat 903), and the Environmental Protection Agency (EPA) (*see* 42 USC § 4321 [Reorganization Plan No. 3 of 1970 establishing the EPA]). It also enacted the Water Quality Act of 1965 and the Water Quality Improvement Act of 1970. This administrative and regulatory framework was intended to ensure the adoption and enforcement of appropriate water quality standards and pollution controls.

After these efforts failed to protect the nation's waters from dangerous levels of contamination, or to halt the continued decline of water quality, Congress passed a comprehensive revision and recodification of the FWPCA in 1972 (*see* Pub L 92-500, 86 US Stat 816 [Oct. 18, 1972], codified as amended at 33 USC §§ 1251-1388). These amendments form the basis for what is best known as the Clean Water Act.

B. The Clean Water Act and the National Pollutant Discharge Elimination System

The Clean Water Act (CWA) heralded the modern era of federal water pollution control, with the stated objective to “restore and maintain the chemical, physical, and biological integrity of the Nation's waters” and the goal of eliminating water pollution (*see* 33 USC § 1251 [a]). It provided for more robust federal enforcement of pollution controls and the development and implementation of waste treatment programs (*see* Andreen at 283-284). It also declared unlawful “the discharge of any pollutant by any person,” to “navigable waters” from a “point source” (*see* 33 USC § 1311 [a]) unless authorized by federal permit, in accordance with the newly established national pollutant discharge elimination system (NPDES) (*see* 33 USC § 1342 [a]).¹

This federal permit scheme, central to the CWA and administered by the EPA, subjects permit holders to pollutant dis-

1. The CWA defines point sources as “any discernible, confined and discrete conveyance, including but not limited to any pipe, ditch, channel,

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charge limitations as well as mandatory monitoring and reporting requirements (*see* 33 USC §§ 1311 [b] [1] [A]; 1342 [b] [1] [A] [requiring SPDES permits to comply with section 1311]; *see also* Andreen at 261; Jeffrey M. Gaba, *Generally Illegal: NPDES General Permits under the Clean Water Act*, 31 Harv Envtl L Rev 409, 410 [2007]). While the NPDES permit “authoriz[es] some water pollution, [it] place[s] important restrictions on the quality and character of that licit pollution” (*Waterkeeper Alliance, Inc. v United States Envtl. Protection Agency*, 399 F3d 486, 491 [2d Cir 2005]).

The CWA imposes effluent limitations, which are “restriction[s] . . . on [the] quantities, rates, and concentrations of chemical, physical, biological, and other constituents which are discharged from point sources into navigable waters” (*id.*, citing *South Fla. Water Management Dist. v Miccosukee Tribe*, 541 US 95, 102 [2004]). The CWA defines effluent limitations as “any restriction established by a State or the Administrator on quantities, rates, and concentrations of chemical, physical, biological, and other constituents which are discharged from point sources into navigable waters, the waters of the contiguous zone, or the ocean, including schedules of compliance” (33 USC § 1362 [11]). Certain effluent limitations are technology-based, meaning they are “established in accordance with various technological standards that the [CWA] statutorily provides and that . . . vary depending upon the type of pollutant involved, the type of discharge involved, and whether the point source in question is new or already existing” (*Waterkeeper*, 399 F3d at 491). The CWA also provides for more stringent water quality-based effluent limitations when necessary to ensure state water quality standards (*see* 33 USC § 1311 [b] [1] [C]). The technology-based and water quality-based limitations are generally represented as numerical limits on specific pollutant discharges (*see Waterkeeper*, 399 F3d at 491).

A permit is issued “upon condition that such [pollutant] discharge will meet . . . all applicable requirements including the effluent limitations statutorily required” by the CWA (*id.* at 498 [brackets omitted]). Thus, under the CWA’s NPDES permit structure, “a discharger’s performance is now measured against strict technology-based effluent limitations—specified levels of treatment—to which it must conform, rather than against lim-

tunnel, conduit, well, discrete fissure, container, rolling stock, concentrated animal feeding operation, or vessel or other floating craft, from which pollutants are or may be discharged” (33 USC § 1362 [14]; *see also* 40 CFR 122.2).

itations derived from water quality standards to which it and other polluters must collectively conform” (*EPA v California ex rel. State Water Resources Control Bd.*, 426 US 200, 204-205 [1976]). As described by the United States Supreme Court

“[a]n NPDES permit serves to transform generally applicable effluent limitations and other standards—including those based on water quality—into the obligations (including a timetable for compliance) of the individual discharger, and the Amendments provide for direct administrative and judicial enforcement of permits . . . In short, the permit defines, and facilitates compliance with, and enforcement of, a preponderance of a discharger’s obligations under the [Clean Water Act] Amendments” (*id.* at 205).

The CWA itself “imposes only limited procedural obligations on the issuance of NPDES permits” (Gaba at 417). The process for obtaining a permit is specifically set forth in EPA regulations (*see* 40 CFR 122.21 *et seq.*). As a general matter, an applicant must file an EPA permit application form (*see* 40 CFR 122.21 [a] [2]). The application must be submitted at least 180 days before the applicant intends to commence discharging (*see* 40 CFR 122.21 [c] [1]), and no permit will issue if an application is deemed incomplete by the EPA (*see* 40 CFR 122.21 [e] [1]).

The CWA anticipates and requires certain opportunities for public participation. As prominently set forth in the CWA declaration of goals and policy, “[p]ublic participation in the development, revision, and enforcement of any regulation, standard, effluent limitation, plan, or program established by the [EPA] or any State . . . shall be provided for, encouraged, and assisted by the [EPA] and the States” (33 USC § 1251 [e]). The EPA may issue a NPDES permit only “after opportunity for public hearing” (33 USC § 1342 [a] [1]), and “[a] copy of each permit application and each permit issued . . . shall be available to the public” (33 USC § 1342 [j]). In addition, the EPA regulations provide for public participation in the issuance of NPDES permits, including requiring notice and opportunity for comment on the denial of permit applications or the issuance of draft permits (*see* 40 CFR 124.10 [a] [1] [i], [ii]), and the opportunity for a public hearing at the request of interested parties (*see* 40 CFR 124.11). The Administrator of the EPA shall hold a hearing where the Administrator “finds, on the basis of

requests, a significant degree of public interest in a draft permit(s)” (40 CFR 124.12 [a] [1]), or “at [the Administrator’s] discretion, whenever, for instance, such a hearing might clarify one or more issues involved in the permit decision” (40 CFR 124.12 [a] [2]).

Maximization of public involvement as a federally recognized goal is illustrated not only by the CWA’s public participation requirement, but also by its statutory provisions authorizing private civil suits (*see* 33 USC § 1365). Under the CWA, a person may commence a civil suit against individual polluters as well as federal and state government entities for failure to act in accordance with the law (*see* 33 USC § 1365 [a] [1], [2]). Private actors have actively litigated the proper enforcement of the CWA and compliance with NPDES permits (*see e.g. Los Angeles County Flood Control Dist. v Natural Resources Defense Council, Inc.*, 568 US —, 133 S Ct 710 [2013] [environmental organizations brought action against California municipal entities, alleging that they were discharging urban stormwater runoff into navigable waters in violation of the CWA]; *Decker v Northwest Environmental Defense Center*, 568 US —, 133 S Ct 1326 [2013] [environmental organization brought action against Oregon officials and timber companies, alleging that they violated the CWA by discharging stormwater from ditches alongside logging roads in state forest without NPDES permits]).

C. State Pollutant Discharge Elimination System

The CWA also allows for a federally-authorized, EPA-approved state to issue permits “for discharges into navigable waters within” the state’s jurisdiction (33 USC § 1342 [b]). Currently, a majority of states are EPA-approved to operate their own state pollutant discharge elimination system (SPDES). The laws of such state must “provide adequate authority to carry out the [permit] program” (33 USC § 1342 [b]), and the permits issued pursuant to this EPA authorization, must “apply, and insure compliance with, any applicable [CWA effluent limitations and standards]” (33 USC § 1342 [b] [1] [A]).

In 1975, the EPA authorized New York to issue permits under the State’s SPDES, established pursuant to article 17 of the Environmental Conservation Law. Thus, discharges or pollutants from point sources into the waters of the state are prohibited, unless authorized under New York’s SPDES permit program (*see* ECL 17-0803; *see also* 33 USC § 1311 [a]). In ac-

cordance with the ECL, any discharges allowed by these permits shall

“conform to and meet all applicable requirements of the [CWA] . . . and rules, regulations, guidelines, criteria, standards and limitations adopted pursuant thereto relating to effluent limitations, water quality related effluent limitations, new source performance standards, toxic and pretreatment effluent limitations, ocean discharge criteria, and monitoring, and to participate in the [NPDES] created by the [CWA]” (ECL 17-0801).

In addition to applicable federal requirements, such permits are also subject to regulations issued by the New York State Department of Environmental Conservation (DEC) (*see* 6 NYCRR part 750).

In New York, in order to obtain a permit, an interested party must file an application (*see* ECL 17-0803; 6 NYCRR 750-1.4 [a]). The applicant must secure the permit prior to actual discharge of any prohibited pollutant (ECL 17-0803 [“it shall be unlawful to discharge . . . without a SPDES permit”]; 6 NYCRR 750-1.4 [a] [“no person shall discharge . . . without a SPDES permit”]). As required by law, DEC reviews and, where appropriate, approves the permit and issues a draft permit setting forth the effluent limitations and other conditions applicable to the discharger (ECL 17-0809 [1]; 6 NYCRR 750-1.10 [a]).

Public participation under New York’s SPDES permit program is advanced through public notice requirements and an opportunity for public hearing on the permit application (*see* ECL 17-0805 [1] [b]; *see also* 6 NYCRR 750-1.12 [a] [requiring notice]). The DEC must provide notice of every draft SPDES permit, describing its terms and conditions, and must allow for a minimum 30-day public comment period (ECL 17-0805 [1] [b]). During the comment period, “[t]he department may, in its discretion, provide an opportunity for the applicant or any interested agency, person or group of persons to request or petition for a public hearing” (*id.*).

D. General Permits

As an alternative to the NPDES permit established by the CWA, the EPA passed regulations allowing the issuance of general permits “to cover one or more categories or subcategories of discharges . . . within a geographical area” (40 CFR 122.28

[a] [1]). A general permit “is a single NPDES permit that covers a number of individual discharges that would otherwise require individual NPDES permits” (*Ohio Val. Envtl. Coalition v Horinko*, 279 F Supp 2d 732, 758 [SD W Va 2003], citing 40 CFR 122.28; see also *Environmental Defense Ctr., Inc. v United States Envtl. Protection Agency*, 344 F3d 832, 853 [9th Cir 2003] [“A general permit is a tool by which EPA regulates a large number of similar dischargers”] [hereinafter *EDC*]). Unlike the single-applicant NPDES permit process, under the general permit scheme, the permitting authority may issue a general permit “containing a common set of effluent limitations and other permit conditions that will apply to a potentially large number of point sources” (Gaba at 419). As such, it provides for certain efficiencies and reduces the administrative burdens associated with an individual permit process (see *Natural Resources Defense Council, Inc. v Costle*, 568 F2d 1369, 1381 [DC Cir 1977] [“Area-wide regulation is one well-established means of coping with administrative exigency”]).

With the exception of the CWA’s authorization for general permits allowing discharges of “dredged or fill material” (see 33 USC § 1344 [e] [1]), the CWA contains no special provisions for a category of “general permits,” thus leaving the procedures and substantive contours of a general permit scheme to the EPA (see 40 CFR 122.28 [b]).² Those EPA regulations allow states to issue general permits through their SPDES programs, in accordance with federal regulatory provisions (see 40 CFR 123.1 [c] [“The (EPA) Administrator will approve State programs which conform to the applicable requirements of this part”]). All general permits, whether issued by the EPA or by an authorized state, must comply with the CWA and federal regulations (see 40 CFR 123.25 [a]).

Since under a general permit program the permit is not issued for individual dischargers, but rather sets forth requirements that all applicants must satisfy in order to lawfully discharge pollutants, public participation under this scheme is provided through a notice and comment period directed at

2. Hence, explaining 1991 legislation wherein Congress mandated that the EPA “issue final regulations with respect to general permits for stormwater discharges associated with industrial activity on or before February 1, 1992” (Pub L 102-240, § 1068, 105 US Stat 1914, 2008 [Dec. 18, 1991]). In response, EPA implemented a general permit system for stormwater discharges from industrial activities (see National Pollutant Discharge Elimination System General Permits and Reporting Requirements for Storm Water Discharges Associated with Industrial Activity, 56 Fed Reg 40948-01).

soliciting public comments on the contents of the general permit (*see* 40 CFR 124.10 [requiring notice]; 124.11 [allowing comment and requests for a hearing]). Once the general permit is finalized and approved, applicants for whom the general permit is designed may submit a notice of intent (NOI) to comply with the permit and thus acquire coverage thereunder (*see* 40 CFR 122.28 [b] [2] [i]).

New York State implements a general permit program (*see* 6 NYCRR 750-1.21 [a]). As defined in the ECL, a general permit

“cover[s] a category of point sources of one or more discharges within a stated geographical area which (i) involve the same or substantially similar types of operations, (ii) discharge the same types of pollutants, (iii) require the same effluent limitations or operating conditions, (iv) require the same or similar monitoring, and (v) which will result in minimal adverse cumulative impacts” (ECL 70-0117 [6] [a]; *see also* 6 NYCRR 750-1.21).

II.

A. Stormwater Pollutant Discharges

Congress amended the CWA in 1987 to provide for regulation of municipal and industrial stormwater discharges under the NPDES program (*see* 33 USC § 1342 [p]). Stormwater, from rain and snow, is a highly significant source of water pollution, because it flows across all types of surfaces and washes various contaminants into municipal storm sewer systems which then drain into local water bodies. According to the EPA,

“[s]torm water runoff continues to harm the nation’s waters. Runoff from lands modified by human activities can harm surface water resources in several ways[,] including by changing natural hydrologic patterns and by elevating pollutant concentrations and loadings. Storm water runoff may contain or mobilize high levels of contaminants, such as sediment, suspended solids, nutrients, heavy metals, pathogens, toxins, oxygen-demanding substances, and floatables” (40 CFR 122.30 [c]).

Regulation of stormwater discharges are particularly challenging because of the ever present rain and snow that lead to stormwater runoff, and the fact that third parties may be the

source of illicit discharges to storm sewer systems (*see* 64 Fed Reg 68789 [“EPA acknowledges the need to devise a regulatory program that is both flexible enough to accommodate the episodic nature, variability and volume of wet weather discharges and prescriptive enough to ensure protection of the water resource”]).

As provided under the CWA, the NPDES permit for municipal storm sewer discharges “shall require controls to reduce the discharge of pollutants to the maximum extent practicable, including management practices, control techniques and system, design and engineering methods, and such other provisions the [EPA] Administrator or the State determines appropriate for the control of such pollutants” (*see* 33 USC § 1342 [p] [3] [B] [iii]). The CWA does not define the maximum extent practicable standard. However, it appears to provide broad authority to agencies to control stormwater pollution.

In 1990 and 1999, the EPA adopted rules regulating municipal separate storm sewer systems (MS4s), which are systems designed to carry stormwater (*see* 40 CFR 122.26 [b] [8]). The problems associated with regulating small MS4s are complex because of these municipalities’ limited resources, the sheer numbers and diversity of the localities impacted by the general permit system, and the opportunity for an MS4 drainage system to cross geographic boundary lines, thus implicating multiple government entities.

The federal regulations authorize state agencies to issue general permits for such discharges (*see* 40 CFR 122.26 [a] [5]; 122.28 [a] [2] [i]). According to the EPA regulations, the state general permit must require that the MS4 “develop, implement and enforce a storm water management program designed to reduce the discharge of pollutants from [the] MS4 to the maximum extent practicable (MEP), to protect water quality, and to satisfy the appropriate water quality requirements of the [CWA]” (*see* 40 CFR 122.34 [a]). Further, the MS4’s stormwater management program (SWMP) “must include the minimum control measures” set forth in the EPA regulations (*id.*). The EPA has also concluded that with respect to MS4s

“narrative effluent limitations requiring implementation of best management practices (BMPs) are generally the most appropriate form of effluent limitations when designed to satisfy technology requirements (including reductions of pollutants to

the maximum extent practicable) and to protect water quality. Implementation of best management practices consistent with the provisions of the storm water management program required pursuant to this section and the provisions of the permit required pursuant to § 122.33 constitutes compliance with the standard of reducing pollutants to the ‘maximum extent practicable’ ” (40 CFR 122.34 [a]).

B. New York State’s MS4 SPDES Stormwater Discharges
General Permit

In 2003, DEC issued a General Permit for Stormwater Discharges for MS4s (General Permit), which applies to small municipalities as defined in the federal regulations (*see* 40 CFR 122.26 [b] [16]). The General Permit was renewed for two years in 2008, and renewed again for five years in 2010.³ This single General Permit currently covers 559 municipal separate storm sewer systems, statewide.

The General Permit authorizes stormwater discharges by small MS4 operators covered by the permit. Coverage is effective once the MS4 submits, and the State accepts as complete, an NOI (*see* New York State Department of Environmental Conservation, SPDES General Permit for Stormwater Discharges from Municipal Separate Storm Sewer Systems [MS4s], Permit No. GP-0-10-002 at 2, available at http://www.dec.ny.gov/docs/water_pdf/ms4gp2011.pdf, cached at <http://www.nycourts.gov/reporter/webdocs/ms4gp2011.pdf> [hereinafter General Permit] [(A)uthorization under this SPDES general permit is effective upon written notification from the (DEC) of the receipt of a complete NOI” (emphasis omitted)). The New York NOI is a form document filled out by an MS4. It contains the MS4’s affirmances that it will comply with the general permit requirements, and that it has developed an initial SWMP to be implemented in accordance with the terms of the General Permit.

Under the General Permit scheme, an MS4

“must develop (for newly authorized MS4s, implement), and enforce a SWMP designed to reduce the discharge of pollutants from small MS4s to the

3. In anticipation of the General Permit’s expiration on April 30, 2010, DEC sent a public notice of an interim draft renewal, effective for two years.

maximum extent practicable ('MEP') in order to protect water quality and to satisfy the appropriate water quality requirements of the ECL and the CWA. The objective of the permit is for the MS4s to assure achievement of the applicable water quality standards" (General Permit at 14 [Part IV. Stormwater Management Program (SWMP) Requirements, A. SWMP Background] [emphasis omitted]).

The General Permit requires the SWMP to contain the six mandatory minimum control measures set forth in the General Permit, and which mirror those contained in the EPA regulations. These control measures are titled: (1) public education and outreach on stormwater impacts; (2) public participation in the development, implementation and review of the MS4's SWMP; (3) development of a program for detecting and eliminating "illicit discharges"; (4) development of a program to control construction site stormwater runoff; (5) post-construction stormwater management; and (6) pollution prevention for municipal operations (General Permit at 49-67 [Part VIII. Minimum Control Measures—Traditional Non-Land Use and Non-Traditional MS4s]; *see also* 40 CFR 122.34 [b] [1]-[6]).

Also, DEC has identified for each minimum control certain mandatory "best management practices" to be utilized by the MS4 "to prevent or reduce the pollution of waters of the state" (General Permit at 88 [Part X. Acronyms and Definitions]). The MS4's SWMP must specifically set forth "measurable goals" for each management practice (*see id.* at 95). An MS4 documents the developed, planned, and implemented SWMP elements in a SWMP Plan (Plan),⁴ which "describe[s] how pollutants in stormwater runoff will be controlled" (*id.* at 96).

In addition to the minimum controls and management practices identified by the DEC, an MS4 "must comply with all applicable technology-based effluent standards or limitations promulgated by EPA pursuant to" the CWA (General Permit at 22 [Part VI. Standard Permit Conditions, E. Technology Standards]). Further, "[i]f an effluent standard or limitation more stringent than any effluent limitation in the SPDES general permit or controlling a pollutant not limited in the permit is promulgated or approved after the permit is issued, the SWMP

4. The Plan may be created individually or with a group of covered municipalities, and is a separate document, not to be submitted with the NOI (*see* General Permit at 96 [Part X. Acronyms and Definitions]).

plan shall be promptly modified to include that effluent standard or limitation” (*id.* at 22-23 [emphasis omitted]).

The ECL further requires that SPDES permits “insure compliance with water quality standards adopted pursuant to state law” (ECL 17-0811 [5]). The EPA regulations also prohibit issuance of SPDES permits that do not “ensure compliance with the applicable water quality requirements of all affected States” (*see* 40 CFR 122.4 [d]; 123.25 [a] [1], [15]; 122.44 [a] [1]).

The CWA requires a state to establish, as effluent limitations, water quality standards for the state’s water bodies by designating uses for every waterway and the amount of permissible pollutants that may be present without impairing those designated uses (*see* 33 USC § 1313 [c] [2] [A]). Where current technology-based pollution controls are ineffective to attain or retain water quality standards for a water body, then that body is considered “impaired” (*see* 33 USC § 1313 [d]). The CWA requires that the states priority rank these impaired waters, “taking into account the severity of the pollution and the uses to be made of such waters” (*see* 33 USC § 1313 [d] [1] [A]), and calculate for each the total maximum daily load (TMDL) for the relevant pollutants that the water body may receive from all sources while still maintaining its water quality standards for any particular pollutant (33 USC § 1313 [d] [1] [C]). The states must set reductions for sources responsible for discharging pollutants in order for the dischargers to meet the TMDL (*see* 33 USC § 1313 [d] [1] [C]). As petitioners and the State recognize, it can take years to determine a TMDL.

For those impaired waters in New York that do not have a TMDL, the State’s General Permit has established interim measures to address stormwater discharges pending designation of the applicable TMDL. In particular, effective the date the MS4 attains permit coverage, the MS4 must ensure “no net increase” in its discharge for certain pollutants, referred to as “pollutants of concern” and which are identified in the General Permit (*see* General Permit at 11, 101-108 [Part III. Special Conditions, B. Impaired Waters]). The General Permit includes pollutant load reductions for various water bodies in the state (General Permit at 78 [Part IX. Watershed Improvement Strategy Requirements, C. Pathogen Impaired Watershed MS4s]). Further, the MS4 must take all necessary actions to ensure future discharges do not cause or contribute to any existing violation of water quality standards. In other words, the Gen-

eral Permit requires the MS4 maintain the pollutant level at status quo. With respect to those water bodies for which New York has established a TMDL, the General Permit requires that the MS4 comply with the discharge reduction as “defined by the TMDL program” (General Permit at 12 [Part III. Special Conditions, B. Impaired Waters, 2. Watershed Improvement Strategies]).

The MS4’s affirmative agreement to comply with the General Permit requirements is represented in the NOI form, which consists mainly of a simplified checklist of the minimum control measures and management practices. In other words, the MS4 selects from a “menu” of required and optional management practices, and thus indicates which items the MS4 will employ to meet a given minimum control measure.⁵ In order to select from the list, the MS4 need only fill in the circle corresponding to each management practice. The NOI form also provides for a narrative description of “measurable goals,” with start and end dates “that will be used for each best management practice for each of the minimum control measures” (NOI at 12-13, 15).

5. For example, with respect to the minimum control measure “Illicit Discharge Detection and Elimination,” the NOI form requires the MS4 include in its SWMP the following management practices:

“Develop, implement and enforce a program to detect and eliminate illicit discharges to the MS4”

- “Outfall and storm sewershed boundary mapping”
- “Field verify outfalls”
- “Outfall reconnaissance inventory”
- “Prohibit illicit discharges”
- “Public, employees, businesses informed of hazards of illicit discharge”
- “Adopt and enforce local law to prohibit illicit discharges”
- “Adopt available mechanisms to prohibit illicit discharges” (see New York State Department of Environmental Conservation, Phase II SPDES General Permit for Storm Water Discharges from Municipal Separate Storm Sewer Systems [MS4s], Notice of Intent at 8 [hereinafter NOI]).

In addition to the required practices, the NOI lists, by short phrases, several optional management practices for the applicant to consider adopting:

- “System mapping”
- “Address exempt non-stormwater discharges as necessary”
- “Dye testing”
- “Shoreline surveys”
- “System inspections” (*id.*).

III.

Petitioners filed this hybrid CPLR article 78 proceeding and declaratory judgment action challenging portions of the General Permit as inconsistent with federal and state law. Petitioners requested the court remand the General Permit to DEC, with instructions that DEC modify the permit to conform with all applicable legal requirements.

Our scope of review requires that we determine whether DEC's issuance of the General Permit "was made in violation of lawful procedure, was affected by an error of law or was arbitrary and capricious or an abuse of discretion" to the extent that the permit's requirements violate state and federal law (CPLR 7803 [3]). Contrary to the majority, I conclude that DEC is in violation of applicable mandatory statutory and regulatory requirements on two grounds. First, DEC improperly grants coverage under the General Permit to an MS4 without a pre-coverage substantive review of the MS4's intended stormwater discharge control measures. Second, the State's General Permit scheme fails to provide members of the public with an opportunity to request a hearing on the contents of a MS4's NOI and SWMP.

A. New York's Small MS4 General Permit

Petitioners allege that the General Permit relies on an impermissible self-regulatory system, one that is dependent on the MS4 implementing pollution controls unverified by DEC for compliance with federal and state requirements. Specifically, petitioners claim that under federal law, the General Permit must contain effluent limitations that reduce pollutant discharges to the "maximum extent practicable," and also ensure compliance with water quality standards. Petitioners explain that New York's General Permit scheme fails to ensure the adoption of legally sufficient pollution controls because DEC authorizes an MS4 to develop and implement a stormwater discharge management program, without DEC first making an administrative determination that the specific measures chosen by the MS4 will satisfy statutory pollutant reduction standards.

DEC responds that by requiring an MS4 to adopt the six minimum control measures and certain best management practices, DEC has set the bench mark for compliance with the CWA's "maximum extent practicable" standard. According to

DEC, so long as the MS4 agrees to the minimum control measures and management practices, the MS4 has chosen a course of action that meets legal requirements.

The majority concludes that the General Permit is in compliance with the CWA and ECL, and that the petitioners merely seek for this Court to hold the SPDES General Permit to the same standards applicable to a SPDES individual permit, in contravention of the state legislature's intent (*see* majority op at 396-397). Essentially, the majority adopts DEC's position that the stormwater general permit scheme is lawful because it complies with EPA stormwater regulations and ECL requirements, and reflects the legislative preference for a streamlined regulatory process which reduces or eliminates administrative burdens (*see id.* at 395-396).

I agree with the majority that the General Permit is designed to reduce the administrative burdens associated with the SPDES individual permit program, and that our analysis of petitioners' claims must consider that these are different permitting schemes. Where I disagree with the majority is with its conclusion that the State's stormwater General Permit complies with the CWA and ECL when it does no more than allow those who seek to discharge pollutants to determine for themselves the pollution controls that satisfy the federal standard, and as a consequence insulate themselves from liability should they fall short of the federal mandate to reduce discharges to the "maximum extent practicable."

DEC's own description of the General Permit and its regulatory efforts establishes that DEC has created an impermissible scheme that allows pollution without first ensuring that the MS4s' pollution controls comply with the CWA and ECL. While the General Permit sets forth certain control measures and management practices that every MS4 must incorporate as part of its pollutant discharge control program, the MS4 is wholly responsible for the task of identifying, developing and implementing the activities and measurable goals necessary to achieve the reduction of stormwater discharges to the "maximum extent practicable." This is not itself unlawful because DEC could reasonably conclude there are administrative and substantive benefits associated with allowing the state's several hundred municipalities to develop pollution control programs designed to address local circumstances. However, by leaving to an MS4 the development and adoption of its pollutant discharge controls, and granting general permit coverage

without DEC having reviewed the MS4's program to ensure compliance with the CWA and ECL, the State has abdicated its essential regulatory role, in violation of the CWA and ECL.⁶

The mechanics of the general permit scheme are undisputed. The General Permit replaces the individual permit system with a single permit applicable to a class of dischargers. New York's General Permit contains the six minimum control measures identified by the EPA as appropriate to reducing pollutant discharges to the maximum extent practicable. DEC contends that it has determined that these measures can be achieved by application of certain best management practices and has included those in the General Permit, grouped according to their corresponding control measure. Thus, the measures, as expanded by the specified management practices, are the foundation of the DEC's approach to ensuring an MS4's reduction of stormwater pollutant discharges within the mandates of the CWA.

In directing an MS4 to employ these control measures and management practices in order to achieve compliance with the "maximum extent practicable" standard, the General Permit does little to explain the standard, other than to state that if an MS4 utilizes all the applicable management practices it will satisfy the federal standard. However, the text of the controls and management practices lacks the type of quantitative explication of objective standards which an MS4 can apply to assess whether its stormwater system's protocols actually reduce pollutant discharges to a legally sufficient level.

For example, the minimum control measure titled "Illicit Discharge Detection and Elimination," which refers to mixed stormwater discharges such as sanitary sewage, garage drain effluent, and waste motor oil, requires as a management practice that an MS4 "[d]evelop . . . , implement and enforce a program to detect and eliminate illicit discharges . . . into the small MS4" (see General Permit at 34-35 [Part VII. Minimum Control Measures—Traditional Land Use Control, A. Traditional Land-Use Control MS4 Minimum Control Measures

6. DEC contends it reviews every NOI before accepting it. However, DEC can point to only three instances in which it has rejected an NOI under the 2010 General Permit. In all three, the offending MS4 failed to identify certain best management practices that it is implementing or intends to implement. Stated differently, DEC has only rejected NOIs where the MS4 left portions of the NOI's menu blank. Despite DEC's contention to the contrary, this "review" hardly amounts to anything more than a "rubber stamp."

(MCMs), 3. Illicit Discharge Detection and Elimination (IDDE)—SWMP Development/Implementation] [emphasis omitted]). This, of course, says nothing more than that the MS4 must establish a program to comply with the law. This is but one example of the vague management practices that provide little by way of instruction on how an MS4 develops and implements specific controls to achieve sufficient reduction of discharge levels.

Each and every one of those six control measures requires that the MS4 “[d]evelop (for newly authorized MS4s), record, periodically assess, and modify as needed, measurable goals,” and also that the MS4 “[s]elect and implement appropriate . . . [activities or best management practices] and measurable goals to ensure the reduction of all [pollutants of concern] in stormwater discharges to the [maximum extent practicable]” (General Permit at 29, 33, 35, 39, 46 [Part VII. Minimum Control Measures—Traditional Land Use Control] [emphasis omitted]). As the General Permit requires, the SWMP “describe[s] the [best management practice]/measurable goal”; “identif[ies] time lines/schedules and milestones for development and implementation”; includes “quantifiable goals to assess progress over time”; and describes “how the covered entity will address [pollutants of concern]” (General Permit at 95 [Part X. Acronyms and Definitions]). These are hardly the type of “highly specific” controls DEC claims them to be.

While the General Permit references other guidance, the guidance is non-binding. Moreover, it is still the case that the MS4 could choose to ignore the guidance, believing it has complied with the maximum extent practicable standard only to learn later that it has violated the CWA. This is not a merely speculative assessment of the general permit structure because as the permit itself states

“[i]f a covered entity chooses only a few of the least expensive methods, it is likely that MEP has not been met. On the other hand, if a covered entity employs all applicable BMPs except those where it can be shown that they are not technically feasible in the locality, or whose cost would exceed any benefit to be derived, it would have met the standard. MEP required covered entities to choose effective BMPs, and to reject applicable BMPs only where other effective BMPs will serve the same purpose,

the BMPs would not be technically feasible, or the cost would be prohibitive” (General Permit at 91 [Part X. Acronyms and Definitions]).

As this suggests, something less than adoption of all of the management practices may comply with the maximum extent practicable standard, but when that would be the case and under what circumstances is uncertain and subject to the particularities of the MS4.

More significant than the opportunity for an MS4 to select additional management practices—or even substitute mandatory best management practices with management practices the MS4 determines on its own are better suited or economically feasible, and yet still designed to achieve reduction to the maximum extent practicable—is the fact that, even if the mandatory management practices were clearer and specific, the General Permit does not, alone, set the limitations that each MS4 will implement. Instead, DEC delegated that task to the MS4. The General Permit requires that in order to utilize the measures and management practices, the MS4 must determine the details and logistics of the management practices it has selected. Thus, the general permit scheme depends on each MS4’s determination and eventual adoption of the most efficacious practices that the MS4 will apply to achieve the statutory goal of pollutant discharge reductions to the maximum extent practicable.

To that end, the General Permit specifically requires that the MS4 develop and implement a SWMP “designed to reduce the discharge of pollutants from small MS4s to the maximum extent practicable . . . in order to protect water quality and to satisfy the appropriate water quality requirements of the ECL and the CWA” (*see* General Permit at 14 [Part IV. Stormwater Management Program (SWMP) Requirements, A. SWMP Background]). Although the General Permit requires the SWMP to contain the six measures and the mandatory management practices, the SWMP does more than merely recite them. Rather, the SWMP expounds upon them, and thus reflects the MS4’s determination of the appropriate limits necessary to achieve CWA compliance.

That determination is set forth in the “measurable goals” the MS4 develops for each of the management practices. These goals are intended to “help the covered entities assess the

status and progress of their program” (General Permit at 95 [Part X. Acronyms and Definitions]). They “should reflect the needs and characteristics of the covered entity and the areas served by its small MS4. Furthermore, the goals should be chosen using an integrated approach that fully addresses the requirements and intent of the [minimum control measures]” (*id.* at 91).

This is not a static process, because as the General Permit indicates, “[t]he assumption is that the program schedules would be created over a 5 year period and goals would be integrated into that time frame” (*id.*). Particularly troubling is the fact that DEC does not review the SWMP or the Plan. In fact, it appears DEC has gone to great lengths to avoid formal consideration of both by prohibiting inclusion of the SWMP with the MS4’s NOI, and by allowing up to three years after the effective date of permit coverage for the MS4 to develop and implement the Plan.

If, as DEC argues, all that is required to result in discharge reductions sufficient to comply with the CWA is the employment of the minimum control measures and the mandatory management practices, there would be no need for municipal development and articulation of “activities,” “measurable goals” and “other techniques.” In reality, the MS4 is left to details where none have been provided, and to craft a SWMP and Plan to guide the implementation of its stormwater discharge reduction efforts. Notably, DEC anticipates that those efforts will change over time, and thus allows the Plan to be developed and implemented up to three years after the MS4 gains coverage under the General Permit.

The majority concludes that “[t]here is no doubt that the 2010 General Permit complies with EPA’s 1999 regulations” (majority op at 390). However, those very same federal regulations for small municipal separate storm sewer systems were deemed to violate the CWA in *EDC* because they failed to provide for meaningful administrative review (*see* 344 F3d 832, 856 [9th Cir 2003]). In that case, the Ninth Circuit Court of Appeals considered a challenge to the EPA’s stormwater Phase II rule, under which small MS4s were authorized by an NPDES general permit to immediately commence the discharge of stormwater after submitting an NOI. Unlike the “traditional general permitting model,” the court explained, “the Phase II Rule requires that each NOI contain information on an

individualized pollution control program that addresses each of the six general criteria specified in the Minimum Measures” (*id.* at 853). Under the rule, the EPA was not required to conduct a review of each NOI prior to discharge authorization, as it is required to conduct before granting an application for an individual permit (*id.* at 854-856). The Ninth Circuit held that the permitting scheme violated 33 USC § 1342 (p) (3) (B) (iii) because “nothing prevents the operator of a small MS4 from misunderstanding or misrepresenting its own stormwater situation and proposing a set of minimum measures for itself that would reduce the discharges by far less than the maximum extent practicable” (*EDC*, 344 F3d at 855). Moreover,

“in order to receive the protection of a general permit, the operator of a small MS4 needs to do nothing more than decide for itself what reduction in discharges would be the maximum practical reduction. No one will review that operator’s decision to make sure that it was reasonable, or even good faith” (*id.*).

As a consequence, the “EPA would allow permits to issue that would do less than *require* controls to reduce the discharge of pollutants to the maximum extent practicable” (*id.*). Accordingly, the court remanded that aspect of the rule.

The Second Circuit applied similar reasoning to reject EPA’s NPDES permitting scheme, albeit in a case involving different water pollutants, namely emissions from concentrated animal feeding operations (CAFOs) proscribed by the EPA’s CAFO rule. In *Waterkeeper*, the Circuit Court concluded that the CAFO rule did not require NPDES permitting authorities to review the management plans to ensure that the plans were developed and implemented so as to reduce discharges as required by the federal regulations (*Waterkeeper*, 399 F3d at 500).

New York’s General Permit similarly fails for the reasons articulated by the circuit courts in *EDC* and *Waterkeeper*. Although the Appellate Division concluded that the General Permit “include[s] a variety of enforcement measures that are sufficient to comply with the maximum extent practicable standard” (*Matter of Natural Resources Defense Council, Inc. v New York State Dept. of Envtl. Conservation*, 120 AD3d 1235, 1243 [2014]), that is beside the point because the issue is not the propriety of the measures or the management practices,

because those alone do not establish the details of any particular MS4's stormwater discharge program. Indeed, petitioners do not challenge DEC's choice of minimum controls or management practices. Rather, they challenge DEC's failure to assess for legal adequacy the pollutant discharge proscriptions actually developed by the municipalities, and intended to be applied by the MS4s.

The fact that DEC provides a menu of management practices cannot save the general permit scheme because "nothing requires that the combination of items that the operator of a small MS4 selects from this 'menu' will have the combined effect of reducing discharges to the maximum extent practicable" (*EDC*, 344 F3d 832, 855 n 32). Moreover, it is not the amount of choices that matters here—as the DEC suggests by arguing that it imposes 44 mandatory management practices—because more practices are meaningless if there is no assessment as to whether the MS4 understands how those practices work and how to apply them to ensure pollutant discharge reduction to the level required by the CWA. This is certainly the case here where the CWA's maximum extent practicable standard is intentionally undefined, and where DEC's management practices are vague and generalized, often redundant of the minimum controls.

The majority appears to marginalize the decision in *EDC*, characterizing it as part of a federal circuit court split (*see* majority op at 394).⁷ However, in *EDC*, the Ninth Circuit vacated the EPA regulations to the extent they did "allow permits to issue that would do less than *require* controls to reduce the discharge of pollutants to the maximum extent practicable" (*EDC*, 344 F3d at 855-856, citing 64 Fed Reg 68753). Rather than a division among the circuit courts, the Ninth Circuit decision is the only circuit decision on the validity of the regulations' content. While the United States Supreme Court is the final word on the proper interpretation of the CWA and the EPA regulations, that Court has chosen not to take up the case (*see Texas Cities Coalition on Stormwater v EPA*, 541 US 1085 [2004] [denying petition for writ of certiorari]). Moreover, the Ninth Circuit decision has affected the EPA's application of the regulations. Indeed, the EPA issued post-*EDC* guidance to Wa-

7. The majority treats *Waterkeeper* similarly, relegating it to a footnote because that decision, "however interpreted, does not eliminate the circuit split" (*see* majority op at 394 n 14).

ter Management Division Directors stating that “[t]he permitting authority will need to conduct an appropriate review of Phase II MS4s’ NOIs to ensure consistency with the permit.”⁸

Even assuming we could simply ignore that the EPA regulations have been vacated in relevant part, notwithstanding the majority’s conclusion that the State’s General Permit “concededly” complies with the EPA regulations, the fact is that the EPA regulations require implementation of best management practices consistent with the SWMP (*see* 40 CFR 122.34 [a] [“Implementation of best management practices consistent with the provisions of the storm water management program required pursuant to this section and the provisions of the permit required pursuant to § 122.33 constitutes compliance with the standard of reducing pollutants to the ‘maximum extent practicable’ ”]). Therefore, so long as DEC allows general permit coverage to an MS4 without ensuring the intended consistency between management practices and the individualized protocols set forth in the SWMP, the State is in violation of the CWA (*see* 33 USC § 1342 [p] [3] [B] [iii] [providing that MS4 permits “shall require controls to reduce the discharge of pollutants to the maximum extent practicable, including management practices, control techniques and system, design and engineering methods, and such other provisions as the Administrator or the State determines appropriate for the control of such pollutants”]).

It is undeniable that DEC has made efforts to adopt a general permit scheme that complies with the CWA and ECL, and which provides an administratively feasible approach to the difficult task of reducing stormwater pollutant discharges. Nevertheless, DEC’s current approach is legally impermissible. Of course, it is for the State, and not the judiciary, to establish the State’s review and assessment protocols (*see Akpan v Koch*, 75 NY2d 561, 570 [1990] [“courts may not substitute their judgment for that of the agency for it is not their role to weigh the desirability of any action or to choose among alternatives” (internal quotation marks and brackets omitted)]). It very well

8. This guidance pre-dates the Seventh Circuit’s decision in *Texas Ind. Producers & Royalty Owners Assn. v Environmental Protection Agency* (410 F3d 964 [7th Cir 2005]) which held, contrary to the Ninth Circuit, that NOIs are not subject to the CWA public participation requirements. However, the EPA guidance has not been rescinded and there is nothing to suggest the obsolescence of the guidance with respect to agencies ensuring consistency with the permit and compliance with the CWA.

may be that the State determines, as have other jurisdictions,⁹ that review of the SWMP and the Plan is but one way by which the State may comprehensively and expeditiously comply with its regulatory mandate. How best to address this issue should be left to New York.

B. Public Participation Requirements

Petitioners argue that DEC violates statutory public participation requirements by failing to provide an opportunity for public comment and to request a public hearing on a MS4's NOI and SWMP, prior to DEC's authorization of coverage under the General Permit. DEC currently provides a full public notice and comment period and an opportunity to request a public hearing on the General Permit, and DEC also affords an additional 28-day pre-coverage public comment period with respect to each NOI (*see* General Permit at 8 [Part II. Obtaining Permit Coverage]). The majority concludes this meets all applicable legal requirements. I disagree and would find that the CWA and ECL require more pre-coverage public participation. Specifically, because the NOI and SWMP must contain the MS4s' pollution controls, and the SWMP must be developed in advance of the NOI, which is then submitted to obtain coverage under the General Permit, DEC must provide an opportunity to request a public hearing for any particular NOI and SWMP.

Congress explicitly sought to encourage public participation in the development and implementation of the nation's water pollution control measures, and required that the EPA and the states provide for, encourage, and assist with "[p]ublic participation in the development, revision, and enforcement of any regulation, standard, effluent limitation, plan, or program established by the [EPA] or any State" (33 USC § 1251 [e]). The intended transparency of the process is reflected in the CWA

9. Texas and Mississippi, for example, require the submission of a full SWMP contemporaneously with the filing of an NOI for substantive review (*see* Texas Commission on Environmental Quality, General Permit to Discharge under the Texas Pollutant Discharge Elimination System part II [E] [1] [2013] available at https://www.tceq.texas.gov/assets/public/permitting/stormwater/txr040000_issued_permit.pdf [accessed Apr. 13, 2015]; Mississippi Department of Environmental Quality, Small Municipal Separate Storm Sewer System [MS4] General Permit, Condition S-1 [2009], available at [http://www.deq.state.ms.us/mdeq.nsf/pdf/epd_MS4PhaseIIStormWaterGeneralPermit/\\$File/22General.pdf?OpenElement](http://www.deq.state.ms.us/mdeq.nsf/pdf/epd_MS4PhaseIIStormWaterGeneralPermit/$File/22General.pdf?OpenElement) [accessed Apr. 14, 2015]).

requirement that permit applications, and the NPDES and SPDES permits themselves be made public (*see* 33 USC § 1342 [j]). With respect to the demand for administrative hearings, the CWA provides that the EPA may issue a permit “*after* opportunity for public hearing” (*see* 33 USC § 1342 [a] [1] [emphasis added]).

The ECL also mandates public participation with respect to SPDES coverage. State law requires “[p]ublic notice of a complete application for a SPDES permit” (ECL 17-0805 [1] [a]), which shall include “a statement that written comments or requests for a public hearing on the permit application . . . may be filed by a time and at a place specified” (ECL 17-0805 [1] [a] [ix]). The public comment shall last “not less than thirty days following the date of the public notice . . . during which time interested persons may submit their written views with respect to the application and the priority ranking of the permit” (ECL 17-0805 [1] [b]).

Petitioners argue that the public should have the opportunity to request a hearing on the contents of the NOI and SWMP because both contain the MS4’s pollution controls. Petitioners are correct that an MS4 must identify and list in the NOI its chosen management practices, and it must include in the SWMP the controls to reduce the discharge pollutants in accordance with the maximum extent practicable standard. Thus, the NOI and SWMP not only affirm that the MS4 will comply with the General Permit’s terms, but they also explain how the MS4s will meet legal requirements, based on the localities’ unique circumstances. Indeed, to ensure for itself that an MS4 understands its duties and obligations, the DEC must refer to the NOI and SWMP.

Here, DEC issued a General Permit for the specific purpose of allowing stormwater pollutant discharges by a covered MS4, where an MS4 has agreed to meet conditions set forth in the CWA, ECL, federal and state regulations, and the General Permit. A cursory review of the General Permit makes clear that it is not specific to any particular MS4, but rather it is generic, intended to set forth the minimum requirements identified by DEC, which must be complied with by every MS4 seeking coverage under the General Permit. However, as DEC has vigorously contended, general permit coverage is not automatic, but requires that the MS4 submit an NOI which DEC must then accept as complete.

According to the General Permit, the NOI affirms that a SWMP has been developed. As the parties concede, the NOI and SWMP contain what DEC considers to be the mandatory limitations and measurable goals an MS4 proposes to implement in order to ensure stormwater pollutant discharge reduction to the maximum extent practicable, as required by the CWA. Clearly, then, submission of a completed NOI, based as it is on an initial SWMP, is the MS4's entree to the general permit system, and is a necessary step to securing authorization to lawfully discharge pollutants in accordance with the CWA and ECL. If the NOI, and the prerequisite SWMP, do not constitute a permit application, then what other avenue does an MS4 have to secure permit coverage and authorization to lawfully discharge pollutants? The NOI and SWMP constitute an application in everything but name.

The DEC argues that the CWA and ECL public hearing requirements apply only to individual permit applications, and that public participation requirements are satisfied because the public has the opportunity to submit comments and request a public hearing regarding the General Permit itself. The EPA similarly argued in *Texas Ind. Producers & Royalty Owners Assn. v Environmental Protection Agency* (410 F3d 964 [7th Cir 2005]). In that case, the Seventh Circuit Court of Appeals agreed with the EPA that the CWA did not require the agency to provide a comment period or an opportunity to request a public hearing on NOIs and Storm Water Pollution Prevention Plans (SWPPP) submitted under the EPA's "Final National Pollutant Discharge Elimination System General Permit for Storm Water Discharges From Construction Activities." The court concluded that the CWA was ambiguous as to whether NOIs and SWPPPs are "permits" or "permit applications," and in accordance with *Chevron U.S.A. Inc. v Natural Resources Defense Council, Inc.* (467 US 837 [1984]) judicially deferred to the EPA's interpretation of those statutory terms (*see Texas Ind. Producers*, 410 F3d at 978). The court accepted as reasonable EPA's argument that individual public hearings for NOIs and SWPPPs would eviscerate the administrative efficiency of the general permit scheme (*id.*).

In contrast, in *EDC*, the Ninth Circuit had previously rejected the EPA's argument that the CWA public hearing opportunity requirement did not apply to NOIs because they are not "permits." Instead, the Ninth Circuit held that the "NOI establishes what the discharger will do to reduce discharges to

the ‘maximum extent practicable’ ” and therefore is “functionally equivalent to a detailed application for an individualized permit” (344 F3d at 853).

The majority contends that the federal courts will have to resolve this “circuit split,” and concludes that DEC’s general permit scheme is permissible because it complies with the EPA’s regulations and New York’s law does not require more. I disagree because the majority’s conclusion is unsupportable on the record before us.

Notably, the EPA’s position in both cases is counter to the EPA’s own description in its stormwater regulations that a permit application is inclusive of “a notice of intent for coverage under a general permit” (40 CFR 122.34 [d] [1]). This inconsistency alone undermines the State’s argument that the NOI is something other than a permit or permit application.¹⁰

Additionally, the majority’s “hands-off” approach would leave this Court with no authority to consider the legality of state agency conduct. That is most certainly not the law, as made plain by this Court’s administrative law jurisprudence (*see Seittelman v Sabol*, 91 NY2d 618, 625 [1998] [invalidating state regulation that was “inconsistent with the controlling Federal statute it was intended to implement”]; *see also Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980] [the Court affords an agency *no* deference if its interpretive regulations “run() counter to the clear wording of a statutory provision”]; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98, 100 [1997] [holding that “when an (agency) interpretation is contrary to the plain meaning of the statutory language,” the court may overrule and “decline() to enforce an agency’s conflicting application thereof”]; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of*

10. The majority holds that while 40 CFR 122.34 “does not appear facially consistent” with the EPA’s position in *EDC* and *Texas Ind. Producers*, that section of the EPA’s regulations is part of a “question and answer” format intended to clarify requirements applicable to regulated small MS4s (*see* majority op at 394 n 15). Therefore, according to the majority, it is for the federal courts to determine whether the regulations are inconsistent with the EPA’s position in those federal cases. However, whether the EPA has taken a position at odds with what DEC now asserts is the correct and intended interpretation of the federal regulations is, of course, relevant to this Court’s analysis of DEC’s defense to petitioners’ claims. Turning to the regulations, it is clear from the text of 40 CFR 122.34 (d) (1) that a small MS4’s NOI is a general permit application. Notwithstanding the majority’s word play, there is no avoiding that the federal regulations are inconsistent with the EPA’s position in *EDC* and *Texas Ind. Producers*.

Health & Mental Hygiene, 23 NY3d 681 [2014] [striking down the New York City Board of Health’s restriction on soda portions as exceeding its regulatory authority given by the legislature]).¹¹ Moreover, absent binding precedent from the United States Supreme Court, there is no legal impediment to this Court interpreting federal law (*see Flanagan v Prudential-Bache Sec.*, 67 NY2d 500, 506 [1986] [“When there is neither decision of the Supreme Court nor uniformity in the decisions of the lower Federal courts . . . a State court required to interpret (a) Federal statute has the same responsibility as the lower Federal courts and is not precluded from exercising its own judgment”]).

We should reject DEC’s argument because under the general permit scheme the NOI and SWMP replace an individual permit application. To adopt approvingly DEC’s position, and EPA’s argument in *Texas Ind. Producers*, fails to sufficiently interrogate the general permit regulatory scheme, or fully appreciate the role of the general public in the general permitting process. Moreover, the Court’s conclusion that requiring public hearings for each individual NOI and SWPPP would be inconsistent with congressional intent is not supported by the language of the CWA. The stated purpose of that statute is to restore and maintain the integrity of the nation’s waters, eliminate the discharge of pollutants into navigable waters, and ensure public participation in the development and implementation of any “plan or program” administered under the CWA by the states. While there may be administrative efficiencies

11. The majority argues that DEC, as the permitting agency, must follow the EPA’s interpretation of the CWA, but contends that I suggest every state’s high court may second-guess the EPA (*see* majority op at 395 n 16). However, my point is not that we can decide counter to the EPA, but rather that the Ninth Circuit already has, and we cannot ignore that fact or the Ninth Circuit’s analysis, even if DEC and the majority would have it otherwise.

There is also no support for the majority’s concern that our review poses a potential “impediment to implementation of a coherent nationwide NPDES permitting scheme” (*id.*). The EPA provides that while SPDES permits must comply with federal regulations and the CWA, “[n]othing in [the regulations] precludes a State from . . . [a]dopting or enforcing requirements which are more stringent or more extensive than those required [by the EPA]” (40 CFR 123.1 [h] [i] [1]). Nor is there a legal impediment to “[o]perating a program with greater scope of coverage than that required [by the federal regulations]” (40 CFR 123.1 [h] [i] [2]). Indeed, the EPA expressly requires MS4s to “comply with any more stringent effluent limitations in [their State-issued] permit” (40 CFR 122.34 [e] [1]). It would appear, then, that differences among the circuit courts are the more likely obstacles to national uniformity.

supporting the use of a general permit scheme, they do not outweigh the explicit objectives and goals of the CWA to protect the country's waters. In any event, because the EPA regulations allow for individual permits even where a general permit is in place, the efficiency argument propounded by the DEC and EPA is underwhelming (*see* 40 CFR 122.28 [b] [3] [i]).

What is actually counter to the intent of the CWA is to provide an opportunity to request a public hearing in cases involving individual permits, while denying the same under a statewide general permit scheme involving pollutant discharges from hundreds of MS4s. The latter potentially implicates the integrity of local water bodies more significantly than the actions of any single polluter, and therefore requires the type of public scrutiny and engagement envisioned by the CWA (*see* 33 USC § 1342 [a] [1] [the EPA may issue a NPDES permit only “after opportunity for public hearing”]).

Therefore, DEC's determination that neither the CWA nor the ECL requires an opportunity for a public hearing on the NOIs and SWMPs, prior to DEC granting permit coverage, ignores the obvious purpose and role of these documents, and undermines the CWA's public participation requirement. As such, DEC's interpretation is not entitled to deference, and is, for the reasons I have stated, arbitrary and capricious. Therefore, the NOI and SWMP should be subject to statutory public participation requirements that include the opportunity to request a public hearing.

IV.

Accordingly, the 2010 General Permit does not provide for adequate review of NOIs or meaningful public participation in accordance with the CWA. Thus, I would modify the Appellate Division order to remit the Permit to DEC for compliance. I agree with the majority that petitioners' remaining contentions are without merit (*see* majority op at 397).

Judges PIGOTT, ABDUS-SALAAM and STEIN concur; Judge RIVERA dissents in part in an opinion in which Chief Judge LIPPMAN and Judge FAHEY concur.

Order, insofar as appealed from, affirmed, with costs.

[34 NE3d 815, 13 NYS3d 305]

RAUL BARRETO, Appellant, et al., Plaintiff, v METROPOLITAN
TRANSPORTATION AUTHORITY et al., Respondents. (And
Third-Party Actions.)

Argued February 11, 2015; decided May 7, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 31, 2013. The Appellate Division affirmed an order of the Supreme Court, New York County (Michael D. Stallman, J.; op 2012 NY Slip Op 30858[U] [2012]), which had (1) granted defendant IMS Safety Inc.'s motion for summary judgment dismissing the complaint as against it; (2) granted defendants Metropolitan Transportation Authority's and New York City Transit Authority's motion for summary judgment dismissing the complaint and all cross claims as against them; (3) granted defendant City of New York's cross motion for summary judgment dismissing the complaint and all cross claims asserted against it; (4) denied plaintiff's cross motion for partial summary judgment against all defendants on his Labor Law §§ 240 (1) and 241 (6) claims and against defendants Metropolitan Transportation Authority, New York City Transit Authority, and IMS Safety Inc. on his common-law negligence and Labor Law § 200 claims; and (5) dismissed the complaint. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of Supreme Court, properly made?"

Barreto v Metropolitan Transp. Auth., 110 AD3d 630, modified.

HEADNOTES

Labor — Safe Place to Work — Fall into Uncovered Manhole — Sole Proximate Cause

1. Plaintiff, an asbestos handler who, after finishing a shift during overnight hours removing asbestos from electrical cables below street level, fell into an uncovered manhole while attempting to disassemble the containment enclosure around the manhole, was entitled to partial summary judgment on his Labor Law § 240 (1) claims against defendants City of New York, as owner of the property, and New York City Transit Authority and Metropolitan Transportation Authority, as lessees of the property. Section 240 (1) imposes upon owners, contractors and their agents a nondelegable duty to provide safety devices for construction work involving elevation-related hazards. Where an accident is caused by a violation of the statute, the

plaintiff's own negligence does not furnish a defense. However, there can be no liability where a plaintiff's own negligence is the sole proximate cause of the accident. Here, plaintiff established the absence of an adequate safety device based on the testimony of the safety consultant's president that there should have been a guardrail system around the open manhole while the enclosure was being dismantled. While plaintiff's supervisor had directed that the manhole cover be replaced before the workers began disassembling the enclosure, plaintiff's conduct was not the sole proximate cause of his injuries. It took at least two workers to move the manhole cover due to its weight. In addition, plaintiff testified that the lights inside the enclosure had been turned off prior to disassembly.

Labor — Safe Place to Work — Statutory Agent

2. In an action arising from plaintiff asbestos handler's fall into an uncovered manhole while attempting to dismantle a containment enclosure after finishing a shift during overnight hours removing asbestos from electrical cables below street level, the Appellate Division erred in holding, as a matter of law, that defendant site safety consultant company was not a statutory agent subject to liability for plaintiff's injuries under Labor Law § 240 (1). The president of defendant company testified that there should have been a guardrail system around three sides of the open manhole while the containment enclosure was being dismantled. Testimony also established that it was part of the company's responsibility to ensure that a guardrail system was in place, that the manhole cover was replaced once the system was removed, that the manhole was covered before workers disassembled the enclosure, and that the company had the authority to stop plaintiff from working in the area of the missing manhole cover. Thus, there was a question of fact as to whether the company had the ability to control the activity which brought about the injury.

Labor — Safe Place to Work — Liability of Property Lessee — No Supervision or Control

3. In an action arising from plaintiff asbestos handler's fall into an uncovered manhole while attempting to dismantle a containment enclosure after finishing a shift during overnight hours removing asbestos from electrical cables below street level, the Appellate Division properly dismissed plaintiff's common-law negligence and Labor Law § 200 claims against defendants New York City Transit Authority and Metropolitan Transportation Authority, as lessees of the location where plaintiff was injured. Defendants established that they did not supervise or control plaintiff's work, or that neither of them had notice of the alleged dangerous condition or defect. Plaintiff failed to raise a triable issue of fact in that regard.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Employment Relationship §§ 250, 251, 265;
AM JUR 2d, Premises Liability §§ 10, 13.
DOBBS LAW OF TORTS §§ 218, 278.
NY JUR 2d, Employment Relations §§ 365–368, 380, 386;
NY JUR 2d, Premises Liability §§ 142, 172, 199, 222,
223.
NEW YORK LAW OF TORTS §§ 8:16, 12:84–12:87.

ANNOTATION REFERENCE

See ALR Index under Manholes; Occupational Safety and Health; Premises Liability.

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POINTS OF COUNSEL

Gorayeb & Associates, P.C., New York City (*John M. Shaw* of counsel), for appellant. I. Plaintiff should have been awarded partial summary judgment against defendants on plaintiff's Labor Law § 240 (1) cause of action and the motions to dismiss that claim should have been denied. (*Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Koenig v Patrick Constr. Corp.*, 298 NY 313; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 65 NY2d 1054; *Quigley v Thatcher*, 207 NY 66; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Ortega v City of New York*, 95 AD3d 125; *Klapa v O&Y Liberty Plaza Co.*, 218 AD2d 635; *Runner v New York Stock Exch., Inc.*, 13 NY3d 599; *McCann v Central Synagogue*, 280 AD2d 298.) II. In its decision, the Appellate Division misconstrued the facts, ignored other facts and misapplied well settled law regarding sole proximate cause/recalcitrance. (*O'Connor v Enright Marble & Tile Corp.*, 22 AD3d 548; *Orellana v American Airlines*, 300 AD2d 638; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Singh v Barrett*, 192 AD2d 378; *Bland v Manocherian*, 66 NY2d 452; *MacNair v Salamon*, 199 AD2d 170; *Yu Xiu Deng v A.J. Contr. Co.*, 255 AD2d 202; *Morales v Spring Scaffolding, Inc.*, 24 AD3d 42; *Harris v Rodriguez*, 281 AD2d 158; *Weininger v Hagedorn & Co.*, 91 NY2d 958.) III. Plaintiff has maintained a viable Labor Law § 241 (6) claim in that plaintiff has cited to specific and relevant Industrial Code sections and was not the sole proximate cause of the accident. (*Caddy v Interborough R.T. Co.*, 195 NY 415; *Lewis-Moors v Contel of N.Y.*, 78 NY2d 942; *Joblon v Solow*, 91 NY2d 457; *Nagel v D & R Realty Corp.*, 99 NY2d 98; *Copertino v Ward*, 100 AD2d 565; *Maher v Atlas Tr. Mix Corp.*, 104 AD2d 591; *Celestine v City of New York*, 86 AD2d 592, 59 NY2d 938; *Olsen v James Miller Mar. Serv., Inc.*, 16 AD3d 169; *O'Connor v Lincoln Metrocenter Partners*, 266 AD2d 60; *Messina v City of New York*, 300 AD2d 121.) IV. Plaintiff's Labor Law § 200 and common-law negligence claims

have merit and should not have been dismissed. (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Russin v Louis N. Picciano & Son*, 54 NY2d 311; *DaBolt v Bethlehem Steel Corp.*, 92 AD2d 70, 60 NY2d 701; *Giuffrida v Metro N. Commuter R.R. Co.*, 279 AD2d 403; *Negri v Stop & Shop*, 65 NY2d 625; *Giambrone v New York Yankees*, 181 AD2d 547; *Forde v Columbus McKinnon Corp.*, 274 AD2d 446; *Landry v General Motors Corp., Cent. Foundry Div.*, 210 AD2d 898; *Barzaghi v Maislin Transp.*, 115 AD2d 679, 67 NY2d 852; *Murdoch v Niagara Falls Bridge Commn.*, 81 AD3d 1456.)

Wilson Elser Moskowitz Edelman & Dicker LLP, New York City (*Patrick J. Lawless* of counsel), for Metropolitan Transportation Authority and another, respondents. I. The plaintiff's Labor Law § 240 (1) claim was properly dismissed as the evidence clearly shows that he was the sole proximate cause of the accident. (*Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Montgomery v Federal Express Corp.*, 4 NY3d 805; *Hunt v Meyers*, 63 AD3d 685; *Hughes-Berg v Mueller*, 50 AD3d 856; *Burke v Hilton Resorts Corp.*, 85 AD3d 419; *Kosavick v Tishman Constr. Corp. of N.Y.*, 50 AD3d 287; *Morales v Spring Scaffolding, Inc.*, 24 AD3d 42.) II. The plaintiff's Labor Law § 241 (6) claim was properly dismissed. (*Parker v 205-209 E. 57th St. Assoc., LLC*, 100 AD3d 607.) III. The plaintiff's Labor Law § 200 and common-law negligence claims were properly dismissed. (*Ortega v Puccia*, 57 AD3d 54; *Azad v 270 5th Realty Corp.*, 46 AD3d 728; *Kerins v Vassar Coll.*, 15 AD3d 623; *Dennis v City of New York*, 304 AD2d 611; *Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Russin v Louis N. Picciano & Son*, 54 NY2d 311; *O'Sullivan v IDI Constr. Co., Inc.*, 7 NY3d 805; *Cahill v Triborough Bridge & Tunnel Auth.*, 31 AD3d 347; *Dalanna v City of New York*, 308 AD2d 400.)

Zachary W. Carter, Corporation Counsel, New York City (*Susan Paulson* and *Francis F. Caputo* of counsel), for City of New York, respondent. Plaintiff's claims were correctly dismissed because his own failure to observe the safety requirements of his employment was the sole proximate cause of his accident. (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Hagins v State of New York*, 81 NY2d 921; *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35; *Robinson v East Med. Ctr., LP*, 6 NY3d 550; *Ares v State of New York*, 80 NY2d 959.)

Jones Morrison, LLP, Scarsdale (Clifford I. Bass of counsel), for IMS Safety Inc., respondent. I. The plaintiff's claims under Labor Law §§ 240 (1) and 241 (6) were properly dismissed against IMS Safety Inc. (*Russin v Louis N. Picciano & Son*, 54 NY2d 311; *Nascimento v Bridgehampton Constr. Corp.*, 86 AD3d 189; *Doherty v City of New York*, 16 AD3d 124; *Smith v McClier Corp.*, 22 AD3d 369; *Lamia v City of New York*, 2008 NY Slip Op 32136[U]; *Lazarou v Turner Constr. Co.*, 18 AD3d 398; *Loiacono v Lehrer McGovern Bovis*, 270 AD2d 464; *Generoso v New York City Hous. Auth.*, 2008 NY Slip Op 33596[U]; *Cappabianca v Skanska USA Bldg. Inc.*, 99 AD3d 139; *Pope v Safety & Quality Plus, Inc.*, 111 AD3d 911.) II. The plaintiff's Labor Law § 200 and common-law negligence claims were properly dismissed against IMS Safety Inc. (*Jock v Fien*, 80 NY2d 965; *Buckley v Columbia Grammar & Preparatory*, 44 AD3d 263; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876; *Russin v Louis N. Picciano & Son*, 54 NY2d 311; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Reilly v Newireen Assoc.*, 303 AD2d 214; *Cappabianca v Skanska USA Bldg. Inc.*, 99 AD3d 139; *Hughes v Tishman Constr. Corp.*, 40 AD3d 305; *Jones v New York City Hous. Auth.*, 2010 NY Slip Op 31209[U].) III. The Metropolitan Transportation Authority defendants and the City of New York have no viable cross claims against IMS Safety Inc. (*North Star Reins. Corp. v Continental Ins. Co.*, 82 NY2d 281; *Adams v Boston Props. Ltd. Partnership*, 41 AD3d 112; *Bussanich v 310 E. 55th St. Tenants*, 282 AD2d 243; *Goncalves v 515 Park Ave. Condominium*, 39 AD3d 262.)

OPINION OF THE COURT

FIGOTT, J.

Plaintiff Raul Barreto, an asbestos handler employed by asbestos removal contractor P.A.L. Environmental Safety Corp. (PAL), allegedly sustained on-the-job injuries after falling through an uncovered manhole in Manhattan at a location owned by the City of New York (City), which had been leased by the City to the New York City Transit Authority (NYCTA). NYCTA, on behalf of the Metropolitan Transportation Authority (MTA), retained PAL to perform asbestos removal from electrical cables underneath city streets. PAL directly contracted with IMS Safety Inc. to serve as site safety consultant.

Prior to the commencement of the work, PAL employees constructed a three-sided wooden containment enclosure around the manhole. Plastic sheets were placed on the ceiling

and the floor of the enclosure. The plastic sheet on the ceiling was stapled and glued to two two-by-fours, forming an “X” over, and framing, the enclosure. Two sets of double plastic sheets were hung in the open side of the enclosure approximately four feet apart. A circle was cut out of the plastic floor to account for the three-to-four-foot in diameter manhole. Two lights illuminated the enclosure.

Before the manhole cover was removed, an MTA foreman conducted an inspection to ensure that the electrical cables were not live. Due to the weight of the manhole cover, two PAL workers were required to remove the cover and place it outside the enclosure. IMS thereafter checked the underground air quality inside the open manhole and apprised PAL workers that it was safe to begin work. PAL workers descended approximately 10 feet by way of a ladder and began the asbestos removal work. At the conclusion of their shift, plaintiff and his coworkers were required to bring up the asbestos-filled bags, remove their protective equipment and the ladder, and replace the manhole cover before disassembling the containment enclosure.

PAL workers, including plaintiff, finished their shift at approximately 4:00 a.m. on the day of the accident. After plaintiff and his coworkers exited the manhole, they proceeded to break down the containment area “right away.” Plaintiff did not notice that the manhole remained uncovered, and, during the breakdown, the manhole cover remained outside the enclosure. According to plaintiff, the lights inside the enclosure had been turned off. As plaintiff walked toward the rear of the enclosure to disassemble the two-by-fours from the ceiling, he fell into the open manhole.

I.

Plaintiff commenced this action against defendants IMS, City, NYCTA and MTA alleging violations of Labor Law §§ 200, 240 (1) and 241 (6) and common-law negligence. At the conclusion of discovery, all defendants moved for summary judgment to dismiss plaintiff’s complaint and any relevant cross claims asserted against them. Plaintiff cross-moved for partial summary judgment against all defendants on his section 240 (1) and 241 (6) claims, and for partial summary judgment against

IMS, NYCTA and MTA on his common-law negligence and section 200 claims.*

Supreme Court dismissed plaintiff's complaint against all defendants on the ground that plaintiff was the sole proximate cause of his injuries because he disregarded his supervisor's instructions by dismantling the containment enclosure before the manhole cover was replaced (2012 NY Slip Op 30858[U] [Sup Ct, NY County 2012]). The court reasoned that had plaintiff waited for the manhole to be covered before commencing the deconstruction of the enclosure, he would not have fallen through the open manhole.

A divided Appellate Division affirmed, holding, as an initial matter, that IMS was not a statutory agent subject to liability under any of plaintiff's theories because it lacked the authority to supervise plaintiff or his work (110 AD3d 630, 632 [1st Dept 2013]). The Court also dismissed plaintiff's section 240 (1) claims against the remaining defendants, noting that plaintiff was provided with a "nearby and readily available" safety device, i.e., the manhole cover, and plaintiff's own actions were the sole proximate cause of his injuries because he disregarded his supervisor's instruction to replace the manhole cover before dismantling the containment enclosure (*id.*). It also dismissed the section 241 (6) claims because, in its view, none of the alleged Industrial Code violations proximately caused the accident (*id.* at 633). The common-law negligence and section 200 claims against NYCTA and MTA were dismissed because they neither had notice of the defect nor supervised plaintiff's work (*id.* at 632-633).

The dissenting Justice agreed with the majority that IMS was not a statutory agent, but would have reinstated plaintiff's Labor Law § 240 (1) claims against the City (as owner) and NYCTA and MTA because plaintiff was not the sole proximate cause of his injuries in light of the record evidence that it took at least two workers to move the manhole cover and because the lights may have been turned off before the deconstruction work had begun (*id.* at 634 [Feinman, J., dissenting in part]).

The Appellate Division certified to this Court the question whether its order affirming the order of Supreme Court was properly made (2014 NY Slip Op 63475[U] [1st Dept 2014]).

* Plaintiff discontinued his common-law negligence and section 200 claims against the City.

II.

[1] Plaintiff is entitled to partial summary judgment against the City, NYCTA and MTA on his Labor Law § 240 (1) claims. Section 240 (1) provides, in relevant part:

“All contractors and owners and their agents . . . in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, [certain enumerated] and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed.”

The statute imposes upon owners, contractors and their agents a nondelegable duty that renders them liable regardless of whether they supervise or control the work (*see Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35, 39 [2004]). “[W]here an accident is caused by a violation of the statute, the plaintiff’s own negligence does not furnish a defense”; however, “where a plaintiff’s own actions are the sole proximate cause of the accident, there can be no liability” (*id.*). Thus, in order to recover under section 240 (1), the plaintiff must establish that the statute was violated and that such violation was a proximate cause of his injury (*see Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 524 [1985]).

The City, NYCTA and MTA do not contend on this appeal that the work plaintiff was engaged in at the time of the accident did not involve an elevation-related hazard, nor did IMS initially move for summary judgment on that ground. Therefore, we assume, for purposes of this appeal only, that plaintiff was engaged in work that posed an elevation-related risk.

On his motion for summary judgment, plaintiff met his burden of establishing the absence of an adequate safety device through the submission of the deposition testimony of IMS’s president, Joseph Mazzurco, who testified that there should have been a guardrail system around three sides of the open manhole while the containment enclosure was being dismantled. Plaintiff also established that the absence of guardrails was a proximate cause of the accident because had they been in place he would not have fallen.

The Appellate Division erred in holding that plaintiff’s conduct was the sole proximate cause of his injuries in light of the undisputed fact that it took at least two PAL workers to

move the manhole cover (given its weight), and plaintiff's testimony that the lights had been turned off prior to disassembly of the containment enclosure. Therefore, plaintiff's conduct could not have been the sole proximate cause of his injuries, and plaintiff is entitled to partial summary judgment against the City, NYCTA and MTA on his section 240 (1) claims.

Supreme Court and the Appellate Division, having erroneously concluded that plaintiff was the sole proximate cause of his injuries, did not reach the merits of plaintiff's Labor Law § 241 (6) claims against the City, NYCTA and MTA. Therefore, plaintiff's section 241 (6) claims should be reinstated, and we remit the matter to Supreme Court so it may consider the summary judgment motions that were brought relative to those claims.

III.

[2] The Appellate Division also erred in holding that IMS was not a "statutory agent" as a matter of law. Given Mazzurco's testimony that it was part of IMS's responsibility to ensure that a guardrail system was in place and the manhole cover was replaced once the system was removed, there is a question of fact concerning whether IMS was a "statutory agent" subject to liability under Labor Law § 240 (1) (*see Walls v Turner Constr. Co.*, 4 NY3d 861, 863-864 [2005]; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280, 292-293 [2003] [no agency liability under section 240 (1) where responsibility for the activity that surrounded the injury was not delegated to a third party]). Moreover, MTA and NYCTA submitted the affidavit of a PAL supervisor who averred that one of IMS's duties at the site was to ensure that the manhole was covered before PAL workers disassembled the containment enclosure, and that IMS had the authority to stop plaintiff from working in the area near the missing manhole cover. On this record, a jury could reasonably find that IMS "had the ability to control the activity which brought about the injury" (*Walls*, 4 NY3d at 863-864, citing *Russin v Louis N. Picciano & Son*, 54 NY2d 311, 317-318 [1981]).

For a similar reason, plaintiff's common-law negligence and Labor Law §§ 200 and 241 (6) claims should be reinstated against IMS, as plaintiff raised triable issues of fact as to whether IMS, as a potential statutory agent, had the authority to supervise that portion of the work that brought about plaintiff's injury (*see Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d

343, 353 [1998] [common-law negligence and Labor Law § 200 claims]; *Harris v Hueber-Breuer Constr. Co., Inc.*, 67 AD3d 1351, 1353 [2009] [Labor Law § 241 (6) claim]).

IV.

[3] Finally, NYCTA and MTA met their respective burdens of establishing that they did not supervise or control plaintiff's work, or that neither of them had notice of the alleged dangerous condition or defect (*see Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876, 877-878 [1993]). Plaintiff failed to raise a triable issue of fact in that regard. Therefore, the Appellate Division properly dismissed plaintiff's common-law negligence and section 200 claims brought against NYCTA and MTA.

Accordingly, the order of the Appellate Division should be modified, with costs to plaintiff Raul Barreto, in accordance with this opinion and, as so modified, affirmed, and the certified question not answered as unnecessary.

STEIN, J. (dissenting in part). The majority and my dissenting colleague agree that the case should be decided as a matter of law; however, their opinions differ as to which of the parties should prevail. I take an alternative position and respectfully dissent, in part, because, in my view, triable questions of fact exist regarding whether defendants provided plaintiff with "proper protection" under Labor Law § 240 (1) and whether plaintiff's conduct was the sole proximate cause of his injuries.* Accordingly, I would hold that neither plaintiff nor defendants are entitled to summary judgment.

Labor Law § 240 (1) provides that

"[a]ll contractors and owners and their agents . . . in the erection, demolition, repairing, altering, painting, cleaning or pointing of a building or structure shall furnish or erect, or cause to be furnished or erected for the performance of such labor, scaffolding, hoists, stays, ladders, slings, hangers, blocks, pulleys, braces, irons, ropes, and other devices which shall be so constructed, placed and operated as to give proper protection to a person so employed."

* I, too, assume without deciding that the accident involved an elevation-related risk.

When applicable, section 240 (1) imposes a nondelegable duty on owners and contractors to furnish their employees with “proper protection.” Therefore, once a Labor Law § 240 (1) violation and proximate cause are established, a defendant cannot raise an injured employee’s contributory negligence as a defense (see *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280, 287 [2003]; see also *Stolt v General Foods Corp.*, 81 NY2d 918, 920 [1993]; *Bland v Manocherian*, 66 NY2d 452, 461-462 [1985]; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 521 [1985]; *Koenig v Patrick Constr. Corp.*, 298 NY 313, 317 [1948]).

Our Court has observed that “the Legislature’s intent [is] to . . . protect[] workers by placing ultimate responsibility for safety practices at building construction jobs . . . on the owner and general contractor, instead of on workers, who are scarcely in a position to protect themselves from accident” (*Zimmer*, 65 NY2d at 520 [internal quotation marks and citations omitted]). That is, the legislature intended “to force owners and contractors to provide a safe workplace, under pain of damages” (*Blake*, 1 NY3d at 286). Thus, we have “long held that ‘this statute . . . undoubtedly is to be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed’ ” (*id.* at 292, quoting *Quigley v Thatcher*, 207 NY 66, 68 [1912]).

Nevertheless, “the language of Labor Law § 240 (1) ‘must not be strained’ to accomplish what the Legislature did not intend” (*id.* at 292, quoting *Martinez v City of New York*, 93 NY2d 322, 326 [1999]) because “[t]he point . . . is to compel contractors and owners to comply with the law, not to penalize them when they have done so” (*id.* at 286). Owners and contractors, therefore, have “‘strict’ or ‘absolute’ liability” only for those statutory violations that proximately cause an employee’s injury (*id.* at 289; see also *Duda v Rouse Constr. Corp.*, 32 NY2d 405, 410 [1973]). Stated differently, where a plaintiff is the sole proximate cause of his or her injury, there can be no liability under section 240 (1) (see *Blake*, 1 NY3d at 290). This is because “it is conceptually impossible for a statutory violation (which serves as a proximate cause for a plaintiff’s injury) to occupy the same ground as a plaintiff’s sole proximate cause for the injury” (*id.*).

Here, as acknowledged by both Judge Read in her dissent (see dissenting op at 447) and Justice Feinman in his dissent at the Appellate Division (see 110 AD3d 630, 634 [1st Dept

2013]), there is at least a question of fact regarding whether defendants provided plaintiff with “proper protection” by furnishing (or failing to furnish) him with an adequate safety device (Labor Law § 240 [1]). Moreover, IMS—not plaintiff and the other PAL workers—was charged with the responsibility to ensure that the manhole was covered. Notably, at the time of the accident, the IMS safety representative was sitting in his car a few feet away from the site. Therefore, even assuming that plaintiff disregarded safety instructions by disassembling the enclosure before the manhole was covered (*see* dissenting op at 446), there is a question of fact regarding whether the absence of the IMS representative, and his failure to ensure that the manhole cover was immediately replaced, contributed to the accident.

In any event, the adequacy of the manhole cover as a safety device is called into question by the testimony of IMS president Joseph Mazzurco. Mazzurco testified that an open manhole must be surrounded by a three-sided guardrail system to comply with safety standards. Although Mazzurco did not testify as an expert witness in this case, he had personal knowledge of the appropriate safety procedures at the site of plaintiff’s accident because PAL hired IMS as the site safety contractor. Determining Mazzurco’s credibility is the province of the jury. Moreover, state and federal regulations support Mazzurco’s testimony (*see* Department of Labor Regulations [12 NYCRR] § 23-1.7 [b] [1] [i] [“(e)very hazardous opening into which a person may step or fall shall be guarded by a substantial cover fastened in place or by a safety railing constructed and installed in compliance with this Part”]; 29 CFR 1910.23 [a] [6] [“(w)hile the cover is not in place, the manhole opening shall be constantly attended by someone or shall be protected by removable standard railings”]). Because defendants failed to establish as a matter of law that they provided “proper protection” through adequate safety devices, their motions for summary judgment should be denied (*cf. Stolt*, 81 NY2d at 920; *Zimmer*, 65 NY2d at 523-524).

Additionally, other evidence presents an issue of fact regarding whether plaintiff’s conduct was the sole proximate cause of his accident. The record contains conflicting testimony concerning whether the area surrounding the manhole was illuminated at the time of the accident. Specifically, although plaintiff alleged that the lights had been turned off in the containment enclosure, the asbestos handler supervisor for the New York

City Transit Authority testified that the lights were on after plaintiff fell into the manhole. This testimony raises a triable issue as to whether plaintiff could or should have observed that the manhole cover was missing when he fell.

My dissenting colleague contends that plaintiff was the sole proximate cause of his injuries because he disobeyed his supervisor's instructions to cover the manhole before deconstructing the containment enclosure (*see* dissenting op at 446). While I agree that, as a general rule, a plaintiff is not entitled to summary judgment when he or she "received specific [safety] instructions . . . and chose to disregard those instructions" (*Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35, 39 [2004]), the facts here do not establish that plaintiff was the sole proximate cause of his injuries as a matter of law. To be sure, a jury could reasonably conclude that the accident would not have occurred if plaintiff had followed his supervisor's instructions. However, a reasonable jury could also find that defendants' failure to provide him with "proper protection," combined with insufficient illumination—preventing plaintiff from discovering that the manhole was uncovered—was a proximate cause of plaintiff's injuries. If the latter, plaintiff would, at most, be contributorily negligent for disregarding his supervisor's instructions. As noted above, such contributory negligence is not a defense to a Labor Law § 240 (1) violation (*Stolt*, 81 NY2d at 920). Thus, it is for the factfinder—not this Court—to resolve the question of proximate cause.

In sum, I conclude that questions of fact exist regarding whether defendants provided plaintiff with "proper protection" and whether plaintiff's conduct was the sole proximate cause of his injuries. Accordingly, I would modify by reversing the Appellate Division order insofar as it affirmed the grant of summary judgment to defendants, deny summary judgment to plaintiff and defendants, and remit to Supreme Court for further proceedings.

READ, J. (dissenting). Plaintiff Raul Barreto, who worked as an asbestos handler for P.A.L. Environmental Safety Corp. (PAL), suffered on-the-job injuries when he fell into an open manhole because he failed to follow his supervisor's instruction not to begin to disassemble the temporary wooden enclosure surrounding the manhole until its cover had been put back in place. Since plaintiff's own actions were the sole proximate cause of his accident, the owners and general contractors—the

City of New York (the City), the New York City Transit Authority (NYCTA) and the Metropolitan Transportation Authority (MTA)—are entitled to summary judgment dismissing plaintiff’s Labor Law § 240 (1) claim.¹ At a minimum, as Judge Stein points out, on plaintiff’s theory of the case there exist questions of fact sufficient to deprive him of partial summary judgment on liability under section 240 (1), the remedy endorsed by the majority.

I.

In January 2005, NYCTA and MTA were in the midst of the SONET (synchronous optical network) communications project, which entailed, in the phase then under way, removal of asbestos insulation from underground cables, which were accessed through several hundred individual manholes. The manholes led to confined underground spaces or chambers that were, on average, about 10 feet by 15 feet, anywhere from 10 to 40 feet underground. MTA/NYCTA hired PAL to remove the asbestos insulation from the cables and any asbestos-containing debris. PAL, in turn, retained IMS Safety Inc. as its site safety consultant. In January 2005, PAL was working in spaces accessed through manholes located along Lafayette Street in Lower Manhattan.

The asbestos abatement work began after dark and carried over into the early morning hours. On the shift beginning on January 8 and ending on January 9, 2005, plaintiff was a member of a five-person PAL crew working at manhole 8A on

1. The question whether an uncovered manhole constitutes an elevated work site or presents an elevation-related hazard within the meaning of Labor Law § 240 (1) has divided the Appellate Division (*compare Dos Santos v Consolidated Edison of N.Y., Inc.*, 104 AD3d 606, 608 [1st Dept 2013] [plaintiff who fell into an uncovered manhole suffered injuries “result(ing) from an elevation-related hazard that Labor Law § 240 (1) is intended to obviate”], and *Allen v City of Buffalo*, 161 AD2d 1134, 1134 [4th Dept 1990] [under the circumstances described, “the uncovered manhole through which decedent fell was an elevated worksite”], with *Carey v Five Bros., Inc.*, 106 AD3d 938, 940 [2d Dept 2013] [injuries suffered by a worker who fell partially through an open manhole “did not arise in the context of the ‘special hazards’ against which (section 240 [1]) is designed to protect”]; see also *Coleman v Crumb Rubber Mfrs.*, 92 AD3d 1128, 1129 [3d Dept 2012] [a worker injured when he partially fell through an unprotected opening in a permanent floor “was not performing his work at an elevation” or any task “warrant(ing) the use of the protective devices required by Labor Law § 240 (1)”]). For the reasons stated by the majority, I also assume, solely for purposes of this appeal, that plaintiff was engaged in work presenting an elevation-related risk when he was injured (see majority op at 433).

Lafayette Street. The PAL workers cordoned off the area where manhole 8A was located, apparently in or near a parking lane. PAL supplied a generator to power lights to illuminate the work area; specifically, four portable 500-watt halogen lights mounted at street-level on stands.

The PAL workers built a temporary wooden enclosure around the manhole. This enclosure was described variously as either an eight-by-eight-foot or nine-by-nine-foot square; i.e., the size of a small room or shed. As recounted by the MTA's supervisor on the project, the PAL workers constructed three complete and one partial wall around the manhole by erecting and nailing together wooden panels, leaving a three-foot-wide opening on the incomplete side. They installed two-by-fours diagonally across the top of the enclosure, nailed them into the panels to brace the walls and glued and stapled heavy plastic to these wooden beams to create a ceiling; they placed a double layer of heavy plastic on the enclosure's interior walls and floor (i.e., the street) and cut out the plastic around the manhole, which was three or four feet in diameter, to expose it.

When this preparatory work was complete, the PAL crew removed the manhole cover to an area outside the enclosure. The IMS safety inspector dropped a gas monitor into the manhole to measure carbon dioxide, oxygen and methane to make sure that the air in the confined underground space was safe to breathe. This monitor remained in place and was connected to an audible alarm to alert the IMS inspector, who was stationed outside the enclosure during the shift, if air quality ever deteriorated to unacceptable levels.

Once the IMS safety inspector confirmed that air quality was acceptable, the PAL workers placed a ladder in the manhole. The ladder extended two or three feet above the level of the enclosure's floor, which was itself roughly 10 feet above the floor of the underground chamber reached through manhole 8A. The MTA cable foreman climbed down the ladder to make sure there were no high-tension (i.e., more than 600 volts) positive feeders present. Once he confirmed this was the case, the PAL workers put an air lock into place to cover the three-foot opening in the enclosure's one partial wall,² and descended the ladder into the underground space to begin asbestos removal.

2. The air lock is the system of two plastic-curtained doorways separated by an estimated four feet described by plaintiff. The purpose of an air lock is to permit entrance and exit while restricting air movement between a contaminated area and an uncontaminated area (*see* 15 RCNY 1-02).

They were dressed in protective clothing (two complete suits), and were equipped with respirators and 300-watt portable halogen lights. The MTA supervisor and the MTA cable foreman remained at the work site, outside the enclosure, throughout the shift; they spelled each other so at least one of them was always watching the enclosure's entrance at the air lock to make sure no member of the public intruded.

Once the PAL workers had completed their asbestos abatement work for the shift, they handed up or carted bagged asbestos-containing materials and any tools through the manhole opening into the enclosure. Then they pulled up the ladder. After the IMS safety inspector removed his monitoring equipment from the manhole opening, the PAL workers were supposed to take out the air lock, retrieve the manhole cover from outside the enclosure and cover the manhole. Only then were they required to disassemble the enclosure. The MTA supervisor testified that "[t]he lights are the last thing that they take down because they have to see. That's a common practice. That's the last thing they do." After learning about plaintiff's accident from the PAL supervisor, the MTA supervisor went to manhole 8A. He observed that both the 500-watt halogen lights and the 300-watt portable lights were present and illuminating the area.

II.

Plaintiff conceded that he knew that he and his coworkers were not supposed to dismantle the wooden enclosure until the cover for manhole 8A had been put back in place. Yet, on January 9, 2005, after the PAL crew completed asbestos abatement work in the underground chamber and plaintiff and his coworkers emerged from the manhole opening, he "right away" began disassembling the enclosure, contrary to his supervisor's explicit instructions. Stated somewhat differently, plaintiff did not wait for the manhole to be covered, as he had on previous occasions and as he knew he was supposed to do. Plaintiff offered no explanation for his safety lapse, or for his assumption that the manhole must have been covered even though he admittedly was not advised by his supervisor that this was the case, and he did not see his coworkers replace the cover.

Specifically, plaintiff testified as follows:

"Q. Were you aware through your prior work at job sites involving asbestos removal in manholes, that

the cover to the manhole should be replaced once the workers and materials were removed from the manhole?

“[Plaintiff’s attorney.] Yes or no?”

“[Plaintiff.] Yes.”

At another point in his deposition, plaintiff testified additionally as follows:

“Q. When you deconstructed the work area[,] what is the first thing that you do?”

“[Plaintiff’s attorney.] You mean on [January 9, 2005] or generally?”

“Q. Generally?”

“[Plaintiff’s attorney.] Any manhole job generally?”

“Q. Yes, just generally.”

“[Plaintiff.] To cover the hole.”

“Q. Then what would you do next, generally?”

“[Plaintiff.] Remove plastic.”

And later, plaintiff was questioned and answered as follows:

“Q. On the date of your accident, at any time, did the supervisor from P.A.L. tell you that the manhole had to be covered, not by you, but just that it had to be covered before you began the deconstruction of the area?”

“[Plaintiff.] Yes.”

“Q. When?”

“[Plaintiff.] When we began the break down.”

“Q. That was the day of your accident, correct?”

“[Plaintiff.] Correct.”

“Q. On the day before your accident, not on the day of your accident, but the day before your accident, did you ever see the manhole being covered by someone?”

“[Plaintiff.] Clearly.”

“Q. Did you ever cover the manhole with the cover on the days before your accident?”

“[Plaintiff.] No.

“Q. Who would cover the manhole?

“[Plaintiff.] The supervisor would say who would cover it. I don’t know. . . .

“Q. On the days before your accident, not on the day of your accident, but on the days before your accident, when you would start deconstructing the work area, were the manholes covered?

“[Plaintiff.] Yes.

“Q. Would you usually wait for the manhole to be covered before you would start the deconstruction of the area?

“[Plaintiff.] Yes.

“Q. When you would wait for the manhole to be covered, where would you wait?

“[Plaintiff.] We would go to the area. There is two areas for decontamination, one area is where the curtains are [i.e., the air lock]. I don’t know who covered -- then after it was covered the supervisor would tell us to go in and begin the deconstruction.

“[Plaintiff’s attorney.] All I want to know from you, on previous manhole jobs, where would you wait for someone else to put the cover on, that is all that I wanted to know?

“[Plaintiff.] In the curtain area, at the curtain [i.e., in the air lock]. . . .

“Q. So, typically, you would wait in that area when they would place the manhole, cover the manhole; is that what you are telling me?

“[Plaintiff.] Yes. . . .

“Q. The days before your accident, would you typically wait for the supervisor to say okay the manhole is covered before you began your deconstruction?

“[Plaintiff.] Yes.”

We have long held that “[e]ven when a worker is not ‘recalcitrant,’ . . . there can be no liability under section 240 (1) when

there is no violation and the worker's actions . . . are the 'sole proximate cause' of the accident" (*Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280, 290 [2003] [emphasis added]; see also *Cahill v Triborough Bridge & Tunnel Auth.*, 4 NY3d 35 [2004] [fact issue exists whether the plaintiff's actions were the sole proximate cause of his injuries when he ignored his supervisor's specific instruction to use an available safety line while climbing]). Here, the majority concludes that plaintiff established, through the testimony of IMS's president, Joseph Mazzurco, that there was, in fact, a violation because "there should have been a guardrail system around three sides of the open manhole *while the containment enclosure was being dismantled*," and that "the absence of guardrails was a proximate cause of the accident because had they been in place[,] [plaintiff] would not have fallen" into the manhole (majority op at 433 [emphasis added]). This theory is flawed for several reasons.

First, Mazzurco did not testify as a safety expert. Rather, he described IMS's role on this project, which he tended to diminish, and his guilty plea to federal mail and wire fraud charges based on alleged falsification of the qualifications and training of certain IMS employees. When asked if it "[w]ould . . . be part of IMS'[s] responsibilities to insure that a manhole was covered . . . before PAL began working around the manhole above the surface -- on the street level," Mazzurco answered "hypothetically" that "[i]f there is protection around [the manhole], then [it's] not our responsibility because the manhole is protected." When asked what he meant by protection, he responded "[s]ome sort of barricade system."

Second, to the extent Mazzurco assumed there was, or should have been, a guardrail system in place around manhole 8A while it was open, he cited no state or federal regulation that compels this. Nor is such a measure mandated by the only regulations that plaintiff mentions; namely, 29 CFR 1910.23 (see 29 CFR 1910.23 [a] [6] [when the required standard manhole cover is not in place, an uncovered floor opening "shall be constantly attended by someone *or* shall be protected by removable standard railings" (emphasis added)]), and 29 CFR part 1926. The latter provision, which is part of OSHA's safety and health regulations for construction, states at 29 CFR 1926.501 ("Duty to have fall protection") as follows:

“(a) General.

“(1) This section sets forth requirements for employers to provide fall protection systems . . .

“(b) . . .

“(4) Holes.

“(i) Each employee on walking/working surfaces shall be protected from falling through holes (including skylights) more than 6 feet (1.8 m) above lower levels, by personal fall arrest systems, covers, *or* guardrail systems erected around such holes” (emphasis added).

And finally, the protection that the majority claims should have been provided (i.e., a “guardrail system around three sides of the open manhole while the containment enclosure was being dismantled”) makes no sense because the manhole was supposed to be covered *before* the PAL workers began to disassemble the enclosure. In fact, at no time were the PAL workers authorized or required to work in the vicinity of an open manhole. The cover was not removed until *after* they constructed the enclosure, at which point, upon receiving clearance from the IMS safety inspector and the MTA cable foreman, they climbed down through the manhole opening into the underground chamber, where they performed their asbestos abatement work. And the cover was to be replaced once they emerged from the manhole after completing their asbestos abatement work for the shift, and *before* they dismantled the enclosure. A guardrail system, whether installed before or after the PAL workers entered or after they exited the open manhole, would have protected no one other than an intruder, and the enclosure was under constant surveillance by either the MTA supervisor or the MTA cable foreman.

The majority also takes the position that plaintiff’s conduct cannot have been the sole proximate cause of his injuries because “it took at least two PAL workers to move the manhole cover (given its weight),” and plaintiff testified “that the lights had been turned off prior to disassembly of the containment enclosure” (majority op at 433-434). With respect to the first point, this is not a case where a supervisor instructed an employee to use safety equipment that was unavailable or somehow unusable for its intended purpose. Plaintiff was never told to replace the manhole cover by himself, and whether it took two or more of the PAL workers in the five-person crew to replace the manhole cover is irrelevant.

In contending otherwise, the majority ignores the distinction we have made between the sole proximate cause and “recalcitrant worker” defenses (see *Blake*, 1 NY3d at 290; *Cahill*, 4 NY3d at 39-40; *Weininger v Hagedorn & Co.*, 91 NY2d 958 [1998] [speaking in terms of sole proximate cause and not recalcitrance]; *Robinson v East Med. Ctr., LP*, 6 NY3d 550 [2006] [noting that the plaintiff did not avail himself of accessible safety devices, but phrasing the standard as one of sole proximate cause]; see also 85 NY Jur 2d, Premises Liability §§ 289, 290 [identifying sole proximate cause and “recalcitrant worker” as separate defenses to Labor Law § 240 (1) claims]). In sum, while recalcitrance is a sufficient predicate for sole proximate cause, it is not a necessary one.

There is to be sure a good argument that plaintiff was not a “recalcitrant worker” because he was unable, by himself, to lift the manhole cover. But plaintiff’s foreman instructed him not to begin dismantling the enclosure until the manhole cover had been replaced, and plaintiff disregarded this basic safety direction, which was the sole proximate cause of his accident: obviously, he would not have fallen into the underground chamber through the manhole opening if he had waited for the manhole to be covered, as he conceded he knew he was supposed to do, and had done on previous occasions. As we observed in *Blake*, “[e]xtending [Labor Law § 240 (1)] to impose liability in such a case would be inconsistent with statutory goals since the accident was not caused by the absence of (or defect in) any safety device, or in the way the safety device was placed” (1 NY3d at 290). And it is certainly poor public policy to treat employers that direct their workers how to accomplish a task safely and make adequate safety equipment available just the same as employers that make little or no effort in this regard.

Finally, whether someone removed or turned off the 500-watt lights outside the enclosure or, for that matter, extinguished the portable 300-watt lights with which the workers were equipped is disputed. It is difficult to credit plaintiff’s testimony in this regard since the PAL workers themselves were responsible for setting up and taking down the lights; it is hard to believe that they wanted to work in relative dark, and equally hard to explain why a blackout occurred for the first time, according to plaintiff, on this occasion. More importantly, though, this disputed fact is beside the point. Dim or nonexistent lighting would, of course, lend greater credence to plaintiff’s testimony that he did not notice whether any of

his coworkers had replaced the manhole cover or that it was missing, even though the crew was a small one working together in close quarters. It does not, however, explain why plaintiff proceeded to disassemble the enclosure without receiving the “okay” from his supervisor, which he testified that he had waited for in the past.

For all these reasons, I conclude that the City, NYCTA and MTA have shown their entitlement to summary judgment dismissing plaintiff’s Labor Law § 240 (1) claim on the ground that plaintiff’s conduct was the sole proximate cause of his injuries. And even on plaintiff’s theory of the case, as Judge Stein shows, there exist facts from which a jury might find that an adequate safety device was nearby at the work site: that plaintiff both knew that the manhole cover was nearby and that he was expected to wait for it to be replaced before he began to dismantle the temporary enclosure; that he chose for no good reason to go ahead without waiting; and that if he had not made that choice, he would not have been injured (*see Cahill*, 4 NY3d at 40). Accordingly, I respectfully dissent.

Chief Judge LIPPMAN and Judges RIVERA and FAHEY concur; Judge STEIN dissents in part in an opinion in which Judge ABDUS-SALAAM concurs; Judge READ dissents and votes to affirm in an opinion.

Order modified, with costs to plaintiff Raul Barreto, in accordance with the opinion herein and, as so modified, affirmed, and certified question not answered as unnecessary.

[34 NE3d 829, 13 NYS3d 319]

In the Matter of STATE OF NEW YORK, Respondent, v ROBERT F.,
Appellant.

Argued March 23, 2015; decided May 14, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 15, 2014. The Appellate Division affirmed a resettled order of the Supreme Court, Kings County (William E. Garnett, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which, upon a finding, made after a jury trial, that respondent suffers from a mental abnormality as defined in Mental Hygiene Law § 10.03 (i), and upon a determination, made after a dispositional hearing, that he is a dangerous sex offender requiring civil confinement, had (1) granted the petition for civil management, and (2) directed that respondent be committed to a secure treatment facility for care, treatment, and control until such time as he no longer requires confinement.

Matter of State of New York v Robert F., 113 AD3d 691, affirmed.

HEADNOTES

Crimes — Sex Offenders — Civil Commitment or Supervision — Live Two-Way Televised Testimony

1. In a Mental Hygiene Law article 10 proceeding, Supreme Court erred by permitting petitioner's expert witness to testify, over respondent's objection, via electronic appearance on rebuttal without requiring a proper showing by petitioner of exceptional circumstances. The existence of a provision allowing a psychiatric examiner "upon good cause shown, to testify by electronic appearance in the court" in probable cause hearings held pursuant to Mental Hygiene Law § 10.06 (Mental Hygiene Law § 10.08 [i] [1]) does not automatically permit, nor does it necessarily preclude, the use of the same in other contexts. Such express authorization leaves unaffected courts' preexisting authority to exercise discretion in permitting such testimony. As there is no compelling reason why a trial court should have this discretion in criminal trials, but not in Mental Hygiene Law proceedings, permitting the two-way live video testimony was within the discretion of the court. Nonetheless, televised testimony requires a case-specific finding of necessity; it is an exceptional procedure to be used only in exceptional circumstances. Here, petitioner merely indicated that the expert could not appear in court on short notice, and was somehow limited by her employment.

Crimes — Sex Offenders — Civil Commitment or Supervision — Live Two-Way Televised Testimony — Harmless and Prejudicial Error

2. In a Mental Hygiene Law article 10 proceeding, Supreme Court's error in permitting petitioner's expert witness to testify via electronic appearance

on rebuttal concerning how respondent's testimony effected the expert's assessment of respondent's recidivism risk without requiring a proper showing by petitioner of exceptional circumstances was harmless in light of the overwhelming evidence that respondent was a dangerous sex offender requiring confinement. During petitioner's case-in-chief, the expert testified that respondent was at a high risk of recidivism based upon his scores on actuarial risk-assessment instruments as well as his failure to progress in sex offender treatment and prepare an adequate relapse prevention plan, and his exhibition of certain behaviors indicating that he would not be able to comply with the rules of the strict and intensive supervision and treatment program. Moreover, Supreme Court's written decision credited the expert's testimony brought forth during petitioner's case-in-chief, rather than that presented during her electronic rebuttal testimony.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Expert and Opinion Evidence §§ 128, 176; AM JUR 2d, Mentally Impaired Persons §§ 11, 45, 48, 67, 125, 129–130, 137, 139; AM JUR 2d, Witnesses § 637.
CARMODY-WAIT 2d, Presentation of the Case §§ 56:138, 56:145; CARMODY-WAIT 2d, Arraignment, Preliminary Hearing, and Fitness to Proceed § 179:105; CARMODY-WAIT 2d, Particular Types of Evidence § 194:175; CARMODY-WAIT 2d, Verdict and Postverdict Proceedings § 202:73.
MCKINNEY'S, Mental Hygiene Law §§ 10.06; 10.08 (i) (1).
NY JUR 2d, Criminal Law: Procedure § 2268; NY JUR 2d, Evidence and Witnesses § 9; NY JUR 2d, Penal and Correctional Institutions §§ 45–51, 420.

ANNOTATION REFERENCE

Closed-circuit television witness examination. 61 ALR4th 1155.

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Database: NY-ORCS

Query: commit! /s psyc! & electr! "two-way" /s test!

POINTS OF COUNSEL

Michael D. Neville, Mental Hygiene Legal Service, Mineola (Timothy M. Riselvato and Dennis B. Feld of counsel), for appellant. I. It was error to allow the State's expert witness to electronically appear and testify via videoconference because an electronic appearance at a Mental Hygiene Law article 10 dispositional hearing is not permitted by the statute and the Supreme Court should have concluded that such an appear-

ance was deemed excluded by the legislature other than in a probable cause hearing. (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *People v Finnegan*, 85 NY2d 53; *Matter of State of New York v Bernard D.*, 61 AD3d 567; *Matter of Charles S.*, 60 AD3d 954; *Matter of State of New York v Dale R.*, 25 Misc 3d 285; *Weingarten v Board of Trustees of N.Y. City Teachers' Retirement Sys.*, 98 NY2d 575; *Matter of Hering v Clement*, 133 App Div 293; *Matter of State of New York v Anonymous*, 79 AD3d 758.) II. Judiciary Law § 2-b (3) did not authorize the Supreme Court to permit the electronic appearance of the State's witness and this Court's ruling in *People v Wrotten* (14 NY3d 33, 37 [2009]) does not permit the electronic appearance of a witness and testimony via videoconference because, even if the additional testimony offered by Dr. Trica Peterson was deemed proper rebuttal, the State never argued, let alone proved, that there were exceptional circumstances justifying the electronic appearance. (*Matter of Brown v Blumenfeld*, 103 AD3d 45; *Doe v Smith*, 29 Misc 3d 530; *Pajak v Pajak*, 56 NY2d 394; *People v Ricardo B.*, 73 NY2d 228.) III. The error was not harmless. (*People v Crimmins*, 36 NY2d 230; *Chapman v California*, 386 US 18; *Fahy v Connecticut*, 375 US 85; *Marshall v Davies*, 78 NY 414; *Kapinos v Alvarado*, 143 AD2d 332; *Maglione v Cunard S.S. Co.*, 30 AD2d 784; *Matter of State of New York v Rosado*, 25 Misc 3d 380.)

Eric T. Schneiderman, Attorney General, New York City (*Jason Harrow*, *Barbara D. Underwood* and *Anisha S. Dasgupta* of counsel), for respondent. I. Supreme Court properly exercised its discretion when it took Dr. Trica Peterson's limited rebuttal testimony by live, two-way videoconference. (*People v Wrotten*, 73 AD3d 637; *Matter of State of New York v John S.*, 23 NY3d 326; *Vitek v Jones*, 445 US 480; *Matter of State of New York v Floyd Y.*, 22 NY3d 95; *Matter of State of New York v Dale R.*, 25 Misc 3d 285; *Matter of State of New York v Leon F.*, 84 AD3d 1098; *Matter of Charles S.*, 60 AD3d 954; *Matter of State of New York v Bernard D.*, 61 AD3d 567; *Matter of Brown v Blumenfeld*, 103 AD3d 45; *United States v Baker*, 45 F3d 837.) II. Any alleged error was harmless. (*Matter of State of New York v John S.*, 23 NY3d 326.)

OPINION OF THE COURT

PIGOTT, J.

In this Mental Hygiene Law article 10 proceeding, we hold

that Supreme Court erred by permitting an expert witness to testify via electronic appearance on rebuttal without a showing by the State of exceptional circumstances, but that the error was harmless under the facts of this case.

In 1974, respondent Robert F. was convicted of sexual abuse in the first degree. He was adjudicated a youthful offender and sentenced to one year in prison. Four years later, while on parole following a robbery conviction, he was convicted of rape in the first degree and sentenced to 7 to 14 years in prison. In 1985, he pleaded guilty to sodomy in the second degree and was sentenced to 3 to 6 years in prison. He remained incarcerated pursuant to that conviction until 2001. In 2004, respondent pleaded guilty to sexual abuse in the first degree and was sentenced to five years' imprisonment and five years of post-release supervision.

As respondent's release date approached, the Attorney General, on behalf of the State of New York, commenced this article 10 proceeding seeking a determination that respondent is a detained sex offender requiring civil management.

In January 2011, respondent was tried before a jury on the issue of whether he suffered from a mental abnormality as defined by Mental Hygiene Law § 10.03 (i). The State's expert witness, Dr. Trica Peterson, testified that, based on her evaluation of respondent and a review of his case history, he suffers from pedophilia, alcohol dependence and antisocial personality disorder and ultimately concluded that he suffers from a mental abnormality. Dr. Roy Aranda testified on respondent's behalf that respondent did not satisfy the requisite criteria for a diagnosis of pedophilia, nor did he suffer from a personality disorder. The jury reached a unanimous verdict, finding that respondent's condition constituted a "mental abnormality" that predisposes him to the commission of sexual offenses and makes it difficult for him to control such behavior (*see* Mental Hygiene Law § 10.03 [i]).

In January 2012, a dispositional hearing was held pursuant to Mental Hygiene Law § 10.07 (f), at which Dr. Peterson returned to testify on behalf of the State. She opined that respondent is currently a dangerous sex offender requiring confinement. Dr. Peterson focused primarily on respondent's scores on the "Static-99" and "Static-99R" actuarial risk-assessment instruments, both of which are used to predict the likelihood of recidivism. Specifically, Dr. Peterson testified that respondent scored seven points on the Static-99, indicating a

likelihood of recidivism 3.5 times higher than that of a “typical” sex offender with a score of two. On the Static-99R, which took into account respondent’s age, respondent scored six points, a relative risk approximately three times higher than a typical offender.

Respondent testified and acknowledged that he committed the sexual offenses for which he was previously convicted and expressed remorse for his conduct. With respect to the 1974 youthful offender adjudication for sexual abuse in the first degree, respondent revealed for the first time that the victim had been a stranger to him.

Supreme Court permitted the State to recall Dr. Peterson on rebuttal to testify as to the effect of respondent’s revelation on her assessment of his recidivism risk. Dr. Peterson did not return to court to testify. Rather, at the request of the State, and over respondent’s objection, she appeared and testified via live, two-way videoconference.

Dr. Peterson explained that, based on respondent’s admission at trial that the 1974 sexual abuse victim was a stranger, his scores on the Static-99 and Static-99R would increase by one point each, resulting in a score of eight on the Static-99 and a seven on the Static-99R. She then testified that respondent’s recidivism risk was “a little less than four times higher than the typical offender” and, by percentage, his recidivism risk was approximately 18.8% over a period of five years.

Supreme Court found that respondent suffers from a mental abnormality involving such a strong predisposition to commit sex offenses and such an inability to control behavior that he was likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility (*see* Mental Hygiene Law § 10.03 [e]). In its written decision, Supreme Court credited Dr. Peterson’s testimony and cited, among other things, the original Static-99 score of seven and Static-99R score of six. The court did not reference Dr. Peterson’s rebuttal testimony or the modified Static-99 and Static-99R scores. On June 11, 2012, Supreme Court issued an order finding that respondent was a dangerous sex offender and ordering his confinement.

Respondent appealed, arguing, *inter alia*, that Supreme Court improperly permitted Dr. Peterson to testify via electronic videoconferencing.

The Appellate Division affirmed, holding that “in the absence of an explicit prohibition, the trial court has the discretion to

utilize live video testimony pursuant to its inherent power to employ innovative procedures where necessary to carry into effect the powers and jurisdiction possessed by it” (113 AD3d 691, 692 [2d Dept 2014] [internal quotation marks omitted]). It further held that Supreme Court’s “limited use of that power . . . was not an improvident exercise of discretion [and] . . . did not violate any [of respondent’s] constitutional right[s],” particularly since the hearing “was civil in nature” (*id.* at 692-693). This Court granted respondent leave to appeal (23 NY3d 902 [2014]) and now affirms, albeit on the ground that the error was harmless.¹

In *People v Wrotten*, we held that “the court’s inherent powers and Judiciary Law § 2-b vest it with the authority to fashion a procedure” whereby witnesses are permitted to testify via live, two-way television at trial (14 NY3d 33, 36 [2009]). Recognizing that “the Legislature has primary authority to regulate court procedure,” we further explained that “‘the Constitution permits the courts latitude to adopt procedures consistent with general practice as provided by statute’” (*id.* at 37, quoting *People v Ricardo B.*, 73 NY2d 228, 232 [1989]). We observed that “[b]y enacting Judiciary Law § 2-b (3), the Legislature . . . explicitly authorized the courts’ use of innovative procedures where ‘necessary to carry into effect the powers and jurisdiction possessed by [the court]’” and, therefore, “courts may fashion necessary procedures consistent with constitutional, statutory, and decisional law” (*Wrotten*, 14 NY3d at 37, quoting Judiciary Law § 2-b [3]). Inasmuch as “there [wa]s no specific statutory authority evincing legislative policy proscribing televised testimony” in criminal trials, the matter was properly left to Supreme Court’s discretion (*Wrotten*, 14 NY3d at 37-38).

In light of these principles, although Mental Hygiene Law article 10 contains no provision that expressly authorizes a trial court to permit testimony via electronic appearance in

1. The original order of commitment under review here was superseded on October 30, 2014 by a new order holding that respondent is currently a dangerous sex offender requiring confinement. Assuming, as the State contends, that the matter was rendered moot, because the limited issue of whether a trial court has the authority to permit an electronic appearance during the dispositional phase of a Mental Hygiene Law article 10 proceeding is a significant issue which is likely to recur and evade review, the exception to the mootness doctrine would apply (see *Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714-715 [1980]; cf. *Matter of David C.*, 69 NY2d 796, 798 [1987]).

dispositional hearings (*see generally* Mental Hygiene Law art 10), we hold that Supreme Court has the discretion to utilize live, two-way video testimony pursuant to its inherent power, but only where exceptional circumstances so require, or when all parties consent.

[1] The existence of a provision allowing a psychiatric examiner “upon good cause shown, to testify by electronic appearance in the court” in probable cause hearings held pursuant to section 10.06 (Mental Hygiene Law § 10.08 [i] [1]) does not automatically permit, nor does it necessarily preclude, the use of the same in other contexts. As we previously stated, express authorization of live video testimony in certain circumstances “leaves [unaffected] courts’ preexisting authority” to exercise discretion in permitting such testimony (*Wrotten*, 14 NY3d at 37-38). We see no compelling reason why a trial court should have this discretion pursuant to “its inherent powers as defined in the New York Constitution and Judiciary Law” in criminal trials, but not in Mental Hygiene Law proceedings (*id.* at 38). Thus, in accordance with our decision in *Wrotten*, we hold that permitting the two-way, live video testimony of Dr. Peterson on the State’s rebuttal was within the discretion of the court.

As we have previously explained, “[l]ive televised testimony is certainly not the equivalent of in-person testimony, and the decision to excuse a witness’s presence in the courtroom should be weighed carefully. Televised testimony requires a case-specific finding of necessity; it is an exceptional procedure to be used only in exceptional circumstances” (14 NY3d at 40).²

Here, the State merely indicated that Dr. Peterson could not appear in court on short notice and was somehow limited by her remaining employment with an Office of Mental Hygiene facility. Permitting Dr. Peterson to deliver her testimony via videoconference over respondent’s objection without requiring a proper showing of exceptional circumstances was error.

[2] We conclude, however, that the error was harmless in light of the overwhelming evidence presented by the State (*cf. Matter of State of New York v John S.*, 23 NY3d 326, 348 [2014]). During the State’s case-in-chief, Dr. Peterson testified

2. In *Wrotten*, the People presented expert testimony that the witness, whom they sought to have appear electronically, lived in California and was “85 years old, frail, unsteady on his feet, and with a history of coronary disease [such that he] could not travel to New York without endangering his health, and was therefore unavailable” (14 NY3d at 37).

that, based on his Static-99 scores, respondent was at a high risk of recidivism. She further based her opinion on the fact that respondent had failed to progress in sex offender treatment, failed to prepare an adequate relapse prevention plan, and exhibited certain behaviors, which indicated that he would not be able to comply with the rules of the strict and intensive supervision and treatment program. Furthermore, Supreme Court's written decision credited Dr. Peterson's testimony brought forth during the State's case-in-chief, which referenced only the original, lower Static-99 test results, and not the modified scores that were presented during her electronic rebuttal testimony.

Accordingly, the Appellate Division order should be affirmed, without costs.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed, without costs.

[34 NE3d 833, 13 NYS3d 323]

In the Matter of the Estate of ROBYN R. LEWIS, Deceased. JAMES ROBERT SIMMONS, Respondent; MEREDITH M. STEWART et al., Appellants.

Argued March 25, 2015; decided June 4, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from orders of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 3, 2014. The Appellate Division (1) affirmed a decree of the Surrogate's Court of Jefferson County (Peter A. Schwerzmann, S.), which had (a) dismissed the objections to the petition for probate, and (b) admitted to probate the last will and testament of Robyn R. Lewis, deceased, executed July 15, 1996; and (2) affirmed a decree of that Surrogate's Court which had (a) revoked amended letters of administration issued to objectants Ronald L. Lewis and Meredith M. Stewart, and (b) issued letters testamentary to petitioner.

Matter of Lewis, 114 AD3d 203, modified.

Matter of Lewis, 114 AD3d 231, modified.

HEADNOTES

Wills — Revocation — Revocatory Effect of Subsequent Lost Will — Proof of Formalities of Execution

1. In a proceeding in which petitioner, the father of decedent's ex-husband, sought to probate a will executed by decedent in Texas before she was divorced and moved to New York, which will named petitioner as decedent's alternate executor and beneficiary, the lower courts properly refused to give revocatory effect to a lost will purportedly executed by decedent where the individual who testified as to the will's existence and to its provision revoking all other wills and codicils did not witness the signing of the will and therefore could not prove that it had been duly executed. Pursuant to EPTL 3-4.1 (a) (1) (B), revocation of a will by a subsequent will or other writing may be accomplished only by executing the revoking instrument with the formalities prescribed for the execution and attestation of a will.

Wills — Probate — Will Duplicates

2. In a probate proceeding involving a will executed by decedent in Texas before she was divorced and moved to New York, which her former husband said was generated in quadruplicate, but also described as composed of one original and three "copies," the will that was provided by petitioner executor after no will was found during a diligent postmortem search of decedent's home and possessions should not have been admitted to probate while a question persisted as to whether decedent had revoked the will by destruction. A will may be revoked by the testator's act of destroying the will with

revocatory intent, which act achieves the revocatory purpose even if there remain will duplicates outstanding. That a testator has in fact revoked a will by destruction will be strongly presumed where the will, although once possessed by the testator, cannot be found posthumously despite a thorough search. The presumption, once raised, stands in the place of positive proof and must be rebutted by the will's proponent as a condition of probate. Here, the crucial issues raised by the duplicate will testimony were not framed for resolution as they should have been and this may have operated to deprive petitioner of a fair opportunity to avoid or rebut the presumption of revocation which otherwise would control the outcome of the proceeding. Accordingly, the matter was remanded to the Surrogate so that those issues could be fully litigated and determined.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Conflict of Laws § 57; AM JUR 2d, Wills §§ 454–457, 465–468, 471–472, 483, 515, 519–520, 552, 562, 566, 568, 571, 583, 588–589, 903, 912–922, 926, 930; AM JUR 2d, Witnesses § 549.
 CARMODY-WAIT 2d, Probate Proceedings §§ 152:14, 152:166–152:171, 152:260–152:272, 15:296.
 MCKINNEY'S, EPTL 3-4.1 (a) (1) (B).
 NY JUR 2d, Decedents' Estates §§ 574, 578, 580, 582, 584, 587, 590, 604–605, 614, 632, 640, 642, 645–646, 657, 664, 670, 1689, 1711, 1719.

ANNOTATION REFERENCE

Proof of due execution of lost will. 41 ALR2d 393.

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Database: NY-ORCS

Query: revoc! /5 (lost /3 will!) & formal! /5 execut!

POINTS OF COUNSEL

D.J. & J.A. Cirando, Esqs., Syracuse (*John A. Cirando, Bradley E. Keem and Elizabeth deV. Moeller* of counsel), and *Wittenburg Law Firm, LLC*, Syracuse, for appellants. I. Petitioner failed to produce all of the Texas wills. (*Matter of Davis*, 45 Misc 554, 182 NY 468; *Matter of Staiger*, 243 NY 468; *Crossman v Crossman*, 95 NY 145; *Matter of Fox*, 9 NY2d 400; *Matter of Philbrook*, 185 AD2d 550; *Matter of Gray*, 143 AD2d 751; *Scholen v Guaranty Trust Co.*, 288 NY 249; *Fidelity & Guar. Ins. Corp. v Ballon*, 280 App Div 373; *Matter of Cooke*, 147 Misc 528; *Telaro v Telaro*, 25 NY2d 433.) II. Decedent did everything within her power to revoke the Texas will. (*Matter*

of *Davis*, 45 Misc 554, 182 NY 468; *Matter of Singer*, 13 NY3d 447; *Matter of Biele*, 91 NY2d 520; *Matter of Fabbri*, 2 NY2d 236; *Matter of Shinn*, 7 Misc 2d 623; *Matter of Goldsticker*, 192 NY 35; *Matter of Kennedy*, 167 NY 163; *Matter of Katz*, 78 Misc 2d 790; *Matter of Sharp*, 68 AD3d 1182; *Matter of Ensign*, 103 NY 284.) III. Surrogate's Court and the Appellate Division erred in not exercising their equity power. (*State of New York v Barone*, 74 NY2d 332; *Matter of Baby Boy C.*, 84 NY2d 91; *Alliance Prop. Mgt. & Dev. v Andrews Ave. Equities*, 70 NY2d 831; *Matter of Cullen*, 174 Misc 2d 236; *Matter of Coffed*, 59 AD2d 297; *Patron v Patron*, 40 NY2d 582; *Mercury Bay Boating Club v San Diego Yacht Club*, 76 NY2d 256.)

Menter, Rudin & Trivelpiece, P.C., Syracuse (*Julian B. Modesti* and *Teresa M. Bennett* of counsel), for respondent. I. Petitioner sustained his burden as the proponent of the 1996 will. (*Matter of Halpern*, 76 AD3d 429; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Misicki v Caradonna*, 12 NY3d 511; *McHale v Anthony*, 41 AD3d 265; *Crossman v Crossman*, 95 NY 145; *Matter of McGuigan*, 10 Misc 2d 865; *Matter of Charitou*, 156 Misc 2d 952; *Matter of Heyward*, 13 AD2d 671; *Oram v Capone*, 206 AD2d 839; *People v Erb*, 59 AD3d 1020.) II. The purported lost will cannot—as a matter of law—revoke the 1996 will. (*Matter of Barnes*, 70 App Div 523; *Matter of Kleefeld*, 55 NY2d 253; *Matter of Andrews*, 195 Misc 421; *Matter of McGill*, 229 NY 405; *Matter of Davis*, 154 AD2d 461; *Matter of Collins*, 124 AD2d 48; *Matter of Slade*, 106 AD2d 914; *Matter of Horton*, 272 App Div 646; *Matter of Vickery*, 167 AD2d 828; *Matter of Stege*, 161 Misc 667.) III. New York law does not exclude petitioner as a beneficiary of decedent's estate. (*Matter of Coffed*, 59 AD2d 297, 46 NY2d 514; *Matter of North*, 32 AD2d 862; *Matter of Cullen*, 174 Misc 2d 236.) IV. Surrogate's Court and the Fourth Department properly exercised their broad discretion in denying appellants equitable relief. (*Matter of Von Bulow*, 63 NY2d 221; *Jochum Bros., Inc. v Ridge-wood Pie Baking Co., Inc.*, 210 App Div 428; *Calhoun v Mil-lard*, 121 NY 69; *Seif v City of Long Beach*, 286 NY 382; *Kubli v Rosetti*, 34 NY2d 68; *Matter of Dane*, 55 AD2d 224; *Sinclair v Purdy*, 213 App Div 439; *Symphony Space v Pergola Props.*, 88 NY2d 466; *Burns v McCormick*, 233 NY 230; *Matter of Greatsinger*, 67 NY2d 177.) V. The dissent's finding of "suspect" circumstances results from misconstruction of the facts. (*Bar-one v Cox*, 51 AD2d 115; *Saber v 69th Tenants Corp.*, 107 AD3d 873.) VI. The Court should disregard any arguments presented for the first time in appellants' reply brief. (*O'Sullivan v O'Sullivan*, 206 AD2d 960.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

At the time of her death in March 2010, it appeared after a thorough search that decedent Robyn R. Lewis had left no will. Letters of estate administration were therefore issued to her parents, Meredith M. Stewart and Ronald L. Lewis, pursuant to SCPA 1001 (1) (d); although decedent had been married to James A. Simmons, the marriage ended without issue in 2007 when the couple divorced, leaving decedent's parents as her sole distributees (*see* EPTL 4-1.1 [a] [4]). They, however, renounced their interest in decedent's Clayton, New York residence in favor of decedent's brothers Ronald L. Lewis, II and Jonathan Lewis. The Clayton property, which had been in decedent's family for generations, would thus have passed to decedent's blood relations but for the December 2010 filing in Jefferson County Surrogate's Court of petitions to revoke the parents' letters of administration and to admit to probate a will executed by decedent in Texas in 1996. That will bequeathed all of decedent's property, real and personal, to her then husband James A. Simmons, and named him as the will's executor. The will had been in the possession of the ex-husband's mother who retrieved it from her dresser after her son informed her that he had learned during a recent Internet search of his former wife's death some eight months before. The son brought the will to an attorney, and this proceeding was shortly commenced.

The present petitions, however, were brought not by the son but, nominally, by his father, James Robert Simmons.¹ Although the son was disqualified by reason of his divorce from decedent from serving as her executor or taking under the proffered pre-divorce will (*see* EPTL 5-1.4 [a] [1], [3]), decedent's former father-in-law, who was named in the will as decedent's alternate executor and beneficiary, was not so disqualified under New York law,² which governs the disposition of decedent's New York real property, the sole asset of significant

1. Mr. Simmons senior made no bones about the fact that he was not the real party in interest. He testified that he was "not the [p]etitioner" and was "just along for the ride."

2. He was, however, under Texas law, which provides in relevant part that

"[i]f, after the testator makes a will, the testator's marriage is dissolved by divorce, annulment, or a declaration that the marriage is void, all provisions in the will, including all fiduciary appointments, shall be read as if the former spouse *and each*

(*n. cont'd*)

value in her estate. Objections to probate were filed by decedent's parents and brothers.

During the ensuing probate proceedings, decedent's ex-husband testified that the will offered for probate was one of a pair of reciprocal or "mirror" wills made by the then married couple. Those wills and several other instruments bearing on end-of-life decisions were, according to the former husband, executed during a single session at an attorney's office in Texas in 1996. Each instrument, he said, was generated in quadruplicate, and although he described each set of four as composed of one original and three "copies," the natural, albeit less than certain, import of his testimony was that each copy was intended to be a functional instrument. He testified,

"they were all done [the same day] at [the attorney's] office, both the originals of course and the copies. And we planned from that day, Robyn and I, to leave one set at my parents' house, one set at our Texas house, one set at the New York house and one set in a safe deposit box. That was all planned out before we sat down that day and -- and signed all those signatures."

Later in his testimony he explained, "we had four sets of everything at each house for a reason. We both traveled. We knew that one house could burn down, this, that and the other."

During the probate proceeding, testimony was also elicited from Marilew Barnes. Ms. Barnes had been decedent's friend, neighbor and confidante. She had been given powers of attorney by decedent—both legal and medical—and had assisted decedent with financial and health-related matters during the period following her divorce when her ability to manage her own affairs was compromised by the debilitating and ultimately fatal sequelae of alcohol addiction. Ms. Barnes stated that it had been a priority of decedent's to make a new will once her divorce became final, and that in the fall of 2007 decedent brought to her for her examination, and then discussed with her, what she understood to be a will that contained a provision revoking all prior wills and codicils. Nonetheless, as noted,

relative of the former spouse who is not a relative of the testator failed to survive the testator, unless the will expressly provides otherwise" (Tex Estates Code Ann § 123.001 [b] [emphasis added]). After decedent's divorce, her ex-husband's father, petitioner, ceased to be her "relative" within the relevant definition of Texas law (see Tex Estates Code Ann § 123.001 [a]).

no will was found during a diligent postmortem search of decedent's home and possessions.

The Surrogate, while not skeptical of Ms. Barnes's account as to what she saw and read, and while acknowledging "how the fact that the will [offered for probate] was drafted ten years prior to the decedent's divorce raises suspicion in [objectants'] eyes as to whether the will truly reflects what the decedent would have wanted when she passed in 2010," nevertheless understood himself to be bound to dismiss the objections to the 1996 will and to admit it to probate. This was because Ms. Barnes had not witnessed the signing of the evidently lost 2007 will and her testimony, therefore, could not prove that the will had been duly executed. Without proof of due execution, the lost will could not, in the Surrogate's view, be given effect, even for the limited purpose of revoking the 1996 will. As to the ex-husband's testimony indicating that the 1996 will had, by design, been executed in four equally functional counterparts to be kept separately at specified locations, among them decedent's post-divorce Clayton, New York residence,³ the Surrogate noted only that "[i]t is not clear from the testimony of the witnesses if the decedent and Mr. Simmons left the attorney's office with four original instruments or one original and three copies."

A divided Appellate Division affirmed the Surrogate's decision and decree (114 AD3d 203 [2014]). This Court granted objectants' motion for leave to appeal (23 NY3d 906 [2014]), and we now modify.

[1] Preliminarily, we note that the lower courts properly refused to give revocatory effect to the lost will described by Ms. Barnes. Estates, Powers and Trusts Law § 3-4.1 (a) (1) (B), particularly as we have construed it in *Matter of Coffed* (46 NY2d 514, 519 [1979]), commands categorically that revocation of a will by a subsequent will or other writing may be accomplished only by executing the revoking instrument "with the formalities prescribed . . . for the execution and attestation of a will." As we observed in *Coffed*, this requirement's stringency has been deemed necessary to prevent fraud and flippancy in the making and revocation of testamentary instruments generally; its prophylactic utility would be largely undone if it were dispensable in the individual, seemingly sympathetic case (*see id.* at 519).

3. Decedent had been awarded the Clayton residence in the couple's divorce settlement.

[2] Although objectants' claim of revocation by a subsequent writing was properly rejected, it does not follow that the 1996 will was proved. Indeed, the evidence before the Surrogate raised a most serious, and unresolved, question as to whether the 1996 will had been otherwise revoked, and while that question persisted the will should not have been admitted to probate.

A will may, of course, be revoked not only by means of a writing executed in the manner of a will, but by the testator's act of destroying it with revocatory intent (EPTL 3-4.1 [a] [2] [A] [i]), which act achieves the revocatory purpose even if there remain will duplicates outstanding (*Crossman v Crossman*, 95 NY 145, 152 [1884]). That a testator has in fact revoked a will by destruction is strongly presumed where the will, although once possessed by the testator, cannot be found posthumously despite a thorough search (*Matter of Fox*, 9 NY2d 400, 407-408 [1961]; *Matter of Staiger*, 243 NY 468, 472 [1926]; *Matter of Kennedy*, 167 NY 163, 168-169 [1901]). The presumption, once raised, "stands in the place of positive proof" (*Staiger*, 243 NY at 472) and must be rebutted by the will's proponent as a condition of probate (*Matter of Fox*, 9 NY2d at 407).

Here, the facts of record, adduced in critical part through the testimony of petitioner's son, supported inferences that decedent executed her 1996 will in quadruplicate, with each document having been meant to possess the force of an original instrument; that one of the will duplicates was kept at the Clayton, New York home where decedent resided after her divorce; and that, after a thorough search, no will was found there. Plainly, these circumstances sufficed to raise the presumption that decedent revoked her 1996 will by destroying it. It is equally plain that that presumption was not rebutted. None of the other duplicate wills was produced or otherwise accounted for. And, although petitioner now urges that the unproduced duplicates were merely copies, the uncertain status of the will duplicates, although commented upon by the Surrogate, was never resolved. We are left then with a will admitted to probate upon a record sufficient only to disprove it.

It is precisely to avoid such an incongruous outcome that the governing rule of proceeding has long been that

"[a]s soon as it is brought to the attention of the surrogate that there are duplicates of a will presented to him for probate, it is proper that he

should require [the] duplicates to be presented, not for the purpose of admitting [them] as separate instruments to probate, but that he may be assured whether the will has been revoked, and whether each completely contains the will of the testator” (*Crossman*, 95 NY at 152; and see e.g. *Matter of Robinson*, 257 App Div 405, 407 [4th Dept 1939]; *Matter of Blackstone*, 172 Misc 479, 484 [Sur Ct, NY County 1939]).

Here, it is manifest that the Surrogate’s attention was drawn to the existence of will duplicates, but the consequently arising issues as to the will’s validity were not resolved as they should have been in accordance with *Crossman*’s instruction. Petitioner was required not merely to exclude the possibility, but to rebut the legal presumption of revocation, sufficiently raised by the ex-husband’s testimony as to the existence of will duplicates, one of which had been kept, but was not found after decedent’s passing, at her post-divorce residence. The necessity of such a showing was in this matter highlighted by the circumstance that the 1996 will, reciprocally bequeathing all of decedent’s property to her then husband, reflected a testamentary design irretrievably bound up with the testator’s since terminated spousal status.

While the record in its present state would only support a denial of probate, we recognize that the crucial issues raised by the duplicate will testimony were not framed for resolution as they should have been and that this may have operated to deprive petitioner of a fair opportunity to avoid or rebut the presumption of revocation which otherwise must control the outcome of this proceeding. We therefore remand the matter to the Surrogate so that these pivotal issues can be fully litigated and determined.

Accordingly, the orders of the Appellate Division should be modified, without costs, by remitting to Surrogate’s Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

PIGOTT, J. (concurring). While I agree with my colleagues that remittal to Surrogate’s Court is the appropriate result, I write separately to express my disagreement with the majority’s dicta, in the hope that this added language will not be misinterpreted as a holding by this Court and lead the Surrogate to believe the issue has already been decided.

The issue for the Surrogate to resolve on remittal is whether there were four original instruments or one original and three

copies of the decedent's will (*see Roche v Nason*, 185 NY 128 [1906]; *Matter of Andriola*, 160 Misc 775 [Sur Ct, Kings County 1936]). If the Surrogate determines that there were four original instruments, he must then decide whether the presumption of revocation was triggered and whether that presumption was rebutted (*see Crossman v Crossman*, 95 NY 145 [1884] [presumption]; *Matter of Fox*, 9 NY2d 400 [1961] [rebuttal]).

The majority discusses the ex-husband's testimony and surmises that "the natural, albeit less than certain, import of [the ex-husband's] testimony was that each copy was intended to be a functional instrument" (majority op at 460). The majority further states that "ex-husband's testimony indicat[es] that the 1996 will had, by design, been executed in *four equally functional counterparts* to be kept separately at specified locations" (majority op at 461 [emphasis added]). In doing so, the majority, in essence, discredits the ex-husband's testimony that he and the decedent executed "two wills, two power of attorneys and two directive to physicians," and that there was only one original of "each six documents." The quality and weight afforded to ex-husband's testimony, as well as any other testimony, is clearly in the province of Surrogate's Court. In other words, whether there were "four equally functional counterparts" of the decedent's will is a question of fact that is left to be resolved by the Surrogate.

The majority then suggests, again in dicta, that

"the facts of record, adduced in critical part through the testimony of petitioner's son, supported inferences that decedent executed her 1996 will in quadruplicate, *with each document having been meant to possess the force of an original instrument*; that one of the will duplicates was kept at the Clayton, New York home where decedent resided after her divorce; and that, after a thorough search, no will was found there [and that] *[p]lainly, these circumstances sufficed to raise the presumption that decedent revoked her 1996 will by destroying it. It is equally plain that that presumption was not rebutted*" (majority op at 462 [emphasis added]).

While the majority may claim that it is simply reading the record before it, this dicta may be viewed by some as a disguised holding. "However grievous the errors a court commits when it writes dictum disguised as holding, those errors

would be neutralized if the next court would *recognize the prior dictum as nonbinding and go on to grapple with and decide the issue*” (see Pierre N. Leval, Madison Lecture, *Judging under the Constitution: Dicta About Dicta*, 81 NYU L Rev 1249, 1268-1269 [2006] [emphasis added]). I encourage the Surrogate’s Court to “grapple with and decide the” issues without consideration of the majority’s dicta.

Judges READ, RIVERA, ABDUS-SALAAM and STEIN concur; Judge PIGOTT concurs in result in a separate concurring opinion; Judge FAHEY taking no part.

Orders modified, without costs, by remitting to Surrogate’s Court, Jefferson County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[34 NE3d 839, 13 NYS3d 329]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOSE
INOA, Appellant.

Argued May 6, 2015; decided June 10, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 26, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Gregory Carro, J.), which had convicted defendant, upon a jury verdict, of murder in the first and second degrees, attempted murder in the second degree, conspiracy in the second degree, assault in the first degree, and criminal possession of a weapon in the second and third degrees.

People v Inoa, 109 AD3d 765, affirmed.

HEADNOTE

**Crimes — Witnesses — Expert Witness — Interpreting Uncoded
Language in Recorded Conversations — Harmless Error**

In defendant's murder prosecution, the trial court's error in permitting a detective, who had participated in the underlying investigation by translating and analyzing recorded phone conversations containing both coded and uncoded language, to testify as an expert with respect to the uncoded portions of the conversations was harmless, where the proof of defendant's commission of the charged crimes was overwhelming and there was no significant probability that, but for the court's error, the verdict would have been less adverse. The jury may be aided, but not displaced, in the discharge of its fact-finding function by expert testimony where there is reason to suppose that such testimony will elucidate some material aspect of the case that would otherwise resist comprehension by jurors of ordinary training and intelligence. The detective's testimony consisted, in large part, of explaining what the conversers referred to based upon the investigative reconstruction in which he had taken part. Such interpretive effort, however, is what juries commonly do, and the jury here was as competent as any other to perform that task without having its work modeled and previewed for it by a purported expert in the case. Nonetheless, the eyewitness accounts of defendant's conduct immediately before and after the shootings were compelling, as together the witnesses's separately generated accounts meshed into a seamless narrative evidently conclusive of the identity of the individual responsible for the shootings.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 666, 703; AM
JUR 2d, Expert and Opinion Evidence §§ 294, 297.

Opinion by Chief Judge LIPPMAN

CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:174, 194:175; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:117.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2192, 3569, 3570, 3572, 3573.

ANNOTATION REFERENCE

See ALR Index under Expert and Opinion Evidence; Harmless and Prejudicial Error.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: harmless /2 error /s expert /3 witness

POINTS OF COUNSEL

John R. Lewis, Sleepy Hollow, for appellant. Detective Rivera's "expert" testimony extended far beyond the scope of his area of expertise, often relied on hearsay sources, bolstered the key testimony of witness Duran, and served to make him a virtual "summary" witness of the People's entire case, thoroughly usurping the jury's role. (*United States v Mejia*, 545 F3d 179; *United States v Dukagjini*, 326 F3d 45; *People v Knupp*, 179 AD2d 1030; *People v Bolling*, 166 AD2d 203; *People v Polanco*, 50 AD3d 587; *People v Clyde*, 18 NY3d 145; *People v Bennett*, 79 NY2d 464; *People Brown*, 97 NY2d 500; *People v Seeley*, 186 Misc 2d 715; *People v Diaz*, 85 AD3d 1047.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Christopher P. Marinelli* and *Vincent Rivelles* of counsel), for respondent. The trial court properly exercised its discretion in admitting Detective Rivera's testimony. (*Crawford v Washington*, 541 US 36; *United States v Mejia*, 545 F3d 179; *United States v Dukagjini*, 326 F3d 45; *People v Brown*, 97 NY2d 500; *People v Polanco*, 50 AD3d 587, 11 NY3d 834; *People v Jones*, 73 NY2d 427; *People v Contreras*, 28 AD3d 393; *People v Crimmins*, 36 NY2d 230; *People v Caban*, 5 NY3d 143; *Meiselman v Crown Hgts. Hosp.*, 285 NY 389.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Early on the morning of January 11, 2005, Edward Contre-ras and an associate, Christian Santos, were shot in a grocery store at the corner of Sherman Avenue and West 204th Street

in Upper Manhattan. Contreras died of his wounds several hours later. Santos, although seriously injured, survived. In March 2009, defendant, Oman Gutierrez and several others were indicted in connection with those shootings. As is here relevant, defendant and Oman Gutierrez were charged with first-degree murder (Penal Law § 125.27 [1] [a] [vi]). It was alleged that defendant murdered Contreras at Gutierrez's request and that he had expected to be paid for doing so.

Defendant and Oman Gutierrez were tried together in June and July of 2010. The jury heard evidence that, in the late 1990s, Oman Gutierrez led a drug ring that did business on a block situated at Post Avenue and West 204th Street in Washington Heights. Following a law enforcement "take down" of the Gutierrez ring in 1999, Oman and several of his associates were prosecuted and imprisoned for lengthy terms, and in their absence Edward Contreras and his drug dealing crew took over the Post and 204th Street location. Trial testimony by Eldia Duran, Oman Gutierrez's paramour during the period of the Contreras shooting, together with transcribed recordings of some 77 telephone calls made to Duran and third parties by Oman from prison¹ between December 2004 and May 2005, was introduced to prove that, as Oman's term neared its anticipated conclusion, he schemed to eliminate Contreras, whose appropriation of his "spot" on West 204th Street he believed prevented his ring from making money. Duran testified that in conversations, both recorded and unrecorded, to which she was either a party or privy, Oman disclosed his intention to have defendant, a trusted childhood friend from the neighborhood of 204th and Post, known by a variety of street names—mostly canine, but also as "Andy" and "Zim"—return to New York City from Georgia, where he then lived, to perform the assassination. Duran said it was understood that, although the still imprisoned Oman had no money, defendant eventually would be paid for removing Contreras. She explained that, on his release from prison, Oman expected to receive \$20,000 from one Orlando Torres and that he intended to use half of that sum to compensate defendant.

1. The third parties—usually, individuals Oman had not received the requisite permission from prison authorities to telephone—were conferenced-in by Duran (who Oman was permitted to call) at Oman's direction. Duran testified that she routinely remained on the line and overheard what was said, even if she was not included in the conversation, so as to be available to act as Oman's de facto telephone operator.

Duran recounted that upon defendant's arrival in New York City in early January 2005, Oman insisted on keeping him secluded and was concerned that his own contemporaneous return to the streets for several days a week as a participant in a transitional work release program should not become public knowledge. Duran stated that, in preparation for the assassination, defendant and members of Oman's crew, chauffeured by Joaris Grullon, the wife of one of Oman's associates, surveilled Contreras to ascertain when and where "to get the perfect shot"; that Oman was impatient at the inept way in which his design on Contreras' life was being executed and was particularly displeased that the shooting did not take place as planned on January 9th; and that, on the evening of January 9th, Oman spoke by telephone from the Edgecombe Correctional Facility with defendant² and received defendant's assurance that "[s]he gonna get done kid. Don't worry about it, big boy. I got this!"

Joaris Grullon testified that on the following night—the night of January 10th to January 11th—she drove her blue Honda to pick up defendant and Oman's cousin Randy Gutierrez on West 218th Street, as she had the night before. She said she drove the men around for about an hour, as she had the previous evening, and then, at Randy's direction, double-parked near the corner of Vermilyea Avenue and West 204th Street. Defendant, she recalled, got out of the car and walked in the direction of West 204th Street. About 10 minutes later he returned, "rushed" into the car and directed her in Spanish to take off. According to Grullon, she then returned to 218th Street and dropped defendant and Randy Gutierrez off.

Enrique Zorilla, Edward Contreras's cousin and driver, testified that while walking to one of Contreras's cars late on the night of January 10th and 11th he noticed defendant, first leaning against a wall smoking, and then jogging toward a bodega located on West 204th Street and Sherman Avenue, entered moments before by Contreras and Christian Santos. Defendant, he said, pulled a gun from his back pocket as he neared and went into the market. Zorilla remembered hearing shots within the market, and then seeing defendant exit the store, fire another round into the market and take flight. Kenny

2. Oman, although then on work release, was required to spend Sundays at the Edgecombe facility. It emerged at trial that the killing had been originally set for January 9, 2005, a Sunday, to provide Oman an alibi of sorts.

Ortiz testified that on the early morning of January 11, 2005 he was walking on West 204th Street near Vermilyea Avenue when he heard a gunshot. He remembered taking cover between parked cars and seeing defendant, whom he knew from a prior encounter,³ run by, gun in hand, and get into a car at Vermilyea Avenue. Contreras was transported to the hospital by Zorilla and Contreras's friend. The friend testified that, on the way, he asked Contreras who had shot him and that Contreras replied, "Andy."

Ms. Duran testified that, after the shooting, Oman wanted defendant to keep off the streets and then to stay in Georgia (to which he had temporarily returned) until things cooled off, but that defendant, who had announced his intention immediately to "throw himself on the block" and was anxious to be paid, was not cooperative. Duran reported to Oman that defendant had threatened to come to New York to get his money directly from Orlando Torres. In ensuing telephone conversations Oman repeatedly, but unsuccessfully, attempted to prevail upon defendant, both through intermediaries and directly, to remain in Georgia for 60 days. Finally, in May 2005, after defendant was shot in New York City under circumstances upon which the present record sheds little light, Oman advised him during a recorded conversation that he, Oman, was about to receive "ten" and that Oman's brother Eliese would give defendant "five," so that defendant could "calmly leave" and go to Georgia. Oman promised to send the remaining "five" later via defendant's girlfriend.

Also testifying for the prosecution was New York City Police Detective Rolando Rivera. Although Rivera, by the time of the trial and underlying investigation was assigned to the police Intelligence Division, in the late 1990s he had been deployed to the Manhattan North Narcotics "module" and, in that capacity, participated in the 1999 "take down" of the Gutierrez gang. He was familiar with many of the gang's members—including their speaking voices and lingo—from having monitored a wire used by the gang during the investigation leading to the "take down." He initially reviewed selected tape recordings of Oman Gutierrez's prison phone calls made between December 2004 and May 2005 in response to a tip that the Gutierrezes had

3. There was trial testimony that in July 2004, as defendant left the scene of a turf-related altercation on West 204th Street, he fired a gun in Ortiz's direction.

been involved in the January 2005 slaying of Contreras, and was eventually requested by the prosecution to translate, transcribe and analyze the recorded conversations. In the course of so doing, he met with Ms. Duran and Ms. Grullon.

At trial, Rivera was qualified by the court as an expert in decoding phone conversations. Some of his testimony bore upon the meanings of what were evidently consistently employed code words (e.g., “onion” for marijuana package, “toy” and “malacachin” for gun, and “sneakers” for thousands of dollars), but the bulk of it, covering a considerable portion of the trial transcript, consisted of interpreting portions of the phone conversation transcripts which, although sometimes veiled in their reference and import, were not encoded. Rivera’s transcript explications did not, in the main, draw upon any body of non-case specific expertise, but rather the information that he had acquired from various sources, most notably Ms. Duran, as a member of the team investigating and prosecuting the Contreras murder. His interpretations essentially harmonized the recorded conversations with the prosecution’s overall theory of how the murder plot was carried out, and almost without exception concurred with Ms. Duran’s account of what had been communicated between the coconspirators.

Defendant’s presently advanced appellate claim is that Detective Rivera should not have been permitted to testify as an expert respecting the uncoded portions of the conversations captured on the Gutierrez tapes—that his doing so invaded the factfinding province of the jury and impermissibly bolstered the testimony of Duran and other prosecution witnesses whose credibility might otherwise have been cast in doubt, since many of them were at the time of defendant’s trial themselves facing prosecution or had lengthy criminal histories, or some combination of the two. Moreover, several—including Duran—had been offered substantial consideration in exchange for their cooperation. Defendant claims relatedly that Detective Rivera was essentially a summation witness, put on the stand to tie together all the strands of the prosecution’s case for the jury much as a prosecutor would in summing up, but performing that task as a purveyor of case-specific expertise rather than as an advocate.

In affirming (109 AD3d 765 [2013]), the Appellate Division held Detective Rivera’s expert testimony to have been properly received (*id.* at 766), but expressed the view that even if parts of his testimony had been admitted in error, any error was harmless (*id.*, citing *People v Crimmins*, 36 NY2d 230 [1975]).

A Judge of this Court granted leave (22 NY3d 1199 [2014]) and we now affirm. Although considerable portions of Detective Rivera's testimony were admitted in error, the proof of defendant's commission of the charged crimes was overwhelming and we perceive no significant probability that, but for the error, the verdict, as it bore upon defendant, would have been less adverse (*see Crimmins*, 36 NY2d at 242).

It is, of course, the role of the jury to determine the facts of the case tried before it. The jury may be aided, but not displaced, in the discharge of its fact-finding function by expert testimony where there is reason to suppose that such testimony will elucidate some material aspect of the case that would otherwise resist comprehension by jurors of ordinary training and intelligence (*see People v Cronin*, 60 NY2d 430, 432 [1983]). The decision to allow the testimony of an expert is generally discretionary, and reviewable in this Court only where discretion has not been exercised (*id.* at 433) or has been abused (*see id.*). That said, there are situations—and this is one—in which an expert so palpably overtakes the jury's function to decide matters within its unaided competence, that abuse may be found.

There is, to be sure, no categorical prohibition on the introduction of police expertise into the evidentiary calculus of a criminal trial. We have, for example, permitted expert testimony by a police sergeant respecting the way in which street-level drug sales are transacted to help a jury understand why the failure to recover drugs or marked buy-money from an individual apprehended in a buy-and-bust operation is not necessarily indicative of the accused's misidentification (*People v Brown*, 97 NY2d 500 [2002]). It is instructive to note, however, that the testimony of the sergeant in *Brown* was carefully limited by the trial court to a discrete issue beyond the ken of ordinary jurors, and that the sergeant was not himself involved in the underlying investigation and gave no testimony as to what had actually occurred during the buy-and-bust there involved. The situation is very different where a police officer, qualified as an expert, has participated in the investigation of the matter being tried and, with the mantle of an expert steeped in the particulars of the case, gives seemingly authoritative testimony directly instructive of what facts the jury should find. Our cases have not dealt with this problematic scenario, but those of the Second Circuit, most notably *United States v Mejia* (545 F3d 179 [2d Cir 2008]) and *United States v Dukagjini* (326 F3d 45 [2d Cir 2002]), have.

In both of those cases, law enforcement officers involved in the investigations upon which the defendants' prosecutions were founded were duly qualified as experts but permitted to testify as apparent experts beyond their expertise and upon matters well within the grasp of lay jurors. In exploring the full reach of the permission they had been afforded, they became summation witnesses, instructing the jury comprehensively and with an aura of expertise, as to how the particular factual issues presented in each case should be resolved. This, said the *Mejia* court, amounted to a "usurpation of the jury's role" (545 F3d at 191), and was objectionable as well, in both *Mejia* and *Dukagjini*, for operating to inject hearsay into the evidentiary mix and to abridge the defendants' constitutional right to confront the witnesses against them; both case agent witnesses, as putative experts, had premised their testimony largely on inadmissible out-of-court statements, even when that testimony ceased to be expert and went only towards proving particular facts.

While there is here no developed denial-of-confrontation claim presented—probably because the principal body of hearsay relied upon by Detective Rivera, composed of co-conspirator hearsay, did not contain statements that would qualify as testimonial under *Crawford v Washington* (541 US 36 [2004]) and because the principal out-of-court declarants with whom he consulted, Ms. Duran and Ms. Grullon, testified at trial and were subject to cross-examination—there appears little else to separate this case in its presentation of the basic evidentiary issue from *Mejia* and *Dukagjini*. Here, as in those cases, the trial court qualified a government agent, intimately involved in the investigation of the case and development of the prosecution, to testify as an expert and the agent ended up testifying beyond any cognizable field of expertise as an apparently omniscient expositor of the facts of the case.

Had Detective Rivera been qualified to testify simply as to the meaning of coded expressions in the Gutierrez recordings and his expert testimony been accordingly limited in scope (see *People v Brown*, 97 NY2d at 506), the receipt of that testimony would not now be problematic for its subject matter; it is not controversial that the meaning of coded communications is a proper subject of expert testimony (see *Mejia*, 545 F3d at 189; *Dukagjini*, 326 F3d at 52). Detective Rivera, however, was qualified by the trial court not simply to decode what was coded, but to decode telephone conversations generally and, as

the trial progressed, it became evident that the court understood that permission to extend to explaining the meaning of virtually everything that was said during Oman Gutierrez's recorded conversations, whether it was coded or not.

Mejia identified two ways in which a government agent qualified as an expert in decoding might exceed the scope of his expertise:

“The expert might, as did the agent in *Dukagjini*, ‘testif[y] about the meaning of conversations in general, beyond the interpretation of code words.’ *Id.*; see also *United States v. Freeman*, 488 F.3d 1217, 1227 (9th Cir.2007) (‘The fact that [the officer expert] possessed specialized knowledge of the particular language of drug traffickers did not give him carte blanche to testify as to the meaning of other words in recorded telephone calls without regard to reliability or relevance.’). Or, we noted, the expert might ‘interpret[] ambiguous slang terms’ based on knowledge gained through involvement in the case, rather than by reference to the ‘fixed meaning’ of those terms ‘either within the narcotics world or within this particular conspiracy.’ *Dukagjini*, 326 F.3d at 55” (*Mejia*, 545 F3d at 192-193).

The present record contains, in liberal measure, both species of error.

There are, in fact, very few code words of fixed meaning used in the recorded conversations about which Detective Rivera testified. Only a small number of expressions that would, even arguably, fit that description, are identified, and even those are not clearly referable to some fixed vocabulary in which expertise might be cultivated. To the extent, then, that the subject conversations' meaning is not readily accessible, the difficulty is not, in the main, that the exchanges were coded, but that they were conducted in a shifting slang whose reference was not self-evident. Detective Rivera's testimony consisted, in large part, of explaining what the conversers referred to based upon the investigative reconstruction in which he had taken part. But this kind of interpretive effort—resolving ambiguity in utterance by situating it within a particular extralinguistic context—is what juries commonly do, and this jury, at least presumptively, was as competent as any other to perform that task without having its work modeled

and previewed for it by a purported expert in the case. It is always possible to suppose that there are those capable, on the basis of their extrajudicial inquiries and experience, of judging the facts more incisively than the individuals actually empaneled to do so, but that does not mean that in every case it would be appropriate to have an expert guide the jury through its fact-finding paces. Trials, by design, are not decided by those pre-schooled in the matter litigated, however thorough their extrajudicial education may have been; they are, to the contrary, decided independent of case-specific preconception on the basis of the evidence introduced during the proceeding itself in accordance with the rules of admissibility. Those rules, it is true, allow the receipt of expert opinion evidence to clarify relevant issues not amenable to understanding by jurors of average intelligence and experience, but such proof is not properly received where its purpose is simply to provide an alternative, purportedly better informed, gloss on the facts of the case. In the latter instance, vaunted expertise merely mimics, and seeks to substitute for that which it is the function of the trial to impart and of the jury to acquire in its course. *Mejia* put it particularly well: “when . . . officer experts come to court and simply disgorge their factual knowledge to the jury, the experts are no longer aiding the jury in its factfinding; they are instructing the jury on the existence of the facts needed to satisfy the elements of the charged offense” (545 F3d at 191).

Nothing we have said should be understood as critical of Detective Rivera’s investigative efforts; our concern is with the use to which his trial testimony was directed. His discovery, analysis, translation (where necessary from Spanish to English), and transcription of the Gutierrez prison tapes represented extraordinarily fine police work pivotal to this case’s development and preparation for trial. With respect to defendant, however, the evidence anchoring the prosecution at trial was not primarily what was said on the tapes, much less what Rivera said about what was said on the tapes, but the eyewitness accounts of defendant’s conduct immediately before and after the Contreras/Santos shootings. That proof was utterly compelling. Although each eyewitness’s credibility might certainly have been questioned, together the witnesses’s separately generated accounts meshed into a seamless narrative evidently conclusive of the identity of the individual responsible for the shootings. Once it was established through this testimony that defendant shot Contreras and Santos in

the early hours of January 11, 2005 at the bodega on the corner of West 204th and Sherman, the general import of what was being discussed on the prison tapes would have been self-evident. Unaided, perhaps the jury would not have discerned every way in which the conversations bore upon the shootings, their motive, preparation and aftermath, but, in the large, the relation between defendant's commission of the shootings and what was said on the prison tapes was manifest and not in need of express, much less expert, clarification. The taped conversations were, in any event, extensively explained by Ms. Duran during her appearance as a fact witness.

Defendant contends that Ms. Duran's testimony was unduly bolstered by Detective Rivera's ostensibly expert narrative substantially confirming her account. This would be a more powerful claim for relief if Ms. Duran's testimony had been necessary to prove defendant's guilt of murder. But, as noted, it was not. Her testimony *was* important to proving that defendant murdered Contreras for a price, i.e., that he committed first-degree murder, but the inference that he did so was, in light of the proof of the murder and its patent economic motive, far from obscure, and was made manifest by the taped conversations in which the contemplated payment to defendant and its funding source were discussed in close conjunction with the persistent post-slaying problem of managing defendant's still unmet expectation that he would be compensated. Ms. Duran's testimony, that it was understood that defendant would be paid for carrying off the assassination, was powerfully confirmed by the manifest content of the taped conversations. Detective Rivera's imprimatur was entirely dispensable to the already overdetermined conclusion that the substantial sum earmarked for and expressly promised defendant by his incarcerated codefendant, could have been referable only to his murder of Contreras.

In deeming the error in admitting Detective Rivera's extensive summation testimony harmless, we do not minimize the potency of this species of error to affect the outcome of a criminal trial. Plainly, had the error occurred in a somewhat different evidentiary context or involved a preserved denial-of-confrontation claim, it could well have dictated a reversal (*compare Dukagjini*, 326 F3d at 62 [evidentiary error not reversible given the strength of properly admitted evidence], *with Mejia*, 545 F3d at 202 [evidentiary error resulting in denial of confrontation reversible as not harmless beyond a

reasonable doubt]; *and see United States v Grinage*, 390 F3d 746, 751 [2d Cir 2004] [*Dukagjini* error not harmless where government agent's interpretation of phone calls was the principal evidence against the defendant and "the jury may well have afforded unusual authority to the agent, who was presented as having expertise, as well as knowledge beyond that available to the jury" (*id.* at 752)]. The result of this appeal, then, should not encourage any expectation that the harmless error doctrine will reliably insulate the practice of using government agents as expert summation witnesses, and trial courts should, accordingly, be vigilant against the serious risks that such usage entails.

Accordingly, the order of the Appellate Division should be affirmed.

Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed.

[34 NE3d 847, 13 NYS3d 337]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEVEN
LASHWAY, Appellant.

Argued May 7, 2015; decided June 11, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 26, 2013. The Appellate Division affirmed an order of the Clinton County Court (Patrick R. McGill, J.), which had denied defendant's application pursuant to Correction Law § 168-o (2) for a modification of his sex offender risk level.

People v Lashway, 112 AD3d 1235, affirmed.

HEADNOTE

**Crimes — Sex Offenders — Sex Offender Registration Act — Re-
classification Proceeding — Due Process — Denial of Adjourn-
ment Request**

In a proceeding pursuant to Correction Law § 168-o for a downward modification of defendant's level three sex offender risk classification, County Court did not abuse its discretion in denying defendant's adjournment request to obtain certain documents reviewed by the New York State Board of Examiners of Sex Offenders (the Board) in not recommending a reduction in defendant's risk level classification, where there was overwhelming record evidence supporting the denial of any modification. In an initial risk level determination, the due process rights of a petitioner include prehearing discovery, and defense counsel is therefore entitled to prehearing access to the documents reviewed by the Board. However, Correction Law § 168-o (4), applicable when a petitioner seeks modification of the risk level, does not contain any language entitling a petitioner to prehearing discovery, but provides that a petitioner has a right to submit "any information relevant to the review." While there are statutory differences between an initial risk level determination and a modification proceeding, the procedural due process rights, in regard to the requested documents, were the same, and defendant was thus entitled to access the documents. Nonetheless, defendant was a repeat sex offender who had been found to have a mental abnormality and had continued to incur multiple infractions while incarcerated. Given the strong case against modification, defendant was not prejudiced by the court's denial of an adjournment to obtain the documents.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 126, 137, 139.

McKINNEY'S, Correction Law § 168-o.

NY JUR 2d, Penal and Correctional Institutions §§ 420,
422.

ANNOTATION REFERENCE

Validity, construction, and application of state sex offender registration statutes concerning level of classification—initial classification determination. 65 ALR6th 1.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sora & reclassif! /4 hearing & adjourn!

POINTS OF COUNSEL

Marcy I. Flores, Warrensburg, for appellant. I. The appellant was deprived of due process of law by the Clinton County Court's failure to abide appellant's motion, made prior to his reclassification hearing, for access to copies of all the records that the Board of Examiners of Sex Offenders reviewed and listed in making its updated recommendation on his reclassification risk level classification hearing. (*Doe v Pataki*, 3 F Supp 2d 456; *E.B. v Verniero*, 119 F3d 1077; *Fusari v Steinberg*, 419 US 379; *People v Rodriguez*, 102 AD3d 457; *Morrissey v Brewer*, 408 US 471; *People v Wyant*, 86 AD3d 754; *People v Gutierrez-Lucero*, 103 AD3d 89; *People v David W.*, 95 NY2d 130; *People v Sass*, 27 AD3d 968; *People v Sanchez*, 20 AD3d 693.) II. The Clinton County Court abused its discretion in refusing to grant the appellant an adjournment so that the requested documents could be obtained, which denial operated to deprive him of a fair hearing. (*People v Pepe*, 79 AD2d 1011; *Morris v Slappy*, 461 US 1; *People v Droz*, 39 NY2d 457; *People v Bennett*, 29 NY2d 462; *People v Di John*, 48 AD3d 1302; *People v Spears*, 64 NY2d 698; *People v McNear*, 265 AD2d 810, 94 NY2d 864; *People v Arroyo*, 161 AD2d 1127, 76 NY2d 852; *People v Peterkin*, 81 AD3d 1358.) III. The Clinton County Court erred in denying the appellant access to an adjournment so that the requested documents could be obtained, which denial operated to deprive him of a fair hearing which was not harmless error. IV. The appellant was denied his right to controvert evidence by the failure of the Clinton County Court to adjourn the case to allow the documents relied upon by the Board of Examiners of Sex Offenders in creation of the risk assessment instrument to be provided to the appellant's attorney before the start of the hearing. (*Kropp v Town of Shandaken*, 91 AD3d 1087; *Matter of New York State Bd. of Examiners of Sex Offenders v Ransom*, 249 AD2d 891; *People v Douglas*, 18 AD3d 967; *W.P. v Poritz*, 931 F Supp 1199.)

Andrew J. Wylie, District Attorney, Plattsburgh (Nicholas J. Evanovich of counsel), for respondent. Denying the adjournment request, made the day of the hearing, was a proper exercise of discretion. (People v Windham, 10 NY3d 801; People v Pettigrew, 14 NY3d 406; People v Mingo, 12 NY3d 563; People v Gillotti, 23 NY3d 841; Woe v Spitzer, 571 F Supp 2d 382; People v David W., 95 NY2d 130; People v Johnson, 11 NY3d 416; People v Gutierrez-Lucero, 103 AD3d 89; People v Brooks, 308 AD2d 99; Doe v Pataki, 481 F3d 69.)

OPINION OF THE COURT

FIGOTT, J.

The issue on this appeal is whether County Court abused its discretion when denying defendant's request for an adjournment of his reclassification hearing of his risk level status under the Sex Offender Registration Act (SORA) (*see* Correction Law § 168-o). Under the circumstances of this case, we conclude County Court did not abuse its discretion.

Defendant was convicted in 1990 of three counts of rape in the second degree, perpetrated against an 11-year-old child while he was on parole for an earlier rape conviction. He was sentenced as a second felony offender to 10½ to 21 years in prison. Prior to his release in 2004, defendant was adjudicated a risk level three sex offender under SORA (*see* Correction Law art 6-C). Defendant thereafter violated parole and was returned to prison.

In June 2010, while under civil confinement pursuant to Mental Hygiene Law article 10, defendant filed a petition under Correction Law § 168-o for a downward modification of his risk level. After receiving his petition, County Court solicited an updated recommendation from the New York State Board of Examiners of Sex Offenders (the Board) (*see* Correction Law § 168-o [4]).

The Board indicated by letter that it had reviewed a list of documents including, among other things, the original risk assessment instrument and two emails: one from the Division of Parole dated July 21, 2010 and another from the Office of the Attorney General dated July 22, 2010. The Board noted that defendant has been civilly confined pursuant to Mental Hygiene Law article 10, which information would have resulted in a presumptive level three designation under the SORA Risk Assessment Guidelines had it been available at the time of the initial SORA hearing, and that defendant had continued to “ac-

crue criminal convictions” and demonstrate violent behavior. Thus, the Board did not recommend a reduction in his risk level classification.

County Court summarily denied defendant’s modification request without conducting a hearing. The Appellate Division held that defendant was entitled to a hearing and remitted to County Court for further proceedings (90 AD3d 1178 [2011], *lv dismissed* 18 NY3d 945 [2012]).

Upon request from County Court, the Board submitted another updated recommendation which simply attached its July 2010 recommendation, and stated that defendant had since incurred multiple tier II and tier III infractions and was unlikely to be released before his maximum incarceration date of March 31, 2014. A reclassification hearing was scheduled. Shortly before the hearing, counsel for defendant submitted a proposed order to show cause why the Board should not be directed to deliver to County Court, on the date of the hearing, a copy of all of the documents that the Board listed in its July 2010 and March 2012 updated recommendations. County Court signed the order. The Board responded by providing most of the documents, but not the 2010 emails.

At the hearing, defendant’s counsel requested an adjournment pending receipt of the missing documents, which County Court denied. The hearing proceeded with defendant arguing that three factors warranted his downward departure: he had not committed a new sex offense in over 26 years; he completed programs during his incarceration; and he has medical issues. The People adduced evidence of multiple disciplinary actions that had been taken against defendant while in state custody. They further argued that, regardless of any scoring factors, because defendant has had two felony sex offenses, he qualified for a presumptive override and level three designation. County Court denied defendant’s modification request, holding that he failed to establish by clear and convincing evidence that he was entitled to a downward modification.

The Appellate Division, with one Justice dissenting, affirmed (112 AD3d 1235 [3d Dept 2013]). As relevant to this appeal, the Court rejected defendant’s claim that County Court erred in denying his request for an adjournment (*id.* at 1237). The Court noted that the Board’s updated recommendation stated only that it “‘reviewed’” the subject documents, and not that it relied upon them (*id.*). Even “[m]ore significantly,” it stated,

“County Court was not bound by the Board’s recommendation as to whether to modify defendant’s risk assessment level, and there is no evidence—nor does defendant argue—that County Court was in possession of, let alone considered, the subject documents in making its determination” (*id.* at 1237-1238 [citations omitted]). Rather, County Court had denied the modification based on “the finding that defendant had a mental abnormality, his violation of parole, his assaultive behavior while in custody and the presumptive override resulting from his prior felony conviction of a sex crime” (*id.* at 1238). Although the Court recognized that defendant was entitled to discovery of the materials, it noted that “discovery is subject to certain limitations and the court has ‘considerable discretion to supervise the discovery process’ ” (*id.*, quoting *Kropp v Town of Shandaken*, 91 AD3d 1087, 1092 [3d Dept 2012]). The Court concluded that County Court had not abused its discretion in declining to adjourn the hearing in light of defendant’s “protracted delay” in requesting the documents (*id.* at 1238-1239). Furthermore, the majority disagreed with the dissent that the denial of the adjournment deprived defendant of due process, observing that “[d]ue process is ‘a flexible concept’ and a defendant’s due process rights in [a reclassification] context are similar, but not identical to, the rights of a defendant in an initial risk assessment” (*id.* at 1239 [citations omitted]). In this case, the Court held, “defendant was neither denied the ability to offer relevant materials in support of his application nor prevented from defending himself against any evidence or documentation relied upon by County Court in deciding such application” (*id.*).

Justice Spain dissented and voted to reverse the denial of defendant’s application to modify his classification and remit for a hearing (*see id.* at 1239-1240). Justice Spain concluded that “defendant was deprived of due process of law by County Court’s failure to abide [his] motion . . . for access to copies of all of the records that the Board . . . reviewed and listed in making its updated recommendations” (*id.*). He reasoned that the recommendation of the Board, although not binding on the court, “in practice . . . is often among the most influential factors considered by a sentencing court” (*id.*). Thus, in the context of a reclassification proceeding in which the defendant has the burden of proof, “the defense will frequently focus its challenge on the underlying basis for the Board’s adverse recommendation” (*id.*). According to the dissent, due process requires that a

defendant be “afforded access—through prehearing discovery—to all material considered on or influencing his reclassification petition” (*id.* at 1241). Moreover, “[d]efendant’s right to submit any information relevant to the review of his reclassification request would, in many cases, be rendered meaningless if he were not entitled to review and address all materials considered by the Board” (*id.* [internal quotation marks and citation omitted]). In the dissent’s view, County Court did not itself rely on the materials withheld; however, it did “expressly rely on the Board’s recommendation, which did consider the materials” (*id.*). Although it could not be discerned whether the denial of the withheld material affected the reclassification determination, the dissent concluded that he could “not agree that the error was harmless or overlook the deleterious precedential value of an affirmance in this case” (*id.* at 1242).

Defendant argues on this appeal that he was deprived of due process of law when County Court failed to grant an adjournment so as to give him access to copies of all the records that the Board reviewed and listed in making its updated recommendation.

Correction Law § 168-o (2) permits a sex offender required to register under SORA to petition annually for modification of his risk level classification. The petitioner bears the burden of proving the facts supporting a requested modification by clear and convincing evidence (*see* Correction Law § 168-o [2]). The court ultimately determines a petitioner’s SORA risk level, and is not bound by the Board’s recommendation, from which it may depart in considering the record (*see* Correction Law § 168-n [2], [3]). Where the hearing court’s findings, expressly made under the proper evidentiary standard, are affirmed by the Appellate Division, this Court’s review is limited to whether the decisions below are affected by an error of law or are otherwise not supported by the record.

In an initial risk level determination, where the People carry the burden, the due process rights of a petitioner include, among other things, prehearing discovery (*see Doe v Pataki*, 3 F Supp 2d 456 [SD NY 1998]). Therefore, defense counsel is entitled by statute to prehearing access to the documents reviewed by the Board prior to his or her initial SORA determination. However, initial risk level assessments and reclassification petitions by statute are different.

Section 168-o (4), applicable when a petitioner seeks modification of the risk level, does not contain any language

entitling a petitioner to prehearing discovery, but simply provides that a petitioner has a right to submit “any information relevant to the review.” Further, the right to petition the sentencing court to be “relieved of any further duty to register” under Correction Law § 168-o (1) does not permit the court to review the correctness of the initial risk level determination (*see* Correction Law § 168-g [4]; *People v David W.*, 95 NY2d 130, 140 [2000]). While there are statutory differences in the two proceedings, we agree with defendant that the procedural due process rights, in regard to the requested documents, were the same. Thus, defendant was entitled to access to the documents.

Nonetheless, it is well-settled that the decision to grant an adjournment is a matter of discretion for the hearing court (*People v Singleton*, 41 NY2d 402, 405 [1977]). “[W]hen the protection of fundamental rights has been involved in requests for adjournments, that discretionary power has been more narrowly construed” (*People v Spears*, 64 NY2d 698, 700 [1984]). Under the circumstances of this case, it cannot be said the court abused its discretion as a matter of law in failing to adjourn the hearing to gather the two emails.

The record evidence is overwhelming in support of the denial of any modification. Defendant is a repeat sex offender who has been found to have a mental abnormality and has continued to incur multiple infractions while incarcerated. Given the strong case against modification, defendant was not prejudiced by the court’s denial of an adjournment to obtain the documents (*see People v Rodriguez*, 102 AD3d 457, 457 [2013], *affd* 21 NY3d 1030 [2013]). Moreover, as the Appellate Division noted, defendant is entitled to make a new application for reclassification in a year (*see* Correction Law § 168-o [2]) and can obtain the documents by making a timely request.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM and FAHEY concur; Judge STEIN taking no part.

Order affirmed, without costs.

[36 NE3d 80, 15 NYS3d 277]

COOPERATIEVE CENTRALE RAIFFEISEN-BOERENLEENBANK, B.A.,
“RABOBANK INTERNATIONAL,” NEW YORK BRANCH, Respon-
dent, v FRANCISCO JAVIER HERRERA NAVARRO, Appellant, et
al., Defendant.

Argued May 5, 2015; decided June 9, 2015

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 16, 2014. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.; op 2012 NY Slip Op 33773[U] [2012]), which had, insofar as appealed from as limited by the briefs, denied plaintiff’s motion for summary judgment in lieu of a complaint; (2) granted the motion; and (3) directed entry of judgment.

Cooperatieve Centrale Raiffeisen-Boerenleenbank, B.A., “Rabobank Intl.,” N.Y. Branch v Navarro, 113 AD3d 457, affirmed.

HEADNOTES

Suretyship and Guarantee — Scope of Guarantee — Absolute and Unconditional Guarantee — Waiver of Defenses — Collusion Defense

1. Defendant guarantor could not avoid personal liability to plaintiff bank under an “absolute and unconditional” guaranty, which defendant gave in favor of plaintiff relating to a purchase agreement between plaintiff and a Canadian corporation of which defendant was a chief executive officer and director, for a default judgment obtained by plaintiff in federal court against an American corporation of which the Canadian corporation was the sole shareholder and defendant was an officer and director. Defendant’s challenge that the default judgment could not serve as a valid underlying debt for which he was liable under the guaranty because it was obtained by plaintiff’s collusion constituted a defense barred by the express language of the guaranty. Defendant personally guaranteed the obligations owed by the Canadian corporation under the purchase agreement, as well as obligations owed by the American corporation, and he specifically agreed that his liability would be “absolute and unconditional” irrespective of “any lack of validity or enforceability” of the agreement or “any other circumstance which might otherwise constitute a defense.” By its plain terms, in broad, sweeping and unequivocal language, the guaranty foreclosed any challenge to the enforceability and validity of the documents that established defendant’s liability for payments arising under the purchase agreement, as well as any other possible defense to his liability for the obligations of the corporate businesses. No matter how defendant characterized his challenge, it was ultimately based on a quintessential defense of fraud, which was waived under the broad, inclusive, in no way limited language of the guaranty.

Suretyship and Guarantee — Defenses or Counterclaims — Collusion Defense

2. In an action commenced by plaintiff bank to impose personal liability on defendant guarantor under a guaranty, which defendant gave in favor of plaintiff relating to a purchase agreement between plaintiff and a Canadian corporation of which defendant was a chief executive officer and director, for a default judgment obtained by plaintiff in federal court against an American corporation of which the Canadian corporation was the sole shareholder and defendant was an officer and director, defendant's claim that the default judgment was obtained by collusion facilitated by plaintiff's control over the American corporation was contradicted by the record. Defendant conceded that, when plaintiff filed its federal action, he was the sole officer and director of the American corporation. Nevertheless, defendant failed to obtain counsel for the American corporation to respond to the federal suit, notwithstanding that he obtained counsel to respond on his behalf as a named defendant in his individual capacity.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Guaranty §§ 15, 41, 53.

NY JUR 2d, Guaranty and Suretyship §§ 80, 122, 176, 358, 359.

WILLISTON ON CONTRACTS (4th ed) §§ 61:1, 61:10.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit; Guaranty.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: guaranty /5 absolute /3 unconditional & defense
/s waived & fraud

POINTS OF COUNSEL

Curtis, Mallet-Prevost, Colt & Mosle LLP, New York City (*T. Barry Kingham* and *Francesca M. Erts* of counsel), for appellant. I. Francisco Javier Herrera Navarro did not waive Cooperatieve Centrale Raiffeisen-Boerenleenbank, B.A., "Rabobank International," New York Branch's collusion. (*Preamble Props. v Woodard Antiques Corp.*, 293 AD2d 330; *Canterbury Realty & Equip. Corp. v Poughkeepsie Sav. Bank*, 135 AD2d 102; *Citibank v Plapinger*, 66 NY2d 90; *Lane v Lane*, 175 AD2d 103; *South Spring Hill Gold Mining Co. v Amador Medean Gold Mining Co.*, 145 US 300; *Red Tulip, LLC v Neiva*, 44 AD3d 204; *Pike v New York Life Ins. Co.*, 72 AD3d 1043; *European Am. Bank v Mr. Wemmick, Ltd.*, 160 AD2d 905.) II. Material issues of fact preclude summary judgment.

Haynes and Boone LLP, New York City (*Jonathan D. Pressment* and *Yelena Kotlarsky* of counsel), for respondent. I. A de novo standard governs this appeal. (*Rothouse v Association of Lake Mohegan Park Prop. Owners*, 15 AD2d 739.) II. The Appellate Division's order should be affirmed. (*Davimos v Halle*, 35 AD3d 270; *Juste v Niewdach*, 26 AD3d 416; *Famolaro v Crest Offset, Inc.*, 24 AD3d 604; *Zheng v City of New York*, 19 NY3d 556; *Rojas-Wassil v Villalona*, 114 AD3d 517; *Branham v Loews Orpheum Cinemas, Inc.*, 31 AD3d 319, 8 NY3d 931; *Public Serv. Mut. Ins. Co. v Zucker*, 225 AD2d 308; *Greenfield v Philles Records*, 98 NY2d 562; *Laba v Carey*, 29 NY2d 302; *Beal Sav. Bank v Sommer*, 8 NY3d 318.)

OPINION OF THE COURT

RIVERA, J.

On this appeal, defendant guarantor seeks to avoid liability as provided under an “unconditional and absolute” guaranty in favor of plaintiff, on grounds that the default judgment against him, which constitutes the subject underlying debt, was obtained by plaintiff's collusion. We conclude the Appellate Division properly held that defendant's collusion claim constitutes a defense, barred by the express language of the guaranty, and, in any event, that his claim of collusion is contradicted by the record. Therefore, we affirm.

I.

Defendant Francisco Herrera Navarro was a chief executive officer and director of now bankrupt Agra Services of Canada, Inc. (Agra Canada), and an officer and director of Agra USA. Agra Canada was a Canadian corporation which traded physical agricultural commodities between Canada and Mexico. Agra Canada was also the sole shareholder of Agra USA. This appeal involves defendant's liability under a personal guaranty for a debt arising from litigation which can be traced back to payments made for fictitious business transactions attributed to Agra Canada.

According to the undisputed facts, Agra Canada entered a purchase agreement with plaintiff Cooperatieve Centrale Raiffeisen-Boerenleenbank B.A., “Rabobank International,” New York Branch (Rabobank), under which Rabobank purchased and financed certain receivables of Agra Canada (the purchase agreement). Specifically, Rabobank made regularly

scheduled payments to purchase any indebtedness or obligations owed to Agra Canada arising from the sale of its goods to its importers.

A year after execution of the purchase agreement defendant and Eduardo Guzman Solis (Guzman Solis), president of Agra Canada and manager of both Agra businesses, signed separate, individual and identical personal guaranties in favor of Rabobank (the guaranty). Pursuant to section 1 (a), defendant guaranteed all obligations and liabilities of Agra Canada arising and outstanding under the purchase agreement, not covered by insurance, and further guaranteed under section 1 (b) all obligations and liabilities of Agra USA to Rabobank “now or hereafter existing, including without limitation . . . principal, interest, fees, expenses or otherwise.”

Liability under the guaranty is “absolute and unconditional” as provided in section 2, which states

“SECTION 2. Guaranty Absolute. The Guarantor guarantees that the Obligations will be paid strictly in accordance with the terms of the applicable agreements, notes or other instruments under which the Obligations arise, regardless of any law, regulation or order now or hereafter in effect in any jurisdiction affecting any of such terms or the rights of the Purchaser with respect thereto. The liability of the Guarantor under this Guaranty shall be absolute and unconditional irrespective of:

“(i) any lack of validity or enforceability of any such agreement, note or other instrument;

“(ii) any change in the time, manner or place of payment of, or in any other term of, all or any of the Obligations, or any other amendment or waiver of or any consent to departure from any such agreement, note or other instrument;

“(iii) any exchange, release or non-perfection of any collateral, or any release or amendment or waiver of or consent to departure from any other guaranty, for all or any of the Obligations; or

“(iv) any other circumstance which might otherwise constitute a defense available to, or a discharge of, the Seller or a guarantor.

“This Guaranty shall continue to be effective or be reinstated, as the case may be, if at any time any payment of any of the Obligations is rescinded or must otherwise be returned by the Purchaser upon the insolvency, bankruptcy or reorganization of the Seller or otherwise, all as though such payment had not been made.”

Six years after the execution of their respective guaranties, Guzman Solis died, which precipitated Rabobank’s discovery of millions of dollars due from Agra Canada under the purchase agreement. Defendant’s subsequent investigation into Rabobank’s payment demands revealed fraudulent receivables based on nonexistent transactions submitted by Guzman Solis. Defendant claims to have no knowledge or involvement regarding this scheme to defraud Rabobank.

Rabobank successfully petitioned for an order instituting bankruptcy proceedings against Agra Canada in a Canadian bankruptcy court. Thereafter, the bankruptcy court appointed Deloitte & Touche, Inc. as receiver and trustee of Agra Canada.

The following month, on March 2, 2012, Rabobank commenced an action in the United States District Court for the Southern District of New York, against defendant, Agra USA, and the estate of Guzman Solis seeking to recover the millions owed Rabobank under the purchase agreement and the guaranties. Defendant appeared represented by counsel he retained for his own behalf, but failed to retain counsel for Agra USA. Upon Agra USA’s failure to answer or otherwise respond, on April 3, 2012, Rabobank secured from the Clerk of the Court a certificate of default against Agra USA, in accordance with Federal Rules of Civil Procedure rule 55 (a).¹

On April 11, 2012, Agra Canada removed all officers and directors of Agra USA, including defendant, and elected and installed a Deloitte & Touche representative as president and sole officer and director. Then, on April 16, 2012, Rabobank filed an order to show cause for entry of default judgment against Agra USA, pursuant to Federal Rules of Civil Procedure

1. Federal Rules of Civil Procedure rule 55 (a) provides that “[w]hen a party against whom a judgment for affirmative relief is sought has failed to plead or otherwise defend, and that failure is shown by affidavit or otherwise, the clerk must enter the party’s default.”

rule 55 (b) (2),² which the District Court ultimately entered and filed on April 30, 2012, awarding Rabobank \$41,991,980.³ In the interim, on April 19, 2012, Rabobank voluntarily discontinued without prejudice its action against defendant, pursuant to Federal Rules of Civil Procedure rule 41 (a) (1) (A) (i).⁴

The same day that the Southern District Court entered the default judgment Rabobank filed the underlying action in state court, by summons and accompanying motion for summary judgment in lieu of complaint pursuant to CPLR 3213. Rabobank alleged defendant was liable under the guaranty, section 1 (a), for the outstanding millions owed it under the purchase agreement, and, alternatively, under section 1 (b), based on the federal default judgment.

Defendant opposed the motion, arguing that Guzman Solis fraudulently obtained payments from Rabobank by way of his exclusive control over Agra Canada's business activities, and that the guaranty did not encompass fraudulent transactions—only “uninsured outstanding sums on the ‘accounts receivable.’” Defendant contended that “accounts receivable” represent sums owed on an actual sale, and since the accounts receivable are fictitious, “there are no sales that actually give rise to any sum ‘owed on said account receivable’ as defined in the [purchase] [a]greement.”

Supreme Court denied Rabobank's motion. The court held that questions of fact as to the existence of actual “receivables” precluded summary judgment based on section 1 (a) of the guaranty (2012 NY Slip Op 33773[U] [2012]). The court further concluded that summary judgment was not proper based on section 1 (b) because issues of fact existed as to who controlled Agra USA during the course of the Southern District action, at the time of default and when judgment was entered.

In a split decision, the Appellate Division reversed Supreme Court and granted Rabobank summary judgment (*Cooperatieve*

2. Federal Rules of Civil Procedure rule 55 (b) (2) requires the party seeking entry of a default judgment to apply directly to the court in cases not involving a sum certain or one made certain by computation.

3. In October 2013, Rabobank also obtained a default judgment on the entire amount against the estate of Guzman Solis.

4. Federal Rules of Civil Procedure rule 41 provides for the voluntary dismissal of an action by the plaintiff, without a court order, upon the filing of “a notice of dismissal before the opposing party serves either an answer or a motion for summary judgment” (Fed Rules Civ Pro rule 41 [a] [1] [A] [i]).

Centrale Raiffeisen-Boerenleenbank, B.A., “Rabobank Intl.,” N.Y. Branch v Navarro, 113 AD3d 457 [1st Dept 2014]). The majority concluded that the guaranty’s waiver provision precluded defenses as to the existence of an enforceable “obligation,” including defendant’s assertion of plaintiff’s collusion (*id.* at 459). The majority held that the collusion claim was, in fact, a defense and not, as defendant and the dissent argued, a condition precedent (*id.* at 459-460, citing 23 NY Jur 2d, Contribution, Indemnity, and Subrogation § 155 [in indemnity context, noting that an indemnitor “may always set up the defense that the judgment in the prior action against the indemnitee was procured by collusion or fraud”]). The two justices in dissent, relying on *Canterbury Realty & Equip. Corp. v Poughkeepsie Sav. Bank* (135 AD2d 102 [3d Dept 1988]), determined that “[i]f the judgment was obtained as a result of collusion, it cannot constitute a valid ‘obligation’ of Agra USA covered by the terms of the guarantee” (*Cooperatieve*, 113 AD3d at 463).

On appeal to this Court, defendant does not challenge the validity of the guaranty or nonpayment of the obligations covered by the guaranty and purchase agreement. Instead, he challenges whether a valid underlying debt exists, which he argues presents a question as to whether plaintiff met its summary judgment burden by establishing, as a condition precedent, an obligation that is owed and due. In support of his position, defendant avers that the alleged “obligation” here is a default judgment obtained through collusion.

Rabobank contends that defendant’s argument that the federal judgment fails to qualify as a “valid obligation” is, in reality, a defense that defendant expressly waived under the guaranty. Rabobank also challenges defendant’s collusion argument as “a baseless conspiracy theory,” and argues that defendant was a party to the federal lawsuit but simply failed to act to protect his personal interest, or that of Agra USA.

II.

Pursuant to CPLR 3213, “[w]hen an action is based upon an instrument for the payment of money only or upon any judgment, the plaintiff may serve with the summons a notice of motion for summary judgment and the supporting papers in lieu of a complaint.” CPLR 3213 was enacted “to provide quick relief on documentary claims so presumptively meritorious that a formal complaint is superfluous, and even the delay

incident upon waiting for an answer and then moving for summary judgment is needless” (see *Weissman v Sinorm Deli*, 88 NY2d 437, 443 [1996] [internal quotation marks omitted]). An unconditional guaranty is an instrument for the payment of “money only” within the meaning of CPLR 3213 (*European Am. Bank & Trust Co. v Schirripa*, 108 AD2d 684 [1st Dept 1985], citing *Manufacturers Hanover Trust Co. v Green*, 95 AD2d 737 [1st Dept 1983]).

To meet its prima facie burden on its summary judgment motion, Rabobank must prove “the existence of the guaranty, the underlying debt and the guarantor’s failure to perform under the guaranty” (see *Davimos v Halle*, 35 AD3d 270, 272 [1st Dept 2006], citing *City of New York v Clarose Cinema Corp.*, 256 AD2d 69, 71 [1st Dept 1998]). Thereafter, “the burden shifts to the defendant to establish, by admissible evidence, the existence of a triable issue with respect to a bona fide defense” (*Cutter Bayview Cleaners, Inc. v Spotless Shirts, Inc.*, 57 AD3d 708, 710 [2d Dept 2008] [citation and internal quotation marks omitted]). Here, Rabobank submitted a copy of the purchase agreement, the guaranty signed by defendant, as well as proof of receivables due pursuant to the purchase agreement, and the federal default judgment entered against Agra USA. Defendant objected, claiming triable issues of fact exist as to the applicability of the guaranty. Thus, resolution of this appeal requires determination of whether defendant’s challenge to Rabobank’s demand for summary judgment is foreclosed by the guaranty. If it is, then on this record, summary judgment was properly granted to Rabobank.

[1, 2] We agree with Rabobank that defendant’s challenge constitutes a defense precluded by the guaranty and, on the facts of this case and the record presented, his allegations of collusion cannot overcome his “absolute and unconditional” liability. We therefore affirm the Appellate Division.

III.

A guaranty is a promise to fulfill the obligations of another party, and is subject “to the ordinary principles of contract construction” (*Compagnie Financiere de CIC et de L’Union Europeenne v Merrill Lynch, Pierce, Fenner & Smith Inc.*, 188 F3d 31, 34 [2d Cir 1999], citing *Banco Portugues do Atlantico v Asland, S.A.*, 745 F Supp 962, 967 [SD NY 1990], *People v Stuyvesant Ins. Co.*, 98 Misc 2d 210, 213 [Sup Ct, Bronx County 1979], and 63 NY Jur 2d, Guaranty and Suretyship §§ 2, 89).

Under those principles, “a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]).

Guaranties that contain language obligating the guarantor to payment without recourse to any defenses or counterclaims, i.e., guaranties that are “absolute and unconditional,” have been consistently upheld by New York courts (see *Citibank v Plapinger*, 66 NY2d 90 [1985]; *Chemical Bank v Sepler*, 60 NY2d 289 [1983]; *Federal Deposit Ins. Corp. v Schwartz*, 78 AD2d 867 [2d Dept 1980], *affd* 55 NY2d 702 [1981]; see also *First N.Y. Bank for Bus. v DeMarco*, 130 BR 650, 654 [SD NY 1991]). “Absolute and unconditional guaranties have in fact been found to preclude guarantors from asserting a broad range of defenses” (*Compagnie*, 188 F3d at 35; see *United Orient Bank v Bao Lee*, 223 AD2d 500 [1st Dept 1996] [where guaranties contained waivers of all defenses other than payment, defendants precluded from asserting claims of release]; *Gannett Co. v Tesler*, 177 AD2d 353, 353 [1st Dept 1991] [defendant precluded from asserting any defenses or counterclaims, including “discharge in release”]; see also *American Trading Co. v Fish*, 42 NY2d 20, 26 [1977] [guarantor may not raise as a defense the expiration of the statute of limitations against the primary obligor]; *Walcutt v Clevite Corp.*, 13 NY2d 48, 55 [1963] [guarantor may not raise as counterclaims or defenses those claims belonging to the principal obligor]).

This Court has acknowledged the application of these absolute guaranties even to claims of fraudulent inducement in the execution of the guaranty, as illustrated by the holding in *Citibank v Plapinger* (66 NY2d 90 [1985]). In that case, defendants were officers, directors and shareholders in a company which secured a line of credit from plaintiff banks. After the company defaulted, it restructured its debt as a term loan, guaranteed by defendants. When the company subsequently filed for bankruptcy, the banks declared the term loan and interest immediately due, and sued defendants on the guaranty. Among their defenses to the litigation, defendants asserted fraud in the inducement, based on alleged false or recklessly made statements of the banks that they would provide the company with an additional line of credit as part of the debt restructuring. Defendants argued that but for verbal assurances that the banks would issue the credit, defendants would not have signed the guaranty on the term loan.

The Court held that under the “absolute and unconditional” language of the guaranty, defendants were foreclosed from asserting their fraud in the inducement defense. In reaching this conclusion the Court rejected the need for defendants’ specific disclaimer of reliance on the banks’ oral representations. Instead, the Court determined, quoting from the guaranty, that defendants agreed “that the ‘absolute and unconditional’ nature of their guarantee was ‘irrespective of (i) any lack of validity . . . of the . . . Loan Agreement . . . or any other agreement or instrument relating thereto,’ or ‘(vii) any other circumstance which might otherwise constitute a defense’ to the guarantee” (*Plapinger*, 66 NY2d at 95). Given the substance of the guaranty, to permit defendants to assert that the bank induced them to sign “would in effect condone defendants’ own fraud in ‘deliberately misrepresenting [their] true intention’ (*Danann Realty Corp. v Harris*, 5 NY2d [317, 323 (1959)]) when putting their signatures to their ‘absolute and unconditional’ guarantee” (*Plapinger*, 66 NY2d at 95). In other words, because defendants had assured the banks that their guaranty to pay the loan was not subject to any defenses, they were bound to their promise.

[1] Here, defendant personally guaranteed the obligations owed by Agra Canada under the purchase agreement, as well as obligations owed by Agra USA. Moreover, defendant specifically agreed that his “liability . . . under this Guaranty shall be absolute and unconditional irrespective of: (i) any lack of validity or enforceability of [the] agreement . . . ; . . . or (iv) any other circumstance which might otherwise constitute a defense available to, or a discharge of, the Seller [Agra Canada] or a guarantor.”

By its plain terms, in broad, sweeping and unequivocal language, the guaranty forecloses any challenge to the enforceability and validity of the documents which establish defendant’s liability for payments arising under the purchase agreement, as well as to any other possible defense to his liability for the obligations of the Agra businesses. Indeed, this is the same language which foreclosed the defendants’ fraud in the inducement defense in *Plapinger* (*see id.*).

Defendant seeks to avoid the application of the guaranty, and our holding in *Plapinger*, by arguing that Rabobank failed to satisfy its summary judgment burden because a question of material fact exists regarding whether the federal default judgment constitutes an obligation covered by the guaranty. It is

true that a guarantor is only liable upon the noncompliance of the principal obligor (see *Madison Ave. Leasehold, LLC v Madison Bentley Assoc. LLC*, 30 AD3d 1, 10 [1st Dept 2006], *affd* 8 NY3d 59 [2006], citing *Brewster Tr. Mix Corp. v McLean*, 169 AD2d 1036, 1037 [3d Dept 1991], and *General Phoenix Corp. v Cabot*, 300 NY 87, 95 [1949]). However, defendant does not contest Agra Canada's failure to comply with the terms of the purchase agreement. Indeed, he would be hard-pressed to make such an argument because his own investigation affirmed Rabobank's assertions that Guzman Solis submitted fraudulent transactions in exchange for advances on nonexistent receivables.

Instead, defendant argues that the federal default judgment cannot serve as a debt for which he is liable under the guaranty because the judgment is unlawful, having been obtained by collusion, through Rabobank's control over Agra USA. Defendant goes further and contends that the existence of a valid underlying debt is a condition precedent to recovery on the guaranty. We are unpersuaded by defendant's variations on the same theme that he does not owe Rabobank, because no matter how defendant characterizes his challenge, it is ultimately based on a quintessential defense of fraud. As such, he remains subject to his agreed upon absolute and unconditional liability because he claims a "circumstance which might otherwise constitute a defense available to . . . a guarantor," barred under section 2 (iv) (see 23 NY Jur 2d, Contribution, Indemnity, and Subrogation § 155 ["indemnitor may always set up the defense that the judgment in the prior action against the indemnitee was procured by collusion or fraud"]; see also *Plapinger*, 66 NY2d at 92). Were we to accept defendant's argument, we would ignore this Court's admonition in *Plapinger*, and "in effect condone defendant[s] own fraud in 'deliberately misrepresenting [his] true intention' . . . when putting [his] signature[] to [his] 'absolute and unconditional' guarantee" (*id.* at 95).

Defendant, and the dissent below, rely on *Canterbury Realty & Equip. Corp. v Poughkeepsie Sav. Bank* (135 AD2d 102 [3d Dept 1988]) to establish, in essence, a categorical exception for collusion claims from the absolute liability provision of the guaranty at issue here. However, such a per se rule is contrary to the *Plapinger* Court's holding that a guarantor cannot seek to benefit from the guarantor's own fraudulent promise that the guaranty is "absolute and unconditional." In any case, the Third Department's holding in *Canterbury* is more narrow than

defendant contends, and does not support the expansive proposition he promotes on this appeal.

In *Canterbury*, plaintiff corporation, Canterbury, secured financing and a line of credit from defendant bank. Certain corporate officers and shareholders signed instruments that “irrevocably and unconditionally guarantee[d] payment when due . . . of any and all liabilities of [Canterbury] to the Bank” (135 AD2d at 104). After initially increasing the credit line, the bank informed Canterbury that it would no longer honor checks drawn against the line of credit, including any that were then outstanding. The bank also retained Canterbury’s accounts receivable. When Canterbury was unable to meet its costs and immediately ceased operating, the bank accelerated the debt. Canterbury filed suit and the bank answered and counterclaimed against the individuals based on their personal guaranties. In affirming the denial of the bank’s summary judgment motion on its counterclaims, the Appellate Division distinguished *Plapinger*, finding this Court’s decision was based upon claimed misrepresentations inconsistent with the express terms of the unconditional guaranty and the guarantor’s own representations, whereas in *Canterbury* the guarantor argued that the bank caused the event that led to the guarantor’s liability. Thus, *Canterbury* stands for the proposition that an absolute and unconditional guaranty does not foreclose a guarantor’s challenge that the creditor’s wrongful post-execution conduct triggered the event that accelerates or causes the guarantor’s liability.

Here, defendant does not contend that Rabobank’s conduct led to the fraudulent transactions—those were designed by Guzman Solis, and defendant makes no claim of collusion between Guzman Solis and Rabobank. Defendant does not argue that the violation of the obligations were caused, expedited, or otherwise facilitated by Rabobank as part of a collusive effort to cash in on the guaranty. Instead, defendant claims that Rabobank has failed to establish obligations owed by him under the guaranty because Rabobank’s default judgment was secured through collusion facilitated by Rabobank’s control over Agra USA. That argument is a defense waived under the broad, inclusive, in no way limited, language of subparagraph (iv) of the guaranty.

We note that, in the same vein as the holding in *Canterbury*, there is federal case law that suggests that there may be certain fraudulent conduct that falls outside the scope of an

unconditional and absolute guaranty. For example, the Second Circuit has remarked, without deciding, such a case may exist where a debtor and a creditor have colluded to obtain payments from the guarantor, while at the same time increasing the risk that the guarantor cannot recover from the original borrower (*see Compagnie*, 188 F3d at 37-38 [Sotomayor, J.]). On this appeal, given that defendant's own actions undermine his collusion claim, we need not decide whether certain conduct by a creditor and/or debtor may be of such character, and so impacts the guarantor's position, that the guarantor may challenge these acts notwithstanding our prior holding in *Plapinger*.

[2] Here, defendant concedes that when Rabobank filed its federal action, he was the sole officer and director of Agra USA. Yet defendant failed to obtain counsel for Agra to respond to the federal suit, while obtaining counsel to respond on his behalf as a named defendant in his individual capacity. Thus, defendant's "collusion" defense is meritless.

We further note that defendant is not unfamiliar with the world of commercial dealings. As the record establishes, he is a certified public accountant and business advisor, who served as a director of Agra Canada and Agra USA, and chief executive officer of Agra Canada. He is no neophyte. Rather, he is a sophisticated businessperson, who was free to negotiate for protection against the very acts he claims should bar Rabobank's alleged conduct (*see e.g. Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 568 [2014] [sophisticated parties, especially, are charged with knowledge of the surrounding law and the consequences of the agreements they freely negotiate and assent to]). Defendant failed to do so, and he now cannot seek to escape liability under the guaranty.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed, with costs.

[35 NE3d 451, 14 NYS3d 283]

VIVIANE ETIENNE MEDICAL CARE, P.C., as Assignee of Alem Cardenas, Respondent, v COUNTRY-WIDE INS. CO., Appellant.

Argued April 28, 2015; decided June 10, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 18, 2013. The Appellate Division order, insofar as appealed from, (1) modified, on the law, an order of the Appellate Term, Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts (31 Misc 3d 21 [2011]), which had affirmed an order of the Civil Court of the City of New York, Kings County (Carolyn E. Wade, J.) denying that branch of plaintiff's motion which was for summary judgment on the complaint; and (2) remitted the matter to that Civil Court to calculate the amount owed to plaintiff for no-fault benefits and to determine whether plaintiff was entitled to statutory interest and attorney's fees. The modification consisted of deleting the provision of the Appellate Term order affirming the Civil Court order and substituting therefor a provision modifying the Civil Court order by deleting the provision thereof denying that branch of plaintiff's motion which was for summary judgment on the complaint, and substituting therefor a provision granting that branch of the motion with respect to all the claims that were not timely denied by defendant. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated December 18, 2013, properly made?"

Viviane Etienne Med. Care, P.C. v Country-Wide Ins. Co., 114 AD3d 33, affirmed.

HEADNOTE

Insurance — No-Fault Automobile Insurance — Recovery of Assigned First-Party No-Fault Benefits — Prima Facie Burden of Proof on Summary Judgment Motion

A plaintiff medical provider demonstrates prima facie entitlement to summary judgment in an action to recover no-fault benefits by submitting evidence that payment of no-fault benefits are overdue, and proof of its claim, using the statutory billing form, was mailed to and received by the defendant insurer. Proof evincing the mailing must be presented in admissible form, including, where it is applicable, meeting the business records exception to the hearsay rule. Accordingly, plaintiff medical provider demonstrated prima

facie entitlement to summary judgment in its action to recover assigned no-fault benefits by submitting the verification of treatment forms demonstrating the services rendered or equipment provided, and the corresponding cost, that had been mailed to but not paid or denied by defendant insurer and an affidavit from the president of the third-party billing company hired by plaintiff explaining the company's billing procedures and affirming that he mailed the forms to defendant. In the affidavit the president stated that based on his business agreement with plaintiff, the billing company created the verification of treatment forms in the regular course of its business and that the forms were created soon after the services were provided by plaintiff to the assignor. He explained that the billing company relied on those forms in the performance of its business. Further, he stated how and when the forms at issue here were created and that they were mailed to defendant within the statutory time frame. Thus, as plaintiff was able to demonstrate the billing company's office mailing practices and procedures, a presumption arose that those notices had been received by defendant. Defendant failed to raise a triable issue of fact in opposition, and, in fact conceded that it was precluded from raising any defense due to its failure to timely deny the claims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobile Insurance § 523.
COUCH ON INSURANCE (3d ed) §§ 171:57, 171:62.
NY JUR 2d, Insurance §§ 1900, 1915.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; No-Fault Insurance.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS
Query: no-fault /s provider & payment /s overdue /p proof
/5 mailing

POINTS OF COUNSEL

Thomas A. Torto, New York City, and *Jaffe & Koumourdass, LLP*, New York City, for appellant. On a motion for summary judgment, a no-fault provider must, in the first instance, submit evidence in admissible form in order to make out a prima facie case, even if the insurer is precluded from raising a defense. (*Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965; *Westchester Med. Ctr. v Progressive Cas. Ins. Co.*, 89 AD3d 1081; *Mary Immaculate Hosp. v Allstate Ins. Co.*, 5 AD3d 742; *Art of Healing Medicine*,

P.C. v Travelers Home & Mar. Ins. Co., 55 AD3d 644; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854.)

Gary Tsirelman, P.C., Brooklyn (David M. Gottlieb, Gary Tsirelman and Stefan M. Belinfanti of counsel), for respondent. Viviane Etienne Medical Care, P.C. established its prima facie case with admissible evidence. (*Fleisher v City of New York*, 120 AD3d 1390; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Mary Immaculate Hosp. v Allstate Ins. Co.*, 5 AD3d 742; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *Dan Med., P.C. v New York Cent. Mut. Fire Ins. Co.*, 14 Misc 3d 44; *Art of Healing Medicine, P.C. v Travelers Home & Mar. Ins. Co.*, 55 AD3d 644; *Kingsbrook Jewish Med. Ctr. v Allstate Ins. Co.*, 61 AD3d 13; *Fair Price Med. Supply, Inc. v St. Paul Travelers Ins. Co.*, 16 Misc 3d 8; *Devonshire Surgical Facility v American Tr. Ins. Co.*, 31 Misc 3d 128[A], 2011 NY Slip Op 50511[U]; *Westchester Med. Ctr. v Clarendon Natl. Ins. Co.*, 57 AD3d 659.)

Short & Billy, PC, New York City (Gregory Guido and Skip Short of counsel), for American Transit Insurance Company and others, amici curiae. I. The case before the Court arises under a prior version of the no-fault regulations. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *State Farm Mut. Auto. Ins. Co. v Mallela*, 4 NY3d 313; *Pommells v Perez*, 4 NY3d 566.) II. The plaintiff in this case did not use the preferred legislative forum and should not have a lesser burden of proof. (*Auto One Ins. Co. v Hillside Chiropractic, P.C.*, 126 AD3d 423; *Country-Wide Ins. Co. v Harnett*, 426 F Supp 1030; *Roggio v Nationwide Mut. Ins. Co.*, 66 NY2d 260.) III. A no-fault applicant who chooses to file a claim in court should be subject to the same evidentiary burdens as other litigants. (*Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211; *Goldberg v Corcoran*, 153 AD2d 113; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274; *Clemens v Apple*, 65 NY2d 746; *Oquendo v New York City Tr. Auth.*, 246 AD2d 635; *Parker v Defontaine-Stratton*, 231 AD2d 412; *Khalil v Marion*, 200 AD2d 500; *Seminara v Grossman*, 253 AD2d 420; *Pommells v Perez*, 4 NY3d 566.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

This appeal requires us to determine what proof a plaintiff medical provider must advance to make a prima facie showing of entitlement to summary judgment in a no-fault insurance action. We hold that a plaintiff demonstrates prima facie entitlement to summary judgment by submitting evidence that payment of no-fault benefits are overdue, and proof of its claim, using the statutory billing form, was mailed to and received by the defendant insurer. Proof evincing the mailing must be presented in admissible form, including, where it is applicable, meeting the business records exception to the hearsay rule. Applying this rule to the facts of this case, plaintiff demonstrated entitlement to summary judgment. Therefore, the order of the Appellate Division should be affirmed, insofar as appealed from, and the certified question answered in the affirmative.

I.

Following an automobile accident in June 2004, Alem Cardenas received treatment for his injuries at the office of plaintiff Viviane Etienne Medical Care, P.C. Cardenas's automobile liability insurance policy with defendant Country-Wide Insurance Company contained a New York State no-fault endorsement. Cardenas assigned his right to receive no-fault benefits to plaintiff. To receive reimbursement for the services it rendered to Cardenas, plaintiff submitted to defendant eight verification of treatment forms¹ demonstrating the services rendered or equipment provided, and the corresponding cost. Each form was signature stamped with "V Etienne MD." Within 15 days from receipt of the verification of treatment form, an insurer may seek further verification (*see* 11 NYCRR 65-3.5 [b]) and within 30 days after receiving the verification of treatment form, the insurer must pay or deny the claim (*see* Insurance Law § 5106 [a]; 11 NYCRR 65-3.8 [c]). Defendant denied payment on one claim in the amount of \$139 dated November 17, 2004. Defendant did not respond to any of the other claims.

Plaintiff commenced this action seeking to recover no-fault insurance benefits, asserting that it timely submitted bills and

1. The forms used by the plaintiff are a standard form distributed by the New York State Department of Financial Services.

claims for payment to defendant in the amount of \$6,130.70,² but defendant had yet to make any payments, deny the requests, or ask for verification of the claims. Plaintiff also requested interest and attorney's fees under the Insurance Law. Defendant answered and asserted as an affirmative defense that payment for plaintiff's claims was not overdue because plaintiff failed to submit "proper proof of the fact and amount of loss" as required by the Insurance Law.

Plaintiff moved for summary judgment on its claims, arguing that it had met its prima facie burden of showing the fact and amount of loss sustained, and that the payment of the benefits was overdue. As support, plaintiff submitted the aforementioned eight verification of treatment forms as proof of claim, along with seven mailing ledgers stamped by the United States Postal Service indicating the date the forms were mailed, and the denial of claim form. Additionally, plaintiff submitted the affidavit of Roman Matatov, President of SUM Billing Corp. (SUM Billing), a third-party billing company hired by plaintiff.

In the affidavit, Matatov explained the company's billing procedures. The medical providers must submit an assignment of benefits form signed by the injured party along with the injured party's identification prior to SUM Billing sending out the verification of treatment forms to the insurance companies for reimbursement. Matatov personally obtains the insurance cards and police reports pertaining to the accident. He incorporates all the above documents into SUM Billing's records and relies upon them in the performance of his business. In generating the verification of treatment forms, Matatov requires the medical providers to submit to SUM Billing all information necessary to complete the forms and sees that any missing information is obtained from the providers. Matatov then enters all the information to be included in the verification of treatment form into a custom-designed software system that creates the completed forms. Matatov averred that after the forms are created, he logs the bills into a mailing ledger, and personally mails the bills to the insurance company. The mailing ledger is stamped by the United States Postal Service. Matatov stated that he "retain[s] sole responsibility for the mailing of the documents created by [SUM Billing], and [he]

2. Due to an error in calculation, the reimbursement amount sought in plaintiff's complaint was wrong. The actual total amount billed to the insurer was \$6,566.46. Plaintiff moved to amend its complaint to reflect the actual amount of damages.

personally inspect[s] and verif[ies] the accuracy and completeness of every envelope set to leave the office.” The affidavit also described the eight proof of claim forms that plaintiff submitted with its motion for summary judgment. Matatov affirmed that consistent with the described procedures, he mailed the eight proof of claim forms to defendant.

Defendant opposed the motion, arguing that plaintiff failed to meet its prima facie burden as it did not put forth evidence in admissible form, because all of plaintiff’s exhibits were hearsay with no applicable exception. It asserted that Matatov’s affidavit did not provide sufficient foundation for the admission of the hearsay under the business records exception because the affidavit “merely state[d] the bills were mailed” but gave no other details required to meet the business records exception under CPLR 4518 (a).

Civil Court denied plaintiff’s motion for summary judgment “for failure to establish a prima facie case.” The Appellate Term, for the Second, Eleventh and Thirteenth Districts, affirmed (31 Misc 3d 21 [2011]). Relying on the Second Department’s decision in *Art of Healing Medicine, P.C. v Travelers Home & Mar. Ins. Co.* (55 AD3d 644 [2d Dept 2008]), the Appellate Term held that Matatov’s affidavit failed to lay a sufficient foundation for the business records hearsay exception. Specifically, the court stated that the “affidavit failed to demonstrate that [Matatov] ha[d] personal knowledge of plaintiff’s practices and procedures and that he [was] competent to testify about those practices and procedures” and alternatively failed to demonstrate that SUM Billing “incorporated plaintiff’s medical records into its own and relied upon them” (31 Misc 3d at 24, 25).

Insofar as relevant here, the Appellate Division, with two Justices dissenting, granted plaintiff’s motion for summary judgment with respect to all the claims that were not timely denied by the insurer (114 AD3d 33 [2013]).³ The Court declined to follow its decision in *Art of Healing Medicine, P.C. v Travelers Home & Mar. Ins. Co.* (55 AD3d 644 [2d Dept 2008]), wherein it held that the plaintiffs there “failed to establish their prima facie entitlement to judgment as a matter of law” because “[t]he plaintiffs’ medical service providers failed to demonstrate the admissibility of their billing records under the

3. All of the courts below denied plaintiff’s motion for summary judgment on one of its claims dated November 17, 2004, in the amount of \$139, as it was timely denied by the insurer. The propriety of that determination is not before this Court as plaintiff did not cross-appeal its denial.

business records exception to the hearsay rule” (*id.* at 644). The Court concluded that “*Art of Healing* constitutes an anomaly, a jurisprudential drift from [the] Court’s well-established precedent” (114 AD3d at 44, 45).⁴

The Court stated:

“We reaffirm the long-standing precedent that, in this context, the plaintiff makes a prima facie showing of entitlement to judgment as a matter of law by submitting evidence, in admissible form, that the prescribed statutory billing forms were mailed to and received by the defendant insurer, which failed to either pay or deny the claim within the prescribed 30-day period” (114 AD3d at 35).

Applying that standard, the Appellate Division determined that, with the exception of the claim that was denied, plaintiff established prima facie entitlement to summary judgment as a matter of law “by demonstrating that its prescribed statutory billing forms used to establish proof of claim were mailed to and received by the defendant and that . . . defendant failed to either timely pay or deny the claims” (*id.* at 46 [citation omitted]). The Court determined that defendant in opposition failed to raise a triable issue of fact because it was precluded from raising the defense that the proof of claim forms were inadmissible under the business records exception to hearsay as it did not deny the claim within the statutory time frame (*id.* at 47).⁵

The Appellate Division remitted the case to Civil Court to determine whether plaintiff was entitled to statutory interest and attorney’s fees. Thereafter, the Court granted defendant’s motion for leave to appeal to this Court, certifying the question of whether its determination was properly made.

II.

The Comprehensive Motor Vehicle Insurance Reparations Act, commonly referred to as the “No-Fault Law” (*see* Insurance Law art 51) is aimed at ensuring “prompt compensation for losses incurred by accident victims without regard to fault

4. The Court noted that it had relied upon *Art of Healing* in the context of no-fault insurance in only one case, *Matter of Carothers v GEICO Indem. Co.* (79 AD3d 864, 864-865 [2d Dept 2010]).

5. The dissenting Justices concurred in part and dissented in part, voting to affirm the order of Appellate Term and uphold the decision in *Art of Healing*.

or negligence, to reduce the burden on the courts and to provide substantial premium savings to New York motorists” (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 860 [2003], citing Governor’s Mem approving L 1973, ch 13, 1973 McKinney’s Session Laws of NY at 2335). This Court has recognized the complicated nature of the statutory and regulatory scheme of the No-Fault Law (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 286 [1997] [describing the scheme as a “‘Rube-Goldberg-like maze’ ”]). In *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, we described the no-fault regime as follows:

“ ‘The[] regulations require an accident victim to submit a notice of claim to the insurer as soon as practicable and no later than 30 days after an accident (see 11 NYCRR 65-1.1, 65-2.4 [b]). Next, the injured party or the assignee . . . must submit proof of claim for medical treatment no later than 45 days after services are rendered (see 11 NYCRR 65-1.1, 65-2.4 [c]). Upon receipt of one or more of the prescribed verification forms used to establish proof of claim, . . . an insurer has 15 business days within which to request “any additional verification required by the insurer to establish proof of claim” (11 NYCRR 65-3.5 [b]). An insurer may also request “the original assignment or authorization to pay benefits form to establish proof of claim” within this time frame (11 NYCRR 65-3.11 [c]). Significantly, an insurance company must pay or deny the claim within 30 calendar days after receipt of the proof of claim (see Insurance Law § 5106 [a]; 11 NYCRR 65-3.8 [c]). If an insurer seeks additional verification, however, the 30-day window is tolled until it receives the relevant information requested (see 11 NYCRR 65-3.8 [a] [1])’ ” (*Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556, 562-563 [2008], quoting *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 317 [2007]; see Insurance Law § 5106 [a]).⁶

6. Plaintiff commenced this action in September 2005, prior to adoption of the April 1, 2013 amendments to the no-fault insurance regulations, including the additions to 11 NYCRR 65-3.5 and 65-3.8. The amended regulations are not applicable to this case and, therefore, have no bearing on this decision.

Where an insurer fails to pay or deny a claim within the requisite 30 days under the statute and regulations following its receipt of the proof of claim, the insurer is subject to “substantial consequences,” namely, preclusion “from asserting a defense against payment of the claim” (*Fair Price*, 10 NY3d at 563 [internal quotation marks omitted]). The only exception to preclusion recognized by this Court arises where an insurer raises lack of coverage as a defense (*see id.*; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d at 318; *Central Gen. Hosp. v Chubb Group of Ins. Cos.*, 90 NY2d 195, 199 [1997]). This Court has recognized that preclusion may require an insurer to pay a no-fault claim it might not have had to honor if it had timely denied the claim (*see Presbyterian Hosp.*, 90 NY2d at 285). Nonetheless, we emphasized that the great convenience of “prompt uncontested, first-party insurance benefits” is “part of the price paid to eliminate common-law contested lawsuits” (*id.*; *see Fair Price*, 10 NY3d at 565-566).

Prior to *Art of Healing* and following its abandonment, the Second Department has held that

“[i]n an action to recover no-fault benefits, a plaintiff makes a prima facie showing of entitlement to judgment as a matter of law by submitting evidentiary proof that the prescribed statutory billing forms were mailed to and received by the relevant insurance carrier, and that payment of no-fault benefits was overdue” (*Westchester Med. Ctr. v Progressive Cas. Ins. Co.*, 89 AD3d 1081, 1082 [2d Dept 2011]; *see New York Hosp. Med. Ctr. of Queens v QBE Ins. Corp.*, 114 AD3d 648, 648 [2d Dept 2014]).

Other Appellate Division Departments have adopted the Second Department’s approach and articulated the same standard (*see e.g. Sunshine Imaging Assn. / WNY MRI v Government Empls. Ins. Co.*, 66 AD3d 1419, 1420 [4th Dept 2009]; *Countrywide Ins. Co. v 563 Grand Med., P.C.*, 50 AD3d 313, 314 [1st Dept 2008]; *LMK Psychological Servs., P.C. v Liberty Mut. Ins. Co.*, 30 AD3d 727, 728 [3d Dept 2006]).

We agree with the Appellate Division Departments that a summary judgment motion in a no-fault insurance case where the benefits are overdue requires proof that the statutory claim forms were mailed to and received by the insurer. The legislative design of the no-fault insurance scheme demonstrates an interest in prompt resolution of reimbursement claims, a desire

to avoid litigation, and statutory consequences on an insurer to incentivize it to seek verification of a claim, deny it, or pay. As this Court has stated:

“No-fault reform was enacted to provide prompt uncontested, first-party insurance benefits. That is part of the price paid to eliminate common-law contested lawsuits. . . . The tradeoff of the no-fault reform still allows carriers to contest ill-founded, illegitimate and fraudulent claims, but within a strict, short-leashed contestable period and process designed to avoid prejudice and red-tape dilatory practices” (*Presbyterian*, 90 NY2d at 285 [citation omitted]; see *Hospital for Joint Diseases*, 9 NY3d at 320).

Consistent with these interests, a medical provider seeking reimbursement from a no-fault insurer demonstrates its entitlement to reimbursement of overdue benefits when it proves that it submitted a completed claim form to the insurer. A claim is overdue if it is not denied or paid within 30 days of the insurer’s receipt of proof of claim (see 11 NYCRR 65-3.8 [a] [1]; Insurance Law § 5106 [a]). Thus, it follows that a claim is not overdue when it is timely denied by the insurer.

The requisite proof in a no-fault insurance case is “proof of the fact and amount of loss sustained” (Insurance Law § 5106 [a]). To establish entitlement to summary judgment on overdue no-fault benefits, the medical provider is required to submit proof of mailing through evidence in admissible form. Such proof may include the verification of treatment form and/or an affidavit from a person or entity (1) with knowledge of the claim and how it was sent to the insurer or (2) who has relied upon the forms in the performance of their business.⁷ Thus, even where an insurer is precluded from raising a defense to the proof of claim form because of its failure to timely deny the claim, the plaintiff medical provider must, as an initial matter, demonstrate its entitlement to summary judgment by submission of proof in admissible form.

7. While many of the Appellate Division decisions determining that a medical provider had submitted sufficient proof of mailing and overdue reimbursement do not describe the actual documents submitted to support the motion for summary judgment (see e.g. *Westchester Med. Ctr. v Progressive Cas. Ins. Co.*, 89 AD3d 1081, 1082 [2d Dept 2011]; *LMK Psychological Servs., P.C. v Liberty Mut. Ins. Co.*, 30 AD3d 727, 728 [3d Dept 2006]), it appears that verification of treatment forms and/or affidavits describing the mailing are the types of documents typically considered.

Admissible evidence may include “affidavits by persons having knowledge of the facts [and] reciting the material facts” (*GTF Mktg. v Colonial Aluminum Sales*, 66 NY2d 965, 967 [1985]; CPLR 3212 [b]; see *Zuckerman v City of New York*, 49 NY2d 557, 562 [1980]). Certain affidavits and documents submitted in support of a motion for summary judgment may be deemed admissible where those documents meet the requirements of the business records exception to the rule against hearsay under CPLR 4518 (see e.g. *JPMorgan Chase Bank, N.A. v Clancy*, 117 AD3d 472, 472 [1st Dept 2014]; *Education Plus, Inc. v Glasser*, 112 AD3d 1125, 1125-1126 [3d Dept 2013]; *Melendez v 176 Hopkins Assoc., LP*, 28 AD3d 723, 723 [2d Dept 2006]). CPLR 4518 (a) provides:

“Any writing or record, whether in the form of an entry in a book or otherwise, made as a memorandum or record of any act, transaction, occurrence or event, shall be admissible in evidence in proof of that act, transaction, occurrence or event, if the judge finds that it was made in the regular course of any business and that it was the regular course of such business to make it, at the time of the act, transaction, occurrence or event, or within a reasonable time thereafter.”

III.

Applying these principles to the instant facts, the Appellate Division properly determined that plaintiff met its prima facie summary judgment burden. As relevant here, to support its motion, plaintiff submitted the eight verification of treatment forms and Matatov’s affidavit. The documents submitted by plaintiff meet the business records exception to the hearsay rule.

Matatov’s affidavit states that based on his business agreement with plaintiff, SUM Billing created the verification of treatment forms in the regular course of its business and that the forms were created soon after the services were provided by plaintiff to Cardenas. Indeed, the tight timetable of the no-fault scheme requires prompt submission of proof of claim in order to receive reimbursement. Matatov’s affidavit outlines the office practices and procedures used by SUM Billing to mail claim forms to insurers and demonstrates that Matatov himself mails the forms. Matatov explained that SUM Billing relies on these forms in the performance of its business. Further, the affidavit states how and when the forms at issue here were created and that they were mailed to defendant within

the statutory time frame. Thus, as plaintiff was able to demonstrate SUM Billing's office mailing practices and procedures, "a presumption arises that those notices have been received by the insure[rs]" (*Nassau Ins. Co. v Murray*, 46 NY2d 828, 829 [1978]). It is undisputed that defendant did not pay or deny seven out of the eight claims at issue. Consequently, those claims are overdue. Plaintiff, therefore, satisfied its burden on summary judgment by demonstrating the mailing of the proof of claim forms, and their receipt by the insurer.

The Appellate Division also properly determined that defendant failed to raise a triable issue of fact in opposition. In fact, defendant concedes that it is precluded from raising any defense due to its failure to timely deny the claims.

Contrary to the dissent's contention, the risk of an insurer paying out fraudulent claims has been recognized by this Court (*see Presbyterian Hosp.*, 90 NY2d at 285); however, as we have stated that risk is part of the price paid for swift, uncontested resolution of no-fault claims. Where no-fault benefits are not overdue, because of timely denial, the insurer's compliance with the statute and regulations allows it to retain its right to contest the claims and prevent payment of fraudulent claims. An insurer providing no-fault benefits may not simply sit on its hands until litigation is commenced. Some action is required.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

STEIN, J. (dissenting). The majority holds that a plaintiff medical provider in a no-fault case establishes *prima facie* entitlement to summary judgment by demonstrating that the insurer was billed and failed to timely deny or pay the billed claim. In my view, neither the statutory and regulatory no-fault scheme, nor our cases concerning the preclusion doctrine, obviate a plaintiff's burden to demonstrate its *prima facie* entitlement to benefits sought, as compared to only proof of billing and nonpayment. I, therefore, respectfully dissent.

Pursuant to the statutory no-fault scheme, automobile insurance policies must provide for the payment of first party benefits to certain persons "for loss arising out of the use or operation in this state of [a] motor vehicle" (Insurance Law § 5103 [a] [1]; *see* 11 NYCRR 65-1.1). Stated simply, first party benefits are capped "payments to reimburse a person for basic economic loss on account of personal injury arising out of the

use or operation of a motor vehicle” (Insurance Law § 5102 [b]; *see* Insurance Law § 5102 [a]). Covered expenses include those incurred for “necessary” medical services (Insurance Law § 5102 [a] [1]). Thus, to establish entitlement to no-fault benefits for medical services, a party must demonstrate that the loss arose from an automobile accident and that the expenses incurred were medically necessary.

Under the detailed no-fault regulations implementing the Insurance Law, a claimant must submit a notice of claim to the insurer as soon as reasonably practicable, but no later than 30 days after the accident (*see* 11 NYCRR 65-1.1, 65-2.4 [b]; *Fair Price Med. Supply Corp. v Travelers Indem. Co.*, 10 NY3d 556, 562-563 [2008]). If the claimant receives medical services, the claimant—or his or her assignee—must submit written proof of claim for that treatment to the insurer within 45 days of the provision of services (*see* 11 NYCRR 65-1.1, 65-2.4 [c]). This proof of claim must include “full particulars of the nature and extent of the injuries and treatment received and contemplated” (11 NYCRR 65-1.1 [d]). Upon receipt of a prescribed verification form, the insurer has 15 business days to request “any additional verification required . . . to establish proof of claim” (11 NYCRR 65-3.5 [b]; *Fair Price*, 10 NY3d at 563).

As particularly relevant here, an insurer must pay or deny a claim, in whole or in part, within 30 calendar days of receipt of the proof of claim or any additional verification requested (*see* Insurance Law § 5106 [a]; 11 NYCRR 65-3.8 [a] [1]; [c]; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312, 317 [2007]). The majority accurately states that a failure to do so carries “substantial consequences” (*Hospital for Joint Diseases*, 9 NY3d at 317). Namely, pursuant to Insurance Law § 5106 (a), a failure to pay or deny benefits within 30 days of receipt of “proof of the fact and amount of loss sustained” renders benefits “overdue,” and all overdue payments bear interest at a rate of 2% per month (*see* 11 NYCRR 65-3.8 [a] [1]; *Hospital for Joint Diseases*, 9 NY3d at 317-318). Further, a claimant is entitled to recover attorney’s fees for overdue payments (*see* Insurance Law § 5106 [a]). In addition to the statutory penalties, we have held that a failure to timely pay or deny a claim will result in an insurer being precluded from interposing a defense against payment of the claim, except where the defense raised is lack of coverage (*see Fair Price*, 10 NY3d at 563-565; *Hospital for Joint Diseases*, 9 NY3d at 318-319; *Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 283 [1997]).

Defendant Country-Wide Insurance Company readily concedes that, assuming that plaintiff Viviane Etienne Medical Care, P.C., has met its prima facie burden of showing entitlement to payment of its claims, the statutory penalties are applicable and defendant is precluded from raising a defense due to its failure to timely pay or deny the claims. The majority holds that, because these penalties are applicable to plaintiff's claims, plaintiff is entitled to judgment based on its showing of proof of billing, receipt, and nonpayment. I, however, find no basis to conclude that any of the aforementioned penalties that may be imposed against defendant obviate plaintiff's burden to make a prima facie showing of entitlement to benefits—i.e., that the loss arose from an automobile accident and that the expenses incurred were medically necessary—a showing that defendant would then be precluded from challenging.

As indicated by the lack of a direct citation to any statutory authority for the majority's position, no language in the Insurance Law or the relevant regulations compels the conclusion that the legislature intended to excuse a no-fault plaintiff from demonstrating entitlement to benefits as a penalty to the insurer. The Insurance Law does not provide that, because benefits are "overdue" and the insurer is therefore subject to certain enumerated repercussions, a plaintiff need not proffer admissible evidence establishing the basic elements of a no-fault claim. Rather, the rule now adopted by the majority—that only proof of billing and the absence of timely denial or payment are required to obtain reimbursement—was derived by the Appellate Division Departments from our cases creating and defining the preclusion rule (*see e.g. Westchester Med. Ctr. v Progressive Cas. Ins. Co.*, 89 AD3d 1081, 1082 [2d Dept 2011], citing *Presbyterian Hosp.*, 90 NY2d 274; *New York & Presbyt. Hosp. v Selective Ins. Co. of Am.*, 43 AD3d 1019, 1020 [2d Dept 2007], citing *Presbyterian Hosp.*, 90 NY2d 274). In my view, the extension of the preclusion doctrine established by the majority in this case is misguided because our preclusion cases did not effectuate a change to a plaintiff's burden on summary judgment.

It is well established that "the proponent of a summary judgment motion must make a prima facie showing of entitlement to judgment as a matter of law, tendering sufficient evidence to demonstrate the absence of any material issues of fact" (*Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; *see Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851, 853 [1985]). In other

words, “[t]o obtain summary judgment it is necessary that the movant establish [a] cause of action . . . ‘sufficiently to warrant the court as a matter of law in directing judgment’ in [the movant’s] favor (CPLR 3212, subd [b]), and [the movant] must do so by tender of evidentiary proof in admissible form’” (*Zuckerman v City of New York*, 49 NY2d 557, 562 [1980], quoting *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065, 1067 [1979]; see *Bush v St. Clare’s Hosp.*, 82 NY2d 738, 739 [1993]). “Failure to make such prima facie showing requires a denial of the motion, regardless of the sufficiency of the opposing papers” (*Alvarez*, 68 NY2d at 324). Applying these uncontroverted principles here, the preclusion rule, which prevents an insurer from raising most defenses to a no-fault claim, comes into play only after the plaintiff’s prima facie case has been demonstrated. That is, the preclusion doctrine has no application to the facts before us because defendant seeks only to hold plaintiff to its initial summary judgment burden.

While proof of billing and the absence of timely denial or payment may be required in order to invoke the preclusion rule, we have never held that such proof constitutes a prima facie showing of entitlement to judgment in a no-fault plaintiff’s favor. In fact, the State Insurance Department has interpreted the interplay between summary judgment and the preclusion rule in exactly the manner I propose, taking the view that, “[t]hough an insurer’s defense to payment of claim may be precluded under the [preclusion] cases, . . . the claimant must still meet the statutory requisite and make out a prima facie case of entitlement to benefits,” which requires that “reimbursable expenses must arise out of a motor vehicle accident and be medically necessary to treat the injuries” (Ops Gen Counsel NY Ins Dept No. 00-01-02 [Jan. 2000]). Likewise, while we held that the insurer in *Hospital for Joint Diseases* was precluded from contesting the validity of a signature on an assignment form, we separately addressed the insurer’s challenge insofar as it implicated the plaintiff’s burden to demonstrate a prima facie case (see 9 NY3d at 319-320). Unlike our approach in that case, the majority now conflates the preclusion rule with the summary judgment burden, effectively eviscerating our long-settled summary judgment principles in the no-fault context despite the absence of any such direction from the legislature.

The practical effect of the majority’s holding today is that courts lack authority to verify that a no-fault plaintiff has

established the basic facts supporting a claim prior to awarding judgment, which is a result inconsistent with our summary judgment rules and, indeed, is not one endorsed even with respect to defaulting defendants (*compare* CPLR 3215 [f]). These rules are designed, at least in part, to prevent the perpetration of fraud upon the court. Moreover, an insurer's duty to pay or deny a claim within 30 days is not triggered until it receives "proof of the fact and amount of loss sustained" (Insurance Law § 5106 [a]; *see* 11 NYCRR 65-3.8 [a] [1]). Yet, the majority's rule arguably eviscerates any avenue for insurers to contest even whether a verification of treatment form contains sufficient information to constitute "proof of the fact and amount of loss sustained"—or in other words, whether the payments were actually overdue—since proof of the mailing of the prescribed form, without any regard to its contents or its completeness, will now carry a plaintiff's burden on summary judgment. In a system that we have recognized as already plagued by widespread abuse (*see generally Pommells v Perez*, 4 NY3d 566, 571 [2005]; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 861 [2003]), the majority's rule unnecessarily increases the risk that insurers will be required to pay out fraudulent claims, which is detrimental, not only to the insurer, but also to claimants, whose entitlement to benefits (which is subject to a maximum amount) will consequently be reduced. This is a result that should not be countenanced by our judicial system, whose duty it is to fairly apply the law, and one which was not intended by either the legislature or our preclusion cases.

It also bears noting that the rationale behind the preclusion doctrine, upon which the majority implicitly relies, does not support its application here. To be sure, a "core and essential objective" of the no-fault structure "is . . . to provide a tightly timed process of claim, disputation and payment" (*Presbyterian Hosp.*, 90 NY2d at 281), and the preclusion doctrine provides an incentive for insurers to comply with the regulatory time frame. However, where, as here, the objection is to the *evidentiary admissibility* of the NF-3 verification of treatment forms—not to the accuracy or validity of their contents—it would be impossible for the insurer to raise the objection before the plaintiff's summary judgment motion was brought, inasmuch

as the insurer would have no way of knowing what evidentiary foundation would be offered.*

Significantly, requiring a plaintiff to establish its prima facie entitlement to benefits, rather than mere proof of billing, would not place on no-fault claimants an onerous burden that would impede the timely resolution of valid claims or increase no-fault litigation. The statutory NF-3 verification of treatment form is a permissible proof of claim with respect to a non-hospital health care provider (*see* 11 NYCRR 65-3.11 [b]). This form contains, among other things: necessary information regarding the provider, insurer, and the insured; a space for the “diagnosis and concurrent conditions”; boxes to check, indicating when the symptoms appeared and whether they are solely a result of an automobile accident; a space for a “report of services rendered”; and an assignment of benefits section. As the Appellate Division dissenters aptly stated, plaintiff’s prima facie case on the merits “would have been satisfied here if the plaintiff had simply submitted the proof of claim forms in admissible form” (114 AD3d at 49).

However, the affidavit proffered by plaintiff to support admission of the NF-3 forms—which must be received for their truth to establish the “fact and amount of loss sustained” (Insurance Law § 5106 [a]), as should be required—falls short. Although the affidavit of Roman Matatov, the president of plaintiff’s third-party billing service, stated that he had personal knowledge of the mailing of the NF-3 forms to defendant, he had no personal knowledge of plaintiff’s record-keeping procedures or practices in creating the documents based on which he compiled those forms. Thus, Matatov was unable to lay a sufficient foundation for the admissibility of the NF-3 forms under the business records exception to the hearsay rule (*see* CPLR 4518 [a]; *People v Brown*, 13 NY3d 332, 341 [2009]; *People v Cratsley*, 86 NY2d 81, 90 [1995]; *Matter of Leon RR*, 48 NY2d 117, 122-123 [1979]), and inadmissible hearsay is insufficient to establish a prima facie case entitling plaintiff to summary judgment (*see generally Zuckerman*, 49 NY2d at 562). I simply

* To the extent the majority implies that an insurer should routinely issue timely denials of claims or verification requests in order to preserve its right to contest those claims, it seems to me, that this approach would directly conflict with the principles of fair practice set forth in the no-fault regulations. Such regulations provide that insurers should utilize fair claims processes and refrain from demanding verification “unless there are good reasons to do so” (11 NYCRR 65-3.2 [a], [c]).

do not see why it would be unduly burdensome to require plaintiff to submit a proper affidavit, either from Matatov or a knowledgeable employee of the medical provider's practice.

In sum, in light of the absence of any explicit language in the no-fault statutes or regulations eliminating a plaintiff's burden to establish a prima facie case of entitlement to benefits or any indication of a legislative intent to eliminate such burden, and because the preclusion doctrine is not triggered until a prima facie showing has been made, I find no basis to diverge from our traditional rules pertaining to summary judgment motions. Thus, I would conclude that proof of billing, receipt, and nonpayment is simply insufficient to carry plaintiff's prima facie case here. Rather, plaintiff should be obligated to proffer, in accordance with the basic rules of evidence, admissible NF-3 forms to demonstrate the merits of its claims, which defendant would then be precluded from contesting. Accordingly, I would reverse the Appellate Division order.

Chief Judge LIPPMAN and Judges PIGOTT, RIVERA and FAHEY concur; Judge STEIN dissents in an opinion in which Judge READ concurs.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[35 NE3d 464, 14 NYS3d 296]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM MIDDLEBROOKS, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v FABRICE LOWE, Appellant.

Argued May 6, 2015; decided June 11, 2015

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 2, 2014. The Appellate Division affirmed a judgment of the Erie County Court (Michael F. Pietruszka, J.), which had convicted defendant, upon his plea of guilty, of robbery in the first degree (three counts) and robbery in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered January 3, 2014. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Onondaga County Court (William D. Walsh, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree. The modification consisted of reducing the sentence of imprisonment from a determinate term of imprisonment of 10 years plus five years of postrelease supervision to a determinate term of imprisonment of five years plus five years of postrelease supervision. The Appellate Division affirmed the judgment as modified.

People v Middlebrooks, 117 AD3d 1445, reversed.

People v Lowe, 113 AD3d 1133, reversed.

HEADNOTE

Infants — Youthful Offenders — Sentencing Court Must Determine Status — Defendant Convicted of Armed Felony or Enumerated Sex Offense

When a defendant has been convicted of an armed felony or an enumerated sex offense pursuant to CPL 720.10 (2) (a) (ii) or (iii), and the only barrier to his or her youthful offender eligibility is that conviction, the court is required to determine on the record whether the defendant is an eligible youth by considering the presence or absence of the factors set forth in CPL

720.10 (3). The court must make such a determination on the record even where the defendant has failed to ask to be treated as a youthful offender, or has purported to waive his or her right to make such a request pursuant to a plea bargain. If the court determines, in its discretion, that neither of the CPL 720.10 (3) factors exist and states the reasons for that determination on the record, no further determination by the court is required. If, however, the court determines that one or more of the CPL 720.10 (3) factors are present, and the defendant is therefore an eligible youth, the court then must determine whether or not the eligible youth is a youthful offender. Accordingly, in the unrelated prosecutions of defendants, who were “youths” within the meaning of CPL 720.10 (1) and had never before been convicted of a crime, and would be eligible to be granted youthful offender status but for the fact that their convictions to be replaced by youthful offender adjudications were armed felonies (*see* CPL 720.10 [2] [a] [ii]; 1.20 [41]), the respective sentencing courts erred by failing to determine on the record if defendants were eligible youths due to the existence of one or more of the factors set forth in CPL 720.10 (3).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Juvenile Courts and Delinquent and Dependent Children §§ 10, 56, 57, 117.

CARMODY-WAIT 2d, Juvenile and Youthful Offenders §§ 206:57, 206:58.

McKINNEY'S, CPL 720.10 (2) (a); (3).

NY JUR 2d, Criminal Law: Procedure §§ 1810–1812, 1816.

ANNOTATION REFERENCE

See ALR Index under Juvenile Courts and Delinquent Children.

FIND SIMILAR CASES ON WESTLAW®

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POINTS OF COUNSEL

David C. Schopp, The Legal Aid Bureau of Buffalo, Inc., Buffalo (Barbara J. Davies and Timothy P. Murphy of counsel), for appellant in the first above-entitled action. The Court should extend the holding in People v Rudolph (21 NY3d 497 [2013]) to require the sentencing court, as part of its mandatory determination on youthful offender status, to also determine the existence vel non of the factors set forth in CPL 720.10 (3) for every defendant who is not an “eligible youth.” (People v McGowen, 42 NY2d 905; People v Hudy, 73 NY2d 40; People v Flores, 116 AD3d 644; Matter of Roballo v Smith, 63 NY2d 485; People

v Morse, 62 NY2d 205; *People v Cecil Z.*, 57 NY2d 899; *People v Thiessen*, 76 NY2d 816; *People v Brodhead*, 106 AD3d 1337; *People v Lugo*, 87 AD3d 1403; *People v Crawford*, 55 AD3d 1335.)

Frank A. Sedita, III, District Attorney, Buffalo (*David A. Heraty* and *Donna A. Milling* of counsel), for respondent in the first above-entitled action. CPL 720.10 (3) imposes no duty on courts to rule on the existence of mitigating circumstances for ineligible youths. (*People v Rudolph*, 21 NY3d 497; *Harrington v State of N.Y. Off. of Ct. Admin.*, 62 NY2d 626; *People v Flores*, 116 AD3d 644; *People v Woullard*, 115 AD3d 1053, 23 NY3d 1026.)

Hiscock Legal Aid Society, Syracuse (*Philip Rothschild* of counsel), for appellant in the second above-entitled action. I. The trial court failed to exercise discretion in denying youthful offender status by precluding presentation of a defense presentence report, refusing to consider any defense equities, and citing only pretextual and constitutionally impermissible reasons as a basis for denying relief. (*People v Rudolph*, 21 NY3d 497; *Matter of Siwek v Mahoney*, 39 NY2d 159; *Matter of Herald Co. v Burke*, 261 AD2d 92; *Matter of Anthony M.*, 63 NY2d 270; *People v Singleton*, 41 NY2d 402; *People v Griffin*, 20 NY3d 626; *People v Williams*, 56 NY2d 236; *People v Foy*, 32 NY2d 473; *People v Spears*, 64 NY2d 698; *People v Matz*, 23 NY2d 196.) II. Mr. Fabrice Lowe was deprived of effective assistance of counsel by his attorney's failure to object to irrelevant and prejudicial evidence, failure to object to the trial assistant's improper summation, and failure to impeach Officer Baldwin's trial testimony regarding the location of the weapon. (*People v Baldi*, 54 NY2d 137; *People v Forbes*, 203 AD2d 609; *People v Brown*, 45 NY2d 852; *Strickland v Washington*, 466 US 668; *People v Claudio*, 83 NY2d 76; *People v Ennis*, 11 NY3d 403; *People v Benevento*, 91 NY2d 708; *People v Turner*, 5 NY3d 476; *People v Ortiz*, 76 NY2d 652; *People v Dinkle*, 302 AD2d 1014.)

William J. Fitzpatrick, District Attorney, Syracuse (*James P. Maxwell* of counsel), for respondent in the second above-entitled action. I. This Court should not remand this case for resentencing. (*People v Paulin*, 17 NY3d 238; *People ex rel. Allah v Warden, Bronx House of Detention*, 38 NY2d 823; *People v Gray*, 86 NY2d 10; *People v Samms*, 95 NY2d 52; *Matter of Anthony M.*, 63 NY2d 270; *People v Spears*, 64 NY2d 698;

People v Arroyo, 161 AD2d 1127, 76 NY2d 852; *People v O'Daniel*, 24 NY3d 134; *People v Arroyave*, 49 NY2d 264; *People v Perry*, 36 NY2d 114.) II. Defendant received effective assistance of counsel. (*People v Stultz*, 2 NY3d 277; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Droz*, 39 NY2d 457; *People v Bennett*, 29 NY2d 462; *People v Borrell*, 12 NY3d 365; *People v Satterfield*, 66 NY2d 796; *Strickland v Washington*, 466 US 668; *People v Harris*, 131 AD2d 142; *People v Session*, 34 NY2d 254.)

OPINION OF THE COURT

FAHEY, J.

The legislature has recognized that the determination as to punishment for a youth who has committed a crime is fundamentally different from the same determination for an adult. On these appeals, we are asked to decide whether, when a defendant who would otherwise be an eligible youth has been convicted of an armed felony, the court is required to make a determination on the record as to whether one or more of the CPL 720.10 (3) factors exist and the defendant is therefore an eligible youth. Based on a plain reading of the statute and this Court's decision in *People v Rudolph* (21 NY3d 497 [2013]), we hold that the court is required to make a determination on the record, even if the defendant does not request it or has agreed to forgo youthful offender treatment as part of a plea bargain.

CPL 720.10 provides that a person charged with a crime alleged to have been committed when the individual was at least 16 and less than 19 years old is a "youth" (CPL 720.10 [1]). The statute further provides that all "youth[s]" are eligible to be granted youthful offender status, with certain exceptions (*see* CPL 720.10 [2]). One such exception is provided for youths who have been convicted of an armed felony (*see* CPL 720.10 [2] [a] [ii]). CPL 720.10 (3) expressly provides, however, that a youth convicted of an armed felony is eligible to be granted youthful offender status if the court determines that there are mitigating circumstances bearing directly upon the manner in which the crime was committed, or, if the defendant was not the sole participant in the crime, that the defendant's participation was relatively minor. It is the court's responsibility to determine the presence or absence of these CPL 720.10 (3) factors, and thus to determine the defendant's eligibility for youthful offender treatment, that concerns us on this appeal.

I.People v Middlebrooks

Defendant Middlebrooks was charged with four counts of robbery for crimes he committed with one or more accomplices in 2010 when he was 18 years old. Middlebrooks pleaded guilty to all four counts in the indictment in exchange for a sentence of four maximum determinate terms of 15 years' imprisonment, to be followed by five years' postrelease supervision, with all terms to be served concurrently. At sentencing, although Middlebrooks brought to the court's attention the fact that he was 18 years old when he committed the crimes, neither Middlebrooks, his counsel, nor the court mentioned youthful offender treatment. The court sentenced Middlebrooks in accordance with the plea agreement.

On appeal, the Appellate Division rejected Middlebrooks's assertion that, pursuant to this Court's decision in *Rudolph*, the sentencing court was required to make a youthful offender determination on the record. The Court reasoned that Middlebrooks was "eligible to be adjudicated a youthful offender *only if* the court determined that there were mitigating circumstances that bear directly upon the manner in which the crimes were committed; or . . . , inasmuch as [Middlebrooks] was not the sole participant in the crimes, that [his] participation was relatively minor" (117 AD3d 1445, 1446 [4th Dept 2014] [original brackets and internal quotation marks omitted]). The Appellate Division held that because Middlebrooks "offered no evidence of mitigating circumstances relating to the manner in which the robberies were committed, nor did he specify any facts indicating that his participation in those crimes was 'relatively minor,'" he was not eligible for youthful offender treatment, and therefore "the [sentencing] court did not err in failing to make a youthful offender determination" (*id.* at 1446-1447). A Judge of this Court granted Middlebrooks leave to appeal (23 NY3d 1022 [2014]).

People v Lowe

Defendant Lowe was a passenger in a vehicle that was stopped by police after the driver turned without using a signal. Officers observed what they believed to be heroin on the lap of Shaquail Harris, one of the passengers in the vehicle. After ordering the four occupants out of the vehicle, police found a loaded gun underneath the driver's seat. Lowe had been sitting behind the driver. Lowe was also 18 years old at the time.

Lowe was charged with criminal possession of a weapon in the second degree. At trial, both the driver and the fourth occupant of the vehicle testified that they had arranged to purchase heroin from Harris that night, as they had done in the past. Although the passenger “had seen [Lowe] around” before that evening, he had never seen Lowe with a gun. The driver had not met Lowe before that night. Lowe testified that the gun was not his and that he had not seen it in the car. No fingerprints were recovered from the gun. The jury found Lowe guilty as charged.

The presentence report prepared by the Probation Department stated that Lowe was eligible to be adjudicated a youthful offender and recommended that he be granted that adjudication. At sentencing, defense counsel stated that she had requested an adjournment to allow her time to obtain her own presentence report, but she had been informed that the sentencing date had been moved up by two weeks, thus preventing her from obtaining a presentence report in time for sentencing. Defense counsel requested that Lowe be granted youthful offender treatment or, in the alternative, the minimum adult sentence. Without expressly ruling on defense counsel’s request for a youthful offender adjudication,¹ the court sentenced Lowe to 10 years’ imprisonment and five years’ postrelease supervision.

On appeal, the Appellate Division found Lowe’s sentence to be unduly harsh and severe and modified the judgment by reducing his sentence to a determinate term of five years’ imprisonment, to be followed by five years’ postrelease supervision, and otherwise affirmed (113 AD3d 1133, 1134 [4th Dept 2014]).² The Court rejected Lowe’s contention, however, “that the court abused its discretion in refusing to grant him youth-

1. To the extent Lowe contends that the court “implicitly” found him to be an eligible youth and then denied his request for youthful offender status, the record belies his contention. There is no basis in the record to conclude that the court considered the eligibility issue and found him to be an eligible youth.

2. To the extent the People assert that Lowe’s contention with respect to his youthful offender status is moot in light of the Appellate Division’s reduction of Lowe’s sentence, we reject that assertion. If the court had found Lowe to be an eligible youth and then further determined that he should be granted youthful offender treatment, the harshest sentence the court could have imposed was an indeterminate term of imprisonment of $1\frac{1}{3}$ to 4 years, a lesser sentence than the five-year determinate term imposed by the Appellate Division (*see* Penal Law §§ 60.02 [2]; 70.00 [2] [e]). Furthermore, a youth-

(n. cont’d)

ful offender status” (*id.* at 1134). A Judge of this Court granted Lowe leave to appeal (23 NY3d 1064 [2014]).

It is undisputed that both Middlebrooks and Lowe were “youths” within the meaning of CPL 720.10 (1) and had never before been convicted of a crime. It is further undisputed that both Middlebrooks and Lowe would be “[e]ligible youth[s]”—that is, eligible to be granted youthful offender status—but for the fact that their convictions to be replaced by youthful offender adjudications were armed felonies (*see* CPL 720.10 [2] [a] [ii]; 1.20 [41]). The sole issue with respect to each defendant’s youthful offender status is whether the court was required to determine on the record if he was an eligible youth due to the existence of one or more of the factors set forth in CPL 720.10 (3).

II.

Both defendants rely on our decision in *Rudolph* to support their contention that the court is required to make such a determination on the record. In *Rudolph*, the defendant had been convicted of felony drug possession and did not ask the court to adjudicate him a youthful offender. This Court noted that CPL 720.20 (1) provides that “[u]pon conviction of an eligible youth, . . . the court *must* determine whether or not the eligible youth is a youthful offender” (21 NY3d at 501, quoting CPL 720.20 [1]). We held that “the legislature’s use of the word ‘must’ in this context . . . reflect[ed] a policy choice that there be a youthful offender determination in every case where the defendant is eligible, even where the defendant fails to request it, or agrees to forgo it as part of a plea bargain” (*id.*). In so holding, we overruled *People v McGowen* (42 NY2d 905 [1977]).

Since *Rudolph* was decided, a split has developed within the Appellate Division regarding whether, when a defendant who would otherwise be an eligible youth is convicted of an armed felony, the court is required to determine on the record whether the factors set forth by CPL 720.10 (3) are present and the defendant is therefore an eligible youth. The Third Department has held that where the defendant presents no evidence of his or her relatively minor participation or of mitigating circumstances bearing directly on the manner in which the crime was committed, the court has no obligation to determine on the rec-

ful offender adjudication has additional benefits beyond the reduced sentence that may be imposed (*see* CPL 720.35; *Rudolph*, 21 NY3d at 500-501).

ord whether the defendant is an eligible youth (*People v Woullard*, 115 AD3d 1053, 1054-1055 [3d Dept 2014], *lv denied* 23 NY3d 1026 [2014]). As embodied by its decision in *Middlebrooks*, the Fourth Department agrees (*see* 117 AD3d at 1446-1447).

The First Department, however, disagrees with the post-*Rudolph* approach taken by the Third and Fourth Departments. In *People v Flores* (116 AD3d 644 [1st Dept 2014]), the Court wrote:

“Although defendant was convicted of an armed felony, he still could have received a youthful offender adjudication if the court had made the applicable findings under CPL 720.10 (3). As the Court noted in *Rudolph*, there may be ‘cases in which the interests of the community demand that youthful offender treatment be denied, and that the young offender be sentenced like any other criminal; . . . but the court must make the decision in every case’ (21 NY3d at 501). Thus, because defendant was eligible for youthful offender consideration, if any of the factors in CPL 720.10 (3) were found to exist, the court had to make a determination even though defendant did not request it. In reaching this decision, we respectfully disagree with the opinion of the Third Department in *People v Woullard* (115 AD3d 1053 [3d Dept 2014]), which reached the opposite conclusion” (*Flores*, 116 AD3d at 644-645; *see People v Malcolm*, 118 AD3d 447, 447 [1st Dept 2014]).

“[T]he governing rule of statutory construction is that courts are obliged to interpret a statute to effectuate the intent of the Legislature, and when the statutory language is clear and unambiguous, it should be construed so as to give effect to the plain meaning of the words used” (*People v Williams*, 19 NY3d 100, 103 [2012] [internal quotation marks omitted]).

III.

CPL 720.10 contains the parameters set by the legislature for youthful offender eligibility. A “youth” is defined as “a person charged with a crime alleged to have been committed when he was at least [16] years old and less than [19] years old or a person charged with being a juvenile offender as defined in [CPL 1.20 (42)]” (CPL 720.10 [1]). An “eligible youth” is “a

youth who is eligible to be found a youthful offender” (CPL 720.10 [2]). “Every youth is so eligible,” with certain exceptions set forth in CPL 720.10 (2).

That subdivision provides that those youths who have been convicted of a class A-I or A-II felony, who have “previously been convicted and sentenced for a felony,” or who have “previously been adjudicated a youthful offender following conviction of a felony or [have] been adjudicated on or after [September 1, 1978] a juvenile delinquent who committed a designated felony act as defined in the family court act” are ineligible for youthful offender treatment (*see* CPL 720.10 [2] [a]-[c]). The legislature provided no exceptions to ineligibility for those categories of offenders. In other words, a defendant who commits a class A-I or A-II felony, who has previously been convicted of a felony, or who has been given youthful offender treatment after a felony conviction is simply ineligible for youthful offender treatment. The court has no discretion in the matter.

CPL 720.10 (2) also includes those convicted of armed felonies or certain sex offenses in the general class of ineligible defendants. In contrast to the other categories of offenders discussed above, however, the legislature has provided that those defendants convicted of an armed felony or an enumerated sex offense are eligible youths under certain circumstances. Subdivision (2) of CPL 720.10 provides that youths convicted of an armed felony or an enumerated sex offense are not eligible youths “*except as provided in subdivision three*” (CPL 720.10 [2] [a] [ii], [iii] [emphasis added]). In turn, subdivision (3) provides that

“[n]otwithstanding the provisions of subdivision two, a youth who has been convicted of an armed felony offense or of rape in the first degree, criminal sexual act in the first degree, or aggravated sexual abuse is an eligible youth if the court determines that one or more of the following factors exist: (i) mitigating circumstances that bear directly upon the manner in which the crime was committed; or (ii) where the defendant was not the sole participant in the crime, the defendant’s participation was relatively minor although not so minor as to constitute a defense to the prosecution” (CPL 720.10 [3] [emphasis added]).

In other words, if the court determines that one or more of the factors provided by CPL 720.10 (3) are present, a defend-

ant who has been convicted of an armed felony is an eligible youth, “[n]otwithstanding the provisions of subdivision two.” For every eligible youth that comes before it, the sentencing court “must” determine whether the eligible youth is a youthful offender (CPL 720.20 [1]; *Rudolph*, 21 NY3d at 501). The court cannot comply with the mandate of CPL 720.20 (1), which requires the court to determine the youthful offender status of every eligible youth, unless the court first makes the threshold determination as to whether the defendant is, in fact, an eligible youth.

In most instances, the court has no discretion in determining the defendant’s eligibility, and therefore, in those instances, no determination on the record as to eligibility is necessary. If the defendant committed the crime when he or she was of an eligible age and none of the exceptions in CPL 720.10 (2) applies, the defendant is an eligible youth, and the court is then required by CPL 720.20 (1) to determine whether the defendant should be adjudicated a youthful offender. If the defendant was not of eligible age, or was of eligible age but was convicted of a class A-I or A-II felony, has previously been convicted and sentenced for a felony, or has previously been adjudicated a youthful offender following a felony conviction, the defendant is not an eligible youth, and the court has no discretion to determine otherwise. Where, however, the defendant has been convicted of an armed felony or an enumerated sex offense pursuant to CPL 720.10 (2) (a) (ii) or (iii), in order to fulfill its responsibility under CPL 720.20 (1) to make a youthful offender determination for every eligible youth, the court must make the threshold determination as to whether the defendant is an eligible youth by considering the factors set forth in CPL 720.10 (3).

On both appeals, the People contend that the legislature’s intent in CPL 720.10 was to make those defendants convicted of armed felonies presumptively ineligible for youthful offender treatment, and the court therefore is not required to make any determination with respect to eligibility unless the defendant affirmatively presents the court with evidence of mitigating circumstances or minor participation. We disagree. That interpretation of the statute fails to acknowledge the significance of the language in CPL 720.10 (2) that those defendants convicted of an armed felony or an enumerated sex offense are not eligible youths “*except* as provided in subdivision three” (CPL 720.10 [2] [a] [ii], [iii] [emphasis added]).

The People's interpretation also fails to acknowledge the legislature's statement in subdivision (3) that a defendant convicted of an armed felony "*is* an eligible youth," "[n]otwithstanding the provisions of subdivision two," if either mitigating circumstances bearing directly upon the manner in which the crime was committed are present or the defendant's participation in the crime was relatively minor (CPL 720.10 [3] [emphasis added]). In other words, where either or both of the criteria provided in CPL 720.10 (3) are present, the defendant is an eligible youth, notwithstanding the fact that he or she was convicted of an armed felony. As an eligible youth, such a defendant is then entitled to a youthful offender determination on the record pursuant to CPL 720.20 (1).

Furthermore, the People's interpretation of the statute gives little consideration to the broader legislative purpose behind CPL article 720. As we recognized in *Rudolph*,

"this right—not a right to receive youthful offender treatment, but to have a court decide whether such treatment is justified—is different. To disable a court from making that decision is effectively to hold that the defendant may not have the opportunity for a fresh start, without a criminal record, even if the judge would conclude that that opportunity is likely to turn the young offender into a law-abiding, productive member of society.

"The judgment of a court as to which young people have a real likelihood of turning their lives around is just too valuable, both to the offender and to the community, to be sacrificed in plea bargaining" (21 NY3d at 501).

If the legislature thought that those young offenders convicted of armed felonies were not deserving under any circumstances of the court's consideration of whether they, too, should be granted the opportunity for a fresh start, the legislature would not have provided that such defendants *are eligible youths* if one or more of the factors provided by CPL 720.10 (3) are present. Rather, the legislature would have provided that those youths convicted of armed felonies are simply ineligible to be adjudicated youthful offenders, as the legislature did for those convicted of class A-I or A-II felonies (*see* CPL 720.10 [2] [a] [i]).

Of course, as with the determination regarding the youthful offender adjudication, there will be many cases in which the

factors set forth in CPL 720.10 (3) are clearly absent, and, in such cases, the court's determination that the defendant is not an eligible youth will be a proper exercise of its discretion (*see Rudolph*, 21 NY3d at 501). In those cases, after the court determines on the record that the CPL 720.10 (3) factors do not exist and that the defendant therefore is not an eligible youth, no further determination is required. Nonetheless, to fulfill its obligation to make a youthful offender determination on the record for every eligible youth, the court must necessarily engage in the threshold exercise of its discretion to determine whether the defendant convicted of an armed felony or an enumerated sex offense is an eligible youth due to the presence of the CPL 720.10 (3) factors. In simpler terms, "the court must make the decision in every case" (*Rudolph*, 21 NY3d at 501).

It must be emphasized that if the court determines that the defendant is an eligible youth based on the presence of one or more of the CPL 720.10 (3) factors, the court is under no obligation to then grant the defendant a youthful offender adjudication. The court simply must exercise its discretion a second time to determine whether the eligible youth should be granted youthful offender treatment pursuant to CPL 720.20 (1). On that determination, the court is not limited to the two factors set forth in CPL 720.10 (3), which are the only factors the court may consider when determining whether a defendant convicted of an armed felony is an eligible youth. Rather, in making the ultimate determination as to the youthful offender adjudication, the court may consider the broad range of factors pertinent to any youthful offender determination (*see People v Cruickshank*, 105 AD2d 325, 334 [3d Dept 1985], *affd sub nom. People v Dawn Maria C.*, 67 NY2d 625 [1986]).

Therefore, based on a plain reading of CPL 720.10 and this Court's decision in *Rudolph*, we hold that when a defendant has been convicted of an armed felony or an enumerated sex offense pursuant to CPL 720.10 (2) (a) (ii) or (iii), and the only barrier to his or her youthful offender eligibility is that conviction, the court is required to determine on the record whether the defendant is an eligible youth by considering the presence or absence of the factors set forth in CPL 720.10 (3). The court must make such a determination on the record "even where [the] defendant has failed to ask to be treated as a youthful offender, or has purported to waive his or her right to make such a request" pursuant to a plea bargain (*Rudolph*, 21 NY3d at

499). If the court determines, in its discretion, that neither of the CPL 720.10 (3) factors exist and states the reasons for that determination on the record, no further determination by the court is required. If, however, the court determines that one or more of the CPL 720.10 (3) factors are present, and the defendant is therefore an eligible youth, the court then “must determine whether or not the eligible youth is a youthful offender” (CPL 720.20 [1]).

As we noted in *Rudolph*, our decision here “should not allow any defendants who have pleaded guilty to withdraw their pleas,” inasmuch as those defendants “pleaded guilty under the impression that the law was less favorable to [them] than we have held that it is” (21 NY3d at 502).

Lowe’s argument that his trial counsel was ineffective is without merit, and, in light of our determination, we need not address his remaining contention that the court abused its discretion in denying his request for an adjournment of sentencing.

Accordingly, in each case, the order of the Appellate Division should be reversed, and the case remitted to County Court for further proceedings in accordance with this opinion.

STEIN, J. (dissenting in *People v Middlebrooks*, concurring in *People v Lowe*). The majority holds that a sentencing court must always determine whether a defendant who has any possibility of establishing eligibility for youthful offender status is, in fact, so eligible. In my view, that holding represents an unwarranted extension of our decision in *People v Rudolph* (21 NY3d 497 [2013]) and a strained reading of the relevant statutory language. I would hold that a defendant who is presumptively ineligible for youthful offender treatment must request, and the burden rests on such defendant to establish, that he or she is an eligible youth, rather than obligating the courts to initiate an inquiry into the defendant’s potential eligibility.

I.

Resolution of this issue depends on the text of the relevant statutes and on our decision in *Rudolph*. CPL 720.20 (1) provides that, “[u]pon conviction of an eligible youth, . . . the court must determine whether or not the eligible youth is a youthful offender,” by considering certain enumerated criteria. In *Rudolph*, we held that the legislature’s use of the word “must” in CPL 720.20 (1) meant that a sentencing court was

required to determine whether a defendant who *is eligible* for youthful offender treatment should be so treated, regardless of whether the defendant requested such treatment or even waived the right to it (*see* 21 NY3d at 499, 501). The majority now takes the legislature’s use of the word “must” in CPL 720.20 (1) and inserts it into CPL 720.10—a purely definitional provision—to require courts to determine whether a defendant is an “eligible youth,” even when the defendant is specifically excluded from that term (in the absence of proof of enumerated circumstances). The majority does so despite the absence of the word “must” in CPL 720.10.

It is undisputed that defendants William Middlebrooks and Fabrice Lowe fit within the definition of “[y]outh” because they were each 18 years old when they committed the crimes at issue here (CPL 720.10 [1]). The statute defines the term “[e]ligible youth” as “a youth who is eligible to be found a youthful offender,” and states that “[e]very youth is so eligible *unless* he or she falls within certain exceptions; one such exception is where, as here, the current crime is an armed felony, “except as provided in subdivision three” (CPL 720.10 [2] [a] [ii] [emphasis added]).¹ Subdivision (3) provides that,

“[n]otwithstanding the provisions of subdivision two, a youth who has been convicted of an armed felony offense . . . is an eligible youth *if* the court determines that one or more of the following factors exist: (i) mitigating circumstances that bear directly upon the manner in which the crime was committed; or (ii) where the defendant was not the sole participant in the crime, the defendant’s participation was relatively minor although not so minor as to constitute a defense to the prosecution” (CPL 720.10 [3] [emphasis added]).

The majority repeatedly emphasizes the language in subdivision (3) that a youth convicted of an armed felony “*is an eligible youth*,” but ignores the import of the next word in the statute—“*if*”—and the qualifying language that follows (CPL 720.10 [3] [emphasis added]). “[I]f” is a qualifying word, indicating that the defendant “is an eligible youth” only in the event that the

1. A similar exception exists where the current crime is an enumerated sex offense (*see* CPL 720.10 [2] [a] [iii]). While this decision discusses the armed felony exception—because it directly applies to the defendants in these cases—the same analysis under the statutes is applicable to a defendant convicted of an enumerated sex offense.

enumerated conditions are proved. That is, although the statute begins with the broad premise that every youth is eligible for youthful offender status, that premise is clearly qualified by the words “unless,” “except,” and “if” (CPL 720.10 [2], [3]). Each of those qualifiers represents a step that must be taken in the analysis before finding a youth to be an “eligible youth.” Relying on the fact that a youth may be considered an eligible youth if the court determines that one or more of the statutory factors exist (*see* CPL 720.10 [3]), the majority incorrectly concludes that every sentencing court is obligated to initiate an inquiry and make a determination as to whether the defendant is an eligible youth, even where the statute presumes that he or she is not.

In *Rudolph*, we held that courts have an independent duty to determine whether to bestow youthful offender status on any defendant who is an eligible youth (*see* 21 NY3d at 501). In that case, the defendant fit the definition of a presumptively eligible youth because he did not fall within any of the statutory exceptions. Now, however, the majority extends *Rudolph* to require courts to make the more complex, threshold determination as to whether a presumptively ineligible young defendant could possibly qualify as an eligible youth—regardless of whether the defendant requests youthful offender treatment or even specifically waives it—before proceeding with the statutorily mandated determination of whether to grant youthful offender status if a finding of eligibility is made. In my view, this goes too far. While I, like the majority here and in *Rudolph*, recognize the laudatory policy considerations behind the youthful offender statute, such considerations simply cannot justify the majority’s holding here, which is based upon an erroneous grafting of the language of CPL 720.20 (1) into the language of CPL 720.10.²

As the majority notes, following *Rudolph*, the Appellate Division Departments split on the issue currently before us. The Third Department first addressed the issue, concluding that *Rudolph* did not apply to a defendant who “was convicted of an armed felony and was, therefore, not eligible for youthful offender status” (*People v Woullard*, 115 AD3d 1053, 1054 [3d Dept 2014], *lv denied* 23 NY3d 1026 [2014] [citations omitted]). In a footnote, the Court “recognize[d] that an age-eligible de-

2. To the contrary, the holding in *Rudolph* was properly based on the language of CPL 720.20 (1).

fendant who has been convicted of an excluded felony may seek youthful offender treatment by demonstrating mitigating circumstances that bear directly upon the manner in which the crime was committed. However, where, as here, no such showing was made, the defendant is not an eligible youth” (*id.* at 1054 n 2 [internal quotation marks and citations omitted]). The First Department has disagreed with that holding, concluding that, “regardless of whether [a] defendant was convicted of an armed felony, he [or she] was *potentially* eligible for [youthful offender] treatment under the mitigation provisions of CPL 720.10 (3), and was therefore entitled to a determination” (*People v Boria*, 124 AD3d 467, 468 [1st Dept 2015] [emphasis added]; see *People v Malcolm*, 118 AD3d 447, 447 [1st Dept 2014] [also stating that the defendant was “potentially eligible”]; *People v Flores*, 116 AD3d 644, 644-645 [1st Dept 2014]).

However, CPL 720.20 (1) says only that the court “must” determine whether an “eligible youth is a youthful offender.” In my view, the First Department and the majority here have erred because a plain reading of that statute does not impose any requirement on the court if a person is only “potentially” an eligible youth. Indeed, young defendants who fall under CPL 720.10 (2) (a) (ii) and (iii) are presumptively *ineligible* for youthful offender status, with only an opportunity to attempt to establish their eligibility pursuant to CPL 720.10 (3). It is entirely consistent with the statutory scheme to require defendants to bear the burden of establishing that eligibility by demonstrating the exception’s statutory factors of mitigating circumstances or minimal role in the crime (see *People v Brodhead*, 106 AD3d 1337, 1337 [3d Dept 2013], *lv denied* 22 NY3d 1087 [2014]; see also *People v Victor J.*, 283 AD2d 205, 206 [1st Dept 2001], *lv denied* 96 NY2d 942 [2001]).

Under the rule created by the majority today, that burden is placed on the court. While *Rudolph* imposed a responsibility on sentencing courts to make a determination regarding youthful offender status for all youths who are presumptively eligible, the Court held that the legislature had already placed that burden on sentencing courts through its use of the word “must” in CPL 720.20 (1) (see *Rudolph*, 21 NY3d at 501). The legislature did not indicate, in CPL 720.10, that the courts must attempt to elicit and ascertain the existence of factors that would convert a youth who is presumptively ineligible for youthful offender status—because he or she committed an armed felony—

into an eligible youth. Notably, the phrase “if the court determines” in CPL 720.10 (3) is couched in passive language.

Not only does the majority err in holding that the court bears the burden of determining whether a presumptively ineligible youth is, in fact, an eligible youth, it goes even further so as to impose that responsibility on courts regardless of whether a defendant in that category requests—or even waives—youthful offender treatment. The majority does not explain how, or on what basis, a court would be able to make a determination of the enumerated factors for a defendant who does not seek such treatment. For example, in situations such as *Middlebrooks*, where the defendant pleaded guilty, the record may not contain information concerning mitigating circumstances or the extent of the defendant’s role in the crime (*see* CPL 720.10 [3]). Is the court then obligated on its own to hold a hearing or beseech the possibly uninterested defendant³ to provide additional information to enable the court to make an informed determination as to whether a presumptively ineligible youth qualifies as an eligible youth? It seems to me that the majority requires too much of the already-overburdened criminal courts; rather, the burden should be on the presumptively ineligible defendants who desire the benefits associated with youthful offender treatment. Although young defendants may not be versed in the law, counsel are available to assist them. In our system of justice, unless the legislature has plainly laid a burden on a particular party or on the court (*see Rudolph*, 21 NY3d at 501; CPL 720.20 [1]), the burden generally rests upon the party seeking to benefit from a particular action (*see People v McCartney*, 38 NY2d 618, 622 [1976]; *see also Buechel v Bain*, 97 NY2d 295, 304 [2001], *cert denied* 535 US 1096 [2002]; *Matter of Priest v Hennessy*, 51 NY2d 62, 69 [1980]). Accordingly, defendants who are presumptively ineligible for youthful offender treatment—for example, because they committed an armed felony—should be responsible for requesting such treatment, and bear the burden of establishing the statutory factor or factors that would permit a court to determine that they qualify as eligible youths. As *Middlebrooks* did not do so, I would affirm the Appellate Division order in his case.

3. *Middlebrooks*, while represented by counsel, entered a plea agreement whereby he pleaded guilty with a promised range of sentencing that would not be available if he were adjudicated a youthful offender. If he had obtained youthful offender status, he would have had to forgo that favorable plea agreement.

II.

In *Lowe*, I concur only in the result of reversal, based on an argument not reached by the majority. Defense counsel requested an adjournment of sentencing to compile her own presentence report, as is permitted by statute (*see* CPL 390.40 [1]); she also requested consideration of Lowe for youthful offender status. County Court refused to grant the adjournment, without any legitimate explanation, despite having moved sentencing up two weeks from its originally scheduled date. It is unclear whether the defense report would have revealed information related to the factors that could have qualified Lowe as an eligible youth (*see* CPL 720.10 [3]), and if counsel planned to use the report to establish those factors or for other sentencing-related purposes. Under these circumstances, the court's denial of Lowe's reasonable request for an adjournment was an abuse of discretion, requiring that his conviction be reversed, his sentence vacated and the matter remitted for sentencing after affording defendant an opportunity to prepare a presentence report (*see People v Foy*, 32 NY2d 473, 476-477 [1973]; *compare People v Becoats*, 17 NY3d 643, 652-653 [2011], *cert denied* 566 US —, 132 S Ct 1970 [2012]).

In *People v Middlebrooks*: Order reversed and case remitted to County Court, Erie County, for further proceedings in accordance with the opinion herein.

Opinion by Judge FAHEY. Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur. Judge STEIN dissents in an opinion in which Judges READ and PIGOTT concur.

In *People v Lowe*: Order reversed and case remitted to County Court, Onondaga County, for further proceedings in accordance with the opinion herein.

Opinion by Judge FAHEY. Chief Judge LIPPMAN and Judges RIVERA and ABDUS-SALAAM concur. Judge STEIN concurs in result in a separate concurring opinion in which Judges READ and PIGOTT concur.

[35 NE3d 840, 14 NYS3d 770]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM HENDERSON, Appellant.

Argued June 1, 2015; decided June 30, 2015

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered October 31, 2013. The Appellate Division affirmed a judgment of the Warren County Court (John S. Hall, Jr., J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, manslaughter in the first degree, burglary in the first degree, assault in the second degree and burglary in the second degree (two counts).

People v Henderson, 110 AD3d 1353, affirmed.

HEADNOTE

Crimes — Murder — Felony Murder — Sufficiency of Evidence

Defendant's conviction for felony murder based upon the underlying predicate felony of burglary was supported by legally sufficient evidence, where defendant unlawfully entered the victim's apartment with the singular intent to assault him, but caused his death. Under the felony murder statute, a person is guilty of murder in the second degree if he or she commits or attempts to commit one of 10 enumerated felonies, including the crime of burglary, "and, in the course of and in furtherance of such crime . . . causes the death of [another]" (Penal Law § 125.25 [3]). A felony murder conviction may be predicated upon the commission of a burglary where the defendant's underlying intent is to assault the victim. The felony murder statute is intended to punish a perpetrator for a death he or she caused during the commission of a felony, but not a death that is coincidental to the felony. The "in furtherance of" element requires a logical nexus between a murder and a felony. Here, there was a clear logical nexus between defendant's felony of unlawfully entering the victim's apartment to assault him and the homicide, which was not coincidental. Limiting the "in furtherance of" element to murders that promote or advance the felony would exclude from felony murder a large class of murders. Given that the purpose of the felony murder statute was to broaden liability for deaths that occur during the commission of certain enumerated felonies, the legislature could not have possibly intended such a result.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Homicide §§ 65, 71, 75.

McKINNEY'S, Penal Law § 125.25 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 522, 531, 543.

ANNOTATION REFERENCE

See ALR Index under Assault and Battery; Burglary; Felony-Murder Doctrine.

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POINTS OF COUNSEL

The Abbatoy Law Firm, PLLC, Rochester (*David M. Abbatoy, Jr.*, of counsel), for appellant. I. There was insufficient evidence of felony murder. (*People v Cahill*, 2 NY3d 14; *People v Miller*, 32 NY2d 157; *People v Wood*, 8 NY2d 48; *People v Hernandez*, 82 NY2d 309; *People v Bornholdt*, 33 NY2d 75; *People v Joyner*, 26 NY2d 106; *People v Gladman*, 41 NY2d 123; *People v Arroyo*, 93 NY2d 990; *People v Heath*, 203 AD2d 17; *People v Versaggi*, 83 NY2d 123.) II. The lower court erred by refusing to charge the lesser-included offense of manslaughter in the second degree. (*People v Butler*, 84 NY2d 627; *People v Stanford*, 87 AD3d 1367; *People v Lopez*, 72 AD3d 593; *People v Sussman*, 298 AD2d 205; *People v Rivera*, 23 NY3d 112; *People v Green*, 56 NY2d 427; *People v Glover*, 57 NY2d 61; *People v Evans*, 232 AD2d 275; *People v Dinser*, 192 NY 80; *Morissette v United States*, 342 US 246.) III. The lower court erred by refusing to grant a missing witness charge. (*People v Gonzalez*, 68 NY2d 424; *People v Kitching*, 78 NY2d 532; *People v Macana*, 84 NY2d 173; *People v Erts*, 73 NY2d 872; *People v Concepcion*, 17 NY3d 192; *People v LaFontaine*, 92 NY2d 470; *People v Grimes*, 289 AD2d 1072; *State of New York v Skibinski*, 87 AD2d 974; *Hoffman v United States*, 341 US 479; *Southbridge Finishing Co. v Golding*, 2 AD2d 882.)

Kathleen B. Hogan, District Attorney, Lake George (*Jason M. Carusone* and *Emilee B. Davenport* of counsel), for respondent. I. The trial evidence permitted the jury to conclude the defendant committed felony murder and that the People proved each element of that crime beyond a reasonable doubt. As such, the Appellate Division properly found that the defendant's conviction is supported by legally sufficient evidence. (*People v Bleakley*, 69 NY2d 490; *People v Miller*, 32 NY2d 157; *People v Ca-*

hill, 2 NY3d 14; *People v Wood*, 8 NY2d 48; *People v Hernandez*, 82 NY2d 309.) II. The defendant was not entitled to an instruction on manslaughter in the second degree as a lesser included offense of manslaughter in the first degree, because there was no reasonable view of the evidence that would have supported a finding that the defendant recklessly killed Chambers. (*People v Rivera*, 23 NY3d 112; *People v Glover*, 57 NY2d 61; *People v Martin*, 59 NY2d 704; *People v Green*, 56 NY2d 427; *People v Scarborough*, 49 NY2d 364; *People v Asan*, 22 NY2d 526; *People v Discala*, 45 NY2d 38; *People v Negron*, 91 NY2d 788; *People v Tai*, 39 NY2d 894; *People v Evans*, 232 AD2d 275.) III. The County Court properly denied the defendant's request for a missing witness charge with respect to Mathes, the defendant's cousin, since Mathes was not under the People's control, and if any error occurred such error was necessarily harmless as a result of the overwhelming evidence presented at trial of the defendant's guilt. (*People v Gonzalez*, 68 NY2d 424; *People v Sharp*, 107 NY 427; *People v Griffin*, 100 AD2d 659; *People v Williams*, 34 AD2d 1046; *Reehil v Fraas*, 129 App Div 563; *People v Dillard*, 96 AD2d 112; *People v Douglas*, 54 AD2d 515; *People v Moore*, 17 AD2d 57; *People v Rodriguez*, 38 NY2d 95; *People v Brown*, 34 NY2d 658.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

The primary issue presented on this appeal is whether there was sufficient proof to support defendant's conviction for felony murder, based upon the underlying predicate felony of burglary. Because legally sufficient evidence exists, the order of the Appellate Division should be affirmed.

I

Defendant William Henderson, his cousin and a friend broke into an apartment looking for two individuals who the men suspected had robbed them of drugs and money that were kept in an associate's nearby apartment. When defendant broke down the door to the apartment, the suspected thieves were not inside. Rather, the victim and his girlfriend were in an upstairs bedroom. When the victim heard the downstairs door being kicked in, he opened the door to the bedroom and saw the men coming up the stairs. Defendant was screaming and asking for the whereabouts of the individuals he believed had stolen the drugs. The victim told defendant to leave. Defendant then punched the victim in the face and a fistfight ensued. The

victim's girlfriend hit defendant over the head with a bottle. At some point, she heard sirens and stated that the police were coming. Defendant and the other men ran out of the apartment, returning to their associate's apartment.

Defendant took a knife out of the knife block in his associate's kitchen, telling his associate that he was "going to kill him," presumably referring to the victim. Defendant returned to the victim's apartment holding the knife in his hand. The victim told his girlfriend to run, and she ran out of the back door to a neighbor's apartment and called 911. As she ran out of the apartment, she heard glass shattering. A bottle had apparently been broken over the victim's head. The victim's girlfriend then ran back to the apartment and saw the victim exit the door and slump down on the stoop with shards of glass protruding from his scalp and blood pouring from his back. The victim told his girlfriend that he thought he had been stabbed, and he thereafter lost consciousness. Defendant fled the apartment, got into a vehicle with his friend and sped off just as the police arrived. After the police pursued the vehicle, defendant and his friend were arrested. Defendant's cousin, who was still in the associate's apartment when defendant stabbed the victim, was also arrested. EMTs tried but failed to resuscitate the victim, and he was pronounced dead.

Defendant was indicted for murder in the second degree (Penal Law § 125.25 [1] [intentional murder]), murder in the second degree (Penal Law § 125.25 [3] [felony murder]), assault in the second degree (Penal Law § 120.05 [1] [intentional assault]), assault in the second degree (Penal Law § 120.05 [6] [felony assault]), burglary in the first degree (Penal Law § 140.30 [2]), burglary in the second degree (Penal Law § 140.25 [1] [b] [burglary resulting in physical injury]), and burglary in the second degree (Penal Law § 140.25 [2] [burglarizing a dwelling]).* During trial, the associate testified for the People, stating that defendant, defendant's cousin and their friend had

* During defendant's original trial, defendant testified on his own behalf. Prior to deliberations, County Court granted defendant's request to instruct the jury on manslaughter in the first degree (Penal Law § 125.20 [1]) as a lesser included offense of murder in the second degree (Penal Law § 125.25 [1] [intentional murder]). Defendant was convicted upon a jury verdict of manslaughter in the first degree, but acquitted of intentional murder. Additionally, he was convicted of the remaining counts. Defendant appealed, and the Appellate Division reversed the judgment and remitted to County Court for a new trial (*People v Henderson*, 74 AD3d 1567 [3d Dept 2010]). The Court determined that "County Court committed reversible error in

(n. cont'd)

left her apartment for a period of time, and when they returned, defendant appeared upset, was “pacing back and forth . . . and then . . . took a kitchen knife.” She heard defendant say that he was “going to kill him.” The associate asked defendant to put the knife back, but he did not comply. The victim’s girlfriend also testified for the People. She stated that defendant and other men broke into the apartment and described the ensuing fight between defendant and the victim. She testified that the victim told her that he had been stabbed. The medical examiner who conducted the victim’s autopsy also testified for the People. He concluded that the victim’s cause of death was a hemorrhage as a result of a stab wound to his left back which perforated his aorta.

Defendant did not testify; however, his testimony from his first trial was read into the record. In that statement, defendant testified that while he was going to his associate’s apartment, the victim made a racial slur and threw a bottle at him. He admitted to breaking into the victim’s apartment, fighting with him, and returning with a knife. Defendant testified that he did not intend to kill the victim, but he “wanted to hurt him like he hurt me with the bottle.”

Defendant was convicted of felony murder, first-degree manslaughter, first-degree burglary, two counts of second-degree burglary, and second-degree assault. On appeal, the Appellate Division rejected defendant’s argument that “the evidence of felony murder [wa]s legally insufficient because the predicate burglary is based upon his conceded intent to commit an assault” (110 AD3d 1353, 1354 [3d Dept 2013]). The Court affirmed, holding that defendant’s felony murder conviction “may properly be based on a burglary as the predicate felony where the intent at the time of entry is to commit an assault” (*id.* at 1354). A Judge of this Court granted defendant leave to appeal (*see* 23 NY3d 963 [2014]), and we now affirm.

II

There is legally sufficient evidence in this record to support defendant’s conviction for felony murder.

dismissing a sworn juror over [defendant’s] objections” (*id.* at 1570). Thereafter the Appellate Division granted the People’s request to seek an indictment on the originally unindicted count of first degree manslaughter (*People v Henderson*, 77 AD3d 1168 [3d Dept 2010]). A second indictment was then filed, charging defendant with first degree manslaughter. County Court granted the People’s motion to consolidate the indictments.

Penal Law § 125.25 (3) provides that a person is guilty of murder in the second degree if he or she commits or attempts to commit one of 10 enumerated felonies, “and, in the course of and in furtherance of such crime . . . causes the death of [another].” The felony murder statute includes, in its list of predicate felonies, the crime of burglary. To establish the crime of burglary, it must be shown that the defendant “knowingly enters or remains unlawfully in a building with intent to commit a crime therein” (Penal Law § 140.20).

Defendant presently argues that the evidence adduced at trial demonstrates that the second time he entered the victim’s apartment, he did so with the intent to kill. As support, defendant relies on his associate’s testimony that after he took the knife, he stated he was “going to kill” the victim. He asserts that a felony murder conviction cannot be predicated on burglary when the intended crime underlying the burglary is murder, because to do so would double-count a single mens rea of intent to kill. There was evidence at trial, however, that defendant’s intent when he reentered the victim’s apartment was to commit assault, not kill the victim. Defendant testified that he initially retrieved the knife because “[he] was mad [he] got assaulted” by the victim “and [he] wanted to even the odds.” He admitted that upon his reentry, he immediately began to fight with the victim. He denied returning to the apartment to kill the victim, but admitted he intended to “hurt” him. Defendant stabbed the victim only after the victim “swung” at him. Although defendant told his associate that he wanted to kill the victim, viewing the evidence, as we must, in the light most favorable to the People (*see People v Delamota*, 18 NY3d 107, 113 [2011]; *People v Conway*, 6 NY3d 869, 872 [2006]), a rational trier of fact could conclude that, based upon defendant’s own statements, defendant committed the crime of burglary when he entered the apartment with the intent to assault the victim and during that burglary defendant caused the victim’s death.

We now consider the question of whether there was legally sufficient evidence of felony murder. We conclude legally sufficient evidence exists here. As we held in *People v Miller* (32 NY2d 157 [1973]), a felony murder conviction may be predicated upon the commission of a burglary where the defendant’s underlying intent is to assault the victim. In that case, the defendant broke into an apartment intending to assault one of

the occupants, Fennell. The defendant entered the apartment and stabbed Fennell in the arm while spraying a chemical in Fennell's face. Aleem, Fennell's roommate, came to Fennell's aid, and the defendant killed Aleem by stabbing him in the chest. This Court held that a felony murder charge predicated on burglary was sufficient for conviction of felony murder on those facts, despite the defendant's argument that the intent to commit assault underlying the burglary merged with the homicide (*id.* at 159).

Noting the legislature's inclusion of burglary of all degrees, without qualification, as a predicate felony for felony murder, we observed

“that persons within domiciles are in greater peril from those entering the domicile with criminal intent, than persons on the street who are being subjected to the same criminal intent. Thus, the burglary statutes prescribe greater punishment for a criminal act committed within the domicile than for the same act committed on the street” (*id.* at 160).

It is clear that the legislature chose to treat burglary differently than other crimes. Therefore, an individual who approaches another on the street with an intent to assault but causes the death of that person could be convicted of manslaughter, but not felony murder. It is entirely reasonable, however, that a person—like defendant—who unlawfully enters a building with the intent to commit an assault therein, but causes the death of another, may be convicted of felony murder, in recognition that the homicide occurs in the context of other criminal activity that enhances the seriousness of the offense.

Although *Miller* involved two victims, our rationale in *Miller* is applicable here. The defendant's intent in *Miller* to assault one victim when unlawfully entering the apartment, combined with the murder that resulted in the course of and in furtherance of the burglary, was sufficient to support a felony murder conviction. This Court's holding in *Miller* was not limited to circumstances where a defendant killed a victim other than the one he or she intended to harm. Here, defendant unlawfully entered the victim's apartment with the singular intent to assault him, but caused his death. Defendant's felony murder conviction, therefore, is supported by legally sufficient evidence.

Although defendant urges this Court to answer a question we expressly left open in *People v Cahill* (2 NY3d 14 [2003]), this case does not present us with an occasion to do so. In *People v Cahill*, involving the capital murder statute, we did not address whether a person who enters a building with the intent to kill may properly be convicted of felony murder. Likewise, we need not answer that question here because there is sufficient evidence from which a rational jury could conclude that defendant entered the victim's apartment with the sole intent to commit assault. Furthermore, in *Cahill* this Court repeatedly explained that the holding in that case was consistent with, and had no impact on, the holding of *Miller*.

Defendant also argues that his felony murder conviction rests on legally insufficient evidence because there is no evidence that he committed the murder "in furtherance of" a burglary. He asserts that the statutory language "in furtherance of" requires that the death be caused in order to advance or promote the underlying felony. We have not interpreted "in furtherance of" so narrowly. The felony murder statute is intended to punish a perpetrator for a death he or she caused during the commission of a felony, but not a death that is coincidental to the felony (see *People v Hernandez*, 82 NY2d 309, 317 [1993]). The "in furtherance of" element requires "a logical nexus between a murder and a felony" (*Cahill*, 2 NY3d at 101-102 [Grafteo, J., concurring in part and dissenting in part], citing *People v Lewis*, 111 Misc 2d 682 [Sup Ct, NY County 1981]). Here, there is a clear logical nexus between defendant's felony of unlawfully entering the victim's apartment to assault him and the homicide, which was certainly not coincidental. Limiting the "in furtherance of" element to murders that promote or advance the felony, as defendant suggests, would exclude from felony murder a large class of murders. Given that the purpose of the felony murder statute was to broaden liability for deaths that occur during the commission of certain enumerated felonies, the legislature could not have possibly intended such a result (see *Cahill*, 2 NY3d at 66-68). Thus, defendant's conviction for felony murder is based upon legally sufficient evidence.

III

Defendant's remaining contentions do not warrant reversal. Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA,
STEIN and FAHEY concur.

Order affirmed.

[35 NE3d 481, 14 NYS3d 313]

COMMONWEALTH OF PENNSYLVANIA PUBLIC SCHOOL EMPLOYEES'
RETIREMENT SYSTEM, Together and on Behalf of All Others
Similarly Situated, et al., Plaintiffs, and COMMERZBANK
AG, Together and on Behalf of All Others Similarly Situ-
ated, Appellant, v MORGAN STANLEY & CO., INCORPORATED,
et al., Respondents, et al., Defendants.

Argued June 1, 2015; decided June 30, 2015

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Based on the declarations and documentary evidence presented by Commerzbank, could a reasonable trier of fact find that DAF validly assigned its right to sue for common law fraud to Dresdner in connection with its sale of Cheyne SIV notes? If so, based on the record established in the summary judgment proceedings in the district court, could a reasonable trier of fact find Morgan Stanley liable for fraud under New York law?”

HEADNOTE

Parties — Standing — Assignment of Tort Claims

Plaintiff failed to raise a question of fact regarding its standing to sue defendants for fraudulently issuing high credit ratings on notes purchased by an asset fund, subsequently sold to a bank and ultimately acquired by plaintiff, where plaintiff failed to present evidence of a communicated intent by the fund and bank to assign to the bank the right to sue for fraud in connection with the transaction through which the fund purchased the notes. The right to assert a fraud claim related to a contract or note does not automatically transfer with the respective contract or note. Thus, where an assignment of fraud or other tort claims is intended in conjunction with the conveyance of a contract or note, there must be some language that evinces that intent and effectuates the transfer of such rights. Without a valid assignment, only the assignor may rescind or sue for damages for fraud and deceit. There was no explicit assignment of the fund’s common-law fraud claims to the bank in connection with the fund’s sale of the notes. Moreover, there was no evidence that the assignment of tort claims was actually discussed or negotiated by the parties prior to or at the time of the transfer, or that the sale of the notes in any way referenced the simultaneous assignment of such claims.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Assignments §§ 134, 136; AM JUR 2d, Fraud and Deceit §§ 281, 286.
CARMODY-WAIT 2d, Parties §§ 19:9, 19:269.
NY JUR 2d, Assignments § 85; NY JUR 2d, Fraud and Deceit § 195.
SIEGEL, NY PRAC § 136.

ANNOTATION REFERENCE

See ALR Index under Assignments; Fraud and Deceit; Parties.

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note

POINTS OF COUNSEL

Robbins Geller Rudman & Dowd LLP, San Diego, California (Joseph D. Daley, of the California bar, admitted pro hac vice, Daniel S. Drosman and Luke O. Brooks of counsel), for appellant. I. Commerzbank AG has standing to sue on the Allianz Dresdner Daily Asset Fund notes. (*International Design Concepts, LLC v Saks Inc.*, 486 F Supp 2d 229; *Griffey v New York Cent. Ins. Co.*, 100 NY 417; *Leon v Martinez*, 84 NY2d 83; *Aini v Sun Taiyang Co., Ltd.*, 964 F Supp 762; *Matter of Boissevain*, 40 Misc 2d 237; *Banque Arabe et Internationale D'Investissement v Maryland Natl. Bank*, 57 F3d 146; *Premium Mtge. Corp. v Equifax, Inc.*, 583 F3d 103; *Allstate Ins. Co. v Countrywide Fin. Corp.*, 824 F Supp 2d 1164; *MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 87 AD3d 287.) II. A reasonable trier of fact could find Morgan Stanley & Co., Incorporated and Morgan Stanley & Co. International Limited liable for fraud based on the evidence adduced. (*Premium Mtge. Corp. v Equifax, Inc.*, 583 F3d 103; *Allstate Ins. Co. v Countrywide Fin. Corp.*, 824 F Supp 2d 1164; *MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 87 AD3d 287; *Ellington Credit Fund, Ltd. v Select Portfolio Servicing, Inc.*, 837 F Supp 2d 162; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Dillon v Morano*, 497 F3d 247.)

Davis Polk & Wardwell, LLP, New York City (James P. Rouhandeh, Antonio J. Perez-Marques and Jessica L. Turner of

counsel), *Cahill Gordon & Reindel LLP*, New York City (*Floyd Abrams*, *Jason M. Hall* and *Roxana Labatt* of counsel), *Satterlee Stephens Burke & Burke LLP*, New York City (*Joshua M. Rubins*, *James J. Coster* and *James I. Doty* of counsel), *Gibson, Dunn & Crutcher LLP*, Washington, D.C. (*Mark A Perry* of counsel), for respondents. I. No reasonable trier of fact could find that Allianz Dresdner Daily Asset Fund validly assigned its rights to sue for common-law fraud to Dresdner Bank AG in connection with its sale of the Cheyne notes. (*Fox v Hirschfeld*, 157 App Div 364; *State of Cal. Pub. Employees' Retirement Sys. v Shearman & Sterling*, 95 NY2d 427; *Tycon Tower I Inv. Ltd. Partnership v Burgee Architects*, 234 AD2d 748; *Argyle Capital Mgt. Corp. v Lowenthal, Landau, Fischer & Bring*, 261 AD2d 282; *Abel v Paterno*, 245 App Div 285; *Dexia SA/NV v Morgan Stanley*, 41 Misc 3d 1214[A], 2013 NY Slip Op 51696[U]; *State Farm Mut. Ins. Co. v Anikeyeva*, 35 Misc 3d 1203[A], 2012 NY Slip Op 50542[U]; *Banque Arabe et Internationale D'Investissement v Maryland Natl. Bank*, 57 F3d 146; *International Design Concepts, LLC v Saks Inc.*, 486 F Supp 2d 229; *Brandoff v Empire Blue Cross & Blue Shield*, 183 Misc 2d 936.) II. No reasonable jury could find Morgan Stanley & Co., Incorporated and Morgan Stanley & Co. International Limited liable for primary fraud under New York law. (*Mateo v Senterfitt*, 82 AD3d 515; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 46 AD3d 400; *Crigger v Fahnestock & Co., Inc.*, 443 F3d 230; *Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Merrill Lynch & Co. Inc. v Allegheny Energy, Inc.*, 500 F3d 171; *Abrahami v UPC Constr. Co.*, 224 AD2d 231; *CPC Intl. v McKesson Corp.*, 70 NY2d 268; *Oster v Kirschner*, 77 AD3d 51; *JP Morgan Chase Bank v Winnick*, 406 F Supp 2d 247; *Ambassador Factors v Kandel & Co.*, 215 AD2d 305.)

OPINION OF THE COURT

STEIN, J.

In this case certified to us by the United States Court of Appeals for the Second Circuit, we must determine whether a reasonable factfinder could conclude that plaintiff Commerzbank AG was assigned the right to bring a common-law fraud claim, and therefore had standing to sue various defendants involved in the issuance of rated notes by the Cheyne structured investment vehicle (SIV). The notes in question were originally purchased by Allianz Dresdner Daily Asset Fund (DAF), subsequently sold to a branch of Dresdner Bank AG in 2007, and ultimately acquired by Commerzbank through its

merger with Dresdner in 2009. Because Commerzbank has failed to present any evidence of a communicated intent by DAF and Dresdner to assign to Dresdner the right to sue for fraud in connection with the transaction through which DAF purchased the notes, we hold that Commerzbank has failed to raise a question of fact regarding standing.

I.

The facts and procedural history of this action are explained in more detail in the underlying decisions of the District Court (888 F Supp 2d 478 [SD NY 2012]; 910 F Supp 2d 543 [SD NY 2012]; 888 F Supp 2d 431 [SD NY 2012]; 269 FRD 252 [SD NY 2010]) and the Second Circuit (772 F3d 111 [2d Cir 2014] [as amended Nov. 12, 2014]). As particularly relevant here, defendants Morgan Stanley & Co., Incorporated and Morgan Stanley & Co. International Limited (collectively, Morgan Stanley) arranged and placed notes for the Cheyne SIV, which was launched in 2005. To attract investors, defendants Standard & Poor's Ratings Services and The McGraw-Hill Companies, Inc. (collectively, S & P) and Moody's Investors Service, Inc. and Moody's Investors Service Ltd. (collectively, Moody's)—nationally recognized statistical rating organizations—were engaged to rate the notes. Between 2005 and 2007, the Cheyne SIV issued several classes of notes on a rolling basis. These notes received top credit ratings from Moody's and S & P, which ratings were included in documents distributed to potential investors by Morgan Stanley. Investors who purchased the notes purportedly relied on these ratings.

The notes issued by the Cheyne SIV—which included a significant number of subprime residential mortgage-backed securities—were downgraded by S & P and placed on review for downgrade by Moody's after the SIV breached its “Major Capital Loss Test” in 2007. That breach triggered “an irreversible operating state requiring that a receiver be appointed to manage the SIV in order to sell its assets and repay maturing liabilities.” Allegedly, most, if not all, of the value of the Cheyne SIV notes was eradicated.

In 2008, this action was commenced against Morgan Stanley and the rating agencies in the federal District Court for the Southern District of New York by Abu Dhabi Commercial Bank and other institutional investors that had purchased or acquired Cheyne SIV notes and allegedly suffered damages as a result of the Cheyne SIV's collapse. Commerzbank—which

held Cheyne SIV notes that it had purchased directly, in addition to the notes that had originally been purchased by DAF and subsequently acquired by Commerzbank—eventually joined the action as a named plaintiff. Plaintiffs, including Commerzbank, asserted causes of action sounding in fraud, aiding and abetting fraud, and negligent misrepresentation against Morgan Stanley and the rating agencies. More specifically, plaintiffs asserted that defendant rating agencies, at the behest of Morgan Stanley, knowingly issued fraudulently high ratings that did not reflect the true risks of the Cheyne SIV notes. As alleged in the complaint, these ratings were unreliable, devoid of any meaningful factual or statistical basis, and based on outdated models and inaccurate information. According to plaintiffs, when Morgan Stanley distributed materials containing the ratings to potential investors, it knew that the ratings were false and misleading, and Morgan Stanley therefore made materially misleading statements and omissions that led plaintiffs to purchase Cheyne SIV notes, believing they were a safe investment.

Following discovery, Morgan Stanley and the rating agencies moved for summary judgment dismissing plaintiffs' fraud claims and questioned, among other things, whether Commerzbank had standing to sue for fraud on the Cheyne SIV notes originally purchased by DAF and whether Morgan Stanley had made any actionable misstatements. Defendants also argued that plaintiffs could not establish justifiable reliance on the ratings. With respect to the reliance element, the District Court limited plaintiffs to a single three-page declaration to demonstrate whether and how they had relied on the ratings when investing in Cheyne SIV notes. In the declaration submitted by plaintiffs, Commerzbank asserted that Dresdner purchased Cheyne SIV notes "at par" from its affiliate, DAF, in October 2007, and that Dresdner was acquired by Commerzbank in January 2009 which, under German law, meant that all of Dresdner's "assets, liabilities, rights and obligations passed automatically by operation of law to Commerzbank and Dresdner ceased to exist as a legal entity."

As pertinent here, the District Court granted defendants' motion for summary judgment in part, dismissing Commerzbank's claims insofar as they were based on the notes purchased by DAF, and dismissing plaintiffs' fraud claim against Morgan Stanley (888 F Supp 2d at 447-448, 478). With respect to standing, the court held that, although Commerzbank may have

acquired all causes of action possessed by Dresdner, it had provided no evidence that DAF, in the first instance, had assigned to Dresdner any tort causes of action connected to the notes (*see id.* at 447-448). As for the dismissal of the fraud claim against Morgan Stanley, the court determined that the ratings were attributable solely to the rating agencies (*see id.* at 448-453). In the absence of a fraudulent statement made by Morgan Stanley, the court held that Morgan Stanley could be liable, at most, for aiding and abetting fraud (*see id.*). The court also found that questions of fact precluded summary judgment on Commerzbank's fraud claims against the rating agencies and its aiding and abetting cause of action against Morgan Stanley based on the notes purchased directly by Commerzbank (*see id.* at 458-468, 477-478).

Commerzbank moved for reconsideration of the standing issue and proffered, as pertinent here, two additional declarations to support its contention that DAF had assigned its fraud claims to Dresdner. More specifically, Commerzbank provided a declaration from Christopher Williams, former Secretary of and Senior Counsel to Dresdner Advisors (DAF's investment advisor) and former Senior Counsel to the branch of Dresdner that purchased the notes from DAF. Williams explained that DAF did not typically enter into written agreements when purchasing or selling securities. He further explained that, when the Cheyne SIV notes were downgraded in 2007, DAF was prohibited from continuing to hold them by federal rules promulgated under the Investment Company Act of 1940. "[I]n order to ensure DAF's compliance" with such rules, Dresdner therefore purchased the notes from DAF for cash "at par" for \$121,078,069. DAF ceased operations 10 months later and was terminated in January 2009. Williams asserted that, to the best of his knowledge, DAF and Dresdner believed that any causes of actions or claims related to the notes would automatically transfer with them.

Commerzbank also submitted a declaration by Brian Shlissel, Managing Director of Allianz Global Investors Fund Management LLC, which administered DAF as a series of a Massachusetts business trust known as Allianz Global Investors Managed Accounts Trust, of which Shlissel was the President and Chief Executive Officer. Shlissel similarly attested to the foregoing facts regarding DAF's sale of the notes to Dresdner, and he asserted that the parties to the sale believed that any causes of action related to the notes would automatically transfer to Dresdner with the notes themselves.

The District Court denied Commerzbank's motion for reconsideration, declining to consider its additional submissions (888 F Supp 2d at 490-491). Commerzbank appealed.

The Second Circuit held that the District Court abused its discretion by refusing to consider Commerzbank's supplemental papers, but determined that resolution of the standing issue would require it to pass on an open question of New York law; namely, whether proof of a subjective, uncommunicated intent to transfer a whole interest in a note—in the absence of limiting language—suffices to transfer an assignor's tort claims related to such note under New York law (772 F3d at 121).¹ Accordingly, the Second Circuit certified to us the question whether, “[b]ased on the declarations and documentary evidence presented by Commerzbank, . . . a reasonable trier of fact [could] find that DAF validly assigned its right to sue for common law fraud to Dresdner in connection with its sale of Cheyne SIV notes” (*id.* at 125).² Further, if we answer the first question in the affirmative, the Second Circuit asked us to determine whether, “based on the record established in the summary judgment proceedings in the district court, . . . a reasonable trier of fact [could] find Morgan Stanley liable for fraud under New York law” (*id.*).

We accepted certification (24 NY3d 1028 [2014]), and now answer the first question in the negative. We, therefore, have no occasion to pass on the second.

II.

Commerzbank contends that its proffered evidence precludes the granting of summary judgment in defendants' favor on the issue of whether Commerzbank has standing to pursue a fraud claim arising out of DAF's purchase of the Cheyne SIV notes that Commerzbank subsequently acquired. According to Commerzbank, any fraud claims possessed by DAF were assigned to Dresdner in light of the “unqualified” nature of DAF's sale of its “whole interest” in the notes to Dresdner. Commerzbank

1. The Second Circuit did not reach the merits of Commerzbank's motion to ratify its claim by a successor entity to DAF under Federal Rules of Civil Procedure rule 17 (a) (3), but commented that the motion, which must be made within a “reasonable time” of the standing objection, was not made until over one year after defendants' answers raised the standing issue (772 F3d 111, 122 n 5 [2d Cir 2014] [as amended Nov. 12, 2014]).

2. Commerzbank's standing to sue with respect to the notes that it purchased directly is not at issue.

also argues that the Williams and Shlissel declarations are sufficient to demonstrate the intent of DAF and Dresdner to assign to Dresdner all causes of action associated with the notes. Finally, relying on *Banque Arabe et Internationale D'Investissement v Maryland Natl. Bank* (57 F3d 146 [2d Cir 1995]) and *International Design Concepts, LLC v Saks Inc.* (486 F Supp 2d 229 [SD NY 2007]), Commerzbank asserts that the circumstances surrounding the 2007 sale of the Cheyne SIV notes provide a sufficient basis upon which a factfinder could conclude that, when the notes were transferred, the parties to the sale intended to assign any potential fraud claims related thereto. We find these arguments unpersuasive.

To be sure, fraud claims are freely assignable in New York (see *Banque Arabe*, 57 F3d at 151-153; Glen Banks, New York Contract Law § 15:4 [28 West's NY Prac Series]; see also General Obligations Law § 13-101). It has long been held, however, that the right to assert a fraud claim related to a contract or note does not *automatically* transfer with the respective contract or note (see *Argyle Capital Mgt. Corp. v Lowenthal, Landau, Fischer & Bring*, 261 AD2d 282, 283 [1st Dept 1999], *lv denied* 93 NY2d 817 [1999]; *Tycon Tower I Inv. Ltd. Partnership v Burgee Architects*, 234 AD2d 748, 749 [3d Dept 1996], *lv denied* 90 NY2d 804 [1997]; *Ettar Realty Co. v Cohen*, 163 App Div 409, 411 [1st Dept 1914]; *Fox v Hirschfeld*, 157 App Div 364, 365-368 [1st Dept 1913]; *Weylin Hotel Corp. v Ritter*, 114 NYS2d 158, 159 [Sup Ct, NY County 1952], *affd* 280 App Div 785 [1st Dept 1952]; see also *State of Cal. Pub. Employees' Retirement Sys. v Shearman & Sterling*, 95 NY2d 427, 436 [2000]; *Banque Arabe*, 57 F3d at 151). Thus, where an assignment of fraud or other tort claims is intended in conjunction with the conveyance of a contract or note, there must be some language—although no specific words are required—that evinces that intent and effectuates the transfer of such rights (see *State of Cal. Pub. Employees' Retirement Sys.*, 95 NY2d at 432; *Tycon Tower I Inv. Ltd. Partnership*, 234 AD2d at 749; see also *Banque Arabe*, 57 F3d at 151-152; see generally *Leon v Martinez*, 84 NY2d 83, 88 [1994]). Without a valid assignment, “only the . . . assignor may rescind or sue for damages for fraud and deceit” because “the representations were made to it and it alone had the right to rely upon them” (*Nearpark Realty Corp. v City Inv. Co.*, 112 NYS2d 816, 817 [Sup Ct, NY County 1952]; see *Fox*, 157 App Div at 365-368; see also *Banque Arabe*, 57 F3d at 151; *Fraternity Fund Ltd. v Beacon Hill Asset Mgt., LLC*, 479 F Supp 2d 349, 373 [SD NY 2007]).

Our review of the record fails to reveal any proof of an assignment of fraud or, more generally, tort causes of action. Crucial to our analysis, Commerzbank concedes that there was no “explicit” assignment of DAF’s common-law fraud claims to Dresdner in connection with DAF’s sale of the notes. Rather, Commerzbank contends that the transfer of the notes was “unqualified” and, therefore, implicitly included claims related thereto. At its core then, Commerzbank’s argument amounts to little more than an assertion that, in the absence of language to the contrary, DAF’s tort claims necessarily transferred to Dresdner with the notes. However, this is contrary to the law in New York, which requires either some expressed intent or reference to tort causes of action, or some explicit language evidencing the parties’ intent to transfer broad and unlimited rights and claims, in order to effectuate such an assignment (*compare Banque Arabe*, 57 F3d at 152 [assignment of interest and rights in “transaction,” rather than contract, broad enough to encompass tort claims], *and International Design*, 486 F Supp 2d at 237 [assignment language expressly stated “without limitation”], *with State of Cal. Pub. Employees’ Retirement Sys.*, 95 NY2d at 435-436 [assignment of rights and interests arising out of loan documents and promissory note did not assign cause of action for malpractice against drafter of loan documents]).

The declarations of Williams and Shlissel are insufficient, as a matter of law, to demonstrate that the parties expressed an intent to and did, in fact, undertake an assignment of fraud claims in connection with the conveyance of the notes at the time of the sale. Williams and Shlissel averred only that DAF and Dresdner assumed that DAF’s rights and causes of action would transfer automatically with the note; neither declarant claimed that the assignment of tort claims was actually discussed or negotiated by the parties prior to or at the time of the transfer, or that the sale of the notes in any way referenced the simultaneous assignment of such claims. This deficiency is fatal to Commerzbank’s argument that it has standing (*see generally Wells v Shearson Lehman/American Express*, 72 NY2d 11, 24 [1988] [(u)ncommunicated subjective intent alone cannot create an issue of fact where otherwise there is none”]; *Property Asset Mgt., Inc. v Chicago Tit. Ins. Co., Inc.*, 173 F3d 84, 87 [2d Cir 1999]).

As Commerzbank points out, in *Banque Arabe* (57 F3d 146) and *International Design* (486 F Supp 2d 229) the Second

Circuit and District Court, respectively, took note of the circumstances surrounding the transfers in question when considering whether the parties assigned tort causes of action. However, these cases do not stand for the proposition that Commerzbank espouses—namely, that the surrounding circumstances can be sufficient, in the absence of any supporting language, to raise a question of fact regarding whether an assignment of tort claims was effected. In both *Banque Arabe* and *International Design*, the courts *first* concluded that the language of the assignment encompassed tort claims before reinforcing their conclusions by reference to the circumstances of the transaction (*see Banque Arabe*, 57 F3d at 152 [concluding that the “language in the Assignment alone is sufficient to demonstrate (the assignor’s) intent to transfer all of (its) rescission and fraud claims”]; *International Design*, 486 F Supp 2d at 236-237 [noting that “(t)he words of the assignment are of paramount importance” and that the assignment there expressly provided that it was “without limitation”]). By contrast, the only language used to convey the notes here is contained in the confirmation letter sent by Dresdner, which merely referred to the purchase of “each of the Cheyne Holdings,” and the declarations of Williams and Shlissel, which similarly fail to contain any assertion that the parties to the sale referenced or assigned tort causes of action.

In any event, the circumstances here would be insufficient to raise a question of fact as to whether DAF intended to assign to Dresdner potential fraud causes of action based on the ratings. Although Dresdner bought the Cheyne SIV notes after they were devalued, Commerzbank presented no evidence that the sale was in contemplation of DAF’s dissolution, as it was in *Banque Arabe* (*compare* 57 F3d at 152), and DAF was not terminated until a year after the sale (*compare International Design*, 486 F Supp 2d at 237 [assignor was a defunct entity at the time of the sale]). Nor would Dresdner’s purchase of the notes after they were devalued compel the conclusion that Dresdner must have intended to assume any potential fraud claims, particularly in light of Williams’ assertion that Dresdner purchased the notes “in order to ensure DAF’s compliance” with federal rules. Indeed, there is no indication that Dresdner and DAF were even aware, at the time of the sale, that any potential fraud claims existed (*see Fox*, 157 App Div at 369). Likewise, on this record, Dresdner’s purchase of the notes “at par” lends no support to Commerzbank’s position since the sale

price was mandated by federal rules (*see* 17 CFR 270.17a-9 [a]). Thus, the circumstances surrounding this transaction are plainly distinguishable from those in *Banque Arabe* and *International Design*, and Commerzbank's reliance on those cases is unavailing.

Because DAF's sale of the notes, in the conceded absence of any expression of a contemporaneous intent to transfer related tort claims to Dresdner, did not, under New York law, effectuate an assignment of the fraud claim Commerzbank now seeks to pursue, Commerzbank has failed to raise a question of fact concerning standing. Accordingly, the first certified question should be answered in the negative and the second certified question not answered as academic.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first certified question answered in the negative and second certified question not answered as academic.

[35 NE3d 827, 14 NYS3d 757]

ADAM L. WALTON, Appellant, v STRONG MEMORIAL HOSPITAL et al., Respondents.

Argued March 26, 2015; decided June 10, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 14, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (John M. Curran, J.), which had dismissed the complaint. The judgment was entered upon an order of that court (op 37 Misc 3d 539 [2012]) which had granted defendants' CPLR 3211 (a) (5) motion to dismiss plaintiff's complaint as time-barred.

Walton v Strong Mem. Hosp., 114 AD3d 1289, reversed.

HEADNOTE

**Limitation of Actions — Medical Malpractice — “Foreign Object”
Exception — Catheter Placed in Heart during Surgery**

A fragment from a catheter placed in plaintiff's heart during surgery for recording atrial pressure more than 22 years before it was discovered was a “foreign object” for purposes of the discovery rule under CPLR 214-a, which provides that where a medical malpractice action “is based upon the discovery of a foreign object in the body of the patient, [it] may be commenced within one year of the date of such discovery or of the date of discovery of facts which would reasonably lead to such discovery.” Under CPLR 214-a, the term “foreign object” does not include “a chemical compound, fixation device or prosthetic aid or device.” When deciding whether an item of medical paraphernalia is a foreign object, courts should consider the nature of the materials implanted in a patient, as well as their intended function. Items which are placed in the patient with the intention that they will remain to serve some continuing treatment purpose constitute fixation devices. Tangible items introduced into a patient's body solely to carry out or facilitate a surgical procedure are foreign objects if left behind. The catheters inserted in plaintiff's heart performed no securing or supporting role during or after surgery. Because the catheters were therefore not fixation devices, they were not categorically excluded from the foreign object exception in CPLR 214-a. Moreover, medical personnel did not intend in the first instance to leave any tubing in plaintiff's heart; rather, the catheter was introduced into plaintiff's body during an operation for an instrumental purpose.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Physicians, Surgeons, and Other Healers
§§ 303, 304.

CARMODY-WAIT 2d, Limitation of Actions §§ 13:325–13:327.

McKINNEY’S, CPLR 214-a.

NY JUR 2d, Limitations and Laches §§ 240, 241; NY JUR 2d, Malpractice §§ 261, 262.

SIEGEL, NY PRAC § 43.

ANNOTATION REFERENCE

Medical malpractice: applicability of “foreign object” exception in medical malpractice statutes of limitation. 50 ALR4th 250.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: foreign /2 object /s discover! /p catheter & fixation

POINTS OF COUNSEL

Magavern, Magavern & Grimm LLP, Buffalo (*Edward J. Markarian* of counsel), and *Brown Chiari LLP*, Lancaster (*James M. Mucklewee* of counsel), for appellant. I. Under the plain language of CPLR 214-a and the medical definition of “fixation device,” the polyvinyl catheter was a foreign object and not a fixation device because it did not fix or fixate anything, and the terms “intent” and “continuing treatment purpose,” which do not appear in CPLR 214-a, should not be read into the statute. (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *Rockefeller v Moront*, 81 NY2d 560; *Cooper v Edinbergh*, 75 AD2d 757; *Lombardi v DeLuca*, 130 AD2d 632, 71 NY2d 838; *People v Suber*, 19 NY3d 247; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207; *Sanders v Winship*, 57 NY2d 391; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 85 NY2d 1033; *Carmona v Lutheran Med. Ctr.*, 238 AD2d 535.) II. Defining “foreign object” and “fixation device” based on “intent” and “continuing treatment purpose” violates rules of statutory construction and defeats the policy goal of the statute. (*Rothstein v Tennessee Gas Pipeline Co.*, 87 NY2d 90; *Stettine v County of Suffolk*, 66 NY2d 354; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *Rockefeller v Moront*, 81 NY2d 560; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207; *People v Hobson*, 39 NY2d 479; *People v Suber*, 19 NY3d 247; *People v Rudolph*, 21 NY3d 497; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427.) III. Defendants’ attempt to distinguish *Norred v Teaver* (320 Ga App 508, 740 SE2d 251 [2013]) is

without merit. (*Rockefeller v Moront*, 81 NY2d 560; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207.) IV. Reading “intent” and “continuing treatment purpose” into the statute has produced unsatisfactory results. (*Carmona v Lutheran Med. Ctr.*, 238 AD2d 535; *Jacobs v University of Rochester*, 103 AD3d 1205; *Dunning v Minkowitz*, 18 Misc 3d 1125[A], 2008 NY Slip Op 50202[U]; *Newman v Keuhnelian*, 248 AD2d 258, 92 NY2d 804; *Perl v Meher*, 18 NY3d 208; *Balaskonis v HRH Constr. Corp.*, 1 AD3d 120.)

Martin Clearwater & Bell, LLP, New York City (*Barbara D. Goldberg, William P. Brady* and *Geri Beth Horenstein* of counsel), for respondents. I. The Court should adhere to its prior precedent and hold that the polyvinyl monitoring catheter was not a “foreign object,” but instead was a “fixation device,” because it was intentionally left in plaintiff’s body to serve a continuing medical function. (*Rockefeller v Moront*, 81 NY2d 560; *LaBarbera v New York Eye & Ear Infirmary*, 230 AD2d 303, 91 NY2d 207; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217; *Matter of Beary v City of Rye*, 44 NY2d 398; *Lombardi v DeLuca*, 71 NY2d 838; *Cooper v Edinbergh*, 75 AD2d 757; *Newman v Keuhnelian*, 248 AD2d 258, 92 NY2d 804; *Jacobs v University of Rochester*, 103 AD3d 1205.) II. Plaintiff’s reliance on *Norred v Teaver* (320 Ga App 508, 740 SE2d 251 [2013]) is unavailing. (*Rockefeller v Moront*, 81 NY2d 560; *LaBarbera v New York Eye & Ear Infirmary*, 230 AD2d 303, 91 NY2d 207; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217.) III. Plaintiff’s reliance on the medical and dictionary definition of “fixation device” and the tenets of statutory construction does not require this Court to overturn its prior precedent. (*Sanders v Winship*, 57 NY2d 391.) IV. Defining “foreign object” and “fixation device” based on “intent” and “continuing treatment purpose” does not defeat the policy objectives of the statute. (*Newman v Keuhnelian*, 248 AD2d 258.) V. Reading “intent” and continuing treatment purpose into the statute has not produced unsatisfactory results. (*Torres v Hyun Taik Cho*, 2011 NY Slip Op 31183[U]; *Carmona v Lutheran Med. Ctr.*, 238 AD2d 535.)

Wilson Elser Moskowitz Edelman & Dicker LLP, Albany (*James A. Shannon* of counsel), for Healthcare Association of New York State, Inc., amicus curiae. I. Plaintiff’s plain language test will dramatically expand the foreign object exception. (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427;

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Goldsmith v Howmedica, Inc., 67 NY2d 120; *Thornton v Roosevelt Hosp.*, 47 NY2d 780; *Matter of Beary v City of Rye*, 44 NY2d 398; *Weber v Scheer*, 58 AD2d 520; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207; *Rockefeller v Moront*, 81 NY2d 560; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212; *Cross v City of Syracuse*, 200 NY 393; *Murphy v St. Charles Hosp.*, 35 AD2d 64.) II. Plaintiff's plain language test will dramatically alter the classification of commonly used medical objects. (*Rockefeller v Moront*, 81 NY2d 560; *Ericson v Palleschi*, 23 AD3d 608; *Jacobs v University of Rochester*, 103 AD3d 1205; *Rodriguez v Manhattan Med. Group*, 77 NY2d 217.)

OPINION OF THE COURT

READ, J.

We are “present[ed with] yet another variation among a myriad of medical protocols, devices and procedures” (*LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207, 212 [1998]), and asked whether a fragment from a catheter that was placed in plaintiff Adam Walton's heart during surgery in 1986 is a foreign object for purposes of the discovery rule of CPLR 214-a. Considering the specific facts and circumstances alleged in this case in light of our precedents, we conclude that the fragment qualifies as a foreign object.

I.

Facts

On May 27, 1986, when plaintiff was three years old, he underwent surgery to correct a congenital heart malformation. The operation was performed at Strong Memorial Hospital in Rochester, New York. The operative note states that at the beginning of the surgery, after the incision was made, a “[p]olyvinyl catheter was placed within [plaintiff's] left atrium for recording atrial pressure.” The note further relates that, before plaintiff was released from the operating room to the surgical intensive care unit,

“[p]olyvinyl catheters were placed within [plaintiff's] left atrium and right atrium for recording atrial pressure. Myocardial pacing wires were placed upon the right atrium and right ventricle for pacing as indicated. Two pericardial drainage tubes were left[,] one anteriorly and one posteriorly. Hemostasis [i.e., stoppage of bleeding] was secured[, and] [t]he incision was closed”

On May 30, 1986, the third day after surgery, while plaintiff was still in the surgical intensive care unit, the catheters, pacing wires and drainage tubes were taken out of his body; the nursing progress notes state as follows: "OF NOTE: LA [i.e., left atrial] line possibly broke off with a portion remaining in pt. [patient], as it was being removed." Plaintiff was discharged from the hospital on June 7, 1986.

Fifteen years later, in April 2001, a pacemaker was inserted into plaintiff's heart; then, a year after that, in May 2002, he underwent surgery to replace a damaged heart valve with a porcine (pig) valve. The following year, on March 2, 2003, plaintiff suffered an embolic stroke; an echocardiogram performed the next day detected "small mobile filamentous masses" in plaintiff's heart, which were identified as possibly suture material, although clots could not be ruled out. Five and a half years later, on December 2, 2008, plaintiff, by then 25 years old, suffered a transient ischemic attack, his second that year. Accordingly, a decision was made to replace his pacemaker's battery, which was accomplished two days later.

The echocardiogram performed in conjunction with this last operation revealed "a regular-appearing left atrial foreign body." As a result, on December 18, 2008, plaintiff underwent exploratory surgery, and plastic tubing was discovered in his heart. The surgical pathology report states that the tissue submitted for analysis was labeled "left atrial line," and consisted of "a 10.2 cm in length x 0.1 cm in diameter brown catheter.^[1] Also received is a 2.0 x 0.1 cm tan catheter.^[2] At one of the catheter[s] is tan-white soft tissue adhered to the catheter." The pathologist's diagnosis was "foreign body, heart, excision: catheter; benign associated fibrous tissue with focal calcification."

By summons and complaint dated November 24, 2009, plaintiff commenced this action against defendants Strong Memorial Hospital, University of Rochester Medical Center, Children's Hospital at Strong and five named physicians (collectively, defendants). He alleged that, while treating him from May 26 to June 7, 1986, defendants negligently left a foreign body in his heart, which caused him to "suffer[] serious and permanent injuries," and that he "could not have reasonably discovered the presence of [this] foreign body prior to December

1. Ten centimeters is slightly less than four inches.

2. Two centimeters is slightly more than three quarters of an inch.

4, 2008.” In particular, plaintiff claimed that defendants negligently left a portion of an atrial catheter in the left and/or right atrium of his heart, which caused him to suffer a stroke and transient ischemic attacks, among other serious maladies.

By answers dated February 2, 2010, defendants asserted the statute of limitations as an affirmative defense, and by notice of motion dated March 14, 2012, they moved pursuant to CPLR 3211 (a) (5) to dismiss the complaint as time-barred. Defendants contended that this action should have been commenced by May 30, 1996, or 10 years after they had allegedly failed to remove the entire catheter, citing CPLR 208 (imposing a 10-year cap on the commencement of an infant’s medical malpractice action). Further, defendants contended, the foreign object exception for medical malpractice actions did not apply. This exception, codified in CPLR 214-a, provides that although a medical malpractice lawsuit must normally be brought within two years and six months of

“the act, omission or failure complained of[,] . . . where the action is based upon the discovery of a foreign object in the body of the patient, [it] may be commenced within one year of the date of such discovery or of the date of discovery of facts which would reasonably lead to such discovery, whichever is earlier. . . . For the purpose of this section the term ‘foreign object’ shall not include a chemical compound, fixation device or prosthetic aid or device.”

Although plaintiff sued within one year of discovery of the tubing, defendants took the position that the catheter was necessarily a fixation device, not a foreign object, because “[it] was **intentionally** placed inside the plaintiff during the operation and served a continuing medical purpose beyond the procedure itself.”

In opposition to the motion, plaintiff submitted the affidavit of a physician specializing in internal medicine and cardiovascular disease, who opined that the catheters were “placed to permit monitoring of arterial and venous pressures for management of fluid replacement, blood pressure, and prevention and/or treatment of congestive heart failure”; and “[had] no treatment function, but rather, simply serve[d] as a conduit for information from the cardiovascular system to a machine situated outside the body that is capable of analyzing that information and displaying the results on a monitor.” Accordingly,

plaintiff's expert concluded, the catheters were not "fixative device[s]," as that term is used in medicine," because they did not "secure body tissues one to another, or at least provide support to some structure within the body on either a permanent or temporary basis."

Supreme Court granted defendants' motion, and dismissed plaintiff's claims with prejudice (37 Misc 3d 539 [Sup Ct, Erie County 2012]). The judge rejected defendants' "fundamental argument" that "an object, irrespective of its nature or purpose, is always a 'fixation device' so long as it was intended to serve some continuing treatment purpose after the procedure in which it was placed in the body has concluded" (*id.* at 547-548). Supreme Court explained that

"[t]he catheter here does not fit the concept of a 'fixation device' under any commonly understood meaning or technical sense. It served no fixative or fixation purpose. Its nature is not one which closes or fixates anything within a patient's body. The affidavit from plaintiff's expert further confirms the futility of attempting to characterize this catheter as a 'fixation device'" (*id.* at 548).

The judge then considered whether the catheter, although not excluded as a fixation device, was a foreign object. Based on our decision in *LaBarbera*, he felt "compelled to conclude that the catheter . . . [was] not a 'foreign object' because, in the first instance, it was left in the plaintiff's body deliberately with a continuing medical purpose" (*id.* at 549).

The Appellate Division agreed the complaint was untimely and so unanimously affirmed, but employed slightly different reasoning (114 AD3d 1289, 1290 [4th Dept 2014]). The Court concluded that, in light of our decisions in *Rockefeller v Moront* (81 NY2d 560 [1993]) and *LaBarbera*, the catheter, which was deliberately inserted into plaintiff's heart to monitor atrial pressure, was a fixation device within the meaning of the statute. We granted plaintiff leave to appeal (23 NY3d 903 [2014]), and now reverse.

II.

Background

Flanagan

In *Flanagan v Mount Eden Gen. Hosp.* (24 NY2d 427 [1969]), the doctor inserted surgical clamps in the body of plaintiff

Josephine Flanagan (Flanagan) during the course of gall bladder surgery in 1958. Eight years later, in 1966, after experiencing severe abdominal pain, Flanagan consulted another physician, who discovered by X-ray analysis that the clamps remained in her body. They were surgically removed, and shortly thereafter, Flanagan brought a medical malpractice action against the hospital and the estate of the doctor who had operated on her.

The defendants moved to dismiss the complaint as untimely, Supreme Court granted the motion and the Appellate Division affirmed (29 AD2d 920 [1st Dept 1968]). Deviating from our reluctance to create common-law exceptions to a statute of limitations (*see Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212 [1963] [the plaintiff's cause of action accrued when the harmful chemical was injected into his body, not when its deleterious effects were discovered 15 years later], *cert denied* 374 US 808 [1963]; *Conklin v Draper*, 229 App Div 227 [1st Dept 1930] [the statute of limitations began to run when arterial forceps were left in the plaintiff's abdomen during surgery, not when the malpractice was discovered more than two years afterwards], *affd* 254 NY 620 [1930]), we reversed. We held that "where a foreign object has negligently been left in the patient's body, the Statute of Limitations will not begin to run until the patient could have reasonably discovered the malpractice" (*Flanagan*, 24 NY2d at 431).

We commented that at the time *Conklin* was decided, "no other jurisdiction had a contrary rule" (*id.* at 430), and reasoned that cases like *Schwartz*, which involved negligent medical treatment and medication, were fundamentally different from those where a foreign object is left in a patient's body; specifically, "[i]n the latter[,] no claim can be made that the patient's action may be feigned or frivolous . . . [and] there is no possible causal break between the negligence of the doctor or hospital and the patient's injury" (*id.*). Further, this species of alleged malpractice "does not raise questions as to credibility . . . [or] rest on professional diagnostic judgment or discretion"; and a foreign object like a clamp "retains its identity so that a defendant's ability to defend a 'stale' claim is not unduly impaired" (*id.* at 431).

Lower Court Decisions after *Flanagan*

Subsequent to our decision in *Flanagan*, plaintiffs quite naturally pushed for expansion of this new precedent, and a

number of courts obliged. For example, in *Dobbins v Clifford* (39 AD2d 1 [4th Dept 1972]), the Appellate Division applied a discovery rule in an action involving an operation performed in 1966 to remove the plaintiff's spleen, which resulted in damage to his pancreas not apparent until 1970. Although this fact pattern did not involve a foreign object by any stretch of the imagination, the court determined that "the *rationale* in *Flanagan*" (*id.* at 3 [emphasis added]) called for the statute of limitations to run from the plaintiff's discovery of the cause of his injuries rather than the date of the alleged malpractice because

"the same fundamental factors are present . . . [; namely,] an act of malpractice committed internally so that discovery is difficult; real evidence of the malpractice in the form of the hospital record . . . available at the time of suit; professional diagnostic judgment is not involved[;] and there is no danger of false claims" (*id.* at 3-4; see William Samore & Robert J. Tymann, 1972 Survey of New York Law, *Torts*, 24 Syracuse L Rev 551, 560 [1973] [noting that "(t)he importance of (*Dobbins*) lies in its expansive extension of prior case law. It is obvious that the 'foreign object' category was not originally intended to include damaged organs"]).

Similarly, in an earlier case, *Murphy v St. Charles Hosp.* (35 AD2d 64 [2d Dept 1970]), the Appellate Division applied *Flanagan* to save an otherwise time-barred action involving a prosthesis surgically inserted into the plaintiff's hip and femur in 1963. The prosthesis broke in 1967, forcing the plaintiff to undergo surgery for removal of the fragmented and displaced appliance. The Court concluded that the foreign object in *Flanagan* was "akin to the prosthesis [in *Murphy*] . . . since both involve the surgical insertion of a medical device . . . [and] there is the same minimization of prejudice to a defendant in the preparation of his case because of the availability and identifiability of the real evidence involved" (*id.* at 67; but see *Schiffman v Hospital for Joint Diseases*, 36 AD2d 31 [2d Dept 1971] [declining to extend *Flanagan* or apply *Murphy* to a case where the plaintiff alleged the misreading of biopsy slides], *lv denied* 29 NY2d 483 [1971]). Additionally, *Flanagan* was extended by a court to a case where the plaintiff sought damages allegedly caused by exposure to a defective isotope (see *Le Vine v Isoserve, Inc.*, 70 Misc 2d 747 [Sup Ct, Albany County 1972]; but see *Fonda v Paulsen*, 79 Misc 2d 936, 939, 940 [Sup

Ct, Albany County 1974] [declining to adopt the “plaintiffs’ interesting and novel theory that negligently undetected cancer (was) a ‘foreign body’ within the purview of *Flanagan*” because “(t)he Court of Appeals specifically . . . failed to adopt a broad discovery test . . . for all malpractice cases regardless of whether a foreign object (was) involved”], *revd on other grounds* 46 AD2d 540 [3d Dept 1975]).

The Adoption of CPLR 214-a

In 1975, Governor Hugh L. Carey proposed and the legislature enacted CPLR 214-a, one of a number of reforms aimed at making medical malpractice insurance more affordable in New York State (*see generally* L 1975, ch 109). CPLR 214-a, in combination with an amendment to CPLR 214 (6), reduced the statute of limitations for medical malpractice actions from three years to two years and six months, and also continued, but sought to curtail, *Flanagan*’s discovery rule for foreign objects.³ In his Program Bill Memorandum, the Governor explained that although

“the Court of Appeals sought to make it emphatically clear that its decision [in *Flanagan*] should be limited to foreign objects and should not become a ‘discovery’ rule . . . , intermediate appellate courts rapidly sought to broaden it into a ‘discovery rule.’ For example, they applied [*Flanagan*] to instances where fixation devices were inserted in a patient’s body for the purpose of treatment and to chemicals introduced in the body for the purpose of treatment. The most damaging expansion was to a situation where nothing was introduced into the patient’s body but malpractice occurred in that while treating one organ the doctor caused damage to another.⁽⁴⁾ It is obvious that this latter extension has a potential of bringing virtually all medical malprac-

3. CPLR 214-a also continued the “continuous treatment” doctrine that we embraced in *Borgia v City of New York* (12 NY2d 151 [1962]), but sought to prevent manipulation of the date when the statute of limitations began to run; specifically, section 214-a provides that “[f]or the purpose of this section the term ‘continuous treatment’ shall not include examinations undertaken at the request of the patient for the sole purpose of ascertaining the state of the patient’s condition.”

4. The Governor’s Program Bill Memorandum is obviously referring to *Dobbins* here, and CPLR 214-a’s exclusion of “prosthetic aid[s] or device[s]” is presumably intended to abrogate *Murphy*. Appellate cases that were decided

(n. cont’d)

tice cases under the discovery rule. This measure would correct these abuses by limiting the discovery statute to ‘foreign objects’ and specifically excluding therefrom chemical compounds, fixation devices and prosthetic devices” (Governor’s Program Bill Mem at 4, Bill Jacket, L 1975, ch 109).⁵

CPLR 214-a took effect on July 1, 1975. We first discussed the new statute in *Matter of Beary v City of Rye* (44 NY2d 398 [1978]), which consolidated for appeal five separate tort claims. There, we reversed *Matter of Smalls v New York City Health & Hosps. Corp.* (55 AD2d 537 [1st Dept 1976] [lesion caused by a cervical myelogram allegedly negligently performed in 1973]) and *Merced v New York City Health & Hosps. Corp.* (56 AD2d 553 [1st Dept 1977] [allegedly negligent failure to suture a fallopian tube during a sterilization operation in 1971]). In both cases, the Appellate Division had determined that the plaintiffs’ notices of claim were timely filed by extrapolating from *Flanagan’s* rationale to justify a discovery rule. With reference to the plaintiff in *Merced*, we observed that although she

“advance[d] the argument . . . that considerations similar to those which motivated the [C]ourt in *Flanagan* should be applied with like effect to the far different circumstances in her case . . . [,] the enactment of CPLR 214-a . . . clearly interdicted the extension of the ‘foreign object’ exception By expressly prohibiting the inclusion of chemical compounds, fixation devices and prosthetic aids from the embrace of the term ‘foreign object’ and by limiting the time within which an action based on the presence of such an object in the body of a patient may be commenced to one year from the date of its discovery, the Legislature left us no room but to conclude that it intended that *Flanagan* not be broadened beyond its existing confines” (44 NY2d at 414-415 [emphases added]; see also *Thornton v Roosevelt Hosp.*, 47 NY2d 780 [1979] [refusing to extend *Flanagan* to a strict products liability

before 1975 and extended *Flanagan* to create a discovery rule for fixation devices and chemical compounds are not so easy to identify.

5. The Governor’s proposed bill also included a six-year outside limit to an exception from the basic statute of limitations for medical malpractice lawsuits. The legislature did not endorse this approach.

claim]; *Goldsmith v Howmedica, Inc.*, 67 NY2d 120, 123 [1986] [holding that the general time-of-commission accrual rule applies in a medical malpractice action brought against a physician who implanted a prosthetic device that malfunctioned eight years after surgery]).

The IUD Cases in the Lower Courts and *Rodriguez*

After CPLR 214-a's enactment, a number of cases arose addressing whether intrauterine devices (IUDs) were foreign bodies. IUDs are plastic or metal objects that are inserted into a woman's uterus to prevent pregnancy, and the placement of an IUD is a nonsurgical intervention. In the most common fact pattern resulting in litigation, a doctor inserted an IUD into a plaintiff's womb without detecting and removing a previously placed IUD. In the earliest of the reported cases, Supreme Court agreed with the defendant that an IUD was a fixation device because it was "fixed within the woman's body," but held that "when the second IUD was placed in the plaintiff's body the first IUD became, or took on the character of, a 'foreign object' because it then had no function to perform, no longer belonged in the body, and should have been removed as expected by the patient" (*Darragh v County of Nassau*, 91 Misc 2d 53, 54-55 [Sup Ct, Nassau County 1977], *affd* 63 AD2d 1010 [2d Dept 1978]; *see also Ooft v City of New York*, 80 AD2d 888 [2d Dept 1981] [same]; *Sternberg v Gardstein*, 120 AD2d 93 [2d Dept 1986] [an IUD became a foreign object when not removed, as intended and agreed upon, during an operation involving an abortion and tubal ligation sterilization]; *cf. Szakalski v Aubry*, 148 AD2d 972 [4th Dept 1989] [holding that an IUD contained within a surgically removed pelvic mass was a fixation device, and not reaching the plaintiff's argument that the IUD was "transformed" from a fixation device into a foreign object when she was erroneously advised that the IUD had probably been expelled]).

The issue finally reached us in *Rodriguez v Manhattan Med. Group* (77 NY2d 217 [1990]). Plaintiff Evelyn Rodriguez (Rodriguez) had an IUD inserted in her uterus in 1980; two years later, when she and her husband decided to start a family, she visited a doctor to have the IUD removed. The doctor examined Rodriguez and could not locate the IUD; he then ordered X rays of Rodriguez's lower abdomen, which did not show the IUD. He therefore advised Rodriguez that she could attempt to

conceive without any medical intervention. By the spring of 1986, Rodriguez, who had not become pregnant in the meantime, was experiencing heavy vaginal bleeding, leading her to consult another doctor. This physician ordered a sonogram, which revealed that the IUD inserted in 1980 was embedded in the uterine wall. The IUD had to be removed surgically.

Rodriguez and her husband then sued the doctor who examined her in 1982 and his employer, claiming that the doctor had acted negligently in failing to locate the IUD. The defendants interposed the statute of limitations as an affirmative defense, and the plaintiffs responded that the limitations period did not begin to run until the IUD's discovery in Rodriguez's body in 1986. Holding that the IUD was a fixation device and therefore not a foreign object within the meaning of section 214-a, Supreme Court dismissed the complaint, and the Appellate Division, with two Justices dissenting, affirmed (155 AD2d 114 [1st Dept 1990]).

The plaintiffs took the position that although the IUD was a fixation device when originally implanted in Rodriguez's body, the IUD *became* a foreign object once the doctor left it in place after Rodriguez specifically directed him to remove it.⁶

We disagreed with the "notion of a transformation in a 'fixation device's' character resulting from a physician's postinsertion negligence[, which was] evidently derived from a legal theory pertaining to undetected and unremoved I.U.D.s" popular in some lower courts (77 NY2d at 222 [citing *Sternberg*, *Ooft* and *Darragh*, among other cases and commentary]).

Summing up, we observed that the plaintiffs' theory was "flawed" because it disregarded *Flanagan's* "context"; specifically, in *Flanagan*,

"the patient was suing the practitioners who had actually left the surgical clamps in her body and the focus of her claim was that very act. Here, . . . there is no claim against the physician who actually inserted the I.U.D.; instead, [the] plaintiffs are seeking recovery from a different treating physician on the theory that his treatment of [Rodriguez] *in connection with* the previously inserted

6. Because of the way the plaintiffs argued *Rodriguez*, we had no occasion to discuss whether or why an IUD is a fixation device within the meaning of CPLR 214-a.

I.U.D. was negligent. . . . Indeed, the gist of [the] plaintiffs' claim, i.e., a negligent failure to detect the continued presence of a previously inserted device, is most logically classified as one involving misdiagnosis—a category for which the benefits of the 'foreign object' discovery rule have routinely been denied" (*id.* at 222-223 [citations omitted]).

Finally, we noted that the "special analytical factors . . . deemed significant in *Flanagan*" cut against a discovery rule and that, in any event, the legislature's adoption of CPLR 214-a "preclude[d] our adoption of a more flexible discovery rule for these [IUD] cases even if considerations similar to those which motivated the [C]ourt in *Flanagan* [c]ould be applied with like effect" (*id.* at 223-224 [internal quotation marks omitted]).

Rockefeller

We next grappled with the foreign object exception in *Rockefeller*, where a suture was affixed to an organ (the vas deferens) not properly involved in the hernia repair surgery that plaintiff Mark Rockefeller (Rockefeller) underwent in 1971 as a four-year-old child. The error was discovered in 1989, when Rockefeller and his wife sought to ascertain if there was a medical reason why she was unable to become pregnant. After an attempt to repair the damage to the vas deferens proved unsuccessful, Rockefeller and his wife brought an action for medical malpractice against the doctor responsible for the suture and the hospital where he performed the hernia operation. Supreme Court rejected the defendants' motions to dismiss on statute-of-limitations grounds, holding that the suture was a foreign object; the Appellate Division, with two Justices dissenting, agreed (182 AD2d 160 [3d Dept 1992]). The defendants appealed.

Because the alleged malpractice occurred before CPLR 214-a took effect, the timeliness of Rockefeller's lawsuit was governed by the three-year limitations period in former CPLR 214 (6) and decisions interpreting the foreign object exception as articulated in *Flanagan*. Additionally, since Rockefeller was an infant when the alleged malpractice occurred, he was entitled to the benefit of the infancy toll in CPLR 208 as it existed prior to July 1, 1975. Ultimately, though, the timeliness of his action

turned entirely on whether the suture was a foreign object (*see Rockefeller*, 81 NY2d at 564 n 2).⁷

We observed that when deciding whether an item of medical paraphernalia is a foreign object,

“the courts should consider the nature of the materials implanted in a patient, as well as their intended function. Objects such as surgical clamps, scalpels, and sponges are introduced into the patient’s body to serve a temporary medical function for the duration of the surgery, but are normally intended to be removed after the procedure’s completion. . . . By contrast, items which are placed in the patient with the intention that they will remain to serve some continuing treatment purpose constitute ‘fixation devices’” (*id.* at 564).

In support of the proposition that the courts considered fixation devices in general and sutures in particular to have been “exempt from coverage under the judicially created ‘foreign object’ rule prior to enactment of CPLR 214-a” (*id.*), we cited *Lombardi v DeLuca* (71 NY2d 838 [1988], *affg* 130 AD2d 632, 632 [2d Dept 1987] [“A fixation device, in this case, suture material, intentionally placed in the body and not left there in the course of some later procedure in which it should have been removed, does not constitute a ‘foreign object’”]). *Lombardi* addressed sutures placed in plaintiff Mildred Lombardi’s abdomen during an operation performed in 1966, remnants of which were discovered during exploratory surgery in October 1975.

7. In a related context, we have held that the maximum 10-year extension of the statute of limitations which CPLR 208, *as amended* in 1975, imposes on infants in medical malpractice actions runs from the initial negligent act, not from the end of any period of subsequent continuous treatment (*see Matter of Daniel J. v New York City Health & Hosps. Corp.*, 77 NY2d 630 [1991]; *see also McDermott v Torre*, 56 NY2d 399 [1982]; *Infancy Toll’s 10-Year Cut-Off Not Extended by “Continuous Treatment” Doctrine*, David D. Siegel, NY St L Dig No. 378 at 2 [June 1991]). Here, defendants asserted that, by virtue of CPLR 208, the statute of limitations lapsed 10 years after the catheter fragment was allegedly left in plaintiff’s heart; however, they apparently never contended (and surely did not argue on appeal to us) that plaintiff’s claim was untimely *even if* the catheter was a foreign object because the discovery exception, instead of postponing accrual, merely tolled the statute of limitations. Accordingly, we have no occasion to consider and express no opinion about the interplay of CPLR 208 and CPLR 214-a in a case involving a foreign object left in an infant after surgery and discovered more than 10 years later.

Analogizing to *Rodriguez*, we concluded that

“a claim based on a medical professional’s deliberate implantation of a ‘fixation device’ [here, sutures] in the wrong place does not transform it into a foreign object. Such a claim is more readily characterized as one predicated on negligent medical treatment, which, like misdiagnosis, is a category of malpractice not covered by the ‘foreign object’ rule” (81 NY2d at 565).

Stated slightly differently, Rockefeller’s claim was “more accurately characterized as a challenge to [the doctor’s] medical judgment and treatment—i.e., his placement of the suture—and not as one predicated on [his] failure to remove medical material that should have been extracted at the close of the operation” (*id.* at 566). Obviously (if obliquely) referring to the legislative purpose animating CPLR 214-a, we reiterated the importance of restricting the foreign object exception to “the narrow confines announced in *Flanagan*,” and pointed out that “only in circumstances where a foreign object is negligently ‘left’ in the patient’s body without any intended continuing treatment purpose will the discovery rule be available to delay the running of the Statute of Limitations” (*id.*).

LaBarbera

In May 1986, plaintiff Peter LaBarbera (LaBarbera) underwent a procedure described in the operative record as “total nasal reconstruction with placement of silastic stents.” During the surgery, the doctor placed a two centimeter by six centimeter silastic stent, described as a device made of biologically inert, implantable material, in LaBarbera’s left nasal cavity and sutured the stent in place; he then packed the area with gauze. Within two weeks following surgery, the doctor removed the gauze, but left the stent. In the ensuing months, LaBarbera suffered from dizziness and voiced persistent nasal and respiratory complaints. He claimed that the doctor who performed the nasal reconstruction had misdiagnosed the cause of these ailments and erroneously treated him for allergies. In October 1992, LaBarbera alleged, the stent was discovered and determined to be the cause of his symptoms; it was surgically removed the next month.

LaBarbera brought suit against the doctor who had implanted the stent and the hospital where the operation had been performed. His expert opined that the stent should have

been removed about 10 days after surgery, when it “no longer function[ed] to maintain a bodily structure.”⁸ Both parties’ experts agreed that the stent was a fixation device because it had been intentionally placed in LaBarbera’s nose “to provide support for the internal structures of the nose that were the subject of the operation and to prevent scarring” (the defendant doctor’s expert); and/or as “a part of the medical procedure . . . used to maintain a bodily structure” (LaBarbera’s expert).

Supreme Court dismissed the action as untimely, concluding that the nasal stent was a fixation device; the Appellate Division, with one Justice dissenting, agreed (230 AD2d 303 [1st Dept 1997]). The dissenting Justice considered the stent to be a foreign object “based on a physician’s failure to make certain that all temporary holding devices—clamps, temporary stents, and others—have been removed from the body at the close of a single—albeit several-stage—medical proceeding” (*id.* at 311 [Murphy, P.J., dissenting]).

We characterized the issue presented by LaBarbera’s appeal as “whether a plastic stent, placed in [LaBarbera’s] nose for postsurgery healing purposes, constitutes a ‘foreign object’ that would avoid the bar of the statute of repose” (91 NY2d at 208). We concluded that the stent was not a foreign object based on “the same dispositional criterion used in *Rockefeller*—intentional insertion of a therapeutic item for postsurgery continuing treatment purposes,” whereas a foreign object is “‘negligently ‘left’ in the patient’s body without any intended continuing treatment purpose’ ” (*id.* at 212, quoting *Rockefeller*, 81 NY2d at 566, citing McLaughlin, Practice Commentaries, McKinney’s Cons Laws of NY, Book 7B, CPLR C214-a:3 at 603 [1990 ed] [(i)t has become relatively clear that a foreign object is one that the doctor does not intend to leave inside the body”). Here, we concluded, the stent was not “‘left’ ” in LaBarbera’s nose; “[r]ather, it was put there only to be removed

8. In his answer to the complaint, the defendant doctor denied LaBarbera’s allegation that the “the foreign body [i.e., the implanted silastic stent] should have been removed within several days after the procedure.” Moreover, the defendant doctor’s expert said nothing about whether or under what circumstances the sutured-in stent should have been taken out of LaBarbera’s nose. He stated simply that “[i]t is intended that the stent remain in the patient’s nose after surgery is completed to serve a continuing treatment purpose.”

after it had served its *postsurgery healing purposes*. . . . [T]he key feature is the uncontroverted protocol of insertion as part of a continuing treatment modality” (*id.* at 212-213 [emphasis added]). Accordingly, we disagreed with both LaBarbera’s theory that “the relatively short and ordinarily definite nature of the stent’s time in the nose should allow it to be treated as a ‘foreign object,’ ” and the “‘multistage procedure’ exception (i.e., that the surgical procedure continued until the packing was removed)” advanced by the dissenting Justice of the Appellate Division (*id.* at 213).

III.

Analysis

Several general principles may be distilled from our cases considering the foreign object exception: (1) tangible items (clamps, scalpels, sponges, etc.) introduced into a patient’s body solely to carry out or facilitate a surgical procedure are foreign objects if left behind (*Flanagan* and dicta in *Rockefeller* and *LaBarbera*); (2) the alleged failure to timely remove a fixation device does not transform it into a foreign object (*Rodriguez* and *LaBarbera*); (3) nor does a fixation device become a foreign object if inserted in the wrong place in the body (*Rockefeller*); (4) failure to timely remove a fixation device is generally akin to misdiagnosis (*Rodriguez*), and improper placement of a fixation device is most readily characterized as negligent medical treatment (*Rockefeller*); and (5) the legislature, in enacting CPLR 214-a, directed the courts not to exploit the rationale supporting *Flanagan* to expand the discovery exception for foreign objects beyond the rare *Flanagan* fact pattern, and explicitly commanded that chemical compounds, fixation devices and prosthetic aids or devices are never to be classified as foreign objects (*Beary [Merced]*, *Rodriguez*, *Rockefeller*, *LaBarbera* and the legislative history of CPLR 214-a).

As discussed, most of our post-*Flanagan* cases have dealt with ultimately unsuccessful attempts by plaintiffs to circumvent the exclusion of conceded or obvious fixation devices from the foreign object exception/tolling provision of CPLR 214-a. Not surprisingly, then, defendants in this case advocate a very expansive definition of a fixation device, intended to sweep in the catheter placed in the left atrium of plaintiff’s heart during surgery and allegedly incompletely removed three days later while he was being cared for in the surgical intensive care

unit. Specifically, defendants interpret *Rockefeller* and *LaBarbera* to hold that

“any device that is intentionally left in a patient’s body for purposes of continuing treatment is a ‘fixation device,’ and not a ‘foreign object,’ [because] . . . [t]he appropriate focus should not be on the specific function that a device was intended to perform, but whether the device was intentionally inserted as part of a continuing treatment modality.”

We specifically stated in *Rockefeller*, though, that “[i]n determining whether an object which remains in the patient constitutes a ‘foreign object,’ the courts should consider the nature of the materials implanted in a patient, *as well as their intended function*” (81 NY2d at 564 [emphasis added]). The suture in *Rockefeller* and the nasal stent in *LaBarbera* were undeniably fixation devices—the suture performed a securing function and the stent, a supporting function. Because the suture and the stent were fixation devices, they were intentionally placed for a continuing treatment purpose. In short, every fixation device is intentionally placed for a continuing (even if temporary) treatment purpose, but it does not follow that everything that is intentionally placed for a continuing treatment purpose is a fixation device. Otherwise, there would have been no reason for the legislature to separately identify and exclude prosthetic aids or devices from the ambit of the foreign object exception, because prosthetic aids or devices are also intentionally placed to serve a continuing medical purpose. Defendants’ overly-broad proposed definition of a fixation device divorces statements in *Rockefeller* and *LaBarbera* from their context.

Here, the catheter inserted in the left atrium of plaintiff’s heart performed no securing or supporting role during or after surgery. As explained by plaintiff’s expert, and uncontroverted by defendants, the catheters functioned like a sentinel, allowing medical personnel to monitor atrial pressure so that they might take corrective measures as required; the catheters were, in the words of plaintiff’s expert, “a conduit for information from [plaintiff’s] cardiovascular system.” Because the catheters under the facts of this case are therefore not fixation devices (or chemical compounds or prosthetic aids or devices), they are not categorically excluded from the foreign object exception in CPLR 214-a.

The question then becomes whether the catheters are analogous to tangible items like the clamps in *Flanagan* or other surgical paraphernalia (e.g., scalpels, sponges, drains) likewise introduced into a patient's body solely to carry out or facilitate a surgical procedure. We conclude that they are, although we recognize that factual differences exist between this case and *Flanagan*.

First, the clamps in *Flanagan* were inadvertently left behind at the conclusion of the surgery, before the plaintiff left the operating room. Here, a catheter fragment was allegedly allowed to remain in plaintiff's heart when medical personnel removed the catheters, drainage tubes and pacing wires, which were placed in plaintiff's body during surgery. This occurred three days following surgery while plaintiff was being cared for in the hospital's surgical intensive care unit. Second, the doctor in *Flanagan* apparently forgot to retrieve the clamps before closing the patient's incision. In this case, by contrast, the catheter was not forgotten; instead, its removal was allegedly botched. Thus, medical personnel did not intend in the first instance to leave any tubing in plaintiff's heart, although it is presumably possible (there is no way to tell from the nursing progress notes) that a judgment was made that any catheter fragment left behind was too inconsequential to present a significant risk, or that plaintiff's condition was too fragile to tolerate exploratory or retrieval efforts, at least at that juncture.

These particular variations on the *Flanagan* fact pattern do not, in our view, make this case meaningfully different or expand the foreign object exception beyond its legislatively-limited scope. Like the clamps in *Flanagan*, the catheter was introduced into plaintiff's body during an operation for an instrumental purpose. Unlike the clamps, the catheter remained in plaintiff's body for a few days after surgery, but not for "postsurgery healing purposes" as was the case with the nasal stent in *LaBarbera* (91 NY2d at 212). Instead, the catheter served a monitoring function. Leaving the catheter in plaintiff's body post-surgery did not convert a surgical aid into a fixation device any more than leaving the IUD in Evelyn Rodriguez's body converted a fixation device into a foreign body. The "nature of the materials" and their "intended function" remained constant in both cases (*Rockefeller*, 81 NY2d at 564). And the fragment, of course, served no purpose whatsoever; it certainly was not a fixation device, however defined. Funda-

mentally, if the facts are as alleged, plaintiff—like Josephine Flanagan—left the hospital after an operation with therapeutically useless and potentially dangerous surgical paraphernalia lodged in his body.

Accordingly, the order of the Appellate Division should be reversed, with costs, and defendants' motion to dismiss the complaint as time-barred denied.

Chief Judge LIPPMAN and Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order reversed, with costs, and respondents' motion to dismiss the complaint as time-barred denied.

[35 NE3d 845, 14 NYS3d 775]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEAN
PACQUETTE, Appellant.

Argued June 4, 2015; decided June 30, 2015

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 3, 2013. The Appellate Division affirmed a judgment of the Supreme Court, New York County (A. Kirke Bartley, J.), which had convicted defendant, upon a jury verdict, of criminal sale of a controlled substance in the third degree.

People v Pacquette, 112 AD3d 405, affirmed.

HEADNOTES

Crimes — Disclosure — Notice of Intention to Offer Evidence — Pretrial Identification of Defendant

1. In a prosecution for criminal sale of a controlled substance in the third degree arising after defendant sold crack cocaine to an undercover police officer, the People were required by CPL 710.30 to give defendant pretrial notice of their intention to offer at trial the testimony of a detective who surveyed the drug transaction and, after defendant was apprehended and arrested, identified defendant as the person he had observed with the undercover officer. The detective's surveillance of defendant did not constitute an observation of him that was so clear that the identification could not be mistaken, thereby obviating the risk of undue suggestiveness. When the People intend to offer at trial "testimony regarding an observation of the defendant either at the time or place of the commission of the offense or upon some other occasion relevant to the case, to be given by a witness who has previously identified him as such," the statute requires them to notify the defense of such intention within 15 days after arraignment and before trial (CPL 710.30 [1] [b]). The statute was a legislative response to the problem of suggestive and misleading pretrial identification procedures, and it contemplates pretrial resolution of the admissibility of identification testimony where it is alleged that an improper procedure occurred. As the People here failed to abide by the statutory notice requirement, the trial court erred in allowing the detective to testify at trial relative to his identification of defendant.

Crimes — Harmless and Prejudicial Error — Failure to Give Notice of Intention to Offer Evidence — Pretrial Identification of Defendant

2. In a prosecution for criminal sale of a controlled substance in the third degree arising after defendant sold crack cocaine to an undercover police officer, the trial court committed harmless error in allowing the People, who had provided CPL 710.30 notice with respect to the pretrial identification of defendant by the undercover officer but not the detective who surveyed the drug transaction and confirmed with the arresting officer that defendant was

the person he had observed with the undercover officer, to offer the detective's identification testimony at trial. Even in the absence of the detective's identification testimony, the evidence at trial overwhelmingly established that defendant was the seller. The undercover officer, an experienced narcotics detective who engaged in a face-to-face transaction with defendant, unequivocally identified defendant as the seller. Moreover, defendant was arrested just minutes after the transaction, and the prerecorded buy money that had been used by the undercover officer to purchase the drugs was found on defendant's person. Finally, defendant's flight from police officers evinced a consciousness of guilt. Under the circumstances, the detective's testimony was merely cumulative, and its admission could not have contributed to defendant's conviction.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 665, 666; AM JUR 2d, Evidence § 1399.

CARMODY-WAIT 2d, Pretrial Notice §§ 188:52–188:56;
CARMODY-WAIT 2d, Appeals in Criminal Cases
§§ 207:117, 207:119.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 27.6.

McKINNEY'S, CPL 710.30 (1) (b).

NY JUR 2d, Criminal Law: Procedure §§ 1777, 1780, 3569–3574.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Description and Identification; Harmless and Prejudicial Error.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: intent! /3 offer /s identif! /s noti! /p harmless

POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Carl S. Kaplan of counsel), for appellant. The prosecution's failure in this buy-and-bust case to provide CPL 710.30 notice of the pretrial police-arranged identification of appellant by a "foot apprehension officer," i.e., a field team officer other than the undercover purchasing officer, requires the preclusion of his identification testimony because the *Wharton* confirmatory identification exception to the notice requirement does not apply where, as here, the officer initially viewed the perpetrator fleetingly and at a distance across the street, at night, and lost sight of him for 10 to 15 minutes before the subsequent

showup identification. (*People v Boyer*, 6 NY3d 427; *People v Newball*, 76 NY2d 587; *People v Bernier*, 73 NY2d 1006; *People v Vasquez*, 20 NY3d 461; *People v O'Doherty*, 70 NY2d 479; *Gilbert v California*, 388 US 263; *United States v Wade*, 388 US 218; *Stovall v Denno*, 388 US 293; *People v Gissendanner*, 48 NY2d 543; *People v Rodriguez*, 79 NY2d 445.)

Cyrus R. Vance, Jr., District Attorney, New York City (Brian R. Pouliot and Martin J. Foncello of counsel), for respondent. Detective Vanacore's confirmatory identification of defendant was properly admitted at trial. (*United States v Wade*, 388 US 218; *People v Wharton*, 74 NY2d 921; *People v Roberts*, 79 NY2d 964; *People v Gordon*, 76 NY2d 595; *People v Newball*, 76 NY2d 587; *People v Mato*, 83 NY2d 406; *People v Carter*, 66 AD3d 529; *People v Polanco*, 179 AD2d 531; *People v Hatcher*, 209 AD2d 639; *People v Allen*, 162 AD2d 538.)

OPINION OF THE COURT

FIGOTT, J.

This appeal requires us to decide whether the People may be excused from their statutory requirement to notify a defendant, within 15 days of his arraignment, of their intention to offer at trial the testimony of a police officer who had previously identified him during a pretrial procedure (*see* CPL 710.30). We hold that the People were required to abide by the statutory notice requirement and therefore the court erred in allowing the officer to testify at trial relative to his identification of defendant. However, we find such error harmless.

I.

On May 17, 2007, at 12:45 a.m., police officers from the Manhattan South Narcotics Division were conducting a coordinated drug enforcement effort in the vicinity of Washington Square Park. Pursuant to this assignment, an undercover officer equipped with \$200 in prerecorded buy money purchased crack cocaine from a man present at the corner of West 4th Street and Sixth Avenue. An additional officer, Detective Vanacore, who was surveying the transaction from his vantage point across the street (approximately 40 feet away), communicated his observations to a backup unit.

Upon completion of the sale, Detective Vanacore communicated with the backup unit, indicating that the drug transaction was complete and identifying the seller as a "male black who was tall, wore a light-colored hooded sweatshirt and

a dark baseball hat.” Within minutes, the backup unit approached the site of the transaction and the subject fled. Detective Vanacore left the scene in order to assist in the apprehension of an additional suspect. Defendant was subsequently arrested by the backup unit. Upon return to his original post, Detective Vanacore observed defendant in the custody of the backup unit and communicated to the arresting officer that defendant was the person he had observed with the undercover officer. Upon searching defendant, officers recovered \$20 in prerecorded buy money.

Prior to trial, defendant was served with a CPL 710.30 notice pertaining to the undercover officer’s pretrial identification. Defendant moved to suppress that identification testimony on the ground that showup identifications are inherently suggestive. Following a pretrial hearing, the motion court denied defendant’s motion, holding that the undercover officer’s out-of-court identification was confirmatory and therefore admissible.

At trial, during the People’s opening statement, the prosecutor informed the jury that it would hear testimony from not only the undercover officer, but also Detective Vanacore, who, along with the undercover officer, viewed defendant shortly after the transaction and confirmed that the backup unit arrested the correct person. Defendant moved to preclude Detective Vanacore’s prospective testimony, arguing that the People had not provided him with notice concerning Detective Vanacore’s identification testimony. Following a mid-trial hearing, the court determined that Detective Vanacore’s identification was confirmatory in nature and therefore admissible without the need for notice. Defendant was convicted of criminal sale of a controlled substance in the third degree.

On appeal, the Appellate Division affirmed the conviction, holding that Detective Vanacore’s identification of defendant “was confirmatory and thus did not require CPL 710.30 (1) (b) notice” (112 AD3d 405, 405 [1st Dept 2013]). A Judge of this Court granted defendant leave to appeal (23 NY3d 1023 [2014]). We now affirm, albeit on a different ground.

II.

“CPL 710.30 could not be clearer” (*People v Boyer*, 6 NY3d 427, 431 [2006]). When the People intend to offer at trial “testimony regarding an observation of the defendant either at the time or place of the commission of the offense or upon some

other occasion relevant to the case, to be given by a witness who has previously identified him as such,” the statute requires the People to notify the defense of such intention within 15 days after arraignment and before trial (CPL 710.30 [1] [b]). Not only is “[t]he statutory mandate . . . plain” but the procedure is “simple” (*Boyer*, 6 NY3d at 431). The People serve their notice upon defendant, the defendant has an opportunity to move to suppress and the court may hold a *Wade* hearing (*see id.*). If the People fail to provide notice, the prosecution may be precluded from introducing such evidence at trial.

The notice statute was “a legislative response to the problem of suggestive and misleading pretrial identification procedures” (*People v Gissendanner*, 48 NY2d 543, 552 [1979]). In enacting the notice requirement, the legislature “attempt[ed] to deal effectively with the reality that not all police-arranged identifications are free from unconstitutional taint” (*People v Newball*, 76 NY2d 587, 590 [1990]).

The purpose of the notice requirement is twofold: it provides the defense with “an opportunity, prior to trial, to investigate the circumstances of the [evidence procured by the state] and prepare the defense accordingly” and “permits an orderly hearing and determination of the issue of the fact . . . thereby preventing the interruption of trial to challenge initially the admission into evidence of the [identification]” (*People v Briggs*, 38 NY2d 319, 323 [1975]). Thus, the statute contemplates “pretrial resolution of the admissibility of identification testimony where it is alleged that an improper procedure occurred” (*People v Rodriguez*, 79 NY2d 445, 452 [1992]). “If no notice is given before trial, the purposes of the statute may be defeated” (*Briggs*, 38 NY2d at 323).

The People, relying on our decision in *People v Wharton* (74 NY2d 921 [1989]), argue that the trial court properly determined that Detective Vanacore’s identification of defendant was merely confirmatory, thereby obviating the need for CPL 710.30 notice. We disagree. In *Wharton*, defendant was provided with notice and made a pretrial suppression motion on the identification. His challenge on the appeal to this Court was whether he was entitled to a *Wade* hearing. We held that the defendant was not entitled to the hearing because the “officer’s observation of [the] defendant . . . was not of a kind ordinarily burdened or compromised by forbidden suggestiveness” (*id.* at 922). There, the “identification was made by a trained undercover officer who observed [the] defendant during

the face-to-face drug transaction knowing [the] defendant would shortly be arrested” (*id.*).

[1] In this case, unlike *Wharton*, Detective Vanacore’s surveillance of defendant does not constitute an “observation of . . . defendant . . . so clear that the identification could not be mistaken” thereby obviating the risk of undue suggestiveness (*Boyer*, 6 NY3d at 432). Therefore, the People were required to serve their notice concerning Detective Vanacore’s observations. “To conclude otherwise directly contravenes the simple procedure that has been mandated by the Legislature and would permit the People to avoid their statutory obligation” (*id.* at 433). Indeed, the People indicated that they typically do provide notice in these circumstances and inadvertently failed to do so in this case.

III.

[2] Although the People’s failure to provide a CPL 710.30 notice with regard to Detective Vanacore may not be excused, we nonetheless hold that the error was harmless. Even in the absence of Detective Vanacore’s identification testimony, the evidence at trial overwhelmingly established that defendant was the seller. The primary undercover officer, an experienced narcotics detective who engaged in a face-to-face transaction with defendant, unequivocally identified defendant as the seller.

Moreover, defendant was arrested just minutes after the transaction, and the prerecorded buy money that had been used to purchase the drugs was found on defendant’s person (*see People v Rodriguez*, 100 NY2d 30, 32-33 [2003]). Finally, defendant’s flight from police officers evinced a consciousness of guilt (*see People v Chico*, 90 NY2d 585, 591 [1997]). Under these circumstances, we conclude that Detective Vanacore’s testimony was merely cumulative and that its admission could not have contributed to defendant’s conviction.

Accordingly, the Appellate Division order should be affirmed.

Chief Judge LIPPMAN and Judges READ, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed.

[36 NE3d 623, 15 NYS3d 716]

ACE SECURITIES CORP., HOME EQUITY LOAN TRUST, SERIES 2006-SL2, by HSBC BANK USA, NATIONAL ASSOCIATION, as Trustee Pursuant to a POOLING AND SERVICING AGREEMENT, DATED AS OF MARCH 1, 2006, Appellant, v DB STRUCTURED PRODUCTS, INC., Respondent.

Argued April 30, 2015; decided June 11, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 19, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Shirley Werner Kornreich, J.; op 40 Misc 3d 562 [2013]), which had denied defendant's motion to dismiss the complaint; (2) granted the motion; and (3) directed entry of judgment.

ACE Sec. Corp. v DB Structured Prods., Inc., 112 AD3d 522, affirmed.

HEADNOTES

Limitation of Actions — When Cause of Action Accrues — Residential Mortgage-Backed Securities Transaction — Breach of Contractual Obligation to Cure or Repurchase Loans Not Conforming to Representations and Warranties

1. A breach of contract cause of action alleging failure by defendant sponsor of a residential mortgage-backed securities transaction to comply with its contractual obligation to cure or repurchase mortgage loans that did not conform with the representations and warranties made by defendant regarding the loans' credit quality and characteristics upon defendant's sale of the loans to a securitization conduit for deposit into plaintiff trust and sale to investors accrued at the point of contract execution, not at a subsequent time when defendant failed to cure or repurchase as provided by the contract. Where, as in this case, representations and warranties concern the characteristics of their subject as of the date they are made, they are breached, if at all, on that date, and defendant's refusal to cure or repurchase the allegedly defective loans did not give rise to a separate cause of action as its cure or repurchase obligation could not reasonably be viewed as a distinct promise of future performance. Defendant represented and warranted certain facts about the loans' characteristics as of execution of the contract of sale and expressly stated that those representations and warranties did not survive the closing date. Defendant's cure or repurchase obligation was the trust's sole remedy for a breach of those representations and warranties, and nothing in the contract specified that such obligation would continue for the life of the loans. Thus, defendant's cure or repurchase obligation was dependent on, and derivative of, its representations and warranties, which did not survive the closing and were breached, if at all, on that date.

Contracts — Condition Precedent — Residential Mortgage-Backed Securities Transaction — Breach of Contractual Obligation to Cure or Repurchase Loans Not Conforming to Representations and Warranties

2. An action alleging failure by defendant sponsor of a residential mortgage-backed securities transaction to comply with its contractual obligation to cure or repurchase mortgage loans that did not conform with the representations and warranties made by defendant regarding the loans' credit quality and characteristics upon defendant's sale of the loans to a securitization conduit for deposit into plaintiff trust and sale to investors was not validly commenced, because the original plaintiffs—two of the trust's certificateholders—failed to comply with the contractual condition precedent to suit that they afford defendant 60 days to cure and 90 days to repurchase from the date of notice of the alleged nonconforming loans. Even assuming the certificateholders had standing to sue such that the trust's substitution of itself as plaintiff related back to the certificateholders' date of filing, defendant's failure to cure or repurchase was not a substantive condition precedent that deferred accrual of the trust's claim but was instead a procedural prerequisite to suit. Unlike the situation where no cause of action exists until a demand that is a condition to a party's performance is made, the trust suffered a legal wrong at the moment defendant allegedly breached the representations and warranties, and that breach occurred, if at all, the moment the contract of sale was executed. Thus, a cause of action existed for breach of a representation and warranty; the trust was just limited in its remedies for that breach and simply failed to pursue its contractual remedy within the limitations period.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Limitation of Actions §§ 112, 139, 140; AM
JUR 2d, Securities Regulation—State § 167.
CARMODY-WAIT 2d, Limitation of Actions §§ 13:129,
13:136, 13:233.
NY JUR 2d, Investment Securities §§ 93, 95, 98; NY JUR
2d, Limitations and Laches §§ 62, 76, 142.
SIEGEL, NY PRAC §§ 35, 40.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Securities
Regulation.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: repurchase /s breach & accrued

POINTS OF COUNSEL

Bancroft PLLC, Washington, D.C. (*Paul D. Clement*, of the
District of Columbia bar, admitted pro hac vice, *Erin E.*

Murphy, of the District of Columbia Bar, admitted pro hac vice, and *Stephen V. Potenza* of counsel), and *Kasowitz, Benson, Torres & Friedman LLP*, New York City (*Marc E. Kasowitz, Michael M. Fay* and *Zachary W. Mazin* of counsel), for appellant. I. The cause of action for breach of the cure or repurchase obligation did not accrue until DB Structured Products, Inc. refused to cure or repurchase. (*Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *New York Cent. Mut. Fire Ins. Co. v Glider Oil Co., Inc.*, 90 AD3d 1638; *Airco Alloys Div. v Niagara Mohawk Power Corp.*, 76 AD2d 68; *Meadowbrook Farms Homeowners Assn., Inc. v JZG Resources, Inc.*, 105 AD3d 820, 21 NY3d 1024; *Knobel v Shaw*, 90 AD3d 493; *Sirico v F.G.G. Prods., Inc.*, 71 AD3d 429; *Slamow v Del Col*, 79 NY2d 1016; *Beller v William Penn Life Ins. Co. of N.Y.*, 8 AD3d 310; *Orville v Newski, Inc.*, 155 AD2d 799; *Lehman Bros. Holdings, Inc. v National Bank of Ark.*, 875 F Supp 2d 911.) II. This action was timely even if the claim accrued at the time of contracting. (*Greenfield v Philles Records*, 98 NY2d 562; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 35 Misc 3d 1207[A], 2012 NY Slip Op 50601[U], 96 AD3d 684; *Jones v Bill*, 10 NY3d 550; *Bumpus v New York City Tr. Auth.*, 66 AD3d 26; *Snay v Cohoes Mem. Hosp.*, 110 AD2d 1021; *Burwell v Yonkers Gen. Hosp.*, 6 AD3d 478; *HSBC Guyerzeller Bank AG v Chascona N.V.*, 42 AD3d 381; *American Home Assur. Co. v Scanlon*, 164 AD2d 751; *Frankart Furniture Staten Is. v Forest Mall Assoc.*, 159 AD2d 322; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473.)

Simpson Thacher & Bartlett LLP, New York City (*David J. Woll* and *Thomas C. Rice* of counsel), for respondent. I. Appellant's claims accrued upon the alleged breach of the representations and warranties. (*Matter of R.M. Kliment & Frances Halsband, Architects [McKinsey & Co., Inc.]*, 3 NY3d 538; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Zumpano v Quinn*, 6 NY3d 666; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212; *Snyder v Town Insulation*, 81 NY2d 429; *Gregoire v Putnam's Sons*, 298 NY 119; *ABB Indus. Sys., Inc. v Prime Tech., Inc.*, 120 F3d 351; *West 90th Owners Corp. v Schlechter*, 137 AD2d 456.) II. Appellant's "condition precedent" arguments fail. (*Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Deutsche Alt-A Sec. Mtge. Loan Trust, Series 2006-OA1 v DB Structured Prods., Inc.*, 958 F Supp 2d 488; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Rubinstein v Rubinstein*, 23 NY2d 293; *Robb v Low*, 99 AD3d 614;

Sutton v Burdick, 75 AD3d 884; *Woodlaurel, Inc. v Wittman*, 199 AD2d 497; *Dickinson v Mayor of City of N.Y.*, 92 NY 584; *Westminister Props. v Kass*, 163 Misc 2d 773; *John J. Kassner & Co. v City of New York*, 46 NY2d 544.) III. Appellant's policy arguments are meritless. (*Greenfield v Philles Records*, 98 NY2d 562; *Klos v Lotnicze*, 133 F3d 164; *Reed v Knollwood Park Cemetery*, 441 F Supp 1144; *Deutsche Alt-A Sec. Mtge. Loan Trust, Series 2006-OA1 v DB Structured Prods., Inc.*, 958 F Supp 2d 488; *Zumpano v Quinn*, 6 NY3d 666; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212.) IV. The two distressed debt investment funds' summons with notice does not render this action timely. (*Goldberg v Camp Mikan-Recro*, 42 NY2d 1029; *Batchelder v Council Grove Water Co.*, 131 NY 42; *Feder v Union Carbide Corp.*, 141 AD2d 799; *Cruden v Bank of N.Y.*, 957 F2d 961; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684; *Velez v Feinstein*, 87 AD2d 309; *Tomczak v Trepel*, 283 AD2d 229; *Reiss v Financial Performance Corp.*, 97 NY2d 195; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Parker v Mack*, 61 NY2d 114.)

Jones & Keller, P.C., Denver, Colorado (*Michael A. Rollin* and *Maritza Dominguez Braswell*, of the Colorado bar, admitted pro hac vice, of counsel), for CXA-13 Corporation, amicus curiae. I. Properly viewed in its commercial context, it is clear that the cure-or-repurchase obligation was designed to continually maintain the integrity of the payment stream that lies at the heart of the transaction. (*Slamow v Del Col*, 79 NY2d 1016.) II. DB Structured Products, Inc.'s (DBSP) failure to perform its continuing obligation to cure or repurchase defective mortgage loans is an independent breach of contract, which claim accrues each time DBSP failed to cure or repurchase. (*Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606.) III. DB Structured Products, Inc.'s argument that a continuing cure-or-repurchase obligation would render it subject to perpetual obligations is a counterfactual scare tactic.

McKool Smith, New York City (*Gayle R. Klein*, *Robert W. Scheef* and *John C. Briody* of counsel), for Association of Mortgage Investors, amicus curiae. I. A trustee's cause of action accrues when the loan seller fails to cure or repurchase. (*Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Matter of Southeast Banking Corp.*, 93 NY2d 178; *Continental Cas. Co. v Stronghold*

Ins. Co., Ltd., 77 F3d 16; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Grace Indus., Inc. v New York City Dept. of Transp.*, 22 AD3d 262; *Zere Real Estate Servs., Inc. v Parr Gen. Contr. Co., Inc.*, 102 AD3d 770; *Craven v Rigas*, 71 AD3d 1220; *Julias A. Nasso & Assoc. Concrete Corp. v Trataros Constr., Inc.*, 79 AD3d 471.) II. The repurchase protocol is a continuing obligation and a new limitations period begins to run each time a loan seller fails to cure or repurchase. (*Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399.) III. The First Department's holding would cause severe harm to investors and the residential mortgage-backed securities capital markets. (*Tobin v Grossman*, 24 NY2d 609.)

Patterson Belknap Webb & Tyler LLP, New York City (*Erik Haas* and *Henry J. Ricardo* of counsel), for Association of Financial Guaranty Insurers, amicus curiae. I. A claim for breach of the repurchase obligation accrues upon the sponsor's failure to cure or repurchase. (*Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 112 AD3d 522.) II. Public policy favors enforcing the bargained-for risk allocation over the life of the transaction.

Kellogg, Huber, Hansen, Todd, Evans & Figel, P.L.L.C., Washington, D.C. (*Andrew C. Shen*, *David C. Frederick*, *Wan J. Kim*, *Gregory G. Rapawy* and *Matthew A. Seligman* of counsel), and *Korein Tillery LLC*, Chicago, Illinois (*George A. Zelcs*, *John Libra* and *Michael Klenov* of counsel), for National Credit Union Administration Board, amicus curiae. I. DB Structured Products, Inc.'s breach of its contractual repurchase obligation is separate from its breaches of representations and warranties and accrued separately. (*Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606.) II. Contractual repurchase obligations are an important part of residential mortgage-backed securities contracts that account for purchasers' inability to perform independent due diligence. (*National Credit Union Admin. Bd. v Credit Suisse Sec. [USA] LLC*, 939 F Supp 2d 1113; *New Jersey Carpenters Health Fund v Royal Bank of Scotland Group, PLC*, 709 F3d 109; *Plumbers' Union Local No. 12 Pension Fund v Nomura Asset Acceptance Corp.*, 632 F3d 762; *National Credit Union Admin. Bd. v. RBS Sec., Inc.*, 900 F Supp 2d 1222.) III. Contractual repurchase obligations protect investors and hold residential mortgage-backed securities sponsors accountable.

Venable LLP, Baltimore, Maryland (*Gregory A. Cross, Mitchell Y. Mirviss, Colleen M. Mallon and C. Alexander Hortis* of counsel), for LNR Partners, LLC and others, amici curiae. I. Commercial mortgage-backed securities repurchase claims raise important considerations that are not addressed in appellant's brief. (*United States Bank N.A. v Dexia Real Estate Capital Mkts.*, 959 F Supp 2d 443.) II. The First Department's limitations analysis is contrary to the basic structure of mortgage-backed securities. (*Resolution Trust Corp. v Key Fin. Servs., Inc.*, 280 F3d 12; *Deutsche Alt-A Sec. Mtge. Loan Trust, Series 2006-OA1 v DB Structured Prods., Inc.*, 958 F Supp 2d 488; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Snyder v Town Insulation*, 81 NY2d 429; *Solomon R. Guggenheim Found. v Lubell*, 77 NY2d 311; *LaSalle Bank N.A. v Lehman Bros. Holdings, Inc.*, 237 F Supp 2d 618; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Assured Guar. Mun. Corp. v Flagstar Bank, FSB*, 920 F Supp 2d 475; *Lehman Bros. Holdings, Inc. v National Bank of Arkansas*, 875 F Supp 2d 911.) III. The First Department's analysis should not be applied to commercial mortgage-backed securities agreements. (*United States Bank N.A. v Dexia Real Estate Capital Mkts.*, 959 F Supp 2d 443; *ACE Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 v DB Structured Prods., Inc.*, 5 F Supp 3d 543.) IV. The decision below wrongly reverses the bargained-for contractual risks and burdens in mortgage-backed securities repurchase agreements.

Sullivan & Cromwell LLP, New York City (*H. Rodgin Cohen* of counsel), and *Sullivan & Cromwell LLP*, Washington, D.C. (*Brent J. McIntosh and Jeffrey B. Wall* of counsel), for Chamber of Commerce of the United States of America and another, amici curiae. I. The decision below provides predictability to commercial parties in the drafting and enforcement of contracts. (*Matter of Southeast Banking Corp.*, 93 NY2d 178; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757; *Martin v Edwards Labs., Div. of Am. Hosp. Supply Corp.*, 60 NY2d 417; *Victorson v Bock Laundry Mach. Co.*, 37 NY2d 395; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Ackerman v Price Waterhouse*, 84 NY2d 535; *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Menichini v Grant*, 995 F2d 1224.) II. Appellant's contrary approach would create substantial uncertainty for a wide range of commercial contracts under New York law. (*Rodrigue v Olin Empls. Credit Union*, 406 F3d

434; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *McCoy v Feinman*, 99 NY2d 295; *Lehman Bros. Holdings, Inc. v Evergreen Moneysource Mtge. Co.*, 793 F Supp 2d 1189; *Rodgers v Roulette Records, Inc.*, 677 F Supp 731; *Ackerman v Price Waterhouse*, 84 NY2d 535; *Blanco v American Tel. & Tel. Co.*, 90 NY2d 757.)

Wachtell, Lipton, Rosen & Katz, New York City (George T. Conway III, Theodore N. Mirvis, Charles D. Cording and Vladislav S. Vainberg of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. The trustee distorts the “basic bargain” of residential mortgage-backed securities securitizations, and wrongly treats the contracts’ sole remedy as an independent covenant of performance. (*Retirement Bd. of the Policemen’s Annuity & Ben. Fund of the City of Chicago v Bank of N.Y. Mellon*, 775 F3d 154; *ACE Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 v DB Structured Prods., Inc.*, 5 F Supp 3d 543; *Deutsche Alt-A Sec. Mtge. Loan Trust, Series 2006-OA1 v DB Structured Prods., Inc.*, 958 F Supp 2d 488; *Dolman v United States Trust Co. of N.Y.*, 2 NY2d 110; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Nussenzweig v diCorcia*, 9 NY3d 184; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Lyles v State of New York*, 3 NY3d 396; *John J. Kassner & Co. v City of New York*, 46 NY2d 544.) II. Overwhelming and virtually uncontradicted authority supports the Appellate Division’s decision. (*Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399; *Varga v Credit-Suisse*, 5 AD2d 289; *Schmidt v Merchants Despatch Transp. Co.*, 270 NY 287; *West 90th Owners Corp. v Schlechter*, 137 AD2d 456; *Varo, Inc. v Alvis PLC*, 261 AD2d 262; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765.) III. The Appellate Division’s holding is fair and serves the interests of justice. (*Matter of R.M. Kliment & Frances Halsband, Architects [McKinsey & Co., Inc.]*, 3 NY3d 538; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Bailey v Fish & Neave*, 8 NY3d 523.)

Jenner & Block LLP, Washington, D.C. (Matthew S. Hellman of counsel), and *Jenner & Block LLP*, New York City (Stephen L. Ascher of counsel), for Mortgage Bankers Association, amicus curiae. I. The trustee is demonstrably incorrect when it

claims that six years from securitization is inadequate to bring repurchase claims. (*Policemen's Annuity & Benefit Fund of City of Chicago v Bank of Am., NA*, 907 F Supp 2d 536; *Old Colony Trust Co. v Omaha*, 230 US 100.) II. An unbounded statute of limitations would have severe policy consequences and impose undue burdens on the housing market and beyond. (*Riddlesbarger v Hartford Ins. Co.*, 74 US 386; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427.)

Steven L. Schwarcz, Duke Law School, Durham, North Carolina, amicus curiae. I. Securitization is designed to transfer the future risk on the underlying loans from the seller to the investors. II. Plaintiff vastly overstates the importance of an enlarged limitations period to investors in mortgage-backed securities. III. Six years from a loan's sale is ample time to bring a repurchase claim. IV. Sellers and investors reasonably understood New York's statute of limitations to bar repurchase claims filed six years after the loan sale.

Ethan J. Leib, Fordham Law School, New York City, and Patrick M. Connors, Albany Law School, for Ethan J. Leib, and others, amici curiae. I. New York contract law has a motivating policy preferring certainty, predictability, and finality—and the law governing the statute of limitations contributes to these objectives. (*IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *Toussie v United States*, 397 US 112; *Railroad Telegraphers v Railway Express Agency, Inc.*, 321 US 342; *Burnett v New York Central R. Co.*, 380 US 424; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Bayridge Air Rights v Blitman Constr. Corp.*, 80 NY2d 777; *Lehman XS Trust, Series 2006-4N ex rel. U.S. Bank N.A. v Greenpoint Mtge. Funding, Inc.*, 991 F Supp 2d 472; *Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399.) II. New York develops clear and precise rules for how to approach the statute of limitations for breach of contract actions. (*West 90th Owners Corp. v Schlechter*, 137 AD2d 456; *Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *American Trading Co. v Fish*, 42 NY2d 20; *Imperia v Marvin Windows of N.Y.*, 297 AD2d 621; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16.) III. The cure, substitute, or repurchase remedial provisions in the agreements are not express guarantees of future performance or “separate undertakings” that give rise to separate claims under New York law.

Keller Rohrbach L.L.P. (Derek W. Loeser, admitted to the Washington bar, pro hac vice, of counsel), and *Keller Rohrbach L.L.P.*, New York City (David S. Preminger of counsel), for Federal Home Loan Bank of Boston and others, amici curiae. I. Because private-label residential mortgage-backed securities were mostly purchased for long-term, conservative investment, investors reasonably expected that the cure-or-repurchase covenant would continue through the life of the investment. II. A decision that the cure-or-repurchase obligation lapses after only six years would cause wide-ranging harm to the recovering economy.

OPINION OF THE COURT

READ, J.

This appeal stems from a transaction involving residential mortgage-backed securities (RMBS). Two certificateholders in the ACE Securities Corp., Home Equity Loan Trust, Series 2006-SL2 (the Trust) sued DB Structured Products, Inc. (DBSP), the sponsor of the transaction, for failure to repurchase loans that allegedly did not conform to DBSP's representations and warranties. The Trust later sought to substitute itself as plaintiff in place of the certificateholders. The parties dispute the timeliness of this lawsuit, whether the certificateholders or the Trust complied with a condition precedent and whether the certificateholders possessed standing to sue or, alternatively, the Trust's complaint cured any defect in the certificateholders' standing. We hold that the Trust's cause of action against DBSP for breach of representations and warranties accrued at the point of contract execution on March 28, 2006. Where, as in this case, representations and warranties concern the characteristics of their subject as of the date they are made, they are breached, if at all, on that date; DBSP's refusal to repurchase the allegedly defective mortgages did not give rise to a separate cause of action. Additionally, we hold that, even assuming standing, the two certificateholders did not validly commence this action because they failed to comply with the contractual condition precedent to suit; namely, affording DBSP 60 days to cure and 90 days to repurchase from the date of notice of the alleged non-conforming loans.

I.

In its role as sponsor of the securitization that is at the core of this case, DBSP purchased 8,815 mortgage loans from at least three third-party mortgage originators. This pool of loans

was sold to an affiliate, ACE Securities Corp. (ACE), a securitization conduit known as a “depositor,” pursuant to a mortgage loan purchase agreement (MLPA) executed between DBSP and ACE. ACE then transferred the loans and its rights under the MLPA to the Trust, pursuant to a pooling and servicing agreement (PSA). The parties to the PSA were ACE, as depositor, OCWEN Loan Servicing, LLC (Ocwen), as servicer, Wells Fargo Bank, National Association (Wells Fargo), as master servicer and securities administrator, and HSBC Bank USA, National Association, as trustee (HSBC or the trustee). DBSP was not a party or signatory to the PSA except for two sections not relevant to this appeal; its role was effectively complete at closing, when it transferred (via ACE) its “right, title and interest in, to and under the Mortgage Loans” and the “contents of the related Mortgage File” to the trustee and its agents. The MLPA and PSA were executed on the same day, March 28, 2006.

HSBC acted as trustee for the holders of \$500 million in certificates issued by the Trust, and was authorized to bring suit on the Trust’s behalf. The individual mortgage loans served as collateral for the certificates, which paid principal and interest to certificateholders from the cash flow generated by the mortgage loan pool;¹ that is, certificateholders made money when the borrowers made payments on their loans.

DBSP made over 50 representations and warranties in the MLPA regarding the credit quality and characteristics of the pooled loans “as of the Closing date,” March 28, 2006. The MLPA permitted the Trust to examine each mortgage loan file and exclude from the final pool any loans that did not comply with DBSP’s representations and warranties. But the MLPA also relieved the Trust and certificateholders from any *obligation* to verify DBSP’s representations and warranties, or to conduct due diligence on the loan characteristics. Importantly, the Trust’s “*sole remedy*” in the event DBSP “breach[ed] . . . any of the representations and warranties contained in” the MLPA was for DBSP to cure or repurchase a non-conforming loan.

1. As servicer, Ocwen collected the mortgage payments from borrowers and contributed them to the Trust’s accounts, and Wells Fargo, the master servicer and securities administrator, oversaw Ocwen and was responsible for aggregating and distributing monthly payments and performance reports to certificateholders.

The PSA authorized the trustee to enforce the repurchase obligation in the following way. First, if HSBC learned of a breach of a representation or warranty, it was required to “promptly notify [DBSP] and the Servicer” of the breach and request that DBSP cure the identified defect or breach within 60 days. In the event DBSP failed to cure the defect or breach in all material respects, the trustee was empowered to “enforce the obligations of [DBSP] under the [MLPA] to repurchase such Mortgage Loan . . . within ninety (90) days after the date on which [DBSP] was notified of [the breach].” Finally, as relevant here, the PSA authorized certificateholders entitled to at least 25% of voting rights to enforce certain default events if the trustee refused or neglected to institute action within 15 days of a written request to do so.

A few years after the parties executed the MLPA and PSA, borrower defaults and delinquencies on individual mortgages caused the Trust and certificateholders to lose almost \$330 million. Two certificateholders, RMBS Recovery Holdings 4, LLC and VP Structured Products, LLC—independent investment funds which together held 25% of the voting certificates—hired a forensic mortgage loan review firm to examine a portion of the loans in the trust. Ninety-nine percent of these loans allegedly failed to comply with at least one of DBSP’s representations and warranties in the MLPA about borrowers’ incomes, occupancy status or existing debt obligations.

By letter dated January 12, 2012, the two certificateholders gave notice to HSBC of “breaches of representations and warranties in the Mortgage Loans by the Sponsor, [DBSP] under the relevant [PSA] and related Trust documents.” Citing “the extremely high breach rates found in loan file reviews,” the certificateholders “demand[ed] that the Mortgage Loans in the Trust *in their entirety* be put back to [DBSP] for repurchase, including all of the individual defective loans uncovered [during their] investigation” (emphasis added). Further, the certificateholders alerted the trustee to “[t]he [u]rgent [n]eed for a Tolling Agreement . . . in light of potential expiring statute of limitations deadlines,” and expressed their belief that “it [w]as imperative that the Trustee act expeditiously to request such an agreement.”²

When the trustee neither sought a tolling agreement nor brought suit against DBSP, the two certificateholders sued

2. Tolling agreements are hardly unheard-of in connection with RMBS loan repurchase (or “put-back”) litigation. For example, JPMorgan Chase

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DBSP on March 28, 2012—six years to the day from the date of contract execution—by filing a summons with notice on behalf of the Trust. The summons with notice alleged a single cause of action for breach of contract based on DBSP's alleged material breach of representations and warranties and failure to comply with its contractual repurchase obligation. The certificateholders asked for specific performance and damages to the tune of \$250 million.

On September 13, 2012, the trustee sought to substitute for the certificateholders, and filed a complaint on the Trust's behalf. In the complaint, the Trust alleged breaches of representations and warranties and DBSP's refusal to comply with its repurchase obligation. The Trust asserted that it had promptly notified DBSP of the breaches of representations and warranties on February 8, March 23, April 23, April 30, May 11, May 16, May 31, June 7 and July 19, 2012; and that each of these notices specified the defective or non-conforming loans, detailed specific breaches for each loan and supplied supporting documentation. The Trust suggested that the pre-suit 60- and 90-day condition precedent was satisfied because, as of the date of its complaint, DBSP had still not repurchased any loans, and "refused to recognize the [notices of breach] as sufficient to trigger [DBSP's] cure or repurchase obligations."

On November 30, 2012, DBSP moved to dismiss the complaint as untimely, arguing that the trustee's claims accrued as of March 28, 2006, more than six years before the Trust filed its complaint (*see* CPLR 213 [2]). Moreover, DBSP contended that the certificateholders' summons and notice was a nullity because they did not give DBSP 60 days to cure and 90 days to repurchase before bringing suit; that the certificateholders lacked standing because only the trustee was authorized to sue for breaches of representations and warranties; and that the trustee's substitution could not relate back to March 28, 2012 because there was no valid preexisting action.

Supreme Court denied DBSP's motion to dismiss (40 Misc 3d 562 [Sup Ct, NY County 2013]). The judge reasoned that DBSP could not have breached its repurchase obligations until it "fail[ed] to timely cure or repurchase a loan" following discovery or receipt of notice of a breach of a representation or warranty

executed one in November 2013 with the trustees of several RMBS trusts as part of a massive settlement negotiation (available at JPMorgan's RMBS settlement website, http://www.rmbstrusteesettlement.com/Tolling_and_Forbearance_Agreement_11.6.13.pdf).

(*id.* at 566). In Supreme Court’s view, “[t]he whole point of how the MLPA and PSA were structured was to shift the risk of noncomplying loans onto DBSP” (*id.* at 567). Thus, the argument “that the trustee’s claims accrued in 2006 . . . utterly belies the parties’ relationship and turn[ed] the PSA on its head” (*id.*). The court concluded instead that DBSP’s cure or repurchase obligation was recurring and that DBSP committed an independent breach of the PSA each time it failed to cure or repurchase a defective loan; therefore, the judge held the Trust’s action to be timely. Supreme Court also determined that the Trust had satisfied the condition precedent to suit insofar as DBSP affirmatively repudiated any obligation to repurchase.

The Appellate Division reversed and granted DBSP’s motion to dismiss the complaint as untimely (112 AD3d 522 [1st Dept 2013]). The Court held that “the claims accrued on the closing date of the MLPA, March 28, 2006, when any breach of the representations and warranties contained therein occurred” (*id.* at 523). Further, although the certificateholders commenced their action on March 28, 2012, the last day of the applicable six-year limitations period, the 60- and 90-day periods for cure and repurchase had not by then elapsed; accordingly, the certificateholders “fail[ed] to comply with a condition precedent to commencing suit [that] rendered their summons with notice a nullity” (*id.*). The Appellate Division added that, in any event, the certificateholders lacked standing to commence the action on behalf of the Trust and the Trust’s substitution did not cure that defect and relate back to the certificateholders’ date of filing.

On June 26, 2014, we granted the Trust leave to appeal (23 NY3d 906 [2014]). We now affirm.

II.

Accrual

Our statutes of limitation serve the same objectives of finality, certainty and predictability that New York’s contract law endorses. Statutes of limitation not only save litigants from defending stale claims, but also “express[] a societal interest or public policy of giving repose to human affairs” (*John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550 [1979] [citations and internal quotation marks omitted]). And we have repeatedly “rejected accrual dates which cannot be ascertained

with any degree of certainty, in favor of a bright line approach” (*MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421, 428 [1998]).

Accordingly, New York does not apply the “discovery” rule to statutes of limitations in contract actions (*Ely-Cruikshank Co. v Bank of Montreal*, 81 NY2d 399, 403 [1993]). Rather, the “statutory period of limitations begins to run from the time when liability for wrong has arisen even though the injured party may be ignorant of the existence of the wrong or injury” (*id.* [citations omitted]). This is so even though the result may at times be “harsh and manifestly unfair, and creates an obvious injustice” because a contrary rule “would be entirely dependent on the subjective equitable variations of different Judges and courts instead of the objective, reliable, predictable and relatively definitive rules that have long governed this aspect of commercial repose” (*id.* [internal quotation marks omitted]). Indeed, “[t]o extend the highly exceptional discovery notion to general breach of contract actions would effectively eviscerate the Statute of Limitations in this commercial dispute arena” (*id.* at 404). We applied the same bright-line rule just three years ago in the insurance context with respect to retrospective premiums, holding that breach of contract counterclaims “began to run when [insurers] possessed the *legal right* to demand payment from the insured,” not years later when they actually made the demand (*Hahn Automotive Warehouse, Inc. v American Zurich Ins. Co.*, 18 NY3d 765, 767 [2012] [emphasis added]).

The Trust does not dispute this precedent, but rather seeks to persuade us that its claim did not arise until DBSP refused to cure or repurchase, at which point the Trust, either through the trustee or the certificateholders, had six years to bring suit. Thus, the Trust views the repurchase obligation as a distinct and continuing obligation that DBSP breached each time it refused to cure or repurchase a non-conforming loan. Stated another way, the Trust considers the cure or repurchase obligation to be a separate promise of future performance that continued for the life of the investment (i.e., the mortgage loans).

[1] Although parties may contractually agree to undertake a separate obligation, the breach of which does not arise until some future date, the repurchase obligation undertaken by DBSP does not fit this description. To support its contrary position, the Trust relies on our decision in *Bulova Watch Co. v*

Celotex Corp. (46 NY2d 606 [1979]), where we considered whether the separate repair clause in a contract for the sale of a roof constituted a future promise of performance, the breach of which created a cause of action. The separate clause the seller included in that contract was a “20-Year Guaranty Bond,” which “expressly guaranteed that [the seller] would ‘at its own expense make any repairs . . . that may become necessary to maintain said Roof’ ” (*id.* at 608-609).

We held that the guarantee “embod[ied] an agreement distinct from the contract to supply roofing materials,” the breach of which triggered the statute of limitations anew (*id.* at 610). This was so because the defendant in *Bulova Watch* “did not merely guarantee the condition or performance of the goods, but agreed to perform a service” (*id.* at 612). That service was the separate and distinct promise to repair a defective roof—a critical component of the parties’ bargain and “a special, separate and additional incentive to purchase” the defendant’s product (*id.* at 611). Accordingly, the “agreements contemplating services . . . were subject to a six-year statute . . . running separately for the damages occasioned each time a breach of the obligation to repair the bonded roof occurred” (*id.*).

The remedial clause in *Bulova Watch* expressly guaranteed *future* performance of the roof and undertook a promise to repair the roof if it did not satisfy the seller’s guarantee. DBSP, by contrast, never guaranteed the future performance of the mortgage loans. It represented and warranted certain facts about the loans’ characteristics as of March 28, 2006, when the MLPA and PSA were executed, and expressly stated that those representations and warranties did not survive the closing date. DBSP’s cure or repurchase obligation was the Trust’s remedy for a breach of *those* representations and warranties, not a promise of the loans’ future performance. In fact, nothing in the contract specified that the cure or repurchase obligation would continue for the life of the loans. Unlike the separate guarantee in *Bulova Watch*, DBSP’s cure or repurchase obligation could not reasonably be viewed as a distinct promise of future performance. It was dependent on, and indeed derivative of, DBSP’s representations and warranties, which did not survive the closing and were breached, if at all, on that date.³

And it makes sense that DBSP, as sponsor and seller, would not guarantee future performance of the mortgage loans, which

3. The brief of amici curiae New York Law Professors helpfully analogizes the guarantees in this case and in *Bulova Watch* to UCC warranties: Under

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might default 10 or 20 years after issuance for reasons entirely unrelated to the sponsor's representations and warranties. The sponsor merely warrants certain characteristics of the loans, and promises that if those warranties and representations are materially false, it will cure or repurchase the non-conforming loans within the same statutory period in which remedies for breach of contract (i.e., rescission and expectation damages) could have been sought.⁴

If the cure or repurchase obligation did not exist, the Trust's only recourse would have been to bring an action against DBSP for breach of the representations and warranties. That action could only have been brought within six years of the date of contract execution. The cure or repurchase obligation is an alternative remedy, or recourse, for the Trust, but the underlying *act* the Trust complains of is the same: the quality of the loans and their conformity with the representations and warranties. The Trust argues, in effect, that the cure or repurchase

the New York UCC, claims based on breaches of *warranty* are covered by a four-year statute of limitations running from the date of delivery. Claims based on *express guarantees of future performance*, by contrast, are treated as arising on the future date when those express and separate guarantees are breached (UCC 2-725 [1], [2]). The promise in *Bulova Watch* was an express guarantee of future performance, whereas the cure or repurchase obligations in this case were directly tied to DBSP's warranties and thus did not arise on a future date.

4. Even without reference to the Appellate Division's decision in this case, the overwhelming majority of courts agree that cure or repurchase provisions in similar MLPAs do not give rise to a separate and independent cause of action that accrues on the date when the sponsor refuses to cure or repurchase individual loans (see e.g. *Lehman Bros. Holdings, Inc. v Universal Am. Mtge. Co., LLC*, 2014 WL 4269118, *3-4, 2014 US Dist LEXIS 120255, *8-11 [D Colo, Aug. 28, 2014, No. 13-cv-0092-WJM-BNB]; *Wells Fargo Bank, N.A. v JPMorgan Chase Bank, N.A.*, 2014 WL 1259630, *3-4, 2014 US Dist LEXIS 42453, *8-13 [SD NY, Mar. 27, 2014, No. 12-Civ-6168 (MGC)]; *ACE Sec. Corp. Home Equity Loan Trust, Series 2007-HE3 v DB Structured Prods., Inc.*, 5 F Supp 3d 543, 552 [SD NY 2014]; *Aurora Commercial Corp. v Standard Pac. Mtge., Inc.*, 2014 WL 1056383, *4-5, 2014 US Dist LEXIS 36150, *12-15 [D Colo, Mar. 19, 2014, No. 12-cv-3138-WJM-KLM]; *Deutsche Alt-A Sec. Mtge. Loan Trust, Series 2006-OA1 v DB Structured Prods., Inc.*, 958 F Supp 2d 488, 499 [SD NY 2013]; *Deutsche Bank Natl. Trust Co. v Decision One Mtge. Co., LLC*, 2013 WL 6284438, *7 [Ill Cir Ct, Nov. 19, 2013, No. 2013L005823]; *Lehman Bros. Holdings, Inc. v Evergreen MoneySource Mtge. Co.*, 793 F Supp 2d 1189, 1194 [WD Wash 2011]; *Nomura Asset Acceptance Corp. Alternative Loan Trust, Series 2005-S4 v Nomura Credit & Capital, Inc.*, 39 Misc 3d 1226[A], 2013 NY Slip Op 50743[U] [Sup Ct, NY County, May 10, 2013]; *Structured Mtge. Trust 1997-2 v Daiwa Fin. Corp.*, 2003 WL 548868, *2, 2003 US Dist LEXIS 2677, *4-6 [SD NY, Feb. 25, 2003, No. 02-Civ-3232 (SHS)]).

obligation transformed a standard breach of contract remedy, i.e. damages, into one that lasted for the life of the investment—decades past the statutory period. But nothing in the parties' agreement evidences such an intent. Historically, we have been

“extremely reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include. . . . [C]ourts may not by construction add or excise terms, nor distort the meanings of those used and thereby make a new contract for the parties under the guise of interpreting the writing” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [internal quotation marks and citations omitted]).

Condition Precedent

[2] The Trust's strongest argument is that the cure or repurchase obligation was a substantive condition precedent to suit that delayed accrual of the cause of action. In that vein, the Trust claims it had no right at law to sue DBSP until DBSP refused to cure or repurchase the loans within the requisite time period; only then did the PSA permit the Trust to bring suit to enforce that distinct contractual obligation. While this argument is persuasive-sounding, we are unconvinced.

The Trust ignores the difference between a demand that is a condition to a party's *performance*, and a demand that seeks a remedy for a preexisting wrong. We observed the distinction over 100 years ago in *Dickinson v Mayor of City of N.Y.* (92 NY 584, 590 [1883]). There, we held that a 30-day statutory period during which the City of New York was free from litigation while it investigated claims did not affect accrual of the cause of action against the City. In such a case, where a legal wrong has occurred and the only impediment to recovery is the defendant's *discovery* of the wrong and notice to the defendant, the claim accrues immediately. We contrasted that situation, however, to one in which “a demand . . . was a part of the cause of action and necessary to be alleged and proven, and without this no cause of action existed” (*id.* at 591, distinguishing *Fisher v Mayor of City of N.Y.*, 67 NY 73 [1876]).

The Trust suffered a legal wrong at the moment DBSP allegedly breached the representations and warranties. This is like the situation in *Dickinson*, and unlike the situation in *Fisher*, where no cause of action existed until the demand was made.

Here, a cause of action existed for breach of a representation and warranty; the Trust was just limited in its remedies for that breach. Hence, the condition was a procedural prerequisite to suit. If DBSP's repurchase obligation were truly the separate undertaking the Trust alleges, DBSP would not have breached the agreement until after the Trust had demanded cure and repurchase. But DBSP breached the representations and warranties in the parties' agreement, if at all, the moment the MLPA was executed (*see e.g. ABB Indus. Sys., Inc. v Prime Tech., Inc.*, 120 F3d 351, 360 [2d Cir 1997] [under CPLR 213 (2), a warranty of compliance with environmental laws "was breached, if at all, on the day (the contract) was executed, and therefore, the district court correctly concluded that the statute began to run on that day]; *West 90th Owners Corp. v Schlechter*, 137 AD2d 456, 458 [1st Dept 1988] ["The representation . . . was false when made. Thus, the breach occurred at the time of the execution of the contract"]). The Trust simply failed to pursue its contractual remedy within six years of the alleged breach.

The only cases the Trust relies on to support its position are inapposite. The court in *Resolution Trust Corp. v Key Fin. Servs., Inc.* (280 F3d 12, 18 [1st Cir 2002]) specifically stated that it was *not* deciding the question of "[w]hether or not [the defendant] committed an independent breach by failing to repurchase" (*id.*). It affirmed the lower court on other grounds. The other cases the Trust cites either mistakenly rely on *Resolution Trust* to support the proposition that the court there expressly refrained from resolving (*see LaSalle Bank N.A. v Lehman Bros. Holdings, Inc.*, 237 F Supp 2d 618, 638 [D Md 2002] [citing only *Resolution Trust* for the assertion that "a loan seller's failure to repurchase non-conforming loans upon demand as required by a contract is an independent breach of the contract entitling the plaintiff to pursue general contract remedies for breach of contract"]; *Lehman Bros. Holdings, Inc. v National Bank of Ark.*, 875 F Supp 2d 911, 917 [ED Ark 2012] [same]) or rest on Supreme Court's decision in this case, which the Appellate Division subsequently reversed (*see Federal Hous. Fin. Agency v WMC Mtge., LLC*, 2013 WL 7144159, *1, 2013 US Dist LEXIS 184936, *2 [SD NY, Dec. 17, 2013, No. 13-Civ-584 (AKH)]).

III.

In sum, DBSP's cure or repurchase obligation was not a separate and continuing promise of future performance; rather, it

was the Trust's sole remedy in the event of DBSP's breach of representations and warranties. Viewed in this light, the cure or repurchase obligation was not an independently enforceable right, nor did it continue for the life of the investment. Accordingly, the Trust's claim, subject to the six-year statute of limitations for breach-of-contract actions, accrued on March 28, 2006, when the MLPA was executed. Moreover, DBSP's failure to cure or repurchase was not a substantive condition precedent that deferred accrual of the Trust's claim; instead, it was a procedural prerequisite to suit. Finally, because the Trust admittedly failed to fulfill the condition precedent, we need not and do not address the issues of standing and relation back disputed by the parties.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges PIGOTT, RIVERA, STEIN and FAHEY concur; Judge ABDUS-SALAAM taking no part.

Order affirmed, with costs.

[36 NE3d 632, 15 NYS3d 725]

GREATER NEW YORK TAXI ASSOCIATION et al., Appellants, v NEW YORK CITY TAXI AND LIMOUSINE COMMISSION, a Charter-Mandated Agency, et al., Respondents, and NISSAN TAXI MARKETING, N.A., LLC, et al., Intervenor-Respondents.

Argued June 3, 2015; decided June 25, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 10, 2014. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Shlomo S. Hagler, J.; op 42 Misc 3d 324 [2013]), entered in a hybrid proceeding pursuant to CPLR article 78 and action for declaratory judgment, which had (a) granted the petition, and (b) declared that the revisions and amendments to title 35 of the Rules of the City of New York, which mandated the Nissan NV200 as the New York City Official Taxicab Vehicle effective as of October 2013, were invalid as they violated the separation of powers doctrine and that respondent New York City Taxi and Limousine Commission exceeded its authority; and (2) declared that the revised and amended rules were valid. The following question was certified by the Appellate Division: “Was the decision and order of this Court, which reversed the order of the Supreme Court, properly made?”

Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn., 121 AD3d 21, affirmed.

HEADNOTES

Municipal Corporations — Regulation of Taxicab Business — Authority of New York City Taxi and Limousine Commission to Issue Rule Requiring New Taxicabs to be Specific Model Made by Single Manufacturer

1. Respondent New York City Taxi and Limousine Commission (TLC) had the authority to require the use of a particular vehicle make and model as a gas-powered taxi, as opposed to requiring taxi vehicles to meet certain specifications. Respondent selected the Nissan NV200 as the Taxi of Tomorrow (ToT), i.e., the single make and model that each New York City taxi owner was required to purchase when it retired an existing vehicle, with limited exceptions (35 RCNY 51-03, 67-05.1B). The City Council granted the TLC extremely broad authority to enact rules, including the ToT rules. The TLC's powers extend to standards and conditions of service, requirements of standards of safety and design of vehicles, development and effectuation of a broad public policy of transportation as it relates to forms of public

transportation in the city, and promulgation of rules to carry out its purposes (NY City Charter § 2303 [b]). In granting the TLC this broad authority, the City Charter includes guidelines for the TLC to consider, such as “safety, and design, comfort, convenience, noise and air pollution control and efficiency in the operation of vehicles” (NY City Charter § 2303 [b] [6]). Although the TLC has generally applied the “specs method” when promulgating rules about the design of taxis, there is a major shortcoming of that method—the situation where no available model meets the specs in the rules. The TLC determined that the most obvious alternative to vehicle specifications was the competitive selection of taxicab vehicle models, as embodied in the ToT project. That new method was intended to be a more efficient way to reach the same result and falls within the broad authority granted to the TLC.

Municipal Corporations — Regulation of Taxicab Business — Authority of New York City Taxi and Limousine Commission to Issue Rule Requiring New Taxicabs to be Specific Model Made by Single Manufacturer — Separation of Powers

2. Upon consideration of the *Boreali* factors (*Boreali v Axelrod*, 71 NY2d 1 [1987]), respondent New York City Taxi and Limousine Commission (TLC) did not exceed its authority or intrude on the New York City Council’s domain in violation of the separation of powers doctrine by enacting the Taxi of Tomorrow (ToT) rules under which it established a particular make and model of vehicle as the City’s official gas-powered taxicab, as opposed to requiring taxi vehicles to meet certain specifications (35 RCNY 51-03, 67-05.1B). The TLC determined that the most obvious alternative to the vehicle specifications method was competitive selection of taxicab vehicle models, and developed the ToT rules by balancing the costs and benefits to all interested parties and using many of the same guidelines used to develop rules with specifications. Thus, enactment of the rules did not entail a difficult and complex choice among policy goals reserved for the City Council or an intrusion into economic and social concerns outside the TLC’s authority. Moreover, the Council had largely left taxi regulation to the TLC, with the only instance of intervention being its requirement that the TLC approve one or more hybrid electric vehicle model or models for use as a taxicab. The use of the words “one or more” and “model or models” rather than specifications constituted some legislative guidance from which to infer that the Council generally recognized the single model method as within the TLC’s authority. In addition, because the TLC had historically based its specs on particular models, effectively limiting the citywide fleet to one model, without interference, it could be inferred to some degree that the legislature approved of its action. Finally, technical expertise was essential to select the single best model as the ToT, but not necessarily to decide whether to limit the selection to one model. Overall, the ToT rules did not involve difficult social problems of any nature.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic § 86; AM JUR 2d, Carriers §§ 758–763; AM JUR 2d, Constitutional Law § 140; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 411, 419.
CARMODY-WAIT 2d, Actions By and Against Public Bodies

and Public Officers § 144:6; CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:1296, 145:1556.

NY JUR 2d, Administrative Law § 183; NY JUR 2d, Automobiles and Other Vehicles §§ 7, 716; NY JUR 2d, Carriers §§ 32, 76–77, 82–85, 170; NY JUR 2d, Counties, Towns, and Municipal Corporations § 139.

ANNOTATION REFERENCE

Validity, construction, and application of regulations respecting type or condition of automobile used in transportation of passengers for hire. 7 ALR2d1266.

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POINTS OF COUNSEL

Fox Rothschild LLP, New York City (*Mitchell Berns*, *Barry J. Muller* and *Dana Katz* of counsel), for appellants. The New York City Taxi and Limousine Commission exceeded its authority and violated the separation of powers doctrine by adopting the revised Taxi of Tomorrow rules. (*Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Env'tl. Conservation*, 18 NY3d 289; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Matter of Shankman v Axelrod*, 73 NY2d 203; *Matter of Memorial Hosp. v Axelrod*, 68 NY2d 958; *Matter of Barry v O'Connell*, 303 NY 46; *Matter of Dairylea Coop. v Walkley*, 38 NY2d 6; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Metropolitan Taxicab Bd. of Trade v New York City Taxi & Limousine Commn.*, 18 NY3d 329; *Kelly's Rental v City of New York*, 48 AD2d 661; *Boreali v Axelrod*, 71 NY2d 1.)

Zachary W. Carter, Corporation Counsel, New York City (*Elizabeth I. Freedman*, *Richard Dearing*, *Francis F. Caputo* and *Nicholas R. Ciappetta* of counsel), for respondents. The Appellate Division correctly upheld the revised Taxi of Tomorrow rules and hybrid specifications. (*Pavle-Marty Cab Corp. v City of New York*, 48 NY2d 784; *Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136; *Matter of Black Car Assistance Corp. v City of New York*, 110 AD3d 618; *Boreali v Axelrod*, 71 NY2d 1; *Matter of New York Statewide Coalition of Hispanic Chambers of Com-*

merce v New York City Dept. of Health & Mental Hygiene, 23 NY3d 681; *Moore v Board of Regents of Univ. of State of N. Y.*, 44 NY2d 593; *Matter of Levine v Whalen*, 39 NY2d 510.)

Jenner & Block, LLP, Chicago, Illinois (*Peter J. Brennan* of counsel), and *Jenner & Block, LLP*, New York City (*Justin O. Spiegel* of counsel), for intervenors-respondents. I. The New York City Taxi and Limousine Commission has statutory authority to select a single world-class vehicle as the exclusive New York City taxi. (*Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Matter of Mercy Hosp. of Watertown v New York State Dept. of Social Servs.*, 79 NY2d 197; *Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136; *Vermont Yankee Nuclear Power Corp. v Natural Resources Defense Council, Inc.*, 435 US 519.) II. The selection of a single non-hybrid taxi vehicle is consistent with the separation of powers doctrine. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Bourquin v Cuomo*, 85 NY2d 781; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186.)

Kostelanetz & Fink, LLP, New York City (*Claude M. Millman* and *Caroline Rule* of counsel), for Design Trust for Public Space and others, amici curiae. I. The New York City Taxi and Limousine Commission did not exceed its authority in promulgating the revised Taxi of Tomorrow rules. (*Matter of Consolation Nursing Home v Commissioner of N.Y. State Dept. of Health*, 85 NY2d 326; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Metropolitan Taxicab Bd. of Trade v New York City Taxi & Limousine Commn.*, 18 NY3d 329; *Matter of Mercy Hosp. of Watertown v New York State Dept. of Social Servs.*, 79 NY2d 197; *Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Beer Garden v New York State Liq. Auth.*, 79 NY2d 266; *Committee for Taxi Safety, Inc. v City of New York*, 40 Misc 3d 930; *Bittrolff v Ho's Dev. Corp.*, 77 NY2d 896; *Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136.) II. The New York City Taxi and Limousine Commission did not violate the separation of powers doctrine in promulgating the Taxi of Tomorrow rules. (*Matter of Levine v Whalen*, 39 NY2d 510; *Boreali v Axelrod*, 71

NY2d 1; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681.)

OPINION OF THE COURT

STEIN, J.

The New York City Taxi and Limousine Commission (TLC) engaged in a lengthy process to create the “Taxi of Tomorrow,” culminating in rules that established a particular make and model of vehicle as the City’s official taxicab. We now hold that the TLC did not exceed its authority or violate the separation of powers doctrine by enacting those rules.

I.

Anyone reminiscing about New York City public transportation from the 1960s through at least the 1980s will probably evoke an image of Checker cabs driving residents and visitors through the busy City streets. Checker Motor Corporation made the iconic American taxicab that was valued by owners for its durability, and was appreciated by passengers for its large rear seat and trunk space. That era came to an end when the last Checker cab was produced in 1982, and they were all taken out of service as New York City taxis by the late 1990s. Just as the Checker cab was the iconic taxi of yesteryear, the TLC sought to discover or create an iconic Taxi of Tomorrow (ToT). That process has led to the case that is now before us.

The TLC, which regulates taxis and other cars for hire in New York City, was created in 1971 (*see* NY City Charter § 2300). In order to qualify as a taxi in New York City, a vehicle must carry passengers for compensation and be equipped with a taxi meter; it must also be painted yellow and display a current TLC medallion, which indicate that the vehicle is duly licensed to pick up passengers via street hails anywhere in the City (*see* Administrative Code of City of NY §§ 19-502 [l]; 19-504 [a] [1]; 19-514 [a]; 34 RCNY 4-01 [b]; L 2012, ch 9, § 11; *see also* *Greater N.Y. Taxi Assn. v State of New York*, 21 NY3d 289, 298 [2013]; Tax Law § 1280 [d]).¹ A medallion is required to operate a yellow cab, with the number of available medallions

1. Green cabs, also known as Boro Taxis, are permitted to pick up street hails only in areas of the City not adequately served by yellow cabs, including the boroughs outside of Manhattan (*see* 35 RCNY 82-52 [a]; L 2012, ch 9, § 4 [b], [c]; L 2011, ch 602; *see also* Tax Law § 1280 [o]). Those taxis are not at issue here.

set by the state legislature and the New York City Council (*see* General Municipal Law § 181; NY City Charter § 2303 [b] [4]; *see also* L 2011, ch 602, § 2). Most medallions are unrestricted, although some are limited to wheelchair accessible vehicles or alternative fuel vehicles; an unrestricted medallion may be used for those types of vehicles as well. With Checker—which is no longer in business—standing out as a notable exception, car manufacturers typically did not and do not design and produce vehicles with the intention that they be used as taxis. Instead, medallion owners would buy a passenger car meeting certain specifications and then “hack-up” that vehicle by adding a partition, roof light and other required equipment that is strictly regulated by the TLC (*see* 35 RCNY 67-05.1A). The use of passenger vehicles is less than ideal because taxis are subjected to long hours and rough driving conditions, as compared with average passenger vehicles. Additionally, the use of hacked-up passenger vehicles may pose safety risks. For example, crash testing is completed on a vehicle model before it is hacked up, and the partition that is added after crash testing may interfere with the inflation of side-curtain airbags during an actual collision.

Historically, the TLC set standards for all yellow cabs based on specifications (or specs) of a make and model of vehicle that was popular for use as a taxi. In the early 2000s, after passengers complained about insufficient legroom in vehicle models approved as taxis, Ford began making the stretch Crown Victoria, and the TLC—apparently after consulting with Ford—increased the required minimum legroom specs for all taxis to reflect the legroom in that model. The TLC acknowledged that, for years, the Crown Victoria was “the only commercially available vehicle model that has complied” with the taxi vehicle specs (35 RCNY 67-05, Note 1 [Statement of Basis and Purpose in City Record May 5, 2011]). That model became the most popular taxi vehicle, at one point comprising approximately 90% of the City’s fleet.

The TLC commenced the ToT program in 2007, partly spurred by Ford’s announcement that it planned to discontinue the Crown Victoria. The process began with committees and public hearings, engaging all taxi industry stakeholders (drivers, medallion owners and passengers), with the idea of designing a vehicle that would be manufactured primarily for use as a taxi, rather than retrofitting passenger vehicles for that purpose. As the process continued, the TLC initiated a request

for proposals in late 2009, seeking a manufacturer of original equipment to provide an innovative vehicle developed as a taxi, based on guidelines that included certain important qualities. The successful bidder would be awarded a 10-year exclusive contract for sales of this vehicle as the City's official taxi. The TLC narrowed the seven bidders down to three models, sought public and industry opinion and, finally, in mid-2011, selected the Nissan NV200 as the ToT. Rather than incorporating the specs from that model into the rules, as the TLC had historically done, the ToT rules specify the required make and model. Thus, with limited exceptions, the rules require each taxi owner to purchase an NV200 to replace an existing vehicle when it is retired (*see* 35 RCNY 51-03, 67-05.1B).

The Department of Citywide Administrative Services then entered into a Vehicle Supply Agreement (VSA) with Nissan. The VSA included the 10-year exclusive supply contract, provided the specs for the vehicle and set a maximum manufacturer's suggested retail price, but no minimum. Nissan was also required under the VSA to furnish a wheelchair accessible version, that would be up-fitted before delivery to any purchaser making that request, and to create a hybrid version in the future.² If a vehicle superior to the NV200 becomes available after five years, the TLC may provide notice to Nissan and terminate the VSA, unless Nissan modifies the NV200 or designs a new vehicle to match or exceed the specs of the superior vehicle. The VSA is not directly challenged here.³

After a challenge to the original ToT rules (*see Committee for Taxi Safety, Inc. v City of New York*, 40 Misc 3d 930 [Sup Ct, NY County 2013]), the TLC enacted revised ToT rules that

2. At oral argument, the parties discussed a December 2014 amendment to the VSA (eliminating the requirement that Nissan develop a hybrid version and providing that, if one is developed, there will be no exclusivity related to the hybrid version). That amended contract is not in the record before this Court and these changes have not been reflected in the rules.

3. We reject petitioners' characterization of the TLC as having entered into a partnership with Nissan. The TLC publicly issued a request for proposals that was open to any vehicle manufacturer. Once Nissan was chosen as the successful bidder—again, through a lengthy public process—the TLC necessarily worked closely with Nissan to ensure that the vehicle that was produced actually met the TLC's expectations, and to address other related issues, such as parts availability, vehicle service and conversion to a wheelchair accessible version. Nissan was a contractor for, not a partner with, the TLC. That agency retained its position as a regulator of all participants in the taxi industry, including the designer and supplier of the ToT.

were essentially the same, but contained an exemption for hybrid vehicles. Additionally, the revised rules provided new specs for hybrids, in order to bring the hybrid options more in line with the NV200. The hybrid rules are not challenged here; rather, the current challenge is limited to the TLC's selection of one vehicle model as the exclusive gas-powered taxi eligible for use by taxi medallion owners.

Petitioners, an association of medallion owners and an individual owner of a fleet, commenced this combined CPLR article 78 proceeding and declaratory judgment action, seeking to invalidate the ToT rules and obtain a related declaration. The petition alleged, among other things, that the TLC lacked authority to enact the ToT rules and violated the separation of powers doctrine in doing so. Supreme Court granted a motion to allow Nissan Taxi Marketing, N.A., LLC and Nissan North America, Inc. (collectively, Nissan) to intervene. On the merits, the court held that the TLC exceeded its authority under the City Charter and violated the separation of powers doctrine by intruding in the City Council's domain, and declared that the ToT rules were invalid (*see* 42 Misc 3d 324 [Sup Ct, NY County 2013]).

The Appellate Division, with one Justice dissenting, reversed Supreme Court's order and judgment and declared that the rules are valid (121 AD3d 21 [1st Dept 2014]). The same panel granted petitioners leave to appeal, and certified a question as to whether its order was properly made (2014 NY Slip Op 87340[U] [1st Dept 2014]).⁴

II.

Petitioners allege that the regulations challenged here are beyond the TLC's authority because they mandate a single gas-powered model as the City's official taxi vehicle, rather than setting specifications that could potentially be met by other makes and models (*see* 35 RCNY 67-05.1B). Petitioners acknowledge that the TLC has the authority to enact rules with stringent specs that can only be met by one model at the time the rules are enacted. In addition, petitioners do not dispute that the TLC has the authority to approve the use of a single vehicle model as part of a pilot project for limited periods

4. Due to the impending implementation of the rules in April 2015, this Court granted petitioners' motion for a stay pending appeal (25 NY3d 957 [2015]).

of time (see NY City Charter § 2303 [b] [9]; see also *Matter of Black Car Assistance Corp. v City of New York*, 110 AD3d 618, 618-619 [1st Dept 2013] [holding that the 12-month pilot E-Hail Program complies with NY City Charter § 2303 (b) (9)]). It is also undisputed that the City Council, itself, could enact a law limiting taxis to one model, or could specifically grant the TLC the authority to do so.⁵ Thus, the limited issue presented here is whether the TLC had the authority to require the use of a particular vehicle make and model as a taxi, as opposed to requiring taxi vehicles to meet certain specs, without the City Council explicitly specifying such authority, or whether the TLC intruded on the City Council's domain by enacting the ToT rules.

A legislature may enact a general statutory provision and delegate power to an agency to fill in the details, as long as reasonable safeguards and guidelines are provided to the agency (see *Boreali v Axelrod*, 71 NY2d 1, 10 [1987]). As a creation of a legislative body, the TLC possesses the powers expressly conferred by the City Council, as well as those "required by necessary implication" (*Matter of City of New York v State of N.Y. Commn. on Cable Tel.*, 47 NY2d 89, 92 [1979]; see *Matter of Mercy Hosp. of Watertown v New York State Dept. of Social Servs.*, 79 NY2d 197, 203 [1992]). "[A]n agency can adopt regulations that go beyond the text of [its enabling] legislation, provided they are not inconsistent with the statutory language or its underlying purposes" (*Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]). The question before us is whether the authority granted to the TLC by the City Council included the power to enact the ToT rules, or whether the agency has exceeded its authority and acted in a manner not contemplated by the legislative body (see *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289, 294 [2011]).

The issues of delegation of power and separation of powers overlap and are often considered together (see *Boreali*, 71 NY2d at 9). This makes sense because, if an agency was not delegated the authority to enact certain rules, then it would usurp the authority of the legislative branch by enacting those rules.

5. Any argument that a monopoly in favor of Nissan is improper is belied by these undisputed powers, which would permit the same single-source vehicle supply situation if it was achieved through a different process.

“The constitutional principle of separation of powers . . . requires that the [l]egislature make the critical policy decisions, while the executive branch’s responsibility is to implement those policies” (*Bourquin v Cuomo*, 85 NY2d 781, 784 [1995]). The branches of government cannot always be neatly divided, however, and common sense must be applied when reviewing a separation of powers challenge (*see id.* at 785). As long as the legislature makes the basic policy choices, the legislation need not be detailed or precise as to the agency’s role (*see id.*).

The City Council granted the TLC extremely broad authority to enact rules, including the ToT rules. The TLC was created with the stated purposes of “continuance, further development and improvement of taxi and limousine service in the city of New York” (NY City Charter § 2300). The City Charter provides that the TLC is authorized,

“consonant with the promotion and protection of the public comfort and convenience[,] to adopt and *establish an overall public transportation policy governing taxi . . . services* as it relates to the overall public transportation network of the city; to establish . . . *standards* for equipment safety and design; . . . and to set standards and criteria for the licensing of vehicles” used in taxi service (NY City Charter § 2300 [emphasis added]).

“The jurisdiction, powers and duties of the [TLC] shall include the regulation and supervision of the business and industry of transportation of persons by licensed vehicles for hire in the city” (NY City Charter § 2303 [a]). Such powers extend to, among other things, “standards and conditions of service” (NY City Charter § 2303 [b] [2]), “[r]equirements of standards of safety, and *design . . . of vehicles*” (NY City Charter § 2303 [b] [6] [emphasis added]), “[t]he *development and effectuation of a broad public policy of transportation . . . as it relates to forms of public transportation in the city, including innovation and experimentation in relation to type and design of equipment*” (NY City Charter § 2303 [b] [9] [emphasis added]), and the promulgation of rules to carry out the TLC’s purposes (*see* NY City Charter § 2303 [b] [11]).

[1] In granting the TLC this broad authority, the City Charter includes guidelines for the TLC to consider, such as “safety, and design, comfort, convenience, noise and air pollution control and efficiency in the operation of vehicles” (NY

City Charter § 2303 [b] [6]). Although the TLC has generally applied the “specs method” when promulgating rules about the design of taxis, it points to a major shortcoming of that method—the situation where no available model meets the specs in the rules as, for example, when Ford discontinued the Crown Victoria (35 RCNY 67-05, Note 1 [Statement of Basis and Purpose in City Record May 5, 2011]). The TLC determined that “[t]he most obvious alternative to vehicle specifications [is the] competitive selection of taxicab vehicle models,” as embodied in the ToT project (35 RCNY 67-05, Note 1 [Statement of Basis and Purpose in City Record May 5, 2011]). This new method was intended to be a more efficient way to reach the same result and, in our view, falls within the broad authority granted to the TLC.⁶

[2] In *Boreali*, the seminal case addressing the proper delegation of power, this Court set out four “coalescing circumstances” that are non-mandatory, somewhat-intertwined factors for courts to consider when determining whether an agency has crossed the hazy “line between administrative rule-making and legislative policy-making” (71 NY2d at 11). The first factor is whether the agency did more than “balanc[e] costs and benefits according to preexisting guidelines,” but instead made “value judgments entail[ing] difficult and complex choices between broad policy goals” to resolve social problems (*Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681, 698 [2014] [extending *Boreali* and separation of powers analysis to City agencies delegated powers under the City Charter]). Under the enabling legislation, the TLC was given the authority to make certain policy choices, consistent with the guidelines enumerated therein, and it has done so here. In developing the ToT rules, the TLC balanced the costs and

6. Petitioners argue that no agency has the authority to require medallion owners to enter into a contract with a particular manufacturer. Nevertheless, the rules under the specs method, while not explicitly stating so, had the effect of requiring owners to purchase a specific vehicle from a single manufacturer when only one vehicle model complied with those specs (i.e., the Ford stretch Crown Victoria). Petitioners do not complain about those rules and, in fact, have acknowledged that the TLC has the authority to make rules with specs that can be met by only one model. In our view, perhaps aside from the time period involved, this is a distinction without a difference. In any event, the ToT rules do not actually limit owners of unrestricted medallions to one model; they can currently choose the NV200, any of three hybrid models that meet the hybrid exemption and specs, or a wheelchair accessible model (see 35 RCNY 67-05.1B [b]).

benefits to all interested parties—passengers, owners, drivers and the general public—using many of the same guidelines that it previously used to develop rules with specs. The goal under both the specs method and the single model approach was to select the best taxi for all involved. Enactment of the ToT rules did not entail a difficult and complex choice among policy goals reserved for the City Council (*see Matter of New York City Comm. for Taxi Safety v New York City Taxi & Limousine Commn.*, 256 AD2d 136, 137 [1st Dept 1998] [holding that the TLC had authority to make rules requiring financial disclosure by medallion owners and related parties]), or an intrusion into “economic and social concerns . . . outside of [the TLC’s] proper sphere of authority” (*Boreali*, 71 NY2d at 12). Nor is the City Charter’s grant of authority to the TLC to create vehicle “standards” limited to the creation of specs. Rather, the broad authority granted to the TLC allows for the designation of a single vehicle model that was specifically designed—through a lengthy public process—to be a taxi. The choice of the best possible vehicle for use as a taxi plainly fits within the purposes of the TLC to develop and improve taxi service as part of the City’s overall public transportation system (*see* NY City Charter §§ 2300, 2303 [b] [9]).

The second *Boreali* factor is whether the agency merely filled in details of a broad policy or if it “wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance” (*Boreali*, 71 NY2d at 13). The TLC was not writing on a clean slate in the sense that it has always regulated the taxi industry as to almost every detail of operation. The City Council has largely left taxi regulation to the TLC, with little interference. The only instance of intervention identified by the parties was when the City Council required the TLC to “approve *one or more* hybrid electric vehicle *models* for use as a taxicab” (Administrative Code of City of NY § 19-533 [emphasis added]). The City Council’s use of the words “one or more,” together with the direction that the TLC approve a “*model* or *models*” (Administrative Code § 19-533 [emphasis added]), rather than specs, constitutes some legislative guidance from which we can infer that the Council generally recognized the single model method as within the TLC’s authority.

The third *Boreali* factor is whether the legislature has unsuccessfully tried to reach agreement on the issue, which would indicate that the matter is a policy consideration for the elected

body to resolve (see *Boreali*, 71 NY2d at 13). Petitioners' argument that the City Council has debated the one-model issue and failed to come to a resolution is without foundation. The bills that petitioners identify dealt with other matters, such as requiring all taxis to be hybrids or wheelchair accessible, not with whether all gas-powered taxis should be one model. Petitioners have not demonstrated that the Council tried, but failed, to make all taxis a single model. Additionally, there is no dispute that the TLC has historically based its specs on particular models; the practical result of that practice has not been meaningfully different from limiting the citywide fleet to one model. Where an agency has promulgated regulations in a particular area for an extended time without any interference from the legislative body, we can infer, to some degree, that the legislature approves of the agency's interpretation or action (see *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 866 [2003]; compare *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, 23 NY3d at 692-693, 700; *Boreali*, 71 NY2d at 13). As noted, the City Council has generally refrained from intervening in the TLC's broad regulation of the taxi industry—including as to the specific question at issue here—for over four decades.

The fourth *Boreali* factor, whether the agency used special expertise or competence in the field to develop the challenged regulations (see *Boreali*, 71 NY2d at 13-14), is neutral in this case. Technical expertise was clearly essential to select the single best model as the ToT, but not necessarily to decide whether to limit the selection to one model (regardless of which vehicle was chosen).

As noted, these factors are not mandatory, need not be weighed evenly, and are essentially guidelines for conducting an analysis of an agency's exercise of power. When this Court recently conducted a *Boreali* analysis in *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce*, to determine whether an agency's ban on large sugary drinks was permissible regulation, as opposed to impermissible policymaking, we focused on whether the challenged regulation attempted to resolve difficult social problems concerning matters of personal autonomy by "interfer[ing] with commonplace daily activities preferred by large numbers of people" (23 NY3d at 698-699 [noting that, while few people would risk the safety of their children near unguarded apartment windows, a significant number of people regularly overindulge in sugary drinks]).

Viewing the ToT rules with this overall focus, and concluding that they do not involve difficult social problems of any nature, our analysis compels the determination that the TLC engaged in proper rulemaking, rather than improper legislating.

Given the broad statutory powers granted to the TLC to set policy as guided by enumerated safeguards and guidelines, the TLC did not exceed its authority or intrude on the City Council's domain in violation of the separation of powers doctrine by enacting the ToT rules. Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur.

Order affirmed, with costs, and certified question answered in the affirmative.

[36 NE3d 645, 15 NYS3d 738]

In the Matter of GREATER JAMAICA DEVELOPMENT CORPORATION
et al., Respondents, v NEW YORK CITY TAX COMMISSION et
al., Appellants.

Argued June 2, 2015; decided July 1, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 27, 2013. The Appellate Division (1) reversed, on the law, so much of an order and judgment (one paper) of the Supreme Court, Queens County (Bernice D. Siegal, J.), entered in a proceeding pursuant to CPLR article 78, as had (a) denied that branch of the petition to annul a determination of respondent New York City Department of Finance revoking a tax exemption granted to certain public parking facilities owned and operated by petitioners, and (b) granted respondents' cross motion to dismiss the petition; (2) granted the branch of the petition to annul the determination; (3) annulled the determination; and (4) denied respondents' cross motion.

Matter of Greater Jamaica Dev. Corp. v New York City Tax Commn., 111 AD3d 937, reversed.

HEADNOTES

Taxation — Exemptions — Real Property Tax — Tax-Exempt Purpose — Parking Facilities Owned and Operated by Charity

1. Parking facilities owned and operated by petitioner limited liability company, which was formed for the purpose of acquiring, owning, developing and operating public parking facilities on a nonprofit basis to further the charitable goal of its sole member, petitioner not-for-profit corporation, were not entitled to real property tax exemptions because the ownership and use of the facilities was not incidental to a tax-exempt purpose. Real property owned by a corporation or association that is organized or conducted exclusively for charitable purposes, if used exclusively for such purposes, will be exempt from taxation (RPTL 420-a [1] [a]). Whether the property is used "exclusively" depends on whether its "primary use" is in furtherance of the permitted purposes. Here, respondent taxing authority established that it properly revoked the exemption by demonstrating that while the parking facilities, which provided below-market, reasonably-priced parking for local businesses and religious organizations, may have served an important public purpose and supported development of a community, those factors did not qualify it for a charitable exemption. Petitioners collected monies that exceeded the carrying costs of the facilities and were used to fund other operations. Although petitioners were exempt from federal income tax as charitable organizations and presented other evidence establishing that they

were organized or conducted exclusively for charitable purposes, they failed to demonstrate that the use of the parking facilities was consistent with their exempt purposes. The corporation's overall goal was to create and maintain a viable downtown area. The economic benefit conveyed by the parking facilities inured to the benefit of private enterprise and the customers, and thus could not be said to further any charitable purpose. Whether the facilities lessened the burden on local government was irrelevant because public benefit is not the test of qualification for exemption. Notwithstanding any tenuous connection between the monies raised and other charitable purposes engaged in by petitioner corporation, the parking lots' primary use was to generate profits for distribution to the corporation.

**Taxation — Exemptions — Real Property Tax — Parking Facilities
Owned and Operated by Charity — No Presumption of Entitle-
ment to Exemption Based on Federal Tax-Exempt Status**

2. Evidence of an organization's status as exempt from federal income tax under Internal Revenue Code (26 USC) § 501 (c) (3), by itself, does not create a presumption that the entity is entitled to a real property tax exemption under RPTL 420-a. Local governments derive significant revenue from the imposition of real property taxes, and federal income tax standards cannot be utilized to create a presumption in favor of a property owner seeking an exemption from a state real property tax. Moreover, Internal Revenue Code § 501 (c) (3) and RPTL 420-a utilize different tests in determining whether an organization is entitled to a tax exemption under the relevant statute. Section 501 (c) (3) requires an analysis of the organization and its operation as a whole. In contrast, section 420-a (1) (a) considers whether the real property is owned by a corporation or organization that is "organized or conducted exclusively" for one of the exempt purposes and "used exclusively for carrying out thereupon one or more of such purposes." The critical analysis for real property tax exemption purposes is the ownership and use of the property by the organization seeking the exemption. Finally, the Internal Revenue Code contains a broad definition of what constitutes a "charitable" purpose (26 CFR 1.501(c)(3)-1 [d] [2]), while section 420-a does not contain a definition of that term. Had the legislature intended for the expansive federal definition to apply in section 420-a, it could have adopted it or referenced it in the statute. While courts are not prohibited from considering an entity's section 501 (c) (3) status as part of their overall analysis under RPTL 420-a, evidence of an organization's status as exempt from federal income tax under Internal Revenue Code (26 USC) § 501 (c) (3), by itself, does not create a presumption that the entity is entitled to a real property tax exemption under RPTL 420-a.

**Taxation — Exemptions — Real Property Tax — Parking Facilities
Owned and Operated by Charity — No Presumption of Entitle-
ment to Exemption Based on Federal Tax-Exempt Status**

3. Evidence of an organization's status as exempt from federal income tax under Internal Revenue Code (26 USC) § 501 (c) (3), by itself, does not create a presumption that the entity is entitled to a real property tax exemption under RPTL 420-a. To the extent that lower court cases have held that such a presumption exists, they should no longer be followed for that proposition (see e.g. *Oorah, Inc. v Town of Jefferson*, 119 AD3d 1179, 1181 [3d Dept 2014]; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21, 23 [3d Dept 2012]).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 269, 270, 273, 276, 285.
McKINNEY'S, RPTL 420-a (1) (a).
NY JUR 2d, Taxation and Assessment §§ 176–178, 183, 185, 188, 191.
26 USCA § 501 (c) (3).

ANNOTATION REFERENCE

Garage or parking lot as within tax exemption extended to property of educational, charitable, or hospital organizations. 33 ALR3d 938.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (Vincent D'Orazio, Leonard Koerner and Andrea M. Chan of counsel), for appellants. The decision of the Appellate Division is contrary to Court of Appeals precedent because it improperly accords significant weight to Internal Revenue Code (26 USC) § 501 (c) (3) status in determining eligibility for an RPTL 420-a state law real property tax exemption and because it expands the definition of “charitable” under RPTL 420-a to reach for-profit, stand-alone parking facilities because the facilities are claimed to benefit the public, a result contrary to the *Matter of Lackawanna Community Dev. Corp. v Krakowski* (12 NY3d 578 [2009]) decision of this Court. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of New York Botanical Garden v Assessors of Town of Washington*, 55 NY2d 328; *Matter of Niagara Mohawk Power Corp. v Town of Potsdam Bd. of Assessors*, 216 AD2d 775, 87 NY2d 802; *Matter of Miriam Osborn Mem. Home Assn. v Assessor of City of Rye*, 275 AD2d 714; *Matter of Quail Summit, Inc. v Town of Canandaigua*, 55 AD3d 1295, 11 NY3d 716; *Matter of Colt Indus. v New York City Dept. of Fin.*, 66 NY2d 466; *Matter*

of Mobil Oil Corp. v Finance Adm'r of City of N.Y., 58 NY2d 95;
Matter of Swedenborg Found. v Lewisohn, 40 NY2d 87.)

Manatt, Phelps & Phillips, LLP, New York City (Ronald G. Blum, Kimo S. Peluso and Andrew Case of counsel), for respondents. I. The Appellate Division correctly found that Greater Jamaica Development Corporation operates pursuant to a charitable purpose, because developing an economically distressed community relieves poverty and lessens the burdens of government. (*Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21; *Economic Opportunity Commn. of Nassau County v Village of Hempstead*, 148 AD2d 570; *Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205; *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476; *Matter of North Manursing Wildlife Sanctuary [City of Rye]*, 48 NY2d 135; *Matter of Rockefeller*, 177 App Div 786; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143.) II. The Appellate Division's consideration of respondents' exempt status and the Internal Revenue Service tax ruling was correct. (*Matter of Swedenborg Found. v Lewisohn*, 40 NY2d 87; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67.) III. Greater Jamaica Development Corporation uses the properties for a charitable purpose and appellants failed to meet their burden to prove otherwise. (*Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361; *Matter of Miriam Osborn Mem. Home Assn. v Assessor of City of Rye*, 80 AD3d 118; *Matter of TAP, Inc. v Dimitriadis*, 49 AD3d 947; *Matter of Ellis Hosp. v Fredette*, 27 AD2d 390; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Vassar Bros. Hosp. v City of Poughkeepsie*, 97 AD3d 756; *Matter of Stuyvesant Sq. Thrift Shop v Tax Commn. of City of N.Y.*, 54 NY2d 735; *Matter of Salvation Army v Commission of Assessment & Taxation of Vil. of Port Chester*, 110 Misc 2d 1036; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21.)

Richard J. Sinnott, New York State Conference of Mayors and Municipal Officials, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The

Appellate Division decision in this case fails to follow decisions of this Court which distinguish determinations of taxable status under New York's Real Property Tax Law from such determinations for other tax purposes. (*Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143; *Matter of Swedenborg Found. v Lewisohn*, 40 NY2d 87; *Yeshiva Beth Yehuda V'Chaim D'Betlan v Town of Shandaken*, 100 AD2d 641; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21.) II. When the New York State Legislature wishes to defer decision-making to another entity, such as the Internal Revenue Service, it does so explicitly. (*Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578.)

Greenberg Traurig, LLP, New York City (*James W. Perkins, Edward C. Wallace and Lauren B. Grassotti* of counsel), for Lawyers Alliance for New York and others, amici curiae. I. Greater Jamaica Development Corporation's work assisting economic development of Jamaica through the provision of subsidized municipal parking facilities is a charitable purpose within the meaning of RPTL 420-a. (*Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67; *Matter of Canton Human Servs. Initiatives, Inc. v Town of Canton*, 4 Misc 3d 413; *People ex rel. Doctor's Hosp., Inc. v Sexton*, 267 App Div 736, 295 NY 553; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21; *Matter of Ellis Hosp. v Assessor of City of Schenectady*, 288 AD2d 581; *Matter of Spectapark Assoc. v City of Albany Dept. of Assessment & Taxation*, 12 AD3d 800.) II. The Appellate Division correctly reversed the trial court because appellants failed to satisfy their burden to show that respondents' parking facilities are subject to taxation. (*People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Ecclesia Word Ministries Intl., Inc. v Brophy*, 21 AD3d 372; *Otrada, Inc. v Assessor, Town of Ramapo*, 41 AD3d 678; *Matter of New York Botanical Garden v Assessors of Town of Washington*, 55 NY2d 328; *Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578.) III. Appellants erroneously contend that the Internal Revenue Service determination concerning respondents' status as tax exempt entities under section 501 (c) (3) of the Internal Revenue Code (26 USC) provided the basis for the Appellate Division's decision. IV. Assuming arguendo that respondents' status as tax exempt entities under section 501 (c) (3) of the Internal Revenue Code (26 USC) and a charitable corporation under the Not-For-Profit Corporation Law is properly before

this Court, respondents should be presumptively entitled to the charitable exemption under New York State law. (*Stephenson v Hotel Empls. & Rest. Empls. Union Local 100 of AFL-CIO*, 6 NY3d 265; *Matter of Swedenborg Found. v Lewisohn*, 40 NY2d 87; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143.) V. The government is incorrect in its argument that charitable corporations that generate excess revenue are commercial enterprises per se. (*Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205; *Congregation Rabbinical Coll. of Tartikov, Inc. v Town of Ramapo*, 17 NY3d 763; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Matter of Merry-Go-Round Playhouse, Inc. v Assessor of City of Auburn*, 24 NY3d 362; *Matter of Symphony Space v Tishelman*, 60 NY2d 33; *Gospel Volunteers v Village of Speculator*, 33 AD2d 407, 29 NY2d 622; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361.)

OPINION OF THE COURT

PIGOTT, J.

Petitioner Jamaica First Parking, LLC owns and operates five commercial parking facilities for the purpose of furthering the goal of its sole member—not-for-profit corporation Greater Jamaica Development Corporation—to revitalize downtown Jamaica, Queens. The issue on this appeal is whether respondent New York City Tax Commission improperly revoked Jamaica First’s real property tax exemption pursuant to Real Property Tax Law § 420-a (1) (a). We hold that because Jamaica First’s ownership and operation of the parking facilities is not incidental to a tax-exempt purpose, it is not entitled to a real property tax exemption under that statute.

I.

Greater Jamaica was formed in 1967 to promote commerce and business growth in downtown Jamaica. It is exempt from federal income taxation pursuant to Internal Revenue Code (26 USC) § 501 (c) (3),¹ and, as Greater Jamaica’s certificate of incorporation states, it is “organized and . . . operated

1. As relevant here, the following organizations are exempt from federal income taxation under this provision: “Corporations, and any community chest, fund, or foundation, organized and operated exclusively for religious,

(n. cont’d)

exclusively for charitable, scientific and educational purposes within the meaning of [that section].” Such purposes include, among other things, the promotion and coordination of Jamaica’s business, commercial and retail districts; the encouragement of development of Jamaica’s commercial, industrial and manufacturing facilities; and the provision of support and assistance in the planning, development and expansion of Jamaica’s cultural, recreational, governmental and transportation facilities.

Consistent with those purposes, in 1996, Greater Jamaica purchased a parking garage from the City of New York through New York City’s Economic Development Corporation (EDC). Two years later, Greater Jamaica formed Jamaica First, a Delaware limited liability company, with Greater Jamaica constituting Jamaica First’s sole member. Jamaica First’s amended and restated limited liability company agreement states that Jamaica First was “formed for the purpose of acquiring, owning, developing and operating public parking facilities on a nonprofit basis, including financing the acquisition and development of three public parking facilities in Jamaica, New York, in furtherance of the charitable purposes of the Member.” Jamaica First’s certificate of formation provides that it “shall carry on any lawful purpose or activity not inconsistent with” Greater Jamaica’s tax-exempt status under Internal Revenue Code (26 USC) § 501 (c) (3).

In 2001, Jamaica First purchased three parking facilities from the City of New York through the EDC; said facilities had previously been operated by the New York City Department of Transportation. Greater Jamaica expended monies to renovate and upgrade the facilities. That same year, the Internal Revenue Service (IRS) issued Greater Jamaica a private letter ruling explaining that the separate legal existence of Jamaica First would be disregarded for federal income tax purposes, such that the acquisition, financing, renovation, operation and use of the parking facilities by Jamaica First would be treated for federal income tax purposes as the acquisition, financing, renovation, operation and use of the parking facilities by Greater Jamaica. Moreover, according to the letter ruling, Jamaica First’s operation of the parking facilities would be substantially related to Greater Jamaica’s charitable exempt

charitable, scientific, testing for public safety, literary, or educational purposes” (emphasis supplied).

purposes under Internal Revenue Code (26 USC) § 501 (c) (3) and would lessen the burdens of government within the meaning of 26 CFR 1.501(c)(3)-1 (d) (2).

In 2004, Greater Jamaica conveyed the parking garage it purchased in 1996 to Jamaica First. Jamaica First thereafter purchased vacant land from the City and finished construction of a 410-car parking garage on that property in 2006. According to Greater Jamaica and Jamaica First, all five parking facilities provide below-market, reasonably-priced parking for local retail stores, state and federal office buildings and religious organizations.

In 2007, respondent New York City Department of Finance (DOF) granted real property tax exemptions for the five parking facilities pursuant to RPTL 420-a (1) (a). Four years later, the DOF revoked the exemptions, stating that the properties' uses as parking facilities did not fall into any of the enumerated uses of section 420-a and asserting that the status that the IRS bestowed upon Greater Jamaica was "not determinative of the issue of charitable use of the property as defined by 420-a." The DOF determined that the use of the parking facilities, even for economic development of an underdeveloped area, did not constitute a "charitable" use, and that the parking facilities were "not incidental to another recognized charitable purpose but [were] the very purpose for which the property [was] being used." According to the DOF, although the parking facilities served an important public purpose like community development, that purpose by itself did not qualify the properties for a charitable exemption under section 420-a.

II.

Greater Jamaica and Jamaica First (collectively, petitioners) commenced this hybrid proceeding pursuant to RPTL article 7 and CPLR article 78 against the DOF and the New York City Tax Commission (collectively, City) requesting a judgment declaring that the City's decision to revoke the exemptions was arbitrary and capricious and contrary to law and that Jamaica First was entitled to the exemptions. Petitioners also sought a judgment directing the City to grant the tax exemptions.² The City cross-moved for an order dismissing that part of the

2. Petitioners further sought a judgment pursuant to article 7 of the RPTL challenging the amount of the assessments, but that challenge is not at issue on this appeal.

petition seeking relief pursuant to CPLR article 78, relying on its 2011 revocation letter along with the statements in the amended verified petition and Jamaica First's amended limited liability agreement that Jamaica First was "formed for the purpose of acquiring, owning, developing and operating public parking facilities on a nonprofit basis" as part of Greater Jamaica's charitable purpose of promoting commerce and business growth in Jamaica. The City argued that the parking facilities were not entitled to a section 420-a exemption because they were neither owned nor operated exclusively for a charitable purpose. Supreme Court upheld the City's revocation of the tax exemption and granted its cross motion to dismiss the petition.

The Appellate Division reversed the order and judgment insofar as appealed from by petitioners, granted the parking facilities the tax exemption, annulled the City's determination and denied the City's cross motion (111 AD3d 937, 937 [2d Dept 2013]). It held that the City failed to meet its burden of establishing "revocation of the tax exemption on the grounds that the petitioners' activity did not conform to a charitable purpose within the meaning of RPTL 420-a" (*id.* at 939). The Court explained that

"[a]bsent a precise statutory definition of 'charitable purpose,' courts have interpreted this category to include relief of poverty, advancement of governmental and municipal purposes, and other objectives that are beneficial to the community. Furthermore, a property owner seeking a real property tax exemption which demonstrates that it is a not-for-profit entity whose tax-exempt status has been recognized by the [IRS] and whose property is used solely for charitable purposes has made a presumptive showing of entitlement to exemption" (*id.* [some internal quotation marks, brackets and citations omitted]).

The Appellate Division pointed to petitioners' submission of the IRS's letter ruling recognizing them as charitable organizations, and also to Greater Jamaica's certificate of incorporation—which stated that Greater Jamaica was to be operated for charitable purposes—as proof that it was operated for a charitable purpose (*see id.*). As to Jamaica First, the Court observed that Jamaica First's certificate of formation explained that it was created to carry out Greater Jamaica's "charitable

purposes by acquiring and operating public parking facilities on a nonprofit basis,” such that both organizations had established that they were formed for a charitable purpose pursuant to RPTL 420-a (*id.* at 939-940). Finally, according to the Appellate Division, “petitioners demonstrated that the use of their public parking facilities was consistent with their exempt purpose, as expressly noted by the IRS in granting such operation tax exempt status,” because their “charitable purpose was to improve Jamaica’s business district through further economic development, [and] offering convenient and inexpensive public parking to attract visitors and businesses was central to their aim” (*id.* at 940).

We granted the City leave to appeal (23 NY3d 908 [2014]) and now reverse.

III.

RPTL 420-a (1) (a) provides that real property owned by a corporation or association that is “organized or conducted exclusively for . . . charitable . . . purposes,” if used “exclusively” for such purposes, will be exempt from taxation. We have held that “[t]he term ‘exclusively’, in this context, has been broadly defined to connote ‘principal’ or ‘primary’ such that purposes and uses merely ‘auxiliary or incidental to the main and exempt purpose and use will not defeat the exemption’ ” (*Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244, 249 [1992], quoting *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143, 153 [1974]). Thus, whether property is used “exclusively” for purposes of section 420-a is dependent upon whether the “primary use” of the property is in furtherance of permitted purposes (*Matter of Yeshivath Shearith Hapletah*, 79 NY2d at 250).

Here, the City revoked the parking facilities’ section 420-a tax exemption after having previously allowed the exemption in 2007. Although the burden of proof generally lies with the party seeking the exemption, in a situation like this, where the taxing authority seeks to revoke that exemption previously granted, it is the taxing authority that has the burden of establishing that the property is not exempt from taxation (see *Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578, 581 [2009], citing *Matter of New York Botanical Garden v Assessors of Town of Washington*, 55 NY2d 328, 334 [1982]). In order to meet that burden, the City was required to

demonstrate either that petitioners were not “organized or conducted exclusively for” exempt purposes or that the parking facilities were not “used exclusively for carrying out thereupon one or more” exempt purposes (RPTL 420-a [1] [a]; see *Congregation Rabbinical Coll. of Tartikov, Inc. v Town of Ramapo*, 17 NY3d 763, 764 [2011] [holding that municipality failed to establish that the primary use of the property was not in furtherance of a tax-exempt purpose]).

The City revoked the tax exemption on the ground that it was erroneously awarded in the first instance. It met its burden in this regard by demonstrating that the “use” of the parking facilities was not for “charitable” purposes but rather for economic development, and that the use of the parking facilities was not “incidental to another recognized charitable purpose.” Specifically, the City’s revocation letter explained that the City reached its determination after reviewing documents submitted to it by Greater Jamaica and case law from this Court. The City also explained why it believed that the status granted Greater Jamaica by the IRS had no bearing on the issue of “charitable use” of the parking facilities under section 420-a. The letter stated that although the parking facilities may have served “an important public purpose and support[ed] development of a community,” those factors did not qualify the facilities for a charitable exemption. Indeed, according to the City’s review of the ownership structure of the lots along with other documentation, it appeared that Jamaica First collected monies that exceeded the carrying, maintenance and depreciation charges attributable to the premises and that Jamaica First utilized those excess proceeds to fund other additional operations, such as the purchase of an additional parking lot.

[1] The City submitted additional proof in the form of an affirmation by the City’s Assistant Corporation Counsel, which pointed out that the factual allegations in the petition established that the facilities were not entitled to the exemption because Jamaica First was established for the sole purposes of acquiring, owning, developing and operating public parking facilities to promote Greater Jamaica’s primary purpose of promoting commerce and business growth in Jamaica. Thus, the grounds in the City’s revocation letter, which were plainly sufficient on their own but nonetheless elucidated by the affirmation of the City’s Assistant Corporation Counsel detailing how the allegations in the petition established that the parking facilities were not being operated

for a charitable purpose, were sufficient to meet the City's initial burden of establishing that petitioners were not entitled to the tax exemption, i.e., that the use of the property was not in furtherance of a tax-exempt purpose, thereby shifting the burden to petitioners to establish their entitlement to an exemption. We hold that petitioners did not meet their burden in that regard.

IV.

Although our inquiry as to whether petitioners established that the parking facilities are entitled to a tax exemption would ordinarily begin with an analysis of whether petitioners were “organized or conducted exclusively for” a tax-exempt purpose (RPTL 420-a [1] [a]), we assume for purposes of this appeal that they were.³ However, we must nonetheless clarify that the Appellate Division erred to the extent that it held that petitioners made a *presumptive* showing of their entitlement to a real property tax exemption under section 420-a by establishing that their tax-exempt status as a “charitable organization” had been recognized by the IRS (111 AD3d at 939, citing *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21, 23 [3d Dept 2012], quoting *Yeshiva Beth Yehuda V'Chaim D'Betlan v Town of Shandaken*, 100 AD2d 641, 642 [3d Dept 1984]). *Yeshiva Beth* involved an attempt by a school district to vacate a default judgment against it that had been obtained by a religious corporation (100 AD2d at 642). The Court held that the school district was unable to refute the religious corporation's “presumptive showing” of entitlement to an exemption through its averment that it was a religious corporation whose tax-exempt status had been recognized by the IRS and that the property was used for a religious purpose (*id.*).

In *Yeshiva Beth*, not only was the procedural posture different from the one presented here, it also involved a religious organization. Such organizations are recognized by both Internal Revenue Code (26 USC) § 501 (c) (3) and RPTL 420-a (1) (a).

3. Indeed, there is evidence in the record that both petitioners met this standard. Affixed to the petition are Greater Jamaica's certificate of incorporation, which provides that it is a not-for-profit entity that was operated for, among other things, charitable purposes, and Jamaica First's certificate of formation, which states that it was created to assist in the charitable purposes of its member, Greater Jamaica. Greater Jamaica's president submitted an affidavit detailing certain of the works engaged in by Greater Jamaica that could arguably be considered “charitable.”

Indeed, a closer look at both provisions indicates that there is some overlap between the two in the criteria that the relevant taxing authorities will consider in determining whether a corporation is either exempt from federal income taxation under Internal Revenue Code (26 USC) § 501 (c) (3) or entitled to an exemption under RPTL 420-a (1) (a) (*see* Internal Revenue Code [26 USC] § 501 [c] [3] [organizations that are “organized and operated exclusively for religious, charitable, scientific . . . or educational purposes” entitled to federal income tax exemption]; RPTL 420-a [1] [a] [real property entitled to tax exemption if “owned by a corporation or association organized or conducted exclusively for religious (or) charitable . . . purposes”]). However, there are significant distinctions between the two provisions that prohibit the application of the type of presumption that the Appellate Division utilized in this case.

First, as already noted, Internal Revenue Code (26 USC) § 501 (c) (3) exempts certain organizations from *federal income taxation*. Section 420-a exempts certain organizations from *real property taxation*. Our local governments derive significant revenue from the imposition of real property taxes, and federal income taxation standards cannot be utilized to create a presumption in favor of a property owner seeking an exemption from a state real property tax.

Second, Internal Revenue Code (26 USC) § 501 (c) (3) and section 420-a utilize different tests in determining whether a given organization is entitled to a tax exemption under the relevant statute. Internal Revenue Code (26 USC) § 501 (c) (3) utilizes a two-pronged “organizational” and “operational” test, meaning that the organization must be “organized exclusively for one or more exempt purposes” delineated in that section (26 CFR 1.501[c][3]-1 [b] [1] [i]) *and* it must be “operated exclusively for one or more exempt purposes” (26 CFR 1.501[c][3]-1 [c] [1]). This requires an analysis of the organization and its operation as a whole. In contrast, section 420-a (1) (a) considers whether the real property is *owned* by a corporation or organization that is “organized or conducted exclusively” for one of the exempt purposes and whether the property is “*used exclusively* for carrying out thereupon one or more of such purposes” (emphasis supplied), meaning that the critical analysis for real property tax exemption purposes requires an analysis of the ownership and use of the property by the organization seeking the exemption.

And, finally, the Internal Revenue Code contains a broad definition of what constitutes a “charitable” purpose. Specifically, the term “charitable” as used by Internal Revenue Code (26 USC) § 501 (c) (3) is defined as

“[r]elief of the poor and distressed or of the underprivileged; advancement of religion; advancement of education or science; erection or maintenance of public buildings, monuments, or works; lessening of the burdens of [g]overnment; and promotion of social welfare by organizations designed to accomplish any of the above purposes, or (i) to lessen neighborhood tensions; (ii) to eliminate prejudice and discrimination; (iii) to defend human and civil rights secured by law; or (iv) to combat community deterioration and juvenile delinquency” (26 CFR 1.501[c][3]-1 [d] [2]).

In contrast, section 420-a does not contain a definition of what constitutes a “charitable” purpose, although, if the legislature intended for such an expansive definition of charitable purpose to apply, it could have easily referenced the Internal Revenue Code’s definition in section 420-a or adopted it outright.

[2, 3] That being said, although an entity’s section 501 (c) (3) status does not entitle it to a presumption that it is “organized or conducted exclusively for” a tax-exempt purpose under RPTL 420-a (1) (a), that does not mean that courts considering an owner’s entitlement to an exemption under that statute are prohibited from considering the entity’s section 501 (c) (3) status as part of their overall analysis. Rather, we hold that evidence of an organization’s section 501 (c) (3) status, by itself, does not create a presumption that the entity is entitled to a tax exemption under section 420-a. This is evident from our prior holdings, where we have specifically stated that, for purposes of determining a real property tax exemption, a “favorable determination[] from the United States Department of the Treasury as to [an entity’s] exempt status for other tax purposes” is not dispositive (see *Matter of Swedenborg Found. v Lewisohn*, 40 NY2d 87, 95 [1976] [holding that non-profit corporation that distributed writings of theologian that were sold at or below cost or distributed at no cost was not entitled to real property tax exemption because its purpose was neither primarily religious nor charitable]; *Matter of Association of Bar of City of N.Y.*, 34 NY2d at 154 [finding unpersuasive decisions acknowledging the “charitable” character of

bar associations]). Therefore, to the extent lower court cases have held that such a presumption exists (*see e.g. Oorah, Inc. v Town of Jefferson*, 119 AD3d 1179, 1181 [3d Dept 2014]; *Matter of Plattsburgh Airbase Redevelopment Corp.*, 101 AD3d at 23), they should no longer be followed for that proposition.

[1] Although we do not disturb the Appellate Division's holding that petitioners met the "organized or conducted exclusively for . . . charitable . . . purposes" prong of the tax exemption test, we part company with the Appellate Division relative to its holding that "petitioners demonstrated that the *use* of their public parking facilities was consistent with their exempt purpose, *as expressly noted by the IRS in granting such operation tax exempt status*" (111 AD3d at 940 [emphasis supplied]). By so holding, the Appellate Division utilized the petitioners' organizational status under Internal Revenue Code (26 USC) § 501 (c) (3) to support its holding that petitioners demonstrated that the *use* of the parking facilities was for an exempt purpose. This was error.

As explained above, the IRS's definition of what constitutes an exempt "charitable" purpose is exceedingly broad, including, among other things, "[the] lessening of the burdens of [g]overnment" (26 CFR 1.501[c][3]-1 [d] [2]), while the second prong of section 420-a (1) (a) requires a court to review "the actual or physical use of the property . . . when it exempts from taxation property 'used exclusively for carrying out thereupon one or more' exempt purposes" (*Matter of Lackawanna Community Dev. Corp.*, 12 NY3d at 581 [emphasis omitted], quoting RPTL 420-a [1] [a]). Thus, our analysis under section 420-a is concerned with the "use" of the parking facilities as a whole, and whether the facilities are "used exclusively for carrying out thereupon one or more of [section 420-a's] purposes."

Petitioners argue that the facilities provide "below-market, reasonably-priced parking" for residents, workers and visitors to downtown Jamaica's retail stores and government offices. They claim that the revocation of tax-exempt status will result in the loss of business and visitors to malls and shopping areas with more affordable (or free) parking. While Greater Jamaica's overall goal to create and maintain a viable downtown Jamaica is commendable, as are the means in facilitating that goal, i.e., through the operation of parking facilities that enable visitors to frequent local businesses, that does not mean that the facilitation of parking for such purposes constitutes a charitable use of the property under section 420-a (1) (a).

We disagree with petitioners' assertion that the parking facilities are charitable in and of themselves because they fulfill the primary purpose of economic development. The economic benefit conveyed by below-market rate parking, however, inures to the benefit of private enterprise and cannot be said to further any charitable purpose. It lessens the burden of local businesses, obviating any need for them to make their own parking arrangements for prospective customers. The below-market rates that the facilities charge provide an incentive for the public to patronize those businesses, providing a dual benefit for local businesses and a benefit to prospective customers of those businesses. While these goals may be laudable, they are not charitable.

The petitioners further claim that the parking facilities lessen the burden on local government, which, incidentally, is deemed a "charitable" purpose under the Internal Revenue Code (*see* 26 CFR 1.501[c][3]-1 [d] [2]). They claim that the creation of the parking facilities relieved Jamaica of the burden of operating public parking lots. Essentially, petitioners' argument is that the parking facilities provide a public benefit. But, as we have held on more than one occasion, "public benefit is not the test of qualification for exemption" (*Matter of Association of Bar of City of N.Y.*, 34 NY2d at 154-155; *see Matter of Swedenborg Found.*, 40 NY2d at 95).

To be sure, we have observed that "[f]or property to be entitled to an exemption on the ground that it is being used for a charitable purpose, it must *a fortiori* be used for a public purpose," explaining, for example, that "one may not establish a trust solely for the benefit of oneself and one's family, and then obtain a tax exemption for property owned by such a trust by claiming that it is a charitable organization" (*Matter of North Manursing Wildlife Sanctuary [City of Rye]*, 48 NY2d 135, 140 [1979] [emphasis supplied]). We explained in *Matter of North Manursing* that exemptions are provided for those charitable uses that benefit the public and "not for so-called 'charities' which benefit only their creators" (*id.*). Our utilization of the term "public purpose" and indirect reference to "public benefit" acknowledges that while consideration of the benefit bestowed upon the public is but one factor that the courts may consider in determining whether the property is "used exclusively" for one of the enumerated tax-exempt purposes, it is the "used exclusively" test, and not the alleged "public benefit" test, that is the relevant inquiry. The parking facilities may

very well provide a “public benefit,” but the overall use to which these facilities are put, i.e., to further economic development and lessen the burdens of government, cannot be deemed “charitable” within the meaning of section 420-a (1) (a).

Nor can it be said that the operation of the parking facilities is “incidental” to a charitable purpose in the vein of similar uses that we, and other courts, have upheld as tax-exempt (see *Matter of Merry-Go-Round Playhouse, Inc. v Assessor of City of Auburn*, 24 NY3d 362, 368 [2014] [use of apartment buildings to provide housing for summer stock actors was incidental to theater organization’s primary purpose of encouraging art appreciation through theater]; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205, 216 [2008] [use of residences by participants in a community reentry program was incidental to the property owner’s “charitable purpose” of combating homelessness and drug abuse among low-income people]; *Matter of St. Luke’s Hosp. v Boyland*, 12 NY2d 135, 143 [1962] [partial tax exemption granted to portions of 10 apartment buildings owned by hospital because use of the apartments, which were occupied by its staff and their families, was “reasonably incidental” to the hospital’s primary purpose]; see also *Matter of Vassar Bros. Hosp. v City of Poughkeepsie*, 97 AD3d 756, 759 [2d Dept 2012] [parking garage parcel only partially exempt where a substantial portion of said garage was “allocated for a use not reasonably incidental to the purpose of the hospital,” i.e., a medical office adjacent to the garage]; *Matter of St. Francis Hosp. v Taber*, 76 AD3d 635, 640 [2d Dept 2010] [partial exemption granted for parking garage adjacent to nonprofit hospital that was utilized by hospital’s visitors, patients and staff, since such use was “necessarily incidental” to the hospital’s exempt purpose]; *Matter of Ellis Hosp. v Assessor of City of Schenectady*, 288 AD2d 581, 583 [3d Dept 2001]).

In *Vassar Bros.*, *St. Francis Hosp.* and *Ellis Hosp.*, the courts held that the nonprofit hospitals’ parking spaces that were set aside for employees and patients of *private* medical clinics were not entitled to a tax exemption because such uses were not “incidental” to the nonprofit hospitals’ primary purposes. The same can be said for the uses of parking facilities in this instance. They are commercial lots that exist to promote economic development in downtown Jamaica, providing easy access to local retail stores and government buildings. While there may be a tenuous connection between the monies raised

from the parking facilities and other charitable purposes engaged in by Greater Jamaica—indeed, petitioners acknowledge that Jamaica First “has contributed excess revenues to assist [Greater Jamaica] in meeting its operating expenses”—the *uses* of these facilities are not *incidental* to Greater Jamaica’s charitable purposes.

Petitioners acknowledge that any monies in excess of the operating costs of the parking lots are utilized by Greater Jamaica in furtherance of charitable uses. But that does not detract from the fact that the parking lots’ primary use is to generate profits for distribution to Greater Jamaica⁴ (*see e.g. Matter of Stuyvesant Sq. Thrift Shop v Tax Commn. of City of N.Y.*, 76 AD2d 461, 464-465 [1st Dept 1980], *affd for reasons stated below* 54 NY2d 735, 737 [1981] [“The fact that the net cash profits are ultimately distributed to various institutions organized for charitable purposes does not in and of itself directly involve the (thrift store) in the charitable activities of the distributee organization . . . within the meaning of” the Real Property Tax Law exemption statute]; *cf. Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361, 364-365 [4th Dept 1984] [thrift store provided “meaningful work and areas of endeavor” to persons seeking to “become self-supporting assets to society” and the profit-making aspect of the store was “only a small part of the purpose of the Salvation Army thrift stores”]). Inasmuch as the parking facilities themselves are not incidental to a charitable purpose, they are not entitled to a section 420-a (1) (a) tax exemption.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the matter remitted to that Court for consideration of issues that were raised but not determined on the appeal to that Court.

READ, J. (dissenting). Petitioner Greater Jamaica Development Corporation, formed in 1967 under New York’s former Membership Corporation Law, is organized and operated exclusively for charitable, scientific and educational purposes within the meaning of section 501 (c) (3) of the Internal Revenue

4. Our determination in this regard is premised *not* on the fact that the parking facilities themselves may be profitable, but is instead premised on how the parking facilities are utilized (*see Matter of Adult Home*, 10 NY3d at 216). And, as we have noted in other instances, “[a] ‘commercial patina’ alone is not enough to defeat tax-exempt status” (*Matter of Symphony Space v Tishelman*, 60 NY2d 33, 38-39 [1983]; *see Matter of Merry-Go-Round Playhouse, Inc.*, 24 NY3d at 367).

Code (26 USC) with a broad remit to improve economic and living conditions in Jamaica, Queens,¹ an aging urban area that had fallen on especially hard times. From the outset of Greater Jamaica's efforts on behalf of the Jamaica community, it was apparent that the shortage of downtown parking hampered economic revitalization. Accordingly, in 1976 Greater Jamaica applied to the United States Economic Development Administration on behalf of the City of New York (the City) for a grant to construct a new municipal garage. The application was approved, resulting in a \$3.4 million grant to the City, which completed construction of a 530-car garage in 1978. The New York City Department of Transportation initially operated this public parking facility.

Over time the garage sunk into a state of disrepair and, consequently, disuse. In 1996, Greater Jamaica purchased it from the City through the New York City Economic Development Corporation (EDC). Two years later, Greater Jamaica formed Jamaica First Parking, LLC as a special-purpose non-profit entity with the sole purpose of owning and operating parking facilities exclusively "in furtherance of the charitable purposes of the Member [i.e., Greater Jamaica]." In 2001, Jamaica First purchased three additional run-down parking facilities from the City. Then in 2004, Jamaica First bought vacant land from the City and constructed a 410-car public parking garage with a \$5 million grant from the City through

1. Greater Jamaica's certificate of incorporation delineates seven specific charitable corporate purposes: (1) to promote, assist, participate in and coordinate sound planning and improve development of Jamaica's business-commercial-retail district; (2) to encourage and effect the development and expansion of commercial, industrial and manufacturing facilities in Jamaica; (3) to support and assist in the planning, development and expansion of educational, cultural, recreational, residential, governmental, transportation and other related facilities in Jamaica; (4) to carry on research and other studies in order to develop an overall comprehensive plan and subsidiary plans as may be necessary or appropriate for Jamaica's sound growth and improved development; (5) to provide assistance of every kind, including the rendering of advice, technical services and financial aid in connection with securing private or government aid to individuals, associations, corporations and other organizations, whether organized for profit or otherwise, interested in or working toward the sound growth and improved development of Jamaica or any part thereof, and to provide such assistance in connection with the formation of such organizations; (6) to assist and cooperate with federal, state and local departments, agencies and government organizations of every kind in furtherance of Greater Jamaica's purposes to the end that Jamaica shall receive the maximum possible benefit from federal, state and local programs; and (7) to assist and cooperate with other organizations in furtherance of the aforesaid purposes.

the EDC.² Greater Jamaica matched the grant with \$6 million in debt from the proceeds of tax-exempt facility revenue bonds issued by the New York City Industrial Development Agency. This garage was completed in 2006. Greater Jamaica alleges that these “parking facilities, operated efficiently and at below-market prices, are integral to [its] mission of creating and maintaining a viable downtown Jamaica.”

In 2007, the New York City Department of Finance (DOF or the agency) granted Greater Jamaica a full exemption from real property taxes for the five parking facilities (three garages and two lots) (*see* RPTL 420-a [1] [a], discussed *infra*). DOF continued to grant the exemption for ensuing tax years until 2011. Then, although the tentative assessment roll for the 2011-2012 tax year, dated January 5, 2011, still listed the full exemption as applicable, DOF suddenly executed an about-face. In a letter dated February 23, 2011, DOF, by its General Counsel, notified Greater Jamaica of its intention to revoke the exemption, beginning with the 2011-2012 tax year. By notice dated February 24, DOF formalized the revocation.

Greater Jamaica, and amici curiae the Lawyers Alliance for New York, the Queens Chamber of Commerce and the Non-profit Coordinating Committee of New York, Inc., assert that the decision to revoke Greater Jamaica’s real property tax exemption was transparently “political,” pointing to an opinion column in a New York City tabloid, with a dateline of December 3, 2010 (Juan Gonzalez, *Queens Garage Company Gets Unusual Tax Exemption for 2,000-Space Parking System*, NY Daily News, Dec. 3, 2010, <http://www.nydailynews.com/new-york/queens-garage-company-unusual-tax-exemption-2-000-space->

2. Hereafter, “Greater Jamaica” refers collectively to Greater Jamaica and Jamaica First, unless the context specifically indicates otherwise. As a single-member limited liability company, Jamaica First is generally treated as a branch or division of its owner, Greater Jamaica, for federal income tax purposes rather than as a separate entity (*see* 26 CFR 301.7701-3). Similarly, the City disregards single-member limited liability companies as separate entities for purposes of RPTL 420-a (1) (a) so long as certain requirements are fulfilled (*see e.g.* NY City Dept of Fin Letter Ruling No. 074873-021, 2007 NY City Tax LEXIS 17 [Nov. 21, 2007]). The New York City Department of Finance’s General Counsel raised a question about whether Greater Jamaica and/or Jamaica First met certain of these requirements when she informed Greater Jamaica that its real property tax exemption was going to be revoked. Although repeatedly referring to the five properties as “a stand-alone, for-profit, commercial parking garage” or a “free-standing commercial parking lot,” the City does not suggest on this appeal that Greater Jamaica and Jamaica First are separate entities.

parking-system-article-1.469283). The column's author lambasted the City for "dol[ing] out charitable tax exemptions to parking garages" while reportedly "tak[ing] [them] away from churches"; intimated that the exemption was granted only because of Greater Jamaica's allegedly close ties to "several major Queens political figures"; and stated that DOF's spokesman had assured the author that "officials are taking another look at the arrangement" by "reviewing this issue to determine whether these properties are eligible for a charitable property tax exemption." Whatever prompted DOF's review and subsequent revocation of Greater Jamaica's section 420-a (1) (a) exemption, the agency has not justified its determination that as of 2011 the five parcels no longer qualified.

Relevant Law

Pursuant to Real Property Tax Law § 420-a (1) (a), real property is mandatorily exempt from taxation if it satisfies two criteria. First, the property must be owned by a nonprofit corporation or association organized or conducted exclusively for one or more specified purposes (religious, charitable, hospital, educational or moral or mental improvement of men, women or children); second, the property must be used exclusively for carrying out one or more of the enumerated purposes.³ With respect to both the first ("purpose") and the second ("use") criterion, we have interpreted the term "exclusively" to mean "principally" or "primarily" rather than "only" or "solely" (see e.g. *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143, 153 [1974]).

We have cautioned that tax authorities and the courts should not interpret the general categories of "charitable, educational and moral or mental improvement" in section 420-a (1) (a) in a way that is "overly narrow" or "so literal and narrow that it defeats the exemption's settled purpose," even though, in the first instance, "exemption statutes [are to] be construed strictly against the taxpayer seeking the benefit of the exemption" (*Matter of Symphony Space v Tishelman*, 60 NY2d 33, 36

3. Section 420-a (1) (a) reads as follows:

"Real property owned by a corporation or association organized or conducted exclusively for religious, charitable, hospital, educational, or moral or mental improvement of men, women or children purposes, . . . and used exclusively for carrying out thereupon one or more of such purposes either by the owning corporation or association . . . shall be exempt from taxation."

[1983]). In *Symphony Space* itself, we held that a nonprofit's theater for the performing arts qualified for an exemption pursuant to section 420-a (1) despite a "'commercial patina'" created by rentals and the charging of admission fees for performances (*id.* at 38). And over the years, New York's courts have considered a wide range of endeavors to fall within the broadly stated categories of purposes specified in section 420-a (1) (a) (see e.g. *Mohonk Trust v Board of Assessors of Town of Gardiner*, 47 NY2d 476, 484-485 [1979] [an organization whose primary purpose "is the preservation of wilderness areas" constitutes a "charitable, educational, or mental or moral improvement" purpose under the statute]; *Matter of North Manursing Wildlife Sanctuary [City of Rye]*, 48 NY2d 135, 138 [1979] [land used "as a wildlife sanctuary for birds and small animals" is a charitable use under the statute]; *Matter of Adult Home at Erie Sta., Inc. v Assessor & Bd. of Assessment Review of City of Middletown*, 10 NY3d 205, 214 [2008] [housing provided to the elderly at below-market rates "is plainly (used for) a charitable purpose" (internal quotation marks omitted)]; *Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review*, 100 AD2d 361 [4th Dept 1984] [characterizing "work therapy" and "rehabilitation opportunities" as a charitable purpose]; *Matter of Farm Sanctuary v Patton*, 221 AD2d 67, 69 [3d Dept 1996] [organization which has "the primary purpose . . . (of) the care and maintenance of abandoned and abused farm animals" qualifies as a charitable purpose]; *Matter of Plattsburgh Airbase Redevelopment Corp. v Rosenbaum*, 101 AD3d 21, 24-25 [3d Dept 2012] [an organization whose "very purpose is to own, maintain, market and sell . . . land to promote economic development" is engaged in and using the land for a charitable purpose]).

The determination of whether real property is used exclusively for an exempt purpose turns on whether its primary use is in furtherance of the organization's exempt purpose. Property used for purposes that are "reasonably incident" to the organization's primary purpose qualifies for exemption, a standard the courts have also broadly construed (*People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350, 358 [1960]; see e.g. *Matter of St. Joseph's Health Ctr. Props. v Srogi*, 51 NY2d 127 [1980] [property used as a residential facility for hospital staff]; *Matter of Rudolf Steiner Educ. & Farming Assn. v Brennan*, 65 AD2d 868 [3d Dept 1978], *lv denied* 46 NY2d 709 [1979] [a farm operated by an educational institution];

University Auxiliary Servs. at Albany v Smith, 78 AD2d 959 [3d Dept 1980], *affd* 54 NY2d 986 [1981] [improved land used to provide services (food services, a bookstore and recreation) to a college community and vacant land owned by the educational institution]).

Finally, where a municipality seeks “to *withdraw* a previously granted tax exemption,” we have held that “the municipality bears the burden of proving that the real property is subject to taxation” (*Matter of Lackawanna Community Dev. Corp. v Krakowski*, 12 NY3d 578, 581 [2009] [emphasis added], quoting *Matter of New York Botanical Garden v Assessors of Town of Washington*, 55 NY2d 328, 334 [1982]).

Showing Necessary to Justify Revocation

In 1971, the legislature amended former section 420 (1) of the Real Property Tax Law, which mandated tax exemptions for real property owned by a host of nonprofit organizations, to carve out and place in paragraph (a) (present-day section 420-a [1] [a]) those nonprofits whose real property remained mandatorily exempt; and to create a new paragraph (b) (present-day section 420-b [1] [a]) to specify other categories of nonprofits whose real property municipalities were newly empowered to tax pursuant to duly enacted local legislation (*see* L 1971, ch 414). Although the categories specified in former section 420 (1) (b) are not exactly the same as those in its present-day counterpart, the statute’s general scheme to qualify for a permissive exemption remains both the same as when first enacted in 1971, and effectively identical to that established by Real Property Tax Law § 420-a (1) (a) to qualify for a mandatory exemption: first, the property must have been owned by a nonprofit corporation or association organized or conducted exclusively for one or more specified purposes (e.g., bible, tract, benevolent, missionary, infirmary, public playground, scientific, literary, bar association, medical society, library, etc.); second, the property must have been used exclusively for carrying out one or more of the enumerated purposes.

Many localities adopted local legislation permitting them to terminate the previously mandatory tax exemptions enjoyed by certain nonprofit organizations in their communities. The litigation that ensued generally called upon the courts to decide whether such a locality had, in fact, properly reclassified a particular nonprofit as qualified only for a permissive exemption. One of our first major cases addressing this aspect of the 1971

legislation involved an arboretum owned by the New York Botanical Garden and located in the Town of Washington in Dutchess County.

After the Botanical Garden acquired the arboretum in 1973, the Town treated the property as exempt from real property taxation. In 1977, however, the Town adopted a local law to exercise its power under the Real Property Tax Law to tax property owned by a nonprofit organization and used for scientific purposes. Acting under this local legislation, the Town restored the arboretum property to the tax rolls on the ground that the Botanical Garden's primary purpose and the arboretum's primary use were scientific and research-oriented. The Botanical Garden commenced a CPLR article 78 proceeding to have the arboretum property declared tax-exempt.

In order to resolve the case on the merits, we were first required to determine whether the Botanical Garden or the Town had the burden of proof, and what that burden entailed. We initially observed that while the taxpayer seeking a real property exemption ordinarily bears the burden of proof,

“under the circumstances presented here, in which the municipality, pursuant to its power under [the Real Property Tax Law], is seeking to withdraw a previously granted tax exemption, *the municipality bears the burden of proving that the real property is subject to taxation*. Thus, *the taxing authority must prove* that the corporation or association is organized for a purpose only qualifiedly exempt (in this case, a scientific purpose) *and* that the property is used for such a purpose” (*New York Botanical Garden*, 55 NY2d at 334-335 [emphases added]).

Proceeding to the merits, we examined the Botanical Garden's charter, and held that “[g]iven the wide range of purposes for which [the Botanical Garden] is organized, we cannot say that the town has sustained its burden of proving that a scientific purpose predominates, notwithstanding [the Botanical Garden's] own declarations of its scientific, among other, purposes” (*id.* at 335). In deciding whether the Botanical Garden was a qualifiedly exempt scientific or a mandatorily exempt charitable entity, we also considered it relevant that “the will provision under which the arboretum property was deeded to [the Botanical Garden] permits such a grant only to ‘a charitable organization’ ” (*id.* at 335 n).

Next, we determined that the Town had not shown that the arboretum property was primarily used for a purpose that was only qualifiedly exempt (i.e., a scientific purpose). We observed that “the use to which this particular parcel [was] put accomplishe[d] several [absolutely] exempt purposes, including educational, charitable and moral improvement purposes” (*id.* at 336). Finally, we rejected the Town’s argument that restrictions on public access to the arboretum’s lands “deprive[d] them of a public purpose” (*id.* at 337).

Importantly, Town taxing authorities did not just wake up one day and decide to reevaluate Botanical Garden’s tax-exempt status. Rather, something objective—a change of law (i.e., chapter 414 of the Laws of 1971 and the local law adopted pursuant thereto)—prompted the reevaluation. Further, the nature of the change in law was such that we were required to decide whether the Town had properly determined that the nonprofit’s purpose and use qualified only for a permissive exemption, or stated another way, no longer qualified for a mandatory exemption.

Although *Botanical Garden* arose in a particular context—the 1971 amendments to the Real Property Tax Law—we cited it in *Lackawanna* for the general proposition that a municipality (there, the City of Lackawanna) bore the burden of proof to justify revocation of a nonprofit’s real property tax exemption. We did not articulate any particular test for the courts to apply when deciding that a revocation was not arbitrary; more to the point, we assuredly did *not* say that once a municipality makes colorable allegations that a nonprofit’s use of real property fails to further an exempt purpose, then the burden shifts *back* to the nonprofit to establish its entitlement to an exemption (*cf.* majority op at 624-625). We simply stated conclusorily that “[t]he Lackawanna tax assessor [had] satisfied his burden” (*Lackawanna*, 12 NY3d at 581). This was an easy conclusion to reach on the record in *Lackawanna*, though, because the assessor justified his decision on an independent and objective basis—i.e., the New York State Office of Real Property Services (ORPS) Exemption Administration Manual, which clearly indicated that the property was taxable. Indeed, ORPS issued an advisory letter to that effect to an attorney for the City of Lackawanna. And notably, there was a change in use after the exemption was originally granted: the nonprofit acquired the properties between 1981 and 1985, and did not lease to a for-profit corporation until 1993.

Here, the City has not satisfied its burden of proof. First, it has not shown that Greater Jamaica fails to fulfill section 420-a (1) (a)'s "purpose" or "organized or conducted" criterion, unless the majority is willing to go so far as to declare that economic and community development are not "charitable, educational, or mental or moral improvement" purposes within the meaning of Real Property Tax Law § 420-a (1) (a). We have never so held⁴ and neither has the Appellate Division (*see Plattsburgh Airbase Redevelopment Corp.*, 101 AD3d at 24-25). Indeed, the majority acknowledges that "there is evidence in the record" that both Greater Jamaica and Jamaica First were "organized or conducted exclusively for" a tax-exempt purpose (majority op at 625 and 629 n 3; *see also* 631-632, 632 n 1, 632, 633 n 2, *supra*). As the majority also acknowledges, a nonprofit organization's section 501 (c) (3) status bears on the overall analysis of whether it is "organized or conducted exclusively for" a tax-exempt purpose within the meaning of section 420-a (1) (a). Accordingly, I now turn to the City's newly-minted opinion that the parking facilities are not used for Greater Jamaica's exempt purposes.

The City's Rationale for Revocation

It has long been the rule that "[j]udicial review of an administrative determination is limited to the grounds invoked by the agency" (*Matter of Rizzo v New York State Div. of Hous. & Community Renewal*, 6 NY3d 104, 110 [2005] [internal quotation marks omitted]; *see also Matter of New York State Ch., Inc., Associated Gen. Contrs. of Am. v New York State Thruway Auth.*, 88 NY2d 56, 75 [1996] [declining to adopt an agency's "(p)ost hoc rationalization" (emphasis omitted)]). Thus, the majority improperly considers proof offered by the City in response to the petition in this case (*see* majority op at 624-625, discussing an affirmation of a City attorney).

Concomitantly out-of-bounds is the City's explanation, first advanced on appeal, that its decision to grant Greater Jamaica the tax exemption for tax years 2007-2008 through 2010-2011

4. Citing *Lackawanna*, the City claims that we have "held that the economic revitalization of a distressed community does not qualify as a charitable purpose under RPTL 420-a." To the contrary, in *Lackawanna* we pointedly "pause[d] to note [that] we [were] *not* deciding . . . whether [the property at issue] was exempt from taxation prior to LCDC's leasing it to an entity that carrie[d] out for-profit manufacturing activities on the property" (*Lackawanna*, 12 NY3d at 581 [emphasis added]). Instead, "we assume[d] without deciding that prior to . . . being leased, the [property at issue] held by LCDC was exempt from taxation" (*id.*).

was simply a “mistake,” or “erroneously awarded in the first instance” (*see id.* at 624). In any event, the City’s bare assertion of mistake is insufficient to satisfy its burden of proof. As the Appellate Division observed, a municipality may meet its burden to establish that a nonprofit’s real property is subject to taxation “by proving, for example, a change in the law, a change in the use of the property, or that the tax exemption was erroneously awarded in the first instance” (111 AD3d 937, 939 [2013]).

But there must be some objective indication that a revocation on the “erroneously awarded” basis was prompted by something other than a mere change of heart; that is, a prior decision does not become a “mistake” or “erroneous” any time a municipality decides to interpret existing authorities in a different way. Otherwise, the burden of proof has not, in reality, shifted from the nonprofit to the municipality when an exemption is withdrawn. The nonprofit still effectively bears the burden of showing entitlement and, importantly, enjoys no protection from being sandbagged by capricious and unpredictable administrative decisionmaking, which is what Greater Jamaica claims occurred here. Thus, the cases where the Appellate Division referred to exemptions that had been “erroneously awarded” all dealt with an exemption granted despite a particular clear precedent to the contrary; namely, exemptions that contradicted “well settled” law that “‘real property . . . being used as a retirement community for “middle-income” elderly does not qualify for a tax exemption under [RPTL] 420-a’ ” (*Matter of Quail Summit, Inc. v Town of Canandaigua*, 55 AD3d 1295, 1296 [4th Dept 2008], quoting *Matter of Greer Woodycrest Children’s Servs. v Fountain*, 74 NY2d 749, 751 [1989], and citing *Matter of Presbyterian Residence Ctr. Corp. v Wagner*, 66 AD2d 998, 999 [1978], *affd for reasons stated* 48 NY2d 885 [1979]; *see also Matter of Pine Harbour, Inc. v Dowling*, 89 AD3d 1192 [3d Dept 2011]).

Here, the letter from DOF’s General Counsel indicates merely a change of heart about Greater Jamaica’s entitlement to an exemption. No new factual circumstances are adduced; the only post-2007 case that the General Counsel mentions is *Lackawanna*, which is cited along with *Association of Bar* for the proposition, presumably well understood by the City in 2007, that an important public purpose does not alone qualify a nonprofit’s real property for an exemption under Real Property Tax Law § 420-a (1) (a). As “a preliminary matter,” the

General Counsel observed that Greater Jamaica’s tax-exempt status under federal law was “not determinative of the issue of charitable use of the property as defined by 420-a.”⁵ Tellingly, though, she does not claim that DOF originally *granted* the exemption to Greater Jamaica in mistaken reliance on a presumption that Greater Jamaica was qualified therefor solely because of its federal tax-exempt status. For this reason, the majority’s lengthy discussion about a presumption is beside the point in this case, which involves a revocation.

Next, the General Counsel discounted *Matter of Salvation Army v Town of Ellicott Bd. of Assessment Review* (100 AD2d 361 [4th Dept 1984]) and similar unnamed cases on the ground that these authorities merely

“demonstrate[d] that where a commercial enterprise (such as a thrift shop) is incidental to the main exempt purpose (providing rehabilitation and therapy for religious and charitable reasons) the commercial aspect does not destroy the entitlement to the exemption. Here, the parking lots are not incidental to another recognized charitable purpose but are the very purpose for which the property is being used.”

This last statement dodges the issue. There is no question that the parking lots are being “used” as parking lots—i.e., areas where visitors to Jamaica’s urban core may leave their vehicles temporarily for a fee; the question is whether this use is incidental to Greater Jamaica’s broad charitable purpose to foster economic and community development, just as the thrift shop’s operation was incidental to the Salvation Army’s broadly stated exempt purposes. Additionally, DOF could have and should have been well-aware of the decision in *Salvation Army* in 2007. At that time, the agency would have been obligated to grant the exemption based on a determination that existing precedent supported the proposition that the parking facilities did, in fact, represent a use incidental to Greater Jamaica’s charitable purposes.

The General Counsel also discussed whether the fact that the properties were owned by Jamaica First, a single-member limited liability company, rather than by its sole member,

5. This comment, as is the case with much of what the letter says, seems to respond to a submission made by Greater Jamaica, which is not included in the record.

Greater Jamaica, disqualified Greater Jamaica from the exemption. In this regard, she stated that “it appears that [Jamaica First] collects amounts from the lots that exceed the carrying, maintenance and depreciation charges attributable to the premises” (see majority op at 624, citing this as a reason substantiating the City’s revocation of Greater Jamaica’s tax exemption). The General Counsel’s comment apparently refers to one of the requirements for determining whether to disregard Jamaica First as a separate entity; namely, the requirement that “[r]ent may not exceed carrying, maintenance and depreciation charges as specified in section 420-a” (NY City Dept of Fin Letter Ruling No. 074873-021, 2007 NY City Tax LEXIS 17 [emphasis added]; see also RPTL 420-a [2] [a non-profit organization leasing real property to a corporation or association organized or conducted exclusively for one of the exempt purposes enumerated in section 420-a will receive an exemption for that property if it is used primarily for an exempt purpose and “any moneys paid for such use do not exceed the amount of the carrying, maintenance and depreciation charges of the property”]; *Sisters of St. Joseph v City of New York*, 49 NY2d 429 [1980]). But in this case, Greater Jamaica did not lease the parking facilities to or collect rent from Jamaica First (see *Matter of Scenic Hudson Land Trust v Sarvis*, 234 AD2d 301 [2d Dept 1996] and cases discussed therein).

Finally, the majority states that the “economic benefit conveyed by below-market rate parking . . . inures to the benefit of private enterprise,” and concludes, on that basis, that this use “cannot be said to further any charitable purpose.” To the extent that the majority argues that Greater Jamaica is not entitled to an exemption because it receives revenue, this misapprehends the nature of Greater Jamaica’s activities and our precedent. In a broad sense, the parking facilities benefit, and are used by, Greater Jamaica in two distinct ways. First, the parking facilities generate revenue, which is funneled back into Greater Jamaica’s numerous development initiatives. But crucially, the parking facilities directly further Greater Jamaica’s charitable purpose of economic rejuvenation by providing shoppers and other visitors a safe place to park while they patronize local businesses and educational, arts and religious institutions. This is not a situation where Greater Jamaica’s “avowed [charitable] purpose[] [is] a guise or pretense” for profit-making (RPTL 420-a [1] [b]).

In *Lackawanna*, by contrast, we held that the LCDC was not entitled to a real property tax exemption for land that was

leased to a for-profit manufacturing firm (*Lackawanna*, 12 NY3d at 580). In so holding, we explicitly noted that our decision was based solely on the fact that the only use of the property was as a revenue-producing rental. Greater Jamaica, however, does not simply use the parking facilities as revenue-generating properties meant to raise funds for its economic development mission; it does not lease the facilities to a for-profit enterprise. As a result, Greater Jamaica is more akin to the petitioners in *Erie Sta.*

In that case, one petitioner, Adult Home at Erie Station, Inc. (AHESI), operated an adult home that provided its elderly residents with housing and what AHESI described as “a program of personal care” (*Erie Sta.*, 10 NY3d at 214). We held that although “renting homes to elderly people who are not poor is not a ‘charitable’ activity,” citing *Greer Woodycrest* and *Presbyterian*, AHESI’s property was “plainly [used for] a ‘charitable’ purpose” because the property was provided at below-market rates (*id.*).

The second petitioner in *Erie Sta.*, Regional Economic Community Action Program, Inc. (RECAP), was in a different position than AHESI because RECAP received the market rate for its properties (*id.* at 215). Nonetheless, we held that RECAP’s property was also exempt from property taxation because “RECAP is engaged in social work, helping homeless people, alcoholics, drug addicts and other afflicted members of society to become productive and useful citizens,” which we characterized as “undoubtedly a charitable activity” (*id.*). We elaborated as follows:

“That [the beneficiaries of RECAP’s housing] pay market rents, and that RECAP may even benefit economically from its rental income, does not change the result. The issue is not whether RECAP benefits, but whether the property is ‘used exclusively’ for RECAP’s charitable purposes. RECAP could lose its exemption . . . if the economic benefit went to its officers or employees personally, but an economic benefit to a charitable organization does not by itself extinguish a tax exemption. *The question is how the property is used, not whether it is profitable*” (*id.* at 216 [emphasis added]; see also *Congregation Rabbinical Coll. of Tartikov, Inc. v Town of Ramapo*, 17 NY3d 763, 765 [2011] [“an economic profit made by a religious corporation ‘does

not by itself extinguish a tax exemption' " (quoting *Erie Sta.*, 10 NY3d at 216)).

To sum up, cases decided both before and after 2007 support DOF's 2007 decision to grant a tax exemption to Greater Jamaica for the parking facilities. DOF points to no change in law or the use of the property or any other objective consideration to justify its 2011 flip-flop. Before today, we had never ruled that a local government might simply change its opinion and revoke an exemption without some demonstrable predicate for its revised determination. Whether or not the 2011 revocation was improperly motivated, as Greater Jamaica and various amici contend, is impossible to say. On this record, all we know is that DOF interpreted the facts and the law one way in 2007, and the opposite way in 2011, although neither the facts nor the law had changed in the interim. Such an unexplained reversal of position is the very epitome of arbitrary administrative decisionmaking. Accordingly, I respectfully dissent.

Chief Judge LIPPMAN and Judges RIVERA, ABDUS-SALAAM and FAHEY concur; Judge READ dissents in an opinion in which Judge STEIN concurs.

Order reversed, with costs, and matter remitted to the Appellate Division, Second Department, for consideration of the issues raised but not determined on the appeal to that court.

[37 NE3d 58, 16 NYS3d 1]

ANDRE SHIPLEY et al., Respondents, v CITY OF NEW YORK et al.,
Appellants.

Argued January 5, 2015; reargued May 7, 2015; decided June 10, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 17, 2013. The Appellate Division order, insofar as appealed from, (1) reversed, on the facts and in the exercise of discretion, a judgment of the Supreme Court, Richmond County (John A. Fusco, J.), which, upon the granting of plaintiffs' motion pursuant to CPLR 4401 for judgment as a matter of law on the issue of liability, and upon a jury verdict on the issue of damages finding that plaintiffs Andre Shipley and Korisha Shipley sustained damages in the sum of \$500,000 each for past pain and suffering, was in favor of plaintiffs and against defendants in the principal sum of \$1,000,000; and (2) remitted the matter to that Supreme Court for a new trial on the issue of damages for past pain and suffering only, unless within 30 days after service upon plaintiffs of a copy of the Appellate Division decision and order, plaintiffs shall serve and file in the office of the Clerk of that Supreme Court a written stipulation consenting to reduce the amount of damages for past pain and suffering from the principal sum of \$1,000,000 to the principal sum of \$600,000 (\$300,000 for each plaintiff), and to the entry of an appropriate amended judgment; in the event that plaintiffs so stipulated, then the judgment, as so reduced and amended, would be affirmed. The plaintiffs so stipulated. The appeal brings up for review a prior nonfinal order of that Appellate Division (80 AD3d 171 [2010]), entered September 28, 2010. The Appellate Division had modified, on the law, an order of the Supreme Court, Richmond County (Thomas P. Aliotta, J.; op 2009 NY Slip Op 33249[U] [2009]), which had denied that branch of defendants' motion for summary judgment dismissing the complaint insofar as asserted by plaintiffs Andre Shipley and Korisha Shipley. The modification consisted of deleting the provision thereof denying that branch of the defendants' motion which was for summary judgment dismissing so much of the first cause of action asserted by those plaintiffs as was to recover damages for unauthorized withholding, mutilation, and "display of their son's body parts at the Medical Examiner's

Office,” and substituting therefor a provision granting that branch of the motion.

Shipley v City of New York, 105 AD3d 936, reversed.

HEADNOTE

Dead Bodies — Autopsies — Retention of Organs and Tissues for Examination and Testing — Medical Examiner Not Obligated to Notify Decedent's Next of Kin

A medical examiner does not have a mandated obligation—pursuant to the Public Health Law and a next of kin's common-law right to immediate possession of a decedent's body for preservation and burial (commonly known as the “right of sepulcher”)—to notify a decedent's next of kin that, although a decedent's body is available for burial, one or more organs and/or tissues have been retained for further examination and testing as part of an authorized autopsy. The medical examiner's obligations under both the common-law right of sepulcher and Public Health Law § 4215 (1) are fulfilled upon returning the deceased's body to the next of kin after a lawful autopsy has been conducted. Accordingly, defendant municipality was not liable to plaintiffs for the medical examiner's failure to notify plaintiffs that he had removed and retained their son's brain and other organs in the course of conducting an authorized autopsy. Decedent's body was returned to plaintiffs once the autopsy had been conducted and was thus made available to them for preservation and burial. Because the right of sepulcher is premised on the next of kin's right to possess the body for preservation and burial (or other proper disposition), and is geared toward affording the next of kin solace and comfort in the ritual of burying or otherwise properly disposing of the body, it is the act of depriving the next of kin of the body, and not the deprivation of organ or tissue samples within the body, that constitutes a violation of the right of sepulcher. Moreover, although Public Health Law § 4215 (1) contains a “governing rule” or “statutory command” to the extent that the medical examiner, once he or she is finished with the authorized dissection, must turn the “remains of the body after dissection” over for “burial or other lawful disposition,” there is ambiguity concerning the statutory language “remains of the body,” which is not a defined term. Had the legislature intended to issue a rule or command directing the medical examiner to turn over the organs and tissue samples recovered as a result of a dissection or autopsy, it could have utilized the specific words “tissue, organ or part thereof” as it has done in other sections of Public Health Law article 42.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Dead Bodies §§ 43, 46.

McKINNEY'S, Public Health Law § 4215 (1).

NY JUR 2d, Cemeteries and Dead Bodies §§ 88, 91, 97.

ANNOTATION REFERENCE

Civil liability in conjunction with autopsy. 97 ALR5th 419.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: sepulch! & retain! /s organ tissue & autopsy

POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Ronald E. Sternberg, Lawrence S. Kahn and Richard Dearing* of counsel), for appellants. The Appellate Division incorrectly concluded that, following an authorized autopsy, the New York City Medical Examiner “has the mandated obligation[s], pursuant to Public Health Law § 4215 (1) and the next of kin’s common-law right of sepulcher,” (1) to turn over to the next of kin appropriately removed parts of the body; and (2) to notify the next of kin that, “while the body is available for burial, one or more organs have been removed for further examination” (*Shipley v City of New York*, 80 AD3d 171, 178 [2d Dept 2010]). (*Baumis v General Motors Corp.*, 106 AD2d 789, 66 NY2d 777; *Matter of Allstate Ins. Co. v Libow*, 106 AD2d 110, 65 NY2d 807; *Correa v Maimonides Med. Ctr.*, 165 Misc 2d 614; *Estate of Scheuer v City of New York*, 10 AD3d 272, 6 NY3d 708; *Range v Douglas*, 878 F Supp 2d 869; *Darcy v Presbyterian Hosp. in City of N.Y.*, 202 NY 259; *Nesbit v Turner*, 15 AD3d 552; *Booth v Huff*, 273 AD2d 576; *Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Hassard v Lehane*, 143 App Div 424.)

Ameduri Galante D’Agostino & Firscia, LLP, Staten Island (*Marvin Ben-Aron* of counsel), for respondents. The Appellate Division correctly concluded that, following an autopsy authorized by law, the New York City Medical Examiner “has the mandated obligation, pursuant to Public Health Law § 4215 (1) and the next of kin’s common-law right of sepulcher,” (1) to turn over to the next of kin removed and retained body parts; and (2) to notify the next of kin that, “while the body is available for burial, one or more organs have been removed for further examination” (*Shipley v City of New York*, 80 AD3d 171, 178 [2d Dept 2010]). (*Estate of Scheuer v City of New York*, 10 AD3d 272; *Nesbit v Turner*, 15 AD3d 552; *Hassard v Lehane*, 143 App Div 424; *Kellogg v Office of Chief Med. Examiner of City of N.Y.*, 189 Misc 2d 756; *Lott v State of New York*, 32 Misc 2d 296; *McLean v City of New York*, 12 NY3d 194; *Pelaez v Seide*, 2 NY3d 186; *Cuffy v City of New York*, 69 NY2d 255.)

John C. Hunsaker III, National Association of Medical Examiners, Frankfort, Kentucky, amicus curiae. I. Medical examin-

ers have a superior right and medical necessity to conduct an autopsy and retain tissues and organs. (*Albrecht v Treon*, 617 F3d 890; *Waeschle v Dragovic*, 576 F3d 539; *Shipley v City of New York*, 80 AD3d 171.) II. Families have subservient sepulchral rights but not full property rights in the body. (*Greenberg v Miami Children's Hosp. Research Inst., Inc.*, 264 F Supp 2d 1064; *Washington Univ. v Catalona*, 490 F3d 667.) III. Families have no reasonable expectation that the body subsequent to an autopsy is entirely complete. IV. Notification of family members is problematic and should not be mandated. V. Organs and tissues should properly be considered biohazardous waste. (*Waeschle v Dragovic*, 576 F3d 539.)

OPINION OF THE COURT

PIGOTT, J.

At issue on this appeal is whether a medical examiner has a mandated obligation—pursuant to the Public Health Law and a next of kin's common-law right to immediate possession of a decedent's body for preservation and burial (commonly known as the "right of sepulcher")—to notify a decedent's next of kin that, although a decedent's body is available for burial, one or more organs and/or tissues have been retained for further examination and testing as part of an authorized autopsy. We hold that no such obligation exists.

I.

The tragic and unfortunate events from which this litigation originated occurred on January 9, 2005, when the decedent Jesse Shipley, a 17-year-old high school student, was killed in an automobile accident in Staten Island, New York. Dr. Stephen de Roux, a forensic pathologist and a medical examiner employed by the Office of the New York City Medical Examiner, conducted an autopsy of decedent the day following the accident at the Richmond County Mortuary.

The medical examiner spoke with decedent's father, plaintiff Andre Shipley, prior to conducting the autopsy. He apprised Mr. Shipley of his intentions and, even though it was not required, obtained Mr. Shipley's consent to perform the autopsy. Mr. Shipley asked the medical examiner to make decedent's body as "presentable as possible" for the funeral. During the autopsy, the medical examiner removed, among

other organs, decedent's brain and "fixed" it in formalin¹ in a jar separate from tissue samples he had taken of other organs.² The jar was labeled with decedent's name and the date of the autopsy, and was placed in a cabinet in the autopsy room. The medical examiner's routine practice was to wait until the cabinet had accumulated at least six specimens before contacting a neuropathologist, Dr. Hernando Mena, who would at that point travel to Staten Island in order to conduct a neuropathologic examination of the brain specimens.

Once decedent's autopsy had been conducted, funeral home personnel retrieved decedent's body from the mortuary and a funeral was held on January 13, 2005.

In March 2005, forensic science students from decedent's high school took a field trip to the Richmond County Mortuary. During a tour of the autopsy room, some of the students observed the specimen jar holding decedent's brain. This information was relayed to decedent's sister, Shannon, who told her parents. On March 9, 2005, Dr. Mena examined the specimen and concluded that decedent had died of multiple blunt trauma to the head.

II.

The Shipleys³ commenced this action against the City of New York and the Office of the New York City Medical Examiner (collectively, the City), alleging negligent infliction of emotional distress resulting from the display and alleged mishandling and withholding of their son's brain. Following discovery, the

1. In the amicus curiae brief submitted to this Court, the National Association of Medical Examiners explains that fixation in formalin fluid for two weeks allows a medical examiner to properly analyze brain tissues. The fixation process, along with the subsequent neuropathological examination, routinely extends beyond the body being released to a funeral home after autopsy.

2. The medical examiner explained at his deposition that he removed blood, bile, gastric contents, liver and vitreous humor from decedent's body and sent them to the toxicology lab. He also took samples from certain organs and placed the pieces in a histology stock jar. This ensured that the medical examiner could microscopically examine those tissues after the body's burial. The medical examiner typically retains these samples for approximately three years. The organs and tissues not retained by the medical examiner are typically placed in a red "biohazard" bag, which is then placed inside the body before the incision is sewn up.

3. Although Shannon is listed as a plaintiff on the complaint, she was dismissed from the action on the ground of lack of standing. Therefore, use of the name "Shipleys" will refer to plaintiffs Andre and Korisha Shipley.

City moved for summary judgment dismissing the complaint for failure to state a cause of action, arguing that, based on the complaint's language, the Shipleys were asserting that the City interfered with the Shipleys' common-law right of sepulcher. The City argued that the medical examiner had the authority to conduct the autopsy, and had received the consent of Mr. Shipley to do so in any event, and that the removal and retention of the brain by the medical examiner was authorized by law. The Shipleys countered that even assuming the medical examiner had the authority to conduct the autopsy, he had "mishandled" decedent's organs and "unlawfully interfered" with the Shipleys' right to decedent's "whole body."

Supreme Court denied the City's motion, holding that the City failed to establish as a matter of law that decedent's brain was lawfully retained for scientific purposes and that a question of fact existed as to whether the City interfered with the Shipleys' right of sepulcher when it failed to apprise the Shipleys before their son's burial that his brain had been removed and was in the possession of the medical examiner (2009 NY Slip Op 33249[U] [Sup Ct, Richmond County 2009]).

The Appellate Division modified by deleting the provision of Supreme Court's order denying the City's motion for summary judgment seeking dismissal of so much of plaintiffs' first cause of action as was to recover damages for unauthorized withholding, mutilation, and display of decedent's body parts, and granting that branch of the motion, and, as so modified, affirmed (80 AD3d 171, 180 [2d Dept 2010]).

As relevant here, the Appellate Division held that the autopsy of decedent was authorized, even if Mr. Shipley had not consented to it, because the medical examiner had the statutory authority to exercise his discretion in performing the autopsy and removing and retaining organs for further examination and testing (*see id.* at 175-176). Nonetheless, according to the Appellate Division, the medical examiner had "the mandated obligation, pursuant to Public Health Law § 4215 (1) and the next of kin's common-law right of sepulcher, to turn over the decedent's remains to the next of kin for preservation and proper burial once the legitimate purposes for the retention of those remains [had] been fulfilled" (*id.* at 178). The Court deemed this obligation to be not only "ministerial in nature" but also one that was "clearly for the benefit of, and . . . owed directly to, the next of kin," and this obligation could have been met with "the simple act of notifying the next of kin

that, while the body [was] available for burial, one or more organs [had] been removed for further examination” (*id.*). In the Appellate Division’s view, such notification would have given the Shipleys an opportunity

“[to] make an informed decision regarding whether to bury the body promptly without the missing organs and then either accept the organs at a later date or authorize the medical examiner to dispose of them, or alternatively, to wait until such time as the organs and body can be returned to them together . . . for burial or other appropriate disposition by the next of kin” (*id.*).

The case thereafter proceeded to trial on the sole issue of whether the medical examiner returned decedent’s body to the Shipleys without informing them that the medical examiner had retained decedent’s brain (and therefore violated the Shipleys’ right of sepulcher).⁴ The City called one witness, Dr. de Roux, who testified that the brain was the only organ that was removed for neuropathologic examination by Dr. Mena, but that he had obtained small samples of other organs and placed them in formalin. He retained the latter organ samples so that they could be microscopically examined at a later date in the event a question arose as to decedent’s cause of death.

At the conclusion of the defense’s case, the Shipleys moved for a directed verdict on the issue of liability, relying on the medical examiner’s testimony that the Shipleys were never informed that the medical examiner had retained decedent’s brain and other organs. The City also moved for a directed verdict, arguing, among other things, that there was insufficient evidence to establish a special relationship with regard to the right of sepulcher claim. Supreme Court granted the Shipleys’ motion for a directed verdict as to liability.

Following a trial on damages, resulting in a verdict of \$1 million for the Shipleys, the City’s motion to set aside the verdict was denied. The Appellate Division affirmed the judgment entered upon the Shipleys’ stipulation to a reduced award of damages (105 AD3d 936, 936-937 [2d Dept 2013]). The Shipleys consented to the reduced award. This Court granted the

4. The Appellate Division held that the Shipleys failed to raise a triable issue of fact in response to the City’s *prima facie* showing that decedent’s brain was not mishandled or put on “public display,” and precluded the Shipleys from pursuing those theories of liability at trial (80 AD3d at 179).

City leave to appeal (22 NY3d 857 [2013]), bringing up for review the Appellate Division's order denying, in part, the City's motion for summary judgment.

III.

A medical examiner's authority to conduct autopsies is largely statutory. Title II of article 42 of the Public Health Law identifies those individuals who possess the legal authority to perform autopsy and dissection (*see* Public Health Law §§ 4209, 4210), and delineates criminal penalties for unlawful dissection (*see* Public Health Law § 4210-a) and civil penalties for unauthorized autopsies conducted in good faith (*see* Public Health Law § 4210-b). The Public Health Law also contains a religious exemption that prohibits a dissection or autopsy “in the absence of a compelling public necessity” where a “surviving relative or friend of the deceased” objects on the ground that the procedure is “contrary to the religious belief of the decedent” (Public Health Law § 4210-c [1]).⁵

Public Health Law § 4210 provides that a county medical examiner, or one acting at his or her direction, has the right to dissect the body of a deceased person (*see* Public Health Law § 4210 [2] [c]). Additionally, New York City Charter § 557 (f) (1) states, as relevant here, that the Chief Medical Examiner possesses “such powers and duties as may be provided by law in respect to [the] bodies of person[s] dying from criminal violence, *by accident*, by suicide, suddenly when in apparent health, when unattended by a physician, in a correctional facility or in any suspicious or unusual manner” (emphasis supplied). Medical examiners possess the discretionary authority to determine when an autopsy is necessary, and, when indicated, “the autopsy shall include toxicologic, histologic, microbiologic and serologic examinations” (Administrative Code of City of NY § 17-203). The statutory authority of a medical examiner to conduct dissection and autopsy is, therefore, fairly broad, as is the right of the medical examiner to remove and retain an organ, like the brain, for further examination and testing (*see* NY City Charter § 557 [f] [3] [permitting the Chief Medical Examiner to conduct “forensic and related testing and analysis” and perform “pathology, histology and toxicology testing and analysis” along with “determining the cause or manner of injuries and/or death”]).

5. The Shipleys did not raise a religious objection to the dissection or autopsy.

The medical examiner clearly had the authority to conduct the autopsy in this instance. As a public employee engaging in a governmental function, his determination to conduct the autopsy and his decision to remove the brain and other organs for further study constituted “‘discretionary acts,’” meaning that his conduct involved the “‘exercise of reasoned judgment’” that “‘may not result in the [City’s] liability even [if] the conduct [was] negligent’” (*Valdez v City of New York*, 18 NY3d 69, 76 [2011], quoting *Lauer v City of New York*, 95 NY2d 95, 99 [2000]). The pertinent issue in this appeal, however, is whether, in the exercise of his statutory duties and obligations, the medical examiner nevertheless had a common-law and statutory duty to notify the Shipleys of his retention of certain organs and tissues, and therefore violated the Shipleys’ common-law right of sepulcher and the Public Health Law when he failed to do so.

IV.

The common-law right of sepulcher affords the deceased’s next of kin an “absolute right to the immediate possession of a decedent’s body for preservation and burial . . . , and damages may be awarded against any person who unlawfully interferes with that right or improperly deals with the decedent’s body” (*Mack v Brown*, 82 AD3d 133, 137 [2d Dept 2011] [citations omitted]; see *Darcy v Presbyterian Hosp. in City of N.Y.*, 202 NY 259, 263 [1911], *rearg denied* 203 NY 547 [1911] [recognizing a cause of action for interference and prevention of next of kin’s right to receive the body of the deceased]; *Shepherd v Whitestar Dev. Corp.*, 113 AD3d 1078, 1080 [4th Dept 2014]; *Melfi v Mount Sinai Hosp.*, 64 AD3d 26, 31 [1st Dept 2009]; *Estate of LaMore v Sumner*, 46 AD3d 1262, 1264 [3d Dept 2007]). The right itself “is less a quasi-property right and more the legal right of the surviving next of kin to find ‘solace and comfort’ in the ritual of burial” (*Melfi*, 64 AD3d at 32). Damages are limited to the emotional suffering, mental anguish and psychological injuries and physical consequences thereof experienced by the next of kin as a result of the interference with the right of sepulcher (see *id.* at 32, 36-37; see also PJI 3:6.1).

Decedent’s body was returned to the Shipleys once the authorized autopsy had been conducted. The body was thus made available to the Shipleys for preservation and burial. Because

the right of sepulcher is premised on the next of kin's right to possess the body for preservation and burial (or other proper disposition), and is geared toward affording the next of kin solace and comfort in the ritual of burying or otherwise properly disposing of the body, it is the *act of depriving the next of kin of the body*, and not the deprivation of organ or tissue samples within the body, that constitutes a violation of the right of sepulcher.⁶

To be sure, a cause of action for violation of the right of sepulcher will lie where there has been an "unauthorized autopsy" (*Darcy*, 202 NY at 265), which the courts of this state consider an "unlawful mutilation" (*Grawunder v Beth Israel Hosp. Assn.*, 242 App Div 56, 60-61 [2d Dept 1934], *affd* 266 NY 605, 606 [1935]). However, the autopsy in this instance, as conceded by the Shipleys, was plainly authorized. Indeed, there is nothing in our common-law jurisprudence that mandated that the medical examiner do anything more than produce the decedent's body for a proper disposition. Thus, the only way there could be a violation of the Shipleys' right of sepulcher would be if the common law directed the medical examiner to produce not only decedent's body for proper disposition once the authorized autopsy was conducted, but the organs and tissue samples as well.

The Shipleys claim that, notwithstanding the medical examiner's statutory authorization to conduct autopsies and retain organs for examination and testing, both the common-

6. The dissent's reliance on *Hendriksen v Roosevelt Hosp.* (297 F Supp 1142 [SD NY 1969]) for the proposition that the deceased's next of kin must first consent to a medical examiner's retention of parts of the body is misplaced. In *Hendriksen*, the defendant hospital and its physician did not possess the legal authority to conduct an autopsy in the first instance, and, therefore, they obtained written consent from the decedent's next of kin. That consent provided that "[p]ermission is hereby granted for a complete autopsy to include examination (by scalp incision) of the central nervous system," which the plaintiff executed for the purpose of ascertaining the cause of death (*id.* at 1143-1144). The only issue in *Hendriksen* was whether the defendants' retention of decedent's internal organs and viscera exceeded the scope of the written consent. Although the *Hendriksen* court relied on *Hassard v Lehane* (143 App Div 424 [1st Dept 1911]) for the (erroneous) proposition *Hassard* "established" that consent was necessary for "the retention of parts of the body" (*Hendriksen*, 297 F Supp at 1144), a closer examination reveals that *Hassard* was nothing more than a wrongful autopsy case (*see Hassard*, 143 App Div at 425-426). As such, the *Hassard* court's statement—unsupported by any authority—that "even if the autopsy had been authorized . . . , that did not . . . justify the removal and detention of any of the organs of the decedent" (*id.* at 426) is plainly dicta.

law right of sepulcher and Public Health Law § 4215 (1) require that the brain and tissue samples removed during the autopsy be returned to a decedent's next of kin and only they, the next of kin, may direct the manner of their disposition. Public Health Law § 4215 (1) states that

“[i]n all cases in which a dissection has been made, the provisions of this article [42, entitled ‘Cadavers’], requiring the burial or other lawful disposition of a body of a deceased person, and the provisions of law providing for the punishment of interference with or injuries to it, *apply equally to the remains of the body after dissection as soon as the lawful purposes of such dissection have been accomplished*” (emphasis supplied).

The Appellate Division held that the medical examiner had a “mandated obligation” and “ministerial” duty pursuant to the common-law right of sepulcher and Public Health Law § 4215 (1) to turn over to the Shipleys the organs that he removed from decedent, once he had completed the dissection and “the legitimate purposes for the retention of those remains [had] been fulfilled” (80 AD3d at 178). This was error that broadly expanded the medical examiner’s obligations under common law and statute.

We have explained that “ministerial acts—meaning conduct requiring adherence to a governing rule, with a compulsory result—may subject the municipal employer to liability for negligence” (*Lauer*, 95 NY2d at 99, citing *Tango v Tulevech*, 61 NY2d 34, 40-41 [1983] [liability will be imposed if the ministerial action is “otherwise tortious and not justifiable pursuant to *statutory command*” (emphasis supplied)]). Indeed, section 4215 (1) contains a “governing rule” or “statutory command” to the extent that the medical examiner, once he or she is finished with the authorized dissection, must turn the “remains of the body after dissection” over for “burial or other lawful disposition.” The issue thus boils down to whether the statutory language “remains of the body” refers to what is left of the body *after* the autopsy has been conducted (as the City argues), or requires the medical examiner to turn over not only the body itself but also any organs or tissue samples that have been removed during the autopsy (as the Shipleys contend).

That there is ambiguity concerning the statutory language “remains of the body,” which is not a defined term, necessarily

means that although the legislature has provided the medical examiner with a “governing rule” and “statutory command” to turn over a decedent’s body for burial or proper disposition, it has not issued such a rule or command directing the medical examiner to turn over the organs and tissue samples recovered as a result of a dissection or autopsy.⁷ Had the legislature so intended, rather than utilizing the phrase “remains of the body,” it could have utilized the specific words “tissue, organ or part thereof” as it has done in other sections of article 42 of the Public Health Law (*see* Public Health Law §§ 4216 [making it a class D felony for a person to remove from a dead body “any *tissue, organ or part thereof*” (emphasis supplied)], 4217 [making it a misdemeanor for a person to purchase or receive “any *tissue, organ, or part*” of a dead body (emphasis supplied)], 4218 [making it a class D felony for a person to open a grave or other place of interment “with intent to remove the body, or any *tissue, organ or part thereof*, for the purpose of selling it or demanding money for the same, or for the purpose of dissection” (emphasis supplied)]).

The legislature did not include such language in section 4215 (1). If anything, the Public Health Law’s designation of “tissue, organs, and body parts . . . , [and] body fluids that are removed during . . . autopsy” as “regulated medical waste” (Public Health Law § 1389-aa [1] [b]), which must be stored, contained and treated or disposed of in a particular manner (*see* Public

7. The dissent asserts that Public Health Law § 4215 (2)’s statement that, where an autopsy or dissection has been made on an “unclaimed body, . . . the persons having possession of the body may, in their discretion, cause it to be either buried or cremated, or may retain parts of such body for scientific purposes,” necessarily means that “parts of such body” is a subset of “remains of the body” such that “remains of the body” must mean more than the cadaver itself (dissenting op at 667). Section 4215 (2), however, provides more interpretive evidence that, had the legislature intended for “remains of the body” to include something more than the cadaver itself, it knew how to do so. Indeed, the Public Health Law provides guidance concerning the delivery and disposal of *unclaimed bodies* (*see* Public Health Law §§ 4211 [Cadavers; unclaimed; delivery to schools for study], 4212 [Cadavers; unclaimed; delivery to schools; procedure], 4214 [2] [“In the case of an unclaimed body of a deceased person, the medical colleges, schools, institutes and universities shall have a priority claim to the said body, for the purposes of medical, anatomical or surgical science and study as provided in this article”]; 4215 [2]). Plainly, the use of the language “parts of such body for scientific purposes” in section 4215 (2) is intended to protect certain institutions from criminal penalties for unlawful autopsy and dissection. It does not follow, as the dissent argues, that the use of the term “parts of such body” is meant as a limitation on a medical examiner’s authority to retain organs and tissues.

Health Law §§ 1389-cc, 1389-dd), only underscores that the medical examiner did not have a ministerial duty to turn over such organs and tissue samples as a matter of course. Absent any specific legislative command that he do so, it was within the medical examiner's discretion to determine (a) what organs and tissue samples to retain; and (b) whether to apprise the Shipleys that decedent's body had been returned without the specimens.

The enactment of article 42 of the Public Health Law constituted legislative acknowledgment that certain governmental and nongovernmental actors, such as coroners, medical examiners, and hospital and mortuary personnel, may, in certain circumstances, need to conduct dissections for a myriad of reasons.⁸ In such situations, the "immediate" possession of the deceased's body by the next of kin is necessarily delayed. This is evidenced by Public Health Law § 4200's directive that "every *body* of a deceased person, within this state, shall be decently buried or incinerated within a reasonable time after death," unless "a right to dissect it is expressly conferred by law" (Public Health Law § 4200 [1] [emphasis supplied]). And, of course, the right of certain individuals to dissect and conduct autopsies is "expressly conferred by law."

When the legislature enacted statutes granting medical examiners (and others) the authority to conduct autopsies and dissections (*see* Public Health Law §§ 4209, 4210), it acknowledged through the enactment of section 4215 (1) that there would be situations where the decedent's body may not be buried or incinerated within a reasonable time after the decedent's death, as per section 4200 (1)'s directive. Thus, section 4215 strikes a balance permitting the lawful dissection of a body, while concomitantly ensuring that once the lawful purposes have been accomplished the body will be buried, incinerated or properly disposed of as per section 4200 (1), and that the penalties for the interference with or injuries to the body would "apply equally to the remains of the body after dissection."

When section 4200 (1) and section 4215 (1) are read in tandem, there is no language that would cause a medical examiner to divine from section 4215 (1) that he or she is required to return not only decedent's body, but the organs and

8. For instance, autopsies and hygienic maintenance of the deceased's body in preparation for disposition.

tissue samples that the medical examiner is legally permitted to remove. Similarly, our right of sepulcher jurisprudence does not mandate that a medical examiner return decedent's organs and tissue samples. Thus, because there was no governing rule or statutory command requiring a medical examiner to turn over organs and tissue samples, it could not be said that he or she has a ministerial duty to do so. At most, a medical examiner's determination to return only the body without notice that organs and tissue samples are being retained is discretionary, and, therefore, no tort liability can be imposed for either the violation of the common-law right of sepulcher or Public Health Law § 4215 (1). Once a medical examiner returns a decedent's body sans the organs and tissue samples, the medical examiner for all intents and purposes has complied with the ministerial duty under section 4215 (1). Absent a duty to turn over organs and tissue samples, it cannot be said that the medical examiner has a legal duty to inform the next of kin that organs and tissue samples have been retained.

The events that precipitated this litigation were tragic and unfortunate. But, absent any specific rule requiring the medical examiner to turn over the removed organs and tissue samples and/or notify the Shipleys that the brain and such tissue samples had been retained for further examination and testing, liability cannot be imposed on the City for failing to abide by an alleged "ministerial" duty when there was no specific directive for a medical examiner to follow other than the mandatory obligation to return the body once finished with the lawful objectives of the examination.

V.

The issues raised on this appeal are of a sensitive nature. The Appellate Division attempted to craft a notification rule that it claimed would be "hardly onerous" for the medical examiner to follow, i.e., the "simple act of notifying the next of kin that, while the body is available for burial, one or more organs have been removed for further examination" and that they may be accepted at a later date for burial (80 AD3d at 178). But the claimed ease of that rule's application is irrelevant in the context of these matters because practical and policy considerations exist beyond merely providing next of kin with notification.

The Appellate Division's notification rule—which the Office of the New York City Medical Examiner has followed (not out

of its belief that it is appropriate but rather because it felt compelled by the Appellate Division to do so)—presumes that *all* next of kin actually want to be notified. The Appellate Division’s notification rule raises more questions than it answers, such as what type of notice is required; what the time period is for when such notice should be given; which organs, tissues and specimens must be turned over and how; and how long should such organs, tissues and specimens be retained while the next of kin determine whether they wish to bury the body with those items.

Other jurisdictions have impliedly recognized the inherent problem with judicially-crafted notice rules and, after the commencement of litigation by next of kin asserting that they possessed a property interest in their decedents’ organs (*see Wae-schle v Dragovic*, 576 F3d 539, 545 [6th Cir 2009], *cert denied* 559 US 1037 [2010]; *Albrecht v Treon*, 118 Ohio St 3d 348, 350, 889 NE2d 120, 122 [2008]), enacted statutes that provide legislative guidance on a medical examiner’s obligations concerning the return of a decedent’s organs and tissues after a lawful autopsy has been conducted (*see* Mich Comp Laws Ann § 52.205 [6] [requiring the medical examiner to “promptly deliver or return the body or any portion of the body to relatives or representatives of the decedent,” but allowing the medical examiner to “retain any portion of the body” that the medical examiner considers necessary; setting forth the notification and record keeping procedures the medical examiner must follow “if a portion of the body retained is an entire organ or limb of the decedent,” and also calling for the disposition of the unwanted organs or limbs as “medical waste”]; Ohio Rev Code Ann § 313.123 [B] [1]-[3]⁹ [defining “retained tissues, organs, blood, other bodily fluids, gases, or any other specimens from an autopsy” as “medical waste” and requiring their disposal in accordance with state and federal law, but providing for a religious exemption that prohibits the coroner from removing those specimens unless such removal “is a compelling public necessity,” and, in such case, the coroner must “return the specimens, as soon as is practicable, to the person who has the

9. These medical waste and religious exemption provisions are somewhat similar to ours (*see* Public Health Law §§ 1389-aa [1] [b] [medical waste]; 4210-c [1] [“no dissection or autopsy shall be performed over the objection of a surviving relative or friend of the deceased that such procedure is contrary to the religious belief of the decedent,” unless compelling public necessity can be demonstrated]).

right to the disposition of the body,” unless the specimen is a DNA specimen]).

VI.

There is simply no legal directive that requires a medical examiner to return organs or tissue samples derived from a lawful autopsy and retained by the medical examiner after such an autopsy. The medical examiner’s obligations under both the common-law right of sepulcher and Public Health Law § 4215 (1) are fulfilled upon returning the deceased’s body to the next of kin after a lawful autopsy has been conducted. If the legislature believes that next of kin are entitled to notification that organs, tissues and other specimens have been removed from the body, and that they are also entitled to their return prior to burial of the body or other disposition, it should enact legislation delineating the medical examiner’s obligations in that regard, as it is the legislature that is in the best position to examine the issue and craft legislation that will consider the rights of families and next of kin while concomitantly taking into account the medical examiner’s statutory obligations to conduct autopsies.

Accordingly, the order insofar as appealed from should be reversed, with costs, and the complaint dismissed in its entirety.

RIVERA, J. (dissenting). The underlying facts leading to this appeal are horrific, and although specific to the parties, they remind us of the grief experienced upon the passing of a family member and the urgent desire of the living to provide final repose to the dead. Throughout history, individuals from different cultures and communities have performed funeral rites, based on personal beliefs and religious customs, intended to send the deceased to a final resting-place. This most human of acts has been repeated over the centuries in myriad and unique ways, and within our legal system the common law has recognized the next of kin’s right to possession of the body for preservation and burial, known as the right of sepulcher.

This appeal requires the Court to consider this ancient right in the context of the defendants’ statutory authority to conduct an autopsy on the body of the deceased. Resolution of the issues raised by the parties must be based on applicable common and statutory laws, which embody New York State’s long-established “[r]espect for the dead, [and] the feelings of [human beings] for their deceased parents, relatives and friends”

(*Finley v Atlantic Transp. Co., Ltd.*, 220 NY 249, 255 [1917]). In accordance with the plaintiffs' right of sepulcher and the mandates of the Public Health Law, I would hold that defendants' statutory authority to conduct an autopsy does not permit a medical examiner to retain organs once the lawful purpose for their retention has been accomplished, absent notification to, and consent from, the next of kin. Therefore, I disagree with the majority's conclusion that a medical examiner has unfettered discretion to retain organs once they no longer serve any legitimate purpose, and also to withhold information from the next of kin that parts of the body are unavailable immediately for burial, or are never to be returned. I therefore dissent.

I.

Plaintiffs Andre and Korisha Shipley lost their only son, 17-year-old Jesse Shipley, while he was a passenger in a car involved in a motor vehicle accident in Staten Island. During the course of Jesse's autopsy, the forensic pathologist and Richmond County's then-Acting Deputy Chief Medical Examiner removed and took tissue samples from various organs, including the heart, liver, and kidney, and then reinserted those organs into the body.

The medical examiner also removed and retained Jesse's entire brain for future examination by another doctor. According to the medical examiner it was his Office's standard practice to preserve the brain in formaldehyde and then wait until approximately six more specimens were ready before requesting that the doctor travel to Staten Island to conduct the neuropathological study of the brains. The medical examiner explained that "[i]t doesn't make sense" for the doctor "to come and do one."

The medical examiner completed the autopsy within 24 hours of Jesse's death, and the body was transferred to the funeral home the following day, whereupon the family held funeral services and buried their son three days later. It is undisputed that the medical examiner did not notify the plaintiffs before the autopsy or in advance of the burial that their son's brain had been removed and retained for future study.

Plaintiffs alleged that they first learned about the retention of Jesse's brain two months after the burial, under apparent gruesome circumstances. According to plaintiffs, they learned from their daughter that during a field trip to the Medical

Examiner's Office several students and a teacher from Jesse's high school saw what they believed to be a brain and other body parts on display in a jar labeled with Jesse's name and the words "as a result of drunk driving." The students had an emotional reaction to seeing the jar and its contents, and as a result the teacher immediately cancelled the trip and left with the students.

After plaintiffs confirmed that Jesse's brain had been removed and retained, they spoke with their priest, who informed them that their son's burial was not proper without the remaining body parts. In response to the plaintiffs' request, the Medical Examiner's Office returned the brain and the retained samples of several other organs to the family. Plaintiffs then conducted a second funeral and burial service for their son, months following the first.

Plaintiffs thereafter commenced this action against the City of New York and the Office of the New York City Medical Examiner, asserting, inter alia, damages for costs and emotional injuries due to the defendants' violation of plaintiffs' right of sepulcher. The majority rejects what had proved successful arguments in support of the plaintiffs' claims in the courts below, but does so by misreading defendants' statutory authority to retain organs during the course of Jesse's autopsy.

II.

Under New York's common-law right of sepulcher, the next of kin has the absolute right to the immediate possession of a decedent's body for preservation and burial (*Darcy v Presbyterian Hosp. in City of N.Y.*, 202 NY 259 [1911]; *Finley*, 220 NY 249; *Estate of Scheuer v City of New York*, 10 AD3d 272 [1st Dept 2004], *lv denied* 6 NY3d 708 [2006]). The concept of a family's right to burial, recognized by diverse cultures and religious faiths, is age-old and serves an important role in the complexity of human existence. As one Court has described it,

"[t]he right of sepulcher, evoking the mystery and sorrow of death and the hope for an afterlife, has been ritualized since the earliest pre-Christian civilizations. From the Egyptian mummification process to the Roman civil law's imposition of a duty of burial, virtually every faith and society has exhibited a reverence for the dead" (*Melfi v Mount Sinai Hosp.*, 64 AD3d 26, 32 [1st Dept 2009]).

The duty associated with disposition of the body concerns “the legal right of the surviving next of kin to find ‘solace and comfort’ in the ritual of burial” (*id.*; see also *Finley*, 220 NY at 257 [recognizing unauthorized burial at sea “depriv(ed) the next of kin of the solace of giving the body a decent burial”]; *Stahl v William Necker, Inc.*, 184 App Div 85, 90-91 [1st Dept 1918] [“next of kin have the right to the possession for the purpose of burial or other disposition which they may see fit to make of the body of a deceased relative”]).

It is now well-settled that violation of the next of kin’s right to burial is compensable. One of the earliest and clearest articulations of such a claim appears in *Foley v Phelps* (1 App Div 551 [1st Dept 1896]), wherein the Court stated that

“ ‘the right to bury a corpse[,] and to preserve its remains[,] is a legal right[,] which the courts of law will recognize and protect.’ The right is to the possession of the corpse in the same condition it was in when death supervened. It is the right to what remains when the breath leaves the body, and not merely to such a hacked, hewed and mutilated corpse as some stranger . . . may choose to turn over to an afflicted relative” (*id.* at 555, quoting *Brick Church Case*, 4 Bradf 532).

Then in 1911, in *Darcy v Presbyterian Hosp. in City of N.Y.*, this Court held that a surviving mother could maintain a cause of action for “wounded feelings and mental distress” arising from the unlawful interference with her right to possession of her son’s body and the unauthorized dissection of his remains (202 NY at 263). Just six years later, when this Court decided *Finley*, the courts had already recognized a right of action “for an unauthorized dissection or one contrary to the wishes or consent of the widow, heirs or next of kin . . . for retaining organs of a deceased body after autopsy or without consent . . . and for mutilation of a body” (220 NY at 257-258 [citations omitted]). Against this legal backdrop, *Finley* made clear that the next of kin has “a legal right to the possession of the body for burial and any unlawful interference with that right [is] an actionable wrong” which “is a subject for compensation” (*id.* at 258).

III.

The majority concludes that in accordance with the Public Health Law the medical examiner was under no duty to return

for burial Jesse's removed body parts, or to notify plaintiffs of the removal and retention of Jesse's brain and other organ samples. However, a careful reading of all the applicable statutes and rules reveals notable limitations on the medical examiner's authority to conduct an autopsy and retain the remains of the body, and evinces an intention to ensure proper return of all body parts for burial purposes, subject only to the completion of a lawful dissection.

The Public Health Law provides that "[e]xcept in the cases in which a right to dissect it is expressly conferred by law, every body of a deceased person, within this state, shall be decently buried or incinerated within a reasonable time after death" (Public Health Law § 4200 [1]). Section 4215 (1) further states that where a dissection is performed,

"the provisions of this article, requiring the burial or other lawful disposition of a body of a deceased person, and the provisions of law providing for the punishment of interference with or injuries to it, apply equally to the remains of the body after dissection as soon as the lawful purposes of such dissection have been accomplished."

By its plain language, the statute is protective of the next of kin's right of burial of the deceased's remains.

While the statute grants authority to conduct an autopsy, article 42 of the Public Health Law, upon which the majority and defendants rely, "reflects . . . concerns for respecting the corporeal remains of decedents and protecting the feelings of family members by *strictly limiting* the circumstances under which autopsies may be performed" (*Bambrick v Booth Mem. Med. Ctr.*, 190 AD2d 646, 647 [2d Dept 1993] [emphasis added]). Accordingly, autopsies only may be conducted by designated individuals for statutorily delineated purposes (*see* Public Health Law § 4209 [limiting the persons who may perform an autopsy]; *id.* § 4210 [limiting the right to dissect the body of a deceased person]). Thus, a medical examiner is authorized to dissect a deceased person under Public Health Law § 4210,¹ for example, in cases prescribed by special statutes, in the course of a criminal investigation, generally to determine the cause of death, or where a next of kin consents (*see* Public Health Law § 4210 [2] [dissection is permitted by a coroner or medical

1. Section 4210 (2) also authorizes coroners and coroner's physicians to conduct dissections.

examiner, “performed in the course of an investigation within the jurisdiction of the officer performing or directing the dissection, or . . . upon the written request of a district attorney, or sheriff, or the chief of a police department”]; *id.* § 4210 [3] [dissection authorized by next of kin of the deceased]).

Moreover, under New York City’s local laws and rules the Chief Medical Examiner may perform an autopsy or dissection for those dying “from criminal violence, by accident, by suicide, suddenly when in apparent health, when unattended by a physician, in a correctional facility or in any suspicious or unusual manner” (NY City Charter § 557 [f] [1]; *see also* County Law § 673). Significantly, no autopsy is conducted “[i]f it may be concluded with reasonable certainty that death occurred from natural causes or obvious traumatic injury, and there are no other circumstances which would appear to require an autopsy” unless the medical examiner deems the autopsy necessary in accordance with the law (Administrative Code of City of NY § 17-203).²

As the laws authorizing an autopsy are in derogation of the common-law right of sepulcher, they must be strictly construed (McKinney’s Cons Laws of NY, Book 1, Statutes § 301, Comment [(S)tatutes in derogation or in contravention (of the common law), are strictly construed, to the end that the common law system be changed only so far as required by the words of the act and the mischief to be remedied]). Thus, notwithstanding the majority’s suggestion to the contrary, a medical examiner does not have unlimited power to conduct an autopsy. Although a medical examiner exercises a certain amount of professional judgment in the course of performing a human dissection, the law does not permit professional conduct in excess of statutory authority. The question then is whether a medical examiner may retain organs or parts thereof, and, upon the next of kin’s request, refuse to turn them over for

2. County Law § 673 (1) authorizes investigation of deaths appearing to be caused by

- “(a) A violent death, whether by criminal violence, suicide or casualty;
- “(b) A death caused by unlawful act or criminal neglect;
- “(c) A death occurring in a suspicious, unusual or unexplained manner;
- “(d) A death caused by suspected criminal abortion;
- “(e) A death while unattended by a physician . . .
- “(f) A death of a person confined in a public institution other than a hospital, infirmary or nursing home.”

burial and proper disposition once the autopsy is complete and such human material is no longer required for further study.

In a case presenting facts and claims similar to those presented by this appeal, the Southern District of New York, in *Hendriksen v Roosevelt Hosp.*, refused to dismiss a right of sepulcher claim based on the alleged lack of consent by plaintiff to the removal and retention of organs during a lawful autopsy (297 F Supp 1142, 1143-1144 [1969], citing *Hassard v Lehane*, 143 App Div 424, 427 [1st Dept 1911] [recognizing claim for retention of organs]). In reaching its conclusion, the Southern District relied on the First Department's decision in *Hassard v Lehane*, which involved an unlawful autopsy, and the removal and retention of the decedent's organs. The First Department determined that the next of kin had a legal right to the possession of her son's corpse "in the condition it was in at the instant of death for the purpose of preserving and burying the remains" (143 App Div at 425). It further opined that retention of the organs was unwarranted absent legal authority to do so (*id.* at 426).

The Southern District recognized in *Hendriksen* that the authority to conduct an autopsy is limited in accordance with the statute, and, to the extent organs are removed, there must be a lawful basis for their retention. Whether on consent of the next of kin or upon some other lawful authority, organ retention is not automatically permissible, or in fact intended, by the statute (*Hendriksen*, 297 F Supp at 1144-1145; see also *Dixon v City of New York*, 76 AD3d 1043 [2d Dept 2010], decided with *Shipley v City of New York*, 80 AD3d 171 [2010]). Although the court's analysis in *Hendriksen* responded to the issues in that case, the approach is just as applicable and equally relevant to the issues raised by the current appeal:

"We are not herein concerned with the mere removal of organs in the course of autopsy, or the taking of tissue samples in order to determine cause of death, but with the failure, as yet unexplained, to return those organs to the body and thereby restore its condition to the extent reasonably possible. The necessity of consent to the retention of parts of the body, even in the presence of consent to the autopsy itself, was established by *Hassard v. Lehane*, which stated:

" 'Doubtless if the defendant made the autopsy by the direction of the coroner, that would justify the

dissection of the body . . . but it would not, in the absence of further directions from the coroner or district attorney, or other evidence, warrant the removal or detention of any part of the body' " (297 F Supp at 1144 [citation omitted]).

Yet, despite the long-established right of sepulcher, the Public Health Law's apparent recognition of the next of kin's right to burial, the state and city laws' limits on the medical examiner's authority to conduct an autopsy, and the case law requiring the return of organs and body parts upon completion of the autopsy and all necessary examinations, the majority concludes that a medical examiner may retain organs and organ specimens, even though such retention serves no statutory purpose. That conclusion depends, in my opinion, on a misreading of Public Health Law § 4215 (1), and the erroneous premise that the right of sepulcher includes only the dissected corpse.

Specifically, the majority adopts the City's interpretation that the phrase "remains of the body" contained in section 4215 (1) excludes organs removed during an autopsy (majority op at 655-656). In support of this conclusion, the majority relies on other sections of the Public Health Law, specifically sections that criminalize theft of tissues and organs, which make no reference to "remains of the body." That interpretation is a strained and decontextualized reading of the statute (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 97).

The Public Health Law makes no provision for the retention of organs upon completion of an autopsy, with one exception, found in section 4215 (2). That subdivision refers to autopsy or dissection of an unclaimed body, and provides "that the persons having possession of the [unclaimed] body may, in their discretion, cause it to be either buried or cremated, or may retain parts of such body for scientific purposes." In accordance with this subdivision, the person in possession of the unclaimed body may retain, for scientific purposes, "parts" rather than the whole of the body, upon completion of the autopsy or dissection. Consequently, "parts of such body" refers, by necessity, to a subset of the "remains of the body." Thus, "remains of the body" encompasses more than merely the cadaver without its organs, because otherwise the reference to "parts of such body" would be unnecessary.

Moreover, the limitation in subdivision (2) that retention of "parts of such body" is permissible solely "for scientific

purposes” provides additional support for reading “remains of the body” to include organs since organs are commonly used for scientific study. This interpretation of “remains of the body” applies to the entirety of section 4215, and makes clear that the majority’s reading of subdivision (1) is textually unsupportable. (See McKinney’s Cons Laws of NY, Book 1, Statutes § 97, Comment [“The different parts of the same act, though contained in different sections, are to be construed together as if they were all in the same section, and the meaning of a single section may not be determined by splitting it up into several parts”].)

Furthermore, while article 42 of the Public Health Law does not define “parts of such body,” article 43, which applies to anatomical gifts, specifically includes organs within its definition of “parts of the body” (Public Health Law § 4300 [5]). Therefore, it is not true, as the majority argues, that the legislature limits itself to use of the word “organ” when it means to include only the word “organ.” Rather, the legislature employs various terms throughout the Public Health Law when intending to refer to organs and “other portions of [the] human body” (*see id.*).

The majority’s reliance on sections 4216, 4217, and 4218 of the Public Health Law does not support its interpretation of section 4215 (1), because those sections impose criminal liability for uniquely targeted conduct and thus require a certain textual specificity. Those sections—respectively titled “Body stealing,” “Receiving stolen body of a human being,” and “Opening graves”—criminalize what is best known as body snatching, trafficking in human body parts, and grave robbing.³ The nature of these proscribed acts, generally for profit and focused less on the corpse as a whole than on the unlawful removal of

3. Section 4216, “Body stealing,” provides:

“A person who removes the dead body of a human being, or any tissue, organ or part thereof from a grave, vault, or other place, where the same has been buried, or from a place where the same has been deposited while awaiting burial, without authority of law, with intent to sell the same, or for the purpose of dissection, or for the purpose of procuring a reward for the return of the same, or from malice or wantonness, is guilty of a class D felony.”

Section 4217, “Receiving stolen body of a human being,” states: “A person who purchases, or receives except for the purpose of burial, the dead body of a human being, or any tissue, organ, or part thereof, knowing that the same has been removed contrary to section forty-two hundred sixteen of this title, is guilty of a misdemeanor.”

(n. cont’d)

more conveniently traded individual body parts, such as organs, explains the statutory reference to discrete, highly valued, body components. Certainly there is no suggestion by any party to this appeal that these sections apply to a medical examiner's withholding of organs for purposes of an autopsy or legitimate examination. Thus, these provisions cannot be read to mean that the phrase "remains of the body" as set forth in section 4215 (1) excludes an essential part of the body, i.e., organs.

As an additional matter, while our focus is on the interplay between the Public Health Law and the right of sepulcher, the defendants' litigation position regarding the medical examiner's authority to retain organs appears at odds with the City's Health Code. Article 205 of the Code, "Deaths and Disposals of Human Remains," defines "human remains" as "a conceptus which has completed 24 weeks or more of gestation or all or *any part of the dead body* of a human being but does not include human ashes recovered after cremation" (NY City Health Code [24 RCNY] § 205.01 [c] [emphasis added]). Given the broad scope of this definition, the phrase "any part of the dead body" must be accorded its natural meaning to include a deceased's organs. Section 205.17, titled "Claiming of human remains removed to the City mortuary," further provides that "human remains which have been removed to the City mortuary" shall be delivered along with the death certificate, "on demand, to a funeral director or undertaker," employed by, inter alia, the next of kin. Of course, the medical examiner is authorized to conduct an autopsy for a lawful purpose (Administrative Code § 17-203). Thus, in New York City, "human remains" includes the decedent's organs and those organs must be returned upon demand by the funeral home, for proper disposition by the next of kin, once the lawful purpose for retention of the organs has been fulfilled.

Section 4218, "Opening graves," provides:

"A person who opens a grave or other place of interment, temporary or otherwise, or a building wherein the dead body of a human being is deposited while awaiting burial, without authority of law, with intent to remove the body, or any tissue, organ or part thereof, for the purpose of selling it or demanding money for the same, or for the purpose of dissection, or from malice or wantonness, or with intent to steal or remove the coffin or any part thereof, or anything attached thereto, or any vestment, or other article interred, or intended to be interred with the dead body, is guilty of a class D felony."

Here, only after the medical examiner released the body for the first burial, and once the plaintiffs realized the brain had been removed and demanded it be turned over, did the medical examiner return Jesse's brain to plaintiffs. The question then is whether the defendants may be held liable for plaintiffs' emotional damages due to the medical examiner's failure to inform plaintiffs of the removal and retention of Jesse's brain prior to the first funeral service and burial.

IV.

"Government action, if discretionary, may not be a basis for liability, while ministerial actions may be, but only if they violate a special duty owed to the plaintiff, apart from any duty to the public in general" (*McLean v City of New York*, 12 NY3d 194, 203 [2009]). Under the common-law right of sepulcher, the Public Health Law, and City code, the medical examiner is without authority to retain organs once the lawful purpose for their removal and retention has been accomplished. Therefore, once the legitimate basis for withholding the organs has ended, the medical examiner has a ministerial duty to turn over the organs to the next of kin upon demand or, where the next of kin does not seek return, to properly dispose of the organs.

In concluding that the medical examiner has no such ministerial duty, the majority relies on its interpretation of section 4215, and also points to Public Health Law § 1389-aa (1) (b), which includes organs and body parts removed during an autopsy within its definition of regulated medical waste (majority op at 656-657). For the reasons I have already described, section 4215 requires that the medical examiner return the organs, absent a legitimate purpose to retain them. With respect to the majority's reference to section 1389-aa (1) (b), the majority ignores the fact that, pursuant to his usual practice, the medical examiner here initially turned over all the organs along with the body, with the exception of Jesse's brain. The medical examiner testified that he removed all the organs in order to obtain samples for the autopsy and future study. He then, again in accordance with his usual practice, placed all of the organs into a bag, not including the brain, which he preserved for future examination. He put the bag into the body and stitched it up for pick up by the funeral home. As this testimony establishes, the fact that organs are removed from the body during an autopsy does not mean that the medical

examiner cannot reinsert them for burial or that the statute prohibits return of the organs to next of kin. Indeed, defendants admit that

“[t]he Medical Examiner, at the request of the next of kin, may, and does, as appropriate and as occurred in this case, return, for disposition by burial or cremation in accordance with the law, organs removed during an authorized autopsy once the legitimate purposes for the retention of those organs have been fulfilled” (citation omitted).

Under these circumstances, the return of organs is ministerial, and, therefore, if a special duty to plaintiffs exists, injury caused by the failure to return or the negligent mishandling of those organs may be a basis for liability.

In *Pelaez v Seide*, this Court stated that

“[a] special relationship can be formed in three ways: (1) when the municipality violates a statutory duty enacted for the benefit of a particular class of persons; (2) when it voluntarily assumes a duty that generates justifiable reliance by the person who benefits from the duty; or (3) when the municipality assumes positive direction and control in the face of a known, blatant and dangerous safety violation” (2 NY3d 186, 199-200 [2004]).

Plaintiffs’ action falls within the first category of special relationship cases because under section 4215 (1) of the Public Health Law the medical examiner is under a duty to return the body and its remains. Such duty is clearly for the benefit of the next of kin who is, by law, authorized to bury and dispose of the body.

Plaintiffs’ action also falls within the second category of special relationship cases because they relied on the defendants’ assumption of the duty to conduct an autopsy as required by law, which also mandated return of Jesse’s organs once the legitimate purpose for their retention had been accomplished. To establish a special relationship by a duty voluntarily assumed, plaintiffs must show that there was:

“(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality’s agents that inaction could lead to harm; (3) some form of direct

contact between the municipality's agents and the injured party; and (4) that party's justifiable reliance on the municipality's affirmative undertaking" (*Valdez v City of New York*, 18 NY3d 69, 80 [2011]).

Here, the medical examiner took possession of the body, conducted an autopsy, and returned the body for purposes of burial by the next of kin. The medical examiner knew that the proper burial of the plaintiffs' son and the condition of the body were significant to the family as the father indicated the body should appear presentable for the funeral service. Moreover, the right of sepulcher itself recognizes the significance of this most difficult and consequential of actions, the proper and final disposition of the remaining corporeal remains of a loved one. The medical examiner surely understood that failure to return the body in order to comply with this most intimate and personal of familial obligations would result in harm to plaintiffs. Further, it is undisputed that there was contact between the medical examiner and Jesse's father related to the autopsy and the burial. On these facts, plaintiffs justifiably relied on the medical examiner's assumption of the duty to return the body, including the organs, for proper burial, thus establishing the basis for a special relationship between the City and plaintiffs.

However, because the next of kin may very well determine that a proper burial can be conducted without the organs, the Appellate Division properly concluded that the medical examiner may satisfy the duty to the next of kin by notification of the organs' removal (*see* 80 AD3d at 178). Upon such notice, the next of kin may then determine whether to request the return of the organs, and, if so, whether to delay burial and wait to learn if the medical examiner can, as a legal matter, comply with this request, or whether to proceed expeditiously with the disposition of the body.

The majority finds that because there is no duty to return organs, the medical examiner also has no duty to notify the next of kin that organs have been retained (majority op at 658). While I disagree that the medical examiner has no duty to return the organs, I agree that there is no statute mandating notification. Nevertheless, that fact is of no moment because the right of sepulcher provides sufficient legal basis for imposing a notification requirement. As this case makes abundantly clear, the right would be rendered meaningless if the next of

kin did not know about the condition under which the body was returned. In other words, notification ensures a fully informed next of kin's exercise of the right of sepulcher.

The majority also raises what it considers to be the "practical and policy considerations" of providing notice to next of kin (majority op at 658). However, any such considerations must, of necessity, be addressed in the first instance by the defendants. In any event, the fact of the matter is, on this appeal, defendants have represented that they are in compliance with the Appellate Division's decision. That is to say, they provide some type of notice to next of kin, and upon request return the organs.

V.

The question remains open as to whether the majority's reading of the Public Health Law permits a demand for organs based on religious grounds, or whether there should be some notice concerning the legal rights of next of kin based on the decedent's religious beliefs. However, as the majority acknowledges (majority op at 652), section 4210-c (1) provides for a religious exemption from an autopsy or dissection, and states specifically,

"[n]otwithstanding any other provision of law, in the absence of a compelling public necessity, no dissection or autopsy shall be performed over the objection of a surviving relative or friend of the deceased that such procedure is contrary to the religious belief of the decedent, or, if there is otherwise reason to believe that a dissection or autopsy is contrary to the decedent's religious beliefs."

Notwithstanding the clear legislative intent to address religious concerns regarding dissection and autopsies, this case suggests the general public has little basis by which to understand the rights afforded under the statute.

According to the undisputed facts, the medical examiner made no inquiry of the plaintiffs about their possible objection to the autopsy on religious grounds. However, plaintiffs' testimony suggests they did not know about the exemption even though religious concerns about the condition of their son's post-autopsy body informed their demand for their son's brain. Jesse's mother testified that she "wanted to confirm that his remains be with his body in consecrated grounds for resurrection purposes on judgement day."

Moreover, even though the statute refers to religious beliefs, and makes no distinction among religions or the types of faith-based objections to an autopsy, the medical examiner testified “that families can object, yes, based on certain religions. Not all religions.”⁴ Apparently, the medical examiner here based decisions concerning the religious exemption on the name of the decedent and the existence of some religious artifact or apparel, which suggested to him the decedent’s religious affiliation. This seems contrary to the language and purpose of section 4210-c and further supports the need for notification so that the next of kin are well-prepared to make fully informed choices.

The majority suggests that any change in the rights of the next of kin should come from the legislature. That is indeed so because the majority has interpreted the law as applied to cases involving an autopsy in such a way as to deny the next of kin the right to demand return of their loved one in as undisturbed a condition as possible. Perhaps the majority’s ruling will result in greater awareness of the right of sepulcher. Even so, for those who indeed know enough to seek the return of the deceased’s organs, the majority provides no “solace and comfort,” and little assurance, that their request will be honored by the medical examiner. Therefore, I dissent.

Judges READ, ABDUS-SALAAM, STEIN and FAHEY concur; Judge RIVERA dissents in an opinion in which Chief Judge LIPPMAN concurs.

Order, insofar as appealed from, reversed, with costs, and the complaint dismissed in its entirety.

4. The defendants’ website identifies certain religions with the potential to raise “a viable religious objection” (Office of Chief Medical Examiner, Frequently Asked Questions, <http://www.nyc.gov/html/ocme/html/faq/faq.shtml#6> [(If we cannot fulfill our legal and public responsibility without performing an autopsy, if the family has raised a viable religious objection (i.e., based on Judaism, Islam, Christian Science, Jehovah’s Witness, or 7th Day Adventist) they will be provided an opportunity to hire an attorney, if they desire, and to present their objection to a Judge who will determine whether an autopsy will be performed”])).

[37 NE3d 78, 16 NYS3d 21]

UNIVERSAL AMERICAN CORP., Appellant, v NATIONAL UNION FIRE
INSURANCE COMPANY OF PITTSBURGH, PA., Respondent.

Argued May 7, 2015; decided June 25, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 1, 2013. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (O. Peter Sherwood, J.; op 38 Misc 3d 859 [2013]), which had denied plaintiff's motion for partial summary judgment and granted defendant's cross motion for summary judgment dismissing the complaint. The modification consisted of declaring that the insurance policy does not provide coverage for the claimed loss. The Appellate Division affirmed the order as modified.

Universal Am. Corp. v National Union Fire Ins. Co. of Pittsburgh, PA., 110 AD3d 434, affirmed.

HEADNOTE

Insurance — Construction of Policy — Losses Caused by Fraudulent Entry of Electronic Data

The insuring agreement for computer systems fraud between plaintiff health insurance company and defendant insurer did not provide coverage for plaintiff's losses resulting from fraudulent health care claims paid through plaintiff's computer system, because the agreement's application to "fraudulent . . . entry of Electronic Data or Computer Program" did not encompass losses caused by an authorized user's submission of fraudulent information into plaintiff's computer system. The test to determine whether an insurance contract is ambiguous focuses on the reasonable expectations of the average insured upon reading the policy and employing common speech. The agreement unambiguously applied to losses incurred from unauthorized access to plaintiff's computer system, and not to losses resulting from fraudulent content submitted to the computer system by authorized users. The term "fraudulent" refers to deceit and dishonesty and, in the agreement, qualified the act of entering or changing data or a computer program. The reference to "fraudulent" did not also qualify what was actually acted upon, namely the "electronic data" or "computer program" itself. The intentional word placement of "fraudulent" before "entry" and "change" manifested the parties' intent to provide coverage for a violation of the integrity of the computer system through deceitful and dishonest access.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Computers and the Internet §§ 197, 239, 242,

255; AM JUR 2d, Insurance §§ 289, 297–299, 503, 679, 1012, 1368, 1402, 1637, 1931, 2038.

CARMODY-WAIT 2d, Parties § 19:160; CARMODY-WAIT 2d, Summary Judgment §§ 39:12, 39:16.

COUCH ON INSURANCE (3d ed) §§ 21:14, 22:11, 22:14–22:15, 22:38, 126:30, 129:4, 131:33, 149:48, 201:18.

NY JUR 2d, Insurance §§ 818, 871, 1570–1571, 1626, 1636, 1686, 1697, 1703, 1740, 2018, 2082, 2321; NY JUR 2d, Telecommunications § 222.

ANNOTATION REFERENCE

See ALR Index under Computers; Databases; Insurance; Fraud and Deceit.

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POINTS OF COUNSEL

Schlam Stone & Dolan LLP, New York City (*Richard H. Dolan* and *Bradley J. Nash* of counsel), for appellant. I. The order below should be reversed, and partial summary judgment granted to Universal American Corp. on the issue of coverage. (*Executive Risk Indem., Inc. v Starwood Hotels & Resorts Worldwide, Inc.*, 98 AD3d 878; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Ragins v Hospitals Ins. Co., Inc.*, 22 NY3d 1019; *Westview Assoc. v Guaranty Natl. Ins. Co.*, 95 NY2d 334; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *City of New York v Evanston Ins. Co.*, 39 AD3d 153; *Primavera v Rose & Kieran*, 248 AD2d 842; *Raner v Security Mut. Ins. Co.*, 102 AD3d 485.) II. None of the exclusions to the computer fraud policy applies to Universal American Corp.'s claim. (*Dean v Tower Ins. Co. of N.Y.*, 84 AD3d 499, 19 NY3d 704; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Teichman v Community Hosp. of W. Suffolk*, 87 NY2d 514; *Belt Painting Corp. v TIG Ins. Co.*, 100 NY2d 377; *On Demand Mach. Corp. v Ingram Indus., Inc.*, 442 F3d 1331; *Commodity Trend Serv., Inc. v Commodity Futures Trading Commn.*, 233 F3d 981; *Kamine/Besicorp Allegany L.P. v Rochester Gas & Elec. Corp.*, 908 F Supp 1194; *MedAssets, Inc. v Federal Ins. Co.*, 705 F Supp 2d 1368; *Raner v Security Mut. Ins. Co.*, 102 AD3d 485; *Miller Tabak + Co., LLC v Senetek PLC*, 118 AD3d 520.)

Nixon Peabody LLP, New York City (*Barbara A. Lukeman* of counsel), for respondent. I. The unanimous order of the First Department should be affirmed because Universal American Corp. cannot meet its burden of showing coverage. (*Tribeca Broadway Assoc. v Mount Vernon Fire Ins. Co.*, 5 AD3d 198; *Munzer v St. Paul Fire & Mar. Ins. Co.*, 145 AD2d 193; *Bretton v Mutual of Omaha Ins. Co.*, 110 AD2d 46; *Caporino v Travelers Ins. Co.*, 62 NY2d 234; *Jones v St. Paul Fire & Mar. Ins. Co.*, 295 AD2d 569; *United States Fire Ins. Co. v General Reins. Corp.*, 949 F2d 569; *Loblaw, Inc. v Employers' Liab. Assur. Corp.*, 85 AD2d 880, 57 NY2d 872; *Standard Mar. Ins. Co. v Federal Ins. Co.*, 39 AD2d 444; *Eagle Leasing Corp. v Hartford Fire Ins. Co.*, 540 F2d 1257.) II. Three exclusions apply and act as a bar to coverage of Universal American Corp.'s claims. (*Citigroup Global Mkts. Inc. v Abbar*, 761 F3d 268; *Securities Inv. Protection Corp. v Morgan, Kennedy & Co., Inc.*, 533 F2d 1314; *Swerdloff v Miami Natl. Bank*, 584 F2d 54; *Arkwright Corp. v United States*, 53 F Supp 359; *Matter of Bombay Realty Corp. v Magna Carta*, 100 NY2d 124; *Muzak Corp. v Hotel Taft Corp.*, 1 NY2d 42; *Brooklyn City R.R. Co. v Kings County Trust Co.*, 214 App Div 506, 242 NY 531; *People v Bhatt*, 160 Misc 2d 973.)

Anderson Kill P.C., New York City (*Joshua Gold* and *Dennis J. Nolan* of counsel), and *Amy Bach*, *United Policyholders*, San Francisco, California, for *United Policyholders*, amicus curiae. I. It is critically important that New York's courts provide policyholders with relief for improper denials of insurance coverage. (*American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485, 748 F2d 760; *Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187.) II. New York law, properly applied, requires a finding of insurance coverage for appellant's crime loss. (*Miller v Continental Ins. Co.*, 40 NY2d 675; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321; *Matter of Reliance Ins. Co.*, 55 AD3d 43, 12 NY3d 725; *Matter of New York Cent. Mut. Fire Ins. Co. v Ward*, 38 AD3d 898; *Retail Ventures, Inc. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 691 F3d 821.) III. Policyholders are particularly vulnerable when insurance companies are not compelled to honor their coverage obligations. (*Bi-Economy Mkt., Inc. v Harleysville Ins. Co. of N.Y.*, 10 NY3d 187.) IV. The lower courts' findings regarding insurance coverage intent were erroneous. (*Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Rubin v Empire Mut. Ins. Co.*, 57 Misc 2d 104, 32 AD2d 1, 25 NY2d 426.)

OPINION OF THE COURT

RIVERA, J.

On this appeal we consider whether an insuring agreement for computer systems fraud that applies to “a fraudulent entry . . . of Electronic Data or Computer Program” encompasses losses caused by an authorized user’s submission of fraudulent information into the insured’s computer system. We conclude that the agreement is unambiguous and “fraudulent entry” refers to unauthorized access into plaintiff’s computer system, and not to content submitted by authorized users. Therefore, we affirm the order of the Appellate Division.

Plaintiff, Universal American Corp. (Universal), is a health insurance company that offers, as relevant to this appeal, a choice of federal government-regulated alternatives to Medicare, known as “Medicare Advantage Private Fee-For-Service” plans (Medicare Advantage).^{*} These plans allow Medicare-eligible individuals to purchase health insurance from private insurance companies, and those companies are, in turn, eventually reimbursed by the U.S. Department of Health & Human Services’ Centers for Medicare & Medicaid Services for health care services provided to the plans’ members. Universal has a computerized billing system that allows health care providers to submit claims directly to the system. According to Universal, the great majority of claims submitted are processed, approved, and paid automatically, without manual review.

The matter before us involves Universal’s demand for indemnification to cover losses resulting from health care claims for unprovided services, paid through Universal’s computer system. At issue is the coverage available to Universal pursuant to rider No. 3 (rider) of a financial institution bond (bond), issued by defendant National Union Fire Insurance Company of Pittsburgh, Pa. (National Union). The bond insured Universal against various losses, inclusive of certain losses resulting from dishonest and fraudulent acts. The rider amended the bond to provide indemnification specifically for computer systems fraud, and states, in part:

“COMPUTER SYSTEMS

“It is agreed that:

^{*} Medicare, a hospital, medical, and prescription drug insurance program, is administered by the Centers for Medicare & Medicaid Services within the U.S. Department of Health & Human Services (*see* 42 USC § 1395 *et seq.*).

“1. the attached bond is amended by adding an Insuring Agreement as follows:

“COMPUTER SYSTEMS FRAUD

“Loss resulting directly from a fraudulent

“(1) entry of Electronic Data or Computer Program into, or

“(2) change of Electronic Data or Computer Program within

“the Insured’s proprietary Computer System . . .

“provided that the entry or change causes

“(a) Property to be transferred, paid or delivered,

“(b) an account of the insured, or of its customer, to be added, deleted, debited or credited, or

“(c) an unauthorized account or a fictitious account to be debited or credited.”

The rider, and the basic bond coverage, carry a \$10 million limit and a \$250,000 deductible for each “single loss,” which, as defined in the rider, includes “the fraudulent acts of one individual,” or of “unidentified individuals but arising from the same method of operation.” Universal’s annual premium during the relevant policy period was \$170,500.

A few months after obtaining coverage, Universal suffered over \$18 million in losses for payment of fraudulent claims for services never actually performed under its Medicare Advantage plans. When Universal sought payment from National Union for its post-deductible losses, National Union denied coverage on the ground that the rider did not encompass losses for Medicare fraud, which National Union described as losses from payment for claims submitted by health care providers.

Universal then commenced an action for damages and declaratory relief against National Union. Thereafter, Universal moved pursuant to CPLR 3212 for partial summary judgment, and an order declaring the losses to be covered under the policy. National Union cross-moved for summary judgment. Supreme Court denied Universal’s motion, granted National Union’s motion, and dismissed the complaint (38 Misc 3d 859 [Sup Ct, NY County 2013]), concluding that the rider is not ambiguous and does not extend to fraudulent claims entered into Universal’s system by authorized users. The court

determined, instead, that the intended coverage is for an unauthorized entry into the computer system by a hacker or through a computer virus.

The Appellate Division unanimously modified the summary judgment order, on the law, to declare the policy does not cover the loss, and otherwise affirmed. The Court concluded the unambiguous language of the policy does not cover fraudulent content entered by authorized users, but rather “wrongful acts in manipulation of the computer system, i.e., by hackers” (110 AD3d 434, 434 [1st Dept 2013]). We granted Universal leave to appeal (23 NY3d 904 [2014]), and now affirm.

An insurance agreement is subject to principles of contract interpretation. “As with the construction of contracts generally, ‘unambiguous provisions of an insurance contract must be given their plain and ordinary meaning, and the interpretation of such provisions is a question of law for the court’ ” (*Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170, 177 [2008], quoting *White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]). “Ambiguity in a contract arises when the contract, read as a whole, fails to disclose its purpose and the parties’ intent” (*Ellington v EMI Music, Inc.*, 24 NY3d 239, 244 [2014], citing *Brooke Group v JCH Syndicate* 488, 87 NY2d 530, 534 [1996]), or where its terms are subject to more than one reasonable interpretation (see *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012], quoting *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304, 311 [1984]; *Chimart Assoc. v Paul*, 66 NY2d 570, 573 [1986] [ambiguity exists if “the agreement on its face is reasonably susceptible of more than one interpretation”]; see also *Greenfield v Philles Records*, 98 NY2d 562, 569-570 [2002]). However, parties cannot create ambiguity from whole cloth where none exists, because provisions “are not ambiguous merely because the parties interpret them differently” (*Mount Vernon Fire Ins. Co. v Creative Hous.*, 88 NY2d 347, 352 [1996]). Rather, “the test to determine whether an insurance contract is ambiguous focuses on the reasonable expectations of the average insured upon reading the policy and employing common speech” (*Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321, 326-327 [1996] [citations omitted]; see also *Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011] [“Insurance contracts must be interpreted according to common speech and consistent with the reasonable expectations of the average insured”]).

Turning to the language of the rider, we conclude that it unambiguously applies to losses incurred from unauthorized ac-

cess to Universal's computer system, and not to losses resulting from fraudulent content submitted to the computer system by authorized users. The term "fraudulent" is not defined in the rider, but it refers to deceit and dishonesty (*see* Merriam-Webster Collegiate Dictionary 464 [10th ed 1993]). While the rider also does not define the terms "entry" and "change," the common definition of the former includes "the act of entering" or "the right or privilege of entering," "access," and the latter means "to make different," "alter" (*id.* at 387, 190). In the rider, "fraudulent" modifies "entry" or "change" of electronic data or computer program, meaning it qualifies the act of entering or changing data or a computer program. Thus, the rider covers losses resulting from a dishonest entry or change of electronic data or computer program, constituting what the parties agree would be "hacking" of the computer system. The rider's reference to "fraudulent" does not also qualify what is actually acted upon, namely the "electronic data" or "computer program" itself. The intentional word placement of "fraudulent" before "entry" and "change" manifests the parties' intent to provide coverage for a violation of the integrity of the computer system through deceitful and dishonest access.

Other language in the rider confirms that the rider seeks to address unauthorized access. First, the rider is captioned "COMPUTER SYSTEMS," and the specific language at issue is found under the subtitle "COMPUTER SYSTEMS FRAUD." These headings clarify that the rider's focus is on the computer system qua computer system. Second, under "EXCLUSIONS," the rider exempts from coverage losses resulting directly or indirectly from fraudulent instruments "which are used as source documentation in the preparation of Electronic Data or manually keyed into a data terminal." If the parties intended to cover fraudulent content, such as the billing fraud involved here, then there would be no reason to exclude fraudulent content contained in documents used to prepare electronic data, or manually keyed into a data terminal.

Nonetheless, Universal argues that in the context of the rider, "fraudulent entry" means "fraudulent input" because a loss due to a fraudulent entry by necessity can only result from the input of fraudulent information. This would render superfluous the word "a" before "fraudulent," and the word "of" before "electronic data or computer program." Universal's proposed interpretation is easily achieved by providing coverage for a "loss resulting directly from fraudulent data." Of

course, that is not what the rider says. Moreover, Universal's reading ignores the other language contained in the rider and its categorical application to "Computer Systems" and "Computer Systems Fraud."

We are also unpersuaded by Universal's reliance on *Owens, Schine & Nicola, P.C. v Travelers Cas. & Sur. Co. of Am.* (2010 WL 4226958, *1, 2010 Conn Super LEXIS 2386, *1-3 [Sept. 20, 2010, No. CV095024601], *vacated* 2012 WL 12246940, 2012 Conn Super LEXIS 5053 [Apr. 18, 2012] [memorandum of decision vacated by stipulation of the parties]), in support of its argument that the heading "COMPUTER SYSTEMS FRAUD" can reasonably be interpreted to encompass fraud committed through a computer, meaning fraud that is not limited to computer hacking incidents. The *Owens* decision is of little assistance to Universal's cause. In *Owens*, the policy provision was far broader, and contained an internally applicable definition of "Computer Fraud" as

"[t]he use of any computer to fraudulently cause a transfer of Money, Securities or Other Property from inside the Premises or Banking Premises:

"1. to a person (other than a Messenger) outside the Premises or Banking Premises; or

"2. to a place outside the Premises or Banking Premises" (2010 WL 4226958, *4, 2010 Conn Super LEXIS 2386, *9-10).

The insurer argued that "computer fraud" within the meaning of the policy required manipulation of the computer system, i.e., hacking. It further argued that there was no actual computer fraud because the use of emails and a computer to create a fraudulent check, as part of a scheme to steal funds from the insured, did not cause the physical transfer of money out of the insured's account. Instead, the loss resulted from the insured's wiring of the funds out of the account. The court found the phrase "use of any computer" to be ambiguous as to "the amount of computer usage necessary to constitute computer fraud" (2010 WL 4226958, *7, 2010 Conn Super LEXIS 2386, *19). Thus, *Owens* was concerned with whether the computer had been utilized sufficiently to constitute computer fraud as contemplated by the parties, based on their reasonable understanding of the policy's terms.

Here, it is undisputed that use of Universal's computer is absolutely essential to trigger coverage for a loss, and that its

computers were indeed used in a manner that resulted in payment of claims for health care services that were never provided. Thus, unlike in *Owens*, the question is not how much computer use is required under the policy, but whether the use involved here is the type actually covered by the rider.

We conclude that the “reasonable expectations of the average insured upon reading the policy” (*Mostow*, 88 NY2d at 326-327) are that the rider applies to losses resulting directly from fraudulent access, not to losses from the content submitted by authorized users. Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges READ, PIGOTT, ABDUS-SALAAM, STEIN and FAHEY concur; Chief Judge LIPPMAN taking no part.

Order affirmed, with costs.

[37 NE3d 82, 16 NYS3d 25]

ERIC M. BERMAN, P.C., et al., Respondents, v CITY OF NEW YORK
et al., Appellants.

Argued June 3, 2015; decided June 30, 2015

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Does Local Law 15, insofar as it regulates attorney conduct, constitute an unlawful encroachment on the State’s authority to regulate attorneys, and is there a conflict between Local Law 15 and Sections 53 and 90 of the New York Judiciary Law? 2. If Local Law 15’s regulation of attorney conduct is not preempted, does Local Law 15, as applied to attorneys, violate Section 2203(c) of the New York City Charter?”

HEADNOTE

Local Laws — Preemption by State — Regulation of Attorney Conduct

Local Law No. 15 (2009) of City of New York, to the extent it purports to regulate attorneys acting in a debt collecting capacity in governing the conduct of debt collection agencies, is not preempted by Judiciary Law §§ 53 and 90, which confer broad authority upon the courts to regulate the practice of law. A local law will be preempted either where there is a direct conflict with a state statute (conflict preemption) or where the legislature has indicated its intent to occupy the particular field (field preemption). Local laws are inconsistent where they prohibit what would be permissible under state law, or impose prerequisite additional restrictions on rights under state law, so as to inhibit the operation of the state’s general laws. Although attorneys that are acting in a debt collecting capacity may fall within the penumbra of Local Law 15, it does not purport to regulate attorneys as such. There is no express conflict between the broad authority accorded to the courts to regulate attorneys under the Judiciary Law and the licensing of individuals as attorneys who are engaged in debt collection activity falling outside the practice of law and, thus, the local law does not impose an additional requirement for attorneys to practice law. Rather, the regulatory schemes are complementary to, and compatible with, one another. Moreover, the courts’ authority to regulate attorney conduct does not evince an intent to preempt the field of regulating nonlegal services rendered by attorneys. To the extent that the courts have exercised some authority over such services, the regulation in that area is not so detailed and comprehensive as to imply that the field has been preempted.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 2; AM JUR 2d, Collection and Credit Agencies § 3; AM JUR 2d, Municipal Corporations, Counties, and Other Political Subdivisions §§ 375–377.

CARMODY-WAIT 2d, Officers of Court § 3:167.

McKINNEY'S, Judiciary Law §§ 53, 90.

NY JUR 2d, Attorneys at Law § 9; NY JUR 2d, Counties, Towns, and Municipal Corporations §§ 350, 351.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Collections; Municipal Corporations; Preemption.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (Janet L. Zaleon, Richard Dearing and Nicholas R. Ciappetta of counsel), for appellants. I. Local Law No. 15 (2009) of City of New York is not preempted by the Judiciary Law. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Matter of Zuckerman*, 20 NY2d 430; *Matter of Wong*, 275 AD2d 1; *Matter of Lenahan*, 34 AD3d 13; *Matter of Rosenblum v New York City Conflicts of Interest Bd.*, 18 NY3d 422; *Zakrzewska v New School*, 14 NY3d 469; *Aponte v Raychuk*, 140 Misc 2d 864, 160 AD2d 636; *Guggenheimer v Ginzburg*, 43 NY2d 268; *Matter of Roth v Turoff*, 127 Misc 2d 998.) II. Local Law No. 15 (2009) of City of New York does not violate New York City Charter § 2203 (c). (*Mahler v Gulotta*, 297 AD2d 712, 98 NY2d 615.)

Rivkin Radler LLP, Uniondale (Max S. Gershenoff, Evan H. Krinick and Michael P. Versichelli of counsel), for respondents. I. Local Law No. 15 (2009) of City of New York is in direct conflict with sections 53 and 90 of the Judiciary Law, and sections 10 and 11 of the Municipal Home Rule Law, and therefore is preempted. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91

AD3d 126; *Zakrzewska v New School*, 14 NY3d 469; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *People ex rel. Karlin v Culkin*, 248 NY 465; *Matter of Zuckerman*, 20 NY2d 430, 390 US 925; *Matter of 749 Broadway Realty Corp. v Boyland*, 1 Misc 2d 575, 1 AD2d 819, 3 NY2d 737; *Goehler v Cortland County*, 70 AD3d 57.) II. New York State's enactment of a comprehensive and detailed regulatory scheme regarding attorney licensing, practice, and conduct demonstrates an intent to preempt the field. (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126; *People v Diack*, 24 NY3d 674; *Matter of Lansdown Entertainment Corp. v New York City Dept. of Consumer Affairs*, 141 AD2d 468, 74 NY2d 761; *People v De Jesus*, 54 NY2d 465; *Matter of Chwick v Mulvey*, 81 AD3d 161; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *People v Law Offs. of Andrew F. Capoccia*, 289 AD2d 650.) III. Local Law No. 15 (2009) of City of New York violates New York City Charter § 2203 (c). (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475.) IV. Local Law No. 15 (2009) of City of New York is unconstitutionally vague. (*Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235; *People v Stuart*, 100 NY2d 412.)

Eric T. Schneiderman, Attorney General, New York City (*Karen W. Lin*, *Barbara D. Underwood* and *Anisha S. Dasgupta* of counsel), for Attorney General of the State of New York, amicus curiae. Local Law No. 15 (2009) of City of New York is not preempted by the Judiciary Law. (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *New York State Club Assn. v City of New York*, 69 NY2d 211, 487 US 1; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Matter of Cohen*, 7 NY2d 488; *Matter of Wong*, 275 AD2d 1; *Matter of Lenahan*, 34 AD3d 13; *People v Law Offs. of Andrew F. Capoccia*, 289 AD2d 650; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *Matter of Bethpage Water Dist. v Daines*, 67 AD3d 1088; *People v Title Guar. & Trust Co.*, 227 NY 366.)

Susan Ann Silverstein, AARP Foundation Litigation, Washington, D.C., for AARP and others, amici curiae. I. Local Law No. 15 (2009) of City of New York does not conflict with the judiciary's regulation of the practice of law. (*Bates v State Bar of Ariz.*, 433 US 350; *Milavetz, Gallop & Milavetz, P. A. v United States*, 559 US 229; *Heintz v Jenkins*, 514 US 291; *Gold-*

farb v Virginia State Bar, 421 US 773; *United States v National Socy. of Professional Engrs.*, 389 F Supp 1193; *Cohen v State of New York*, 94 NY2d 1; *McDermott v Marcus, Errico, Emmer & Brooks, P.C.*, 775 F3d 109; *Buckley v Valeo*, 424 US 1; *Miller v Upton, Cohen & Slamowitz*, 687 F Supp 2d 86; *Sykes v Mel S. Harris & Assoc. LLC*, 780 F3d 70.) II. Numerous state legislatures impose regulatory requirements on attorney-operated debt collection agencies without conflicting with the judiciary's prerogative to regulate the practice of law. (*Mandelas v Gordon*, 785 F Supp 2d 951; *McDermott v Marcus, Errico, Emmer & Brooks, P.C.*, 775 F3d 109; *Heintz v Jenkins*, 514 US 291.)

MFY Legal Services, Inc., New York City (Jeanette Zelhoff, Carolyn E. Coffey and Ariana Lindermyer of counsel), *Theodora Galacatos, Feerick Center for Social Justice*, New York City, and *New Economy Project, Inc.*, New York City (Susan Shin of counsel), for Bromberg Law Office, P.C. and others, amici curiae. Local Law No. 15 (2009) of City of New York is a permissible and necessary municipal regulation of licensed attorneys. (*Greco v Trauner, Cohen & Thomas, L.L.P.*, 412 F3d 360; *Gonzalez v Kay*, 577 F3d 600; *Leshner v Law Offs. of Mitchell N. Kay, P.C.*, 650 F3d 993; *Heintz v Jenkins*, 514 US 291; *Matter of Zuckerman*, 20 NY2d 430; *Matter of Wong*, 275 AD2d 1; *Forti v New York State Ethics Commn.*, 75 NY2d 596; *People v Law Offs. of Andrew F. Capoccia*, 289 AD2d 650; *Aponte v Raychuk*, 140 Misc 2d 864; *Nix v Whiteside*, 475 US 157.)

OPINION OF THE COURT

Chief Judge LIPPMAN.

Plaintiffs, law firms involved in debt collection, commenced this action in federal district court to challenge certain amendments to the New York City Administrative Code (Local Law No. 15 [2009] of City of NY) pertaining to debt collection activities. The Second Circuit certified for our review the issue of whether the local law is preempted by the State's statutory authority to regulate the conduct of attorneys. We conclude that the local law is not preempted.

In 1984, the City Council enacted Local Law No. 65 (1984) of City of New York, a previous version of the provision at issue here, which imposed a licensing requirement on debt collection agencies. The accompanying legislative declaration pointed out that a licensing requirement was warranted, in part, because "there is a minority of unscrupulous collection agencies in

operation that practice abusive tactics such as threatening delinquent debtors, or calling such people at outrageous times of the night. These actions constitute tactics which would shock the conscience of ordinary people” (Administrative Code of City of NY § 20-488, formerly § B32-97.0). The legislation required those acting as debt collection agencies to obtain a license, which was valid for a two-year period at an annual fee of \$75 (*see* Administrative Code of City of NY § 20-491, formerly § B32-99.0).

As initially enacted, a “debt collection agency” was defined as “a person engaged in business the principal purpose of which is to regularly collect or attempt to collect debts owed or due or asserted to be owed or due to another” (Administrative Code of City of NY § 20-489 [a], formerly § B32-97.1 [c]). The provision included a specific exclusion for “any attorney-at-law collecting a debt as an attorney on behalf of and in the name of a client” (Administrative Code of City of NY § 20-489 [a] [5], formerly § B32-97.1 [c] [5]).

The debt collection industry, however, continued to grow and the existing licensing requirement was no longer adequate to address the problems presented. Most strikingly, consumer debt was being purchased at a steep discount by third parties who would then use other entities, including debt collection law firms that were exempt from the licensing requirement, to pursue their claims. Indeed, about 90% of the 300,000 consumer credit actions filed annually in Civil Court were brought by these debt bundlers (rather than the originating creditor). The City Council heard testimony that a significant portion of the collection actions were not supported by valid evidence, but that they went largely unchallenged because the debtors either failed to appear or were unrepresented.

Local Law 15, enacted in 2009, amended the debt collection legislation in several ways. Significantly, it expanded the definition of “debt collection agency” to “include a buyer of delinquent debt who seeks to collect such debt either directly or through the services of another by, including but not limited to, initiating or using legal processes or other means to collect or attempt to collect such debt” (Administrative Code of City of NY § 20-489 [a]). The amendments continued a limited exemption for attorneys or law firms that were “collecting a debt in such capacity on behalf of and in the name of a client solely through activities that may only be performed by a licensed attorney” (Administrative Code of City of NY § 20-489 [a] [5]).

The exemption, however, did not cover “any attorney-at-law or law firm or part thereof who regularly engages in activities traditionally performed by debt collectors, including, but not limited to, contacting a debtor through the mail or via telephone with the purpose of collecting a debt or other activities as determined by rule of the commissioner” (Administrative Code of City of NY § 20-489 [a] [5]).

Local Law 15 also introduced certain required practices for debt collection agencies. For instance, “[i]n any permitted communication with the consumer,” the agency is required to provide: (1) a call-back number to a phone that is answered by an actual person; (2) the agency’s name; (3) the name of the original creditor; and (4) the amount of the outstanding debt (*see* Administrative Code of City of NY § 20-493.1 [a]). The local law prohibits debt collection agencies from attempting to collect, or contacting a consumer regarding a debt after the consumer requests verification of the amount owed, until the agency provides written documentation setting forth the original creditor and the amount remaining due (*see* Administrative Code of City of NY § 20-493.2 [a]). Additional penalties of \$100 are imposed for each contact made with a consumer in violation of the license requirement of section 20-490 (*see* Administrative Code of City of NY § 20-494 [a]).

Plaintiffs commenced this action in federal district court raising several causes of action and seeking to invalidate Local Law 15. The district court granted plaintiffs’ motion for summary judgment in part, holding that the local law was in direct conflict with the Judiciary Law and invalid to the extent that it purported to regulate the conduct of attorneys (*see* 895 F Supp 2d 453, 469 [ED NY 2012]). Similarly, the court determined that the local law violated the City Charter insofar as it gave the New York City Department of Consumer Affairs Commissioner authority to license or regulate attorneys (*see* 895 F Supp 2d at 470). The court denied both sides summary judgment on plaintiffs’ Commerce Clause claim, concluding that issues of fact existed, but granted the City’s motion for summary judgment as to the remaining causes of action.

The Second Circuit, observing that there were significant policy concerns implicated by Local Law 15, certified two questions for our review:

“1. Does Local Law 15, insofar as it regulates attorney conduct, constitute an unlawful encroach-

ment on the State's authority to regulate attorneys, and is there a conflict between Local Law 15 and Sections 53 and 90 of the New York Judiciary Law?

"2. If Local Law 15's regulation of attorney conduct is not preempted, does Local Law 15, as applied to attorneys, violate Section 2203(c) of the New York City Charter?" (770 F3d 1002, 1009-1010 [2d Cir 2014]).

We accepted certification (24 NY3d 1029 [2014]).

Municipalities generally have the authority to adopt local laws to the extent that they are not inconsistent with either the State Constitution or any general law (*see DJL Rest. Corp. v City of New York*, 96 NY2d 91, 94 [2001]; NY Const, art IX, § 2 [c] [ii]; Municipal Home Rule Law § 10 [1]). A local law will be preempted either where there is a direct conflict with a state statute (conflict preemption) or where the legislature has indicated its intent to occupy the particular field (field preemption) (*see DJL Rest.*, 96 NY2d at 95). "We have held that a local law is inconsistent 'where local laws prohibit what would be permissible under State law, or impose prerequisite additional restrictions on rights under State law, so as to inhibit the operation of the State's general laws'" (*Zakrzewska v New School*, 14 NY3d 469, 480 [2010] [citation omitted]).

The Judiciary Law confers broad authority upon the courts to regulate the practice of law. Under section 53, this Court has the power to adopt rules concerning the admission of attorneys to practice in this state. In addition,

"[t]he supreme court shall have power and control over attorneys and counsellors-at-law . . . and the appellate division of the supreme court in each department is authorized to censure, suspend from practice or remove from office any attorney and counsellor-at-law admitted to practice who is guilty of professional misconduct, malpractice, fraud, deceit, crime or misdemeanor, or any conduct prejudicial to the administration of justice" (Judiciary Law § 90 [2]).

Plaintiffs assert both conflict and field preemption in connection with the argument that Local Law 15 is preempted by the Judiciary Law. The local law, by its terms, governs the conduct of debt collection agencies. Although attorneys that are acting in a debt collecting capacity may fall within its penumbra, it

does not purport to regulate attorneys as such. In fact, it clearly states that it does not pertain to attorneys who are engaged in the practice of law on behalf of a particular client. There is no express conflict between the broad authority accorded to the courts to regulate attorneys under the Judiciary Law and the licensing of individuals as attorneys who are engaged in debt collection activity falling outside of the practice of law and, thus, the local law does not impose an additional requirement for attorneys to practice law. Rather, the regulatory schemes can be seen as complementary to, and compatible with, one another.

There is some concern that the local law, in distinguishing between the practice of law and debt collection, potentially encompasses some activity that lawyers may also engage in while representing clients—e.g., “contacting a debtor through the mail or via telephone with the purpose of collecting a debt or other activities.” In that respect, it presents a somewhat closer question than a case where an attorney is subject to regulation for conduct that is plainly nonlegal or outside the practice of law (*see Aponte v Raychuk*, 160 AD2d 636 [1st Dept 1990]). However, an attorney who is retained by a client who is a creditor may make phone calls or send letters in the course of that representation in an attempt to recover specific amounts due to that client without being subject to regulation under Local Law 15. There is a significant and meaningful distinction between such conduct and conduct that is typical of a debt collection agency—making high volume collection calls at off-hours and sending boilerplate “dunning” letters demanding payment without details of the source of the debt or the actual amount due.

It may be more difficult, in certain cases, to determine where to draw the line between debt collection and the practice of law. In those instances, federal case law under the Fair Debt Collection Practices Act (FDCPA) (15 USC § 1692 *et seq.*) will provide some guidance. Although the issue in the federal context is somewhat different—whether a particular communication is “from an attorney” (15 USC § 1692e [3])—the concept is similar. For instance, the circuit courts have established that the transmission of mass-produced, debt-collection mailings on attorney letterhead, where the attorney did not personally prepare, review or sign the letters is considered debt collection (*see e.g. Leshner v Law Offs. of Mitchell N. Kay, P.C.*, 650 F3d 993, 999 [3d Cir 2011]; *Miller v Wol-*

poff & Abramson, L.L.P., 321 F3d 292, 301 [2d Cir 2003] [“some degree of attorney involvement is required before a letter will be considered ‘from an attorney’ within the meaning of the FD-CPA”]; *Avila v Rubin*, 84 F3d 222, 229 [7th Cir 1996] [“The attorney letter implies that the attorney has reached a considered, professional judgment that the debtor is delinquent and is a candidate for legal action”]). Similarly, where attorneys or law firms seek to recover debt on behalf of passive debt buyers, without exercising any professional judgment as to the validity of the debt or the amount owed, it falls outside the practice of law and would, instead, qualify as “regular[] engage[ment] in activit[y] traditionally performed by debt collectors.”

Moreover, the courts’ authority to regulate attorney conduct does not evince an intent to preempt the field of regulating nonlegal services rendered by attorneys. “Intent to preempt the field may ‘be implied from the nature of the subject matter being regulated and the purpose and scope of the State legislative scheme, including the need for State-wide uniformity in a given area’ ” (*People v Diack*, 24 NY3d 674, 679 [2015] [citations omitted]). Although the courts may have preempted the field of regulating attorney misconduct, that authority does not extend to all nonlegal aspects of attorney behavior, which can be governed by both civil and criminal law, including regulatory proscriptions. To the extent that the courts have exercised some authority over nonlegal services provided by attorneys (*see* Rules of Professional Conduct [22 NYCRR 1200.0] rule 5.7), the regulation in that area is not “so detailed and comprehensive as to imply that” the field has been preempted (*see e.g. Matter of Casado v Markus*, 16 NY3d 329, 337 [2011]).

We decline to reach the second question, which we reformulate in accordance with the City’s request to read as follows: “If Local Law 15’s regulation of attorney conduct is preempted, does Local Law 15, as applied to attorneys, also violate Section 2203 (c) of the New York City Charter?” In sum, we conclude that there is no conflict between Local Law 15 and the State’s authority to regulate attorneys and, in the absence of such conflict, the City should not be prevented from taking permissible steps to curb abusive debt collection practices.

Accordingly, the first certified question should be answered in the negative and the second certified question, as reformulated, should be answered in accordance with this opinion.

FAHEY, J. (dissenting). The distinction between the activities of an attorney collecting a debt on behalf of a client and an at-

torney engaging in “activities traditionally performed by debt collectors” (Administrative Code of City of NY § 20-489 [a] [5]) is, from a regulatory point of view, a distinction without a difference. These activities are part of the practice of law. The State has demonstrated its intent to exclusively occupy the field of the licensing of attorneys and the regulation of the practice of law. Unlike the majority, I conclude that Local Law No. 15 (2009) of City of New York regulates in that field and thus is preempted by state law pursuant to the doctrine of field preemption. I therefore dissent.

I.

“Broadly speaking, State preemption occurs in one of two ways—first, when a local government adopts a law that directly conflicts with a State statute and second, when a local government legislates in a field for which the State Legislature has assumed full regulatory responsibility” (*DJL Rest. Corp. v City of New York*, 96 NY2d 91, 95 [2001] [citations omitted]; see *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 377 [1989]). “[I]n the absence of an express conflict, whether the local law is invalid as inconsistent with the State’s overriding interest turns on whether the State has preempted the entire field . . . and thus precluded any further regulation by localities” (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91, 98 [1987]).

“Where it is determined that the State has preempted an entire field, a local law regulating the same subject matter is deemed inconsistent with the State’s overriding interests because it either (1) prohibits conduct which the State law, although perhaps not expressly speaking to, considers acceptable or at least does not proscribe or (2) imposes additional restrictions on rights granted by State law” (*id.* at 97 [citations omitted]).

If a local law were permitted to operate in a field preempted by state law, the local law “would tend to inhibit the operation of the State’s general law and thereby thwart the operation of the State’s overriding policy concerns” (*id.*; see *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500, 505 [1991]).

“The State Legislature may expressly articulate its intent to occupy a field, but it need not. It may also do so by implication” (*DJL Rest. Corp.*, 96 NY2d at 95). As this Court recently recognized in *People v Diack* (24 NY3d 674 [2015]),

“[t]he doctrine of field preemption prohibits a municipality from exercising a police power ‘when the Legislature has restricted such an exercise by preempting the area of regulation’ (*New York State Club Assn. v City of New York*, 69 NY2d 211, 217 [1987], *affd* 487 US 1 [1988]; *see Albany Area Bldrs. Assn.*, 74 NY2d at 377). Although field preemption may be ‘express’ as evidenced by the legislature’s stated directive, it may also ‘be implied from a declaration of State policy by the Legislature or from the fact that the Legislature has enacted a comprehensive and detailed regulatory scheme in a particular area’ (*Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99, 105 [1983] [citations omitted]). Intent to preempt the field may ‘be implied from the nature of the subject matter being regulated and the purpose and scope of the State legislative scheme, including the need for State-wide uniformity in a given area’ (*Albany Area Bldrs. Assn.*, 74 NY2d at 377, citing *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347 [1972])” (*Diack*, 24 NY3d at 679).

This Court has determined that the State has intended to occupy an entire field of regulation, thus prohibiting any local government regulation in that field, in a range of fields, including: the identification, monitoring, and treatment of sex offenders (*see Diack*, 24 NY3d at 680-685); the review of area zoning variance applications (*see Matter of Cohen v Board of Appeals of Vil. of Saddle Rock*, 100 NY2d 395, 399-403 [2003]); highway funding (*see Albany Area Bldrs. Assn.*, 74 NY2d at 377-379); the siting of major steam electric generating plants (*see Consolidated Edison*, 60 NY2d at 105-107); and the “regulation of the practice of medicine in general and the performance of abortions in particular” (*Robin*, 30 NY2d at 350).

Here, as framed in the Second Circuit’s first certified question to this Court, the relevant field is the State’s authority to regulate attorneys and the practice of law (*see Eric M. Berman, P.C. v City of New York*, 770 F3d 1002, 1007-1009 [2d Cir 2014]). I conclude that the State has reserved to itself the exclusive authority to regulate the licensing of attorneys and the practice of law within its borders.

With respect to the licensing of attorneys, Judiciary Law § 53 designates to this Court the authority to “adopt, amend,

or rescind rules not inconsistent with the constitution or statutes of the state, regulating the admission of attorneys and counsellors at law, to practice in all the courts of record of the state” (*id.* § 53 [1]). Section 53 further requires this Court to “prescribe rules providing for a uniform system of examination of candidates for admission to practice as attorneys and counsellors” (*id.* § 53 [3]). Judiciary Law § 90 (2) gives the Supreme Court of the State “power and control over attorneys and . . . all persons practicing or assuming to practice law,” and the Appellate Division the power to discipline attorneys. Judiciary Law article 15 contains multiple statutes governing the examination and admission of attorneys to the bar, the registration of attorneys, and the conduct of attorneys practicing within the state (*see* Judiciary Law § 460 *et seq.*). Statewide regulations contain the Court’s rules for the admission of attorneys and many other regulations governing the licensing and practice of attorneys (*see e.g.* 22 NYCRR part 520).

Moreover, with respect to the practice of law by attorneys admitted to practice in the state, the Judiciary Law contains many rules with which attorneys admitted to practice must comply (*see e.g.* Judiciary Law § 90; Judiciary Law art 15). In addition, every New York attorney must comply with the Rules of Professional Conduct, a comprehensive set of regulations governing the conduct of attorneys admitted to practice in the state (*see* 22 NYCRR part 1200).¹

Furthermore, as we stated in *Diack*, this Court may infer field preemption “from the nature of the subject matter being regulated and the purpose and scope of the State legislative scheme, including the need for State-wide uniformity in a given area” (24 NY3d at 679 [internal quotation marks omitted]). Statewide uniformity in the field of the licensing of attorneys and the practice of law is of the utmost importance. Taken to

1. It is not only statutes enacted by the State Legislature that may support a conclusion that state regulation has preempted a particular field. The legislature’s designation of authority to various branches of the government and state agencies is also relevant. For example, in *Diack*, this Court held that field preemption applied based not only on various state statutes, but also based upon legislation granting certain state agencies the authority to promulgate rules regarding the placement and housing of sex offenders (*see Diack*, 24 NY3d at 682-683). Similarly, this Court has recognized that in addition to “regulat[ing] many aspects of the practice of law in this State,” the legislature has also granted to the judiciary certain powers to regulate the admission of attorneys and the practice of law (*Forti v New York State Ethics Commn.*, 75 NY2d 596, 615 [1990]).

its logical extreme, if this field were open for local government regulation, New York City could require its own bar exam for attorneys seeking to practice within its borders, or Buffalo could develop its own rules of professional conduct for attorneys practicing in that city. The need for statewide uniformity in this area is beyond cavil.

Inasmuch as the majority concludes that Local Law 15 “does not purport to regulate attorneys as such” (majority op at 691), the majority does not specifically address whether the State has demonstrated its intent to exclusively occupy the field of the licensing of attorneys and the regulation of the practice of law. I doubt, however, that the majority would disagree with the conclusion that the State has demonstrated its intent to exclusively occupy that field, inasmuch as the majority acknowledges that the “Judiciary Law confers broad authority upon the courts to regulate the practice of law” and “the courts may have preempted the field of regulating attorney misconduct” (majority op at 690, 692). Indeed, defendants concede that Judiciary Law § 90 “does authorize the courts to regulate the field of the practice of law” but insist that there is no state intent “to preclude localities from regulating in the distinct field of *nonlegal* debt-collection activities” (emphasis added). I part ways with the majority with respect to its conclusion that Local Law 15 regulates only nonlegal services rendered by attorneys and that it does not purport to regulate attorneys in their practice of law.

II.

Local Law 15 exempts from its reach “any attorney-at-law or law firm collecting a debt in such capacity on behalf of and in the name of a client solely through activities that may only be performed by a licensed attorney” (Administrative Code of City of NY § 20-489 [a] [5]). This exemption, however, is immediately followed by an exception so expansive that it swallows the exemption: “any attorney-at-law or law firm or part thereof who regularly engages in activities traditionally performed by debt collectors” is required to obtain a license from the New York City Department of Consumer Affairs (DCA) before collecting debts from New York City residents and to comply with the law’s prohibited and required debt collection practices (*id.*). The law provides no guidance whatsoever on how the term “regularly” will be interpreted by DCA. With respect to the interpretation of “activities traditionally performed

by debt collectors,” the following example is provided: “contacting a debtor through the mail or via telephone with the purpose of collecting a debt” (*id.*). “[O]ther activities as determined by rule of the commissioner” may also constitute activities traditionally performed by debt collectors (*id.*).

Defendants insist that Local Law 15 was not intended to target attorneys who, as part of their regular practice, represent clients in attempting to collect debts lawfully owed because the law does not apply when a licensed attorney “exercis[es] legal judgment on behalf of a client to determine whether a particular consumer owes a debt” and then takes actions in accordance with that exercise of legal judgment. Rather, defendants insist that Local Law 15 was meant to target only those attorneys who engage “in the nonlegal practices of debt collection agencies—such as high-volume collection calls, deployment of automated telephone calls, or mailing of routine dunning letters.”

Even if Local Law 15 was *intended* to regulate only those activities, however, the law, as written, is not narrowly tailored to capture *only* those activities within its reach. The language defendants ask the Court to read into the text of the law simply does not exist. Contacting a debtor through the mail or via telephone with the purpose of collecting a debt—the only example the law provides of “activities traditionally performed by debt collectors” (Administrative Code § 20-489 [a] [5])—is, of course, an activity that attorneys who represent creditors generally perform on a daily basis. In addition, contacting a debtor through the mail or via telephone with the purpose of collecting a debt is not an activity “that may only be performed by a licensed attorney” (*id.*).

The sweeping breadth of the language of Local Law 15 compels me to disagree with defendants that this case is distinguishable from *Roth v Turoff* (124 AD2d 471 [1st Dept 1986], *affg for reasons stated below* 127 Misc 2d 998 [Sup Ct, Bronx County 1985]). *Roth* concerned a New York City law requiring the licensing of taxicab brokers that defined a taxicab broker “as one ‘who, for another . . . acts as an agent or intermediary in negotiating the purchase or sale of a taxicab’” (127 Misc 2d at 999, quoting former Administrative Code § 2325 [a]). Supreme Court held that “[t]aking this definition at face value it is clear that no attorney could possibly represent either the buyer or seller of a taxicab without first obtaining a license from the Commission and complying with the requirements of

such licensing” (*id.*). Appearing to rely on field preemption principles, the court held that “the qualifications for admission, the rules governing conduct of attorneys, the proscriptions imposed with respect to practicing law without a license are and have traditionally been regulated by the State Legislature and the courts,” and, “[t]hat being so, no local legislature has the power to define new limitations on the practice of the law” (*id.* at 1000). The court further stated that “[i]f indeed there is need to impose the strictures embodied in the local law—as it affects attorneys—application for such change should be directed to the body empowered to do so; the State Legislature” (*id.*).

Local Law 15, by its plain terms, could be interpreted to apply to any attorney who regularly represents creditors in collecting debts, and, in the course of that representation, regularly engages in any activity that could be performed by someone other than a licensed attorney and also is “traditionally performed by debt collectors,” such as “contacting a debtor through the mail or via telephone with the purpose of collecting a debt” (Administrative Code § 20-489 [a] [5]). Any such attorney who neglects to obtain a license from DCA could be subject to a \$100 fine each time he or she contacts a New York City debtor without a valid DCA license (*see* Administrative Code §§ 20-490; 20-494 [a]). In that respect, Local Law 15 purports to regulate the licensing of attorneys and the practice of law and is therefore preempted by state regulation. Defendants’ assertion that *Roth* is distinguishable because Local Law 15 targets attorneys who are not engaging in legal activities and are instead working solely as “debt collectors” is simply not supported by the plain language of the law (*see Roth*, 127 Misc 2d at 999 [“Nor can this court read into the local law the exemption argued for by petitioner. The language of the legislation is clear and unambiguous and this court is bound ‘to give effect to the plain meaning of the words used’ ”], quoting *Eaton v New York City Conciliation & Appeals Bd.*, 56 NY2d 340, 345 [1982]).

Furthermore, as the Second Circuit noted,

“Local Law 15 could be read as not providing a clear basis for differentiating between attorneys who attempt to collect debts ‘solely through activities that may only be performed by a licensed attorney’ and those who attempt to collect debts by ‘regularly

engag[ing] in activities traditionally performed by debt collectors.’ Similarly, it is not clear what standard to apply to an attorney who does both; nor is it entirely clear what are the debt collection ‘activities that may only be performed by a licensed attorney’ ” (770 F3d at 1007 n 2).

Defendants have provided no satisfactory response to allay these concerns. Local Law 15 provides the DCA Commissioner with the power to make rules and regulations to implement and enforce the law (*see* Administrative Code § 20-493). Presumably, DCA will decide whether any particular attorney is collecting a debt “solely through activities that may only be performed by a licensed attorney” or through “activities traditionally performed by debt collectors” (*id.* § 20-489 [a] [5]). The text of the law itself provides no assurances that DCA’s interpretation will not encroach upon the State’s exclusive authority to license attorneys and to regulate the practice of law. There are distinctions between the practice of law and conduct such as “making high volume collection calls at off-hours and sending boilerplate ‘dunning’ letters demanding payment without details of the source of the debt or the actual amount due” (majority op at 691); however, nothing in the text of Local Law 15 itself requires DCA to interpret the law to apply only to those activities.

III.

That the federal courts have been able to draw distinctions between the practice of law and debt collection activities does not save Local Law 15 from state preemption. The federal government, of course, is under no obligation to steer clear of regulating in a field that New York State has wholly occupied so as to prevent local regulation. Under the supremacy principles applicable to our system of government, if the federal courts’ interpretation of the federal Fair Debt Collection Practices Act (FDCPA) tangentially encroaches on New York State’s authority to regulate attorneys, New York State courts cannot declare the FDCPA to be invalid under a preemption analysis. As the District Court noted here, the same cannot be said for a local law that regulates in a field that the State has demonstrated its intent to exclusively occupy (*see Eric M. Berman, P.C. v City of New York*, 895 F Supp 2d 453, 473 [ED NY 2012] [“Unlike the New York City Council, the federal government is not obligated to draft its statutes so as to comport with New

York law”]). Indeed, the United States Supreme Court has held that the FDCPA’s definition of “debt collector” applies to an attorney “who regularly, through litigation, tries to collect consumer debts” (*Heintz v Jenkins*, 514 US 291, 292 [1995] [internal quotation marks and emphasis omitted]).² Thus, even an attorney “collecting a debt in such capacity on behalf of and in the name of a client solely through activities that may only be performed by a licensed attorney” (Administrative Code § 20-489 [a] [5]), whom Local Law 15 purports to exempt from its reach, is generally required to comply with the federal FDCPA.

Defendants’ reliance on other New York State statutes and regulations governing debt collection that may tangentially affect the practice of law is misplaced. General Business Law article 29-H prohibits creditors or their agents from engaging in certain abusive debt collection tactics and authorizes the Attorney General to enforce its provisions (*see* General Business Law §§ 601, 602 [2]). Recently-promulgated regulations from the State Department of Financial Services (DFS) also regulate debt collectors (*see* 23 NYCRR 1.1 *et seq.*).³ The State, however, may regulate attorneys and the practice of law in the context of debt collection in any manner it sees fit. Indeed, plaintiffs do not dispute that a bill with precisely the same text as Local Law 15, but passed by the State Legislature instead of the New York City Council, would be perfectly lawful. This is precisely the impact of the field preemption doctrine: the State may regulate in the field, but local governments may not.

Furthermore, the fact that attorneys are required to comply with other laws of general regulation, such as those contained within the Penal Law or the Executive Law, is immaterial. Setting aside the fact that these are *state* laws, attorneys obviously must comply with certain laws of general regulation, such as tax laws, laws governing business formation, and laws

2. The FDCPA was amended one year after *Heintz* to exempt “a formal pleading made in connection with a legal action” from certain rules regarding written communications with a debtor (15 USC § 1692e [11]). For other communications, however, the FDCPA applies to attorneys collecting debts on behalf of their clients (*see Jerman v Carlisle, McNellie, Rini, Kramer & Ulrich*, 559 US 573, 600 [2010] [“To the extent the FDCPA imposes some constraints on a lawyer’s advocacy on behalf of a client, it is hardly unique in our law”]).

3. The DFS regulations contain specific exemptions for activities that generally fall within the ambit of litigation, including “collecting on or enforcing a money judgment” (23 NYCRR 1.1 [e] [7] [iii]).

governing hiring and employment practices. A local law that affects an attorney's business practices may or may not be preempted by state regulation, depending on the particular activities the local law at issue seeks to regulate, the state regulation of such activities in effect at the time, and the surrounding circumstances.⁴

Local Law 15, however, is not simply a law of general regulation with which attorneys and non-attorneys alike must comply. Rather, by its plain terms, Local Law 15 regulates the licensing of attorneys and the practice of law by requiring attorneys who regularly engage in traditional debt collection activities to obtain a DCA license and comply with its terms (see *Eric M. Berman, P.C.*, 895 F Supp 2d at 472 [(W)hile . . . there may well be some activities, like driving a taxi cab or operating a fruit stand, that are so unrelated to the practice of law that they may be regulated by municipalities, even if performed by an attorney, there can be no material factual dispute that the activities Local Law 15 seeks to regulate lie far from this line]). Local Law 15 imposes additional licensing and practice obligations on certain attorneys that do not otherwise exist under state law (see *Jancyn Mfg. Corp.*, 71 NY2d at 97).

The invalidation of Local Law 15 as applied to attorneys would not give New York attorneys carte blanche to threaten and intimidate New York City debtors. As noted above, attorneys are subject to the federal Fair Debt Collection Practices Act, the General Business Law, and, to the extent that they apply to attorneys, the recent DFS regulations. Moreover, the Rules of Professional Conduct contain the ethical standards and practices to which attorneys licensed to practice in this state must adhere. Those rules prohibit a lawyer from bringing a frivolous action, from knowingly making a false statement of fact or law to a third person, and from engaging in activities with no substantial purpose other than to embarrass or harm a third person (see Rules of Professional Conduct [22 NYCRR 1200.0] rules 3.1, 4.1, 4.4). Significantly, the rules also require attorneys to adequately supervise subordinate attorneys and nonlawyer employees, and hold attorneys responsible if those employees engage in a violation of the rules (see *id.* rules 5.1, 5.3). A lawyer is subject to the Rules of Profes-

4. The majority cites *Aponte v Raychuk* (160 AD2d 636 [1st Dept 1990]) as an example of a case involving a local law that regulates an attorney's nonlegal conduct (see majority op at 691). I note that *Aponte* is an Appellate Division case, and its reasoning has not been validated by this Court.

sional Conduct even when engaging in activities that could be considered “nonlegal services” if the nonlegal services are not distinct from the legal services being provided by the attorney (see *id.* rule 5.7; see also *Eric M. Berman, P.C.*, 895 F Supp 2d at 470 [“Not only do the courts possess the authority to regulate the nonlegal activities of attorneys once they are admitted to the bar, they may discipline attorneys for nonlegal activities conducted prior to their admission to the bar”], citing *Matter of Wong*, 275 AD2d 1, 5-6 [1st Dept 2000]).

I share the concern of the majority and the New York City Council that there exist in our state unscrupulous attorneys who bully debtors through harassing tactics, threatening rhetoric, and even outright lies. Those attorneys, although they undoubtedly constitute a small minority of lawyers attempting to collect debts on behalf of their clients, bring dishonor to the profession and should be prevented from preying on the State’s vulnerable debtors. It is the *method* by which they may be thwarted, however, that concerns us on this appeal. If the State finds the existing regulations applying to lawyers in the area of debt collection to be inadequate, the State is free to impose whatever licensing or practice requirements it wishes upon the attorneys admitted to practice in this state (see *Roth*, 127 Misc 2d at 1000). A local government, however, may not.

Finally, I agree with defendants that we should not address plaintiff’s alternative contention, which was not a question certified to this Court by the Second Circuit, that Local Law 15 is unconstitutionally vague. Inasmuch as plaintiff’s vagueness challenge was asserted under the federal constitution, it would be inappropriate for this Court to address that contention under the procedural posture of this case (see Rules of Ct of Appeals [22 NYCRR] § 500.27 [a]).

Accordingly, I would answer the first certified question in the affirmative insofar as it asks whether Local Law 15 constitutes an unlawful encroachment on the State’s authority to regulate attorneys, and I would not answer the second certified question as academic.

Judges READ, PIGOTT and ABDUS-SALAAM concur; Judge FAHEY dissents in an opinion in which Judge STEIN concurs; Judge RIVERA taking no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of this

Court's Rules of Practice, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, first certified question answered in the negative and the second certified question, as reformulated, answered in accordance with the opinion herein.

[37 NE3d 690, 16 NYS3d 187]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MATTHEW KESCHNER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ARON GOLDMAN, Appellant.

Argued June 1, 2015; decided June 30, 2015

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 24, 2013. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had convicted defendant, upon a jury verdict, of enterprise corruption, scheme to defraud in the first degree, grand larceny in the first degree (two counts), money laundering in the second degree, insurance fraud in the fourth degree (four counts), and falsifying business records in the first degree (two counts); and (2) remitted the matter to Supreme Court for further proceedings pursuant to CPL 460.50 (5).

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 24, 2013. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had convicted defendant, upon a jury verdict, of enterprise corruption, scheme to defraud in the first degree, grand larceny in the first degree (two counts), money laundering in the first and second degrees, insurance fraud in the third degree (five counts), insurance fraud in the fourth degree (three counts), and falsifying business records in the first degree; and (2) remitted the matter to Supreme Court for further proceedings pursuant to CPL 460.50 (5).

People v Keschner, 110 AD3d 216, affirmed.

People v Goldman, 110 AD3d 216, affirmed.

HEADNOTES

Crimes — Enterprise Corruption — Continuity of Criminal Enterprise — Required Proof

1. The prosecution in an enterprise corruption case may prove that a defendant was a member of a criminal enterprise, with a continuity beyond the

scope of the individual criminal incidents, without showing that the enterprise would have survived the removal of a key participant. Pursuant to Penal Law § 460.20 (1) (a), a defendant is guilty of enterprise corruption if he or she has knowledge of the existence of a criminal enterprise and the nature of its activities, and being employed by or associated with that enterprise, intentionally conducts or participates in the affairs of an enterprise by participating in a pattern of criminal activity. A criminal enterprise is defined as “a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents” (Penal Law § 460.10 [3]). Were the People required to prove, beyond a reasonable doubt, that a criminal enterprise would survive the removal of a key participant, it would be impossible in most cases to demonstrate the existence of a criminal enterprise. Unless the leading participant was in fact removed some time before the enterprise disbanded, the People would be expected to prove an unknowable proposition concerning a counterfactual scenario in which events occurred differently from the actual world.

Crimes — Enterprise Corruption — Continuity of Criminal Enterprise — Required Proof

2. *People v Yarmy* (171 Misc 2d 13, 20 [Sup Ct, NY County 1996]), which, in an enterprise corruption prosecution, stated, without citation or other support, that “one important factor in determining continuity is whether the organization could exist after the removal—by arrest or otherwise—of any of the participating member(s),” is not a correct statement of the law.

Crimes — Enterprise Corruption — Existence of Criminal Enterprise

3. In the prosecution of defendants, a chiropractor and an internist, for enterprise corruption (Penal Law § 460.20 [1] [a]) on the theory of accomplice liability based on their association for approximately five years with several medical clinics founded by another individual who oversaw schemes involving a succession of patients whose medical history was used to procure income by an organization structured to facilitate the fraudulent billing of insurers, the People proved the existence of a criminal enterprise, notwithstanding that they did not prove that the alleged enterprise could continue to exist absent the founding member’s participation. The prosecution in an enterprise corruption case may prove that a defendant was a member of a criminal enterprise, with a continuity beyond the scope of the individual criminal incidents, without showing that the enterprise would have survived the removal of a key participant. If a group persists in the form of a structured, purposeful criminal organization beyond the time required to commit individual crimes, the continuity element of criminal enterprise is met (*see* Penal Law § 460.10 [3]). Here, the prosecution presented testimony establishing that defendants knowingly participated in the schemes involving numerous accident victims in which the clinics and its employees regularly solicited patients, provided and received kickbacks for referrals, staged accidents, and, through the use of preprinted and automatically filled forms, exaggerated injuries, ordered unnecessary tests and treatment visits, and prescribed unnecessary medical equipment in order to maximize the amount billed to no-fault insurance companies.

Crimes — Appeal — Preservation of Issue for Review — Challenge to Accomplice Liability Instructions

4. In the prosecution of defendants for enterprise corruption on the theory of accomplice liability, defendants’ challenges to the trial court’s instructions

on accomplice liability were not preserved. Neither defendant objected to the trial court's initial instruction, wherein, between two correct statements of the proof required to find a defendant guilty of accomplice liability, it erroneously misused "and" in place of "or" when describing when a defendant is not guilty of accomplice liability, and neglected to include an intent element in a different portion of the instruction. After the jury asked for further explanation on accomplice liability and before delivery of the supplemental charge, defendants objected to the charge on the ground that it took the burden away from the prosecutor in proving accomplice liability beyond a reasonable doubt, and proposed a charge that would specify that the defendants must have the mental culpability of larceny in order to have accessorial liability. The court repeated its original instruction, almost word for word, but also mistakenly used an "or" for an "and" in another instance. While counsel again objected to the charge for failure to specify the intent to commit larceny and began to express a second objection before being interrupted by the court, neither defense counsel stated an objection to issues raised on appeal, i.e., the misuse of conjunctive and disjunctive terms and the concern that the charge might convey to the jury that no mental state other than knowledge of the crime had to be proved. While counsel was not required to state the precise grammatical means by which the identified error was committed, the protest had to be specifically directed at the alleged error.

Crimes — Right to Counsel — Effective Representation — Failure to Object to Flaws in Jury Charge

5. In the prosecution of defendants for enterprise corruption on the theory of accomplice liability, defense counsel's failure to object to flaws in the trial court's initial and supplemental jury instructions on accomplice liability did not amount to ineffective assistance. For a single omission to rise to the level of ineffective assistance of counsel, it must typically involve an issue that is so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it, and it must be evident that the decision to forgo the contention could not have been grounded in a legitimate trial strategy. Here, the instructions contained flaws in that the court substituted "or" for "and" or vice versa in certain instances describing the conditions for finding accomplice liability, thereby suggesting that to be guilty as an accomplice, it is sufficient that a defendant know of a crime, or intend it to be committed, or intentionally engage in some act or conduct to assist in it. Moreover, the charges may have conveyed to the jury that a defendant who unknowingly assists in a crime, but does not intend that it be committed, is criminally liable, contrary to the definition of accomplice liability in Penal Law § 20.00. However, the issue of whether the jury charges amounted to reversible error was not clear-cut. As a whole, the court's initial charge correctly stated the three criteria for accomplice liability immediately before and shortly after the misstatements. In the supplemental charge, a correct statement immediately preceded the errors. Further, while the fact that the Appellate Division ruled against defendants on the jury charge issues was not dispositive, it was further evidence that defense counsel's error was not so clear-cut, egregious and decisive as to overshadow and taint the whole of the representation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 575; AM JUR 2d, Criminal

Law §§ 166, 173, 174, 1135–1139; AM JUR 2d, Extortion, Blackmail, and Threats §§ 201, 207; AM JUR 2d, Trial §§ 1227, 1239.

CARMODY-WAIT 2d, Right to Counsel § 184:273; CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:15; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:36.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10, 27.2, 27.5.

McKINNEY'S, Penal Law §§ 20.00, 460.10 (3); 460.20 (1) (a).

NY JUR 2d, Criminal Law: Procedure §§ 864–868, 921, 2730, 3454–3456, 3465; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 46, 47, 50, 51, 355, 356, 358, 362.

ANNOTATION REFERENCE

Criminal prosecutions under state RICO statutes for engaging in organized crime activity. 89 ALR5th 629.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Susan H. Salomon of counsel), for appellant in the first above-entitled action. I. That Gregory Vinarsky was indispensable to the creation and continued existence of the “St. Nicholas Group” negated the Organized Crime Control Act’s (OCCA) “continuity of existence” element, which requires the voiding of appellant’s OCCA conviction. (*Jackson v Virginia*, 443 US 307; *People v Western Express Intl., Inc.*, 19 NY3d 652; *Boyle v United States*, 556 US 938; *People v Besser*, 96 NY2d 136; *People v Taylor*, 14 NY3d 727; *People v Chiddick*, 8 NY3d 445; *People v Quattlebaum*, 91 NY2d 744; *People v Carter*, 53 NY2d 113; *People v Wakefield Fin. Corp.*, 155 Misc 2d 775; *People v Cantarella*, 160 Misc 2d 8.) II. Counsel rendered ineffective assistance at two critical junctures: by failing to meaningfully protest the court’s error-ridden accomplice-liability instructions and by similarly failing to protest the prosecution’s insinuation that uncalled witnesses had refused to cooperate but would have supported its case. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Heidgen*, 22 NY3d 259; *People v Turner*, 5 NY3d

476; *People v Stultz*, 2 NY3d 277; *People v McGee*, 20 NY3d 513; *People v Baker*, 14 NY3d 266; *People v Fisher*, 18 NY3d 964; *People v Kaplan*, 76 NY2d 140.) III. The Appellate Division wholly misanalyzed appellant's weight-of-evidence argument that his two insurance-fraud convictions based on "pretext" policies could not be sustained under the court's charge. (*People v Pasley*, 9 NY3d 342; *People v Johnson*, 10 NY3d 875; *People v Noble*, 86 NY2d 814; *People v Dekle*, 56 NY2d 835; *People v Dlugash*, 41 NY2d 725; *People v Malagon*, 50 NY2d 954; *People v Lawrence*, 64 NY2d 200; *People v Thompson*, 99 NY2d 38; *People v Stevens*, 65 AD3d 759; *People v Pignatello*, 15 Misc 3d 833.)

Jenner & Block LLP, Washington, D.C. (*Matthew S. Hellman*, of the District of Columbia bar, admitted pro hac vice, of counsel), and *Jenner & Block LLP*, New York City (*Peter B. Pope* and *Eddie A. Jauregui* of counsel), for appellant in the second above-entitled action. I. Aron Goldman's conviction should be reversed because the court's accomplice liability instructions omitted an element of the offense. (*People v Garcia*, 255 AD2d 266; *In re Winship*, 397 US 358; *People v Hill*, 52 AD3d 380; *People v Kelly*, 302 NY 512; *People v Ciaccio*, 47 NY2d 431; *People v Kisoan*, 8 NY3d 129; *People v Leisner*, 73 NY2d 140; *People v Le Mieux*, 51 NY2d 981; *People v Resek*, 3 NY3d 385; *People v Mezon*, 80 NY2d 155.) II. Assuming, arguendo, that Aron Goldman's counsel failed to properly object to the erroneous accomplice liability charge, such failure constitutes ineffective assistance of counsel under New York law. (*People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Turner*, 5 NY3d 476; *Strickland v Washington*, 466 US 668; *People v Stultz*, 2 NY3d 277; *Cox v Donnelly*, 387 F3d 193.) III. The People failed to prove the existence of a criminal enterprise as a matter of law and counsel's failure to move for dismissal on this ground constitutes ineffective assistance. (*People v Yarmy*, 171 Misc 2d 13; *People v Conigliaro*, 290 AD2d 87; *People v Cantarella*, 160 Misc 2d 8; *People v Pustilnik*, 14 Misc 3d 1237[A], 2007 NY Slip Op 50407[U]; *People v Western Express Intl., Inc.*, 19 NY3d 652; *People v Doshi*, 93 NY2d 499.)

Cyrus R. Vance, Jr., District Attorney, New York City (*Susan Axelrod* and *Alan Gadlin* of counsel), for respondent in the first and second above-entitled actions. I. The evidence that both defendants committed the crime of enterprise corruption was legally sufficient. (*People v Western Express Intl., Inc.*, 19 NY3d

652; *People v Gray*, 86 NY2d 10; *People v Buckley*, 75 NY2d 843; *People v Sanchez*, 13 NY3d 554; *People v Danielson*, 9 NY3d 342; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Lawrence Constr. Corp. v State of New York*, 293 NY 634; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *People v Anderson*, 66 NY2d 529; *People v Moscatiello*, 149 Misc 2d 752.) II. Contrary to the defendants' unpreserved complaints, the court's accomplice liability charge conveyed the correct rule of law. Moreover, both defendants received effective assistance of trial counsel. (*People v Medina*, 18 NY3d 98; *People v Balls*, 69 NY2d 641; *People v Martin*, 50 NY2d 1029; *People v Umali*, 10 NY3d 417; *People v Drake*, 7 NY3d 28; *People v Carranza*, 18 AD3d 667; *People v Kaplan*, 76 NY2d 140; *People v Hill*, 52 AD3d 380; *People v Satterfield*, 66 NY2d 796; *People v Brown*, 45 NY2d 852.) III. The Appellate Division conducted an appropriate review of the weight of the evidence. (*People v Romero*, 7 NY3d 633; *People v Bleakley*, 69 NY2d 490; *People v Thompson*, 99 NY2d 38; *People v Dekle*, 56 NY2d 835.)

OPINION OF THE COURT

FAHEY, J.

We hold that the prosecution in an enterprise corruption case may prove that a defendant was a member of a criminal enterprise, with a continuity beyond the scope of individual criminal incidents, without showing that the enterprise would have survived the removal of a key participant. In addition, we conclude that defendants' challenges to the trial court's instructions on accomplice liability are not preserved, and we reject their claims of ineffective assistance of counsel.

I.

Defendant Matthew Keschner was a licensed chiropractor. Defendant Aron Goldman was licensed to practice medicine. They began working in 2001 at a medical clinic in Manhattan started by Gregory Vinarsky. Vinarsky employed "runners" who listened to police scanners to learn where car accidents had occurred and then approached the accident victims and offered to pay them to go to the clinic. Vinarsky then referred the patients to certain lawyers, who paid kickbacks to him for the referrals. He established relationships with managers of facilities that carried out tests such as MRIs and X rays, who made payments to his clinic in exchange for referrals. He also arranged to receive kickbacks from companies from which durable medical equipment could be ordered. At the clinic, Vinar-

sky ensured that personnel prescribed the maximum number of tests, treatments, and items of medical equipment that no-fault insurance would cover, regardless of a patient's need.

Goldman was listed as the owner of the clinic on incorporation papers. New York requires that the owner of an incorporated medical clinic be licensed to practice medicine, and Vinarsky was not licensed. Keschner incorporated his chiropractic practice under his own name. Goldman, an internist, was on a salary, while Vinarsky's arrangement with Keschner was profit-sharing in exchange for referrals. Vinarsky also had similar referral arrangements with an acupuncturist and a neurologist.

In 2002, Vinarsky shut this clinic down, and opened another, St. Nicholas Medical Clinic, near Columbia University Medical Center, running the same scheme with the same personnel. Vinarsky selected the location of the new clinic, chose its employees, ordered medical supplies, hired and managed the "runners," and oversaw the paper work and billing submitted to the insurance companies. He also opened bank accounts and created management companies into which proceeds were placed. Goldman again became a salaried employee at the clinic, and was named as the owner on incorporation documents. He worked at the clinic three days a week. Vinarsky and Keschner again had a profit-sharing arrangement; Keschner kept 35% of the profits his chiropractic corporation generated, and gave the rest to Vinarsky. Keschner worked three days a week, and hired a second chiropractor to assist him. Vinarsky, meanwhile, hired two physicians to supplement Goldman.

Vinarsky created a preprinted initial evaluation form that the doctors at the clinic completed for each patient. The first entry in its "Treatment Plan" template, for example, was, "The patient advised to attend a supervised physical therapy program on a regular scheduled basis at least 3 times a week." A list of durable medical equipment was similarly designed to maximize the amount that could be billed to insurance companies per patient. The Prognosis section was also preprinted; it stated for each patient, regardless of actual condition, that the prognosis was "[g]uarded," that "the supporting tissues of the spine [would] become less effective," and that "chronic joint dysfunction" would likely ensue. In accordance with such directives, Keschner told his patients to return for treatment three or four times a week, thus maximizing no-fault insurance reimbursement.

Vinarsky programmed a computer to complete NF-3 No-Fault Insurance Law Verification of Treatment forms so as to indicate that the patient had not suffered from a similar condition in the past and that the injury was the result of an automobile accident. The NF-3 forms listed Keschner as the chiropractor, regardless of who had provided “treatment,” and indicated that Goldman had provided biofeedback testing, range of motion tests, and physical therapy, even though these were in fact conducted by other staff, including one minimally trained billing employee.

II.

In November 2006, the police executed a search warrant at St. Nicholas Medical Clinic. Vinarsky kept the clinic open for about two weeks, but took no new patients. Around this time, Vinarsky opened a new clinic, sharing profits with Keschner again, in which Goldman had no part, but its existence was brief. Vinarsky closed both clinics, and there was no period of time in which either clinic continued to operate in his absence.

In February 2008, Keschner and Goldman were charged, in an 84-count indictment, with enterprise corruption, scheme to defraud in the first degree, and other crimes related to insurance fraud. Vinarsky was indicted as well. In 2009, after investigators executed search warrants at his apartment and at a law office, Vinarsky entered into a cooperation agreement. He pleaded guilty that December to enterprise corruption, grand larceny in the first degree, scheme to defraud in the first degree, and money laundering in the first degree.

The District Attorney’s Office sent letters to the majority of the 54 former patients of St. Nicholas Medical Clinic whose names appeared in the indictment, informing them that the Office wished to speak with them about their visits to the clinic. Only three people indicated a willingness to speak with the People.

Keschner and Goldman proceeded to a joint jury trial, commencing in September 2010. A separate defense counsel represented each defendant. The prosecution theory was accomplice liability.

In his opening statement, the prosecutor explained that the jury would hear only from a “representative sample” of the patients treated at the clinic. He stated that the People had tried to contact “many” of “these patients . . . but they didn’t

want to talk to the District Attorney's Office, and you will understand why they didn't want to come and talk to the District Attorney's Office when it came time for us investigating this case." The jury subsequently heard testimony from a paralegal in the District Attorney's Office about her futile efforts to interview the patients.

Vinarsky's testimony spelled out the fraudulent scheme in detail. He insisted that he had never told Goldman or Keschner how to treat patients or what to prescribe, or discussed kickbacks or billing or other aspects of operations at the clinic with them. Vinarsky explained, however, that such conversations were unnecessary because, among other things, the preprinted initial evaluation forms he created told the doctors what treatment was "supposed to be done."

As promised, the People also produced several witnesses who had been patients, with legitimate or spurious injuries, at the clinic.

In addition to "chasing ambulances," some of the runners employed by St. Nicholas Medical Clinic and their associates participated in staged car accidents. One man who took part in such an accident, Hernandez, consulted at the clinic with a Dr. Hilaire, who diagnosed the uninjured man with numerous contusions and other trauma to his back and advised him to attend physical therapy three times a week, to use a thermophore, a lumbosacral orthosis, an orthopedic bed board, and an eggcrate mattress, to have multiple X rays and MRIs, and to consult with a chiropractor, an acupuncturist, and an orthopedist. Hernandez saw Keschner a number of times; the chiropractor would either "crack" his back or simply ask him how he was feeling and administer no treatment. NF-3 forms were submitted to GEICO on behalf of Hernandez for X rays, biofeedback training, chiropractic treatments, acupuncture sessions, and a cold water circulating unit. Eventually, Hernandez went to the authorities and admitted his involvement in the scheme.

A runner employed by St. Nicholas Medical Clinic named Perez had been "treated" at the clinic in connection with what the facility's medical records described as three separate motor vehicle accidents, in 2002, 2003 and 2004. In 2002, Goldman "evaluated" Perez and reported that he was suffering from post-concussion syndrome and a left shoulder injury; he wrote two prescriptions for durable medical equipment and advised

Perez to get various tests, X rays and MRIs. Perez also received chiropractic “treatment” from Keschner. In 2003, Goldman “evaluated” Perez following another “accident”; he made the same report, without mentioning the 2002 incident, and wrote a prescription for the same medical equipment. Goldman also recommended chiropractic treatment four times a week, as well as X rays and MRIs, and referred Perez to an orthopedist, a neurologist, and a psychiatrist. In 2004, Goldman conducted the initial evaluation of Perez following a third “accident”; again he used the same list of symptoms, but added a knee injury. The same tests and equipment were prescribed as in previous years, as well as an additional MRI on Perez’s knee. St. Nicholas Medical Clinic directly or indirectly billed rental car companies for all the expenses.

The jury heard testimony from a paid confidential informant who had worked as a runner. He and two undercover officers went to the clinic with a fictitious accident report and documents suggesting insurance by GEICO. All three men saw Keschner, who examined them cursorily and did not discuss diagnoses or treatment plans for the invented minor pain symptoms they had reported. The next day, a physician at the clinic, Dr. Pone, recommended that one of the uninjured undercovers have a CT scan and an X ray, and prescribed an ankle brace, a cervical collar, and a special pillow. For several months, the men visited the clinic regularly, seeing a physical therapist and Keschner, who “cracked” their backs. The men were also given “biofeedback tests” but, as video from a concealed camera revealed, only for a minute or two at a time and not in appropriate conditions. A neurologist who claimed to be administering electromyography simply placed needles on the undercovers’ arms, without breaking the skin. When one of the undercovers told a receptionist at the clinic that he could not have an MRI she had recommended and suggested that he send his “brother” instead, the receptionist agreed. The same undercover, sent for an X ray, declined the procedure because the room he was directed to at the clinic was filthy and lacked standard protective equipment. The undercovers were periodically given pieces of durable medical equipment, including a special pillow, a heating pad, a lumbar support belt, a water cooler, an ankle brace, and an infrared heat lamp, but they were never told how to use the supplies. St. Nicholas Medical Clinic submitted NF-3s on behalf of the three men to GEICO, listing Goldman as the provider of the physical therapy and all tests, even though the men had never met Goldman.

In addition, the jury heard testimony from two, genuinely injured patients who were seen at St. Nicholas Medical Clinic.

One man, who had dislocated his kneecap, learned of the clinic through a lawyer. The clinic sent a driver to take the injured man to his first consultation. The physician, Pone, did not ask the patient how he had been injured, but recommended physical therapy three times a week, X rays and an MRI; receptionists at the clinic referred him to an acupuncturist and a physical therapist. The patient also saw Keschner and another chiropractor, who administered "treatment" to his spine. Eventually, the man's knee discomfort subsided. The clinic submitted NF-3s to MetLife Insurance for treatment by St. Nicholas Medical Clinic, Keschner, and an acupuncturist.

A woman who had injured her arm when she was struck by a car was given the business card of an attorney, who recommended St. Nicholas Medical Clinic. The clinic sent a driver to pick her up. Pone saw the patient, but did not examine her arm, and noted in medical records that she had sustained acute back trauma and a sprained shoulder and wrist. The woman was advised to attend physical therapy three times a week, have X rays and an MRI of her wrist, receive range of motion testing, use elbow and wrist support, and make appointments with an acupuncturist, an orthopedist, and a psychologist. During subsequent visits, the patient was instructed to take a number of pieces of durable medical equipment from a stack at the clinic, but was not told how to use the supplies. Frustrated because of pressure to see specialists, including a psychologist, she stopped going to the clinic. The clinic submitted NF-3s to GMAC Insurance for both treatment and medical equipment, including a cold water circulating unit prescribed by Keschner.

A biostatistician who had reviewed 2,300 patient files recovered from the clinic testified that Goldman referred all of his patients to a neurologist and almost all to a chiropractor and a physical therapist. The expert also noted that Keschner prescribed four chiropractic visits per week to 93.3% of his patients, physical therapy to 94.4%, neurological or psychiatric consultation to 97.4%, MRIs to 97.5%, and X rays to 99.3%.

The jury also heard expert testimony from a chiropractor that the treatment of the undercovers was not consistent with standard chiropractic care, would have accomplished no benefit, and may have been harmful if the men had actually been injured. Additionally, an expert testified that the number of

tests ordered by clinic staff was greater than necessary, as was the quantity of medical equipment provided. The expert disagreed with the “guarded” prognoses for patients whose medical conditions were improving, and explained various respects in which entries in the clinic’s medical records were, medically speaking, meaningless. All in all, the expert opined that many of the clinic’s prognoses and prescriptions were inconsistent with the standard of care for physical medicine and rehabilitation.

A forensic accountant testified that the percentage of revenue from insurance companies paid to the clinic that was then transmitted by check to corporations controlled by Vinarsky was consistently 70%. Keschner’s corporations regularly paid 65% of money received to Vinarsky’s corporations.

At the close of the prosecution’s case, Keschner’s counsel moved to dismiss his enterprise corruption charge for lack of evidence that, absent Vinarsky’s participation, the alleged enterprise could continue to exist. Supreme Court denied the motion, which Goldman’s counsel did not join.

The defense then called character witnesses and one expert. Keschner and Goldman did not testify.

Supreme Court’s charge on accomplice liability¹ instructed the jury as follows:

“[A] defendant can be held responsible for the acts of . . . others who are not on trial here, but only if the evidence shows that the defendant under consideration had knowledge of the crime, and intentionally aided or assisted . . . others who are not on trial at this time . . . in committing the crime . . .

“We call this under the law accessorial or accomplice responsibility . . .

“ . . . [A] person is criminally responsible for a crime committed by another, if with the mental culpability required for the crime, he solicits, requests, directs, or intentionally aids the other to commit the crime. . . .

1. The statutory definition is given in Penal Law § 20.00 (“When one person engages in conduct which constitutes an offense, another person is criminally liable for such conduct when, acting with the mental culpability required for the commission thereof, he solicits, requests, commands, importunes, or intentionally aids such person to engage in such conduct”).

“A defendant cannot be 90 percent guilty or 10 percent guilty, he is either guilty because he had knowledge of the crime, intended that it be committed, and did something to intentionally direct or assist in its commission, or he is not guilty because he had no knowledge of the crime, had no intent to commit it, *and* did not intentionally engage in any conduct to direct or assist in it. . . .

“Again, to be guilty as an accomplice, it must have been proved defendant knew of the crime, intended for it to occur, and intentionally did something to aid or assist in it.” (Emphasis added to indicate erroneous use of the word “and.”)

Neither defense counsel objected to Supreme Court’s instruction. The court was therefore not apprised of its erroneous use of the word “and”—instead of “or”—in the clause that reads “and did not intentionally engage in any conduct to direct or assist in it.” Nor was the court’s attention drawn to the absence of an intent element in the earlier clause that begins “only if the evidence shows that the defendant under consideration had knowledge of the crime.”

During deliberations, the jury sent a note seeking an explanation of accomplice liability. Supreme Court repeated its original instruction, including the single mistaken use of the word “and,” almost word for word. In addition, the transcript indicates that Supreme Court told the jury that “to be guilty as an accomplice, it must have been proved that the defendant knew of the crime, intended for it to be committed *or* intentionally engaged in some act or conduct to assist in it” (emphasis added to indicate erroneous use of the word “or”). Thus, in addition to repeating the earlier error, it appears that Supreme Court now mistakenly used an “or” for an “and” in stating the conditions for finding accomplice liability.

Prior to the delivery of the supplemental accomplice liability charge, Keschner’s and Goldman’s defense attorneys had objected to the charge on the ground that it took “the burden away from the prosecutor in proving accomplice liability beyond a reasonable doubt in each element.” They proposed a charge that would specify that the jury find that “[t]he person—the accomplice—sought to be held liable for the conduct of another must possess the particular mental culpability required for the commission of the offense,” namely “intent to commit larceny,” and that “[t]here must be some affirmative participa-

tion which encourages the perpetrator in the commission of the crime.” After the supplemental charge was given, Keschner’s counsel, joined by Goldman’s, objected to the court’s charge for failing to specify that defendants “must have the mental culpability of larceny in order to have accessorial liability.” Counsel then began to express a second objection to the accomplice liability charge, uttering the word “Secondly” before being interrupted by the court. In short, once again, neither defense counsel stated an objection to Supreme Court’s misuse of conjunctive and disjunctive terms. Moreover, while the attorneys reiterated their objection to the absence of wording referring to intent to commit larceny, they did not mention any concern that its charge might convey to the jury that no mental state other than knowledge of the crime had to be proved.

The jury found both defendants guilty of enterprise corruption, scheme to defraud in the first degree, grand larceny in the first degree (two counts), and money laundering in the second degree, Keschner alone guilty of insurance fraud in the fourth degree (four counts) and falsifying business records in the first degree (two counts), and Goldman alone guilty of money laundering in the first degree, insurance fraud in the third degree (five counts), insurance fraud in the fourth degree (three counts), and falsifying business records in the first degree.

The Appellate Division affirmed Supreme Court’s judgments (110 AD3d 216 [1st Dept 2013]). With respect to enterprise corruption, the Appellate Division reasoned that

“[t]he evidence before the jury amply demonstrates that defendants were engaged in a criminal enterprise overseen by Vinarsky. It embraced more than one clinic, extended over a period of years, and involved a succession of patients whose medical history was used to procure income by an organization structured to facilitate the fraudulent billing of insurers . . . Thus, the jury was warranted in concluding that the criminal enterprise had a continuity that extended beyond any individual patient or transaction” (*id.* at 225).

The Appellate Division rejected challenges by defendants to the accomplice liability instructions on the ground that “the court’s instructions, when viewed in their entirety, conveyed the appropriate legal standard” (*id.* at 227 [citation omitted]), without saying whether it found the arguments preserved.

With regard to the prosecutor's opening comments, the Appellate Division ruled that defendants' contentions were unpreserved and in any event lacked merit.

"The prosecutor's explanation as to why, of the thousands of patients treated at the clinic, only a few would testify does not offend the unsworn witness rule since a prosecutor is obliged to deliver an opening statement that addresses the charges against the accused, what the facts are anticipated to demonstrate and, as pertinent here, the supporting evidence that is to be introduced (*see People v Kurtz*, 51 NY2d 380, 384 [1980], *cert denied* 451 US 911 [1981]). Nor are the prosecutor's comments subject to attack for intimating that uncalled witnesses would have invoked the Fifth Amendment privilege against self-incrimination, since no witness was ever called to the stand for that purpose (*see People v Berg*, 59 NY2d 294, 298-299 [1983]). The People were entitled to explain why only three clinic patients would be testifying, both to address potential jury concerns and to obviate a missing witness charge (*see generally People v Macana*, 84 NY2d 173 [1994])." (*Id.* at 228.)

The Appellate Division concluded that defendants' remaining arguments lacked merit, addressing, among other contentions, a challenge by Keschner to his insurance fraud convictions.

A Judge of this Court granted Goldman and Keschner leave to appeal (22 NY3d 1040 [2013]; 22 NY3d 1041 [2013]). We now affirm, in both appeals.

III.

Keschner and Goldman challenge their enterprise corruption convictions (*see* Penal Law § 460.20 [1] [a]) on the ground that the continuity of existence element was not demonstrated; Goldman argues that his counsel's failure to move for dismissal of the enterprise corruption charge on this ground amounted to ineffective assistance of counsel. In addition, both defendants contend that Supreme Court's mistakes in its instructions on accomplice liability amounted to reversible error. In the alternative, Goldman argues that if his counsel failed to object to the accomplice liability instructions, the omission constituted ineffective assistance of counsel. Keschner, conceding that his counsel did not object, posits ineffective assistance on

this ground, as well as on the basis that his counsel did not protest the prosecutor's opening remarks regarding patients who would not be testifying or the paralegal's testimony. Finally, Keschner contests the Appellate Division's treatment of his weight of the evidence challenge to the insurance fraud convictions.

IV.

A defendant is guilty of enterprise corruption, pursuant to Penal Law § 460.20 (1) (a), if he or she, "having knowledge of the existence of a criminal enterprise and the nature of its activities, and being employed by or associated with such enterprise, . . . intentionally conducts or participates in the affairs of an enterprise by participating in a pattern of criminal activity." The law defines "criminal enterprise" as "a group of persons sharing a common purpose of engaging in criminal conduct, associated in an ascertainable structure distinct from a pattern of criminal activity, and with a continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents" (Penal Law § 460.10 [3]). The continuity element is at the heart of defendants' first argument.

The enterprise corruption statute is part of New York's Organized Crime Control Act,

"enacted in 1986 to afford state prosecutors a means of exacting heightened penalties for criminal activity referable to or generative of structured criminal enterprises . . . understood to present a distinct evil by reason of their unique capacity to plan and carry out sophisticated crimes on an ongoing basis while insulating their leadership from detection and prosecution" (*People v Western Express Intl., Inc.*, 19 NY3d 652, 657 [2012]).

It is an enhanced penalty statute targeting organized crime. The statute "specifically demands that the structure be distinct from the predicate illicit pattern" (*id.* at 659).

Keschner, whose defense counsel moved to dismiss on this ground, contends that Vinarsky devised and entirely controlled the illegal actions at St. Nicholas Medical Clinic and that the organization therefore lacked the necessary "continuity of existence, structure and criminal purpose beyond the scope of individual criminal incidents" (Penal Law § 460.10 [3]) required for a group to constitute a criminal enterprise. Keschner relies in

particular on *People v Yarmy* (171 Misc 2d 13, 20 [Sup Ct, NY County 1996]), which stated, without citation or other support, that “one important factor in determining continuity is whether the organization could exist after the removal—by arrest or otherwise—of any of the participating member(s).” Goldman, for his part, contends that his trial counsel was ineffective for failing to raise this “*Yarmy*” issue.

[1] The argument lacks merit. Were the People required to prove, beyond a reasonable doubt, that a criminal enterprise would survive the removal of a key participant, it would be impossible in most cases to demonstrate the existence of a criminal enterprise. Except where the leading participant was in fact removed some time before the enterprise disbanded, the People would be expected to prove an unknowable proposition concerning a counterfactual scenario in which events occurred differently from the actual world. We have never required such an exercise. Moreover, there is no reason to treat a criminal structure as less deserving of enhanced penalty if its key figure is so essential to the organization that his or her absence would threaten its criminal agenda. A criminal enterprise is no less a criminal enterprise if it has a powerful leader. Finally, if we were to require a criminal enterprise to be able to survive the removal of a key figure, criminal organizations could avoid enhanced penalties simply by placing all control in the hands of one person. It cannot have been the intent of the legislature to allow such a loophole.

Instead, what is meant by the continuity element of the statute is that to be a criminal enterprise, an organization must continue “beyond the scope of individual criminal incidents” (Penal Law § 460.10 [3]), and must possess “constancy and capacity exceeding the individual crimes committed under the association’s auspices or for its purposes” (*Western Express Intl., Inc.*, 19 NY3d at 658). In other words, the requirement is not that the group would continue in the absence of a key participant, but rather that it continues to exist beyond individual criminal incidents. A team of people who unite to carry out a single crime or a brief series of crimes may lack structure and criminal purpose beyond the criminal actions they carry out; such an ad hoc group is not a criminal enterprise. If a group persists, however, in the form of a “structured, purposeful criminal organization” (*id.* at 659), beyond the time required to commit individual crimes, the continuity element of criminal enterprise is met.

[2, 3] Consequently, the People were under no obligation to prove that the criminal enterprise associated with St. Nicholas Medical Clinic would have survived Vinarsky's removal. *Yarmy* is not a correct statement of the law. We reject defendants' argument that the People failed to prove the existence of a criminal enterprise as a matter of law.

V.

Defendants' other primary argument relates to the charges to the jury on accomplice liability. We must first address the threshold question of preservation. On appeal, Goldman argues that his trial counsel preserved the contention he now raises to the erroneous language in the supplemental instruction.² Keschner concedes that his trial counsel did not preserve the issue, but contends that the attorney was ineffective.

Goldman bases his preservation claim on the fact that his trial counsel joined in Keschner's trial counsel's objection to the supplemental charge. Goldman then points out that Keschner's counsel, after raising an objection to the court's refusal to mention intent to commit larceny, began a second objection to the charge, uttering the word "Secondly" before being cut off by the court.

[4] We disagree with Goldman's conclusion that this was sufficient to preserve the issue he now raises. The protest of Keschner's counsel did not make known to Supreme Court the specific claimed error with respect to the use of "and" and "or," nor that at one other point its charge might be interpreted as eliminating the mental culpability element. Contrary to the dissent's suggestion, we do not hold that defense counsel was required to state "the precise grammatical means by which the identified error was committed" (dissenting op at 730); however, the protest had to "be specifically directed at the alleged error" (*People v Gray*, 86 NY2d 10, 19 [1995] [internal quotation marks omitted]) in order to preserve the issue. Neither counsel's vague reference to removing "the burden . . . from the prosecutor in proving accomplice liability beyond a reasonable doubt in each element" nor the mere existence of a proposed alternative charge was sufficient for this purpose, particularly in light of the fact that counsel had previously

2. Goldman contends that he thereby preserves objections to the similar language in the initial jury charge, citing CPL 470.05 (2). We have no occasion to consider this argument because we conclude that he did not preserve the issue in his challenge to the later charge.

raised objections, not to the error claimed on appeal, but to other aspects of the accomplice liability charge. Goldman relies on *People v Resek* (3 NY3d 385, 388 [2004]), but the exchange between Keschner's counsel and the court did not involve "persistent and pointed protests" such that "it is difficult to imagine what more defendant could have done" to focus the trial court's attention on its error (*id.* at 388 n 1). We accept the concession of Keschner's appellate counsel that trial counsel did not preserve the objection with sufficient specificity.

This brings us to the contention that Keschner's and Goldman's defense attorneys rendered ineffective assistance to defendants. Goldman contends that his defense counsel was ineffective to the extent that he failed to object to the accomplice liability charges and because he did not move to dismiss for failure to prove criminal enterprise; we have held, in section IV, that a motion to dismiss on this ground would have lacked merit. Keschner argues that his defense counsel was ineffective not only for failing to challenge the accomplice liability charges but also for not objecting to the prosecutor's opening comments regarding the clinic's patients and the paralegal's related testimony. We agree with the Appellate Division that a challenge to the opening statement would have failed on the merits (*see* 110 AD3d at 228); the same would have been true of any objection to the paralegal's testimony. Therefore, the claim that defendants' trial attorneys were ineffective depends entirely on their failure to object to the jury charges.

The supplemental instruction, addressing the jury note, contains a flaw that is obvious when one reads the transcript. The substitution of "or" for "and" suggested that to be guilty as an accomplice, it is sufficient that a defendant know of a crime, or intend it to be committed, or intentionally engage in some act or conduct to assist in it. Read literally, the instruction said, absurdly, that anyone who knows of a crime is an accomplice to it. Additionally, as defendants emphasize, the charge may have conveyed to the jury that a defendant who unknowingly assists in a crime, but does not intend that it be committed, is criminally liable. That would imply that a person who lacks the state of mind required for the commission of an offense may be held liable for it, directly contradicting the statutory definition of accomplice liability, which states that a defendant is criminally liable for another person's conduct constituting an offense only if defendant acts "with the mental culpability required for the commission" of the offense (Penal

Law § 20.00). In addition, both the initial charge and supplemental charge contained a similar error in stating the conditions for finding a defendant *not* guilty under accomplice liability.

Furthermore, the initial explanation of accomplice liability in both charges (“only if the evidence shows . . . in committing the crime”) may have suggested to the jury that it was not necessary for the People to show that defendants had the mental culpability required for the underlying crime, although attention to the subsequent part of the charge would have corrected such a misconception.

In deciding whether a single omission—here, the failure to object to the jury charges—amounts to ineffective assistance of counsel, we are guided by our decision in *People v Turner* (5 NY3d 476 [2005]), which stands for the proposition that “a single failing in an otherwise competent performance” may, in a “rare” case, be “so ‘egregious and prejudicial’ as to deprive a defendant of his constitutional right” to effective legal representation (*Turner*, 5 NY3d at 480, quoting *People v Caban*, 5 NY3d 143, 152 [2005]). “To rise to that level, the omission must typically involve an issue that is so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it, and it must be evident that the decision to forgo the contention could not have been grounded in a legitimate trial strategy” (*People v McGee*, 20 NY3d 513, 518 [2013]; see *Turner*, 5 NY3d at 481; *People v Barboni*, 21 NY3d 393, 405-406 [2013]).

In applying *Turner*, we have on occasion rejected ineffective assistance challenges when it is clear to the Court that the objection or contention that was omitted would not have been a “winning argument” leading to appellate reversal of a judgment of conviction and sentence (see e.g. *People v Howard*, 22 NY3d 388, 401 [2013]; *People v Rodriguez*, 19 NY3d 166, 174 [2012]; *People v Parilla*, 8 NY3d 654, 660 n 1 [2007]). In other *Turner* cases, we have “express[ed] no opinion on whether the argument, if made, would have been successful” (*People v Carter*, 7 NY3d 875, 877 [2006]), but have concluded that the omitted argument was “not so compelling that a failure to make it amounted to ineffective assistance of counsel” (*id.*; see e.g. *People v Blake*, 24 NY3d 78, 81-82 [2014]; *People v Santiago*, 22 NY3d 740, 751 [2014]; *People v Thompson*, 21 NY3d 555, 561 [2013]; *People v Keating*, 18 NY3d 932, 934 [2012], *rearg denied* 19 NY3d 939 [2012]; *People v Feliciano*, 17 NY3d 14, 28 [2011], *rearg denied* 17 NY3d 848 [2011]; *People v Brunner*, 16

NY3d 820, 821 [2011]; *People v Borrell*, 12 NY3d 365, 369 [2009]).

[5] The present appeals fall into the second category. We express no opinion as to whether the flaws in Supreme Court's jury charge and supplemental charge amounted to reversible error. The issue is not clear-cut. On the one hand, the incorrect use of "and" and "or" may "have been perplexing and confusing to an attentive juror," even if "inadvertent" (*People v Kelly*, 302 NY 512, 517 [1951]). On the other hand, "[i]n evaluating a challenged jury instruction, we view the charge as a whole in order to determine whether a claimed deficiency in the jury charge requires reversal" (*People v Medina*, 18 NY3d 98, 104 [2011], citing *People v Umali*, 10 NY3d 417, 426-427 [2008], *rearg denied* 11 NY3d 744 [2008], *cert denied* 556 US 1110 [2009], *writ of habeas corpus denied* 543 Fed Appx 50 [2d Cir 2013]). The test is whether "the 'court's charge, taken as a whole, conveyed to the jury the correct standard' " (*Medina*, 18 NY3d at 104, quoting *People v Drake*, 7 NY3d 28, 32 [2006]). In the initial jury charge, Supreme Court correctly stated the three criteria it set out for accomplice liability immediately before, and shortly after, misstating the conditions under which a defendant would not be guilty as an accomplice. In the supplemental charge, a correct statement immediately preceded the errors.

Whether Supreme Court committed reversible error is a close question. While it is not dispositive that the Appellate Division ruled against defendants on the jury charge issues (*see* 110 AD3d at 227), that is further evidence that this is not one of the rare cases, such as *Turner*, in which a defense counsel's "error is so clear-cut, egregious and decisive that it will overshadow and taint the whole of the representation" (*Blake*, 24 NY3d at 81).

Defendants' remaining contentions lack merit.

Accordingly, in each case, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting in part). I agree with, and join, that part of the majority opinion declining to import into New York's enterprise corruption statute (Penal Law § 460.20) a requirement that a qualifying "criminal enterprise" (*see* Penal Law § 460.10 [3]) be existentially independent of any particular roster of participants. While a "criminal enterprise" must possess "a continuity of existence . . . beyond the scope of indi-

vidual criminal incidents” (*id.*), the statute contains no requirement that an enterprise possess longevity exceeding that of any of its operatives. If a structured criminal entity, as constituted, is designed to continue to engage in orchestrated criminal conduct over a sustained period, and not just to commit one or a few discrete crimes, it falls within the statute’s description and, indeed, its intendment. Manifestly, an enterprise crucially dependent on the uncommon abilities of certain participants is not by reason of that dependency lacking in the criminal capacity that the statute targets.

This said, I part company with the majority over the dispositional consequence to be ascribed to the trial court’s plainly erroneous accomplice liability charge.

In initially charging the jury as to accomplice liability—a crucially important concept where, as here, the prosecution sought convictions for enterprise corruption by alleging numerous pattern criminal acts (*see* Penal Law § 460.20 [1] [a]) performed by appellants as accomplices—the court, although presented by appellant Keschner with a request to charge that the “[defendant must have] commanded or intentionally aided in the commission of the crime, and that he did so with the state of mind required for [the] commission of the crime,”¹ elected to deliver a charge of her own formulation, which deviated from the standard PJI charge. In the course of that charge, the court, although initially correctly stating the requisites for accomplice liability, added:

“A defendant cannot be 90 percent guilty or 10 percent guilty, he is either guilty because he had knowledge of the crime, intended [the crime to] be committed, and did something to intentionally direct or assist in its commission, *or he is not guilty because* he had no knowledge of the crime, had no intent to commit it, **and** did not intentionally engage in any conduct to direct or assist in it” (emphases added).

The latter, italicized language was obviously in error and in fact contradicted the initial correct statement of what must be

1. The proposed charge essentially tracked the Penal Law § 20.00 definition of accessorial liability: “When one person engages in conduct which constitutes an offense, another person is criminally liable for such conduct when, acting with the mental culpability required for the commission thereof, he solicits, requests, commands, importunes, or intentionally aids such person to engage in such conduct.”

proved to convict on an accomplice liability theory. Indeed, the latter language effectively shifted the burden to the defense to prove innocence, and to do so by negating each condition of accomplice liability.

Notwithstanding the seriousness of this compound error, no contemporaneous objection was made by either defendant. The jury, however, understandably confused by the inconsistent instructions it had been given, sent out a note asking the court to “explain accomplice culpability.” Appellant Keschner’s attorney thereafter submitted a written request to charge stressing the need for proof establishing beyond a reasonable doubt both that his client shared the clinic’s (i.e., Vinarsky’s) criminal intent and that he, with that purpose, aided in the commission of the charged crime. In advocating for the proposed charge, counsel drew the court’s attention to the basic problem with the accomplice liability charge the court had given and now proposed to repeat:

“What I would like to indicate, Your Honor, in your accomplice liability charge, it sets forth that putting the burden -- taking the burden away from the prosecutor in proving accomplice liability beyond a reasonable doubt in each element and places the burden squarely upon the defendant. And still respectfully indicates that the charge that you do propose, or which you already gave in regards to accomplice liability, it is not -- it unduly burdens the defendant.”

Defendant Goldman’s counsel joined in this protest.

Although noting defendants’ exceptions, the court elected to reinstruct the jury by repeating her flawed original charge, with additional language reiterating that a defendant could be liable as an accomplice if he knew of the crime, intended for it to be committed *or* intentionally assisted in its commission. The supplemental accomplice liability charge concluded:

*“I remind you that [the] degree to which a defendant participates as an accomplice does not determine his guilt, for the law does not apportion . . . guilt. A defendant cannot be 90 or 10 percent guilty. He is either guilty because he had knowledge of a crime, intended that it be committed, and did something to intentionally direct or assist in its commission. Or, he is not guilty, **because** he had no*

*knowledge of the crime, had no intent to commit it **and** did not intentionally engage in any conduct or act to direct or assist in it.*

“I remind you that merely being present at the scene of a crime or associating with others who commit a crime is not enough to be convicted as an accomplice.

*“Again, to be guilty as an accomplice, it must have been proved that the defendant knew of the crime, intended for it to be committed **or** intentionally engaged in some act or conduct to assist in it”* (emphases added).

Perhaps because defendants had just objected to the charge as burden shifting, they did not specifically protest the court’s use of “because,” “and” and “or.” Those expressions were, after all, merely the all too obvious linguistic means to the end—i.e., burden shifting—about which they had moments before complained. Nonetheless, after the court concluded her supplemental charge, in the course of which she addressed an unrelated matter, counsel for defendant Keschner joined by counsel for defendant Goldman attempted to renew and elaborate upon defendants’ objections to the court’s accessorial liability charge but were cut off by the court, evidently under the impression that the argument she was about to hear had been previously made.

Preliminarily, although the majority is noncommittal about whether the errors in the accomplice liability charges were, if preserved as matters of law, reversible, it is, I believe, plain that they were. Where an erroneous charge allows a general verdict of guilt upon alternative theories, respectively correct and incorrect, and the jury, in finding guilt, cannot be presumed to have done so—much less to have done so unanimously—under the legally correct theory, there must be a reversal (*People v Martinez*, 83 NY2d 26 [1993]; accord *People v Kims*, 24 NY3d 422, 438 [2014]). We have held harmless error analysis inapplicable in this set of circumstances because the problem posed is not how trial errors may or may not have influenced the verdict—a matter about which an appellate court may make an educated judgment based on the entire trial record—but the impenetrable one of whether the jury unanimously convicted upon a valid legal theory when it was given the option of convicting on an invalid theory and could not be presumed to have had the “wit and ability” to adopt the

right theory and reject the wrong one (see *Martinez*, 83 NY2d at 36, quoting *People v Kelly*, 302 NY 512, 517 [1951]).

Certainly, there are cases in which the charge as a whole affords the necessary assurance that the jury, although passingly misinstructed, has not been left with the kind of choice casting unresolvable doubt upon the validity of any consequent verdict of guilt. Charging errors, we have held, are not dispositionally consequential where they are neutralized by the balance of the jury instruction (see *People v Medina*, 18 NY3d 98, 104 [2011]), and here, the trial court *did* on several occasions correctly recite to the jury what would have to be proved to convict defendants as accomplices. The present record, however, does not permit the conclusion that the correct portions of the court's accomplice liability charge were curative. Although the People assert that "the jury was well aware" of what accomplice liability entailed, the jury's request for reinstruction on that subject unmistakably signaled its abiding need for a coherent explanation of that pivotal principle—an explanation that the crucial supplemental charge (see *People v Ciaccio*, 47 NY2d 431, 436 [1979]) very plainly failed to provide. Indeed, the supplemental charge, not only emphatically repeated, but in its final paragraph added to the original error by purporting to reinstruct that appellants could be convicted as accomplices if they either knew of the crime, intended that it be committed "or" intentionally acted to aid in the commission of the charged offenses. The jury could have been no better informed after the supplemental accomplice liability charge than it had been before. The charge, as a whole, left the jury with a dizzying array of theories upon which to convict, only one of which was lawful. In addition to the correct theory—i.e., proof beyond a reasonable doubt that appellants intentionally aided in the commission of the charged crimes with the mental culpability required for their commission (Penal Law § 20.00)—the jury was variously and erroneously instructed that it could convict appellants as accomplices if appellants knew about the underlying crimes, or if they intended for the crimes to be committed, or if they intentionally acted to assist in the crimes' commission. What is more, the jury was relatedly instructed that they could not acquit unless each element of accomplice liability was negated, presumably by appellants. Given the veritable smorgasbord of mostly unlawful conviction options made available to the jury by the court—options that the majority acknowledges "may have been perplexing and confusing to an

attentive juror' ” (majority op at 724, quoting *People v Kelly*, 302 NY at 517), it is impossible to know whether the verdict was unanimously premised on a lawful theory. This is precisely the situation in which *Martinez* requires reversal.

Of course, even error of this basic sort must be preserved to be reviewable in this Court as a question of law. The majority says that the error was not preserved. I respectfully disagree.

CPL 470.05 (2) provides in relevant part that a question of law is presented where there was a protest to the ruling or instruction challenged on appeal sufficient to afford the trial court “an opportunity of effectively changing the same,” and that

“a party who without success has either expressly or impliedly sought or requested a particular ruling or instruction, is deemed to have thereby protested the court’s ultimate disposition of the matter or failure to rule or instruct accordingly sufficiently to raise a question of law with respect to such disposition or failure regardless of whether any actual protest thereto was registered” (emphasis added).

Appellants, it is true, did not object to the trial court’s original accomplice liability charge, but prior to the supplemental charge, Keschner’s counsel submitted a proposed alternative charge closely tracking Penal Law § 20.00 and thus accurately setting forth the requisites of criminal liability on an accomplice theory. He also lodged a formal objection to the charge the court had initially given, and to which she adhered in her supplemental instruction.

Although observing that the court’s supplemental instruction “contains a flaw that is obvious when one reads the transcript” (majority op at 722), the majority holds that appellants’ objection, even in conjunction with Keschner’s request to charge (*but see* CPL 470.05; *People v Leisner*, 73 NY2d 140, 147 [1989]; *People v Le Mieux*, 51 NY2d 981, 982 [1980]), lacked the specificity necessary to preserve the errors in the supplemental charge for appellate review; appellants’ counsel are faulted for failing to explain to the court how its use of “and” and “or” resulted in an erroneous recital of the governing legal principles. But, as the majority itself acknowledges that mechanism was self-evident from a scan of the page off of which the trial court evidently reread its prepared instruction. Undoubtedly, the court would have corrected the charge had its usage

errors been exactly specified. But the relevant question is not what form of words would certainly have prompted the correction, but whether the protest made—including an express request to charge which would, if granted, have cured the defect—was equal to the statutorily identified purpose of affording the court “an opportunity of effectively changing” the flawed instruction.

Appellants’ protest correctly identified the basic problem with the proposed charge: in its several obviously objectionable parts it appeared to relieve the prosecution of its burden to prove some or all of the elements of accomplice liability and, concomitantly, to saddle appellants with the task of proving that they did not act as accessories. A more detailed objection focusing on the precise grammatical means by which the identified error was committed should not have been necessary to direct the court’s eye to the relatively brief accessory liability charge on the page before her and its “flaw that is obvious when one reads the transcript” (majority op at 722). It is, I believe, patent that appellants’ protest afforded the court the statutorily required opportunity to correct the charge and that appellants’ present claims of error respecting that charge are therefore preserved for our review.

Concluding, as I do, that appellants’ counsel did what was necessary to preserve for appellate scrutiny the legality of the trial court’s accomplice liability instructions, I see no need to reach, and in any event no satisfactory ground for, a claim of ineffective assistance.² I would note, however, that a failure by counsel effectively to protest reversible charging errors as flagrant and potentially prejudicial as those contained in the instructions here at issue does not seem susceptible of description as comporting with “an objective standard of reasonableness” (see *Strickland v Washington*, 466 US 668, 688-694 [1984]) and, in my view, would be sufficient to taint the overall representational effort. This entire prosecution, including most notably the top counts alleging enterprise corruption, turned

2. It is true, as the majority points out, that Keschner’s appellate counsel has conceded that his trial counsel did not preserve the legality of the charge for appellate review, but the fairly transparent reason for that concession, which of course is not binding on the Court, is that the viability of an ineffective assistance claim such as the one Keschner now makes turns on whether his trial counsel did in fact fail to make an appropriately focused protest to the erroneous charge. Any argument that counsel did preserve the error for appellate review would seriously undercut the claim of ineffectiveness appellate counsel has elected to pursue.

on whether appellants could be held criminally accountable as accomplices. If counsel had failed effectively to object to a jury instruction relieving and shifting the prosecution's burden to prove that appellants were accomplices within the definition of Penal Law § 20.00, I should think it plain that that failure alone would support a claim for constitutionally ineffective assistance (*see e.g. Cox v Donnelly*, 387 F3d 193 [2004] [failure to object to jury charge relieving the state of its burden to prove intent constitutes ineffective assistance]). The majority's view to the contrary is difficult to square with any reasonable understanding of the utility of defense counsel at a criminal trial.

Accordingly, I would reverse the order of the Appellate Division, and direct a new trial.

Judges READ, PIGOTT, RIVERA and STEIN concur; Chief Judge LIPPMAN dissents in an opinion; Judge ABDUS-SALAAM taking no part.

In each case: Order affirmed.

[37 NE3d 718, 16 NYS3d 215]

ROBERT R. BURTON et al., Appellants, v NEW YORK STATE
DEPARTMENT OF TAXATION AND FINANCE et al., Respondents.

Argued June 4, 2015; decided July 1, 2015

SUMMARY

APPEAL, on constitutional grounds, from a judgment (denominated decision and order/judgment) of the Supreme Court, Albany County (Michael C. Lynch, J.), entered January 31, 2014. The judgment (1) denied plaintiffs' challenge to the constitutional application of Tax Law § 632 (a) (2) to the sale of ownership interests in nonparty JBS Sports, Inc.; (2) declared that Tax Law § 632 (a) (2), as amended, is constitutional; (3) granted defendants' motion for summary judgment dismissing the complaint; and (4) denied plaintiffs' cross motion for summary judgment seeking declaratory and injunctive relief.

Burton v New York State Dept. of Taxation & Fin., 43 Misc 3d 316, affirmed.

HEADNOTE

Taxation — Personal Income Tax — Constitutionality of Income Tax Assessed on Gains from Deemed Asset Sale of Stock under Tax Law § 632 (a) (2)

In a declaratory judgment action arising out of a challenge by plaintiff nonresident shareholders in an out-of-state S corporation to an income tax assessed on their pro rata share of gains from a sale of the corporation's stock that the parties to the sale elected to treat as a "deemed asset sale" for tax purposes under Internal Revenue Code (26 USC) § 338 (h) (10), the tax—properly assessed pursuant to Tax Law § 632 (a) (2), as amended, on the portion of plaintiffs' gains derived from or connected with New York sources—did not fall within the prohibition contained in New York Constitution, article XVI, § 3. While the plain language of section 3 precludes taxation of nonresidents' intangible personal property based on physical ownership, possession or presence in New York State, the tax was not by definition or application an ad valorem tax assessed based on ownership and imposed according to value, nor was it an excise tax levied solely because of ownership or possession. Instead, the tax was based on income generated by those intangibles that were derived from New York sources. The text of section 3 makes no mention and provides no language supporting extending the prohibition on ad valorem and ownership/property-based excise taxes to income taxes, and there is simply no language in section 3 that expressly or implicitly constrains the State from imposing any other non-location-based taxes. Historical examination of section 3's drafting and review likewise revealed that its intent was to prohibit taxation of intangible assets based merely on their physical presence within the state, and to ensure a proscription on the ad valorem taxation system as applied to intangible personal property, but that the prohibition did not eliminate all taxation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations § 630; AM JUR 2d, Federal Taxation §§ 4867, 5106; AM JUR 2d, State and Local Taxation §§ 58, 118, 124, 127, 457–460, 556.

CARMODY-WAIT 2d, State Warrants for Collection of Taxes and Other Charges §§ 143:5, 143:9, 143:16, 143:24, 143:27, 143:42; CARMODY-WAIT 2d, Judicial Review of Assessments and Taxes §§ 146:166–146:167.

McKINNEY'S, Tax Law § 632 (a) (2); NY Const, art XVI, § 3.

NY JUR 2d, Taxation and Assessment §§ 1093, 1096, 1106, 1150–1152, 1160, 1169, 1172, 1187, 1195, 1204, 1206–1207, 1214, 1217, 1252, 1294, 1312, 1677.

26 USCA § 338 (h) (10).

ANNOTATION REFERENCE

State Tax Consequences of Election Under § 338 of Internal Revenue Code. 26 ALR6th 219.

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POINTS OF COUNSEL

Hutton & Solomon LLP, New York City (*Kenneth I. Moore*, *Stephen L. Solomon* and *Roger S. Blane* of counsel), for appellants. I. The New York State Constitution restricts the legislature's power to tax nonresidents. II. The taxpayers' federal election may not be treated as a waiver of the constitutional restriction on taxing nonresidents. (*Selzer v Baker*, 295 NY 145; *Caprio v New York State Dept. of Taxation & Fin.*, 117 AD3d 168.) III. The legislative amendment violates the doctrine of unconstitutional conditions. (*Speiser v Randall*, 357 US 513.)

Eric T. Schneiderman, Attorney General, New York City (*Judith N. Vale*, *Barbara D. Underwood* and *Cecelia C. Chang* of counsel), for respondents. I. New York Constitution, article XVI, § 3 has no bearing on taxation of income from sales transactions. (*Bordeleau v State of New York*, 18 NY3d 305; *Ampco Print.-Advertisers' Offset Corp. v City of New York*, 14 NY2d 11; *Franklin Socy. v Bennett*, 282 NY 79; *Adler v Deegan*,

251 NY 467; *Simon v City of New York*, 22 Misc 2d 718; *Matter of Tamagni v Tax Appeals Trib. of State of N.Y.*, 230 AD2d 417; *Matter of Guardian Life Ins. Co. of Am. v Chapman*, 302 NY 226; *Woodside Sav. & Loan Assn. v Gallman*, 73 Misc 2d 357, 34 NY2d 674; *595 Invs. Ltd. Partnership v Biderman*, 140 Misc 2d 441; *Foss v City of Rochester*, 65 NY2d 247.) II. Plaintiffs' asset-sale gains would not be protected by any constitutional bar on taxing stock-sale income, even if such a bar existed. (*United States v Carlton*, 512 US 26.)

OPINION OF THE COURT

RIVERA, J.

Plaintiffs, nonresident shareholders in an S corporation, challenge under New York Constitution, article XVI, § 3 a tax imposed on their pro rata share of gains from the sale of the corporation's stock. We conclude that there is no constitutional bar to taxation of a nonresident's New York-source income earned from a stock sale, and therefore affirm.

I.

The facts are not in dispute. Plaintiffs are several nonresident former owners and shareholders of JBS Sports, Inc., a Tennessee business organized as an S corporation for federal and New York State tax purposes. An S corporation is structured so that its corporate income, losses, deductions, and credits pass through to its shareholders, based on their individual percentage ownership in the corporation (26 USC § 1366; Tax Law §§ 617 [a]; 632 [a] [2]; 2 Jerome R. Hellerstein & Walter Hellerstein, *State Taxation* ¶ 20.08 [2] [a] [iii] [3d ed 1998]). The shareholders, in turn, report their pro rata share of the income and losses on their personal income tax returns in accordance with federal and state tax laws, and are assessed taxes at their individual tax rates (*see* 26 USC § 1366; Tax Law §§ 617 [a]; 632 [a] [2]). Thus, the corporation does not pay corporate income taxes and avoids double taxation on both the corporation and the shareholders (*see Matter of Smathers*, 19 Misc 3d 337, 343 [Sur Ct, Westchester County 2008]). Hence, the terms “pass through” and “flow through” income are used to describe the income itself, as well as the movement of income from the corporation to shareholders for tax purposes (*see e.g.* 26 USC § 1366).

In 2007, plaintiffs sold their JBS stock to Yahoo, Inc., and JBS and Yahoo decided to treat this transaction as a “deemed

asset sale” for tax purposes under the Internal Revenue Code (*see* 26 USC § 338 [h] [10]). Deemed asset treatment is not automatic or mandated by statute, but instead requires a voluntary election by both the seller and purchaser, respectively JBS and Yahoo, to treat the transaction as an asset sale (*see* 26 USC § 338 [h] [10]; 26 CFR 1.338[h][10]-1 [c] [3]; James A. Amdur, Annotation, *State Tax Consequences of Election Under § 338 of Internal Revenue Code* [26 U.S.C.A. § 338], 26 ALR6th 219, § 2). Thus, plaintiffs freely chose to proceed with the JBS stock transfer as a deemed asset single-transaction sale, presumptively aware of the tax consequences of their choice.

A deemed asset sale provides counterbalanced advantages and disadvantages for purchaser and seller. On one side of the equation, the deemed asset sale makes possible significant future tax benefits to the purchaser because the assets are treated as sold at fair market value and the assets obtain a “stepped up,” rather than a carryover, basis for the purchaser’s future depreciation and amortization deductions (*see* 26 ALR6th 219, § 2; 26 USC § 338 [h] [10]). On the other side, the deemed asset sale may result in negative tax consequences for the corporate seller shareholders, who are responsible for personal taxes on their share of the gains. However, even this can be offset by an agreement to a higher purchase price (*see* Heather M. Field, *Binding Choices: Tax Elections & Federal/State Conformity*, 32 Va Tax Rev 527, 583 [2013]).

As a result of the JBS stock transaction, JBS realized over \$88 million in gains. The JBS earnings then passed through to plaintiffs as shareholders (*see* 26 USC § 1366 [b]; Tax Law §§ 617 [a], [b]; 632 [e] [2]; 660). JBS reported these corporate gains and the amount passed to plaintiffs as part of its federal tax return, but excluded the amount distributed to plaintiffs from its 2007 New York S corporation franchise tax return. For their part, plaintiffs reported and paid federal taxes for the 2007 tax year on their respective shares of the asset sale income, as required by federal law (*see* 26 USC § 1366), but did not report or pay any New York State taxes associated with the sale.

Based on the results of a subsequent audit, defendant New York State Department of Taxation and Finance assessed \$167,000 in state income taxes on plaintiffs’ JBS transaction gains, relying on Tax Law § 632 (a) (2), which was amended in 2010 to provide, in relevant part, that “any gain recognized on [a] deemed asset sale for federal income tax purposes will be

treated as New York source income.” Plaintiffs paid the taxes and thereafter demanded refunds, claiming that their corporate-derived income was obtained from the sale of JBS stock, which is considered intangible personal property and nontaxable.

After defendant rejected the refund demands, plaintiffs filed the instant declaratory judgment action against defendant and the Commissioner of the New York State Department of Taxation and Finance, challenging the tax as unconstitutional.¹ Supreme Court denied plaintiffs’ motion for summary judgment, granted defendants’ motion for summary judgment, and declared that the statute “is constitutional” (*see Burton v New York State Dept. of Taxation & Fin.*, 43 Misc 3d 316, 319 [Sup Ct, Albany County 2014]). Supreme Court noted that plaintiffs could not complain because they had elected to treat the JBS transaction as a deemed asset sale under federal income tax law (*see id.* at 318-319). We retained jurisdiction over plaintiffs’ direct appeal under CPLR 5601 (b) (2),² and now affirm.

II.

Plaintiffs allege that article XVI, § 3 of the New York Constitution absolutely precludes taxation of gains from the sale of a nonresident’s intangible personal property, in this case JBS stock. Plaintiffs therefore contend that as nonresident shareholders they are immune from income taxation on their pass-through pro rata shares of the JBS transaction earnings. Hence, plaintiffs argue that Tax Law § 632 (a) (2), as amended in 2010, is unconstitutional to the extent it directly permits taxation of nonresidents’ income derived from the Internal Revenue Code (26 USC) § 338 (h) (10) deemed asset sale.

Defendants respond that article XVI, § 3 does not apply to plaintiffs’ flow-through income realized from the sale of JBS corporate assets because the constitutional prohibition relied upon by plaintiffs applies to location-based taxes on intangible

1. During the pendency of the matter before Supreme Court plaintiffs abandoned their challenge to the retroactive application of Tax Law § 632 (a) (2). We reject just such a challenge and uphold the retroactivity of the statute in *Caprio v New York State Dept. of Taxation & Fin.* (25 NY3d 744 [2015] [decided herewith]).

2. Under CPLR 5601 (b) (2) “[a]n appeal may be taken to the court of appeals as of right . . . from a judgment of a court of record of original instance which finally determines an action where the only question involved on the appeal is the validity of a statutory provision of the state or of the United States under the constitution of the state or of the United States.”

personal property domiciled outside of New York State. Alternatively, defendants alleged that plaintiffs waived any challenge to the tax by electing to treat the transaction as a deemed asset sale under Internal Revenue Code (26 USC) § 338 (h) (10).

As a preliminary matter, there is no question that New York State's Tax Law, including Tax Law § 632 (a) (2), as amended in 2010, contemplates the taxes that defendants assessed on the New York-source portion of plaintiffs' deemed asset sale gains. That conclusion is obvious from the applicable state and federal statutes, and is not seriously disputed by the parties.

Turning to the constitutionality of the assessment, we first recognize as a foundational tenet of our state tax law that New York seeks to achieve a certain amount of parallel treatment of state and federal taxation (*see* Tax Law §§ 617 [b]; 632 [e] [2]; 660 [a]). New York S corporation shareholders must report for state income tax purposes the same "income, loss, deduction and reductions . . . which are taken into account for federal income tax purposes" (Tax Law § 660 [a]). Furthermore, under federal and state law, deemed asset flow-through income is taxed based on the character of the income when earned by the corporation, meaning the income is treated as coming from the same source as received by the corporation (26 USC § 1366 [b]; Tax Law §§ 617 [a], [b]; 632 [e] [2]; *see* Hellerstein, State Taxation ¶ 20.08 [2] [b] [iii] ["the source of a shareholder's pro rata share of S corporation income is first characterized by reference to corporate income-producing activities under Section 1366(b) of the Internal Revenue Code, and then, as characterized, is sourced to locations according to the rule that applies to that type of income"], citing *Valentino v Franchise Tax Bd.*, 87 Cal App 4th 1284, 1291, 105 Cal Rptr 2d 304, 309 [4th Dist 2001]). Gains passed to the S corporation shareholders retain "the same character" for state income tax purposes as held for federal income tax purposes (Tax Law §§ 617 [b]; 632 [e] [2]). Thus, if the corporation's income source is located in New York, it is taxable to the extent allowed under New York law. For example, a nonresident's pass-through income is taxed based on the percentage of the income "derived from or connected with New York sources" (Tax Law § 631 [a] [1]). In contrast, the entirety of a New York resident's pass-through income is taxable (Tax Law § 617 [a]).

Section 631 (a) (1) (B) further provides that nonresidents are subject to tax on income "derived from or connected with New

York sources,” such as income derived from an S corporation (Tax Law § 631 [a] [1] [B]). Moreover, New York source income includes “dividends, interest, and gains from the disposition of intangible personal property” only if that intangible property is “employed in a business . . . carried on in this state” (Tax Law § 631 [b] [2]).

Tax Law § 632 (a) (2), as amended in 2010, includes as New York source income any gains from a deemed asset sale under Internal Revenue Code (26 USC) § 338 (h) (10). That section provides, in relevant part:

“[I]f the shareholders of the S corporation have made an election under section 338(h)(10) of the Internal Revenue Code, then any gain recognized on the deemed asset sale for federal income tax purposes will be treated as New York source income allocated in a manner consistent with the applicable methods and rules for allocation under article nine-A of this chapter in the year that the shareholder made the section 338(h)(10) election” (Tax Law § 632 [a] [2] [footnote omitted]).

In accordance with these provisions, defendants treated plaintiffs’ gains from the JBS deemed asset sale as New York-source income, and assessed taxes in proportion to the JBS income derived from New York sources, which defendants calculated to be 13% of its total corporate income (*see* Tax Law §§ 617 [a]; 631 [a] [1] [B]; 632 [a] [2]). This assessment is wholly in line with the statutory scheme, and absent a superior legal restriction on our State’s taxation of plaintiffs’ pass-through income, plaintiffs are without grounds to demand a refund.

Plaintiffs claim that a constitutional bar to the tax is found in article XVI, § 3 of the New York Constitution. That provisions states,

“Moneys, credits, securities and other intangible personal property within the state not employed in carrying on any business therein by the owner shall be deemed to be located at the domicile of the owner for purposes of taxation, and, if held in trust, shall not be deemed to be located in this state for purposes of taxation because of the trustee being domiciled in this state, provided that if no other state has jurisdiction to subject such property held in trust to death taxation, it may be deemed prop-

erty having a taxable situs within this state for purposes of death taxation. *Intangible personal property shall not be taxed ad valorem nor shall any excise tax be levied solely because of the ownership or possession thereof, except that the income therefrom may be taken into consideration in computing any excise tax measured by income generally. Undistributed profits shall not be taxed*" (NY Const, art XVI, § 3 [emphasis added]).

"In construing the language of the Constitution[,] as in construing the language of a statute, the courts . . . give to the language used its ordinary meaning" (*Matter of Carey v Morton*, 297 NY 361, 366 [1948], citing *Matter of Sherrill v O'Brien*, 188 NY 185, 207 [1907]). As is obvious from the language of article XVI, § 3, there is no express prohibition on income taxation of a nonresident's intangible personal property. Nevertheless, plaintiffs contend such a prohibition is the logical consequence of the situs-rule adopted in the first sentence of section 3. In other words, plaintiffs argue that defendants must treat any income generated by the stock as nontaxable because New York's constitution requires a nonresident's intangible personal property, not employed in carrying on business in New York, to be treated as domiciled outside of the state.

This view is unsupported by the plain language of article XVI, § 3, and misconstrues the constitutional prohibition. Plaintiffs assume that according an out-of-state domicile to a nonresident's intangible property, such as stocks, insulates the nonresident shareholder from all types of taxes for all purposes. There is no textual support for such an expansive interpretation of article XVI, § 3. In fact, this Court has been careful to avoid overextending the application of section 3 beyond the obvious meaning of its text, purpose and history (*see Ampco Print.-Advertisers' Offset Corp. v City of New York*, 14 NY2d 11, 22-23 [1964] [New York City commercial rent or occupancy tax is neither an ad valorem nor excise tax, nor tax applicable to intangible property encompassed within article XVI, § 3]). Moreover, we reject plaintiffs' proposed constitutional analysis that we find to be grounded in an atomized reading of section 3's component parts, but lacking in the necessary consideration of those parts' interconnectedness and relationship to the tax system. Plaintiffs simply ignore that the component sentences work in harmony to proscribe physical location-based taxes on nonresidents' intangible personal property.

The first sentence of section 3 states that the domicile of a nonresidents' intangible personal property, not employed in business in New York, is the domicile of the owner of the property. This ensures that intangible personal property without an in-state business connection is treated as out-of-state property, even though the property is physically located within New York.

The second sentence of section 3 is a specific interdiction on ad valorem taxes, which are taxes assessed based on ownership and imposed according to the property's value. When determining the coverage of this proscription, this Court has previously adopted the general understanding that "[a]n ad valorem property tax is always based upon ownership of property and is payable regardless of whether the property is used or not" (*Ampco*, 14 NY2d at 22, citing *Matter of Guardian Life Ins. Co. of Am. v Chapman*, 302 NY 226, 238-239 [1951], *Powell v Gleason*, 50 Ariz 542, 547-548, 74 P2d 47, 50 [1937], and *City of Walla Walla v State*, 197 Wash 357, 362, 85 P2d 676, 678 [1938]). The second sentence of section 3 also prohibits excise taxes "levied solely because of the ownership or possession [of the intangible property]." Together these clauses preclude taxation based on physical ownership, possession, or presence in New York State.

The text of section 3 makes no mention and provides no language supporting extending the prohibition on ad valorem and ownership/property-based excise taxes to income taxes. There is simply no language in article XVI, § 3 that expressly or implicitly constrains the State from imposing any other non-location-based taxes. We have rejected a prior effort to interpret the prohibition broadly to encompass other categories of taxes. Thus, in *Ampco* this Court declined to treat the New York City Commercial Rent or Occupancy Tax Law as within the ambit of article XVI, § 3 because the City's tax had none of the characteristics of an ad valorem tax. It was "not based merely upon ownership or possession regardless of whether the property is used or not; there [was] no provision for the determination or assessment of the value of the property; nor [was] the tax imposed according to the property's value" (*Ampco*, 14 NY2d at 22). The same is true of the income tax at issue here.

The third sentence in section 3 declares that undistributed profits shall not be taxed. This prohibition, however, is not implicated by the facts and legal issues involved in this appeal, and the plaintiffs do not suggest that it supports their reading of the constitutional text.

As should be clear from this analysis, we need look no further than the text of section 3 to reject plaintiffs' argument. Nonetheless, because the history of article XVI, § 3 so clearly establishes that the plaintiffs' interpretation is at variance with the intended purpose of this section, we think the historical documents and the matters debated as revealed in these documents deserve brief mention.

At the time of section 3's adoption, the drafters intended to "write into the Constitution a well-settled rule of domicile with respect to taxation," which generally treated the situs of intangible property as the owner's domicile (*see* 2 Rev Rec, 1938 NY Constitutional Convention at 1113). This rule, based on the doctrine of *mobilia sequuntur personam*, meaning the "movables follow the person," (*see Matter of Brown*, 274 NY 10, 17 [1937], *op mod on denial of rearg* 274 NY 634 [1937], *revd sub nom. Graves v Elliott*, 307 US 383 [1939]), is unambiguously reflected in the first sentence of section 3.

The other concern addressed by the drafters in section 3 was the impact of taxation of securities and stocks based solely on presence in New York State. The drafters desired to attract and retain in the state monies and securities of nonresidents. In order to make the state attractive the drafters constitutionally prohibited taxation of intangibles "until [the holders] employ them in business in the State," believing that this "tends to develop the financial supremacy of the City of New York" (*see* 2 Rev Rec, 1938 NY Constitutional Convention at 1113).

The drafters further prohibited ad valorem taxes of intangibles, seeking to ensure the end of those property taxes because that system had "utterly failed" (*id.*), leading to its replacement in 1919 with an income tax (*see* L 1919, ch 627). The drafters' intent to attract stocks and securities is also evident from the prohibition on excise taxes solely based on possession and ownership. This prohibition was included to prohibit taxation based on presence in the state until such time as the property was employed in business, or was transferred.

In response to questions about the anticipated coverage of section 3 as applied to the stock transfer tax, the Chair of the Committee on Taxation, which sponsored section 3's addition to the Constitution in 1938, stated that

"[t]he stock transfer tax is an excise tax upon the

transfer, and those are the very taxes which I submit . . . we are going to reap the benefit from, because if we can increase this intangible wealth from the other states you will be able to impose the transfer taxes which will bring you substantial revenues that you never calculated” (see 2 Rev Rec, 1938 NY Constitutional Convention at 1114).

He further added,

“we want to make it impossible for the Legislature itself, or for the Legislature to delegate the right, to levy an excise tax on the mere possession of the property. In other words, the property may enjoy that privilege or it may be used for some purpose, and then you can levy an excise tax on it if and when it is used” (*id.* at 1115).

The interpretation advocated by plaintiffs is not merely rejected by this original history from the 1938 Constitutional Convention, but is also counter to the general understanding of section 3 publicized during the 1967 Constitutional Convention. According to the report on state finance submitted by the Temporary State Commission on the Constitutional Convention, section 3 was understood to provide that “[a]d valorem taxes or excises on the ownership or possession of intangible personal property are prohibited. However, income from such property may be taxed” (1967 Rep of Temp St Commn on Constitutional Convention, Rep No. 8, State Finance at 37 [emphasis omitted]).

The 1938 and 1967 Constitutional Convention Committee and Commission statements reveal that the intent of section 3 is to prohibit taxation of intangible assets based merely on their physical presence within the state, and to ensure a proscription on the ad valorem taxation system as applied to intangible personal property. This was necessary to encourage the importation and retention of nonresident wealth in the form of intangibles such as stocks. However, the prohibition does not eliminate all taxation, as illustrated by the excise tax and transfer tax explicitly referenced approvingly by the drafters, and as further recognized by the comprehensive review conducted by the 1968 Commission of section 3 and other provisions.

Here, defendants assessed an income tax on the gains realized by plaintiffs from the JBS deemed asset sale. It is not an

ad valorem tax by definition or application, or an excise tax levied solely because of ownership or possession (*Ampco*, 14 NY2d at 22). Instead, the tax is based on income generated by those intangibles which are derived from New York sources. Therefore, the subject tax does not fall within the prohibition contained in section 3.

To the extent plaintiffs argue that the deemed asset sale is a fiction of federal law, suggesting there are no real consequences associated with such fiction, that is simply a convenient but inaccurate characterization of the JBS transaction. In reality “the [section 338 (h) (10)] ‘fiction’ . . . simply allowed the parties to change the means by which the gain was realized and by whom” (*General Mills, Inc. v Commissioner of Revenue*, 440 Mass 154, 170, 795 NE2d 552, 567 [2003]). Nothing changes the fact that plaintiffs sold something of value and reaped the benefits from that sale. Article XVI, § 3 in no way supports plaintiffs’ attempts to avoid paying state taxes on those gains.

Accordingly, the order and judgment should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, PIGOTT, ABDUS-SALAAM, STEIN and FAHEY concur.

Order and judgment affirmed, with costs.

[37 NE3d 707, 16 NYS3d 204]

PHILIP CAPRIO et al., Respondents, v NEW YORK STATE DEPARTMENT OF TAXATION AND FINANCE et al., Appellants, et al., Defendant.

Argued June 4, 2015; decided July 1, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 8, 2014. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Paul G. Feinman, J.), which had dismissed the complaint in an action seeking a declaration that the retroactive application of the 2010 amendment to Tax Law § 632 (a) (2), as to plaintiffs, violated the Due Process Clauses of the Federal and State Constitutions; (2) vacated the judgment; (3) declared that the retroactive application as to plaintiffs of the 2010 amendment to Tax Law § 632 (a) (2) resulted in a due process violation; and (4) enjoined defendants from enforcing the notice of deficiency. The appeal to the Appellate Division brought up for review an order of that Supreme Court (op 37 Misc 3d 964 [2012]), which had (1) granted defendants' motion for summary judgment, and (2) denied plaintiffs' cross motion for summary judgment. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the judgment of the Supreme Court, New York County, entered on November 5, 2012 properly made?"

Caprio v New York State Dept. of Taxation & Fin., 117 AD3d 168, reversed.

HEADNOTE

Statutes — Retroactive Application of Statute — Change to Tax Law — Due Process Violation

The retroactive application of amendments to Tax Law § 632 (a) (2)—which sought to correct an administrative error and to prevent both an unexpected loss of revenue and confusion in return preparation by S corporation purchasers—to tax income received from the deemed asset sale of nonresident plaintiffs' shares in an S corporation 3½ years earlier did not violate plaintiffs' due process rights under the United States and New York State Constitutions. A retroactive tax violates due process only if it is so harsh and oppressive as to transgress the constitutional limitation. In analyzing whether a statute is harsh and oppressive, and, thus, arbitrary and irrational, the Court uses a balancing-of-equities test, considering the taxpayer's forewarning of a change in the legislation and the reasonableness of reliance on the old law, the length of the retroactive period and the public

purpose for retroactive application. Plaintiffs failed to show reasonable reliance on their interpretation of the pre-amendment version of Tax Law § 632 (a) (2), given legislative findings that similar interpretations altered a long-standing, contrary policy in effect at the time of the taxable transaction, as well as the curative purpose of the retroactive amendments, which expressly were meant to cure an unintended administrative error. Moreover, the purposes of the amendments were curative and the period of retroactivity was rationally related thereto, and attempting to correct an error and preventing significant and unanticipated revenue loss are rational public purposes underlying retroactivity.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 83, 84.
McKINNEY'S, Tax Law § 632 (a) (2).
NY JUR 2d, Taxation and Assessment §§ 80, 1160.

ANNOTATION REFERENCE

See ALR Index under Retroactive Laws; Taxes.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: retroactive /s amend! /4 tax /2 law & due /2 process

POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, New York City (Judith N. Vale, Barbara D. Underwood and Cecelia C. Chang of counsel), for appellants. Retroactive application of the curative 2010 amendments does not violate due process. (Matter of Varrington Corp. v City of N.Y. Dept. of Fin., 85 NY2d 28; Welch v Henry, 305 US 134; United States v Carlton, 512 US 26; Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y., 70 NY2d 451; Canisius Coll. v United States, 799 F2d 18; DeMartino v Commissioner of Internal Revenue, 862 F2d 400; James Sq. Assoc. LP v Mullen, 21 NY3d 233; Montana Rail Link, Inc. v United States, 76 F3d 991.)

Ingram Yuzek Gainen Carroll & Bertolotti, LLP, New York City (John G. Nicolich and Roger Cukras of counsel), and Pitta & Giblin LLP, New York City (Vincent F. Pitta of counsel), for respondents. Retroactive application of the 2010 amendments violates taxpayers' federal and state due process rights. (RKO-Keith-Orpheum Theatres, Inc. v City of New York, 308 NY 493; Matter of Chrysler Props. v Morris, 23 NY2d 515; United States

v Carlton, 512 US 26; *United States v Darusmont*, 449 US 292; *United States v Hudson*, 299 US 498; *Welch v Henry*, 305 US 134; *Holly S. Clarendon Trust v State Tax Commn.*, 43 NY2d 933; *Matter of Lacidem Realty Corp. v Graves*, 288 NY 354; *People ex rel. Beck v Graves*, 280 NY 405; *Matter of Slewett & Farber v Board of Assessors of County of Nassau*, 80 AD2d 186.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we are asked to decide whether the 3½-year retroactive application of the 2010 amendments to Tax Law § 632 (a) (2) (L 2010, ch 57, § 1, part C) is unconstitutional, as applied to plaintiffs, under the Due Process Clauses of the United States and New York State Constitutions. The amendments, as applied here, involve the intersection of two federal tax statutes, 26 USC §§ 338 (h) (10) and 453 (h) (1) (A), which address “deemed asset sales” and use of the installment method of accounting, respectively. Plaintiffs challenge the amendments insofar as they retroactively imposed a tax on the 2007 sale of the stock of their subchapter S corporation in a deemed asset sale, for which they utilized the installment method for federal tax purposes. Applying the balancing of the equities test set forth in *James Sq. Assoc. LP v Mullen* (21 NY3d 233, 246 [2013]) and *Matter of Replan Dev. v Department of Hous. Preserv. & Dev. of City of N.Y.* (70 NY2d 451, 456 [1987], *appeal dismissed* 485 US 950 [1988]), we conclude that retroactive application of the 2010 amendments did not violate plaintiffs’ due process rights.

I

Plaintiffs are Florida residents who owned the capital stock of Tri-Maintenance & Contractors, Inc. doing business as TMC Services, Inc., a New Jersey corporation that provided janitorial services. TMC had elected to be taxed as a subchapter S corporation for state and federal tax purposes (*see* Internal Revenue Code [26 USC] §§ 1361-1379; Tax Law § 660). An S corporation is permitted to avoid paying corporate income taxes by passing through income to its shareholders, who are then responsible for reporting the income on their personal tax returns. The character of the income remains the same and is treated as though the shareholder realized it directly from the S corporation’s source, or incurred it in the same manner that the corporation did (*see* 26 USC § 1366 [a], [b]; Tax Law § 617 [b]).

Resident New York shareholders pay state income tax on all pass-through S corporation income (*see* Tax Law § 617 [a], [b]), but nonresidents are assessed proportional New York State income taxes based on the percentage of the S corporation's total gains that are derived from or connected with New York sources of corporate income (*see* Tax Law §§ 631 [a] [1] [B]; 632 [a] [2]). To ensure parallel state and federal treatment, each item of pass-through gain retains the same character for state and federal income tax purposes (*see* Tax Law §§ 617 [b]; 632 [e] [2]). TMC earned nearly 50% of its total income in New York.

In 2007, plaintiffs sold all of their shares in TMC to Sanitors Services, Inc., for approximately \$20 million. Plaintiffs and Sanitors jointly made an election under Internal Revenue Code (26 USC) § 338 (h) (10) to treat the transaction as a “deemed asset sale,” pursuant to which the corporation that is being sold is treated, for tax purposes, as if it sold all of its assets to the buyer and then distributed the sale proceeds to its shareholders in a complete liquidation. A deemed asset sale is generally made at the request of the purchaser, which receives the beneficial tax consequences of an asset sale, such as a stepped up basis for the target (i.e., selling) corporation's assets, that it could not obtain from a straight stock purchase. For federal tax purposes, the gains realized by the target corporation are treated as corporate asset sale gains and, in the case of an S corporation, usually passed through to shareholders as taxable asset sale income, rather than as capital gains on stocks, which would be subject to a more favorable tax rate (*see* 26 CFR 1.338[h][10]-1 [d] [3]—[5]; *see also* Byron F. Egan, *Asset Acquisitions: Assuming and Avoiding Liabilities*, 116 Penn St L Rev 913, 928 [2012]).¹

Further, the sale here was structured in such a way that the purchase price was to be paid in installments pursuant to promissory notes, rather than with cash up-front.² When the installment method is used, taxpayers recognize gains or

1. It is common that, because of the favorable tax treatment to the purchaser and the unfavorable tax consequences for the seller, a higher sale price is negotiated.

2. The first installment of approximately \$19.5 million, plus interest, was to be paid on March 1, 2007—one month after the deemed asset sale and deemed liquidation. The second installment of \$500,000, plus interest, was due on February 1, 2008, along with a contingent “earnout obligation” payment. TMC passed these installment notes on to plaintiffs.

income in the taxable years in which the payments are actually received, rather than the year the notes representing the installment obligation are received (*see* 26 USC § 453 [h] [1] [A]). We note that, in their submissions before Supreme Court, plaintiffs limited their challenge to the retroactive application of the amendments pertaining to the tax treatment of installment obligations under 26 USC § 453 (h) (1) (A), and expressly acknowledged that they “d[id] not challenge those portions of the 2010 Amendments related to 26 USC § 338 (h) (10), which have no bearing on [plaintiffs’] claims and [were] not even identified in the Verified Complaint.” That acknowledgment—along with the use of the installment method, and the fact that plaintiffs limited their challenge to retroactive application of the statute and conceded that prospective application cannot be contested (37 Misc 3d 964, 975 [Sup Ct, NY County 2012])—distinguishes this case from *Burton v New York State Dept. of Taxation & Fin.* (25 NY3d 732 [2015] [decided herewith]), in which the plaintiffs challenge the prospective application of the amendments to transactions in which an election has been made under section 338 (h) (10).

On its 2007 tax returns, TMC reported the deemed asset sale in the same manner as if it had actually sold its assets to Sanitors and received, in consideration, the installment obligations. It used the installment method of accounting to report its gain arising from the sale—i.e., TMC did not report any gain because it had not received any cash payments as of the date of its deemed liquidation; nor did it recognize any gain from the distribution of the installment obligations to plaintiffs in the deemed liquidation. Plaintiffs, however, reported a gain on their 2007 federal income tax returns of approximately \$18 million (resulting from the payments received that year under the first installment obligation) and reported a gain of approximately \$1 million on their 2008 federal income tax returns in connection with additional payments received that year.

In contrast, with respect to their New York income taxes, plaintiffs reported no income or gain derived from the sale of TMC, arguing that, pursuant to various federal tax statutes and regulations, the payments they received from the sale were treated as the proceeds of a sale of stock—an intangible asset—the gain from which is not taxable to them by the State under Tax Law § 631 (b) (2). Specifically, plaintiffs relied upon 26 USC § 453 (h) (1) (A), which states that

“[i]f, in a liquidation to which [26 USC §] 331 applies, the shareholder receives (in exchange for the

shareholder's stock) an installment obligation acquired in respect of a sale or exchange by the corporation . . . then, for purposes of this section, the receipt of payments under such obligation (but not the receipt of such obligation) by the shareholder shall be treated as the *receipt of payment for the stock*" (emphasis added).³

In their brief before us, plaintiffs also point to 26 CFR 1.338(h)(10)-1 (d) (8) (ii), which authorizes the use of the installment method under section 453 in connection with deemed asset sales and indicates that S corporation shareholders are "treated as receiving in the deemed liquidation the . . . installment obligations . . . *in exchange for their recently purchased stock*" (emphasis added). Thus, because Tax Law § 631 (b) (2) provides that gain from the sale of an intangible asset, such as stock, is not taxable to a nonresident individual, except in circumstances that do not apply here, plaintiffs maintain that they owed no New York state taxes on the gain from the sale of TMC to Sanitors, even though the transaction was deemed to be a sale of assets for federal tax purposes.

Similar arguments were accepted in 2009 decisions by the Tax Appeals Tribunal in *Matter of Baum* (2009 WL 427425, 2009 NY Tax LEXIS 17 [NY St Tax Appeals Trib DTA Nos. 820837, 820838, Feb. 12, 2009]) and by the Division of Tax Appeals in *Matter of Mintz* (2009 WL 1657395, 2009 NY Tax LEXIS 46 [NY St Div of Tax Appeals DTA Nos. 821807, 821806, June 4, 2009]). Those matters concerned, respectively, a deemed asset sale of an S corporation that did not involve the installment method, and an actual—not deemed—asset sale of an S corporation in return for an installment payment obliga-

3. Plaintiffs also note that federal regulations provide that the shareholders of an S corporation target subject to a deemed asset sale election generally must treat the liquidation of the corporation following the asset sale "as a distribution in complete liquidation to which section 331 or 332 applies" (26 CFR 1.338(h)(10)-1 [d] [5] [i]). Because 26 USC § 331 (a) states that "[a]mounts received by a shareholder in a distribution in complete liquidation of a corporation shall be treated *as in full payment in exchange for the stock*" (emphasis added), plaintiffs argue that they must be treated as having sold stock for tax purposes, despite their election to treat the sale of TMC as a deemed *asset* sale. Plaintiffs do not address that portion of 26 CFR 1.338(h)(10)-1 (d) (5) (i) providing that, where the target of a deemed asset sale is an S corporation, "shareholders (whether or not they sell their stock) take their pro rata share of the deemed sale tax consequences into account under [26 USC §] 1366."

tion governed by 26 USC § 453 (h) (1) (A), which the corporation distributed to its shareholders in exchange for stock in a liquidation. Finding that *Mintz* and *Baum* had erroneously overturned long-standing state policies with respect to taxation of nonresident S corporation shareholders who sell their interest pursuant to elections under either section 338 (h) (10) (deemed asset sales) or 453 (h) (1) (A) (installment sales) of the Internal Revenue Code, the legislature amended Tax Law § 632 to abrogate those determinations (L 2010, ch 57, § 1, part C, § 1). The legislature explained that the amendment was “intended to clarify the concept of federal conformity in the personal income tax and is necessary to prevent confusion in the preparation of returns, unintended refunds, and protracted litigation of issues that have been properly administered up to now” (*id.*).

Prior to its amendment, Tax Law § 632 (a) (2) mandated only that, as relevant here:

“In determining New York source income of a non-resident shareholder of an S corporation . . . there shall be included only the portion derived from or connected with New York sources of such shareholder’s pro rata share of items of S corporation income, loss and deduction entering into his federal adjusted gross income.”

The 2010 amendments clarified, among other things, that if the S corporation distributed an installment obligation under 26 USC § 453 (h) (1) (A) or made a deemed asset sale election under 26 USC § 338 (h) (10), “any gain recognized on the receipt of payments from the installment obligation . . . [or] on the deemed asset sale for federal income tax purposes will be treated as New York source income” (Tax Law § 632 [a] [2], as amended by L 2010, ch 57, § 1, part C, § 2). The amendments were made retroactive to all taxable years beginning on or after January 1, 2007—which represent those years for which the statute of limitations for seeking a refund or assessing additional tax was still open (L 2010, ch 57, § 1, part C, § 4, as amended by L 2010, ch 312, § 1, part B, § 1)—thus, effectively creating a 3½-year period of retroactivity.

Thereafter, the Department of Taxation and Finance (DTF) audited plaintiffs’ 2007 and 2008 state income tax returns and issued a notice of deficiency assessing approximately \$775,000 in additional taxes and interest due as a result of the deemed asset sale of TMC. Plaintiffs then commenced this action, seek-

ing a declaration that the 2010 amendments “retroactively impos[ing] tax on gain recognized on the receipt of payments from installment obligations distributed under [s]ection 453(h)(1)(A) of the Internal Revenue Code,” as applied to plaintiffs, violate the Due Process Clauses of the United States Constitution and New York State Constitution. Plaintiffs also sought an injunction prohibiting enforcement of Tax Law § 632 against them insofar as the amendments “retroactively impose tax on gain recognized from the receipt of payments on installment obligations distributed under [s]ection 453(h)(1)(A) of the Code.” Specifically, the complaint alleged that the amendments

“impose[] a tax for the first time on the gain recognized on payments received from installment obligations distributed under [s]ection 453(h)(1)(A) of the Code, and the 2010 amendments provide an excessive period of retroactivity of [3¹/₂] years as applied to [plaintiffs], thereby creating a hard and oppressive effect on the[ir] settled expectations.”

The parties cross-moved for summary judgment. Supreme Court denied plaintiffs’ motion, granted defendants’ motion, and dismissed the complaint in a thorough decision (37 Misc 3d 964 [Sup Ct, NY County 2012]). The court determined that the amendments were curative because they were necessary to correct *Mintz* and *Baum*, as well as to clarify the concept of federal conformity and prevent confusion and protracted litigation (*see id.* at 980-982). Given those curative purposes and, because plaintiffs failed to show reasonable reliance on any relevant pre-amendment law, the court concluded that retroactive application of the statute was justified by rational legislative purposes and was not harsh and oppressive (*see id.* at 982-987).⁴

The Appellate Division, with one Justice dissenting, reversed, concluding that plaintiffs reasonably relied upon their interpretation of the pre-amendment Tax Law as supporting a view that installment payments in connection with sales of S corporations are treated as the receipt of payment for stock and, given plaintiffs’ nonresident status, are not subject to New York state income tax (117 AD3d 168, 174-176 [2014]).

4. Supreme Court also dismissed the complaint as against the Governor, which was not challenged on appeal, and denied plaintiffs’ request for attorney’s fees pursuant to 42 USC § 1988 (b) on the ground that they were not a prevailing party (37 Misc 3d at 987-988).

The majority further determined that the length of the retroactive period was excessive because, in that Court's view, the amendments were neither curative nor supported by a compelling public purpose (*see id.* at 176-178). The Appellate Division subsequently granted defendants' motion for leave to appeal to this Court, certifying the question of whether its order reversing the judgment of Supreme Court was properly made. We now answer that question in the negative.

II

Recently, in *James Square*, we reiterated that

“the retroactivity provisions of a tax statute are not necessarily unconstitutional and are . . . considered valid if for a short period . . . because taxation is ‘but a way of apportioning the cost of government among those who in some measure are privileged to enjoy its benefits and must bear its burdens’” (21 NY3d at 246, quoting *Welch v Henry*, 305 US 134, 146 [1938]).

We nevertheless recognized that “[a]n aggrieved taxpayer may choose to make a claim that a retroactive tax violates the Due Process Clause under the standards in *United States v Carlton* (512 US 26 [1994]) and our precedent in *Replan*” (*James Square*, 21 NY3d at 247-248). In that regard, a retroactive tax violates due process only if it is “so harsh and oppressive as to transgress the constitutional limitation” (*Replan*, 70 NY2d at 455 [internal quotation marks and citation omitted]; *see Matter of Varrington Corp. v City of N.Y. Dept. of Fin.*, 85 NY2d 28, 32 [1995]), and the Supreme Court of the United States has explained that the “harsh and oppressive formulation . . . does not differ from the prohibition against arbitrary and irrational legislation that applies generally to enactments in the sphere of economic policy” (*Carlton*, 512 US at 30 [internal quotation marks and citation omitted]). Thus, to make out a due process violation in this context, a plaintiff must show that the retroactive application of a tax is arbitrary and irrational.

While “retroactive legislation does have to meet a burden not faced by legislation that has only future effects[,] . . . that burden is met simply by showing that the retroactive application of the legislation is itself justified by a rational legislative purpose” (*id.* at 31 [internal quotation marks and citation omitted]). In analyzing whether a statute is harsh and oppressive—and, thus, arbitrary and irrational—this Court uses a balancing-of-equities test first articulated in *Replan*:

“The important factors in determining whether a retroactive tax transgresses the constitutional limitation are (1) ‘the taxpayer’s forewarning of a change in the legislation and the reasonableness of . . . reliance on the old law,’ (2) ‘the length of the retroactive period,’ and (3) ‘the public purpose for retroactive application’” (*James Square*, 21 NY3d at 246, quoting *Replan*, 70 NY2d at 456).

III

The inquiry with respect to the first prong “focuses on whether the taxpayer’s reliance has been justified under all the circumstances of the case and whether his [or her] expectations as to taxation [have been] *unreasonably* disappointed” (*Replan*, 70 NY2d at 456 [internal quotation marks and citation omitted]). There is justifiable reliance only if the taxpayer “obtained a sufficiently certain right to the money prior to the enactment of the new legislation” (*id.* [internal quotation marks and citation omitted]). The Supreme Court has determined that lack of notice regarding an amendment and reliance upon even a correct reading of an original statute “is insufficient to establish a constitutional violation [because] [t]ax legislation is not a promise, and a taxpayer has no vested right in the Internal Revenue Code” (*Carlton*, 512 US at 33). In applying that rule, we concluded in *James Square* that the curative purpose of a statute is relevant to the reasonableness of a taxpayer’s reliance. Specifically, we distinguished the “insufficient reliance in . . . *Carlton*” on the ground that, in *Carlton*, “the retroactive effect of the tax deduction was to correct an error made by Congress that created a significant and unanticipated revenue loss,” while the retroactive amendments in *James Square* “were not meant to cure an unintended error by the legislature[,] . . . [but] to increase tax receipts for the state budget” (21 NY3d at 248 [internal quotation marks and citation omitted]).

Here, plaintiffs have not shown that their reliance on their own reading of the law, at the time of the transaction in 2007, was reasonable. Plaintiffs relied upon an untested interpretation of the prior law—unsupported by any actual experience, practice or professional advice—that is in conflict with the foundational purposes of S corporations, which permit shareholders to avoid paying corporate taxes by paying the taxes themselves, not to completely avoid paying any state taxes, as

plaintiffs seek to do here. Acceptance of plaintiffs' interpretation of the pre-amendment law would require that we discredit the legislative findings articulated in the amended statute that long-standing policies of DTF required taxpayers to pay proportionate state income taxes on deemed asset sale gains, whether or not they delayed reporting those gains through installment reporting (*see* L 2010, ch 57, § 1, part C, § 1). Not only does plaintiffs' reading of the statute contradict the legislature's express findings, their interpretation is not, in itself, reasonable. Plaintiffs ask us to accept that the pre-amendment Tax Law did not merely permit the use of installment reporting to delay reporting of gains, but also to transform asset sale earnings—whether deemed or actual—into a different form to circumvent the payment of state taxes altogether, based only on a delay in payment, however short. That plaintiffs may have read such a promise into our state Tax Law is insufficient to establish their reasonable reliance thereupon (*see Carlton*, 512 US at 33; *Varrington*, 85 NY2d at 33).

As the trial court noted (37 Misc 3d at 985-986), the instant case is analogous to *Varrington*, in which this Court held that, when a long-standing policy has been changed by a nonbinding ruling, and then the old policy is codified by statute or regulation, the "[r]etroactive tax legislation" does not violate due process (85 NY2d at 32). In *Varrington*, the taxpayer sought and obtained a refund in 1988 of taxes paid for the years 1984-1986, based upon a 1988 advisory opinion from DTF and a letter ruling by the Department of Finance of the City of New York regarding another taxpayer (*see id.* at 31). Subsequently, in 1990, the City enacted a regulation codifying its prior, long-standing policy and then sought to recoup the refund (*see id.* at 31-32, 35).

Although the City was seeking to recover a refund that it paid in 1988, it effectively applied the 1990 regulation retroactively for a period of six years, because the refund related to taxes paid for years beginning in 1984. We noted that, contrary to the taxpayers' argument regarding the City's policy prior to 1988, the taxes had been paid in accordance with the City's long-standing taxing policy, and the 1988 advisory opinion and letter represented a significant change from that policy (*see id.* at 34-35). We, therefore, concluded that the taxpayer's belief that it was entitled to a refund, which it actually obtained, did not amount to reasonable reliance and up-

held the regulation’s retroactive application (*see id.* at 33). We explained that the taxpayer had “no vested or actionable right in these circumstances to the benefit of a tax statute or regulation . . . in the detrimental reliance sense” (*id.*). Because the 1988 letter ruling was a “blip on the screen” representing a significant change from prior tax policy, we held that “there was no cognizable detrimental reliance on the temporarily altered, long-standing tax policy” (*id.* at 35).

Similarly here, we cannot ignore the legislative findings that *Mintz* and *Baum* “erroneously overturned the longstanding policies of” DTF regarding the taxation of S corporations that make elections under either section 338 (h) (10) or 453 (h) (1) (A) of the Internal Revenue Code (L 2010, ch 57, § 1, part C, § 1). While “[t]he Legislature has no power to declare, retroactively, that an existing statute shall receive a given construction when such a construction is contrary to that which the statute would ordinarily have received” (*Matter of Roosevelt Raceway v Monaghan*, 9 NY2d 293, 304 [1961], *appeal dismissed* 368 US 12 [1961]), this Court has long stated that, “when the Legislature does tell us what it meant by a previous act, its subsequent statement of earlier intent is entitled to very great weight” (*Matter of Chatlos v McGoldrick*, 302 NY 380, 388 [1951]). Before its amendment, Tax Law § 632 (a) (2) did not clearly prohibit the taxation of gain on installment payments received in connection with corporate asset sales or deemed asset sales. Thus, we cannot say that the legislature has construed the statute in a manner that is contrary to the construction it would ordinarily receive, and we give due consideration to the legislative findings regarding the underlying intent of the statute prior to the 2010 amendments, particularly given that those findings are supported by the unrefuted affidavit of a DTF tax auditor detailing this State’s taxation policy.

Even in the absence of express legislative findings, we would conclude that plaintiffs failed to establish that *Mintz* and *Baum* correctly reflected the State’s pre-amendment policy regarding state taxation of gain derived from installment obligations issued in connection with a deemed asset sale. In addition to the affidavit of a tax auditor, DTF submitted an internal Power-Point presentation distributed to new auditors in 2002, which contained an “advisory” that S corporations were attempting to rely upon the installment method to avoid reporting distributions to their shareholders. The presentation reflects DTF’s

policy that “subsequent gains” on installment obligations “at the individual level” after the S corporation has liquidated “would be treated as having been distributed from the S corporation, and thus allocable to New York State.” While this PowerPoint presentation was not publicly available, it supports the legislative findings regarding DTF’s policy prior to amendment of the statute and also is consistent with DTF’s Publication 88 for tax year 2006—of which we take judicial notice as a matter of public record (*see Affronti v Crosson*, 95 NY2d 713, 720 [2001], *cert denied* 534 US 826 [2001])—which was published in December 2006, prior to the transaction at issue (NY State Department of Taxation and Finance Publication 88: General Tax Information for New York State Nonresidents and Part-Year Residents [Dec. 2006]). In Publication 88, DTF instructed nonresident S corporation shareholders to report “installment income from a [] [26 USC §] 453 transaction” as New York source income for income tax purposes (Publication 88 at 11-12); this is contrary to the subsequent determination in *Mintz*.

Although plaintiffs contend that the primary issue presented on this appeal is this State’s taxation of payments from an installment obligation, they submit no relevant authority—beyond their own interpretation of the applicable federal and state statutes—to support their construction of the Tax Law with respect to treatment of installment obligations.⁵ Under these circumstances—as in *Varrington*—we conclude that “[t]his record is . . . devoid of evidence to support [plaintiffs’] claim that New York had a long-established policy of not taxing” the gain recognized by nonresident S corporation shareholders in connection with installment payment obligations distributed pursuant to 26 USC § 453 (h) (1) (A) of the Internal Revenue Code; rather, “all of the evidence points in the op-

5. While plaintiffs do point to various pre-amendment documents submitted or prepared by DTF as supporting their construction of the Tax Law, as well as arguably conflicting language in the 2002 internal PowerPoint presentation regarding the treatment of *deemed asset sales* under 26 USC § 338 (h) (10), they ask us to disregard many of the documents and cases from other states upon which DTF relies to establish that plaintiffs had notice of the questionable nature of their current interpretation of the treatment of such sales under the pre-amendment statute. Plaintiffs ask us to disregard these authorities on the ground that they do not “concern[] state taxation of payments from an *installment obligation* under [s]ection 453 (h) (1) (A) of the [Internal Revenue] Code, which is the issue presented in this appeal” (emphasis added). Of course, this argument applies with equal force to the documents regarding deemed asset sales on which plaintiffs rely.

posite direction” (85 NY2d at 35). In any event, plaintiffs have not shown reasonable reliance on their interpretation of the pre-amendment version of Tax Law § 632 (a) (2), given the legislative findings that *Mintz* and *Baum* temporarily altered a long-standing, contrary policy that was in effect at the time of the taxable transaction (*see id.* at 35), as well as the curative purpose of the retroactive amendments—which expressly “were . . . meant to cure an unintended [administrative] error” (*James Square*, 21 NY3d at 248).

IV

The remaining factors of the balancing-of-the-equities test do not require extended discussion; those factors also militate in favor of upholding the retroactive application of the statute.

The second factor is the length of the retroactive period (*id.* at 246). The 3½-year retroactive period here was designed to cover open tax years; that is, the period of time during which S corporation shareholders who engaged in deemed asset sales or received an installment payment obligation distributed by the corporation could seek a refund under *Mintz* and *Baum*. Although this Court has rejected lesser periods (*see id.* at 249 [16 months]; *Matter of Chrysler Props. v Morris*, 23 NY2d 515 [1969] [one month]), it has upheld an effective six-year period where the statute in question was curative (*see Varrington*, 85 NY2d at 31). Indeed, in *James Square*, this Court stated that, while one year is generally not considered excessive, “longer periods of retroactivity [have also been] upheld . . . [in] cases [that] concerned curative measures by legislatures to correct errors” (21 NY3d at 249). In enacting the 2010 amendments, the legislature sought both to correct an administrative error and to prevent “an unexpected loss of revenue” (*id.* at 250); in this regard, the legislative findings recite that the amendments were necessary to prevent “unintended refunds,” which DTF estimated would amount to many millions of dollars annually without legislative intervention (L 2010, ch 57, § 1, part C, § 1). The legislature further sought, among other things, “to prevent confusion in the preparation of returns” by S corporation purchasers (*id.*).⁶ Inasmuch as these purposes were curative and the period of retroactivity was rationally related

6. The latter concern was evidently related to the fact that the *Mintz* and *Baum* determinations threatened to deprive purchasers in a deemed asset sale—or an asset sale and liquidation involving installment payments—of the future tax benefits arising from a stepped up basis of the assets. Because

(n. cont'd)

thereto—the amendments applied retroactively to only those tax years that remained open—the second factor favors rejection of plaintiffs’ challenge.

The third and final factor to be considered is the public purpose for the retroactive application. In *James Square*, we recognized that “attempting to correct an error” or preventing “significant and unanticipated revenue loss” were rational public purposes underlying retroactivity (21 NY3d at 248-249 [internal quotation marks and citation omitted]). Here, the legislature was not acting merely to increase tax receipts, but to prevent unanticipated and unintended consequences arising from erroneous administrative determinations that were contrary to long-standing DTF policies (*cf. id.* at 250). In our view, the curative, rational public purposes set forth in the legislative findings (L 2010, ch 57, § 1, part C, § 1) are compelling and, thus, this factor also supports upholding the retroactive application of the statute.

In sum, given the legislature’s curative purposes, the extension of retroactive application of the statute to only those tax years for which taxpayers could seek a refund, and the lack of justifiable reliance by plaintiffs on prior law, the retroactivity period here is not excessive, arbitrary or irrational (*see James Square*, 21 NY3d at 249). Accordingly, the order of the Appellate Division should be reversed, with costs, appellants’ motion for summary judgment granted, judgment granted declaring that the retroactive application as to plaintiffs of the 2010 amendment to Tax Law § 632 (a) (2) is valid under the Due Process Clauses of the United States and New York Constitutions, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and FAHEY concur.

Order reversed, with costs, appellants’ motion for summary judgment granted, judgment granted declaring that the retroactive application as to plaintiffs of the 2010 amendment to Tax Law § 632 (a) (2) is valid under the Due Process Clauses of the United States and New York Constitutions, and certified question answered in the negative.

those determinations permitted sellers to treat the transactions as stock sales, it became unclear whether the purchasers could permissibly treat the transactions as asset sales for purposes of New York state income taxation (*see* Mem in Support, 2010-11 New York State Executive Budget, Revenue Article VII Legislation at 12-13).

[37 NE3d 725, 16 NYS3d 222]

JF CAPITAL ADVISORS, LLC, Appellant, v THE LIGHTSTONE
GROUP, LLC, et al., Respondents.

Argued June 3, 2015; decided July 1, 2015

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered March 25, 2014. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Melvin L. Schweitzer, J.; op 2012 NY Slip Op 33262[U] [2012]), which had (1) denied defendants' motion to dismiss plaintiff's quantum meruit and unjust enrichment causes of action related to the Innkeepers Project, Fitchburg and Omaha Projects, Towneplace Suites Metairie Project, Hotel Victor Project, and Crowne Plaza Somerset Project; and (2) granted defendants' motion to dismiss those causes of action related to the Waterpark Portfolio Project, CBRE 7 Loan Portfolio Project, Allegria Hotel Loan Purchase and Miscellaneous Projects. The modification consisted of granting defendants' motion to dismiss as to the remainder of the complaint. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as modified and otherwise affirmed by this Court, properly made?"

JF Capital Advisors, LLC v Lightstone Group, LLC, 115 AD3d 591, modified.

HEADNOTE

Frauds, Statute of — Conveyances and Contracts Concerning Real Property — Financial Advisory Services for Real Estate Investors

On a motion to dismiss, the statute of frauds did not bar plaintiff hospitality industry consultant's quantum meruit and unjust enrichment causes of action based on financial advisory services it had allegedly provided to defendants with respect to five of nine groups of investment opportunities for hotel/water park properties (project groups). General Obligations Law § 5-701 (a) (10) applies to a contract implied in fact or in law to pay reasonable compensation, and provides that an agreement which is "a contract to pay compensation for services rendered in . . . negotiating the purchase . . . of any real estate or interest therein, or of a business opportunity, business, its good will, inventory, fixtures or an interest therein" is void unless in writing and signed by the party to be charged. Negotiating includes "procuring an introduction to a party to the transaction or assisting in the negotiation or consummation of the transaction" (General Obligations Law § 5-701 [a] [10]).

The fundamental question was whether the services for which plaintiff sought compensation were tasks performed so as to inform defendants whether to negotiate for the properties at issue, or whether those services were performed as part of or in furtherance of negotiation for the properties. Plaintiff generally alleged that its work with respect to each of the project groups consisted of the review, analysis, and modeling of the finances and operation of the assets in which defendants had the opportunity to invest. However, with respect to three of the nine project groups, the allegations included either a claim for compensation for work performed in furtherance of defendants' negotiation of a business opportunity or compensation for services rendered in anticipation of a possible bid by defendants, and a fourth project group was not at issue on appeal. The allegations with respect to the remaining five project groups could be construed as seeking recovery for work performed so as to inform defendants whether to partake in certain business opportunities, that is, whether to negotiate.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Restitution and Implied Contracts §§ 33–35;
AM JUR 2d, Statute of Frauds §§ 66, 339, 430, 435, 436,
438.

McKINNEY'S, General Obligations Law § 5-701 (a) (10).

NY JUR 2d, Brokers §§ 9, 14, 102, 164, 205; NY JUR 2d,
Contracts § 603; NY JUR 2d, Frauds, Statute of § 349.

WILLISTON ON CONTRACTS (4th ed) §§ 25:2, 68:5.

ANNOTATION REFERENCE

See ALR Index under Frauds, Statute of; Investments;
Restitution and Implied Contracts; Unjust Enrichment.

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POINTS OF COUNSEL

Weber Law Group LLP, Melville (*Jason A. Stern* of counsel), for appellant. I. The appellate decision should be reversed because it applied General Obligations Law § 5-701 (a) (10) too broadly. (*Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Sporn v Suffolk Mktg.*, 56 NY2d 864; *Tower Intl., Inc. v Caledonian Airways, Ltd.*, 133 F3d 908; *Intercontinental Planning v Daystrom, Inc.*, 24 NY2d 372; *Snyder v Bronfman*, 13 NY3d 504; *Gutkowski v Steinbrenner*, 680 F Supp 2d 602; *Enfeld v Hemmerdinger Estate Corp.*, 34 AD2d 980; *Whitman Hefernan Rhein & Co. v Griffin Co.*, 163 AD2d 86; *GEM Advisors, Inc. v Corporacion Sidenor, S.A.*, 667 F Supp 2d 308; *Ashwood*

Capital, Inc. v OTG Mgt., Inc., 99 AD3d 1.) II. The First Department's application of the breach of contract standard to plaintiff's quantum meruit and unjust enrichment claims is in violation of this Court's holding in *Morris Cohon & Co. v Russell* (23 NY2d 569 [1969]). (*Gottesman Co. v Keystone Enters., Inc.*, 43 AD3d 696; *Davis & Mamber v Adrienne Vittadini, Inc.*, 212 AD2d 424; *Kalfin v United States Olympic Commn.*, 209 AD2d 279; *Springwell Corp. v Falcon Drilling Co., Inc.*, 16 F Supp 2d 300; *Shapiro v Dictaphone Corp.*, 66 AD2d 882; *Newmark & Co. Real Estate Inc. v 2615 E. 17 St. Realty LLC*, 80 AD3d 476; *Stevens v Publicis S.A.*, 50 AD3d 253, 10 NY3d 930.) III. Dismissal of JF Capital Advisors, LLC's claims was premature without discovery of critical facts. (*Gottesman Co. v Keystone Enters., Inc.*, 43 AD3d 696; *Ladenburg Thalmann & Co. v Tim's Amusements*, 275 AD2d 243; *Tenesaca Delgado v Bretz & Coven, LLP*, 109 AD3d 38; *Marcus v Hemphill Harris Travel Corp.*, 193 AD2d 543.)

Emery Celli Brinckerhoff & Abady LLP, New York City (*Elizabeth S. Saylor, Andrew G. Celli, Jr. and Hayley Horowitz* of counsel), for respondents. I. The Appellate Division's ruling dismissing the complaint was required by both the policy and the plain language of General Obligations Law § 5-701 (a) (10). (*Intercontinental Planning v Daystrom, Inc.*, 24 NY2d 372; *Freedman v Chemical Constr. Corp.*, 43 NY2d 260; *Minichiello v Royal Bus. Funds Corp.*, 18 NY2d 521; *Snyder v Bronfman*, 57 AD3d 393, 13 NY3d 504; *Gutkowski v Steinbrenner*, 680 F Supp 2d 602; *Orderline Wholesale Distribs., Inc. v Gibbons, Green, van Amerongen, Ltd.*, 675 F Supp 122; *Enfeld v Hemmerdinger Estate Corp.*, 34 AD2d 980, 28 NY2d 606; *Whitman Heffernan Rhein & Co. v Griffin Co.*, 163 AD2d 86; *Zeising v Kelly*, 152 F Supp 2d 335; *United Resource Recovery Corp. v Ramko Venture Mgt., Inc.*, 584 F Supp 2d 645.) II. JF Capital Advisors, LLC's argument that a writing exists to satisfy General Obligations Law § 5-701 (a) (10) is not properly before the Court and is meritless. (*Morris Cohon & Co. v Russell*, 23 NY2d 569; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Wild v Catholic Health Sys.*, 21 NY3d 951; *Roohan v First Guar. Mtge., LLC*, 97 AD3d 891; *Mehmet v Add2Net, Inc.*, 66 AD3d 437; *Duane Morris LLP v Astor Holdings Inc.*, 61 AD3d 418; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Matter of Meister*, 39 AD2d 857; *Metropolitan Steel Indus. v Citnalta Constr. Corp.*, 302 AD2d 233; *Ladenburg Thalmann & Co. v Tim's Amusements*, 275 AD2d 243.) III. Dismissal of the complaint for failure to state a claim is required. (*Snyder v Bronfman*, 13 NY3d 504; *Herzog v Town of Thompson*, 216 AD2d 801.)

OPINION OF THE COURT

FAHEY, J.

The primary issue on this appeal is whether the statute of frauds, as embodied in General Obligations Law § 5-701 (a) (10), bars the causes of action set forth in the amended complaint. In that pleading, plaintiff claims to have rendered to defendants financial advisory services for what plaintiff characterizes as nine groups of investment opportunities,¹ and plaintiff seeks recovery for those services rendered based on theories of quantum meruit and unjust enrichment. We conclude that the statute of frauds does not bar the causes of action with respect to five of the nine project groups, to wit, with respect to what the amended complaint characterizes as the “Innkeepers Project,” the “Fitchburg and Omaha Projects,” the “Towneplace Suites Metairie Project,” the “Hotel Victor Project,” and the “Crowne Plaza Somerset Project.” We therefore modify the Appellate Division’s order by denying those parts of defendants’ motion seeking to dismiss the amended complaint with respect to those project groups.

I.

Inasmuch as this appeal had its genesis in a motion to dismiss pursuant to CPLR 3211 (a) (7), we are bound to, inter alia, “accept the facts as alleged in the [amended] complaint as true” (*Leon v Martinez*, 84 NY2d 83, 87 [1994]). Plaintiff alleges that it and its principals are hospitality industry consultants engaged in the business of providing investment and advisory services. In November 2010, defendants solicited plaintiff’s assistance in analyzing an investment opportunity involving certain hotel/water park properties. The parties entered into a written agreement whereby plaintiff provided

1. The amended complaint denominates those project groups as follows:

Project Group	Project Name
1	the Waterpark Portfolio Project
2	the Innkeepers Project
3	the Fitchburg and Omaha Projects
4	the Towneplace Suites Metairie Project
5	the Hotel Victor Project
6	the CBRE 7 Loan Portfolio Project
7	the Allegria Hotel Loan Purchase
8	the Crowne Plaza Somerset Project
9	the Miscellaneous Projects

financial and analytical services to defendants regarding that project, and defendants paid plaintiff for its work with respect to that opportunity.

Defendants did not purchase the hotel/water park properties, and those holdings eventually became the subject of an online auction. Based on the seller's willingness to dispose of the hotel/water park properties separately, defendants again sought plaintiff's services with the goal of acquiring only 2 of the 10 holdings that comprised the hotel/water park properties. Plaintiff provided continuing "advisory services" to defendants consisting of financial and market analyses with respect to the hotel/water park endeavor, as well as to other projects, and defendants accepted those services.

According to plaintiff, however, defendants did not compensate plaintiff for such work. Consequently, plaintiff commenced this action through the filing of a complaint in which it asserted six causes of action, including claims for quantum meruit and unjust enrichment. Defendants moved to dismiss the complaint, and Supreme Court granted the motion but afforded plaintiff "leave to serve and file an amended complaint alleging causes of action for quantum meruit and unjust enrichment" (2012 NY Slip Op 33788[U], *12 [Sup Ct, NY County 2012]).

Plaintiff availed itself of that leave, and the amended complaint lies at the core of this appeal. There, as noted, plaintiff asserts causes of action for quantum meruit and unjust enrichment, through which it seeks compensation for approximately \$480,000 in services it rendered to defendants in connection with the nine project groups. Plaintiff generally alleges that its work with respect to each of the project groups consisted of the review, analysis, and modeling of the finances and operations of the assets in which defendants had the opportunity to invest. However, with respect to the "Waterpark Portfolio Project," the "CBRE 7 Loan Portfolio Project," and the "Allegría Hotel Loan Purchase," i.e., what are respectively denominated as project groups Nos. 1, 6, and 7, plaintiff alleges that it performed work that was used to assist in defendants' negotiation of a business opportunity and that was conducted in anticipation of a possible purchase bid.

In lieu of answering, defendants moved to dismiss the amended complaint pursuant to CPLR 3211 (a) (7), contending that the claims for compensation for the "advisory services" plaintiff allegedly performed are subject to the statute of frauds

(see General Obligations Law § 5-701 [a] [10]). Supreme Court granted the motion in part by dismissing the amended complaint to the extent it seeks recovery for work performed with respect to the “Waterpark Portfolio Project,” the “CBRE 7 Loan Portfolio Project,” the “Allegria Hotel Loan Purchase,” and the “Miscellaneous Projects,” i.e., what are denominated as project groups Nos. 1, 6, 7, and 9 (2012 NY Slip Op 33262[U] [Sup Ct, NY County 2012]). The court denied the remaining parts of the motion.

On appeal, the Appellate Division modified by granting the motion in its entirety and dismissing the amended complaint based upon its conclusion that “investment analyses and financial advice regarding the possible acquisition of investment opportunities clearly fall within General Obligations Law § 5-701 (a) (10)” (115 AD3d 591, 592-593 [1st Dept 2014] [internal quotation marks omitted]). The Appellate Division subsequently granted plaintiff leave to appeal and certified the question whether the order of Supreme Court, as modified, was properly made (2014 NY Slip Op 78658[U] [1st Dept 2014]).

II.

Having marshaled the relevant facts, our review turns to the pertinent principles of law. In addition to accepting the facts as alleged as true (see *Leon*, 84 NY2d at 87), we “must give the pleading a liberal construction . . . and afford . . . plaintiff the benefit of every possible favorable inference” (*Landon v Kroll Lab. Specialists, Inc.*, 22 NY3d 1, 5 [2013], *rearg denied* 22 NY3d 1084 [2014] [internal quotation marks omitted]). In other words, “[w]here the allegations are ambiguous, we resolve the ambiguities in plaintiff’s favor” (*Snyder v Bronfman*, 13 NY3d 504, 506 [2009]) and, dissimilar to a motion for summary judgment, where we review the record to determine whether a cause of action or a defense has been established as a matter of law, here we “‘limit our inquiry to the legal sufficiency of plaintiff’s claim[s]’ ” (*Davis v Boenheim*, 24 NY3d 262, 268 [2014], quoting *Silsdorf v Levine*, 59 NY2d 8, 12 [1983]; see *Leon*, 84 NY2d at 87-88).

The statute of frauds is codified in General Obligations Law § 5-701. As a general matter, it “is designed to protect the parties and preserve the integrity of contractual agreements” (*William J. Jenack Estate Appraisers & Auctioneers, Inc. v Rabizadeh*, 22 NY3d 470, 476 [2013]). More precisely, the statute

“is meant ‘to guard against the peril of perjury; to prevent the enforcement of unfounded fraudulent

claims’ (*Morris Cohon & Co. v Russell*, 23 NY2d 569, 574 [1969]). The statute ‘decrease[s] uncertainties, litigation, and opportunities for fraud and perjury,’ and primarily ‘discourage[s] false claims’ (73 Am Jur 2d, Statute of Frauds § 403). ‘In short, the purpose of the Statute of Frauds is simply to prevent a party from being held responsible, by oral, and perhaps false, testimony, for a contract that the party claims never to have made’ (*id.*)” (*William J. Jenack Estate Appraisers & Auctioneers, Inc.*, 22 NY3d at 476).

Here we are specifically concerned with General Obligations Law § 5-701 (a) (10), which “appl[ies] to a contract implied in fact or in law to pay reasonable compensation” and which provides that

“[e]very agreement, promise or undertaking is void, unless it or some note or memorandum thereof be in writing, and subscribed by the party to be charged therewith, or by his lawful agent, if such agreement, promise or undertaking . . .

“ . . . [i]s a contract to pay compensation for services rendered in . . . *negotiating the purchase* . . . of any *real estate or interest therein*, or of a *business opportunity, business*, its good will, inventory, fixtures or an interest therein” (Emphases added.)

The same paragraph further states that “‘[n]egotiating’ includes procuring an introduction to a party to the transaction or assisting in the negotiation or consummation of the transaction” (*id.*).

III.

Applying these principles, we conclude that the statute of frauds does not bar the causes of action to the extent they pertain to what the amended complaint characterizes as the “Innkeepers Project,” the “Fitchburg and Omaha Projects,” the “Towneplace Suites Metairie Project,” the “Hotel Victor Project,” and the “Crowne Plaza Somerset Project,” i.e., what are denominated as project groups Nos. 2 through 5 and 8. The fundamental question on this appeal is whether the services for which plaintiff seeks compensation were tasks performed so as to inform defendants *whether to negotiate* for the properties

at issue, or whether those services were performed *as part of* or *in furtherance of negotiation* for the subject properties. As noted, General Obligations Law § 5-701 (a) (10) interdicts oral agreements to pay compensation for services rendered with respect to the *negotiation* of the purchase of real estate or of a business opportunity or business. Supreme Court recognized this in dismissing the causes of action pertaining to project groups Nos. 1, 6, and 7. The allegations pertaining to project group No. 1 include what Supreme Court correctly saw as a claim for compensation for work plaintiff performed in furtherance of defendants' negotiation of a business opportunity, while the allegations pertaining to project groups Nos. 6 and 7 seek compensation for services rendered in anticipation of a possible bid by defendants, including preparation of documents for bidding.

Said another way, Supreme Court properly dismissed the parts of the amended complaint bound by the common thread of allegations pertaining to defendants' negotiation of a business opportunity and declined to dismiss the parts of the amended complaint pertaining to project groups Nos. 2 through 5 and 8, which are not braided by such claims. Indeed, the allegations with respect to project groups Nos. 2 through 5 and 8 could be construed as seeking recovery for work performed so as to inform defendants whether to partake in certain business opportunities, that is, *whether to negotiate*. To the extent the causes of action are based on such allegations, they are not barred by the statute of frauds.²

Our decision in *Snyder* (13 NY3d 504), which is among the authorities on which defendants rely in seeking affirmance of the Appellate Division order, does not compel a different result. In that case the parties allegedly engaged in what the plaintiff characterized as a joint venture wherein the plaintiff essentially was to have functioned as the defendant's "consigliere" (*id.* at 506) in exchange for a share in the proceeds of any business transaction the defendant was able to consummate. In concluding that such "intermediary" work was covered

2. To this point absent from our analysis is reference to project group No. 9. The omission is intentional inasmuch as plaintiff abandoned its appeal with respect to that project group by failing to raise any contention with respect to that group (*see generally Webb-Weber v Community Action for Human Servs., Inc.*, 23 NY3d 448, 451 n 2 [2014]; *New York Mut. Underwriters v Baumgartner*, 19 AD3d 1137, 1140-1141 [4th Dept 2005]). We neither examine that project group nor grant relief with respect to that group herein.

by the statute of frauds, we invoked *Freedman v Chemical Constr. Corp.* (43 NY2d 260 [1977]), which provides that

“where [an] intermediary’s activity is so evidently that of providing ‘know-how’ or ‘know-who’, in bringing about between principals an enterprise of some complexity or an acquisition of a significant interest in an enterprise, the statute [of frauds] is entitled to be read both in accordance with its plain meaning, its evident purpose, and to accomplish the prevention of the mischief for which it was designed” (*id.* at 267; *see Snyder*, 13 NY3d at 509-510).

The work contemplated by the project groups that we have concluded survive the motion to dismiss arguably is not of an “intermediary” nature, so *Snyder* does not require that we affirm. Indeed, with respect to those project groups, plaintiff does not seek recovery for its “know-how” or “know-who,” i.e., the “use [of] ‘connections’, . . . ‘ability’, and . . . ‘knowledge’ to arrange for [defendants] to meet ‘appropriate persons’” in their business pursuits (*Freedman*, 43 NY2d at 267).

Plaintiff also contends that the Appellate Division order violates *Morris Cohon & Co. v Russell* (23 NY2d 569 [1969]), in that a memorandum writing may satisfy the statute of frauds (*id.* at 575-576). This contention is not properly before us inasmuch as the issue was raised for the first time on reply at the Appellate Division (*see Bingham v New York City Tr. Auth.*, 99 NY2d 355, 359 [2003] [“this Court best serves the litigants and the law by limiting its review to issues that have first been presented to and carefully considered by the trial and intermediate appellate courts”]; *see also Elezaj v Carlin Constr. Co.*, 89 NY2d 992, 994 [1997] [“(t)his Court has no power to review . . . unpreserved error” (internal quotation marks omitted)]). Finally, plaintiff’s remaining contention is unpreserved.

Accordingly, the order of the Appellate Division should be modified, without costs, by denying defendants’ motion to dismiss the amended complaint in part in accordance with this opinion, and, as so modified, affirmed and the certified question not answered as unnecessary.

Chief Judge LIPPMAN and Judges READ, PIGOTT, RIVERA, ABDUS-SALAAM and STEIN concur.

Order modified, without costs, by denying defendants’ motion to dismiss the amended complaint in part in accordance with

the opinion herein, and, as so modified, affirmed and certified
question not answered as unnecessary.

[37 NE3d 1127, 16 NYS3d 485]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v HOWARD S. WRIGHT, Appellant.

Argued June 2, 2015; decided July 1, 2015

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered March 21, 2014. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Francis A. Affronti, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

People v Wright, 115 AD3d 1257, reversed.

HEADNOTE

Crimes — Right to Counsel — Effective Representation — Failure to Object to Prosecutorial Misconduct during Summation

Defense counsel's serial failure to object to the prosecution's inaccurate and misleading descriptions of the DNA evidence during the People's summation constituted a pattern of inexcusable mistakes not attributable to a failed trial strategy, rendering him ineffective. Prosecutorial misconduct is not immune to attack by defense counsel merely because it occurs during the course of summation. Summation must remain within the four corners of the evidence; thus, the prosecutor may not refer to matters not in evidence or call upon the jury to draw conclusions which are not fairly inferable from the evidence. While the prosecutor was entitled to fair comment on the DNA evidence available, she was not entitled to present the results in a manner that was contrary to the evidence and the science. By interspersing references to DNA on a ligature found around the victim's hands, the analysis of which revealed only that defendant could not be excluded from the pool of possible contributors, with comments about defendant's DNA profile, the prosecutor mischaracterized the probativeness of the DNA evidence. As only the DNA evidence connected defendant to the murder, defense counsel could not allow such misrepresentations to stand unchallenged.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Trial §§ 532, 588.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:270–184:272.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10.

NY JUR 2d, Criminal Law: Procedure §§ 864–870, 918.

ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Attorneys.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: prosecutor! /2 misconduct /4 closing summation /p
ineffective /4 counsel /p fail! /4 object!**POINTS OF COUNSEL**

David M. Kaplan, Penfield, for appellant. I. The evidence at trial was legally insufficient to prove intentional murder. (*People v Swamp*, 84 NY2d 725; *People v Williams*, 84 NY2d 925; *People v Hines*, 97 NY2d 56; *People v Lynch*, 95 NY2d 243; *People v Contes*, 60 NY2d 620; *People v Mirabal*, 278 AD2d 526; *People v Gray*, 86 NY2d 10; *People v Capella*, 111 AD2d 179; *People v Burnett*, 41 AD3d 1201.) II. Appellant was deprived of effective assistance of counsel because of (1) his attorney's failure to object to improper statements by the prosecution during opening statement and summation; (2) the failure by his attorney to obtain an expert witness to testify on appellant's behalf in regard to Y chromosome DNA testing; and (3) a highly prejudicial statement made by his own attorney in the opening statement. (*People v Caban*, 5 NY3d 143; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Calabria*, 94 NY2d 519; *People v Levandowski*, 8 AD3d 898; *People v Fisher*, 18 NY3d 964; *People v Ashwal*, 39 NY2d 105; *People v Alicea*, 37 NY2d 601; *People v Castricone*, 224 AD2d 1019.)

Sandra Doorley, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent. I. The evidence was legally sufficient to prove defendant guilty of murder. (*People v Grassi*, 92 NY2d 695; *People v Contes*, 60 NY2d 620; *People v Danielson*, 9 NY3d 342; *People v Reed*, 22 NY3d 530; *People v Ficarrota*, 91 NY2d 244.) II. Defendant was not deprived of effective assistance of counsel based on counsel's handling of the DNA evidence in the case. (*People v Oathout*, 21 NY3d 127; *People v Angelakos*, 70 NY2d 670; *People v Baldi*, 54 NY2d 137; *People v Satterfield*, 66 NY2d 796; *People v Fisher*, 18 NY3d 964; *People v Thompson*, 21 NY3d 555; *People v Turner*, 5 NY3d 476; *People v Santiago*, 22 NY3d 740; *People v Howard*, 22 NY3d 388; *People v McGee*, 20 NY3d 513.)

OPINION OF THE COURT

RIVERA, J.

We are presented in this appeal with a confluence of prosecu-

torial misconduct committed during closing argument, and a series of critical lapses by defense counsel when faced with the prosecutor's obvious transgressions from the leeway generally afforded attorneys during summation. As the record establishes, defense counsel failed to object, time and again, when the prosecutor repeatedly misrepresented to the jury critical DNA evidence as proof of defendant's guilt, in contradiction of the People's expert testimony. We conclude defense counsel was ineffective, and, on the record before us, defendant was denied a fair trial as a result. Therefore, the order of the Appellate Division should be reversed.

I.

Defendant Howard Wright was tried and convicted of murder in the second degree. The People's case was circumstantial because there were no eyewitnesses to the crime and no forensic evidence that clearly established defendant's guilt. Other than testimony that placed defendant and others in the victim's company around the time of her death, and defendant's statement that he engaged in consensual sex with the victim, the People had no evidence that linked her to defendant. To meet the People's burden of proof, the prosecutor relied heavily on the results of DNA testing to connect defendant to the murder. However, the DNA analysis was also circumstantial because it did not "match" defendant's DNA to the DNA collected at the crime scene. Instead, the test only indicated that defendant could not be excluded from the pool of male DNA contributors, and the expert testimony provided no statistical comparison to measure the significance of those results.

Notwithstanding the known limitations of this DNA evidence and the indeterminate conclusions about the test results drawn by the People's own experts, the prosecutor in summation misrepresented the DNA analysis, including arguing the evidence established that defendant's DNA was at the crime scene and on a critical piece of evidence linked to the victim's murder. In light of the powerful influence of DNA evidence on juries, the opportunity for juror confusion regarding the limited probative value of the DNA methodology employed in this case, and the qualified nature of the test results, defense counsel's failure to object rendered him ineffective.

To understand the nature of the prosecutor's actions and the lack of any reasonable strategy for leaving the prosecutor's statements unchallenged, we begin our consideration of de-

defendant's appeal with a review of the relevant trial evidence and the prosecutor's closing argument. Our legal analysis then focuses on the details of the summation and defense counsel's unexplained silence.

II.

A. Testimony Connecting Defendant to the Victim

Defendant was tried in 2007 for the murder of the victim, a female drug user, who was found dead on a Rochester street on November 29, 1995. Defendant had been seen in the victim's company, in the hours before her murder, in the vicinity of a building associated with drug use.

According to a witness who knew defendant and had seen the victim "around" on prior occasions, she observed the victim in a car with three men, whom she identified as defendant, Christopher Gifford, and Keith Evans, between 8:00 and 9:00 p.m. on November 28, 1995. She saw the car pull up to a building on North Clinton Avenue and drive away after Evans exited the car. She then saw defendant and Gifford the following morning, between 5:00 and 6:00 a.m., as they exited through the back of the same building. This time she did not see the victim. Shortly after defendant walked out, she saw the victim's car pull out from the back of the building and drive past. Although she testified she did not see who was in the car, she assumed that it was defendant and Gifford because they were the only persons who exited through the back of the building to where she had observed the car was parked.

Evans testified and confirmed that he had been with the victim and defendant around the time of the murder. Evans, a drug dealer at the time, was a regular associate of defendant, and also knew the victim. He testified that, on November 28, he went to a building on Chamberlain Avenue, to sell cocaine. He found the victim with her baby, defendant, Gifford, and two other individuals, identified as brothers Freddy and Christopher Walker, in one of the apartments. He claimed that defendant and Gifford had sold drugs to the victim that day. At some point the victim left in her car and, between 4:00 and 5:00 p.m., returned without the baby. She again left the apartment, this time with Freddy, returning 45 to 60 minutes later. Between 5:00 and 7:30 p.m., the victim drove Evans, defendant, and Gifford to a tavern, where she and Evans spent approximately 15 minutes inside the tavern before she drove to the North Clinton Avenue building and dropped off Evans,

somewhere between 7:30 and 8:00 p.m. She then drove off with defendant and Gifford.

Evans further testified that, over the course of the next several hours, he saw defendant and Gifford together, but without the victim. Evans claimed that between 11:00 and 11:45 p.m. he was outside on the street near the North Clinton Avenue building, on his way to make a telephone call to the police on an unrelated matter, when he saw defendant and Gifford walking by.¹ Evans also testified that he saw the victim's car in the alley next to the building where he had just seen defendant and Gifford.

Around 2:00 a.m., on November 29, he saw defendant and Gifford drive past in the car. Evans next saw defendant and Gifford a few hours later, between 4:00 and 5:00 a.m., when he went inside one of the apartments in the North Clinton Avenue building looking for them believing they had taken his food. He found them sleeping in the apartment, and, after he woke them up, they exited the building and drove away in the victim's car.

Evans testified that he saw defendant a few days after he saw a newspaper reference to the victim. As they walked on the street defendant pointed out the victim's car, which was parked where the police subsequently found it. When Evans asked defendant about the victim, defendant told Evans that he and Gifford engaged in sex with her. Afterwards, defendant and Gifford dropped her off, and then Gifford dropped off defendant. Later Gifford told defendant where he left the victim's car. Evans described the location where the victim was dropped off as where "people that were doing the same thing they were doing." On cross-examination, Evans suggested that she had been left with others who were "strung out on drugs."

B. Discovery and Examination of the Victim's Body and Car

At approximately 9:00 a.m. on November 29, 1995, the victim was found lying in the driveway of a house, clothed but barefoot, with her hands bound by a shoelace behind her back, and with a shoelace tied around her neck as a ligature. A sock was found inside her clothing near her buttocks.

The police found the victim's car on November 30, 1995, near North Clinton Avenue, and discovered a pink sock inside, along with various baby items. The victim's hairs were found in the

1. The fact of the call, but not the time, was confirmed by a police officer who testified that he received a dispatch at 12:40 a.m. and spoke with Evans a few minutes later.

car as well as hair samples from both white and black individuals.

The medical examiner testified that the victim died as a result of asphyxia from ligature strangulation, with the approximate time of death between 11:30 p.m., on November 28, and 3:30 a.m. the day she was discovered. The body had abrasions under the chin and around the neck. The medical examiner also found two dark-colored hairs near the victim's external genitalia, later identified not to be the victim's.

Various physical evidence, including the hand and neck shoelace ligatures, vaginal swabs taken from the victim, a sperm sample taken on her panties, the two hairs, and an additional hair from the victim's mouth, was sent to an independent laboratory for further analysis. The results of the analysis were presented at trial through expert testimony.

C. Forensic and DNA Evidence

The People presented testimony of three forensic experts to discuss the DNA evidence collected during the police investigation. The evidence included samples from the crime scene and the victim, and buccal swabs from the victim's husband, defendant, Evans, Gifford, and Christopher and Fred Walker.

One expert from the Monroe County Public Safety Laboratory explained DNA and DNA profiles, how DNA profiles are developed, and how DNA testing and analysis are used to compare an individual's DNA profile with the DNA profile of evidence obtained at a crime scene. She explained that because less than one percent of human DNA is different, DNA analysis looks at specific regions of DNA to identify where the DNA is different between individuals. In order to make comparisons, the analyst studies the different locations on DNA profiles to determine if the individual is a possible donor to the DNA from the crime scene. If there are differences on the locations, then the individual is excluded from the possible contributors to the DNA.

She testified that in 1995 when she was an Assistant Forensic Chemist for Monroe County, she examined swabs taken from the victim, which contained semen and sperm. Then in 2006, in her position as a Forensic Biologist, she examined ligatures from the victim's hands and neck. The DNA profile from the neck ligature only matched the victim. The DNA from the hand ligature was so low-level that she did not report that data. Instead, she sent the swabs from the ligatures to a

private laboratory for additional testing, specifically Y chromosome or YSTR DNA testing, and mitochondrial DNA testing. She also sent hairs collected from the victim's body, DNA extracts from the vaginal swab and the victim's panties, and the DNA samples from the victim, her husband, Evans, and the Walker brothers.

On cross-examination, the expert testified that the DNA profiles from the hand and neck ligatures were mixtures of at least two contributors, but that the DNA was of such a low level, meaning that there was a small amount of DNA or that it was degraded, that she was unable to report back any comparisons. Given the quality of the DNA, she could not state whether there were more than two contributors. She further explained the term "transference" as the process by which DNA transfers from one object to another, or from one person to an object.

She explained that a "match" results when the profiles are the same at all the locations tested on the DNA, after comparing the DNA crime scene profiles to an individual's DNA profile. In contrast, the term "not excluded" is applied to mixtures of DNA. She clarified that when the result establishes that an individual is "not excluded" this means "the data is of such quality that it is not strong enough to say it matches a particular person, but yet the data is also such that you cannot say that it is not them in that [DNA]."

A second expert, the Assistant Lab Director and DNA Technical Manager for the Monroe County Public Safety Laboratory, testified that in 2002, and again in 2006, she performed a differential DNA extraction on the vaginal swab and semen stain from the victim's panties. Differential extraction is a method by which DNA is drawn from the biological material, and DNA from sperm cells is separated from the DNA in non-sperm cells. According to her test results, the sperm fraction on the vaginal swab contained a DNA mixture of at least two contributors, of which Gifford could not be excluded as a contributor, but the victim's husband, Evans, and the Walker brothers were excluded.

The test also indicated that the semen stain from the panties contained a DNA mixture of at least four contributors, of which the victim, her husband, and Gifford could not be excluded, but Evans and the Walker brothers were excluded. She also testified that her examination of certain vaginal slides from the

victim's autopsy indicated recent sexual contact. The expert provided no testimony regarding defendant because she did not analyze his DNA, but rather sent his sample to the independent laboratory for further DNA testing.

The third forensic expert was from the independent laboratory that conducted the YSTR DNA tests on the swabs and physical material sent from the Monroe County laboratory. She described YSTR DNA testing, explaining that it is used to isolate male DNA from male/female DNA mixtures. The expert testified that she compared the male DNA samples provided by Monroe County with the samples from the victim and her husband, defendant, Gifford, Evans, and the Walker brothers. The purpose of these tests was to show whether any of the men's DNA characteristics matched characteristics of the crime scene DNA. If there was a match, she could not exclude the male from the pool of contributors with the DNA characteristics identified through the YSTR DNA test. She explained that YSTR DNA testing is distinct from autosomal DNA testing, which permits a statistical determination that an individual's DNA matches the crime scene DNA, rather than a finding that someone cannot be excluded from the pool of possible contributors, who have some of the same DNA characteristics found on the victim DNA samples.

The expert testified that based on the results of the YSTR DNA analysis she could not exclude defendant and the victim's husband as contributors to the hand ligature sample; that the analysis of the vaginal swab could not exclude defendant or Gifford as contributors; and that the victim's husband, Gifford, and defendant could not be excluded as contributors to the sample taken from the panties. She also testified that the mitochondrial DNA testing of a black hair sample, recovered from the victim's genitalia, matched the mitochondrial sequence of the victim and Gifford.

On cross-examination, the expert admitted that there was no statistical calculation drawn from the YSTR DNA testing, as can be done with autosomal DNA analysis, the more commonly familiar DNA testing.² She explained there is simply no single profile in YSTR DNA testing, as there is in autosomal DNA analysis. Instead, YSTR DNA analyzes a mixture of more than

2. In autosomal DNA testing, a profile derived from nuclear DNA is compared to another nuclear DNA profile to produce "a statistical expression of the profile's rarity in certain human populations" (Justice Ming W. Chin et al., *Forensic DNA Evidence: Science and the Law*, ch 5, Introduction [2015]).

one DNA profile. Asked specifically if she could quantify how many men other than the defendant, in the Rochester area or the trial courtroom, had the same combination of DNA characteristics indicated on the hand ligature, the expert said she could not. She testified that she could only provide information based on persons for whom she had samples. Again, asked specifically by defense counsel, “can you tell us with a reasonable degree of scientific certainty that [defendant’s] DNA is present on this hand ligature sample that you tested,” she responded “No, I cannot. All I can say is I can’t exclude him.”

D. Closing Arguments

During summation both the defense and the prosecution presented their respective views of the witnesses’ testimony, and what it revealed about the timeline leading up to, and following, the victim’s death. For her part, the prosecutor relied heavily on the DNA evidence, and argued that the DNA established that defendant raped and murdered the victim. She told the jury that the case could be decided based on “common sense and science.” She said that defendant and Gifford “left their DNA all over the crime” then turned her focus to what she argued was the one constant of the DNA analysis: that defendant was the only matching contributor across several DNA samples.

In the course of summation, she described the DNA evidence as narrowing the number of contributors. She stated that there were “two contributors and two contributors only, and the sperm fraction of the vaginal swab matched the YSTR/DNA profile of the Defendant and . . . Gifford.” She also stated that there were “[t]wo contributors to the sperm found in [the victim’s] vagina after she was tied up, the Defendant and his accomplice, . . . Gifford.” She also stated that the DNA is a mixture that cannot provide a statistical calculation, and she stated repeatedly that defendant “could not be excluded as a contributor to the mixture.”

In addition the prosecutor stated,

“The ligature on the hands, every single number that they were able to determine, and they were able to detect partial profile matches, is that of Howard Wright and [the victim’s husband]. . . .

“[W]e have no reasonable explanation for Howard Wright’s DNA on that ligature that bound her hands. . . .

“We have [defendant’s] sperm in [the victim’s] vagina. We have [defendant’s] sperm on [the victim’s] underwear, and we have [defendant’s] DNA profile included on the ligature that bound her hands together, the same identical ligature that is around her neck and strangled her to death.”

She argued that of the YSTR DNA profiles tested, defendant was the singular match to one of the most incriminating pieces of evidence, the ligature. “[T]he only one that matches of the people that she was with that night, the only one who matches the DNA profile on the ligature is [defendant].”

E. Defendant’s Conviction and Appeal

The jury found defendant guilty of second-degree intentional murder (Penal Law § 125.25 [1]) and acquitted him of felony murder (Penal Law § 125.25 [3]) and rape (Penal Law § 130.35). The court sentenced defendant to a term of 25 years to life.

In a 3-2 decision, the Appellate Division affirmed, with the majority rejecting defendant’s claims that the evidence was legally insufficient and against the weight of the evidence. The Court also concluded that defendant was not denied meaningful representation, and that his prosecutorial misconduct claim was unpreserved (115 AD3d 1257 [2014]).

The two dissenters would have exercised the Court’s interest-of-justice jurisdiction to review defendant’s claim of prosecutorial misconduct committed during summation, and would have reversed on that ground. They further would have reversed on ineffective assistance of counsel grounds because

“counsel’s failure to object to the prosecutor’s baseless transformation of evidence that defendant was in a group or class of people that could have contributed to the subject DNA samples to evidence that defendant was the sole possible contributor to those samples was so egregious and prejudicial that defendant did not receive a fair trial” (*id.* at 1262).

A Justice of the Appellate Division granted leave to appeal (22 NY3d 1204 [2014]). We now reverse.

III.

Defendant claims that his defense counsel was ineffective because of various alleged errors committed by his attorney

during the course of the trial.³ We agree with defendant only as to some of the errors alleged. On this record, we conclude that defense counsel's serial failure to object to the prosecution's inaccurate and misleading descriptions of the DNA evidence during the People's closing constitutes a pattern of inexcusable mistakes that cannot be attributed to a failed trial strategy, and which denied defendant a fair trial.

Every defendant is constitutionally entitled to effective assistance of counsel, meaning under our state standards that "[s]o long as the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation, the constitutional requirement will have been met" (*People v Baldi*, 54 NY2d 137, 147 [1981], citing *People v Droz*, 39 NY2d 457 [1976]). Where a defendant claims that counsel's performance is deficient the defendant must "'demonstrate the absence of strategic or other legitimate explanations' for counsel's alleged shortcomings" (*People v Benevento*, 91 NY2d 708, 712 [1998], citing *People v Rivera*, 71 NY2d 705, 709 [1988], and comparing *People v Flores*, 84 NY2d 184 [1994] with *People v Bennett*, 29 NY2d 462, 465 [1972]; *People v Droz*, 39 NY2d at 463; *People v Gonzalez*, 47 NY2d 606, 611 [1979]).

The standard is challenging, but not insurmountable. Even where counsel's errors "individually may not constitute ineffective assistance, 'the cumulative effect of [defense] counsel's actions [can] deprive[] defendant of meaningful representation'" (*People v Oathout*, 21 NY3d 127, 132 [2013], citing *People v Arnold*, 85 AD3d 1330, 1334 [3d Dept 2011]). The task of a reviewing court is to "[c]onsider[] the seriousness of the errors in their totality" (*id.* at 132). Moreover, as we have recognized, although "the inquiry focuses on the quality of the representation provided to the accused, the claim of ineffectiveness is ultimately concerned with the fairness of the process as a whole rather than its particular impact on the outcome of the case" (*Benevento*, 91 NY2d at 714).

An ineffective assistance claim based on defense counsel's failure to challenge a prosecutor's summation presents a unique set of considerations given the nature of closing statements generally. However, prosecutorial misconduct is not im-

3. Defendant claims specifically that trial counsel made a prejudicial statement during his opening statement, did not present an expert witness to testify about Y chromosome DNA testing, and failed to object to prejudicial statements during the People's opening statement and summation.

mune to attack by defense counsel merely because it occurs during the course of summation. As the Court has recognized,

“although counsel is to be afforded ‘the widest latitude by way of comment, denunciation or appeal in advocating [counsel’s] cause’ (*Williams[v Brooklyn El. R.R. Co.*, 126 NY 96, 103 (1891)) summation is not an unbridled debate in which the restraints imposed at trial are cast aside so that counsel may employ all the rhetorical devices at his command. There are certain well-defined limits” (*People v Ashwal*, 39 NY2d 105, 109 [1976]).

Summation must remain within

“the four corners of the evidence and avoid irrelevant comments which have no bearing on any legitimate issue in the case. Thus the District Attorney may not refer to matters not in evidence or call upon the jury to draw conclusions which are not fairly inferable from the evidence” (*id.* at 109-110 [citations and internal quotation marks omitted]).

Defense counsel’s inaction in the face of prosecutorial misconduct made during closing argument is subject to the same “meaningful representation” standard applicable to other trial errors. Under that standard, where defense counsel fails to object when faced with a pattern of prosecutorial misstatements far afield from acceptable argument, such as statements that misrepresent evidence central to the determination of guilt, and where there is no apparent strategic explanation for defense counsel’s silence, defendant has been deprived of meaningful representation and the constitutional right to a fair trial.

IV.

Here, defense counsel failed to object when the prosecutor misrepresented the scientific import of the DNA evidence, suggested that the evidence directly linked defendant to the murder although it did not, and made statements that contradicted the expert testimony about the limitations of YSTR DNA analysis. Given the significance of the DNA evidence, defense counsel’s silence is inexplicable, and under the circumstances of this case, his inaction was error.

During summation the prosecutor returned to the theme she had promoted during her opening, that this case was about “common sense and science.” While some amount of hyperbole

is not unusual, she exceeded “the four corners of the evidence” when she stated that defendant and his accomplice “left their DNA all over the crime.” In fact, the YSTR DNA analysis in this case did not result in a “match” between defendant’s DNA and the DNA found at the scene. According to the People’s own expert, the analysis only revealed that defendant “could not be excluded” from the pool of possible contributors to the DNA mixture of samples collected.⁴

Although the prosecutor acknowledged that the DNA was a mixture and that the hand ligature comparison was based on “partial profile matches” of YSTR DNA, the prosecutor aggressively argued the view that defendant’s DNA conclusively matched that found at the crime scene and on the victim. However, the expert testified on direct and cross-examination to just the opposite, and described the significant limitations of the YSTR DNA testing conducted in this case. Significantly, the expert testified that she could not state positively the total number of DNA contributors to the hand ligature sample, no wide statistical comparisons were made to identify the potential number of men who would be included in the pool of possible contributors, and that the hand ligature sample contained limited information possibly due to degradation of the DNA.

Nevertheless, the prosecutor’s comments negated the main shortcoming of YSTR DNA analysis—that it can only reveal that an individual is not excluded from the pool of persons with the same DNA profile as that found at the scene. She argued that of the people who were with the victim around the time of her murder, only defendant matched the hand ligature DNA profile. However, this was in direct contravention of the expert testimony on cross-examination:

“[Defense counsel:] Now, can you tell us with a reasonable degree of scientific certainty that [defend-

4. The dissent contends that “[i]t is irrelevant that the prosecutor referred to defendant’s DNA being inside the victim or on her underwear” (dissenting op at 790) because defendant conceded that he engaged in intercourse with the victim and therefore defense counsel had no basis to object. However, the prosecutor relied on the DNA evidence in support of her theory of the case that the sex was not consensual and that DNA from the panties and vaginal swab matched the DNA on the ligatures, meaning the victim was murdered by the rapists. Thus, defense counsel had good reason to object when the prosecutor misrepresented that the DNA evidence of sexual contact connected defendant to the murder.

ant's] DNA is present on this hand ligature sample that you tested?

"[Answer:] No, I cannot. All I can say is I can't exclude him."

The prosecutor's attempt to establish defendant as the sole contributor also contradicted the expert's testimony on cross-examination that it was possible that three individuals contributed to the DNA mixture on the hand ligature. It also minimized and ignored the expert's testimony that the lab was able to obtain reportable results on only four of the 12 areas of the Y chromosome tested, which constituted a "partial profile," meaning the lab obtained a limited amount of information, and that it was possible that, before testing, the sample had degraded over time. The prosecutor compounded these misrepresentations when she further asserted—again in contravention of the expert testimony—that there was "no reasonable explanation for [defendant's] DNA on that ligature."⁵

While the prosecutor was entitled to fair comment on the DNA evidence available in this case, she was not entitled to present the results in a manner that was contrary to the evidence and the science. By interspersing references to DNA on the ligature with comments about defendant's DNA profile, the prosecutor mischaracterized the probativeness of the DNA evidence.

As the prosecutor acknowledged during her summation, and as the People concede on this appeal, the case against the defendant is circumstantial. Apart from the forensic experts' testimony, the remaining trial evidence established only that defendant was one of at least two people seen with the victim before her death, and then in her car after the approximate time of the murder. Defendant's statement that he engaged in sex with the victim was not proof of his role in her death, and the jury in fact acquitted the defendant of rape, apparently crediting the defense that the sex was consensual, and rejecting part of the prosecution's version of the events. Thus, only the DNA evidence was left to connect defendant to the murder. Defense counsel, therefore, could not allow these misrepresentations to stand unchallenged.

5. The prosecutor's own statements establish that she did not consider the DNA as merely "one piece of the puzzle" as the dissent suggests (dissenting op at 791), but rather as the critical piece of evidence that could be used to persuade the jury of defendant's guilt.

Moreover, failing to object to the prosecutor's misstatements cannot be attributed to reasonable trial tactics because the summation undermined what, until that point, had been a rather effective defense strategy of identifying the weaknesses of the DNA evidence. He secured an admission from the expert on cross-examination that she could not confirm defendant's DNA was on the hand ligature, and he solicited testimony that YSTR DNA analysis has several limitations, and that the DNA might have been degraded. Defense counsel could not have reasonably chosen a strategy of allowing the prosecution to misrepresent the strength of the DNA evidence and equate the results of the testing with a finding that defendant was the sole match for the hand ligature DNA sample.

Indeed, the potential danger posed to defendant when DNA evidence is presented as dispositive of guilt is by now obvious. As this Court previously recognized, "forensic DNA testing has become an accurate and reliable means of analyzing physical evidence collected at crime scenes and has played an increasingly important role in conclusively connecting individuals to crimes" (*People v Pitts*, 4 NY3d 303, 309 [2005]). Courts and commentators have remarked on the unique status of DNA evidence within the criminal justice system and in the minds of jurors. "Modern DNA testing can provide powerful new evidence unlike anything known before" (*District Attorney's Office for Third Judicial Dist. v Osborne*, 557 US 52, 62 [2009]). The persuasiveness of DNA evidence is so great that as one commentator noted, "[w]hen DNA evidence is introduced against an accused at trial, the prosecutor's case can take on an aura of invincibility" (Robert Aronson & Jacqueline McMurtrie, *The Use and Misuse of High-Tech Evidence By Prosecutors: Ethical and Evidentiary Issues*, 76 Fordham L Rev 1453, 1469 [2007]). Similarly, in a three-case study, the researchers noted that "a mystical aura of definitiveness often surrounds the value of DNA evidence to exonerate the innocent and convict the guilty" (Joel D. Lieberman et al., *Gold Versus Platinum: Do Jurors Recognize the Superiority and Limitations of DNA Evidence Compared to Other Types of Forensic Evidence?*, 14 Psychol Pub Pol'y & L 27, 27 [2008]). Furthermore, this same aura "that surrounds DNA profiling has led it to become 'perhaps the most powerful and, thus the most troubling forensic technology to ever be used in a court of law'" (*id.* at 33 [citation omitted]). The studies suggested that "[g]iven the strength of DNA evidence in the face of strong cross-examination (and

in the absence of any additional accompanying direct evidence), it appears that jurors may overvalue this high quality, but not flawless, evidence” (*id.* at 57). The researchers concluded that “[t]he strong and largely invariant impact of DNA evidence across experimental conditions suggests that this type of scientific evidence may be so persuasive that its mere introduction in a criminal case is sufficient to seriously impede defense challenges” (*id.* at 58).

Our dissenting colleague argues that defense counsel was effective and that we have wrongly concluded that a single failure to object constitutes ineffective assistance (dissenting op at 785, 792-793). That is incorrect and oversimplifies our analysis. We do not base our decision on defense counsel’s failure to object to an isolated, insignificant, albeit erroneous, statement by the prosecutor. As our discussion makes clear, the prosecution’s summation contains numerous misrepresentations of the evidence. The apparent intent was to persuade the jury that the DNA established that defendant had committed the rape and murder, when the evidence did not, and could not, dispositively establish his guilt. The record also makes clear that defense counsel failed to object throughout the summation, thus presenting multiple failures, different in kind from that identified in *People v Turner* (5 NY3d 476 [2005]). Given the prosecutorial misrepresentations that define the summation in this case, we disagree with our dissenting colleague that counsel’s inactions are the equivalent of an excusable “single error.”

Furthermore, the appeal before us does not involve a closing argument in which the prosecutor adhered to the trial evidence and employed a certain rhetorical flourish, or merely asked the jury to draw reasonable inferences from the evidence presented at trial. Nor are we presented with the more common and understandable situation in which defense counsel was reluctant to interrupt and bring undue attention to one slightly off comment by the prosecution, and where the summation had little or no impact on the defense. Instead, defense counsel here failed to object when the prosecution’s statements exceeded the “four corners of the evidence” (*Ashwal*, 39 NY2d at 109), and affirmatively misrepresented the most critical evidence against the defendant.⁶ Under these circumstances, defendant was deprived of a fair trial.

6. Our dissenting colleague’s discussion of *People v Fisher* (18 NY3d 964 [2012]) reveals that his disagreement with us is not so much about whether

(n. cont’d)

Defendant's remaining contention that the evidence was legally insufficient is without merit. Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

PIGOTT, J. (dissenting). The majority holds that defendant was deprived of the effective assistance of counsel by looking at a single error in a vacuum, namely, alleged prosecutorial misconduct during summation to which defense counsel failed to object. However, we have long held that “[s]o long as the evidence, the law, and the circumstances of a particular case, *viewed in totality and as of the time of the representation*, reveal that the attorney provided meaningful representation, the constitutional requirement will have been met” (*People v Rivera*, 71 NY2d 705, 708 [1988] [emphasis supplied], quoting *People v Baldi*, 54 NY2d 137, 146-147 [1981]). I write separately because I believe that defense counsel's representation of defendant should be placed in its proper context and, viewed in its totality, defense counsel's representation in this instance was light years from what is deemed ineffective assistance under our jurisprudence.

I.

In this circumstantial case, defendant was convicted after a jury trial of one count of murder in the second degree (intentional murder), but was acquitted of murder in the second degree (felony murder) and rape in the first degree. The underlying facts, as proved at trial, were that the victim had last been seen in her car with defendant and another man, Christopher Gifford, in the evening hours of November 28, 1995. The next morning, she was found dead with a black ligature tied around her hands and neck. The defense conceded that defendant and the victim had engaged in sexual intercourse before she died, and that both defendant and Gifford had been in the victim's car that morning. The only issue at trial therefore was the identity of the person(s) who allegedly raped and murdered the victim.

In addressing that issue, the People presented at trial test results from, among other things, swabs taken from both the

defense counsel was ineffective for failing to object based on some comparison to *Fisher*, but instead whether the prosecutor actually misrepresented the evidence, and thus committed prosecutorial misconduct under any standard (dissenting op at 791-792). Unlike the dissent, we believe the prosecutor exceeded the bounds of acceptable commentary. Once she crossed that line, defense counsel should have acted.

hand and neck ligatures and sperm samples taken from the victim's underwear and vagina. Thus, we must assess defense counsel's competence in attacking the test results that tended to implicate defendant, i.e., the samples taken from the hand ligature.

To prove their case, the People relied on a type of DNA testing called Y-chromosome analysis, or "YSTR testing." According to the People's expert, Meghan Clement, Technical Director of the Forensic Identity Testing Division at LabCorp, YSTR testing involves the analysis of male DNA when DNA samples consist of mixtures of both male and female DNA. This form of testing ignores female DNA and focuses exclusively on the male DNA. It allows the technician to distinguish how many males have contributed to a sample and whether the sample can be attributed to a specific male. When asked by the People to explain the process of YSTR testing, Clement testified as follows:

"The first thing that occurs is we add chemicals to the sample to break open the cell to allow the DNA to be released. We will then quantitate to determine approximately how much Y chromosome DNA we are able to recover from a portion of sample that we have used for testing. We then genetically photocopy the specific areas on the Y chromosome where there are differences between males and run it through a detection system to visualize the characteristics present in a particular sample. We use the same procedure for the unknown evidentiary sample as we do with a known reference sample and we simply compare the fields of the two samples to determine if there are similarities or differences."

LabCorp created a chart from the samples subjected to the YSTR testing. The chart contained, among other things, a column depicting the reference profile that had been obtained from the oral swab sample taken from defendant. The chart also contained results that had been obtained from the swab samples taken from the hand ligature and the sperm samples taken from the victim's underwear and vagina. Clement explained that, with regard to the hand ligature, she compared defendant's and the victim's husband's reference *profiles* to the characteristics obtained from the ligature sample and determined that both were possible contributors to the mixture

sample, i.e., she could not exclude them as contributors. Clement explained that “[w]hat that means is that the characteristics seen within the mixture or characteristics possessed by that particular individual, and because characteristics that they possess are found within that mixture, we cannot exclude them as being possible contributors.”

Significantly, the proof at trial established that Clement excluded Gifford as a possible contributor to the hand ligature sample. With respect to the vaginal swab sample, however, Clement was unable to exclude defendant or Gifford. In addition, neither defendant nor Gifford were excluded as contributors to the sperm sample taken from the underwear.

Defense counsel ably attacked Clement’s testimony, getting her to admit that a number of men may possess similar characteristics to defendant and that she had obtained reportable results for only four of the 12 areas tested on the hand ligature. Certain of those areas, she conceded, had shown evidence of degradation, i.e., that the sample had “broken down,” so that she was able to obtain only what is known as a “partial profile.” During cross-examination, Clement admitted that she obtained only “a limited amount of information” from the hand ligature samples; she also acknowledged that it was “possible” that there could have been more than two contributors to the hand ligature.

Significantly, defense counsel asked Clement if she had conducted any statistical calculations with regard to the YSTR testing, and she responded in the negative. She explained that she engaged in an “accounting method” for that type of testing, but acknowledged that one could not “calculate statistics like we do with traditional, with nuclear or autosomal DNA testing” with YSTR. She further conceded that she could not give the jury a “statistical significance for the profile present in [the hand] ligature.” Perhaps the most damaging testimony that defense counsel elicited from Clement was that she could not state with a reasonable degree of scientific certainty that defendant’s DNA was on the hand ligature sample that she had tested.

Defense counsel was simply unrelenting at trial attacking not only YSTR analysis as a science, but also what the results ultimately showed. His attacks did not cease at the conclusion of the People’s case-in-chief, either. During his summation, he hammered away at Clement’s concessions that she could not

state with a reasonable degree of scientific certainty that the DNA on the hand ligature was defendant's and that she could not provide any statistical analysis concerning the YSTR results.

II.

The critical error that defense counsel made, according to the majority and defendant, is that he did not object to certain statements that the prosecutor made during summation. To be sure, the prosecutor stated that defendant and Gifford "left their DNA all over the crime." Viewing that statement in a vacuum, as the majority does, one could not draw any conclusion other than that defense counsel should have been on his feet, pounding the table and objecting to that statement. Viewed in context, however, that statement does little more than serve as an introduction to the prosecutor's discussion of the DNA evidence. What was contained in her discussion? Statements that one "cannot put a statistical calculation on" YSTR DNA, and that the sperm fraction of the vaginal swab "matched the YSTR/DNA *profile*" of defendant and Gifford. The majority takes issue with the prosecutor's use of the word "matched," but when she utilized that word, it was to argue that the sample "matched" defendant's YSTR DNA *profile*.

The majority claims that "the prosecutor aggressively argued the view that defendant's DNA conclusively matched that found at the crime scene and on the victim" (majority op at 781), but that is simply not the case. The People did not misrepresent the evidence as the majority claims, but, rather, repeatedly argued that defendant's YSTR DNA *profile* matched the DNA taken from the ligature:

"Probably the most or the piece of evidence that we, [defense counsel] and I, disagree on the most would be the DNA taken from the ligature that was binding [the victim's] hands behind her back. . . . That ligature was wrapped and tied tight around her wrist. And what do we know about that? *Were we able to get a complete profile? No.* But at four locations there was able to be detected the presence of a Y chromosome, and this is something that you can go back and study, too. As you've heard during the testimony of LabCorp, *each number represents an allele or a number assigned to that individual's DNA at that particular Y location.* The

ligature on the hands, every single number that they were able to determine, and they were able to detect *partial profile matches*, is that of [defendant] and [the victim's husband]. She told you, because this is a *partial profile and because the DNA on the ligature is a mixture, they are not able to give you a statistical calculation*, but she can tell you, according to her expertise, that [defendant] could not be excluded as a contributor to the mixture on that ligature.

“Now, I want you also to look at the chart. Of the people that were with her that night, we have Christopher Gifford's *YSTR profile*, Keith Milburn Evans' *YSTR profile*, we have the Walker brothers' *profile*. Remember, Christopher and Frederick Walker would have the same *YSTR profile* because they are brothers, and [defendant], we have got the *YSTR profile*, even throwing [the victim's husband] in, they all have different *profiles*, all have different alleles at the locations. The only one that matches of the people that she was with that night, the only one who *matches the DNA profile* on the ligature is [defendant]. Is that a coincidence? I don't think it is. Could it be transference? I don't think it is. Could there be a reasonable explanation? I don't think there is, and I don't think I am asking you to take a leap of faith or to assume facts upon facts upon facts. *You need to look at the ligature DNA profile in light of all of the other evidence that you have*. Could there be a reasonable explanation for one thing? Sure. Could there be a reasonable explanation for two things? Sure. But what we have here, we have no reasonable explanation for [defendant's] DNA on that ligature that bound her hands.

“In light of all of the other evidence, we have [defendant] and his codefendant with her hours before her body was discovered. [The victim's husband] wasn't there. We had [defendant] and Christopher Gifford together alone hours later. We have them alone in her car before her body is discovered. We have [defendant] showing [the victim's] car to Keith Evans. We have [defendant's] sperm in [the vic-

tim's] vagina. We have [defendant's] sperm on [the victim's] underwear, and we have [*defendant's*] DNA profile included on the ligature that bound her hands together, the same identical ligature that is around her neck and strangled her to death. *When you look at all of that*, there is no reasonable explanation other than the fact that he and Christopher Gifford took her in that car, tied her up, raped her, strangled her, dumped her on Skuse Street, and got on with their own business.

"This is a case of common sense and science. [The victim] didn't deserve to die that way. She was a drug addict. She got herself into a bad situation, but it doesn't escape the facts. The Defendant's DNA is inside her, on her underwear, on the ligature that binds her hands. He is seen with her while she is alive before her body is discovered. He is seen with Christopher Gifford afterwards driving around in her car, and he points out her car to another friend, bragging about it being parked on Burbank Street. *When you put it all together*, members of the jury, it is common sense and there is only one conclusion that you can reach, and that is guilty. Thank you" (emphasis supplied).

It is irrelevant that the prosecutor referred to defendant's DNA being inside the victim or on her underwear; the defense conceded during opening statements that defendant had been with the victim and had engaged in intercourse with her, so there was no point in defense counsel objecting to that part of the prosecutor's statement. Moreover, defense counsel, proving his effectiveness, actually got defendant acquitted of the first-degree rape and felony murder counts. The jury plainly rejected the People's theory that defendant raped the victim. When the rape charge fell, so too did the felony murder charge which was premised on the rape charge.

The People carefully explained to the jury that they were not able to obtain a complete profile or a statistical calculation. Essentially, the People's summation acknowledges that they believed that their YSTR DNA evidence was relatively weak, which explains why the prosecutor told the jury that "[t]his is a case of common sense and science." The prosecutor did not represent the YSTR DNA evidence as a "slam dunk," but, rather, asked the jury to "put it all together" and "*to look at the*

ligature DNA profile in light of all of the other evidence that you have” (emphasis supplied). Indeed, the People had more than just the YSTR DNA results tying defendant to the crime. They also had the testimony of two eyewitnesses who saw defendant and his accomplice with the victim hours before she died, and testimony from one of those witnesses that defendant had taken him to where the victim’s car was parked just one day after the victim was found dead. The YSTR DNA profile evidence was just one piece of the puzzle. The prosecutor knew that. Defense counsel knew that. And the jury knew that, too, based on both the proof presented at trial and defense counsel’s effective cross-examination of Clement.

This is not a case where the People misrepresented the DNA evidence as being more important and powerful than it actually was. The People did not pursue a theory that this type of DNA evidence statistically identified defendant as *the* perpetrator. Indeed, the prosecutor was careful to explain the limitations of the YSTR DNA evidence that was presented. Essentially, what the majority does is take two throwaway lines by the prosecutor, one made at the beginning of the discussion of the DNA evidence and one at the end, and ignores the prosecutor’s thorough explanation of the evidence that is sandwiched in between the two. There is a reason why defense counsel did not object: when the two damaging statements are viewed in the context of the prosecutor’s overall summation, there was simply no need for him to register an objection. His silence in that regard did not somehow “negate” his competent representation up until that point.

The alleged ineffectiveness in this case is significantly weaker than counsel’s ineffectiveness in *People v Fisher* (18 NY3d 964 [2012]). In that case, which involved child molestation allegations against the defendant, “the prosecutor improperly encouraged inferences of guilt based on facts not in evidence” by arguing during summation that the two alleged child victims had “‘said the exact same thing over and over and over again’” to police, social workers and others when there was no evidence to that effect, thereby bolstering their testimony (*id.* at 966). The prosecutor also asked the jury to infer that the children’s acting out at school supported the abuse allegations (*see id.*). Further, the prosecutor minimized her influence over the benefit that was to be bestowed upon the jailhouse snitch who testified that the defendant had made incriminating statements while incarcerated (*see id.* at 967).

And, during summation, the prosecutor pleaded to the jury that “‘[t]he voice of a child is evidence, the testimony of two children is evidence. The day that the voice of a child is not evidence is the day that those doors [the doors to the courtroom] should be locked forever’” (*id.*). Defense counsel did not object to any of these improprieties, and we held that his failure to do so deprived the defendant of his right to the effective assistance of counsel (*see id.*).

Unlike the situation in *Fisher*, where errors occurred not just during the People’s case-in-chief but also during summation, the majority’s real problem with defense counsel’s representation in this case is his failure to object to the prosecutor’s statements during *summation*. But, as evidenced from the overall context of that summation, there was no misrepresentation of the DNA evidence at all. To claim otherwise is a disservice to defense counsel, who ably cross-examined Clement, obtained damaging concessions from her, and persuaded the jury to acquit defendant on two of the three counts in the indictment. A cursory review of the prosecutor’s summation statements does not paint a picture of a rogue prosecutor attempting to mislead the jury by misrepresenting the evidence presented, nor does it paint a picture of a defense counsel sitting idly by while the prosecutor spins a deceitful web.

The majority concedes that, up until the prosecutor’s summation, defense counsel had undertaken “a rather effective defense strategy of identifying the weaknesses of the DNA evidence” (majority op at 783). By this, what it really means is that this is one of those “rare” cases where “a single failing in an otherwise competent performance is so ‘egregious and prejudicial’ as to deprive [this] defendant of his constitutional right” (*People v Turner*, 5 NY3d 476, 480 [2005], quoting *People v Caban*, 5 NY3d 143, 152 [2005]; *Murray v Carrier*, 477 US 478, 496 [1986]).

The majority claims that defense counsel’s failure to object to the prosecutor’s alleged objectionable statements evidenced “multiple failures, different in kind from that identified in . . . *Turner*” (majority op at 784), but simply calling something “multiple failures” does not make it so. The one mistake defense counsel allegedly made, and the one mistake cited by the majority as a basis for its reversal, is that defense counsel failed to object to the prosecutor’s alleged mischaracterization of the evidence. Indeed, even the Appellate Division dissenters deemed defense counsel’s alleged failure to object to be a “single

error” that “was so egregious and prejudicial that defendant did not receive a fair trial” (115 AD3d 1257, 1262 [4th Dept 2014]). If the majority wishes to extend *Turner* to an alleged single mistake made by counsel during summation, it should expressly do so rather than utilizing phrases like “serial failure to object” (majority op at 779) and “multiple failures” (majority op at 784) in order to justify the result it reaches in this appeal.

Viewing defense counsel’s representation in its totality, *as we must*, it is evident that defendant was afforded his constitutional right to effective assistance of counsel, and I would therefore affirm the order of the Appellate Division.

Chief Judge LIPPMAN and Judges READ, ABDUS-SALAAM and STEIN concur; Judge PIGOTT dissents in an opinion; Judge FAHEY taking no part.

Order reversed and a new trial ordered.

[37 NE3d 1144, 16 NYS3d 502]

In the Matter of FRANCES J. ANGLETTI, Respondent, v MARCUS MORREALE, Appellant, and LORA ALLEN et al., as Commissioners Constituting Niagara County Board of Elections, Respondents.

Argued August 25, 2015; decided August 26, 2015

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered August 19, 2015. The Appellate Division, with two Justices dissenting, affirmed an order of the Supreme Court, Niagara County (Frank Caruso, J.), entered in a proceeding pursuant to Election Law article 16, which had (1) granted the petition to strike respondent Marcus Morreale's name from the official ballot for the 2015 primary and general elections as a Democratic Party candidate for the office of Niagara County Legislator, Eighth District; and (2) directed the Niagara County Board of Elections to strike respondent's name from the ballot for the 2015 primary and general elections.

Matter of Angletti v Morreale, 131 AD3d 808, affirmed.

HEADNOTE

Elections — Judicial Proceedings — Timeliness — “Nail and Mail” Service — Mailing on Last Day of Statutory Limitations Period

Petitioner's proceeding seeking to invalidate a designating petition naming respondent as a Democratic Party candidate for the office of Niagara County Legislator and to enjoin the Niagara County Board of Elections from placing respondent's name on the ballot was commenced in a timely manner using the “nail and mail” service method set forth in the order to show cause, notwithstanding that the mailing was made on the last day to commence the proceeding. Under Election Law § 16-116, a petitioner is required to provide notice as the court shall direct. The requirement calls for delivery of the instrument of notice not later than on the last day on which the proceeding may be commenced. Here, Supreme Court signed an order to show cause which authorized petitioner to affix the papers to the door of respondent's residence and send them via express mail on or before a date that was the last day to commence the proceeding under Election Law § 16-102 (2). Petitioner complied with the terms of the order to show cause by nailing the papers to the door of respondent's residence on the day before the last day of the commencement period and mailing the papers by express mail on the last day. While the mailing would inevitably be delivered outside of the statutory period, the proceeding was timely commenced where the instrument of notice was delivered by another prescribed method within the statutory period.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Elections §§ 233, 402; AM JUR 2d, Process § 212.
CARMODY-WAIT 2d, Commencement of Actions; Summons and Service of Process § 24:110; CARMODY-WAIT 2d, Proceedings Under Election Laws §§ 137:12–137:14, 137:32, 137:34.
McKINNEY'S, Election Law §§ 16-102 (2); 16-116.
NY JUR 2d, Elections §§ 806–808, 811, 832, 853–855.
SIEGEL, NY PRAC § 74.

ANNOTATION REFERENCE

See ALR Index under Elections and Voting; Process and Service of Process and Papers.

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POINTS OF COUNSEL

Jerome D. Schad, Williamsville, and *Law Office of Joseph F. Townsend*, Lockport (*Joseph F. Townsend* of counsel), for appellant. I. Appellant Marcus Morreale was not properly served within the Election Law statute of limitations that expired on July 23, 2015 where the nailing occurred on July 22, 2015 and the mailing occurred on July 23, 2015. (*Matter of Wilson v Garfinkle*, 5 AD3d 409; *Matter of Eckart v Edelstein*, 185 AD2d 955; *Matter of Graziano v Walsh*, 189 Misc 2d 680; *Matter of Buhlmann v LeFever*, 83 AD2d 895, 54 NY2d 775; *Matter of Kaplan v Bucha*, 207 AD2d 509, 84 NY2d 821; *Matter of Wilson v Bowman*, 121 AD3d 1402; *Matter of Marcoccia v Garfinkle*, 307 AD2d 1010, 100 NY2d 509; *Matter of Elston v Mahoney*, 122 AD2d 969, 68 NY2d 765; *Matter of O'Connor v Power*, 30 AD2d 926, 22 NY2d 889; *Matter of King v Cohen*, 293 NY 435.) II. The special proceeding was not properly commenced where the verification for the petition was never filed in the Niagara County Clerk's Office. (*Matter of Goodman v Hayduk*, 45 NY2d 804.) III. The Election Law does not prohibit a person who has declined a designating petition from being selected as a candidate by the Committee to Fill Vacancies. (*Matter of Nesler v Cohen*, 242 App Div 726; *Matter of Garfinkel v Power*,

208 Misc 719, 286 App Div 957, 309 NY 779; *Matter of Rosenbaum v Power*, 54 Misc 2d 9; *Matter of Bockman v Sachs*, 59 AD2d 516.)

Sinnreich, Kosakoff & Messina, LLP, Central Islip (*John Ciampoli* of counsel), and *The Law Office of Henry F. Wojtaszek*, Niagara Falls, for Frances J. Angletti, respondent. Service by “nail and mail” completed within the statutory time frame is effective and timely. (*Matter of Contessa v McCarthy*, 40 NY2d 890; *Matter of O’Connor v Power*, 30 AD2d 926, 22 NY2d 889; *Matter of Marcoccia v Garfinkle*, 307 AD2d 1010; *Matter of Wilson v Bowman*, 121 AD3d 1402; *Matter of Kaplan v Bucha*, 207 AD2d 509, 84 NY2d 821; *Matter of Buhlmann v LeFever*, 83 AD2d 895, 54 NY2d 775; *Matter of Moore v Milhim*, 109 AD2d 810; *Matter of Albond v Collins*, 254 AD2d 689; *Matter of Higgs v Sunderland*, 218 AD2d 774; *Qing Dong v Chen Mao Kao*, 115 AD3d 839.)

Claude A. Joerg, Lockport, for Lora Allen and another, respondents. Marcus Morreale was timely and properly served with the order to show cause and petition. (*Ruffin v Lion Corp.*, 15 NY3d 578; *Matter of Conti v Clyne*, 120 AD3d 884; *Matter of Yellico v Ringer*, 185 AD2d 965; *Matter of Riley v Democratic Party of Owasco*, 21 AD3d 708, 5 NY3d 707; *Matter of Thompson v New York State Bd. of Elections*, 40 NY2d 814; *Matter of Marcoccia v Garfinkle*, 307 AD2d 1010; *Matter of O’Connor v Power*, 30 AD2d 926, 22 NY2d 889; *Matter of King v Cohen*, 293 NY 435.)

OPINION OF THE COURT

Per Curiam.

On July 8, 2015, a designating petition was filed with the Niagara County Board of Elections (Board), naming respondent Marcus Morreale as a Democratic Party candidate for the office of Niagara County Legislator, Eighth District. Morreale initially declined the designation, thereby creating a vacancy. Thereafter, upon Morreale’s consent, the Committee to Fill Vacancies filed a certificate of substitution, purporting to designate Morreale as the substitute candidate to fill the vacancy created by his own declination of the earlier designation (*see* Election Law § 6-148). The certificate was received by the Board on July 17, 2015. Petitioner filed a formal objection with the Board, which was rejected.

On July 22, petitioner commenced this proceeding seeking to invalidate the designating petition and to enjoin the Board from placing Morreale's name on the ballot. Supreme Court signed an order to show cause dated the same day, authorizing service upon the candidate by one of 10 methods. Petitioner utilized "nail and mail" service and, under the order to show cause, was required to affix the papers to the door of Morreale's residence "AND [enclose] the same in a securely sealed and duly prepaid wrapper, addressed to [Morreale] at the address set forth in his . . . designating petition, and [deposit] the same with a depository of the United States Postal Service via Express Mail, on or before the **23rd day of July, 2015.**" The July 23 date was the last day to commence the proceeding under the 14-day period authorized by the Election Law (*see* Election Law § 16-102 [2]). Morreale answered, raising several affirmative defenses, including that the action was not timely commenced.

Supreme Court granted the petition and ordered the Board to strike Morreale's name from the ballot. The Appellate Division affirmed, concluding that the proceeding had been timely commenced (131 AD3d 808 [4th Dept 2015]). Two Justices dissented and would have reversed on the basis that the mailing had to have been made at an earlier time when receipt could reasonably be expected to occur within the statutory period. Morreale appeals as of right pursuant to CPLR 5601 (a) and we now affirm.

Though the two-Justice dissent gives us jurisdiction to review the entire matter, we address with specificity only the issue upon which the dissent was grounded, inasmuch as Morreale's other arguments are without merit.

Under Election Law § 16-116, a petitioner is required to provide notice "as the court or justice shall direct." As we have previously held, "this requirement calls for delivery of the instrument of notice not later than on the last day on which the proceeding may be commenced" (*Matter of King v Cohen*, 293 NY 435, 439 [1944]).

We agree with the courts below that this proceeding was properly commenced in a timely manner. Here, there is no dispute that petitioner complied with the terms of the order to show cause by nailing the papers to the door of Morreale's residence on July 22, 2015 and mailing the papers to that residence by express mail on July 23. Morreale maintains that

mailing on the last day of the statutory period was jurisdictionally defective since delivery inevitably would occur outside of the statutory period. However, where the instrument of notice has been delivered by another prescribed method within the statutory period, we have rejected such contentions concerning mailing (see *Matter of Serri v Heffernan*, 298 NY 629 [1948]; *Matter of O'Connor v Power*, 30 AD2d 926 [2d Dept 1968], *affd* 22 NY2d 889 [1968]).

To the extent *Matter of Buhlmann v LeFever* (83 AD2d 895 [2d Dept 1981], *affd for reasons stated* 54 NY2d 775 [1981]) may appear to reach a different result, that case is distinguishable. There, the petitioner attempted to accomplish both nailing and mailing on the last day service could be made. The Court observed that the papers were nailed to the outside wall of the residence instead of the door. The Court then stated that attempted service by mail on the final day “was inadequate and ineffectual to institute the proceeding” (*Buhlmann*, 83 AD2d at 896). By contrast here, as noted above, the instrument of notice had been properly delivered prior to the deadline.

Moreover, there is no sound reason to adopt a rule that would effectively shorten the very brief period of limitations applicable to election cases—ranging from 3 to 14 days (see Election Law § 16-102 [2])—where the proceeding has already been timely commenced by filing, respondent already has notice thereof by the nailing method of service, and imminent delivery of the mailing made within the limitations period can be expected.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges PIGOTT, RIVERA, ABDUS-SALAAM, STEIN and FAHEY concur.

Order affirmed, without costs.

[38 NE3d 325, 16 NYS3d 796]

In the Matter of STATE FARM MUTUAL AUTOMOBILE INSURANCE
COMPANY, Appellant, v PATRICK FITZGERALD, Respondent.

Argued February 12, 2015; reargued June 2, 2015; decided July 1, 2015

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 6, 2013. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Queens County (Jaime A. Rios, J.), entered in a proceeding pursuant to CPLR article 75, which had granted a petition to permanently stay arbitration of a claim for underinsured motorist benefits; and (2) denied the petition.

Matter of State Farm Mut. Auto. Ins. Co. v Fitzgerald, 112 AD3d 166, reversed.

HEADNOTE

Insurance — Automobile Insurance — Uninsured/Underinsured Motorist Endorsement — Whether Police Vehicle is “Motor Vehicle”

A police vehicle is not a “motor vehicle” covered by a supplementary uninsured/underinsured motorist (SUM) endorsement under Insurance Law § 3420 (f) (2) (A). Accordingly, petitioner insurer rightly declined to cover respondent police officer’s claim for underinsured motorist benefits for injuries sustained when the police vehicle in which he was a passenger collided with an underinsured vehicle. Insurance Law § 3420 (e) requires automobile insurance policies to insure against civil liability for the negligence of those who drive the insured’s car, while subsection (f) (1) mandates that such policies feature uninsured motorist coverage. Subsection (f) (2) declares that the policy may also include SUM insurance for bodily injury, a species of uninsured motorist insurance. Because Insurance Law § 3420 (f) (2) applies to “[a]ny such policy,” referring to a policy of the kind described in Insurance Law § 3420 (f) (1), Insurance Law § 3420 (f) (2) necessarily restricts SUM coverage to “motor vehicle[s]” in the same manner as subsection (f) (1). Although Insurance Law § 3420 (e) and (f) (1) do not directly define “motor vehicle,” Insurance Law § 3420 (e) refers to “any motor vehicle or of any vehicle as defined in [Vehicle and Traffic Law § 388],” which explicitly exempts police vehicles from the definition of “motor vehicle.” Therefore, Insurance Law § 3420 (f) has no application to police vehicles. In light of the similarities between Insurance Law § 3420 (f) (1) and (2), the term “motor vehicle” must have the same definition under those paragraphs and limit the benefits they provide in the same manner.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Automobile Insurance §§ 314, 331, 340.

COUCH ON INSURANCE (3d ed) §§ 171:2, 171:13.

McKINNEY'S, Insurance §§ 3420 (e), (f) (1), (2) (A); Vehicle and Traffic Law § 388.

NY JUR 2d, Insurance §§ 1788, 1813, 1814, 1817, 1820.

ANNOTATION REFERENCE

See ALR Index under Automobile Insurance; Police and Law Enforcement Officers; Uninsured Motorists.

FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: uninsured /2 motorist /s police /2 vehicle car

POINTS OF COUNSEL

Rivkin Radler LLP, Uniondale (*Henry Mascia, Evan H. Krinick* and *Cheryl F. Korman* of counsel), for appellant. The Appellate Division erred in concluding that “motor vehicle” includes police vehicles for purposes of the SUM endorsement and Officer Knauss’s private automobile insurance policy. (*Matter of Country-Wide Ins. Co. v Wagoner*, 45 NY2d 581; *Matter of State Farm Mut. Auto. Ins. Co. v Amato*, 72 NY2d 288; *Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196; *Matter of Allstate Ins. Co. v Rivera*, 12 NY3d 602; *Matter of Metropolitan Prop. & Cas. Ins. Co. v Mancuso*, 93 NY2d 487; *Matter of Reilley v Department of Motor Vehs. of State of N.Y.*, 240 AD2d 296; *Matter of State Farm Mut. Auto. Ins. Co. v Fitzgerald*, 112 AD3d 166; *Matter of Progressive Northeastern Ins. Co. v Scalaman-dre*, 51 AD3d 932; *Matter of Liberty Mut. Fire Ins. Co. v Ron-dina*, 32 AD3d 1230.)

Frank J. Laine, P.C., Plainview (*Frank Braunstein* of counsel), for respondent. State Farm Automobile Insurance Company’s argument is replete with false premises designed to avoid the reality that absent a specific provision to the contrary the term “motor vehicle” clearly encompasses police vehicles and that Insurance Law § 3420 contains no exclusion for police vehicles. (*Matter of Liberty Mut. Ins. Co. [Hogan]*, 82 NY2d 57; *Matter of State Farm Mut. Auto. Ins. Co. v Amato*, 72 NY2d 288; *Matter of Knickerbocker Ins. Co. [Faison]*, 22 NY2d 554; *Cohen v Chubb Indem. Ins. Co.*, 286 AD2d 264; *Matter of Eveready Ins. Co. v Asante*, 153 AD2d 890; *Matter of Country-Wide Ins. Co. v Wagoner*, 45 NY2d 581; *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Matter of Progressive Northeastern Ins. Co. v Scalaman-dre*, 51 AD3d 932; *Matter of Liberty Mut.*

Fire Ins. Co. v Rondina, 32 AD3d 1230; *Harper v Lumbermen's Mut. Cas. Co.*, 174 AD2d 1031.)

OPINION OF THE COURT

ABDUS-SALAAM, J.

More than a quarter-century ago, in *Matter of State Farm Mut. Auto. Ins. Co. v Amato* (72 NY2d 288 [1988]), we squarely “h[e]ld” that “Insurance Law § 3420 (f)—providing that all ‘motor vehicle’ insurance policies must contain uninsured motorist coverage—has no application to police vehicles” (*id.* at 295). Nonetheless, in this case, the Appellate Division deemed that holding inapplicable to supplementary uninsured/underinsured motorist (SUM) coverage mandated by Insurance Law § 3420 (f) (2). Distinguishing *Amato* on its facts, the Appellate Division proceeded to define “motor vehicle” for purposes of statutorily required SUM coverage as inclusive of police vehicles.

This was error. With respect to the statutory definition of the critical term “motor vehicle,” there is no material distinction between the uninsured motorist coverage at issue in *Amato* and the disputed SUM coverage here, and the factual differences between this case and *Amato* do not compel a different result. Consequently, a police vehicle is not a “motor vehicle” covered by a SUM endorsement under Insurance Law § 3420 (f) (2) (A). Furthermore, to the extent there is any question of the continuing precedential force of *Amato*—and the parties here have not raised such a question—the language and legislative history of Insurance Law § 3420, as well as the doctrine of stare decisis, fully support our retention of *Amato* as binding precedent in this matter of statutory interpretation.

I

While riding in a police vehicle driven by fellow Officer Michael Knauss, respondent Police Officer Patrick Fitzgerald was injured when the allegedly intoxicated driver of an underinsured vehicle struck the police car. At the time, Knauss maintained an automobile liability insurance policy issued by appellant State Farm Mutual Automobile Insurance Company, and the policy included a SUM endorsement. In addition to covering Knauss as the named insured and his family, the SUM endorsement insured against injuries to “any other person while occupying” Knauss’s personal vehicle or “any other *motor vehicle* while being operated by [the named insured] or [the

named insured's] spouse" (some emphasis added and some emphasis omitted). The policy did not define the term "motor vehicle."¹

On or before July 25, 2011, GEICO, the insurer for the underinsured motorist who had hit Knauss's car, tendered payment to Fitzgerald in the amount of \$25,000, which was the limit of the underinsured motorist's policy. On August 18, 2011, based on the injuries he received while occupying Knauss's police vehicle during the accident, Fitzgerald made a demand upon State Farm for underinsured motorist arbitration under the SUM endorsement of Knauss's policy. State Farm refused to make any payment to Fitzgerald on the ground that he had occupied a police vehicle at the time of the accident, which was not a covered "motor vehicle" within the meaning of the SUM endorsement. State Farm then filed a petition to permanently stay arbitration based on the asserted unavailability of SUM benefits for Fitzgerald.

Supreme Court granted State Farm's petition to permanently stay arbitration. As relevant here, the court held that, although an individual who is the principal insured can receive benefits under *his or her own* insurance policy when he or she is in a police vehicle during an accident, that rule does not apply to an individual such as Fitzgerald, who seeks coverage under a SUM endorsement in *someone else's* insurance policy. Citing *Amato*, the court determined that Insurance Law § 3420 (f) (2) (A), which controls the SUM endorsement in Knauss's policy, incorporates Vehicle and Traffic Law § 388 (2)'s definition of a covered "motor vehicle," which specifically excludes police vehicles such as the one containing Fitzgerald at the time of the accident. Thus, the court concluded that Knauss's policy does not cover Fitzgerald, and it permanently stayed arbitration on Fitzgerald's claim for coverage. Fitzgerald appealed.

The Appellate Division unanimously reversed Supreme Court's order and denied the petition to permanently stay arbitration, holding that the police car in which Fitzgerald had been riding at the time of the accident constituted a "motor vehicle" under the SUM endorsement in Knauss's automobile insurance policy (*see* 112 AD3d 166, 167-170 [2d Dept 2013]). In that regard, since neither the SUM endorsement itself nor In-

1. The record does not disclose whether Fitzgerald had automobile insurance or liability insurance at the time of the accident. In his motion papers and correspondence with State Farm, Fitzgerald did not discuss his own insurance status, and he did not claim to be uninsured.

Insurance Law § 3420 (f) defines the term “motor vehicle,” the Appellate Division looked to the provisions of the Vehicle and Traffic Law defining that term (*see id.* at 168). In that Court’s view, since Vehicle and Traffic Law § 125 sets forth the general definition of a “motor vehicle” to be used throughout the Vehicle and Traffic Law, that statute provides the most widely applicable definition of the term, which encompasses all motor-powered vehicles and includes police vehicles (*see id.* at 168-169). Thus, the Court opined, Vehicle and Traffic Law § 125 “should be used to define the term ‘motor vehicle,’ as it appears in the uninsured/underinsured motorist endorsement,” because “Vehicle and Traffic Law § 125 is a general provision that defines the relevant terminology for the entire Vehicle and Traffic Law” (*id.* at 169). Citing its prior decision in *Matter of Progressive Northeastern Ins. Co. v Scalamandre* (51 AD3d 932 [2d Dept 2008]) and the Fourth Department’s decision in *Matter of Liberty Mut. Fire Ins. Co. v Rondina* (32 AD3d 1230 [4th Dept 2006]), the Court said, “Additionally, it has been recognized that uninsured motorist coverage extends to all ‘motor vehicles,’ as defined by Vehicle and Traffic Law § 125” (*id.*).

The Court noted that Vehicle and Traffic Law § 388 (2) defines the term “vehicle” for purposes of civil liability as “a ‘motor vehicle,’ as defined in [Vehicle and Traffic Law § 125] . . . , except fire and police vehicles,” but the Court found that definition inapplicable because Vehicle and Traffic Law § 388 (2) does not feature the most common general definition of “vehicle” and defines the term “vehicle” rather than the critical term “motor vehicle” at issue here (*id.* at 168-169). The Court attempted to distinguish *Amato*, positing that, there, this Court decided only that New York City as a self-regulating insurer did not have to provide liability coverage for police vehicles under Insurance Law § 3420 (e) and (f) (1) because a police vehicle does not qualify as a “motor vehicle” under those statutes, whereas here the issue is whether a separate statutory subsection, Insurance Law § 3420 (f) (2), classifies a police car as a “motor vehicle” (*see id.*). Given that Vehicle and Traffic Law § 125’s definition of “motor vehicle” applies to Insurance Law § 3420 (f) (2) and encompasses police vehicles, the Court maintained, “the police vehicle at issue here falls within the definition of a ‘motor vehicle’ under the uninsured/underinsured motorist endorsement,” and consequently, respondent was entitled to SUM benefits under the policy that State Farm issued to Knauss (*id.* at 170).

Upon State Farm's application, we granted a stay of the Appellate Division's order and leave to appeal (22 NY3d 1168 [2014]). We now reverse.

II

Principles of Interpretation, Insurance Law § 3420 and *Amato*

Although provisions of an insurance policy drafted by the insurer are generally construed against the insurer if ambiguous (*see Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704, 708 [2012]), a policy provision mandated by statute must be interpreted in a neutral manner consistently with the intent of the legislative and administrative sources of the legislation (*see Matter of Country-Wide Ins. Co. v Wagoner*, 45 NY2d 581, 586-587 [1978]). Since State Farm did not choose the terms of the SUM endorsement here of its own accord but, rather, was required to offer SUM coverage in compliance with the terms of Insurance Law § 3420 (f) (2) (A) and Department of Insurance regulations (*see* 11 NYCRR 60-2.3 [f]), we must interpret the SUM endorsement and the language of the statute in the manner intended by the neutral sources of that enactment (*see generally* Governor's Approval Mem, Bill Jacket, L 1977, ch 892; *see also* Bill Jacket, L 1958, ch 759; Letter from Executive Secretary of NY Law Rev Commn to Governor's Counsel, Mar. 28, 1958, Bill Jacket, L 1958, ch 577).

Insurance Law § 3420 specifies the standard forms of coverage that must be included in a liability insurance policy. Subsection (e) requires automobile insurance policies to insure against civil liability for the negligence of those who drive the principal insured's car with his or her permission, saying:

"No policy or contract of personal injury liability insurance or of property damage liability insurance, covering liability arising from the ownership, maintenance or operation of *any motor vehicle or of any vehicle as defined in section three hundred eighty-eight of the vehicle and traffic law*, or an aircraft, or any vessel as defined in section forty-eight of the navigation law, shall be issued or delivered in this state . . . unless it contains a provision insuring the named insured against liability for death or injury sustained . . . as a result of negligence in the operation or use of such vehicle, aircraft or vessel" (Insurance Law § 3420 [e] [emphasis added]).

Subsection (f) (1) mandates that automobile insurance policies feature uninsured motorist coverage, which covers liability arising from an accident involving the named insured and a motorist who has no applicable insurance coverage. Thus, subsection (f) (1) states that

“[n]o policy insuring against loss resulting from liability imposed by law for bodily injury or death suffered by any natural person arising out of the ownership, maintenance and use of a *motor vehicle* by the insured shall be issued or delivered . . . unless it contains a provision whereby the insurer agrees that it will pay to the insured, as defined in such provision . . . all sums . . . which the insured or his legal representative shall be entitled to recover as damages from an owner or operator of an uninsured motor vehicle.” (Insurance Law § 3420 [f] [1] [emphasis added].)

Subsection (f) (2) (A) declares that “[a]ny such policy shall, at the option of the insured, also provide supplementary uninsured/underinsured motorists insurance for bodily injury,” which is a species of uninsured motorist insurance that covers liability stemming from accidents involving the named insured and a motorist who possesses automotive insurance with limits or other restrictions that are inadequate to cover the full extent of the loss. The statute further states that SUM coverage is triggered “if the limits of liability under all bodily injury liability bonds and insurance policies of another motor vehicle liable for damages are in a lesser amount than the bodily injury liability insurance limits of coverage provided by such policy” (Insurance Law § 3420 [f] [2] [A]). Insurance Law § 3420 (f) (2) does not use the term “motor vehicle,” but because that subsection applies to “[a]ny such policy,” referring to a policy of the kind described in Insurance Law § 3420 (f) (1), Insurance Law § 3420 (f) (2) necessarily restricts SUM coverage to “motor vehicle[s]” in the same manner as subsection (f) (1).

As noted, Insurance Law § 3420 (e) and (f) (1) do not directly define “motor vehicle” in so many words, but Insurance Law § 3420 (e) does refer to “a [] motor vehicle or . . . a [] vehicle as defined in [Vehicle and Traffic Law § 388 (2)].” Vehicle and Traffic Law § 388 is the sole provision of Vehicle and Traffic Law article 11, which governs civil liability for negligence in the operation of vehicles. Vehicle and Traffic Law § 388 (2) states, “As used in this section, ‘vehicle’ means a ‘motor vehi-

cle', as defined in [Vehicle and Traffic Law § 125], except fire and police vehicles," and certain other vehicles not relevant here. The Vehicle and Traffic Law also includes a definition of the term "motor vehicle" in Vehicle and Traffic Law § 125, which is part of the article defining terms of general use in the Vehicle and Traffic Law. Under that statute, "motor vehicle" means "[e]very vehicle operated or driven upon a public highway which is propelled by any power other than muscular power," with exceptions for all-terrain vehicles, snowmobiles and mobility aids for the disabled (Vehicle and Traffic Law § 125). Vehicle and Traffic Law § 125 exempts police vehicles from registration requirements under title IV of the Vehicle and Traffic Law, but does not otherwise list any exclusion for police vehicles. Other provisions of the Vehicle and Traffic Law and the Insurance Law also set forth definitions of the term "motor vehicle," often exempting police vehicles (*see* Vehicle and Traffic Law § 311 [2]; Insurance Law § 5202 [a]).

In *Amato*, this Court resolved two consolidated cases by specifying the types of vehicles that, when involved in an accident, can trigger uninsured motorist coverage under Insurance Law § 3420 (f). In one case, Police Officer Amato had uninsured motorist coverage for his personal vehicle under a policy issued by State Farm (*see Amato*, 72 NY2d at 291). The City insured any police vehicles used by Amato, but it did not provide uninsured motorist coverage under its policy (*see id.* at 290-291). While Amato was riding on his police scooter, he was struck by a stolen taxicab, which was not covered by the cab owner's insurance (*see id.* at 290). When Amato filed a claim with State Farm, State Farm petitioned for a permanent stay of arbitration under the policy, asserting that Amato had to look to the City for uninsured motorist coverage because the City was required by statute to provide such coverage (*see id.* at 291). Special Term denied the petition, reasoning that the City did not have to give Amato uninsured motorist coverage and that therefore State Farm was responsible for covering Amato's loss (*see id.*).

In the companion case, a motorist, who ultimately turned out not to have active insurance coverage, ran into the rear of Police Officer Rutherford's police car (*see id.* at 291). Rutherford filed a claim with State Farm, which, as in Amato's case, denied coverage, citing the City's status as the primary insurer and its supposed statutory obligation to provide uninsured motorist coverage for police vehicles (*see id.* at 292). In a consolidated

appeal in Amato's and Rutherford's cases, the Appellate Division reversed and held that the City had the primary obligation to grant uninsured motorist coverage to the officers pursuant to Insurance Law § 3420 (f) (*see id.* at 292; *Matter of State Farm Mut. Auto. Ins. Co. v Amato*, 129 AD2d 221, 225-227 [2d Dept 1987]).

On further appeal, this Court reversed (72 NY2d 288, 290-292 [1988]). The Court began its opinion by describing the statutory provisions, such as Vehicle and Traffic Law articles 6 and 7, which reflect the legislature's desire to ensure that motorists have sufficient financial security to cover the consequences of an accident, and the Court explained that Insurance Law § 3420 (f) mandates the inclusion of uninsured motorist coverage in every automobile insurance policy issued in New York addressing the "use of a *motor vehicle* by the insured" (*id.* at 292-293, quoting Insurance Law § 3420 [f]).²

The Court agreed with the Appellate Division that self-insurers, such as the City, "generally have the same statutory responsibility as other insurers to provide uninsured motorist coverage," but it found that point irrelevant to the question at hand because no liability coverage existed at all, regardless of the insurer, if the liability does not arise from the use of a "motor vehicle" within the meaning of Insurance Law § 3420 (e) (*id.* at 294). And, the Court determined, Insurance Law § 3420 (e) excludes police vehicles from the term "motor vehicle," for that statute cites Vehicle and Traffic Law § 388 (2), which governs civil liability for negligence in the use of motor vehicles and explicitly excludes police vehicles from its scope (*see id.*). "Although this exclusionary language is not repeated in the uninsured motorist provision of the Insurance Law (Insurance Law § 3420 [f])," the Court concluded that "it would be illogical to assume that, while there is no legal obligation to insure police vehicles for death or bodily injury in the first instance, the City is nevertheless required to provide uninsured motorist coverage for its police vehicles" (*id.*).

Thus, the Court stated that, in light of the "need to interpret the statutes relating to uninsured motorist coverage as a whole and in a way consistent with their legislative purpose," "we hold that Insurance Law § 3420 (f)—providing that all 'motor

2. At the time of the Court's decision in *Amato*, Insurance Law § 3420 (f) had already been divided into paragraphs (1) and (2) (*see* L 1984, ch 367), though the Court did not distinguish between those two paragraphs for purposes of its analysis.

vehicle' insurance policies must contain uninsured motorist coverage—has no application to police vehicles" (*id.* at 295). The Court further "h[e]ld" that "there is no such statutory obligation" for the City, as an unregulated self-insurer, to insure police officers against injuries caused by an uninsured motorist hitting their police vehicles (*id.* at 290). Accordingly, the Court decided that the City had no statutory obligation to provide uninsured motorist coverage for Amato's and Rutherford's police vehicles (*see id.* at 290, 294). Two Judges dissented because, in their view, the legislature's failure to create an express exemption for police vehicles within the text of Insurance Law § 3420 (f) reflected a legislative intent to place all motor vehicles, including police vehicles, within the scope of statutory uninsured motorist coverage (*see id.* at 295-296 [Wachtler, Ch. J., dissenting]).

The Parties' Contentions

With this legal background in mind, we turn to the arguments advanced by the parties here. In this case, State Farm and Fitzgerald agree that the disputed SUM endorsement's coverage of accidents involving a "motor vehicle" must use the same definition of that term employed by Insurance Law § 3420 (f), and Fitzgerald has not proceeded under any other statute, such as the No-Fault Law. However, the parties dispute whether that definition includes police vehicles like the one occupied by Fitzgerald.

State Farm contends that, because Insurance Law § 3420 (e) refers to Vehicle and Traffic Law § 388 (2)'s definition of "vehicle," which in turn incorporates Vehicle and Traffic Law § 125's definition of "motor vehicle" and yet also excludes police vehicles, the closely related provisions of Insurance Law § 3420 (f) should be read to similarly define "motor vehicle" in accordance with Vehicle and Traffic Law § 388 (2), thereby excluding police vehicles from SUM coverage. According to State Farm, *Amato* adopted this approach, as the *Amato* Court interpreted the term "motor vehicle" in Insurance Law § 3420 (f) (1) to have the same meaning as it does in Insurance Law § 3420 (e), i.e., to exclude police vehicles. By logical extension, State Farm urges, "motor vehicle" must mean the same thing under Insurance Law § 3420 (f) (2) as it does in subsections (e) and (f) (1) because the statute must be interpreted as a cohesive whole.

In response, Fitzgerald does not argue that *Amato* was wrongly decided or should be altered in any way, but instead

tries to parse that decision and the statutory text in a manner favorable to him. Fitzgerald asserts that Insurance Law § 3420 (f) must be read to incorporate the most common and generalized statutory meaning of the term “motor vehicle,” and that therefore one must look to the general definition of “motor vehicle” in Vehicle and Traffic Law § 125 to define the same term in the insurance statute. Because Vehicle and Traffic Law § 125 defines a “motor vehicle” as essentially any powered vehicle, including a police vehicle, Fitzgerald posits that Insurance Law § 3420 (f) provides SUM coverage for accidents involving police vehicles via its inherent incorporation of the Vehicle and Traffic Law § 125 definition of “motor vehicle.” In Fitzgerald’s view, it does not matter that Insurance Law § 3420 (e) covers accidents arising from the operation “of any motor vehicle *or* of any vehicle as defined in [Vehicle and Traffic Law § 388 (2)]” (emphasis added) because that statute only references Vehicle and Traffic Law § 388 (2) to define the distinct term “vehicle,” and it does not define the separate term “motor vehicle.” That being so, Fitzgerald says, Insurance Law § 3420 (f) does not adopt Vehicle and Traffic Law § 388 (2)’s exclusion of police vehicles from the definition of “vehicle” because Insurance Law § 3420 (f) does not use the term “vehicle” at all, instead using the entirely different term “motor vehicle” as defined in Vehicle and Traffic Law § 125 to establish the breadth of its coverage. According to Fitzgerald, *Amato* is factually distinguishable because that case involved the liability of an unregulated self-insurer for uninsured motorist coverage under Insurance Law § 3420 (f) (1), whereas the issue here is whether a private insurer must provide SUM coverage under Insurance Law § 3420 (f) (2).

The simple answer to Fitzgerald’s claims, and hence to this whole case, is that *Amato* means what it says: “Insurance Law § 3420 (f)—providing that all ‘motor vehicle’ insurance policies must contain uninsured motorist coverage—has no application to police vehicles” (*Amato*, 72 NY2d at 295). Just as the term “motor vehicle” in Insurance Law § 3420 (f) generally, and paragraph (1) in particular, does not encompass police vehicles, that same term in paragraph (2) likewise does not bring police vehicles within its scope. Therefore, both uninsured motorist coverage under paragraph (1) and SUM coverage under paragraph (2) clearly exclude police vehicles in accordance with subsection (f) (1)’s reference to Vehicle and Traffic Law § 388 (2).

Indeed, as we have noted post-*Amato*, SUM coverage under Insurance Law § 3420 (f) (2) is a subspecies of uninsured motorist coverage under Insurance Law § 3420 (f) (1), and the reach of the two statutory subsections is essentially coterminous, except that Insurance Law § 3420 (f) (2) covers accidents involving underinsured motorists and can provide for a higher limit on the amount of recovery (*see Raffellini v State Farm Mut. Auto. Ins. Co.*, 9 NY3d 196, 204-205 [2007]). In light of the similarities between the two paragraphs of Insurance Law § 3420 (f), the term “motor vehicle” must have the same definition under those paragraphs and limit the benefits they provide in the same manner. Given that police vehicles do not fall within the ambit of Insurance Law § 3420 (f) (1) and (2), State Farm rightly declined to cover Fitzgerald, who was a passenger in a police vehicle at the time of the crash.

Fitzgerald seeks to distinguish *Amato*, observing that *Amato* involved the priority of coverage to be provided by a self-insurer, the City of New York, and an automobile insurance company, State Farm. But, in *Amato*, we never suggested that we were limiting our holding to a self-insurer or to situations involving the priority or “stacking” of coverage. In fact, we specifically noted that, under prior precedent, “self-insurers generally have the same statutory responsibility as other insurers to provide uninsured motorist coverage,” and thus, our decision turned not on the City’s status as a self-insurer but instead on the definition of the term “motor vehicle” under Insurance Law § 3420 (f), which we found to exclude police vehicles (*Amato*, 72 NY2d at 294-295). Nor does it make sense to conclude that the term “motor vehicle” in Insurance Law § 3420 (f) means one thing when the priority of coverage must be determined and yet means something completely different when the scope of coverage is at issue. Surely, a term in a single undivided subsection of a statute—here subsection (f) (2) (A)—cannot have more than one definition depending on the facts of the case to which it is applied.³

3. The dissent opines that we should direct State Farm to extend coverage to Fitzgerald because, in *Amato*, we noted that the officers there could receive SUM coverage under their own insurance policies (*see* dissenting op at 822). But that aspect of *Amato* is of no help to Fitzgerald. In *Amato*, we commented that the officers could not receive Motor Vehicle Accident Indemnification Corporation (MVAIC) benefits because they were designated “beneficiaries” of the particular “uninsured motorist indorsement contained in their respective policies with State Farm” (*Amato*, 72 NY2d at 293 n 1). In

(n. cont’d)

Fitzgerald also points out that Insurance Law § 3420 (e) applies to a policy that covers any “motor vehicle” as well as any “vehicle as defined in [Vehicle and Traffic Law § 388 (2)],” whereas Insurance Law § 3420 (f) applies to a policy that covers only “motor vehicles” without mentioning “vehicles” under Vehicle and Traffic Law § 388 (2). Fitzgerald takes this as proof that Insurance Law § 3420 (f), unlike Insurance Law § 3420 (e), extends coverage to cases involving any “motor vehicle” as that term is defined in Vehicle and Traffic Law § 125, including police vehicles.

But we essentially rejected that notion in *Amato*. There, we noted, as Fitzgerald does now, that Insurance Law § 3420 (e)’s “exclusionary language” and citation to Vehicle and Traffic Law § 388 (2) are “not repeated in the uninsured motorist provision of the Insurance Law (Insurance Law § 3420 [f])” (*Amato*, 72 NY2d at 294). Nonetheless, we determined that the legislature intended to carry the exclusion of police vehicles from Insurance Law § 3420 (e) over to Insurance Law § 3420 (f) because “it would be illogical to assume that, while there is no legal obligation to insure police vehicles for death or bodily injury in the first instance, the City is nevertheless required to provide uninsured motorist coverage for its police vehicles” (*id.*).

Even without the benefit of *Amato*’s binding precedent, Fitzgerald’s attempt to import Vehicle and Traffic Law § 125’s definition of “motor vehicle” into Insurance Law § 3420 (f), but not into Insurance Law § 3420 (e), would make no sense. After all, Insurance Law § 3420 (e) and (f) do not mention Vehicle and Traffic Law § 125 at all, and as a result, there is no reason to suppose, as Fitzgerald does, that the legislature meant to incorporate Vehicle and Traffic Law § 125’s broad definition of “motor vehicle” into either of those insurance statutes. Rather, the only Vehicle and Traffic Law provision cited by the relevant

other words, the officers in *Amato* could still receive uninsured motorist benefits because, presumably, they were *named insureds* under State Farm’s policy, and State Farm extended uninsured motorist coverage to them regardless of the type of vehicle they occupied. In fact, here, Officer Knauss was covered for the same reason: the SUM indorsement expressly identified him as a named insured entitled to such coverage under any circumstances. By contrast, Fitzgerald was not a named insured under Knauss’s policy, and hence he could not receive coverage on the same grounds that Knauss or the officers in *Amato* could. Rather, Fitzgerald could only qualify for SUM coverage under the statutorily required SUM clause in Knauss’s policy, which limited coverage to occupants of statutory “motor vehicles.” As we have explained, Fitzgerald was not occupying a “motor vehicle” at the time of his accident, and he was not entitled to SUM coverage.

statutes is Vehicle and Traffic Law § 388 (2), which explicitly exempts police vehicles from the definition of “motor vehicle.” Accordingly, the legislature presumably meant to exclude police vehicles from coverage under the interrelated provisions of Insurance Law § 3420 (e), (f) (1) and (2), and the SUM endorsement here necessarily features that same exclusion. For that reason, we have never looked to Vehicle and Traffic Law § 125 for guidance as to the meaning of the term “motor vehicle” under Insurance Law § 3420 (f), instead relying on the use of comparable terms in Vehicle and Traffic Law § 388 (2) (*see Amato*, 72 NY2d at 293-294) and the MVAIC Act (Insurance Law art 52) (*see Wagoner*, 45 NY2d at 586-588).

While Insurance Law § 3420 (e)’s use of the phrase “of any motor vehicle or of any vehicle as defined in [Vehicle and Traffic Law § 388 (2)]” may be confusing insofar as the terms are inherently conflicting in their scope under the Vehicle and Traffic Law, it appears that the legislature chose those words as an imprecise expression of its intent to incorporate Vehicle and Traffic Law § 388 (2)’s limitations into the relevant sections of the Insurance Law. Significantly, Vehicle and Traffic Law § 388 (2)’s definition of “vehicle” is narrower than that of “motor vehicle” under Vehicle and Traffic Law § 125 in most respects. Vehicle and Traffic Law § 388 (2) incorporates nearly all of the exclusions listed in Vehicle and Traffic Law § 125 by defining “vehicle” as a “motor vehicle” within the meaning of Vehicle and Traffic Law § 125, and adding extra exclusions for a variety of agricultural equipment, fire vehicles, police vehicles and onsite construction vehicles. Vehicle and Traffic Law § 388 (2)’s only additional inclusions are for trailers and for vehicles used on roads other than highways.

As a result, a literal reading of Insurance Law § 3420 (e)’s reference to the negligent operation “of any motor vehicle or of any vehicle as defined in [Vehicle and Traffic Law § 388]” would be largely self-contradictory. It would suggest that the statute covers “[e]very vehicle operated or driven upon a public highway which is propelled by any power other than muscular power,” *including* police vehicles, agricultural vehicles and the like (Vehicle and Traffic Law § 125), or, somewhat paradoxically, a motor vehicle, *excluding* police vehicles, agricultural vehicles, and onsite construction equipment, but including non-highway vehicles and trailers. Of course, had the legislature wished for the broader definition of Vehicle and Traffic Law § 125 to apply to Insurance Law § 3420 (e) and (f), it could

have easily referred to Vehicle and Traffic Law § 125 alone. And if the legislature was solely concerned about placing trailers and vehicles on non-public roads in the ambit of the insurance statute, it could have directly referred to those minor differences between the inclusions of the two Vehicle and Traffic Law statutes without citing Vehicle and Traffic Law § 388 (2). Since the legislature did not refer to Vehicle and Traffic Law § 125 at all in drafting Insurance Law § 3420 (e), did not indicate a desire to define “motor vehicle” without limitation in that section and directly cited the narrow provisions of Vehicle and Traffic Law § 388, it plainly intended to narrow the definition of “motor vehicle” for purposes of Insurance Law § 3420 (e).⁴

Legislative History Supporting *Amato*

The legislative history of these statutes buttresses our conclusion, as previously stated in *Amato*, that Insurance Law § 3420 (f) does not define “motor vehicle” to include police vehicles. In that regard, even at the time of the passage of the Vehicle and Traffic Law, the general definition of “motor vehicle” in that statutory scheme excluded police vehicles, and the original civil liability provision of the Vehicle and Traffic Law imposed such liability only for the negligent operation of “motor vehicles,” excluding police vehicles (*see* L 1936, ch 911, § 1; L 1929, ch 54 [enacting Vehicle and Traffic Law §§ 2 (8); 59]; Letter from Commr of Highways, St Dept of Pub Works, to Governor’s Counsel, Mar. 6, 1929, Bill Jacket, L 1929, ch 54 at 8; *see also* Arnold W. Wise, *The History of the Vehicle and Traffic Law*, McKinney’s Cons Laws of NY, Book 62A at xv [1960 ed]). Hence, from its inception, the Vehicle and Traffic Law did not provide for civil liability arising out of the negligent operation of police vehicles.

4. When confronted with another phrase in this statute joined by a similarly perplexing coordinating conjunction, we have previously declined to construe the phrase literally to create an expansion of coverage not otherwise clearly contemplated by the legislature (*see Matter of Allstate Ins. Co. v Libow*, 65 NY2d 807, 809 [1985] [affirming “for the reasons stated in the opinion” of the Appellate Division, which refused to interpret literally a clause in former Insurance Law § 3420 (f), which requires payment of “all sums, not exceeding a maximum amount or limit of ten thousand dollars exclusive of interest and costs, on account of injury to *and* all sums, not exceeding a maximum amount or limit of fifty thousand dollars exclusive of interest and costs, on account of death of one person, in any one accident” because the literal reading would have permitted the unintended aggregation of certain claims under that statute]; *see also Matter of Allstate Ins. Co. v Libow*, 106 AD2d 110, 116-118 [2d Dept 1984]).

Later, when the legislature amended the predecessor to Insurance Law § 3420, it used language that paralleled the civil liability provisions of the Vehicle and Traffic Law, and it used the term “motor vehicle” to define the scope of statutorily required automobile liability insurance, thereby presumably excluding police vehicles in a similar way (*see* L 1939, ch 882 [enacting Insurance Law § 167]). Accordingly, at the time the predecessors to Vehicle and Traffic Law § 125, Vehicle and Traffic Law § 388 and Insurance Law § 3420 (e) were enacted, the relevant laws had these salient features: (1) the term “motor vehicle” in general excluded police vehicles; (2) statutory civil liability did not lie for the negligent use of police vehicles; and (3) insurers were not statutorily required to cover vicarious liability with respect to vehicles that were not “motor vehicles,” which term was continued in the Insurance Law at a time when the only statute defining it, Vehicle and Traffic Law § 2 (8), clearly excluded police vehicles (*see* L 1938, ch 183, § 1).

When Vehicle and Traffic Law § 125 was enacted, it did not contain the police vehicle exclusion in its definition of “motor vehicle,” but that was of no moment because Vehicle and Traffic Law § 125 did not apply to the civil liability statute within the Vehicle and Traffic Law (*see* L 1957, ch 698 [adding Vehicle and Traffic Law §§ 125, 100]). Likewise, after the predecessor to Vehicle and Traffic Law § 388 was amended to define the scope of civil liability based on the operation of “vehicles” rather than “motor vehicles,” a 1958 bill ensured that it still referred to a section of the Vehicle and Traffic Law that incorporated the police vehicle exclusion, thereby maintaining that limitation (*see* L 1958, ch 577, § 1).

The same bill made a “conformity amendment” to the predecessor to Insurance Law § 3420 (e) to “make it clear that the term ‘motor vehicle’ as used in that section includes all vehicles as defined in section 59 [the predecessor to Vehicle and Traffic Law § 388]” (Recommendation of Law Rev Commn to Legislature, Bill Jacket, L 1958, ch 577 at 45). Maintaining the consistency between the predecessors to Vehicle and Traffic Law § 388 and Insurance Law § 3420 (e), the legislature added a citation to Vehicle and Traffic Law § 388’s predecessor and its terminology to define the coverage of the requisite liability insurance policy. To the existing clause of Insurance Law § 3420 (e)’s predecessor that said, “No policy or contract of personal

injury liability insurance . . . covering liability arising from the ownership, maintenance or operation of any motor vehicle,” the legislature appended the phrase “or of any vehicle as defined in section fifty-nine of the vehicle and traffic law” (L 1958, ch 577, § 3). As the Bar Association of the City of New York noted, this change was “a source of confusion” insofar as the terms “vehicle” and “motor vehicle” were conflicting under the Vehicle and Traffic Law, but it was nonetheless “understood” that “the intended application of Section 167(2) [the predecessor to Insurance Law § 3420 (e)] [wa]s *only to the liability arising under Vehicle and Traffic Law § 59*” (Mem of Assn of Bar of City of NY Comm on St Legis, Bill Jacket, L 1958, ch 577 at 19 [emphasis added]). The Law Revision Commission, which proposed the legislation, essentially confirmed this understanding of the reach of the predecessor to Insurance Law § 3420 (e) (*see* Recommendation of Law Rev Commn to Legislature, Bill Jacket, L 1958, ch 577 at 38-39). Therefore, in enacting the 1958 amendments to Vehicle and Traffic Law § 388’s and Insurance Law § 3420 (e)’s antecedents, the legislature adopted legislation meant to continue to exclude police vehicles from the ambit of the predecessor to Insurance Law § 3420 (e) (*see also* Mem of Assistant Director of Research of Law Rev Commn, Bill Jacket, L 1962, ch 825 at 19 [“section 167(2) of the Insurance Law . . . now require(s) coverage of the insured’s liability under section 388 of the Vehicle and Traffic Law,” which was the successor to Vehicle and Traffic Law § 59 and still exempted police vehicles]).

1958 also brought the advent of uninsured motorist coverage. The legislature sought to guarantee that all owners of covered vehicles had uninsured motorist coverage from one of two sources: (1) automobile insurance policies including that coverage; or (2) uninsured motorist benefits paid by the Motor Vehicle Accident Indemnification Corporation to those who did not have such insurance (*see generally* L 1958, ch 759). Accordingly, the legislature crafted a new article 17-A of the Insurance Law, establishing MVAIC and directing it to process all claims for uninsured motorist benefits, regardless of whether the claims ultimately were to be paid by an insurance company or by MVAIC itself (*see id.*). Under that article, a “motor vehicle” to which uninsured motorist benefits applied was not

inclusive of police vehicles (*see* L 1958, ch 759, § 2; *see also* former Vehicle and Traffic Law § 2 [1958]).⁵

The legislature also amended Insurance Law § 167 (2), the predecessor to Insurance Law § 3420 (e), to compel insurers to add uninsured motorist endorsements to automobile insurance policies. The legislature placed the uninsured motorist provision in a new subsection (2-a) immediately following subsection (2) of Insurance Law § 167 (*see* L 1958, ch 759, § 4). Like its modern counterpart, Insurance Law § 167 (2-a) mandated that uninsured motorist coverage be contained in any “policy insuring against loss resulting from liability imposed by law for bodily injury or death . . . arising out of the ownership, maintenance and use of a *motor vehicle* by the insured,” and that the policy had to establish that coverage either through the insurer itself or through MVAIC (L 1958, ch 759, § 4 [emphasis added]). Tellingly, although the statute did not define “motor vehicle,” it was placed immediately following Insurance Law § 167 (2) and its incorporation of a definition of “motor vehicle” that exempts police vehicles. Indeed, the legislature saw the relationship between these two statutory subsections as quite close, for Insurance Law § 167 (2-a) was meant to fill what were simply “loopholes” (Sponsor’s Mem, Bill Jacket, L 1958, ch 759 at 6) or “gaps” (Governor’s Open Letter to Legislature, Bill Jacket, L 1958, ch 759 at 11) in the compulsory insurance statutes and Insurance Law § 167 (2), merely adding an uninsured motorist subdivision as an appendage to the existing law.

Along those lines, uninsured motorist endorsements under Insurance Law § 167 (2-a) were also intended to extend the same coverage as the MVAIC statute, and nothing more, because the statutory uninsured motorist endorsements and MVAIC were regarded as related “prong[s]” of the same “at-

5. Today, the MVAIC statute still defines “motor vehicle” as “exclud[ing] fire and police vehicles” (Insurance Law § 5202 [a]). The *Amato* Court stated that “the uninsured occupant of a police vehicle may file a claim with the MVAIC for injuries sustained in an accident caused by an uninsured motor vehicle,” but that “police vehicles are exempted from the provisions of the MVAIC statute to the extent that otherwise eligible claimants are barred from filing a claim for injuries *caused by* the negligent operation of a police vehicle” (*Amato*, 72 NY2d at 294 n 2). Thus, the Court seems to have found that, although a police vehicle is not a “motor vehicle” under the MVAIC Law, it can still be involved in an actionable “motor vehicle accident” under that statutory scheme (Insurance Law § 5208 [a] [1]), as long as its operation is not the cause of the accident.

tack” on the problem of uninsured motorists (Mem of Supt, St Ins Dept, Bill Jacket, L 1958, ch 759 at 23; *see also McCarthy v Motor Veh. Acc. Indem. Corp.*, 16 AD2d 35, 38-42 [4th Dept 1962] [“The MVAIC Law was not designed to supplement the insurance coverage of insured automobiles or to protect injured persons against risks which were not covered by the standard automobile liability policies” because “(t)hey are, and under the scheme of the statute, they must be, coextensive,” and certain terms in policies under Insurance Law § 167 (2-a) must be given the same meaning as under the MVAIC Law], *affd* 12 NY2d 922 [1963]; *Moffitt v Moffitt*, 46 AD2d 944, 945 [3d Dept 1974] [in the context of uninsured motorist accident, “MVAIC coverage is coextensive with that of a standard policy and article 17-A of the Insurance Law does not supplement the coverage of insured automobiles or protect insured persons against risks not covered by a standard policy”]). So it was that, in *Wagoner* (45 NY2d 581), we looked to the definitions section of the MVAIC Law as authority for the proposition that a “motorcycle” was a “motor vehicle” under Insurance Law § 167 (2-a), which was section 3420 (f)’s predecessor, because it was defined as such for purposes of the MVAIC Law (*see id.* at 586-588). This suggests that, just as MVAIC did not generally define a “motor vehicle” as inclusive of police vehicles, the uninsured motorist statute likewise removed police vehicles from the ambit of that term. And, the state of affairs remained the same following the passage of the legislation that rearranged and renumbered portions of the Vehicle and Traffic Law into its modern configuration (*see* L 1959, ch 775 [adding Vehicle and Traffic Law §§ 125, 125-a, 388 (2)]; L 1960, ch 608, § 4; L 1967, ch 139, § 1).

SUM coverage became compulsory in 1977 via an amendment to Insurance Law § 167 (2-a). This combined uninsured motorist/SUM coverage statute retained the original language of the uninsured motorist provision and added within that same undivided subsection the following:

“Any such policy shall, at the option of the insured, also provide supplementary uninsured motorists insurance for bodily injury, in an amount up to the bodily injury liability insurance limits of coverage provided under such policy, subject to a maximum of [\$100,000 due to bodily injury or death per accident].” (L 1977, ch 892, § 3.)

As we have recognized, these statutory SUM benefits were “designed to give insureds the same level of protection that would have been available to others under the policy if the insureds were the tortfeasors who caused personal injuries,” and the legislature first addressed SUM coverage and general uninsured motorist coverage in the same statutory section because “both paragraphs of section 167 (2-a) related to uninsured motorist benefits and supplementary coverage was framed as an extension of the mandatory coverage outlined in the first paragraph” (*Raffellini*, 9 NY3d at 204-205). Therefore, SUM coverage was an extension of uninsured motorist coverage that generally applied in the same situations, just with different policy limits.

Finally, in 1984, the Insurance Law was renumbered in its entirety, resulting in the transfer of the old SUM, uninsured motorist and general liability coverage provisions into new Insurance Law § 3420. As a result, the requirements of general liability insurance policies are now outlined in Insurance Law § 3420 (e), uninsured motorist coverage requirements can be found in Insurance Law § 3420 (f) (1), and SUM coverage provisions are in Insurance Law § 3420 (f) (2) (A) (*see* L 1984, ch 367). Despite the separation of the uninsured motorist and SUM measures into distinct subsections (f) (1) and (f) (2), “[t]his recodification was not meant to effect a substantive change in the law—certainly, there is no reason to conclude that the Legislature split the two paragraphs into separate subsections to create a distinction between the two types of coverages that did not already exist” (*Raffellini*, 9 NY3d at 205; *see* Letter from Supt of Ins to Governor’s Counsel, July 13, 1984, Bill Jacket, L 1984, ch 367 at 7).

When *Amato* arrived in this Court, the law stood as follows: New York had traditionally exempted police vehicles from statutes dealing with civil liability under the Vehicle and Traffic Law; the legislature had long bound the Vehicle and Traffic Law civil liability statute and the predecessors to Insurance Law § 3420 (e) together, making their coverage coextensive; the legislature had also created essentially coterminous MVAIC and uninsured motorist statutes, the former of which defined “motor vehicle” to exclude police vehicles; the legislature had expressed a desire to maintain consistency in the scope of coverage of general automobile liability insurance and uninsured motorist coverage; and statutory uninsured motorist coverage and SUM coverage gave rise to matching benefits and limitations, such that if one excluded police vehicles, the other logically did so as well.

Against this backdrop, the *Amato* Court had every reason to conclude that, because the liability insurance provision of Insurance Law § 3420 (e) had traditionally dovetailed with the coverage of Vehicle and Traffic Law § 388 and its predecessors, Insurance Law § 3420 (e) employed the phrase “of a motor vehicle or of a vehicle as defined in [Vehicle and Traffic Law § 388]” as an imprecise way of incorporating the limitations of Vehicle and Traffic Law § 388 into Insurance Law § 3420 (e). In other words, Insurance Law § 3420 (e) used Vehicle and Traffic Law § 388 (2) to redefine “motor vehicle” as exempting police vehicles from the automobile insurance sections of Insurance Law § 3420. Given that the uninsured motorist and SUM coverage sections of Insurance Law § 3420 had originated as outgrowths designed to simply fill the uninsured or underinsured motorist “gaps” in the compulsory insurance statute and Insurance Law § 3420 (e), rather than to expand the class of covered vehicles, the Court rightly decided that Insurance Law § 3420 (f) (1) and (2) logically applied to the limited category of “motor vehicles” referenced in Insurance Law § 3420 (e), thus also excluding police vehicles. Since SUM coverage under Insurance Law § 3420 (f) (2) was just a variant of uninsured coverage under subsection (f) (1) of the same statute, the Court appropriately found that SUM coverage was likewise limited to non-police vehicles. Accordingly, the *Amato* Court properly interpreted Insurance Law § 3420 (f) (2) in a manner fully consistent with the legislature’s intent.

Stare Decisis and Developments Post-*Amato*

Even if we were to disagree with our holding in *Amato*, we would nonetheless be bound to follow it under the doctrine of stare decisis. “‘Stare decisis is the doctrine which holds that common-law decisions should stand as precedents for guidance in cases arising in the future’ and that a rule of law ‘once decided by a court, will generally be followed in subsequent cases presenting the same legal problem’” (*People v Peque*, 22 NY3d 168, 194 [2013], quoting *People v Damiano*, 87 NY2d 477, 488 [1996, Simons, J., concurring]). Even under the most flexible version of the doctrine applicable to constitutional jurisprudence, prior decisions should not be overruled unless a “compelling justification” exists for such a drastic step (*People v Lopez*, 16 NY3d 375, 384 n 5 [2011]; see *People v Silva*, 24 NY3d 294, 300 [2014]). As we recently reiterated, an even more extraordinary and compelling justification is needed to

overturn precedents involving statutory interpretation, such as *Amato*, because unlike in constitutional cases, “if the precedent or precedents have misinterpreted the legislative intention [embodied in a statute], the Legislature’s competency to correct the misinterpretation is readily at hand” (*Palladino v CNY Centro, Inc.*, 23 NY3d 140, 151 [2014] [internal quotation marks and citations omitted]). Indeed, in *Palladino*, we upheld a statutory interpretation precedent that we found to be riddled with shortcomings both at the time it had been decided and thereafter. While we openly “question[ed]” the “utility or wisdom” of that precedent, we nonetheless followed it (*id.* at 150; *see also id.* at 147-150).

Here, Fitzgerald does not so much as ask us to overturn *Amato*, much less advance any compelling justification for disturbing that precedent. Nor do we find it appropriate to discard *Amato* on our own initiative, as there is no evidence that it has become unworkable, is unjust or has created an irreconcilable conflict in our case law. Certainly, legislative developments since our decision in *Amato* have not cast doubt on its validity, for the legislature has repeatedly amended Insurance Law § 3420 after *Amato* without making any effort to undo that decision (*see* L 2013, ch 11, § 1; L 2012, ch 496, § 1; L 2008, ch 388, §§ 2-6; L 2002, ch 584, §§ 1-2; L 1997, ch 568, § 1; L 1997, ch 547, § 2; L 1995, ch 305, § 1; L 1994, ch 425, § 2; *see generally* Bill Jacket, L 2013, ch 11; Bill Jacket, L 2012, ch 496; Bill Jacket, L 2008, ch 388; Bill Jacket, L 2002, ch 584; Bill Jacket, L 1997, ch 547; Bill Jacket, L 1995, ch 305). This is true even with respect to the specific amendments altering the limits of SUM coverage, and even at times when the legislature made efforts to overturn other pertinent judicial decisions with which it disagreed (*see* L 2012, ch 496, § 1; L 1997, ch 568, § 1; L 1997, ch 547, § 2; *see e.g.* Sponsor’s Mem, Bill Jacket, L 1997, ch 547 at 6-7 [seeking to expedite disclosure of coverage of SUM policies in response to Appellate Division case law strictly construing timing requirements for filing of SUM claims, and also citing this Court’s decision in *Maurizzio v Lumbermens Mut. Cas. Co.* (73 NY2d 951 [1989])]; Mem of NY Law Rev Commn, Bill Jacket, L 2002, ch 584 at 9 [calling legislature’s attention to need for amendment to overrule *Black v Allstate Ins. Co.* (274 AD2d 346 [1st Dept 2000])]).

Therefore, *stare decisis* compels retention of *Amato*. Because there is no basis for distinguishing that case from the one before us, Fitzgerald’s status as a passenger of a police vehicle

at the time of the accident dooms his claim under *Amato* and Insurance Law § 3420 (f) (2) (A).

III

An unbroken line of historical practice, legislative history, statutory text and precedent establishes that a SUM endorsement prescribed by Insurance Law § 3420 (f) (2) (A) exempts police vehicles from its definition of the term “motor vehicle” absent a specific provision to the contrary in a given SUM endorsement. Since there is no contrary provision in the SUM endorsement here, it does not cover liability for injuries arising from the use of a police vehicle of the sort occupied by Fitzgerald during his accident. While Fitzgerald may pursue the available remedies, if any, under the No-Fault Law, a lawsuit or any insurance policy he has purchased for himself, he cannot recover under the SUM endorsement of Knauss’s policy, and the Appellate Division erred in overturning the stay of arbitration under that policy. Accordingly, the order of the Appellate Division should be reversed, with costs, and the petition for a permanent stay of arbitration granted.

PIGOTT, J. (dissenting). The issue in this case is simple: whether plaintiff can recover from State Farm, the carrier that issued a SUM endorsement to Knauss’s personal motor vehicle insurance policy. Plaintiff, a person injured while occupying a motor vehicle driven by Knauss, is entitled to recover under the SUM endorsement.

In *Matter of State Farm Mut. Auto. Ins. Co. v Amato* (72 NY2d 288 [1988]), this Court was asked to decide whether the City of New York, as an unregulated self-insurer, was statutorily required to provide uninsured motorist coverage to two of its police officers who were injured when their police vehicles were struck by uninsured motor vehicles (*Amato*, 72 NY2d at 294). The officers each filed uninsured motorist claims with State Farm, their insurance carrier, to recover for their personal injuries (*see id.*). When State Farm denied their claims, both officers sought to arbitrate their uninsured motorist claims, and, in both cases, State Farm petitioned to stay the arbitration (*see id.*). State Farm argued that it was not obligated to provide uninsured motorist coverage because the City of New York, “as owner of the host vehicle, had the primary obligation to provide uninsured motorist coverage” (*id.* at 292 [internal quotation marks omitted]). This Court rejected that

contention, holding that, as an unregulated self-insurer, the City was not statutorily required to provide uninsured motorist coverage to its officers (*id.* at 290). The *Amato* Court recognized nonetheless that the officers may make a claim against *their own uninsured motorist policy* (*id.* at 293 n 1; see also *Williams v City of New York*, 144 AD2d 553 [2d Dept 1988] [finding that while the City had no obligation to provide uninsured motorist benefits to the police officer plaintiff, she was entitled to summary judgment against the insurer of her personal vehicle]).

Here, plaintiff is not seeking uninsured motorist coverage from the City, as it is settled under *Amato* that the City has no obligation to provide the plaintiff with uninsured motorist benefits. It therefore follows, as in our prior precedent, that plaintiff is entitled to coverage under the Knauss's SUM endorsement.

The legislature intended to make compensation available in cases in which insured persons suffer automobile accident injuries at the hands of financially irresponsible motorists. As this Court recognized in *Amato*, "[The] Legislature has specifically declared its grave concern that motorists who use the public highways be financially responsible to ensure that innocent victims of motor vehicle accidents be recompensed for their injuries and losses" (*Amato*, 72 NY2d 288, 292, citing *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818, 819 [1980]). Under the majority's holding, plaintiff is left without uninsured motorist coverage altogether. Clearly, neither the legislature nor this Court would ever intend such a result.

For these reasons, I dissent and would affirm the order of the Appellate Division.

Judges READ, STEIN and GONZALEZ* concur; Judge PIGOTT dissents and votes to affirm in an opinion in which Chief Judge LIPPMAN and Judge FAHEY concur; Judge RIVERA taking no part.

Order reversed, with costs, and petition for a permanent stay of arbitration granted.

[Next page is 901.]

* Presiding Justice of the Appellate Division, First Department, designated pursuant to NY Constitution, article VI, § 2 to serve as an Associate Judge of the Court of Appeals.